



Financial Accounting and Reporting (FAR)

Advanced Financial Accounting and Reporting (AFAR)

Management Services (MS)

Auditing Theory (AT)

Auditing Practice (AP)

Taxation (TAX)

Regulatory Framework for Business Transactions (RFBT)



Financial Accounting and Reporting (FAR)



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CASH AND CASH EQUIVALENTS

DEFINITIONS:

- **Cash** - includes money in the form of currency and coins, negotiable instruments in the form of checks and money orders acceptable by the bank for immediate credit and bank deposits whether in a savings or current account.
- **Cash Equivalents** - under PAS 7, cash equivalents are short-term and highly liquid investments that are readily convertible into cash and so near their maturity that they present insignificant risk in changes in value because of changes in interest rates.
- **Bank Reconciliation** - a statement that settles the difference between the bank statement balance and the cash balance per book which is the current balance in the checkbook of the depositor.
- **Book Reconciling Items** - include credit memos, debit memos and errors that need to be adjusted by the depositor to reconcile with the adjusted balance.
- **Bank Reconciling Items** - these include deposits in transit, outstanding checks and errors.
- **Certified Checks** - checks that have been accepted by the bank and where the drawer’s account has been debited but the money has yet to be withdrawn by the payee. The funds are now held by the bank on behalf of the payee and the check is no longer outstanding.
- **Petty Cash Fund** - money set aside to pay small and recurring expenses where it will be inefficient to settle such payments by issuing checks. Petty cash fund may be accounted for using either imprest fund system or fluctuating fund system.
- **Imprest Control System** - a control system where all cash receipts including checks to be deposited intact and all cash disbursements be made by the issuance of a check.

Cash includes the following items plus adjustments:

- ✓ Undeposited currency and coins.
- ✓ Checks and money orders held unless the checks are post-dated, defective or stale. Such items shall still be included as receivables.
- ✓ Unrestricted bank deposits.
- ✓ Funds on hand and deposits that are for current use. This includes petty cash fund, payroll fund and funds for taxes and dividends as mentioned in PAS 1 but excludes funds appropriated for non-current assets.
- ✓ Foreign currencies converted to their peso values.
- ✓ Bank drafts.

Special Items of Cash

- **Bank overdraft** – A credit or negative balance in the bank account of the depositor resulting from an issuance of a check that exceeds the amount of the deposit.
 - ✓ As a rule, an overdraft shall be classified as a current liability and not offset against current accounts with a positive or debit balance.
 - ✓ As an exception, if the overdraft is in a bank where there are other accounts that have a positive balance and those accounts are

sufficient to cover the overdraft, the total cash shall be shown net of the overdraft.

- **Compensating balance**
 - If this amount is legally restricted to withdrawal, it is therefore excluded from cash. However, in cases that it still remains to be unrestricted, the compensating balance shall be part of cash. If the compensating balance is legally restricted the following rules shall be followed:
 - ✓ The related loan is short-term: The compensating balance shall be part of current assets but separately from cash.
 - ✓ The related loan is long-term: The compensating balance is part of noncurrent assets as an investment.
 - An informal agreement to maintain a minimum amount of deposit will not be legally restricted and therefore included in cash.

Cash Equivalents

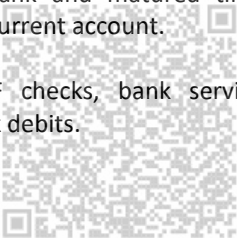
- The three important characteristics for cash equivalents as mentioned in PAS 7 are short-term, highly liquid and near maturity. In other words, short-term debt instruments with low risk (also low yield) and acquired 3 months or less from maturity date shall be considered as cash equivalents.
 - ✓ Examples include Treasury Bills, Bonds and Notes, Time Deposits, Certificate of deposits and Bankers Acceptances and Commercial Papers.
- **Time deposits** – Bank savings account that earns interest but not subject to immediate withdrawal or check issuance.
 - Time deposits are excluded from cash because of their restriction on availability as funds and are classified as investments and shall follow these specific classifications:
 - a. Cash equivalents if the original term is 3 months or less.
 - b. Short term investments if the original term is more than 3 months to 1 year
 - c. Long-term investments if the original term is more than 1 year.

Example of Adjusted Balance Reconciliation:

	Bank		Book
Unadjusted Balance	X	Unadjusted Balance	X
Deposit in transit	+	Credit memo*	+
Outstanding checks	(-)	Debit memo**	(-)
Errors	+/(+)	Errors	+/(+)
Adjusted balance	<u>X</u>	Adjusted balance	<u>X</u>

- Credit memos include collections by the bank; interest credited by the bank and matured time deposits transferred to the current account.
- Debit memos include NSF checks, bank service charges and authorized bank debits.

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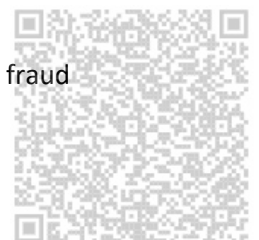


THEORY

1. Cash or Cash on Hand and In Banks on the balance sheet may include the following items
 - I. Currency or cash items on hand
 - II. Deposits in foreign countries which are subject to foreign exchange restrictions
 - III. Short-term placements of excess cash which can be pre-terminated
 - IV. Postdated checks
 - V. Cash set aside for the acquisition or construction of noncurrent assets
 - a. 1, 2 and 3 only
 - b. 2, 3 and 5 only
 - c. 1 and 3 only
 - d. Not given
2. Cash equivalents are
 - a. Short-term and highly liquid investments that are readily convertible into cash
 - b. Short-term and highly liquid investments that are readily convertible into cash with remaining maturity of three months
 - c. Short-term and highly liquid investments that are readily convertible into cash and acquired three months before maturity
 - d. Short-term and highly liquid marketable equity securities
3. All of the following can be classified as cash and cash equivalents, except
 - a. Bank drafts
 - b. Equity investments
 - c. Loan notes held due for repayment in 90 days
 - d. Redeemable preference shares acquired and due in 60 days
4. Which of the following items should not be included in "cash"?
 - a. Coins and currency in the cash register
 - b. Amounts on deposit in checking account at the bank
 - c. Checks from other parties presently in the cash register
 - d. Money market placement
5. Which of the following is not considered cash for financial reporting purposes?
 - a. Bank charges for the period
 - b. Errors made by the company
 - c. Petty cash funds and change funds
 - d. Postdated checks and IOUs
6. What is a compensating balance?
 - a. Savings account balances
 - b. Margin account held with brokers
 - c. Temporary investment serving as collateral for outstanding loan
 - d. Minimum deposit required to be maintained in connection with a borrowing arrangement
7. If the deposit is legally restricted as to withdrawal, the compensating balance related to a long-term loan is shown as
 - a. Cash
 - b. Other asset
 - c. Long-term investment
 - d. Current liability
8. Bank overdraft, if material, should be
 - a. Reported as a deduction from the current asset section
 - b. Reported as a deduction from cash
 - c. Netted against cash and a net cash amount reported
 - d. Reported as a current liability
9. If a financial institution has cash funds in a company, which is in bankruptcy, and the amount recoverable is estimated to be lower than the face amount, cash should be
 - a. Eliminated from the balance sheet
 - b. Written down to its discounted or present value
 - c. Written down to estimated realizable value
 - d. Stated at face amount
10. The following statements relate to cash. Which statement is true?
 - a. The term "cash equivalent" refers to demand credit instruments such as money order and bank drafts



- b. The purpose of establishing a petty cash fund is to keep enough cash on hand to cover all normal operating expenses for a period of time
 - c. Classification of a restricted cash balance as current or non-current should parallel the classification of the related obligation for which the cash was restricted
 - d. Compensating balances required by a bank should always be excluded from "cash and cash equivalent"
11. Which of the following is not a basic characteristic of a system of cash control?
- a. Use of a voucher system
 - b. Combined responsibility for handling and recording cash
 - c. Daily deposit of all cash received
 - d. Internal audits at irregular intervals
12. All cash receipts are deposited intact and all cash disbursements are made by means of check. This internal control is known as
- a. Administrative control
 - b. Imprest system
 - c. Accounting control
 - d. Auditing control
13. Entries to record the replenishment of petty cash fund result in a debit to various expense accounts and a credit to cash in bank. This accounting procedure typically exemplifies the
- a. Imprest petty cash system
 - b. Fluctuating petty cash system
 - c. Internal control
 - d. Administrative control
14. What is the major purpose of an imprest petty cash fund?
- a. To effectively plan cash inflows and outflows
 - b. To ease the payment of cash to vendors
 - c. To determine the honesty of the employees
 - d. To effectively control cash disbursements
15. A cash over or short account
- a. Is not generally accepted
 - b. Is debited when the petty cash fund proves out over
 - c. Is debited when the petty cash fund proves out short
 - d. Is a contra account to cash
16. Which is true when a petty cash fund is used?
- a. The petty cash fund balance should be reported as investment
 - b. The reimbursement of the petty cash fund should be debited to expenses and credited to the cash account
 - c. The petty cashier's summary of petty cash payments serves as a journal entry that is posted to the appropriate general ledger account
 - d. Entries that include a credit to the cash account should be recorded at the time payments from the petty cash fund are made
17. The following statements relate to the petty cash fund. Which statement is true?
- a. The amount of coins and currency in the petty cash fund is the same before the fund is reimbursed as it is afterwards
 - b. Entries to record the replenishment of the imprest petty cash fund result in debit to various expense accounts and a credit to the petty cash funds
 - c. At any time, the sum of the cash in the petty cash fund and the total petty cash vouchers should equal the amount for which the imprest petty cash fund was established
 - d. Under the imprest petty cash system, it is not necessary to adjust unreplenished petty cash expenses at end of the year
18. A bank reconciliation is prepared monthly in order for the enterprise to
- a. Arrive at the correct cash balance
 - b. Correct bank errors
 - c. Correct book errors
 - d. Unearth any undetected cash fraud
19. Bank reconciliation
- a. Is the process of transferring money in or out of a bank account



- b. Requires that every transaction which will result in a cash payment be verified, approved and recorded before a bank check is prepared
 - c. Is an analysis that reflects the bank transactions made by a depositor
 - d. Explains the difference between the bank balance and the balance shown in the depositor's records
20. A bank statement provides information about all of the following, except
- a. Bank charges for the period
 - b. Check cleared during the period
 - c. Errors made by the company
 - d. NSF checks
21. When preparing a bank reconciliation, bank credits are
- a. Added to the bank statement balance
 - b. Deducted from the bank statement balance
 - c. Added to the balance per book
 - d. Deducted from the balance per book
22. For purposes of bank reconciliation, debit memos are
- a. Added to the bank balance
 - b. Added to the book balance
 - c. Deducted from the bank balance
 - d. Deducted from the book balance
23. Which of the following items must be added to the cash balance per ledger in preparing a bank reconciliation which ends with adjusted balance?
- a. Note receivable collected by the bank in favor of the depositor and credited to the account of the depositor
 - b. NSF customer check
 - c. Service charge
 - d. Erroneous bank credit
24. In the process of preparing a bank reconciliation
- a. Outstanding checks should be added to the bank balance of cash
 - b. Outstanding checks should be subtracted from the book balance of cash
 - c. All of the reconciling items shown on a bank reconciliation must be entered in the accounting records after the reconciliation is completed
 - d. Items that appear on the reconciliation as corrections to the book balance of cash should be entered in the accounting records
25. The reconciling item in bank reconciliation that will result in an adjusting entry by the depositor is
- a. Outstanding checks
 - b. Deposit in transit
 - c. Bank error
 - d. Bank service charges
26. What is the adjusting entry for a customer NSF check?
- a. Debit cash and credit accounts receivable
 - b. Debit accounts receivable and credit cash
 - c. Debit service charge and credit cash
 - d. No adjustment is necessary
27. If the cash balance shown in a company's accounting records is more than the correct cash balance and neither the company nor the bank has made any errors, there must be
- a. Deposits credited by the bank but not yet recorded by the company
 - b. Deposits in transit
 - c. Outstanding checks
 - d. Bank charges not yet recorded by the company
28. In reconciling the bank balance with the book cash balance, which of the following would not cause the bank balance shown in the bank statement to be lower than the unadjusted book balance?
- a. Deposits in transit
 - b. Cash on hand at the company
 - c. Interest credited to the account by the bank
 - d. NSF checks from a customer as reported on the bank statement
29. If the cash balance in a company's bank statement is less than the correct cash balance and neither the company nor the bank has made any errors, there must be
- a. Deposits credited by the bank but not yet recorded by the company
 - b. Outstanding checks
 - c. Bank charges not yet recorded by the company
 - d. Deposits in transit



30. If the cash balance in a company’s bank statement is more than the correct cash balance and neither the company nor the bank has made any errors, there must be
- a. Deposits credited by the bank but not yet recorded by the company
 - b. Outstanding checks
 - c. Bank charges not yet recorded by the company
 - d. Deposits in transit
31. A proof of cash
- a. Is a physical count of currencies on hand at the end of reporting period
 - b. Is a formal statement showing the total cash receipts during the year
 - c. Is a four-column bank reconciliation showing reconciliation of cash balances per book and per bank at the beginning and end of the current month and reconciliation of cash receipts and cash disbursement of the bank and the depositor during the current month
 - d. Is a summary of cash receipts and cash payments

PROBLEMS

1. The composition of Addi Company’s “cash account” as of December 31, 2021 is as follows:

Demand deposit account	P2,000,000
Time deposit – 30 days	1,000,000
NSF check of customer	40,000
Money market placement (due June 30, 2022)	1,500,000
Savings deposit in a closed bank	100,000
IOU from employee	20,000
Pension fund	3,000,000
Petty cash fund	10,000
Customer’s check dated January 1, 2022	50,000
Customer’s check outstanding for 18 months	40,000
Total	<u>P7,760,000</u>

Additional information follows:

- Check of P200,000 in payment of accounts payable was recorded on December 31, 2021 but mailed to suppliers on January 5, 2022.
- Check of P100,000 dated January 15, 2022 in payment of accounts payable was recorded and mailed on December 31, 2021.
- The company uses the calendar year. The cash receipts journal was held open until January 15, 2022, during which time P400,000 was collected and recorded on December 31, 2021.

The cash and cash equivalents to be shown on the December 31, 2021 balance sheet is:

- | | |
|---------------|---------------|
| a. P3,310,000 | c. P2,910,000 |
| b. P1,910,000 | d. P4,410,000 |

2. Juan Company reported the checkbook balance on December 31, 2021 at P8,000,000. In addition, the entity held the following items in the safe on that date:

Check payable to the entity, dated January 2, 2022 in payment of a sale, not included in December 31 check book balance	1,000,000
Check payable to the entity, deposited December 15 and included in December 31 checkbook balance, but returned by bank on December 30 stamped “NSF”. The check was redeposited on January 2, 2022 and cleared on January 5, 2022	3,000,000
Check drawn on the entity’s account, dated and recorded on December 31, 2021 but not mailed until January 15, 2022	2,500,000
Coins and currencies on hand	800,000
Three-month money market instruments	1,500,000

What is the correct amount of Cash on December 31, 2021?

- | | |
|---------------|---------------|
| a. P7,500,000 | c. P8,300,000 |
|---------------|---------------|



3. On December 31, 2021, the cash account of Christopher Company has a debit balance of P3,500,000. An analysis of the cash account shows the following details:

Undeposited collections	P 60, 000
Cash in bank-PCIB checking account	500, 000
Cash in bank-PNB (overdraft)	(50, 000)
Undeposited NSF check received from a customer, dated Dec. 1, 2021	15, 000
Undeposited check from a customer, dated January 15, 2022	25, 000
Cash in bank-PCIB (fund for payroll)	150, 000
Cash in bank-PCIB (savings deposit)	100, 000
Cash in bank-PCIB (money market instrument, 90 days)	2, 000,000
Cash in foreign bank (restricted)	100, 000
IOUs from officers	30, 000
Sinking fund cash	450, 000
Listed stock held as temporary investment	<u>120, 000</u>
	P3,500,000

Cash and cash equivalents on its December 31, 2021 statement of financial position should be

- a. P2,760,000
b. P2,810,000
c. P2,885,000
d. P2,935,000

4. The current assets of Rhosendy Company on December 31, 2021 include the following:

Cash on hand	P 50,000
Petty cash fund	10,000
Cash in bank	200,000
Accounts receivable	400,000
Inventory	500,000
Marketable equity securities	145,000
Deferred charges	<u>20,000</u>
Total	<u>P1,325,000</u>

- A. Cash on hand includes:

- Customer's check of P4,000 returned by bank on December 26, 2021 due to insufficient funds but subsequently redeposited and cleared by bank on January 5, 2022.
- Customer's check for P6,000 dated January 15, 2022, received December 22, 2021.
- Postal money orders received from customers, P5,000.
- Cash withheld from wages for income tax of employees, P15,000.

- B. The petty cash fund consists of the following items on December 31, 2021:

- Currency and coins, P2,800.
- Employees' sales, P2,000.
- Currency in envelope marked "collections for birthday party", P1,000.
- Unreplenished petty cash vouchers, P2,000.
- Check drawn payable to petty cashier, P2,200.

- C. Included among the checks in payment of accounts payable drawn by the company against its current account and recorded in December 2021 are:

- Check written and dated December 22, 2021 and delivered to payee on January 5, 2022, P10,000.
- Check written December 26, 2021 and dated January 21, 2022, delivered to payee on December 26, 2021. P15,000.

Question 1: How much is the adjusted cash on hand on December 31, 2021?

- P40,000
- P1,328,000
- P5,000
- P225,000

Question 2: How much is the adjusted petty cash fund balance on December 31, 2021?



- | | |
|---------------|-------------|
| a. P40,000 | c. P5,000 |
| a. P1,328,000 | d. P225,000 |

Question 3: How much is the adjusted cash in bank balance on December 31, 2021?

- | | |
|---------------|-------------|
| a. P40,000 | c. P5,000 |
| b. P1,328,000 | d. P225,000 |

Question 4: How much is the correct cash balance on December 31, 2021?

- | | |
|-------------|-------------|
| a. P270,000 | c. P275,000 |
| b. P265,000 | d. P280,000 |

5. Shown below is the bank reconciliation for Johanna Company for November 2021:

Balance per bank, Nov. 30, 2021		P150,000
Add: Deposit in transit		<u>24,000</u>
Total		P174,000
Less: Outstanding checks	P28,000	
Bank credit recorded in error	<u>10,000</u>	<u>38,000</u>
Cash balance per books, Nov. 30, 2021		<u>P136,000</u>

The bank statement for December 2021 contains the following data:

Total deposits	P110,000
Total charges, including NSF check of P8,000 and a service charge of P400	96,000

All outstanding checks on November 30, 2021, including the bank credit, were cleared in the bank in December 2021. There were outstanding checks of P30,000 and deposits in transit of P38,000 on December 31, 2021.

Question 1: How much is the cash balance per bank on December 31, 2021?

- | | |
|-------------|-------------|
| a. P154,000 | c. P164,000 |
| b. P150,000 | d. P172,400 |

Question 2: How much is the December receipts per book?

- | | |
|-------------|-------------|
| a. P124,000 | c. P110,000 |
| b. P 96,000 | d. P148,000 |

Question 3: How much is the December disbursements per books?

- | | |
|------------|------------|
| a. P96,000 | c. P89,600 |
| b. P79,600 | d. P98,000 |

Question 4: How much is the cash balance per books on December 31, 2021?

- | | |
|-------------|-------------|
| a. P150,000 | c. P180,400 |
| b. P170,400 | d. P162,000 |

Question 5: The adjusted cash in bank balance as of December 31, 2021 is:

- | | |
|-------------|-------------|
| a. P141,600 | c. P180,400 |
| b. P170,400 | d. P162,000 |

Note: Final answer should be P172,000.



6. Charles Company is making a four-column reconciliation on June 30 from the following data. The amounts per bank statement were: Balance - May 31, P6,500; June receipts, P13,000; June disbursements, P11,000. The amounts per books were: Balance – May 31, P7,635; June receipts, P11,548; June disbursements, P11,235; Balance – June 30, P7,948.

	<u>May 31</u>	<u>June 30</u>
Deposits in transit	P1,200	P1,500
Outstanding checks	670	840
The bank overlooked a check for P75 when recording a deposit on June 10		
Note collected by bank, recorded after receiving the bank statement		1,800
NSF checks recorded after receiving bank statement	560	480
Service charge, recorded after receiving the bank statement	45	60
Bored recorded a P374 check received from a customer in June as P347		

Question 1: The corrected balance per bank on June 30 is:

- a. P9,085

b. P9,160
- c. P9,235

d. P10,075

Question 2: The corrected June receipts per books is:

- a. P11,575

b. P13,300
- c. P13,346

d. P13,375

Question 3: The corrected June disbursements per books is:

- a. P10,830

b. P11,170
- c. P11,250

d. P11,300



TRADE AND OTHER RECEIVABLES

- Trade and Other Receivables – a one-line-item account used to summarize receivables that are classified as current assets. As to its details, they are disclosed in the notes to financial statements.

Composition

- Trade Receivables
- Non-trade Receivables

Valuation

- Short-term receivables – Face value
- Long-term receivables
 - Discounted amount or present value
 - Amortized cost using effective interest method
- Receivables may be current or noncurrent and trade or nontrade.
 - The rules on current and noncurrent classification are discussed in detail under PAS 1 and are also based on the receivable as either trade or nontrade.
 - Trade receivables arise from the sale of goods or services to customers and in the form of accounts receivable or notes receivable.
 - Classified as current asset if collectible within one year or normal operating cycle, whichever is longer.
 - Nontrade receivables are receivables from all other types of transactions like advances to officers and employees and advances to other entities.
 - Non-Trade Receivables – current asset if collectible within one year, notwithstanding the normal operating cycle.
- Accounts receivable arise from credit sales. The amount to be recorded as accounts receivable from sales on account shall be the “Invoice Price” which is the amount after deducting trade discounts from the List Selling Price. Take note that trade discounts are not accounted for and are ignored for recording purposes.
- The following transactions also affect accounts receivable in computing for the ending balance:

ACCOUNTS RECEIVABLE

+ Credit Sales	(-) Sales returns and allowances
+ Recovery of accounts written off	(-) Sales discounts
	(-) Collections including recovery
	(-) Write off
	(-) Factored accounts

- The write-off for accounts receivable under the allowance method is recorded by:

Allowance for doubtful accounts

xx

Accounts Receivable

xx
- The recovery or the collection on an accounts receivable that already has been written off cannot be recorded by simply debiting cash and crediting accounts receivable. The entry for the write off must be reversed and before recording the collection with the following two entries:

Accounts Receivable

xx

Allowance for doubtful accounts

xx

Allowance for doubtful accounts

xx

Accounts Receivable

xx
- Combining the two entries will be more efficient by:

Cash

xx

Allowance for doubtful accounts

xx
- The ending balance of accounts receivable shall be presented as part of current assets under the heading of “trade and other receivables” at the Net Realizable Value (expected cash value) or “amortized cost”

- The **net realizable value** shall be computed after deducting an allowance for the following:
 - Sales returns** – value of merchandise expected to be returned by customers as a result in error of deliveries and defects.
 - Sales discounts** – value of price savings to customers expected to pay within the discount period and take advantage of the cash discount.
 - Freight charges** – amount of freight charges collected by the shipper from the buyer even though the shipment was under FOB destination terms. This amount shall not be remitted by the buyer hence deducted from the receivable.
 - Doubtful accounts** – allowance for expected uncollectibility that is an inherent risk from selling on credit.

Allowance Method vs. Direct Write-off Method

	Allowance	Direct
Application	Generally Accepted	Non-GAAP
Accounts considered doubtful	Expense and Increase the Allowance	Not accounted for
Write-off	Debit Allowance and Credit AR	Debit expense and Credit AR
Recovery	Debit AR and credit Allowance	Debit AR and credit expense

- The computation for the **doubtful accounts expense** which is an adjusting entry and the allowance for doubtful accounts will be as follows:

Beginning balance

xx

Write off

(X)

Recovery

xx

Balance before adjustment

xx

Doubtful accounts expense

xx

Ending balance

xx
- There are 3 methods in estimating doubtful accounts:
 - The **percentage of net credit sales method** which will provide the amount of doubtful accounts expense for the year and therefore is a method that emphasizes proper matching of doubtful accounts against sales. This amount will then be added to the balance before adjustment, the total of the two will then be the amount of allowance at year-end or after adjustment.
 - The **percentage of accounts receivable method** will provide the amount of required allowance for doubtful accounts and just like its counterpart the “Aging Method”, the amount of doubtful accounts expense will be worked back as an adjustment to the amount of required allowance.
 - The **aging of accounts receivable method** that is arguably the most accurate of all three methods since an analysis is made and each classification of accounts receivable is multiplied by a specific rate of the estimate of uncollectibility.

Special Treatments

- Advances to Subsidiaries and Affiliates** – usually classified as long-term investments.
- Customers with Credit Balances** – usually classified as current liabilities. Otherwise, non-current liabilities.
- Receivables from Officers, Directors, and Employees** – usually classified as current assets. Otherwise, non-current assets.
- Subscriptions Receivables** – presented as part of the stockholders’ equity. Otherwise, part of current assets.
- Receivables Hypothecated against Borrowings (Pledged or Assigned)** – still included as part of the current assets with the corresponding disclosure in the notes to financial statements.
- Receivables Discounted with Recourse** – excluded.
- Receivables Sold without Recourse** – excluded.
- Unearned Finance Charges and Interests** – deducted from the related receivables.

TRADE AND OTHER RECEIVABLES

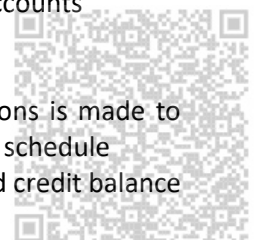
THEORY

1. Accounts receivable shall be recognized initially at
 - a. Face value
 - b. Discounted value
 - c. Maturity value
 - d. Current value
2. Subsequent to initial recognition, accounts receivable should be carried at
 - a. Face value
 - b. Net realizable value
 - c. Maturity value
 - d. Present value
3. Assuming that the ideal measure of short- term receivable in the balance sheet is the discounted value of the cash to be received in the future, failure to follow this practice usually does not make the balance sheet misleading because
 - a. Most short- term receivables are not interest- bearing
 - b. The allowance for uncollectible accounts includes a discount element
 - c. The amount of the discount is not material
 - d. Most receivables can be sold to a bank or factor
4. Receivables denominated in a foreign currency should be
 - a. Translated to local currency using the exchange rate at the time the receivable arise
 - b. Shown at face value of the foreign currency
 - c. Translated to local currency using the exchange rate at the balance sheet date
 - d. Translated to local currency using the exchange rate when the balance sheet is issued
5. In reporting accounts receivable at the balance sheet
 - a. An aging schedule is used to determine which accounts should be written off prior to preparing the balance sheet totals
 - b. The allowance for uncollectible accounts, freight charges, sales discounts, and sales returns and allowances are deducted from accounts receivable
 - c. The direct write off method is used to determine the appropriate balance in the allowance for uncollectible accounts at year-end
 - d. Only those accounts likely to be collected before the beginning of the next period should be included in the accounts receivable
6. When individual customer's accounts have credit balances of material amounts, these amounts
 - a. Should be omitted from the balance sheet
 - b. Must be reported separately in the liability section of the balance sheet
 - c. May be shown as "credit balances of customers accounts" in the current assets section
 - d. May be deducted from the debit balance in other customers accounts in the asset section
7. Bad debt expense represents
 - a. that portion of this period's sales on account not likely to be collected
 - b. that portion of the balance in accounts receivable at the end of the period not likely to be collected
 - c. the amount of accounts receivable written off as uncollectible during the current period
 - d. the total of those accounts receivable written off during the period and the amount judged to be uncollectible at the beginning of the period
8. Which of the following statement is true in relation to presentation of receivables in statement of financial position?
 - a. Trade receivables and nontrade receivables are shown separately
 - b. Nontrade receivables are presented as noncurrent assets
 - c. Trade account receivables and trade notes receivable shall be presented separately
 - d. Trade receivable and nontrade receivable which are currently collectible shall be presented as one line item called "trade and other receivables"
9. Accounts receivable usually appear in the balance sheet
 - a. As current assets, combined with cash and cash equivalents
 - b. As current assets, immediately after cash and cash equivalents
 - c. Only if the balance sheet method of estimating uncollectible accounts is used
 - d. As either current assets or noncurrent assets, depending on whether the allowance method or the direct write-off method is used to account for uncollectible accounts



10. Accounts receivable are classified as current assets
 - a. Only if convertible into cash beyond one year
 - b. Only if convertible into cash within 60 days or sooner
 - c. Only if the allowance method is used to estimate the uncollectible accounts
 - d. Whenever accounts receivable arise from "normal" sales to customers, regardless of the credit terms
11. If a company employs the gross method of recording receivables from customers, then sales discounts taken should be reported as
 - a. A deduction from sales in the income statement
 - b. An item of other expense in the income statement
 - c. Sales discounts forfeited in the cost of sales section of the income statement
 - d. A deduction from accounts receivable in determining the net realizable value
12. Which of the following is an advantage of using the net price method for recording cash discounts on credit sales?
 - a. It properly reflects current periods sales revenue
 - b. It simplifies recording of sales returns and allowances
 - c. It eases communication with customers about their balances
 - d. It requires less record-keeping efforts than the gross method
13. Which of the following concepts relates to the allowance method in accounting for accounts receivable?
 - a. Bad debt expense is based on the actual amount determined to be uncollectible
 - b. Bad debt expense is an estimate that is based only on an aging of accounts receivable
 - c. Bad debts expense is an estimate that is based on historical and prospective information
 - d. Bad debt expense is management determination of which accounts will be sent to the attorney for collection
14. Which of the following is a generally accepted method of determining the amount of the adjustment to bad debt expense?
 - a. A percentage of sales adjusted for the balance in the allowance
 - b. A percentage of sales not adjusted for the balance in the allowance
 - c. A percentage of accounts receivable not adjusted for the balance in the allowance
 - d. An amount derived from aging accounts receivable and not adjusted for the balance in the allowance
15. Which is a generally accepted method of determining the amount of the adjustment to bad debt expense?
 - a. A percentage of sales adjusted for the balance in the allowance
 - b. A percentage of accounts receivable not adjusted for the balance in the allowance
 - c. An amount derived from aging accounts receivable adjusted for the balance in the allowance
 - d. An amount derived from aging accounts receivable not adjusted for the balance in the allowance
16. Which method does not properly match expense and revenue?
 - a. Charging bad debts as accounts are written off as uncollectible
 - b. Charging bad debts with a percentage of sales under the allowance method
 - c. Charging bad debts using aging of accounts receivable under the allowance method
 - d. Charging bad debts using a percentage of accounts receivable under the allowance method
17. A method of estimating bad debts that focuses on the income statement whether rather than the statement of financial position is the allowance method based on

a. Direct write-off method	c. Credit sales
b. Aging the trade accounts receivable	d. The balance in the trade accounts receivable
18. When an accounts receivable aging schedule is prepared, a series of computations is made to determine estimated uncollectible accounts. The resulting amount from this aging schedule
 - a. When added to the total accounts written off during the year is the desired credit balance of the allowance for doubtful accounts at year-end
 - b. Is the amount of doubtful accounts expense for the year



- c. Is the amount that should be added to the beginning allowance for doubtful accounts to get the doubtful accounts expense for the year
 - d. Is the amount of desired credit balance of the allowance for doubtful accounts to be reported at year end
19. From the standpoint of accounting theory, the allowance method of accounting for uncollectible accounts expense is much better than the direct write off method because
 - a. Uncollectible accounts are merely charged to expense in the period when such receivables are determined to be collectible
 - b. Expenses are unmatched with related revenues
 - c. The receivables are not stated at their provable realizable value
 - d. Uncollectible accounts are recorded as expenses in the period in which the individual accounts are determined to be worthless
20. When the allowance method is used, the entry which is appropriate when a particular account is written off as uncollectible should include a
 - a. Credit to sales revenue
 - b. Credit to bad debt expense
 - c. Debit to accounts receivable
 - d. Debit to allowance for doubtful accounts
21. A company, which has an adequate amount in its Allowance for Doubtful Accounts, writes off as uncollectible an accounts receivable from a bankrupt customer. This action will
 - a. Have no effect on total current assets
 - b. Reduce net income for the period
 - c. Reduce the amount of equity
 - d. Reduce total current assets
22. When a specific customer's account receivable is written off as uncollectible, what will be the effect on net income under each of the following methods of recognizing bad debt expense?

<u>Allowance</u>	<u>Direct write-off</u>	<u>Allowance</u>	<u>Direct write-off</u>
a. None	Decrease	c. Decrease	Decrease
b. Decrease	None	d. None	None

PROBLEMS

1. Judy Company reported current receivables on December 31, 2021 which consisted of the following:

Trade accounts receivable	930,000
Allowance for uncollectible accounts	20,000
Claim against shipper for goods lost in transit in November 2021	30,000
Selling price of unsold goods sent by the entity on consignment at 130% of cost and not included in the ending inventory	260,000
Security deposit on lease of warehouse used for storing inventories	300,000

What is the correct total of current net receivables on December 31, 2021?

- a. P1,500,000
 - b. P1,200,000
 - c. P1,240,000
 - d. P940,000
2. The following information relates to Kay Co.'s accounts receivable for 2021:

Accounts receivable, 1/1/21	P650,000
Credit sales for 2021	2,700,000
Sales returns for 2021	75,000
Accounts written off during 2021	40,000
Collections from customers during 2021	2,150,000
Estimated future sales returns at 12/31/21	50,000
Estimated uncollectible accounts at 12/31/21	140,000

What amount should it report for account receivable, before allowances for sales returns and uncollectible accounts as of December 31, 2021?

- a. P1,200,000
 - b. P1,125,000
 - c. P1,085,000
 - d. P925,000



3. When examining the accounts of Lorelie Company, you ascertain that balances relating to both receivables and payables are included in a single controlling account called receivables control that has a debit balance of P4,850,000. An analysis of the make-up of this account revealed the following:

	<u>Debit</u>	<u>Credit</u>
Accounts receivable – customers	P7,800,000	
Accounts receivable – officers	500,000	
Debit balances – creditors	300,000	
Postdated checks from customers	400,000	
Subscriptions receivable	800,000	
Accounts payable for merchandise		P4,500,000
Credit balances in customers’ accounts		200,000
Cash received in advance from customers for goods not yet shipped		100,000
Expected bad debts		150,000

After further analysis of the aged accounts receivable, you determined that the allowance for doubtful accounts should be P200,000. What is the correct total of current net receivables?

- a. P8,950,000

b. P8,800,000
- c. P8,600,000

d. P8,850,000

Accounts receivables	P600,000
Allowance for doubtful accounts	30,000

The following transactions affecting accounts receivable occurred during the year ended December 31, 2021:

Sales – cash and credit	P3,280,000
Cash received from cash customers	400,000
Cash received from credit customers, excluding recovery	2,475,000
Cash received from credit customers who took advantage of the 2/10, n/30 terms (included in P2,475,000)	1,470,000
Accounts receivable written off as worthless	20,000
Recoveries of accounts written off	5,000
Credit memoranda for returned credit sales	55,000
Cash refunds to cash customers	10,000

The company uses the percentage of accounts receivable method in determining the allowance for doubtful accounts. What is the net realizable value of accounts receivable on December 31, 2021?

- a. P855,000

b. P900,000
- c. P850,000

d. P895,000

<u>Days past invoice date</u>	<u>Percent uncollectible</u>
0 – 30	1
31 – 90	5
91 – 180	20
Over 180	80

In addition, it wrote off all accounts receivables that were over 1 year old. The following additional information relates to the years ended December 31, 2022 and 2021:

	<u>2022</u>	<u>2021</u>
Credit sales	P3,000,000	P2,800,000
Collections (including recovery)	2,915,000	2,400,000
Accounts written off	27,000	none
Recovery of accounts previously written off	7,000	none



Days past invoice date at 12/31:

0 – 30	300,000	250,000
31 – 90	80,000	90,000
91 – 180	60,000	45,000
Over 180	25,000	15,000

What is the uncollectible accounts expense for the year ended December 31, 2022?

- P39,000
- P31,000
- P38,000
- P11,000

6. Gelyn Company began operations on January 1, 2018. From 2018 to 2020, the entity provided for doubtful accounts based on 5% of annual credit sales. On January 1, 2021, the entity changed the method of determining the allowance for doubtful accounts using an aging schedule. In addition, the entity writes off all accounts receivable that are over 1 year old. The following information relates to the years ended December 31, 2018, 2019, 2020 and 2021:

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Credit sales	15,000,000	9,500,000	8,000,000	6,000,000
Collections excluding recovery	11,700,000	8,200,000	6,700,000	4,500,000
Accounts written off during year	200,000	120,000	80,000	None
Recovery of accounts written off	90,000	40,000	25,000	None

<u>Days Account Outstanding</u>	<u>Amount</u>	<u>Probability of Collection</u>
Less than 16 days	3,000,000	98%
Between 16 and 50 days	1,500,000	80%
Between 51 and 100 days	1,200,000	75%
Between 101 and 200 days	800,000	50%
Between 201 and 365 days	400,000	20%
Over 365 days – to be written off	100,000	0%

Question 1: What was the allowance for doubtful accounts on January 1, 2021?

- P1,175,000
- P1,040,000
- P1,240,000
- P975,000

Question 2: What amount should be reported as allowance for doubtful accounts on December 31, 2021?

- P1,380,000
- P1,480,000
- P2,420,000
- P1,060,000

Question 3: What amount should be reported as doubtful accounts expense for 2021?

- P550,000
- P750,000
- P450,000
- P200,000

Question 4: What is the net realizable value of accounts receivable on December 31, 2021?

- P6,900,000
- P7,000,000
- P5,520,000
- P5,620,000



NOTES RECEIVABLE

- ✓ Claims supported by formal promises to pay usually in the form of notes.
- ✓ Standing alone, the term “notes receivable” represents only claims arising from sale of merchandise or service in the ordinary course of business.
- ✓ Thus, notes received from officers, employees, shareholders and affiliates shall be designated separately.

Initial measurement

- Conceptually, notes receivable shall be measured initially at present value.
- However, short-term notes receivable shall be measured at face value.
 - Cash flows relating to short-term notes receivable are not discounted because the effect of discounting is usually not material.
- Interest-bearing notes receivable
 - Measured at face value which is actually the present value upon issuance.
- Noninterest-bearing notes receivable
 - Measured at present value which is the discounted value of the future cash flows using the effective interest rate.

Subsequent measurement

- Subsequent to initial recognition, long-term notes receivable shall be measured at amortized cost using the effective interest method.

Meaning of amortized cost

- The “amortized cost” is the amount at which the note receivable is measured initially:
 - ✓ Minus principal repayment
 - ✓ Plus or minus cumulative amortization of any difference between the initial carrying amount and the principal maturity amount
 - ✓ Minus reduction for impairment or uncollectibility
- For long-term noninterest-bearing notes receivable, the amortized cost is the present value plus amortization of the discount, or the face value minus the unamortized unearned interest income.

LOAN RECEIVABLE

- A financial asset arising from a loan granted by a bank or other financial institution to a borrower or client.
- Initial measurement
- At initial recognition, an entity shall measure a loan receivable at fair value plus transaction costs that are

directly attributable to the acquisition of the financial asset.

- Transaction costs that are directly attributable to the loan receivable include direct origination costs.
 - ✓ Direct origination costs should be included in the initial measurement of the loan receivable.
 - ✓ However, indirect origination costs should be treated as outright expense.

○ Subsequent measurement

- PFRS 9 provides that if the business model in managing financial assets is to collect contractual cash flows on specified dates and the contractual cash flows are solely payments of principal interest, the financial asset shall be measured at amortized cost.
- Accordingly, a loan receivable is measured at amortized cost using the effective interest method.

○ Origination fees

- Lending activities usually precede the actual disbursement of funds and generally include efforts to identify and attract potential borrowers and to originate a loan.
- The fees charged by the bank against the borrower for the creation of the loan are known as “origination fees”.

○ Impairment of loan

- PFRS 9 provides that an entity shall recognize a loss allowance of expected credit losses on financial asset measured at amortized cost.
- An entity shall measure the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

○ Measurement of impairment

- The amount of impairment loss can be measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at the original effective rate.
- The computation corresponding entry shall be as follows:

PV of expected cash flows	X
Less: Face value	X
Accrued interest	X
Loan impairment loss	<u>X</u>
Loan impairment loss	xx
Interest receivable	xx
Allowance for loan impairment	xx

- The interest receivable shall be written off if interest income already recognized shall not be realized meanwhile the allowance shall be deducted from the current balance of the notes receivable.

-- END --

NOTES RECEIVABLE AND LOAN IMPAIRMENT

THEORY

1. Loans and receivables are
 - a. nonderivative financial assets with fixed or determinable payments that are not quoted in an active market
 - b. nonderivative financial assets with fixed or determinable payments that are quoted in an active market
 - c. nonderivative financial assets without fixed or determinable payments that are not quoted in an active market
 - d. nonderivative financial assets without fixed or determinable payments that are quoted in an active market
2. All of the following are characteristics of financial assets classified as loan and receivables except
 - a. They are not quoted in an active market
 - b. They have fixed or determinable payments
 - c. The holder has demonstrated positive intention and ability to hold them to maturity
 - d. The holder can recover substantially all of its investment (unless there has been credit deterioration)
3. Initially, loans and receivables are measured at
 - a. Fair value
 - b. Fair value plus transaction costs that are directly attributable to the acquisition
 - c. Maturity value
 - d. Maturity value plus transaction costs that are directly attributable to the acquisition
4. Subsequent to initial recognition, loans and receivables are measured at
 - a. Cost
 - b. Amortized cost using the straight-line method
 - c. Amortized cost using the effective interest method
 - d. Fair value
5. The “amortized cost” of loan receivable is the amount of which
 - a. The loan receivable is measured initially minus principal repayment, plus or minus the cumulative amortization of any difference between the initial amount recognized and the principal maturity amount, minus reduction for impairment
 - b. The loan receivable is measured initially minus principal repayment, plus or minus amortization recognized and the principal maturity amount
 - c. The loan receivable is measured initially
 - d. The loan receivable is measure initially minus principal payment
6. Long-term notes receivable which nominally bear no interest or an interest which is unreasonably low should be recognized initially at

a. Face value	c. Maturity value
b. Present value	d. Net realizable value
7. Assuming that the ideal measure of short-term receivable in the balance sheet is the discounted value of the cash to be received in the future, failure to follow this practice usually does not make the balance sheet misleading because
 - a. The amount of discount is not material
 - b. Most receivables can be sold to a bank or factor
 - c. Most short-term receivables are not interest-bearing
 - d. The allowance for uncollectible accounts includes a discount element
8. Accounting for the interest in a non-interest bearing note receivable is an example of what aspect of accounting theory?

a. Matching	c. Substance over form
b. Verifiability	d. Accounting entity
9. On January 1 of the current year, an entity obtained a two-year 8% note receivable for services rendered. At that time, the market rate of interest was 10%. The face amount of the note and the entire amount of interest are due on the date of maturity. Interest receivable on June 30 of the current year is



- a. 4% of the face amount of the note
 - b. 5% of the face amount of the note
 - c. 4% of the present value of the note
 - d. 5% of the present value of the note
10. The carrying value of an impaired note immediately after the recognition of the impairment loss is the
- a. Nominal sum of remaining cash flows to be received
 - b. The book value before the impairment is recognized less accrued interest
 - c. Present value of remaining cash flows to be received, discounted at the current market rate of interest
 - d. Present value of remaining cash flows to be received, discounted at the original interest rate implicit in the note
11. If there is an evidence that an impairment loss on loan receivable has been incurred, the amount of the loss is equal to the
- a. Excess of the principal amount of the loan over its carrying amount
 - b. Excess of the carrying amount of the loan over the principal amount of the loan
 - c. Excess of the present value of cash flows related to the loan over the carrying amount of the loan receivable
 - d. Excess of the carrying amount of the loan receivable over the present value of the cash flows related to the loan
12. The carrying value of an impaired note before recognizing a loan impairment
- a. Includes accrued interest
 - b. Excludes accrued interest
 - c. Is less than the carrying value after recognizing the impairment
 - d. Is the same as the carrying value after recognizing the impairment
13. The discount on notes receivable represents
- a. Unearned interest
 - b. Prepaid interest
 - c. Prime interest
 - d. Accrued interest
14. What is the treatment of "direct origination costs" incurred in connection with loans and receivables?
- a. Included in profit or loss
 - b. Part of the initial carrying amount of the loans receivable and amortized using the effective interest method
 - c. Part of the initial carrying amount of the loans receivable and amortized using the straight-line method
 - d. Charged directly to retained earnings

PROBLEMS

1. Gel Company is a dealer in equipment. On December 31, 2021, the company sold an equipment in exchange for a noninterest bearing note requiring five annual payments of P500,000. The first payment was made December 31, 2022. The market interest for similar notes was 8%. The relevant present value factors are:

PV of 1 @ 8% for 5 periods	.68
PV of an ordinary annuity of 1 @ 8% for 5 years	3.99

Question 1: In its December 31, 2021 statement of financial position, what should it report as notes receivable?

- a. P2,500,000
- b. P1,995,000
- c. P1,700,000
- d. P1,495,000

Question 2: What interest income should be reported for 2022?

- a. P505,000
- b. P101,000
- c. P159,600
- d. P119,600

2. Erwin Bank grants a 10-year loan to X Company in the amount of P1,500,000 with a stated interest rate of 6%. Payments are due monthly and are computed to be P16,650. The bank incurs P40,000 of direct loan origination cost and P20,000 of indirect loan origination cost. In addition, the bank charges X a 4-point nonrefundable loan origination fee.



Question 1: The bank, the lender, has a carrying amount of:

- a. P1,440,000
- b. P1,480,000
- c. P1,500,000
- d. P1,520,000

Question 2: X, the borrower, has a carrying amount of:

- a. P1,440,000
- b. P1,480,000
- c. P1,500,000
- d. P1,520,000

3. On January 1, 2018, loanina Company loaned P3,000,000 to X Inc. The terms of the loan were payment in full on January 1, 2023, plus annual interest payments at 11%. The interest payment was made as scheduled on January 1, 2019; however, due to financial setbacks, X Inc. was unable to make its 2020 interest payment. The company considers the loan impaired and projects the following cash flows from the loan as of December 31, 2020 and 2021. Assume that it accrued the interest on December 31, 2019 but did not continue to accrue interest afterwards due to the impairment of the loan.

<u>Date of Flow</u>	<u>Amount projected as of</u>		<u>Period</u>	<u>PVF at 11%</u>
	<u>Dec. 31, 2020</u>	<u>Dec. 31, 2021</u>		
December 31, 2021	P 200,000	P 200,000	2	0.8116
December 31, 2022	400,000	600,000	3	0.7312
December 31, 2023	800,000	1,200,000	4	0.6587
December 31, 2024	1,200,000	1,000,000	5	0.5935
December 31, 2025	400,000			

Question 1: Loan impairment loss in 2020

- a. P882,380
- b. P1,549,500
- c. P1,212,380
- d. P1,542,380

Question 2: Interest income for 2021 assuming the P200,000 was collected on December 31, 2021 as scheduled

- a. P195,855
- b. P232,938
- c. P200,000
- d. P66,000

Question 3: Allowance for loan impairment as of December 31, 2021

- a. P554,340
- b. P752,640
- c. P649,442
- d. P776,900

Question 4: Interest income in 2022 assuming the P600,000 was collected on December 31, 2022 as scheduled

- a. P225, 210
- b. P247,023
- c. P236,561
- d. P222,541

Question 5: Carrying amount of loan receivable as of December 31, 2022

- a. P1,672,570
- b. P2,150,558
- c. P1,645,641
- d. P1,892,683



RECEIVABLE FINANCING

- o Accelerating the collection of receivables either by using accounts receivable as a loan collateral, selling the receivables without recourse and discounting of notes receivable.
- o The use of receivables as a loan collateral can either be designated as a pledging of accounts receivable or an assignment of accounts receivables.

Forms of Receivable Financing:

- ✓ Pledging
- ✓ Assignment
- ✓ Factoring
- ✓ Discounting

PLEDGING

- o Refers to the use of receivables as collateral for a loan.
- o The only entry required in the books would record the loan obtained from the finance company or bank.
- o The accounts receivable, in any manner, is not affected by the pledging. The accounts receivable is accounted for normally and are not reclassified.
- o However, disclosures should be made in the notes to financial statements.

ASSIGNMENT

- o A more formal borrowing arrangement in which the receivables are used as security.
- o The borrower (assignor) assigns the receivables to a lender (assignee) and signs a promissory note.
- o A reclassification is made on the assigned accounts.
- o The “equity in the assigned accounts” is the difference between the balance of the assigned accounts and the balance of the loan. Disclosure of this account is required.
- o Assignment may be done on a notification or non-notification basis.

FACTORING

- o A sale of receivables since the transfer of these receivables is without recourse.
- o The factor company (finance company) assumes the risk of collection and generally handles the billing and collection function.
- o As in any sale of assets, a gain or loss is recognized for the difference between the proceeds received and the net carrying amount of the receivables factored.
- o Factoring can either be a “casual factoring” transaction or “factoring as a continuing agreement”.
- o **Casual factoring** is a sale of the receivables at a discount. This is similar to any type of sale of an asset in order to generate cash quickly. However, the sale is always made below the carrying amount or the net realizable value of the accounts receivable and therefore a loss shall be recognized as follows:

Face value of AR	X
Less: Service fee or commissions	X
Selling price	X
Less: Accounts receivable	X
Allowances	X
Loss on factoring	X

- o **Factoring as a continuing agreement** involves the sale of accounts receivable to a financing entity on a long term basis and where the buyer is committed to buy the receivables before the actual goods are sold to the customers on credit. In other words, the collection and credit responsibilities are surrendered to the buyer as

soon as goods are delivered to the customers. The following items shall be deducted from the face value of the receivables:

Face value of AR	X
Less: Service fee or commissions	X
Interest charges	X
Factor’s holdback	X
Proceeds from factoring	X

- o Both the service fee and interest shall be recognized as an expense, meanwhile the factor’s holdback is a receivable and a value where the factor shall deduct the sales discounts and sales returns taken by the seller’s customers before finally remitting to the seller the balance when all of the accounts receivable is collected.

DISCOUNTING

- o In essence, selling the note to the bank with recourse.
- o Discounting of notes receivable that is with recourse and on a notification basis shall involve the following computation:

Face value or principal	X
Interest on maturity	X
Maturity value	X
Less: Discount (MV x DR x remaining term)	X
Proceeds from discounting	X

- o The discount rate shall be determined by the bank buying the note, however if there is no discount rate provided, the same rate on the note shall be used as the discount rate. The remaining term is also known as the “discount period”.
- o The total receivable shall also be computed on the date of the discounting which is the face value plus the accrued interest from the date of the note. This amount shall then be compared with the proceeds of the discounting and a “loss” shall be recognized for the difference.

- o Journal Entries Related to the Discounting of Notes Receivable Under **Conditional Sale**:

Cash	xx
Loss on discounting	xx
Notes receivable discounted	xx
Interest income or interest receivable	xx

- o Journal Entries Related to the Discounting of Notes Receivable Under **Secured Borrowing**:

Cash	xx
Interest Expense	xx
Notes receivable discounted	xx
Interest income or interest receivable	xx

- o The note receivable discounted account is credited rather than writing off the notes receivable account because of the **contingent liability** feature of the discounting transaction. However, this account shall be a contra-asset account and deducted from the total notes receivable to be presented in the statement of financial position.

-- END --



RECEIVABLE FINANCING

THEORY

1. Which of the following is a method to generate cash from accounts receivable?
 - a. Assignment only
 - b. Factoring only
 - c. Both A and B
 - d. Neither A nor B
2. The equity of the assignor in assigned accounts is equal to
 - a. assigned accounts receivable
 - b. bank loan balance
 - c. assigned accounts receivable minus the bank loan balance
 - d. bank loan balance minus the assigned accounts receivable
3. It is a predetermined amount withheld by a factor as a protection against customer returns, allowances and other special adjustments
 - a. Equity in assigned accounts
 - b. Service charge
 - c. Commission
 - d. Factor's holdback
4. Which of the following is true when accounts receivables are factored without recourse?
 - a. The transaction may be accounted for either as secured borrowing or sale
 - b. The receivables are used as collateral for a promissory note issued to the factor by the owner of the receivables
 - c. The factor assumes the risk of collectability and absorbs any credit losses in collecting the receivables
 - d. The financing cost should be recognized ratably over the collection period of the receivables
5. If financial assets are exchanged for cash and other consideration but the transfer does not meet the criteria for a sale, the transferor and the transferee should account for transaction as
 - I. Secured borrowing
 - II. Pledge of collateral
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
6. If receivables are hypothecated (pledged) against borrowings, the amount of receivables involved should be
 - a. Disclosed in the notes
 - b. Excluded from the total receivables, with disclosure
 - c. Excluded from the total receivables, with no disclosure
 - d. Excluded from the total receivables and a gain or loss is recognized between the face value and the amount of borrowings
7. Notes receivable discounted with recourse should be
 - a. Included in total receivables with disclosure of contingent liability
 - b. Included in total receivables without disclosure of contingent liability
 - c. Excluded from total receivables with disclosure of contingent liability
 - d. Excluded from total receivables without disclosure of contingent liability
8. After being held for 60 days, a 120-day 8% interest-bearing note receivable was discounted at a bank at 12%. The amount received from the bank is equal to
 - a. Face value less discount rate at 8%
 - b. Face value less discount rate at 12%
 - c. Maturity value less discount at 8%
 - d. Maturity value less discount at 12%
9. If a note receivable is discounted without recourse
 - a. The contingent liability may be disclosed in either a contra account to note receivable or in a note to the financial statements
 - b. Liability for note receivable discounted should be credited
 - c. Note receivable should be credited
 - d. The transaction should be accounted for as a borrowing as opposed to a sale



PROBLEMS

- On January 1, Deliela Company assigned P500,000 of accounts receivable to X Finance Inc. The company gave a 14% note for P450,000 representing 90% of the assigned accounts and received proceeds of P432,000 after deduction of a 4% fee. On February 1, it remitted P80,000 to X, including interest for 1 month on the unpaid balance. As a result of this P80,000 remittance, accounts receivable assigned and notes payable will be decreased by what amount?

	<u>Accounts receivable</u>	<u>Notes payable</u>
a.	P80,000	P74,750
b.	P80,000	P80,000
c.	P72,000	P74,750
d.	P74,750	P80,000

- Shiella Corporation factored P6,000,000 of accounts receivable to X Enterprises on October 1, 2021. Control was surrendered by the corporation. X accepted the receivables subject to recourse for nonpayment. X assessed a fee of 3% and retains a holdback equal to 5% of the accounts receivable. In addition, X charged 15% interest computed on a weighted-average time to maturity of the receivables of 54 days. The fair value of the recourse obligation is P90,000.

Question 1: The corporation will receive and record cash of:

- | | |
|---------------|---------------|
| a. P5,296,850 | c. P5,476,850 |
| b. P5,386,850 | d. P5,556,850 |

Question 2: Assuming all receivables are collected, the corporation's cost of factoring the receivables would be:

- | | |
|-------------|-------------|
| a. P313,150 | c. P433,150 |
| b. P180,000 | d. P613,150 |

- Dan Corporation received a P300,000, 6-month, 12% interest bearing note from a customer. The note was discounted the same day by Sea Bank at 15%. As a result of the discounting, it should recognize:

- | | |
|-----------------------------|----------------------------|
| a. P0 interest expense | c. P5,850 interest expense |
| b. P18,000 interest revenue | d. P5,850 interest revenue |

- Jvion Company received from a customer a 1-year, P500,000 note bearing annual interest of 8%. After holding the note for 6 months, it discounted the note at a nearby bank at an effective interest rate of 10%. What amount of cash did it received from the bank?

- | | |
|-------------|-------------|
| a. P540,000 | c. P513,000 |
| b. P523,810 | d. P495,238 |

- Mamelia Company accepted from a customer a P4,000,000, 90-day, 12% interest bearing note dated August 31, 2021. On September 30, 2021, it discounted the note with recourse at Sea Bank at 15%. However, the proceeds were not received until October 1, 2021. The discounting with recourse is accounted for as a conditional sale with recognition of a contingent liability. What is the loss on note receivable discounting?

- | | |
|------------|------------|
| a. P40,000 | c. P17,000 |
| b. P23,000 | d. P20,000 |



INVENTORY (PAS 2)

VALUATION:

General Rule: Lower of Cost or Net Realizable Value (LCNRV)

- LCNRV = Estimated Selling Price Less Estimated Cost of Completion and Disposal)

Cost of Inventories:

- o **Cost of purchase** – purchase price, import duties and taxes, freight, handling and other direct acquisition costs (minus trade discounts, rebates and other similar items).
- o **Cost of conversion** – direct labor and overhead (variable and fixed) incurred in conversion.
- o **Other costs**
 - Other costs are included in the cost of inventories only to the extent that they are incurred in bringing the inventories to their present location and condition.
- o Inventory cost should **exclude**:
 - ✓ Abnormal waste
 - ✓ Storage costs
 - ✓ Administrative overheads unrelated to production
 - ✓ Selling costs
 - ✓ Foreign exchange differences arising directly on the recent acquisition of inventories invoiced in a foreign currency
 - ✓ Interest cost when inventories are purchased with deferred settlement terms.

COMPOSITION OF INVENTORY

	Term	BUYER	SELLER
1)	FOB shipping point	Included	Excluded
2)	FOB seller	Included	Excluded
3)	FOB FAS (free alongside ship)	Included	Excluded
4)	FOB CIF (cost, insurance, and freight)	Included	Excluded
5)	FOB place of the seller	Included	Excluded
6)	Bill and hold arrangement	Included	Excluded
7)	Sold on installment	Included	Excluded
8)	Sale on with high probability of return	Included	Excluded
9)	Goods manufactured at customer’s specification	Included	Excluded
10)	Special order	Included	Excluded
11)	FOB destination	Excluded	Included
12)	FOB buyer	Excluded	Included
13)	FOB ex-ship	Excluded	Included
14)	FOB place of the buyer	Excluded	Included
15)	Lay away sales	Excluded	Included
16)	Sale with buyback agreement	Excluded	Included
17)	Sale under inventory financing	Excluded	Included
18)	Hold for shipping instruction	Excluded	Included
19)	Sale on trial/sale on approval	Excluded	Included
20)	Inventory pledged	Excluded	Included

Presentation

- o **Current Asset** – for those unsold or remaining goods or items.
- o **Cost of Sales** – for those sold goods or items.
- o **Operating Expenses** – for those used office and store supplies.

Cost formulas

- o PAS 2, paragraph 25, expressly provides that the cost of inventories shall be determined by using either:
 - First in, first out (FIFO)
 - Weighted average

First in, First out (FIFO)

- The FIFO method assumes that “the goods first purchased are first sold” and consequently the goods remaining in the inventory at the end of the period are those most recently purchased or produced.
- Accordingly, in period of inflation or rising prices, the FIFO method would result to the highest net income.
- However, in a period of deflation or declining prices, the FIFO method would result to the lowest income.

Weighted average – Periodic

- The average unit cost is computed by dividing the total cost of goods sold available for sale by the total number of units available for sale.
- Such weighted average unit cost is then multiplied by the units on hand to derive the inventory value.

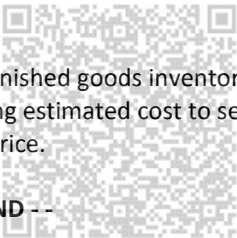
Weighted average – Perpetual

- When used in conjunction with the perpetual system, the weighted average method is popularly known as the **moving average method**.
- Under this method, a new weighted average unit cost must be computed after every purchase and purchase return.
- Thus, the total cost of goods available after every purchase and purchase return is divided by the total units available for sale at this time to get a new weighted average unit cost.
- Such new weighted average unit cost is then multiplied by the units on hand to get the inventory cost.

Measurement of Inventories

- o Inventories are required to be stated at the lower of cost and net realizable value (NRV). Inventories are usually written down to net realizable value item by item. In some circumstances, however, it may be appropriate to group similar or related items.
 - **Raw materials and factory supplies**
Replacement cost will be accounted for as the net realizable value. Materials and other supplies held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost.
 - **Work-in-process or partially completed goods**
Net realizable value of work-in-process inventory is computed by deducting estimated cost of completion and estimated cost to sell from estimated selling price.
 - **Finished goods**
Net realizable value of finished goods inventory is computed by deducting estimated cost to sell from estimated selling price.

-- END --



INVENTORY

THEORY

1. Inventories are assets
 - I. Held for sale in the ordinary course of business
 - II. In the process of production for such sale
 - III. In the form of materials or supplies to be consumed in the production process or in the rendering of services
 - a. I and II only
 - b. I only
 - c. I, II and III
 - d. II and III only
2. A manufacturing company has which three basic types of inventory?
 - a. Perpetual, periodic and estimated
 - b. Specific identification, FIFO and averaged cost
 - c. Raw materials, work in progress and finished goods
 - d. Finished goods, work-in-process, and ready-to-sell-merchandise
3. Which of the following items are comprised (added or deducted) in the cost of inventories according to IAS 2, Inventories?
 - I. Storage costs for work in progress
 - II. Fixed administration overheads
 - III. Trade discount
 - IV. Storage costs relating to finished goods
 - V. Fixed production overheads
 - a. I, II and V only
 - b. I and V only
 - c. I, III and V only
 - d. All of the above
4. The cost of purchase of inventories does not include
 - a. Purchase price
 - b. Import duties and taxes
 - c. Freight, handling and other costs directly attributable to the acquisition of goods
 - d. Trade discounts, rebates and other similar items
5. Which of the following conversion costs cannot be included in cost of inventory?
 - a. Cost of direct labor
 - b. Salaries of sales staff
 - c. Production rent and utilities
 - d. Factory overhead based on normal capacity
6. The cost of inventories shall comprise all costs of purchase, cost of conversion and other costs incurred in bringing the inventories to their present location and condition. Which of the following cost shall be included in the cost of inventories?
 - a. Import duties and other taxes, transport, handling and other costs directly attributable to the acquisition of finished goods, materials and services
 - b. Abnormal amounts of wasted materials, labor or other production costs
 - c. Storage costs unnecessary in its production process
 - d. Administrative overheads that do not contribute to bringing inventories to their present location and condition
7. Which of the following items should be included in a company's inventory at the balance sheet date?
 - a. Goods in transit which were purchased FOB destination
 - b. Goods received from another company for sale on consignment
 - c. Goods sold to a customer which are being held for the customer to call for at the customer's convenience
 - d. Goods in transit which were purchased FOB shipping point
8. Valuation of inventories requires determination of all of the following except the
 - a. Costs to be included in inventory
 - b. Cost flow assumption to be adopted
 - c. Physical goods to be included in inventory
 - d. Cost of goods held on consignment from other entities
9. Theoretically, freight and warehousing costs incurred in the transfer of consigned goods from the consignor to the consignee should be considered
 - a. An expense by the consignor
 - b. An expense by the consignee
 - c. Inventoriable by the consignor
 - d. Inventoriable by the consignee



10. The measurement rule for inventories, mandated by IAS 2 Inventories, is
 - a. Lower of fair value and selling price
 - b. Lower of cost and net realizable value
 - c. Higher of initial cost and realizable value
 - d. Higher of completion costs and replacement costs
11. Net realizable value is
 - a. estimated selling price in the ordinary course of business
 - b. estimated selling price in the ordinary course of business less the estimated costs of completion in the case of finished goods and estimated costs necessary to make the sale in the case of work in process
 - c. estimated selling price in the ordinary course of business less the estimated costs of completion in the and estimated costs necessary to make the sale
 - d. is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction
12. Net realizable value of inventories may fall below cost for a number of reasons including
 - I. Product obsolescence
 - II. Physical deterioration of inventories
 - III. An increase in the expected replacement costs of the inventory
 - IV. An increase in the estimated costs of completion
 - a. I, II and IV only
 - b. I, III and IV only
 - c. II, III and IV only
 - d. I and II only
13. PAS 2, Inventories, requires that when inventories are written down to net realizable value, they are written down
 - a. On a class-by-class basis
 - b. On an item-by-item basis
 - c. On the basis of industry segment
 - d. According the geographical segment within the entity
14. The amount of any writedown of inventory to net realizable value and all losses of inventory shall be
 - a. Recognized as operating expenses in the period the writedown or loss occurs
 - b. Recognized as other expense in the period the writedown or loss occurs
 - c. Recognized as component of cost of sales in the period the writedown or loss occurs
 - d. Deferred until the related inventory is sold
15. What methods are used to measure cost under IAS 2?
 - I. Standard costing system
 - II. Retail method
 - III. Specific identification method
 - IV. FIFO
 - V. Weighted average method
 - a. IV and V only
 - b. III, IV and V only
 - c. II, III, IV and V only
 - d. All of these
16. The cost of inventories shall be measured using
 - a. FIFO
 - b. Average method
 - c. LIFO
 - d. Either FIFO or average method
17. During periods of declining inventory costs, which of the following methods yields the most conservative net income?
 - a. FIFO
 - b. LIFO
 - c. Weighted average
 - d. Specific identification
18. The weighted-average inventory costing method is particularly suitable to inventory where
 - a. Homogeneous products are mixed together
 - b. Dissimilar products are stored in separate locations
 - c. The entity carries stocks of raw materials, work-in-process and finished goods
 - d. Goods have distinct use-by dates and the goods produced first must be sold earliest
19. The cost of inventories that are not ordinarily interchangeable and goods or services produced and segregated for specific projects shall be measured using
 - a. FIFO
 - b. Average method
 - c. LIFO
 - d. Specific identification
20. What is the method of accounting for inventory in which the cost of goods sold is recorded each time a sale is made?
 - a. Periodic system
 - b. Perpetual system
 - c. Professional system
 - d. Accounting system



21. In a perpetual inventory system, two entries are normally made to record each sales transaction
 - a. One entry records the purchase of merchandise and other records the sale
 - b. One entry updated the subsidiary ledger and the other updates the general ledger
 - c. One entry recognizes sales revenue and the other recognizes cost of the goods sold
 - d. One entry records the cost of goods and the other reduces the balance in the 'Inventory' account
22. When a periodic inventory system is used
 - a. Two entries must be made when goods are purchased
 - b. Cost of goods sold is a residual amount, rather than an account
 - c. Ending inventory is treated as an expense and beginning inventory is treated as an asset
 - d. 'Purchases' account is not used; all inventory purchase entries are debited to inventory account
23. In computing for cost of goods sold with a periodic inventory system
 - a. Ending inventory and purchases are added to beginning inventory
 - b. Beginning inventory is added to goods available for sale
 - c. Purchases are deducted from beginning inventory plus ending inventory
 - d. Ending inventory is deducted from total goods available for sale
24. Which of the following is not true about accounting for inventory?
 - a. FIFO is allowed
 - b. Interest costs should not be capitalized
 - c. The weighted-average method is acceptable
 - d. Inventories are always valued at net realizable value
25. Why are inventories measured at lower of cost and net realizable value?
 - a. To be conservative
 - b. To permit future profit to be recognized
 - c. To report a loss when there is a decrease in the future utility
 - d. To report a loss when there is a decrease in the future utility below the original cost
26. The use of discount loss account implies that cost of a purchased inventory item is the
 - a. List price of the item
 - b. Invoice price of the item
 - c. Invoice price less the purchase discount taken on the item
 - d. Invoice price less the purchase discount not taken on the item
27. When the beginning inventory is overstated, then
 - a. the cost of goods sold is understated and the profit is overstated
 - b. the cost of goods sold is overstated and the profit is overstated
 - c. the cost of goods sold is overstated and the profit is understated
 - d. the cost of goods sold is understated and the profit is understated
28. An entity uses a periodic inventory system and neglected to record a purchase of merchandise on account at year-end. This merchandise was omitted from the year-end physical count. How will these errors affect the entity's assets, liabilities, and shareholders' equity at year-end and net earnings from the year?

	<u>Assets</u>	<u>Liabilities</u>	<u>Equity</u>	<u>Net earnings</u>
a.	Understate	Understate	No effect	No effect
b.	Understate	No effect	Understate	Understate
c.	No effect	Understate	Overstate	Overstate
d.	No effect	Overstate	Understate	Understate
29. When a portion of inventories has been pledged as security on a loan
 - a. The value of the portion pledged should be subtracted from the debt
 - b. An equal amount of retained earnings should be appropriated
 - c. The fact should be disclosed but the amount of current assets should not be affected
 - d. The cost of the pledged inventory should be transferred from current to noncurrent asset



PROBLEMS

1. Shiela Company reported an inventory balance of P2,575,000 on December 31, 2021 which was based on a physical count conducted as of December 29, 2021. An analysis of the purchase records of the company revealed the following information:

- Goods costing P120,000 purchased fob shipping point were sent by the seller on December 30, 2021 and were received by the company on January 5, 2022.
- Goods costing P150,000 purchased fob destination were sent by the seller on December 27, 2021 and were received by the company on January 2, 2022.
- Goods costing P175,000 were shipped to the company fob destination on December 28, 2021 and were received on December 31, 2021.
- Goods costing P125,000 were received on December 30, 2021 from X Enterprises on consignment. The company was to sell the goods at a mark-up of 25% of cost. 80% of the goods remained unsold on December 31, 2021.
- Goods costing P130,000 and P125,000 were sent out on consignment to Y Company on December 28, 2021 and Z Company on December 31, 2021 respectively. The goods remained unsold as of December 31, 2021.

The correct amount of inventory to be reported as of December 31, 2021 by the company is

- | | |
|---------------|---------------|
| a. P3,000,000 | c. P3,125,000 |
| b. P2,875,000 | d. P2,825,000 |

2. Christopher Corporation included the following items in inventory on December 31, 2021:

Materials	P300,000
Advances for materials ordered for January delivery	50,000
Materials in transit, FOB destination	100,000
Goods in process, at cost of materials and direct labor	200,000
Finished goods in factory, at cost including overhead of P100,000	500,000
Finished goods in company-owned retail store, at sales price (150% of cost)	150,000
Finished goods in the hands of consignees, at sales price, including 40% profit on sales but excluding freight paid of P4,000	80,000
Finished goods in transit to customers – FOB shipping point, at cost	40,000
Finished goods out on approval, at cost, including delivery freight of P5,000	75,000
Finished goods, at cost, unsalable	10,000
Unexpired insurance on inventories	12,000
Advertising catalogs and shipping supplies	6,000
Gasoline and oil for testing finished goods	15,000
Machine lubricants	13,000

What is the correct cost of the inventory on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,300,000 | c. P1,318,000 |
| b. P1,272,000 | d. P1,250,000 |

3. The balance in Michelle Company's accounts payable account on December 31, 2021 was P1,225,000 before the following information was considered:

- Goods shipped FOB destination on December 21, 2021 from a vendor to the company were lost in transit. The invoice cost of P45,000 was recorded by the company. On December 28, 2021, it notified the vendor of the lost shipment.
- Goods were in transit from a vendor to the company on December 31, 2021. The invoice cost was P60,000 and the goods were shipped FOB shipping point on December 28, 2021. The company received the goods on January 6, 2022.
- Goods shipped to the company, FOB shipping point on December 20, 2021 from a vendor were lost in transit. The invoice price was P50,000. On January 5, 2022, the company filed a P50,000 claim against the common carrier.
- On December 27, 2021, a vendor authorized the company to return, for full credit, goods shipped and billed at P35,000 on December 20, 2021. The returned goods were shipped by

the company on December 27, 2021. A P35,000 credit memo was received and recorded by the company on January 6, 2022.

What amount should it report as accounts payable in its December 31, 2021 statement of financial position?

- | | |
|---------------|---------------|
| a. P1,300,000 | c. P1,255,000 |
| b. P1,345,000 | d. P1,250,000 |

4. Candy Company's usual sales terms are net 60 days, FOB shipping point. Sales, net of returns and allowances totaled P2,300,000 for the year ended December 31, 2021 before year-end adjustments. Additional data are as follows:

- On December 27, 2021, it authorized a customer to return, for full credit, goods shipped and billed at P50,000 on December 15, 2021. The returned goods were received by the company on January 4, 2022 and a P50,000 credit memo was issued on the same date.
- Goods with an invoice amount of P80,000 were billed to a customer on January 3, 2022. The goods were shipped on December 30, 2021.
- Goods with an invoice amount of P100,000 were billed but unrecorded on December 30, 2021. The goods were shipped on January 3, 2022.

The adjusted net sales for the year 2021 should be:

- | | |
|---------------|---------------|
| a. P2,330,000 | c. P2,250,000 |
| b. P2,280,000 | d. P2,230,000 |

5. On January 1, 2021, Leonardo Corp, signed a three-year non-cancellable purchase contract, which allows it to purchase up to 500,000 units of a computer part annually from X Co. at P.10 per unit and guarantees a minimum annual purchase of 100,000 units. During 2021, the part unexpectedly became obsolete. The company had 250,000 units of his inventory as of Dec. 31, 2021 and believes these parts can be sold as scrap for P.02 per unit. What amount of probable loss from the purchase commitment should it report in its 2021 income statement?

- | | |
|------------|------------|
| a. P24,000 | c. P16,000 |
| b. P20,000 | d. P8,000 |

6. On Jan. 1, 2021, Kristin Inc. contracted with the X City to provide custom built desks for the city schools. The contract made the company the sole supplier and required it to supply no less than 4,000 desks and no more than 5,500 desks per year for two years. In turn, X agreed to pay a fixed price of P110 per desk. During 2021, the company produced 5,000 desks for X. On Dec. 30, 2021, 500 of these desks were segregated from the regular inventory and were accepted and awaiting pickup by X. X paid the company P450,000 during 2021. What amount should the company recognize as contract revenue in 2021?

- | | |
|-------------|-------------|
| a. P450,000 | c. P550,000 |
| b. P495,000 | d. P605,000 |



INVENTORY ESTIMATION (PAS 2)

Use of estimate in inventory valuation

- There are two widely accepted procedures for approximating the value of inventory, namely:
 - Gross Profit Method
 - Retail Inventory Method

Gross Profit Method

- The gross profit method is based on the assumption that the rate of gross profit remains approximately the same from period to period and therefore the ratio of cost of goods sold to net sales is relatively constant from period to period.
- The gross profit method is so called because the cost of goods sold is computed through the use of the gross profit rate.
- The **cost of goods sold** is computed as follows:
 - ✓ Net sales multiplied by **cost ratio**
 - This formula is used when the gross profit rate is based on sales.
 - ✓ Net sales divided by **sales ratio**
 - This formula is used when the gross profit rate is based on cost.
- **Sales allowance and sales discount**
 - Sales allowance and sales discount are ignored, that is, not deducted from sales.
 - The reason is that while these items decrease the amount of sales, they do not affect the physical volume of goods sold.

Retail Inventory Method

- The retail inventory method is the other method of estimating the value of inventory.
- PAS 2, paragraph 22, provides that this method is often used in the retail industry for measuring inventory or large number of rapidly changing items with similar margin for which it is impracticable to use other costing method.

Accounting treatment:

- **Purchase discounts** – deducted from purchases at cost.
- **Purchase returns** – deducted from purchases at cost and at retail.
- **Purchase allowances** – deducted from purchases at cost.
- **Sales discount** – ignored.
- **Sales allowances** – ignored.
- **Sales return “and” allowances** – deducted from sales.
- **Sales return** – deducted from sales.
- **Freight-in** – added to purchases at cost.
- **Employee discount** – added to sales.
- **Normal losses** – deducted from goods available for sale at retail.
- **Abnormal losses** – deducted from goods available for sale at cost and at retail.
- **Departmental transfer-in** – added to purchases at cost and at retail.
- **Departmental transfer-out** – deducted from purchases at cost and at retail.

○ Basic formula

- In principle and procedure wise, the formula for the retail inventory method is very similar to the gross profit method.
- The difference is that under the gross profit method, the ending inventory is stated at cost while under the retail inventory method, the ending inventory is expressed in terms of selling price.
- Observe the following basic formula for the retail method:

<i>Goods available for sale at retail</i>	<i>xx</i>
<i>Less: Net sales</i>	<i>xx</i>
<i>Ending inventory at selling price</i>	<i>xx</i>
<i>Multiply by cost ratio</i>	<i>xx</i>
<i>Ending inventory at cost</i>	<i>xx</i>

$$\text{Cost ratio} = \frac{\text{Goods available for sale at cost}}{\text{Goods available for sale at selling price}}$$

- By reason of the computation of the cost ratio, it is necessary that the goods available for sale should be determined not only in terms of selling price but also in terms of cost.

○ Approaches in the use of retail method

- To obtain the appropriate inventory value under the retail inventory method, three approaches are followed, namely:
 - ✓ Conservative or conventional or lower of cost and net realizable value approach
 - ✓ Average cost approach
 - ✓ FIFO approach

○ Conservative

- The conservative approach includes net markup and excludes net markdown in determining the cost ratio in order to arrive a conservative cost. This approach is also known as the **lower of average cost or market**.

○ Average cost

- On the other hand, the average cost approach includes both net markup and net markdown in determining cost ratio.
- PAS 2, paragraph 22, provides that the percentage used under the retail method shall take into consideration inventory that has been marked down to below the original selling price.

○ FIFO retail approach

- The FIFO retail approach is similar to the average cost approach in that it considers both net markup and net markdown in computing the cost ratio.
- However, a “current” cost ratio is determined every year considering the net purchases during the year and excluding the beginning inventory.
- The FIFO approach is based on the assumption that markup and markdown apply to goods purchased during the year and not to beginning inventory.

-- END --

INVENTORY COST FLOW, MEASUREMENT AND ESTIMATION

THEORY

1. Inventory estimation will be required for all of the following, except
 - a. When interim financial statements are prepared
 - b. When inventory is destroyed by typhoon or flashfloods
 - c. As proof of reasonable accuracy of the physical inventory
 - d. In the determination of the ending inventory to be shown in the balance sheet
2. The gross profit method of estimating ending inventory may be used for all of the following except
 - a. Internal as well as external interim reports
 - b. Internal as well as external year-end reports
 - c. Estimate of inventory destroyed by fire or other casualty
 - d. Rough test of the validity of an inventory cost determined under either periodic or perpetual system
3. The use of the gross profit method assumes
 - a. The amount of gross profit is the same as in prior years
 - b. Sales and cost of goods sold have not changed from previous years
 - c. Inventory values have not increased from previous years
 - d. The relationship between selling price and cost of goods sold is similar to prior years
4. How is the gross profit used as it relates to inventory valuation?
 - a. To estimate cost of goods sold
 - b. To provide inventory value
 - c. Verify the accuracy of the physical inventory
 - d. Verify the accuracy of the perpetual inventory records
5. A major advantage of the retail inventory method is that is
 - a. Provides reliable results
 - b. Hides costs from competitors and customers
 - c. Gives a more accurate statement of inventory cost than other method
 - d. Provides a method for inventory control and facilitates determination of the periodic inventory
6. Which would most likely use the retail inventory method?

a. A farm supply company	c. A men's clothing shop
b. A dealer in heavy machinery	d. A TV repair company
7. Which one of the following could cause a decrease in the cost ratio in the retail inventory method?

a. Higher freight-in charges	c. Lower net markups
b. Higher retail prices	d. More employee discounts
8. The retail inventory method is characterized by
 - a. The recording of sales at cost
 - b. The recording of purchase at selling price
 - c. The reporting of year-end inventory at retail in the financial statements
 - d. The recording of mark-ups at retail and markdowns at cost
9. To determine an inventory valuation that using the retail method under the average method, the computation of the cost to retail percentage should

a. Include markups but not markdowns	c. Include markdowns but not markups
b. Include markups and markdowns	d. Exclude markups and markdowns
10. The retail method would include which of the following in the calculation of goods available for sale at cost but not at retail?

a. Freight in	c. Net markup
b. Purchase returns	d. Net markdown
11. To produce an inventory valuation which approximates the lower of average cost or market using the conservative retail inventory method, the computation of the ratio of cost to retail should

a. Include markups but not markdowns	c. Include markups and markdowns
b. Ignore both markups and markdowns	d. Include markdowns but not markups



12. What is the treatment of inventory normal spoilage under the retail method?
- Ignored
 - Deducted from sales
 - Deducted from cost of goods available for sale
 - Deducted from goods available for sale at retail
13. Under the retail inventory method, freight-in would be included in the calculation of the goods available for sale for which of the following?
- | | <u>Cost</u> | <u>Retail</u> | | <u>Cost</u> | <u>Retail</u> |
|----|-------------|---------------|----|-------------|---------------|
| a. | No | No | c. | Yes | No |
| b. | No | Yes | d. | Yes | Yes |

PROBLEMS

1. Rusty Corporation had 800 units of product X on hand on March 1, 2021 costing P20 each. Purchases of product X during the month of March were as follows:

March 10: 1,900 units @ P22
 March 18: 2,300 units @ P25
 March 28: 800 units @ P30

The corporation sells its inventory at a mark-up of 25% of cost. Sales for the month of March were as follows:

March 5: 600 units
 March 12: 900 units
 March 16: 700 units
 March 22: 1,800 units
 March 29: 900 units

Question 1: The amount to be reported as inventory in the company's March 31, 2021 balance sheet assuming that moving-average cost flow method is applied is

- | | |
|------------|------------|
| a. P24,066 | c. P21,825 |
| b. P24,211 | d. P21,708 |

Question 2: The cost of sales to be reported in the income statement for the month of March 2021 under the FIFO perpetual cost flow method is

- | | |
|-------------|-------------|
| a. P117,684 | c. P121,100 |
| b. P112,800 | d. P123,300 |

2. On the night of September 30, 2021, a fire destroyed merchandise inventory at Jaminnah Company. All goods were completely destroyed except for partially damaged goods that normally sell for P100,000 and that had an estimated net realizable value of P25,000 and undamaged goods that normally sell for P60,000. The following data are available:

Inventory – January 1	P 660,000
Net purchases, Jan. 1 to Sept. 30	4,240,000
Net sales, Jan. 1 to Sept. 30	5,600,000

	<u>Total</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Net sales	P9,000,000	P5,000,000	P3,000,000	P1,000,000
Cost of sales	<u>(6,750,000)</u>	<u>(3,840,000)</u>	<u>(2,200,000)</u>	<u>(710,000)</u>
Gross income	<u>P2,250,000</u>	<u>P1,160,000</u>	<u>P 800,000</u>	<u>P 290,000</u>

What is the estimated amount of fire loss on September 30, 2021?

- | | |
|-------------|-------------|
| a. P700,000 | c. P615,000 |
| b. P630,000 | d. P580,000 |



3. Joyme Company sells a variety of merchandise to its customers. On December 31, 2021, the balance of its ending inventory account was P3,000,000, and the allowance for inventory writedown account before any adjustment was P150,000. Relevant information about the proper valuation of inventories and the breakdown of inventory cost and market data at December 31, 2021, are as follows:

	<u>Cost</u>	<u>Replacement</u> <u>Cost</u>	<u>Sales</u> <u>Price</u>	<u>NRV</u>	<u>Normal</u> <u>Profit</u>
Bags	800,000	900,000	1,200,000	550,000	250,000
Shoes	1,000,000	1,200,000	1,300,000	1,100,000	150,000
Clothing	700,000	1,000,000	1,250,000	950,000	300,000
Lingerie	500,000	600,000	1,000,000	350,000	300,000

How much loss on inventory write-down is included in 2021 cost of sales?

- a. P50,000
b. P200,000
c. P400,000
d. P250,000
4. Theresa Corp. values its inventory by using the retail method (FIFO basis, lower of cost or NRV). The following information is available for the year just ended:

	<u>Cost</u>	<u>Retail</u>
Beginning inventory	P 80,000	P 140,000
Purchases	297,000	420,000
Freight-in	4,000	-
Breakage		8,000
Markups (net)		10,000
Markdowns (net)		2,000
Sales		400,000

At what amount would it report its ending inventory?

- a. P112,000
b. P113,400
c. P117,600
d. P119,000
5. The records of Genalyn Dept. Store report the ff. data for the month of January 2021:

Sales	P 7,100,000
Sales allowances	100,000
Sales returns	500,000
Employee discounts	200,000
Theft and other losses	100,000
Initial markup on purchases	2,900,000
Additional markup	250,000
Mark up cancellation	100,000
Mark down	600,000
Mark down cancellation	100,000
Freight on purchases	100,000
Purchase at cost	4,500,000
Purchase returns at cost	240,000
Purchase returns at sales price	350,000
Beginning inventory at cost	440,000
Beginning inventory at sales price	800,000

Using the average retail inventory method, the ending inventory is

- a. P360,000
b. P384,000
c. P420,000
d. P448,000



INVESTMENTS

Relevant Standards:

- PFRS 9 - Financial Instruments
- PAS 32 - Financial Instruments: Presentation
- PFRS 7 - Financial Instruments: Disclosures

INVESTMENT IN EQUITY SECURITIES:

Financial Assets at Fair Value Through Profit or Loss (FVPL)

Requisites for Classification	Both held for trading or non-trading
Profit or Loss Implications	✓ Dividends ✓ Direct transaction cost incurred on acquisition ✓ Gain or loss on changes in fair value on subsequent measurement ✓ Gain or loss on derecognition
Statement of Financial Position	✓ Measured at fair value ✓ Under the assumption the Financial asset is held for trading, FVPL shall be classified as a current asset (PAS 1)

Financial Assets at Fair Value Through Other Comprehensive Income (FVOCI)

Requisites for Classification	✓ An irrevocable election to present in OCI an investment in equity instruments that is not held for trading
Profit or Loss Implications	✓ Dividends
OCI	✓ Changes in fair value due to subsequent measurement ✓ Gain or loss on derecognition and may be transferred within Equity (Retained Earnings)
Statement of Financial Position	✓ Measured at fair value ✓ Cumulative gain or loss on fair value in Equity ✓ Non trading investments are classified under the non-current assets section of the statement of financial position
Note that PFRS 9 has eliminated the impairment loss category for equity instruments	

INVESTMENT IN DEBT SECURITIES:

Financial Assets at Amortized Cost (FAAC)

Requisites for Classification	✓ The asset is held to collect its contractual cash flows; and ✓ The asset’s contractual cash flows represent ‘solely payments of principal and interest’
Profit or Loss Implications	✓ Effective interest income ✓ Impairments losses and reversal gains ✓ Gain or loss on derecognition
Statement of financial position	✓ Measured at amortized cost ✓ Classified as a non-current asset unless maturity is within 12 months after the end of the reporting period

Financial Assets at Fair Value Through Other Comprehensive Income (FVOCI)

Requisites for Classification	✓ The objective of the business model is achieved both by collecting contractual cash flows and selling financial assets; and ✓ The asset’s contractual cash flows represent SPPI.
Profit or Loss Implications	✓ Effective interest (income) ✓ Impairment losses and reversal gains ✓ Gain or loss on derecognition including reclassification adjustments (PAS 1)
OCI	✓ Changes in fair value due to subsequent measurement
Statement of Financial Position	✓ Measured at fair value after amortization for the effective interest ✓ Cumulative gain or loss on fair value in Equity ✓ Since PFRS 5 excludes the scope for financial assets, FVOCI are non-current asset unless maturity is within 12 months after the end of the reporting period.
Note that amortization is applied under the effective interest method before applying the FV measurement requirement for the FVOCI classification.	

Financial Assets at Fair Value Through Profit or Loss (FVPL)

Requisites for Classification	✓ This is a “residual category” if none of the two previously mentioned (AC and FVOCI) business models apply or if any of the two-business model apply but the contractual cash flows are NOT SPPI for example if interest will include a profit participation. ✓ If the two requisites for the AC and FVOCI category are met but the entity elects to measure debt instruments at FVPL to eliminate an “accounting mismatch” because financial liabilities are measured at FVPL.
Profit or Loss Implications	✓ Nominal interest (income) ✓ Direct transaction cost incurred on acquisition ✓ Gain or loss on changes in fair value on subsequent measurement ✓ Gain or loss on derecognition
Statement of Financial Position	✓ Measured at fair value ✓ Under the assumption the Financial asset is held for trading, FVPL shall be classified as a current asset (PAS 1).

Conditions for Reclassification of Financial Assets

- Under PFRS 9, reclassification of financial assets is required if, and only if, the objective of the entity’s business model for manages those financial assets changes.

Timing of Reclassification of Financial Assets

- If the entity determines that its business model has changed in a way that is significant to its operations, then it reclassifies all affected assets prospectively from the first day of the next reporting period (the reclassification date). Prior periods are not restated.

Original Category	New Category	Accounting Impact
Amortized cost	FVPL	Fair value is measured at reclassification date. Difference from carrying amount should be recognized in profit or loss.
FVPL	Amortized Cost	Fair value at the reclassification date becomes its new gross carrying amount
Amortized cost	FVOCI	Fair value is measured at reclassification date. Difference from amortized cost should be recognized in OCI. Effective interest rate is not adjusted as a result of the reclassification.
FVOCI	Amortized cost	Fair value at the reclassification date becomes its new amortized cost carrying amount. Cumulative gain or loss in OCI is adjusted against the fair value of the financial asset at reclassification date.
FVPL	FVOCI	Fair value at reclassification date becomes its new carrying amount.
FVOCI	FVPL	Fair value at reclassification date becomes carrying amount. Cumulative gain or loss on OCI is reclassified to profit or loss at reclassification date.

Impairment of financial assets

- PFRS 9 requires entities to estimate and account for expected credit losses for all relevant financial assets (mostly debt securities, receivables including lease receivables, contract assets under PFRS15, loans), starting from when they first acquire a financial instrument.
- When measuring expected credit losses, entities will be required to use all relevant information that is available to them (without undue cost or effort).
- **PFRS 9 offers two approaches:**
 1. **General model for measuring a loss allowance:**
This model recognizes loss allowance depending on the stage in which the financial asset is. There are three (3) stages:
 - o **Stage 1** – Performing assets: Loss allowance is recognized in the amount of 12-month expected credit loss.
 - o **Stage 2** – Financial assets with significantly increased credit risk: Loss allowance is recognized in the amount of lifetime expected credit loss.
 - o **Stage 3** – Credit-impaired financial assets: Loss allowance is recognized in the amount of

lifetime expected credit loss and interest revenue is recognized based on amortized cost.

2. **Simplified model:**
An entity does not need to determine the stage of a financial asset, because a loss allowance is recognized always at a lifetime expected credit loss.

Embedded derivatives

- An embedded derivative is simply a component of a hybrid instrument that also includes a non-derivative host contract.
- Accounting of embedded derivatives depends on **what** the host contract is:
 - **If host = financial asset within the scope of PFRS 9**, then the whole hybrid contract shall be measured as one and not separated.
 - **If host = financial liability within the scope of PFRS 9 OR a contract outside the scope of PFRS 9**, then an entity should separate when the conditions are met.
- **Separation** means that an entity accounts for embedded derivative separately in line with PFRS 9 and the host contract in line with other appropriate standard.
- If an entity is not able to do this, then the whole contract must be accounted for as a financial instrument at fair value through profit or loss.

Hedge accounting

- Hedge accounting is designating one or more hedging instruments so that their change in fair value is an offset to the change in fair value or cash flows of a hedged item.
- Hedge accounting is **NOT** mandatory.
- If an entity wants to apply hedge accounting, **three (3) criteria** must be met:
 1. There are only eligible hedging instruments and eligible hedged items in the relationship.
 2. An entity has the hedge documentation at the inception of the hedge, in which an entity designates and describe the hedging.
 3. Hedge effectiveness criteria are met.
- **PFRS 9 sets the rules for three (3) types of hedges:**
 1. Cash flow hedge
 2. Fair value hedge
 3. Hedge of the net investment in the foreign operation

-- END --



INVESTMENTS

THEORY

1. A financial instrument is any contract that gives rise to
 - a. A financial asset only
 - b. A financial liability only
 - c. A financial asset of one entity and a financial liability of another entity only
 - d. A financial asset of one entity and a financial liability or equity instrument of another entity
2. All of the following are regarded as financial instruments

I. Deposits held by a financial institution	IV. Property, plant and equipment
II. Ordinary shares	V. Accounts receivable and accounts payable
III. Raw materials inventories	
a. I, IV and V only	c. II, III and IV only
b. I, II and V only	d. I, II, IV and V only
3. A financial asset is any asset that is (choose the incorrect one)
 - a. Cash
 - b. An equity instrument of another entity
 - c. Contractual right to receive cash or another financial asset from another entity
 - d. Contractual right to exchange financial assets or financial liabilities with another entity under conditions that potentially unfavorable to the entity
4. A financial liability is any liability that is a contractual obligation
 - I. To deliver cash or another financial asset to another entity
 - II. To exchange financial assets or financial liabilities with another entity under conditions that potentially unfavorable to the entity

a. I only	c. Both I and II
b. II only	d. Neither I nor II
5. Under PFRS 9, which of the following is not a category of financial assets?
 - a. Financial assets at amortized cost
 - b. Financial assets at fair value through profit or loss (FVPL)
 - c. Financial assets at fair value through accumulated profit or loss
 - d. Financial assets at fair value through other comprehensive income (FVOCI)
6. What is the correct valuation approach for financial asset?
 - a. Not held for collection at fair value and held for collection at fair value
 - b. Not held for collection at amortized cost and held for collection at fair value
 - c. Not held for collection at fair value and held for collection at amortized cost
 - d. Not held for collection at amortized cost and held for collection at amortized cost
7. Under PFRS 9, which type of financial instrument is subject to business model test and cash flow characteristics test?

a. Debt and equity securities	c. Debt securities
b. Derivative securities	d. Equity securities
8. Under PFRS 9, entities are required to measure financial assets either at fair value or amortized cost based on all of the following, except
 - a. The business model for managing financial assets
 - b. Whether the financial asset is a debt or equity investment
 - c. The contractual cash flow characteristics of the financial asset
 - d. All of these are considered in determining the measurement of the financial asset
9. Debt investments that meet the business model and contractual cash flows tests are reported at

a. Net realizable value	c. Amortized cost
b. Fair value	d. The lower of amortized cost or fair value
10. Under PFRS 9, what is the principle for recognition of a financial asset?
 - a. A financial asset is recognized when the entity obtains control of the instrument
 - b. A financial asset is recognized when the entity becomes a party to the contractual provisions of the instrument



- c. A financial asset is recognized when it is probable that future economic benefits will flow to the entity and the cost or value of the instrument can be measured reliably
 - d. A financial asset is recognized when the entity obtains the risks and rewards of ownership of the financial asset and has the ability to dispose the financial asset
11. At what amount is a financial asset or financial liability measured on initial recognition?
- a. Zero
 - b. The consideration paid (received) for the financial asset (financial liability)
 - c. Acquisition costs, which is the consideration paid plus any directly attributable costs
 - d. Fair value. For items that are not measured at fair value through profit or loss, transaction costs are also included in the initial measurement
12. An entity purchased shares of another entity and classified the investment as FVPL. The entity should report these trading securities at
- a. Lower of cost or market with holding gains included in earnings only to the extent of previously recognized holding losses
 - b. Lower of cost or market with holding gains and losses included in earnings
 - c. Fair value, with holding gains and losses included in earnings
 - d. Fair value with holding gains included in earnings only to the extent of previously recognized holding losses
13. A debt investment shall be measured at fair value through other comprehensive income
- a. When the debt investment is held for trading
 - b. When the debt investment is not held for trading
 - c. By irrevocable designation
 - d. When the business model is to collect contractual cash flows that are solely payments of principal and interest and to sell the financial asset
14. For equity investments at FVOCI, which of the following market value changes are recognized in earnings?
- a. Realized losses only
 - b. Realized gains and losses only
 - c. Unrealized and realized losses only
 - d. Unrealized and realized gains and losses
15. A net unrealized loss on an entity's portfolio of FVOCI equity securities shall be reflected in the current financial statements as
- a. Direct reduction of retained earnings
 - b. Current loss resulting from holding equity securities
 - c. Footnote or parenthetical disclosure only
 - d. Component of other comprehensive income
16. If the acquisition cost of a debt investment at FVOCI is more than the face value, the difference is
- a. Bond premium to be recognized as outright loss
 - b. Included as part of the carrying value of the bond investment but not amortized
 - c. Included as part of the carrying value of the bond investment and subsequently amortized over the remaining life of the bond using straight line method
 - d. Included as part of the carrying value of the bond investment and subsequently amortized over the remaining life of the bond using the effective interest method
17. Which of the following is correct regarding the application of the scientific method of amortization?
- a. The difference between interest earned and interest received represents the discount or premium amortization
 - b. When bonds are acquired at a premium, the effective rate is higher than the nominal rate
 - c. When bonds are acquired at a discount, the effective rate is lower than the nominal rate
 - d. The effective rate and the nominal rate are the same if the cost of bond investment is acquired at a premium
18. A debt investment at amortized cost is purchased on January 1. The investor's carrying value at the end of the first year would be highest if the bond was purchased at a
- a. Discount and amortized by the straight-line method
 - b. Premium and amortized by the straight-line method
 - c. Discount and amortized by the effective interest method
 - d. Premium and amortized by the effective interest method



19. An entity may make an irrevocable election to present in other comprehensive income changes in fair value of
 - a. An investment in equity instrument that is held for trading
 - b. An investment in equity instrument that is not held for trading
 - c. A financial asset measured at amortized cost
 - d. A financial asset measured at fair value through profit or loss
20. Under the fair value option, an entity may
 - a. Irrevocably designate a debt investment as measured at FVPL even if the amortized cost or FVOCI measurement is satisfied
 - b. Irrevocably designate a debt investment as measured at FVOCI
 - c. Revocably designate a debt investment as measured at FVPL even if the amortized cost measurement is satisfied
 - d. Designate all instruments as measured at FVPL
21. Under IFRS, the fair value option
 - a. Must be applied to all instruments the entity holds
 - b. May be selected as a valuation method at any time
 - c. Reports all gains and losses in income
 - d. All of the choices are correct
22. How are the proceeds from issuing a compound instrument allocated between the liability and equity components
 - a. The proceeds are allocated to the liability and equity components based on fair value
 - b. First, the liability component is measured at fair value and then the remainder is allocated to the equity component
 - c. First, the equity component is measured at fair value and then the remainder is allocated to the liability component
 - d. The equity component is measured at intrinsic value and the liability component is measured at par amount less the intrinsic value of the equity component
23. PFRS 13 on "Fair Value Measurement" sets the rules on

I. How to measure fair value	III. When to measure fair value
II. What to measure at fair value	IV. How to account for subsequent changes in fair value
a. I only	c. I, II and III
b. I and II only	d. I, III and IV
24. Which of the following describes a principal market for establishing fair value of an asset?
 - a. Any broker or dealer market that buys or sells the asset
 - b. The market in which the amount received would be maximized
 - c. The most observable market in which the price of the asset is minimized
 - d. The market that has the greatest volume and level of activity for the asset
25. When measuring fair value, which level has the highest priority for valuation inputs?

a. Level 1	c. Level 3
b. Level 2	d. Level 4
26. In the context of PFRS 13, the term "fair value" is essentially considered as an: entry price, exit price or transaction price

a. Entry price	c. Re-entry price
b. Exit price	d. Transaction price
27. In which of the following circumstances is derecognition of a financial asset not appropriate?
 - a. The contractual rights to the cash flows of the financial assets have expired
 - b. The financial asset has been transferred and the entity has lost control of the transferred asset
 - c. The financial asset has been transferred and the entity has retained substantially all of the risks and rewards of ownership of the transferred asset
 - d. The financial asset has been transferred and substantially all of the risks and rewards of ownership of the transferred asset have also been transferred
28. If there is objective evidence that the FVOCI security is impaired, the cumulative loss that had been recognized directly in equity
 - a. Shall not be removed from equity but amortized over a reasonable period

- b. Shall not be removed from equity
 - c. Shall be removed from equity and recognized in profit or loss
 - d. Shall be removed from equity and recognized as an adjustment of the beginning balance of retained earnings
29. Under PFRS, an entity
- a. Should evaluate every investment for impairment
 - b. Accounts for an impairment as an unrealized loss, and includes it has a part of other comprehensive income until realized
 - c. Calculates the impairment loss on debt investments as the difference between the carrying amount plus accrued interest and the expected future cash flows discounted at the investment's historical effective-interest rate
 - d. All of the choices are correct
30. Hybrid instruments must be accounted for
- a. At the present value of the cash flows of the instrument
 - b. At amortized cost, at fair value through profit or loss, or at fair value through other comprehensive income if an entity is not required to bifurcate the hybrid instrument
 - c. By bifurcating the instrument and valuing the components separately
 - d. At net realizable value of the instrument
31. What are the conditions for offsetting of financial assets and financial liabilities?
- a. A legal right of set-off
 - b. A legal right of set-off and an intention to settle net or simultaneously
 - c. The existence of a clearing mechanism or other market mechanism for net settlement and an expectation of net settlement
 - d. A netting agreement and an expectation of net settlement
32. Transfers between categories
- a. Result in entities omitting recognition of fair value in the year of the transfer
 - b. Are accounted for at fair value for all transfers
 - c. Are considered unrecognized if transferred out of held for collection into fair value
 - d. Always result in an impact on net income
33. When a debt investment at amortized cost is reclassified to FVPL, the difference between the previously carrying amount and fair value at reclassification date is
- a. Recognized in profit or loss
 - b. Not recognized
 - c. Recognized in other comprehensive income
 - d. Included in retained earnings
34. Which statement is true when a debt investment at FVPL is reclassified to amortized cost?
- a. The new carrying amount at amortized cost is equal to the fair value on reclassification date
 - b. A new effective rate must be computed based on the fair value on reclassification date
 - c. Interest income is determined using the effective interest method
 - d. All of these statements are true for reclassification from FVPL to amortized cost
35. Which statement is not true when a debt investment at amortized cost is reclassified to FVOCI?
- a. The debt investment is measured at fair value at reclassification date
 - b. The difference between the previous carrying amount and fair value at reclassification date is recognized in other comprehensive income
 - c. A new effective rate must be computed
 - d. Interest income is computed using effective interest method
36. Which statement is true when a debt investment at FVOCI is reclassified to amortized cost?
- a. The fair value at reclassification date becomes the new carrying amount
 - b. The cumulative gain or loss previously recognized in OCI is removed from equity and adjusted against the fair value at reclassification date
 - c. The original effective rate is not adjusted
 - d. All of these statements are true
37. Which statement is true when a debt investment at FVPL is reclassified to FVOCI?
- a. The new carrying amount is equal to the fair value at reclassification date
 - b. A new effective rate must be computed based on the fair value at reclassification date
 - c. Interest income is determined using the effective interest method



- d. All of these statements are true
38. Which statement is not true when a financial asset at FVOCI is reclassified to FVPL?
- a. The financial asset continues to be measured at fair value
 - b. The fair value at reclassification date becomes the new carrying amount
 - c. The cumulative gain or loss previously recognized in OCI is reclassified to profit or loss
 - d. Interest income is computed using the effective interest method
39. Which does PFRS 7 not required to be disclosed about exposure to risks arising from financial instruments?
- a. Qualitative and quantitative information about credit risk
 - b. Qualitative and quantitative information about liquidity risk
 - c. Qualitative and quantitative information about market risk
 - d. Qualitative and quantitative information about operational risk
40. In accordance with PFRS 7, Financial Instrument Disclosures, which of the following best describes credit risk?
- a. The risk that an entity's credit facilities will be withdrawn due to cash flow sensitivities
 - b. The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities
 - c. The risk that the fair value associated with an instrument will vary due to changes in counterparty's credit rating
 - d. The risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation
41. In accordance with PFRS 7, Financial Instrument Disclosures, which of the following best describes the risk that an entity will encounter if it has difficulty in meeting obligations associated with its financial liabilities?
- a. Credit risk
 - b. Financial risk
 - c. Liquidity risk
 - d. Payment risk
42. Under PFRS 7, market risk refers to the risk
- a. Associated with the extent of fixed charges incurred in a business operation
 - b. That an entity will encounter difficulty in meeting obligations associated with financial liabilities
 - c. That one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation
 - d. That the fair value or future cash flows of a financial instrument will fluctuate because of changes in the market prices (e.g., currency risk, interest rate risk and other price risk)
43. Under PFRS 13, the fair value of an asset or a liability is measured as
- a. The appraised value of the lease or liability
 - b. The cost of the asset less accumulated depreciation or the carrying amount of the liability on the date of sale
 - c. The price that would be paid to acquire the asset or received to assume the liability in an orderly transaction between market participants
 - d. The price that would be received when selling an asset or paid when transferring a liability in an orderly transaction between market participants

PROBLEMS

1. Ludovico Company provides the following information about the cost and market value of its equity securities held for trading at the end of 2020 and 2021:

<u>Security</u>	<u>Cost</u>	<u>Market value</u> <u>Dec. 31, 2020</u>	<u>Market value</u> <u>Dec. 31, 2021</u>
1	600,000	540,000	560,000
2	460,000	500,000	600,000
3	1,040,000	1,100,000	1,000,000
4	700,000	840,000	760,000
5	500,000	540,000	600,000
6	300,000	360,000	380,000
7	<u>600,000</u>	<u>520,000</u>	<u>700,000</u>
	<u>4,200,000</u>	<u>4,400,000</u>	<u>4,600,000</u>



On December 31, 2021, Security 3 was sold for P1,000,000.

Question 1: How much is the realized gain or loss on the sale of Security 3?

- a. P100,000 loss
- b. P40,000 loss
- c. P60,000 gain
- d. P100,000 gain

Question 2: The amount of unrealized gain on these securities to be shown in the 2021 income statement should be:

- a. P200,000
- b. P240,000
- c. P300,000
- d. P160,000

2. In 2021, Kim Corporation purchased securities, and on December 31, 2021 had the following equity securities:

	<u>Cost</u>	<u>Market</u>	<u>Unrealized gain (loss)</u>
In current assets:			
Security X	P 80,000	P 50,000	P (30,000)
Security Y	<u>15,000</u>	<u>20,000</u>	<u>5,000</u>
	<u>P 95,000</u>	<u>P 70,000</u>	<u>P (25,000)</u>
In noncurrent assets:			
Security Q	P 60,000	P 70,000	P 10,000
Security R	<u>90,000</u>	<u>45,000</u>	<u>(45,000)</u>
	<u>P150,000</u>	<u>P115,000</u>	<u>P (35,000)</u>

Securities X and Y are classified as held for trading; Securities Q and R are irrevocably designated as FVOCI. Valuation allowances as of December 31, 2021 should be published with a corresponding charge against:

<u>Income</u>	<u>Stockholders' equity</u>	<u>Income</u>	<u>Stockholders' equity</u>
a. P0	P60,000	c. P25,000	P35,000
b. P25,000	P0	d. P60,000	P0

3. Gabriel Company purchased P5,000,000 of 8%, 5-year bonds on January 1, 2021 with interest payable on June 30 and December 31. The bonds were purchased for P5,100,000 plus transaction cost of P108,000 at an effective interest rate of 7%. The business model for this investment is to collect contractual cash flows and sell the bonds in the open market. On December 31, 2021, the bonds were quoted at 106.

Question 1: What amount of interest income should be reported for 2021?

- a. P400,000
- b. P200,000
- c. P364,560
- d. P363,940

Question 2: What is the adjusted carrying amount of the investment on December 31, 2021?

- a. P5,300,000
- b. P5,171,940
- c. P5,174,560
- d. P5,000,000

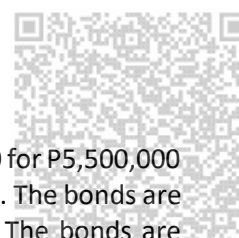
Question 3: What amount should be recognized in OCI in the statement of comprehensive income for 2021?

- a. P 300,000
- b. P125,440
- c. P128,060
- d. P 92,000

Question 4: If the entity elected the fair value option, what total amount of income should be recognized for 2021?

- a. P400,000
- b. P492,000
- c. P600,000
- d. P200,000

4. On January 1, 2021, an entity purchased 12% bonds with face amount of P5,000,000 for P5,500,000 including transaction cost of P100,000. The bonds provide an effective yield of 10%. The bonds are dated January 1, 2021 and pay interest annually on December 31 of each year. The bonds are quoted at 115 on December 31, 2021. The entity has irrevocably elected to use the fair value option.



Question 1: What is the carrying amount of the bond investment on December 31, 2021?

- a. P5,750,000
- b. P5,400,000
- c. P5,500,000
- d. P5,450,000

Question 2: What amount of gain from change in fair value should be reported on December 31, 2021?

- a. P750,000
- b. P250,000
- c. P350,000
- d. P0

5. Jazbelle Company owns 30,000 ordinary shares of X Enterprises acquired on July 31, 2021, at a total cost of P1,100,000. On December 1, 2021, the company received 30,000 stock rights from X. Each right entitles the holder to acquire one share at P45. The market price of X's share on this date, ex-right, was P50 and the market price of each right was P5. The company sold its rights the same date at P5 a right less a P10,000 commission. The gain from the sale of the rights should be reported by the company at
- a. P150,000
 - b. P140,000
 - c. P50,000
 - d. P40,000
6. Angela Company issues rights to subscribe to its stock, the ownership of 4 shares entitling the shareholders to subscribe for 1 share at P100. X owns 20,000 shares with total cost of P1,650,000. The share is quoted rights-on at P125. What is the cost of the new investment assuming X exercises all stock rights?
- a. P66,000
 - b. P500,000
 - c. P563,462
 - d. P566,000

7. On December 31, 2020, Katrina Company purchased marketable equity securities as a temporary investment held for trading. Pertinent data are as follows:

Security	Cost	Market value at 12/31/21
A	39,000	36,000
B	50,000	55,000
C	96,000	85,000

On December 31, 2021, it reclassified its investment in security C from current to FVOCI because it intends to retain security C as long-term investment. What total amount of loss on its securities should be included in its income statement for the year ended December 31, 2021?

- a. Zero
 - b. P9,000
 - c. P11,000
 - d. P14,000
8. Rhona Company had investment in market debt securities costing P6,000,000 which were acquired on January 1, 2020 and classified as FVOCI. On December 31, 2021, it decided to hold the investments to maturity and accordingly reclassified them as investment at amortized cost on that date. The business model in managing the investment is to collect contractual cash flows that are solely payments of principal and interest. The investments' market value was P5,700,000 on December 31, 2020 and P5,200,000 on December 31, 2021. What amount should it report as unrealized loss on FVOCI securities in its 2021 statement of stockholders' equity?
- a. P300,000
 - b. P800,000
 - c. P500,000
 - d. P0
9. On January 1, 2019, Rosali Company purchased 5,000 of the P1,000 face value 12% bonds for P5,500,000. The bonds mature on January 1, 2024 and pay interest annually on December 31. The business model is to collect contractual cash flows that are solely payments of principal and interest. The investment is appropriately classified as part of the company's investments in bonds and other debt instruments. On December 31, 2021, it decided to reclassify the bond investment to FVOCI and changed the business model to also sell the bonds in the open market. The market value of the bond investment on December 31, 2021 was P6,000,000. In its December 31, 2021 balance sheet, what should it report as unrealized gain on these debt securities?
- a. P800,000
 - b. P500,000
 - c. P300,000
 - d. P0

INVESTMENT IN ASSOCIATE (PAS 28)

Identification of Associates

- A holding of **20% or more** of the voting power (directly or through subsidiaries) will indicate significant influence unless it can be clearly demonstrated otherwise.
- If the holding is **less than 20%**, the investor will be presumed not to have significant influence unless such influence can be clearly demonstrated.
- The existence of **significant influence** by an investor is usually evidenced in one or more of the following ways:
 - a. Representation on the board of directors or equivalent governing body of the investee.
 - b. Participation in the policymaking process.
 - c. Material transactions between the investor and the investee.
 - d. Interchange of managerial personnel.
 - e. Provision of essential technical information.

Accounting for Associates

- In its consolidated financial statements, an investor should use the **equity method** of accounting for investments in associates, **unless**:
 - a. An investment in an associate that is acquired and held exclusively with a view to its disposal within 12 months from acquisition should be accounted for as held for trading under PFRS 9 (FVPL).
 - b. A parent that is exempted from preparing consolidated financial statements by PAS 27 may prepare separate financial statements as its primary financial statements.
 - c. An investor **need not use the equity method** if all of the following four conditions are met:
 1. The investor is itself a wholly owned subsidiary or is a partially owned subsidiary of another entity and its other owners.
 2. The investor's debt or equity instruments are not traded in a public market.
 3. The investor did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instruments in a public market.
 4. The ultimate or any intermediate parent of the investor produces consolidated financial statements available for public use that comply with PFRS.

Applying the Equity Method of Accounting

- **Basic principle** - The equity investment is initially recorded at cost and is subsequently adjusted to reflect the investor's share of the net profit or loss of the associate.

- **Distributions and other adjustments to carrying amount**
Distributions received from the investee reduce the carrying amount of the investment. Adjustments to the carrying amount may also be required arising from other changes in the investee's equity (examples are revaluation surplus and translation gains and losses).
- **An associate with outstanding preference shares**
 - a. The investor computes its share of profits or losses after adjusting for the dividends on such shares, whether or not the dividends have been declared on cumulative preference shares.
 - b. However, if the preference shares are non-cumulative, adjustments for dividends are made only if there is a declaration.
- **Implicit goodwill and fair value adjustments**

On acquisition of the investment any difference between the cost of the investment and the investor's share of the net fair value of the associate's identifiable assets, liabilities and contingent liabilities is accounted for in accordance with PFRS 3 *Business Combinations*. Therefore:

- (a) **Goodwill** relating to an associate is included in the carrying amount of the investment. However, amortization of that goodwill is not permitted and is therefore not included in the determination of the investor's share of the associate's profits or losses.
- (b) Any **excess** of the investor's share of the net fair value of the associate's identifiable assets, liabilities and contingent liabilities over the cost of the investment
 - ✓ Is included as income in the determination of the investor's share of the associate's profit or loss in the period in which the investment is acquired.

Appropriate adjustments

- To the investor's share of the profits or losses after acquisition are made to account for additional depreciation of the associate's depreciable assets based on the excess of their fair values over their carrying amounts at the time the investment was acquired.
- This rule also applies to inventories since this will have an effect in the associate's reported net income.

Transactions with associates

- ✓ Unrealized profits and losses resulting from upstream (associate to investor) and downstream (investor to associate) transactions should be **eliminated** to the extent of the investor's interest in the associate if the asset sold between the associate and investor has not yet been sold to an unrelated party.



▪ **Discontinuing the equity method**

Use of the equity method should cease from the date that significant influence ceases.

- ✓ The difference between the selling price and carrying amount of the investment sold shall be recognized in profit or loss. The “retained investment” shall be accounted for under PFRS 9 and shall be remeasured to fair value on the date significant influence ceases and recognized in profit or loss.

▪ **Application of the equity method achieved in stages**

- ✓ The previously held interest that was accounted for under the cost or fair value method shall be remeasured to fair value on the date the investor gains significant influence.
- ✓ The difference between the fair value and the carrying amount of the previously held investment shall be recognized in profit or loss.
- ✓ The total of the fair value of the previously held investment and the new acquisition cost shall be regarded as the total cost of the investment classified as “associate”.
- ✓ If the FVOCI was used to account for the previously held investment, any cumulative unrealized gain or loss as OCI shall be reclassified to retained earnings.

▪ **Date of associate's financial statements**

- ✓ The investor should use the financial statements of the associate as of the same date as the financial statements of the investor unless it is impracticable to do so.

▪ **Losses in excess of investment**

- ✓ The investor's share in the associate's losses cannot exceed the “interest in the associate” and shall discontinue the application of the equity method if this is the case.
- ✓ After the investor's interest is reduced to zero, additional losses are recognized by a provision (liability) only to the extent that the investor has incurred legal or constructive obligations or made payments on behalf of the associate.
 - If the associate subsequently reports profits, the investor resumes recognizing its share of those profits only after its share of the profits equals the share of losses not recognized.

-- END --



INVESTMENT IN ASSOCIATE

THEORY

1. Which of the following statements best describes the term “significant influence”?
 - a. The mutual sharing in the risks and benefits of a combined entity
 - b. The contractually agreed sharing of control over an economic entity
 - c. The holding of a significant proportion of the share capital in another entity
 - d. The power to participate in the financial and operating policy decisions of an entity
2. Under PAS 28, beyond the mere 20% threshold, the existence of significant influence is usually evidenced by
 - a. Participation in policy making process
 - b. Representation in the board of directors
 - c. Material transactions between the investor and the investee
 - d. All of these
3. When a company holds between 20% and 50% of the outstanding stock of an investee, which of the following statements applies?
 - a. The investor should always use the equity method to account for its investment
 - b. The investor should always use the fair value method to account for its investment
 - c. The investor must use the fair value method unless it can clearly demonstrate the ability to exercise “significant influence” over the investee
 - d. The investor should use the equity method to account for its investment unless circumstances indicate that it is unable to exercise “significant influence” over the investee
4. It is a method of accounting whereby the investment is initially recognized at cost and adjusted thereafter for the post acquisition change in the investor’s share of the investee’s net assets
 - a. Consolidation method
 - b. Cost method
 - c. Equity method
 - d. Fair value method
5. How is goodwill arising on the acquisition of an associate dealt with in the financial statements?
 - a. It is amortized
 - b. It is impairment tested individually
 - c. It is written off against profit or loss
 - d. Goodwill is not recognized separately within the carrying amount of the investment
6. Under the equity method of accounting for investments, an investor recognizes the share of the earnings in the period in which the
 - a. Investee pays a dividend
 - b. Investor sells the investment
 - c. Investee declares a dividend
 - d. Earnings are reported by the investee in the financial statements
7. How will the receipt of dividends affect the investment account under the fair value and equity method?
 - a. No effect under both fair value method and equity method
 - b. Decrease under fair value method and no effect under equity method
 - c. Increase under fair value method and decrease under equity method
 - d. No effect under fair value method and decrease under equity method
8. An investor uses the cost method to account for an investment in common stock. A portion of the dividends received this year were in excess of the investors share of the investee’s earnings subsequent to the date of investment. The amount of dividend revenue that should be reported in the investor’s income statement for this year should be
 - a. The portion of the dividends received this year that were not excess of the investor’s share of investee’s earnings subsequent to the date of investment
 - b. The total amount of dividends received this year
 - c. The portion of the dividends received this year that were in excess of the investor’s share of investee’s earnings subsequent to the date of investment
 - d. Zero
9. An investor uses the equity method to account for investments in ordinary shares. The purchase price implies a fair value of the investee’s depreciable asset in excess of the investee’s net asset carrying amounts. The investor’s amortization of the excess
 - a. Decreases the investment account
 - b. Decreases the goodwill account
 - c. Does not affect the investment account
 - d. Increases the investment revenue account



10. What should happen when the financial statements of an associate are not prepared at the same date as the financial statements of the investor?
 - a. As long as the gap is not greater than three months, there is no problem
 - b. The financial statements of the associate prepared up to a different date is used as normal
 - c. The associate should prepare financial statements for the use of the investor at the same date as that of the investor
 - d. Any major transactions between the date of the financial statements of the investor and that of the associate should be accounted for

11. If the investor ceases to have significant influence over an associate, how should the investment be treated?
 - a. The investment should be treated at cost
 - b. It should still be treated using equity method
 - c. It should be treated in accordance with PFRS 9
 - d. The investment should be frozen at the date at which the investor ceases to have significant influence

12. How is the impairment test carried out for an investment in associate?
 - a. The goodwill is separated from the rest of the investment and is impairment tested individually
 - b. The entire carrying amount of the investment is tested for impairment by comparing the recoverable amount with the carrying amount
 - c. The carrying amount of the investment should be compared with the market value
 - d. The recoverable amounts of all investments in associates should be assessed together to determine whether there has been an impairment on all investments

PROBLEMS

1. On January 2021, Ayana Corp. acquired 20% of the outstanding common stock of X Enterprises for P800,000. This investment gave the company the ability to exercise significant influence over X. The book value of the acquired shares was P600,000. The excess of cost over book value was attributed to an identifiable intangible asset which was undervalued on X's balance sheet and which had a remaining useful life of ten years.

For the year ended December 31, 2021, X reported net income of P180,000 and paid cash dividends of P40,000 on its common stock. What is the proper carrying value of the company's investment in X on December 31, 2021?

- | | |
|-------------|-------------|
| a. P772,000 | c. P800,000 |
| b. P780,000 | d. P808,000 |
-
2. On January 4, 2021, Victoria Corp. paid P1,296,000 for 40,000 ordinary shares of X Enterprises. The investment represents a 30% interest in net assets of X and gave the company the ability to exercise significant influence over X's operating and financial policy decisions. The company received dividends of P1 per share on December 4, 2021 and X reported net income of P640,000 for the year ended December 31, 2021. The market value of X's ordinary shares on December 31, 2021 was P32 per share. The book value of X's net assets was P3,200,000 and:
 - The fair market value of X's depreciable assets, with an average remaining useful life of 8 years, exceeded their book value by P320,000.
 - The remainder of the excess of the cost of investment over the book value of net assets purchased was attributable to goodwill.

Question 1: What amount of investment revenue should be reported in the company's income statement for the year ended December 31, 2021?

- | | |
|-------------|-------------|
| a. P120,000 | c. P180,000 |
| b. P108,000 | d. P192,000 |

Question 2: What is the carrying value of the investment in X's ordinary shares on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,280,000 | c. P1,296,000 |
| b. P1,436,000 | d. P1,368,000 |



Question 3: Assume that the 40,000 shares represent a 10% interest in the net assets of X rather than 30% interest. What is the carrying value of the investment in X ordinary shares on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,296,000 | c. P1,280,000 |
| b. P1,436,000 | d. P1,236,000 |

3. On January 1, 2020, an entity acquired a 10% interest in an investee for P3,000,000. The investment was accounted for under the cost method. During 2020, the investee reported net income of P4,000,000 and paid dividend of P1,000,000.

On January 1, 2021, the entity acquired a further 15% interest in the investee for P8,500,000. On such date, the carrying amount of the net assets of the investee was P36,000,000 and the fair value of the 10% existing interest was P3,500,000.

The fair value of the net assets of the investee is equal to carrying amount except for an equipment whose fair value was P4,000,000 greater than carrying amount. The equipment had a remaining life of 5 years.

The investee reported net income of P8,000,000 for 2021 and paid dividend of P5,000,000 on December 31, 2021.

Question 1: What amount of investment income should be recognized in 2020?

- | | |
|-------------|-------------|
| a. P400,000 | c. P500,000 |
| b. P100,000 | d. P300,000 |

Question 2: What total amount of income should be recognized by the investor in 2021?

- | | |
|---------------|---------------|
| a. P2,000,000 | c. P2,300,000 |
| b. P2,500,000 | d. P1,800,000 |

Question 3: What is the carrying amount of the investment in associate on December 31, 2021?

- | | |
|----------------|----------------|
| a. P12,550,000 | c. P11,950,000 |
| b. P12,350,000 | d. P12,750,000 |

4. On January 1, 2021, Ella Company acquired 20,000 newly issued shares directly from X Enterprises, which at the time of the issuance has 100,000 shares outstanding. Total acquisition costs amounted paid by the company was P220,000.

- In 2021, X reported a net income of P1,500,000 and has declared dividends of P9 per share on December 15, 2021, for holders on record as of January 15, 2022 and payment date was set at February 14, 2022. The fair value of X's shares was P12 each.
- On January 10, 2022 the company sold 15,000 X's shares for a total consideration of P335,000. The remaining 5,000 shares were sold on January 26, 2022 for a total cash amount of P59,000.

Question 1: The amount to be income to be included in the company's 2021 income statement arising from its equity security investment is

- | | |
|-------------|-------------|
| a. P0 | c. P180,000 |
| b. P300,000 | d. P250,000 |

Question 2: The carrying amount of the investments in X's shares to be presented in the 2021 balance sheet of the company is

- | | |
|-------------|-------------|
| a. P240,000 | c. P340,000 |
| b. P220,000 | d. P290,000 |

Question 3: The amount of gain/loss on the sale of the shares of stocks to be included in the 2022 income statement of the company is

- | | |
|---------------------|---------------------|
| a. Gain of P39,000 | c. Gain of P155,000 |
| b. Gain of P174,000 | d. Gain of P19,000 |



JOINT ARRANGEMENT

- The objective of PFRS 11 Joint Arrangements is to establish principles for financial reporting by entities that have an interest in arrangements that are controlled jointly.

To meet this objective, PFRS 11:

- Defines joint control;
- Requires determining the type of joint arrangement; and
- Account for the interest in a joint arrangement based on the type.

PFRS 11 defines joint control as the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

There are three (3) basic elements of joint control:

- ✓ **Contractual arrangement** - often in writing in the form of contract or some documented decisions of the parties involved.
- ✓ **Sharing of control** - his condition or element is met when all parties, or group of parties, considered collectively, are able to direct the relevant decisions of the arrangement.
- ✓ **Unanimous consent** - it means that every party of the joint arrangement must agree with (or at least does not object to) the decision and no one can block it.

There are two (2) types of joint arrangements:

- ✓ **Joint venture:** In a joint venture, the parties having joint control have rights to the net assets of the arrangement. These parties are called "joint venturers".
- ✓ **Joint operation:** In a joint operation, the parties having joint control have rights to the assets and obligations for the liabilities relating to the arrangement. These parties are called "joint operators".

When assessing the rights and obligations from the joint arrangements, it's very important to look at how the joint arrangement is structured, mainly whether the arrangement is structured through separate vehicle or not.

- ✓ **Separate vehicle** is a separately identifiable financial structure, including separate legal entities (e.g., company) or some entities recognized by a statute (not necessarily having legal personality).
- ✓ **NOT structured through a separate vehicle**
When a joint arrangement is NOT structured

through a separate vehicle, then the classification is easy: it is a clear joint operation.

✓ Structured through a separate vehicle

When the joint arrangement is structured through separate vehicle, then it can be either joint venture or joint operation.

- For making your conclusion, you should examine further:
 - ✓ The legal form of joint arrangement;
 - ✓ The terms of the contractual arrangement; and
 - ✓ Other facts and circumstances when relevant.

Accounting for Interest in Joint Venture

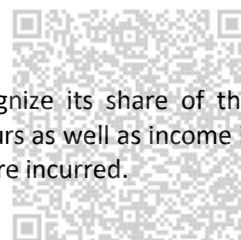
- PFRS 11 requires accounting for the investment in a joint venture using the equity method according to PAS 28 Investments in Associates and Joint Ventures.

Accounting for Interest in Joint Operation

- When an investor classifies its investment as a joint operation, then you should recognize in the financial statements:
- **Its assets**, including its share of any assets in accordance with the contractual agreement.
- **Its liabilities**, including its share of any liabilities incurred in accordance with the contractual agreement.
- **Its revenue** from the sale of its share of the output arising from the joint operation.
- **Its share** of the revenue from the sale of the output by the joint operation.
- **Its expenses**, including its share of any expenses incurred in accordance with the contractual agreement.

Accounting for SMEs

- **Jointly controlled operations**
 - ✓ The venturer should recognize assets that it controls and liabilities it incurs as well as its share of income earned and expenses that are incurred.
- **Jointly controlled assets**
 - ✓ The venture should recognize its share of the assets and liabilities it incurs as well as income it earns and expenses that are incurred.
- **Jointly controlled entities**



There is an option for the venture to use:

- ✓ Fair value model
- ✓ Cost model
- ✓ Equity method

	FVPL	Cost method	Equity method
Initial measurement	Fair value	Historical cost	Historical cost or FVNAA, higher
Transaction cost	Expensed	Capitalizable	Capitalizable
Subsequent measurement	Fair value	Cost less impairment	Book value under equity method less impairment
Gain or loss on changes in fair value	Yes in P/L	None	None
Dividend income from investee	Yes	Yes	None (Deduction from investment account)
Share in net income (loss), OCI of investee	None	None	Yes
Impairment loss	None	Yes, if book value > recoverable amount	Yes, if book value > recoverable amount

-- End --



JOINT ARRANGEMENT

THEORY

- 1. It is characterized by a contractual arraignment whereby two or more parties have joint control of the arrangement
 - a. Joint arrangement
 - b. Joint operation
 - c. Joint venture
 - d. Jointly controlled asset
- 2. It is contractually agreed sharing of control of an arrangement which exists only when decisions about relevant activities required unanimous consent of the parties sharing control
 - a. Control
 - b. Significant influence
 - c. Joint control
 - d. Solidary control
- 3. It is a type of joint arrangement whereby the parties that have joint control of the arrangement have right to the total assets and obligations for the total liabilities relating to the arrangement
 - a. Joint venture
 - b. Jointly controlled asset
 - c. Joint operation
 - d. Joint business
- 4. It is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement
 - a. Joint venture
 - b. Jointly controlled asset
 - c. Joint operation
 - d. Joint business
- 5. What is the classification of the joint arrangement when the assets and liabilities relating to the arrangement are held by a separate vehicle or when the arrangement is established with a separate vehicle?
 - a. It shall be classified as joint venture
 - b. It shall be classified as joint operation
 - c. Neither joint venture nor joint operation
 - d. It can be either a joint operation or joint venture depending on the legal form of the separate vehicle, terms of the contractual arrangement or other relevant facts and circumstances
- 6. Under PFRS 11, how shall the joint venturer account for its Investment in Joint Venture?
 - a. Equity method
 - b. Cost method
 - c. Fair value method under IFRS 9
 - d. Proportionate consolidation
- 7. Under PFRS 11, how shall the joint operator account for its interest in a joint operation?
 - a. The joint operator shall account for its interest under Equity Method
 - b. The joint operator shall account for its interest under Cost Method
 - c. The joint operator shall account for its interest using proportionate consolidation
 - d. The joint operator shall account for its interest by recognizing its assets, liabilities, revenues, expenses and shares in the jointly controlled assets, jointly incurred liabilities, jointly earned revenue and jointly incurred expenses in accordance with the contractual agreement

PROBLEMS

- 1. On January 1, 2020, Entity A, a public entity, and Entity B, a public entity, incorporated Entity C which has its fiscal and operational autonomy. The contractual agreement of the incorporating entities provided that the decisions on relevant activities of Entity C will require the unanimous consent of both parties, Entity A and Entity B will have rights to the net assets of Entity C.

Entity A and Entity B invested P1,000,000 and P1,500,000, respectively, equivalent to 40:60 capital interest of Entity C. The financial statements of Entity C provided the following data for its two-year operation:

	Net income (loss)	Dividends declared
2020	200,000	100,000
2021	(2,000,000)	-



Question 1: What is the balance of Investment in Entity C to be reported by Entity A in its Statement of Financial Position on December 31, 2021?

- a. P1,080,000

b. P1,040,000
- c. P240,000

d. P200,000

Question 2: What is the balance of Investment in Entity C to be reported by Entity B in its Statement of Financial Position on December 31, 2021?

- a. P1,500,000

b. P1,620,000
- c. P360,000

d. P900,000

2. On January 1, 2020, Honelyn Inc. invested P2M cash in a joint venture for 50% interest. For the years ended December 31, 2020, 2021 and 2022, the joint venture reported the following net incomes and dividend distributions:

<u>Year</u>	<u>Net Income/(Net Loss)</u>	<u>Dividend Distribution</u>
2020	P1,000,000	P300,000
2021	(P6,000,000)	-
2022	P7,000,000	P500,000

Question 1: What is the share in net loss or investment loss to be reported by the company for the year ended December 31, 2021?

- a. P3,000,000

b. P2,500,000
- c. P2,350,000

d. P2,000,000

Question 2: What is the book value of Investment in Joint Venture to be reported by the company as of December 31, 2022?

- a. P1,600,000

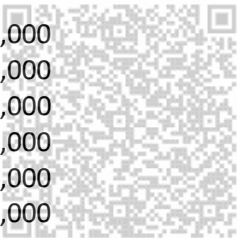
b. P2,600,000
- c. P1,250,000

d. P1,450,000

3. Entity A and Entity B incorporated Entity C to manufacture a microchip to be used by the incorporating entities as component for their final products of cellular phones and tablets. The contractual agreement of the incorporating entities provided that the decisions on relevant activities of Entity C will require the unanimous consent of both entities.

Entity A and Entity B have rights to the assets, and obligations for the liabilities, relating to the arrangement. The ordinary shares of Entity C will be owned by Entity A and Entity B in the ratio of 60:40. At the end of first operation of Entity C, the financial statements provided the following data:

Inventory	1,000,000	Accounts payable	2,000,000
Land	3,000,000	Note payable	1,000,000
Building	5,000,000	Loan payable	4,000,000
		Share capital	1,000,000
		Retained earnings	1,000,000
		Sales revenue	5,000,000



The contractual agreement of Entity A and Entity B also provided for the following concerning the assets and liabilities of Entity C:

- Entity A owns the land and incurs the loan payable of Entity C.
- Entity B owns the building and incurs the note payable of Entity C.
- The other assets and liabilities are owned or owed by Entity A and Entity B on the basis of their capital interest in Entity C.
- The sales revenue of Entity C includes sales to Entity A and Entity B in the amount of P1,000,000 and P2,000,000, respectively. As of the end of the first year, Entity A and Entity B were able to resell 30% and 60% of the inventory coming from Entity C to third persons.

Question 1: What is the amount of total assets to be reported by Entity A concerning its interest in Entity C?

- | | |
|---------------|---------------|
| a. P5,400,000 | c. P3,600,000 |
| b. P3,000,000 | d. P5,000,000 |

Question 2: What is the amount of total liabilities to be reported by Entity B concerning its interest in Entity C?

- | | |
|---------------|---------------|
| a. P1,800,000 | c. P2,800,000 |
| b. P2,200,000 | d. P2,400,000 |

Question 3: What is the amount of sales revenue to be reported by Entity A concerning its interest in Entity C?

- | | |
|---------------|---------------|
| a. P2,300,000 | c. P3,000,000 |
| b. P2,100,000 | d. P2,500,000 |

4. On January 1, 2021, Dancia Inc., a small and medium enterprise (SME), invested P500,000 cash in a joint venture for 50% interest. For the year ended December 31, 2021, the joint venture reported net income of P200,000 and distributed cash dividend in the amount of P60,000. As of December 31, 2021, the fair value of the investment in joint venture is P600,000 and the estimated cost of disposal is 10% of fair value. The value in use of the investment is estimated at P550,000.

Question 1: Under IFRS for SMEs, what is the book value of Investment in Joint Venture to be reported by the company as of December 31, 2021 if the SME elects equity method?

- | | |
|-------------|-------------|
| a. P550,000 | c. P570,000 |
| b. P540,000 | d. P600,000 |

Question 2: Under IFRS for SMEs, what is the book value of Investment in Joint Venture to be reported by the company as of December 31, 2021 if the SME elects cost method?

- | | |
|-------------|-------------|
| a. P550,000 | c. P570,000 |
| b. P540,000 | d. P500,000 |

Question 3: Under IFRS for SMEs, what is the book value of Investment in Joint Venture to be reported by the company as of December 31, 2021 if the SME elects fair value method?

- | | |
|-------------|-------------|
| a. P550,000 | c. P570,000 |
| b. P600,000 | d. P500,000 |



-- End --

INVESTMENT PROPERTY (PAS 40)

- Investment property is a land or a building or part of a building or both held by the owner or by the lessee under a finance lease to earn rentals or for capital appreciation or both.
- Examples of investment property:
 - Land held for long-term capital appreciation.
 - Land held for undecided future use.
 - Building leased out under an operating lease.
 - Vacant building held to be leased out under an operating lease.
 - Property under construction as investment property.
- The following are **not investment property** and, therefore, are outside the scope of PAS 40:
 - Property held for use in the production or supply of goods or services or for administrative purposes (Property, plant and equipment).
 - Property held for sale in the ordinary course of business or in the process of construction of development for such sale (Inventories).
 - Property being constructed or developed on behalf of third parties (Construction Contracts).
 - Owner-occupied property (Property, Plant and Equipment).
 - Property leased to another entity under a finance lease.

Other Classification Issues

- Partial own use** - If the owner uses part of the property for its own use, and part to earn rentals or for capital appreciation.
 - If the portions can be sold or leased out separately, they are accounted for separately.
 - If the portions cannot be sold or leased out separately, the property is investment property only if the owner-occupied portion is insignificant.
- Ancillary services** - If the enterprise provides ancillary services to the occupants of a property held by the enterprise, the appropriateness of classification as investment property is determined by the significance of the services provided.
 - If those services are a relatively insignificant component of the arrangement as a whole (for instance, the building owner supplies security and maintenance services to the lessees), then the enterprise may treat the property as investment property.
 - Where the services provided are more significant (such as in the case of an owner-managed hotel), the property should be classified as owner-occupied.
- Intracompany rentals** - Property rented to a parent, subsidiary, or fellow subsidiary.
 - Not investment property in consolidated financial statements that include both the lessor and the lessee, because the property is owner-occupied from the perspective of the group.
 - However, such property could qualify as investment property in the separate financial statements of the lessor.

Recognition

- Investment property should be recognized as an asset;

- When it is probable that the future economic benefits that are associated with the property will flow to the enterprise.
- The cost of the property can be reliably measured.

Initial measurement

- Investment property is initially measured at cost, including transaction costs.
- Such cost should not include start-up costs, abnormal waste, or initial operating losses incurred before the investment property achieves the planned level of occupancy.

Subsequent Measurement

- After initially recognizing the investment property at cost, an enterprise may choose between:
 - Fair value model
 - Cost model

Fair value model

- Gains or losses arising from changes in the fair value of investment property must be included in net profit or loss for the period in which it arises.
- Where a property has previously been measured at fair value, it should continue to be measured at fair value until disposal, even if comparable market transactions become less frequent or market prices become less readily available.

Cost Model

- After initial recognition, investment property is accounted for in accordance with the cost model.

Transfers to or from Investment Property Classification

- Transfers to, or from, investment property should only be made when there is a change in use, evidenced by:
 - Commencement of owner-occupation (transfer from investment property to owner-occupied property).
 - Commencement of development with a view to sale (transfer from investment property to inventories).
 - End of owner-occupation (transfer from owner-occupied property to investment property).
 - Commencement of an operating lease to another party (transfer from inventories to investment property).
 - End of construction or development (transfer from property in the course of construction/development to investment property).

Accounting for Transfers

From	To	Treatment
Investment property carried at fair value	Owner-occupied property or inventories	Fair value at the change of use is the 'cost' of the property.
Owner-occupied property	Investment property carried at fair value	Difference in carrying amount and fair value as revaluation under PAS 16.
Inventories	Investment property at fair value	Difference in carrying amount and fair value is recognized in profit or loss.
Investment property under construction	Completed investment property that will be carried at fair value	Difference between the fair value at the date of transfer and the previous carrying amount should be recognized in net profit or loss.
Investment property under the cost model	Owner-occupied property or inventories	No change in the carrying amount of the property transferred.

INVESTMENT PROPERTY

THEORY

1. Under PAS 40, investment property is defined as
 - a. Property held to earn rentals or for capital appreciation
 - b. Property held for sale in the ordinary course of business
 - c. Identifiable nonmonetary asset without physical substance
 - d. Property held for use in the production and supply of goods or services and property held for administrative purposes
2. Which of the following items is an example of investment property?
 - a. Property that is leased to another entity under a finance lease
 - b. Property held for short-term sale in the ordinary course of business
 - c. Property that is being constructed or developed on behalf of third parties
 - d. Property that is being constructed or developed for future use as investment property
3. Which of the following could not be reported as investment property?
 - a. Real estate held for an undetermined future use
 - b. Property held by the entity and lease out under one or more operating leases
 - c. Property owned by the entity and leased out under one or more operating leases
 - d. Property owned by the entity and leased out to another entity under a finance lease
4. Which of the following statements best describe 'owner-occupied property' under PAS 40 Investment Property?
 - I. Property held to earn rentals
 - II. Property held for administrative purposes
 - III. Property held for sale in the ordinary course of business
 - IV. Property held for use in the production and supply of goods and services
 - a. I and II
 - b. I and IV
 - c. II and IV
 - d. III and IV
5. An investment property should be measured initially at
 - a. Cost
 - b. Cost less accumulated impairment losses
 - c. Depreciable cost less accumulated impairment losses
 - d. Fair value less accumulated impairment losses
6. An entity purchased land for future use and appropriately classifies the land as investment property. What valuation model may be used to report the land?
 - a. Fair value model or revaluation model
 - b. Fair value through other comprehensive income or revaluation model
 - c. Cost model or fair value model
 - d. Cost model or revaluation model
7. A gain arising from a change in the fair value of an investment property for which an entity has opted to use the fair value model is recognized in
 - a. Net profit or loss for the year
 - b. General reserve in the shareholder's equity
 - c. Valuation reserve in the stockholder's equity
 - d. None of the above
8. A property interest that is held by a lessee under an operating lease may be classified and accounted for as an investment property provided the following criteria are met: (choose the exception)
 - a. The property meets the definition of investment property
 - b. The operating lease is accounted for as if it were a finance lease
 - c. The lessee uses the FV model in measuring the property interest
 - d. The lessee uses either the cost or FV model in measuring the property interest
9. An entity has investment property that leases to another entity. The entity uses the fair value model to report investment property. Which of the following statements is true?
 - a. The entity should value the equipment at cost less accumulated depreciation and less accumulated impairment losses



- b. The entity should report the increase in fair value in other comprehensive income for the period
 - c. The entity depreciates the equipment using normal depreciation method
 - d. The entity does not record depreciation on the investment property
- 10. Transfers from investment property to property, plant and equipment are appropriate
 - a. When there is change of use
 - b. Based on the entity's discretion
 - c. Only when the entity adopts the fair value model
 - d. The entity can never transfer investment property into another classification
- 11. When an owner-occupied property is transferred to an investment property at fair value, a decrease in the carrying amount of the property to its fair value at the date of transfer
 - a. Is carried directly to equity
 - b. Is absorbed by retained earnings
 - c. Is recognized in profit and loss at all times
 - d. Is recognized in profit and loss, or, for a revalued property, charged against the revaluation surplus to the extent of its credit balance
- 12. Which of the following additional disclosures must be made when an entity chooses the cost model as its accounting policy for investment property?
 - a. Fair value of the property
 - b. Net realizable value of the property
 - c. Present value of the property
 - d. Value in use of the property

PROBLEMS

1. Angelika Corporation provided the following properties owned by the group.
- | | |
|---|-----------|
| Land held for undetermined future use | 1,000,000 |
| Vacant building to be leased out under an operating lease | 2,000,000 |
| Property held for use in production | 4,000,000 |
| Property held by a subsidiary, in the ordinary course of business | 3,000,000 |
| Building owned by subsidiary and the subsidiary provides security and maintenance services to the lessees | 2,500,000 |
| Land leased to a subsidiary under an operating lease | 1,500,000 |
| Equipment leased to an unrelated party under an operating lease | 500,000 |
| Building under construction for use as investment property | 3,500,000 |
- Question 1: What amount of investment property should be reported in the consolidated financial statements?
- a. P6,500,000
 - b. P5,500,000
 - c. P8,000,000
 - d. P9,000,000
- Question 2: What amount of property, plant and equipment should be reported in the consolidated financial statements?
- a. P9,000,000
 - b. P4,000,000
 - c. P6,000,000
 - d. P4,500,000
2. Jomer Company's accounting policy with respect to investment properties is to measure them at fair value at the end of each reporting period. One of its investment properties was measured at P8,000,000 on December 31, 2021. The property had been acquired on January 1, 2021 for a total of P7,600,000, made up of P6,900,000 paid to the vendor, P300,000 paid to the local authority as a property transfer tax and P400,000 paid to professional advisers. The useful life of the property is 40 years. The amount of gain to be recognized in profit or loss in the year ended December 31, 2021 in respect of the investment property is:
- a. P400,000
 - b. P700,000
 - c. P800,000
 - d. P590,000



3. Kenshemrock Company ventured into construction of a condominium in Mandaluyong. The entity's board of directors decided that instead of selling the condominium, the entity would hold this property for purposes of earning rentals by letting out space to business executives in the area.

The construction of the condominium was completed, and the property was placed in service on January 1, 2021. The cost of the construction was P50,000,000. The useful life of the condominium is 25 years and its residual value is P5,000,000. An independent valuation expert provided the following fair value at each subsequent year-end:

December 31, 2021	55,000,000
December 31, 2022	53,000,000
December 31, 2023	60,000,000

Question 1: Under the cost model, what amount should be reported as depreciation of investment property for 2021?

- a. P1,800,000
- b. P2,000,000
- c. P2,200,000
- d. P0

Question 2: Under the fair value model, what amount should be recognized as gain from change in fair value in 2021?

- a. P5,000,000
- b. P3,000,000
- c. P7,000,000
- d. P0

4. On January 2, 2019, Francis Company acquired an investment property and the initial cost of investment property was P5,000,000. On the date of acquisition, the company chooses the cost model to account for its investment. As of December 31, 2020, it has a carrying value of P4,900,000 and a fair value of P5,100,000. On December 31, 2021, the company decided to transfer the investment property to owner occupied property. On this date of transfer, the fair value of property is P5,000,000 while its carrying value was P4,800,000. What amount of gain or loss on transfer should the company recognize on December 31, 2021?
- a. No gain or loss
 - b. P100,000 loss
 - c. P200,000 loss
 - d. P300,000 loss

5. On January 2, 2021, Joesa Company converted its occupied property to investment property that is to be carried at fair value. The carrying value of the property in the company's books is P4,000,000.

Question 1: Assuming the fair value of the property on the date of transfer or conversion is P3,800,000, the company should recognize

- a. An impairment loss of P200,000 in the income statement.
- b. A P200,000 deferred loss as an asset
- c. A P200,000 unrealized loss in the shareholders' equity
- d. A P4,000,000 cost of the investment property

Question 2: Assuming the fair value of the property on the date of transfer or conversion is P4,400,000, the company should recognize

- a. A P400,000 unrealized gain in the income statement
- b. A P400,000 revaluation surplus in the shareholders' equity
- c. A P400,000 unrealized gain in the liability section
- d. A P400,000 direct credit to accumulated profits and losses



6. On January 1, 2017, Jesito Company purchased a P5,000,000 ordinary life insurance policy on its president. The policy year and its accounting year coincide. Additional data are available for the year ended December 31, 2021:

Cash surrender value, January 1, 2021	P245,000
Cash surrender value, December 31, 2021	270,000
Annual advance premium paid – January 1, 2021	100,000
Dividend received – July 1, 2021	15,000

The company is the beneficiary under the life insurance policy. The insured died on January 2, 2022, after the payment of annual premium of P100,000 on January 1, 2022. What is the life insurance expense for the year 2021?

- a. P100,000

b. P85,000

c. P60,000

d. P75,000
7. The following information relates to a bond sinking fund that Leah Company placed in trust as required by the underwriter:

Bond sinking fund, January 1, 2021	4,500,000
Additional investment in 2021	900,000
Dividends on investments	150,000
Interest revenue	300,000
Administration costs	50,000
Carrying amount of bonds payable	8,000,000

What is the carrying amount of the bond sinking fund on December 31, 2021?

- a. P5,850,000

b. P5,800,000

c. P5,750,000

d. P5,400,000
8. In January 2021 Justin Company established a sinking fund in connection with its issue of bonds due in 2023. A bank was appointed as independent trustee of the fund. On December 31, 2021, the trustee held P364,000 cash in the sinking fund account representing P300,000 in annual deposits to the fund, and P64,000 of interest earned on those deposits.

How should the sinking fund be reported in the company’s statement of financial position as of December 31, 2021?

- a. No part of the sinking fund should appear in the company’s statement of financial position

b. P64,000 should appear as a current asset

c. P364,000 should appear as a current asset

d. P364,000 should appear as a noncurrent asset



PROPERTY, PLANT, AND EQUIPMENT (PAS 16)

Recognition principles

- An item of property, plant and equipment shall be recognized as an asset when:
 - ✓ It is probable that future economic benefits associated with the asset will flow to the entity.
 - ✓ The cost of the asset can be measured reliably.

Initial measurement at recognition

- An item of property, plant and equipment that qualifies for recognition as an asset shall be measured at **cost**.
- **Cost** is the amount of cash or cash equivalent paid and the fair value of the other consideration given to acquire an asset at the time of acquisition or construction.
- **Directly attributable costs**
 - **Examples** of directly costs that qualify for recognition include:
 - ✓ Costs of employee benefits arising directly from the construction of acquisition of the item of property, plant and equipment.
 - ✓ Cost of site preparation.
 - ✓ Initial delivery and handling cost.
 - ✓ Installation and assembly cost
 - ✓ Professional fees.
 - ✓ Costs of testing whether the asset is functioning properly, after deducting the net proceeds from selling any items produced while bringing the asset to that location and condition, such as samples produced when testing equipment.

Measurement after recognition

- ✓ After initial recognition, an entity shall choose either the **cost model** or the **revaluation model** as the accounting policy for property, plant and equipment.
- ✓ The entity shall apply such accounting policy to an entire class of property, plant and equipment.
- ✓ The cost model means that property, plant and equipment are carried at cost less any accumulated depreciation and any accumulated impairment loss.
- ✓ The revaluation model means that property, plant and equipment are carried at revalued carrying amount.
- ✓ The revalued carrying amount is the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment loss.

SUMMARY OF MEASUREMENT OF COST

Measurements with an order of priority to be followed:

	Issuance of Shares	Issuance of Bonds	Exchange Transaction with difference in Cash Flows
1 st	FV of Asset	FV of Bonds	FV of Asset Given
2 nd	FV of Shares	FV of Asset	FV of Asset Received
3 rd	Par value of Shares	Face value of BP	BV of Asset Given

(Note: Assets acquired by an exchange transaction shall be adjusted for the amount of cash paid or received.)

Measurements that use the cash price or its equivalent:

Acquired though short-term credit	Cost should be net of the discount regardless whether taken or not.
Acquired through long term financing	Present value of the deferred payment or the installments

Measurements at fair value of the asset received on:

Asset donated by a shareholder	Recorded at the fair value of the asset. An equity account “Donated Capital” shall be credited which is part of share premium. However, cost incurred to transfer the title paid by the recipient shall not be capitalized, instead debited from Donated Capital.
Asset from a government grant	Also recorded at fair value. Income shall be credited if there are no conditions attached. Cost incurred to transfer the title shall be recognized as an expense.

Other measurement considerations:

Self-Constructed asset	Includes the cost of materials, direct labor and overhead specifically attributable to the construction. Savings from the construction, meaning lower total cost compared if the assets was purchased are not included in the cost and shall not be recognized as income.
Exchange transactions that lacks commercial substance	This term “lacks commercial substance” applies if an both assets from the exchange represents a configuration (risk, timing and amount) of cash flows that does not differ from each other. Therefore, the transaction shall be accounted for in a manner that no exchange occurred and shall be measured at book value of the asset given with NO “gain or loss” to be recognized.

COST OF LAND

- a) Purchase price of the land plus transaction cost.
 - **Transaction cost** includes non-recoverable taxes like documentary stamps, land registration and transfer taxes. This will also include legal fees, title search and title guarantee insurance and survey fee.
 - ✓ If the old building is **usable** regardless of the intention to demolish the building. The purchase price shall be allocated based on the relative fair value of the land and old building.
 - ✓ If the old building is **unusable** it is highly probable that the building shall be demolished right away and any intention to use it is diminished. Therefore, the entire purchase price shall be recorded as land only.

What happens to the cost of the old usable building when demolished?

- The answer will depend on the classification of the land and the new building to be constructed.

	PPE	Investment Property	Inventory
Cost of old building	loss/expense	loss/expense	capitalized
Demolition cost	capitalized as building	capitalized as investment property	capitalized as inventory
Salvaged value	deducted	deducted	deducted

Reasoning behind requirements:

- **Cost of old building** – PPE and Investment property shall be initially measured at cost which includes cost that are “directly attributable” to bring the asset to the condition intended by management (PAS 16 and PAS 40), hence the cost of the old building is not directly attributable cost.
- Meanwhile, the cost of inventories shall include “indirect cost such as indirect labor and overhead” (PAS 2), therefore this loose classification somewhat justifies the capitalization of the cost of the old building. Unlike for PPE and IP where the requirement is very strict and specific.
- **Demolition cost that is capitalized** - for ages, the demolition cost has been capitalized as land since this is cost to prepare the land for its intended use, but now the demolition cost has been likened to site preparation cost for items like machinery and equipment. This is the basis of the conclusion of the PIC in capitalizing the demolition cost to the “NEW BUILDING” account.
 - ✓ However, if the classification is investment property or inventory, only one account shall be used and there is no allocation between land and building. Therefore, the demolition cost is capitalized to that single account only.
 - ✓ Remember that this will only apply to new building that is demolished. An old existing building and the demolition cost shall always be expensed.

(Continuation for cost of land)

- b) Unpaid mortgages and taxes in arrears assumed by the buyer.
- c) Special assessment.
- d) Cost to relocate present occupants from existing operating lease contracts and informal settlers.
- e) Option money or the reservation fee for land that is finally acquired. This should not be confused with earnest money that is a down payment and part of the purchase price.
- f) Cost of permanent improvements to the land that is determined to be non-depreciable. This once again should be clearly distinguished from concrete and metal structures that are naturally temporary and subject to wear and tear with the potential for replacement. Such items shall still be capitalized as “land improvement”.

DEPRECIATION

Depreciable Amount and Depreciation Period

- The depreciable amount of an asset shall be allocated on a systematic basis over its useful life.
- The **residual value** and the **useful life** of an asset shall be reviewed at least at each financial year-end and, if expectations differ from previous estimates, the change(s) shall be accounted for as a change in an accounting estimate.
- **Depreciation** is recognized even if the fair value of the asset exceeds its carrying amount; as long as the asset’s residual value does not exceed its carrying amount. Repair and maintenance of an asset do not negate the need to depreciate it.
- The residual value of an asset may increase to an amount equal to or greater than the asset’s carrying amount. If it does, the asset’s depreciation charge is zero unless and until its residual value subsequently decreases to an amount below the asset’s carrying amount.
- Depreciation of an asset begins when it is available for use. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is derecognized.

KEY OBSERVATIONS

- SL provides uniform depreciation, SYD and Double-declining provide accelerated and declining depreciation while production provides variable amount of depreciation.
- SL, SYD and Production method use depreciable amount from beginning to end.
- Double declining ignores the residual value in the initial years but considers usually in its final year of depreciation.

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PROPERTY, PLANT & EQUIPMENT

THEORY

1. Which is not an essential characteristic of property, plant and equipment?
 - a. The property, plant and equipment are subject to depreciation
 - b. The property plant and equipment are tangible assets
 - c. The property, plant and equipment are used in production or supply of goods and services, for rental and administrative purposes
 - d. The property, plant and equipment are expected to be used over a period of more than one year

2. The depreciable amount of an item of property, plant and equipment is the
 - a. Cost of the asset less its residual value
 - b. Net amount which the enterprise expects to obtain for an asset at the end of its useful life after deducting the expected costs of disposal
 - c. Amount of cash or cash equivalent paid or the fair value of other consideration given to acquire an asset at the time of its acquisition or construction
 - d. Amount at which an asset is recognized in the balance sheet after deducting any accumulated depreciation and accumulated impairment losses thereon

3. Carrying amount is
 - a. Cost of an asset or the amount substituted for cost in the financial statements, less its residual value
 - b. Amount of cash or cash equivalent paid or the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction
 - c. Net amount which the enterprise expects to obtain for an asset at the end of its useful life after deducting the expected costs of disposal
 - d. Amount at which an asset is recognized in the balance sheet after deducting any accumulated depreciation and accumulated impairment loss

4. The cost of property, plant and equipment comprises all of the following except
 - a. Its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates
 - b. Cost of opening a new facility or introducing a new product or service
 - c. Any cost directly attributable to bringing the asset to the condition or location necessary for it to be capable of operating in the manner intended by management
 - d. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located and for which the entity has a present obligation

5. Directly attributable costs include all of the following except
 - a. Cost of site preparation, initial delivery, handling and installation
 - b. Professional fees such as for architects and engineers
 - c. Estimated cost of dismantling and removing the asset and restoring the site, to the extent that it is recognized as a provision
 - d. Initial operating losses incurred prior to an asset achieving planned performance

6. As to land, capitalizable incidental costs do not include?
 - a. Legal fees for establishing clean title
 - b. Commission paid to broker
 - c. Cost of permanent improvement such as grading, leveling and other landscaping
 - d. Expenditures for fence, water system, sidewalk and paving

7. Land improvements

a. Are subject to depreciation b. Should be included in the cost of land	c. Should be deducted from the cost of land d. Should be charged as an expense in the year purchased
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8. A lessee incurred costs to construct office space in a leased warehouse. The estimated useful life of the office is ten years. The remaining term of the renewable less is fifteen years. The cost should be
 - a. Expensed as incurred
 - b. Capitalized as leasehold improvements and depreciated over ten years
 - c. Capitalized as leasehold improvements and depreciated over fifteen years



- d. Capitalized as leasehold improvements and expensed in the year in which the lease expires
9. Plant assets purchased on a long-term credit contract should be accounted for at
- a. The total value of the future payments
 - b. The future amount of the future payments
 - c. The present value of the future payments
 - d. None of these
10. When accounting for property, plant and equipment, an entity
- a. Must use the cost model for land
 - b. Must use the cost model for presenting the assets
 - c. May elect to use the cost model or the revaluation model on any asset class
 - d. May elect to use the cost model or the revaluation model on any individual asset
11. Which of the following most accurately reflects the concept of depreciation?
- a. The process of charging the decline in value of an economic resource to income in the period in which the benefit occurred
 - b. A method of allocating asset cost to an expense account in a manner which closely matches the physical deterioration of the asset
 - c. The process of allocating the cost of tangible asset to expense in a systematic and rational manner to those periods expected to benefit from the use of the asset
 - d. An accounting concept that allocates the portion of an asset used up during the year to the contra asset account for the purpose of properly recording the fair value of the asset
12. Which is incorrect concerning depreciation of PPE?
- a. The depreciation method used should reflect the pattern in which the asset's economic benefits are consumed by the enterprise
 - b. The depreciation method should be reviewed at least annually and, if the pattern of consumption of benefits has changed, the depreciation method should be changed currently and prospectively as a change in estimate
 - c. Depreciation should be charged to the income statement, unless it is included in the carrying amount of another asset
 - d. Depreciation begins when the asset is available for use and continues until the asset is derecognized and became idle
13. Which of the following statements regarding depreciation is true, according to PAS 16, Property, Plant and Equipment?
- a. The total cost of an asset must be eventually be depreciated
 - b. The annual depreciation charge should be constant over the life of the asset
 - c. An asset must be depreciated from the date of its purchase to the date of sale
 - d. If the carrying amount of an asset is less than the residual value, depreciation is not charged
14. A variety of depreciation methods can be used to allocate the depreciable amount of an asset over its useful life. Which statement is incorrect?
- a. Straight line depreciation results in a constant charge over the useful life if the assets residual value does not change
 - b. The diminishing balance method results in a decreasing charge over the useful life
 - c. The units of production method results in a charged based on the expected use or output
 - d. The sum of year's digits method results in an increasing charge over the useful life
15. The sum-of-the-years-digit method of depreciation
- a. Results in residual value being ignored
 - b. Means the carrying amount should not be reduced below residual value
 - c. Means the denominator is the years remaining at the beginning of the year
 - d. All of these describe the sum-of-years-digits method
16. Depreciation is a variable expense if the depreciation method use is
- a. Declining balance
 - b. Straight line
 - c. Sum of the years' digits
 - d. Units of production
17. Depreciation is computed on the original cost without deducting estimated salvage value under which of the following depreciation methods?

	a	b	c	d
Declining balance	Yes	Yes	No	No
Productive Output	Yes	No	Yes	No

18. Which of the following statements is correct?
 - a. A gain on disposal of a noncurrent asset is classified as revenue
 - b. Assets are depreciated even if the fair value exceeds carrying amount
 - c. Land and building are not accounted for separately when acquired together
 - d. A noncurrent asset acquired as the result of an exchange of assets is not recognized
19. If an entity is able to determine reliably the fair value of either the asset received or the asset given up, which is used in measuring the cost of the asset received?
 - a. Fair value of asset given up
 - b. Fair value of asset received
 - c. Carrying amount of asset given up
 - d. Either fair value of asset given up or fair value of asset received
20. The cost of a non-monetary asset acquired in exchange for another non-monetary asset with commercial substance is usually recorded at
 - a. Either the fair value of the asset given, or the asset received
 - b. The fair value of the asset given, and a gain or loss is recognized
 - c. The fair value of the asset given and a gain but not a loss may be recognized
 - d. The fair value of the asset received if it is equally reliable as the fair value of the asset given
21. Accounting recognition should be given to the gain realized on a non-monetary exchange of plant asset, except when the exchange has
 - a. Commercial substance and additional cash is paid
 - b. No commercial substance and additional cash is paid
 - c. Commercial substance and additional cash is received
 - d. All of these cause recognition of a gain
22. Which of the following nonmonetary exchange transactions has commercial substance?
 - a. Exchange of assets with no difference in future cash flows
 - b. Exchange of products by entities in the same line of business with no difference in future cash flows
 - c. Exchange of assets with a difference in future cash flows
 - d. Exchange of an equivalent interest in similar productive assets that causes the entities involved to remain in essentially the same economic position
23. When payment for item of property, plant & equipment is deferred beyond normal credit terms, the difference between the cash price and total payment is

a. Charged to Retained Earnings	c. Capitalized as Property, Plant & Equipment
b. Interest expense over the credit period	d. Interest expense over the useful life of the asset
24. When a closely held corporation issues equity shares in exchange for land, the land should be recorded at the

a. Total par value of shares issued	c. Total book value of the shares issued
b. Current market value of the land	d. Current market value of the shares issued
25. When an item of property, plant and equipment is acquired by issuing debt securities, which is the best basis for establishing the historical cost of the acquired asset?

a. Face value of the bonds issued	c. Fair value of the asset received
b. Historical cost of the asset received	d. Fair value of the bond issued
26. Assets received in donation should
 - a. Should not be depreciated
 - b. Be expensed upon receipt
 - c. Be depreciated based on their fair value at the time of the donation
 - d. Be depreciated based on their book value at the time of the donation
27. An expenditure made in connection with a machine being used should be
 - a. Expensed immediately if it merely extends the useful life but does not improve the quality
 - b. Expensed immediately if it merely improves the quality but does not extend the useful life
 - c. Capitalized if it maintains the machine in normal operating condition
 - d. Capitalized if it increases the quantity of units produced by the machine
28. Which of the following expenditures subsequent to property acquisition cannot be added to asset carrying amount



- a. Costs of modification of an item of property that will extend its useful life
 - b. Costs of upgrading parts to achieve substantial improvements in quality of output
 - c. Costs of material repairs that did not increase the asset life nor productive capacity
 - d. Costs of adopting new production processes that enabled substantial reduction in operating costs
29. A change in the estimated useful life of a building
- a. Is not allowed by generally accepted accounting principles
 - b. Affects the depreciation on the building beginning with the year of the change
 - c. Must be handled as a retroactive adjustment to all accounts affected, back to the year of the acquisition of the building
 - d. Creates a new account to be recognized on the income statement reflecting the difference in net income up to the beginning of the year of the change
30. Rock Company acquired equipment on January 1, 2017. Rock used the straight-line depreciation with a useful life of 15 years and no residual value for this equipment. On January 1, 2021, Rock estimated that the remaining life of the equipment was six years with no residual value. How should this change be accounted for?
- a. Revising future depreciation annually to equal the original cost divided by six
 - b. Revising future depreciation annually to equal the carrying amount of January 1, 2021 divided by six
 - c. Disclosing the effect of the change on each year's earnings, but maintaining the depreciation as originally determined
 - d. Revising future depreciation annually to equal the depreciable amount divided by six

PROBLEMS

1. Myrchelle Corporation was incorporated on January 2, 2021. The following items relate to its property and equipment transactions:

Cost of land, which included a dilapidated apartment building	P3,000,000
Apartment building mortgage assumed, including related interest due at the time of purchase	80,000
Delinquent property taxes assumed by the company	30,000
Payments to tenants to vacate the apartment building	20,000
Cost of razing the apartment building	40,000
Proceeds from sale of salvaged materials	10,000
Architects fee for new building	60,000
Building permit for new construction	40,000
Fee for title search	25,000
Survey before construction of new building	20,000
Excavation before construction of new building	100,000
Payment to building contractor	10,000,000
Assessment by city for drainage project	15,000
Cost of grading and leveling	50,000
Temporary quarters for construction crew	80,000
Temporary building to house tools and materials	50,000
Cost of changes during construction to make new building more energy efficient	90,000
Interest cost on specific borrowing incurred during construction	360,000
Payment of medical bills of employees accidentally injured while inspecting building construction	18,000
Cost of paving driveway and parking lot	60,000
Cost of installing lights in parking lot	12,000
Premium for insurance on building during construction	30,000
Cost of open house party to celebrate opening of new building	50,000
Cost of windows broken by vandals distracted by the celebration	12,000

Question 1: Cost of Land

- a. P2,980,000
- b. P3,270,000
- c. P3,185,000
- d. P3,220,000



Question 2: Cost of Building

- | | |
|----------------|----------------|
| a. P10,810,000 | c. P10,875,000 |
| b. P10,860,000 | d. P11,110,000 |

Question 3: Cost of Land Improvements

- | | |
|------------|-------------|
| a. P12,000 | c. P122,000 |
| b. P72,000 | d. P0 |

Question 4: Amount that should be expensed when incurred

- | | |
|-------------|------------|
| a. P80,000 | c. P62,000 |
| b. P110,000 | d. P50,000 |

Question 5: Total depreciable property and equipment

- | | |
|----------------|----------------|
| a. P11,182,000 | c. P10,947,500 |
| b. P10,932,000 | d. P10,882,000 |

2. During the current year, the following transactions occurred:

- A tract of land was acquired for P2,000,000 cash as a building site.
- A plant facility consisting of land and building was acquired in exchange for 200,000 shares of the entity. On the acquisition date, each share had a quoted price of P45 on a stock exchange. The plant facility was carried on the seller's books at P1,600,000 for land and P5,400,000 for the building at the exchange date. Current appraised values for the land and the building, respectively, are P2,000,000 and P8,000,000. The building has an expected life of forty years with a P200,000 residual value.
- Items of machinery and equipment were purchased at a total cost of P4,000,000. Additional costs incurred were freight and unloading P100,000 and installation P300,000. The equipment has a useful life of ten years with no residual value.
- Expenditures totaling P1,200,000 were made for new parking lot, street and sidewalks at the entity's various plant locations. These expenditures had an estimated useful life of fifteen years.
- Research and development costs were P1,100,000 for the year.
- A machine costing P200,000 on January 1, 2014 was scrapped on June 30, 2021. Straight-line depreciation had been recorded on the basis of a 10-year life with no residual value.
- A machine was sold for P500,000 on July 1, 2021. Original cost of the machine sold was P700,000 on January 1, 2018, and it was depreciated on the straight-line basis over an estimated useful life of eight years and a residual value of P50,000.

Question 1: What is the total cost of land on December 31, 2021?

- | | |
|---------------|----------------|
| a. P7,800,000 | c. P 8,000,000 |
| b. P7,600,000 | d. P6,800,000 |

Question 2: What is the total cost of land improvements on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,200,000 | c. P1,300,000 |
| b. P3,600,000 | d. P2,500,000 |

Question 3: What is the total cost of buildings on December 31, 2021?

- | | |
|----------------|----------------|
| a. P28,000,000 | c. P27,200,000 |
| b. P25,400,000 | d. P27,000,000 |



Question 4: What is total cost of machinery and equipment on December 31, 2021?

- a. P12,400,000

b. P11,500,000
- c. P11,000,000

d. P11,700,000

3. Melissa Company is contemplating exchanging a machine used in its operations for a similar machine on May 31, 2021. It will exchange machines with either A Corporation or B Company, or will trade in the machine with C, Inc., a dealer in these machines. The cash flows from the asset received are expected to significantly differ from the cash flows of the asset given up. The data relating to the machines are presented below:

	Melissa company	A	B	C
Original cost of machine	P162,500	P180,000	P150,000	P140,000
Accumulated depreciation through May 31, 2021	98,500	70,000	65,000	0
Fair value on May 31, 2021	80,000	95,000	60,000	165,000

Question 1: If the company exchanges its used machine and P15,000 cash for A's used machine, the gain/(loss) that the company should recognized from this transaction for financial reporting purposes would be:

- a. P0

b. (P2,526)
- c. P16,000

d. None of the above

Question 2: If the company exchanges its used machine for B's used machine and also receives P20,000 cash, the gain/(loss) that the company should recognize from this transaction for financial reporting purposes would be:

- a. P0

b. P4,000
- c. (P4,000)

d. None of the above

Question 3: If the company exchanges its used machine and P85,000 cash for C's machine, the gain/(loss) that the company should recognize from this transaction for financial reporting purposes would be:

- a. P0

b. (P8,242)
- c. P16,000

d. None of the above

4. John Corporation provided the following information with respect to its building:

- The building was acquired on January 1, 2016 at a cost of P7,800,000 with an estimated useful life of 40 years and salvage value of P200,000. Yearly depreciation was computed using the straight-line method.
- The building was renovated on January 1, 2018 at a cost of P760,000. This was considered as improvement. Salvage value did not change.
- On January 1, 2021, the management decided to change the total life of the building to 30 years.

What is the depreciation on the building for 2021?

- a. P292,400

b. P266,000
- c. P334,400

d. P294,000



5. On January 1, 2020, Louise Company purchased a new machine for P4,000,000. The new machine has an estimated useful life of eight years and the salvage value was estimated to be P400,000. Depreciation was computed on the sum-of-the-years-digits method. What amount should be shown in the balance sheet as of December 31, 2021, net of accumulated depreciation for this machine?
 - a. P2,100,000
 - b. P2,500,000
 - c. P1,150,000
 - d. P3,300,000

6. Khariza Company purchased factory equipment which was installed and put into service on January 3, 2020 at a total cost of P1,280,000. Salvage value was estimated at P80,000. The equipment is being depreciated over 8 years by the double declining balance method. For the year 2021, how much depreciation expense should it record on this equipment?
 - a. P225,000
 - b. P240,000
 - c. P300,000
 - d. P320,000

7. Sheyne Company started operations on January 2, 2019 and has acquired three assets which it classified under property, plant and equipment for a lump sum price of P2,400,000. The carrying amount and fair values of each are provided as follows:

	<u>Carrying amount</u>	<u>Fair value</u>
Delivery trucks	P 1,200,000	P 1,680,000
Latching machine	300,000	420,000
Office equipment	400,000	700,000

	<u>Depreciation method</u>	<u>Salvage value</u>	<u>Estimated useful life</u>
Delivery trucks	Straight-line	P80,000	8 years
Latching machine	Double-declining balance	5,000	4 years
Office equipment	Sum-of-the-year's digits	15,000	6 years

Question 1: Assuming that the delivery trucks were sold on October 12, 2020 for P1,200,000, the amount of gain/loss to be included in the company's income statement is

- a. Loss of P130,000
- b. Gain of P57,500
- c. Gain of P137,500
- d. Gain of 75,000

Question 2: The carrying amount of the office equipment to be presented in the December 31, 2021 balance sheet of the company is

- a. P182,143
- b. P171,429
- c. P200,000
- d. P210,7140

Question 3: The total depreciation expense to be reported in the 2022 income statement of the company is

- a. P293,571
- b. P123,571
- c. P106,571
- d. P122,946



REVALUATION AND IMPAIRMENT

REVALUATION MODEL

- ✓ After recognition as an asset, an item of property, plant and equipment whose fair value can be measured reliably shall be carried at a revalued amount, being its fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.
- ✓ When an item of property, plant and equipment is revalued, any accumulated depreciation at the date of the revaluation is treated in one of the following ways:
 - a) **Restated proportionately** with the change in the gross carrying amount of the asset so that the carrying amount of the asset after revaluation equals its revalued amount. This method is often used when an asset is revalued by means of applying an index to its depreciated replacement cost.
 - b) **Eliminated** against the gross carrying amount of the asset and the net amount restated to the revalued amount of the asset.
- ✓ If an item is revalued, the entire class of assets to which that asset belongs should be revalued. This is to avoid a mixture of costs and revalued amounts within a class of property, plant and equipment. The following are examples of separate classes:
 - a. Land
 - b. Land and buildings
 - c. Machinery
 - d. Ships
 - e. Aircraft
 - f. Motor vehicles
 - g. Furniture & Fixtures
 - h. Office equipment
- ✓ If a revaluation results in an increase in value, it should be credited to equity under the heading "**revaluation surplus**" unless it represents the reversal of a revaluation decrease of the same asset previously recognized as impairment loss, in which case it should be recognized as income.
- ✓ The revaluation surplus shall be transferred to retained earnings in one of the following ways:

	If Sold	If NOT Sold
Asset is Depreciable	The balance of revaluation surplus	Revaluation surplus divided by remaining life
Asset is Non-Depreciable	The balance of revaluation surplus	NONE

- ✓ If an asset’s carrying amount is decreased as a result of a revaluation (meaning impaired), the decrease shall be recognized in profit or loss. However, the decrease shall be debited directly to equity under the heading of revaluation surplus to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

IMPAIRMENT OF ASSETS

Impairment loss

- Is the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount.

SCENARIO #1
“Internal and external indicators” of impairment

- Items of property plant and equipment.
- Intangible assets with

SCENARIO #2
Annual impairment testing

- Intangible assets with indefinite lives.
- Intangible assets not

definite useful lives. available for use.

- Cash generated units that are tested for impairment due to the unavailability of estimating the recoverable amount of an asset that is impaired included in the CGU.
- Cash generating units with allocated goodwill.

Determining Recoverable Amount

- Recoverable amount is the **higher** of fair value less costs to sell and value in use.
- If fair value less costs to sell cannot be determined, then recoverable amount is value in use.
- For assets to be disposed of, recoverable amount is fair value less costs to sell.

Fair Value less Costs to Sell

- If there is a binding sale agreement, use the price under that agreement less costs of disposal.
- If there is an active market for that type of asset, use market price less costs of disposal.
- If there is no active market, use the best estimate of the asset's selling price less costs of disposal.
- Costs of disposal are the direct costs only.

Value in Use

The calculation of **value in use** should reflect the following elements:

- An estimate of the future cash flows the entity expects to derive from the asset in an arm's length transaction.
- Expectations about possible variations in the amount or timing of those future cash flows.

Recognition of an Impairment Loss

- An impairment loss should be recognized whenever recoverable amount is below carrying amount.
- The impairment loss is an expense in the income statement unless it relates to a revalued asset where the value changes are recognized directly in equity.
- Adjust depreciation or amortization charges for future periods.

Reversal of an Impairment Loss

- Internal and external indicators of reversal are identified.

External sources	Internal sources
• Significant increase in market value. • Changes in technological, market, economic or legal environment. • Changes in interest rates. • Market interest rates have decreased.	• Changes in way asset is used or expected to be used. • Evidence from internal reporting indicates that economic performance of the asset will be better than expected.

- **Individual asset** – the difference of the increased recoverable amount is recognized in profit and loss unless asset carried at revalued amount.
- **CGUs** – allocated to assets of CGUs on a pro-rata basis.
- **Goodwill** – impairment of goodwill is never reversed.
- **Limitation** – the revised carrying amount after reversal should not exceed the carrying amount of the individual asset and assets within the cash generating unit if impairment loss was not recognized.

-- END --

REVALUATION AND IMPAIRMENT

THEORY

1. When the revaluation model is used for reporting property, plant and equipment, the gain or loss should be included in
 - a. Income for the period
 - b. Gain from revaluation in the income statement
 - c. An extraordinary gain or loss in the income statement
 - d. A revaluation surplus account in other comprehensive income
2. Under the revaluation model for accounting for property, plant and equipment
 - a. Asset must be revalued quarterly
 - b. Asset must be revalued annually
 - c. Asset must be revalued bi-annually
 - d. There is no rule regarding the frequency of Revaluation
3. When an entity chooses the revaluation model as the accounting policy for measuring property, plant and equipment, which of the following statements is correct?
 - a. Revaluation of property, plant and equipment must be made at least every three years.
 - b. When an asset is revalued, the entire class of property, plant and equipment to which that asset belongs must be revalued
 - c. Increase in an asset's carrying amount as a result of the first revaluation must be recognized as a component of profit or loss
 - d. When an asset is revalued, individual asset within a class of property, plant and equipment to which that asset belongs can be revalued
4. When a balance is carried in an 'asset revaluation surplus' account in relation to an asset that has been derecognized, it is acceptable under PAS 16 to
 - a. Transfer the balance to retained earnings
 - b. Transfer the balance to 'share capital' account
 - c. Transfer the balance to a provision account for future asset revaluations
 - d. Recognize the balance in profit or loss of the period in which the asset was derecognized
5. Which statement is incorrect concerning the class of property, plant and equipment to be revalued?
 - a. When an item of property, plant and equipment is revalued, the entire class property, plant and equipment to which that asset belongs shall be revalued
 - b. A class of property, plant and equipment is a grouping of assets of a similar nature and use in an entity's operation
 - c. The items within a class of property, plant and equipment are revalued selectively
 - d. A class of assets may be revalued on a rolling basis provided revaluation of the class of assets is completed within a short period of time and provided the revaluations are kept up to date
6. An asset is impaired when
 - a. Its recoverable amount exceeds its carrying amount
 - b. Its carrying amount exceeds its recoverable amount
 - c. Its fair value less costs to sell is less than its value in use
 - d. Its net selling price is less than its value in use
7. Recoverable amount is
 - a. The amount at which an asset is recognized in the balance sheet after deducting accumulated depreciation and accumulated impairment losses
 - b. The higher of an asset's fair value less costs to sell and its value in use
 - c. The amount obtainable from the sale of an asset in a bargained transaction between knowledgeable, willing parties
 - d. The discounted present value of estimated future cash flows
8. Which statement is incorrect in determining recoverable amount?
 - a. If the carrying amount is less than fair value less costs to sell or value in use, it is not necessary to calculate the other amount
 - b. If fair value less costs to sell cannot be determined, then recoverable amount is value in use
 - c. For assets to be disposed of, recoverable amount is fair value less costs to sell



- d. None of the above
9. Fair value less cost to sell is
- I. The amount obtainable from the sale of an asset in an arm's length transaction between knowledgeable, willing parties less cost of disposal
 - II. The present value of future cash flows expected to be derived from an asset
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
10. Value in use of an asset is equal to the:
- a. Undiscounted future net cash flows from the use of the asset
 - b. Undiscounted future net cash flows from the use and eventual disposition of the asset
 - c. Discounted future net cash flows from the use of the asset
 - d. Discounted future net cash flows from the use and eventual disposition of the asset
11. Under PAS 36, the impairment rules for long-lived assets apply to all of the following except
- a. Land
 - b. Financial instruments
 - c. Building currently used in the business
 - d. Minicomputers used to run a production process
12. An entity has determined that the fair value of a cash generating unit exceeds carrying amount. Which of the following statements is correct concerning this test of impairment?
- a. Goodwill should be written down as impaired
 - b. Goodwill should be retested at the entity level
 - c. Impairment is not indicated, and no additional analysis is necessary
 - d. The assets and liabilities should be valued to determine if there has been an impairment of goodwill
13. Under the reporting requirements for impaired assets, impairment losses for assets to be held and used shall be reported
- a. As an extraordinary item
 - b. As a component of discontinued operations
 - c. As a component of income from continuing operations
 - d. As a change in accounting estimate
14. A cash generating unit is
- a. The smallest business segment
 - b. Any group of assets that generates cash flows
 - c. Any group of assets that is reported separately to management
 - d. The smallest group of assets that generates independent cash flows from continuing use
15. Where cash generating unit is disposed of, any goodwill associated shall
- a. Be written off against retained profits
 - b. Be included in the calculation of gain or loss
 - c. Not be included in the calculation of gain or loss
 - d. Not be written off to the income statement entirely



PROBLEMS

1. On January 1, 2021, the historical balances of the land and building of Roberto Company are:

	<u>Cost</u>	<u>Accumulated depreciation</u>
Land	P 50,000,000	
Building	300,000,000	P90,000,000

The land and building were appraised on same date and the revaluation revealed the following:

	<u>Appraised value</u>
Land	P 70,000,000
Building	315,000,000

There were no additions or disposals during 2021. Depreciation is computed on the straight line. The estimated life of the building is 20 years.

Question 1: The depreciation of the building for 2021 should be

- | | |
|----------------|----------------|
| a. P22,500,000 | c. P15,000,000 |
| b. P25,750,000 | d. P10,500,000 |

Question 2: The December 31, 2021 statement of financial position should show revaluation surplus at

- | | |
|-----------------|-----------------|
| a. P117,500,000 | c. P105,000,000 |
| b. P125,000,000 | d. P119,750,000 |

2. On June 30, 2021, an entity reported the following information:

Equipment at cost	30,000,000
Accumulated depreciation	10,500,000

The equipment was measured using the cost model and depreciated on a straight-line basis over 10-year period. On December 31, 2021, the management decided to change the basis of measuring the equipment from the cost model to the revaluation model. The equipment was revalued to the fair value of P27,000,000 with remaining useful life of 5 years. The income tax rate is 30%. What amount should be reported as revaluation surplus on December 31, 2021?

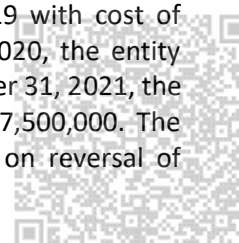
- | | |
|---------------|---------------|
| a. P7,500,000 | c. P6,300,000 |
| b. P5,250,000 | d. P9,000,000 |

3. On January 1, 2017, the Jesus Corporation purchased a machine for P1,300,000 which it installed in a rented factory. It is depreciating the machine over 12 years by the straight-line method to a residual value of P100,000. Late in 2021, because of increasing competition in the industry, the company believes that its asset may be impaired and will have a remaining useful life of 5 years, over which it estimates the asset will produce total cash inflows of P2,000,000 and will incur total cash outflows of P1,650,000. The cash flows are independent of the company's other activities and will occur evenly each year. The company's discount rate is 10%. The PV of ordinary annuity of P1 at 10% 5 periods is 3.7908. The fair value of the machine is P280,000. The cost to sell the machine is P40,000. The impairment loss to be recognized in 2021 profit or loss is

- | | |
|-------------|-------------|
| a. P560,000 | c. P582,865 |
| b. P534,644 | d. P0 |

4. Patricia Company reported an impairment loss of P2,000,000 in 2020. This loss was related to an item of property, plant and equipment which was acquired on January 1, 2019 with cost of P10,000,000, useful life of 10 years and no residual value. On December 31, 2020, the entity reported this asset at P6,000,000 which is the fair value on such date. On December 31, 2021, the entity determined that the fair value of the impaired asset had increased to P7,500,000. The straight-line method is used in recording depreciation. What amount of gain on reversal of impairment should be reported in the 2021 income statement?

- | | |
|---------------|---------------|
| a. P2,250,000 | c. P1,500,000 |
| b. P1,750,000 | d. P0 |



WASTING ASSETS AND DEPLETION (PFRS 6)

Wasting Assets

- Natural resources property in the form of land containing mineral deposits, precious stones and metals or trees to be harvested as logs and lumber with a limited life and will be subject to depletion using the production method.

The total cost of the wasting asset shall be:

- ✓ Acquisition cost

Purchase price of the property.
- ✓ Exploration cost

Cost incurred to locate the minerals and other resources beneath the surface of the property.
- ✓ Development cost

Cost incurred for the actual production or extraction of the minerals and other resources. Development cost is naturally incurred multiple number of times during the period of production and will usually cause the recomputation of the rate.

Development cost related to other tangible assets should not be capitalized as part of the wasting asset rather as other items of PPE and depreciated separately, like equipment, machinery and processing facilities.
- ✓ Restoration cost

Future cost to be paid to restore the property back to its original condition but recorded as a provision (liability that is estimated) at its present value.

SUBSEQUENT MEASUREMENT

After recognition, an entity applies either the

- 1) Cost model or
- 2) Revaluation model to the exploration and evaluation assets.

The journal entry assuming there is increase in value of wasting asset is:

Wasting asset	XX
Revaluation surplus	XX

DEPLETION

It refers to the systematic and rational allocation of the depletion base of a natural resource over its useful life.

Depletion Method

Units of Output Method (UOP) is often used in computing the depletion base of a natural resource. The formula is:

Total cost of the wasting asset - Units extracted

- residual value

Units estimated to be extracted

x

units extracted during the year

Change in the units estimated to be extracted and additional development costs:

When there is a change in the units estimated to be extracted or when the company incurs additional costs, these are regarded as **change in accounting estimate** to be handled currently and prospectively. The company needs to compute for the **new depletion rate per unit** using this formula:

New depletion rate/unit

=

Remaining depletion cost

Remaining revised estimate of the productive output

Depletion

=

Depletion rate per unit

x

units of extracted during the year

Depreciation of mining equipment

Depreciation of mining equipment shall be systematically allocated over the asset's useful life. The useful life of the asset depends on whether that asset is immovable or movable. If the equipment is immovable, depreciation is based on the life of the equipment or life of the wasting asset whichever is shorter but if the equipment is movable; the depreciation is based on the life of the equipment.

Immovable Equipment

- 1) If the life of the equipment is shorter and assuming the use of straight-line method

Depreciation

=

Depreciable cost

Useful life of the equipment

- 2) If the life of the wasting asset is shorter, the units of output method is often used

Depreciation

=

Depreciation rate per unit

x

units extracted during the year

Movable Equipment

Assuming the use of straight-line method

Depreciation

=

Depreciable cost

Useful life of the equipment

Liquidating Dividends

Under the trust fund doctrine, the capital stock of a corporation is conceived as a trust fund for the protection creditors. Consequently, such capital cannot be returned to stockholders during the lifetime of the corporation. However, the corporation can pay dividends to stockholders but limited only to the balance of retained earnings.

Exception to the trust fund doctrine:

Wasting asset doctrine - under this doctrine the wasting asset corporation or a company engaged in the extraction of a natural resource, can legally return capital to stockholders during the lifetime of the corporation.

Accordingly, a wasting asset corporation can pay dividend not only to the extent of retained earnings but also to the extent of accumulated depletion.

Formula:

Accumulated profits – unappropriated	XX
Add: Accumulated depletion	XX
Total	XX
Less: Capital liquidated in prior years	XX
Depletion in ending inventory (depletion per unit x units in the Ending Inventory)	XX
Maximum dividend	XX

-- END --

WASTING ASSETS AND DEPLETION

THEORY

1. PFRS 6 applies to expenditures incurred
 - a. When a specific area is being developed and preparations for commercial extraction are being made
 - b. In extracting mineral resources and processing the resource to make it marketable or transportable
 - c. When searching for an area that may want detailed exploration, even though the entity has not yet obtained the legal rights to explore a specific area
 - d. When the legal rights to explore a specific area have been obtained, but the technical feasibility and commercial viability of extracting a mineral resource are not yet demonstrated
2. Which of the following expenditures would never qualify as an exploration and evaluation asset?
 - a. Expenditure for exploratory drilling
 - b. Expenditure for acquisition of rights to explore
 - c. Expenditures related to the development of mineral resources
 - d. Expenditures for activities in relation to evaluating the technical feasibility and commercial viability of extracting mineral resources
3. Does PFRS 6 require an entity to recognize exploration and evaluation expenditures as assets?
 - a. No, such expenditure is always expensed in profit or loss incurred
 - b. Yes, but only to the extent such expenditure is recoverable in future periods
 - c. Yes, but only to the extent required by the entity's accounting policy for recognizing exploration and evaluation of assets
 - d. Yes, but only to the extent the technical feasibility and commercial viability of extracting the associated mineral resources have been demonstrated
4. An entity is required to consider which of the following in developing accounting policy for exploration and evaluation activities?
 - a. Recent pronouncements of standard-setting bodies
 - b. Whether the accounting policy results in information that is relevant and reliable
 - c. The requirements and guidance in PFRS dealing with similar and related issues
 - d. The definitions, recognition criteria, and measurement concepts or assets, liabilities, income and expenses in the Conceptual Framework
5. Which measurement model applies to exploration and evaluation assets subsequent to initial recognition?

a. The cost model	c. The recoverable amount model
b. The revaluation model	d. Either the cost model or the revaluation model
6. Which of the following is not a disclosure requirement by PFRS 6?
 - a. Information about commercial reserve quantities
 - b. Accounting policies for exploration and evaluation expenditures including the recognition of exploration and evaluation assets
 - c. Information that identifies and explains the amounts recognized in the financial statements arising from the exploration of mineral resources
 - d. The amounts of assets, liabilities, income and expenses and operating and investing cash flows arising from the exploration and evaluation of mineral resources
7. Of the following costs related to the development of mineral resources, which one should not be included in depletable cost?
 - a. Acquisition cost of the mineral resource deposit
 - b. Exploration cost
 - c. Tangible equipment cost associated with machinery used to extract the mineral resource
 - d. Intangible development cost such as drilling cost, tunnel, and shaft
8. Depletion expense
 - a. Is usually part of cost of goods sold
 - b. Includes tangible equipment cost in the depletion base
 - c. Excludes intangible equipment cost from the depletion base
 - d. Excludes restoration cost from the depletion base



9. The most common method of recording depletion for accounting purposes is the
- Percentage of depletion method
 - Straight line
 - Production or output method
 - Decreasing charge method

PROBLEMS

10. Shiena Corporation purchased mining property for P10,400,000 with estimated 8,000,000 tons of ore. The residual value of the property is P800,000. Building used in mine operations costs P800,000 and have estimated life of fifteen years with no residual value. Mine machinery costs P1,600,000 with an estimated residual value of P320,000 after its physical life of 4 years.

Following is the summary of the company's operations for 2021, the first year of operations.

Tons mined	800,000 tons
Tons sold	640,000 tons
Unit selling price per ton	P4.40
Direct labor	640,000
Miscellaneous mining overhead	128,000
Operating expenses (excluding depreciation)	576,000

Inventories are valued on a first-in, first-out basis. Depreciation on the building is to be allocated as follows: 20% to operating expenses, 80% to production. Depreciation on machinery is chargeable to production.

Question 1: How much is the depletion for 2021?

- P768,000
- P192,000
- P960,000
- P1,040,000

Question 2: How much is the total inventoriable depreciation for 2021?

- P400,000
- P384,000
- P362,667
- P 0

Question 3: How much is the inventory as of December 31, 2021?

- P438,400
- P425,600
- P422,400
- P418,133

Question 4: How much is the cost of sales for the year ended December 31, 2021?

- P1,689,600
- P1,702,400
- P1,753,600
- P1,672,533

11. Arisa Mining Company had the following transactions concerning its resource property:

- It paid P5,400,000 in 2019 for property containing natural resources of 2,000,000 tons.
- The estimated cost of restoring the land after the resources are exhausted is P450,000.
- The land will have a value of P650,000 after it is restored for suitable use.
- Development costs, such as drilling and road construction, amounted to P2,500,000.
- Buildings, such as bunk houses and mess hall were constructed for P1,500,000.
- Development costs and buildings should be included in the account mine improvements.
- Operations began on January 1, 2020 and resources removed totaled 600,000 tons in 2020.
- During 2021, a discovery was made indicating that available resources after 2021 will total 1,875,000 tons.
- Because of a strike, only 400,000 tons were mined in 2021.

How much is the depletion for 2020 and 2021?

- P1,560,000 P914,286 c. P1,560,000 P640,000
- P1,755,000 P754,286 d. P1,755,000 P914,286



GOVERNMENT GRANT (PAS 20)

- **PAS 20** defines **government grant** as assistance by government in the form of transfer of resources to an entity in return for part or future compliance with certain conditions relating to the operating activities of the entity.
- **Recognition and measurement**
 - Government grant, including nonmonetary grant at fair value, shall be recognized when there is reasonable assurance that:
 - ✓ The entity will comply with the conditions attaching to the grant.
 - ✓ The grant will be received.
- **Classifications of government grant**
 - **Grant related to asset**
 - ✓ The primary condition is that an entity qualifying for the grant shall purchase, construct or otherwise acquire long-term asset.
 - **Grant related to income**
 - ✓ By residual definition, this is government grant other than grant related to asset.
- **Accounting for government grant**
 - Government grant shall be recognized as **income** on a systematic basis over the periods in which an entity recognizes as expenses the related costs for which the grant is intended to compensate. In other words, the grant is taken to income over one or more periods in which the related cost is incurred.
 - Grants in recognition of **specific expenses** shall be recognized as income over the period of the related expense.
 - Grant related to **depreciable asset** shall be recognized as income over the periods and in proportion to the depreciation of the related asset.
- Grant related to **non-depreciable asset** requiring fulfillment of certain conditions shall be recognized as income over the periods which bear the cost of meeting the conditions.
- A government that becomes receivable as compensation for expenses or losses **already incurred** or for the purpose of giving immediate financial support to the entity with no further related costs shall be recognized as the income of the period in which it becomes receivable.
- **Presentation of government grant**
 - Government grant related to **asset**, including nonmonetary grant at fair value, shall be **presented** in the statement of financial position in either of two ways:
 - ✓ By setting the grant as deferred income.
 - ✓ By deducting the grant in arriving at the carrying amount of the asset.
 - **Government grant related to income is presented as follows:**
 - ✓ The grant is presented in the income statement, either separately or under the general heading "other income".
 - ✓ Alternatively, the grant is deducted from the related expense.
- **Repayment of government grant**
 - A government grant that becomes repayable because of noncompliance with conditions shall be accounted for as a **change in accounting estimate**.
 - Repayment of a grant related to income shall be applied first against any unamortized deferred income and any excess shall be recognized immediately as an expense.
 - Repayment of grant related to an asset shall be recorded by increasing the carrying amount of the asset.

-- END --



GOVERNMENT GRANT

THEORY

1. These are assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity
 - a. Government assistance
 - b. Government grants
 - c. Government subvention
 - d. Government premium
2. It is an action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria
 - a. Government assistance
 - b. Government grant
 - c. Government subvention
 - d. Government premium
3. Which can be considered a government assistance?
 - a. Imposition of trading constraints on competitors
 - b. Improved facilities, such as irrigation or water supply
 - c. Free technical or marketing advice and provision of guarantee
 - d. Infrastructure by improvement to the general transport and communication network
4. Under PAS 20, a government grant shall be recognized when
 - a. The entity has complied with all the conditions attaching to the grant
 - b. The entity has complied with all the conditions attaching to the grant and grant will be received
 - c. There is reasonable assurance that the entity will comply with the conditions attaching to the government grant
 - d. There is reasonable assurance that the entity will comply with the conditions attaching to the grant and the grant will be received
5. Which of the following statements is true about government grant?
 - a. Grant related to an asset is accounted for either as deferred income or deduction from the carrying amount of the asset
 - b. Grant related to income is presented as the other income, separate line item or a deduction from the related expense
 - c. A forgivable loan from government is treated as government grant if there is reasonable assurance that the entity will meet the terms for the forgiveness of the loan
 - d. All of these statements are true above government grant
6. Which of the following is true regarding the income approach for government grant?
 - a. Depreciation is higher if the grant is an adjustment of the asset
 - b. Depreciation is higher and net income lower if the grant is an adjustment to the asset
 - c. Depreciation is higher if the grant is a deferred revenue and net income is not affected
 - d. Depreciation is higher and net income is lower if the grant is recorded as deferred revenue
7. In case of non-monetary grant, which of the following is prescribed by PAS 20?
 - a. Record the grant at a value estimated by management
 - b. Record the asset at replacement cost and the grant at a nominal value
 - c. Record both the grant and the asset at fair value of the non-monetary asset
 - d. Record only the asset at fair value and not recognize the fair value of the grant
8. Which is incorrect concerning recognition of government grants as income?
 - a. Grants in recognition of specific expenses should be recognized as income over the period of the related expense
 - b. Grants related to depreciable assets should be recognized as income over the periods and in proportion to the depreciation of the related assets
 - c. Grants related to non-depreciable assets requiring fulfillment of certain conditions should be recognized as income over the periods which bear the cost of meeting the conditions
 - d. Government grants that become receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the enterprise with no future related costs should be recognized as an adjustment of retained earnings
9. Which of these disclosures is not required by PAS 20?
 - a. The accounting policy adopted for government grants, including methods of presentation adopted in the financial statements
 - b. Unfulfilled conditions and other contingencies attaching to government assistance

- c. The names of the government agencies that gave the grants along with the dates of sanction of the grants by these government agencies and the dates when cash was received in case of monetary grants
 - d. The nature and extent of government grants recognized in the financial statements and an indication of other forms of government assistance from which the entity has directly benefited
10. When government grants related to income become repayable due to non-fulfillment of a condition attaching to it, the repayment: (choose the incorrect statement)
- a. Should be treated as a change in accounting estimate
 - b. Should be accounted for prospectively
 - c. Should be first applied against any unamortized deferred income
 - d. Should be recognized as a debit to retained earnings to the extent that the repayment exceeds any such deferred income

PROBLEMS

1. Ezra Corporation received a grant of P30 million to compensate it for costs it incurred in planting trees over a period of five years. It will incur costs in this manner: Year 1 – P1 million; Year 2 – P2 million; Year 3 – P3 million; Year 4 – P4 million; Year 5 – P5 million. How much should be recognized as income from government grant at the end of year 1?
 - a. P30 million
 - b. P6 million
 - c. P2 million
 - d. P1 million
2. On January 1, 2020, Elizol Corporation received a grant of P75 million from the X government for the construction of a laboratory and research facility with an estimated cost of P90 million and useful life of 25 years. The facility was completed in early 2021. The amount to be recognized in its 2021 profit or loss as income from government grant is
 - a. P75,000,000
 - b. P3,600,000
 - c. P3,000,000
 - d. P0
3. Cecilia Corporation was granted 2,500 acres of land in a village, located near the slums outside the city limits, by a local government authority. The condition attached to this grant was that it should clean up this land and lay roads by employing laborers from the village in which the land is located. The government has fixed the minimum wage payable to the workers. The entire operation will take three years and is estimated to cost P50 million. This amount will be spent in this way: P10 million each in the first and second years and P30 million in the third year. The fair value of this land is currently P60 million. How much should be recognized as income from government grant at the end of the first year?
 - a. P10,000,000
 - b. P12,000,000
 - c. P20,000,000
 - d. P0
4. Elmer Corporation received a consolidated grant of P60 million. Three-fourths of the grant is to be utilized to purchase a college building for students from underdeveloped or developing countries. The balance of the grant is for subsidizing the tuition costs of those student for four years from the date of grant. The college building, which costs P50 million, will be depreciated using the straight-line method over 10 years. Assuming that the tuition subsidy will be offered evenly over the period of 4 years, the amount that should be recognized as income at the end of year 1 is
 - a. P6.0 million
 - b. P5.0 million
 - c. P8.25 million
 - d. P8.75 million
5. An entity purchased a machine for P6,600,000 on January 1, 2021 and received a government grant of P600,000. The machine is to be depreciated on a straight-line basis over 5 years with a residual value of P500,000.

Question 1: Assuming the policy is to treat the grant as a reduction in the cost of the asset, what is the depreciation for 2021?

- a. P1,100,000
- b. P1,200,000
- c. P1,220,000
- d. P1,560,000

Question 2: Assuming the policy is to treat the grant as a deferred income, what is the total impact to the 2021 profit and loss?

- a. P1,100,000
- b. P1,320,000
- c. P1,200,000
- d. P1,220,000



BORROWING COSTS (PAS 23)

○ **Borrowing Costs** are defined as interest and other costs that an entity incurs in connection with borrowing of funds.

○ **Qualifying asset**

- A **qualifying asset** is an asset that necessarily takes a substantial period of time to get ready for the intended use or sale.
- The following may be qualifying asset:
 - Manufacturing plants
 - Power generation facilities
 - Intangible assets
 - Investment properties
- Assets that are ready for their intended use or sale when acquired are not qualifying asset.

○ **Accounting for borrowing cost**

- PAS 23 mandates the following rules on borrowing cost:
 - ✓ If the borrowing is directly attributable to the acquisition, construction or production of a qualifying asset, the borrowing cost is required to be capitalized as cost of the asset.
- **Borrowing costs eligible for capitalization**
 - The borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are borrowing costs that would have been avoided if the expenditure on the qualifying asset had not been made.
 - ✓ If the borrowing is not directly attributable to a qualifying asset, the borrowing cost is expensed immediately.

○ **Asset financed by specific borrowing**

- The amount eligible for capitalization on that asset shall be determined as the **actual borrowing cost** incurred during the period **less any investment income** from the temporary investment of those borrowings.

○ **Asset financed by general borrowing**

- The amount of capitalizable borrowing cost is equal to the **average carrying amount** of the asset during the period **multiplied by a capitalization rate** or average interest rate.
- However, the capitalizable borrowing cost shall not exceed the actual interest incurred.
- The capitalization rate or average interest rate is equal to the total annual borrowing cost divided by the total general borrowings outstanding during the period.

- Investment income from general borrowing is not deducted for capitalizable borrowing cost.

○ **Specific borrowing for asset used for general purpose**

- The borrowing shall be treated as a general borrowing in determining capitalizable borrowing cost.

○ **Commencement of capitalization**

- The capitalization of borrowing costs as part of the cost of a qualifying asset shall commence when the following three conditions are present:
 - ✓ When the entity incurs expenditures for the asset.
 - ✓ When the entity incurs borrowing costs.
 - ✓ When the entity undertakes activities that are necessary to prepare the asset for the intended use or sale.

○ **Suspension of capitalization**

- Capitalization of borrowing costs shall be suspended during extended periods in which active development is interrupted.
- However, capitalization of borrowing costs is not normally suspended during a period when substantial technical and administrative work is being carried out.

○ **Cessation of capitalization**

- Capitalization of borrowing costs shall cease when substantially all the activities necessary to prepare the qualifying asset for the intended use or sale is complete.

-- END --

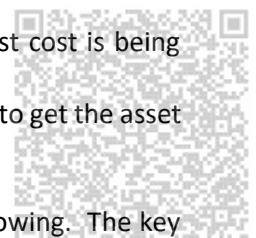


BORROWING COSTS

THEORY

1. Under PAS 23, borrowing costs can be capitalized as part of the asset when
 - a. The asset is a qualifying asset
 - b. The asset is a qualifying asset and it is not probable that the borrowing costs will result in future economic benefits to the entity
 - c. The asset is a qualifying asset and it is probable that the borrowing costs will result in future economic benefits to the entity and the costs can be measured reliably
 - d. The asset is a qualifying asset and it is probable that the borrowing costs will result in future economic benefits to the entity, but the costs cannot be measured reliably
2. Which of the following may not be considered a “qualifying asset”?
 - a. A toll bridge that usually takes more than a year to build
 - b. A ship that normally takes one or two years to accomplish
 - c. An expensive private jet can be purchased from a local vendor
 - d. A power generation plant that normally takes two years to construct
3. When computing capitalizable interest cost, what is the concept of “avoidable interest”?
 - a. A cost of capital charge for equity
 - b. The total interest cost actually incurred
 - c. That portion of average accumulated expenditures on which no interest cost was incurred
 - d. That portion of total interest cost which would not have been incurred if expenditures for asset construction had not been made
4. Interest cost that is capitalized should
 - a. Be written off over the remaining term of the debt
 - b. Not be written off until the related asset is fully depreciated or disposed of
 - c. Be accumulated in a deferred charge account and written off equally over a 40-year period
 - d. None of these
5. Which of the following statements is true regarding capitalization of interest?
 - a. Interest cost capitalized in connection with the purchase of land to be used as a building site should be debited to the land account and not the building account
 - b. The amount of interest cost capitalized during the period should not exceed the actual interest cost incurred
 - c. When excess borrowed funds not immediately needed for construction are temporarily invested, any interest earned should be recorded as interest revenue
 - d. The minimum amount of interest to be capitalized is determined by multiplying a weighted-average interest rate by the amount of average accumulated expenditures on qualifying asset during the period
6. Which of the following statements about the capitalization of borrowing costs as part of the costs of qualifying asset is true?
 - a. Capitalization always continues until the asset is brought into use
 - b. Capitalization always commences as soon as expenditure of the asset is incurred
 - c. Capitalization always commences as soon as interest on relevant borrowings is being incurred
 - d. If funds come from general borrowings, the amount to be capitalized is based on the weighted average cost of borrowing
7. The period of time during which capitalization of interest begins and when capitalization of interest ends is
 - a. From the time funds are borrowed until the asset is substantially complete and ready for its intended use
 - b. From the time the first expenditures are incurred until the asset is substantially complete and ready for its intended use
 - c. From the time the first expenditures are incurred until no further interest cost is being incurred
 - d. From the time the first expenditures are incurred until activities necessary to get the asset for its intended use have begun
8. An entity commences a new construction project which is to be financed by borrowing. The key dates for the current year are as follows:

March 15	Loan interest relating to the project starts to be incurred
----------	---



- | | |
|---------|--|
| June 15 | Technical site planning commences |
| June 30 | Expenditures on the project start to be incurred |
| July 15 | Construction work commences |
- From what date can the entity commence the capitalization of borrowing costs?
- March 15
 - June 15
 - June 30
 - July 15

- Capitalization of borrowing costs shall be suspended
 - Only during temporary periods of delay
 - At no instance at all as capitalization has already commenced
 - Only upon agreement by management and the construction company
 - Only during extended periods of delay in which active development is delayed
- A company constructed machinery for its own use. A bank loan specifically financed this property both during and after the construction. How much of the interests incurred should be reported as interest expense?
 - All interests incurred
 - Interests incurred after completion
 - Interests incurred before completion
 - Zero
- Which of the following is not a disclosure requirement under PAS 23?
 - Accounting policy adopted for borrowing costs
 - Amount of borrowing costs capitalized during the period
 - Capitalization rate used to determine the amount of borrowing costs eligible for capitalization
 - Segregation of assets that are "qualifying assets" on the balance sheet as a disclosure in the financial statement notes

PROBLEMS

- During 2021, Erick Company constructed a new hydroelectric power plant at a cost of P25,000,000. The expenditures for this facility, which was finished late in 2021, were incurred evenly during the year. The entity had the following loans among its liabilities outstanding on December 31, 2021:
 - 12% note to finance construction of the hydro-electric power plant, dated January 1, 2021, P10,000,000 that was unpaid as of December 31, 2021. Investments were made on the excess borrowings from this loan and income of P50,000 was realized from deposits and other investments during 2021.
 - 8%, 20-year bonds payable issued at face value on January 1, 2013, P40,000,000.
 - 15%, 5-year mortgage note payable, dated March 1, 2018, P10,000,000.

What is the amount of interest that was capitalized as cost of new building?

- P2,560,000
 - P1,385,000
 - P1,200,000
 - P2,325,000
- On March 1, 2021, Leah Company began construction of a small building. The following expenditures were incurred for construction: March 1, P750,000; April 1, P840,000; May 1, P1,800,000; June 1, P3,000,000; July 1, P1,000,000. The building was completed and occupied on July 1. To help pay for construction P600,000 was borrowed on March 1 on a 12%, three-year note payable. The only other debt outstanding during the year was a P5,000,000, 10% note issued two years ago.

Question 1: The weighted-average accumulated expenditure is

- P3,280,000
 - P 1,010,000
 - P1,093,000
 - P3,030,000
- Note: Answer should be P315,000.*

Question 2: The avoidable interest cost is

- P113,000
 - P315,000
 - P432,500
 - P73,583
- Note: Answer should be P105,000.*

- During 2021, an entity constructed an asset costing P10,000,000. The weighted average accumulated expenditures on the asset during the year totaled P6,000,000. To help pay for construction, P4,400,000 was borrowed at 10% on January 1, 2021, and funds not needed for construction were temporarily invested in short-term securities, yielding P90,000 in interest revenue. Other than the construction funds borrowed, the only other debt outstanding during the year was a P5,000,000, 10-year, 9% note payable dated January 1, 2018. What is the amount of interest that should be capitalized during 2021?
 - P600,000
 - P300,000
 - P494,000
 - P944,000

BIOLOGICAL ASSETS (PAS 41)

Key Definitions:

- **Agricultural activity** is the management by an entity of the biological transformation of biological assets for sale, into agricultural produce, or into additional biological assets.
- **Agricultural produce** is the harvested product of the entity's biological assets.
- A **biological asset** is a living animal or plant.
- **Biological transformation** comprises the processes of growth, degeneration, production, and procreation that cause qualitative or quantitative changes in a biological asset.
- A **group of biological assets** is an aggregation of similar living animals or plants.
- **Harvest** is the detachment of produce from a biological asset or the cessation of a biological asset's life processes.
- **Bearer plant** is a living plant that:
 - ✓ Is used in the production process of agricultural produce.
 - ✓ Is expected to bear produce for more than one period.
 - ✓ Has a remote likelihood of being sold (except as part of incidental scrap sales).

Initial Recognition

- An enterprise should recognize a biological asset or agriculture produce only when the enterprise controls the asset as a result of past events, it is probable that future economic benefits will flow to the enterprise, and the fair value or cost of the asset can be measured reliably.

Measurement

- **Biological assets** should be measured on initial recognition and at subsequent reporting dates at **fair value less costs of disposal**, unless fair value cannot be reliably measured.
- **Agricultural produce** should be measured at **fair value less costs of disposal at the point of harvest**.
- The gain on initial recognition of biological assets at fair value, and changes in fair value of biological assets during a period, are reported in net profit or loss.
- A gain on initial recognition of agricultural produce at fair value should be included in net profit or loss for the period in which it arises.

- **Point of sale costs** includes the following:

- ✓ Commission to brokers and dealers;
- ✓ Levies by regulatory agencies and commodity exchanges;
- ✓ Transfer taxes and duties

- Point of sale costs does not include transport and other costs necessary to get the assets to a market.

- **Bearer plants** are accounted for under PAS 16 using the cost model, or the revaluation model.

- PAS 41 presumes that fair value can be reliably measured for most biological assets. However, that presumption can be rebutted for a biological asset that, at the time it is initially recognized in financial statements. In such a case,

- The asset is measured at cost less accumulated depreciation and impairment losses if the asset does not have a quoted market price in an active market.

- But the enterprise must still measure all of its other biological assets at fair value. If fair value becomes reliably measurable, a switch to fair value less disposal costs is required.

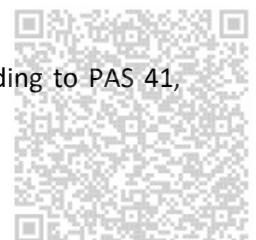
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BIOLOGICAL ASSETS

THEORY

1. Which of the following statements is true about biological assets?
 - a. Biological assets must be valued at cost
 - b. Biological assets are only found in Biotech entities
 - c. Biological assets do not generally have future economic benefits
 - d. Biological assets are living animals or plants and must be reported as a separate item in the statement of financial position
2. According to PAS 41, Agriculture, which of the following criteria must be satisfied before a biological asset can be recognized in an entity's financial statements?
 - I. The entity controls the asset as a result of past events
 - II. It is probable that economic benefits relating to the asset will flow to the entity
 - III. An active market for the asset exists
 - IV. The asset comes from a homogeneous biological group
 - a. I and II only
 - b. II and III only
 - c. I, II and III only
 - d. I, II and IV only
3. The cost of agricultural produce harvested from biological assets is
 - a. Cost
 - b. Fair value
 - c. Lower of cost or net realizable value
 - d. Fair value less estimated point of sale costs at the point of harvest
4. Which of the following is not dealt with by PAS 41?
 - a. The accounting for biological assets
 - b. The processing of agricultural produce after harvesting
 - c. The initial measurement of agricultural produce harvested from biological assets
 - d. The accounting treatment of government grant received in respect of biological assets
5. Agricultural activity
 - a. Is the harvested product of the entity's biological asset
 - b. Is the detachment of agricultural produce from a biological asset or the cessation of a biological asset's life processes
 - c. Is the management by an entity of the biological transformation of biological assets for sale, into agricultural produce, or into another biological asset
 - d. Relates to the processes of growth, degeneration, production and procreation that can cause changes of quantitative or qualitative nature in a biological asset
6. Agricultural activity results in which of the following types of assets?
 - a. Biological assets only
 - b. Agricultural produce only
 - c. Both biological assets and agricultural produce
 - d. Financial assets, contingent assets and agricultural produce
7. Where there is a long aging or maturation process after harvest, the accounting for such products is dealt with by
 - a. PAS 41, Agriculture
 - b. PAS 2, Inventory
 - c. PAS 16, Property, Plant and Equipment
 - d. PAS 40, Investment Property
8. According to PAS 41, Agriculture, which of the following items would be classified as biological asset?
 - a. Chickens
 - b. Eggs
 - c. Land in mango orchard
 - d. Oranges
9. Which of the following items would be classified as agricultural produce, according to PAS 41, Agriculture?
 - a. Apple
 - b. Butter
 - c. Bush
 - d. Tree
10. Under PAS 41, which of the following would be classified as a product that is the result of processing after harvest?



- a. Bananas
 - b. Cheese
 - c. Cotton
 - d. Wool
11. Biological assets are measured at
- a. Cost
 - b. Fair value less costs to sell
 - c. Lower of cost or net realizable value
 - d. Net realizable value
12. Under PAS 41, any gain arising from the initial recognition of biological assets (e.g., when a calf is born) shall
- a. Be recognized in the profit or loss
 - b. Be recognized in the other comprehensive income
 - c. Not be recognized although note disclosure is required
 - d. Be deferred and amortized over the life of the biological asset
13. Which of the following is unlikely to be used in fair value measurement of biological asset?
- a. Quoted market price
 - b. External independent valuation
 - c. The most recent market transactions price
 - d. The present value of the expected net cash flows from the asset
14. Land that is related to agricultural activity is valued
- a. At fair value
 - b. At fair value in combination with the biological asset that is being grown on the land
 - c. At the resale value separate from the biological asset that has been grown on the land
 - d. In accordance with PAS 16, Property, Plant and Equipment, or PAS 40, Investment Property
15. Where there is a production cycle of more than one year, PAS 41 encourages separate disclosure of the
- a. Physical change only
 - b. Price change only
 - c. Physical change and price change
 - d. Total change in value
16. A required disclosure for biological assets.
- I. Aggregate gain or loss arising during the current period on initial recognition of biological assets and agricultural produce and from the change in fair value less costs to sell of biological assets.
 - II. Description of each group of biological assets
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II



INTANGIBLE ASSETS (PAS 38)

Recognition and Initial Measurement

An enterprise to recognize an intangible asset, whether purchased or self-created at cost if, and only if:

- It is probable that the future economic benefits that are attributable to the asset will flow to the enterprise.
- The cost of the asset can be measured reliably.

Initial Measurement and Subsequent Expenditures

- Intangible assets are initially measured at **cost**.
- Subsequent expenditure on an intangible asset after its purchase or completion should be recognized as an **expense** when it is incurred.

Internally Generated Intangible Assets

- To assess whether an internally generated intangible asset meets the criteria for recognition, an entity classifies the generation of the asset into:
 - o Research phase.
 - o Development phase.
- If an entity cannot distinguish the research phase from the development phase of an internal project to create an intangible asset, the entity treats the expenditure on that project as if it were incurred in the research phase only.

Research Phase

- No intangible asset arising from research shall be recognized. Expenditure on research shall be recognized as an expense when it is incurred.
- Examples of **research activities** are:
 - o Activities aimed at obtaining new knowledge.
 - o The search for, evaluation and final selection of, applications of research findings or other knowledge.

Development Phase

- An intangible asset arising from development shall be recognized **if, and only if**, an entity can demonstrate **all** of the following:
 - o The technical feasibility of completing the intangible asset so that it will be available for use or sale.
 - o Its intention to complete the intangible asset and use or sell it.
 - o Its ability to use or sell the intangible asset.
 - o Among other things, the entity can demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or, if it is to be used internally, the usefulness of the intangible asset.
 - o The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset.
 - o Its ability to measure reliably the expenditure attributable to the intangible asset during its development.
- **Examples of development activities are:**
 - o The design, construction and testing of pre-production or pre-use prototypes and models.
 - o The design of tools, jigs, molds and dies involving new technology.
 - o The design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production.

- Internally generated brands, mastheads, publishing

titles, customer lists and items similar in substance shall not be recognized as intangible assets.

Measurement Subsequent to Acquisition

Cost model

After initial recognition, the benchmark treatment is that intangible assets should be carried at cost less any amortization and impairment losses.

Revaluation model

Intangible assets may be carried at a revalued amount (based on fair value) less any subsequent amortization and impairment losses only if fair value can be determined by reference to an active market.

Key Principles on Certain Intangible Assets

Patents

- **Cost** – licensing and registration fees only for applied and registered patents and purchase price and any directly attributable expenditure necessary in preparing the asset for its intended use for purchased patents.
- **Principles on amortization:**
 - Amortization is based on the useful life or legal life (**20 years**), whichever is shorter

Goodwill

- Only purchased goodwill that is recognized as an asset which is the cost in excess of the fair value of the net assets acquired in a business combination. This the premium paid in acquiring another business or ordinary shares when control is achieved.
- Internally generated goodwill shall not be recognized as an asset.
- Methods of **estimating goodwill**:
 - ✓ Capitalization of “average excess earnings”
 - ✓ Capitalization of “average earnings”
 - ✓ Purchase or multiples of “average excess earnings”
 - ✓ Present value of “average excess earnings”

Trademark

- **Cost** – licensing and registration fees only for developed trademarks, cost of research, survey, design and development cost is expensed.
- The legal life of a trademark is **10 years** however it may be renewed for an additional 10-year period for an unlimited number of times. Therefore, the legal life of a trademark is indefinite and is not subject to amortization but instead tested for impairment.

Computer Software

- If the software is an integral part of the hardware for example the operating system of the PC, the cost of the software shall be included in hardware cost.
- Internally developed (whether for use or sale) charge to expense until technological feasibility is achieved.
- Cost to develop the software shall be capitalized once technological feasibility is reached either from the creation of a “working model or a detailed program design”.
- Probable future benefits, intent and ability to use or sell the software, resources to complete the software, and ability to measure cost are also requirements for capitalization.
- The amortization method for computer software should reflect the pattern in which the asset’s future economic benefits are expected to be consumed by the entity. If such pattern cannot be determined reliably, the straight-line method is used.

-- END --

INTANGIBLE ASSETS

THEORY

1. Which is not a characteristic of an intangible asset?
 - a. The asset lacks physical substance
 - b. The asset is used in production or supply of goods and services, for rental to others or for administrative purposes
 - c. The asset provides future economic benefits
 - d. The asset has an indeterminate useful life
2. Under PAS 38, which of the following is a criterion that must be met in order for an item to be recognized as an intangible asset other than goodwill?
 - a. The fair value can be measured reliably
 - b. The item is identifiable and lacks physical substance
 - c. The item is expected to be used in the production or supply of goods or services
 - d. The item is part of the activities aimed at gaining new scientific or technical knowledge
3. An asset meets the identifiability criterion in the definition of an intangible when
 - I. It is separable, meaning, the asset is capable of being separated from the entity and sold transferred, licensed, rented or exchanged regardless of whether the entity intends to do so
 - II. It arises from contractual or other legal rights, regardless of whether those rights, are transferable or separable from the entity or from other rights and obligations
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
4. Under PAS 38, an intangible asset that was acquired separately shall initially be recognized at
 - a. Recoverable amount
 - b. Either cost or fair value at the choice of the acquirer
 - c. Fair value
 - d. Cost
5. After initial recognition, an intangible asset shall be carried using the
 - I. Cost model, meaning, at cost less any accumulated amortization and any accumulated impairment losses
 - II. Revaluation model, meaning at revaluated amount, being the fair value on the date of revaluation, less any subsequent accumulated amortization and any subsequent accumulated impairment losses
 - a. I only
 - b. II only
 - c. Either I or II
 - d. Neither I nor II
6. An entity that acquires an intangible asset may use the revaluation model for subsequent measurement only if
 - a. The intangible asset is a monetary asset
 - b. An active market exists for the intangible asset
 - c. The cost of the intangible asset can be measured reliably
 - d. The useful life of the intangible asset can be reliably determined
7. Which of the following costs should be capitalized when incurred?
 - a. Costs to internally generated goodwill
 - b. Filing fees for a patent
 - c. Organizational costs
 - d. Research and development costs
8. Which of the following statements concerning patents is correct?
 - a. Legal cost incurred to successfully defend a patent should be capitalized and amortized over the patent's remaining useful life
 - b. Legal fees and other direct costs in registering a patent should be capitalized and amortized over 5 years
 - c. Research and development contract services purchased from others and used to develop a patent should be capitalized and amortized over the patent's useful life
 - d. Research and development costs incurred to develop a patent should be capitalized and amortized over 17 years
9. Which of the following confers exclusive right to conduct business in a particular territory?
 - a. Franchise
 - b. Patent-copyright

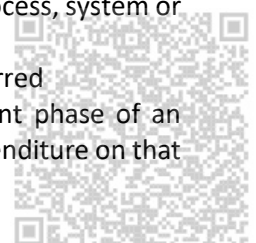


- b. Leasehold improvement
 - d. Trademark
10. Which of these is expensed as incurred by the franchisee for a franchise with an estimated useful life of ten years?
 - a. Initial amount paid to the franchisor for the franchise
 - b. Any initial direct costs incurred in obtaining the franchise
 - c. Legal fees paid to the franchisee's lawyers to obtain the franchise
 - d. Periodic payments to the franchisor based on the franchisee's revenues
11. A large publicly held company has developed and registered a trademark during 2021. How should the cost of developing and registering the trademark be accounted for?
 - a. Charged to an asset account that should not be amortized
 - b. Expensed as incurred
 - c. Amortized over 20 years if in accordance with management's evaluation
 - d. Amortized over its useful life or 17 years whichever is shorter
12. Goodwill should be recorded in the accounting records only when
 - a. It is internally generated
 - b. It is acquired through the acquisition of another business
 - c. A firm reports above normal earnings for five or more consecutive years
 - d. It can be established that a definite benefit or advantage has resulted to a firm from some items such as good name, capable staff or reputation
13. Goodwill represents the excess of the cost of an acquired company over the
 - a. Sum of the fair values assigned to plant assets less liabilities assumed
 - b. Sum of the fair values assigned to identifiable assets acquired less liabilities assumed
 - c. Sum of the fair values assigned to tangible assets acquired less liabilities assumed
 - d. Sum of the fair values assigned to intangible assets acquired less liabilities assumed
14. What is required with respect to accounting for goodwill?
 - a. Goodwill should be recorded and never adjusted
 - b. Goodwill should be amortized over a five-year period
 - c. Goodwill should be amortized over the expected useful life
 - d. Goodwill should be recorded and periodically evaluated for impairment
15. Which of the following is not a method of computing goodwill?
 - a. Capitalize excess earnings
 - b. Discount the excess earnings for a limited number of years
 - c. Capitalize total average earnings and subtract the fair value of net assets
 - d. All of these are methods of computing goodwill
16. Costs incurred by a company that may develop its own goodwill internally should be
 - a. Expensed in the period incurred
 - b. Capitalized and amortized over the useful life of the goodwill
 - c. Capitalized and amortized as the company profits increased
 - d. Capitalized and amortized over a period not exceeding 40 years
17. The process of assigning the cost of an intangible by charges against periodic revenue, in some systematic and rational manner, is called
 - a. Depletion
 - b. Amortization
 - c. Depreciation
 - d. Allocation
18. Amortization of specific intangible assets results primarily from application of the
 - a. Cost principle
 - b. Full-disclosure principle
 - c. Matching principle
 - d. Revenue principle
19. In accordance with generally accepted accounting principles, which of the following methods of amortization is normally recommended for intangible assets?
 - a. Sum of years digits' method
 - b. Straight line
 - c. Units of production
 - d. Double declining balance
20. Which of the following represents the maximum amortization period mandated by GAAP for amortizable intangible assets?
 - a. 10 years



- b. 20 years
 - c. 40 years
 - d. No arbitrary cap on the useful life has been established
21. A purchased patent has a remaining legal life of 8 years. It should be
- a. Expensed in the year of acquisition
 - b. Amortized over a period of 10 or 20 years
 - c. Amortized over its useful life, if less than 8 years
 - d. Amortized over 8 years regardless of the useful life
22. Legally speaking, a patent should be amortized over
- a. Twenty years
 - b. The useful life
 - c. The useful life or twenty years, whichever is longer
 - d. The useful life or twenty years, whichever is shorter
23. An intangible asset with an indefinite life is one where
- a. The length of life is over 20 years
 - b. The directors feel that the intangible asset will not lose value in the foreseeable future
 - c. There is no foreseeable limit on the period over which the asset will generate cash flows
 - d. There is a contractual or legal arrangement that lasts for a period in excess of five years
24. An intangible asset with an indefinite life is accounted for as follows
- a. Amortized and no impairment test
 - b. Amortized and impairment tests annually
 - c. No amortization but tested for impairment annually
 - d. Amortized and tested for impairment if there is a 'trigger event'
25. In relation to the amortization of intangible assets, if an intangible asset has a finite useful life
- a. It must be amortized over that life
 - b. It is not subject to an annual amortization charge
 - c. It must be amortized over a period not exceeding 40 years
 - d. It must be amortized across a period not exceeding 5 years
26. The residual value of an intangible asset should be presumed zero, unless
- I. There is a commitment by a third party to purchase the asset at the end of its useful life
 - II. There is an active market for the asset and residual value can be determined by reference to that market and it is probable that such market will exist at the end of the asset's useful life
- a. Both I and II
 - b. Neither I nor II
 - c. II only
 - d. I only
27. On January 1, 2016, an intangible asset with a 15-year estimated useful life was acquired. On January 1, 2021, a review was made of the estimated useful life and it was determined that the intangible asset had an estimated total useful life of 25 years since it was acquired. As a result of the review:
- a. The original cost at January 1, 2016 should be amortized over a 20-year life
 - b. The original cost at January 1, 2016 should be amortized over the remaining 10-year life
 - c. The unamortized cost at January 1, 2021 should be amortized over a 20-year life
 - d. The unamortized cost at January 1, 2021 should be amortized over a 15-year life
28. A computer software purchased as an operating system for the hardware or as integral part of a computer-controlled machine tool that cannot operate without the specific software shall be treated as
- a. Expense
 - b. Intangible assets
 - c. Inventory
 - d. Property, plant and equipment
29. Research and development costs, under prevailing practice, may be accounted for as follows
- a. R and D costs related to successful projects should be capitalized; others expensed
 - b. R and D costs related to unsuccessful projects should be capitalized; others expensed
 - c. R and D costs should be expensed as incurred
 - d. R and D costs should be allocated between successful and unsuccessful projects
30. The proper accounting treatment for the costs incurred in creating software product is
- a. To capitalize all costs until the software is sold

- b. To capitalize all costs as incurred until a detailed program design or working model is created
 - c. To charge research and develop expense only if the computer software has alternative future use
 - d. To charge research and development expense when incurred until technological feasibility has been established for the product
31. According to IAS 38 Intangibles, in order to be able to capitalize 'development' outlays an entity must be able to demonstrate the following
- I. Technical feasibility and intention of completing the asset so it will be available for use or sale
 - II. Its ability to reliably measure the expenditure on the development of the asset
 - III. Ability to use or sell the asset
 - IV. How the asset will generate probable future economic benefits
- a. I, II and IV only
 - b. I, II, III and IV
 - c. II, and IV only
 - d. II, III and IV only
32. Which of the following costs related to computer software is capitalized to an intangible asset account?
- a. Cost of customer service
 - b. Cost to duplicate discs and manuals for sale
 - c. Development costs preceding technological feasibility
 - d. Coding and testing costs incurred after technological feasibility but before completing product master
33. A research and development activity for which the cost would be expensed as incurred is:
- a. Modification of the design of a product or conceptual formulation and design of a possible product alternative
 - b. Trouble shooting in connection with breakdowns during commercial production
 - c. Routine design of tools
 - d. Engineering, follow-through in an early phase of commercial production
34. A research and development activity for which the cost would be expensed as incurred is
- a. Design, construction and testing of preproduction prototypes and models
 - b. Quality control during commercial production
 - c. Periodic design changes to existing products
 - d. Adaptation of an existing capability to a particular requirement or customer need
35. Which is not considered a research and development activity?
- a. Routine on-going efforts to refine, enrich or improve quality of existing product
 - b. Laboratory research aimed at discovery of new knowledge
 - c. Conceptual formulation and design of possible product or process
 - d. Design, construction and operation of a pilot plant
36. Which of the following is the proper treatment of the cost of equipment used in research and development activities that will have alternative future use?
- a. Expensed in the year in which the research and development project started
 - b. Capitalized and depreciated over the term of the research and development project
 - c. Capitalized and depreciated over the estimated useful life
 - d. Either capitalized or expensed but not both, depending on the term of the research and development project
37. Which statement is incorrect concerning research and development?
- a. Research is original and planned investigation undertaken with the purpose of gaining new scientific and technical knowledge and understanding
 - b. Development is application of research finding or other knowledge to a plan or design for production of new or substantially improved material, device, product, process, system or service, prior to the commencement of commercial production or use
 - c. Expenditure on research shall be recognized as an expense when it is incurred
 - d. If an entity cannot distinguish the research phase from the development phase of an internal project to create an intangible asset, the entity shall treat the expenditure on that project as if it were incurred in the development phase only
38. Operating losses incurred during the start-up years of a new business should be
- a. Accounted for and reported like the operating losses of any other business



- b. Written off directly against retained earnings
 - c. Capitalized as a deferred charge and amortized over five years
 - d. Capitalized as an intangible asset and amortized over a period not to exceed 20 years
39. Start-up costs including legal fees incurred to organize a new entity should be
- a. Expensed as incurred
 - b. Capitalized and never amortized
 - c. Capitalized and amortized over 5 years
 - d. Capitalized and amortized over 40 years

PROBLEMS

1. On January 1, 2020, Cindy Enterprises, Inc. developed a new machine that reduces the time required to insert the fortunes into their fortune cookies. Because the process is considered valuable to the fortune cookie industry, it had the machine patented. The following expenses were incurred in developing and patenting the machine:

Research and development laboratory expenses	P250,000
Metal used in construction of the machine	80,000
Blueprints expenses to design the machine	32,000
Legal expense to obtain patent	120,000
Wages and employees work on the research, development, and building of the machine; 60% of the time was spent in actual building of the machine	150,000
Expense of drawing required by the patent office to be submitted with the patent application	17,000
Fees paid to Government patent office to process application	24,500

On January 2, 2021, it paid P35,200 in legal fees to successfully defend the patent against an infringement suit by X Company. What is the carrying value of the patent on December 31, 2021?

- a. P142,500
 - b. P145,350
 - c. P175,500
 - d. P178,697
2. Keyslyn Company developed a trademark to distinguish its product from those of its competitors. Through advertising and other means, the company is seeking to establish significant product identification to increase future sales. The similarity between the trademark costs and other intangible and operating costs has caused some confusion over property accounting. The following items are being treated as part of the cost of the trademark:

Marketing research to study consumer tastes	P400,000
Design costs of trademark	1,500,000
Legal fees of registering trademark	150,000
Advertising to establish recognition of trademark	200,000
Registration fee with Patent Office	50,000

Through renewals, the trademark is expected to have an unlimited life. The cost to be capitalized as trademark should be:

- a. P1,700,000
 - b. P1,900,000
 - c. P2,300,000
 - d. P2,100,000
3. Information concerning Alondra Corporation’s intangibles is as follows:
- On January 1, 2021, it signed an agreement to operate a franchise of X, Inc. for an initial franchise fee of P85,000. Of this amount, P25,000 was paid when the agreement was signed and the balance is payable in four annual payments of P15,000 each beginning January 1, 2022. The present value on January 1, 2021, of the four annual payments discounted at 14% (the implicit rate for a loan at this type) is P43,700. The agreement also provides that 5% of the revenue from the franchise must be paid to the franchisor annually. The company’s revenue from the franchise for 2021 was P900,000. Tina estimates the useful life of the franchise to be ten years.
 - The company incurred P78,000 of experimental and development costs in its laboratory to develop a patent which was granted on January 2, 2021. Legal fees and other costs associated with registration of the patent totaled P48,000. It estimates that the useful life of the patent will be eight years.

- A trademark was purchased from Y Company for P40,000 on July 1, 2018. It estimates that the useful life of the trademark will be 20 years from the date of acquisition. On July 1, 2021, the company incurred expenditures amounting to P68,000 in connection with a successful defense of the trademark.

Question 1: Amortization of intangibles for 2021 is:

- a. P10,870
- b. P14,870
- c. P16,870
- d. None of the above

Question 2: The unamortized cost of intangibles on December 31, 2021 is:

- a. P42,000
- b. P136,830
- c. P202,830
- d. None of the above

4. During 2021, Jefferson Corporation incurred costs to develop and produce a routine, low-risk computer software product, as follows:

Completion of detailed program design	P13,000
Costs incurred for coding and testing to establish technological feasibility	10,000
Other coding costs after establishment of technological feasibility	24,000
Other testing costs after establishment of technological feasibility	20,000
Costs of producing product masters for training materials	15,000
Duplication of computer software and training materials from product masters (1,000 units)	25,000
Packaging product (500 units)	9,000

Question 1: In its December 31, 2021 balance sheet, what amount should be reported as inventory?

- a. P25,000
- b. P34,000
- c. P40,000
- d. P49,000

Question 2: In its December 31, 2021 balance sheet, what amount should be capitalized as software cost, subject to amortization?

- a. P54,000
- b. P57,000
- c. P59,000
- d. P69,000

5. Rezel Company is an established computer software company. In 2021, the firm incurred the following costs in the process of designing, developing and producing a new software program using the X technology to access the Internet:

Designing and planning	P1,000,000
Code development	1,500,000
Testing	500,000
Production of product master	2,500,000

In 2022, it incurred P1,000,000 in costs to produce the software program for sale in 2022. The costs of designing and planning, code development and testing were all incurred before the technological feasibility of the product was established. It began marketing the software program in 2022 and earned revenues of P2,400,000 in 2022. It estimates that total revenues over the 4-year life of the product will be P12,000,000. At the end of 2022, it was offered P4,000,000 for the rights to distribute the software.

How much of the R and D and production costs will be expensed in 2021?

- a. P5,500,000
- b. P3,000,000
- c. P3,500,000
- d. P3,625,000

How much of the R and D and production costs will be expensed in 2022?

- a. P1,625,000
- b. P1,500,000
- c. P700,000
- d. P875,000



	<u>Carrying amount</u>	<u>Fair value</u>
Property, plant and equipment, net	50,000,000	57,500,000
Other assets	5,000,000	0
Long-term debt	30,000,000	28,000,000

What amount should be reported as goodwill in the December 31, 2021 consolidated statement of financial position of the acquirer and its wholly-owned subsidiary?

- a. P3,500,000
b. P2,500,000
- c. P7,500,000
d. P8,000,000

7. The owners of Christine Company are contemplating selling the business to new interests. The cumulative net earnings for the past 5 years amounted to P450,000 including one-time gain of P10,000. The annual earnings based on an average rate of return on investment for this industry would have been P76,000. If excess earnings are to be capitalized at 10%, then implied goodwill should be:

- a. P120,000
b. P140,000
c. P440,000
d. P450,000

8. Presented below is information related to copyrights owned by Joy Company as of December 31, 2020:

Cost	P8,600,000
Carrying amount	4,300,000
Present value of expected future net cash flows	3,000,000
Fair value	3,200,000

Assume that the company will continue to use the copyright in the future. As of December 31, 2020, the copyright is estimated to have a remaining useful life of 10 years. The fair value of the copyright on December 31, 2021 is P3,400,000. How much is the amortization of the copyright for 2021?

- a. P288,000
b. P320,000
c. P420,000
d. P520,000

9. Ernest Company is a new computer software company. In 2020, the firm incurred the following costs in the process of designing, developing and producing its first new software package, which it expects to begin marketing in 2021.

Designing and planning costs	P150,000
Additional software development costs	400,000
Cost of developing code	240,000
Testing	60,000
Production of product masters	500,000

The costs of designing and planning, code development, and testing were all incurred before the technological feasibility of the product had been established. It estimates that total revenues over the four-year life of the product will be P2,000,000, with P800,000 in revenues expected in 2021. The pattern of future sales cannot be measured reliably. Assume that the net realizable value of the computer software costs is estimated as of December 31, 2021 to be P500,000, how much is the impairment loss to be reported?

- a. P 0
b. P160,000
c. P200,000
d. P260,000



CURRENT LIABILITIES (PAS 1)

PROVISIONS, CONTINGENT LIABILITIES, AND
CONTINGENT ASSETS (PAS 37)

Liabilities

- The essential **characteristics** of a liability are:
 - ✓ The liability is a present obligation of a particular entity.
 - ✓ The obligation is to transfer an economic resource. The obligation must be to pay cash, transfer noncash asset or provide service at some future time.
 - ✓ The liability arises from past transaction or event.
- o **Balance Sheet Classifications**
 - **Current liabilities** – are based on the following criteria:
 - ✓ it is expected to be settled in the entity’s normal operating cycle;
 - ✓ it is held primarily for the purpose of being traded;
 - ✓ it is due to be settled within 12 months after balance sheet date;
 - ✓ the entity does not have an unconditional right to defer settlement of the liability for at least 12 months after balance sheet date.
- o **Treatment of Currently Maturing Long-term Debt that is Refinanced on a Long-term Basis –**
 - **Current** – if the original term was for a period longer than 12 months and an agreement to refinance or to reschedule payment on a long-term basis is completed **after** balance sheet date and **before** the financial statements are authorized for issue.
 - **Noncurrent** – if the refinancing is completed **on or before** balance sheet date and the refinancing is an adjusting event. Also, if the entity has the discretion to refinance or roll over an obligation for **at least 12 months** after balance sheet date. Note that the refinancing or rolling over must be at the discretion of the entity; otherwise, such obligation is classified as current liability.
- o **Effect of Breach of Covenants**
 - **Current** – the liability becomes payable on demand even if the lender has agreed not to demand payment after the balance sheet date and before financial statements are authorized for issue.

- **Noncurrent** – if the lender has agreed on or before balance sheet to provide a grace period ending at least 12 months after balance sheet date.

Provisions

- o **Definition** – they represent those liabilities of uncertain timing or amount of the future expenditure required in settlement. They are equal to estimated liabilities or loss contingencies that are accrued because they are both probable and measurable.
- o **Recognition** - recognized in the balance sheet when, and only when:
 - ✓ An enterprise has a present obligation as a result of a past event;
 - ✓ It is probable (i.e., more likely than not to occur – more than 50% likely) that an outflow of resources embodying economic benefits will be required to settle the obligation; and
 - ✓ A reliable estimate can be made of the amount of the obligation.

Contingent Liabilities

- o **Definitions:**
 - ✓ **Possible obligations** from past events that will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise; or
 - ✓ **Present obligations** from past events but are not recognized because they are not probable that an outflow of resources will be required to settle the obligation, or the obligation cannot be measured reliably.
- o **Recognition** – should not be recognized but should be disclosed, unless the possibilities of an outflow of resources are remote.

Contingent Assets

- o **Definition** – possible assets from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise.
- o **Recognition** – should not be recognized but disclosed where inflows of economic benefits are probable.
- o The **disclosure** includes a brief description of the contingent asset and an estimate of its financial effects. If contingent assets are only possible or remote, no disclosures are required.

-- END --



CURRENT LIABILITIES

THEORY

1. Current liabilities include
 - a. Only obligations which are expected to be settled within the normal operating cycle
 - b. Only obligations which are due to be settled within one year from balance sheet date
 - c. Obligations which are expected to be settled within the normal operating cycle and obligations which are due to be settled within one year from balance sheet date
 - d. Refinanced long-term debt falling due within one year from balance sheet
2. A present obligation should be accrued when
 - a. It is probable at the date of the financial statements that a liability has been incurred and the amount can be reasonably estimated
 - b. The obligation has been incurred on the date of the financial statements and the amount may be material
 - c. It is probable that the obligation will be incurred in a future period and the amount can be reasonably estimated
 - d. It is probable at the date of the financial statements that an obligation has been incurred and the amount may be material
3. An outflow of resources embodying future economic benefits it is regarded as “probable” when
 - a. The event is more likely than not to occur, meaning, the probability that the event will occur is greater than the probability that the event will not occur
 - b. The probability that the event will not occur is greater than the probability that the event will occur
 - c. The probability that the event will occur is the as the probability that the event will not occur
 - d. The probability that the event will occur is 90% likely
4. It is an event that creates a legal or constructive obligation because the enterprise has no other realistic alternative but to settle the obligation
 - a. Event after balance sheet date
 - b. Adjusting event
 - c. Non-adjusting event
 - d. Obligating event
5. Which is not an essential characteristic of an accounting liability?
 - a. The liability is the present obligation of a particular enterprise
 - b. The liability arises from past transaction or event
 - c. The settlement of the liability requires an outflow of resources embodying economic benefits
 - d. The liability is payable to a specifically identified payee
6. Which of the following items would be excluded from current liabilities?
 - a. Normal accounts payable which had been assigned by the creditor to a finance company
 - b. Long-term debt callable within one year or less because the debtor violated a debt provision
 - c. A short-term debt which at the discretion of the entity can be rolled over at least twelve months after the balance sheet date
 - d. A long-term liability callable or due on demand by the creditor even though the creditor has given no indication that the debt will be called
7. Which item is not a current liability?

a. Unearned revenue b. Stock dividends distributable	c. The currently maturing portion of long-term debt d. Trade accounts payable
---	--
8. An accrued expense can be best described as an amount
 - a. Paid and currently matched with earnings
 - b. Paid and not currently matched with earnings
 - c. Not paid and not currently matched with earnings
 - d. Not paid and currently matched with earnings



9. Which of the following is an accrued liability?
- Cash dividends payable
 - Wages payable
 - Rent revenue collected one month in advance
 - Portion of long-term debt payable in current year
10. Under PAS 37, a “provision” is recognized
- When there is a possible obligation arising from past event
 - When management decides that it is essential that a provision be made
 - When there is a legal obligation arising from a past event, the probability of the outflow of resources is less than probable, and a reliable estimate can be made
 - When there is a constructive obligation as a result of a past event, the outflow of resources is probable, and a reliable estimate can be made of the amount of the obligation
11. It is an existing liability of uncertain amount or uncertain timing
- Contingent liability
 - Unearned income
 - Discount on note payable
 - Provision
12. A provision is recognized in the balance sheet when and only when
- An enterprise has a present obligation, legal or constructive, as a result of a past event
 - It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation
 - A reliable estimate can be made of the amount of the obligation
- I, II and III
 - I only
 - II and III
 - II only
13. Estimated liabilities are disclosed in financial statements by
- Footnote to the financial statements
 - Showing the amount among the liabilities but not extending to the liability total
 - An appropriation of retained earnings
 - Appropriately classifying them as regular liabilities in the balance sheet
14. A manufacturer of household appliances has potential costs due to the discovery of a defect in one of its products. The occurrence of the loss is probable, and the costs can be reasonably estimated. This present obligation should be
- Accrued and disclosed as a liability
 - Neither accrued nor disclosed as a liability
 - Accrued as a liability but not disclosed
 - Disclosed but not accrued as a liability
15. On September 1, 2021, a company borrowed cash and signed a two-year interest-bearing note on which both the principal and interest are payable on September 1, 2023. How many months of accrued interest would be included in the liability for accrued interest on December 31, 2021 and December 31, 2022?
- | <u>Dec. 31, 2021</u> | <u>Dec. 31, 2022</u> | <u>Dec. 31, 2021</u> | <u>Dec. 31, 2022</u> |
|----------------------|----------------------|----------------------|----------------------|
| a. 4 months | 16 months | c. 12 months | 24 months |
| b. 4 months | 4 months | d. 20 months | 8 months |
16. On September 1, 2021, a company borrowed cash and signed a one-year interest bearing on which both the principal and interest are payable on September 1, 2022. How will the note payable and the accrued interest be classified on December 31, 2021 balance sheet?
- | <u>Note payable</u> | <u>Accrued interest</u> |
|-------------------------|-------------------------|
| a. Current liability | Noncurrent liability |
| b. Noncurrent liability | Current liability |
| c. Current liability | Current liability |
| d. Noncurrent liability | No entry |
17. A retail store received cash and issued gift certificate that is redeemable in merchandise. When the gift certificate was issued, a
- Deferred revenue account should be decreased
 - Deferred revenue account should be increased
 - Revenue account should be decreased
 - Revenue account should be increased
18. Magazine subscriptions collected in advance are treated as
- Contra account to magazine subscriptions receivable



- b. Deferred revenue in the liability section
 - c. Deferred revenue in the stockholders' equity section
 - d. Magazine subscription refunds in the income statement in the period collected
19. A company receives an advance payment for special order goods that are to be manufactured and delivered within six months. The advance payment should be reported in the company's balance sheet as a
- a. Deferred charge
 - b. Contra asset account
 - c. Current liability
 - d. Noncurrent liability
20. X Company is a retailer of home appliances and offers a service contract on each appliance sold. X sells appliances on installment contracts, but all service contracts must be paid in full at the time of sale. Collections received for service contracts should be recorded as an increase in a
- a. Deferred revenue account
 - b. Sales contracts receivable valuation account
 - c. Stockholders' equity valuation account
 - d. Service revenue account
21. Under a royalty agreement with another enterprise, a company will receive royalties from the assignment of a patent for four years. The royalties received in advance should be reported as revenue
- a. In the period received
 - b. In the period earned
 - c. Evenly over the life of the royalty agreement
 - d. At the date of the royalty agreement
22. How would the proceeds received from the advance sale of nonrefundable tickets for a theatrical performance be reported in the seller's financial statements before the performance?
- a. Revenue for the entire proceeds
 - b. Revenue to the extent of related costs expended
 - c. Unearned revenue to the extent of related costs expended
 - d. Unearned revenue for the entire proceeds
23. On March 31, 2021, X Company received an advance payment of 60% of the sales price for special order goods to be manufactured and delivered within five months. At the same time, X subcontracted for production of the special order goods at a price equal to 40% of the main contract price. What liabilities should be reported in X's March 31, 2021 balance sheet?
- a. None
 - b. Deferred revenue equal to 60% of the main contract price and payable to subcontractor equal to 40% of the main contract price
 - c. Deferred revenue equal to 60% of the main contract price and no payable to subcontractor
 - d. No deferred revenue but payable to subcontractor is reported at 40% of the main contract price
24. A liability for compensated absences, such as vacations, for which it is expected that employees will be paid, should
- a. Be accrued during the period when the compensated time is expected to be used by the employees
 - b. Be accrued during the period following the time at which an employee becomes vested for retirement benefits
 - c. Be accrued during the period when earned
 - d. Never be accrued unless a written obligation exists
25. Where there is a continuous range of possible outcomes and each point in the range is as likely as the other, provision is measured based on
- a. Expected value method
 - b. Probability-weighted-method
 - c. Midpoint of the range of possible outcomes
 - d. Estimate of the individual most likely outcome
26. A contingency is described as
- a. An estimated liability
 - b. A potential small liability
 - c. A potentially large liability



- d. An event which is not recognized because it is not probable that an outflow will be required, or the amount cannot be reasonably estimated
27. Which of the following is the most likely candidate for a contingent liability that can be accrued?
- a. Warranty liability
 - b. Property tax payable
 - c. Potential liability for a lawsuit in which the firm is a defendant
 - d. Potential liability of a product still in the planning stage (no items have been sold)
28. Which of the following is the proper accounting treatment of a contingent asset?
- a. An accrued amount
 - b. Deferred earnings
 - c. An account receivable with an additional disclosure explaining the nature of the transaction
 - d. A disclosure only
29. Contingent assets are usually recognized when
- a. Realized
 - b. Occurrence is reasonably possible, and the amount can be reasonably estimated
 - c. Occurrence is probable and the amount can be reasonably estimated
 - d. The amount can be reasonably estimated
30. On January 17, 2021, an explosion occurred at X Company plant causing extensive property damage to area buildings. Although no claims had yet been asserted against X by March 10, 2022, X’s management and counsel concluded that it is likely that claims will be asserted and that it is reasonably possible X will be responsible for damages. X’s management believed that P1,250,000 would be a reasonable estimate of its liability. X’s P5,000,000 comprehensive public liability policy has a P250,000 deductible clause. In X’s December 31, 2021 financial statements which were issued on March 25, 2022, how should this item be reported?
- a. As an accrued liability of P250,000
 - b. As a footnote disclosure indicating the possible loss of P250,000
 - c. As a footnote disclosure indicating the possible loss of P1,250,000
 - d. No footnote disclosure or accrual is necessary
31. X Company is being sued for illness caused to local residents as a result of negligence on the company’s part in permitting the local residents to be exposed to highly toxic chemicals from its plant. X’s lawyer states that it is probable that X will lose the suit and be found liable for a judgment costing anywhere from P500,000 to P2,500,000. However, the lawyer states that the most probable cost is P1,000,000. As a result of the above facts, X should accrue
- a. A loss of P500,000 and disclose an additional contingency of up to P2,000,000
 - b. A loss of P1,000,000 and disclose an additional contingency of up to P1,500,000
 - c. A loss of P1,000 but not disclose any additional contingency
 - d. No loss but disclose a contingency of P500,000 to P2,500,000

PROBLEMS

1. The trial balance of Michaela Corporation as of December 31, 2021 shows the following, among others.

Estimated premium liability	200,000
Contract entered into for the construction of building	5,000,000
Notes payable (advances from officers)	500,000
Withholding tax payable	100,000
Mortgage payable	3,800,000
Income tax payable	800,000
Accounts payable (trade)	4,000,000
Bank overdraft	300,000
Note receivable discounted	1,500,000
Dividends payable	1,000,000
Notes payable (bank loans – short term)	2,000,000
Estimated warranty liability	600,000
Notes payable (trade)	3,000,000
Estimated damages payable by reason of breach contract	700,000
Accrued liabilities	900,000



Compute the total current liabilities.

- a. P12,600,000

b. P14,100,000
- c. P15,600,000

d. P19,100,000

2. An entity reported accounts payable on December 31, 2021 at P4,500,000 before any necessary year-end adjustments relating to the following transactions:

- On December 27, 2021, the entity wrote and recorded checks to creditors totaling P2,000,000 causing an overdraft of P500,000 in the entity’s bank account on December 31, 2021. The checks were mailed on January 10, 2022.
- On December 28, 2021, the entity purchased and received goods for P750,000, terms 2/10, n/30. The entity recorded purchases and accounts payable at net amount. The invoice was recorded and paid January 3, 2022.
- Goods shipped FOB destination on December 20, 2021 from a vendor to the entity were received January 2, 2022. The invoice cost was P325,000.

On December 31, 2021, what amount should be reported as accounts payable?

- a. P7,575,000

b. P7,250,000
- c. P7,235,000

d. P7,553,500

3. Included in Jan Corporation’s liability account balances on December 31, 2021 were the following:

14% note payable issued October 1, 2021, maturing September 30, 2022	P500,000
16% note payable issued April 1, 2019 payable in six equal annual installments of P200,000 beginning April 1, 2020	600,000

The December 31, 2021 financial statements were issued on March 31, 2022. On January 15, 2022, the entire P800,000 balance of 16% note was refinanced by issuance of a long-term obligation payable in lump sum. In addition, on March 10, 2022, it consummated a noncancelable agreement with the lender to refinance the 14%, P500,000 note on a long-term basis, on readily determinable terms that have not yet been implemented. Both parties are financially capable of honoring the agreement, and there have been no violations of the agreement’s provisions. In the December 31, 2021 balance sheet, the amount of the noted payable that it should classify as short-term obligation is:

- a. P700,000

b. P500,000
- c. P200,000

d. P0

4. An entity has 35 employees who work 8-hour days and are paid hourly. On January 1, 2019, the entity began a program of granting the employees 10 days of paid vacation each year. Vacation days earned in 2019 may first be taken on January 1, 2020.

<u>Year</u>	<u>Hourly Wages</u>	<u>Vacation Days by Each Employee</u>	<u>Earned Vacation Days Used by Each Employee</u>
2019	25.80	10	0
2020	27.00	10	8
2021	28.50	10	10

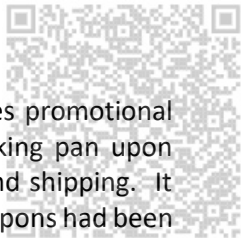
The entity has chosen to accrue the liability for compensated absences at the current rate of pay in effect when the compensated time is earned. What is the accrued liability for compensated absences on December 31, 2021?

- a. P94,920

b. P90,720
- c. P79,800

d. P95,760

5. During 2021, Ezequil Company sold 500,000 boxes of cake mix under a new sales promotional program. Each box contains one coupon, which entitles the customer to a baking pan upon remittance of P4.00. The company pays P5.00 per pan and P0.50 for handling and shipping. It estimates that 80% of the coupons will be redeemed, even though only 300,000 coupons had been processed during 2021. What amount should it report as a liability for unredeemed coupons as of December 31, 2021?



- a. P100,000

b. P150,000
- c. P300,000

d. P500,000

6. On April 1, 2021, Kyla Company began offering a new product for sale under a one-year warranty. Of the 50,000 units in inventory on April 1, 2021, 30,000 had been sold by June 30, 2021. Based on its experience with similar products, it estimated that the average warranty cost per unit sold would be P80. Actual warranty costs incurred from April through June 30, 2021 amounted to P700,000. As of June 30, 2021, what amount should it report as estimated warranty liability?

- a. P900,000

b. P1,600,000
- c. P1,700,000

d. P3,300,000

7. Betania Company sells gift certificates, redeemable for store merchandise that expire one year after their issuance. It has the following information pertaining to its gift certificates sales and redemptions:

Unredeemed at 12/31/2020	P75,000
2021 sales	250,000
2021 redemptions of prior year sales	25,000
2021 redemptions of current year sales	175,000

The company's experience indicates that 10% of gift certificates sold will not be redeemed. In its December 31, 2021 balance sheet, what amount should it report as unearned revenue?

- a. P125,000

b. P112,500
- c. P100,000

d. P50,000

8. Chrisarah Company sells major appliance service contracts for cash. The service contracts are for a one-year, two-year, or three-year period. Cash receipts from contracts are credited to unearned service contract revenue. This account had a balance of P720,000 on December 31, 2021 before year-end adjustment. Service contract costs are charged as incurred to the service contract expense account, which had a balance of P180,000 on December 31, 2021. Outstanding service contracts on December 31, 2021 expire as follows:

During 2022	P150,000
During 2023	225,000
During 2024	100,000

What amount should be reported as unearned service contract revenue in its December 31, 2021 balance sheet?

- a. P540,000

b. P475,000
- c. P295,000

d. P245,000

9. Joana Company sells its products in reusable containers. The customer is charged a deposit for each container delivered and receives a refund for each container returned within two years after the year of delivery. It accounts for the containers not returned within the time limit as being retired by sale at the deposit amount. Information for 2021 is as follows:

Container deposits on December 31, 2020 from deliveries in:

2019	P150,000	
2020	<u>430,000</u>	P580,000

Deposits for containers delivered in 2021 780,000

Deposits for containers returned in 2021 from deliveries in:

2019	P 90,000	
2020	250,000	
2021	<u>286,000</u>	626,000

In its December 31, 2021 balance sheet, the liability for deposits on returnable containers should be:

- a. P494,000

b. P584,000
- c. P674,000

d. P734,000



10. Rosalie Company has several contingent liabilities on December 31, 2021. The auditor obtained the following brief description of each liability:

- In May 2021, the company became involved in litigation. In December 2021, the court assessed a judgment for P1,600,000 against it. The company is appealing the amount of the judgment. Its attorneys believe it is probable that they can reduce the assessment on appeal by 50%. The appeal is expected to take at least a year.
- In July 2021, X City brought action against the company for polluting the X River with its waste products. It is probable that X City will be successful but the amount of damages the company might have to pay should not exceed P1,500,000.
- The company has signed as guarantor for a P1,000,000 loan by Sea Bank to Y Enterprises, a principal supplier to the company. At this time, there is only a remote likelihood that it will have to make payment on behalf of Y Enterprises.

How much should be accrued as provision on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,600,000 | c. P3,100,000 |
| b. P1,500,000 | d. P2,300,000 |

11. During 2021, Christian Company filed suit against X Enterprises seeking damages for patent infringement. On December 31, 2021, the company's legal counsel believed that it was probable that it would be successful against X for an estimated amount of P1,500,000. In March 2022, the company was awarded P1,000,000 and received full payment thereof. In its 2021 financial statements issued February 2022, how should this award be reported?

- a. As a receivable and revenue of P1,000,000
- b. As a receivable and deferred revenue of P1,000,000
- c. As a disclosure of a contingent asset of P1,000,000
- d. As a disclosure of contingent asset of P1,500,000



NOTE PAYABLE AND DEBT RESTRUCTURING (PFRS 9)

Initial measurements

- A note payable **not designated at FVPL** shall be measured initially at fair value minus transaction costs that are directly attributable to the issue of the note payable. Transaction costs are included in the measurement of note payable.
- However, if the note payable is irrevocably **designated at fair value through profit or loss (FVPL)**, the transaction costs are expensed immediately.
- The fair value of the note payable is equal to the present value of the future cash payments to settle the note payable using market rate of interest.

Subsequent measurements

- PFRS 9 provides that after initial recognition, a note payable shall be measured:
 - At **amortized cost** using the effective interest method.
 - At **fair value through profit or loss** if the note payable is designated irrevocably as measured at fair value through profit or loss (FVPL).
- **Amortized cost of note payable**
 - The amortized cost of note payable is the amount at which the note payable is measured initially:
 - Minus principal repayment.
 - Plus or minus the cumulative amortization using the effective interest method of any difference between the face amount and the present value of the note payable.
 - The difference between the face amount and present value is either discount or premium on the issue of note payable.

Note issued solely for cash

- When a note is issued solely for cash the present value is equal to the cash proceeds.

Interest bearing note issued for property

- When a property or noncash asset is acquired by issuing a promissory note which is interest bearing, the property of asset is recorded at the purchase price.
- The purchase price is reasonably assumed to be the present value of the note and therefore, the fair value of the property because the note issued is interest bearing.

Noninterest bearing note issued for property

- When a noninterest bearing note is issued for property, the property is recorded at the cash price of the property.

- The cash price is assumed to be the present value of the note issued.
- The difference between the cash price and the face of the note issued represents the imputed interest.

Fair value option of measuring note payable

- At initial recognition, a note payable may be **irrevocably designated as at fair value through profit or loss (FVPL)**.
- The gain or loss on financial liability designated at fair value through profit or loss shall be accounted for as follows:
 - The change in fair value attributable to the **credit risk** is recognized in **other comprehensive income**.
 - **Credit risk** is the risk that the issuer of the liability would cause a financial loss to the other party by failing to discharge the obligation.
 - Credit risk does not include market risk, such as interest risk, currency risk and price risk.
 - The remaining amount of the change in fair value is recognized in **profit or loss**.
- Under the fair value option, any transaction cost is recognized as outright expense.
- There is no amortization of discount and premium on note payable.

DEBT RESTRUCTURE

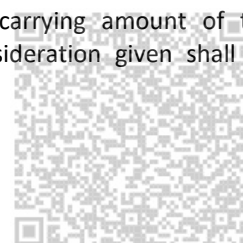
- **Debt restructuring** is a situation where the creditor, for economic and legal reasons related to the debtor's financial difficulties, grants to the debtor concession that would not otherwise be granted in a normal business relationship.

Types of debt restructuring

- ✓ There are three types of debt restructuring, namely:
 - Asset swap
 - Equity swap
 - Modification of terms

Asset swap

- An asset swap is the transfer by the debtor to the creditor of any asset in full payment of an obligation.
- Asset swap is treated as a derecognition of a financial liability or extinguishment of an obligation.
- The difference between the carrying amount of the financial liability and the consideration given shall be recognized in profit or loss.



Dacion en pago accounting

- **Dacion en pago** arises when a mortgaged property is offered by the debtor in full settlement of the debt.
- The transaction shall be accounted for as an **asset swap** form of debt restructuring. This requires of gain or loss based on the balance of the obligation including accrued interest and other charges.
- If the balance of the obligation including accrued interest and other charges is more than the carrying amount of the property mortgaged, there is a gain on extinguishment of debt.
- Otherwise, if the balance of the obligation is less than the carrying amount of property mortgaged, there is a loss on extinguishment.

Equity swap

- An **equity swap** is a transaction whereby a debtor and creditor may renegotiate the terms of a financial liability with the result that the liability is fully or partially extinguished by the debtor issuing equity instruments to the creditor.
- An equity swap is the issuance of share capital by the debtor to the creditor in full or partial payment of an obligation.
- **IFRIC 19** provides that when equity instruments issued to extinguish all or part of a financial liability are recognized initially, an entity shall measure the equity instruments at the fair value of the equity instruments issued, unless that fair value cannot be reliably measured.
- If the fair value of the equity instruments cannot be reliably measured, the equity instruments shall be measured to reflect the fair value of the financial liability extinguished.
- The equity instruments issued to extinguish a financial liability shall be measured at the following amounts in the order of priority:
 1. Fair value of equity instruments issued
 2. Fair value of liability extinguished
 3. Carrying amount of liability extinguished
- The difference between the carrying amount of the financial liability and the initial measurement of the equity instruments issued shall be recognized in profit or loss.

Modification of terms

- Modification may involve either the interest, maturity value or both.
- A **substantial modification** of terms of an existing financial liability shall be accounted for as an extinguishment of the old financial liability and the recognition of a new liability.

- There is substantial modification of terms if the gain or loss on extinguishment is **at least 10%** of the old financial liability.
- The difference between the carrying amount of the old liability and the present value of new or restructured liability shall be accounted for as a gain or loss on extinguishment of debt.
- The **old effective rate** is used in computing the present value of the new liability.
- Any costs or fees incurred as a result of the substantial modification of terms shall be recognized as part of gain or loss on extinguishment.
- If the gain or loss is **less than 10%** of the carrying amount of old liability there is **no substantial modification** of terms.

-- END --



NOTE PAYABLE AND DEBT RESTRUCTURING

1. Marian, Inc. has P2,000,000 of note payable due June 15, 2022. On December 31, 2021, it signed an agreement to borrow up to P2,000,000 to refinance the note payable on a long-term basis. The financing agreement called for borrowings not to exceed 80% of the value of the collateral it was providing. At the date of issue of the December 31, 2021 financial statements, the value of the collateral was P2,400,000. Under the existing loan facility, it has the discretion to refinance or roll over the note payable for at least 12 months after the balance sheet date. In its December 31, 2021 balance sheet, it should classify note payable obligation as:

	<u>Short-term</u>	<u>Long-term</u>		<u>Short-term</u>	<u>Long-term</u>
a.	P2,000,000	P0	c.	P80,000	P1,920,000
b.	P400,000	P1,600,000	d.	P0	P2,000,000

2. Ronaldo Company shows the following balances on December 31, 2021:

Note payable – due December 31, 2021 P1,000,000 Accrued interest payable P200,000

The company is in financial distress and negotiates with the creditor for the settlement of the note payable. Consequently, the company transfers its investment in trading securities to the creditor in full satisfaction of the note payable. The trading securities are carried at P600,000 and have a fair value of P1,100,000. How much is the gain on extinguishment under PFRS?

- | | |
|-------------|-------------|
| a. P100,000 | c. P500,000 |
| b. P200,000 | d. P600,000 |

3. On December 31, 2021, Arriana Company shows the following data with respect to its matured obligation:

Mortgage payable P4,000,000 Accrued interest payable 300,000

The company is threatened with a court suit if it could not pay its maturing debt. Accordingly, the company enters into an agreement with the creditor for the issuance of common stock in full settlement of the mortgage. The agreement provides for the issuance of 35,000 shares of common stock with par value of P100. The common stock is currently quoted at P130 per share. How much is the gain on equity swap under PFRS?

- | | |
|-------------|----------------------|
| a. P 0 | c. P800,000 |
| b. P250,000 | d. None of the above |

4. On December 31, 2021, Yala Company shows the following balances:

Notes payable – due December 31, 2021– 14% P5,000,000
Accrued interest payable 1,000,000

It is granted by the creditor the following concessions on December 31, 2021:

- The accrued interest of P1,000,000 is forgiven
- The principal obligation is reduced to P4,000,000
- The new interest rate is 10%
- The new date of maturity is December 31, 2025

How much is the gain on extinguishment using PAS?

- | | |
|----------------|----------------------|
| a. P 2,000,000 | c. P466,120 |
| b. P2,466,120 | d. None of the above |

5. On December 31, 2021, Lelani Company was experiencing financial difficulties and entered into a debt restructuring agreement with the creditor. The creditor restructured the obligation as follows:

- Reduced the principal note payable from P5,000,000 to P4,500,000.
- Forgave P600,000 of accrued interest.
- Extended the maturity date from December 31, 2021 to December 31, 2024.
- Reduced the interest from 12% to 10%. Interest was payable annually on December 31, 2022, 2023 and 2024.

It should report loss on debt restructuring of:

- | | |
|---------------|----------------------|
| a. P1,100,000 | c. P 0 |
| b. P850,000 | d. None of the above |



BONDS PAYABLE (PFRS 9)

Definitions of a bond:

- A formal unconditional promise under seal to pay a specified sum of money at a determinable future date, and to make periodic interest payments at a stated rate until the principal sum is paid.
- A contract of debt whereby one party called the issuer (debtor) borrows fund from another party called the bondholder (creditor).
- It is a financial instrument since they represent a contractual obligation to pay cash or other financial assets.

Classifications of Financial Liabilities (PFRS 9)

- ✓ Financial liabilities at fair value through profit or loss (FL@FVTPL)
 - 1. Held for trading
 - 2. Designated at fair value through profit or loss
- ✓ Financial liabilities at amortized cost (FL@AC)

Valuation

- **Initial Measurement**
 - Financial liabilities at fair value through profit or loss – shall be measured initially at **fair value**.
 - **Transaction costs** incurred shall be treated as outright expense.
 - Financial liabilities at amortized cost – shall be measured initially at **fair value minus transaction cost**.
- **Subsequent Measurement**
 - Financial liabilities at fair value through profit or loss – shall be measured subsequently at **fair value**.
 - Financial liabilities at amortized cost – shall be measured subsequently at **amortized cost using effective interest method**.

Accounting for Changes in Fair Value

- **Changes in fair value of liabilities held for trading at fair value through profit or loss** – may be recognized as either unrealized gain or loss and be presented in profit or loss.
- **Changes in fair value on liabilities designated as at fair value through profit or loss** – may be recognized as either unrealized gain or loss and be presented as follows:
 - 1. Changes in fair value **not attributable to change in credit risk** present the unrealized gain or loss in the profit or loss.

- 2. Changes in fair value attributable to change in **credit risk**.
 - If it would create or enlarge accounting mismatch in profit or loss, it will be presented in profit or loss.
 - If it would not create or enlarge accounting mismatch in profit or loss, it will be presented in other comprehensive income (OCI).
 - Remaining amount of change in fair value, present the unrealized gain or loss in the profit or loss.

Effective Interest Method

- The **effective rate** is the rate that exactly discounts estimated cash future payments through the expected life of the bonds payable or when appropriate, a shorter period to the net carrying amount of the bonds payable.
- The **nominal rate** is the coupon or stated rate.
- The **effective rate** is the yield or market rate.
 - When bonds are sold at **face amount**, the effective rate and the nominal rate are the same.
 - When bonds are sold at a **premium**, the effective rate is lower than the nominal rate.
 - When the bonds are sold at a **discount**, the effective rate is higher than the nominal rate.
- The **effective interest expense** is determined by multiplying the effective rate by the carrying amount of the bonds.

Presentation

- **Financial Statement Presentation of Financial Liabilities through Profit or Loss** – shall be presented in the current liability section of the statement of financial position.
- **Financial Statement Presentation of Financial Liabilities through Amortized Cost** – the net carrying value is to be reported as part of liabilities section in the statement of financial position. The net carrying value is provided as follows:

	Net carrying value	
1.) Bonds issued at face amount	Face amount	xx
2.) Bonds issued at a discount	Face amount	xx
	Less: Discount	xx
	Net carrying value	xx
3.) Bonds issued at a premium	Face amount	xx
	Add: Premium	xx
	Net carrying value	xx

-- END --

BONDS PAYABLE

THEORY

1. A long-term debt falling due within one year should be reported as noncurrent if the following conditions are met (choose the incorrect one)
 - a. The original term is for a period of more than one year
 - b. The enterprise intends to refinance the obligation on a long-term basis
 - c. The intent to refinance is supported by an agreement to refinance which is completed before the balance sheet date
 - d. The intent to refinance is supported by an agreement to refinance which is completed after the issuance of the financial statements
2. Covenants are often attached to long-term borrowing agreements which represent undertakings by the borrower. Under these covenants, if certain, conditions related to the borrower's financial position are breached, the liability becomes payable on demand. This liability can still be classified as noncurrent
 - a. When the lender has agreed before the balance sheet date not to demand payment
 - b. When it is probable that further breaches or violations will not occur within one year from balance sheet date
 - c. When the lender has agreed before the balance sheet date not to demand payment and it is probable that further breaches will not occur within one year from balance sheet date
 - d. With no conditions
3. If a long-term debt becomes callable due to the violation of a loan covenant
 - a. Cash must be reserved to pay the debt
 - b. The debt must be reclassified as current
 - c. Retained earnings must be restricted in the amount of the debt
 - d. The debt may continue to be classified as long-term if the entity believes the covenant can be renegotiated
4. After initial recognition, an entity shall measure a bond liability at amortized cost using the
 - a. Effective interest method
 - b. Bond outstanding method
 - c. Straight line method
 - d. Either effective interest or straight-line method
5. Bonds payable should be reported as a long-term liability in the balance sheet of the issuer at
 - a. Current market price
 - b. Lower of cost or market
 - c. Issue price, excluding interest at purchase date
 - d. Issue price plus any unamortized bond premium or less any unamortized discount
6. When the effective-interest method is used to amortize bond premium or discount, the periodic amortization would
 - a. Increase if the bonds were issued at a discount
 - b. Increase if the bonds were issued at a premium
 - c. Decrease if the bonds were issued at a premium
 - d. Increase if the bonds were issued at either a discount or a premium
7. If a bond was sold at 108, the stated rate of interest was
 - a. Equal to market rate
 - b. Not related to market rate
 - c. Higher than market rate
 - d. Lower than market rate
8. X Company sold and issued a P100,000, 10% bond at 99. Therefore, the bond
 - a. Sold at a discount because the stated interest rate was lower than the market interest rate
 - b. Was sold at a premium because the stated interest rate was higher than the yield rate
 - c. Sold at a premium because the P1,000 accrued interest is added to the P100,000 face amount
 - d. Was sold for P100,000 less P1,000 of accrued interest
9. Which of the following is correct?
 - a. The yield or effective interest rate on a bond is equal to the stated rate if the bond premium or discount is amortized by using the straight-line method
 - b. The terms, "yield rate", "stated rate", and "market rate" are generally interchangeable when referring to interest on bonds



- c. Interest revenue and expense related to bonds are always computed using the stated rate of interest
 - d. If a bond is sold at its face amount, the stated and effective interest rates are the same
10. Bond issuance costs should be
- a. Expensed in the period when the debt is issued
 - b. Recorded as a reduction in the carrying amount of bonds payable
 - c. Reported as an expense in the period the bonds mature or are retired
 - d. Accumulated in deferred charge account and amortized over the life of the bonds
11. An investor purchased a bond as a long-term investment on January 1. Annual interest was received on December 31. The investor's interest income for the year would be lowest if the bond was purchased at
- a. A discount
 - b. A premium
 - c. Par
 - d. Face value
12. An investor purchased a bond as a long-term investment on January 2. The investor's carrying value at the end of the first year would be highest if the bonds was purchased at a
- a. Discount and amortized by the straight-line method
 - b. Discount and amortized by the effective interest method
 - c. Premium and amortized by the straight-line method
 - d. Premium and amortized by the effective interest method
13. When interest payment dates of a bond are May 1 and November 1, and a bond is purchased on June 1, the amount of cash paid by the investor will be
- a. decreased by accrued interest from June 1 to November 1
 - b. Decreased by accrued interest from May 1 to June 1
 - c. Increased by accrued interest from June 1 to November 1
 - d. Increased by accrued interest from May 1 to June 1
14. For bonds payable, the cash interest paid in each interest period is
- a. The same amount regardless of whether the bond was sold at par, a discount, or a premium
 - b. Different depending upon the date of sale
 - c. Not the same amount when the stated and yield interest rates are different
 - d. Dependent on the initial amount of accrued interest
15. The use of the effective interest method in amortizing a premium on bonds payable would result in
- a. An increasing amount of interest expense and a decreasing carrying amount for the bonds payable
 - b. A decreasing amount of interest expense and an increasing carrying amount for the bonds payable
 - c. A decreasing amount of interest expense and a decreasing carrying amount for the bonds payable
 - d. An increasing amount of interest expense and an increasing carrying amount for the bonds payable
16. Under the effective interest method of bond discount or premium amortization, the periodic interest expense is equal to
- a. The stated (nominal) rate of interest multiplied by the face value of the bonds
 - b. The effective (yield) rate of interest multiplied by the face value of the bonds
 - c. The stated rate multiplied by the beginning-of-period carrying amount of the bonds
 - d. The effective rate multiplied by the beginning-of-period carrying amount of the bonds
17. If bonds are sold at a discount and the effective interest method of amortization is used, interest expense will
- a. Increase from one period to another
 - b. Remain constant from one period to another
 - c. Equal the cash interest payment each period
 - d. Be less than the cash interest payment each period
18. A bond or similar instrument convertible by the holder into a fixed number of ordinary shares of the entity is



- a. A compound financial instrument
 - b. A derivative financial instrument
 - c. A primary financial instrument
 - d. An equity instruments
19. Which statement is incorrect regarding compound financial instruments?
- a. Compound instruments have both a liability and an equity component from the issuer's perspective
 - b. The component parts should be accounted for and presented separately according to their substance based on the definitions of liability and equity
 - c. The split is made at issuance and not revised for subsequent changes in market interest rates, share prices, or other event that changes the likelihood that the conversion option will be exercised
 - d. When the initial carrying amount of a compound financial instrument is required to be allocated to its equity and liability components, the liability component is assigned the residual amount after deducting from the fair value of the instrument as a whole the amount separately determined for the equity component
20. Cash proceeds from the issuance of the convertible bonds should be reported as
- a. Contributed capital for the entire proceeds
 - b. Liability for the fair value of the bond and the balance for the portion of the proceeds attributed to the conversion feature
 - c. A liability for the face amount of the bond and contributed capital for the premium over the face amount
 - d. A liability for the entire proceeds
21. Under PAS 32, which of the following statements about accounting for compound instrument is true?
- I. The issuer shall classify a compound instrument as either financial liability or equity based on the predominant characteristics of the contractual arrangement
 - II. The issuer shall classify the liability or equity components of a compound instrument separately as financial liability and equity components
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
22. When bonds are issued with detachable warrants, what amount is recorded as share premium?
- a. Zero
 - b. The market value of the warrants
 - c. The excess of the proceeds over the fair value of the bonds
 - d. The excess of the proceeds over the face value of the bonds
23. When bonds are converted into ordinary share, the ordinary share is recorded at the carrying value of the bonds and
- a. gains resulting from the transaction are recognized but losses are not recognized
 - b. losses resulting from the transaction are recognized but losses are not recognized
 - c. both losses and gains resulting from the transaction are recognized
 - d. neither gains or losses resulting from the transaction are recognized
24. There is substantial modification of terms of an old financial liability if the gain or loss on extinguishment is
- a. At least 10% of the old liability
 - b. Less than 10% of the old liability
 - c. At least 10% of the new liability
 - d. Less than 10% of the new liability
25. For a troubled debt restructuring involving only a modification of terms, which of the following specified by the new terms would be compared to the carrying amount of the debt to determine if the debtor should report a gain on extinguishment of debt?
- a. The total future cash payments
 - b. The present value of the new debt at the original interest rate
 - c. The present value of the new debt at the modified interest rate
 - d. The amount of future cash payments designated as principal repayments



PROBLEMS

1. On March 1, 2021, Arlyn Company issued at 103 plus accrued interest 4,000 of its 9%, P1,000 face value bonds. The bonds are dated January 1, 2021 and mature on January 1, 2031. Interest is payable semiannually on January 1 and July 1. It paid bond issue cost of P200,000. The company received net cash from the bond issuance of
 - a. P4,320,000
 - b. P4,180,000
 - c. P4,120,000
 - d. P3,980,000

2. On June 30, 2021, Oliver Company issued at 99, five thousand of its 8%, P1,000 face value bonds. The bonds were issued through an underwriter to whom it paid bond issue cost of P425,000. On June 30, 2021, the company should report the bond liability at
 - a. P4,525,000
 - b. P4,950,000
 - c. P5,000,000
 - d. P4,575,000

3. On January 1, 2021, Kimberly Company issued 9% bonds in the face amount of P5,000,000, which mature on January 1, 2031. The bonds were issued for P4,695,000 to yield 10%. Interest is payable annually on December 31. It uses the effective interest method of amortizing bond discount and does not elect the fair value option for reporting financial liabilities. In its December 31, 2021 statement of financial position, what amount should it report as bonds payable?
 - a. P4,695,000
 - b. P4,714,500
 - c. P4,704,750
 - d. P5,000,000

4. On May 1, 2021, Noime issued 11% bonds in the face amount of P1,000,000 that mature on May 1, 2031. The bonds were issued to yield 10% resulting in bond premium of P62,000. It uses the effective interest and pays interest semiannually on November 1 and May 1. In its October 31, 2021 balance sheet, what amount should the company report as unamortized premium?
 - a. P62,000
 - b. P60,100
 - c. P58,900
 - d. P58,590

5. Leomar, Inc. issued P500,000 face amount of 10% bonds with interest payable on January 1 and July 1. The bonds were called in at 103 on July 1, 2021 and retired them. Unamortized bond discount amounted to P40,000 as of July 1, 2021. Ignoring income taxes, how much loss should it report on this early extinguishment of debt?
 - a. P15,000
 - b. P27,200
 - c. P37,400
 - d. P55,000



6. On December 30, 2021, Angelic Company issued 5,000 of its 8% 10-Year, P1,000 face value bonds with detachable share warrants at 110. Each bond carried a detachable warrant for ten ordinary shares of the company at a specified option price of P25 per share. The par value of the ordinary share is P20. Immediately after issuance, the market value of the bonds without the warrants was P5,400,000 and the market value of the warrants was P600,000. In its December 31, 2021 statement of financial position, what amount should it report as bonds payable?
- | | |
|---------------|---------------|
| a. P5,000,000 | c. P4,900,000 |
| b. P4,950,000 | d. P5,400,000 |
7. Kathleen Company issued bonds with detachable stock warrants. Each warrant granted an option to buy one share of P40 par value common stock for P75 per share. 500 warrants were originally issued, and P4,000 was appropriated and credited to warrants. If 90% of these warrants are exercised when the market value price of the common stock is P85 per share, how much should be credited to capital in excess of par?
- | | |
|------------|------------|
| a. P19,350 | c. P23,850 |
| b. P19,750 | d. P24,250 |
8. Jing Company issued P5,000,000 face value 12% convertible bonds at 110 on January 1, 2021 maturing on January 1, 2026 and paying interest semiannually on January 1 and July 1. It is estimated that the bonds would sell only at 103 without the conversion feature. Each P1,000 bond is convertible into 10 ordinary shares with P100 par value. How much is the increase in shareholders' equity arising from the issuance of the convertible bonds on January 1, 2021?
- | | |
|-------------|-------------|
| a. P350,000 | c. P150,000 |
| b. P500,000 | d. P0 |
9. On April 30, 2021, Vincee Corporation had outstanding 12% P1,000,000 face amount, convertible bonds maturing on April 30, 2025. Interest is payable on April 30 and October 31. On April 30, 2021, all these bonds were converted into 40,000 shares of P10 par common stock. On the date of conversion:
- Unamortized bond discount was P30,000.
 - Each bond had a market value of P1,080.
 - Each share of stock had a market price of P28.
- What amount should it record as a loss on conversion of bonds?
- | | |
|-------------|------------|
| a. P150,000 | c. P30,000 |
| b. P110,000 | d. Zero |



LEASES (PFRS 16)

Lessee Accounting

- A lease is defined as a contract or part of a contract that conveys the right to use the underlying asset for a period of time in exchange for consideration.
- To be a lease, a contract must convey the right to control the use of an identified asset.
- The lessee is the entity that obtains the right to use an underlying asset for a period of time in exchange for consideration.
- The lessor is the entity that provides the right to use an underlying asset for a period of time in exchange for consideration.

Right to control the use of an asset

- A contract conveys the right to control the use of an asset if throughout the period of use, the customer has the right to:
 - ✓ **Obtain substantially all of the economic benefits from the use of the identified asset.**
 - The customer can obtain substantially all the economic benefits from the use of the asset by having exclusive use of the asset throughout the period of use.
 - A customer can obtain economic benefits directly or indirectly in many ways, such as using, holding or subleasing the asset.
 - ✓ **Direct use of the identified asset.**
 - A customer has the right to direct use of the asset when the customer has the right to direct how and for what purpose the asset is used throughout the period of use.

OPERATING LEASE

- A lessee is permitted to make an accounting policy election to apply the operating lease accounting and not recognize an asset and lease liability in two optimal exemptions.
 - ✓ Short-term lease.
 - ✓ Low value lease.
- If the lessee elects to apply the operating lease accounting under the two exemptions, the lessee shall recognize the lease payments as an expense in either a straight-line basis over the lease term or another systematic basis.
- Under the operating lease model, the periodic rental is simply recognized as rent expense on the part of the lessee.

Short-term lease

- A short-term lease is a lease that has a term of 12 months or less at the commencement date of the lease.

Low value lease

- A lessee shall assess the value of an underlying asset based on the value of the asset when it is new regardless of the age of the asset being leased.
- A lease of an underlying asset does not qualify as a low value lease if the nature of the asset is such that the asset is typically not of low value when new.

FINANCE LEASE – transfers substantially all the risks and rewards incidental to ownership.

Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- ✓ The lease **transfers ownership** of the asset to the lessee by the end of the lease term.
- ✓ The lessee has the **option to purchase** the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the

inception of the lease, that the option will be exercised.

- ✓ The lease term is for the **major part** of the economic life of the asset even if title is not transferred.
- ✓ At the inception of the lease the present value of the minimum lease payments amounts to at least **substantially all** of the fair value of the leased asset.
- ✓ The leased assets are of such a **specialized nature** that only the lessee can use them without major modifications.

Finance lease model for lessee

- At the commencement date, a lessee shall recognize a **right of use asset** and a **lease liability**.
- A lessee is required to initially recognize a right of use asset for the right to use the underlying asset over the lease term and a lease liability for the obligation to make payments.
- All leases shall be accounted for by the lessee as a finance lease under the new lease standard.
- The underlying asset is the subject of a lease for which the right to use that asset has been provided by the lessor to the lessee.

Initial measurement of right of use asset

- A right of use asset is defined as an asset that represents the right of a lessee to use an underlying asset over the lease term in a finance lease.
- The lessee shall measure the right of use asset at cost at commencement date.
- The **cost** of right of use asset comprises:
 - ✓ The amount of initial measurement of the lease liability or the present value of lease payments.
 - ✓ Lease payments made to lessor at or before commencement date, such as lease bonus, less any lease incentives received.
 - ✓ Initial direct costs incurred by the lessee.
 - ✓ Estimate cost of dismantling, removing and restoring the underlying asset for which the lessee has a present obligation.

Subsequent measurement of right of use asset

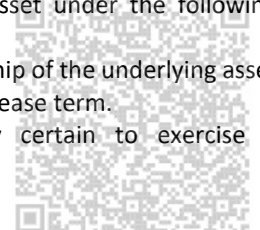
- A lessee shall measure the right of use asset applying the cost model.
- To apply the cost model, the lessee shall measure the right of use asset at cost less any accumulated depreciation and impairment loss.
- Moreover, the carrying amount of the right of use asset is adjusted for any remeasurement of the lease liability.

Presentation of right of use asset

- The lessee shall present the right of use as a separate line item in the statement of financial position.
- As an alternative, the lessee may include the right of use asset in the appropriate line item within which the corresponding underlying asset would be presented if owned.

Depreciation of right of use asset

- The lessee shall apply normal depreciation policy for right of use asset.
- The lessee shall depreciate the right of use asset over the useful life of the underlying asset under the following conditions:
 - ✓ The lease transfers ownership of the underlying asset to the lessee at the end of lease term.
 - ✓ The lessee is reasonably certain to exercise a purchase option.



Measurement of lease liability

- At the commencement date, the lessee shall measure the lease liability at the **present value of lease payments**.
- The lease payments shall be discounted using the **interest rate implicit** in the lease.
- If the implicit interest rate cannot be readily determined, the **incremental borrowing rate** of the lessee is used.

Lessor Accounting**OPERATING LEASE – LESSOR**

- A lessor shall recognize lease payments from operating lease as income either on a straight-line basis or another systematic basis.
 - The lessor shall apply another systematic basis if this is more representative of the pattern in which benefit from the use of the underlying asset is diminished.
 - The periodic rental received by the lessor in an operating lease is recognized as rent income.
 - A lessor shall present an underlying asset subject to operating lease in the statement of financial position according to the nature of the asset.
- **Unequal rental payments**
- Lease payments under an operating lease shall be recognized as income on a straight-line basis or another systematic basis.

DIRECT FINANCING LEASE

- **Finance lease classification**
- On the part of the lessor, a finance lease is either:
 - ✓ Direct financing lease.
 - ✓ Sales type lease.
 - The main distinction between the two is the presence or absence of a manufacturer or dealer profit or loss.
 - A direct financing lease recognizes only interest income.
 - A sales type lease recognizes interest income and gross profit on sale.
- **Direct financing lease**
- The lessor in a direct financing lease is actually engaged in the financing business.
 - The income of the lessor is only in the form of interest income.
- **Accounting considerations**
- **Gross investment** – this is equal to the gross rentals for the entire lease term plus the absolute amount of the residual value, whether guaranteed or unguaranteed.
 - **Net investment in the lease** – this is equal to the cost of the asset plus any initial direct cost paid by the lessor.
 - **Unearned interest income** – this is the difference between the gross investment and net investment in the lease.
 - **Initial direct cost** – in a direct financing lease, the initial direct cost paid by the lessor is added to the cost of the asset to get the net investment in the lease. The initial direct cost would effectively spread the initial direct cost over the lease term and reduce the amount of interest income.

SALES TYPE LEASE

- The lessor in a sales type lease is actually a manufacturer or dealer that uses the lease as a means of facilitating the sale of product.
- A sales type lease involves the recognition of a manufacturer or dealer profit on the transfer of the asset to the lessee in addition to the recognition of interest income.

○ **Accounting considerations**

- **Gross investment** – equal to the gross rentals for the entire lease term plus the absolute amount of the residual value, whether guaranteed or unguaranteed.
- **Net investment in the lease** – equal to the present value of the gross plus the present value of the residual value, whether guaranteed or unguaranteed.
- **Unearned interest income** – difference between the gross investment and net investment in the lease.
- **Sales** – equal to the net investment in the lease or fair value of the asset, whichever is **lower**.
- **Cost of goods sold** – equal to the cost of the asset sold plus the initial direct cost paid by the lessor.
- **Gross profit** – usual formula of sales minus cost of goods sold.
- **Initial direct cost** – expensed immediately in a sales type lease as component of cost of goods sold.
- A manufacturer or dealer lessor shall recognize selling profit or loss in income for the period in accordance with the policy followed by the entity for outright sale.

SALE AND LEASEBACK

- A sale and leaseback is an arrangement whereby one party sells an asset to another party and then immediately leases the asset back from the new owner.
- Thus, the seller becomes a seller-lessee and the buyer, a buyer-lessor.

○ **Measurement of right of use asset**

- The seller-lessee shall measure the right of use asset arising from the leaseback at the proportion of the previous carrying amount of the asset that relates to the **right of use retained by the seller-lessee**.
- The cost of right of use asset is equal to a fraction whose numerator is the present value of lease liability and whose denominator is the sale price or fair value multiplied by the carrying amount of the asset.

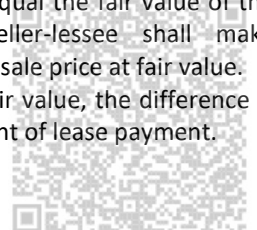
○ **Gain or loss to be recognized**

- The gain or loss that pertains to the right retained by the seller-lessee is not recognized.
- The right retained by the seller-lessee is the proportion of the initial lease liability in relation to the sale price or fair value of the asset.
- The gain or loss that pertains to the right transferred to the buyer-lessor is recognized.
- The right transferred to the buyer-lessor is the sale price or fair value of asset minus the initial lease liability.

○ **Books of buyer-lessor**

- The buyer-lessor shall account for the purchase of the asset applying lessor accounting standard.
- If the sale price does not equal the fair value of the underlying asset, the seller-lessee shall make adjustment to measure the sale price at fair value.
- If the sale price is below fair value, the difference is accounted for as prepayment of lease payment.

-- END --



LEASES

THEORY

1. The lessee may apply the operating lease model under what condition?
 - a. Short-term lease
 - b. Low value lease
 - c. Both short-term lease and low value lease
 - d. Under all circumstances
2. A short-term lease is defined as
 - a. Twelve months or less
 - b. Six months or less
 - c. Twelve-month lease with a purchase option
 - d. Two-year lease with option to terminate
3. Which statement is true about low value lease?
 - a. The value of an underlying asset is based on the value of the asset when new regardless of the age of the asset
 - b. The term of a low value lease may be more than twelve months
 - c. An underlying asset does not qualify as low value lease if the nature of the asset is such that the asset is typically not of low value when new
 - d. All of these statements are true about low value lease
4. Under IFRS 16, a lessee is required to account for all leases as finance lease and recognize
 - a. Right of use asset and lease liability
 - b. Right of use asset but not lease liability
 - c. Lease liability but not right of use asset
 - d. Neither right of use asset nor lease liability
5. The cost of right of use asset comprises all, except
 - a. The present value of lease payments
 - b. Lease payment made to lessor on or before commencement date
 - c. Initial direct cost incurred by lessee
 - d. Estimated cost of dismantling and restoring the underlying asset for which the lease has no present obligation
6. What is the cost basis of an asset acquired by a lease which is in substance an installment purchase?
 - a. the net realizable value of the asset determined at the date of the lease agreement plus the sum of the future minimum lease payments under the lease
 - b. the sum of the future minimum lease payments under the lease
 - c. the present value of the amount of the future minimum lease payments under the lease discounted at an appropriate rate
 - d. the present value of the market price of the asset discounted at an appropriate rate as an amount to be received at the end of the lease
7. Under PFRS 16, minimum lease payments may include
 - a. Bargain purchase option
 - b. Guaranteed residual value
 - c. Periodic rental payments
 - d. Any of these
8. The interest rate implicit in the lease is the discount rate that causes the aggregate of the present value of the minimum lease payments and the unguaranteed residual value to be equal to the
 - a. Fair value of the lease asset
 - b. Fair value of the lease asset and initial direct costs of the lessor
 - c. Fair value of the lease asset and initial direct costs of the lessee
 - d. Gross investment in the lease
9. In computing depreciation of a right of use asset, the lessee should subtract
 - a. A guaranteed residual value and depreciate over the life of the asset
 - b. A guaranteed residual and depreciate over the term of the lease
 - c. An unguaranteed residual value and depreciate over the life of the asset
 - d. An unguaranteed residual value and depreciate over the term of the lease
10. The concept that is principally used to classify leases into operating and finance from the point of view of the lessor is
 - a. Completeness
 - b. Neutrality
 - c. Prudence
 - d. Substance over form
11. The classification of a lease from the point of view of the lessor is normally carried out



- a. At the end of the lease term
 - b. At the inception of the lease
 - c. When the entity deems it necessary
 - d. After a "cooling off" period of one year
12. The basic accounting issue for a lessor is
 - a. Revenue recognition during the lease term
 - b. Expense recognition during the lease term
 - c. Computing depreciation over the lease term
 - d. Determination of the cost of the leased asset
13. Under PFRS 16, lessors are required to account for lease receipts from operation leases as
 - a. Revenue, at the end of the lease term
 - b. Income, on inception date of the lease
 - c. Income, on a straight-line basis over the lease term
 - d. Revenue, on a reducing balance basis over the lease term
14. When should a lessor recognize in income a nonrefundable lease bonus paid by a lessee in an operating lease?
 - a. When received
 - b. At the inception of the lease
 - c. At the lease expiration
 - d. Over the lease term
15. As an inducement to enter a lease, a lessor granted a lessee 12 months of free rental under a 5-year operating lease. The lease was effective on January 1, 2020 and provides for monthly rental payments to begin January 1, 2021. The lessee made the first rental payments on December 31, 2020. In its 2020 income statement, the lessor should report rental revenue in an amount equal to
 - a. Zero
 - b. Cash received during 2020
 - c. One-fifth of the total cash to be received over the life of the lease
 - d. One-fourth of the total cash to be received over the life of the lease
16. Which of the following is a correct statement of one of the lease capitalization criteria from the point of view of the lessor?
 - a. The lease contains a purchase option
 - b. The lease transfers ownership of the property to the lessor
 - c. The lease term is equal to or more than 75% of the economic life of the property
 - d. The minimum lease payments equal or exceed 90% of the fair value of the property
17. Which is the correct accounting treatment for a finance lease in the accounts of a lessor?
 - a. Treat as a noncurrent asset equal to net investment in lease. Recognize all finance payments in income statement
 - b. Treat as a receivable equal to gross amount receivable on lease. Recognize finance payments in cash by reducing debt
 - c. Treat as a receivable equal to net investment in the lease. Recognize finance payment by reducing debt and taking interest to income statement
 - d. Treat as a receivable equal to net investment in the lease. Recognize finance payments in cash by reduction debt
18. Which of the following statements in relation to initial direct costs is correct?
 - a. In a direct financing lease, initial direct costs are added to the net investment in the lease
 - b. In a sales-type lease, initial direct costs are expensed in the year of incurrence
 - c. For operating lease, initial direct costs are deferred and allocated over the lease term
 - d. All of the statements are correct
19. Which of the following statements characterizes a sales type lease?
 - a. The lessor recognizes only interest revenue over the life of the asset
 - b. The lessor recognizes only interest revenue over the lease term
 - c. The lessor recognizes a dealer's profit at lease inception and interest revenue over the lease term
 - d. The lessor recognizes a dealer's profit at lease inception and interest revenue over the asset life
20. Under a sales-type lease
 - a. The sale price includes the present value of the unguaranteed residual value
 - b. The gross profit is the same whether the residual value is guaranteed or unguaranteed



- c. The present value of guaranteed residual is deducted to determine the cost of goods sold

d. None of these
21. Gross investment in the lease is the
 - a. Aggregate of the minimum lease payments under a finance lease of the lessor and any unguaranteed residual value accruing to the lessor
 - b. The minimum lease payments under a finance lease of the lessor
 - c. Present value of minimum lease payments under a finance lease of the lessor and any unguaranteed residual value
 - d. Present value of the minimum lease payments under a finance lease of the lessor
22. Which of the following would not be included in the lease receivable account?
 - a. A bargain purchase option
 - b. Guaranteed residual value
 - c. Unguaranteed residual value
 - d. All would be included
23. Which of the following statements characterizes lessor accounting for residual values?
 - a. Guaranteed residual values are included in the gross investment amount, but unguaranteed residual values are excluded from the gross investment
 - b. Unguaranteed residual values are included in the gross investment amount, but guaranteed residual values are excluded from the gross investment
 - c. Guaranteed residual values and unguaranteed residual values are excluded from the gross investment
 - d. Guaranteed residual values and unguaranteed residual values are included in the gross investment
24. Under a finance lease that includes a bargain purchase option, how is depreciation on the asset under lease recognized by

	<u>Lessor</u>	<u>Lessee</u>
a.	Not recognized	Depreciate over lease term
b.	Not recognized	Depreciate over remaining life
c.	Depreciate over remaining life	Depreciate over remaining life
d.	Depreciate over remaining life	Not recognized
25. In a sale and leaseback arrangement, the lessee is also
 - a. The new owner of the property
 - b. The buyer
 - c. The seller
 - d. A third party guarantor
26. The lessor must classify a sale-and-leaseback arrangement as a(n)
 - a. Operating lease or a finance lease
 - b. Operating lease or a sales-type lease
 - c. Direct financing lease or an operating lease
 - d. Direct financing lease or a sales-type lease
27. A lease transaction that involves the sale of an asset that is then leased back to the seller for all or part of its remaining economic life is known as
 - a. A sale and leaseback
 - b. An operating lease
 - c. A novated lease
 - d. A leveraged lease

PROBLEMS

1. Jackeline Corporation is in the business of leasing new sophisticated computer systems. As a lessor of computers, it purchased a new system on December 31, 2021. The system was delivered the same day (by prior arrangement) to X Company, a lessee. The following information are related to the lease transaction:

Cost of system to the company	P550,000
Estimated useful life and lease term	8 years
Expected residual value (unguaranteed)	P 40,000
The company’s implicit rate of interest	12%
X’s incremental borrowing rate	14%
Date of first lease payment	Dec. 31, 2021

Additional information is as follows:

- At the end of the lease, the system will revert to the company
- X is aware of the company’s rate of implicit interest
- The lease rental consists of equal annual payments



- Question 1: The annual lease payment under the lease is
- a. P110,717
 - b. P95,950
 - c. P102,665
 - d. P91,664

- Question 2: The total financial revenue to be earned by the lessor over the lease term is
- a. P257,600
 - b. P183,312
 - c. P271,320
 - d. P335,736

- Question 3: The interest income to be recognized by the lessor in 2022 is
- a. P53,680
 - b. P52,714
 - c. P54,486
 - d. P52,547

- Question 4: The total expenses related to the lease that will be recognized by the lessee in 2022 is
- a. P121,464
 - b. P130,792
 - c. P112,630
 - d. P119,278

- Question 5: The amount to be reported under current liabilities as liability under finance lease as of December 31, 2022 is
- a. P60,239
 - b. P48,611
 - c. P35,715
 - d. P64,963

2. Shella Enterprises has a long-standing policy of acquiring company equipment by leasing. Early in 2021, the company entered into a lease for a new milling machine. The lease stipulates that annual payments will be made for 5 years. The payments are to be made in advance on December 31 of each year. At the end of the 5-year period, it may purchase the machine. The estimated economic life of the equipment is 12 years. The company uses the calendar year for reporting purposes and straight-line depreciation for other equipment. In addition, the following information about the lease is also available:

Annual lease payments	
(including executory costs of P5,000)	P60,000
Purchase option price	P25,000
Estimated fair value of machine after 5 years	P75,000
Implicit rate	10%
Date of first lease payment	Jan. 1, 2021

- Question 1: Amount to be capitalized as an asset for the lease of the milling machine
- a. P229,345
 - b. P224,017
 - c. P244,868
 - d. P275,913

- Question 2: Liability under finance lease as of December 31, 2021
- a. P130,919
 - b. P153,855
 - c. P136,780
 - d. P189,868

Note: Answer should be letter B: P153,855.

- Question 3: Amount to be reported under current liabilities as liability under finance lease as of December 31, 2021
- a. P39,614
 - b. P41,322
 - c. P41,908
 - d. P36,013

- Question 4: Interest expense for the year 2021
- a. P17,435
 - b. P18,987
 - c. P16,902
 - d. P 0

- Question 5: Depreciation expense for the year 2021



- a. P20,406
- b. P19,112
- c. P18,668
- d. P48,974

3. Mikelle Company, a lessor of office machines, purchased a new machine for P6,000,000 on January 1, 2021, which was leased the same day to X. The machine will be depreciated P550,000 per year. The lease is for a four-year period expiring January 1, 2025, and provides for annual rental payments of P1,000,000 beginning January 1, 2021. Additionally, X paid P640,000 to the company as a lease bonus. In its 2021 income statement, what amount of revenue and expense should the company report on this leased asset?

	<u>Revenue</u>	<u>Expense</u>		<u>Revenue</u>	<u>Expense</u>
a.	P1,000,000	P 0	c.	P1,160,000	P550,000
b.	P1,160,000	P 0	d.	P1,640,000	P550,000

4. Jane Company purchased a tractor on January 1, 2021 at a cost of P1,600,000 for the purpose of leasing it. The tractor is estimated to have a useful life of 5 years with scrap of P100,000. Depreciation is on a straight line basis. On April 1, 2021, it entered into a lease contract for the lease of the tractor for a term of two years up to March 31, 2023. The lease fee is P50,000 monthly and the lessee paid P600,000, the lease for one year. The company paid P120,000 commission associated with negotiating the lease, P15,000 minor repairs, and P10,000 transportation of the tractor to the lessee during 2021. The company should report net rent revenue for the year 2021 at:

- a. P160,000
- b. P235,000
- c. P80,000
- d. P85,000

5. An entity is a dealer in equipment and uses leases to facilitate the sale of its product. The entity expects a 12% return. At the end of the lease term, the equipment will revert to the lessor. On January 1, 2021, an equipment is leased to a lessee with the following information:

Cost of equipment to the entity	3,500,000
Fair value of equipment	5,500,000
Residual value – unguaranteed	600,000
Initial direct cost	200,000
Annual rental payable in advance	900,000
Useful life and lease term	8 years
Implicit interest rate	12%
PV of 1 at 12% for 8 periods	0.40
PV of an ordinary annuity of 1 at 12% for 8 periods	4.97
PV of an annuity due of 1 at 12% for 8 periods	5.56
First lease payment	January 1, 2021

Question 1: What is the gross investment in the lease?

- a. P7,800,000
- b. P7,200,000
- c. P6,600,000
- d. P6,900,000

Question 2: What is the net investment in the lease?

- a. P5,004,000
- b. P5,244,000
- c. P5,500,000
- d. P5,740,000

Question 3: What is the total financial revenue?

- a. P2,196,000
- b. P2,796,000
- c. P2,556,000
- d. P1,956,000

Question 4: What amount should be recognized as interest income for 2021?

- a. P600,480
- b. P492,480
- c. P536,760
- d. P521,280

Question 5: What amount of cost of goods sold should be recognized in recording the lease?

- a. P3,260,000
- b. P3,500,000
- c. P3,740,000
- d. P3,460,000



INCOME TAXES (PAS 12)

Accounting versus taxable profit

- **Accounting profit** is profit or loss for a period before deducting tax expense.
- **Taxable profit** (tax loss) is the profit (loss) for a period determined in accordance with the rules established by the taxation authorities upon which income taxes are payable (recoverable).
- An entity has to make the following adjustments to convert accounting profit into taxable profit:
 - ✓ Add back the expenses recognized but non-deductible for tax purposes.
 - ✓ Add income not recognized but included under tax regulations.
 - ✓ Deduct expenses not recognized but deductible for tax purposes.
 - ✓ Deduct income recognized but not taxable under tax regulations.

Reconciliation Format:

Financial income per book (based on GAAP – appearing on FS)	xx
Add(deduct): Permanent differences:	
Nondeductible expenses	xx
Nontaxable or tax-exempt revenues	(xx)
Financial income subject to income tax	xx

Add (deduct): Temporary differences:

Deductible temporary differences

a. Bad debts	xx	
b. Estimated expenses	xx	
c. Impairment loss/ unrealized loss	xx	
d. Research cost	xx	
e. Excess of financial over tax dep’n.	xx	
f. Cash received in advance	xx	
		xx

Taxable temporary differences

a. Prepayments	xx	
b. Development costs	xx	
c. Excess of tax over financial dep’n.	xx	
d. Sales on account or installment	xx	
e. Cost recovery method for tax and percentage of completion for financial	xx	
f. Unrealized gains	xx	(xx)

Taxable income* xx

*(based on applicable tax laws – appearing on income tax returns)

- Examples of **nontaxable or tax-exempt revenues** are:
 - ✓ Gain from settlement life insurance of officers and employees and interest income on government securities (municipal bonds, treasury bills) and deposits.
- Examples of **non-deductible expenses** are:
 - ✓ Fines and penalties for violation of law, charitable contributions in excess of tax limitation, and premiums on life insurance for officers and employees when the company is the beneficiary.

CURRENT TAX VERSUS DEFERRED TAX

Current income tax

- Current tax is the amount of income tax payable (recoverable) in respect of the taxable profit (loss) for

a period.

- Current income tax expense shall be recognized directly to profit or loss in most cases.
- If the current tax arises from a transaction or event recognized outside profit or loss, either in other comprehensive income or directly in equity, then current income tax shall be recognized in the same way.

Deferred income tax

- Deferred income tax is the income tax payable (recoverable) in future periods in respect of the temporary differences, unused tax losses and unused tax credits.
- **Deferred tax liabilities** result from taxable temporary differences and **deferred tax assets** result from deductible temporary differences, unused tax losses and unused tax credits.

Temporary differences

- Temporary differences are differences between the carrying amount of an asset or liability in the statement of financial position and its tax base.
- When the carrying amount of an asset or a liability is **greater** than its tax base, then there is a taxable temporary difference and it gives rise to **deferred tax liability**.
- When the carrying amount of an asset or a liability is **lower** than its tax base, then there is a deductible temporary difference and it gives rise to **deferred tax asset**.

Offsetting

- Offsetting the current income tax
 - An entity can offset current income tax assets and liabilities if two conditions are fulfilled:
 - An entity has a legally enforceable right to set off the recognized amounts.
 - An entity intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.
- Offsetting the deferred income tax
 - An entity can offset deferred income tax assets and liabilities if **two conditions** are fulfilled:
 - An entity has a legally enforceable right to set off the current income tax assets against current income tax liabilities.
 - The deferred tax assets and the deferred tax liabilities relate to income taxed levied by the same taxation authority on either:
 - ✓ The same taxable entity.
 - ✓ Different taxable entities which intend to settle current tax liabilities and assets on a net basis or realize the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

INCOME TAXES

THEORY

1. The objective of accounting for income taxes is
 - a. Objectivity in the calculation of periodic expense
 - b. Recognition of assets and liabilities
 - c. Proper matching of periodic expense to periodic revenue
 - d. Consistency of tax expense measurement with tax planning strategies
2. It is the profit for a period determined in accordance with the rules established by taxation authorities upon which income taxes are payable
 - a. Accounting profit
 - b. Taxable profit
 - c. Net profit
 - d. Accounting profit before tax
3. It is the amount of income taxes payable in respect of taxable profit
 - a. Current tax expense
 - b. Tax expense
 - c. Deferred tax expense
 - d. Deferred tax benefit
4. Taxable income of a corporation
 - a. Is reported on the income statement
 - b. Is based on international financial reporting standards
 - c. Differs from accounting income due to differences in inter-period allocation between the two methods of income determination
 - d. Differs from accounting income due to differences in inter-period allocation and permanent differences between the two methods of income determination
5. Which of the following statements is true?
 - a. Temporary differences occur because accounting standards and income tax laws differ as to when they recognize assets, liabilities, owner's equity, revenues, gains, expenses and losses
 - b. The term "future taxable amounts" relates to a deferred tax asset
 - c. "Future taxable amounts" include revenues and gains that are included in the tax return before they are recognized for accounting purposes
 - d. "Future deductible amounts" include expenses and losses that are included in the tax return before they are recognized for accounting purposes
6. Intra-period tax allocation
 - a. Involves the allocation of income taxes between current and future periods
 - b. Associates tax effect with different items in the income statement
 - c. Arises because certain revenue and expenses appear in the financial statements either before or after they are included in the income tax return
 - d. Arises because different income statement items are taxed at different rates
7. This is the recognition of a deferred tax asset or deferred tax liability
 - a. Intra-period tax allocation
 - b. Inter-period tax allocation
 - c. None of the above
 - d. All of the above
8. Differences between taxable income and pretax accounting income arising from transactions that, under applicable tax laws and regulations, will not be offset by corresponding differences or turn around in future periods is a definition of
 - a. Temporary differences
 - b. Permanent differences
 - c. Deductible differences
 - d. Taxable differences
9. These are differences between carrying amount of an asset or liability in the statement of financial position and its tax base
 - a. Temporary differences
 - b. Timing differences
 - c. Permanent differences
 - d. Accounting differences
10. A pretax income always results when
 - a. Revenues exceed operating expenses
 - b. Revenues exceed the cost of goods sold
 - c. The gross margin exceeds operating expenses
 - d. The cost of goods sold exceeds operating expenses



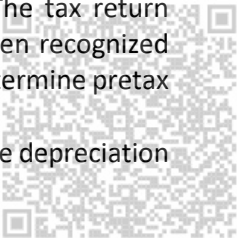
11. The deferred tax consequence attributable to a deductible temporary difference and operating loss carry forward is known as
 - a. Current tax
 - b. Deferred tax asset
 - c. Deferred tax expense
 - d. Deferred tax liability
12. How do you call a taxable temporary difference?
 - a. Current tax asset
 - b. Current tax liability
 - c. Deferred tax asset
 - d. Deferred tax liability
13. Which of the following differences would result in future taxable amounts?
 - a. Revenues or gains that are taxable before they are recognized in financial income
 - b. Expenses or losses that are deductible after they are recognized in financial income
 - c. Expenses or losses that are deductible before they are recognized in financial income
 - d. Revenues or gains that are recognized in financial income but are never included in taxable income
14. The deferred tax expense is the
 - a. Decrease in balance of deferred tax asset minus the increase in balance of deferred tax liability
 - b. Increase in balance of deferred tax asset plus the increase in balance of deferred tax liability
 - c. Increase in balance of deferred tax asset minus the increase in balance of deferred tax liability
 - d. Increase in balance of deferred tax liability minus the increase in balance of deferred tax asset
15. Current tax expense plus deferred tax expense is
 - a. A meaningless sum
 - b. Income tax expense
 - c. Tax deductible expense
 - d. None of these
16. Total tax expense is based on
 - a. Taxable income
 - b. Financial income
 - c. Financial income excluding temporary and permanent differences
 - d. Financial income excluding permanent differences but including temporary differences
17. According to PAS 12, deferred tax assets and liabilities should be reported in the balance sheet
 - a. As noncurrent asset and noncurrent liability
 - b. Always net noncurrent asset or net noncurrent liability
 - c. As current and noncurrent depending on the order of liquidity or maturity
 - d. As current and noncurrent assets and liabilities depending on the balance sheet classification of the related tax basis of the temporary difference
18. X Company's financial reporting basis of its plant assets exceeded the tax basis because it uses a different method of reporting depreciation for financial reporting purpose and tax purposes. If there is no other temporary differences, X should report a
 - a. Current tax asset
 - b. Current tax payable
 - c. Deferred tax asset
 - d. Deferred tax liability
19. A temporary difference that would result in a deferred tax asset is
 - a. Accrued warrant expense
 - b. Accrual commission income
 - c. Interest revenue on government bonds
 - d. Excess of tax depreciation over financial accounting depreciation
20. All of the following would result in a deferred tax asset, except
 - a. The tax base of an asset is greater than carrying amount
 - b. Interest expense is accrued but included in taxable income on a cash basis
 - c. The financial accumulated depreciated is greater than tax accumulated depreciation
 - d. Development costs have been capitalized and amortized but were included in determining taxable income in the period incurred
21. A temporary difference which would result in a deferred tax liability is
 - a. Accrual of estimated litigation loss



- b. Accrual of estimated warranty cost
 - c. Subscription received in advance
 - d. An installment sale which is included in accounting income at the time of sale and included in taxable income when collected
22. Which temporary difference would result in a deferred tax asset?
- a. Tax penalty or surcharge
 - b. Dividend received on share investment
 - c. Excess tax depreciation over accounting depreciation
 - d. Rent received in advance included in taxable income but deferred for financial accounting
23. Under PAS 12, which temporary difference would result in a deferred tax liability?
- a. Accrual of warranty expense
 - b. Interest revenue on municipal bonds
 - c. Subscription revenue received in advance
 - d. Excess tax depreciation over financial depreciation
24. When accounting for income taxes, a temporary difference occurs when
- a. An item is included in the calculation of net income in one year and taxable income in a different year
 - b. An item is included in the calculation of net income but is neither taxable nor deductible
 - c. The accrual method of accounting is used
 - d. An item is no longer taxable due to a change in the tax law
25. All of the following would result to deferred tax asset, except
- a. Interest expense is accrued but included in taxable income on a cash basis
 - b. The accumulated depreciation on an asset is greater than accumulated tax depreciation
 - c. Development costs have been capitalized and amortized but were deducted in determining taxable income in the period incurred
 - d. The tax base for a machine is greater than the carrying amount
26. An entity shall offset a deferred tax asset and deferred tax liability when
- I. The deferred tax asset and deferred tax liability relate to income taxes levied by the same taxing authority
 - II. The entity has a legal enforceable right to offset a current tax asset against a current tax liability
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II

PROBLEMS

1. An entity reported P9,000,000 income before provision for income tax. The following data are provided for the current year:
- | | |
|--|-----------|
| Rent received in advance | 1,600,000 |
| Income from exempt municipal bonds | 2,000,000 |
| Depreciation deduction for income tax purposes in excess of depreciation reported for financial reporting purposes | 1,000,000 |
| Tax payment during the current year | 500,000 |
| Income tax rate | 30% |
- What amount of current income tax liability should be reported at year-end?
- a. P1,780,000
 - b. P2,280,000
 - c. P2,580,000
 - d. P2,880,000
2. Roann Company is determining the amount of its pretax financial income for 2021 by making adjustments to taxable income from the company’s 2021 income tax return. The tax return indicates taxable income of P380,000, on which a tax liability of P121,600 has been recognized (P380,000 x 32% = P121,600). Following is a list of items that may be required to determine pretax financial income from the amount of taxable income:
- Accelerated depreciation for income tax purposes was P134,000; straight line depreciation on these assets is P80,000.



- Goodwill amortization of P45,000 was not included as a deduction in the tax return but may be deducted in the income statement.
- Several expenses were included in the income tax return on an estimated basis. These items will be in the income statement at the same amount but are subject to change if new information in the future indicates that the original estimates were inaccurate.
- Interest on treasury bills was not included in the tax return. During the year, P24,700 was received on these investments.

The pretax financial income amounts to:

- | | |
|-------------|-------------|
| a. P458,700 | c. P359,700 |
| b. P389,000 | d. P413,700 |

3. An entity had the following financial statement elements for which the December 31, 2021 carrying amount is different from the December 31, 2021 tax basis:

	<u>Carrying amount</u>	<u>Tax basis</u>	<u>Difference</u>
Equipment	5,500,000	4,000,000	1,500,000
Accrued liability – health care	500,000	0	500,000
Computer software cost	2,000,000	0	2,000,000

The difference between the carrying amount and tax basis of the equipment is due to accelerated depreciation for tax purposes.

The accrued liability is the estimated health care cost that was recognized as expense in 2021 but deductible for tax purposes when actually paid.

In January 2021, the entity incurred P3,000,000 of computer software cost. Considering the technical feasibility of the project, this cost was capitalized and amortized over 3 years for accounting purposes. However, the total amount was expensed in 2021 for tax purposes.

The pretax accounting income for 2021 is P15,000,000. The income tax rate is 30% and there are no deferred taxes on January 1, 2021.

Question 1: What amount should be reported as current tax expense for 2021?

- | | |
|---------------|---------------|
| a. P5,400,000 | c. P3,300,000 |
| b. P3,600,000 | d. P5,700,000 |

Question 2: What amount should be reported as total tax expense for 2021?

- | | |
|---------------|---------------|
| a. P4,500,000 | c. P4,050,000 |
| b. P4,950,000 | d. P3,900,000 |

Question 3: What amount should be reported as deferred tax liability on December 31, 2021?

- | | |
|---------------|-------------|
| a. P1,050,000 | c. P900,000 |
| b. P1,200,000 | d. P150,000 |

Question 4: What amount should be reported as deferred tax asset on December 31, 2021?

- | | |
|-------------|-------------|
| a. P750,000 | c. P150,000 |
| b. P600,000 | d. P0 |



EMPLOYEE BENEFITS (PAS 19R)

- **Employee benefits** are all forms of consideration given by an entity in exchange for services rendered by employees or for termination of employment.
- **Four Categories of Employee Benefits:**
 - **Short-term employee benefits** – fall due within 12 months after the end of the period in which the employees render the related service.
 - **Post-employment benefits** – are payable after the completion of employment. They are classified as either defined contribution plans or defined benefit plans. They may be funded or unfunded.
 - **Other long-term employee benefits** – fall due wholly within 12 months after the end of the period in which the employees render the related service.
 - **Termination benefits** – are payable as a result of either an entity’s decision to terminate an employee’s employment before the normal retirement date, or an employee’s decision to accept voluntary redundancy in exchange for those benefits.

POSTEMPLOYMENT BENEFITS

Defined contribution plan

- A **defined contribution plan** is a postemployment benefit plan under which an entity pays fixed contributions into a separate entity known as the fund. The entity will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits.

Defined benefit plan

- Under a **defined benefit plan**, an entity’s obligation is to provide the agreed benefits to employees. An employee is guaranteed specific or definite amount of benefit which is usually related to his salary and years of service.

Accounting for defined contribution plan

- Accounting for a defined contribution plan is straightforward because the obligation of the entity is determined by the amount contributed for each period.

Accounting procedures

- The contribution shall be recognized as **expense** in the period it is payable.
- Any unpaid contribution at the end of the period shall be recognized as accrued expense.
- Any excess contribution shall be recognized as prepaid expense but only to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

Accounting for defined benefit plan

- Accounting for a defined benefit plan is complex because **actuarial assumptions** are required to

measure the obligation and the expense and there is a possibility of actuarial gains and losses.

Components of defined benefit cost

- An entity shall recognize the following components of defined benefit cost:
 1. **Service cost which comprises:**
 - a. Current service cost
 - b. Past service cost
 - c. Any gain or loss on settlement
 2. **Net interest which comprises:**
 - a. Interest expense on defined benefit liability
 - b. Interest income on plan assets
 3. **Remeasurements which comprise:**
 - a. Actuarial gain and loss
 - b. Actual return on plan assets less interest income on plan assets
 - c. Any change in effect of asset ceiling minus interest on the effect of asset ceiling
 - The service cost and net interest are included in profit or loss as component of employee benefit expense.
 - All of the remeasurements are fully recognized through other comprehensive income and are not recycled or reclassified subsequently to profit or loss.
 - Remeasurements may be transferred within equity or reclassified the remeasurements.

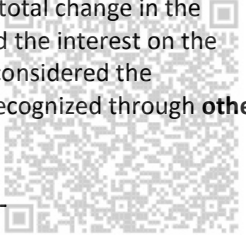
Net interest

- The net interest is the **difference** between the two elements, namely:
 - a. **Interest expense** - This is computed by multiplying the defined benefit obligation at the beginning of the reporting period by the discount rate.
 - b. **Interest income** - This is computed by multiplying the fair value of plan assets at the beginning of the reporting period by the same discount rate.

Treatment of Effect of Asset Ceiling

- PAS 19R provides that the surplus in a defined benefit plan must not exceed the asset ceiling determined by using the discount rate in the measurement of the defined benefit obligation.
- **Interest on the effect of asset ceiling** is part of the total change in the effect of asset ceiling. This amount is determined by multiplying the effect of the asset ceiling at the beginning period by the discount rate. The interest on the effect of asset ceiling is included in profit or loss as component of employee benefit expense.
- The difference between the total change in the effect of the asset ceiling and the interest on the effect of the asset ceiling is considered the **remeasurement** and to be recognized through **other comprehensive income**.

-- END --



EMPLOYEE BENEFITS

THEORY

1. In a defined contribution plan, a formula is used that
 - a. Defines the benefits that the employee will receive at the time of retirement
 - b. Ensures that pension expense and the cash funding amount will be different
 - c. Requires an employer to contribute a certain sum each period based on the formula
 - d. Ensures that employers are at risk to make sure funds are available at retirement
2. In a defined benefit plan, a formula is used that
 - a. Requires that the benefit of gain or the risk of loss from the assets contributed to the pension plan be borne by the employee
 - b. Defines the benefits that the employee will receive at the time of retirement
 - c. Requires that pension expense and the cash funding amount be the same
 - d. Defines the contribution the employer is to make and no promise is made concerning the ultimate benefits to be paid out to the employees
3. In a defined benefit plan, the process of funding refers to
 - a. Determining the projected benefit obligation
 - b. Determining the accumulated benefit obligation
 - c. Determining the amount that might be reported for pension expense
 - d. Making the periodic contributions to a funding agency to ensure that funds are available to meet claims of retirees
4. Which of the following methods is used in PFRS to account for defined benefit pension plans?
 - a. Accumulated benefits method
 - b. Benefit-years-of-service method
 - c. Projected-unit-credit method
 - d. Vested years of service method
5. Defined benefit cost includes service cost, net interest and remeasurement of defined benefit plan. Remeasurements of defined benefit plan include
 - a. The difference between actual return and interest income on plan assets
 - b. Actuarial gain or loss on projected benefit obligation
 - c. Change in the effect of asset ceiling minus interest expense on the beginning effect of asset ceiling
 - d. All of these are included in remeasurements of defined benefit plan
6. Remeasurement of the net defined benefit liability shall be composed of
 - a. Actuarial gains and losses
 - b. Return on plan assets, excluding amounts included in the net interest
 - c. Any change in the effect of the asset ceiling, excluding amount included in the net interest
 - d. All of the choices
7. Which measure requires the use of future salaries in the computation of pension obligation?
 - a. Accumulated benefit obligation
 - b. Defined benefit obligation
 - c. Restructured benefit obligation
 - d. Vested benefit obligation
8. The interest on the defined benefit obligation component of pension expense
 - a. Is the same as the expected return on plan assets
 - b. May be stated implicitly or explicitly when reported
 - c. Reflects the incremental borrowing rate of the employer
 - d. Reflects the rate at which pension benefits could be effectively settled
9. A pension liability would result at the end of the year if the
 - a. Amount of employer contribution exceeds the pension expense
 - b. Fair value of the plan assets exceeds the projected benefit obligation
 - c. Projected benefit obligation exceeds the fair value of the plan assets
 - d. Amount of pension expense exceeds the amount of employer contribution
10. When the fair value of plan assets exceeds the defined benefit obligation, PAS 19R
 - a. Requires recognition of an asset
 - b. Does not permit recognition of an asset
 - c. Recommends but does not require recognition of an asset
 - d. Requires recognition of an asset if the excess fair value of plan assets exceeds the corridor amount



11. Which is not included in service cost?
 - a. Current service cost
 - b. Interest cost
 - c. Past service cost
 - d. Plan settlement gain or loss
12. Plan assets include
 - a. Only assets reported as pension fund
 - b. Plan assets still under the control of the entity
 - c. Contributions made by the employer and contributions made by the employee when a contributory plan is involved
 - d. None of these
13. The report of a defined benefit plan shall contain
 - I. A statement showing net assets available for benefits, the present value of promised benefits and the resulting excess or deficit
 - II. A statement of net assts available for benefits including a note disclosing the present value of promised benefits
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Either I or II
14. According to PAS 19, Employee benefits, which of the following terms best describes 'other long-term employee benefits'?
 - a. Benefits which are payable after completion of employment
 - b. Benefits which fall due within twelve months of the end of the period in which the service is rendered
 - c. Benefits not falling due wholly within twelve months of the end of the period in which the service is rendered
 - d. Benefits payable as a result of an entity's decision to end an employment before the normal retirement care
15. Under PAS 19R, which of the following terms best describes benefits which are payable as a result of an entity's decision to end an employee's employment before the normal retirement date?
 - a. Defined benefit plans
 - b. Post-employment benefits
 - c. Retrenchment benefits
 - d. Termination benefits
16. The component of defined benefit cost includes all of the following, except
 - a. Plan contributions
 - b. Net interest
 - c. Remeasurements
 - d. Service cost
17. Which of the following components of the annual pension costs shall be recognized in the other comprehensive income (rather than in profit or loss)?
 - a. Service cost
 - b. Net interest on the net defined benefit liability
 - c. Remeasurements of the net defined benefit liability
 - d. All of these items are required to be recognized in this profit or loss
18. The vested benefits of an employee in a pension plan represent
 - a. Benefits to be paid to the retired employee in the subsequent year
 - b. Benefits accumulated in the hands of an independent trustee
 - c. Benefits to be paid to the retired employee in the current year
 - d. Benefits that are not contingent on the employee's continuing in service

PROBLEMS

1. An entity provided the following information for the current year:

Current service cost	500,000
Interest on projected benefit obligation	600,000
Interest income on plan assets	350,000
Loss on plan settlement	250,000
Past service cost during the year	300,000
Actual return on plan assets	850,000
Actuarial loss during the year	200,000
Contribution to the plan	1,500,000

What is the employee benefit expense for the current year?

- a. P1,300,000
- b. P1,050,000
- c. P1,500,000
- d. P1,100,000



2. An entity provided the following pension plan information:

Projected benefit obligation – January 1, 2021	3,500,000
Fair value of plan assets – January 1, 2021	2,800,000
Pension benefits paid during the year	250,000
Current service cost for 2021	1,750,000
Past service cost for 2021 (vesting period 5 years)	425,000
Actual return on plan assets	180,000
Contribution to the plan	1,500,000
Actuarial loss due to change in assumptions on projected benefit Obligation	200,000
Discount or settlement rate	10%

Question 1: What is the employee benefit expense for the current year?

- | | |
|---------------|---------------|
| a. P2,245,000 | c. P2,525,000 |
| b. P1,905,000 | d. P1,750,000 |

Question 2: What is the net remeasurement loss for the current year?

- | | |
|-------------|-------------|
| a. P200,000 | c. P300,000 |
| b. P100,000 | d. P400,000 |

Question 3: What is the projected benefit obligation on December 31, 2021?

- | | |
|---------------|---------------|
| a. P5,550,000 | c. P5,775,000 |
| b. P5,075,000 | d. P5,975,000 |

Question 4: What is the fair value of plan assets on December 31, 2021?

- | | |
|---------------|---------------|
| a. P4,480,000 | c. P4,300,000 |
| b. P4,230,000 | d. P4,050,000 |

Question 5: What amount should be reported as accrued benefit cost on December 31, 2021?

- | | |
|---------------|---------------|
| a. P1,745,000 | c. P1,045,000 |
| b. P1,750,000 | d. P700,000 |

3. An entity provided the following information during the current year:

	<u>January 1</u>	<u>December 31</u>
Fair value of plan assets	6,000,000	9,000,000
Projected benefit obligation	4,500,000	5,000,000
Prepaid/accrued benefit cost - surplus	1,500,000	4,000,000
Asset ceiling	1,000,000	2,500,000
Effect of asset ceiling	500,000	1,500,000

Additional information during the year are as follows:

- | | |
|--------------------------------|------------|
| • Current service cost | P2,000,000 |
| • Actual return on plan assets | 400,000 |
| • Contribution to the plan | 4,550,000 |
| • Benefits paid | 1,950,000 |
| • Discount rate | 10% |

Question 1: What is the employee benefit expense for the current year?

- | | |
|---------------|---------------|
| a. P1,900,000 | c. P1,800,000 |
| b. P1,850,000 | d. P2,000,000 |

Question 2: What is the net remeasurement loss for the current year?

- | | |
|---------------|-------------|
| a. P1,150,000 | c. P800,000 |
| b. P1,200,000 | d. P750,000 |

Question 3: What is the defined benefit cost?

- | | |
|---------------|---------------|
| a. P3,050,000 | c. P4,550,000 |
| b. P3,100,000 | d. P3,000,000 |

Question 4: What amount of prepaid benefit cost should be reported on December 31?

- | | |
|---------------|---------------|
| a. P4,000,000 | c. P1,000,000 |
| b. P2,500,000 | d. P1,500,000 |



SHAREHOLDERS' EQUITY

DEFINITION

- A **stock** represents the interest or right of a stockholder in the issuing corporation as evidenced by a stock certificate.

CLASSIFICATION

- **Common stock (Ordinary shares)**
 - o Also called ordinary share because the stockholders have the same rights and privileges and enjoy no preferences over each other.
 - o The following are four **basic rights** of a common stockholder:
 - ✓ Right to vote and attend annual stockholders' meeting.
 - ✓ Right to share in corporate profit (dividends right).
 - ✓ Right to share in the distribution of assets upon corporate liquidation.
 - ✓ Right to purchase additional shares of stock in case the corporation offers to sell part or all of the unissued shares (pre-emptive right).
- **Preferred stock (Preference shares)**
 - o Confers preferences, or specific rights that distinguish it from common stock.
 - o The most common is priority claim on dividends, usually at a stated rate or amount, and in exchange, the voting right is sacrificed.
 - o Another preference is the distribution of assets in the event of liquidation.
 - o **Other features of Preferred stock**
 - ✓ **Convertible preferred stock** – has the right to be converted into common stock at a specified conversion ratio.
 - ✓ **Redeemable preferred stock** – allows either mandatory redemption at a specified date and price or redemption at the option of the shareholder, who has the right to redeem the shares at a specified rate and price.
 - ✓ **Callable preferred stock** – means that the issue can call it in for cancellation at a specified price and date(s).
 - ✓ **Cumulative preferred stock** – means that if the specified dividend is not paid in a given year, the unpaid dividends (called dividends in arrears) accumulate and must be made up in a later dividend year before any dividends are paid on common shares.
 - ✓ **Participating preferred stock** – allows the preferred stockholders to receive dividends above the preferential rate on a pro-rata basis with the common stockholders.

Valuation

- At par or stated value.
- Any difference is either charged to Additional Paid-In Capital (APIC) or Share Premium.

Components of Stockholders' Equity:

- **Contributed capital** – consists of capital stock (preferred and common) and additional paid in capital.
 - a. **Share Capital** - aggregate par or stated value of:
 - ✓ Shares issued
 - ✓ Subscribed
 - b. **Additional paid-in capital (Share premium)** – contributions from stockholders other than the aggregate par or stated value of shares. This category includes:

- ✓ APIC or share premium from excess over par or stated
- ✓ Treasury stock transactions (reissuance and retirement)
- ✓ Ordinary share warrants and Ordinary share options outstanding
- ✓ Donated capital
- ✓ Bond conversion privilege

Retained Earnings

- **Unappropriated** (free for dividends distribution)
- **Appropriated:**
 - i. Voluntary (e.g. plant expansion)
 - ii. Contractual (e.g. sinking fund)
 - iii. Legal (e.g. treasury stock)

Other Comprehensive Income

- Revaluation surplus
- Foreign currency translation adjustment
- Unrealized holding gains or losses from FVOCI
- Unrealized gain or loss on derivatives (Cash Flow Hedge)

- **Treasury stock** – issued and acquired but not canceled; thus, may be re-issued.

Dividends, Stock Split, and Stock Rights

- **Classes of Dividends**
 - o **Cash Dividend** – treated as dividend income except if the equity method is used, it should be credited to investment.
 - o **Property Dividends** – treated as dividend income at fair market value of the property received.
 - o **Liquidating Dividends** – represent return of capital and thus are not income.
 - o **Stock Dividends** – do not represent any income. They do not affect the total cost of the investment but reduce the cost of the investment per share.
 - In case shares are received in lieu of cash dividends, the dividend income is recorded at fair market value.
 - In case cash are received in lieu of stock dividends, the stock dividends are assumed to be received and subsequently sold at the cash received.
- **Stock Split**
 - o **Stock split up** – is a transaction whereby the outstanding shares are called in and replaced by a larger number, accompanied by a reduction in the par or stated value of each share.
 - o **Stock split down** – is a transaction whereby the outstanding shares are called in and replaced by a smaller number, accompanied by an increase in the par or stated value of each share.
- **Stock Right** – is a pre-emptive right granted to stockholders to subscribe for new shares of stock issued by a corporation at a specified price within a specific period of time.



O Theoretical or parity value of stock right:

✓ When the stock is selling right-on

$$\frac{\text{Market value of stock right-on} - \text{minus subscription price}}{\text{No. of rights to purchase 1 share plus 1}} = \text{Value of one right}$$

✓ When the stock is selling ex-right –

$$\frac{\text{Market value of stock right-on} - \text{minus subscription price}}{\text{No. of rights to purchase 1 share}} = \text{Value of one right}$$

Share Issue

- **Issuance of share capital for Preference or Ordinary shares** is credited equal to par and the excess to additional paid in capital.
- **Share Issuance Costs-** include registration fees, underwriter commissions, legal fees, accounting fees, share certificate cost, promotional costs and postage.
 - o Generally, charged to APIC relative to that particular issue.
- **Issuance of Preference and Ordinary Shares for Lump Sum Price** is accounted as follows:
 - o If preference are effectively equity securities, use pro rata approach in reference to the aggregate market value of preference and ordinary shares.
 - o If preference are effective debt securities (e.g. redeemable), use approach assigning the fair value of the preference shares first with residual value assigned to the ordinary shares.
- **Issuance of Share Capital on a Subscription Basis** - the agreed purchase price is debited to Subscription Receivable, Share Capital Subscribed is credited at par and the difference is credited to APIC. Upon full payment, The Share Capital Subscribed is closed to Share Capital.
- The **Subscription Receivable** is presented as current asset if collection is expected within one year of the balance sheet date. If there is no definite due date set for subscription receivable, it is shown as a contra to stockholder’s equity, an offset against the Ordinary Shares Subscribed Account.
- **Issuance of Share Capital for Non-Cash Consideration** (PFRS 2)
 - o Non-cash consideration (Asset or Services) received shall be valued at their fair market value, unless the fair value of shares is more clearly determinable (as when the shares are actively traded in the market)

TREASURY SHARES

- **Acquisition** of Treasury Shares, use cost model:

Treasury shares @ cost	xxx
Cash	xxx

- **Sale of Treasury Shares** - When treasury shares are reissued, the journal entry is:
(Sold at a price higher than the cost, resulting in a credit to APIC/Share Premium.)

Cash	XX
Treasury Shares (at cost)	XX
APIC from Treasury Shares	XX

- At price less than the cost, resulting in a debit to APIC/Share Premium, and once exhausted, a debit to Retained Earnings.

Cash	XX
APIC from Treasury Shares (until balance is exhausted)	XX
Retained Earnings	XX
Treasury Shares (at cost)	XX

Note: When treasury shares are acquired at different costs, specific shares may be identified. Otherwise, a FIFO or average cost per share is used to determine the cost of the treasury shares sold.

- **Retirement of Treasury Shares**
Retire treasury Shares at their carrying value, which is the original issue price:

- a. **If original issue price (carrying value) > Cost of TS:** credit to APIC/Share Premium.

Ordinary Share (at par)	xx
APIC in Excess of par (from original issue/pro-rata)	xx
Treasury Shares at cost	xx
APIC from Treasury Shares	xx

- b. **If Original Issue Price (carrying value) < Cost of TS:** debit to APIC/Share Premium, and once exhausted, a debit to Retained Earnings.

Ordinary shares (at par)	xx
APIC in Excess of Par (from orig. issue/pro-rata)	xx
APIC from Treasury Shares Transactions (until exhausted)	xx
Retained Earnings	xx
Treasury Shares (at cost)	xx

Share Warrants

These are **certificates** that entitle the holder thereof to acquire shares at a certain price within a specified period. Share warrants may be issued for the following reasons:

1. As additional compensation (e.g., share options)
2. To make the securities more attractive (e.g., warrants or bonds payable)
3. As a right of pre-emption to existing shareholders of the corporation

Non-Detachable Warrants

Stock warrants that cannot be traded separately from the security with which they were originally issued.

Detachable Warrants

Stock warrants that can be traded separately from the security with which they were originally issued.

Right Issue / Stock Right / Right of Preemption

It is granted to existing shareholders to enable them to acquire new shares at a specified price during a specified period.

Pro-forma journal entries

1) **To record issuance of warrants**

Upon issuance of stock warrants, no formal accounting entry is needed. A memorandum entry will suffice.



2) **To record exercise of warrants**

Cash	xxx
Share capital	xxx
Share premium (if any)	xxx

3) **To record expiration of warrants**

Similar with issuance of warrants, only memorandum entry will be made by the entity.

Detachable Share warrants

- Share warrants issued with preference share
- 1) Fair value of share ex-warrant and fair value of warrant are known. Use the relative fair value method.

	Total Fair value	Fraction	Allocated cost
Preference shares (No. of Pref. shares x fair value)	AA	AA/CC	DD
Warrants (No. of Warrants X Fair value)	BB	BB/CC	EE
Total	CC		FF (Total Proceeds)

2) Only one class of security has available fair value

Total proceeds	xxx
Less: Market value of securities known	xxx
Securities with unknown Market value	xxx

3) The fair values of the preference shares and warrants are unknown

Market value of ordinary shares	xxx
Less: Option price/ Exercise price	xxx
Intrinsic value of warrant	xxx
Multiply: # of ordinary shares under warrants	xxx
Market value of share warrants	xxx
Total proceeds	XX
Less: Value of share warrants	XX
Value assigned to preference Share	XX

Pro-forma journal entry

Cash	xxx
Preference share	xxx
Share premium – P/S (if any)	xxx
Ordinary share warrants outstanding	xxx

Note: Ordinary share warrants outstanding shall be reported as part of share premium. If the warrants are not exercised, the ordinary share warrants outstanding account is simply transferred to the generic share premium account.

Share warrants issued with bonds payable

Issued price including warrants	xxx
Less: Issue price of bond ex-warrants	xxx
Allocated to warrants	xxx

-- END --



SHAREHOLDERS' EQUITY

THEORY

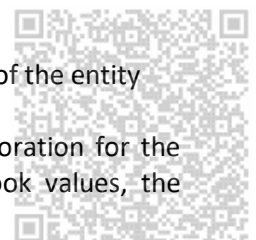
1. One characteristic of a corporation is
 - a. Unlimited liability of its owners
 - b. Dissolution upon the death of an owner
 - c. The ease with which ownership is transferred
 - d. Shareholders acting as automatic corporate agents
2. Shareholders are said to be the residual owners which means that the shareholders
 - a. Are entitled to a dividend every year in which the business earns a profit
 - b. Have the rights to specific assets of the business
 - c. Bear the ultimate risks and uncertainties and receive the benefits of ownership
 - d. Can negotiate individual contracts on behalf of the entity
3. Which of the following should be reported for capital stock?
 - a. The shares authorized
 - b. The shares issued
 - c. The shares outstanding
 - d. All of these
4. Contributed capital consists of the following major components
 - a. Legal and stated capital
 - b. Retained earnings and legal capital
 - c. Additional paid in capital and retained earnings
 - d. Legal capital and additional paid in capital
5. Transaction costs that are directly attributable to the issuance of new shares should be
 - a. Charged to expenses
 - b. Expensed immediately
 - c. Charged to retained earnings
 - d. Deducted from share premium
6. Cash dividends are paid on the basis of the number of shares
 - a. Authorized
 - b. Issued
 - c. Outstanding
 - d. Outstanding less the number of treasury shares
7. It is an equity instrument that is subordinate to all other classes of equity instrument, yet carries the most rights
 - a. Options
 - b. Ordinary share
 - c. Potential ordinary share
 - d. Warrants
8. The features frequently associated with preference shares include all of the following, except
 - a. Nonvoting
 - b. Convertible into ordinary shares
 - c. Callable at the option of the shareholders
 - d. Preference as to assets in the event of liquidation
9. Which feature makes a preference share more like debt than an equity instrument?
 - a. Noncumulative
 - b. Participating
 - c. Redeemable
 - d. Voting
10. How should the excess of the subscription price over the par value of common stock subscribed be recorded?
 - a. As APIC when the subscription is received
 - b. As APIC when the subscription is collected
 - c. As Retained Earnings when the subscription is received
 - d. As APIC when the capital stock is issued
11. Preference share that has the most restrictive feature is
 - a. Fully participating, nonvoting
 - b. Nonparticipating, cumulative, nonvoting
 - c. Noncumulative, nonparticipating, nonvoting
 - d. Noncumulative, fully participating, nonvoting
12. When shares are issued for services received, the measure should be the
 - a. Book value of shares issued
 - b. Fair value of such services



- b. Fair value of shares issued d. Par value of shares issued
13. Common shares issued would exceed common shares outstanding as a result of
- a. Declaration of a stock dividend c. Purchase of treasury stock
- b. Declaration of stock split d. Payment in full of subscribed stock
14. How should a corporation reflect treasury stock on its balance sheet?
- a. As part of its assets
- b. As a deduction in the stockholders' equity section
- c. As additional paid in capital
- d. As additional shares of capital stock
15. Any loss incurred from the sale of treasury shares shall be charged to
- a. Loss on sale of treasury shares to be reported as other expense
- b. Retained earnings and then share premium from treasury shares
- c. Share premium from treasury shares and then retained earnings
- d. Share premium from original issuance, share premium from treasury shares and then retained earnings
16. Which of the following best describes the net effect on retained earnings of the purchase and subsequent sale of treasury stock?
- a. Retained earnings may never be increased or decreased
- b. Retained earnings may never be increased but sometimes decreased
- c. Retained earnings may never be decreased but sometimes increased
- d. Retained earnings is always affected unless the reissue price is exactly equal to cost
17. At the date of declaration of a small ordinary share dividend, the entry should not include
- a. A debit to retained earnings c. A credit to share premium
- b. A credit to share dividend payable d. All of these are acceptable
18. The peso amount of total shareholder's equity remains the same when there is
- a. Declaration of a stock dividend
- b. Declaration of a cash dividend
- c. Issuance of preferred stock in exchange for convertible debentures
- d. Issuance of nonconvertible bonds with detachable stock purchase warrants
19. The declaration of a 10% stock dividend
- a. Would decrease both accumulated profits and total shareholders' equity
- b. Would decrease accumulated profits but would have no effect on total shareholders' total
- c. Would have no effect on accumulated profits but would decrease total shareholders' equity
- d. Would have no effect both on accumulated profits and total shareholders' equity
20. At what amount per share should retained earnings be reduced for a 20% stock dividend?
- a. Zero c. Market value at the date of issuance
- b. Par value d. Market value at the date of declaration
21. How is an increase in the number of shares as a result of a stock split recorded?
- a. The transaction may be recorded by a memorandum notation in the general journal
- b. The transaction may be recorded by a memorandum notation in the common stock account
- c. The transaction may be recorded by a memorandum notation in the general journal and in the common stock account
- d. There will be a transfer from the retained earnings account to the common stock account, the amount of which is equal to the par value of the new number of shares resulting from the stock split
22. When a corporation declares dividend which is considered a return of the stockholders' original investments, such dividend is called
- a. Cash dividend c. Liquidating dividend
- b. Scrip dividend d. Participating dividend
23. The balance in the retained earnings account is affected by the transfer to that account of:
- I. Issued share capital IV. Changes in accounting policies and errors



- II. Dividends paid or provided for
 III. Transfers to or from Other reserve accounts
 a. I, II and III only
 b. II, III and IV only
- V. Interest paid to debenture holders
 c. I, II, III and IV only
 d. II, III and V only
24. Companies that carry no insurance against insurable casualty loss sometimes use an account called reserved for self-insurance. In preparing a balance sheet, this account should be reported as
 a. Appropriated retained earnings
 b. Deferred credit
 c. Liability
 d. Unappropriated retained earnings
25. A restriction of retained earnings is most likely to be required by the
 a. Purchase of treasury stock
 b. Amortization of past service cost
 c. Payment of last maturing series of a serial bond issue
 d. Exhaustion of potential benefits of the investment credit
26. Which of the following regarding the conversion of preferred stock into common stock is true?
 a. Gains resulting from a conversion are recognized and losses resulting from a conversion are not recognized
 b. Losses resulting from a conversion are recognized and gains resulting from a conversion are not recognized
 c. Both gains and losses from a conversion are recognized
 d. No gain or loss resulting from a conversion are recognized
27. Donated capital is recorded
 a. As an accounting gain in the period it is received
 b. As an accounting loss in the period it is received
 c. At its fair market value in the period it is received
 d. As an increase in legal capital in the period it is received
28. The distribution of share rights to existing ordinary shareholders would increase share premium at
 a. Date of issuance of rights
 b. Date of exercise of rights
 c. Date of expiration of rights
 d. All of these are correct choice
29. Under IFRIC 17, a property dividend declared before the end of the reporting period should be recognized as liability at the end of the reporting period at
 a. Carrying amount of the asset to be distributed
 b. Fair value of the asset on the date of declaration
 c. Fair value of the asset at the end of reporting period
 d. Fair value of the asset at the date of distribution
30. Which of the following statements about property dividends is not true?
 a. A property dividend is also called a dividend in kind
 b. A property dividend is usually in the form of securities of other entities
 c. The accounting for a property dividend should be based on the carrying amount of the nonmonetary asset transferred
 d. All of these statements are true
31. Under IFRIC 17, an entity shall measure a noncurrent asset classified as held for distribution to owners at
 a. Carrying amount
 b. Fair value less cost to distribute
 c. Lower between choices a and b
 d. Higher between choices a and b
32. Under IFRIC 17, an entity shall measure a liability for noncash asset as dividend to the owners
 a. Fair value of the asset to be distributed
 b. Carrying amount of the asset to be distributed
 c. Neither fair value nor carrying amount of the asset to be distributed
 d. Fair value or carrying amount of the asset to be distributed, at the option of the entity
33. Where the recapitalization involves a reduction in the legal capital of the corporation for the purpose of eliminating an existing deficit, or of writing down the inflated book values, the recapitalization is referred to as
 a. Reorganization
 b. Quasi-reorganization
 c. Incorporation
 d. Answer not given



34. The primary purpose of a quasi reorganization is to give an entity the opportunity to
- Obtain relief from creditors
 - Revalue understated assets to fair value
 - Eliminate a deficit in retained earnings
 - Distribute the shares of a newly created subsidiary to shareholders
35. After a quasi-reorganization where a deficit is removed, the balance of retained earnings will
- Increase
 - Decrease
 - Remain the same
 - Either increase or decrease

PROBLEMS

1. The December 31, 2021 trial balance of Venir Corporation shows the following balances, among others:

Preferred stock, P100 par	300,000
Common stock, P10 par	400,000
Additional paid in capital – preferred	15,000
Additional paid in capital – common	84,000
Donated capital	100,000
Common stock dividend payable	20,000
Treasury common stock, 2,000 shares, at cost	80,000
Dividends payable – cash	25,000
Retained earnings unappropriated	216,000
Retained earnings appropriated for plant expansion	210,000
Retained earnings appropriated for treasury stock	80,000
Retained earnings appropriated for retirement of preferred stock	30,000

What is the amount of stockholders' equity on December 31, 2021?

- P1,455,000
 - P1,375,000
 - P1,350,000
 - P1,425,000
2. The accounts below appear in the December 31, 2021 trial balance of Angelie Company:

Authorized share capital	P5,000,000
Unissued share capital	2,000,000
Subscribed share capital	1,000,000
Subscription receivable	400,000
Share premium	500,000
Retained Earnings unappropriated	600,000
Retained Earnings appropriated	300,000
Revaluation surplus	200,000
Treasury shares at cost	100,000

In its December 31, 2021 statement of financial position, it should report total shareholders' equity at

- P5,100,000
 - P5,500,000
 - P4,900,000
 - P4,800,000
3. An entity provided the following data for the year ended December 31, 2021:

Retained earnings unappropriated, January 1	200,000
Overdepreciation of 2020 due to prior period error	100,000
Net income for 2021	1,300,000
Retained earnings appropriated for treasury shares (original balance is P500,000 but reduced by P200,000 by reason of reissuance of the treasury shares)	300,000
Retained earnings appropriated for contingencies (beginning balance P700,000. but increased by current appropriation of P100,000)	800,000
Cash dividends paid to shareholders	500,000
Change in accounting policy from FIFO to average – credit adjustment	150,000

What is the balance of unappropriated retained earnings on December 31, 2021?

- P1,150,000
- P1,350,000
- P1,950,000
- P1,750,000



- On July 15, 2022, it declared and distributed a property dividend of inventory. The inventory had a P750,000 carrying value and a P600,000 fair market value.
- On January 2, 2018, it granted stock options to employees to purchase 20,000 shares of the company's common stock at P20 per share, which was the market price on that date. The options may be exercised within a 3-year period beginning January 2, 2022. The measurement date is the same as the grant date. On October 1, 2022, employees exercised all 20,000 options when the market value of the stock was P25 per share. The company issued new shares to settle the transaction.
- The company's net income for 2022 was P2,500,000

The company should report total stockholders' equity on December 31, 2022 at:

- | | |
|---------------|---------------|
| a. P8,150,000 | c. P7,900,000 |
| b. P8,300,000 | d. P8,250,000 |
8. In 2021, Marela, Inc., issued for P105 per share, 8,000 shares of P100 par value convertible preferred stock. One share of preferred stock can be converted into three shares of its P25 par value common stock at the option of the preferred shareholder. In August 2022, all of the preferred stock was converted into common stock. The market value of the common stock at the date of the conversion was P30 per share. What is the net amount of the additional paid-in capital as a result of the issuance of the preferred stock and its subsequent conversion into common stock?
- | | |
|-------------|-------------|
| a. P80,000 | c. P200,000 |
| b. P120,000 | d. P240,000 |
9. On April 1, 2021, Angela Corporation issued P1,500,000 of 10% nonconvertible bonds at 104 which are due on March 31, 2034. Each P1,000 bond was issued with 40 detachable stock warrants, each of which entitled the bondholder to purchase, for P50, one share of common stock, P25 par. On April 1, 2021, the market value of the common stock was 40 per share and the market value of each warrant was 4. What amount of the proceeds from the bond issue should it record as stockholders' equity?
- | | |
|---------------|------------|
| a. P1,500,000 | c. P60,000 |
| b. P240,000 | d. P0 |
10. Dwight Company issued P5,000,000 face value 12% convertible bonds at 110 on January 1, 2021, maturing on January 1, 2026 and paying interest semiannually on January 1 and July 1. It is estimated that the bonds would sell only at 103 without the conversion feature. Each P1,000 bond is convertible into 10 shares of P100 par value common stock.
- How much is the increase in stockholders' equity arising from the issuance of the convertible bonds on January 1, 2021?
- | | |
|-------------|-------------|
| a. P350,000 | c. P150,000 |
| b. P500,000 | d. P0 |



SHARE-BASED COMPENSATION (PFRS 2)

- A **share-based compensation plan** is a compensation arrangement established by the entity whereby the entity's employees shall receive shares of capital in exchange for their services or the entity incurs liabilities to the employees in amounts based on the price of its shares.
- **PFRS 2** sets out measurement principles and specific requirements for accounting of the following share-based compensation:
 - ✓ **Equity settled** - The entity issues equity instruments in consideration for services received, for example, **share options**.
 - ✓ **Cash settled** - The entity incurs a liability for services received and the liability is based on the entity's equity instruments, for example, **share appreciation rights**.

Share options

- **Share options** are granted to officers and key employees to enable them to acquire shares of the entity during a specified period upon fulfillment of certain conditions at a specified price.

Measurement compensation

- The compensation resulting from share options is measured following two methods, namely:
 - **Fair value method**
 - This means that the compensation is equal to the fair value of the share options on the **date of grant**.
 - This is the method mandated by PFRS 2.
 - **Intrinsic value method**
 - This means that the compensation is equal to the intrinsic value of the share options.
 - The intrinsic value is the excess of the market value of the share over the option price.
 - The intrinsic value method can be used only if the fair value of the share option cannot be estimated reliably.

Recognition of compensation

- The following accounting procedures should be observed in the recognition of compensation expense:
 - ✓ If the share options **vest immediately**, the employee is not required to complete a specified period of service before unconditionally entitled to the share options.
 - In this case, on grant date, the entity shall recognize the compensation as expense in full with corresponding increase in equity.
 - ✓ If the share options **do not vest** until the employee completes a specified service period, the compensation is recognized as expense over the service period or vesting period, meaning from the date of grant to the date on which the options can first be exercised.

Share appreciation right

o Cash settled transaction

- A cash settled transaction is a share-based payment transaction whereby an entity incurs a **liability** for services received and the liability is based on the entity's equity instruments.
- For a cash settled share-based compensation, the entity shall measure the services acquired and the liability incurred at the fair value of the liability.

- Until the liability is settled, the entity shall remeasure the fair value of the liability at each reporting date and at the date of settlement with any changes in fair value recognized in profit or loss for the period.
- The best example of a cash settled share-based compensation is the grant of share appreciation right to employees.

o Share appreciation right

- A **share appreciation right** entitles an employee to receive cash which is equal to the excess of the market value of the entity's share over a predetermined price for a stated number of shares.
- A share appreciation right creates a liability

o Measurement of compensation

- The compensation is based on the fair value of the liability at the reporting date and shall be remeasured at every year-end until it is finally settled.
- Any changes in fair value are included in profit or loss.
- The fair value of liability is equal to the excess of the market value of share over a predetermined price for a given number of shares over a definite vesting period.

o Recognition of compensation

- ✓ If the share appreciation right **vests immediately**, the compensation is recognized immediately on the date of grant.
- ✓ If the share appreciation right **does not vest** until the employee completes a definite vesting period, the compensation is recognized over the service or vesting period.

o Cash and share alternative

- Some share-based payment transactions allow the employee the choice as to whether to settle the transaction in cash, or by issuing equity shares.
- An employee may have the right to choose between:
 - ✓ **Cash alternative** – cash payment equal to the market value of a certain number of shares subject to certain conditions.
 - ✓ **Share alternative** – equity shares given to the employee.
- The accounting for this type of instrument depends on which party has the **choice of settlement**.
 - If the **entity** has the choice of settlement, there is no accounting problem. The instrument is not a compound financial instrument.
 - If the **employee** has the right to choose the settlement, the entity is deemed to have issued a compound financial instrument.
 - Thus, the compound financial instrument is accounted for as partly liability which is the cash alternative and partly equity which is the share alternative.
 - The **equity component** is the residual amount: fair value of the whole compound financial instrument minus the fair value of the liability component.

-- END --

SHARE-BASED COMPENSATION

THEORY

1. The classification of a share-based payment has an impact on its measurement. What are the classifications for share-based payment transactions under PFRS 2?
 - a. Vested, not vested
 - b. Equity-settled, and group settled
 - c. Equity-settled, cash-settled, and share option-settled
 - d. Equity-settled, cash-settled, share-based payment transactions with a settlement choice
2. The entity has issued a range of share options to employees. What type of share-based payment does this represent?
 - a. Asset settled share-based payment
 - b. Cash settle share-based payment
 - c. Equity settled share-based payment
 - d. Liability settled share-based payment
3. A company-issued share option is an instrument that gives the holder the right but not the obligation to
 - a. Receive a certain dividend declared by the company on a specific date
 - b. Receive a bonus issue of shares in proportion as notified by the company
 - c. Buy a certain number of shares in the company by a specified date at a stated price
 - d. Sell a certain number of shares in the company by a specified date at a stated price
4. For transactions with employees and other providing similar services, the fair value on equity instrument granted is measured on:
 - a. Exercise date
 - b. Balance sheet date
 - c. Grant date
 - d. Beginning of the year of grant
5. How is the compensation expense measured for equity settled share-based payments?
 - a. Use the normal hourly rate of the employees
 - b. Measure the fair value of share option using an option pricing model
 - c. Measure the difference between the market price and the fair value of the share options
 - d. Measure the intrinsic value of share options as the difference between market price and exercise price at measurement date
6. Which of the following option valuation techniques should not be used as a measure of fair value of share options in the first issuance?
 - a. Binomial model
 - b. Black-Scholes model
 - c. Intrinsic value
 - d. Monte-Carlo model
7. An entity has entered into a contract with another entity which will supply a range of services. The payment for those services will be in cash and based upon the price of the entity's ordinary shares on completion of the contract. What type of share-based payment transaction does this represent?
 - a. Asset-settled share-based payment transaction
 - b. Cash-settle share-based payment transaction
 - c. Equity-settled share-based payments transaction
 - d. Liability-settled share-based payment transaction
8. Compensation cost for a share-based payment to employees that is classified as liability is measured as
 - a. The change in fair value of the instrument for each reporting period
 - b. The total fair value at grant date
 - c. The present value of cash payments due over the life of the grant
 - d. The actual cash outlay for the period
9. In accordance with PFRS 2, Share-based Payment, how should an entity recognize the change in fair value of the liability in respect of a cash-settle share-based payment transaction?
 - a. Recognize in profit or loss
 - b. Recognize in other comprehensive income
 - c. Recognize in the statement of changes in equity
 - d. Do not recognize in the financial statements but disclose in the notes thereto
10. In what circumstances is compensation expense immediately recognized under PFRS 2?
 - a. In all circumstances



- b. In no circumstances is compensation expense immediately recognized
 - c. In circumstances when options are exercisable within 2 years for services rendered over the next 2 years
 - d. In circumstances when options are granted for prior service and the options are immediately exercisable
11. If share-based payment transaction provides that employees have the right to choose the settlement whether in cash or shares, the entity is deemed to have issued
- a. An equity instrument
 - b. A liability instrument
 - c. A compound financial instrument
 - d. Either an equity instrument or liability instrument but not both
12. X Corporation granted 1,000 stock options to its employees on January 1, 2019, for services performed during 2019 and 2020. At the date of the grant, the fair value of the stock options is P6,000. The options are exercisable on January 1, 2021 and expire on June 30, 2021. On July 1, 2021, it was determined that none of the options were exercised. On December 31, 2021, X Corporation should
- a. Restate its financial statements for 2019 and 2020 and reduce compensation expense for each year
 - b. Make a prior period adjustment to retained earnings for compensation expense recognized in 2019 and 2020
 - c. Not adjust or reverse compensation expense
 - d. Record P6,000 of compensation expense in 2021

PROBLEMS

1. At the beginning of 2021, Kaye Corporation grants 100 share options to each of its 200 employees. Each grant is conditional upon the employee working for the entity over the next three years. The entity estimates that the fair value of each share option is P45.

On the basis of a weighted average probability, the entity estimates that 25 percent of employees will leave during the three-year period and therefore forfeit their rights to the share options.

During 2021, 10 employees leave. The entity revises its estimate of total employee departure over the three-year period from 25 percent to 20 percent. During 2022, a further 8 employees leave. The entity revises its estimate of total employee departures over the three-year period from 20 percent to 15 percent. During 2023, a further 6 employees leave.

Question 1: Compensation expense in 2021

- a. P240,000
- b. P225,000
- c. P720,000
- d. P 0

Question 2: Compensation expense in 2022

- a. P240,000
- b. P270,000
- c. P510,000
- d. P 0

Question 3: Compensation expense in 2023

- a. P240,000
- b. P720,000
- c. P282,000
- d. P792,000

2. On January 1, 2018, an entity granted the employees option to buy 200,000 shares with P20 par for P30 per share. The employees exercised the options on January 1, 2021. Quoted market prices of shares are as follows.

2018	34	2020	42
2019	39	2021	44

The service period is for two years beginning January 1, 2018. The fair value of the share options cannot be measured reliably.

Question 1: What is the compensation expense for 2018?

- a. P400,000
- b. P200,000
- c. P300,000
- d. P800,000



Question 2: What is the compensation expense for 2019?

- | | |
|---------------|---------------|
| a. P1,800,000 | c. P1,400,000 |
| b. P1,000,000 | d. P400,000 |

Question 3: What is the compensation expense for 2020?

- | | |
|-------------|-------------|
| a. P200,000 | c. P400,000 |
| b. P600,000 | d. P0 |

Question 4: What amount should be credited to share premium upon exercise of the share options on January 1, 2021?

- | | |
|---------------|---------------|
| a. P3,800,000 | c. P4,800,000 |
| b. P4,400,000 | d. P0 |

3. An entity grants to an employee the right to choose either 5,000 phantom shares, i.e. a right to a cash payment equal to the value of 5,000 shares or 6,000 shares. The grant is conditional upon the completion of three years' service. If the employee chooses the share alternative, the shares must be held for three years after vesting date.

At grant date, the entity's share price is P81 per share. At the end of years 1, 2 and 3, the share price is P82, P85 and P90 respectively. The entity does not expect to pay dividends in the next three years. After taking into account the effects of the post-vesting transfer restrictions, the entity estimates that the grant date fair value of the share alternative is P78 per share.

Determine the following:

Question 1: Compensation expense in year 1

- | | |
|-------------|-------------|
| a. P156,000 | c. P157,667 |
| b. P136,667 | d. P 0 |

Question 2: Compensation expense in year 2

- | | |
|-------------|-------------|
| a. P156,000 | c. P146,666 |
| b. P167,666 | d. P 0 |

Question 3: Compensation expense in year 3

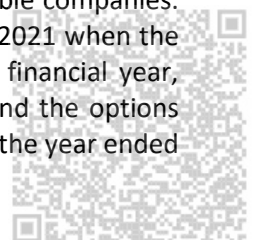
- | | |
|-------------|-------------|
| a. P156,000 | c. P187,667 |
| b. P166,667 | d. P 0 |

4. On January 2, 2021, Beatriz Corporation granted X, its president, 20,000 stock appreciation rights for past services. Those rights are exercisable immediately and expire on January 1, 2024. On exercise, X is entitled to receive cash for the excess of the stock's market price on the exercise date over the market price on the grant date. X did not exercise any of the rights during 2021. the market price of the company's stock was 30 on January 2, 2021 and 45 on December 31, 2021. As a result of the stock appreciation rights, the company should recognize compensation expense for 2021 of:

- | | |
|-------------|-------------|
| a. P0 | c. P300,000 |
| b. P100,000 | d. P600,000 |

5. Joseph Company, an unlisted entity, decided to issue 1,000 share options to an employee in lieu of many years' service. However, the fair value of the share options cannot be reliably measured as the entity operates in a highly specialized market where there are no comparable companies. The exercise price is P100 per share and the options were granted on January 1, 2021 when the value of the shares was also estimated at P100 per share. At the end of the financial year, December 31, 2021, the value of the shares was estimated at P150 per share and the options vested on that date. What value should be placed on the share options issued for the year ended December 31, 2021?

- | | |
|-------------|------------|
| a. P100,000 | c. P50,000 |
| b. P150,000 | d. P25,000 |



STATEMENT OF FINANCIAL POSITION

- **General purpose financial statements**

- An entity shall prepare and present general-purpose financial statements in accordance with the International Financial Reporting Standards.
- **General purpose financial statements** or simply referred to as **financial statements** are those intended to meet the needs of users who are not in a position to require an entity to prepare reports tailored to their particular information needs.

Components of financial statements

- A **complete set of financial statements** comprises the following components:
 - ✓ Statement of Financial Position
 - ✓ Statement of Comprehensive Income
 - ✓ Statement of Changes in Equity
 - ✓ Statement of Cash Flows
 - ✓ Notes, comprising a summary of significant accounting policies and other explanatory notes.
 - ✓ A Statement of Financial Position as at the beginning of the **earliest comparative period** when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements.

Objective of financial statements

- The **objective** of financial statements is to provide information about the financial position, financial performance and cash flows of an entity that is useful to a wide range of users in making decisions.

Statement of Financial Position

- A **Statement of Financial Position** is a formal statement showing the three elements comprising financial position namely: (1) assets, (2) liabilities, and (3) equity.
- **Asset**
 - An **asset** as is defined as resource controlled by the entity as a result of past events from which future economic benefits are expected to flow to the entity.
 - The **essential characteristics** of an asset are:
 - The asset is controlled by the entity.
 - The asset is the result of a past transaction or event.
 - The asset provides future economic benefits.
 - The cost of the asset can be measured reliably.
- **Current Assets**
 - An entity shall classify as asset as **current** when:

- The asset is cash or cash equivalent unless the asset is restricted to settle a liability for more than twelve months after the reporting period.
- The entity holds the asset primarily for the purpose of trading.
- The entity expects to realize the asset within twelve months after the reporting period.
- The entity expects to realize the asset or intends to sell or consume it within the entity's normal operating cycle.

- **Noncurrent Assets**

- The caption "**noncurrent assets**" is a residual definition.

- **Liability**

- A **liability** is defined as present obligation of an entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

- **Current liabilities**

- Liabilities are also classified as **current** and **noncurrent**.
- An entity shall classify a liability as **current** when:
 - ✓ The entity expects to settle the liability within the entity's normal operating cycle.
 - ✓ The entity holds the liability primarily the purpose of trading.
 - ✓ The liability is due to be settled within twelve months after the reporting period.
 - ✓ The entity does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period.
- An entity classifies its financial liabilities as **current** when they are due to be settled within twelve months after the end of the reporting period, even if:
 - ✓ The original term was for a period longer than twelve months; and
 - ✓ The intention is supported by an agreement to refinance, or reschedule the payments, on a long-term basis is completed after the end of the reporting period and completed before the financial statements are authorized for issue.
- If the entity has the **discretion to refinance**, or to roll over the obligation for at least twelve months **after** the end of the reporting period under an existing loan facility, it classifies the obligation as non-current, even if it would be due within a shorter period.
- If a liability has become **payable on demand** because an entity has breached an undertaking under a long-term loan agreement on or before the end of the reporting period, the liability is current, even if the lender has agreed, after the end of the reporting period and before the authorization of the financial

statements for issue, not to demand payment as a consequence of the breach.

- o However, the liability is classified as **non-current** if the lender agreed by the end of the reporting period to provide a period of grace ending at least 12 months **after** the end of the reporting period, within which the entity can rectify the breach and during which the lender cannot demand immediate repayment.

- **Presentation of current liabilities**

- o As a minimum, the face of the statement of financial position shall include the following line items for current liabilities:
 - ✓ Trade and other payables
 - ✓ Current provisions
 - ✓ Short-term borrowing
 - ✓ Current portion of long-term debt
 - ✓ Current tax liability

- **Noncurrent liabilities**

- o The term “**noncurrent liabilities**” is also a residual definition.
- o Example of noncurrent liabilities are:
 - ✓ Noncurrent portion of long-term debt
 - ✓ Finance lease liability
 - ✓ Deferred tax liability
 - ✓ Long-term obligations to company officers
 - ✓ Long-term deferred revenue

- **Equity**

- o The term “**equity**” is the residual interest in the assets of the entity after deducting all of its liabilities.
- o **Equity** means “net assets” or total assets minus liabilities.
- o **Shareholders’ equity** is the residual interest of owners in the net assets of a corporation measured by the excess of assets over liabilities.

-- END --



STATEMENT OF FINANCIAL POSITION

1. Xavier Company provided the following trial balance on June 30, 2021:

Cash overdraft	(200,000)
Accounts receivable, net	700,000
Inventory	1,200,000
Prepaid expenses	200,000
Land held for resale	2,000,000
Property, plant and equipment, net	1,900,000
Accounts payable and accrued expenses	640,000
Share capital	3,000,000
Share premium	500,000
Retained earnings	1,660,000

Checks amounting to P600,000 were written to vendors and recorded on June 30 resulting in cash overdraft of P200,000. The checks were mailed on July 9. Land held for resale was sold for cash on July 15. The financial statements were issued on July 31. On June 30, 2021, what total amount should be reported as current assets?

- a. P4,500,000

b. P4,100,000
- c. P4,300,000

d. P2,500,000

2. Emmanuel Company’s trial balance reflected the following account balances as of December 31, 2021:

Accounts receivable (net)	P1,600,000
Short-term investments	500,000
Accumulated depreciation on equipment and furniture	1,500,000
Cash	1,100,000
Inventory of merchandise	3,000,000
Equipment and furniture	2,500,000
Patent	400,000
Prepaid expenses	100,000
Land held for future business site	1,800,000

In December 31, 2021 balance sheet, the current assets total is:

- a. P8,100,000

b. P7,300,000
- c. P6,700,000

d. P6,300,000

3. Trisha Company had the following liabilities on December 31, 2021:

Accounts payable	55,000
Unsecured notes, 8% due 7/1/2022	400,000
Accrued expenses	35,000
Contingent liability	450,000
Deferred tax liability	25,000
Senior bonds, 7%, due 3/31/2022	1,000,000

The contingent liability is an accrual for possible loss on a P1,000,000 lawsuit filed against the entity. The legal counsel expects the suit to be settled in 2022 and has estimated that the entity will be liable for damages in the range of P450,000 to P750,000. The deferred tax liability is expected to reverse in 2022. What amount should be reported on December 31, 2021 for current liabilities?

- a. P515,000

b. P940,000
- c. P1,490,000

d. P1,515,000

4. The trial balance of Melody Company reflected the following liability account balances on December 31, 2021:

Accounts payable	P1,900,000	Income tax payable	900,000
Bonds payable, due 2022	3,400,000	Notes payable, due January 19, 2023	600,000
Deferred income tax payable	400,000	Discount on bonds payable	200,000
Dividends payable on 2/15/2022	500,000		



The deferred income tax payable is based on temporary differences that will reverse in 2023 and 2024. In the December 31, 2021 balance sheet, the current liabilities total is:

- a. P7,100,000

b. P6,900,000
- c. P6,700,000

d. P6,500,000

5. The following information pertains to Cristy Company on December 31, 2021:

Property, plant and equipment (net)	P35,000,000	Allowance for doubtful accounts	1,000,000
Accounts receivable	20,000,000	Merchandise inventory	13,000,000
Prepaid insurance	2,500,000	Short-term investments	7,000,000
Short-term note payable	3,000,000	Wages payable	2,000,000
Cash	5,000,000	Premium on bonds payable	3,000,000
Bonds payable	40,000,000	Total assets	101,500,000
Land	20,000,000	Total liabilities	56,000,000
Accounts payable	8,000,000		

The December 31 working capital is:

- a. P46,500,000

b. P33,500,000
- c. P45,500,000

d. P35,500,000

6. Kayra Company provided the following balances as of December 31, 2021

Cash, net of a P5,000 overdraft	P 50,000
Trading securities, (fair value on December 31, 2021, P19,000)	16,000
Receivables, net of allowance for bad debts P2,000 and customer credit balances of P4,000	30,000
Inventory (P5,000 of which are held on consignment)	60,000
Prepayments, including P2,000 of supplies already used up	10,000
Property, plant and equipment, net of accumulated depreciation	90,000
Accounts payable, (net of suppliers' debit balance of P6,000)	45,000
Notes payable - bank, maturing annually at P50,000	450,000
Income tax payable	40,000
Stock dividends distributable	6,000

Net working capital is

- a. P25,000

b. P27,000
- c. P22,000

d. P19,000

7. Melvina Corporation provided the following balances on December 31, 2021:

Accounts payable	500,000	Premium share	500,000
Accrued taxes	100,000	Preference share	3,000,000
Ordinary shares	5,000,000	Premium on note payable	200,000
Dividends-ordinary share	1,000,000	Profit summary-credit balance	4,000,000
Dividends-preference share	500,000	Accumulated profits-1/1/2021	2,500,000
Mortgage payable		Unearned rent income	150,000
(P500,000 due in 6 months)	4,000,000		
Notes payable, due January 1, 2024	2,000,000		

Question 1: What is the amount of total Noncurrent Liabilities?

- a. P5,700,000

b. P6,200,000
- c. P5,500,000

d. P5,650,000

Question 2: What is the Retained Earnings account balance on December 31, 2021?

- a. P6,500,000

b. P2,500,000
- c. P1,000,000

d. P5,000,000

Question 3: What is the total Shareholders' Equity on December 31, 2021?

- a. P15,000,000

b. P13,500,000
- c. P9,500,000

d. P8,500,000



STATEMENT OF COMPREHENSIVE INCOME

Comprehensive income

- **Comprehensive income** is the change in equity during a period resulting from transactions and other events, other than changes resulting from transactions with owners in their capacity as owners.
- Comprehensive income **includes**:
 - ✓ **Components of profit or loss** - income minus expenses including tax expense and any income or loss from discontinued operations.
 - ✓ **Components of other comprehensive income.**

Other comprehensive income (OCI)

- **Other comprehensive income** comprises items of income and expenses including reclassification adjustments that are not recognized in profit or loss as required or permitted by Philippine Financial Reporting Standards.

Presentation of Other Comprehensive Income (OCI)

- The Statement of Comprehensive Income shall present line items for amounts of other comprehensive income during the period classified by nature.
- The **line items** of OCI shall be grouped as follows:
 - ✓ OCI that will be reclassified subsequently to profit or loss when specific conditions are met.
 - ✓ OCI that will not be reclassified subsequently to profit or loss.
- Components of OCI that will be **reclassified subsequently to profit or loss** include:
 - ✓ Unrealized gain or loss on debt investment measured at a FVOCI.
 - ✓ Translation gains and losses of foreign operations.
 - ✓ Unrealized gain or loss on derivative contracts designated as cash flow hedge.
- Components of OCI that will **not be reclassified subsequently to profit or loss**, but may be reclassified to Retained Earnings (RE):
 - ✓ Unrealized gain or loss on equity investment measured FVOCI.
 - Such unrealized gain or loss is reclassified to Retained Earnings upon disposal of the investment.
 - ✓ Revaluation surplus.
 - The realization of the revaluation surplus is through Retained Earnings.
 - ✓ Remeasurement gains and losses for defined benefit plans, including actuarial gain or loss.

- The remeasurements are not reclassified subsequently but are permanently excluded from profit or loss.
- However, the remeasurements may be transferred within Equity or Retained Earnings.
- ✓ Change in fair value arising from credit risk for financial liabilities measured at FVPL.
 - Such gain or loss from change in fair value attributable to credit risk of a financial liability may be transferred within equity or retained earnings.

Presentation of comprehensive income

- An entity has two options of presenting comprehensive income, namely:
 - **Two statements:**
 - ✓ An **Income Statement** showing the components of profit or loss.
 - ✓ A **Statement of Comprehensive Income** beginning with profit or loss as shown in the income statement plus or minus the components of other comprehensive income.
 - **Single Statement of Comprehensive Income**
 - ✓ This is the combined statement showing the components of profit or loss and components of other comprehensive income in a single statement.

Information to be presented in the statement of comprehensive income

- As a minimum, the statement of comprehensive income shall include **line items** that present the following amounts for the period:
 - ✓ Revenue
 - ✓ Finance costs
 - ✓ Share of the profit or loss of associates and joint ventures accounted for using the equity method
 - ✓ Tax expense
 - ✓ A single amount comprising the total of:
 - The post-tax profit or loss of discontinued operations and
 - The post-tax gain or loss recognized on the measurement to fair value less costs to sell or on the disposal of the assets or disposal group(s) constituting the discontinued operation
 - ✓ Profit or loss
 - ✓ Each component of other comprehensive income classified by nature

- ✓

Share of the other comprehensive income of associates and joint ventures accounted for using the equity method
- ✓

Total comprehensive income.
- ✓

An entity shall not present any items of income and expense as extraordinary items, either on the face of the income statement or in the notes.
- END

--

- An entity shall **disclose** the following items in the statement of comprehensive income as allocations of profit or loss for the period:

○

Profit or loss for the period attributable to:

✓

Minority interest.

✓

Owners of the parent.

○

Total comprehensive income for the period attributable to:

✓

Minority interest.

✓

Owners of the parent.
- Forms of income statement
- An entity shall present either an analysis of expenses using a classification based on either the nature of expenses or their function within the entity, whichever provides information that is reliable and more relevant.

✓

Nature of expense method – expenses are aggregated in the income statement according to their nature and are not reallocated among various functions within the entity.

Revenue

X

Other income

X

Changes in inventories of finished goods and work in progress

X

Raw materials and consumables used

X

Employee benefit costs

X

Depreciation and amortization

X

Other expense

X

Total expense

(X)

Profit

X

✓

Function of expense or cost of sales method – Classifies expenses according to their function as part of cost of sales or, for example, the cost of distribution or administrative activities.
- | | |
|-------------------------|-----|
| Revenue | X |
| Cost of sales | (X) |
| Gross Profit | X |
| Other income | X |
| Distribution costs | (X) |
| Administrative expenses | (X) |
| Other expenses | (X) |
| Income before tax | X |
| Income tax expense | (X) |
| Net income | X |
- NOTES:
- ✓

An entity classifying expenses by function shall disclose additional information on the nature of expenses, including depreciation, amortization, and employee benefit costs.
-
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- Page | 141

STATEMENT OF COMPREHENSIVE INCOME

1. Ronelo Company reported the following data for the current year:

Net sales	9,500,000
Cost of goods sold	4,000,000
Selling expenses	1,000,000
Administrative expenses	1,200,000
Interest expense	700,000
Gain from expropriation of land	500,000
Income tax	800,000
Income from discontinued operations	600,000
Unrealized gain on equity investment at FVOCI	900,000
Unrealized loss on futures contract designated as a cash flow hedge	400,000
Increase in projected benefit obligation due to actuarial assumptions	300,000
Foreign translation adjustment – debit	100,000
Revaluation surplus	2,500,000

Question 1: What amount should be reported as income from continuing operations?

- a. P3,100,000

b. P2,300,000
- c. P1,800,000

d. P2,900,000

Question 2: What net amount should be recognized in other comprehensive income for the year?

- a. P2,600,000

b. P3,100,000
- c. P3,400,000

d. P800,000

Question 3: What amount should be reported as net income?

- a. P2,900,000

b. P2,300,000
- c. P3,100,000

d. P2,400,000

Question 4: What amount should be reported as comprehensive income?

- a. P5,500,000

b. P2,900,000
- c. P2,600,000

d. P6,100,000

2. The records of Ramon Corporation as of December 31, 2021 showed the following balances:

Uncollectible accounts expense	2,000,000
Freight out	3,500,000
Cost of sales	40,000,000
Loss on sale of equipment	1,500,000
Sales	90,000,000
Interest income	4,000,000
Administrative expenses	10,000,000
Finished goods inventory, January 1	60,000,000
Sales commissions	7,000,000
Finished goods inventory, December 31	55,000,000
Income tax rate	30%

It shall report as income after income tax from continuing operations the amount of:

- a. P30,000,000

b. P21,000,000
- c. P27,000,000

d. P18,900,000

3. The trial balance of Marjon Company, an investment entity, includes the following income and expenses for the current year:

Dividend income from investments	9,200,000
Distribution income from trusts	500,000
Interest income on deposits	700,000
Income from bank treasury bills	100,000
Unrealized gain on FVOCI investments	400,000
Income from dealing in securities and derivatives held for trading	600,000
Writedown of securities and derivatives held for trading	150,000
Other income	250,000
Finance cost	300,000
Administrative staff costs	3,800,000
Sundry administrative costs	1,200,000
Income tax expense	1,700,000

How much is the comprehensive income for the current year?

- a. P4,200,000

b. P4,600,000
- c. P3,800,000

d. P9,200,000

4. Selected information on Catherine Company for the year 2021 are as follows:

Cash balance, January 1	130,000
Accounts receivable, January 1	190,000
Collections from customers	2,100,000
Stockholders' equity, January 1	380,000
Total assets, January 1	750,000
Total assets, December 31	880,000
Cash balances, December 31	160,000
Accounts receivable, December 31	360,000
Total liabilities, December 31	390,000

The net income for 2021 is:

- a. P490,000

b. P150,000
- c. P110,000

d. P70,000

5. Karen Company incurred the following costs and expenses during the current year:

Raw material purchases	4,000,000
Direct labor	1,500,000
Indirect labor - factory	800,000
Factory repairs and maintenance	200,000
Taxes on factory building	100,000
Depreciation – factory building	300,000
Taxes on salesroom and general office	150,000
Depreciation – sales equipment	50,000
Advertising	400,000
Office salaries	700,000
Utilities (60% applicable to factory, 25% to salesroom and 15% to office)	500,000

	<u>Beginning</u>	<u>Ending</u>
Raw materials	300,000	450,000
Work in process	400,000	350,000
Finished goods	500,000	700,000

The cost of goods manufactured for the current year was:

- a. P6,900,000

b. P7,200,000
- c. P7,100,000

d. P7,300,000

6. Neriza Company had the following information in relation to its inventory accounts in 2021

Increase in Raw materials:	P14,000
Increase in Work in process:	P24,000
Decrease in Finished goods:	P33,500

Likewise, the following costs and expenses were incurred in 2021:

Raw materials purchased	P 150,000
Direct labor cost	60,000
Indirect factory labor	30,000
Taxes and depreciation on factory building	10,000
Taxes and depreciation on sales room and office	7,500
Freight-out	3,000
Freight-in	4,000
Sales salaries	20,000
Office salaries	12,000
Utilities (60% applicable to factory, 20% to sales room, and 20% to office)	25,000

Question 1: Total manufacturing cost is

- a. P255,000

b. P251,000
- c. P283,000

d. P240,000

Question 2: The company's cost of goods sold for the year is

- a. P249,500

b. P197,500
- c. P264,500

d. P244,500



STATEMENT OF CASH FLOWS (PAS 7)

Usefulness of the Statement of Cash Flows

- The **statement of cash flows** provides information about the cash receipts, cash payments, and net change in cash resulting from the operating, investing, and financing activities during a period.
- The information in a statement of cash flows should help investors, creditors, and others assess:
 - The entity's ability to generate future cash flows.
 - The entity's ability to pay dividends and meet obligations.
 - The reasons for the difference between net income and net cash provided (used) by operating activities.
 - The cash investing and financing transactions during the period.

Classification of Cash Flows

- **Operating activities** include the cash effects of transactions that enter into the determination of net income, such as cash receipts from sales of goods or services and cash payments to suppliers and employees.
- **Investing activities** include (1) acquiring and disposing of investments and property, plant, and equipment and (2) lending money and collecting the loans.
- **Financing activities** include (1) Obtaining cash from issuing debt and repaying the amounts borrowed and (2) obtaining cash from stockholders, repurchasing shares, and paying dividends.

Significant Noncash Activities

- Companies **do not report in the body** of the statement of cash flows significant financing and investing activities that do not affect cash.
- They report these activities in either a separate schedule at the bottom of the statement of cash flows or in a separate note or supplementary schedule to the financial statements.
- Examples of **significant noncash activities** are:
 - Direct issuance of common stock to purchase assets.
 - Conversion of bonds into common stock.
 - Direct issuance of debt to purchase assets.
 - Exchanges of plant assets.

Preparing the Statement of Cash Flows

- The information to prepare the statement of cash flows usually comes from **three sources**:
 - Comparative balance sheets.
 - Current income statement.

- Additional information.

- Preparing the statement of cash flows from these data sources involves **three major steps**:
 - 1) Determine net cash provided/used by operating activities by converting net income from an accrual basis to a cash basis.
 - 2) Analyze changes in noncurrent asset and liability accounts and record as investing and financing activities, or disclose as noncash transactions.
 - 3) Compare the net change in cash on the statement of cash flows with the change in the cash account reported on the balance sheet to make sure the amounts agree.
- A company must convert net income from an accrual basis to a cash basis to determine net cash provided/used by operating activities by using either (1) **the indirect method** or (2) **the direct method**.

Direct Method

- The **direct method** shows in detail or itemizes the major classes of gross cash receipts and gross cash payments, such as:
 - Cash received from customers
 - Cash paid to suppliers
 - Cash paid for operating expenses
 - Other expenses paid
 - Interest paid
 - Income tax paid
- **T-accounts** are normally used to aid in preparing the operating activities section of Statement of Cash Flows under the Direct Method

Indirect Method

- **Step 1:** Determine net cash provided/used by operating activities by converting net income from an accrual basis to a cash basis.
 - Under the accrual basis of accounting, net income is not the same as net cash provided by operating activities.
 - Companies must **adjust net income** to convert certain items to the cash basis.
 - **Noncash expenses** (depreciation expense, amortization, depletion) and losses in the income statement are added back to net income and gains are deducted which results in net cash provided by operating activities.
 - A final adjustment in reconciling net income to net cash provided by operating activities involves analyzing all **changes in noncash current asset and current liability** accounts.

- Deduct from net income increases in current asset accounts, and add to net income decreases in current asset accounts, to arrive at net cash provided by operating activities.
 - ✓ When the Accounts Receivable balance increases, cash receipts are lower than revenue earned under the accrual basis. The company deducts from net income the amount of the increase in accounts receivable, to arrive at net cash provided by operating activities.
 - Increases in current liability accounts are added to net income, and decreases in current liability accounts are deducted from net income, to arrive at net cash provided by operating activities.
 - ✓ When the Accounts Payable balance increases, operating expenses on an accrual basis are higher than they are on a cash basis because expenses are incurred for which payment has not taken place. The company adds to net income the amount of the increase in accounts payable to arrive at net cash provided by operating activities.
- O **Step 2:** Analyze changes in noncurrent asset and liability accounts and record as investing and financing activities, or as noncash investing and financing activities.
- Increases in any noncurrent asset (Land, Building, Equipment and Long-Term Investments) represent outflows of cash from investing activities. Decreases represent inflows of cash from investing activities.
 - Increases in long-term debt (Bonds Payable) or paid-in capital (Common Stock) accounts represent cash inflows from financing activities. Decreases in long-term debt or paid-in capital accounts represent cash outflows from financing activities as does the payment of dividends.
- O **Step 3:** Compare the net change in cash on the statement of cash flows with the change in the cash account reported on the balance sheet to make sure the amounts agree.

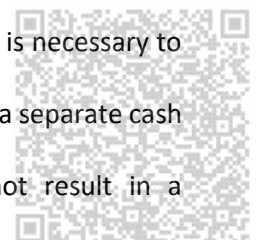
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STATEMENT OF CASH FLOWS

THEORY

1. The primary purpose of the cash flow statement is
 - a. To provide relevant information about cash receipts and cash payments of an entity during a period
 - b. To help investors, creditors and other users to assess the entity's ability to generate positive future net cash flows
 - c. To disclose separately noncash investing and financing activities
 - d. To assess the ability of the entity to pay dividends to stockholders
2. An entity shall prepare a cash flow statements and shall present it as
 - a. Supplementary financial statements
 - b. Note to financial statements
 - c. Supporting schedule for amount appearing as cash and cash equivalents
 - d. Integral part of the enterprise's basic financial statements
3. The cash flows shown in the statement of cash flows are grouped into the following major categories:
 - a. Operating activities, investing activities, and financing activities
 - b. Cash receipts, cash disbursements, and noncash activities
 - c. Direct cash flows and indirect cash flows
 - d. Operating activities, investing activities, and collecting activities
4. Are the principal revenue-producing activities of the entity and other activities that are not investing or financing activities?
 - a. Operating activities
 - b. Investing activities
 - c. Financing activities
 - d. Cash and Cash equivalents
5. Are the acquisition and disposal of long-term assets and other investments not included in cash equivalents
 - a. Operating activities
 - b. Investing activities
 - c. Financing activities
 - d. Cash and Cash equivalents
6. Are the activities that result in changes in the size and composition of the contributed equity and borrowings of the entity
 - a. Operating activities
 - b. Investing activities
 - c. Financing activities
 - d. Cash and Cash equivalents
7. An entity shall report cash flows from operating activities using
 - a. Direct method
 - b. Indirect method
 - c. Either direct method or indirect method
 - d. Neither direct method nor indirect method
8. The direct method of presenting the operating activities is the method whereby
 - I. The major classes of gross cash receipts and gross cash payments are disclosed
 - II. Net income or loss is adjusted for the effects of transactions of a noncash nature, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
9. What item appears first on the statement of cash flows prepared using the direct method?
 - a. Cash receipts from customers
 - b. Depreciation
 - c. Net income
 - d. Retained earnings
10. To arrive at net cash provided by operating activities using the indirect method, it is necessary to report revenue and expenses on a cash basis. This is done by
 - a. Re-recording all income statement transactions that directly affect cash in a separate cash flow journal
 - b. Eliminating the effects of income statement transactions that did not result in a corresponding increase or decrease in cash
 - c. Eliminating all transactions that have not current in future effect on cash, such as depreciation, from the net income computation



- d. Estimating the percentage of income statement transactions that were originally reported in a cash basis and projecting this amount to the entire array of income statement transactions
11. In a cash flow statement using the indirect approach for operating activities, an increase in inventory should be presented as
 - a. Outflow of cash
 - b. Addition to net income
 - c. Inflow and outflow of cash
 - d. Deduction from net income
12. Operating activities include all of the following, except
 - a. Cash receipts from royalties, fees, commissions and other revenue
 - b. Cash payments to and in behalf of employees
 - c. Cash receipts and cash payments of an insurance entity for premiums and claims, annuities and other policy benefits
 - d. Cash receipts from sales of property, plant and equipment, intangible assets and other long-term assets
13. All of the following should be classified as investing activities, except
 - a. Cash outflows to purchase manufacturing equipment
 - b. Cash inflows from the sale of bonds of other entities
 - c. Cash outflows to lenders for interest
 - d. Cash inflows from the sale of manufacturing plant
14. Financing activities include all of the following, except
 - a. Cash proceeds from issuing shares and other equity instruments
 - b. Cash payments to owners to acquire or redeem the entity's shares
 - c. Cash payments by a lessee for the reduction of the outstanding liability relating to a finance lease
 - d. Cash advances and loans made to other parties, other than advances and loans made by a financial institution.
15. An entity other than a financial institution receives dividends from investment in shares. How should it disclose the dividends received in the statement of cash flows?
 - a. Operating cash inflow
 - b. Either as operating cash inflow or as investing cash inflow
 - c. Either as operating cash inflow or as financing cash inflow
 - d. As an adjustment in the "operating activities" section of the cash flow because it is included in the net income for the year and as a cash inflow in the "financing activities" section of the statement of cash flows
16. In the cash flow statement, alternatively, interest received, and dividend received may be classified as cash flows from
 - a. Financing activities
 - b. Investing activities
 - c. Operating activities
 - d. Revenue activities
17. Under PAS 7, interest payments can be classified as part of either
 - a. Investing or financing activities
 - b. Operating or investing activities
 - c. Operating or financing activities
 - d. Operating, investing or financing activities
18. Which of the following is considered as cash flows from operating activities
 - a. Cash receipts from sales of property, plant and equipment, intangibles and other long-term assets
 - b. Cash advances and loans made to other parties
 - c. Cash receipts from the repayment of advances and loans made to other parties
 - d. Cash receipts and payments from contracts held for dealing or trading purposes
19. Which of the following would affect both financing and operating activities?
 - a. Collection of loans to other entities
 - b. Issuance of equity shares
 - c. Payment of dividends
 - d. Redemption of debt
20. How should a gain from the sale of used equipment for cash be reported in a cash flow statement using the indirect method?
 - a. In investing activities as a reduction of the cash inflow from the sale
 - b. In investment activities as a cash outflow



- c. In operating activities as a deduction from income
 - d. In operating activities as an addition to income
21. Which of the following information would be added back to the net income when reporting cash flow from operating activities using the indirect method?
- a. Excess of treasury stock acquisition cost over sales proceeds
 - b. Bond discount amortization
 - c. Bond premium amortization
 - d. Extraordinary gain
22. How should an unrealized gain on foreign currency transaction be presented in a statement of cash flows?
- a. As an inflow under financing activities
 - b. It should be ignored as it is an unrealized gain
 - c. It should be disclosed in the notes to financial statements by way of abundant precaution
 - d. As an adjustment to the net income under operating activities
23. In a cash flow statement, if used equipment is sold at a gain, the amount shown as a cash flow from investing activities equals the carrying amount of the equipment
- a. Plus the gain
 - b. Plus the gain and less the amount of tax attributable to the gain
 - c. Plus both the gain and the amount of tax attributable to the gain
 - d. With no addition or subtraction
24. On July 1, 2021, X Company signed a 20-year building lease that it reported as a finance lease. X paid the monthly lease payments when due. How should X report the effect of the lease payments in the financing activities section of its 2021 cash flow statement?
- a. As an inflow equal to the present value of future lease payments on July 1, 2021 less the 2021 principal and interest payments
 - b. As an outflow equal to the 2021 principal and interest payments
 - c. As an outflow equal to the 2021 principal payments only
 - d. The lease payments should not be reported in the financing activities section
25. An entity purchased a building and the seller accepted payment partly in equity shares and partly in debentures of the entity. Under PAS 7, this transaction should be treated in the statement of cash flows as which of the following?
- a. The purchase of the building should be investing cash outflow and the issuance of shares and the debentures financing cash outflows
 - b. The purchase of the building should be investing cash outflow and the issuance of debentures financing cash outflow while the issuance of shares investing cash outflow
 - c. The transaction does not belong in a statement of cash flows and should be disclosed only in the notes to the financial statements
 - d. Ignore the transaction totally since it is a noncash transaction
26. Which of the following information should be disclosed as supplemental information in the cash flow statement?
- a. Cash flow per share
 - b. Conversion of debt to equity
 - c. Issue of common stock for cash
 - d. Purchase of treasury stock for cash at more than par value
27. Most entities interpret that significant noncash investing and financing transactions should be reported
- a. In the statement of cash flows
 - b. In the statement of financial position
 - c. In the notes to the financial statements
 - d. In a separate schedule which is part of the statement of cash flows



PROBLEMS

1. Elison Corporation provides the following information for the year ended December 31, 2021:

Net income	P1,882,000
Increase in current assets other than cash	275,000
Increase in current liabilities	122,000
Dividends declared and paid	375,000
Depreciation	256,000
Treasury stock acquired for cash	100,000
Long term debt retired	591,000
Equipment acquired for cash	200,000

The net cash increase for the year ended December 31, 2021 is:

- | | |
|---------------|---------------|
| a. P1,985,000 | c. P1,025,000 |
| b. P719,000 | d. P872,000 |

2. An entity presented the following comparative financial information:

	<u>2021</u>	<u>2020</u>
Property, plant and equipment	2,190,000	1,440,000
Accumulated depreciation	450,000	270,000
Long-term investments	225,000	-
Prepaid expenses	351,000	315,000
Merchandise inventory	1,950,000	1,260,000
Accounts receivable, net of allowance	1,560,000	1,080,000
Cash	690,000	640,000
Share capital-ordinary	3,000,000	2,400,000
Retained earnings	906,000	688,000
Long-term note payable	1,275,000	1,095,000
Accounts payable	309,000	282,000
Dividend payable	201,000	-
Accrued expenses	825,000	-
	<u>2021</u>	<u>2020</u>
Net credit sales	7,020,000	3,753,000
Cost of goods sold	(3,915,000)	(1,881,000)
Gross profit	3,105,000	1,872,000
Expenses, including income tax	(2,586,000)	(1,374,000)
Net income	<u>519,000</u>	<u>498,000</u>

Accounts receivable and accounts payable relate to merchandise for sale in the normal course of business. The allowance for bad debts was the same at the end of 2021 and 2020 and no receivables were charged against the allowance.

Accounts payable are recorded net of any discount and are always paid within the discount period.

The proceeds from the note payable were used to finance the acquisition of property, plant and equipment. Ordinary shares were sold to provide additional working capital.

Question 1: What amount should be reported as net cash provided by operating activities in 2021?

- | | |
|-------------|-------------|
| a. P345,000 | c. P546,000 |
| b. P165,000 | d. P510,000 |

Question 2: What amount should be reported as net cash used in investing activities in 2021?

- | | |
|-------------|-------------|
| a. P750,000 | c. P975,000 |
| b. P225,000 | d. P750,000 |

Question 3: What amount should be reported as net cash provided by financing activities in 2021?

- | | |
|-------------|-------------|
| a. P600,000 | c. P750,000 |
| b. P780,000 | d. P680,000 |



3. An entity provided the following data:

	<u>December 31, 2020</u>	<u>December 31, 2021</u>
Trade accounts receivable, net of allowance	840,000	780,000
Inventory	1,500,000	1,400,000
Accounts payable	950,000	980,000

- Total sales were P12,000,000 for 2021 and P11,000,000 for 2020. Cash sales were 20% of total sales each year. Cost of goods sold was P8,400,000 for 2021.
- Variable expenses for 2021 amounted to P1,200,000 and varied in proportion to sales. Variable expenses had been paid 50% in the year incurred and 50% the following year.
- Fixed expenses, including P350,000 depreciation and P50,000 bad debt expense, totaled P1,000,000 each year. Eighty percent of fixed expenses involving cash were paid in the year incurred and 20% the following year. Each year there was a P50,000 bad debt estimate and a P50,000 write-off.

Question 1: What is the cash collected from customers during 2021?

- a. P12,010,000

b. P12,060,000
- c. P11,960,000

d. P11,890,000

Question 2: What is the amount of purchases for 2021?

- a. P9,800,000

b. P8,300,000
- c. P8,500,000

d. P8,400,000

Question 3: What is the cash disbursed for purchases during 2021?

- a. P8,500,000

b. P8,270,000
- c. P8,300,000

d. P8,200,000

Question 4: What amount of cash was disbursed for variable expenses during 2021?

- a. P1,150,000

b. P1,200,000
- c. P1,100,000

d. P600,000

Question 5: What amount of cash was disbursed for fixed expenses during 2021?

- a. P500,000

b. P650,000
- c. P600,000

d. P500,000



EVENTS AFTER THE REPORTING PERIOD (PAS 10)

Key Definitions

- **Events after the reporting period** – An event, which could be favorable or unfavorable, that occurs between the reporting period and the date that the financial statements are authorized for issue.
- **Adjusting event** – An event after the reporting period that provides further evidence of conditions that existed at the end of the reporting period, including an event that indicates that the going concern assumption in relation to the whole or part of the enterprise is not appropriate.
- **Non-adjusting event** – An event after the reporting period that is indicative of a condition that arose after the reporting period.

Adjusting event

Examples:

- Events that indicate that the going concern assumption in relation to the whole or part of the entity is not appropriate.
- Settlement after reporting date of court cases that confirm the entity had a present obligation at reporting date.
- Bankruptcy of a customer that occurs after reporting date that confirms a loss existed at reporting date on trade receivables.
- Sales of inventories after reporting date that give evidence about their net realizable value at reporting date.
- Determination after reporting date of cost of assets purchased or proceeds from assets sold, before reporting date.
- Discovery of fraud or errors that show the financial statements are incorrect.

Non-adjusting event

Examples:

- Major business combinations or disposal of a subsidiary.
- Major purchase or disposal of assets, classification of assets as held for sale or expropriation of major assets by government.
- Destruction of a major production plant by fire after reporting date.
- Announcing a plan to discontinue operations.
- Announcing a major restructuring after reporting date.
- Major ordinary share transactions.

- Abnormal large changes after the reporting period in assets prices or foreign exchange rates.
- Changes in tax rates or tax law.
- Entering into major commitments such as guarantees.
- Commencing major litigation arising solely out of events that occurred after the reporting period.

Accounting

- **Adjust financial statements for adjusting events** – events after the reporting period that provide further evidence of conditions that existed at the end of the reporting period, including events that indicate that the going concern assumption in relation to the whole or part of the enterprise is not appropriate.
- **Do not adjust for non-adjusting events** – events or conditions that arose after the reporting period.

Disclosure

- Non-adjusting events should be disclosed if they are of such importance that non-disclosure would affect the ability of users to make proper evaluations and decisions.
- The required disclosure is (a) the nature of the event and (b) an estimate of its financial effect or a statement that a reasonable estimate of the effect cannot be made.
- A company should update disclosures that relate to conditions that existed at the reporting period to reflect any new information that it receives after the reporting period about those conditions.

- - END - -



EVENTS AFTER THE REPORTING PERIOD

1. Part of the notes to financial statements are events after the reporting period which pertains to those events both favorable and unfavorable that occur
 - a. After balance sheet date
 - b. After issuance of the statements
 - c. After the balance sheet date prior to issuance of financial statements
 - d. Between the balance sheet date and the date when the financial statements are authorized for issue
2. Under PAS 10, which of the following statements is true regarding events after reporting period?
 - I. Adjusting events (Type I events) after reporting period are events that provide evidence of conditions that existed at the end of the reporting period
 - II. Non-adjusting events (Type II events) after reporting period are events that are indicative of conditions that arose after the end of reporting period
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
3. Adjustments of financial statements are required for those events after balance sheet date which
 - a. Are unusual and material
 - b. Occurred prior to issuance of the financial statements
 - c. Have a material effect or a user's evaluation of the information presentation in the financial statements
 - d. Provide additional information for determining amounts relating to conditions existing on the balance sheet date
4. Non-adjusting events after the balance sheet date should be disclosed if
 - a. They are unusual and material
 - b. They relate to conditions existing at the balance sheet date
 - c. Non-disclosure would affect the amounts presented in the financial statements
 - d. Non-disclosure would affect the ability of users of the financial statements to make proper decisions
5. At the end of the current reporting period, an entity carried a receivable from a major customer. The customer declared bankruptcy after the end of reporting period but prior to authorization of financial statements. How should the entity account for this event?
 - a. Ignore the event
 - b. Make a provision for this post-reporting period event
 - c. Disclose in the notes the fact that the customer declared bankruptcy
 - d. Reverse the sale pertaining to this receivable in the comparative statement for the prior period and treat this as an error
6. Under PAS 10, which of the following events after reporting period would require disclosure?
 - a. Strike of employees
 - b. Retirement of the entity president
 - c. Issue of large number of ordinary shares
 - d. Settlement of litigation when the event that gave rise to the litigation occurred prior to the reporting date
7. An entity deals extensively with foreign entities, and the financial statements reflect these foreign currency transactions. Subsequent to the end of reporting period, and before the issuance of the financial statements, there were abnormal fluctuations in foreign currency rates. How should the entity account for this event?
 - a. Ignore the post-reporting period event
 - b. Disclose the post-reporting period event as a non-adjusting event
 - c. Adjust the foreign exchange year-end balances to reflect the abnormal adverse fluctuations in foreign exchange rate
 - d. Adjust the foreign exchange year-end balances to reflect all the abnormal fluctuations in foreign exchange rates and not just adverse movements
8. Which of the following subsequent events (post-balance sheet events) would require adjustment of the accounts before issuance of the financial statements?
 - a. loss of plant as a result of fire
 - b. changes in quoted market prices of securities held as an investment



- c. loss on an uncollectible account receivable resulting from a customer's major flood loss
 - d. loss on a lawsuit, the outcome of which was deemed uncertain at year-end
9. Adjusting events after balance sheet date include all of the following, except
- a. The resolution after the balance sheet date of a court case
 - b. The bankruptcy of a customer which occurs after the balance sheet date resulting to a loss on a trade receivable account
 - c. The discovery of fraud or errors that show that the financial statements were incorrect
 - d. Dividends to holders of equity instruments proposed or declared after balance sheet date
10. Non-adjusting events after reporting period include all of the following, except
- a. A major business combination after the reporting period
 - b. Expropriation of major assets by government after reporting period
 - c. Destruction of a major production plant by fire on or before the end of reporting period
 - d. Announcing a plan to discontinue an operation after reporting period



REVISED CONCEPTUAL FRAMEWORK

Scope

The **Framework** addresses:

- The objective of general purpose financial reporting
- Qualitative characteristics of useful financial information
- Financial statements and the reporting entity
- The elements of financial statements
- Recognition and derecognition
- Measurement
- Presentation and disclosure
- Concepts of capital and capital maintenance

The Objective of general purpose financial reporting

- The **primary users** of general purpose financial reporting are present and potential investors, lenders and other creditors, who use that information to make decisions about buying, selling or holding equity or debt instruments, providing or settling loans or other forms of credit, or exercising rights to vote on, or otherwise influence, management’s actions that affect the use of the entity’s economic resources.
- The primary users need information about the resources of the entity not only to assess an entity's prospects for future net cash inflows but also how effectively and efficiently management has discharged their responsibilities to use the entity's existing resources (i.e., stewardship).

Qualitative characteristics of useful financial information

- The qualitative characteristics of useful financial reporting identify the types of information are likely to be most useful to users in making decisions about the reporting entity on the basis of information in its financial report. The qualitative characteristics apply equally to financial information in general purpose financial reports as well as to financial information provided in other ways.
- Financial information is useful when it is relevant and represents faithfully what it purports to represent. The usefulness of financial information is enhanced if it is **comparable, verifiable, timely** and **understandable**.

Fundamental qualitative characteristics

- Relevance
- Faithful representation

Relevance

- Relevant financial information is capable of making a difference in the decisions made by users.
- Financial information is capable of making a difference in decisions if it has **predictive value, confirmatory value**, or both.
- The predictive value and confirmatory value of financial information are interrelated.

- **Materiality** is an entity-specific aspect of relevance based on the nature or magnitude (or both) of the items to which the information relates in the context of an individual entity's financial report.

Faithful representation

- General purpose financial reports represent economic phenomena in words and numbers.
- Financial information must not only be relevant, it must also represent faithfully the phenomena it purports to represent.
- Faithful representation means representation of the substance of an economic phenomenon instead of representation of its legal form only.
- A faithful representation seeks to maximize the underlying characteristics of **completeness, neutrality** and **freedom from error**.
- A neutral depiction is supported by the exercise of prudence. **Prudence** is the exercise of caution when making judgements under conditions of uncertainty.

Enhancing qualitative characteristics

- Comparability
- Verifiability
- Timeliness
- Understandability

Comparability

- Information about a reporting entity is more useful if it can be compared with a similar information about other entities and with similar information about the same entity for another period or another date.
- Comparability enables users to identify and understand similarities in, and differences among, items.

Verifiability

- Verifiability helps to assure users that information represents faithfully the economic phenomena it purports to represent.
- Verifiability means that different knowledgeable and independent observers could reach consensus, although not necessarily complete agreement, that a particular depiction is a faithful representation.

Timeliness

- Timeliness means that information is available to decision-makers in time to be capable of influencing their decisions.

Understandability

- Classifying, characterizing and presenting information clearly and concisely makes it understandable. While some phenomena are inherently complex and cannot be made easy to understand, to exclude such



information would make financial reports incomplete and potentially misleading.

- Financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review and analyze the information with diligence.

The cost constraint on useful financial reporting

- Cost is a pervasive constraint on the information that can be provided by general purpose financial reporting. Reporting such information imposes costs and those costs should be justified by the benefits of reporting that information.

Financial statements and the reporting entity

Objective and scope of financial statements

- The **objective** of financial statements is to provide information about an entity's assets, liabilities, equity, income and expenses that is useful to financial statements users in assessing the prospects for future net cash inflows to the entity and in assessing management's stewardship of the entity's resources.

The Elements of Financial Statements

- Financial statements portray the financial effects of transactions and other events by grouping them into broad classes according to their economic characteristics. These broad classes are termed the **elements of financial statements**.
- The elements directly related to **financial position** (balance sheet) are:
 - ✓ Assets
 - ✓ Liabilities
 - ✓ Equity
- The elements directly related to **performance** (income statement) are:
 - ✓ Income
 - ✓ Expenses
- The cash flow statement reflects both income statement elements and some changes in balance sheet elements.

Definitions of the elements relating to financial position

- **Asset** - An asset is a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.
- **Liability** - A liability is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
- **Equity** - Equity is the residual interest in the assets of the entity after deducting all its liabilities.

Definitions of the elements relating to performance

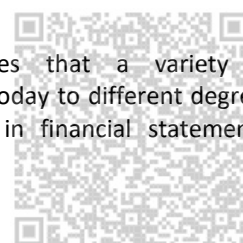
- **Income** - Income is increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants.
- **Expense** - Expenses are decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants.

Recognition of the elements of financial statements

- Recognition is the process of incorporating in the balance sheet or income statement an item that meets the definition of an element and satisfies the criteria for recognition. It is probable that any future economic benefit associated with the item will flow to or from the entity; and the item's cost or value can be measured with reliability.
- An **asset** is recognized in the balance sheet when it is probable that the future economic benefits will flow to the entity and the asset has a cost or value that can be measured reliably.
- A **liability** is recognized in the balance sheet when it is probable that an outflow of resources embodying economic benefits will result from the settlement of a present obligation and the amount at which the settlement will take place can be measured reliably.
- **Income** is recognized in the income statement when an increase in future economic benefits related to an increase in an asset or a decrease of a liability has arisen that can be measured reliably. This means, in effect, that recognition of income occurs simultaneously with the recognition of increases in assets or decreases in liabilities (for example, the net increase in assets arising on a sale of goods or services or the decrease in liabilities arising from the waiver of a debt payable).
- **Expenses** are recognized when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment).

Measurement of the Elements of Financial Statements

- Measurement involves **assigning monetary amounts** at which the elements of the financial statements are to be recognized and reported.
- The Framework acknowledges that a variety of **measurement bases** are used today to different degrees and in varying combinations in financial statements, including:
 - Historical cost
 - Current cost
 - Net realizable (settlement) value
 - Present value (discounted)



- o **Historical cost** is the measurement basis most commonly used today, but it is usually combined with other measurement bases.

Concepts of Capital

- **Financial concept of capital** - capital is synonymous with **net assets** of the enterprise. This is the concept of capital adopted by most enterprises. A financial concept of capital, e.g. invested money or invested purchasing power, means capital is the net assets or equity of the entity.
- **Physical concept of capital** – capital is regarded as the **productive capacity** of the enterprise based on, for example, units of output per day.

Concepts of Capital Maintenance

- **Financial capital maintenance** – Under this concept, a **profit is earned only if the financial (or money) amount** of the **net assets** at the **end** of the of the period **exceeds** the financial (or money) amount of the net assets at the beginning of the period, after excluding any distributions to, and contributions from, owners during the period.
- **Physical capital maintenance** – Under this concept, a **profit is earned only if the physical productive capacity** (or operating capability) of the enterprise (or the resources need to achieve that capacity) at the **end** of the period **exceeds** the physical productive capacity at the **beginning** of the period, after excluding any distributions to, and contributions from, owners during the period.

-- END --



REVISED CONCEPTUAL FRAMEWORK

THEORY

1. What is the basic purpose of the Revised Conceptual Framework?
 - I. To assist FRSC in developing accounting standards those represent GAAP in the Philippines
 - II. To assist FRSC in reviewing and adopting existing international accounting standards
 - III. To assist preparers of financial statements in applying accounting standards and in dealing with topics those have yet to form the subject of accounting standards
 - a. I and II only
 - b. I and III only
 - c. II and III only
 - d. I, II and III
2. Which is not within the scope of the Revised Conceptual Framework?
 - a. Objective of financial statements
 - b. Qualitative characteristics of financial statements
 - c. Recognition and measurement of basic elements
 - d. Generally accepted accounting principles
3. The Revised Conceptual Framework is comprised of how many chapters?
 - a. Six
 - b. Eight
 - c. Ten
 - d. Twelve
4. Which statement is incorrect concerning the Revised Conceptual Framework?
 - a. The Framework is not a PFRS and therefore does not define standard for any particular measurement or disclosure issue
 - b. The Framework is concerned with general purpose financial statements including consolidated financial statements
 - c. In cases of conflict, the requirements of the Framework prevail over those of the relevant PFRS
 - d. The Framework applies to the financial statements of all commercial, industrial and business reporting entities, whether in public or private sector
5. Under the Revised Conceptual Framework of Financial Reporting, users of financial information may be classified into
 - a. Heavy users (management) and slight users (public, government)
 - b. Primary users (existing and potential investors and creditors) and other users
 - c. Internal users (employees, customers) and external users (investors, creditors)
 - d. Main users (existing investors, creditors) and incidental users (potential investors, creditors)
6. These are related to the economic resources (assets), economic obligations (liabilities), residual interest (equity) and changes in them (revenue and expense)
 - a. Basic elements
 - b. Basic principles
 - c. Basic objectives
 - d. Basic concepts
7. Which is not within the definition of an asset under the Revised Conceptual Framework?
 - a. An asset is a present economic resource
 - b. The economic resource is a right that has the potential to produce economic benefits
 - c. The economic resource is controlled by the entity as a result of past event
 - d. Future economic benefit is expected to flow to the entity
8. What is the new definition of liability under the Revised Conceptual Framework?
 - a. A present obligation of the entity arising from past event the settlement of which is expected to result in an inflow of economic benefit
 - b. A present obligation of the entity arising from present event
 - c. A present obligation of the entity to transfer an economic resource as a result of past event
 - d. An obligation that the entity has practical ability to avoid
9. Under the Revised Conceptual Framework, which of the following criteria need not be satisfied for a liability to exist?
 - a. The entity has an obligation
 - b. The obligation is to transfer an economic resource
 - c. The obligation is a present obligation that exists as a result of a past event
 - d. The settlement of the obligation is expected to result in an outflow of economic benefit



10. It is the residual interest in the assets of the enterprise after deducting all its liabilities
 - a. Revenue
 - b. Expenses
 - c. Net income
 - d. Equity
11. It represents the gross inflows of economic benefits during the period arising in the course of ordinary activities of an enterprise when these inflows result in increases in equity, other than those relating to contributions from owners
 - a. Assets
 - b. Liabilities
 - c. Expense
 - d. Revenue
12. It represents the gross outflows of economic benefits during the period arising in the course of ordinary activities of an enterprise when these outflows result in decreases in equity, other than those relating to distributions to owners
 - a. Assets
 - b. Liabilities
 - c. Expense
 - d. Revenue
13. It is defined as increase in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases in liabilities that result in increases in equity, other than those relating to contributions from equity participants
 - a. Gain
 - b. Income
 - c. Profit
 - d. Revenue
14. It is the process of incorporating in the balance sheet or income statement an item that meets the definition of an element of financial statements.
 - a. Recognition
 - b. Allocation
 - c. Realization
 - d. Summarization
15. It is the process of determining the monetary amounts at which the elements are to be recognized and carried in the balance sheet and income statement
 - a. Measurement
 - b. Recognition
 - c. Reporting
 - d. Interpreting
16. The underlying theme of the Revised Conceptual Framework is
 - a. Comparability
 - b. Decision usefulness
 - c. Timeliness
 - d. Understandability
17. In financial accounting, revenues and expenses are often included in the determination of net income even though no cash receipts or disbursements have occurred. This practice is based on the concept of
 - a. Time period
 - b. Historical cost
 - c. Going concern
 - d. Accrual basis
18. This is an assumption by accountants that a business will continue to operate indefinitely unless specific evidences to the contrary exist, as for example, an impending bankruptcy
 - a. Matching principle
 - b. Going concern principle
 - c. Cost principle
 - d. Objectivity principle
19. Which underlying concept serves as the basis for preparing financial statements at regular intervals?
 - a. Accounting entity
 - b. Going concern
 - c. Accounting period
 - d. Stable monetary unit
20. The financial statements should be stated in terms of a common financial denominator
 - a. Accrual
 - b. Going concern
 - c. Time period
 - d. Monetary unit
21. Preparation of consolidated FS when a parent-subsidiary relationship exists is an example of the
 - a. Comparability characteristic
 - b. Economic entity assumption
 - c. Neutrality characteristic
 - d. Relevance characteristics
22. What are the qualitative characteristics of financial statements according to the Revised Conceptual Framework?



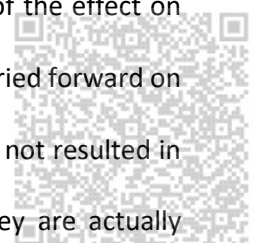
- a. Qualitative characteristics are broad classes of financial effects of transactions and other events
 - b. Qualitative characteristics are the attributes that make the information provided in financial statements useful to others
 - c. Qualitative characteristics measure the extent to which an entity has complied with all relevant Standards and Interpretations
 - d. Qualitative characteristics are non-quantitative aspects of an entity's position and performance and changes in financial position
23. Enhancing qualitative characteristics of financial reporting that make information more useful are
- a. Verifiability, timeliness, understandability, and time-period
 - b. Relevance, reliability, and faithful representation
 - c. Comparability, verifiability, timeliness, and understandability
 - d. Completeness, neutrality, and freedom from error
24. To achieve faithful representation, the financial statements
- a. Must have predictive and confirmatory value
 - b. Are comparable, understandable, verifiable and timely
 - c. Must be complete, neutral and reasonably free from error
 - d. All of these would achieve faithful representation
25. Which qualitative characteristics relate to the content of the financial statements?
- a. Relevance and reliability
 - b. Understandability
 - c. Relevance and understandability
 - d. Reliability and comparability
26. Which qualitative characteristics relate to the presentation of financial statements?
- a. Relevance and reliability
 - b. Understandability and comparability
 - c. Relevance and understandability
 - d. Reliability and comparability
27. It is the quality of information that assures readers that the information is free from bias or error and faithfully represents what it purports to show
- a. Understandability
 - b. Relevance
 - c. Reliability
 - d. Comparability
28. Verifiability of financial accounting information is synonymous with
- a. Faithful representation
 - b. Substance over form
 - c. Prudence
 - d. Completeness
29. Which term best describes information that influences the economic decisions of users?
- a. Prospective
 - b. Relevant
 - c. Reliable
 - d. Understandable
30. If financial information that is presented in a balance sheet or income statement is misstated, and it influences the economic decisions of user, that information is described as
- a. Faithful
 - b. Material
 - c. Prudent
 - d. Reliable
31. "Freedom from error" relates to which qualitative characteristic of the Revised Conceptual Framework?
- a. Faithful representation
 - b. Relevance
 - c. Understandability
 - d. Verifiability
32. Which of the following terms describing information in the financial statements are properly matched?
- a. Prudent and relevant
 - b. Reliable and verifiable
 - c. Unbiased and neutral
 - d. Understandable and comparable
33. Under IFRS Revised Conceptual Framework, it is the ability through consensus among independent observers to ensure that financial information represents what it purports to represent
- a. Comparability
 - b. Feedback value
 - c. Relevance
 - d. Verifiability
34. What links the decision makers and the decisions they make so that financial information would be useful?



- a. Materiality
 - b. Relevance
 - c. Reliability
 - d. Understandability
35. In respect to information included in financial statements, the accounting concept of prudence ensures that
- a. The financial statements report what they purport to report
 - b. A degree of caution in the exercise of judgments about estimates is made
 - c. Information is provided to users within the same time period in which it is most likely to bear on their decisions
 - d. An appropriate balance is achieved between the relevance and the reliability of information that has been included
36. Which of the following interacts with both relevance and reliability to contribute to the usefulness of information?
- a. Comparability
 - b. Timeliness
 - c. Neutrality
 - d. Predictive value
37. Which of the following is an ingredient of the primary quality of relevance?
- a. Predictive value
 - b. Materiality
 - c. Understandability
 - d. Verifiability
38. This refers to the tendency of accountants to resolve uncertainty in a way least likely to overstate assets and revenues?
- a. Comparability
 - b. Materiality
 - c. Conservatism
 - d. Consistency
39. Which of the following is an example of the concept of conservatism?
- a. Stating inventories at the lower of cost or net realizable value
 - b. Stating inventories using the FIFO method in periods of rising prices
 - c. Using the percentage-of-completion method in the first year of a long-term construction contract
 - d. Using the interest method instead of the straight-line method to record interest in the first year of a long-term receivable
40. The cost of an inexpensive fountain pen which has an estimated life of five years was treated as an expense of the period when purchased. It is an example of the application of the
- a. Consistency principle
 - b. Matching principle
 - c. Materiality principle
 - d. Cost principle
41. In the event of conflict between the economic substance of a transaction and its legal form, the economic substance shall prevail. This concept is known as
- a. Form over substance
 - b. Substance over form
 - c. Faithful representation
 - d. Completeness
42. The financial accounting information is directed toward the common needs of users and is independent of presumptions about particular needs and desires of specific users
- a. Relevance
 - b. Verifiability
 - c. Neutrality
 - d. Completeness
43. It is the exercise of care and caution in dealing with uncertainties in measurement so as not to overstate assets and income and not understated liabilities and expenses
- a. Completeness
 - b. Prudence
 - c. Faithful representation
 - d. Neutrality
44. It is the result of the standard of adequate disclosure
- a. Faithful representation
 - b. Substance over form
 - c. Neutrality
 - d. Completeness
45. The Revised Conceptual framework of accounting sets out two constraints when implementing accounting procedures. What are they?
- a. Cost-benefit and cost principle
 - b. Timeliness and revenue principle
 - c. Cost principle and revenue principle
 - d. Cost-benefit and timeliness



46. Which of the following accounting concepts states that an accounting transaction should be supported by sufficient evidence to allow two or more qualified individuals to arrive at essentially similar conclusions?
- Conservatism
 - Objectivity
 - Periodicity
 - Stable monetary unit
47. Timeliness is an ingredient of
- Reliability
 - Relevance
 - Verifiability
 - Adequate financial statements
48. Which of the following is an example of the expense recognition principle of associating cause and effect?
- Allocation of insurance cost
 - Sales commissions
 - Depreciation of property, plant and equipment
 - Officers' salaries
49. The application of costs against revenue in measuring the periodic income is called
- Income statement preparation
 - Profit and loss preparation
 - Bookkeeping process
 - Matching process
50. Which of the following is an application of the principle of systematic and rational allocation?
- Amortization of intangible assets
 - Sales commissions
 - Research and development costs
 - Officers' salaries
51. Which of the following principles best describes the conceptual rationale for the method of matching depreciation with revenue?
- Associating cause and effect
 - Systematic and rational allocation
 - Immediate recognition
 - Partial recognition
52. A patent with a ten-year life was determined to be worthless. The write off of the asset is an example of which of the following principles?
- Associating cause and effect
 - Immediate recognition
 - Profit maximization
 - Classification
53. Which among the following equations best exemplifies the entity theory of accounting?
- Assets = Liabilities + Capital
 - Assets – Liabilities = Capital
 - Assets + Liabilities = Capital
 - Assets – Liabilities – Preferred SHE = Common SHE
54. Which among the following equations best exemplifies the proprietary theory of accounting?
- Assets = Liabilities + Capital
 - Assets – Liabilities = Capital
 - Assets + Liabilities = Capital
 - Assets – Liabilities – Preferred SHE = Common SHE
55. Generally, revenue should be recognized at a point when
- Management decides it is appropriate to do so
 - The product is available for sale to the ultimate consumer
 - An exchange has taken place and the earnings process is virtually complete
 - A customer's order for a definite amount of merchandise has been received for shipment at FOB destination later
56. The term "matching costs and revenues" means that
- All costs should be allocated to certain accounting periods on the basis of the effect on revenues
 - Costs which can be associated directly with specific revenue should be carried forward on the balance sheet until the associated revenue is recognized
 - Costs should be carried forward to future accounting periods if they have not resulted in revenue during the current accounting period
 - If costs are charged off as expense in the accounting period when they are actually incurred, they will be matched properly with revenues earned during that accounting



period

57. Which of the following conditions does not apply to the recognition of revenue for transactions involving rendering of services?
- a. The amount of revenue can be measured reliably
 - b. It is probable that payment for services shall be received
 - c. The significant risks and rewards of ownership have been transferred to the buyer
 - d. The costs incurred and the costs to complete can be measured reliably
58. Revenue is recognized when
- a. It is probable that future economic benefits will flow to the enterprise
 - b. The future economic benefits can be measured reliably
 - c. It is possible that reliably measurable future economic benefits will flow to the enterprise
 - d. It is probable that reliably measurable future economic benefits will flow to the enterprise
59. Normally, revenue is recognized
- a. When the customer's order is received
 - b. When the customer's order is accompanied by a check
 - c. Only if the transaction will create an account receivable
 - d. When the title to the goods changes
60. Under what methods is revenue recognized prior to delivery?
- a. Percentage of completion method
 - b. Cost recovery method
 - c. Installment sales
 - d. Accrual method



BASIC ACCOUNTING CONCEPTS AND PROCESS

STEPS IN THE ACCOUNTING CYCLE

- There are **nine (9) basic steps** in the accounting cycle, which includes two (2) phases known as recording (steps 1 to 3) and summarizing (steps 4 to 9).
 - Analyzing and recording transactions.
 - Journalizing transactions.
 - Posting transactions to the ledger.
 - Preparing an unadjusted trial balance.
 - Preparing adjusting entries.
 - Preparing an adjusted trial balance.
 - Preparing financial statements.
 - Preparing closing entries.
 - Preparing post-closing trial balance.

RECORDING PHASE

- Analyzing the transaction (Business Document)** - this is where the accountant gathers information and determines the impact of the transactions on the financial position.
- Journalizing** – the process of recording the transactions in the appropriate journals. A journal is a chronological record of transactions also known as the Book of Original Entry.
- Although all transactions could be recorded in the General Journal, it is more efficient to use special journals in recording a large number of like transactions.

Special journals that enterprises usually use are:

- ✓ **Sales Journal** – only sales of merchandise on account.
- ✓ **Cash receipts journal** – all types of cash receipts.
- ✓ **Purchase journal** – records all purchases on account.
- ✓ **Cash disbursement journal** – all payments of cash.

Type of journal entries according to form:

- Simple journal entry** – one which contains a single debit and a single credit element.
- Compound journal entry** – one which has two or more debit and credit elements.

Accounts

- Used as storage units of accounting information and used to summarize changes in assets, liabilities and equity including income and expenses.

- The following are a broad classification of **kinds of accounts**:
 - ✓ **Real account** – also called as permanent accounts. These accounts are not closed and carryover to the next accounting period. (ex. Cash, AR and PPE).
 - ✓ **Nominal account** – also called as temporary capital accounts. These accounts are closed at the end of the accounting period. (ex. Sales and expenses).
 - ✓ **Mixed account** – a combination of real and nominal accounts. (ex. Prepaid expenses).
 - ✓ **Reciprocal account** – has a counterpart in another book within the entity or in another ledger or another entity.
 - ✓ **Other accounts** as necessary.

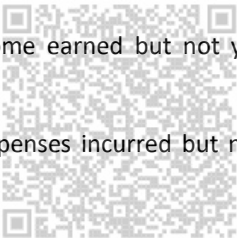
- Posting** - It is the process of transferring data from the journal to the appropriate accounts in the general ledger and subsidiary ledger. This process classifies all accounts that were recorded in the journals.

Kinds of ledgers

- ✓ **General ledger** – includes all the accounts appearing on the financial statements.
- ✓ **Subsidiary ledgers** – affords additional detail in support of certain general ledger accounts.

SUMMARIZING PHASE

- Preparing the unadjusted trial balance** – a list of general ledger accounts with their respective debit or credit balance. The purpose of the unadjusted trial balance is to provide evidence that the total debits are equal to the total credits and prepares the accounts for adjustments.
- Preparing adjusting entries** – to record accruals, expiration of prepayments and deferrals, estimations and other events not signaled by source documents. Adjusting entries are made at the end of each accounting period.
 - o The concepts involved behind adjusting entries are Accrual, Matching of Costs against Revenue and Accounting Period.
- Prepayments and Deferrals** – the cash flow precedes the revenue or the expense recognition.
- Accruals** – income or expense recognition precedes the cash flow.
 - ✓ **Accrued Income** – income earned but not yet received.
 - ✓ **Accrued expenses** – expenses incurred but not yet paid.



- **Estimates** – Adjusting entries that do not involve cash flows.
 - ✓ **Doubtful accounts** – the expense to be matched against credit sales.
 - ✓ **Depreciation** - allocation of the cost of fixed assets as expense over its useful life.
- **Ending inventory** - an adjustment to set up the year-end physical count of the inventory. This only applies if the Periodic Inventory System is used.
- **Preparing the financial statements** – the most important part of the summarizing phase, this is where the processed information is communicated to external users.

Basic financial statements:

- ✓ Statement of Financial Position.
 - ✓ Income Statement or a Statement of Comprehensive Income.
 - ✓ Statement of Changes in Equity.
 - ✓ Statement of Cash Flows.
 - ✓ Notes and Disclosures.
- **Preparing the closing entries** – recorded and posted for the purpose of closing all nominal or temporary accounts to the income summary account and the income or loss afterwards shall be closed to the capital or retained earnings account.
 - **Preparing the post-closing trial balance** – a listing of general ledger accounts and their balances after closing entries have been made.

The **post-closing trial balance** is the same with the year-end statement of financial position. The only difference is that valuation accounts like allowances for assets are found in the credit side instead of being deducted from the related asset account.

- **Preparing reversing entries** – the last and optional step in the accounting cycle. Reversing entries are made at the beginning of the new accounting period to reverse certain adjusting entries from the succeeding accounting period.

Prepaid Expenses:

<u>Asset Method</u>		<u>Expense Method</u>	
Prepaid expense (asset)	xx	Expense	xx
Cash	xx	Cash	xx

Adjustment:

Expense	xx	Prepaid expense (asset)	xx
Prepaid expense	xx	Expense	xx

Deferred or Unearned Revenue:

<u>Liability Method</u>		<u>Income Method</u>	
Cash	xx	Cash	xx
Unearned Income (liab.)	xx	Income	xx

Adjustment:

Unearned Income	xx	Income	xx
Income	xx	Unearned Income (liab.)	xx

The **purpose of reversing entries** is a matter of convenience for accruals and consistency for the adjustments in the following year for prepaid expenses and deferred income when the income statement method was used to record the cash flow.

Once again, **reversing entries** will only apply to the following but remember that they are not necessary and **only optional**:

- ✓ Accrued income.
- ✓ Accrued expense.
- ✓ Prepaid expense, only if the expense method was used in recording the payment.
- ✓ Unearned income, only if the income method was used in recording the collection.

- - END - -



BASIC ACCOUNTING CONCEPTS AND PROCESS

1. The basic purpose of accounting is
 - a. To measure periodic income of the economic entity
 - b. To provide quantitative financial information about a business enterprise that is useful in making rational economic decision
 - c. To provide information that the creditors of an economic entity can use in deciding whether to make additional loans to the entity
 - d. To provide information that the managers of an economic entity need to control its operations
2. Financial accounting can be broadly defined as the area of accounting that prepares
 - a. General purpose financial statements to be used by parties internal to the business enterprise only
 - b. Financial statements to be used by investors only
 - c. General purpose financial statements to be used by parties both internal and external to the business enterprise
 - d. Financial statements to be used primarily by management
3. The basic components of the financial statements do not include
 - a. Statement of Financial Position
 - b. Statement of Comprehensive Income
 - c. Statement of Cash Flows
 - d. Statement of Cost of Goods Sold
4. What is the objective of financial statements?
 - a. To prepare comparable, relevant, reliable and understandable information to investors and creditors
 - b. To prepare financial statements in accordance with all applicable Standards and Interpretations
 - c. To prepare a statement of financial position, an income statement, a statement of cash flows and a statement of changes in equity
 - d. To provide information about the financial position, performance and changes in financial position of an entity that is useful to a wide range of users in making economic decisions
5. It is an independent private sector body with the objective of achieving uniformity in the accounting principles which are used by business enterprises for financial reporting around the world
 - a. International Accounting Standards Committee
 - b. International Federation of Accountants
 - c. Financial Accounting Standards Council
 - d. Securities and Exchange Commission
6. The highest accounting standard-setting authority in the Philippines is
 - a. Accounting Standards Committee
 - b. PICPA
 - c. Financial Accounting Standards Board
 - d. Financial Reporting Standards Council
7. It is the body authorized by law to promulgate rules and regulations affecting the practice of accountancy in the Philippines
 - a. PICPA
 - b. ASC
 - c. Board of Accountancy
 - d. PRC
8. They encompass the conventions, rules, and procedures necessary to define what the accepted accounting practices are
 - a. Generally accepted accounting principles
 - b. Accounting assumptions
 - c. Qualitative characteristics
 - d. Recognition principles
9. The GAAP in the Philippines are now known as
 - a. SFAS
 - b. PAS
 - c. PFRS
 - d. Both PAS & PFRS
10. Philippine Financial Reporting Standards (PFRS) include all of the following, except
 - a. Philippine Financial Reporting Standards equivalent to IFRS issued by IASB
 - b. Philippine Accounting Standards equivalent to IAS issued by IASC
 - c. Philippine Interpretations equivalent to IFRIC and SIC Interpretations, and Interpretations developed by PIC



- d. Framework for the Preparation and Presentation of Financial Statements
11. The purpose of International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) is to
- Issue enforceable standards which regulate the financial accounting and reporting of multinational corporations
 - Develop a uniform currency in which the financial transactions of companies throughout the world would be measured
 - Promote uniform accounting standards among countries of the world
 - Arbitrate accounting disputes between auditors and international companies
12. The accounting equation
- Is used to determine the amount of liabilities owned
 - Shows the claims on the entity's assets represented by creditors and owners
 - Shows the claims on the owner's equity represented by creditors
 - Is used to determine the amount of income earned during the most recent accounting period
13. The double-entry system of accounting means that every transaction
- Is recorded initially on both the journal and the general ledger
 - Increases one general ledger account while decreasing another
 - Affects at least two general ledger accounts and is recorded by an equal amount of debits and credits
 - Results in changes in accounts on both sides of the balance sheet
14. Which among the rules on debit and credit below is not correct?
- The normal balance of any account appears on the side for recording increases
 - Assets and expenses are debited when increased, and liabilities, revenues and equity are credited when increased
 - The debit is always on the left side of the accounting double entry
 - Debit means increase, and credit means decrease
15. Debits
- Increase assets and decrease expenses, liabilities, revenue, and equity
 - Increase assets and expenses and decrease liabilities, revenue and equity
 - Increase assets and equity and decrease liabilities, expenses and revenue
 - Decrease assets and expenses and increase liabilities, revenue and equity
16. X purchased a new register system for his grocery store, paying P1,000 in cash and issuing a P6,000 note payable for the balance owed. As a result of this transaction, X's balance sheet would reflect
- An increase in assets and an increase in liabilities
 - A decrease in assets and an increase in liabilities
 - An increase in assets and a decrease in liabilities
 - An increase in assets and an increase in owner's equity
17. Which among the following is the last step in the accounting cycle?
- Preparation of reversing entries
 - Preparation of financial statements
 - Journalizing and posting of closing entries
 - Preparation of the post-closing trial balance
18. Which is the correct sequence for recording transactions and preparing financial statements?
- Journal, ledger, trial balance, financial statements
 - Ledger, trial balance, journal, financial statements
 - Financial statements, trial balance, ledger, journal
 - Ledger, journal, trial balance, financial statements
19. Journalizing is performed in what phase of the accounting process?
- Reporting
 - Recording
 - Classifying
 - Summarizing
20. General ledger serves what phase of the accounting process?
- Reporting
 - Recording
 - Classifying
 - Summarizing



21. Which statement about the trial balance is incorrect?
- A trial balance determines the equality between the total debits and credits
 - A trial balance lists all open accounts in the general ledger as of a time period
 - A trial balance proves that all amounts have been posted to the correct amounts
 - A trial balance is required in the accounting process
22. X has completed the posting process for the month of June and has prepared a trial balance in which the debits total P11,000 and the credits total P11,100. Which of the following errors would be the most likely candidate in causing the trial balance not to balance by P100?
- A P100 debit was posted as a P100 credit
 - A P100 debit was posted as a P100 credit and a P100 credit was posted as a P100 debit
 - A P50 debit was posted as a P50 credit
 - The purchase of supplies on account was never posted to the general ledger
23. The purpose of adjusting entries is to
- Adjust the owner's capital account for the revenue, expense and withdrawal transactions which occurred during the year
 - Adjust daily the balances in asset, liability, revenue and expense accounts for the effects of business transactions
 - Apply the realization principle and the matching principle to transactions affecting two or more accounting periods
 - Prepare revenue and expense accounts for recording the transactions of the next accounting period
24. Adjusting entries are needed because an entity
- Uses the accrual basis of accounting
 - Has earned revenue during the period by selling products from its central operations
 - Has expenses
 - Uses the cash basis of accounting rather than the accrual basis
25. Accruals are
- Adjusting entries where cash flow precedes revenue or expense recognition
 - Adjusting entries where revenue or expense recognition precedes cash flow
 - Adjusting entries where cash flow and revenue or expense recognition are simultaneous
 - Adjusting entries where revenue or expenses are recognized in the absence of cash flow evidence
26. Which of the following least resembles a typical adjusting entry?
- | | |
|------------------------------------|------------------------------------|
| a. Debit asset, credit revenue | c. Debit revenue, credit liability |
| b. Debit expense, credit liability | d. Debit asset, credit liability |
27. Which of the following statements is false regarding adjusting entries?
- Adjusting entries involve accruals or deferrals
 - Cash is neither debited nor credited as a result of adjusting entries
 - Each adjusting entry affects one revenue account and one expense account
 - Each adjusting entry affects one statement of financial position and one income statement account
28. An accrued expense is an expense
- | | |
|--------------------------|-----------------------------|
| a. Incurred but not paid | c. Paid but not incurred |
| b. Incurred and paid | d. Not reasonably estimable |
29. An unearned revenue can be best described as an amount
- Collected and currently matched with expense
 - Collected and not currently matched with expense
 - Not collected and currently matched with expense
 - Not collected and not currently matched with expense
30. The failure to properly record an adjusting entry to accrue an expense results in
- Overstatement of expense and an understatement of asset
 - Understatement of expense and an overstatement of asset
 - Understatement of expense and an overstatement of liability
 - Understatement of expense and an understatement of liability



31. The failure to properly record an adjusting entry to accrue a revenue results in
- Overstatement of revenue and an overstatement of asset
 - Overstatement of revenue and an overstatement of liability
 - Understatement of revenue and an understatement of asset
 - Understatement of revenue and an understatement of liability
32. The premium on a three-year insurance policy expiring on December 31, 2023 was paid in total on January 1, 2021. The original payment was initially debited to a prepaid asset account. The appropriate journal entry had been recorded on December 31, 2021. The balance in the prepaid asset account on December 31, 2021 should be
- Zero
 - The same as it would have been if the original payment had been debited initially to an expense account
 - The same as the original payment
 - Higher than if the original payment had been debited initially to an expense account
33. A document prepared to prove the equality of debits and credits after all adjustments is the
- Adjusted financial statements
 - Adjusted statement of financial position
 - Adjusted trial balance
 - Post-closing trial balance
34. The closing process
- Is done each time a transaction takes place and is journalized
 - Posts all closing entries to the appropriate general ledger account
 - Transfers all income statement items to their related statement of financial position account
 - All of the choices are correct regarding the closing process
35. After the accounts have been closed
- All the accounts have zero balances
 - The asset, liability, and stockholder's equity accounts have zero balances
 - The revenue, expenses, income summary, and retained earnings have zero balances
 - The revenue, expenses, and income summary accounts have zero balances
36. Accumulated depreciation is an example of
- Nominal and adjunct account
 - Real and adjunct account
 - Nominal and contra account
 - Real and contra account
37. Premium in bonds payable is an example of
- Nominal and adjunct account
 - Real and adjunct account
 - Nominal and contra account
 - Real and contra account
38. Which an example of a nominal and contra account?
- Freight in
 - Sales discount
 - Purchases
 - Allowance for doubtful accounts
39. Reversing entries
- Impact the income statement only
 - Are not allowed under Philippine Financial Reporting Standards
 - Impact the statement of financial position and the income statement
 - Change amounts reported in the financial statements of the preceding period
40. Which of the following statements regarding reversing entries is incorrect?
- All accruals should be reversed
 - Adjusting entries for depreciation and bad debts are never reversed
 - Deferrals entered in statement of financial position accounts make reversing entries unnecessary
 - Reversing entries change amounts reported in the statement of financial position for the previous period
41. An entity initially records prepayment in real accounts and makes reversing entries when appropriate. Which of the following year-end adjusting entries should be reversed?
- The entry to record depreciation expense for the period
 - The entry to record the portion of service fees received in advance that is earned by year-end



- c. The entry to record supplies used during the period
 - d. The entry to record service fees earned by year-end but not billed
42. An entity initially records prepayment in nominal accounts. Which of the following year-end adjusting entries may be reversed?
- a. The entry to record inventory at year-end
 - b. The entry to record the portion of rental received in advance that is unearned at year-end
 - c. The entry to record the portion of supplies previously acquired that is consumed as of year-end
 - d. The entry to record the portion of interest paid in advance that expired at year-end
43. Which of the following adjusting entries cannot be subject to reversing entries?
- a. Accrual of income
 - b. Accrual of expense
 - c. Deferral of expense under the asset method
 - d. Deferral of income under the income method



PRESENTATION OF FINANCIAL STATEMENT (PAS 1)

Components of Financial Statements

- A **complete set of financial statements** comprises:
 - ✓ A Statement of Financial Position as at the end of the period.
 - ✓ A Statement of Comprehensive Income for the period.
 - ✓ A Statement of Changes in Equity for the period.
 - ✓ A Statement of Cash Flows for the period.
 - ✓ Notes, comprising a summary of significant accounting policies and other explanatory information.
- **Accrual Basis of Accounting** - PAS 1 requires that an entity prepare its financial statements, except for cash flow information, using the accrual basis of accounting.
- **Consistency of Presentation** – the presentation and classification of items in the financial statements shall be retained from one period to the next unless a change is justified either by a change in circumstances or a requirement of a new PFRS.
- **Materiality and Aggregation** - each material class of similar items must be presented separately in the financial statements. Dissimilar items may be aggregated only if they are individually immaterial.
- **Offsetting** - assets and liabilities, and income and expenses, may not be offset unless required or permitted by a Standard or an Interpretation.
- **Comparative Information** - PAS 1 requires that comparative information shall be disclosed in respect of the previous period for all amounts reported in the financial statements, both face of financial statements and notes, unless another Standard requires otherwise. If comparative amounts are changed or reclassified, various disclosures are required.
- **Frequency of Reporting** - there is a presumption that financial statements will be prepared at least annually. If the annual reporting period changes and financial statements are prepared for a different period, the enterprise must disclose the reason for the change and a warning about problems of comparability.

Statement of Financial Position

- **Current/Noncurrent Distinction**
 - ✓ An entity must normally present a classified statement of financial position, separating current and noncurrent assets and liabilities.
 - ✓ Only if a presentation based on liquidity provides information that is reliable and more relevant may the current and noncurrent split be omitted.

Statement of Comprehensive Income

- An entity shall present all **items of income and expense** recognized in a period:
 - (a) In a single Statement of Comprehensive Income.
 - (b) In two statements: a Statement displaying components of profit or loss and a second statement beginning with profit or loss and displaying components of other comprehensive income.

Components of Comprehensive Income

- **Profit and Loss** - Income minus Expenses including Tax expense and any Income or Loss from Discontinued Operations.
- **Other Comprehensive income** – Items of income and expenses including reclassification adjustments (RA) that are not included in Profit and Loss as required by a standard or interpretation.
 - o There are **two types of OCI items**, those that are **reclassified to profit or loss (RA)** and those that are **reclassified to Retained Earnings (RE)**.
 - o **OCI** includes the following:
 - Unrealized gain or loss on equity investments measured at FVOCI (RE).
 - Unrealized gain or loss on debt investments measured at FVOCI (RA).
 - Unrealized gain or loss from derivative contracts designated as cash flow hedge (RA).
 - Revaluation Surplus (RE).
 - Remeasurement Gains and losses for defined benefit plans (RE).
 - Change in fair value arising from credit risk for financial liabilities measured at FVPL (RE).
 - Translation gains and losses of foreign operations (RA).

Statement of Changes in Equity

- An entity shall present a **Statement of Changes in Equity** showing in the statement:
 - (a) Total comprehensive income for the period, showing separately the total amounts attributable to owners of the parent and to minority interest.
 - (b) For each component of equity, the effects of retrospective application or retrospective restatement recognized in accordance with PAS 8.
 - (c) The amounts of transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners.

- (d) For each component of equity, reconciliation between the carrying amount at the beginning and the end of the period, separately disclosing each change.

Statement of Cash Flows

- **Cash flow information** provides users of financial statements with a basis to assess the ability of the entity to generate cash and cash equivalents and the needs of the entity to utilize those cash flows.

Notes to the Financial Statements

- The **notes** must:
 - Present information about the basis of preparation of the financial statements and the specific accounting policies used.
 - Disclose any information required by PFRSs that is not presented on the face of the statement of financial position, income statement, statement of changes in equity, or statement of cash flows.
 - Provide additional information that is not presented on the face of the statement of financial position, income statement, statement of changes in equity, or statement of cash flows that is deemed relevant to an understanding of any of them.
- Notes should be cross-referenced from the face of the financial statements to the relevant note. The notes should normally be presented in the following **order**:
 1. A statement of compliance with PFRSs.
 2. A summary of significant accounting policies applied, including:
 - a. The measurement basis (or bases) used in preparing the financial statements.
 - b. The other accounting policies used that are relevant to an understanding of the financial statements.
 3. Supporting information for items presented on the face of the statement of financial position, income statement, statement of changes in equity, and statement of cash flows, in the order in which each statement and each line item is presented.
 4. **Other disclosures**, including:
 - a. Contingent liabilities and unrecognized contractual commitments.
 - b. Non-financial disclosures, such as the entity's financial risk management objectives and policies.

-- END --



PRESENTATION OF FINANCIAL STATEMENTS

1. What financial statement does not involve a distinct period of time?
 - a. Statement of cash flows
 - b. Statement of financial position
 - c. Statement of changes in equity
 - d. Statement of comprehensive income

2. The basis for classifying assets as current or noncurrent is conversion to cash within the
 - a. Operating cycle or one year, whichever is longer
 - b. Operating cycle or one year, whichever is shorter
 - c. Accounting cycle or one year, whichever is longer
 - d. Accounting cycle or one year, whichever is shorter

3. As indicated in SFAS 1/ IAS 1 on the Presentation of Financial Statements, when assets and liabilities are not classified into the current and noncurrent categories, they should be presented broadly on the face of the balance sheet in the order of
 - a. Recovery
 - b. Liquidity
 - c. Maturity
 - d. Complexity

4. A public utility reports noncurrent assets as the first item on its balance sheet. This is an example of
 - a. Conservatism
 - b. Improper statement presentation
 - c. Industry practice
 - d. Substance over form

5. PAS 1 precludes an entity to present or classify this account as current in the statement of financial position
 - a. Available-for-sale securities
 - b. Deferred tax assets
 - c. Prepayments
 - d. Provisions

6. Which of the following is not acceptable treatment for the presentation of current liabilities?
 - a. Listing current liabilities in order of maturity
 - b. Listing current liabilities according to amount
 - c. Showing current liabilities in order of liquidation preference
 - d. Offsetting current liabilities against assets that are to be applied to their settlement

7. The major elements of the income statement are
 - a. Revenue, expenses, gains and losses
 - b. Operating, investing and financing activities
 - c. Revenue, cost of goods sold, distribution costs and general expense
 - d. Operating, non-operating, discontinued operation and cumulative effect

8. PAS 1 refers to this as all changes in equity other than introduction and return of capital to owners
 - a. Net income
 - b. Other comprehensive income
 - c. Profit
 - d. Total comprehensive income

9. If the classification of expenses by function method is used for the presentation of an income statement, additional information on the following items must be disclosed
 - a. Revenue
 - b. Gains on disposal of assets
 - c. Gains on revaluation of asset
 - d. Depreciation and amortization expense

10. If expense accounts in the income statement are not presented according to functions, they may be represented using
 - a. Account form
 - b. Functional presentation
 - c. Natural Presentation
 - d. Report Form

11. PAS 1 requires the allocation of profit or loss for the period between or among
 - I. Profit or loss attributable to owner of the parent
 - II. Profit or loss attributable to subsidiaries of the parent
 - III. Profit or loss attributable to non-controlling interests
 - a. I and II
 - b. I and III
 - c. II and III
 - d. I, II and III

12. Under PAS 1, which of the following item is not included in the computation of profit?
 - a. Finance cost
 - b. Post-tax gain or loss on discontinued operation



- c. Unrealized gain in change in value of biological assets
 - d. Unrealized gain in change in value of FVOCI securities
13. What is the purpose of reporting comprehensive income?
- a. To replace a net income with a better measure
 - b. To report a measure of overall entity performance
 - c. To report changes in equity due to transactions with owners
 - d. To combine income from continuing operations with income from discontinued operations
14. Comprehensive income excludes changes in equity resulting from which of the following?
- a. Prior period error correction
 - b. Dividends paid to shareholders
 - c. Loss from discontinued operations
 - d. Unrealized loss in investments classified as FVOCI
15. Which of the following components of OCI will be reclassified to profit and loss when specific conditions are met?
- a. Changes in revaluation surplus
 - b. Remeasurements of defined benefit plan
 - c. Gains and losses from investments in equity instruments measured at FVOCI
 - d. The effective portion of gains or losses on hedging instruments in a cash flow hedge
16. Which is not included in the computation of Other Comprehensive Income?
- a. Unrealized gain on FVOCI
 - b. Unrealized changes in the balance of revaluation surplus
 - c. Loss from translating the financial statements of a foreign operation
 - d. Unrealized loss from derivative contracts designated as fair value hedge
17. An entity disclosing comparative information shall present, as a minimum (choose the incorrect statement)
- a. 2 statements of financial position
 - b. 2 statements of comprehensive income
 - c. 3 statements of financial position when an entity applies an accounting policy retrospectively
 - d. 3 statements of comprehensive income when an entity applies an accounting policy retrospectively
18. Which is an acceptable method for reporting comprehensive income under IFRS?
- a. One comprehensive income statement
 - b. Two statements, an income statement and a comprehensive income statement
 - c. In the statement of changes in equity
 - d. One comprehensive income statement or two statements, an income statement and a comprehensive income statement
19. Under PAS 1, which of the following should be classified as extraordinary item in reporting results of operations?
- a. Losses resulting from an unusual major flashflood in the Visayas region
 - b. Gain resulting from the national government expropriation of a corporate property
 - c. Foreign exchange losses arising from appreciation of Japanese yen relative to the Philippine peso
 - d. None, all are ordinary gains and losses
20. Which of the following would appear first in a statement of retained earnings?
- a. Cash dividend declared
 - b. Net income
 - c. Prior period error
 - d. Share dividend issued
21. Which of the following does not appear in a statement of retained earnings?
- a. Net loss
 - b. Other comprehensive income
 - c. Preference share dividend
 - d. Prior period adjustment
22. Under PAS 1, which of the following is true about PFRS requirements?
- a. Income statements for three years are required
 - b. Prior year comparative financial statements are required



- c. Statements of financial position for three years are required
 - d. There are not specific requirements regarding comparative financial statements
23. What is the purpose of information presented as notes to financial statements?
- a. To present management's responses to auditor comments
 - b. To correct improper presentation in the financial statements
 - c. To provide disclosure required by generally accepted accounting principles
 - d. To provide recognition of amounts not included in the totals of the financial statements
24. The notes to the financial statements should not be used to
- a. Describe significant accounting policies
 - b. Describe depreciation method employed
 - c. Describe the principles and methods peculiar to the industry
 - d. Correct an improper presentation in the financial statements
25. The summary of accounting policies is normally presented
- a. Within the auditor's report
 - b. As the last note in a set of financial statements
 - c. As the first note, after all the financial statements
 - d. Before all of the financial statements in a financial report
26. As a significant component of notes to the financial statements, the accounting policies section should describe
- a. Only the specific accounting policies followed by the enterprise
 - b. The nature of the enterprise's operations and its principal activities
 - c. Both the measurement bases used, and accounting policies followed
 - d. Only the measurement bases used in preparing the financial statements
27. Which of the following statements is incorrect regarding notes to financial statements?
- a. PFRS requires specific note disclosures including disaggregation of inventories into classifications such as merchandise, production supplies, work in process and finished goods
 - b. PFRS requires a maturity analysis for receivables
 - c. PFRS requires that all notes be clear, simple to understand and nontechnical in nature
 - d. All of the choices are correct regarding notes to financial statements
28. The components of equity generally recognized by companies in a balance sheet are
- | | |
|-----------------------|--------------------------------|
| I. Provisions | IV. Other comprehensive income |
| IV. II. Bonds | V. Retained earnings |
| III. Share capital | |
| a. I, II and III only | c. I, III, IV and V only |
| b. III, IV and V only | d. II, III and V only |



RELATED PARTY DISCLOSURES (PAS 24)

Related Parties

- Parties are considered to be **related** if one party has the ability to control the other party or to exercise significant influence or joint control over the other party in making financial and operating decisions.
- A party is related to an entity if:
 - a. Directly, or indirectly through one or more intermediaries, the party:
 - ✓ **Controls**, is controlled by, or is under common control with, the entity (this includes parents, subsidiaries and fellow subsidiaries).
 - ✓ Has an interest in the entity that gives it **significant influence** over the entity.
 - ✓ Has **joint control** over the entity.
 - b. The party is an **associate** of the entity.
 - c. The party is a **joint venture** in which the entity is a venturer.
 - d. The party is a **member** of the key management personnel of the entity or its parent.
 - e. The party is a **close member** of the family of any individual referred to in (a) or (d). They may include:
 - The individual's domestic partner and children.
 - Children of the individual's domestic partner.
 - Dependents of the individual or the individual's domestic partner.
 - f. The party is an **entity** that is controlled, jointly controlled or significantly influenced by or for which significant voting power in such entity resides with, directly or indirectly, any individual referred to in (d) or (e).
 - g. The party is a **post-employment benefit plan** for the benefit of employees of the entity, or of any entity that is a related party of the entity.
- The following are **not** necessarily related parties:
 - Two enterprises simply because they have a director or key manager in common.
 - Two venturers who share joint control over a joint venture.
 - Providers of finance, trade unions, public utilities, government departments and agencies in the course of their normal dealings with an enterprise.
 - A single customer, supplier, franchiser, distributor, or general agent with whom an enterprise transacts a significant volume of business merely by virtue of the resulting economic dependence.

Related Party Transactions - is a transfer of resources, services, or obligations between related parties, regardless of whether a price is charged.

Disclosures

- **Relationships** between parents and subsidiaries
 - Regardless of whether there have been transactions between a parent and a subsidiary, an entity must disclose the name of its parent and, if different, the ultimate controlling party.
 - If neither the entity's parent nor the ultimate controlling party produces financial statements available for public use, the name of the next most senior parent that does so must also be disclosed.
- **Management Compensation** - **disclose** key management personnel compensation in total and for each of the following categories:
 - ✓ Short-term employee benefits
 - ✓ Post-employment benefits
 - ✓ Other long-term benefits
 - ✓ Termination benefits
 - ✓ Equity compensation benefits.
- **Key management personnel** are those persons having authority and responsibility for planning, directing, and controlling the activities of the entity, directly or indirectly, including all directors (whether executive or otherwise).
- **Related party transactions** - if there have been transactions between related parties, disclose the nature of the related party relationship as well as information about the transactions and outstanding balances necessary for an understanding of the potential effect of the relationship on the financial statements.
- These **disclosures** would be made separately for each category of related parties and would include:
 - ✓ The amount of the transactions.
 - ✓ The amount of outstanding balances, including terms and conditions and guarantees.
 - ✓ Provisions for doubtful debts related to the amount of outstanding balances.
 - ✓ Expense recognized during the period in respect of bad or doubtful debts due from related parties.
- Examples of the Kinds of Transactions that Are **Disclosed** If They Are with a Related Party
 - ✓ Purchases or sales of goods
 - ✓ Purchases or sales of property and other assets
 - ✓ Rendering or receiving of services
 - ✓ Leases
 - ✓ Transfers of research and development
 - ✓ Transfers under license agreements
 - ✓ Transfers under finance arrangements (including loans and equity contributions in cash or in kind)
 - ✓ Provision of guarantees or collateral
 - ✓ Settlement of liabilities on behalf of the entity or by the entity on behalf of another party
- A **statement** that related party transactions were made on terms equivalent to those that prevail in arm's length transactions should be made only if such terms can be substantiated.

-- END --

RELATED PARTY DISCLOSURES

1.

A party is related to an entity if the party, directly or indirectly through one or more intermediaries

I.

Controls, is controlled by or is under common control with the entity

II.

Has an interest in the entity that gives it significant influence over the entity

III.

Has joint control over the entity

a.

A and II only

c.

II and III only

b.

I and III only

d.

I, II and III

2.

Which of the following is not a related party of an entity?

a.

An associate of the entity

b.

Key management personnel of the entity

c.

An entity providing banking facilities to the entity

d.

A shareholder owning 30% of the ordinary shares

3.

Which of the following is not a related party?

a.

A director of the entity

b.

The parent of the entity

c.

The son of the chief executive officer of the entity

d.

A shareholder of the entity that holds 1% stake in the entity

4.

Under PAS 24, key management personnel compensation includes

a.

Post-employment benefits

b.

Social security contribution

c.

Share-based compensation

d.

Social security contributions, post-employment benefit and share-based compensation

5.

If a business entity entered into a certain related party transactions, it would be required to disclose all of the following information, except

a.

Nature of the relationship between the parties to the transactions

b.

Nature of any future transactions planned between the parties and the terms involved

c.

Peso amount of the transactions for each of the periods for which an income statement is presented

d.

Amounts due from or to related parties as of the date of each statement of financial position presented

6.

Which of the following is not a mandated disclosure?

a.

Names of all the “associates” that an entity has dealt with during the year

b.

Name of the entity’s parent and, if different, the ultimate controlling party

c.

Relationship between parents and subsidiaries irrespective of whether there have been transactions between those related parties

d.

If neither the entity’s parent nor its ultimate controlling entity produces financial statements available for public use, then the name of the next most senior parent that does so

7.

If there have been related party transactions during the year, which of the following is not a required minimum disclosure?

a.

The amount of the related party transactions

b.

The amount of the outstanding balance along with terms and conditions

c.

The amount of similar transactions with unrelated parties to establish the comparable related party transactions have been entered into at arm’s length

d.

Provisions for doubtful debts related to the amount of outstanding balance and expense recognized during the year in respect of bad or debts due from related parties

8.

The following are based on PAS 24 (Related Party Disclosures)

Statement I:

Relationships between a parent and its subsidiaries shall be disclosed only if there are transactions between them

Statement II:

An entity shall disclose the name of its parent and, if different, the ultimate controlling party

	a	b	c	d
Statement I	True	True	False	False
Statement II	True	False	True	False

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Page | 176

9. Close family members of an individual are those who may be expected to influence or be influenced by that individual in their dealings with the entity. Close family members include all of the following, except
- a. The individual's spouse and children
 - b. Children of the individual's spouse
 - c. Dependents of the individual or the individual's spouse
 - d. Brothers and sisters
10. The minimum disclosures prescribed under PAS 24 are to be made separately for certain categories of related parties. Which of the following is not among the list of categories specified under the Standard for purposes of separate disclosure?
- a. Entities with joint control or significant influence over the entity
 - b. The parent company of the entity
 - c. An entity that has a common director with the entity
 - d. Joint ventures in which the entity is a venturer



INTERIM REPORTING (PAS 34)

Key Definitions

- **Interim Period** – a financial reporting period shorter than a full financial year.
- **Interim financial report** – a financial report containing either a complete set of financial statements or a set of condensed financial statements for an interim period.

Minimum Components of an Interim Financial Report

- ✓ Condensed Statement of Financial Position
- ✓ Condensed Income Statement
- ✓ Condensed Statement showing either (i) all changes in equity or (ii) changes in equity other than those arising from capital transactions with owners and distributions to owners
- ✓ Condensed Statement of Cash Flows
- ✓ Selected explanatory notes

General Guidelines of Interim Financial Reporting

- Revenues from products sold or services rendered are generally recognized for interim reports on the same basis as for the annual period.
- Expenses associated directly with revenue are matched against revenue in those interim periods in which the related revenue is recognized.
- Expenses not associated with revenue are recognized in the interim periods as incurred or allocated over the interim periods benefited.
- Inventories are measured for interim financial reporting by the same principles as at financial year-end (LCNRV). However, full inventory taking may not be required at interim dates although it must be done at financial year-end. It may be sufficient to make estimates at interim dates based on sales margin.
- Inventory losses from permanent market declines are recognized in the interim period in which the decline occurs. Recoveries of such losses on the same inventory in later interim period should be recognized as gains in later interim periods.
- Temporary market declines on inventories and recoveries at a later interim period are now recognized for interim purposes.
- Interim period income tax expense should reflect the same general principles of income tax accounting applicable to annual reporting.
- Gains or losses from, disposal of property, gains or losses from sale of discontinued operations and other gains and losses should not be allocated over the interim periods.

Other Guidelines

▪ Accounting Policies

- ✓ Principles for recognizing assets, liabilities, income and expenses are same as in the most recent annual financial statements, unless there is a change in an accounting policy that is to be reflected in the next annual financial statements.
- ✓ Tax recognized based on weighted average annual income tax rate expected for the full year.
- ✓ Tax rate changes during the year are adjusted in the subsequent interim period during the year.

- **Interim reports** require a greater use of estimates than annual reports.
- **Costs incurred unevenly** - anticipated or deferred only if it would be possible to defer or anticipate at yearend.

Seasonal, cyclical or occasional revenue

- Revenue received during the year should not be anticipated or deferred where anticipation would not be appropriate at year end.
- Recognized as it occurs.

-- END --



INTERIM REPORTING

THEORY

1. The interim financial report is intended to
 - a. Provide an update on the latest complete set of annual financial statements
 - b. Correct error discovered subsequent to the release of the financial statements
 - c. Provide additional information not disclosed previously in the annual financial statements
 - d. Provide information that are requested by the investors in relation to a planned initial public offering
2. The accounting profession indicates that
 - a. All entities that issue an annual report should issue interim financial reports
 - b. The integral view is the most appropriate approach for interim financial reports
 - c. A complete set of financial statements must be presented for an interim period
 - d. The same principles used for the annual report should be employed for interim reports
3. Which of the following describes requirements regarding interim financial statements?
 - a. Interim financial statements are required
 - b. Interim financial statements must be presented with the most recent annual statements
 - c. If interim financial statements are presented, four basic financial statements are required
 - d. If interim financial statements are presented, at least a statement of financial position and a statement of comprehensive income are required
4. Which of the following statements is true regarding interim financial reporting?
 - a. Interim reports are not required
 - b. Interim reports are required on a quarterly basis
 - c. The discrete view is required for interim financial statements
 - d. Interim reports require the preparation of only a statement of comprehensive income and a statement of financial position
5. Under PAS 34, which of the following statements is true?
 - a. An interim financial report may consist of a complete set of financial statements
 - b. An interim financial report may consist of a complete set of financial statements or condensed set of financial statement with selected notes
 - c. A complete set of financial statements is required at interim reporting date
 - d. A condensed set of financial statements with selected notes is required at interim date
6. All of the following statements are true regarding interim financial reporting, except
 - a. PFRS does not mention the integral and independent view of interim reporting
 - b. PFRS requires a complete set of financial statements at the interim reporting date
 - c. No accruals or deferrals in anticipation of future events during the year should be reported
 - d. PFRS requires entities to expense interim amount like advertising expenditures that could benefit later interim periods
7. Conceptually, interim financial statements can be described as emphasizing

a. Comparability over neutrality	c. Reliability over understandability
b. Relevance over comparability	d. Timeliness over reliability
8. PAS 34 states a presumption that anyone reading interim financial reports will
 - a. Have access to the records of the entity
 - b. Not make decisions based on the report
 - c. Have access to the most recent annual report
 - d. Understand all Philippine Financial Reporting Standards
9. Under PAS 34, the preparation of interim reports generally will require
 - a. No use of estimation method
 - b. Lesser use of estimation methods than annual financial reports
 - c. Greater use of estimation methods than annual financial reports
 - d. The same amount of estimation methods with annual financial reports
10. Which statement is incorrect concerning interim financial reporting?
 - a. To save time and cost, enterprises often use estimates to measure inventories at interim dates to a greater extent than at annual reporting dates



- b. Depreciation and amortization for an interim period should be based only on assets owned during the interim period
 - c. The cost of planned major periodic maintenance or overhaul that is expected to occur late in the year is not anticipated for interim purposes, unless an event has caused the enterprise to have a legal or constructive obligation
 - d. Charitable contribution, employee training costs and other costs that are expected to be incurred irregularly during the financial year should be accrued as of the interim reporting date
11. If annual major repairs made in the first quarter and paid for in the second quarter clearly benefit the entire year, when should the repairs be expensed?
- a. An allocated portion in each of the last three quarters
 - b. An allocated portion in each quarter of the year
 - c. In full in the first quarter
 - d. In full in the second quarter

PROBLEMS

1. Genelyn Company reports quarterly to its stockholders. Condensed financial information is presented. Selected information for the year ended 2021 is shown below:
- Machinery repairs of P100,000 incurred in the first quarter are expected to benefit each quarter equally.
 - Advertising costs are allocated among the remaining quarters of the annual period, including the quarter in which the costs are incurred on the basis of historical pattern of sales: 20%, 30%, 15% and 35% in the first through fourth quarters, respectively. Advertising expense amounted to P120,000 and was incurred in the second quarter.

How much of the above expenses should be reported for the second quarter?

- a. P120,000
 - b. P70,000
 - c. P65,000
 - d. P 0
2. On January 1, 2021, Lady Company paid real estate taxes on its property for the calendar year 2021 in the amount of P300,000. In the first week of April 2021, it made unanticipated major repairs to its plant equipment at a cost of P1,200,000. It is ascertained that these repairs will benefit operations for the remainder of the calendar year. How should these expenses be reflected in its quarterly income statements for 2021?

	<u>March 31</u>	<u>June 30</u>	<u>September 30</u>	<u>December 31</u>
a.	P75,000	P475,000	P475,000	P475,000
b.	P375,000	P375,000	P375,000	P375,000
c.	P 75,000	P1,075,000	P75,000	P75,000
d.	P300,000	P1,200,000	P 0	P 0

3. Vengie Company had the following transactions during the quarter ended March 31, 2021.
- | | |
|--|----------|
| Loss from typhoon | P350,000 |
| Payment of fire insurance premium for calendar year 2021 | 50,000 |

What amount should be included in the income statement for the quarter ended March 31, 2021?

	<u>Casualty loss</u>	<u>Insurance expense</u>
a.	P350,000	P50,000
b.	P350,000	P12,500
c.	P 87,500	P12,500
d.	P 0	P50,000



4. Ruvie Company experienced a P250,000 decline in the market value of its inventory at the end of the first quarter. It had expected this decline to reverse in the second quarter, and in fact, the second quarter recovery exceeded the previous decline by P50,000. What amount of gain or loss should it report in its interim statements for the first and second quarters?

	<u>First quarter</u>	<u>Second quarter</u>
a.	P250,000 loss	P250,000 gain
b.	P250,000 loss	P300,000 gain
c.	P250,000 loss	P 50,000 gain
d.	P 0	P 0

5. Aaron Company prepares quarterly interim financial reports. The entity sells electrical goods and normally 5% of customers claim their warranty. The provision in the first quarter was calculated at 5% of sales to date which amounted to P10,000,000. However, in the second quarter, a design fault was found, and warranty claims were expected to be 10% for the whole year. Sales for the second quarter amounted to P15,000,000. What would be the provision charged in the second quarter's interim income statement?

- | | |
|---------------|---------------|
| a. P2,000,000 | c. P1,500,000 |
| b. P1,250,000 | d. P750,000 |

6. Raymart Company has estimated that total depreciation expense for the year ended December 31, 2021 will amount to P300,000 and that 2021 year-end bonuses to employees will total P600,000. In its interim income statement for the six months ended June 30, 2021, what total amount of expense relating to these two items should be reported?

- | | |
|-------------|-------------|
| a. P900,000 | c. P450,000 |
| b. P150,000 | d. P 0 |



OPERATING SEGMENTS (PFRS 8)

Scope

- **PFRS 8 Operating Segments** applies to the separate or individual financial statements of an entity (and to the consolidated financial statements of a group with a parent):
 - Whose debt or equity instruments are traded in a public market.
 - That files, or is in the process of filing, its (consolidated) financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instruments in a public market.
- However, when both separate and consolidated financial statements for the parent are presented in a single financial report, segment information need be presented only on the basis of the consolidated financial statements.

Identifying An Operating Segment

- An operating segment must be a **component** of an entity, meaning, its operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.
- It engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity).
- Whose operating results are regularly reviewed by the entity’s chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance.
 - ✓ The term ‘**chief operating decision maker**’ identifies a function, not necessarily a manager with a specific title. That function is to allocate resources to and assess the performance of the operating segments of an entity.
- For which discrete financial information is available.
- An operating segment may engage in business activities for which it has yet to earn revenues, for example, start-up operations may be operating segments before earning revenues.
- **Reportable Segment** – An operating Segment for which segment information is required to be disclosed.

Quantitative Thresholds

- An entity shall report separate information about an operating segment that meets **any or at least one** of the following quantitative thresholds:
 - Its **reported revenue**, including both sales to external customers and intersegment sales or transfers, is **10 percent (10%) or more** of the combined revenue, internal and external, of all operating segments.

- The **absolute amount** of its reported profit or loss is **10 percent (10%) or more** of the greater, in absolute amount, of
 - i. the combined reported profit of all operating segments that did not report a loss and
 - ii. the combined reported loss of all operating segments that reported a loss.
- Its **assets are 10 percent (10%) or more** of the combined assets of all operating segments.

- Operating segments that do not meet any of the quantitative thresholds may be considered reportable, and separately disclosed, if management believes that information about the segment would be **useful** to users of the financial statements.

Overall Size Test

- If total external revenue attributable to reportable segments identified using the 10% quantitative thresholds is less than 75% of the total consolidated or enterprise revenue (external revenue), additional segments should be identified as reportable segments, even if they do not meet the 10% requirement. Until **at least 75%** of total consolidated or enterprise revenue is included in reportable segments.
- In other words, the quantitative thresholds will not be necessary in determining additional reportable segments in order to meet the 75% requirement.

Entity-Wide Disclosures:

- Information about products and services.
- Information about geographical areas.
- Information about major customers - if revenues from transactions with a **single external customer** amount to **10 percent (10%) or more** of an entity’s revenues, the entity shall disclose that fact and disclose the following:
 - The total amount of revenues from each such customer
 - The identity of the segment or segments reporting the revenues.

-- END --



OPERATING SEGMENTS

THEORY

- 1. For segment reporting purposes, which tests must be applied to determine if a unit or component is a reportable operating segment?
 - a. Revenue test, and asset test
 - b. Revenue test, asset test, and expense test
 - c. Revenue test, asset test, and cash flow test
 - d. Revenue test, asset test, and profit or loss test
- 2. An entity shall disclose information about an operating segment when
 - a. The segment assets are 10% or more of the combined assets of all segments
 - b. The segment external and internal revenue is 10% or more of the combined external and internal revenue of all segments
 - c. The segment profit or loss is 10% or more of the greater between combined profit or profitable segments and combined loss of unprofitable segments
 - d. All of these are correct
- 3. A major customer is one providing revenue which is
 - a. At least 90% of the consolidated entity revenue
 - b. 10% or more of the consolidated entity revenue
 - c. 10% or more of the combined internal revenue of all segments
 - d. 10% or more of the combined external and internal revenue of all segments
- 4. What is correct concerning the 75% overall size test for operating segments?
 - a. The total external revenue of all reportable segments is 75% or more of the entity's external revenue
 - b. The total internal revenue of all reportable segments is 75% or more of the entity's internal revenue
 - c. The total external and internal revenue of all reportable segments is 75% or more of the entity's external revenue
 - d. The total external revenue of all reportable segments is 75% or more of the entity's external and internal revenue
- 5. What is the approach of looking into an enterprise's organizational and management structure and its financial reporting system in order to identify the enterprise's geographical and business segments?
 - a. Enterprise approach
 - b. Segment approach
 - c. Operating approach
 - d. Management approach
- 6. What is the reasonable upper limit for the number of operating segments that an entity must disclose?
 - a. Two
 - b. Five
 - c. Six
 - d. Ten
- 7. In financial reporting of operating segments, an entity shall disclose all of the following, except
 - a. Factors used to identify a reportable segment
 - b. The basis of measurement of segment profit or loss and segment asset
 - c. The title of the chief operating decision maker of each reportable segment
 - d. Type of product and service from which each reportable segment derives revenue
- 8. As part of PFRS 8's entity-wide disclosures, if revenues from a single external customer account for 10% or more of the entity's total revenues, an entity shall disclose
 - I. The identity of major customers
 - II. The identity of the segments reporting the revenues
 - III. The total amount of revenues from each major customers
 - IV. The total amount of revenues reported in each segment for the major customer
 - a. I and III
 - b. II and III
 - c. II and IV
 - d. III and IV
- 9. An entity manufactures suits, clothing, bed linen, and various cotton and manmade fiber products. It has several segments, which are reported internally as

Segments	Sales	Profits	Segment assets
Suits	40%	45%	50%
Shirts	30%	35%	33%
Bed linen	15%	10%	7%



Blinds	8%	6%	5%
Cloth	7%	4%	5%
	<u>100%</u>	<u>100%</u>	<u>100%</u>

The table represents the percentage of sales, profit, and segment assets that are attributable to the different segments. The entity wants to present bed linen and cloth as a single but is wondering whether the information can be aggregated. How will the segmental information be presented in the financial statements?

- a. Bed linen and cloth, suits, and shirts, will all be shown as separate segments with blinds
- b. All of the segments should be presented separately
- c. Suits, shirts, and bed linen will be separate segments with blinds and cloth shown as a single segment
- d. Suits and cloth will be one segment with shirts, bed linen, and blinds shown as other separate segment

PROBLEMS

1. The following information pertains to revenue earned by Princess Company’s industry segments for the year ended December 31, 2021 (in millions):

Segment	<u>Sales to</u> <u>unaffiliated</u> <u>customers</u>	<u>Intersegment</u> <u>sales</u>	<u>Total</u> <u>revenue</u>
A	P 5,000	P 3,000	P 8,000
B	8,000	4,000	12,000
C	4,000	-	4,000
D	<u>43,000</u>	<u>16,000</u>	<u>59,000</u>
Combined	P60,000	P23,000	P83,000
Elimination	-	<u>(23,000)</u>	<u>(23,000)</u>
Consolidated	<u>P60,000</u>	<u>P -</u>	<u>P60,000</u>

In conformity with the revenue test, reportable segments were:

- a. Only D
 - b. Only B and D
 - c. Only A, B and D
 - d. A, B, C and D
2. Bernalyn Company, a publicly owned entity, is subject to the requirements of PFRS 8. In its income statement for the year ended December 31, 2021, it reported revenue of P25,000,000, excluding intersegment sales of P5,000,000, expenses of P23,500,000 and net income of P1,500,000. Expenses include payroll costs of P7,500,000. The combined identifiable assets of all operating segments on December 31, 2021 were P20,000,000.

Question 1: In its financial statements, it should disclose major customer data if sales to any single customer amount to at least

- a. P2,500,000
- b. P2,000,000
- c. P3,000,000
- d. P2,350,000

Question 2: External revenue reported by operating segments must be at least

- a. P11,250,000
- b. P15,000,000
- c. P16,875,000
- d. P18,750,000

3. Michelle Company, a publicly owned corporation, assesses performance and makes operating decisions using the following information for its reportable segments:

Total revenue	P7,680,000	Total profit and loss	P406,000
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Included in the total profit and loss are intersegment profit of P61,000. In addition, it has P5,000 of common costs for its reportable segments that are not allocated in reports used internally. For purposes of segment reporting, it will report segment profit of:

- a. P350,000
- b. P345,000
- c. P411,000
- d. P406,000

4. Queeny Company has four manufacturing divisions, each of which has been determined to be a reportable segment. Common operating costs are appropriately allocated on the basis of each division’s sales in relation to aggregate sales. Its X Division accounted for 40% of the total sales in 2021. For the year ended December 31, 2021, X Division had sales of P2,000,000 and traceable operating costs of P1,200,000. In 2021, the company incurred operating costs of P200,000 that were not directly traceable to any of the divisions. In addition, the company incurred interest expense of P160,000 in 2021. In reporting supplementary segment information, how much should be shown as X Division’s operating profit for 2021?

- a. P800,000
- b. P750,000
- c. P720,000
- d. P656,000

NON-CURRENT ASSET HELD FOR SALE AND DISCONTINUED OPERATIONS (PFRS 5)

Definitions

- **Discontinued Operation** - a component of an entity that either has been disposed of or is classified as held for sale, and
 - ✓ Represents a separate major line of business or geographical area of operations.
 - ✓ Is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations.
 - ✓ Is a subsidiary acquired exclusively with a view to resale.
- **Component of an Entity** – operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

Presentation of Discontinued Operations

- As a single amount on the face of the income statement comprising the total of:
 - ✓ The sum of the post-tax profit or loss of the discontinued operation.
 - ✓ The post-tax gain or loss recognized on the measurement to fair value less cost to sell or on the disposal of the assets or disposal group(s) constituting the discontinued operation.
- **Cash flow statement presentation** - The net cash flows attributable to the operating, investing, and financing activities of a discontinued operation shall be separately presented on the face of the statement of cash flows or disclosed in the notes.

Non-Current Assets Held for Sale

- **Scope:**
 - Classification and presentation requirements apply to all non-current assets and disposal groups (as a whole).
- **Requisite to be Held for Sale:**
 - Carrying value of the asset is to be recovered principally through a sale transaction.
 - The asset is available for immediate sale and sale is highly probable.
- **Highly probable** means:
 - The appropriate level of management must be committed to a plan to sell the asset (or disposal group).
 - An active program to locate a buyer and complete the plan must have been initiated.

- The asset (or disposal group) must be actively marketed for sale at a price that is reasonable in relation to its current fair value.
- The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification.
- Actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.
- **Noncurrent assets exclusively acquired with a view to its subsequent disposal**
 - Classify the non-current asset (or disposal group) as held for sale at the acquisition date only if the one-year requirement is met.
 - It is highly probable that the other requisites will be met within a short period following the acquisition (3 months).
- **Noncurrent assets to be abandoned**
 - An entity shall not classify as held for sale a non-current asset (or disposal group) that is to be abandoned. This is because its carrying amount will be recovered principally through continuing use.
- **Measurement of NCA held for sale or disposal group**
 - **Lower** of its carrying amount and fair value less costs to sell.
 - When the sale is expected to occur beyond one year, the entity shall measure the costs to sell at their present value.
 - Gains for any subsequent increase in fair value less costs to sell of an asset are recognized, but not in excess of the cumulative impairment loss that has been recognized.
 - An entity shall not depreciate (or amortize) a non-current asset while it is classified as held for sale or while it is part of a disposal group classified as held for sale.
- **Change in classification**
 - **Measured at the lower of its:**
 - ✓ Carrying amount before the asset (or disposal group) was classified as held for sale, adjusted for any depreciation, amortization or revaluations that would have been recognized had the asset (or disposal group) not been classified as held for sale, and
 - ✓ Recoverable amount at the date of the subsequent decision not to sell.
 - The entity shall include any required adjustment to the carrying amount of a non-current asset that ceases to be classified as held for sale in profit or loss from continuing operations in the period the NCA ceases to be classified as held for sale.

-- END --

NONCURRENT ASSET HELD FOR SALE AND DISCONTINUED OPERATIONS

THEORY

1. Under PFRS 5, how should assets and liabilities of a disposal group classified as held for sale be reported in the statement of financial position?
 - a. The assets and liabilities should be offset and presented as a single amount
 - b. The assets and liabilities should be presented as a noncurrent single amount
 - c. There should be no separate disclosure of assets and liabilities of a disposal group
 - d. The assets of a disposal group should be reported separately from other assets and the liabilities of the disposal group should be reported separately from other liabilities
2. How should the income from discontinued operations be presented in the income statement?
 - a. The entity should disclose a single amount on the face of the income statement with analysis in the notes or a section of the income statement separate from continuing operations
 - b. The amounts from discontinued operations should be broken down over each category of revenue and expense
 - c. Discontinued operations should be shown as a movement on retained earnings
 - d. Discontinued operations should be shown as a line item after gross profit with the taxation being shown as part of income tax expense
3. A discontinued operation is defined as the disposal of a separate or major line of the business. Any resulting gain or loss on discontinued operations is reported as a(n)
 - a. Prior period adjustments, after tax
 - b. Extraordinary gain or loss, after tax
 - c. Separate item preceding extraordinary items, pretax
 - d. Separate item from income under continuing operations, after tax
4. An entity acquires a subsidiary exclusively with a view to selling it. The subsidiary meets the criteria to be classified as held for sale. At the balance sheet date, the subsidiary has not yet been sold, and six months have passed since its acquisition. How will the subsidiary be valued in the balance sheet at the date of the first financial statements after acquisition?
 - a. At fair value
 - b. At the lower of its cost and fair value less cost to sell
 - c. At carrying value
 - d. In accordance with applicable PFRS
5. It is a group of assets to be disposed of by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction

a. Cash generating unit	c. Disposal group
b. Discontinued operations	d. Noncurrent asset
6. The key characteristic for the classification of an asset as 'held for sale' is that the carrying amount of the asset must
 - a. Be lower than initial cost of the asset
 - b. Be higher than its net realizable value
 - c. Principally be recovered through continuing use
 - d. Principally be recovered through a sale transaction
7. While an asset is 'held for sale', PFRS 5 prohibits
 - a. The asset from being depreciated
 - b. Any further costs being capitalized as part of the asset
 - c. The recognition of any cash flows from the asset as 'operating cash flows'
 - d. The recognition of any maintenance costs for the asset in profit or loss of the period
8. Which of the following statement about non-current assets held for sale (PFRS 5) is false?
 - a. An asset held for sale shall not be depreciated
 - b. Assets classified as held for sale are carried at lower of carrying amount or fair value less cost to sell
 - c. An asset classified as held for sale must be available for immediate sale in its present condition and the sale must be highly probable



- d. An entity shall classify a non-current asset as held for sale if its carrying amount will be recovered principally through a sale or through continuing use
9. If the 'fair value less cost to sell' is lower than the carrying amount of a noncurrent asset classified as held for sale, the difference is treated as a(n)
 - a. Depreciation expense
 - b. Impairment loss
 - c. Note disclosure
 - d. Prior period adjustment
10. An entity has an asset that was classified as held for sale. However, the criteria for it to remain as held for sale no longer apply. What is the proper treatment of the asset?
 - a. Remeasure the noncurrent asset at fair value
 - b. Leave the noncurrent asset at current carrying amount
 - c. Recognize the noncurrent asset at its carrying amount prior to its classification as held for sale, adjusted subsequent depreciation, amortization or revaluation
 - d. Measure the noncurrent asset at the lower of its carrying amount before the asset was classified as held for sale, adjusted for subsequent depreciation, amortization, or revaluations, and its recoverable amount at the date of the decision not to sell

PROBLEMS

1. Presented below are the condensed income statement of Georgel Corporation for the years ended December 31, 2022 and 2021:

	<u>2022</u>	<u>2021</u>
Sales	5,000,000	4,900,000
Cost of goods sold	<u>3,350,000</u>	<u>3,300,000</u>
Gross income	1,650,000	1,600,000
Operating expenses	<u>675,000</u>	<u>650,000</u>
Operating income	975,000	950,000
Gain on sale of division	<u>200,000</u>	<u>0</u>
Net income before income tax	1,175,000	950,000
Income tax expense (35%)	<u>411,250</u>	<u>332,500</u>
Net income	<u>763,750</u>	<u>617,500</u>

On October 10, 2022, it entered into an agreement to sell the assets of one of its geographical segments. The geographical segment comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the company. The segment was sold on December 31, 2022, for P1,750,000. The book value of the segment's assets was P1,550,000. The segment's contribution to its operating income before tax for each year was as follows:

2022	113,750	loss
2021	81,250	income

Based on the above data, calculate the following:

Question 1: Income from continuing operations in 2021:

- a. P617,500
- b. P670, 312
- c. P564,688
- d. P694,688

Question 2: Income from continuing operations in 2022:

- a. P837,688
- b. P707,688
- c. P559,812
- d. P763,750

Question 3: Net income in 2021:

- a. P645,938
- b. P950,000
- c. P617,500
- d. P564,688



Question 4: Net income in 2022:

- | | |
|-------------|-------------|
| a. P763,750 | c. P633,750 |
| b. P651,626 | d. P833,750 |

Question 5: Assume that by December 31, 2022, the segment had not yet been sold but was considered held for sale. The fair value of the segment's assets on December 31 was P1,750,000. The post-tax income (loss) from discontinued operations for 2022 should be:

- | | |
|--------------|---------------|
| a. (P73,938) | c. (P113,750) |
| b. P73,612 | d. P386,250 |

Question 6: Assume that by December 31, 2022, the segment had not yet been sold but was considered held for sale. The fair value of the segment's assets on December 31 was P1,250,000. The post-tax loss from discontinued operations for 2022 should be:

- | | |
|------------|-------------|
| a. P52,812 | c. P73,938 |
| b. P56,062 | d. P268,938 |

2. On April 1, 2021, Cielo Company has a machine with a cost of P1,000,000 and accumulated depreciation of P750,000. On April 1, it classified the machine as "held for sale" and decided to sell the machine within 1 year. As of April 1, 2021, the machine had an estimated selling price of P100,000 and a remaining useful life of 2 years. It is estimated that selling cost associated with the disposal of the machine will be P10,000. On December 31, 2021, the estimated selling price of the machine had increased to P150,000 with estimated selling cost of P20,000. How much should be recognized as gain on impairment recovery on December 31, 2021?
- | | |
|------------|------------|
| a. P93,750 | c. P60,000 |
| b. P73,750 | d. P40,000 |



CHANGES IN ACCOUNTING ESTIMATES, POLICIES AND CORRECTION OF ERRORS (PAS 8)

Accounting Policies

- **Accounting policies** are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.
 - An entity shall select and apply its accounting policies consistently for similar transactions, other events and conditions, unless a Standard or an Interpretation specifically requires or permits categorization of items for which different policies may be appropriate.
 - If a Standard or an Interpretation requires or permits such categorization, an appropriate accounting policy shall be selected and applied consistently to each category.
- **Change in Accounting Policy** – a change from one acceptable accounting policy to another acceptable accounting policy. If the change is from an unacceptable accounting policy, it shall be treated as a correction of an error.
- **Cases or circumstances to change accounting policy:**
 - Is required by a standard or interpretation; or
 - Results provide more relevant and reliable information about an entity's financial position, financial performance, or cash flows.
- **Treatment of Changes in Accounting Policies**
 - In the absence of specific transitional provisions, changes in accounting policies are accounted for by retrospective application.
 - **Retrospective application** means adjusting the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.

Changes in Accounting Estimate

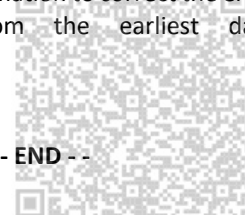
- A **change in accounting estimate** is an adjustment of the carrying amount of an asset or liability, or related expense, resulting from reassessing the expected future benefits and obligations associated with that asset or liability.
- **Accounting estimates** result from uncertainties inherent in business activities that many items cannot be measured with accuracy but can only be estimated.

- The effect of a change in an accounting estimate shall be recognized prospectively by including it in profit or loss in:
 - The period of the change, if the change affects that period only; or
 - The period of the change and future periods, if the change affects both.
- However, if a change in an accounting estimate gives rise to changes in assets and liabilities, or to an item of equity, it is recognized by adjusting the carrying amount of the related asset, liability, or equity item in the period of the change.
- When it is **difficult to distinguish** the change is in accounting policy from a **change in accounting estimate**, the change is treated as a change in accounting estimate.

Errors

- **Prior period errors** are omissions from, and misstatements in, an entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information that was available and could reasonably be expected to have been obtained and taken into account in preparing those statements.
- Such errors result from mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.
- The general principle in PAS 8 is that an entity must correct all material prior period errors retrospectively in the first set of financial statements authorized for issue after their discovery by:
 - **Restating the comparative amounts** for the prior period(s) presented in which the error occurred; or
 - If the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented.
 - However, if it is impracticable to determine the comparative information for one or more prior periods presented, the entity must restate the opening balances of assets, liabilities, and equity for the earliest period for which retrospective restatement is practicable.
 - Further, if it is impracticable to determine the cumulative effect, at the beginning of the current period, of an error on all prior periods, the entity must restate the comparative information to correct the error prospectively from the earliest date practicable.

-- END --



CHANGES IN ACCOUNTING ESTIMATES, POLICIES AND CORRECTION OF ERRORS

1. Accounting policies are
 - a. Concepts that underlie the preparation and presentation of financial statements for external users
 - b. Attributes that make the information provided in financial statements useful to users
 - c. Fundamental premises on which the accounting process is based
 - d. Specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting financial statements
2. Changes in accounting policy are
 - a. Required for all material transactions
 - b. Permitted if the change will result in a more reliable and more relevant presentation of the financial statements
 - c. Required if an alternate accounting policy gives rise to a material change in assets, liabilities or the current year net income
 - d. Permitted if the entity encounters new transactions, events or conditions that are substantively different from existing or previous transactions
3. PAS 8 addresses changes of accounting policy arising from three sources
 - I. The initial application (including early application) of a PFRS containing specific transitional provisions
 - II. The initial application of a PFRS which does not contain specific transitional provisions
 - III. Voluntary changes in accounting policy

Which of the above sources shall require retrospective application?

 - a. I and II
 - b. I and III
 - c. II and III
 - d. I, II and III
4. Changes in accounting policy are reported
 - a. On a prospective basis
 - b. On a retrospective basis
 - c. By restating the financial statements
 - d. By a cumulative adjustment in the income statement
5. A change in accounting policy requires that the cumulative effect of the change for prior periods be shown as an adjustment to
 - a. Net income for the period in which the change occurred
 - b. Comprehensive income for the earliest period presented
 - c. Beginning retained earnings for the earliest period presented
 - d. Shareholders' equity for the period in which the change occurred
6. Which of the following is accounted for as a change in accounting policy?
 - a. A change in the estimated useful life of plant assets
 - b. A change in inventory valuation from average cost to FIFO
 - c. A change from the cash basis of accounting to the accrual basis of accounting
 - d. A change from expensing immaterial expenditures to deferring and amortizing them
7. Which of the following is not a retrospective-type accounting change?
 - a. Sum of years' digits method to the straight-line method
 - b. Cost recovery method to the FIFO method for inventory valuation
 - c. Full cost method to successful effort method in the extractive industry
 - d. Cost recovery method to the percentage of completion method for long-term contracts
8. An entity is required to prepare a third statement of financial position at the beginning of the earliest comparative period when the entity
 - a. Applies an accounting policy retrospectively
 - b. Reclassifies items in the financial statements
 - c. Makes a retrospective restatement of items in the financial statements
 - d. All of these
9. According to IAS 8, applying a new accounting policy to transactions as if that policy had always been applied is the definition of
 - a. Prospective application
 - b. Retrospective restatement
 - c. Prospective restatement
 - d. Retrospective application



10. An adjustment of the carrying amount of an asset or a liability, or the amount of the periodic consumption of an asset, that results from the assessment of the present status of, and expected future benefits and obligations associated with, assets and liabilities
 - a. Change in accounting policy
 - b. The impracticability of restatement
 - c. Change in an accounting estimate
 - d. The correction of prior-period errors
11. Under IFRS, a change in accounting estimate is accounted for
 - a. Retrospectively
 - b. As a cumulative effect of an accounting change in the income statement
 - c. Currently in the financial statements
 - d. Prospectively in the period of change and future periods
12. Which of the following changes would be accounted for prospectively?
 - a. Corrections of prior period errors
 - b. Change in the expected life of a depreciable asset
 - c. First time presentation of consolidated financial statements
 - d. Changing from FIFO to weighted-average for merchandise inventory
13. When it is difficult to distinguish between a change in estimate and in accounting policy, then an entity should
 - a. Treat the entire change as a change in accounting policy
 - b. Treat the entire change as a change in estimate with appropriate disclosure
 - c. Reasonably apportion the relative amounts of change in estimate and the change in accounting policy
 - d. It is best to ignore in the year of change; the entity should then wait for the following year to see how the change develops and treat it accordingly
14. An example of correction of an error in previously issued financial statements is a change
 - a. In the service life of plant assets
 - b. In the tax assessment related to a prior period
 - c. From the cash basis of accounting to the accrual basis of accounting
 - d. From the FIFO method of inventory valuation to the average cost method
15. In which of the following situations should an entity report a prior period adjustment?
 - a. The correction of a mathematical error in the calculation of prior years' depreciation
 - b. A change in the estimated useful life of property, plant and equipment purchased in prior years
 - c. A switch from the straight line to double declining balance method of depreciation
 - d. The scrapping of an asset prior to the end of the expected useful life
16. PAS 8 provides that an entity shall correct material prior period errors retrospectively in the first set of financial statements authorized for issue after the discovery by
 - a. Restating the comparative amounts for the latest period presented in which the error was discovered.
 - b. Restating the opening balances of asset liabilities and equity for all prior period presented if the error occurred before the earliest period presented
 - c. Restating the comparative amounts for the latest period presented in which the error was corrected
 - d. Restating the opening balances of asset, liability and equity for the earliest period presented if the error occurred before the earliest period presented
17. Where a material error occurs in the recording process, an adjustment
 - a. must be made to the prior period comparative balances
 - b. may be recognized directly in retained earnings
 - c. may be deferred and recognized in a later accounting period
 - d. is not necessary, but the item must be fully explained in the notes to the financial statements
18. A company discovered a P20,000 overstatement of its 2020 ending inventory after the financial statements for 2020 were prepared. The effect of this error on the 2020 financial statements was
 - a. Current assets were overstated, and income was overstated
 - b. Current assets were overstated, and income was understated
 - c. Current assets were understated, and income was overstated
 - d. Current assets were understated, and income was understated



19. Which among the following errors could cause an understatement of owner's equity and overstatement of liabilities?
- a. Failure to record interest accrued on a note payable
 - b. Making the adjusting entry for depreciation expense twice
 - c. Failure to record the earned portion of fees received in advance
 - d. Failure to make the adjusting entry to record revenue which had been earned but not yet billed to customers
20. A company using a perpetual inventory system neglected to record a purchase of merchandise on account at year end. This merchandise was omitted from the year-end physical count. How will these errors affect assets, liabilities, and stockholder's equity at year end and net income for the year?
- | | <u>Assets</u> | <u>Liabilities</u> | <u>Stockholder's Equity</u> | <u>Net Income</u> |
|----|---------------|--------------------|-----------------------------|-------------------|
| a. | No effect | Understate | Overstate | Overstate |
| b. | No effect | Overstate | Understate | Understate |
| c. | Understate | Understate | No effect | No effect |
| d. | Understate | No effect | Understate | Understate |

PROBLEMS

1. Vichille Corporation purchased a machine on January 1, 2018 for P6,000,000. At the date of acquisition, the machine had a life of six years with no salvage. The machine is being depreciated on a straight-line basis. On January 1, 2021, it determined that the machine had a useful life of eight years from the date of acquisition with no salvage. What should be the depreciation for 2021?
- a. P375,000
 - b. P600,000
 - c. P1,000,000
 - d. P500,000
2. Nelsie Company bought a machine on January 1, 2022, for P24,000, at which time it had an estimated useful life of eight years, with no residual value. Straight-line depreciation is used for all depreciable assets. On January 1, 2023, the machine's estimated useful life was determined to be only six years from the acquisition date. Accordingly, the appropriate accounting change was made in 2023. The income tax rate was 40 percent in all the affected years. In its financial statements, how much should be reported as the cumulative effect on prior years because of the change in the estimated useful life of the machine?
- a. P0
 - b. P1,200
 - c. P2,000
 - d. P2,800
3. On January 1, 2018, Melanie Co. purchased a patent for P714,000. The patent is being amortized over its remaining legal life of fifteen years expiring on January 1, 2033. During 2021, it determined that the economic benefits of the patent would not last longer than ten years from the date of acquisition. What amount should be reported in the balance sheet for the patent, net of accumulated amortization, as of December 31, 2021?
- a. P428,400
 - b. P489,600
 - c. P504,000
 - d. P523,600
4. Rolly Co. offers a three-year warranty on its products. It previously estimated warranty costs to be 2% of sales. Due to a technological advance in production at the beginning of 2021, it now believes 1% of sales to be a better estimate of warranty costs. Warranty costs of 80,000 and 96,000 were reported in 2019 and 2020, respectively. Sales for 2021 were 5,000,000. What amount should be disclosed in the 2021 financial statements as warranty expense?
- a. P50,000
 - b. P88,000
 - c. P100,000
 - d. P138,000
5. Ralph has used the FIFO method of inventory valuation since it began operations in 2018. It decided to change to the weighted average method for determining inventory costs at the beginning of 2021. The following schedule shows year-end inventory balances under the FIFO and weighted average method:

<u>Year</u>	<u>FIFO</u>	<u>Weighted average</u>
2018	P4,500,000	P5,400,000

2019	7,800,000	7,100,000
2020	8,300,000	7,800,000

What amount, before income taxes, should be reported in the 2021 statement of retained earnings as the cumulative effect of the change in accounting policy?

- | | |
|----------------------|-------------|
| a. P500,000 decrease | c. P200,000 |
| b. P300,000 decrease | d. P 0 |

6. On January 1, 2021, Gian Construction Company changed to the percentage of completion method from cost recovery method of income recognition. As of December 31, 2020, it compiled data showing that income under the cost recovery method aggregated P7,000,000. If the percentage of completion had been used, the accumulated income through December 31, 2020 would have been P9,000,000. The income tax rate is 30%. The cumulative effect of this accounting change should be reported in the 2021
- Retained earnings statement as P2,000,000 credit adjustment to the beginning balance
 - Income statement as P2,000,000 credit
 - Retained earnings statement as a P1,400,000 credit adjustment to the beginning balance
 - Income statement as a P1,400,000 credit

7. Naida Company began operations on January 1, 2021. Financial statements for the years 2021 and 2022 contained the following errors:

	<u>2021</u>	<u>2022</u>
Ending inventory	P800,000 under	P400,000 over
Depreciation	150,000 under	
Insurance expense	50,000 over	50,000 under
Prepaid insurance	50,000 under	

In addition, On December 31, 2022, a fully depreciated equipment was sold for P100,000 cash but the sale was not recorded until 2023.

Question 1: Ignoring income tax, what is the total effect of the errors on Net Income for 2021?

- | | |
|-------------------|-------------------|
| a. P700,000 under | c. P650,000 under |
| b. P700,000 over | d. P650,000 over |

Question 2: What is the Net Income for 2022?

- | | |
|---------------------|---------------------|
| a. P1,350,000 under | c. P1,150,000 under |
| b. P1,350,000 over | d. P1,150,000 over |

Question 3: What is the Retained Earnings on December 31, 2022?

- | | |
|--------------------|-------------------|
| a. P1,150,000 over | c. P450,000 over |
| b. P700,000 under | d. P450,000 under |

8. April Company failed to accrue warranty cost of P200,000 in its December 31, 2021 financial statements. In addition, a change from straight line to accelerated depreciation made at the beginning of 2022 resulted in a cumulative effect of P120,000 on its retained earnings. What amount before tax should it report as prior period error in 2021?
- P200,000
 - P320,000
 - P120,000
 - P 0

9. During the year ended December 31, 2021, the following events occurred in relation to Liezel Co.

- Accounting error relating to the inventory on December 31, 2020 was discovered. This required a reduction in the carrying amount of inventory at that date of P140,000.
- The provision for uncollectible receivables on December 31, 2020 was P150,000. During 2021, P250,000 was written off the December 31, 2020 receivables.

What adjustment is required to restate retained earnings as of December 31, 2021?

- | | |
|-------------|-------------|
| a. P140,000 | c. P290,000 |
|-------------|-------------|

Page | 194

BOOK VALUE PER SHARE

- **Book value per share** is the amount that would be paid on each share assuming the entity is liquidated and the amount available to shareholders is exactly the amount reported as shareholders' equity.
- Where there is only one class of share capital, the formula for the computation of book value per share is:

$$\text{Book value per share} = \frac{\text{total shareholders' equity}}{\text{number of shares outstanding}}$$

- Where there are two classes of share capital, it is necessary to apportion the shareholders' equity between the preference share and ordinary share.

o Accounting procedures

- For purpose of appointment between the preference share and ordinary share, the following procedures should be observed:
 - ✓ An amount equal to the par or stated value is allocated to the preference share and ordinary share.
 - ✓ Any balance of the shareholders' equity in excess of the par or stated value is then apportioned taking into account the liquidation value and dividend rights of the preference shareholders.
- For book value purposes, the following are assumed to be available for divided:
 - ✓ Retained earnings
 - ✓ Share premium
 - ✓ Revaluation surplus

o Liquidation value of preference share

- The **liquidation value** is the amount which the preference shareholders normally receive upon the liquidation of the corporation. The liquidation value may be more than the par value.
- In the absence of a liquidation value, the preference shareholders shall receive an amount equal to the **par or stated value**.

o Preference as to assets

- When preference as to assets, the preference shareholders are entitled to payment not only for the liquidation value but also for dividends in arrears.

o Preference as to dividends

- **Preference** means that if dividends are declared, the preference shareholders have the right to receive dividends first before the ordinary shareholders are paid a dividend.
- When preference share has preference as to dividends, the dividend right may be:
 - ✓ Noncumulative
 - ✓ Cumulative
 - ✓ Nonparticipating
 - ✓ Participating
- A **noncumulative preference share** is one on which the right to receive dividends is forfeited in any one year in which the dividends are not declared. Thus, the preference share is entitled only to current year dividends.
- A **cumulative preference share** is one on which any undeclared dividends accumulate each year until paid. Thus, the cumulative preference share is entitled to all dividends in arrears.
- A **nonparticipating preference share** is one that is entitled to receive only the dividends equal to the fixed rate.
- A **participating preference share** is one which is entitled to receive dividends in excess of the basic or fixed rate.
- Participating preference share may be fully participating with ordinary share on a pro rata basis or participating only to a certain amount or percentage.
 - ✓ Before the preference share can participate, the ordinary share should receive first an amount equal to the basic preference rate, meaning preference rate times the par value of the ordinary share outstanding.

QUASI-REORGANIZATION

- It is an accounting procedure whereby a **financially troubled corporation**, but with favorable future prospects, is permitted, but not required to revalue its assets and liabilities, and realign its equity, subject to the provisions of relevant regulations, in order to establish a **"fresh start"** in accounting sense.
- Quasi-reorganization may be effected through:
 - o **Revaluation** of property, plant and equipment
 - o **Recapitalization**
- The **basic approach** to quasi-reorganization is as follows:
 - o Assets and liabilities are **revalued** upwards or downwards.
 - o Any resulting credit balance in **revaluation surplus** is used to wipe out any deficit (i.e., negative balance in retained earnings)
 - o If a recapitalization is made, any resulting **share premium** shall also be used to wipe out any deficit.
 - o Disclosures required by relevant regulations (**SEC**) are provided in the financial statements for a minimum period of three (3) years)

-- END --

EARNINGS PER SHARE (PAS 33)

Basic Earnings Per Share (EPS)

- The **earnings per share figure** is the amount attributable to every ordinary share outstanding during the period.
- Earnings per share information pertains only to ordinary share.
- The computation of earnings per share is covered by **PAS 33** which requires two presentations of earnings per share, namely: Basic earnings per share and Diluted earnings per share.

o Basic earnings per share

$$Basic\ EPS = \frac{net\ income}{ordinary\ shares\ outstanding}$$

- The net income is equal to the amount after deducting dividends on preference share.
- If the preference share is **cumulative**, the preference dividend for the current year only is deducted from the net income, whether such dividend is declared or not. Otherwise, **non-cumulative** preference dividends for the current year are deducted from the net income only if there is declaration.
- If there is a significant change in the ordinary share capital, the weighted average number of ordinary shares outstanding should be used as denominator.

Diluted Earnings Per Share

o Potential ordinary share

- A **potential ordinary share** is a financial instrument that represents future issuance of ordinary shares.
- The three major types of potential ordinary shares are:
 - ✓ Convertible bond payable
 - ✓ Convertible preference share
 - ✓ Share option and warrant

o Dilution and anti-dilution

- **Dilution** arises when the inclusion of the potential ordinary shares decreases the basic earnings per share or increases the basic loss per share.
- On the other hand, anti-dilution arises when the inclusion of the potential ordinary shares increases basic earnings per share or decreases basic loss per share. In this case, antidilutive securities are ignored in computing diluted earnings per share.

o Diluted earnings per share

- The computation of the diluted earnings per share is based on the assumption that additional ordinary shares are issued as a result of conversion of convertible securities and exercise of share options thereby increasing the number of ordinary shares and consequently creating a dilution in the basic earnings per share.

o Convertible bond payable

- Adjustments shall be made both to net income and to the number of ordinary shares outstanding.
- The net income is adjusted by adding back the interest expense on the bond payable, net of tax.

o Convertible preference share

- The net income is not reduced anymore by the amount of preference dividend.

o Options and warrants

- Options and warrants have no cash yield but they derive their value from the right to obtain ordinary shares at a specified price that is usually lower than the prevailing market price.
- Options and warrants are dilutive if the exercise price or option price is less than the average market price of the ordinary share.

o Treasury share method

- Options and warrants are included in the EPS computation through the treasury share method.
- The following procedures shall be followed in the computation of incremental ordinary shares arising from issuance of options and warrants:
 - ✓ The options and warrants are assumed to be exercised at the beginning of the current year or at the date they are issued during the current year.
 - ✓ The proceeds from the exercise of the options and warrants are assumed to be used to acquire treasury shares at average market price.
 - ✓ The number of incremental ordinary shares is equal to the option shares minus the assumed treasury shares acquired.
- The incremental ordinary shares represent the issue of ordinary shares for no consideration

-- END --



EARNINGS PER SHARE

THEORY

1. Earnings per share disclosures are required only for
 - a. Public entities
 - b. Private entities
 - c. Entities with complex capital structure
 - d. Entities that change their capital structure during the reporting period
2. When EPS is computed dividends on preferred stock are
 - a. Reported separately on the income statement
 - b. Ignored because they do not pertain to the common stock
 - c. Added because they represent earnings to preferred shareholders
 - d. Subtracted because they represent earnings to preferred shareholders
3. Earnings per share is calculated before accounting for which of the following items?
 - a. Minority interest
 - b. Ordinary dividend
 - c. Preference dividend for the period
 - d. Taxation
4. Under PAS 33, the weighted average number of shares outstanding for all periods shall be adjusted for
 - a. Any prior period errors
 - b. Any issue of shares for cash
 - c. Any convertible instruments settled in cash
 - d. Any change in the number of ordinary shares without change in resources
5. In computing weighted-average shares outstanding, when a stock dividend or share split occurs, the additional shares are
 - a. Weighted by the number of days outstanding
 - b. Weighted by the number of months outstanding
 - c. Considered outstanding at the beginning of the year
 - d. Considered outstanding at the beginning of the earliest year reported
6. The EPS computation that is forward-looking and based on assumptions about future transactions is
 - a. Diluted EPS
 - b. Basic EPS
 - c. Continuing operations EPS
 - d. Extraordinary EPS
7. When computing diluted EPS for an entity with a complex capital structure, what is the denominator in the computation?
 - a. Number of ordinary shares outstanding at year-end
 - b. Weighted average number of ordinary shares outstanding
 - c. Weighted number of ordinary shares outstanding plus all other potentially antidilutive securities
 - d. Weighted average number of ordinary shares outstanding plus all other potentially dilutive securities
8. Potential ordinary shares do not include
 - a. Share warrants
 - b. Employee share options
 - c. Financial liabilities or equity instruments, including preference shares, that are not convertible into ordinary shares
 - d. Shares which would be issued upon the satisfaction of certain conditions resulting from contractual arrangements, such as the purchase of a business or other assets
9. In determining earnings per share, interest expense, net of income tax, on convertible debt that is dilutive should be
 - a. Added back to weighted-average shares outstanding for diluted earnings per share
 - b. Added back to net income for diluted earnings per share
 - c. Deducted from net income for diluted earnings per share
 - d. Deducted from weighted-average shares outstanding for diluted earnings per share



10. In determining basic earnings per share, dividend on nonconvertible cumulative preferred stock should be
 - a. Deducted from net income whether declared or not
 - b. Deducted from net income only if declared
 - c. Added back to net income whether declared or not
 - d. Disregarded
11. Under PAS 33, contingent ordinary shares are treated as outstanding and included in the computation if the condition is satisfied for
 - a. Both basis and diluted EPS from date of agreement
 - b. Both basis and diluted EPS from the beginning of the year
 - c. Both basic and diluted EPS from the date of the condition is satisfied
 - d. Basic EPS from the date of the condition is satisfied and for diluted EPS from beginning of the year or date of agreement, if later
12. In computing earnings per share, a method of recognizing the use of proceeds that would be obtained upon exercise of options and warrants is the
 - a. antidilution method
 - b. common stock equivalent method
 - c. Treasury stock method
 - d. If-converted method
13. In applying the treasury stock method of computing diluted earnings per share, when is it appropriate to use the average market price of common stock during the year as the assumed repurchase price?
 - a. Always
 - b. Never
 - c. When the average market price is higher than the exercise price
 - d. When the average market price is lower than the exercise price
14. When there are two dilutive convertible securities, the one that should be used first to recalculate earnings per share is the security with the
 - a. Greater earnings adjustment
 - b. Smaller earnings adjustment
 - c. Greater earnings per share adjustment
 - d. Smaller earnings per share adjustment
15. Which of the following statements is true?
 - I. Earnings per share amounts should not be presented if they are negative, i.e. loss per share
 - II. Earnings per share amounts calculated for discontinued operations should be presented
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II

PROBLEMS

1. Marilyn, Inc. had 20,000 shares of common stock outstanding on January 1, 2021. On May 1, 2021, it issued 10,500 shares of common stock. Outstanding all year were 10,000 shares of nonconvertible preferred stock on which a dividend of P40 per share was paid in December 2021. Net income for 2021 was P967,000. The earnings per share for 2021 is:
 - a. P18.60
 - b. P21.00
 - c. P28.40
 - d. P35.80
2. An entity had 100,000 ordinary shares issued and outstanding at the beginning of current year. During the current year, the entity revealed the following ordinary share transactions:

April 1	Issued 30,000 previously unissued shares
May 1	Split the share 2 for 1
June 30	Purchased 10,000 shares for the treasury
July 31	Distributed 20% stock dividends
December 31	Split the stock 3 for 1

What is the weighted average number of shares?

- a. P288,000
- b. P864,000
- c. P882,000
- d. P972,000



3. An entity reported the following capital structure:

	<u>2021</u>	<u>2022</u>
Outstanding shares:		
Ordinary shares	110,000	110,000
Convertible preference shares	10,000	10,000

During 2021, the entity paid preference dividends of P3 per share. The preference shares are convertible into 20,000 ordinary shares. Net income for 2021 was P850,000. The income tax rate is 30%. What amount should be reported as diluted earnings per share for 2021?

- a. P6.31

c. P7.08
- b. P6.54

d. P7.45

4. On June 30, 2020, Patrick Inc. issued twenty, P10,000, 7% bonds at par. Each bond was convertible into 200 shares of common stock. On January 1, 2021, 10,000 shares of common stock were outstanding. The bondholders converted all the bonds on July 1, 2021.

The following amounts were reported in its income statement for the year ended December 31, 2021:

Revenues	977,000
Operating expenses	920,000
Interest on bonds	<u>7,000</u>
Income before income tax	50,000
Income tax at 32%	<u>16,000</u>
Net income	<u>34,000</u>

What amount should it report as its 2021 diluted earnings per share?

- a. P2.43

c. P2.83
- b. P2.77

d. P3.40

5. An entity reported the following information on January 1, 2021:

Ordinary share capital, P10 par, 800,000 shares	8,000,000
Preference share capital, P50 par, 50,000 shares	2,500,000
12% Bonds payable	5,000,000

The preference share capital is 10% cumulative and convertible into 100,000 ordinary shares. Dividends on preference shares are in arrears for two years.

The 12% bonds are convertible into 80 ordinary shares for each P1,000 bond.

Unexercised share options to purchase 90,000 ordinary shares at P20 per share were outstanding at the beginning and ending of 2021. The average market price of the ordinary share was P30 per share and the market price on December 31, 2021 was P40 per share.

May 1	Issued 60,000 ordinary shares at P25 per share.
July 1	Purchased 100,000 ordinary shares at P15 to be held as treasury.
Oct. 1	Converted bonds with face amount of P2,000,000.
Dec. 31	The net income for 2021 was P5,000,000. The tax rate is 30%.

Question 1: What is the amount of basic earnings per share?

- a. P6.02

c. P5.72
- b. P5.26

d. P5.42

Question 2: What is the amount of diluted earnings per share?

- a. P5.52

c. P4.07
- b. P4.20

d. P3.97



SMALL AND MEDIUM-SIZED ENTITIES (SMEs)

Definition

- o The IASB describes “**small and medium-sized entities**” or **SMEs** as entities that:

- ✓ Do not have public accountability.
- ✓ Publish general purpose financial reports for external users.

SME is an entity:

- ✓ With **total assets** between P3,000,000 and P350,000,000 OR with **total liabilities** between P3,000,00 and P250,000,000.
- ✓ That is not required to file financial statements under SRC Rule 68.1. This SRC Rule 68.1 pertains to “listed entities” whose shares are traded in a public market.
- ✓ That is not in the process of filing financial statements for the purpose of issuing any class of instruments in a public market.
- ✓ That is not a holder of a secondary license issued by a regulatory agency.
- ✓ That is not a public utility.

Small Entities

- o **Small entities** are entities with **total assets** between P3,000,000 and P100,000,000 or **total liabilities** between P3,000,000 and P100,000,000.
- o Small entities shall apply the PFRS for Small Entities beginning on or after January 1, 2019.

Micro-Business Entities

- o **Micro-business entities** are entities whose **total assets** or **total liabilities** are below the P3,000,000 floor threshold.
- o Micro-business entities have the option to use any of the following bases of accounting in the preparation of financial statements.
 - ✓ Full PFRS
 - ✓ PFRS for SMEs
 - ✓ Another acceptable basis of accounting

SIGNIFICANT DIFFERENCES OF PFRS FOR SMEs FROM FULL PFRS

- 1) **Components of financial statements** – when the only changes to the equity are a result of profit or loss, payment of dividends, prior period errors, changes in accounting policy, and SME is permitted but not required to present a “single statement of income and retained earnings” instead of both a statement of comprehensive income and statement of changes in equity.
- 2) **Statement of financial position** – Same line items for SMEs an Full PFRS, except that the following line items are not required for SMEs:

- a) Total assets classified as held for sale.
- b) Total liabilities included in disposal group classified as held for sale.

PFRS for SMEs requires presentation of both investment in associates and investment in joint ventures as separate line items.

- 3) **Other comprehensive income** - under PFRS for SMEs, the components of other comprehensive income include:

- **Reclassified to retained earnings**

- a) Translation gain or loss of a foreign operation
- b) Revaluation surplus of property, plant, and equipment
- c) Actuarial gain or loss

- **Reclassified to profit or loss**

- a) Change in fair value of hedging instrument

- 4) **Asset held for sale and discontinued operation** – the PFRS for SMEs does not address noncurrent asset held for sale and discontinued operation.

- 5) **Inventories** - an SME shall measure inventories at the lower of cost and estimated selling price less cost to complete and sell. If the estimated selling price less cost to complete and sell is lower than cost, the writedown is recognized as impairment loss.

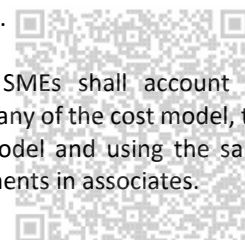
- 6) **Initial measurement of basic financial instruments** – the PFRS for SMEs provides that the basic financial instruments are initially measured at the transaction price, including transaction cost. However, if the instrument is measured at fair value through profit or loss, the transaction cost is expensed immediately.

- 7) **Subsequent measurement** of basic financial instruments

- a) Basic debt instruments are measured at amortized cost.
- b) Investments in nonputtable ordinary shares and investments in nonconvertible and nonputtable preference shares are measured at fair value through profit or loss if the share is publicly traded or if the fair value can be measured reliably without undue cost or effort otherwise; such investments shall be measured at cost less impairment.

- 8) **Impairment of basic financial instruments** – the PFRS for SMEs provides that for a basic financial instrument measured at cost less impairment, the impairment loss is the difference between the carrying amount of the asset and the best estimate of the amount that would be recovered if the asset were sold.

- 9) **Investments in associates** – SMEs shall account for investments in associates using any of the cost model, the equity method or fair value model and using the same accounting policy for all investments in associates.



10) **Investment property** – Under PFRS for SMEs, investment property is measured at fair value if the fair value can be measured reliably without undue cost or effort on an ongoing basis. The cost model is used when the fair value cannot be measured reliably without undue cost or effort.

11) Government grant

- a) Under the PFRS for SMEs, a government grant is recognized when the condition are actually satisfied. Grant received before the recognition criteria are met is recognized as liability. A government grant that does not impose conditions on the SME is recognized as income when the grant proceeds are receivable.
- b) PFRS for SMEs does not allow an entity to match the grant recognized as income over the periods with the expense for which it is intended to compensate or the cost of the asset that it is used to finance.
- c) PFRS for SMEs does not have as option to treat a grant related to asset as either as deferred income or a reduction in the carrying amount of the asset.

12) **Borrowing costs** – PFRS for SMEs treats all borrowing costs as outright expense.

13) Intangible assets

- a) Under PFRS for SMEs, intangible assets are measured subsequently using the cost model only.
- b) Under PFRS for SMEs, the useful life of an intangible asset is considered to be finite. If the useful life of an intangible asset cannot be estimated reliably, the useful life is determined by the best estimate of management but not exceeding 10 years.
- c) Under PFRS for SMEs, ALL INTANGIBLE ASSETS, INCLUDING GOODWILL, ARE AMORTIZED.

14) **Research and development costs** – Under PFRS for SMEs, all research and development costs are expensed immediately when incurred.

15) **Impairment of assets** – under the PFRS for SMEs, intangible assets, including goodwill, are tested for impairment when there is an indication that the asset may be impaired.

16) Defined benefit liability

- a) **Actuarial gains and losses** – Under PFRS for SMEs, actuarial gains or losses are recognized either in profit or loss or other comprehensive income.

17) **Lease accounting** – Under PFRS for SMEs, the lessee shall classify the lease as operating or finance based on the transfer of risks and rewards incidental to ownership.

18) **Share-based payment transactions** – Under PFRS for SMEs, the share options must be measured at fair value on the date of grant. The intrinsic value is not mentioned as an alternative.

19) **Exploration and evaluation of mineral resources** – Under PFRS for SMEs, the intangible exploration and evaluation asset is measured using the cost model only. However, the tangible exploration and evaluation asset is measured using either cost model or revaluation model.

20) Reconciliations required

- a) Reconciliation of equity under the previous accounting basis to the equity under PFRS for SMEs **both** at the:
 - Date of transition to PFRS for SMEs
 - End of the latest reporting period
- b) Reconciliation of profit or loss under the previous accounting basis to the profit or loss under PFRS for SMEs at the end of the latest reporting period.

-- END --



SMALL AND MEDIUM-SIZED ENTITIES (SMEs)

THEORY

1. Based on Philippine SEC rules, which of the following entities would not normally qualify as SMEs?
a. Entities with total assets between P3 million and P350 million
b. Entities with total liabilities between P3 million and P250 million
c. Public utility companies or holders of secondary licenses issued by a regulatory agency
d. Entities that are not in the process of filing FS for purposes of issuing any class of instrument in a public market
2. All of the following can be classified as SMEs, except
a. Commercial bank with total assets of P3 million
b. Manufacturing entity with total liabilities of P3 million
c. Merchandising company with total assets of P350 million
d. Food and beverage chain with total liabilities of P250 million
3. When did PFRS for SMEs take into effect in the Philippines?
a. January 1, 2008
b. January 1, 2009
c. January 1, 2010
d. January 1, 2011
4. Which of the following terms is not descriptive of SMEs?
a. Private entities
b. Listed companies
c. Small and medium-sized entities
d. Non-publicly accountable entities
5. Which set of standards shall be used by small publicly-listed entities?
a. Full PFRS
b. PFRS for SMEs
c. Either Full PFRS or PFRS for SMEs
d. Fully PFRS, PFRS for SMEs, or any acceptable accounting basis
6. In which of the following situations can an entity that does not have public accountability claim compliance with the PFRS for SMEs in its financial statements?
a. The entity prepares its financial statements in accordance with local tax requirements that are substantially the same as the PFRS for SMEs
b. The entity prepares its financial statements in accordance with local tax requirements that are, except in name, word-for-word the same as full PFRS
c. The entity prepares its financial statements in accordance with local tax requirements that are, except in name, word-for-word the same as the PFRS for SMEs
d. In both cases (b0 and (c) above
7. An SME whose only changes to its equity in the periods for which financial statements are presented arise from profit or loss, payment of dividends, corrections of prior period error and changes in accounting policy
a. Is required to present a statement of comprehensive income
b. Should present a statement of income but not retained earnings
c. Is required to present a statement of income and retained earnings in place of a statement of comprehensive income
d. Has the option to present a statement of income and retained earnings in place of a statement of comprehensive income

8. The following statements are based on PFRS for SMEs
Statement I: SMEs are entities that do not have public accountability
Statement II: SMEs are entities that publish general purpose financial statements for external users
Statement III: SMEs are entities that publish special purpose financial statements for internal users

	a	b	c	d
Statement I	True	True	False	False
Statement II	True	False	True	True
Statement II	False	False	True	False

9. The following statements are based on PFRS for SMEs
Statement I: An entity has public accountability if its debt or equity instruments are traded in a public market
Statement II: An entity has public accountability if it is in the process of issuing debt or equity

instruments for trading in a public market

Statement III: An entity has public accountability if it holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses

	a	b	c	d
Statement I	True	True	True	True
Statement II	True	True	False	False
Statement II	True	False	True	False

10. The following statements are based on PFRS for SMEs

Statement I: If an entity’s normal operating cycle is not clearly determinable, its duration is assumed to be twelve (12) months

Statement II: If an entity is unable to make a reliable estimate of the useful life of an intangible asset, the life shall be presumed to be twenty (20) years

Statement III: An entity shall recognize all borrowing costs as an expense in profit or loss in the period in which they are incurred

	a	b	c	d
Statement I	True	True	True	False
Statement II	True	False	False	False
Statement II	True	False	True	False

11. The following statements refer to PFRS for SMEs

Statement I: The PFRS for SMEs is organized by topic, with each topic presented in a separate numbered section

Statement II: All of the paragraphs in the PFRS for SMEs, which has a total of 35 sections, have equal authority

Statement III: Some sections include appendices of implementation guidance that are not part of the PFRS but, rather, are guidelines for applying it

	a	b	c	d
Statement I	True	True	False	False
Statement II	True	False	False	False
Statement II	True	False	True	False

12. Which of the following statements is true in relation to an SME?

- a. All intangible assets have finite useful life and must be amortized
- b. Investment property is measured at fair value if the fair value can be measured reliably without undue cost or effort on an ongoing basis
- c. Investment in associate shall be accounted for using any of the cost model, fair value model and equity model and using the same accounting policy for all investments in associate
- d. All of these statements are true

13. An SME can recognize which of the following either as component of profit or loss or component of other comprehensive income?

- a. Revaluation surplus
- b. Actuarial gain or loss
- c. Translation gain or loss
- d. Change in fair value of hedging instrument

14. For small and medium entities, “SIRE” may under certain conditions replace which two (2) financial statements?

- a. Balance Sheet and Income Statement
- b. Income Statement and Statement of Changes in Equity
- c. Balance Sheet and Statement of Comprehensive Income
- d. Statement of Comprehensive Income and Statement of Changes in Equity

15. In accordance with the PFRS for SMEs, the financial statement that presents an entity’s assets, liabilities and equity at a point in time

- a. Must be titled the balance sheet
- b. Must be titled the statement of financial position
- c. Could be titled the statement of financial position or the balance sheet
- d. Could be titled the statement of financial position, the balance sheet, or any other title that is not misleading

16. Which of the following is not used in accounting for investment in associates and interests in jointly controlled entities of SMEs?

- a. Cost model
- b. Fair value model
- c. Fair value model



- b. Equity method

d. Revaluation model
17. Investments in associates must be tested for impairment if the entity uses
 - a. The cost model or the equity method
 - b. The cost model or the fair value model
 - c. The equity method or the fair value model
 - d. The cost model, equity method or fair value model
18. Which of the following is specifically required to be reported as line item for an SME but not under full PFRS?
 - a. Financial assets
 - b. Investment in joint venture
 - c. Non-current assets held for sale
 - d. Property, plant and equipment
19. All of the following are considered line item in the statement of financial position of an SME except
 - a. Provisions
 - b. Revaluation surplus
 - c. Non-controlling interest
 - d. Equity attributable to the owners of parent
20. Which is not considered as Other Comprehensive Income (OCI) for SMEs?
 - a. Some actuarial gains and losses
 - b. Some foreign exchange translation gains and losses
 - c. Some changes in fair values of hedging instruments
 - d. Some gains and losses on FVOCI securities
21. Which method is used by SMEs in recognizing revenue from rendering services?
 - a. Accrual method
 - b. Cost recovery method
 - c. Installment method
 - d. Percentage-of-completion method
22. Which of the following cannot be accounted by SMEs under the cost model?
 - a. Intangible assets
 - b. Investment property
 - c. Investment in associates
 - d. Property, plant and equipment
23. Which of the following is not considered a “basis” financial instrument for SMEs?
 - a. Bonds and loans payable
 - b. Cash and bank accounts
 - c. Commercial paper and bills
 - d. Options and warrants
24. Which of the following is not considered as “other” financial instrument for SMEs?
 - a. Derivatives
 - b. Hedging instruments
 - c. Investments in convertible and puttable shares
 - d. Investments in non-convertible and non-puttable shares

PROBLEMS

1. An SME provided the following data on December 31, 2021:

Cash	26,000	Bank loan, payable in 2024 and pre-payable without penalty	50,000
Accounts receivable	530,000	Trade payables	430,000
Prepayments	60,000	Interest payable	2,000
Inventories	60,000	Current tax liability	270,000
Investment in associate	110,000	Provision for warranty	4,000
Property, plant and equipment	3,250,000	Employee benefit obligation (current portion, P4,000)	10,000
Accumulated depreciation and impairment	700,000	Finance lease liability (current portion, P20,000)	44,000
Software – net of amortization and impairment	10,000	Share capital	30,000
Deferred tax asset	4,000	Retained earnings	2,430,000
Bank overdraft	80,000		

Compute the following:

1. Current assets

2. Noncurrent assets

3. Current liabilities
4. Noncurrent liabilities

6. Shareholders' equity



2. An SME provided the following data for 2021:

Sales	6,700,000
Royalty revenue	120,000
Cost of goods sold	5,100,000
Dividend received from an associate – cost model	25,000
Gain on disposal of property	60,000
Distribution costs	175,000
Administrative expenses (including amortization on goodwill of P2,000)	810,000
Research and development cost (5 years)	70,000
Foreign exchange loss on trade payables	30,000
Interest on bank loan and overdraft	20,000
Interest on finance lease	5,000
Current tax expense	270,000
Deferred tax benefit	10,000
Retained earnings - January 1	2,100,000
Dividends	150,000

Question 1: What is the profit for year ended December 31, 2021?

- | | |
|-------------|-------------|
| a. P435,000 | c. P437,000 |
| b. P410,000 | d. P695,000 |

Question 2: What is the retained earnings balance on December 31, 2021?

- | | |
|---------------|---------------|
| a. P2,535,000 | c. P2,387,000 |
| b. P2,385,000 | d. P2,441,000 |

3. An SME prepared the following post-closing trial balance on December 31, 2021.

Property, plant and equipment	2,300,000
Intangible assets	850,000
Investment in associate	1,100,000
Deferred tax asset	40,000
Inventory	500,000
Trade receivables	600,000
Cash on hand	1,150,000
Investment in non-puttable ordinary shares – listed	550,000
Investment in nonconvertible and non-puttable preference shares – unlisted	500,000
Investment in term bonds	400,000
Demand deposit in bank	200,000
Loan receivable from employee – fixed term	10,000
Loan receivable from associate – on demand	300,000
Bank loans	1,100,000
Other long-term employee benefits	250,000
Obligation under finance leases	400,000
Trade payables	550,000
Warranty obligation	20,000
Rent payable	10,000
Interest payable	20,000
Current tax liability	210,000
Bank overdraft-on demand	40,000
Share capital	4,000,000
Retained earnings	1,900,000

Question 1: What is the total amount of basic financial assets?

- | | |
|---------------|---------------|
| a. P4,810,000 | c. P3,750,000 |
| b. P3,710,000 | d. P3,160,000 |

Question 2: What is the total amount of basic financial liabilities?

- | | |
|---------------|---------------|
| a. P2,330,000 | c. P1,720,000 |
| b. P2,120,000 | d. P1,930,000 |





Advanced Financial Accounting and Reporting (AFAR)



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PARTNERSHIP

PARTNERSHIP FORMATION:

- Governed by the Partnership Law [Philippine Civil Code Articles 1767 to 1867].
- **Article 1767:** By the contract of partnership, two or more persons bind themselves to contribute money, property or industry to a common fund with the intention of dividing the profits among themselves.

Characteristics of Partnership

- ✓ Ease of formation
- ✓ Limited life
- ✓ Mutual agency
- ✓ Separate legal entity
- ✓ Sharing of profit and losses
- ✓ Unlimited liability

Types of Partnership

- **General Partnership**
 - ✓ Each partner is personally liable to the partnership’s creditors if the partnership assets are not enough to pay such creditors.
 - ✓ There is at least one general partner in each partnership.
- **Limited Partnership**
 - ✓ Partners are liable only up to the extent of their capital contributions.

Accounting for Partnership Activities

- **Capital Account** (normal balance: **credit**)
 - **Increases**
 - ✓ Initial investment
 - ✓ Additional investment
 - ✓ Share in net income
 - **Decreases**
 - ✓ Permanent withdrawal
 - ✓ Drawings in excess of a specific amount
 - ✓ Share in net loss
- **Drawing Account** (normal balance: **debit**)
 - **Increases**
 - ✓ Regular drawings
- **Loan Accounts**
 - Transactions between the partners and the partnership.
 - Must be reported as separate balance sheet items.
 - ✓ **Loan from partners** – presented as a liability.
 - ✓ **Loan to partners** – presented as other receivable (current asset).

- The capital ratio is a claim against the net asset of the partnership as shown by the balance in the partner’s capital account.
- The profit and loss ratio (P&L ratio) determines how much will the income or loss be distributed among the partners.

Accounting for Partnership Formation

- **Cash investment**
 - ✓ Local currency is valued at face value.
 - ✓ Foreign currency is valued at the current exchange rate.
- **Noncash investment**
 - ✓ Recorded at agreed value which is normally the fair value of the properties at the time of investment.
- Liabilities assumed by the partnership should be value at the present value (fair value) of the remaining cash flows.
- The difference between the fair value of the assets contributed by the partners and the liabilities assumed by the partnership is credited to the partners’ capital accounts.
- ✓ If the partners’ initial investment is not equal to that partner’s agreed capital, the bonus approach will be used.
- ✓ Under the bonus approach, one partner’s capital account decreases, while the other partner’s capital account increases at the same amount.

Bonus Approach Pro-forma Entry

<i>A, Capital</i>	xx	
<i>B, Capital</i>		xx
Total agreed capital		xx
x Capital interest		<u>xx%</u>
Partner’s individual capital interest		xx
Less: B, capital interest		<u>xx</u>
Bonus to B		<u>xx</u>

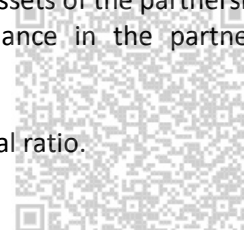
PARTNERSHIP OPERATIONS

- **Division of Profits and Losses**
 - The Partnership Law provides that profits and losses of the partnership are to be divided in accordance with the partners’ P&L agreement.
 - If no agreement is made between and among the partners, profits and losses are to be divided according to their original capital contributions.
 - Should the partners agree to divide the profits only, losses shall be divided in the same manner as that of dividing profits.

- However, should the partners agree to divided losses only, profits shall be divided by the partners according to their original capital contributions.
- The ratio in which partnership profits and losses are divided is known as the profit and loss ratio. The possible methods of dividing net income or loss among partners may be summarized as follows:
 - ✓ Equally.
 - ✓ In an unequal or arbitrary ratio.
 - ✓ In the ratio of partners' capital account balances on a particular date, or in the ratio of average capital account balances during the year.
 - ✓ Allowing interest on partners' capital account balances and dividing the remaining net income or loss in a specified ratio.
 - ✓ Allowing salaries to partners and dividing the remaining net income or loss in a specified ratio.
 - ✓ Bonus to managing partner based on net income.
- These alternative methods emphasize that the value of personal services rendered by individual partners may vary widely, as may the amounts of capital invested by each partner.
- Therefore, as a preliminary step, agreements should be made for salaries to partners and interest on their respective capital account balances. Any remaining profit or loss then may be divided in a specified ratio.
- **Division of Profit and Loss in the Ratio of Partners' Capital**
 - The capital contributions of partners are usually considered in the determination of profit and loss sharing agreement.
 - If partners' capital account is considered in allocating partnership income, the agreement should specify whether the ratio is based on the original capital contributions, beginning capital balances, ending capital balances or average capital balances.
 - In addition, several interpretations of average capital balances are possible, and capital balances may be determined before or after drawing accounts are closed to the partners' capital accounts.
- Use of average capital balances is preferable because it reflects the capital actually available for use by the partnership during the year.
- **Interest Allowed on Partners' Capital**
 - Partnership contract may provide for interest allowances on partners' capital in order to encourage capital investments. Remaining profits are then divided equally or in any other specified ratio.
 - Interest allowed to partners may vary from one partner to another due to the differences of capital contributions and balances.
 - Partnership contract should therefore provide that a specific interest rate shall be allowed to a partner based on his beginning, ending or average capital balances.
 - Interest on partners' capital accounts is not an expense of the partnership.
- **Salary and Bonus Allowances**
 - When the services rendered by the individual partners to the partnership are not equal, due to differing abilities of partners or differences in time spent on partnership business, it is not proper to provide for such differences through the use of profit and loss sharing ratios.
 - A partnership contract may provide for a bonus to the managing partner equal to a specified percentage of income. When bonuses are to be allowed, the agreement must clearly specify the basis of the bonus.
 - The computation of the bonus may be based on:
 - ✓ Net income before allowances for salaries, interest and bonus.
 - ✓ Net income before allowances for salaries and interest but after deduction of the bonus.
 - ✓ Net income after allowances for salaries and interest but before bonus.
 - ✓ Net income after allowances for salaries, interest and bonus.

PARTNERSHIP DISSOLUTION

- Changes in ownership interest.
- **Capital Interest**
 - Claim against the net assets of the partnership as shown by the balance in the partner's capital account.
 - Evidenced by the capital ratio.



- **Profit and Loss Interest**
 - Determines how the partner’s capital interest will increase or decrease as a result of income or loss allocation.
 - Evidenced by the profit and loss (P&L) ratio.

Admission or Withdrawal of a Partner

- **Admission by purchase of interest**
 - *Case 1: Purchase of interest for one partner*

A, Capital

xx

B, Capital

xx
 - *Case 2: Purchase of interest from all partners*

A, Capital

xx

B, Capital

xx

C, Capital

xx

- **Admission by investment**
 - Observe the following rules:
 - ✓ Contributed capital (CC)
 - ✓ Agreed capital (AC)
 - ✓ Total contributed capital (TCC)
 - ✓ Total agreed capital (TAC)

TCC=TAC	No Adjustment.
TCC>TAC	Overstatement of the asset or diminution in partner’s capital.
TCC<TAC	Unrecorded net assets or the required additional investment in partner’s capital.
CC=AC	No transfer of capital.
CC>AC	Capital transfer or bonus to old partners.
CC<AC	Additional capital credit (bonus method) from the old partners.

Total agreed capital

xx

Less: Total contributed capital

xx

Difference

xx

- **Withdrawal of a partner**
 - Same accounting as admission of a new partner discussed above.

PARTNERSHIP LIQUIDATION

- The termination phase of the partnership’s activities.

BASIC PROCEDURES IN LIQUIDATION

- **Lump-sum Liquidation**
 - All assets are converted into cash within a very short time, creditors are paid, and a single, lump-sum payment is made to the partners for their capital interest.
 - ✓ Realization and distribution of gain or loss to all partners on the basis of their profit and loss ratio.
 - ✓ Payment of liquidation expenses, if any.
 - ✓ Payment of liabilities to third parties.

- ✓ Elimination of capital deficiencies.
- ✓ Payment to partners (in order):
 - o Loan accounts
 - o Capital accounts

Installment Liquidation

- A process of realizing some assets, paying creditors, paying the remaining available cash to partners, realizing additional assets, and making additional cash payment to partners.

Basic Principles in Installment Liquidation

- **Schedule of Safe Payments**
 - Method of computing the amount of safe payments and preventing excessive payments to any partners.
 - Assume total loss on all remaining noncash assets. Provide all possible losses, including potential liquidation cost and unrecorded liabilities.
 - ✓ Maximum possible loss = amount of unrealized noncash assets + amount of cash withheld (i.e., unrecorded unpaid expenses, and anticipated liquidation expenses)
 - Assume that partners with a potential capital deficit will be unable to pay anything to the partnership (assumed to be personally insolvent).
 - ✓ Hypothetical or assumed deficit balance is allocated to the partners who have credit balances using profit and loss ratio. This portion is the maximum potential loss on noncash assets.

Cash Priority Program (Cash Distribution Program)

- ✓ Ranking of the partners’ vulnerability level.
- ✓ Total interest (equity) account = balance of the capital account +/- loans from (to) the partners
- ✓ Loss Absorption Ability = Total interest account/Profit and Loss assigned ratio

Vulnerability Rankings

- The partner with the lowest absorption ability is the most vulnerable to partnership losses.

-- End --



PARTNERSHIP

THEORY

1. Which of the following is not an advantage of a partnership over a corporation?
 - a. Ease of formation
 - b. Unlimited liability
 - c. Less governmental regulations
 - d. All of the above
2. For financial accounting purposes, assets of an individual partner contributed to a partnership are recorded by the partnership at
 - a. Historical cost
 - b. Book value
 - c. Fair market value
 - d. Lower of cost or market
3. On July 1, X and Y formed a partnership. X contributed cash. Y, previously a sole proprietor, contributed property other than cash, including realty subject to a mortgage, which the partnership assumed. Y's capital account on July 1, should be recorded at
 - a. Y's book value of the property on July 1
 - b. Y's book value of the property less the mortgage payable on July 1
 - c. The fair value of the property less the mortgage payable on July 1
 - d. The fair value of the property on July 1
4. Mr. A and Mr. B agreed to form a partnership. The fair values of the partner's net contribution vary; however, the partners agreed to have equal capital credits. Cash settlement shall be made between them for the difference. Which of the following statements is correct?
 - a. The asset contributions of the partners shall be debited to equal amounts
 - b. The cash settlement between the partners will either increase or decrease the total partnership capital
 - c. The cash settlement between the partners will not be recorded in the partnership books
 - d. Mr. A shall pay Mr. B to have their capital balances equal
5. How should the partners in a business partnership share in the profits or losses of the partnership?
 - a. Equally
 - b. At whatever basis of allocation that the dominating partner deems reasonable
 - c. In accordance with the partnership agreement
 - d. None of the above
6. According to the Philippine Civil Code, if only the share of each partner in the profits has been agreed upon, the share of each in the losses shall be
 - a. In equal amounts
 - b. In equal amounts, but excluding the industrial partner
 - c. In proportion to the partners' contributions
 - d. The same as the sharing in profits
7. According to the Philippine Civil Code, in the absence of a stipulation on the sharing of profits or losses, partnership profits and losses shall be shared by the partners
 - a. Equally
 - b. In accordance with the partnership agreement
 - c. In proportion to what the partners may have contributed
 - d. In proportion to what the partners may have contributed, but the industrial partner shall not be liable for the losses
8. Partners active in a partnership business should have their share of partnership profits based on the following
 - a. A combination of salaries plus interest based on average capital balances
 - b. A combination of salaries and percentage of net income after salaries and any other allocation basis
 - c. Salaries only
 - d. Percentage of net income after salaries is paid to inactive partners
9. Which of the following best describes the use of interest on invested capital as a means of allocating profits?
 - a. If interest on invested capital is used, it must be used for all partners
 - b. Interest is allocated only if there is partnership net profit
 - c. Invested capital balances are never affected by drawings of the partnerships
 - d. Use of beginning or ending measures of invested capital may be subject to manipulation that distorts the measure of invested capital



10. A partnership agreement calls for allocation of profits and losses by salary allocations, a bonus allocation, interest on capital, with any remainder to be allocated by preset ratios. If a partnership has a loss to allocate, generally which of the following procedures would be applied?
 - a. Any loss would be allocated equally to all partners
 - b. Any salary allocation criteria would not be used
 - c. The bonus criteria would not be used
 - d. The loss would be allocated using the profit and loss ratios, only
11. Which of the following statements is true concerning the treatment of salaries in partnership accounting?
 - a. Partner salaries may be used to allocate profits and losses; they are not considered expenses of the partnership
 - b. Partner salaries are equal to the annual partner draw
 - c. The salary of a partners is treated in the same manner as salaries of corporate employees
 - d. Partner salaries are directly closed to the capital account
12. Partnership drawings are
 - a. Always maintained in a separate account from the partner's capital account
 - b. Equal to partners' salaries
 - c. Usually maintained in a separate draw account with any excess draws being debited directly to the capital account
 - d. Not discussed in the specific contract provisions of the partnership
13. When a new partner is admitted into a partnership and the capital of the old partners decreases, which of the following explains the reason for the decrease?
 - I. Undervalued liabilities were written up to their fair values.
 - II. Undervalued assets were written up to their fair values.
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
14. Under the bonus method, any increase or decrease in the capital credit of a partner is
 - a. Deducted from or added to the capital credits of the other partners
 - b. Recognized as goodwill
 - c. Recognized as expense
 - d. Deferred and amortized to profit or loss
15. The admission of a new partner effected through purchase of interest from (an) existing partner(s) is
 - a. Recorded in the partnership's books as a debit to cash or other asset and credit to the incoming partner's capital account
 - b. Recorded in the partnership's books as a transfer within equity
 - c. Recorded in the partnership's books as a transfer from equity to liability
 - d. Not recorded in its entirety
16. In XY Partnership, X and Y had a capital ratio of 3:1 and a profit and loss ratio of 2:1, respectively. The bonus method was used to record Z's admittance as a new partner. What ratio would be used to allocate, to X and Y, the excess of Z's contributions over the amount credited to Z's capital account?
 - a. X and Y's new relative capital ratio
 - b. X and Y's new relative capital profit and loss ratio
 - c. X and Y's old capital ratio
 - d. X and Y's old profit and loss ratio
17. When partner X retired, the partnership paid X an amount that was lower than the balance of his capital account. Which of the following statements is incorrect?
 - a. The partnership assets decreased as a result of the retirement
 - b. The other partner's capital balances increased
 - c. The partnership assets were not affected
 - d. The number of capital accounts in the partnership chart of accounts decreased
18. A bonus is recognized by existing partners at the date a new partner joins a partnership when which of the following relationships occur?
 - a. The new partner's contribution exceeds his/her percentage of total partnership capital after the investment is made
 - b. The new partner's contribution is less than his/her percentage of total partnership capital after the investment is made
 - c. The new partner's contribution is equal to his/her percentage of total partnership capital after the investment is made
 - d. It is not possible to determine the answer to this question

19. Which of the following statements is true with regard to a withdrawing partner?
 - a. A bonus must be paid to the retiring partner
 - b. A bonus may be paid to the retiring partner
 - c. A bonus must be paid to the retiring partner or to the remaining partners
 - d. Recognizing a bonus is not appropriate when a partner retires
20. A simple partnership liquidation requires
 - a. Periodic payments to creditors and partners determined by a safe payments schedule
 - b. Partnership assets to be converted into cash with full payment made to all outside creditors before remaining cash is distributed to partners in a lump sum payment
 - c. Only creditors to be paid in an orderly manner
 - d. Periodic payments to partners as cash becomes available
21. The following is the priority sequence in which liquidation proceeds will be distributed for a partnership
 - a. Partnership drawings, partnership liabilities, partnership loans, partnership capital balances
 - b. Partnership liabilities, partnership loans, partnership capital balances
 - c. Partnership liabilities, partnership loans, partnership drawings, partnership capital balances
 - d. Partnership liabilities, partnership capital balances, partnership loans
22. What is the nature of liability of general partners as to partnership debts or obligations?
 - a. They are liable equally up to the extent of their separate assets after the partnership assets are exhausted
 - b. They are liable pro-rata up to the extent of their separate assets after the partnership assets are exhausted
 - c. They are liable pro-rata up to the extent of their capital contribution only
 - d. They are liable solidarily up to the extent of their separate assets after the partnership assets are exhausted
23. X and Y are partners of XY Partnership which is undergoing liquidation. After XY Partnership's assets were realized and its liabilities settled, X's capital account has a negative balance. Which of the following statements is correct?
 - a. Y shall absorb X's capital deficiency if X is solvent
 - b. X shall make an additional contribution if X is insolvent
 - c. X and Y shall make pro rata contributions to eliminate X's capital deficiency
 - d. Y shall absorb X's capital deficiency if X is insolvent
24. If a partner with a debit capital balance during liquidation is personally solvent, the
 - a. Partner must invest additional assets in the partnership
 - b. Partner's debit balance will be allocated to the other partners
 - c. Other partners will give the partner enough cash to absorb the debit balance
 - d. Partnership will loan the partner enough cash to absorb the debit balance
25. In accounting for liquidation of partnership, cash payments to partners after all non-partner creditors' claims have been satisfied, but before the final cash distribution, should be according to
 - a. The partners' relative profit and loss sharing ratios
 - b. The final balances in partner capital accounts
 - c. The partners' relative share of the gain or loss on liquidations
 - d. Safe payments computations
26. If a partnership has only non-cash assets, all liabilities have been properly disbursed, and no additional liquidation expenses are expected, the maximum potential loss to the partnership in the liquidation process is
 - a. The fair market value of the non-cash assets
 - b. The book value of the non-cash assets
 - c. The estimated proceeds from the sale of the assets less the book value of the non-cash assets
 - d. None of the above
27. In partnership liquidation, the last remaining cash distribution should be made according to the ratio of
 - a. The individual partner's profit and loss agreement
 - b. The individual partner's capital accounts, increased by partner loans to the partnership
 - c. The individual partner's capital accounts, increased by partnership loans to the partners and decreased by partner loans to the partnership
 - d. The individual partner's capital accounts, decreased by partnership loans to the partners and increased by partner loans to the partnership



28. If all partners are included in the first installment of an installment liquidation, then in future installments
- a. Cash will be distribution according to the residual profit and loss sharing ratio
 - b. Cash should not be distributed until all non-cash assets are converted into cash
 - c. A safe payments schedule must be prepared before each cash distribution to avoid excessive payments to partners
 - d. A cash distribution plan must be prepared so that partners will know when they will be included in cash distributions
29. Which partner is considered the most vulnerable as a result of a computation of vulnerability rankings?
- a. The partner with the lowest vulnerability ranking, who also has the lowest loss absorption potential
 - b. The partner with the lowest vulnerability ranking, who also has the highest loss absorption potential
 - c. The partner with the highest vulnerability ratio, who also has the lowest loss absorption potential
 - d. The partner with the highest vulnerability ranking, who also has the highest loss absorption potential
30. A partner's maximum loss absorbable is calculated by
- a. Dividing the partner's capital balance by his or her profit-and-loss-sharing percentage
 - b. Multiplying the partner's capital balance by his or her profit-and-loss-sharing percentage
 - c. Multiplying distributable assets by the partner's profit-sharing percentage
 - d. Dividing the partner's capital balance by his or her percentage interest in capital

PROBLEMS

1. X and Y formed a partnership. Their contributions are as follows:

	X	Y
Cash	400,000	-
Accounts receivable	250,000	-
Land		750,000
Equipment		180,000
Total	650,000	1,130,000

Additional information:

- Only 80% of the accounts receivable is deemed collectible.
- The land is stated at original cost. The fair value is P1,000,000. The partnership assumes a P250,000 unpaid mortgage on the land.
- Y acquired the equipment on a long-term financial basis. Y promised to pay the unpaid principal balance of P80,000 using his personal funds. The equipment is under-depreciated by P30,000.

Requirement: Compute for the partners’ capital balances under each of the following independent scenarios:

Scenario 1: X and Y agreed to have credits equal to their capital contributions.

Scenario 2: X and Y agreed to share in profits and losses equally. A partner should make an additional contribution in order for the partner’s capital balances to reflect the partners’ equal interest in the partnership.

Scenario 3: X and Y agreed to have equal interests in the partnership’s equity and profit and losses. The partners’ initial capital credits should reflect this agreement using the bonus method.

Scenario 4: X and Y agreed to have their capital accounts initially credited at equal amounts. Cash settlement shall be made between the partners.



Scenario 5: X and Y agreed to have their capital accounts initially credited at equal amounts. A partner shall provide additional investment (or withdraw part of his investment) to the partnership in order to equalize the balances of the partners’ capital accounts.

2. A and B decided to form a partnership on January 1, 2021. Their Statements of Financial Position on this date were:

	A	B
Cash	P65,625	P164,062.50
Accounts Receivable	1,487,500	896,875
Merchandise Inventory	875,000	885,937.50
Equipment	<u>656,250</u>	<u>1,268,750</u>
Total	3,084,375	3,215,625
Accounts payable	459,375	1,159,375
A, Capital	2,625,000	
B, Capital		<u>2,056,250</u>
Total	<u>3,084,375</u>	<u>3,215,625</u>

They agreed the following adjustments shall be made:

- Equipment of A is underdepreciated by P87,500 and that B is overdepreciated by P131,250.
- Allowance for doubtful accounts is to be set up amounting to P297,500 for A and P196,875 for B.
- Inventories of P21,875 and P15,312 are worthless in the books of A and B respectively.
- The partnership agreement provides for a profit and loss ratio of 70% to A and 30% to B.

Question 1: Upon the formation of the partnership, how much is the capital of A and B, respectively?

Question 2: Assuming that the capital balances are to be equaled to their P&L ratio, how much is the capital of A and B, respectively?

Question 3: Compute for the total assets of the partnership.

Question 4: Assuming that B is to invest certain amount of cash such that his capital balance will be 10% higher than A’s. How much should B invest?

3. A and B formed a partnership. The following are their contributions:

	A	B
Cash	P100,000	-
Accounts receivable	50,000	-
Inventory	80,000	-
Land	-	50,000
Building	<u> </u>	<u>120,000</u>
Total	230,000	170,000
Note payable	60,000	-
A, capital	170,000	-
B, capital		<u>170,000</u>
Total	<u>P230,000</u>	<u>P170,000</u>



Additional information:

- Included in accounts receivable in an account amounting to P20,000 which is deemed uncollectible.
- The inventory has an estimated selling price of P100,000 and estimated costs to sell of P10,000.
- The partnership assumed a P10,000 unpaid mortgage on the land.
- The building is underdepreciated by P25,000.
- There is an unpaid mortgage of P15,000 on the building which B agreed to settle using his personal funds.
- The note payable is stated at face amount. A proper valuation requires the recognition of a P15,000 discount on note payable.
- A and B shall share in profits and losses on a 60:40 ratio, respectively.

Question 1: Compute for the adjusted balances of the partners’ capital accounts.

Question 2: Assume that a partner’s capital shall be increased accordingly by contributing additional cash to bring the partners’ capital balances proportionate to their profit and loss ratio. Which partner should provide additional cash and how much is the additional cash contribution?

4. As of July 1, 2025, X and Y decided to form a partnership. Their balance sheets on this date:

	X	Y
Cash	P1,500	P3,750
Accounts Receivable	54,000	22,500
Merchandise Inventory	-	20,250
Machinery equipment	<u>15,000</u>	<u>27,000</u>
Total	<u>P70,500</u>	<u>P73,500</u>
Accounts payable	13,500	24,000
X, Capital	57,000	
Y, Capital		<u>49,500</u>
Total	<u>P70,500</u>	<u>73,500</u>

The partners agreed that the machinery and equipment of X is under depreciated by P1,500 and that of Y by P4,500. Allowance for doubtful accounts is to be set up amounting to P12,000 for X and P4,500 for Y.

Question 1: If the capital contribution of each partner is the net amount of his assets and liabilities taken over by the partnership, the capital accounts of X and Y would be

- a. P43,500 and P40,500, respectively
- b. P46,500 and P49,500, respectively
- c. P57,000 and P49,500, respectively
- d. None of the above

Question 2: Assume that the partnership agreement provides for profit and loss sharing of 60% to X and 40% to Y, and that the new capital of the partnership is to be agreed on the profit and loss ratio based on the adjusted capital of Y. How much additional cash must be invested by X in order to bring the partner’s capital balances proportionate to the profit and loss ratio

- a. P14,250
- b. P5,250
- c. P17,250
- d. None of the above

5. The AB partnership has the following plan for the distribution of partnership net income (loss):

	A	B
Salaries	P80,000	P100,000
Bonus	6%	12%
Interest on average capital balance	7%	7%
Remainder (if positive)	60%	40%
Remainder (if negative)	50%	50%



Required: Calculate the distribution of partnership net income (loss) for each independent situation below (For each situation, assume the average capital balance of A is P140,000 and of B is P240,000)

Situation 1: Partnership net income is P360,000.

Situation 2: Partnership net income is P240,000.

Situation 3: Partnership net loss is P40,000.

6. X, Y and Z Partnership was formed on January 1, 2021. The original cash investments were as follows:

X	P96,000
Y	144,000
Z	216,000

According to the general partnership contract. The partners were to be remunerated as follows:

- Salaries of P14,400 for X, P12,000 for Y and P13,600 for Z.
- Interest at 12% on the average capital account balances during the year.
- Remainder divided 40% to X, 30% to Y and 30% for Z.

Income before partners’ salaries for the year ended December 31, 2021 was P92,080. X invested an additional P24,000 in the partnership on July 1; Z withdrew P36,000 from the partnership on October 1; and as authorized by the partnership contract, X, Y and Z each withdrew P750 monthly against their shares of net income for the year.

Requirements:

1. Share of each partner in net income.
2. Capital balances of the partners on December 31, 2021.
3. If the salaries to partners are to be recognized as operating expenses by the partnership, determine the share of each partner in net income.

7. A and B organized AB Partnership on Jan. 1, 2021. The following entries were made into their capital accounts during 2021:

The partnership agreement called for the following in the allocation of partnership profits and losses:

- Salaries of P48,000 and P36,000 would be allocated to A and B, respectively.
- Interest of 8% on average capital balances will be allocated.
- B will receive a bonus of 10% on all partnership billings in excess of P300,000.
- Any remaining profits/losses will be allocated 60/40 to A and B, respectively.

Required (account for each situation independently):

- a. Determine the distribution of partnership net income. Assume the following priority of allocation: interest, bonus, salaries, then remaining assuming partnership income of P85,000; partnership billings amounted to P400,000.
- b. Determine the distribution of partnership net income of P165,000 on billings of P400,000. No specific priority is given to any of the allocation criteria.



8. The net income of XY Partnership for 2021 amounted to P504,000. X is the managing partner. Assume that the partners agreed on the allocation of net income as follows:
- Bonus of 20% to X.
 - Salaries to X, P48,000 and Y, P72,000.
 - Interest on average capital balances: X, P14,400 and Y, P9,600.
 - Residual balance in net income be allocated to X and Y in the ratio of 2:1 ratio.

Requirement: Compute for the bonus assuming:

1. Bonus is based on net income before bonus, salaries and interest.
 2. Bonus is based on net income after bonus but before salaries and interest.
 3. Bonus is based on net income after bonus and salaries but before interest.
 4. Bonus is based on net income after bonus, salaries and interest.
 5. Bonus is based on net income after salaries but before bonus and interest.
 6. Bonus is based on net income after interest but before bonus and salaries.
 7. [Assume that P504,000 is income before tax] Bonus is based on income before bonus but after income tax (tax rate is 35%).
 8. [Assume that P504,000 is income before tax] Bonus is based on net income, that is, after bonus and income tax (tax rate is 35%).
9. X, Y and Z are partners in a business which manufactures calculators. Their profit and loss agreement has the following provisions:
- Salaries of P40,000, P20,000 and P45,000 for X, Y and Z, respectively.
 - Y will receive a bonus equal to 5% of sales in excess of P1,000,000. Annual sales revenue was P1,100,000.
 - All partners will receive a bonus of 10% of net income in excess of P150,000 after the total of all such bonuses.
 - Partners will be allocated interest on their weighted-average capital balance. Drawings in excess of annual salaries will be considered reduction in capital, interest is computed at the rate of 10%.
 - Remaining profits and losses will be allocated 35%, 25% and 40% to X, Y and Z, respectively.
 - Gains and losses from the sale of depreciable assets will be excluded from the above provisions and will be equally allocated among the partners.

Activity in the partners’ capital and drawing accounts during the year was as follows:

	X Capital	X Drawings	Y Capital	Y Drawings	Z Capital	Z Drawings
Beginning Balance	P75,000	P0	P125,000	P0	P40,000	P0
February 1		15,000		25,000	30,000	
March 31		10,000		5,000		15,000
June 1	10,000					
June 30		10,000		5,000		15,000
August 1						
September 30		10,000				15,000
Ending balance	P85,000	P45,000	P125,000	P35,000	P70,000	P45,000

The partnership generated net income of P200,000, including a gain on the sale of equipment of P15,000.

Requirement: Determine the respective shares of each partner on the net income for the year.



10. A partnership began its first year of operations with the following capital balances:

X, Capital	P143,000
Y, Capital	104,000
Z, Capital	143,000

The Articles of Partnership stipulated that profits and losses be assigned in the following manner. X was to be awarded an annual salary of P26,000 with P13,000 salary assigned to Z.

Each partner was to be attributed with interest equal to 10% of the capital balance as of the first day of the year. The remainder was to be assigned on a 5:2:3 basis, respectively. Each partner was allowed to withdraw up to P13,000 per year.

Assume that the net loss for the first year of operations was P26,000 with net income of P52,000 in the second year. Assume further that each partner withdrew the maximum amount from the business each year

Question 1: What was X’s share of loss for the first year?

- a. P3,900 loss

b. P11,700 loss
- c. P10,400 loss

d. P24,700 loss

Question 2: What was the balance in Y’s Capital account at the end of the first year?

- a. P120,900

b. P118,300
- c. P126,100

d. P80,600

Question 3: What was Z’s share of income or loss for the second year?

- a. P17,160 income

b. P4,160 income
- c. P19,760 income

d. P17,290 income

Question 4: What was the balance in X’s Capital account at the end of the second year?

- a. P133,380

b. P84,760
- c. P105,690

d. P132,860

11. Z joins the partnership of X and Y. The partnership’s statement of financial position before Z’s admission is as follows:

Cash	30,000	Accounts payable	80,000
Accounts receivable	140,000	X, Capital (60% interest in P/L)	515,000
Inventory	200,000	Y, Capital (40% interest in P/L)	275,000
Equipment	500,000		
Total assets	870,000	Total liabilities and equity	870,000

The following adjustments are determined:

- a. The recoverable amount of the accounts receivable is P120,000.

b. The inventory has a net realizable value of P160,000.

c. The equipment has a fair value of P450,000.

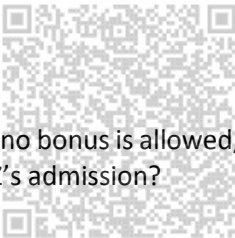
d. Unrecorded liabilities amount to P20,000.

Requirements: Compute for the capital balances and profit and loss ratios of the partners after Z’s admission for each of the following independent scenarios.

Scenario 1: Z acquires half of Y’s capital interest for P800,000.

Scenario 2: Z purchases 20% of X and Y’s capital interest for P800,000.

Scenario 3: Z wants to invest for a 20% in the net assets and profits of the partnership. If no bonus is allowed, how much should Z invest, and what would be the new P/L ratio of the partners after Z’s admission?



Scenario 4: Z invests P100,000 for a 20% interest in the net assets and profits of the partnership.

Scenario 5: Z invests P180,000 for a 20% interest in the net assets and profits of the partnership.

12. A and B have capital balances of P200,000 and P220,000, respectively before admission of C. Their profit and loss agreement was 35:65. C was to be admitted for 40% interest in the partnership and 20% in the profits and losses by contributing a used machine which had a cost of P205,000 and an appraised value of P180,000. After admission of C, A and B agreed to share profits and losses equally. At the end of the year the new partnership generated net income of P130,000.

Question 1: How much is the capital balance of B after admission of C?

- a. P174,500

b. P259,000
- c. P181,000

d. P240,000

Question 2: How much is the capital balance of A at the end of the year?

- a. P231,0000

b. P221,000
- c. P224,500

d. P247,000

Question 3: Assuming there is an implied undervaluation or overvaluation of an asset, how much is the undervaluation or overvaluation of the asset?

- a. P300,000 over

b. P150,000 over
- c. P300,000 under

d. P150,000 under

Question 4: Assuming there is an implied undervaluation or overvaluation of an asset, how much is the capital balance of B at the end of the year?

- a. P467,000

b. P77,000
- c. P369,500

d. P174,500

13. The capital balances of the partners in ABC Partnership on July 1, 2021 before any necessary adjustments are as follows:

A, Capital (20%)	P150,000
B, Capital (30%)	250,000
C, Capital (50%)	<u>100,000</u>
Total	P500,000

The partnership reported profit of P900,000 for the six months ended June 30, 2021.

Requirement: Compute for the partners’ adjusted capital balances under each of the following independent scenarios:

Scenario 1: On July 1, 2021, C withdrew from the partnership when he was bought out by his co-partners for P620,000 cash. The net assets of the firm as of this date approximate their fair values.

Scenario 2: C retired on July 1, 2021. The partnership settled c’s interest for P620,000 cash.



Scenario 3: C retired on July 1, 2021 and received cash of P500,000 and land with carrying amount of P100,000 and fair value of P300,000 from the partnership as settlement for his interest.

14. ABC Partnership is converted into a corporation on January 1, 2021. Relevant information are as follows:

	<u>Carrying amounts</u>	<u>Fair values</u>
Cash	P20,000	P20,000
Receivables	60,000	40,000
Inventory	80,000	70,000
Equipment	540,000	670,000
Payables	50,000	50,000
A, Capital (20%)	150,000	N/A
B, Capital (30%)	200,000	N/A
C, Capital (50%)	300,000	N/A

The corporation’s authorized capitalization is P2,000,000 divided into 200,000 ordinary shares with par value of P10 per share.

Requirement: Determine the number of shares to be issued to each partner.

Scenario 1: Assume that the shares to be issued to the partners are based on their respective adjusted capital balances.

Scenario 2: Assume that A, B and C agreed to be issued 14,000, 21,000 and 35,000 shares, respectively.

Scenario 3: Assume that the corporation was authorized to issue P100 par preference shares and P10 par ordinary shares. The partners agreed to receive 1,000 ordinary shares each and even multiples of preference shares for their remaining interest.

15. XY Partnership admits Z as a new partner. The Statement of Financial Position before the admission of Z is shown below:

Cash	26,000	Accounts payable	62,000
Accounts receivable	120,000	X, Capital (60% interest in P/L)	170,000
Inventory	180,000	Y, Capital (40% interest in P/L)	94,000
Total assets	326,000	Total liabilities and equity	326,000

The following adjustments are determined:

- a. The recoverable amount of the accounts receivable is P116,400.
- b. A P25,000 recovery of a previous write-down on the inventory should be recognized.
- c. Prepaid assets of P3,600 and accrued liabilities of P4,000 should be recognized.

Question 1: Z acquires half of Y’s interest in the partnership for P100,000. How much is the capital balance of Y after the admission of Z?

- a. P47,000
- b. P21,500
- c. P51,200
- d. P182,600



Question 2: Z invests P71,250 cash for a 20% interest in the net assets and profits of the partnership. Z's capital account is credited for the fair value of the 20% interest he acquired. How much is the capital balance of Y after the admission of Z?

- a. P102,400

b. P94,000
- c. P86,400

d. P120,400

Question 3: Z invests P100,000 cash for a 20% interest in the partnership's net assets and profits. If the bonus method is used, how much is the capital balance of Y after the admission of Z?

- a. P165,350

b. P111,600
- c. P100,000

d. P77,000

Question 4: If no bonus is allowed, how much should Z invest in order to obtain 2/5 interest in the partnership?

- a. P190,000

b. P185,000
- c. P285,000

d. P220,000

16. The partners in XYZ Company had the following capital balances and P/L sharing percentages: X (50%) P320,000; Y (30%) P192,000; and Z (20%) P128,000.

Question 1: X decided to retire and sold his interest to Y for P360,000. The entry on X's retirement included a

- a. Debit to Y's capital for P24,000

b. Debit to Z's capital for P16,000
- c. Credit to Y's capital for P360,000

d. Credit to Y's capital for P320,000

Question 2: X withdrew and the partnership paid him P360,000. How much is the capital balance of Z after X's withdrawal?

- a. P112,000

b. P116,800
- c. P168,000

d. P172,000

17. X and Y are partners sharing profits and losses in the ratio of 1:2, respectively. On July 1, 2021, they decided to form XY Corporation by transferring assets and liabilities from the partnership to the Corporation in exchange for its stocks. The following is the post-closing trial balance of the partnership:

	<u>Debit</u>	<u>Credit</u>
Cash	P 45,000	
Accounts receivable (net)	60,000	
Inventory	90,000	
Fixed Assets (net)	174,000	
Liabilities		P 60,000
X, Capital		94,800
Y, Capital		<u>214,200</u>
	<u>P369,000</u>	<u>P369,000</u>

It was agreed that adjustments be made to the following assets to be transferred to the corporation:

Accounts receivable	P40,000
Inventory	68,000
Fixed Assets	180,600

XY Corporation was authorized to issue P100 par preferred stock and P10 par common stock. X and Y agreed to receive for their equity in the partnership 720 shares of the common stock each, plus even multiples of 10 shares of preferred stock for their remaining interest. The total number of shares of preferred and common stock issued by the Corporation in exchange of the assets and liabilities of the partnership are

- | <u>Preferred Stock</u> | <u>Common Stock</u> | <u>Preferred Stock</u> | <u>Common Stock</u> |
|------------------------|---------------------|------------------------|---------------------|
| a. 2,540 shares | 1,500 shares | c. 2,642 shares | 1,440 shares |
| b. 2,592 shares | 1,440 shares | d. 2,642 shares | 1,550 shares |



18. On January 1, 2021, the partners of ABC Partnership decided to liquidate their partnership. The following information were made available:

Cash	P20,000
Accounts receivable	60,000
Inventory	120,000
Equipment, net	<u>300,000</u>
Total	P500,000
Accounts payable	P30,000
Payable to B	20,000
A, Capital (20%)	100,000
B, Capital (30%)	150,000
C, Capital (50%)	<u>200,000</u>
Total	P500,000

Requirement: Determine the amount of cash distributed to the partners under the two independent scenarios below.

Scenario 1: Information on the conversion of non-cash assets is as follows:

- a. P50,000 was collected on the accounts receivable, the balance is uncollectible.
- b. P70,000 was received for the entire inventory.
- c. The equipment was sold for P250,000.
- d. P2,000 liquidation expenses were paid.

Scenario 2: Using the same information above but assume that the partnership will be liquidated over a prolonged period of time. Distributions to the partners will be made as cash becomes available. Information on the first conversion of non-cash assets is as follows:

- a. 75% of the accounts receivable was collected for only P30,000.
- b. Half of the inventory was sold for P40,000.
- c. Equipment with carrying amount of P200,000 was sold for P120,000.
- d. Actual liquidation expenses of P2,000 were paid.
- e. Estimated future liquidation expenses totaled P1,000.
- f. P9,000 cash was retained in the business for potential unrecorded liabilities and anticipated expenses.

19. On January 1, 2021, the partners of ABC Partnership decided to liquidate their partnership. The following information were made available:

Cash	P20,000
Accounts receivable	60,000
Inventory	120,000
Equipment, net	<u>300,000</u>
Total	P500,000
Accounts payable	P30,000
Payable to B	20,000
A, Capital (20%)	100,000
B, Capital (30%)	150,000
C, Capital (50%)	<u>200,000</u>
Total	P500,000

The partnership will be liquidated on an installment basis. Distributions to owners will be made as cash becomes available:



January 2021:

The following transactions occurred in January 2021:

- a. 75% of the accounts receivable was collected for only P30,000.
- b. Half of the inventory was sold for P40,000.
- c. Equipment with carrying amount of P200,000 was sold for P120,000.
- d. P2,000 liquidation expenses were paid. Estimated future liquidation expenses totaled P1,000.
- e. P9,000 cash was retained in the business for potential unrecorded liabilities and anticipated expenses.

February 2021:

The following transactions occurred in February 2021:

- a. P10,000 was collected on the remaining accounts receivable, the balance was deemed uncollectible.
- b. The other half of the inventory was sold for P20,000.
- c. The remaining items of equipment were sold for P30,000.
- d. P10,000 liquidation expenses and previously unrecorded liabilities were paid.
- e. The liquidation process ended on February 28, 2021.

Requirement: Compute for the cash payments to the partners for January and February 2021 using:

- a. Safe Payments Schedule
- b. Cash Priority Program.

20. X and Y, who share in profits and losses in the ratio of 3:7, decided to liquidate their XY Partnership. The partner’s capital balances were P300,000 and P190,000, respectively.

Question 1: If all partnership assets and liabilities are realized and settled at their carrying amounts, how much will Y receive from the liquidation?

- a. P300,000
- b. P190,000
- c. P120,000
- d. P0

Question 2: The partnership has total liabilities of P200,000. If all partnership assets are realized for P500,000, how much will X receive from the liquidation?

- a. P243,000
- b. P57,000
- c. P300,000
- d. P133,000

Question 3: If after all partnership assets are realized and all liabilities are settled the partnership has remaining cash of P120,000, how much will Y receive from the liquidation?

- a. P189,000
- b. P120,000
- c. P69,000
- d. P0

Question 4: If on the final settlement of the partners’ claims Y received P99,000, how much did X receive?

- a. P261,000
- b. P234,000
- c. P89,000
- d. P0

21. The balance sheet for the X, Y and Z Partnership is as follows. Figures shown parenthetically reflect agreed profit and loss sharing percentages.

Assets		Liabilities and Capital	
Cash	P20,000	Liabilities	P50,000
Other assets	180,000	X, Capital (40%)	37,000
		Y, Capital (40%)	65,000
		Z, Capital (20%)	48,000
Total	<u>P200,000</u>	Total	<u>P200,000</u>

If the firm, as shown on the balance sheet, is dissolved and liquidated by selling assets in installments and if the first sale of noncash assets having a book value of P90,000 realizes P50,000 and all cash available after settlement with creditors is distributed, the respective partners would receive (to the nearest peso):

- | | | | | | |
|-----------|----------|----------|----------|----------|----------|
| <u>X</u> | <u>Y</u> | <u>Z</u> | <u>X</u> | <u>Y</u> | <u>Z</u> |
| a. P8,000 | P8,000 | P4,000 | c. P0 | P13,333 | P6,667 |
| b. P6,667 | P6,667 | P6,666 | d. P0 | P3,000 | P17,000 |

22. Assume that P3,000 cash is to be withheld, the respective partners would then receive (to the nearest peso):

- | | <u>X</u> | <u>Y</u> | <u>Z</u> | | <u>X</u> | <u>Y</u> | <u>Z</u> |
|----|----------|----------|----------|----|----------|----------|----------|
| a. | P6,800 | P6,800 | P3,400 | c. | P0 | P11,333 | P5,667 |
| b. | P5,667 | P5,667 | P5,666 | d. | P0 | P1,000 | P16,000 |

23. If each partner properly received some cash in the distribution after the second sale, if the cash to be distributed amounts to P12,000 from the third sale, and if unsold assets with P8,000 book value remain, ignoring previous questions, the respective partners would receive

- | | <u>X</u> | <u>Y</u> | <u>Z</u> |
|----|-------------------|-------------------|-------------------|
| a. | P4,800 | P4,800 | P2,400 |
| b. | P4,000 | P4,000 | P4,000 |
| c. | 37/150 of P12,000 | 65/150 of P12,000 | 48/150 of P12,000 |
| d. | P0 | P8,000 | P4,000 |

24. Partners X and Y have decided to liquidate their business. The following information is available

Assets		Liabilities and Capital	
Cash	P100,000	Accounts payable	P100,000
Inventory	200,000	X, Capital	120,000
		Y, Capital	<u>80,000</u>
Total	<u>P300,000</u>	Total	<u>P300,000</u>

X and Y share profits and losses in a 3:2 ratio. During the first month of liquidation, half the inventory is sold for P60,000, and P60,000 of the accounts payable is paid. During the second month, the rest of the inventory is sold and the remaining accounts payable are paid. Cash is distributed at the end of each month, and the liquidation is completed at the end of the second month.

Question 1: Using a safe payments schedule, how much cash will be distributed to X at the end of the first month?

- | | | | |
|----|---------|----|---------|
| a. | P64,000 | c. | P24,000 |
| b. | P60,000 | d. | P36,000 |

Question 2: Assume instead that the remaining inventory was sold for P10,000 in the second month. What payments will be made to X and Y at the end of the second month?

- | | <u>X</u> | <u>Y</u> | | <u>X</u> | <u>Y</u> |
|----|----------|----------|--|----------|----------|
| a. | P0 | P0 | | P5,000 | P5,000 |
| b. | P10,000 | P0 | | P6,000 | P4,000 |

25. A balance sheet for the partnership of X, Y and Z who share profits in the ratio of 2:1:1 shows the following balances before the liquidation

Cash	P12,000
Other assets	59,500
Liabilities	20,000
X, Capital	22,000
Y, Capital	15,500
Z, Capital	14,000

On the first installment of the liquidation, certain assets are sold for P32,000. Liquidation expenses of P1,000 are paid, and additional liquidation expenses are anticipated. Liabilities are paid amounting to P5,400, and sufficient cash is retained to ensure the payment to creditors before making payment to partners. On the first payment to partners, X receives P6,250.

Question 1: The total cash payment to partners in the first installment is

- | | | | |
|----|---------|----|---------|
| a. | P25,000 | c. | P12,500 |
| b. | P20,000 | d. | P10,000 |

Question 2: The amount of cash withheld for anticipated liquidation expenses and unpaid liabilities are

- | | | | |
|----|---------|----|---------|
| a. | P2,000 | c. | P16,600 |
| b. | P14,600 | d. | P17,600 |



PARTNERSHIP LIQUIDATION

Additional Exercises

PROBLEM 1

The partnership of A, B and C is currently undergoing liquidation. ABC Partnership has cash of P22,000, noncash assets with a book value of P264,000 and liabilities of P173,250.

The following information relate to the partners as of January 1, 2021:

- A has capital balance of P129,250, personal assets of P27,500, personal liabilities of P13,750.
- B extended a loan to the partnership in the amount of P13,750, deficit of P38,500, personal assets of P41,250, personal liabilities of P16,500.
- C has a capital balance of P8,250, personal assets of P68,750 and personal liabilities of P41,250.
- The profit and loss ratio of A, B and C is 3:1:1, respectively.

The following transactions happened in January:

- Assets with book value of P82,500 were sold for P55,000 cash. The proceeds were used to pay off liabilities of the partnership.
- The partners agreed to contribute personal assets, to whatever extent possible, in order to eliminate their respective deficits.
- Assets with book value of P55,000 and a fair value of P63,250 were distributed to A.
- Additional noncash assets with book value of P110,000 were sold for P148,500.

Requirement: Compute for the cash distributions to partners A, B and C.



PROBLEM 2

XYZ Partnership has the following account balances before liquidation:

Cash	P350,000	Liabilities	P1,125,000
Noncash assets	7,375,000	Loan from Z	50,000
Loan to Y	150,000	X, Capital (40%)	1,250,000
Receivable from X	20,000	Y, Capital (40%)	1,900,000
Expenses	2,230,000	Z, Capital (20%)	1,000,000
		Revenues	4,800,000

Some noncash assets were sold that resulted to a loss of P46,125. Liquidation expenses of P175,000 were paid and additional expenses amounting to P90,000 were expected to be incurred through the following months of liquidation the partnership. Liabilities to outsiders amounting to P875,000 were paid.

What is the book value of the noncash assets which were sold for Y to receive P555,550?

PROBLEM 3

The Statement of Financial Position of ABC Partnership is provided below:

Assets:		Liabilities and Equity:	
Cash	P15,000	Loan from B	P6,000
Non-cash assets	95,000	Liabilities	20,000
Receivable from A	5,000	A, Capital (15%)	33,000
Loan to C	4,000	B, Capital (55%)	25,000
		C, Capital (30%)	35,000
Total	P119,000	Total	P119,000

Question 1: If P40,000 of the book value of the non-cash assets are sold for P18,000, additional expenses of P2,500 are incurred and paid, cash withheld is P5,400, and all of the outside creditors are paid, how much is the total cash paid to partners during the first installment?

- a. P15,265
- b. P5,530
- c. P5,100
- d. P10,500

Question 2: During the first installment, the following data are relevant: P56,000 of the book value of the noncash assets are sold for P38,000; additional liquidation expenses of P12,000 are incurred and paid; all of the outside creditors are also paid. If A received P11,000 during the first installment, how much is the cash withheld?

- a. P8,500
- b. P10,000
- c. P9,500
- d. P10,500

-- End --



CORPORATE LIQUIDATION

- Liquidation is the process of selling off all the assets of an entity, settling its liabilities, distributing any remaining funds to shareholders, and closing it down as a legal entity.
- The liquidation process is a possible outcome of bankruptcy, which a company enters when it does not have sufficient funds to pay its creditors.
- A financial condition in which the sum of all debts is greater than all of its assets at a fair valuation.
- A bankruptcy filing can be voluntary or involuntary. A petition to liquidate a company can be made to the applicable court by creditors who have not been paid by the company; if granted, the business will involuntarily enter bankruptcy.

Roles

- **Creditors** - appoint a trustee to manage the debtor’s estate.
- **Trustees**
 - ✓ Continue operating the debtor’s business if directed by the court.
 - ✓ Realize free assets of the debtor’s estate.
 - ✓ Pay cash to the creditors.
- **Accountant** - proper reporting of the financial condition of the debtor and adequate accounting and reporting for the trustee.

Financial Statements

- **Statement of Affairs** - financial condition prepared for a corporation entering into the stage of liquidation or bankruptcy (Balance Sheet equivalent).
- **Assets**
 - ✓ **Assets pledged with fully secured creditors** - expected to realize an amount at least sufficient to satisfy the related debt.
 - ✓ **Assets pledged with partially secured creditors** - expected to realize an amount below the related debt.
 - ✓ **Free assets** - not pledged and are available to satisfy the claims of creditors with priority, partially secured creditors, and unsecured creditors.
- **Liabilities**
 - ✓ **Fully secured liabilities** – collateralized; expect to be paid in full as a result of having sufficient collateral to satisfy the indebtedness.
 - ✓ **Partially secured liabilities** – collateralized; the proceeds of which are expected to be insufficient to satisfy the indebtedness.
 - ✓ **Unsecured liabilities with priority** - with priority under the law. Examples are taxes,

liquidation expenses, trustees’ fees and salaries.

- ✓ **Unsecured liabilities without priority** - no collateral relating to their indebtedness.

- **Owner’s Equity**
 - ✓ Deficiency or Capital
- Estimated Recovery %, or dividend to general unsecured creditors = Net Free Assets / Total Unsecured Creditors

Statement of Realization and Liquidation

- An activity statement which shows the progress of the liquidation.
- It shows the actual transactions that transpired during the period covered (Income Statement equivalent).
- Bottomline is the net income or net loss during the period.

+	-
Assets to be Realized Identifies the individual assets to which the trustee has taken title from the debtor.	Assets Realized Identifies proceeds received from the conversion of specific assets.
Assets acquired Itemizes the assets discovered from operating activities during the period.	Assets not Realized Identifies the assets remaining with the trustee at the end of the reporting period.

Liabilities to be liquidated Identifies the liabilities that the trustee took responsibility at the date of appointment.	Liabilities Liquidated Identifies specific liabilities paid by the trustee.
Liabilities incurred Reflects those that remain to be paid by the trustee.	Liabilities not liquidated Reflects those that remain to be paid by the trustee.

Supplementary Charges (Excluding assets losses and write-offs)	Supplementary Credits (Revenue excluding gains on assets realization and liability settlements)
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STATEMENT OF AFFAIRS
DATE

<u>Book</u> <u>Value</u>	<u>Assets</u>	<u>Estimated</u> <u>Realizable Value</u>	<u>Free Assets</u>
Pxx	Assets Pledged to Fully Secured Creditors:	Pxx	
	Less: Liabilities to Fully Secured Creditors	xx	Pxx
xx	Assets Pledged to Partially Secured Creditors:	Pxx	
xx	Free Assets:	Pxx	xx
	Total Free Assets		Pxx
	Less: Unsecured Liabilities with Priority		xx
Pxx	Net Free Assets		Pxx
	Estimated deficiency to Unsecured Creditors		xx
	Total		Pxx

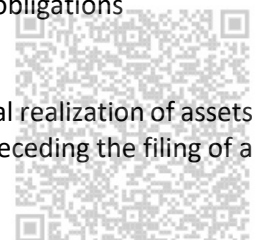
<u>Book</u> <u>Value</u>	<u>Liabilities and Equity</u>	<u>Creditor's Claim</u>	<u>Unsecured</u> <u>Liabiities</u>
Pxx	Fully Secured Creditors	Pxx	
xx	Partial Secured Creditors	Pxx	
	Less: Value of Pledged Assets	xx	Pxx
xx	Unsecured Creditors with Priority	Pxx	
xx	Unsecured Creditors without Priority:		xx
xx	Stockholder's Equity		Pxx
Pxx	Total		Pxx



CORPORATE LIQUIDATION

THEORY

1. In a Statement of Financial Affairs, a company's assets should be valued at
 - a. Historical cost
 - b. Net realizable value, if lower than historical cost
 - c. Replacement cost
 - d. Net realizable value, whether higher or lower than historical cost
2. In a Statement of Financial Affairs, a company's liabilities should be valued at
 - a. The present value of future cash flows
 - b. Net realizable value
 - c. The amount required for settlement
 - d. Replacement cost
3. In a Statement of Financial Affairs, a specific liability may be classified as
 - a. Current or long-term
 - b. Secured or unsecured
 - c. Monetary or nonmonetary
 - d. Direct or indirect
4. A Statement of Financial Affairs a corporation in financial difficulty indicates that unsecured creditors would receive a percentage of their claims. Which one of the following assets is most likely to realize the smallest percentage of its book value?
 - a. Accounts receivable
 - b. Inventories
 - c. Plant and equipment
 - d. Goodwill
5. The estimated deficiency to unsecured creditors without priority is computed as
 - a. Net free assets less total unsecured liabilities without priority
 - b. Net free assets divided by total unsecured liabilities without priority
 - c. Total assets at realizable values less total liabilities at expected net settlement amounts
 - d. A or C
6. In a Statement of Affairs
 - a. Assets pledged with partially secured creditors are shown on the asset side of the statement and as a deduction on the liability side of the statement
 - b. Assets pledged with fully secured creditors are shown only on the liability side of the statement
 - c. Liabilities owed to fully secured creditors are shown only on the asset side of the statement
 - d. Liabilities owed to partially secured creditors are shown on the asset side of the balance sheet and as a deduction on the liability side of the statement
7. The recovery percentage is calculated by which of the following formulas?
 - a. Estimated amount available for unsecured creditors with/without priority divided by total claims of unsecured creditors with/without priority
 - b. Estimated realizable value of all debtor assets divided by book value of debtor assets
 - c. Estimated gain/loss on liquidation divided by total estimated net realizable value of debtor assets
 - d. Net estimated proceeds available to unsecured creditors divided by total claims of unsecured creditors
8. A corporation's Statement of Affairs shows a recovery percentage of 115%. This means
 - a. Secured creditors will receive an amount in excess of the book value of their claims
 - b. Unsecured creditors will receive an amount in excess of the book value of their claims
 - c. Stockholders may expect some return on their interests
 - d. An error was made in the preparation of the statement
9. What are free assets?
 - a. Assets for which net realizable value is greater than historical cost
 - b. Assets for which no market exists
 - c. Assets for which replacement cost is greater than historical cost
 - d. Assets available to be distributed for liabilities with priority and other unsecured obligations
10. All of the following items are liabilities with priority except
 - a. Obligations arising between the date an order of relief is issued and the date of final realization of assets
 - b. Employee claims for contributions to benefit plans earned more than 180 days preceding the filing of a petition
 - c. Government claims for unpaid taxes
 - d. Claims for the return of deposits made by customers to acquire property or services, which were never delivered or provided by the debtor



PROBLEMS

1. Company X filed a voluntary bankruptcy petition, and the Statement of Affairs reflected the following amounts:

<u>Assets</u>	<u>Estimated Book Value</u>	<u>Current Value</u>
Assets pledged with fully secured creditors	P900,000	P1,110,000
Assets pledged partially secured creditors	540,000	360,000
Free assets	<u>1,260,000</u>	<u>960,000</u>
	<u>P2,700,000</u>	<u>P2,430,000</u>
<u>Liabilities</u>		
Liabilities with priority	P210,000	
Fully secured creditors	780,000	
Partially secured creditors	600,000	
Unsecured creditors	<u>1,620,000</u>	
	<u>P3,210,000</u>	

Assume the assets are converted to cash at their estimated current values. What amount of cash will be available to pay unsecured non-priority claims?

- a. P720,000

b. P840,000
- c. P960,000

d. P1,080,000
2. Company X recently petitioned for bankruptcy and is now in the process of preparing a Statement of Affairs. The carrying values and estimated fair values of the assets of Company X are as follows:

	<u>Carrying Value</u>	<u>Fair Value</u>
Cash	P20,000	P20,000
Accounts receivable	45,000	30,000
Inventory	60,000	35,000
Land	75,000	70,000
Buildings (net)	180,000	100,000
Equipment (net)	<u>170,000</u>	<u>80,000</u>
	<u>P550,000</u>	<u>P335,000</u>

Liabilities of Company X are as follows:

Accounts payable	P60,000
Wages payable (all have priority)	10,000
Taxes payable	10,000
Notes payable (secured by receivable and inventory)	120,000
Interest on Notes Payable	6,000
Bonds Payable (secured by land and building)	150,000
Interest on Bonds Payable	<u>7,000</u>
Total	<u>P363,000</u>

Question 1: What is the total amount of unsecured claims?

- a. P93,000

b. P113,000
- c. P121,000

d. P126,000

Question 2: What estimated amount will be available for general unsecured creditors upon liquidation?

- a. P28,000

b. P93,000
- c. P113,000

d. P121,000

Question 3: What is the estimated dividend percentage?

- a. 23%

b. 93%
- c. 77%

d. 68%



3. Company X’s financial position before the start of its liquidation is as follows:

<u>Assets</u>		<u>Liabilities and Equity</u>	
Cash	100,000	Accounts payable	1,600,000
Accounts receivable	600,000	Income tax payable	900,000
Inventory	1,560,000	Note payable (secured by equipment)	1,000,000
Land	800,000	Loan payable (secured by land and building)	1,200,000
Building	1,200,000	Share capital	2,000,000
Equipment, net	<u>400,000</u>	Retained earnings (deficit)	<u>(2,040,00)</u>
Total	<u>4,660,000</u>	Total	<u>4,660,000</u>

Additional information:

- a. Only 60% of the accounts receivable is collectible.
- b. The entire inventory is expected to be sold half of the price.
- c. The land and building are expected to be sold at a lump sum price of P2,300,000.
- d. The equipment is expected to be sold at carrying amount but after refurbishment costs of P70,000.
- e. Certain accounts payable are measured gross of P23,000 cash discount which X intends to take. A supplier waived repayment of a P420,000 account.
- f. The taxing authority gave a six-month tax amnesty to settle the tax liability for P780,000.
- g. Interests of P80,000 and P70,000 are expected to be paid on the note and loan, respectively.
- h. Liquidation costs of P120,000 are expected to be incurred.
- i. SSS, Philhealth and Pag-ibig contributions of P160,000, not reflected on the balance sheet above, are expected to be paid.

Question 1: How much is the estimated deficiency to unsecured creditors without priority?

- a. P567,000
- b. P697,000
- c. P767,000
- d. P817,000

Question 2: How much are the net free assets?

- a. P1,210,000
- b. P1,570,000
- c. P1,907,000
- d. P2,207,000

Question 3: How much total amount can the issuer of the note payable expect to receive?

- a. P693,018
- b. P729,078
- c. P805,875
- d. P908,127

Question 4: Mr. X, an unsecured creditor without priority, has a claim of P80,000. How much can Mr. X expect to recover on his claim?

- a. P33,513
- b. P43,135
- c. P49,260
- d. P50,760

4. Company X’s financial position before its liquidation is as follows:

<u>Assets</u>		<u>Liabilities and Equity</u>	
Cash	100,000	Accounts payable	1,600,000
Accounts receivable	600,000	Loan payable	1,500,000
Inventory	900,000	Share capital	2,000,000
Equipment, net	<u>400,000</u>	Retained earnings (deficit)	<u>(3,100,000)</u>
Total	<u>2,000,000</u>	Total	<u>2,000,000</u>

Transactions in the first quarter of liquidation are as follows:

- a. 90% of the accounts receivable were collected. Commission of third party collectors amounted to P108,000. The collectors expect to collect the remaining receivables in the next quarter.
- b. Half of the inventory was sold at 80% of carrying amount. The other half is expected to be sold at 60% of carrying amount.
- c. The equipment was sold for P380,000 after it was refurbished for P50,000.
- d. P100,000 accounts payable were paid.

- e. Employee termination benefits of P100,000 were recorded and P80,000 of that amount were paid.
- f. The lender accepted P1,000,000 as full payment of the loan.
- g. Liquidation costs of P50,000 were paid.
- h. Scrap materials from clearing the warehouse were sold for P10,000.

Question 1: How much “assets realized” is presented on Company X’s Statement of Realization and Liquidation?

- a. P1,122,000
- b. P1,212,000
- c. P1,312,000
- d. P1,321,000

Question 2: How much net gain (loss) is reported on Company X’s Statement of Realization and Liquidation?

- a. P178,000
- b. (P178,000)
- c. P192,000
- d. (P192,000)

Question 3: How much is the ending balance of cash?

- a. P1,800
- b. P2,000
- c. P5,000
- d. P0

5. Company X has been undergoing liquidation since January 1. As of March 31, it’s condensed Statement of Realization and Liquidation is presented below

Assets:	
Assets to be realized	P1,375,000
Assets acquired	750,000
Assets realized	1,200,000
Assets not realized	1,375,000
Liabilities:	
Liabilities liquidated	P1,875,000
Liabilities not liquidated	1,700,000
Liabilities to be liquidated	2,250,000
Liabilities assumed	1,625,000
Revenues and Expenses:	
Supplementary charges/debits	P3,125,000
Supplementary credits	2,800,000

Question 1: The net gain(loss) for the three-month period ending March 31 is

- a. P250,000
- b. (P325,000)
- c. P425,000
- d. P750,000

Question 2: Compute the ending cash balance of cash account assuming that common stock and deficits are P1,500,000 and P500,000 respectively

- a. P425,000
- b. P575,000
- c. P1,325,000
- d. P1,375,000



CORPORATE LIQUIDATION

Additional Exercise

ABC Corporation is in the process of liquidating all its assets. The following information are available:

- a. Bonds payable amounting to P73,600 is secured by inventory with book value of P123,000 and net realizable value of $\frac{2}{3}$ of the recorded amount.
- b. Of the P195,600 accounts payable, P55,000 is secured by equipment with a carrying amount of P76,800 which is 70% realizable.
- c. Building with a carrying amount of P129,000 has a net realizable value of P99,000.
- d. Other unrecorded liabilities are accrued interest payable on bonds, P3,100; salaries payable, P17,400; taxes payable, P11,600; and trustee's fee, P8,500.
- e. Cash available prior to liquidation amounts to P11,900.
- f. Total assets of ABC Corporation presented in the Statement of Financial Position prior to liquidation amounts to P480,000.
- g. Except for prepaid expenses and goodwill with recorded amounts of P7,600 and P22,000 respectively, remaining assets other than those whose realizable values were mentioned above have a realizable value of 60% of the recorded amount.
- h. Total liabilities of ABC Corporation presented in the Statement of Financial Position prior to liquidation amounts to P380,000.

Compute for the following:

1. Recovery percentage
2. Net free assets
3. Estimated deficiency
4. Payment to fully secured creditors
5. Payment to partially secured creditors
6. Payment to unsecured creditors with priority
7. Payment to unsecured creditors without priority

Final answers:

1. 57.21%
2. P144,520
3. P108,120
4. P76,700
5. P54,469
6. P37,500
7. P143,826 ($P251,400 \times 57.21\%$) – the unsecured portion of partially secured of P1,240 must not be included in the computation.



-- End --

HOME OFFICE AND BRANCH

- Branches are established to decentralize operations or to expand into new markets.
- Branches are with regulated autonomy to operate as an independent entity.
- The branch has its own complete set of accounting records, all its transactions including those with the home office are recorded in its books.
- It also presents its own set of financial statements called separate financial statements.
- A branch and its home office represent two accounting systems but just one accounting and reporting entity.
- All entries in the accounting records of the branch are also entered, at least in summary form, in the accounting records of the home office.
- The records of the home office and the branch are linked by two reciprocal entities, the Home Office account (an equity account) in the books of branch and the Investment in Branch account (an asset account) in the books of the Home Office.
- Because they are reciprocal, it means that the two accounts always have the same balance although the Investment in Branch is a debit account and the Home Office is a credit account. The two accounts frequently show different balances on a temporary basis due to errors and items in transit.

ILLUSTRATIVE JOURNAL ENTRIES:

Transactions	Home Office		Branch	
1) Transfer of cash from Home Office	Investment in Branch	xx	Cash	xx
	Cash	xx	Home Office Equity	xx
2) Transfer of cash from the Branch	Cash	xx	Home Office Equity	xx
	Investment in Branch	xx	Cash	xx
3) Transfer of merchandise from HO at cost	Investment in Branch	xx	Shipment from HO	xx
	Shipment to branch	xx	HO Equity	xx
4) Transfer of merchandise from HO Above cost	Investment in Branch	xx	Shipment from HO	xx
	Allowance for OV	xx	HO Equity	xx
	Shipment to Branch	xx		
5) Payment by HO of branch expenses	Investment in Branch	xx	Expenses	xx
	Cash	xx	HO Equity	xx
6) Allocation of paid branch expenses	Investment in Branch	xx	Expenses	xx
	Expenses	xx	HO Equity	xx
7) Transfer of fixed assets from HO to Branch	Memo entry		Memo entry	
8) Take up branch profit	Investment in Branch	xx	Income Summary	xx
	Branch Income	xx	HO Equity	xx
9) To take up Branch loss	Branch loss	xx	HO Equity	xx
	Investment in Branch	xx	Income Summary	xx
10) To adjust the reported branch net income for realized allowance	Allowance for overvaluation	No entry		
	Branch Income			

INTERBRANCH TRANSFERS:

- Detailed computation of realized allowance for overvaluation thru sales by branch to outsiders during the period:

	Billed Price	Cost Price	Mark-up on Cost
Branch beginning inventory (from HO)	xx	xx	xx
Current shipments (from HO)	xx	xx	xx
Branch ending inventory (from HO)	(xx)	(xx)	(xx)
Cost of goods sold	xx	xx	xx

- $\text{Cost} = \frac{\text{Billed price}}{100\% + \% \text{ markup on cost}} = \frac{\text{Markup on cost}}{\% \text{ markup on cost}}$. The amount of allowance considered realized will be the allowance carried by the cost of goods sold.
- There are two pricing methods used by the home office in billing the branch for merchandise transfers:
 - ✓ **Billed at cost.** The merchandise is transferred at cost when the branch sells the merchandise; the entire gross margin is included in the net branch income.
 - ✓ **Billed at cost plus markup.** The merchandise is transferred at an amount between cost and the selling price. The intermediate pricing method allocates part of the gross margin to the branch and the remainder to the home office.
- Working paper adjustments and eliminations guidelines are as follows:
 - ✓ Eliminate intercompany balances from the combined statements to avoid redundancy.
 - ✓ Adjust some items in the cost of sales section of the branch net income statement to their true cost as a consequence of the billing policy not equal to cost.

- The working paper adjustment/elimination entries are as follows:

Billed at cost		Billed above costs	
HO Equity	xx	HO Equity	xx
Investment in Branch	xx	Investment in Branch	xx
Accounts Payable	xx	Accounts Payable	xx
Accounts Receivable	xx	Accounts Receivable	xx
Shipment to Branch	xx	Shipment to Branch	xx
Shipment from Head Office	xx	Allowance for Overvaluation	xx
		Shipment from HO	xx
		Allowance for Overvaluation	xx
		Branch beginning inventory	xx
		Branch ending inventory (Income Statement)	xx
		Branch ending inventory (Balance Sheet)	xx

- When a company is composed of a home office and more than one branch, the home office records include a separate investment in branch account and a separate allowance for overvaluation account for each branch. Separate worksheet adjustments are made for each branch.
- When assets are transferred from one branch to another branch, the home office account on each branch's records is used to record the transfers. The transferring branch reverses the entry to record the transfer from the home office, and the receiving branch enters a transfer as if it comes from the home office.



-- End --

HOME OFFICE AND BRANCH

THEORY

1. The “Investment in Branch” and “Home Office” accounts are best described as

a. Contra accounts

b. Adjunct accounts

c. Reciprocal accounts

d. Investment accounts
2. The “Home Office” ledger account in the accounting records of a branch is best compared to

a. An equity account

b. A revenue account

c. A liability account

d. A deferred revenue account
3. For external reporting, the individual financial statements of the home office and branch are combined

a. By using complex consolidation procedures

b. By recognizing the home office’s own assets, liabilities, income and expenses plus its share in the branch’s assets, liabilities, income and expenses

c. By adding together similar items of assets, liabilities, income and expenses

d. By adding together similar items of assets, liabilities, income and expenses and eliminating reciprocal accounts
4. In preparing the combined financial statements of the home office and its various branches

a. Both reciprocal and non-reciprocal accounts are combined

b. Both reciprocal and non-reciprocal accounts are eliminated

c. Reciprocal accounts are eliminated but non-reciprocal accounts are combined

d. Reciprocal accounts are combined but non-reciprocal accounts are eliminated
5. Which of the following accounts would be shown in the combined financial statements of the home office and branch

a. Investment in branch account

b. Allowance for unrealized gross margin in branch inventory

c. Home office account

d. None of the above
6. The main difference between the net income reported in the separate income statement of the branch and the net income reported by the home office for the branch’s operation is the

a. Overstatement of beginning and ending inventory reported by the branch

b. Overstatement of total goods available for sale reported by the branch

c. Overstatement of costs of goods sold reported by the branch

d. Overstatement of shipment from home office reported by the branch
7. Which represents the proper journal entry for a periodic inventory system that should be made on the books of the home office when goods that cost the home office P100,000 to manufacture are shipped to a branch at a transfer price of P125,000 and the billed price is not recorded in the shipments to branch account?

a. Investment in Branch

Shipments to branch

P100,000

P100,000

b. Investment in Branch

Shipments to branch

P125,000

P125,000

c. Investment in Branch

Shipments to branch

Unrealized profit

P125,000

P100,000

25,000

d. Shipment to branch

Unrealized profit

Shipments from home office

P100,000

25,000

P125,000

8. Which of the following statements is/are true regarding sales agency and branch?

I. A sales agency is not a self-contained business but rather acts only on behalf of the home office

II. A branch is a self-contained business which acts independently, but within the bounds of the company policy and subject to the control of the home office

a. I only

b. II only

c. I and II

d. Neither I nor II

PROBLEMS

1. Selected information from the trial balances of the home office and the branch of Katherine Company on December 31, 2021 is provided. The branch acquires merchandise from the home office and outside suppliers.

	Home Office	Branch
Sales	P60,000	P30,000

Shipments to branch	8,000	
Allowance for overvaluation of branch inventory	3,600	
Shipments from home office		10,000
Purchase (outsiders)	35,000	5,500
Merchandise inventory 12/01/2021	20,000	15,000
Expenses	14,000	6,000

Additional information:

Merchandise inventory, December 31, 2021:

Home office	P20,000
Branch (P7,500 from home office and P2,500 from outsiders)	10,000

Question 1: The billing rate of home office to branch for merchandise shipments is

- a. 120% of cost

b. 125% of cost
- c. 130% of cost

d. 135% of cost

Question 2: How much of the December 1 inventory of the branch represent purchases from outsiders and goods shipped from home office

- a. Home office, P5,000 and Outsiders, P10,000

c. Home office, P8,000 and Outsiders, P7,000
- b. Home office, P15,000 and Outsiders, P00,000

d. Home office, P12,000 and Outsiders, P3,000

Question 3: The net income reported by the branch is

- a. P4,500

c. P3,500
- b. P5,600

d. P2,500

Question 4: The combined net income for Home office and branch operations is

- a. P22,500

c. P25,100
- b. P24,600

d. P21,500

2. The following data were provided by the accountants of the Home Office and Branch for the year ended December 31, 2021:

	Home Office Book	Branch Book
Net sales to outside customer	1,000,000	800,000
Beginning inventory	300,000	140,000
Net purchases from outside supplier	800,000	250,000
Shipment to branch	400,000	
Shipment from Home Office		500,000
Ending inventory	100,000	200,000
Operating expenses	200,000	100,000

- It is the policy of the company to use specific identification for inventory.
- For the year ended December 31, 2020, the Home Office bills its branch with a gross profit rate of 40% based on cost.
- Half of the beginning inventory of the branch was acquired from outside suppliers.
- The ending inventory of the branch is broken down as follows:
 - 60% from outside suppliers
 - 26% from 2021 shipment from home office
 - 14% from 2020 shipment from home office

Question 1: What is the net income of the branch in its books for the year ended December 31, 2021?

- a. P77,000

b. P10,000
- c. P7,000

d. P8,000

Question 2: What is the cost of goods sold of the branch in the combined statements for the year ended December 31, 2021?

- a. P588,400

b. P690,000
- c. P594,600

d. P589,600



Question 3: What is the combined net income to be presented by the Home Office in the Statement of Comprehensive Income for the year ended December 31, 2021?

- a. P210,000

b. P311,600
- c. P314,000

d. P219,800

Question 4: What is the balance of the unrealized profit in branch ending inventory on December 31, 2021?

- a. P16,000

b. P17,300
- c. P15,600

d. P18,400

3. The following information is extracted from the books and records of Elaine Company and its branch. The balances are as of December 31, 2021 of the company’s operations.

	Home Office	Branch
Sales		P260,000
Shipments to branch	P 78,000	
Shipments from home office		104,000
Purchases		39,000
Expenses		78,000
Inventory, January 1, 2021		26,000
Allowance for overvaluation of branch inventory	31,200	

However, no shipments in transit between home office and the branch were made. Both shipments accounts are properly recorded. The ending inventory includes merchandise acquired from the home office amounting to P26,000 and P7,800 from outsiders for a total of P33,800.

Question 1: What is the realized profit in branch inventory?

- a. P21,000

b. P31,200
- c. P22,533

d. P24,700

Question 2: What is the amount of branch merchandise beginning inventory that was acquired from the home office?

- a. P14,000

b. P19,000
- c. P15,600

d. P20,800

4. Anjelah Corporation has one branch operation located 500 miles away from the home office. The branch office sales merchandise which is shipped to it from the home office. The merchandise is transferred at cost, but the branch pays reasonable freight charges. The branch office makes sales and incurs and pays operating expenses. At the end of the current accounting period the true adjusted balance for the home office account on the branch’s books and the branch office account on the home office’s books is P500,000.

The following items may or may not be reconciling items. The current year is 2020.

- The home office has shipped merchandise to the branch office which cost P10,000 and which incurred P500 freight charges paid by the home office but charged to the branch. This merchandise is received by the branch on January 5, 2021.
- The branch has transmitted P17,000 in cash back to the home office as a partial payment on such purchased merchandise. This cash is received by the home office on January 6, 2021.
- The branch office returns some defective merchandise to the home office. The cost of the returned merchandise is P750. The branch office pays P25 of freight costs which will be charged back to the home office.
- On December 31, 2021, the home office sends a check for P25,000 to replenish the branch’s charged back to the home office.
- The branch pays an advertising expense of P800 that should have been paid by the home office since it applied to advertising fees incurred by the home office of its own benefit.
- The home office allocated P12,000 of general and administrative expenses to the branch. The branch had not entered the allocation as of the end of the year.
- The home office pays insurance premiums on the branch store. The amount paid by the home office is P1,000 but the branch erroneously records it as P776.

Question 1: What is the unadjusted balance of the Home Office account?

- a. P481,425
- b. P452,276
- c. P500,000
- d. P518,575

Question 2: What is the unadjusted balance of the Branch account?

- a. P433,701
- b. P500,000
- c. P518,575
- d. P452,276

5. Jensen Company has a branch in Baguio and Davao. The reciprocal accounts between the home office and the branches were in agreement at the beginning of 2021. However as of December 31, 2021, the following reciprocal balances are found in the home office books:

Investment in Baguio	P186,500
Investment in Davao	84,000

Data for reconciliation of the reciprocal accounts are as follows:

- On December 29, 2021, the home office has instructed Baguio to transfer P74,000 cash to Davao. Baguio recorded this transaction immediately. Upon receipt, Davao has recorded this transfer at P47,000. The home office however has not yet recorded this interbranch transaction as of the end of the year.
- Jensen has transferred goods costing P28,900 to Baguio branch and paid P2,500 of shipping cost on December 16, 2021. Baguio shipped all of these goods to Davao upon instruction of the home office on December 30, 2021. Shipping cost is P3,600 freight collect. Had the goods been shipped directly to the Davao, P5,000 of freight cost should have been incurred. The interbranch shipment was not recorded by the branches and the home office as well.
- Baguio has collected cash of P5,750 from Davao’s customer. This transaction is not yet recorded by Davao and the home office.
- The home office has already allocated P11,000 and P9,000 of administrative expenses to Baguio and Davao, respectively. The branches are not yet notified.
- Baguio remitted P14,300 cash to the home office on December 12, 2021. The home office has failed to record the said remittance.
- Davao returned goods costing P6,850 to the home office. The goods were shipped on December 19 and received on December 24, but no entries have been made in the home office books.

Question 1: Unadjusted balance of Home Office Current account in Baguio’s books

- a. P52,150
- b. P87,200
- c. P107,250
- d. P92,950

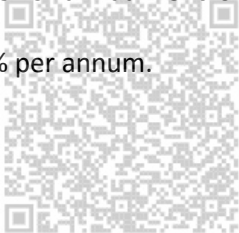
Question 2: Unadjusted balance of Home Office Current account in Davao’s books

- a. P236,250
- b. P122,000
- c. P115,150
- d. P84,850

6. On October 1, 2021, the Greenbelt Main Office established a sales agency in Ortigas.
- The main office sent samples of its merchandise amounting to P8,400 and a working fund amounting to P72,000 to be maintained on the imprest basis.
 - The samples sent were intended to last until June 1, 2022. During the first two months of operations, the agency transmitted to the home office sale of goods costing P291,600, but the home office were not able to fill-up 25% of the said transmitted sales orders.
 - Collections from customers amounted to P73,941, net of 2% sales discount.
 - Payments made by the agency during October and November were as follows: annual rent of P57,600, advertising expense worth P5,600 and utilities amounting to P7,200.
 - It also purchased an equipment worth P9,000 which will be depreciated at 20% per annum.
 - The gross profit rate on sales agency order is 20% of gross sales.

Compute the net income of the agency for the two months ended November 30, 2021

- a. P17,431
- b. P28,366
- c. P29,875
- d. P26,866



JOB ORDER COSTING

Cost Accounting Systems

- Cost accounting involves the measuring, recording, and reporting of product costs. From the data accumulated, companies determine both the total cost and the unit cost of each product.
- There are two basic types of cost accounting systems:
 - ✓ A job order system where the company assigns costs to each job or to each batch of goods.
 - ✓ A process cost system used when a company manufactures a large volume of similar products.

Job Order Cost Flow

- The flow of costs (direct materials, direct labor, and manufacturing overhead) in job order cost accounting parallels the physical flow of the materials as they are converted into finished goods.
- There are two major steps in the flow of costs:
 - ✓ Accumulating the manufacturing costs incurred; these costs are accumulated in three accounts:
 - Raw Materials Inventory
 - Factory Labor
 - Manufacturing Overhead
 - ✓ Assigning the accumulated costs to Work in Process Inventory (WIP) and eventually to Finished Goods Inventory (FG) and Cost of Goods Sold (COGS).
- Three entries are made to accumulate the manufacturing costs incurred.
 - ✓ When the company receives the raw materials it has purchased, it debits the costs of the materials to Raw Materials Inventory.
 - ✓ The cost of factory labor consists of gross earnings of factory workers, employer payroll taxes, and fringe benefits (sick pay, pensions, and vacation pay) incurred by the employer.
 - ✓ Companies debit labor costs to Factory Labor as they incur those costs. Factory labor is assigned to Work in Process and manufacturing overhead at the end of the period.
 - ✓ A company may record overhead costs periodically through adjusting entries by debiting Manufacturing Overhead. Manufacturing Overhead is a control account and the subsidiary ledger consists of individual accounts for each type of cost (factory utilities, factory repairs, etc.).

DEFECTIVE GOODS

- Components of rework cost:
 1. Direct material
 2. Direct labor
 3. Manufacturing overhead
- CASE 1: If the rework costs are charged to the entity/to all production/internal failure.

Total cost of goods	xxxx
Divide: Good units*	xxxx
Cost per unit	xxxx

*Good units = Total units
- Note: Rework costs will be charged to manufacturing overhead (MOH) and will be an actual overhead (OH).

- The journal entry to record the incurrence of rework costs is provided as follows:

MOH (Rework costs)	xxx	
Raw materials		xxx
Salaries payable		xxx
MOH		xxx

- CASE 2: Charged to customer/ "exacting specification"/specific job

Total cost of goods	xxxx
Rework costs	xxxx
Cost transferred to FG	xxxx
Divide: Good units	xxxx
Cost per unit	xxxx

- Note: Rework costs will be included in the costs transferred to FG.
- The journal entry to record the incurrence of rework costs is provided as follows:

MOH (Rework costs)	xxx	
Raw materials		xxx
Salaries payable		xxx
MOH		xxx

SPOILED GOODS

- | | |
|-----------------|--------|
| NRV of spoiled | xxxx |
| Cost of spoiled | (xxxx) |
| Loss | xxxx |
| Total units | xxxx |
| Spoiled units | (xxxx) |
| Good units | xxxx |
- CASE 1: If the rework costs are charged to the entity/to all production/internal failure.

Total Cost of Goods*	xxxx
Cost of Spoiled	(xxxx)
Cost transferred to FG	xxxx
Divide: Good units	xxxx
Cost per unit	xxxx

* include allowance to cost

- Note: Loss will be charged to manufacturing overhead (MOH) and will be an actual overhead (OH).
- The journal entry to record the incurrence of loss is provided as follows:

Spoiled goods (NRV)	xxx	
MOH (Loss)	xxx	
WIP		xxx
- CASE 2: Charged to customer/ "exacting specification"/specific job

Total Cost of Goods	xxxx
NRV of Spoiled	(xxxx)
Cost transferred to FG	xxxx
Divide: Good units	xxxx
Cost per unit	xxxx
- Note: Loss will be included in the costs transferred to FG.
- The journal entry to record the incurrence of loss is provided as follows:

Spoiled goods (NRV)	xxx	
WIP		xxx

-- End --

JOB-ORDER COSTING

THEORY

1. The two basic types of cost accounting systems are

a. Job order and job accumulation systems

b. Job order and process cost systems

c. Process cost and batch systems

d. Job order and batch systems
2. Two basic costing systems for assigning costs to products or services are job order and process costing. These two costing systems are usually viewed as being on opposite ends of a spectrum. The fundamental criterion employed to determine whether job costing or process costing should be employed is

a. Proportion of direct (traceable) costs expended to produce the product or service

b. Number of cost pools employed to allocate the indirect costs tot eh product or service

c. Type of bases used in allocating the indirect cost pools to the product or service

d. The nature and amount of the product or service brought to the marketplace for customer consumption
3. Job order costing and process costing have which of the following characteristics?

<u>Job Order Costing</u>	<u>Process Costing</u>
a. Homogeneous products and large quantities	Heterogeneous products and small quantities
b. Homogeneous products and small quantities	Heterogeneous products and large quantities
c. Heterogeneous products and large quantities	Homogeneous products and small quantities
d. Heterogeneous products and small quantities	Homogeneous products and large quantities
4. Which of the following would be accounted for using a job order cost system?

a. The production of personal computers

b. The production of automobiles

c. The refining of petroleum

d. The construction of a new campus building
5. In a job cost system, the application of factory overhead is usually reflected in the general ledger as an increase in

a. Factory overhead control

b. Finished goods control

c. Work in process control

d. Cost of goods sold
6. When a job is completed and all costs have been accumulated on a job cost sheet, the journal entry that should be made is

a. Finished Goods Inventory	c. Raw Materials Inventory
Direct Materials	Work in Process Inventory
Direct Labor	
Manufacturing Overhead	
b. Work In Process Inventory	d. Finished Goods Inventory
Direct Materials	Work in Process Inventory
Direct Labor	
Manufacturing Overhead	
7. Spoiled units are

a. Units that cannot be economically reworked to bring them up to standard

b. Units that can be economically reworked to bring them up to standard

c. The same as defective units

d. Considered abnormal losses
8. Normal spoilage is defined as unacceptable production that

a. Arises because of a special job or process

b. Occurs in on-going operations

c. Is caused specifically by human error

d. Is in excess of that which is expected
9. Abnormal spoilage is

a. Spoilage that is forecasted or planned

b. Spoilage that is in excess of planned

c. Accounted for as a product cost

d. Debited to Cost of Goods Sold
10. Which of the following statements concerning spoilage in a job-order costing is correct?

a. The cost of abnormal spoilage is recorded as period cost or expense

- b. When normal spoilage occurs because of the specification of a particular job, cost of normal loss shall be capitalized to that specific job reduced by the current disposal value/net realizable value of the spoiled units
 - c. When normal spoilage is a characteristic of a given production cycle, the cost of normal loss is not charged to a specific job but will be closed to manufacturing overhead control account
 - d. All of the above
11. Which of the following statements concerning rework costs in a job-order costing is correct?
- a. If the normal rework cost is attributable to a specific job, it shall be capitalized to that particular job
 - b. If the normal rework cost is common to all jobs, it shall be debited to manufacturing overhead control account
 - c. If the rework cost is abnormal, it shall be recorded as a period cost or expense
 - d. All of the above
12. When the amount of overapplied factory overhead is significant, the entry to close overapplied factory overhead will most likely require
- a. A debit to cost of goods sold
 - b. Debits to cost of goods sold, finished goods inventory, and work in process inventory
 - c. A credit to cost of goods sold
 - d. Credits to cost of goods sold, finished goods inventory and work in process inventory

PROBLEM

1. Selected cost data concerning the past fiscal year’s operations of the Krystelle Manufacturing Co. are presented below:

	Inventories	
	Beginning	Ending
Materials	P75,000	P85,000
Work in process	80,000	30,000
Finished goods	90,000	110,000

- Materials used, P326,000.
- Total manufacturing costs charged to production during the year (including direct materials, direct labor, and factory overhead applied at the rate of 60% of direct labor cost), P686,000.
- Cost of goods available for sale, P826,000.
- Selling and general expenses, P25,000.

Question 1: What is the amount of direct materials purchased during the year?

- a. P360,000
- b. P316,000
- c. P336,000
- d. P411,000

Question 2: What is the direct labor cost charged to production during the year?

- a. P216,000
- b. P135,000
- c. P225,000
- d. P360,000

Question 3: What is the cost of goods manufactured during the year?

- a. P736,000
- b. P716,000
- c. P636,000
- d. P766,000

Question 4: What is the cost of goods sold during the year?

- a. P716,000
- b. P691,000
- c. P801,000
- d. P736,000

2. Judy Inc. is employing normal costing for its Job orders. The overhead is applied using a predetermined overhead rate. The following information relates to the company for the year ended December 31, 2021:

	Job No. 101	Job No. 102	Job No. 103
Job in Process, January 1, 2021:			
Direct materials	40,000	30,000	0
Labor	60,000	40,000	0
Factory overhead	30,000	20,000	0
Costs added during 2021:			
Materials	20,000	10,000	100,000

Labor	100,000	200,000	400,000
Factory overhead	?	?	?

Additional information:

- Actual overhead for the year 2020 amounted to P350,000
- Jobs No. 101 and 102 were completed and transferred to finished goods during year 2021
- Job No. 101 was sold during year 2021
- The gross profit rate is 20% based on cost

Question 1: What is the total manufacturing cost for 2021?

- a. P1,400,000

b. P1,180,000
- c. P480,000

d. P1,200,000

Question 2: What is the cost of goods manufactured for 2021?

- a. P680,000

b. P700,000
- c. P580,000

d. P780,000

Question 3: What is the cost of goods sold for 2021?

- a. P1,180,000

b. P300,000
- c. P700,000

d. P1,200,000

Question 4: What is the gross profit for 2021?

- a. P236,000

b. P60,000
- c. P140,000

d. P240,000

Question 5: What are the cost of work in process on December 31, 2021 and the cost of finished goods on December 31, 2021, respectively?

- a. P800,000 and P500,000

b. P700,000 and P400,000
- c. P600,000 and P300,000

d. P900,000 and P200,000

3. Josephine Company uses a job order cost system. The following data were obtained from the company’s cost records as of June 30. No jobs were in process at the beginning of June, all costs listed being incurred during the month.

Job Order No.	Direct Materials	Direct Labor Hours	Direct Labor Cost
1001	P4,320	1,300	P1,600
1002	9,150	3,700	7,250
1003	11,275	8,200	14,325
1004	3,225	1,500	2,800
1005	6,500	3,200	6,100
1006	2,750	980	1,650

- Manufacturing overhead costs are charged to jobs based on P1.50 per direct labor hour.
- The actual manufacturing overhead cost for the month totaled P30,350.
- During June, Job Order Nos. 1001, 1002, 1004 and 1005 were completed.
- Jobs 1001 and 1002 were shipped out and the customers were billed P9,000 for Job 1001 and P20,000 for Job 1002.

The cost of goods manufactured would be:

- a. P55,500

b. P55,495
- c. P56,495

d. P57,500

4. Alvin Co. has underapplied overhead of P45,000 for the year. Before disposition of underapplied overhead, selected year-end balances from its accounting records were

Sales	1,200,000
Cost of goods sold	720,000
Direct materials inventory	36,000
Work in process inventory	54,000
Finished goods inventory	90,000



Under its cost accounting system, over or underapplied overhead is assigned to appropriate inventories and cost of goods sold based on year-end balances. In its year-end income statement, the company should report cost of goods sold of

- a. P682,500

b. P684,000
- c. P757,500

d. P765,000

5. At the end of the last fiscal year, Levlyn Co. had the following account balances:

Overapplied overhead	6,000
Cost of goods sold	980,000
Work in process	38,000
Finished goods	82,000

If the most common treatment of assigning overapplied overhead was used, the final balance in cost of goods sold would have been

- a. P985,340

b. P974,660
- c. P974,000

d. P986,000

6. Dionalynne Company’s Job 007 manufactured 13,750 units that was completed in August at unit costs presented as follows:

Direct materials	P50
Direct labor	45
Factory overhead	45

Final inspection of Job 007 disclosed 1,250 spoiled units, which were sold for P37,500.

Compute the unit cost under the following independent cases:

Case 1: [Normal specific] The spoilage loss is attributable to exacting specifications of Job 007.

Case 2: [Normal common] The spoilage loss is attributable to all jobs.

Case 3: [Abnormal] The spoilage loss is treated as abnormal.

7. During August 2021, Danna Inc. incurred the following costs for Job 007 (450 drum sets):

Direct materials	P42,500
Direct labor	P65,250
Factory overhead	P78,300

45 units of drum sets were found to be defective and the company had to incur the following to remedy the said defects:

Direct materials	P13,550
Direct Labor	P15,250

Compute the unit cost under the following independent cases:

Case 1: [Normal specific] The rework cost is attributable to exacting specifications of Job 007.

Case 2: [Normal common] The rework cost is attributable to all jobs.

Case 3: [Abnormal] The rework cost is treated as abnormal.



PROCESS COSTING

Uses of Process Cost Systems

- Process cost systems are used to apply costs to similar products that are mass-produced in a continuous fashion.
- Once production begins, it continues until the finished product emerges, and each unit of finished product is like every other unit.

Process Cost Flow

- The company can add materials, labor, and manufacturing overhead in each production department.
- The costs of units completed are transferred from one department to another as those units move through the manufacturing process.
- The costs of completed work are transferred to Finished Goods Inventory.
- When inventory is sold, costs are transferred to Cost of Goods Sold.

Assignment of manufacturing costs

- The accumulation of the costs of materials, labor, and manufacturing overhead is the same in a process cost system as in a job order cost system.
- Entries to assign the costs of raw materials, factory labor, and overhead consist of a debit to Work in Process for each department and a credit to Raw Materials Inventory, Factory Labor, and Manufacturing Overhead.
- The entry to record units completed and transferred to the warehouse is a debit to Finished Goods Inventory and a credit to Work in Process.
- The entry to record the sale of goods is a debit to Cost of Goods Sold and a credit to Finished Goods Inventory.

Formulas related to process costing

- **Formula to compute completed/transferred-out units:**

Beginning inventory in units	xxx
Started/transferred-in units	xxx
Ending inventory in units	(xxx)
Lost units (normal + abnormal)	(xxx)
Completed/transferred-out units	xxx

- **Formulas to compute started a completed units:**

Started/transferred-in units	xxx
Ending inventory in units	(xxx)

Lost units	(xxx)
Started & completed units	xxx
Completed/transferred-out units	xxx
Beginning inventory in units	(xxx)
Started & completed units	xxx

EUP SCHEDULE

1. Weighted average method

Beginning inventory	xxx
Started & completed	xxx
Ending inventory x % of completion	xxx
Weighted average, EUP	xxx

2. First-in First-out method

Beginning inventory (1 - % of completion)	xxx
Started & completed	xxx
Ending inventory x % of completion	xxx
Weighted average, EUP	xxx

- **Lost units: EUP SCHEDULE**
 - **Discrete: Normal/Abnormal**
 - ✓ **Direct materials**
 - If the placement took place first, then 100%
 - If the inspection took place first, then 0%
 - ✓ **Conversion costs**
 - Lost units x % of inspection
 - **Continuous Loss – method of neglect**
 - ✓ **Normal loss** = 0% as to materials and conversion costs
 - ✓ **Abnormal loss** = 100% as to materials and conversion costs.

-- End --



PROCESS COSTING

THEORY

1. What is the best cost accumulation procedure to use when a single product is manufactured in a continuous process?
 - a. Process
 - b. Job order
 - c. Standard
 - d. Actual
2. Process costing is used in companies that
 - a. Engage in road and bridge construction
 - b. Produce sailboats made to customer specifications
 - c. Produce hollow blocks for sale to the public
 - d. Construct houses according to customer plans
3. The FIFO method of process costing differs from the average method in that the FIFO method
 - a. Considers the stage of completion of beginning work in process inventory in computing equivalent units of production, but the average method does not
 - b. Does not consider the stage of completion of beginning work in process inventory in computing equivalent units of production, but the average method does
 - c. Is applicable only to those companies using the FIFO inventory pricing method, but the average method may be used with any inventory pricing method
 - d. Allocates costs based on whole units, but the average method uses equivalent units
4. The average and FIFO process costing methods differ in that the average method:
 - a. Can be used under any cost flow assumption
 - b. Is much more difficult to apply than the FIFO method
 - c. Requires that ending work in process inventory be stated in terms of equivalent units of production
 - d. Does not consider the degree of completion of beginning work in process inventory when computing equivalent units of production
5. Current period's cost per equivalent unit under FIFO process costing considers current period costs
 - a. Only
 - b. Plus cost of beginning WIP
 - c. Less cost of beginning WIP
 - d. Plus cost of ending WIP
6. Equivalent units of production are equal to the
 - a. Units completed by a production department in the period
 - b. Number of units worked on during the period by a production department
 - c. Number of whole units that could have been completed if all work of the period had been used to produce whole units
 - d. Identifiable units existing at the end of the period in a production department
7. In a process costing system using the weighted average method, cost per equivalent unit for a given cost component is found by dividing which of the following by EUP?
 - a. Only current period cost
 - b. Current period cost plus the cost of beginning inventory
 - c. Current period cost less the cost of beginning inventory
 - d. Current period cost plus the cost of ending inventory
8. In a cost of production report using process costing, transferred-in costs are similar to the
 - a. Cost of material added at the beginning of production
 - b. Conversion cost added during the period
 - c. Cost transferred out to the next department
 - d. Cost included in beginning inventory
9. A continuous loss
 - a. Occurs unevenly throughout a process
 - b. Never occurs during the production process
 - c. Always occurs at the same place in a production process
 - d. Occurs evenly throughout the production process
10. The method of neglect handles spoilage that is
 - a. Discrete and abnormal
 - b. Discrete and normal
 - c. Continuous and abnormal
 - d. Continuous and normal



11. The cost of normal discrete losses is
 - a. Absorbed by all units past the inspection point on an equivalent unit basis
 - b. Absorbed by all units in ending inventory
 - c. Considered a period cost
 - d. Written off as a loss on an equivalent unit basis
12. The cost of abnormal continuous losses is
 - a. Considered a product cost
 - b. Absorbed by all units in ending inventory and transferred out on an equivalent unit basis
 - c. Written off as a loss on an equivalent unit basis
 - d. Absorbed by all units past the inspection point
13. Normal spoilage units resulting from a continuous process
 - a. Are extended to the EUP schedule
 - b. Result in a higher unit cost for the good units produced
 - c. Result in a loss being incurred
 - d. Cause estimated overhead to increase
14. If normal spoilage is detected at an inspection point within the process (rather than at the end), the cost of that spoilage should be
 - a. Included with the cost of the units sold during the period
 - b. Included with the cost of the units completed in that department during the period
 - c. Allocated to ending work in process units and units transferred out based on their relative values
 - d. Allocated to the good units that have passed the inspection point

PROBLEMS

1. The following information is available for Fatima Company for April:

Started this month	80,000	units
Beginning WIP		
(40% complete)	7,500	units
Normal spoilage (discrete)	1,100	units
Abnormal spoilage	900	units
Ending WIP		
(70% complete)	13,000	units
Transferred out	72,500	units
Beginning Work in Process Costs:		
Material	P10,400	
Conversion	13,800	
Current Costs:		
Material	P120,000	
Conversion	350,000	

All materials are added at the start of production and the inspection point is at the end of the process.

Question 1: What are equivalent units of production for material using FIFO?

- a. 80,000

b. 79,100
- c. 78,900

d. 87,500

Question 2: What are equivalent units of production for conversion costs using FIFO?

- a. 79,700

b. 79500
- c. 81,100

d. 80,600

Question 3: What are equivalent units of production for material using weighted average?

- a. 86,600

b. 87,500
- c. 86,400

d. 85,500



Question 4: What are equivalent units of production for conversion costs using weighted average?

- a. 83,600

b. 82,700
- c. 82,500

d. 81,600

Question 5: What is cost per equivalent unit for material using FIFO?

- a. P1.63

b. P1.37
- c. P1.50

d. P1.56

Question 6: What is cost per equivalent unit for conversion costs using FIFO?

- a. P4.000

b. P4.19
- c. P4.34

d. P4.38

Question 7: What is cost per equivalent unit for material using weighted average?

- a. P1.49

b. P1.63
- c. P1.56

d. P1.44

Question 8: What is cost per equivalent unit for conversion costs using weighted average?

- a. P4.19

b. P4.41
- c. P4.55

d. P4.35

Question 9: What is the cost assigned to ending inventory using FIFO?

- a. P75,920

b. P58,994
- c. P56,420

d. P53,144

Question 10: What is the cost assigned to abnormal spoilage using FIFO?

- a. P1,350

b. P3,906
- c. P5,256

d. P6,424

Question 11: What is the cost assigned to normal spoilage and how is it classified using weighted average?

- a. P6,193 allocated between WIP and Transferred Out

b. P6,424 allocated between WIP and Transferred Out

c. P6,193 assigned to loss account

d. P6,424 assigned to units Transferred Out

Question 12: What is the total cost assigned to goods transferred out using weighted average?

- a. P435,080

b. P429,824
- c. P428,656

d. P423,400

2. The following information is available for Jorralyn Company for the current year:

Beginning Work in Process		Costs of Beginning Work in Process:	
(75% complete)	14,500 units	Material	P25,100
Started	75,000 units	Conversion	50,000
Ending Work in Process		Current Costs:	
(60% complete)	16,000 units	Material	P120,000
Abnormal spoilage	2,500 units	Conversion	300,000
Normal spoilage	5,000 units		
(continuous)			
Transferred out	66,000 units		

All materials are added at the start of production.

Question 1: Using weighted average, what are equivalent units for material?

- a. 82,000

b. 89,500
- c. 84,500

d. 70,000



Question 2: Using weighted average, what are equivalent units for conversion costs?

- a. 80,600

b. 78,100
- c. 83,100

d. 75,600

Question 3: What is the cost per equivalent unit for material using weighted average?

- a. P1.72

b. P1.62
- c. P1.77

d. P2.07

Question 4: What is the cost per equivalent unit for conversion costs using weighted average?

- a. P4.62

b. P4.21
- c. P4.48

d. 4.34

Question 5: Using FIFO, what are equivalent units for material?

- a. P75,000

b. P72,500
- c. P84,500

d. P70,000

Question 6: Using FIFO, what are equivalent units for conversion costs?

- a. P72,225

b. P67,225
- c. P69,725

d. P78,100

Question 7: Using FIFO, what is the cost per equivalent unit for material?

- a. P1.42

b. P1.66
- c. P1.71

d. P1.60

Question 8: Using FIFO, what is the cost per equivalent unit for conversion costs?

- a. P4.46

b. P4.15
- c. P4.30

d. P3.84

3. Irish Company employs process cost system. A unit of product passes through two departments: Assembly and Finishing before it is complete. Information regarding Assembly Department follow:

Work in-process, Aug 1	4,000 units
Spoiled units	3,000
Started in Production	26,000
Transferred out	24,000

Raw materials are added at the beginning of processing in the Assembly department without changing the number of units being processed. Work in Process on August 1 was 90% complete as to conversion while 80% converted on August 31. In the Assembly Department, inspection takes place when the units are 75% converted. The company usually experienced a 5% loss based on the completed units. Cost data for the month of August follow:

	Materials	Labor	Overhead
Work in-process beginning	P32,400	P26,400	P28,500
Current cost	P111,600	P88,200	P 114,750

Using Weighted Average Costing, compute

Total cost of units transferred-out and total cost of work in process, end

- a. P331,200; P37,376

b. P343,684; P37,376
- c. P331,200; P36,000

d. P343,684; P36,000



-- End --

JOINT AND BY-PRODUCT COSTING

- When two or more different products are manufactured in the same production process it is called a joint production process.
- The major products resulting from a joint production process are called joint products.
- A product yield in joint production process with a relatively small value is called a by-product.
- The costs incurred in the joint production process which is common to all products are called joint costs.
- The split-off point is the point in the production process where the products become identifiable, and as a result of their separate identity, their production costs can be measured separately.
- All costs incurred beyond the split-off point that is assignable to one or more individual products are called separable costs.

METHODS OF ALLOCATING JOINT COSTS

- **Allocate joint costs using Physical Measure**
 - ✓ **Units of Production Method** - allocates joint costs based on the number of units produced.
 - ✓ **Weighted Average Method** - allocates joint costs based on the weight, units or other measure.
- **Allocate joint costs using Market Value**
 - ✓ **Sales Value at Split-off** - allocates joint costs to joint products on the basis of the relative sales value at the split off point.
 - ✓ **Net Realizable Value at Split-off** - allocates joint costs on the basis of estimated realizable value at split-off point.
 - ✓ **Approximated Net Realizable Value** - allocates joint costs to joint products on the basis of relative estimated NRV (final sales value minus the expected separable costs)
 - ✓ **Constant Margin Approach** - allocates joint costs in such a way that the overall gross margin percentage is identical for the individual products.

ACCOUNTING FOR BY PRODUCTS

- **Net Realizable Value approach**
 - ✓ Products are accounted for during production.

- ✓ Used if the value of the by-product is significant or material.
 - ✓ NRV of the by product is treated as a reduction from the joint costs of the main products.
 - ✓ Any loss of the by-product or scrap is added to the cost to the cost of the main products
- **Realizable Value approach**
 - ✓ By products are accounted during sale.
 - ✓ Used if the value of the by-product is insignificant or immaterial.
 - ✓ The realized value of the by-product or scrap maybe reported as other sales revenue or other income.

- - End - -



JOINT AND BY-PRODUCT COSTING

THEORY

1. Joint costs are useful for

a. Setting the selling price of a product

b. Determining whether to continue producing an item

c. Evaluating management by means of a responsibility reporting system

d. Determining inventory cost for accounting purposes
2. This method of allocating joint manufacturing costs to main/joint products allocates joint costs on the basis of estimated sales value at split off of a given joint product relative to the sales value at split off of total joint production?

a. Market value at split-off approach

b. Hypothetical market value or approximated net realizable value approach

c. Average unit or production output method

d. Weighted average method
3. For products that need further processing, this method is more suitable because it takes into account the additional costs needed to further process and sell the joint products. Under this method of allocating manufacturing costs to main products, joint cost is allocated to products using the following the net realizable value ratio of the products

a. Market value at split-off approach

b. Hypothetical market value or approximated net realizable value approach

c. Average unit or production output method

d. Weighted average method
4. Approximated net realizable value for joint products is computed as

a. Selling price at split-off minus further processing and disposal costs

b. Final selling price minus further processing and disposal costs

c. Selling price at split-off minus allocated joint processing costs

d. Final selling price minus a normal profit margin
5. In a joint production process, a by-product is also described as

a. A simultaneously produced product of relatively low value

b. A form of main product with controllable production proportions

c. Waste

d. Products of low value recovered at the end of a production process
6. If the net realizable value of the by-product of a joint production process is significant, how shall it be accounted for?

a. The net realizable value of the by-product shall be recorded as deduction from the total joint manufacturing cost thereby reducing the cost of the main products also known as replacement cost method

b. The net realizable value of the by-product shall be recorded as deduction from the net sales of the main product

c. The net realizable value of the by-product shall be recorded as deduction from the cost o sales of the main product

d. The net realizable value of the by-product shall be recorded as other income
7. The net realizable value approach is normally used when the NRV of the by-product is expected to be

Insignificant

Significant

Insignificant

Significant

a. Yes

Yes

c. No

No

b. No

Yes

d. Yes

No

PROBLEMS

1. Charlene Company produces two products from a joint process: X and Z. Joint processing costs for this production cycle are P8,000.

		Sales price	Disposal	Further	Final sale
	Meters	per meter at	cost per	processing	price per
		split-off	meter at	per meter	meter
X	1,500	P6.00	P3.50	P1.00	P 7.50
Z	2,200	9.00	5.00	3.00	11.25



If X and Z are processed further, no disposal costs will be incurred or such costs will be borne by the buyer.

Question 1: Using a physical measure, what amount of joint processing cost is allocated to X?

- a. P4,000
- b. P4,757
- c. P5,500
- d. P3,243

Question 2: Using a physical measure, what amount of joint processing cost is allocated to Z?

- a. P4,000
- b. P3,243
- c. P5,500
- d. P4,757

Question 3: Using sales value at split-off, what amount of joint processing cost is allocated to X?

- a. P5,500
- b. P2,500
- c. P4,000
- d. P3,243

Question 4: Using sales value at split-off, what amount of joint processing cost is allocated to Z?

- c. P5,500
- d. P4,000
- c. P2,500
- d. P4,757

Question 5: Using net realizable value at split-off, what amount of joint processing cost is allocated to X?

- a. P4,000
- b. P5,610
- c. P2,390
- d. P5,500

Question 6: Using net realizable value at split-off, what amount of joint processing cost is allocated to Z?

- a. P5,500
- b. P4,000
- c. P2,390
- d. P5,610

Question 7: Using approximated net realizable value at split-off, what amount of joint processing cost is allocated to X?

- a. P3,090
- b. P5,204
- c. P4,000
- d. P2,390

Question 8: Using approximated net realizable value at split-off, what amount of joint processing cost is allocated to Z?

- a. P72,796
- b. P4,910
- c. P4,000
- d. P2,390

Question 9: Which products would be processed further?

- a. Only X
- b. Only Z
- c. Both X and Z
- d. Neither X nor Z

2. Alkhail Chemical Company produces a product known as "X" from which by product results. This by-product can be sold at P50 per pound. The manufacturing costs of the main product and by-product up to the point of separation for the three months ended March 31, 2021 follows: Materials, P875,000; Labor, P500,000; Overhead, P500,000. The units processed were 175,000 pounds of the main product and 17,500 pounds of the by-product. During the period 157,500 pounds of the "X" were sold at P240, while the company was able to sell 13,125 pounds of the by-product. Selling and administrative expenses related to the main product amounted to P1,050,000. Disposal cost per each unit of the by-product is P10. Compute the unit cost of "X" and net income under the following independent cases:

Case 1: Assume that the by-product is inventoried and recorded at net realizable value

Case 2: Assume that the by-product is recorded as realized.



--End--

JUST-IN-TIME (JIT) SYSTEM

- Involves the elimination of waste and excess by acquiring resources and performing activities only as they are needed by customers at the next stage in the process.
- Inventory buffers are viewed as an “evil” in that they hide problems such as defective parts, production bottlenecks, long machine set-ups and competitive behavior within the company.
- A JIT system requires an attitude that places emphasis on the following:
 - ✓ Cooperation with a value chain perspective
 - ✓ Respect for people at all levels
 - ✓ Quality at the source
 - ✓ Simplification or just enough resources
 - ✓ Continuous improvement
 - ✓ A long-term perspective
- A JIT system also incorporates the following practices:
 - ✓ Just-in-time purchasing
 - ✓ Focused factories
 - ✓ Cellular manufacturing
 - ✓ Just-in-time production
 - ✓ Just-in-time distribution
 - ✓ Simplified accounting
 - ✓ Process oriented performance measurements

BACKFLUSH COSTING

- A variety of simplified cost accumulation methods that tend to be used by companies that adopt JIT systems.
- Most cost systems that include the backflush method are periodic inventory systems because perpetual inventory records are eliminated.
- In backflush systems, the usual inventory accounts are replaced with a simplified set of accounts.
 - ✓ The Materials and Work in Process accounts are combined into an account referred to as Raw and in Process, or RIP.
 - ✓ The Direct Labor and Overhead accounts are replaced by a single account for Conversion Costs.
 - ✓ The other accounts in the system include the familiar Finished Goods and Cost of Goods Sold (COGS) accounts.
- During an accounting period, purchases of direct materials, along with direct labor and overhead costs are charged to the cost of goods sold account as incurred.
- The usual entries are omitted including the entries to transfer the cost of goods manufactured from one

department, or cell, to the next and subsequently to Finished Goods.

- Materials and Conversion Costs are charged directly to Cost of Goods Sold.
- Then, at the end of the period, the remaining finished and partially completed units are counted and inventory costs are charged in a backward direction from COGS to Finished Goods, RIP and Conversion Cost accounts.
- These so-called backflushed costs are usually based on budgeted or standard costs per unit

Trigger Points

- ✓ Three trigger points

a) Purchase

Raw & In-process	xx	
Accounts payable		xx
Conversion costs	xx	
Various accounts		xx

b) Completion

Finished goods	xx	
Raw & In-process		xx
Conversion costs		xx

c) Sale

Cost of goods sold	xx	
Finished goods		xx

- ✓ Two trigger points

a) Purchase

Raw & In-process	xx	
Accounts payable		xx
Conversion costs	xx	
Various accounts		xx

b) Sale

Cost of goods sold	xx	
Raw & In-process		xx
Conversion costs		xx

- ✓ Ultimate JIT

a) Sale

Cost of goods sold	xx	
Accounts payable		xx
Various accounts		xx



-- End --

JIT AND BACKFLUSH

THEORY

- 1. Just-in-time (JIT) inventory systems
 - a. Result in a greater number of suppliers for each production process
 - b. Focus on a "push" type of production system
 - c. Can only be used with automated production processes
 - d. Result in inventories being either greatly reduced or eliminated
- 2. It is a product costing system generally used in just-in-time inventory environment. This costing system delays the costing process until the production of goods is completed by eliminating the detailed tracking of cost throughout the production system and preparing journal entries only at trigger points
 - a. Backflush costing
 - b. Standard costing
 - c. Normal costing
 - d. Traditional costing
- 3. [SKIP]

PROBLEMS

- 1. Rona Manufacturing Company uses a Materials and In-Process (MIP) inventory account. At the end of each month, all inventories are counted, their conversion costs components are estimated, and inventory account balances are adjusted accordingly. Raw materials is backflushed from MIP account to Finished Goods account. The following data is for the month of February:

Beginning balance of MIP account	P338,625
Conversion cost incurred	42,000
Raw materials purchased	5,950,000
Conversion cost allocated	46,375
Ending balance of MIP account	366,625

The amount of direct materials and conversion costs to be backflushed to finished goods are:

- a. P5,922,000 and P46,375 respectively
 - b. P5,950,000 and P46,375 respectively
 - c. P5,922,000 and P42,000 respectively
 - d. P5,950,000 and P42,000 respectively
- 2. Erwin Corporation manufactures electrical meters. For February, there were no beginning inventories of materials. The company uses a Just in Time system and backflush costing with three trigger points for making entries to record their manufacturing process. The February standard costs per meter are direct materials, P375 and conversion costs, P300. The following data pertains to February operations:

Materials purchased	P2,062,500
Conversion costs incurred	1,650,000
Number of finished units	5,250 units
Number of units sold	5,000 units

What are the balances of MIP inventory and Finished Goods inventory accounts at the end of February?

- a. P2,062,500 and P168,750, respectively
 - b. P2,062,500 and P3,543,750, respectively
 - c. P93,750 and P168,750, respectively
 - d. P93,750 and P3,543,750, respectively



3. Rio Company has a cycle of 3 days, uses a Raw and In Process Account (RIP) and charges all conversion costs to cost of goods sold. At the end of each month, all inventories are counted, conversion costs components are estimated, and inventory account balances are adjusted. Raw material cost is backflushed from Raw and in Process (RIP) Account to finished goods. The following information is provided for the month of June:

Beginning Balance of RIP account, including P1,000 conversion cost	5,000
Beginning Balance of finished goods account including P6,000 conversion cost	10,000
Raw materials received on credit	400,000
Direct labor cost	300,000
Factory overhead applied	500,000
Ending RIP inventory per physical count, including P7,000 conversion cost	20,000
Ending finished goods inventory per physical count, including P4,000 conversion cost	6,000

Question 1: What is the amount of conversion cost included cost of goods sold in June?

- a. P802,000

b. P796,000
- c. P794,000

d. P800,000

Question 2: What is the amount of direct materials backflushed from RIP to finished goods?

- a. P391,000

b. P404,000
- c. P387,000

d. P395,000

Question 3: What is the amount of direct materials backflushed from finished goods to cost of goods sold?

- a. P395,000

b. P400,000
- c. P393,000

d. P389,000

-- End --



ACTIVITY-BASED COSTING (ABC)

Traditional Costing and Activity-Based Costing

- Often the most difficult part of computing accurate unit costs is determining the proper amount of overhead cost to assign each product, service or job.

Traditional Costing System

- A traditional costing system allocates overhead to products on the basis of predetermined plantwide or departmentwide volume of unit-based output rates such as direct labor or machine hours.

Activity-Based Costing

- **Activity-based costing (ABC)** allocates overhead to multiple activity cost pools and assigns the activity cost pools to products and services by means of cost drivers.
 - o In ABC, an **activity** is any event, action, transaction, or work sequence that causes the incurrence of cost in producing a product or providing a service.
 - o A **cost driver** is any factor or activity that has a direct cause-effect relationship with the resources consumed.
 - o Under ABC, overhead costs are usually shifted from a high-volume product to a low-volume product.
- **ABC allocates overhead in a two-stage process:**
 - o In the first stage, overhead costs are allocated to activity cost pools, rather than to departments. Each is a distinct type of activity.
 - o In the second stage, the overhead allocated to the activity cost pools is assigned to products using cost drivers which represent and measure the number of individual activities undertaken or performed to produce products or provide services.
- **Activity-based costing involves the following four - steps:**
 1. Identify and classify the major activities involved in the manufacture of specific products and allocate manufacturing overhead costs to the appropriate cost pools.
 2. Identify the cost driver that has a strong correlation to the costs accumulated in the cost pool.
 3. For each cost pool, compute the activity-based overhead rate per cost driver.

$$\text{Activity Based Overhead Rate} = \frac{\text{Estimated Overhead per Activity}}{\text{Expected Use of Cost Driver Per Activity}}$$

4. Assign manufacturing overhead costs for each cost pool to products, using the overhead rates (cost per driver).

Benefit of ABC

- The primary benefit of ABC is more accurate product costing because:
 - o ABC leads to more cost pools being used to assign overhead costs to products.
 - o ABC leads to enhanced control over overhead costs; companies can trace many overhead costs directly to activities under ABC.
 - o ABC leads to better management decisions; more accurate product costing should contribute to desired product profitability levels.

Limitations of ABC

- Although ABC systems often provide better product cost data than traditional volume- based systems, there are the following limitations:
- o ABC can be expensive to use; identifying multiple activities and applying numerous cost drivers results in increased costs.
 - o Some arbitrary allocations continue; certain overhead costs still have to be allocated by some arbitrary volume-based cost driver (i.e.-labor hours).

When to Use ABC

- The presence of one or more of the following factors would point to possibly using ABC:
- ✓ Product lines differ greatly in volume and manufacturing complexity.
 - ✓ Product lines are numerous, diverse, and require differing degrees of support services.
 - ✓ Overhead costs constitute a significant portion of total costs.
 - ✓ The manufacturing process or the number of products has changed significantly.

Value-Added Versus Non-Value-Added Activities

- **Activity-based management (ABM)** is an extension of ABC from a product costing system to a management function that focuses on reducing costs and improving processes and decision making.
 - **Value-added activities** increase the worth of a product or service to customers.
 - o Examples include engineering design, machining, assembly, painting, and packaging.
 - **Non-value-added activities** are product- or service-related activities that simply add cost to, or increase the time spent on, a product or service without increasing its market value.
 - o Examples include repair of machines, storage of inventory, moving of raw materials, assemblies and finished product, building maintenance, inspections and inventory control.
- The purpose of ABM is to reduce or eliminate the time and cost devoted to non-value-added activities.

Classification of Activity Levels:

- o A classification of ABC activities consisting of four levels are defined as:
 - ✓ **Unit-level activities:** activities performed for each unit of production.
 - ✓ **Batch-level activities:** activities performed for each batch of products rather than each unit.
 - ✓ **Product-level activities:** activities performed in support of an entire product line.
 - ✓ **Facility-level activities:** activities required to support an entire production process.
- o Companies may achieve greater accuracy in overhead cost allocation by recognizing the different levels of activities and developing specific activity cost pools and their related cost drivers.
- o Nonrecognition of this classification of activities is one of the reasons that volume-based cost allocation causes distortions in product costing.
- o The resources consumed by batch-, product-, and facility-level supporting activities do not vary at the unit level, nor can managers control them at the unit level.

- - END - -

ACTIVITY-BASED COSTING (ABC)

THEORY

1. An accounting system that collects financial and operating data on the basis of the underlying nature and extent of the cost drivers is
 - a. Direct costing
 - b. Activity-based costing
 - c. Cycle-time costing
 - d. Variable costing
2. Design of an ABC system requires
 - a. That the job bid process be redesigned
 - b. That a cause-and-effect relationship exists between resource costs and individual activities
 - c. An adjustment to product mix
 - d. Both (b) and (c)
3. Of the following, which is the best reason for using activity-based costing?
 - a. Keep better track of overhead costs
 - b. To more accurately assign overhead costs to cost pools so that these costs are better controlled
 - c. To better assign overhead costs to products
 - d. To assign indirect service overhead costs to direct overhead cost pools
4. An objective of activity-based management is to
 - a. Eliminate the majority of centralized activities in an organization
 - b. Reduce or eliminate non-value-added activities incurred to make a product or provide a service
 - c. Institute responsibility accounting systems in decentralized organizations
 - d. All of the above
5. Activity-based management (ABM) is
 - a. A costing system in which multiple overhead cost pools are allocated using bases that include one or more nonvolume related factors
 - b. A base used to allocate the cost of a resource to the different activities using it
 - c. The use of information obtained from ABC to make improvements in the firm
 - d. A base used to allocate the cost of an activity to products and customers
6. A(n) _____ method first traces costs to activities and then to products
 - a. Direct costing
 - b. Absorption costing
 - c. Traditional costing
 - d. Activity-based costing
7. A(n) _____ method first traces costs to a department and then to products
 - a. Direct costing
 - b. Absorption costing
 - c. Traditional costing
 - d. Activity-based costing
8. A basic assumption of activity-based costing (ABC) is that
 - a. All manufacturing costs vary directly with units of production
 - b. Products or services require the performance of activities, and activities consume resources
 - c. Only costs that respond to unit-level drivers are product costs
 - d. Only variable costs are included in activity-cost pools
9. Which of the following is not typical of traditional costing systems?
 - a. Use of a single predetermined overhead rate
 - b. Use of direct labor hours or direct labor cost to assign overhead
 - c. Assumption of correlation between direct labor and incurrence of overhead cost
 - d. Use of multiple cost drivers to allocate overhead
10. Traditional overhead allocations result in which of the following situations?
 - a. Overhead costs are assigned as period costs to manufacturing operations
 - b. High-volume products are assigned too much overhead, and low-volume products are assigned too little overhead
 - c. Low-volume products are assigned too much, and high-volume products are assigned too little overhead
 - d. The resulting allocations cannot be used for financial reports
11. Cost allocation bases in activity-based costing should be
 - a. Cost drivers
 - b. Value-added activities
 - c. Activity centers
 - d. Processes
12. A cost pool is
 - a. All of the costs of a particular department
 - b. All costs in a group such as variable costs or discretionary fixed costs
 - c. All costs related to a product or product line
 - d. All costs that have the same driver



13. Value-added activities
- a. Increase the worth of a product or service to customers
 - b. Involve resource usage and related costs that customers are willing to pay for
 - c. Are the activities of actually manufacturing a product or performing a service
 - d. All of the above
14. Which of the following is a value-added activity?
- a. Inventory storage
 - b. Machining
 - c. Building maintenance
 - d. Bookkeeping
15. Which of the following is a value-added activity?
- a. Inventory control
 - b. Inspections
 - c. Packaging
 - d. Repair of machines
16. Which of the following is a non-value-added activity?
- a. Inventory control
 - b. Machining
 - c. Assembly
 - d. Painting
17. Which of the following is a non-value-added activity?
- a. Painting
 - b. Finishing
 - c. Packaging
 - d. Building maintenance
18. The cost of processing customer complaints is a(n)
- a. Appraisal cost
 - b. External failure cost
 - c. Internal failure cost
 - d. Prevention cost
19. Worker training is a(n)
- a. Appraisal cost
 - b. External failure cost
 - c. Internal failure cost
 - d. Prevention cost
20. _____ are those performed each time a unit is produced or sold
- a. Batch-level activities
 - b. Facility-sustaining activities
 - c. Sustaining activities
 - d. Unit-level activities
21. Costs that are common to many different activities within an organization are known as _____ costs
- a. Product- or process-level
 - b. Organizational level
 - c. Batch-level
 - d. Unit-level
22. _____ are those that a company performs when it makes a group of units
- a. Batch-level activities
 - b. Facility-sustaining activities
 - c. Sustaining activities
 - d. Unit-level activities
23. _____ relate to an entire plant as a whole
- a. Batch-level activities
 - b. Facility-sustaining activities
 - c. Sustaining activities
 - d. Unit-level activities
24. Examples of activities at the unit level of costs include
- a. Cutting, painting, and packaging
 - b. Scheduling, setting up, and moving
 - c. Designing, changing, and advertising
 - d. Heating, lighting, and security
25. Examples of activities at the product level of costs include
- a. Cutting, painting, and packaging
 - b. Scheduling, setting up, and moving
 - c. Designing, changing, and advertising
 - d. Heating, lighting, and security
26. Examples of activities at the batch level of costs include
- a. Cutting, painting, and packaging
 - b. Scheduling, setting up, and moving
 - c. Designing, changing, and advertising
 - d. Heating, lighting, and security
27. Examples of activities at the plant level of costs include
- a. Cutting, painting, and packaging
 - b. Scheduling, setting up, and moving
 - c. Designing, changing, and advertising
 - d. Heating, lighting, and security



CLASSIFICATION

1. A list of possible cost drivers is presented below:

Code

- A

Engineering hours
- B

Setups
- C

Machine hours
- D

Number of subassemblies
- E

Boxes
- F

Orders

For each of the following activity cost pools, select the most appropriate cost driver:

- Code

Cost Pool

1. Machine setup

2. Ordering and receiving

3. Packaging and shipping

4. Engineering design

5. Machining

6. Assembly

2. Label the following costs as value-adding (VA) or non-value-adding (NVA):

- _____

1. Engineering design
- _____

2. Machine repair
- _____

3. Inventory storage
- _____

4. Machining
- _____

5. Assembly
- _____

6. Painting
- _____

7. Inspections
- _____

8. Packaging

3. Venir Company manufactures small tools. Classify each of the following activity costs of the tool company as either unit level, batch level, product level, or facility level:

- _____

1. Plant management
- _____

2. Drilling
- _____

3. Painting
- _____

4. Machine setups
- _____

5. Product design
- _____

6. Cutting
- _____

7. Inspection
- _____

8. Inventory management

4. Jessela Company manufactures hand-made pine storage boxes for a variety of clients. As production manager, you have developed the following value chart:

Operation	Average Number of Days
Receiving materials	1
Storing materials	2
Handling materials	3
Cutting/measuring materials	6
Assembling materials	4
Building boxes	7
Attaching hinges	2
Inspection	1

- a. Determine the value-added activities and their total time.
- b. Determine the non-value-added activities and their total time.
- c. Calculate the manufacturing cycle efficiency.

PROBLEMS

1. The controller for Luisa Corporation has established the following overhead cost pools and cost drivers:

Overhead Cost Pool	Budgeted Overhead Cost	Cost Driver
Machine setups	P240,000	Number of setups
Material handling	90,000	Units of raw material
Quality control inspection	48,000	Number of inspections
Other overhead costs	<u>160,000</u>	Machine hours
Total	<u>P538,000</u>	

Overhead Cost Pool	Budgeted Level for Cost Driver	Overhead Rate
Machine setups	200 setups	P1,200 per setup
Material handling	60,000 units	P1.50 per unit
Quality control	1,200 inspections	P40 per inspection
Other overhead	20,000 machine hours	P8 per machine hour

Order no. 715 has the following production requirements:

Machine setups:	7
Raw material:	11,200 units
Inspections:	16
Machine hours:	850

- a. Compute the total overhead that should be assigned to order no. 715 by using activity-based costing.
- b. Suppose that Luisa were to use a single, predetermined overhead rate based on machine hours. Compute the rate per hour and the total overhead assigned to order no. 715.



2. Ronald Corporation has provided the following data from its activity-based costing system:

<u>Activity Cost Pool</u>	<u>Total Cost</u>	<u>Total Activity</u>	
Assembly.....	P613,250	55,000	machine-hours
Processing orders.....	P 46,170	1,500	orders
Inspection	P146,110	1,900	inspection-hours

Data concerning one of the company’s products, Product X, appear below:

Selling price per unit	P113.70
Direct materials cost per unit	P48.14
Direct labor cost per unit	P11.62
Annual unit production and sales	360
Annual machine-hours.....	1,040
Annual orders	60
Annual inspection-hours.....	30

According to the activity-based costing system, the product margin for product X is:

- a. P 3,668.60

b. P 5,975.60
- c. P 5,515.40

d. P 19,418.40

3. Shella Company use activity-based costing. The company produces two products: coats and hats. The annual production and sales volume of coats is 8,000 units and of hats is 6,000 units. There are three activity cost pools with the following expected activities and estimated total costs:

<u>Activity</u>	<u>Estimated</u>	<u>Expected</u>	<u>Expected</u>	
<u>Cost Pool</u>	<u>Cost</u>	<u>Activity</u>	<u>Activity</u>	
		<u>Coats</u>	<u>Hats</u>	<u>Total</u>
Activity 1	P20,000	100	400	500
Activity 2	P37,000	800	200	1,000
Activity 3	P91,200	800	3,000	3,800

Question 1: Using ABC, the cost per unit of coats is approximately:

- a. P 2.40

b. P 3.90
- c. P 6.60

d. P 10.59

4. Jackeline Accounting performs two types of services, Tax and Consulting. The overhead costs consist of computer support, P200,000; and legal support, P100,000. Information on the two services is:

	<u>Tax</u>	<u>Consulting</u>
Direct labor cost	P50,000	P100,000
CPU minutes	40,000	10,000
Legal hours used	200	800

Question 1: Overhead applied to tax services using traditional costing is

- a. P 100,000

b. P 120,000
- c. P 180,000

d. P 200,000

Question 2: Overhead applied to consulting services using traditional costing is

- a. P 100,000

b. P 120,000
- c. P 180,000

d. P 200,000

Question 3: Overhead applied to tax services using activity-based costing is

- a. P 100,000

b. P 120,000
- c. P 180,000

d. P 200,000

Question 4:

Overhead applied to consulting services using activity-based costing is

- a. P 100,000

b. P 120,000
- c. P 180,000

d. P 200,000

5. Jing Company produces two products, A and B, and uses a costing system in which all overhead is accumulated in a single cost pool and allocated based on machine hours. The management has decided to implement ABC because a cost study has revealed significant amounts of overhead cost related to setup activity and design activity. The number of setups and the number of design hours will be the activity drivers for the two new cost pools, and machine hours will continue as the base for allocating the remaining overhead. Selected information follows for the company's most recent year of operations:

FOREIGN EXCHANGE (FOREX)

- The objective of PAS 21 The Effects of Changes in Foreign Exchange Rates is to prescribe:
 - ✓ How to include foreign currency transactions and foreign operations in the financial statements of an entity.
 - ✓ How to translate financial statements into a presentation currency.

Functional vs. Presentation Currency

- Functional currency is the currency of the primary economic environment in which the entity operates. It is the own entity’s currency and all other currencies are “foreign currencies”.
 - ✓ The most important factor in determining the functional currency is the entity’s primary economic environment in which it operates.
 - ✓ The primary economic environment is normally the one in which the entity primarily generates and expends the cash. The following factors can be considered:
 - What currency does mainly influence sales prices for goods and services?
 - In what currency are the labor, material and other costs denominated and settled?
 - In what currency are funds from financing activities generated (loans, issued equity instruments)?
- Presentation currency is the currency in which the financial statements are presented.
- An entity can decide to present its financial statements in a currency different from its functional currency – for example, when preparing consolidation reporting package for its parent in a foreign country.
- While an entity has only 1 functional currency, it can have 1 or more presentation currencies, if an entity decides to present its financial statements in more currencies.

How to report transactions in Functional Currency

- Initial recognition
 - ✓ Initially, all foreign currency transactions shall be translated to functional currency by applying the spot exchange rate between the functional currency and the foreign currency at the date of the transaction.

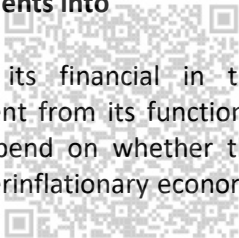
- ✓ The date of transaction is the date when the conditions for the initial recognition of an asset or liability are met in line with PFRS.
- Subsequent reporting
 - ✓ Subsequently, at the end of each reporting period, you should translate:
 - All monetary items in foreign currency using the closing rate.
 - All non-monetary items measured in terms of historical cost using the exchange rate at the date of transaction (historical rate).
 - All non-monetary items measured at fair value using the exchange rate at the date when the fair value was measured.

How to report foreign exchange differences

- All exchange rate differences shall be recognized in profit or loss, with the following exceptions:
 - ✓ Exchange rate gains or losses on non-monetary items are recognized consistently with the recognition of gains or losses on an item itself. For example, when an item is revalued with the changes recognized in other comprehensive income, then also exchange rate component of that gain or loss is recognized in OCI, too.
 - ✓ Exchange rate gain or loss on a monetary item that forms a part of a reporting entity’s net investment in a foreign operation shall be recognized:
 - In the separate entity’s or foreign operation’s financial statements: in profit or loss.
 - In the consolidated financial statements: initially in other comprehensive income and subsequently, on disposal of net investment in the foreign operation, they shall be reclassified to profit or loss.
- Change in functional currency
 - ✓ When there is a change in a functional currency, then the entity applies the translation procedures related to the new functional currency prospectively from the date of the change.

How to translate financial statements into a Presentation Currency

- When an entity presents its financial in the presentation currency different from its functional currency, then the rules depend on whether the entity operates in a non-hyperinflationary economy or not.



- **Non-hyperinflationary economy**

- ✓ When an entity's functional currency is NOT the currency of a hyperinflationary economy, then an entity should translate:
 - All assets and liabilities for each statement of financial position presented using the closing rate at the date of that statement of financial position. This rule applies for goodwill and fair value adjustments.
 - All income and expenses and other comprehensive income items using the exchange rates at the date of transactions. PAS 21 permits using some period average rates for the practical reasons, but if the exchange rates fluctuate a lot during the reporting period, then the use of averages is not appropriate.
 - All resulting exchange differences shall be recognized in other comprehensive income as a separate component of equity.
 - However, when an entity disposes the foreign operation, then the cumulative amount of exchange differences relating to that foreign operation shall be reclassified from equity to profit or loss when the gain or loss on disposal is recognized.

-- End --



THEORY

1. A foreign currency transaction includes which of the following?
 - a. Purchase and sale of goods whose price is denominated in a foreign currency
 - b. Borrowing and lending of funds when the amounts payable or receivable are denominated in a foreign currency
 - c. Incurrence and settlement of liabilities denominated in foreign currency
 - d. All of the above
2. What is a company's functional currency?
 - a. The currency of the primary economic environment in which it operates
 - b. The currency of the country where it has its headquarters
 - c. The currency in which it prepares its financial statements
 - d. The reporting currency of its parent for a subsidiary
3. In accounting, the term translation refers to
 - a. The calculation of gains or losses from hedging transactions
 - b. The calculation of exchange rate gains or losses on individual transactions in foreign currencies
 - c. The procedure required to identify a company's functional currency
 - d. A procedure to prepare a foreign subsidiary's financial statements for consolidation
4. For a foreign subsidiary that uses the US dollar as its functional currency, what translation method is required?
 - a. Current/Noncurrent Method
 - b. Monetary/Nonmonetary Method
 - c. Current Rate Method
 - d. Temporal Method
5. According to PAS 21, which method is usually required for translating a foreign subsidiary's financial statements into the parent's reporting currency?
 - a. The temporal method
 - b. The current rate method
 - c. The current/noncurrent method
 - d. The monetary/nonmonetary method
6. Which accounts are remeasured using current exchange rates?
 - a. All revenues and expenses
 - b. All assets and liabilities
 - c. All monetary assets and liabilities
 - d. All current assets and liabilities
7. In translating a foreign subsidiary's financial statements, which exchange rate does the current method require for the subsidiary's assets and liabilities?
 - a. The exchange rate in effect when each asset or liability was acquired
 - b. The average exchange rate for the current year
 - c. A calculated exchange rate based on market value
 - d. The exchange rate in effect as of the balance sheet date
8. The translation adjustment from translating a foreign subsidiary's financial statements should be shown as
 - a. An asset or liability (depending on the balance) on the consolidated balance sheet
 - b. A revenue or expense (depending on the balance) on the consolidated income statement
 - c. A component of stockholders' equity on the consolidated balance sheet
 - d. A component of cash flows from financing activities on the consolidated statement of cash flows
9. Which of the following statements is incorrect?
 - a. Foreign currency is a currency other than the functional currency of the entity
 - b. Functional currency is the currency of the primary economic environment in which the entity operates
 - c. An entity is required to present the financial statements using the functional currency
 - d. Presentation currency is the currency in which the financial statements are presented
10. How is the disposition of the translated gain or loss reported on the parent company's financial statements?
 - a. Net income/loss on the income statement
 - b. Cumulative translation adjustment as a deferred asset
 - c. Cumulative translation adjustment as a deferred liability
 - d. Other comprehensive income

Note: Answer should be letter A. According to PAS 21, upon disposition, the foreign currency translation gain or loss in OCI shall be subsequently reclassified into profit or loss.



PROBLEMS

1. Dianne, Ltd. is a British subsidiary of a Philippine company. The Philippine company’s functional currency is the peso. The following exchange rates were in effect during 2021:
- | | |
|------------------------------------|-------------|
| January 1 | P1 = € .625 |
| June 30 | P1 = € .610 |
| December 31 | P1 = € .620 |
| Weighted average rate for the year | P1 = € .630 |

Question 1: Dianne reported sales of €1,500,000 during 2021. What amount (rounded) would have been included for this subsidiary in calculating consolidated sales?

a. P2,380,952	c. P2,429,150
b. P2,400,000	d. P2,419,355

Question 2: On December 31, the company had accounts receivable of €280,000. What amount (rounded) would have been included for this subsidiary in calculating consolidated accounts receivable?

a. P444,444	c. P142,600
b. P451,613	d. P176,400

2. The following account balances are available for Mari Corporation, a foreign subsidiary for 2021:
- | | |
|---------------------|----------|
| Beginning inventory | €20,000 |
| Purchases | €400,000 |
| Ending inventory | €15,000 |

Relevant exchange rates as follow:

4 th quarter average, 2020	P.93 = €1
December 31, 2020	P.94 = €1
Average 2021	P.96 = €1
4 th quarter average, 2021	P.99 = €1
December 31, 2021	P1.01 = €1

Question 1: Compute the cost of goods sold for 2021 in peso using the temporal method

a. P376,650	c. P388,800
b. P387,750	d. P400,950

Question 2: Compute the cost of goods sold for 2021 in peso using the current rate method

a. P376,550	c. P388,800
b. P387,750	d. P400,950

Question 3: Compute ending inventory for 2021 under the temporal method

a. P13,950	c. P14,400
b. P14,100	d. P14,850

Question 4: Compute ending inventory for 2021 under the current rate method

a. P13,950	c. P14,850
b. P14,100	d. P15,150

3. Kristal Inc., a British company, was acquired by a Philippine company on January 1, 2020. Selected account balances of Kristal Inc. are available for the year ended December 31, 2021, and are stated in euro, its local currency.



Sales	€400,000
Inventory (bought on February 1, 2021)	20,000
Equipment (bought on January 1, 2020)	90,000
Dividends (paid on September 1, 2021)	20,000
Accumulated depreciation – Equipment 12/31/2021	45,000
Depreciation expense – Equipment, 2021	9,000
Relevant exchange rates are given below:	

January 1, 2020	P.91
January 1, 2021	P.93
February 1, 2021	P.94
September 1, 2021	P.97
December 31, 2021	P1.01
4 th quarter average, 2020	P.90
4 th quarter average, 2021	P.98
Average, 2021	P.95

Question 1: Assume the functional currency is the euro, compute the restated amount for sales for 2021

- a. P364,000

b. P372,000
- c. P380,000

d. P360,000

Question 2: Assume the functional currency is the euro, compute the restated amount for inventory for 2021

- a. P18,600

b. P19,600
- c. P18,000

d. P20,200

Question 3: Assume the functional currency is the euro, compute the restated amount for equipment for 2021

- a. P81,900

b. P90,900
- c. P83,700

d. P88,200

Question 4: Assume the functional currency is the euro, compute the restated amount for dividends for 2021

- a. P19,000

b. P20,200
- c. P18,600

d. P19,400

Question 5: Assume the functional currency is the euro, compute the restated amount for accumulated depreciation for 2021

- a. P40,950

b. P41,850
- c. P45,450

d. P42,750

Question 6: Assume the functional currency is the euro, compute the restated amount for depreciation expense for 2021

- a. P8,190

b. P8,370
- c. P9,090

d. P8,550

Question 7: Assume the functional currency is the peso, compute the restated amount for sales for 2021

- a. P364,000

b. P372,000
- c. P380,000

d. P360,000



Question 8: Assume the functional currency is the peso, compute the restated amount for inventory for 2021

- a. P18,600

b. P19,600
- c. P18,000

d. P20,200

Question 9: Assume the functional currency is the peso, compute the restated amount for equipment for 2021

- a. P81,900

b. P90,900
- c. P83,700

d. P88,200

Question 10: Assume the functional currency is the peso, compute the restated amount for dividends for 2021

- a. P19,000

b. P20,200
- c. P18,600

d. P19,400

Question 11: Assume the functional currency is the peso, compute the restated amount for accumulated depreciation for 2021

- a. P40,950

b. P41,850
- c. P45,450

d. P42,750

Question 12: Assume the functional currency is the peso, compute the restated amount for depreciation expense for 2021

- a. P8,190

b. P8,370
- c. P8,820

d. P9,090

4. On November 19, 2021, Mica Company, a Philippine Company ordered merchandise from X Company for 31,800 pounds. The merchandise was delivered on December 18, 2021. The invoice was dated December 2, 2021, the shipping date (FOB shipping point). The company paid the invoice on January 28, 2022.

The spot rates for a pound on the respective dates were:

November 19, 2021	P76.90
December 2, 2021	P76.15
December 18, 2021	P75.75
December 31, 2021	P72.35
January 28, 2022	P73.15

What amount will affect profit or loss in 2021?

- a. P120,840 gain

b. P108,120 gain
- c. P25,440 loss

d. P144,690 gain

5. On October 5, 2020, Joy Company sold goods on account to X Corporation for 50,320 pounds. The date of invoice is October 29, 2020 and payment is due on January 30, 2021.

Exchange rates were as follows:

	BID rate	OFFER rate
Oct. 05, 2020	P67.50	P69.20
Oct. 29, 2020	P68.70	P66.80
Dec 31, 2020	P64.10	P63.40
Jan. 30, 2021	P62.40	P65.50

What amount will affect profit or loss in 2021?

- a. P171,088 loss

b. P85,544 loss
- c. P231,472 loss

d. P105,672 gain



6. On September 1, 2020, Patricia Company sold merchandise to a foreign firm for 250,000 francs. Terms of the sale require payment in francs on February 1, 2021. On September 1, 2020, the spot exchange rate was P1.20 per franc. On December 31, 2020, the company's year-end, the spot rate was P1.19 but the rate increased to P1.22 by February 1, 2021, when payment was received. How much should it report as foreign exchange transaction gain or loss in its 2021 income statement?
- a. 0

c. 5,000 gain

b. 2,500 loss

d. 7,500 gain

7. Novefe Corp. bought inventory items from a foreign supplier in Japan on November 15, 2020 for 100,000 yen, when the spot rate was P0.4295. On December 31, 2020, the spot rate was P0.4245. On January 15, 2021, the company bought 100,000 yen at the spot rate of P0.4345 and paid the invoice. How much should it report in its income statements for 2020 and 2021 as foreign exchange transaction gain or loss?
- 2020

a. P500

b. P0

2021

(P1,000)

(P500)

2020

c. (P500)

d. (P1,000)

2021

0

500

8. On August 3, 2020, Raphael Company entered into a non-cancellable purchase agreement with a foreign vendor involving a custom-made machine. The company took delivery of the machine on 12/1/2020 (120 days later). The purchase prices were 100,000 foreign currency units, which it remitted to the vendor on January 1, 2021 (60 days after delivery). Direct exchange rates on the respective dates are as follows:

	<u>Aug. 3, 2020</u>	<u>Dec. 1, 2020</u>	<u>Dec. 31, 2020</u>	<u>Jan. 31, 2021</u>
Spot rate	P1.60	P1.64	P1.67	P1.70
Forward rate	1.60	1.64	1.67	1.70

What is the foreign exchange gain or loss recognized in earnings for 2020 on the foreign currency commitment?

9. Nestor Corp. owns a subsidiary in Singapore whose statement of financial position in Singapore Dollars for the last two years follow:

	<u>December 31, 2020</u>	<u>December 31, 2021</u>
Assets:		
Cash and Cash equivalents	SP 90,000	SP 75,000
Receivables	367,500	442,500
Inventory	480,000	510,000
Property and Equipment, net	765,000	690,000
Total Assets	SP 1,702,500	SP 1,717,500
Liabilities and Equity:		
Accounts Payable	SP 165,000	SP 225,000
Long-term debt	967,500	855,000
Common stock	345,000	345,000
Retained earnings	225,000	292,500
Total Liabilities and Equity	SP 1,702,500	SP 1,717,500

Relevant exchange rates are:

January 1, 2020	SP 1 = P 45
December 31, 2020	SP 1 = P 42.50
December 31, 2021	SP 1 = P 47.50
Average 2020	SP 1 = P 43.75
September 12, 2020	SP 1 = P 40

It formed the subsidiary on January 1, 2020. Income of the subsidiary was earned evenly throughout the years and the subsidiary declared dividends worth SP15,000 on September 12, 2020 and none were declared during 2021. How much is the translation adjustment for 2021?

- a. P1,818,750

c. P3,018,750

b. P1,706,250

d. P2,625,000



DERIVATIVES

- A financial instrument that derives its value from the movement in commodity prices, foreign exchange rate and interest rate of an underlying asset or financial instrument.
- It is an executory contract, not a transaction, because it is an exchange of promises about future action.
- Derivatives are used for hedging. Derivatives are also called hedging instruments.
- It creates rights and obligations that have the effect of transferring between the parties to the instrument the financial risks inherent in an underlying primary financial instrument.
- **Financial risks are of four (4) types:**
 - ✓ **Price risk** – uncertainty in future price of an asset.
 - ✓ **Credit risk** – uncertainty over whether a counterparty or the party on the other side of the contract will honor the terms of the contract.
 - ✓ **Interest rate risk** – uncertainty about future interest rates and their impact on cash flows and the fair value of the financial instruments.
 - ✓ **Foreign exchange risk** – uncertainty about future Philippine peso cash flows stemming from assets and liabilities denominated in foreign currency.

Characteristics

- Its value changes in response to the change in an “underlying” variable.
 - ✓ An underlying is a specified interest rate, commodity price, foreign exchange rate, index of prices or rates and other variables.
 - ✓ An underlying may be a price or rate of an asset or a liability but not the asset or liability itself.
 - ✓ A derivative has a speculative amount of currency, number of shares, or number of units or volume.
- It requires either no initial net investment or a little initial net investment that would be required for other types of contracts that have similar response to changes in market conditions.
- It is readily settled at a future date by a net cash payment.

Basic Types of Derivatives

- **Forward contract**
 - ✓ A contract to purchase or sell a particular commodity at a designated future date at a predetermined price.
 - ✓ A private or over-the-counter contract between two parties. Banks are the typical counterparties.
- **Futures contract**
 - ✓ A contract to purchase or sell a particular commodity at a designated future date at a predetermined price.
 - ✓ A standard contract traded in a future exchange market and one party will never know who is on the other side of the contract.
 - ✓ All cash settlements are made through the exchange market.
- **Option**
 - ✓ A contract that gives the holder the right (not an obligation) to purchase or sell an asset at a specified price within a given future time period.
 - ✓ **Can be a:**
 - **Call option** – gives the holder the right to purchase an asset (part of the buyer).
 - **Put option** – gives the holder the right to sell an asset (part of the seller).
 - ✓ A derivative that requires initial small payment for the protection against unfavorable movement in price. Thus, an option must be paid for unlike an interest rate swap, forward contract and futures contract.
- **Interest rate swap (IRS)**
 - ✓ A contract whereby two parties agree to exchange cash flows for future interest payments based on a contract of loan. Thus, a contract of loan is the primary financial instrument while interest rate swap agreement is the derivative financial instrument.

Hedged Items

- **Hedged items can be:**
 - ✓ A single asset or liability
 - ✓ Firm commitment
 - ✓ Highly probable forecast transaction



- ✓ Net investment in a foreign operation

- ✓ **Hedge of a net investment in foreign operation**

Hedging

- Means designating one or more hedging instruments so that their change in fair value is an offset, in whole or in part, to the change in fair value or cash flows of a hedged item.
- A means of protecting a financing loss or the structuring of transactions to reduce risk.
- Categorized into three types of relationship:
 - **Fair value hedge** – is a protection against the risk from changes in fair value caused by fixed terms, rates or prices.
 - **Cash flow hedge** – is a protection against the risk from changes in cash flows caused by variable terms, rates or prices.
 - **Hedge of a net investment in a foreign operation** – involves an underlying variable which is the foreign currency.

-- End --

Hedge Accounting

- All derivatives are recognized as either “investment” assets or liabilities being recognized by either party, as market conditions change.
- They are measured at fair values. A change in fair values requires the recognition of a gain or loss. A gain or loss on derivative financial instruments is accounted for depending on how the derivative is used:
 - ✓ **No hedging designation**
 - Changes in fair value are recognized in earnings immediately.
 - ✓ **Fair value hedge**
 - Changes in fair value are recognized in earnings immediately.
 - Gain or loss on the hedged item attributable to the hedged risk should adjust the carrying amount of the hedged items and be recognized in earnings immediately.
 - ✓ **Cash flow hedge**
 - The effective portion of the gain or loss on the hedging instrument is reported in equity.
 - The ineffective portion of the gain or loss on the hedging instrument is reported immediately in earnings.



DERIVATIVES

THEORY

1. It is a financial instrument that derives its value from an “underlying” such as a share price, exchange rate or interest rate
 - a. Derivative
 - b. Financial asset
 - c. Financial liability
 - d. Equity instrument
2. The basic purpose of derivative financial instruments is to manage some kind of risk such as all of the following, except
 - a. Currency fluctuation
 - b. Interest rate variation
 - c. Stock price movement
 - d. Uncollectibility of accounts receivable
3. All of the following are characteristics of a derivative, except
 - a. It is settled at a future date
 - b. It requires no initial investment or an initial small net investment
 - c. Its value changes in response to the change in a specified underlying
 - d. It is acquired for the purpose of generating a profit from short-term fluctuations
4. Entities that attempt to exploit inefficiencies in various derivative markets by attempting to lock in profits by simultaneously entering into transactions in two or more markets are called
 - a. Arbitrageurs
 - b. Gamblers
 - c. Hedgers
 - d. Speculators
5. Any financial or physical variable that has either observable changes or objectively verifiable changes qualifies as
 - a. Notional amount
 - b. Hedge
 - c. Financial instrument
 - d. Underlying
6. Which of the following is an underlying?
 - a. A credit rating
 - b. A security price
 - c. An average daily temperature
 - d. All of these could be underlyings
7. An example of a notional amount is
 - a. Currency swap
 - b. Interest rate
 - c. Number of barrels of oil
 - d. Stock price
8. Which of the following instruments is not considered a derivative financial instrument?
 - a. Currency futures
 - b. Stock index option
 - c. Bank certificate of deposit
 - d. Interest rate swap
9. It is a commitment to purchase a specified commodity on a future date at a specified price through a futures exchange market
 - a. Forward contract
 - b. Futures contract
 - c. Call option
 - d. Put option
10. A call option is
 - a. Not recognized in the financial statements but only disclosed
 - b. Recognized and classified as current asset
 - c. Recognized and classified as noncurrent asset
 - d. Recognized as expense immediately
11. Which of the following provides the holder the right to sell at an exercise or strike price anytime during a specified period a gain accrues to the holder as the market price of the underlying falls below the strike price?
 - a. Forward contract
 - b. Put option
 - c. Swaption
 - d. Call option
12. Which is incorrect concerning an option?
 - a. A call option is the right to purchase an asset at a specified price during a definite period at some future time
 - b. A put option is the right to sell an asset at a specified price during a definite period at some future time



- c. An option is a right and not an obligation to purchase or sell an asset
 - d. An option requires no initial payment
13. It is an agreement whereby one party will receive a swap payment from another party if the interest rate is more than the underlying interest rate and will make a swap payment to the other party if the interest rate is lower than the underlying interest rate
- a. Receive fixed interest rate swap
 - b. Receive variable, pay interest rate swap
 - c. Receive fixed, pay variable interest rate swap
 - d. Receive variable interest rate swap
14. A derivative may be
- a. An asset account
 - b. A liability account
 - c. An owner's equity account
 - d. Either an asset or a liability account
15. Derivatives are measured at
- a. Fair value
 - b. Cost
 - c. Fair value less cost to sell
 - d. Higher between fair value and cost
16. Change in fair value of a derivative financial instrument that is determined to be an effective cash flow hedge shall
- a. Be recognized in profit or loss
 - b. Be recognized directly in equity
 - c. Be included in retained earnings
 - d. Not be recognized

PROBLEMS

1. The following data applies to Harris Company's purchase of 45,400 Belgium francs under a forward contract dated November 1, 2020, for delivery on January 31, 2021:

	11/1/20	12/31/20	01/31/21
Spot rates	P55.75	P53.90	P54.50
30-day forward rate	P51.30	P56.15	P53.20
60-day forward rate	P57.65	P52.30	P55.75
90-day forward rate	P54.25	P55.45	P52.10

The company entered into the forward contract to speculate in the foreign currency. In its income statement for the year ended December 31, 2020, what amount of gain/loss should it report from this forward contract?

- a. P83,990 gain
 - b. P83,990 loss
 - c. P86,260 loss
 - d. P86,260 gain
2. On November 1, 2020, Joseph Company entered into a firm commitment to acquire a machinery from X Company. Delivery and passage of title would be on February 28, 2021 at the price of 37,800 euros, accounted for as fair value hedge. On the same date, to hedge against unfavorable changes in the exchange rate, Joseph entered into a 120-day forward contract with ABC Bank for 37,800 euros.

Exchange rates were as follows:

	Spot Rate	Forward Rate
Nov. 01, 2020	P96.50	P94.30
Dec. 31, 2020	97.25	96.50
Feb. 28, 2021	99.70	99.70

Question 1: What amount will affect profit or loss regarding the derivative asset on the financial statement date in 2020?

- a. P28,350 loss
- b. P28,350 gain
- c. P83,160 loss
- d. P83,160 gain

Question 2: The Firm Commitment account balance as shown in the December 31, 2020 statement of financial position amounted to: (Indicate whether asset or liability)

- a. P83,160 liability
- b. P83,160 asset
- c. P28,350 asset
- d. P28,350 liability

3. Sherina Company sold merchandise for 111,200 euros to a customer in France on November 02, 2020. Collection in euros was due on January 31, 2021. On the same date, to hedge this foreign currency exposure, the company entered into a futures contract to sell 111,200 euros to ABC Bank for delivery on January 31, 2021.

Exchange rates for euros on different dates are as follows:

	<u>Nov. 2</u>	<u>Dec. 31</u>	<u>Jan. 31</u>
Spot rate	81.9	80.7	80.1
30-day futures	82.3	80.4	83.9
60-day futures	81.8	80.3	82.6
90-day futures	80.6	81.6	83.4
120-day futures	80.1	81.4	82.8

Question 1: What amount will affect profit or loss regarding the hedged item on the financial statement date in 2020?

- a. P22,240 gain

b. P22,240 loss
- c. P133,440 gain

d. P133,340 loss

Question 2: What amount will affect profit or loss regarding the hedging instrument on the settlement date in 2021?

- a. P66,720 gain

b. P66,720 loss
- c. P33,360 gain

d. P11,120 gain

Question 3: As a result of all foregoing transactions, what amount will affect current earnings on the settlement date in 2021?

- a. P33,360 gain

b. P33,360 loss
- c. P11,120 loss

d. P11,120 gain

4. Sarah Company acquired machinery for \$169,200 from a vendor in New York on December 1, 2020. Payment in US Dollars was due on March 31, 2021. On the same date, to hedge this foreign currency exposure, Sarah entered into a futures contract to purchase \$169,200 from ABC Bank for delivery on March 31, 2021.

Exchange rates for US Dollars on different dates are as follows:

	<u>Dec. 1</u>	<u>Dec. 31</u>	<u>March 31</u>
Selling spot rate	41.4	42.3	43.7
30-day futures	42.3	41.8	43.2
60-day futures	41.8	42.2	42.6
90-day futures	40.6	42.5	43.4
120-day futures	42.2	42.8	42.9

Question 1: What amount will affect profit or loss regarding the hedged item on its settlement date in 2021?

- a. P152,280 loss

b. P152,280 gain
- c. P236,880 loss

d. P236,880 gain

Question 2: What amount will affect profit or loss regarding the hedging instrument on the financial statement date in 2020?

- a. P50,760 loss

b. P50,760 gain
- c. P16,920 loss

d. P16,920 gain

Question 3: As a result of all foregoing transactions, what amount will affect current earnings on the financial statement date in 2020?

- a. P33,840 gain

b. P33,840 loss
- c. P101,520 loss

d. P101,520 gain

5. On October 1, 2020, Abigail Company took delivery from Thailand firm of inventory costing 1,140,000 baht. Payment is due on January 30, 2021. Concurrently, it paid P15,700 cash to acquire an at-the-money call option for 1,140,000 baht. Strike price is P12.40

	<u>10/1/2020</u>	<u>12/31/2020</u>	<u>1/30/2021</u>
Market price	P12.40	P12.423	P12.427
Fair value of call option		P28,200	P30,780

Question 1: The gain/loss on hedging instrument due to change in the ineffective portion on December 31, 2020

- a. P12,500 gain

b. P26,220 loss
- c. P26,220 gain

d. P13,720 loss

Question 2: The gain/loss on hedging instrument due to change in the effective portion on December 31, 2021

- a. P4,560 loss

b. P4,560 gain
- c. P2,580 gain

d. P1,980 loss

Question 3: The December 31, 2020 gain/loss in the hedging activity amounted to

- a. P13,720 loss

b. P13,720 gain
- c. P38,720 gain

d. P38,720 loss

Question 4: The gain/loss on hedging instrument in 2021 if changes in the time value will be included from the assessment of hedge effectiveness

- a. P4,560 gain

b. P1,980 loss
- c. P1,980 gain

d. P2,580 gain

6. On December 1, 2020, Erin Company acquired 4,600 shares of X Company at a cost of P28 per share. Erin company classifies them as FVOCI. On this same date, Erin company decides to hedge against a possible decline in the value of the securities by purchasing, at a cost of P11,900, an at-the-money put option to sell the 4,600 shares. The option expires on April 1, 2021. The fair values of the investment and the options follow:

	<u>12/1/20</u>	<u>12/31/20</u>	<u>4/1/21</u>
Erin Company shares (per share):	P28	P 26.50	P23.50
Put Option (4,600 shares)			
Market value		P15,400	P20,700

Question 1: The gain/loss on option contract due to change in time value on December 31, 2020

- a. P3,400 gain

b. P6,900 loss
- c. P3,400 loss

d. P6,900 gain

Question 2: The gain/loss on option contract due to change in intrinsic value in 2021

- a. P5,300 gain

b. P5,300 loss
- c. P13,800 loss

d. P13,800 gain

Question 3: The 2021 net gain/loss in the hedging activity amounted to

- a. P13,800 loss

b. P13,800 gain
- c. P8,500 loss

d. P5,300 gain

Question 4: The gain/loss on option contract on December 31, 2020

- a. P3,400 loss

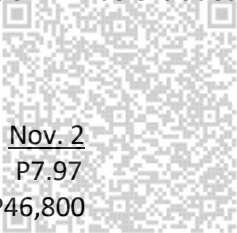
b. P3,500 gain
- c. P6,900 gain

d. P6,900 loss

7. On August 1, Angelie Company forecasted the purchase of 60,000 units of inventory from Thailand Company. The purchase would probably occur on November 2 and require the payment of 2,340,000 baht. It is anticipated that the inventory could be further processed and delivered to customers by early December. On August 1, the company purchased a call option to buy 2,340,000 baht at a strike price of 1FC = P7.95. An option premium of P8,850 was paid. Changes in the time value of the option will be excluded from the assessment of hedge effectiveness.

Spot rates and option values are as follows;

	<u>Aug 1</u>	<u>Aug 31</u>	<u>Sept. 30</u>	<u>Nov. 2</u>
Spot rate	P7.93	P7.952	P7.963	P7.97
Fair value of call option	P8,850	P15,690	P34,410	P46,800



On November 2, the company purchased 60,000 units of inventory at a cost of 2,376,000 baht. The option was settled/sold on November 2 at its fair value. After incurring further processing costs of P240,000, the inventory was sold for P29,400,000 on December 7.

Question 1: The gain/loss on option contract on August 31 that would affect earnings

- | | |
|----------------|----------------|
| a. P4,680 gain | c. P2,160 gain |
| b. P6,840 gain | d. P0 |

Question 2: The gain/loss on option contract on September 30 presented as other comprehensive income

- | | |
|----------------|-----------------|
| a. P4,860 loss | c. P30,420 gain |
| b. P7,020 loss | d. P25,740 gain |

Question 3: The gain/loss on option contract on November 2 that would affect earnings

- | | |
|----------------|-----------------|
| a. P8,850 loss | c. P12,390 gain |
| b. P3,990 loss | d. P16,380 gain |

Question 4: What is the net income effect of the above transactions?

- | | |
|----------------|----------------|
| a. P10,214,430 | c. P10,261,230 |
| b. P10,223,280 | d. P10,270,080 |

8. On January 2, 2020, Y Company received a two-year P5,000,000 loan, which calls for payments to be made at the end of each year based on the prevailing market rate at January 1 of each year. The interest rate at January 2, 2020 was 10%. Another company, X, also has a two-year P5,000,000 loan, but X's loan carries a fixed interest rate of 10%.

Y does not want to bear the risk that interest rates may increase in 2021. X believes that rates may decrease, and it would prefer to have variable debt. Through an intermediary, the two companies enter into an interest rates swap whereby X agrees to make Y interest payment in 2021 and Y agrees to make X's interest payment in 2021.

Questions:

1. From the point of view of Y, how should the hedging activity be classified?
2. From the point of view of X, how should the hedging activity be classified?
3. If the interest rate on January 1, 2021 is 8% what amount would Y receive (pay) from (to) X?



-- End --

BUSINESS COMBINATION

Consolidated Financial Statements

- IFRS 3 establishes principles and requirements for how the acquirer:
 - ✓ Recognizes and measures the identifiable assets acquired, the liabilities assumed and any non-controlling interest (NCI) in the acquiree.
 - ✓ Recognizes and measures the goodwill acquired in the business combination, or a gain from a bargain purchase.
 - ✓ Determines what information to disclose about the business combination.

Applying the acquisition method

- Once the investor acquires a subsidiary, it has to account for each business combination by applying the acquisition method.
- **The acquisition method involves 4 steps:**
 - ✓ Identifying the acquirer.
 - ✓ Determining the acquisition date.
 - ✓ Recognizing and measuring the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree.
 - ✓ Recognizing and measuring goodwill or a gain from a bargain purchase.
- **Step 1:** Identify the acquirer.
 - ✓ The acquirer is usually the investor who acquires an investment or a subsidiary.
- **Step 2:** Determine the acquisition date.
 - ✓ The date on which the acquirer obtains control of the acquiree.
 - ✓ The date on which the acquirer legally transfers the consideration (the payment for the investment), acquires the assets and assumes the liabilities of the acquiree – the closing date.
 - ✓ Can be earlier or later than the closing date, too. It depends on the contractual arrangements in the written agreement, if something like that exists.
- **Step 3:** Recognize and measure the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree
 - ✓ **3.1 Acquired assets and liabilities**
 - An acquirer or investor shall recognize all identifiable assets acquired, liabilities assumed and non-controlling interests in the acquiree separately from goodwill.
 - All assets and liabilities are *measured at acquisition-date fair value*.
 - ✓ **3.2 Non-controlling interest**
 - **Non-controlling interest** is the equity in a subsidiary not attributable, directly or indirectly, to a parent.

- ✓ IFRS 3 permits 2 methods of measuring non-controlling interest:
 - Fair value, or
 - The proportionate share in the recognized acquiree’s net assets.
- **Step 4:** Recognize and measure goodwill or a gain from a bargain purchase.
 - ✓ **Goodwill** is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognized.
 - **It is calculated as a difference between:**
 - o **The aggregate of:**
 - ✓ The fair value of the consideration transferred.
 - ✓ The amount of any non-controlling interest.
 - ✓ In a business combination achieved in stages: the acquisition-date fair value of the acquirer’s previously-held equity interest in the acquiree; and
 - ✓ The acquisition-date amounts of net assets in an acquiree.
 - **The goodwill can be both positive and negative:**
 - o If the goodwill is **positive**, then you shall recognize it as an intangible asset and perform annual impairment test.
 - o If the goodwill is **negative**, then it is a gain on a bargain purchase. You should:
 - ✓ Review the procedures for recognizing assets and liabilities, non-controlling interest, previously held interest and consideration transferred (i.e. check whether they are error-free);
 - ✓ Recognize a gain on bargain purchase in profit or loss.
 - Consideration transferred is measured at fair value, including any contingent consideration. Subsequent change in a consideration transferred is accounted for depending on the initial recognition of the contingent consideration.

Control as the basis for consolidation (PFRS 10)

- **The basic rule is:**
 - ✓ If an investor controls its investee, then investor must consolidate.
 - ✓ If an investor does NOT control its investee, then investor does NOT consolidate.



- What is control?
 - An investor controls an investee when the investor:
 - Is exposed to, or has right to variable returns from its involvement with the investee.
 - Has the ability to affect those returns.
 - Through its power over the investee.

Accounting requirements of IFRS 10

- Consolidation procedures
 - In order to prepare consolidated financial statements, IFRS 10 prescribes the following consolidation procedures:
 - Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries.
 - Offset (eliminate):
 - The carrying amount of the parent’s investment in each subsidiary; and
 - The parent’s portion of equity of each subsidiary.
 - Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the group.

FORMULAS MOSTLY USED IN PFRS 3 AND 10

- 1) Goodwill/Gain on a bargain purchase

FV of consideration given up	xxxx
Non-controlling interest (NCI)	xxxx
FV of previously held interest	xxxx
Initial carrying amount	xxxx
FV of net assets acquired	(xxxx)
Goodwill (Gain on bargain purchase)	xxxx
- 2) Consolidated Assets at Acquisition Date

Parent’s total assets at acquisition date	xxxx
Consideration given up (cash or NCA)	(xxxx)
Payments to other costs on acquisition date	(xxxx)
Goodwill on business combination	xxxx
Parent’s adjusted total assets @ book value	xxxx
Subsidiary’s adj. total assets @ fair value	xxxx
Consolidated assets at acquisition date	xxxx
- 3) Consolidated Liabilities at Acquisition Date

Parent’s total liabilities @ acquisition date	xxxx
Contingent consideration (if asset)	xxxx
Parent’s adjusted total liabilities @ BV	xxxx
Subsidiary’s adjusted total liabilities @ FV	xxxx
Consolidated liabilities at acquisition date	xxxx
- 4) Consolidated Equity at Acquisition Date

Parent’s Equity at acquisition date	xxxx
Shares issued as consideration at TFCV	xxxx
Gain on bargain purchase	xxxx
Acquisition date costs	(xxxx)
Stock issuance costs	(xxxx)
Remeasurement gain/loss on previously held interest	xxxx/(xxxx)
Others presented at PL	xxxx/(xxxx)

Parent’s adjusted equity @ Book Value	xxxx
Non-controlling interest of Subsidiary	xxxx
Consolidated equity at acquisition date	xxxx

- 5) Consolidated Sales

Reported sales of Parent	xxxx
Reported sales of Subsidiary	xxxx
Total sales	xxxx
Intercompany sale related to inventory (upstream & downstream)	(xxxx)
Consolidated sales	xxxx
- 6) Consolidated Cost of Sales

Reported cost of sales of Parent	xxxx
Reported cost of sales of Subsidiary	xxxx
Intercompany sales	(xxxx)
Unrealized profit in ending inventory	xxxx
Realized profit in ending inventory	(xxxx)
Depreciation of FVA on inventory	xxxx
Consolidated cost of sales	xxxx
- 7) Consolidated Gross Profit

Consolidated sales	xxxx
Consolidated cost of sales	(xxxx)
Consolidated gross profit	xxxx
- 8) Parent’s Adjusted Net Income

Reported net income (cost method)	xxxx
Dividend from Subsidiary	(xxxx)
Unrealized profits	(xxxx)
Impairment loss of goodwill	(xxxx)
Adjusted Net Income	xxxx
- 9) Subsidiary’s Adjusted Net Income

Reported net income (book value)	xxxx
Effects of amortization of differences of BV and FV of Subsidiary’s assets and liabilities	xxxx/(xxxx)
Effect of upstreams transactions	xxxx/(xxxx)
Effect of subsidiary-subsidiary transactions	xxxx/(xxxx)
Impairment loss on total goodwill	(xxxx)
Adjusted net income	xxxx
- 10) Consolidated Comprehensive Income

Net income of Parent	xxxx
Net income of Subsidiary	xxxx
Consolidated net income	xxxx
- 11) Consolidated Retained Earning

Consolidated retained earnings, beginning	xxxx
Consolidated net income attributable to Parent [Net income of Parent + (Net income of Subsidiary x controlling interest)]	xxxx
Consolidated retained earnings, ending	xxxx
- 12) Non-controlling Interest

Non-controlling interest, beginning	xxxx
CNI attributable to non-controlling interest	xxxx
Dividends declared by Subsidiary to NCI	(xxxx)
Non-controlling interest, ending	xxxx

-- End --

BUSINESS COMBINATION

THEORY

1. PFRS 3 defines it as a transaction or event in which an acquirer obtains control of one or more businesses
 - a. Business combination
 - b. Consolidation
 - c. Merger
 - d. Acquisition of net assets
2. A business combination whereby the company taking over the properties of other companies retains its identity and continues operations as a larger unit and the other companies are dissolved is known as a
 - a. Consolidation
 - b. Merger
 - c. Pooling of interests
 - d. Quasi-reorganization
3. A business combination in which a new corporation is created, and two or more existing corporations are combined into the newly created corporation is called a
 - a. Merger
 - b. Purchase transaction
 - c. Pooling-of-interests
 - d. Consolidation
4. Under PFRS 3, how should an entity (acquirer) account for each business combination?
 - a. Pooling of interest method
 - b. Proportionate consolidation method
 - c. Acquisition method
 - d. Equity method
5. It refers to the date on which the acquirer obtains control of the acquiree
 - a. Business combination date
 - b. Acquisition date
 - c. Control date
 - d. Consolidation date
6. The acquisition method of accounting for a business combination requires all of the following, except
 - a. Identifying the acquirer
 - b. Determining the acquisition date
 - c. Recognizing and measuring the identifiable assets acquired, the liabilities assumed and the noncontrolling interest in the acquiree at carrying amount
 - d. Recognizing goodwill or gain from bargain purchase
7. In a business combination, goodwill is measured as the excess of
 - a. The consideration transferred over the identifiable net assets acquired
 - b. The total of the consideration transferred and the amount of any non-controlling interest in the acquiree over the identifiable assets acquired
 - c. The total of the consideration received and the fair value of the previously held interest in the acquiree over the identifiable net assets acquired
 - d. The total of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of previously held interest in the acquiree over the identifiable net assets acquired
8. Under PFRS 10, an investor controls an investee if the investor has all of the following, except
 - a. The power over the investee
 - b. Exposure or rights to variable returns from the involvement with the investee
 - c. The ability to use the power over the investee to affect the amount of the investor's returns
 - d. All of these indicate control
9. Control is presumed to exist when the parent owns directly or indirectly through subsidiaries
 - a. More than half of the equity of the entity
 - b. More than half of the ordinary shares of an entity
 - c. More than half of the preference and ordinary shares of an entity
 - d. More than half of the voting power of an entity
10. Which of the following statements is(are) correct according to PFRS 10?
 - a. Consolidated financial statements are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity
 - b. Separate financial statements are the financial statements by a parent in which the investments are accounted for on the basis of the direct equity interest
 - c. Noncontrolling interest is that portion of the profit or loss and net assets of a subsidiary attributable to equity interests that are not owned directly or indirectly through subsidiaries by the parent
 - d. All of the above

11. How shall the parent corporation present the Noncontrolling Interest (NCI) in the Consolidated Statement of financial Position?
- a. It shall be presented within Consolidated Stockholder’s Equity, separately from the equity of the owners of the parent
 - b. It shall be presented as non-current liability
 - c. It shall be presented as non-current assets
 - d. It shall be presented as contra-equity account like treasury shares and subscription receivable

PROBLEMS

1. The following are the condensed Statement of Financial Position of X and Y on January 1, 2021:

	X	Y
Total Assets	P10,250,000	P3,057,500
Liabilities	P 2,775,000	P 800,000
Ordinary shares	3,100,000	1,295,000
Share premium	1,250,000	100,000
Retained Earnings	3,125,000	862,500

Z Corp. acquired the net assets of both X and Y by paying cash in the amount of P185,000 and by issuing 198,500 shares to X and by paying cash in the amount of P72,000 and by issuing 54,350 shares to Y. The par value of these shares is P35/share and market value as of January 1, 2021 is P40/share.

Z Corp. also incurred the following unpaid expenses:

	X	Y
Indirect costs	P 93,750	P101,250
Finder’s fee	66,250	35,000
Accounting and legal fees for SEC registration	343,750	362,500
Printing costs of stock certificates	125,000	93,750

Z’s retained earnings has a balance of P10,750,000 on January 1, 2021 immediately before the acquisition.

As a result of the merger, compute for the amount of:

- Goodwill
- Net increase or (net decrease) in retained earnings in the statement of financial position of Z Corporation
- Net increase or (net decrease) in the stockholders’ equity of Z Corporation
- Net increase or (net decrease) in the identifiable assets of Z Corporation

2. X Corporation acquired 100 percent of Y Company's common stock on January 1, 2021 for P150,000. Balance sheet data for the two companies immediately following the acquisition follow:

Item	X Corporation	Y Company
Cash	P30,000	P25,000
Accounts Receivable	80,000	40,000
Inventory	150,000	55,000
Land	65,000	40,000
Buildings and Equipment	260,000	160,000
Less: Accumulated Depreciation	(120,000)	(50,000)
Investment in Y Company Stock	150,000	
Total Assets	P615,000	P270,000
Accounts Payable	P45,000	P33,000
Taxes Payable	20,000	8,000
Bonds Payable	200,000	100,000
Common Stock	50,000	20,000
Retained Earnings	300,000	109,000
Total Liabilities and Stockholder’s Equity	P615,000	P270,000

At the date of the business combination, the book values of Y's net assets and liabilities approximated fair value except for inventory, which had a fair value of P60,000, and land, which had a fair value of P50,000. The fair value of land for X Corporation was estimated at P80,000 immediately prior to the acquisition.

Question 1: At what amount should total land be reported in the consolidated balance sheet prepared immediately after the business combination?

- a. P130,000

b. P105,000
- c. P115,000

d. P120,000

Question 2: What amount of total assets will appear in the consolidated balance sheet prepared immediately after the business combination?

- a. P756,000

b. P735,000
- c. P750,000

d. P642,000

Question 3: What amount of goodwill will be reported in the consolidated balance sheet prepared immediately after the business combination?

- a. P0

b. P21,000
- c. P6,000

d. P15,000

Question 4: What amount of liabilities will be reported in the consolidated balance sheet prepared immediately after the business combination?

- a. P615,000

b. P406,000
- c. P300,000

d. P265,000

Question 5: What amount of retained earnings will be reported in the consolidated balance sheet prepared immediately after the business combination?

- a. P300,000

b. P409,000
- c. P259,000

d. P191,000

Question 6: What amount of total stockholder's equity will be reported in the consolidated balance sheet prepared immediately after the business combination?

- a. P300,000

b. P479,000
- c. P315,000

d. P350,000

3. On January 1, 2021, X acquired 90% of the equity share capital of Y in a share exchange in which X issued two new shares for every three shares it acquired in Y. Additionally, on December 31, 2021, X will pay the shareholders of Y P1.76 per share acquired. X's cost of capital is 10% per annum. At the date of acquisition, shares in X and Y had a stock market value of P6.50 and P2.50 each, respectively.

Income statements for the year ended September 30, 2021:

	X	Y
Revenue	64,600,000	38,000,000
Cost of sales	(51,200,000)	(26,000,000)
Gross profit	13,400,000	12,000,000
Distribution costs	(1,600,000)	(1,800,000)
Administrative expenses	(3,800,000)	(2,400,000)
Investment income	500,000	Nil
Finance costs	(420,000)	Nil
Profit before tax	8,080,000	7,800,000
Income tax expense	(2,800,000)	(1,600,000)
Profit for the year	5,280,000	6,200,000
Equity as at October 1, 2020		
Equity shares of P1 each	30,000,000	10,000,000
Retained earnings	54,000,000	35,000,000

The following information is relevant:



At the date of acquisition, the fair values of Y’s assets were equal to their carrying amounts with the exception of two items:

- An item of plant had a fair value of P1.8 million above its carrying amount. The remaining life of the plant at the date of acquisition was three years. Depreciation is charged to cost of sales.
- Y had a contingent liability which X estimated to have a fair value of P450,000. This has not changed as of September 30, 2021.
- Y has not incorporated these fair value changes into its financial statements.

X’s policy is to value the non-controlling interest at fair value at the date of acquisition. For this purpose, Y’s share price at that date can be deemed to be representative of the fair value of the shares held by the non-controlling interest.

Calculate the consolidated goodwill at the date of acquisition of Y.

4. On January 2, 2021, the Statement of Financial Position of X and Y Company prior to the combination are:

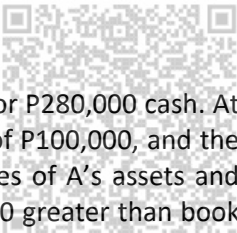
	X Co.	Y Co.
Cash	P 675,000	P 22,500
Inventories	450,000	45,000
Property and equipment (net)	<u>1,125,000</u>	<u>157,500</u>
Total Assets	<u>P 2,250,000</u>	<u>P 225,000</u>
Current Liabilities	P 135,000	P 22,500
Ordinary shares, P100 par	225,000	22,500
Share premium	675,000	45,000
Retained Earnings	<u>1,215,000</u>	<u>135,000</u>
Total Liabilities and Stockholder’s Equity	<u>P 2,250,000</u>	<u>P 225,000</u>

The fair value of Y Company’s equipment is P229,500.

Assume the following independent cases:

- Assuming X Company acquired all of the outstanding stock of Y Company resulting to a goodwill of P99,000, contingent consideration is P54,000, how much is the price paid to Y Company’s stock?
- Assuming X Company acquired 70% of the outstanding common stock of Y Company for P157,500 and Non-controlling interest is measured at fair value of P91,500, how much is the goodwill (gain on acquisition)?
- Assuming X Company acquired 80% of the outstanding common stock of Y Company for P205,200 and Non-controlling interest is measured at Non-controlling interest’s proportionate share of Y Company’s identifiable net assets, how much is the consolidated stockholder’s equity on the date of acquisition?
- Assuming X Company acquired 90% of the outstanding common stock of Y Company for P364,500 and Non-controlling interest is measured at fair value, how much is the total consolidated assets on the date of acquisition?

5. On January 1, 2020, B Company acquired 80 percent of A Company's common stock for P280,000 cash. At that date, A reported common stock outstanding of P200,000 and retained earnings of P100,000, and the fair value of the noncontrolling interest was P70,000. The book values and fair values of A’s assets and liabilities were equal, except for other intangible assets which had a fair value P50,000 greater than book value and an 8-year remaining life. A reported the following data for 2020 and 2021:



A Corporation

<u>Year</u>	<u>Net Income</u>	<u>Comprehensive Income</u>	<u>Dividends Paid</u>
2020	P25,000	P30,000	P5,000
2021	P35,000	P45,000	P10,000

B reported net income of P100,000 and paid dividends of P30,000 for both the years.

Question 1: What is the amount of consolidated comprehensive income reported for 2020?

Question 2: What is the amount of consolidated comprehensive income reported for 2021?

Question 3: What is the amount of comprehensive income attributable to the controlling interest for 2020?

Question 4: Based on the preceding information, what is the amount of comprehensive income attributable to the controlling interest for 2021?

6. On January 2, 2021, A Corporation purchase 80% of B Company’s common stock for P810,000. P37,500 of the excess is attributable to goodwill and the balance to a depreciable asset with an economic life of ten years. Non-controlling interest is measured at its fair value on date of acquisition. On the date of acquisition, stockholders’ equity of the two companies were as follows:

	<u>A Corp.</u>	<u>B Co.</u>
Ordinary shares	P1,312,500	P 300,000
Retained earnings	1,950,000	525,000

On December 31, 2021, B Company reported net income of P131,250 and paid dividends of P45,000 to A. A reported earnings from its separate operations of P356,250 and paid dividends of P172,500. Goodwill had been impaired and should be reported at P7,500 on December 31, 2021.

Question 1: How much is the consolidated profit on December 31, 2021?

- a. P447,187.50

b. P473,437.50
- c. P450,000

d. P442,500

Question 2: How much is the consolidated retained earnings attributable to parent’s shareholders equity on December 31, 2021?

- a. P2,202,750

b. P2,197,500
- c. P2,196,750

d. P2,599,687.50

Question 3: How much is the non-controlling interest in profit of B Company on December 31, 2021?

- a. P23,437.50

b. P23,250
- c. P26,250

d. P17,250

Question 4: What amount of non-controlling interest is to be presented in the consolidated statement of financial position on December 31, 2021?

- a. P205,312.50

b. P208,500
- c. P193,125

d. P181,875



Question 5: How much is the consolidated profit attributable to parent shareholders on December 31, 2021?

- a. P420,000

b. P445,500
- c. P425,250

d. P450,000

7. On January 2, 2020, X Company acquired 90% of the outstanding shares of Y Inc. at book value. During 2020 and 2021, intercompany sales amounted to P2,000,000 and P4,000,000, respectively. X Company consistently recognized a 25% mark-up based on cost while Y Inc. had a 25% gross profit on sales. The inventories of the buying affiliate, which all came from inter-company transactions show:

	<u>Dec. 31, 2020</u>	<u>Dec. 31, 2021</u>
X	P240,000	P160,000
Y	100,000	40,000

On October 1, 2020, Y Inc., purchased a piece of land costing P1,000,000 from X Company for P1,500,000. On December 1, 2021, Y Inc., sold this land to unrelated party for P1,500,000. On the other hand, on July 1, 2021, Y Inc. sold a used photocopier with a carrying value of P60,000 and remaining life of 3 years to X Company for P42,000.

Separate Statement of Comprehensive Income for the two companies for the year 2021 follow:

	<u>X Company</u>	<u>Y Inc.</u>
Sales	P25,000,000	P14,000,000
Cost of Sales	<u>(15,000,000)</u>	<u>(8,400,000)</u>
Gross Profit	P10,000,000	P5,600,000
Operating Expenses	<u>(6,000,000)</u>	<u>(3,800,000)</u>
Operating Profit	P 4,000,000	P1,800,000
Loss on Sale of Office Equipment		(18,000)
Dividend Revenue		<u>40,000</u>
Net Income	P4,000,0000	P1,822,000

Compute the following amounts for/as of December 31, 2021

Question 1: Consolidated Gross Profit

- a. P19,632,000

b. P15,712,000
- c. P15,632,000

d. P15,584,000

Question 2: Consolidated Net Income attributable to Parent

- a. P6,183,300

b. P6,369,000
- c. P6,169,800

d. P6,191,300

Question 3: Non-controlling interest in Net Income

- a. P189,700

b. P185,700
- c. P188,200

d. P184,200

Question 4: Consolidated Operating Expense

- a. P9,800,000

b. P9,788,000
- c. P9,803,000

d. P9,789,500

8. On January 1, 2021, Entity A acquired 90% of outstanding ordinary shares of Entity B at a price of P900,000. Entity A paid P20,000 costs related to acquisition of shares.

- At the acquisition date, the net assets of Entity B were reported at P950,000. All the assets of Entity B are properly valued except for a machinery which is undervalued by P150,000. The machinery has a remaining useful life of 5 years.
- For the year ended December 31, 2021, Entity B reported net income of P200,000 and declared dividends in the amount of P30,000.

- The fair value of Investment in Entity B on December 31, 2021 is P1,000,000 while the cost of disposal is 5%.
- Entity A voluntarily prepared its separate financial statements.

Question 1: If Entity A elects cost method to account its Investment in Entity B in its separate financial statements, what is the carrying amount of the Investment in Entity B on December 31, 2021?

- a. P900,000

b. P920,000
- c. P1,000,000

d. P950,000

Question 2: What is the investment income for 2021 if Entity A elects cost method to account its Investment in Entity B in its separate financial statements?

- a. P7,000

b. P27,000
- c. P180,000

d. P107,000

Question 3: If Entity A elects fair value model to account its Investment in Entity B in its separate financial statements, what is the carrying amount of the Investment in Entity B on December 31, 2021?

- a. P900,000

b. P920,000
- c. P1,000,000

d. P950,000

Question 4: What is the net effect in profit or loss for 2021 if Entity A elects fair value model to account its Investment in Entity B in its separate financial statements?

9. Entity A acquired 75% of the outstanding common shares of Entity B on January 1, 2020 at an amount equal to the book value and fair value of identifiable net assets when the shareholders’ equity of B is composed of capital stock of P3,000,000 and retained earnings of P2,000,000. NCI was elected to be initially measured at proportionate share of fair value of identifiable net assets.

A summary of the separate 2022 income statements of Entity A and Entity B, were as follows:

	Entity A	Entity B
Sales	P9,000,000	P5,400,000
Gain on sale of equipment	180,000	-
Dividend income	262,500	-
Cost of goods sold	(3,600,000)	(2,340,000)
Depreciation expense	(900,000)	(540,000)
Other expenses	(1,440,000)	(720,000)
Net income	P3,502,500	P1,800,000

There was an upstream sale of equipment with a book value of P720,000 for P1,170,000 on January 2, 2020. At the time of the intercompany sale, the equipment had a remaining useful life of five years. Entity A uses straight-line depreciation with no residual value. The buying affiliate used the equipment until December 31, 2022, at which time it was sold to a third-party, Entity Z, for P648,000. The balance of retained earnings of Entity A and Entity B at the beginning of 2022 are P10,000,000 and P5,000,000, respectively, while dividends declared for the year amounted to P1,500,000 and P350,000 for Entity A and Entity B, respectively.

Question 1: In the December 31, 2022 consolidated statement of financial position, how much is the balance of retained earnings?

- a. P15,340,000

b. P16,090,000
- c. P12,340,000

d. P16,452,500

Question 2: In the December 31, 2022 consolidated statement of financial position, how much is the balance of non-controlling interest?

- a. P1,612,500

b. P2,450,000
- c. P2,362,500

d. P1,250,000



10. The following transactions occurred for the period ended December 31, 2020 regarding Entity A and its two subsidiaries, Entity B and Entity C:

- On January 1, 2020, Entity A acquired 60% of the outstanding common stock of Entity B and 70% of the outstanding common stock of Entity C. It is the policy of Entity A to account all its investments in subsidiary using cost method in its separate financial statements.
- On May 1, 2020, Entity A sold inventory to Entity C with cost of P75,000 at a price of P100,000. On June 1, 2020, Entity C resold all the inventory coming from Entity A at a price of P150,000 as follows: 80% to unrelated parties and 20% to Entity B.
- On July 1, 2020, Entity B sold a new set of inventory to Entity C with cost of P125,000 at a price of P200,000. On August 1, 2020, Entity C resold all the inventory coming from Entity B at a price of P300,000 as follows: 40% to unrelated parties and 60% to Entity A.
- For the period ended December 31, 2020, the Entities A, B and C reported sales revenue of P3,000,000, P2,000,000 and P1,000,000, respectively, and cost of sales of P1,000,000, P750,000 and P500,000, respectively, in their separate income statements.

Question 1: What is the amount of sales revenue to be reported in the consolidated income statement for the year ended December 31, 2020?

- | | |
|---------------|---------------|
| a. P5,700,000 | c. P5,620,000 |
| b. P5,490,000 | d. P5,870,000 |

Question 2: What is the amount of cost of sales to be reported in the consolidated income statement for the year ended December 31, 2020?

- | | |
|---------------|---------------|
| a. P1,910,000 | c. P2,005,000 |
| b. P2,155,000 | d. P1,860,000 |

11. The following transactions occurred for the years ended December 31, 2020 and December 31, 2021 regarding Entity A and its two subsidiaries, Entity B and Entity C:

- On January 1, 2020, Entity A acquired 75% of the outstanding common stock of Entity B. On this date, the equipment on Entity B with remaining useful life of 5 years has a book value of P200,000 but its fair value is estimated to be P250,000.
- On April 1, 2020, Entity A acquired 62% of the outstanding common stock of Entity C.
- It is the policy of Entity A to account all its investments in subsidiary using cost method in its separate financial statements.
- On January 1, 2021, Entity B sold his undervalued equipment to Entity A at a price of P150,000.
- On April 1, 2021, Entity A resold the said equipment to Entity C at a price of P300,000.
- On July 1, 2021, Entity C resold the said equipment to a third party at a price of P180,000.

Question 1: What is the consolidated gain on sale of equipment to be reported by Entity A in its consolidated income statement for the year ended December 31, 2021?

- | | |
|------------|------------|
| a. P5,000 | c. P30,000 |
| b. P25,000 | d. P40,000 |

-- End --



NON-PROFIT ORGANIZATIONS (NPOs)

- Include civic organizations, colleges and universities, cultural institutions, hospitals, labor unions, private foundations, professional organizations, religious organizations, cooperatives and social and country clubs.
- They do not include governmental units.

Accounting Standards for NPOs

- The accounting standards applicable to NPOs are adopted from the guidelines issued by American Institute of Certified Public Accountant (AICPA) applicable to all NPOs.

Financial Statements of NPOs

- Financial statements of NPOs vary in forms and contents. For uniformity in financial reporting, the Financial Accounting Standards Boards of the AICPA issued FASB Statement No. 117, Financial Statements of Not-for-Profit Organizations.
- Financial statements of nonprofit organizations shall be
 - ✓ Statement of Financial Position
 - ✓ Statement of Activities
 - ✓ Statement of Cash Flows
 - ✓ Notes to the financial statements
- The **Statement of Financial Position** shall report the following:
 - ✓ Amounts of the organization’s total assets, total liabilities and total net assets.
 - ✓ Amounts for each of the three classes of the organization’s net assets:
 - o **Permanently** restricted net assets
 - o **Temporarily** restricted net assets
 - o **Unrestricted** net assets
- The **Statement of Activities** shall report the following:
 - ✓ Gross amounts of revenues and expenses of the organization, except that investment revenues may be reported net of expenses and gains or losses on disposal of plant assets.
 - ✓ Expenses by functional classifications such as program services and supporting services.
 - ✓ Amount of the change in the organization’s net assets for the period with a caption such as changes in net assets or change in equity.
 - ✓ Amount of the changes in each of the three classes of the organization’s net assets: permanently restricted, temporarily restricted, and unrestricted.
- The **Statement of Cash Flows** shall be similar in format – direct method or indirect method – to one that is used by business enterprises.

- Unrestricted net assets usually are those in the unrestricted (or general) fund.
- Temporarily restricted net assets generally are those in restricted funds, loan funds and plant funds. These are expected to be released from restriction due to passage of time or the performance of some act by the NPO.
- Permanently restricted net assets ordinarily arise from permanent endowments funds.

Key Points:

- The statements must distinguish between assets, liabilities, revenues, and expenses that are unrestricted, temporarily restricted and permanently restricted. Such restrictions are donor-imposed.
- Expenses should be reported by their functional classification such as major classes of program activities and supporting activities.
 - ✓ **Program activities** are goods and services provided to beneficiaries or customers that fulfill the purpose of the organization.
 - ✓ **Supporting services** are general and administrative expenses, and fund-raising costs.

Unrestricted fund

- This fund includes all the assets of a NPOs that are available for use as authorized by the board of directors and not restricted for specific purposes.
- Revenues and gains of unrestricted fund are derived from a number of sources. For example, a hospital derives unrestricted fund revenues from patient services, unrestricted donations, and unrestricted income from endowment funds.
- College and university’s sources of unrestricted fund revenue include student tuition fees, government grants, donations and private grants, and unrestricted income from endowment fund.
- Revenues of unrestricted fund may also include membership dues, interest, dividends and gains from investments in debt and equity securities.

Revenues from Services

- A nonprofit organization’s total revenues are reported in the period in which services are rendered, even though part or all of the revenues is to be waived or reduced.
- The Contractual Adjustments show the unique feature of nonprofit hospitals. Usually, for hospitals, accounts receivables are collectible from a third-party payor, rather than from the patient. Among the third-party payors are the Philippine Health, Medicare and private medical insurance companies. For colleges and universities, the comparable tuition adjustment is debited to Expenditures – Student Aid account.
- In the Statement of Activities, the balances of the Contractual Adjustments account for hospital and the Expenditures - Student Aid account for colleges and universities are to be deducted from the total service revenues to compute the net service revenue for the month.
- The balance of Allowance for Doubtful Accounts is treated the usual manner, that is, as a deduction from the Accounts Receivable in the balance sheet. Write-

offs of accounts receivable if any, are also recorded in the customary manner.

Contributed Materials, Services and Facilities

- Aside from cash contributions, NPOs often receive contributions of materials, services, and facilities. For example, a hospital may receive free drugs, or a university may receive supplies.
- The contributed material is recorded in the Inventories account at its current fair value, with a corresponding credit to a revenue account in an unrestricted fund, as shown in the following proforma entry.

Inventories	xx	
Contributions Revenue		xx
<i>To record contributed materials at current fair value</i>		

- Contributed services and facilities are debited to an unrestricted fund as Salary Expense for contributed services and Rent Expense for contributed facilities, with a corresponding credit to Contributions Revenue account.

Salary expense/Rent expense	xx	
Contributions Revenue		xx
To record contributed services/ facilities at current fair value		

Other Operating Revenues

- These represent income derived from other related activities, other than service revenues of nonprofit organizations.
- Examples are proceeds from gift shops, cafeterias, snack bars, newsstands and parking lots, are all recorded as other operating revenues. These are recorded to unrestricted fund by the following entry:

Cash (or accounts receivable)	xx	
Other operating revenue		xx
To record other operating revenue		

Pledges (promise to give)

- A commitment by a prospective donor to contribute a specific amount of cash or property to an NPO on a future date or in installments.
- Under the accrual basis of accounting, unconditional pledges are recorded as receivables and revenues in the unrestricted fund, with appropriate provisions for doubtful pledges.
 - ✓ Pledges due in future accounting periods or having restrictions as to their use are accounted for in a restricted fund.

Expenses of Unrestricted Fund

- A nonprofit organization usually recognizes all expenses in its unrestricted fund.
- Program services are the organization's activities that result in the distribution of goods and services to fulfill the purposes of the organization.
- Supporting services are all activities of the organization other than the program services, such as administrative expenses and fund-raising costs.

Depreciation Expense

- Depreciation is required on all the property and equipment of nonprofit organizations, except for individual works of art or historical treasures having extraordinary long economic lives.

Assets and Liabilities of Unrestricted Fund

- Cash, investments, accounts receivable, inventories and prepaid expense are typical assets of an unrestricted fund.
- NPOs that use fund accounting generally account for fixed assets in a property and equipment fund.
- The liabilities of an unrestricted fund include payables, accrued expenses, and deferred revenues similar to those of a business enterprise.

Restricted Fund

- NPOs establish restricted fund to account for assets received from donors. These assets are available for current use but expendable only as authorized by the donor of the assets.
- Restricted funds are classified into temporarily restricted and permanently restricted.
 - ✓ Temporarily restricted funds are (1) specific-purpose funds, (2) time-restricted funds, and (3) plant replacement and expansion funds.
 - ✓ Permanently restricted funds are assets that are to be held for an indefinite period of time and generally are included in an endowment fund.

Endowment Fund

- A permanent endowment fund is one in which the principal must be maintained indefinitely in revenue-producing investments.
- Only the revenues from a permanent endowment fund's investment may be expenses by the NPOs.
- The principal of the endowment fund may be expended after the passage of time of the occurrence of an event specified by the donor or the endowment principal.
- The revenues derived from the endowment funds are accounted in accordance with the instruction of the donor to the board of directors. If there are no restrictions in the use of the endowment fund income, it is transferred of the unrestricted fund. Otherwise, the revenues are transferred to an appropriate restricted fund.

Statement of Cash Flows

- The Statement of Cash Flows for a nonprofit organization is similar to that of a for-profit business.
- It reports the organization's change in its cash and cash equivalents during the accounting period.

The Statement of Cash Flows consists of three sections:

- **Net cash from operating activities**
 - ✓ All unrestricted donations are presented under operating activities.
 - ✓ Program and support expenses are reported under operating activities.
 - **Net cash from investing activities**
 - ✓ Reports the amounts spent to purchase long-term assets such as equipment, vehicles, and long-term investments.
 - ✓ Reports the amount received from the sale of long-term assets.
 - **Net cash from financing activities**
 - ✓ All temporarily or permanently restricted donations are presented under financing activities.
 - ✓ Reports the amounts received from borrowings and any repayments.
- 
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NON-PROFIT ORGANIZATIONS (NPOs)

THEORY

1. A private, not-for-profit university should prepare which of the following financial statements?
 - I. Statement of Financial Position
 - II. Statement of Activities
 - III. Statement of Changes in Fund Balances
 - IV. Statement of Cash Flows
 - V. Statement of Changes in Financial Position
 - a. I, II, and III
 - b. II, III, and IV
 - c. I, II, and IV
 - d. II, III, and V
2. What are the three categories of net assets required by the FASB in reporting a not-for-profit organization?
 - a. Unrestricted, Temporarily Restricted, and Permanently Restricted
 - b. Unrestricted, Restricted, and Fund Balance
 - c. Restricted, Permanently Restricted, and Fund Balance
 - d. Unrestricted, Temporarily Restricted, and Fund Balance
3. Net assets restricted as to time or purpose should be classified as:
 - I. Temporarily restricted
 - II. Permanently restricted
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
4. Unrestricted current funds of a private university designated by the governing board for a specific future purpose should be reported as part of:
 - a. Unrestricted net assets
 - b. Temporarily restricted net assets
 - c. Board-restricted net assets
 - d. Term endowments
5. For the year ended June 30, 2021, a university assessed its students a total of P4,000,000 for tuition and fees. Included in this amount was P300,000 of tuition remissions awarded to graduate teaching assistants, and P150,000 of scholarships awarded to undergraduate students. Tuition and fees totaling P3,550,000 were collected during the year ended June 30, 2021. What amount should be reported in the unrestricted fund as net revenue from tuition and fees for the year ended June 30, 2021?
 - a. P4,000,000
 - b. P3,550,000
 - c. P3,700,000
 - d. P3,850,000
6. For the year ended June 30, 2021, a private college received contributions from alumni which were restricted for faculty research stipends to be awarded during the next fiscal year. For the year ended June 30, 2021, these contributions should be disclosed on the statement of activities of the private college as an increase in
 - a. The fund balance of the restricted current fund
 - b. Temporarily restricted net assets
 - c. Deferred revenues
 - d. Temporarily restricted fund balance
7. X Hospital, which is operated by a religious organization, received contributions of P1,000,000 from donors who stipulated that the cash be used to construct an addition to the hospital. As of the balance sheet date, none of the contributions had been expended for construction. On the hospital's balance sheet, the cash contributions would be disclosed in which of the following classes of net assets?
 - a. Temporarily restricted net assets
 - b. Donor restricted net assets
 - c. Assets whose use is limited
 - d. Permanently restricted net assets
8. A private, not-for-profit hospital received contributions of P50,000 from donors on June 15, 2021. The donors stipulated that their contributions be used to purchase equipment for the hospital. As of June 30, 2021, the end of the hospital's fiscal year, P12,000 of the contributions had been spent on equipment acquisitions. In the hospital's general fund, what account would be credited to recognize the release of the restrictions on the temporarily restricted contributions used to acquire equipment?
 - a. Revenue released from equipment acquisition restriction
 - b. Other financing sources
 - c. Net assets released from equipment acquisition restriction
 - d. Unrestricted net assets released from equipment acquisition restriction

Final answer: D (*Unrestricted net assets released from equipment acquisition restriction*)



9. On the statement of activities for a private, not-for-profit literary society, expenses decrease which of the following classes of net assets?
- I. Temporarily restricted net assets
 - II. Unrestricted net assets
- a. I only
 - b. II only
 - c. Either I or II
 - d. Neither I nor II
10. A voluntary health and welfare organization received a P300,000 contribution on April 15, 2021, from a donor who stipulated the donation be invested permanently in stocks and bonds. The donor further stipulated earnings from the investments be spent according to the wishes of the governing board of the voluntary health and welfare organization. Earnings from the investments for the year ended June 30, 2021, amounted to P6,000. How would the voluntary health and welfare organization report this information for the year ended June 30, 2021?
- a. Increase in permanently restricted net assets of P306,000
 - b. Increase in permanently restricted net assets of P300,000, and in temporarily restricted net assets of P6,000
 - c. Increase in permanently restricted net assets of P300,000, and in unrestricted net assets of P6,000
 - d. Increase in permanently restricted net assets of P300,000, and in board-designated net assets of P6,000
11. The disclosure, "net assets released from restrictions," is reported on which of the following financial statements for a voluntary health and welfare organization?
- I. The statement of cash flows
 - II. The statement of activities
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
12. X Hospital, which is operated by a religious organization, provides charity care for the indigent living in the region served by the hospital. How should it report the amount of its charity care on its financial statements?
- a. In the notes to the financial statements only
 - b. As unrestricted revenues on the statement of activities
 - c. As net patient service revenue and as an expense, equal to the net patient service revenue, on the statement of activities
 - d. As temporarily restricted revenue on the statement of activities
13. A private college received an offer from a CPA who is an alumnus to teach a one-semester advanced accounting course at no cost. FASB 116 prescribes that this contribution of service
- a. Need only be disclosed in the footnotes to the financial statements
 - b. Be recorded as an asset with an equivalent amount recorded in the unrestricted fund balance
 - c. Be recorded as a revenue with an equivalent amount recorded as an expense
 - d. Need not be recorded if the service is for a period less than one academic year
14. In accordance with FASB 116, contributions of services are recognized as increases in unrestricted net assets by a private, not for profit entity if which of the following criteria are satisfied?
- I. The services received create or enhance nonfinancial assets
 - II. The services require specialized skills, are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donations
 - III. The services will be performed within the current fiscal year
- a. I or II
 - b. I or III
 - c. II or III
 - d. I, II, III
15. A voluntary health and welfare organization had the following classes of net assets on July 1, 2020, the beginning of its fiscal year:
- | | |
|------------------------|------------|
| Unrestricted | P500,000 |
| Temporarily restricted | P100,000 |
| Permanently restricted | P1,000,000 |

During the year ended June 30, 2021, the following events occurred:

- It purchased equipment, costing P100,000, with contributions restricted for this purpose. The contributions had been received from donors during June of 2020.
- It received P130,000 of cash donations which were restricted for research activities. During the year ended June 30, 2021, P90,000 of the contributions were expended on research.

- It sold investments classified in the permanently restricted class for a loss of P40,000. Dividends and interest income earned on the investments amounted to P70,000. There were no restrictions on how investment income was to be used.
- It received cash contributions of P200,000 from donors who did not place either time or use restrictions upon their donations.
- Expenses, excluding depreciation expense, for program services and supporting services incurred during the year ended June 30, 2021, amounted to P260,000.
- Depreciation expense for the year ended June 30, 2021, was P80,000.

Question 1: On June 30, 2021, the amount of permanently restricted net assets reported on the statement of financial position would be

- | | |
|---------------|---------------|
| a. P1,070,000 | c. P1,000,000 |
| b. P1,030,000 | d. P960,000 |

Question 2: On the statement of activities for the year ended June 30, 2021, temporarily restricted net assets

- | | |
|-----------------------|-----------------------|
| a. Increased P130,000 | c. Decreased P100,000 |
| b. Increased P40,000 | d. Decreased P60,000 |

Question 3: On the statement of activities for the year ended June 30, 2021, reclassifications would be reported at

- | | |
|-------------|-------------|
| a. P190,000 | c. P90,000 |
| b. P100,000 | d. P230,000 |

Question 4: Which of the following statements is (are) correct about the program and supporting expenses that would be reported on the statement of activities for the year ended June 30, 2021

- | | |
|--|---------------------|
| I. Program and supporting expenses should be reported at P340,000. | |
| II. All of the program and supporting expenses should be reported as a deduction from unrestricted revenues and other support. | |
| a. I only | c. I and II |
| b. II only | d. Neither I nor II |

16. During the fiscal year ended June 30, 2021, X Charities, a voluntary health and welfare organization, received unrestricted cash contributions of P500,000 and temporarily restricted cash contributions of P300,000. All of the temporarily restricted contributions were restricted by the donors for equipment acquisitions. During the year ended June 30, 2021, equipment costing P250,000 was acquired with the restricted contributions. As a result of these two contributions, the statement of cash flows, prepared for the year ended June 30, 2021, would report an increase in net cash provided by operating activities of

- | | |
|-------------|-------------|
| a. P500,000 | c. P750,000 |
| b. P800,000 | d. P550,000 |

17. In 2021, a private not-for-profit hospital received a P200,000 cash contribution to its endowment fund. During the year, hospital administration invested P150,000 of the funds. Which of the following statements regarding the effect of these transactions on the preparation of the hospital's statement of cash flow is true?

- | |
|--|
| a. The P200,000 contribution will appear in the investing activities section of the cash flow statement as a cash inflow |
| b. The P200,000 contribution will appear in the financing activities section of the cash flow statement as a cash inflow |

- c. The P150,000 investment will appear in the investing activities section of the cash flow statement as a cash inflow
 - d. The P150,000 contribution will appear in the financing activities section of the cash flow statement as a cash inflow
18. A private, not-for-profit geographic society received cash contributions which were restricted by the donors for the acquisition of fixed assets. In which section of the statement of cash flows would these cash contributions be reported?
- a. Financing activities
 - b. Investing activities
 - c. Operating activities
 - d. Capital and related financing activities
19. Which one of the following is a voluntary health and welfare organization?
- a. Charity raising money for underprivileged children
 - b. Nursing home
 - c. Clinic
 - d. Hospital
20. Which of the following statements is required for voluntary health and welfare organizations, but not for other not-for-profit organizations?
- a. Statement of Activities and Changes in Net Assets
 - b. Statement of Functional Expenses
 - c. Statement of Financial Position
 - d. Statement of Cash Flows
21. On a Statement of Functional Expenses for a voluntary health and welfare organization, how are expenses classified?
- a. health services expenses and operating expenses
 - b. program services expenses and administrative services expenses
 - c. program services expenses and supporting services expenses
 - d. operating expenses and supporting services expenses
22. On the Statement of Activities prepared for a private, not-for-profit hospital, patient service revenue earned during the year is reported net of amounts for which of the following items?
- I. Contractual adjustments
 - II. Bad debts expense
- a. I only
 - b. II only
 - c. I and II
 - d. Neither I nor II
23. X Hospital, operated by a religious organization, billed patients P4,000,000 for services rendered during the year ended June 30, 2021. The hospital realized cash of P3,500,000 from the patient billings because of the following reductions:
- Contractual adjustments of P140,000 granted to private insurance companies and to the federal government; and
 - Uncollectible accounts receivable of P360,000.
- On the Statement of Activities prepared for the year ended June 30, 2021, the hospital should report net patient service revenue of
- a. P3,500,000
 - b. P3,860,000
 - c. P4,000,000
 - d. P3,640,000

-- End --



GOVERNMENT ACCOUNTING

- **Government accounting** encompasses the processes of analyzing, recording, classifying, summarizing, and communicating all transactions involving the receipt and disposition of government funds and property, and interpreting the results thereof.

Accounting responsibility

- The following offices are charged with government accounting responsibility:
 - ✓ Commission on Audit (COA)
 - ✓ Department of Budget and Management (DBM)
 - ✓ Bureau of Treasury (BTr)
 - ✓ Other government agencies

Commission on Audit

- The Commission on Audit (COA) has the exclusive authority to promulgate accounting and auditing rules and regulations.
- The Commission on Audit keeps the general accounts of the government, supporting vouchers, and other documents.
- The Commission on Audit submits financial reports to the president and congress.

Department of Budget and Management (DBM)

- The Department of Budget and Management (DBM) is responsible for the formulation and implementation of the national budget with the goal of attaining the nation’s socio-economic objectives.

Bureau of Treasury

- The Bureau of Treasury act as cash custodian of the government.
- The BTr is authorized to receive and keep national funds and manage and control the disbursements thereof; and
- The BTr maintains accounts of financial transactions of all national government offices, agencies and instrumentalities.

Government Agencies - refers to any department, bureau or office of the national government, or any of its branches and instrumentalities, or any political subdivision, as well as any government owned or controlled corporation (GOCC), including its subsidiaries, or other self-government board or commission of the government.

National Budget – is the government’s estimate of the sources and uses of government funds within a fiscal

year. The formulation and eventual utilization of the national budget are summarized in the budget cycle.

The Budget Cycle

- ✓ Budget Preparation
- ✓ Budget Legislation
- ✓ Budget Execution
- ✓ Budget Accountability

Budget Preparation

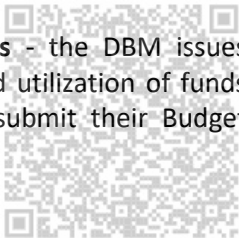
- **Budget call** – the budget preparation starts when the Department of Budget and Management (DBM) issues a Budget Call to all government agencies. The budget call contains, among other things, the next fiscal year’s targets, the agency’s budget ceiling and other guidelines in the completion and submission of agency budget proposals.
- **Budget hearing** – The DBM deliberates on the budget proposals, makes recommendations, and consolidates the deliberated proposals into the National Expenditure Program (NEP) and Budget of Expenditures and Sources of Financing (BESF). The DBM then submits the proposed budget to the President.
- **Preparation to the Office of the President** – After the President approves the proposed budget, the DBM finalizes the budget documents to be submitted to the Congress. At this point, the proposed budget is referred to as the President’s Budget.

Budget Legislation

- **House deliberations** – the house of representatives conducts hearings to scrutinize the various agencies’ respective proposed programs and expenditures. Thereafter, the HOR will prepare General Appropriation Bill (GAB).
- **Senate deliberation** – The senate conducts its own deliberations on the GAB.
- **Bicameral deliberations** – this is formed to harmonize any conflicts between the representatives and senate versions of GAB. Thereafter, final GAB is submitted to the President for enactment.
- **President’s enactment** – the president enacts the GAB and will now known as General Appropriations Act (GAA). The president, however, may exercise his veto power before his enactment of the bill.

Budget Execution

- **Release guidelines and BEDs** - the DBM issues guidelines on the release and utilization of funds while the various agencies submit their Budget Execution Documents (BEDs).



- **Allotment** – is an authorization issued by the DBM to government agencies to incur obligations for specified amounts contained in a legislative appropriation in the form of budget release documents.
- **Incurrence of obligations** – government agencies incur obligations which will be paid by the government.
- **Disbursement authority** – the DBM issues disbursement authority to the government agencies.
 - ✓ **Appropriation** – authorization by a legislative body to allocate funds for specified purposes.
 - ✓ **Allotment** – authorization to agencies to incur obligations.
 - ✓ **Obligation** – amount contracted by an authorized officer for which the government is held liable.
 - ✓ **Disbursement** – actual amount paid out of the budgeted amount.

Budget Accountability

- **Budget accountability reports** – it is required by the government agencies to submit.
- **Performance reviews** – the DBM and COA perform periodic reviews of the agencies’ performance and budget accountability and report to the president.
- **Audit** – the COA audits the agencies.

BOOKS OF ACCOUNTS AND REGISTRIES

1) Journals

- ✓ General journal
- ✓ Cash receipts journal
- ✓ Cash disbursements journal
- ✓ Check disbursement journal

2) Ledgers

- ✓ General ledgers
- ✓ Subsidiary ledgers

3) Registries

- ✓ Registries of revenue and other receipts (**RROR**)
- ✓ Registries of appropriations and allotment (**RAPAL**)
- ✓ Registries of allotments, obligations and disbursements (**RAOD**)
- ✓ Registries of budget, utilization, and disbursements (**RBUD**)

Budget Registries

- **Registries of revenue and other receipts (RROR)** – used to monitor the budgeted amounts, actual collections and remittances of revenue and other receipts.

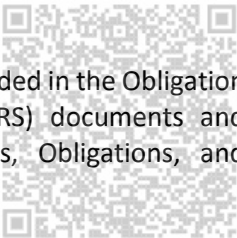
- **Registries of appropriations and allotments (RAPAL)** – used to monitor appropriations and allotments. This is to ensure that allotments will not exceed appropriations.
- **Registries of allotments, obligations and disbursements (RAOD)** – used to monitor the allotments received, obligations incurred against the corresponding allotment, and the actual disbursements made.

Object of Expenditures

- ✓ **Personnel Services (PS)** – pertain to all types of employee benefits.
- ✓ **Maintenance and other operating expenses (MOOE)** – pertain to various operating expenses other than employee benefits and financial expenses.
- ✓ **Financial Expenses (FE)** – pertain to finance costs.
- ✓ **Capital Outlays (CO)** – pertain to capitalizable expenditures.

- **Registries of budget, utilization, and disbursement (RBUD)** – used to record the approved special budget and the corresponding utilizations and disbursements charged to retained income.
- **The Government Accounting Cycle (with sample journal entries)**
 - ✓ Appropriation
 - ✓ Allotment
 - ✓ Incurrence of obligation
 - ✓ Disbursement authority – Notice of cash allocation (NCA)
 - ✓ Disbursements
 - ✓ Billings, collections & remittances
 - ✓ Unadjusted trial balance
 - ✓ Adjusting entries
 - ✓ Closing entries
 - ✓ Preparation of financial statements

- **Appropriation**
 - The appropriation is posted in the Registry of Appropriations and Allotments (RAPAL).
- **Allotment**
 - The allotment is posted in the Registry of Appropriations and Allotments (RAPAL) and Registries of Allotments, Obligations, and Disbursements (RAOD).
- **Incurrence of obligation**
 - The obligations are recorded in the Obligation Request and Status (ORS) documents and Registries of Allotments, Obligations, and Disbursements (RAOD).



• Disbursement authority – NCA

Cash – Modified Disbursement System (MDS), Regular	xx	
Subsidy from National Government		xx

• Disbursements

✓ Personnel Services (PS)

Salaries and wages, regular	xx	
Personal economic relief allowance	xx	
Due to BIR		xx
Due to GSIS		xx
Due to Pag-IBIG		xx
Due to PhilHealth		xx
Due to Officers and Employees		xx
Due to Officers and Employees	xx	
Cash – Modified Disbursement System (MDS), Regular		xx

✓ Maintenance and other Operating Expenses (MOOE)

Water Expenses	xx	
Electricity Expenses	xx	
Telephone Expenses	xx	
Janitorial Expenses	xx	
Security Expenses	xx	
Due to BIR		xx
Cash – Modified Disbursement System (MDS), Regular		xx

✓ Capital Outlays

Office Equipment	xx	
Accounts payable		xx

✓ Remittances of amounts withheld

Cash-tax remittance advice	xx	
Subsidy from National Government		xx
Due to BIR	xx	
Cash-tax remittance advice		xx
Due to GSIS	xx	
Due to Pag-IBIG	xx	
Due to PhilHealth	xx	
Cash-modified disbursement system (MDS), regular		xx

• Billings, Collections & Remittance

Accounts receivable	xx	
Service fees		xx
Cash – collecting officers	xx	
Accounts receivable		xx
Cash – treasury/agency deposit, regular	xx	
Cash – collecting officers		xx

• Adjusting entries

Subsidy from national government	xx	
Cash – modified disbursement system (MDS), regular		xx
<i>(to recognize reversion of unused NCA)</i>		

• Closing entries

Subsidy from national government	xx	
Revenue and expense summary		xx

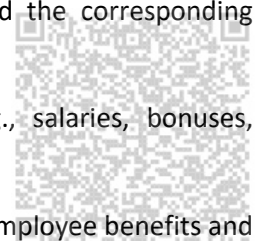
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GOVERNMENT ACCOUNTING

IDENTIFICATION

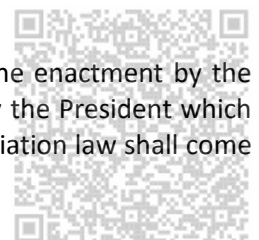
1. _____ has the exclusive authority to promulgate **accounting** and **auditing** rules and regulations. It keeps the **general accounts** of the government, supporting vouchers, and other documents. It submits **financial reports** to the President and Congress.
2. _____ responsible for the formulation and implementation of the **national budget** with the goal of attaining the nation's socio-economic objectives.
3. _____ functions under the **Department of Finance** and is the **cash custodian** of the government. It is authorized to received and keep **national funds** and manage and control the disbursements thereof; and maintain accounts of financial transactions of all national government offices, agencies and instrumentalities.
4. _____ any **department, bureau** or **office** of the national government, or any of its branches and instrumentalities, or any political subdivision, as well as any government owned and controlled corporation (GOCC).
5. _____ the **authorization** made by a **legislative body** to allocate funds for purposes specified by the legislative or similar authority.
6. _____ authorization issued by the DBM to government agencies to **incur obligations for specified amounts** contained in a legislative appropriation in the form of budget release documents. It is also referred to as **Obligational Authority**.
7. _____ an act of duly authorized official which **binds the government** to the immediate or eventual payment of a sum of money. Obligation maybe referred to as a commitment that encompasses **possible future liabilities** based on current contractual agreement.
8. _____ refers to the **actual amount paid** out of the budgeted amount. This is the point where the government agencies obtain access to the government funds.
9. _____ pertains to the **document** needed upon incurrence of **obligations**. The Requesting Office shall prepare this document, supported by a valid claim documents like disbursement vouchers, payroll, purchase/job orders, itinerary of travel, etc.
10. _____ authority issued by the DBM to central, regional and provincial offices and operating units to **cover their cash requirements**. It specifies the **maximum amount of cash** that can be withdrawn from a government servicing bank in a certain period.
11. _____ used to **monitor the balance of NCA** and to determine the amount of allotments not covered by NCA.
12. _____ used to monitor the budgeted amounts, actual collections and remittances of **revenue and other receipts**.
13. _____ used to monitor **appropriations** and **allotments**. This is to ensure that allotments will not exceed appropriations.
14. _____ used to monitor the **allotments** received, **obligations** incurred against the corresponding allotment, and the actual **disbursements** made. This is to ensure that obligations incurred will not exceed allotments while actual disbursements will not exceed the obligations incurred.
15. _____ used to record the approved **special budget** and the corresponding utilizations and disbursements.
16. _____ pertain to all types of **employee benefits**, e.g., salaries, bonuses, allowances, cash gifts, etc.
17. _____ pertain to various **operating expenses** other than employee benefits and financial expenses, e.g., travel, utilities, supplies, etc.



18. _____ pertain to **finance costs**, e.g., interest expense, bank charges, losses on foreign exchange transactions, etc.
19. _____ pertain to **capitalizable expenditures**, e.g., expenditures on the construction of public infrastructures, acquisition costs of equipment, etc.
20. _____ used to recognize in the books of government agencies, the **constructive remittance of taxes** withheld to the Bureau of Internal Revenue (BIR) or **customs duties** withheld to the Bureau of Customs (BOC), and the constructive receipt of NCA for those taxes and customs duties.

THEORY

1. It encompasses the processes of analyzing, recording, classifying, summarizing and communicating all transactions involving the receipt and disposition of government funds and property, interpreting the results thereof
 - a. Government auditing
 - b. Government reporting
 - c. Government accounting
 - d. Government analyzing
2. What is the title of the revised government accounting system for national government agencies which will be effective January 1, 2016?
 - a. Government Accounting Manual (GAM)
 - b. New Government Accounting System (NGAS)
 - c. Philippine Government Accounting System (PGAS)
 - d. National Government Accounting Manual (NGAM)
3. Which government body keeps the general account of government, promulgates accounting rules and regulation, and submits to the President and Congress an annual financial report of the government?
 - a. Commission on Audit
 - b. Department of Budget and Management
 - c. Bureau of Treasury
 - d. Department of Finance
4. Which is responsible for the design, preparation and approval of accounting systems of government agencies?
 - a. Department of Budget and Management
 - b. Bureau of Treasury
 - c. Commission on Audit
 - d. The government agency concerned
5. No money shall be paid out of the National Treasury except in pursuance of
 - a. Appropriation
 - b. Allotment
 - c. Obligation
 - d. Special executive order
6. It is the authorization from the Department of Budget and Management to any agency to incur obligation up to a specified amount that must be within the legislative appropriation
 - a. Obligation
 - b. Appropriation
 - c. Allotment
 - d. Fund release
7. What is the role of the Bureau of Treasury in relation to government accounting responsibility?
 - a. To receive and keep national funds and manage or control disbursements thereof
 - b. To design, prepare, and approve the accounting systems of government agencies
 - c. To keep the general accounts of the national government
 - d. To prepare the annual financial report of the national government, its instrumentalities and government-owned or controlled corporations
8. It refers to the first step in the government budgetary process wherein the President, through the assistance of the Department of Budget and Management shall prepare and submit to the Congress within 30 days from the opening of regular session of Congress a budget of expenditures and sources of financing, including receipts from existing and proposed revenue measures
 - a. Budget Preparation
 - b. Budget Legislation
 - c. Budget Execution
 - d. Budget Accountability
9. It refers to the second step in the government budgetary process which involves the enactment by the Congress of the General Appropriation Act (GAA) based on the budget submitted by the President which cannot be increased by the Congress. The initiative for the enactment of the appropriation law shall come from the House of Representatives
 - a. Budget Preparation
 - b. Budget Legislation
 - c. Budget Execution
 - d. Budget Accountability



10. It refers to the third step in the government budgetary process which involves the implementation of the general appropriation act which includes the release of revenue allotment under the supervision of Department of Budget and Management
 - a. Budget Preparation
 - b. Budget Legislation
 - c. Budget Execution
 - d. Budget Accountability
11. It refers to the final step in the government budgetary process which involves the submission of property documentary reports by responsible officer, liquidation of expenditures and audit conducted by Commission on Audit to ensure the public funds are spent in accordance with the appropriation act
 - a. Budget Preparation
 - b. Budget Legislation
 - c. Budget Execution
 - d. Budget Accountability
12. The books of accounts of National Government Agencies under the GAM shall consists of the following, except
 - a. General Journal
 - b. Cash Receipts Journal
 - c. Cash Disbursement Journal
 - d. Check Disbursements Journal
 - e. General Ledgers
 - f. Subsidiary Ledgers
 - g. Regular Agency and National Government Books
13. The registries of National Government Agencies under the GAM shall consist of the following, except
 - a. Registries of Revenue and Other Receipts (RROR)
 - b. Registry of Appropriation and Allotments (RAPAL)
 - c. Registries of Allotments, Obligations and Disbursements (RAOD)
 - d. Registries of Budget, Utilization and Disbursements (RBUD)
 - e. Registries of Priority Development Assistant Program (RPDAP)
14. The following are the classifications of different RAPAL, RAOD and RBUD, except
 - a. RAPAL/RAOD/RBUD – Personal Services
 - b. RAPAL/RAOD/RBUD – Maintenance and Other Operating Expenses
 - c. RAPAL/RAOD/RBUD – Financial Expenses
 - d. RAPAL/RAOD/RBUD – Capital Outlays
 - e. RAPAL/RAOD/RBUD – Noncash Expenses
15. On January 1, 2020, the collecting officer of Bureau of Customs collected P450,000 import duties plus fines of P50,000 on the goods of an importer. On February 1, 2020, the Bureau of Customs remitted the P500,000 to the Bureau of Treasury.

Question 1: What is the journal entry to record the collecting of the import duties and fines?

- a. Debit Cash-Treasury/Agency Deposit, Regular P500,000 and Credit Cash-Collecting Officer P500,000
- b. Debit Cash-Collecting Officer P500,000 and Credit Import Duties P450,000 and Fines/Penalties P50,000
- c. Debit Cash-Treasury/Agency Deposit, Regular P500,000 and Credit Import Duties P450,000 and Fines/Penalties P50,000
- d. None of the above

Question 2: Using the same data, but assuming the importer directly deposited the P450,000 import duties and P50,000 fines through Authorized Agent Banks instead of collection by a customer collecting officer, what is the journal entry to record the collection/remittance of import duties to Bureau of Treasury?

- a. Debit Cash-Treasury/Agency Deposit, Regular P500,000 and Credit Cash-Collecting Officer P500,000
- b. Debit Cash-Treasury/Agency Deposit, Regular P500,000 and Credit Import Duties P450,000 and Fines/Penalties P50,000
- c. Debit Cash-Collecting Officer P500,000 and Credit Import Duties P450,000 and Fines/Penalties P50,000
- d. None of the above

16. On December 31, 2019, the Department of Finance billed its lessee on one of its buildings in the amount of P100,000. On January 31, 2020, the Department of Finance collected all of the accounts receivable. On February 28, 2020, the Department of Finance remitted the entire collected amount to the Bureau of Treasury. What is the journal entry to record the remittance by the Department of Finance to the Bureau of Treasury?
 - a. Debit – Accounts Receivable P100,000 and Credit – Rent Income P100,000
 - b. Debit – Cash Collecting Officers P100,000 and Credit – Accounts Receivable P100,000
 - c. Debit – Cash – Treasury/Agency Deposit, Regular – P10,000 and Credit Cash – Collecting Officer – P100,000

d. Debit – Accounts Receivable P100,000 and Credit – Retained Earnings P100,000

17. Department of Health (DOH) received Notice of Cash Allocation in the amount of P200,000 from Department of Budget and Management. DOH made total cash disbursements in the amount of P195,000. What is the journal entry to recognize reversion of unused Notice of Cash Allocation by DOH in its books?
- a. Debit Expenses P5,000 and credit Cash-MDS, Regular P5,000
 - b. Debit Investment P5,000 and credit Cash-MDS, Regular P5,000
 - c. Debit Retained Earnings P5,000 and credit Cash-MDS, Regular P5,000
 - d. Debit Subsidy from National Government P5,000 and credit Cash-MDS, Regular P5,000
18. The Bureau of Treasury received P100,000 cash remittance from Department of Agrarian Reform (DAR) from its miscellaneous income. What is the journal entry of the Bureau of Treasury in its accounting books to record the receipt of cash remittance from the income of a national government agency?
- a. Debit Cash in Bank, Local Bank P100,000 and Credit Miscellaneous Income of DA P100,000
 - b. Debit Cash in Bank, Local Bank P100,000 and Credit Savings of DA, Regular P100,000
 - c. Debit Cash in Bank, Local Bank P100,000 and Credit Cash-Treasury/Agency Deposit, Regular P100,000
 - d. Debit Cash in Bank, Local Bank P100,000 and Credit Cash-Collecting Officer, DA P100,000

JOURNAL ENTRIES

Prepare the journal entries for the following transactions:

- 1. Department of Science and Technology (DOST) receives its General Appropriations Act (GAA) amounting to P10,000,000.
- 2. DOST receives its allotment from DBM amounting to P8,000,000.
- 3. DOST incurs obligations by entering the following contracts:
 - a. Hiring employee contracts amounting to P1,000,000
 - b. Entered into a contract for purchase of office supplies P500,000
 - c. Entered into a contract for purchase of office equipment worth P2,500,000
- 4. DOST receives Notice of Cash Allocation (NCA) from DBM amounting to P7,000,000, net of tax.
- 5. Employees have rendered services for the period. The following payroll computations were approved, and cash advances were granted:

Salaries and wages	P400,000
Personal Economic Relief Allowance (PERA)	<u>50,000</u>
Gross Compensation	
Deductions:	
Withholding tax	(80,000)
GSIS	(30,000)
PAGIBIG	(10,000)



PhilHealth	(20,000)	
Total		(P140,000)
Net Compensation		<u>P310,000</u>

6. DOST pays for the following expenses:

Water	P 15,000
Electricity	70,000
Telephone	20,000
Janitorial	30,000
Security	<u>40,000</u>
Total	P175,000
Less: Withholding taxes	<u>(17,500)</u>
Net	<u>P157,500</u>

7. Remittance of Withholding Tax		
<u>Books of DOST</u>	<u>Books of BIR</u>	<u>Books of BTr</u>

8. Remittance to GSIS, Pag-IBIG and Philhealth

9. Billings, collections and remittances
- a. DOST bills revenue of P1,000,000 from permits and licenses.
 - b. DOST collects P100,000 from the billed revenue
 - c. Remittance to the Bureau of Treasury (BTr)

10. Reversion of Unused Notice of Cash Allocation



-- End --

IFRS 15

1. Under IFRS 15, what is the recognition principle of revenue arising from contracts with customers?
 - a. The revenue shall be recognized by the entity when the contract price has already been received and the period of refund has already expired
 - b. The revenue shall be recognized by the entity when it is probable that there will be inflow of future economic benefits to the entity and the revenue can be measured reliably
 - c. The revenue shall be recognized by the entity at the time of perfection of the contract with the customer
 - d. The revenue shall be recognized by the entity when or as the entity satisfies the performance obligation by transferring the promised goods or services to the customer

2. According to IFRS 15, what is the accounting treatment of the transaction price when a contract with a customer has multiple performance obligations?
 - a. The transaction price shall be recognized as revenue of the most important performance obligation
 - b. The transaction price shall be allocated equally to the different performance obligations
 - c. The transaction price shall be recognized as revenue only at the end of completion of all performance obligations
 - d. The transaction price shall be allocated to the different performance obligations by reference to their relative standalone selling prices

3. Under PFRS 15, the good or service is considered distinct if

Statement 1: The customer can benefit from it, either on its own or together with other resource that are readily available to the customer

Statement 2: The good or service is separately identifiable from other goods or services

 - a. Only Statement 1 is correct
 - b. Only Statement 2 is correct
 - c. Both statements are correct
 - d. Both statements are incorrect

4. Which of the following situations would not allow the performance obligations to be satisfied over time?
 - a. The customer simultaneously receives and consumes the benefits provided by the performance of the entity
 - b. The performance of the entity does not create an asset with alternative use to the entity and the entity has an enforceable right to payment for performance completed to date
 - c. The performance of the entity creates or enhances an asset that the customer controls as the asset is created or enhanced
 - d. The performance of the entity creates an asset with alternative use to the entity and the entity may not be able to enforce the right to payment for performance completed to date

5. According to IFRS 15, in which of the following instances will the revenue from contracts with customers be recognized at a point in time instead of over time?
 - a. When the customer simultaneously receives and consumes all of the benefits provided by the entity as the entity performs
 - b. When the entity's performance creates or enhances an asset that the customer controls as the asset is created
 - c. When the entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date
 - d. When the entity has transferred physical possession and legal title to the asset to the customer



Long-Term Construction Contracts (LTCC)

1. It is a contract specifically negotiated for the construction of an asset or a combination of assets that are closely interrelated or interdependent in terms of their design, technology and function or their ultimate purpose or use.
 - a. Construction contract
 - b. Construction in progress
 - c. Progress billing
 - d. Negotiated contract
2. Contract revenue in construction contract comprises
 - a. The initial amount of revenue agreed in the contract
 - b. Variation in contract work, claim and incentive payment
 - c. Both a and b
 - d. Neither a nor b
3. In selecting an accounting method for a newly contracted long-term construction project, the principal factor to be considered should be
 - a. The terms of payment in the contract
 - b. The degree to which a reliable estimate of the costs to complete and extent of progress toward completion is practicable
 - c. The method commonly used by the contractor to account for other long-term construction contracts
 - d. The inherent nature of the contractor's technical facilities used in construction
4. When work to be done and costs to be incurred on a long-term contract can be estimated reliably, which of the following methods of revenue recognition is preferable?
 - a. Installment method
 - b. Percentage of completion method
 - c. Completed-contract method
 - d. None of these
5. Which statement is incorrect when the outcome of the construction contract cannot be estimated reliably?
 - a. Contract revenue and contract cost shall be recognized by reference to the stage of completion of the contract activity at the end of the reporting period
 - b. Revenue shall be recognized only to the extent of the contract costs incurred that is probable and will be recoverable
 - c. Contract costs shall be recognized in the period which they are incurred
 - d. An expected loss on the construction contract shall be recognized as a provision immediately
6. Contract costs of a construction contract comprise all of the following, except
 - a. Costs that can directly relate to the specific contract
 - b. Costs that are attributable to contract activity in general and can be allocated in the contract
 - c. General administration costs for which reimbursement is not specified in the contract
 - d. Such other costs that are specifically chargeable to the customer under the terms of the contract
7. It is an entity's right to consideration in exchange for goods and services that the entity has transferred to a customer when that right is conditioned on something other than passage of time
 - a. Contract receivable
 - b. Construction in progress
 - c. Contract asset
 - d. Contract liability
8. It is an entity's obligation to transfer goods or services to customer for which the entity received consideration from the customer.
 - a. Progress billings
 - b. Advances from customers
 - c. Contract liability
 - d. Contract asset



9. Company X faced with an impending loss on a long-term construction project and has asked for advice on how to book the impending loss. Assuming that the company employs the percentage of completion method, when should the loss be taken up in the company’s books?
- a. Immediately
 - b. Over the period of the project
 - c. Upon completion of the project
 - d. When progress billings exceed contract costs incurred
10. On January 1, 2022, Company X was contracted to build an office building for Company Y for a total contract price of P11,800,000. Estimated total contract costs are P10,400,000. Costs incurred to date related to the project are as follows:

Cost of direct materials used	P800,000
Cost of direct labor, including supervision of P200,000	600,000
Cost of indirect materials used	220,000
Cost incurred in obtaining the contract previously written off	280,000
Depreciation of equipment used on the project	480,000
Payroll of design and technical department allocated to the contract	320,000
Insurance cost (1/3 for the project)	720,000
Costs of contracted research and development	420,000
Depreciation of idle equipment not used on a particular contract	240,000
Selling costs	180,000
General and administrative expenses specifically included under the term of the contract (chargeable to customer)	120,000
Borrowing cost incurred during the construction period	520,000
Advanced made to subcontractors	400,000

- Using the cost-to-cost method, what is the realized gross profit to be recognized in 2022?
- a. P538,440
 - b. P417,340
 - c. P500,769
 - d. P444,220
11. On January 1, 2021, Company X entered into a contract to construct a building for a customer. Company X identified its performance obligation to be satisfied over time. The company uses the input method based on costs to measure its progress on the contract. The contract price is P9,000,000. Information on the construction is provided below:

	2021	2022	2023
Contract costs incurred per year	P2,760,000	P3,540,000	P500,000
Billings per year	50%	30%	20%
Collections on billings per year	90%	90%	balance
Estimated costs to complete	4,140,000	700,000	-

- Requirement: Compute for the revenue, cost of construction and gross profits in 2021, 2022 and 2023, under:
- a. Percentage of completion method
 - b. Zero profit method



12. In 2021, DC Builders started work on a P1,000,000 fixed price contract. Information on the construction is shown below:

	2021	2022	2023
Costs incurred to date	P200,000	P825,000	P1,020,000
Estimated costs to complete	600,000	275,000	-

The contract was completed in 2023.

Requirement: Compute for the revenue, cost of construction and gross profits in 2021, 2022 and 2023, under:

- a. Percentage of completion method
- b. Zero profit method

13. On April 1, 2022, Company X obtained a contract to construct a building. The building was estimated to be built at a total cost of P17,500,000, but that amount will be reduced depending on when construction of building is completed and is scheduled for completion on October 2024. The contract contains a penalty clause to the effect that the other party was to deduct P35,000 from the contract price for each week of delay.

On December 31, 2022 and 2023, Company X cannot predict the variable consideration regarding the completion of the project on time because of the different outcomes possible based on the company’s construction schedule and its experiences with past projects.

On year 2024, due to bad weather conditions, the company does not expect that it can finish the building on time. The completion of the project was delayed for 5 weeks. Below are the following data pertaining to the construction periods.

	2022	2023	2024
Cost incurred	P1,750,000	6,440,000	1,085,000
Estimated cost to complete	7,000,000	910,000	
Progress billings	1,400,000	15,225,000	4,200,000

Question 1:
Using the percentage of completion method, what is the realized gross profit (loss) in 2023?

- a. P8,260,000
- b. P8,400,000
- c. P11,725,000
- d. P10,150,000

Question 2:
Using the percentage of completion method, what is the realized gross profit (loss) in 2024?

- a. (P35,000)
- b. (P122,500)
- c. P822,500
- d. P840,000



14. On January 1, 2021, a contractor enters into a construction contract which includes a fixed contract price of P144,000,000 to build a bridge. The contract has a December 31 year-end.

On December 31, 2021, the contractor’s estimate of the total contract cost is still P96,000,000. However, by the end of 2022, the contractor’s estimate of contract cost increased to P120,000,000, excluding the variation below. In 2022, the customer and the contractor agreed to a variation resulting in an increase in contract revenue of P2,400,000 and estimated additional contract costs of P1,800,000.

Actual cumulative costs incurred to the end of 2021, 2022 and 2023 (the end of the contract) including the costs of the variation are P36,000,000, P85,260,000 and P120,600,000, respectively.

The contractor determines the stage of completion of the contract costs incurred for a work performed to date bear to the latest estimated total contract costs.

Determine the profit (loss) for each year

2021	2022	2023
a. P18,000,000	(P780,000)	P8,580,000
b. P18,000,000	P17,220,000	P25,800,000
c. P18,900,000	(P1,680,000)	P8,580,000
d. P18,000,000	(P2,460,000)	P10,260,000



Franchise

1. Under PFRS 15, how shall revenue from contracts with customers such as revenue from initial franchise fee be recognized by the franchisor?
 - a. Upon receipt of the initial franchise fee by the franchisor
 - b. Upon signing of the franchise agreement
 - c. When the franchisor satisfies the performance obligation under the franchise agreement
 - d. Applying the legality over the substance of the transaction
2. The franchise revenue is satisfied over time when
 - a. The franchise fee is payable upon signing of contract
 - b. The performance obligations regarding the franchise rights are completed when the franchise opens
 - c. Franchise rights are transferred at a point in time
 - d. The franchisor provides right to access rather than transferring the control
3. Which of the following indicator shows that the initial franchise fee shall be recognized as sales revenue at a point in time instead over time?
 - a. When the franchisee simultaneously receives and consumes the benefits provided by the franchisor's performance as the franchisor performs
 - b. When the franchisor's performance creates or enhances an asset that the franchisee controls as the asset is created or enhanced
 - c. When the franchisor's performance does not create an asset with alternative use to the franchisor and the franchisor has an enforceable right to payment for performance completed to date
 - d. When the franchisee has legal title to the franchise and has the significant risks and rewards of ownership of the franchise
4. What is the measurement of franchise revenue recognized from franchise agreement?
 - a. Fair value of the consideration received or receivable
 - b. Book value of the consideration received or receivable
 - c. Carrying amount of the consideration received or receivable
 - d. Nominal amount of the consideration received or receivable
5. Under PFRS 15, when shall a franchisor recognize revenue from contingent franchise fee or revenue for a sales-based royalty?
 - a. When the sales of the franchisee occur
 - b. When the performance obligation to which some or all of the contingent franchise fees or sales-based royalty has been satisfied or partially satisfied
 - c. When both A and B events occur
 - d. When either A or B event occurs



6. On January 1, 2021, Company X granted a franchisee the right to operate a restaurant in a specific location using Company X's trade name, concept and menu over a 10-year period. The franchise agreement states an upfront fee of P1,200,000, which includes P200,000 for kitchen equipment that the company will purchase for the franchisee, plus 10% royalty based on the franchisee's sales. The P200,000 amount reflects the stand-alone selling price of the equipment.

Company X regularly undertakes activities such as marketing research, product development, advertising, campaigns, and implementing operational efficiencies and pricing strategies to support the franchise name.

Company X delivered the equipment on February 1, 2021. The restaurant opened on April 1, 2021, at which date the license period starts to run. The franchisee reports sales of P9,000,000 for the year.

Company X has determined that the license provides right to access the Intellectual Property.

Requirement: Provide the journal entries.

7. On January 1, 2021, Company X sells computer software to Mr. Y for a five year term. The agreement provide that Mr. Y shall pay P2,000,000 upfront fee, P500,000 upon signing the contract and the balance in two equal annual payments starting December 31, 2021. The present value factor at 8% is 1.78326 for 2 periods. The upfront fee paid by Mr. Y is for the following performance obligations:

- Training services with stand-alone selling price of P400,000.
- Equipment with stand-alone selling price of P1,000,000.
- Computer software with stand-alone selling price of P600,000.

Mr. Y commenced its business operations on October 1, 2021. The entity determined that the performance obligations are distinct.

Question 1: Assume that Mr. Y has the right to use the intellectual property, the journal entry on January 1, 2021 would include

- a. A debit of Notes receivable of P2,000,000
- b. A credit of Unearned Service Revenue of P367,489
- c. A credit of Sales Revenue – Equipment of P1,000,000
- d. A credit of Unearned Franchise Revenue – Software of P918,772.50

Question 2: Assume that Mr. Y has the right to use the intellectual property, the journal entry on October 1, 2021 would include

- a. Debit to Cash of P500,000
- b. Debit to Franchise Revenue – Software of P551,233.50
- c. Credit to Unearned Interest Income of P162,555
- d. Credit to Sales Revenue – Equipment of P918,722.50



Question 3: Assume that Mr. Y has the right to use the intellectual property, on December 31, 2021, how much is the total revenue from license contract?

- a. P0
- b. P1,286,211.50
- c. P1,837,445
- d. P2,000,000

Question 4: Assume that Mr. Y has the right to access the intellectual property, the journal entry on October 1, 2021, would include

- a. Debit to Unearned Franchise Revenue – Tradename of P27,562
- b. Credit Service Revenue – Training of P367,489
- c. Debit to Sales Revenue – Equipment of P918,722.50
- d. Credit Notes Receivable of P1,500,000

Question 5: Assume that Mr. Y has the right to access the intellectual property on December 31, 2021, how much is the total revenue from license contract?

- a. P1,286,211.50
- b. P1,313,773.18
- c. P1,396,458.20
- d. P1,837,445

8. On January 1, 2022, an entity granted a franchise to a franchisee. The franchise agreement required the franchisee to pay a nonrefundable upfront fee in the amount of P800,000 and ongoing payment of royalties equivalent to 5% of the sales of the franchisee. The franchisee paid the nonrefundable upfront fee on January 1, 2022.

In relation to the nonrefundable upfront fee, the franchise agreement required the entity to render the following performance obligations:

- Training services with stand-alone selling price of P400,000.
- To deliver 20,000 units of raw materials to the franchisee with stand-alone selling price of P500,000.
- To allow the franchisee to use the entity’s tradename for a period of 10 years starting January 1, 2022 with stand-alone selling price of P100,000. The entity has determined that the license provides right to access the Intellectual Property.

On January 31, 2022, the entity completed the training services. On December 31, 2022, the entity was able to deliver 6,000 units of raw materials to the franchisee. For the year ended December 31, 2022, the franchisee reported sales revenue amounting to P200,000. The entity had determined that the performance obligations are separate and distinct from one another.

Question 1: What is the amount of the nonrefundable upfront fee to be allocated to the training services?

- a. P240,000
- b. P320,000
- c. P400,000
- d. P500,000



Question 2: What is the amount of revenue to be recognized in relation to the use of delivery of raw materials for the year ended December 31, 2022?

- a. P120,000
- b. P150,000
- c. P200,000
- d. P400,000

Question 3:

What is the amount of revenue to be recognized in relation to the use of entity's tradename for the year ended December 31, 2022?

- a. P8,000
- b. P10,000
- c. P20,000
- d. P100,000

Question 4:

Assume the customer has right to use the intellectual property, what is the amount of total revenue from franchise contract to be recognized on December 31, 2022?

- a. P448,000
- b. P458,000
- c. P520,000
- d. P530,000

9. On January 1, 2021, Company X signed an agreement to grant a license over a patented technology to Company Y for an initial contract fee of P500,000 for 4 years. Of this amount, P100,000 was paid when the agreement was signed and the balance payable in four annual payments beginning on December 31, 2021. Company X signed a non-interest bearing note for the balance. Company X's rating indicates that he can borrow money at 16% for the loan of this type. Assume that substantial services amounting to P150,000 had already been rendered by Company X and that additional indirect cost of P12,000 was also incurred. PV factor is 2.80.

On January 15, 2021, the license is transferred to Company Y. The license agreement provides that Company Y has the right to use the entity's intellectual property as it exists at the point in time at which the license is granted.

Question 1: The net income to be reported on December 31, 2021 is

- a. P218,000
- b. P230,000
- c. P262,800
- d. P274,800

Question 2: Assuming the license provides Company Y the right to access the entity's intellectual property as it exists throughout the license period. The net income to be reported on December 31, 2021 is

- a. (P22,200)
- b. P45,500
- c. P90,300
- d. P262,800



Consignment Sales

1. A shipment of inventory by the manufacturer or wholesaler to a dealer to be sold by him on a commission basis on the risk and account of the manufacturer or wholesaler is called
 - a. Arrangement
 - b. Contract
 - c. Agreement
 - d. Consignment
2. The person who sends the goods to the agent to be sold by him on commission is known as
 - a. Consignor
 - b. Consignee
 - c. Buyer
 - d. Seller
3. The person to whom goods are sent for sale on commission is
 - a. Merchant
 - b. Wholesaler
 - c. Retailer
 - d. Consignee
4. The consignee is the
 - a. Principal
 - b. Agent
 - c. Buyer
 - d. Seller
5. The risk of stock on consignment lies with
 - a. Consignee
 - b. Consignor
 - c. Buyer
 - d. Seller
6. In the books of the consignor, the balance of the consigned goods inventory account would be shown
 - a. As an asset in the Statement of Financial Position of the consignee
 - b. As liability in the Statement of Financial Position of the consignee
 - c. As an asset in the Statement of Financial Position of the consignor
 - d. As liability in the Statement of Financial Position of the consignor
7. The sales revenue and cost of goods sold should be recognized by the consignor
 - a. When the cash is received from the consignee
 - b. When the goods are shipped to the consignee
 - c. When the goods are shipped by the consignee to the third party (customer)
 - d. When the consignor receives the notification from consignee that the merchandise have been sold to a third party (customer)



8. ABC Corporation consigned ten (10) bags to XYZ Inc. These bags had a cost of P10,800 each. Freight on the shipments amounting to P7,200 was paid by ABC Corp. XYZ submitted an accounting of sales stating that it has sold six (6) bags and remitted cash amounting to P81,900 to ABC Corp. after deducting the following:

Commission, 15% of sales	?
Selling expenses	5,400
Delivery and installation of items sold	3,600
Cartage cost upon receipt of consigned goods	900

Compute the following:

- Question 1:
The total consignment sales
- a. P64,800
 - b. P69,120
 - c. P91,800
 - d. P108,000

- Question 2:
The commission earned on the sale of the six (6) bags by XYZ Inc.
- a. P9,720
 - b. P10,800
 - c. P15,000
 - d. P16,200

- Question 3:
The consignor net profit
- a. P13,140
 - b. P17,100
 - c. P19,800
 - d. P36,000

- Question 4:
The cost of inventory on consignment to be reported by ABC Corporation at the end of the period
- a. P43,200
 - b. P46,080
 - c. P46,440
 - d. P66,600

9. Company X consigned 25 shirts to Company Y. The cost of the shirt is P310 each. Company X paid the freight cost amounting to P500. The shirt is to be sold at P500 each payable P100 in the month of purchase and P20 per month thereafter. Company Y’s commission on consigned goods is 20%.

Company Y was able to sell 15 shirts in July and 5 shirts in August. The regular monthly collections by Company Y and the appropriate cash remittances have been made to Company X at the end of each month. The parties agreed that Company Y is allowed only to deduct a commission based on the amount collected from consignment.

- Question 1:
The cost of inventory on consignment in the hands of Company Y
- a. P1,550
 - b. P1,650
 - c. P1,750
 - d. P2,450

- Question 2:
Company X’s net profit
- a. P1,400
 - b. P1,500
 - c. P2,000
 - d. P2,940



Question 3:

Total remittance by Company Y

- a. P460
- b. P1,650
- c. P1,840
- d. P2,000

10. Company X consigned 12 cabinets, which costs P960 each, to Company Y, which was to sell it for a 15% commission based on selling price.

Company X paid freight cost amounting to P240 and reimbursed Company Y P250 for its delivery to customers. On August 30, 2020, Company Y reported that it had sold 8 cabinets, 6 for cash at P1,800 and 2 for credit basis at P2,160 of which it had collected 20% as down payment.

Question 1: The cost of inventory in the hands of Company Y

- a. P3,840
- b. P3,920
- c. P4,003
- d. P4,080

Question 2: The net profit of Company X on consignment sales

- a. P4,006
- b. P4,682
- c. P4,762
- d. P4,845

Question 3: The amount remitted by Company Y to Company X

- a. P9,146
- b. P9,229
- c. P9,396
- d. P11,664



Installment Sales

1. An acceptable method for recognizing profit when the collection of cash is in doubt is the
 - a. Percentage of completion method
 - b. Zero-profit method
 - c. Installment method
 - d. Consignment method
2. Under the Installment method, the gross profit rate based on sale may be computed as
 - a. Sales divided by the gross profit
 - b. Gross profit divided by the cost of sales
 - c. Deferred gross profit divided by the Installment Accounts Receivable
 - d. All of the above
3. The excess of fair value of traded-in merchandise over the trade-in value in an installment sale is known as
 - a. Over allowance
 - b. Under allowance
 - c. Net realizable value
 - d. Realized gross profit
4. Income is recognized using the Installment Method of accounting generally equals cash collected multiplied by the
 - a. Net operating percentage
 - b. Gross profit percentage
 - c. Net operating percentage adjusted for expected uncollectible accounts
 - d. Gross profit percentage adjusted for expected uncollectible accounts
5. In installment sales, how shall the seller classify and present deferred gross profit account on its Statement of Financial Position?
 - a. Equity account
 - b. Income account
 - c. Unearned revenue account
 - d. Asset valuation allowance or contra-receivable account



6. ABC Company accounts for its sales on the installment sales basis. At the beginning of 2022, the ledger accounts include the following account balances:

Installment accounts receivable, 2020	P180,000
Installment accounts receivable, 2021	576,000
Deferred gross profit, 2020	75,600
Deferred gross profit, 2021	216,000

At the end of 2022, account balances before adjustment for unrealized gross profit on installment sales are:

Installment accounts receivable, 2020	P0
Installment accounts receivable, 2021	144,000
Installment accounts receivable, 2022	780,000
Deferred gross profit, 2020	75,600
Deferred gross profit, 2021	206,100
Deferred gross profit, 2022	360,000

Installment sales in 2022 are made at 25% above cost of merchandise sold; cash sales amounting to P1,400,000 were made at mark-up of 30% of sales and credit sales of P400,000 at a mark-up of 32%.

During 2022, upon default in payment by the customer, the company repossessed the merchandise with a net realizable value (fair market value) of P12,000. The sale was made in 2021 for P64,800 and P38,400 had been collected prior to repossession.

- Question 1:
Total realized gross profit before gain or loss on repossession in 2022
- a. P204,000
 - b. P227,700
 - c. P431,700
 - d. P979,700

- Question 2:
Realized gross profit in installment sales in 2022
- a. P204,000
 - b. P227,850
 - c. P431,700
 - d. P979,700

- Question 3:
The realized gross profit on installment sales in 2022 for 2021 sales
- a. P75,600
 - b. P152,100
 - c. P204,000
 - d. P267,700

- Question 4:
The gain or loss on repossession is
- a. P4,500 loss
 - b. P4,500 gain
 - c. P14,400 loss
 - d. P14,400 gain

- Question 5:
Assuming that ABC wants to improve the salability of the repossessed merchandise, the company incurred P1,000 for reconditioning. After which, the company was able to sell the merchandise to another customer for P16,250 at a downpayment of 40%. Compute the realized gross profit on the subsequent sale.
- a. P1,040
 - b. P1,300
 - c. P1,624
 - d. P1,700



7. Company X sells home theater set both on installment and cash basis. Mr. Y purchased a set from Company X on March 30, 2021, for P367,500 which has a cost of P289,800.

A used set is accepted as down payment, P89,600 being allowed on the trade in. The used set can be resold for P112,140 after reconditioning cost of P5,362. The company expects to make a 20% gross profit on the sale of used set. The balance of the sale is to be paid on a 10-month installment basis starting May 1, 2021.

Mr. Y defaulted payment starting November 1, 2021, and the set was immediately repossessed. The repossessed merchandise was appraised at a fair market value of P65,625 at the time of repossession.

Company X had to incur additional cost of repairs amounting to P6,475 before the car was subsequently resold on December 1, 2021, for P90,125 cash to Mr. W.

Compute for the net income to be recognized for the year 2021.

- a. P44,940
- b. P51,415
- c. P68,243
- d. P69,293

-- END --





Management Services (MS)



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COST CONCEPTS, TERMS AND MEASUREMENT

Manufacturing Costs

- Manufacturing costs are classified as (1) **direct materials**, (2) **direct labor**, or (3) **manufacturing overhead**.
- **Direct materials** are raw materials that can be physically and directly associated with the finished product during the manufacturing process.
 - **Indirect materials:**
 - ✓ Do not physically become part of the finished product.
 - ✓ Cannot be traced because their physical association with the finished product is too small in terms of cost.
 - ✓ Companies account for indirect materials as part of manufacturing overhead.
- **Direct labor** is the work of factory employees that can be physically and directly associated with converting raw materials into finished goods.
 - **Indirect labor** has no physical association with the finished product, or it is impractical to trace the costs to the goods produced. Companies classify indirect labor as manufacturing overhead.
- **Manufacturing overhead** consists of costs that are indirectly associated with the manufacture of the finished product.
 - **Manufacturing overhead** includes indirect materials, indirect labor, depreciation on factory buildings and machines, insurance, taxes and maintenance on factory facilities.

Manufacturing Costs in Financial Statements

- The principal differences in a manufacturer’s financial statements occur in the cost of goods sold section in the income statement and the current assets section in the balance sheet.
- Manufacturers compute cost of goods sold by adding the beginning finished goods inventory to the cost of goods manufactured and subtracting the ending finished goods inventory.
- To determine the cost of goods manufactured, companies add the cost of the beginning work in process to the total manufacturing costs for the current year to find the total cost of work in process for the year. Companies then subtract the ending work in process from the total cost of work in process to find the cost of goods manufactured.
- The balance sheet for a manufacturing company may have three **inventory accounts**:
 - **Finished Goods**, which shows the cost of completed goods on hand.
 - **Work in Process**, which shows the cost applicable to units that have been started into production but are only partially completed.

- **Raw Materials**, which shows the cost of raw materials on hand.

Cost Terms

- Cost** – the monetary amount of the resources given up or sacrificed to attain some objective such as acquiring goods and services.
- Cost behavior** – describes how a cost behaves or changes as the amount of cost driver changes.
- Cost pool** – an account in which a variety of similar costs are accumulated prior to allocation to cost objects. It is a group of costs associated with an activity. Example: overhead control account.
- Cost object** – the intermediate and final disposition of cost pools. Example: product, job, process.
- Cost driver** – a factor that causes a change in the cost pool for a particular activity. It is used as a basis for cost allocation; any factor or activity that has a direct cause-effect relationship.
- Activity** – any event, action, transaction or work sequence that incurs costs when producing a product or providing a service.

Cost Behavior Analysis

- **Cost behavior analysis** is the study of how specific costs respond to changes in the level of business activity.
- The **activity index** identifies the activity that causes changes in the behavior of costs. With an appropriate activity index, companies can classify the behavior of costs into three categories: variable, fixed, or mixed.
- **Variable costs** are costs that vary in total directly and proportionately with changes in the activity level. A variable cost remains the same per unit at every level of activity.
- **Fixed costs** are costs that remain the same in total regardless of changes in the activity level.
 - Because total fixed costs remain constant as activity changes, it follows that fixed costs per unit vary inversely with activity.
 - Examples of fixed costs include property taxes, insurance, rent, supervisory salaries, and depreciation on buildings and equipment.
- **Mixed costs** are costs that contain both a variable and a fixed element.
 - Mixed costs change in total but not proportionately with changes in the activity level.



- o The **relevant range** is the range of activity over which a company expects to operate during the year.
 - It is important in CVP analysis because the behavior of costs is assumed to be linear (straight-line) throughout the relevant range.
 - Although the linear relationship may not be completely realistic, the linear assumption produces useful data for CVP analysis as long as the level of activity remains within the relevant range.

In summary:

Costs	Total Amount	Per Unit
1. Fixed	Constant	Decreases as production increases (inverse relationship)
2. Variable	Increases as production increases (direct relationship)	Constant
3. Mixed or Semi-variable	Increases less proportionately (vs. total variable costs) as production increases	Decreases less proportionately (vs. unit fixed costs) as production increases

SEGREGATION OF FIXED AND VARIABLE ELEMENTS OF MIXED COSTS:

- a. **High-Low Method** – the fixed and variable elements of the mixed costs are computed from two data points – the high and low periods as to activity level or cost driver.
- b. **Scattergraph Method** – various costs (the dependent variable) are plotted on a vertical line (y-axis) and measurement figures (cost drivers or activity levels) are plotted on a horizontal line (x-axis). A straight line is drawn through the points and, using this line, the rate of variability and the fixed cost are computed.
- c. **Least Squares (Regression Analysis) Method** – Is a statistical technique that investigates the association between dependent and independent variables. This method determines the line of best fit for a set of observations by minimizing the sum of the squared deviations between cost line and the data points.

This method uses the following equations in computing for the values of unit variable cost and fixed cost:

COST FORMULA: $y = a + bx$

Equation 1: $\sum Y = na + b\sum x$

Equation 2: $\sum xy = a\sum x + b\sum x^2$

Where:

“y” denotes total cost. It is called the dependent variable because it is dependent on the value of another variable, the activity level x.

“a” is an estimate of the fixed cost.

“b” is an estimate of the variable cost per unit of activity.

Correlation Analysis

- Used to measure the strength of linear relationship between two or more variables.
- The correlation between two variables can be seen by drawing a scatter diagram:
 - ✓ If the points seem to form a straight line, there is a high correlation.
 - ✓ If the points form a random pattern, there is a low correlation or no correlation at all.

Coefficient of Correlation (r)

- Measures the relative strength of linear relationship between two (2) variables. Its value ranges from – 1.0 to + 1.0:
 - ✓ If $r = -1.0$, there is perfect inverse linear relationship between x and y.
 - ✓ If $r = 0$, no linear relationship.
 - ✓ If $r = +1.0$, there is perfect direct relationship between x and y.

Coefficient of Determination (r^2)

- The proportion of the total variation in Y that is accounted for by the regression equation, regardless of whether the relationship between x and y is direct or inverse.
- It is a measure of ‘goodness of fit’ in the regression.
- The higher the r^2 , the more confidence one can have in the estimated cost formula.

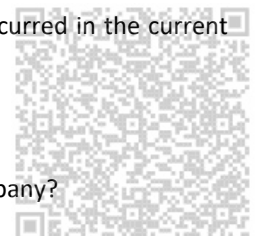
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COST CONCEPTS

THEORY

1. The kind of accounting concerned with providing information to management in making decisions about the operations of the business
 - a. Responsibility accounting
 - b. Cost accounting
 - c. Management accounting
 - d. None of the above
2. Which of the following is not a characteristic of Management Services?
 - a. MS is broad in scope
 - b. MS involves problem-solving affecting the future operations of the client
 - c. Beneficiary of service is management
 - d. MS is repetitive as far as the same client is concerned
3. A person who is qualified by education, experience, technical ability, and temperament to advise or assist businessmen on a professional basis in identifying, defining, and solving specific management problems involving the organization, planning, direction, control, and operation of a firm is called a
 - a. Management Consultant
 - b. Certified Public Accountant
 - c. Accounting Technician
 - d. Management Accountant
4. Management accounting is considered successful when it
 - a. Helps managers improve their decision
 - b. Is in accordance with GAAP
 - c. Is relevant
 - d. Is accurate
5. The major difference(s) between financial and management accounting is that
 - a. Financial accounting reports are prepared primarily for users external to the company
 - b. Management accounting is not under the jurisdiction of the Securities and Exchange Commission
 - c. Government regulations do not apply to management accounting
 - d. All of the above are differences between financial and management accounting
6. The following characteristics refer to Financial Accounting except
 - a. Provides information to external users
 - b. Emphasizes on objective data
 - c. Has no externally imposed standards
 - d. Generates general purpose financial statements
7. Managerial accounting information is generally prepared for
 - a. Stockholders
 - b. Creditors
 - c. Managers
 - d. Regulatory agencies
8. Which of the following is not an internal user?
 - a. Creditor
 - b. Department manager
 - c. Controller
 - d. Treasurer
9. The major reporting standard for presenting managerial accounting information is
 - a. Relevance
 - b. Generally accepted accounting principles
 - c. The cost principle
 - d. The current tax law
10. The term "prime costs" refers to
 - a. The sum of direct labor costs and all factory overhead costs
 - b. The sum of direct materials costs and direct labor costs
 - c. Manufacturing costs incurred to produce units of output
 - d. All costs associated with manufacturing other than direct labor and direct materials costs
11. The term "conversion costs" refers to
 - a. Costs that are associated with marketing, shipping, warehousing, and billing activities
 - b. The sum of direct labor costs and all factory overhead costs
 - c. The sum of direct materials costs and direct labor costs
 - d. Manufacturing costs incurred to produce units of output
12. The sum of the direct materials costs, direct labor costs, and manufacturing overhead incurred in the current year is the
 - a. Cost of goods manufactured
 - b. Cost of goods available for sale
 - c. Total cost of work in process
 - d. Total manufacturing cost
13. Which one of the following does not appear on the balance sheet of a manufacturing company?
 - a. Finished goods inventory
 - b. Work in process inventory
 - c. Cost of goods manufactured
 - d. Raw materials inventory



14. Cost of goods manufactured is calculated as follows
 - a. Beginning WIP + direct materials used + direct labor + manufacturing overhead + ending WIP
 - b. Direct materials used + direct labor + manufacturing overhead – beginning WIP + ending WIP
 - c. Beginning WIP + direct materials used + direct labor + manufacturing overhead – ending WIP
 - d. Direct materials used + direct labor + manufacturing overhead – ending WIP – beginning WIP
15. Which one of the following would not be classified as manufacturing overhead?
 - a. Indirect labor
 - b. Direct materials
 - c. Insurance on factory building
 - d. Indirect materials
16. The wages of a timekeeper in the factory would be classified as
 - a. A prime cost
 - b. Direct labor
 - c. Indirect labor
 - d. Compliance costs
17. The product cost that is most difficult to associate with a product is
 - a. Direct materials
 - b. Direct labor
 - c. Manufacturing overhead
 - d. Advertising
18. Product costs consist of
 - a. Conversion costs and unexpired expense
 - b. Prime costs and manufacturing overhead
 - c. Selling and administrative expenses
 - d. Period costs
19. Costs that are expensed when incurred are called
 - a. Product costs
 - b. Direct costs
 - c. Inventoriable costs
 - d. Period costs
20. Which of the following are period costs?
 - a. Raw materials
 - b. Prime costs
 - c. Conversion costs
 - d. Selling expenses
21. Costs that can be easily traced to a specific department are called
 - a. Direct costs
 - b. Indirect costs
 - c. Product costs
 - d. Manufacturing costs
22. Indirect costs
 - a. Can be traced to a cost object
 - b. Cannot be traced to a particular cost object
 - c. Are not important
 - d. Are always variable costs
23. Variable costs are those costs that
 - a. Vary inversely with changes in activity
 - b. Vary directly with changes in activity
 - c. Decrease on a per-unit basis as activity increases
 - d. Increase on a per-unit basis as activity increases
24. As activity decreases, unit variable cost
 - a. Increases proportionately with activity
 - b. Decreases proportionately with activity
 - c. Remains constant
 - d. Increases by a fixed amount
25. Fixed costs are those costs that
 - a. Vary directly with changes in activity
 - b. Vary inversely with changes in activity
 - c. Increase on a per-unit basis as activity increases
 - d. Remain constant as activity changes
26. The fixed cost per unit
 - a. Will increase as activity increases
 - b. Will increase as activity decreases
 - c. Will decrease as activity increases
 - d. Will exhibit the behavior described in choices "b" and "c"
27. Which of the following statements is false?
 - a. At zero production level, fixed costs are also zero
 - b. At zero production level, fixed costs are usually positive
 - c. At zero production level, variable costs are usually zero
 - d. At zero production level, total costs equal total fixed costs
28. The term "relevant range" as used in cost accounting means the range over which
 - a. Cost relationships are valid
 - b. Production may vary
 - c. Relevant costs are incurred
 - d. Costs may fluctuate
29. The salaries you could be earning by working rather than attending college are an example of
 - a. Misplaced Cost
 - b. Opportunity Cost
 - c. Sunk Cost
 - d. Outlay Cost



30. Sunk costs
- a. Are relevant to long-term decisions but not to short-term decisions
 - b. Are relevant to decision making
 - c. Are subtitles for opportunity costs
 - d. In themselves are not relevant to decision making
31. If the total cost of alternative A is P50,000 and the total cost of alternative B is P34,000, then P16,000 is termed the:
- a. Opportunity cost
 - b. Sunk cost
 - c. Out-of-pocket cost
 - d. Differential cost
32. The term incremental cost refers to
- a. The profit foregone by selecting one choice instead of another
 - b. The additional cost of producing or selling another product or service
 - c. A cost that continues to be incurred in the absence of activity
 - d. A cost common to all choices in question and not clearly or feasibly allocable to any of them
33. These are among the methods of segregating fixed cost and variable costs except
- a. Simple regression analysis
 - b. Scattergraph
 - c. Breakeven method
 - d. High-low method
34. The principal advantage of the scatter-diagram method over the high-low method of cost estimation is that the scatter-diagram method
- a. Includes costs outside the relevant range.
 - b. Considers more than two points.
 - c. Can be used with more types of costs than the high-low method.
 - d. Gives a precise mathematical fit of the points to the line.
35. Which of the following statements is true when referring to the high-low method of cost analysis?
- a. The high-low method has no major weaknesses
 - b. The high-low method is very hard to apply
 - c. In essence, the high-low method draws a straight line through two data points
 - d. None of the above is true
36. The quantitative method that will separate a semi-variable cost into its fixed and variable components with the highest degree of precision is
- a. Simplex method
 - b. Least squares method/Regression Analysis
 - c. Scattergraph method
 - d. High-low method
37. Simple regression analysis involves the use of
- | | <u>Dependent variables</u> | <u>Independent variables</u> |
|----|----------------------------|------------------------------|
| a. | One | None |
| b. | One | One |
| c. | One | Two |
| d. | None | Two |
38. A measure of the extent to which two variables are related linearly is referred to as
- a. Sensitivity analysis
 - b. Input-output analysis
 - c. Coefficient of correlation
 - d. Cause-effect ratio
39. In regression analysis, which of the following correlation coefficients represents the strongest relationship between the independent and dependent variable?
- a. 1.03
 - b. -.02
 - c. -.89
 - d. .75
40. In regression analysis, coefficient of determination is a measure of
- a. The amount of variation in the dependent variable explained by the independent variables
 - b. The amount of variation in the dependent variable unexplained by the independent variables
 - c. The slope of the regression line
 - d. The predicted value of the independent variable

CLASSIFICATION

Managerial accounting and financial accounting information have a number of distinguishing characteristics. For each of the characteristics listed below, write "M" for managerial accounting or "F" for financial accounting.

- ___ 1. General-purpose reports
- ___ 2. Reports are only used internally
- ___ 3. Prepared in accordance with generally accepted accounting principles
- ___ 4. Special purpose reports



- ___ 5. Limited to historical cost data
- ___ 6. Reporting standard is relevance to the decision to be made
- ___ 7. Financial statements
- ___ 8. Reports generally pertain to the business as a whole
- ___ 9. Reports generally pertain to subunits
- ___ 10. Reports issued quarterly or annually

For each item listed below, indicate in the space to the left whether the item would be considered an inventoriable cost or a period cost for a manufacturing company. Use the following:

I = Inventoriable cost P = Period cost

- | | |
|-------------------------------------|---|
| ___ 1. Factory supervisory salaries | ___ 6. Office salaries expense |
| ___ 2. Sales commissions | ___ 7. Property taxes on factory building |
| ___ 3. Income tax expense | ___ 8. Sales manager's salary |
| ___ 4. Indirect materials used | ___ 9. Factory wages expense |
| ___ 5. Indirect labor | ___ 10. Direct materials used |

Presented below is a list of costs and expenses incurred in the factory by Vanessa Corporation, a manufacturer of vehicles. Classify the above items into the following categories:

DM — Direct Materials DL — Direct Labor OH — Overhead

- | | |
|---|--|
| ___ 1. Property taxes on the factory land | ___ 5. Factory supervisors' salaries |
| ___ 2. Metal used in manufacturing | ___ 6. Depreciation on factory machines |
| ___ 3. Cabinet maker's wages | ___ 7. Carpeting for the recreational vehicles |
| ___ 4. Nails and glue used in production | ___ 8. Insurance on factory equipment |

TRUE OR FALSE

- ___ 1. Reports prepared in financial accounting are general-purpose reports, whereas reports prepared in managerial accounting are usually special-purpose reports.
- ___ 2. Managerial accounting is primarily concerned with managers and external users.
- ___ 3. Managerial accounting places less emphasis on precision and more emphasis on flexibility and relevance than financial accounting.
- ___ 4. Managerial accounting is not governed by generally accepted accounting principles (GAAP).
- ___ 5. Financial accounting and managerial accounting reports must be prepared in accordance with generally accepted accounting principles (GAAP).
- ___ 6. Both direct labor cost and indirect labor cost are product costs.
- ___ 7. Manufacturing costs that cannot be classified as direct material or direct labor are classified as manufacturing overhead.
- ___ 8. Direct material costs and indirect material costs are prime costs.
- ___ 9. Indirect materials and indirect labor are both inventoriable costs.
- ___ 10. Period costs are not inventoriable costs.

PROBLEMS

- 1. The accounting records of Rommel Company revealed the following costs: direct materials used, P170,000; direct labor, P350,000; manufacturing overhead, P400,000; and selling and administrative expenses, P220,000. The product costs total:
 - a. P 520,000
 - b. P 750,000
 - c. P 920,000
 - d. P 1,140,000
- 2. The accounting records of Harris Corporation revealed the following selected costs: Sales commissions, P40,000; plant supervision, P94,000; and administrative expenses, P185,000. The period costs total:
 - a. P 40,000
 - b. P 94,000
 - c. P 185,000
 - d. P 225,000
- 3. Total costs are P120,000 when 10,000 units are produced; of this amount, variable costs are P48,000. What are the total costs when 12,000 units are produced?
 - a. P 57,600
 - b. P 72,000
 - c. P 120,000
 - d. P 129,600
- 4. Prime costs of a company are P3,000,000, manufacturing overhead is P1,500,000 and direct labor is P750,000. What is the amount of direct materials?
 - a. P 1,500,000
 - b. P 750,000
 - c. P 2,250,000
 - d. Cannot be determined from the information provided.



5. Joseph Company has a beginning inventory of direct materials on March 1 of P30,000 and an ending inventory on March 31 of P36,000. The following additional manufacturing cost data were available for the month of March:

Direct materials purchased	P84,000
Direct labor.....	60,000
Factory overhead	80,000

During March, prime cost added to production was:

- a. P 140,000

b. P 138,000
- c. P 144,000

d. P 150,000

Direct materials purchased	P84,000
Direct labor.....	60,000
Factory overhead	80,000

During March, conversion cost added to production was:

- a. P 80,000

b. P 144,000
- c. P 140,000

d. P 138,000

Use the following information for the next two (2) questions:

7. Sarah Company's accounting records reflect the following inventories:

	<u>Dec. 31, 20X0</u>	<u>Dec. 31, 20X1</u>
Raw materials inventory	P260,000	P310,000
Work in process inventory	160,000	300,000
Finished goods inventory	150,000	190,000

During the year, P500,000 of raw materials were purchased, direct labor costs amounted to P600,000, and manufacturing overhead incurred was P480,000.

Question 1: The total manufacturing costs incurred amounted to

- a. P 1,530,000

b. P 1,490,000
- c. P 1,390,000

d. P 1,580,000

a. P 1,500,000

b. P 1,250,000

c. P 1,350,000

d. P 1,430,000

8. Abigail Company reported the following year-end information:

Beginning work in process inventory	P 46,000
Beginning raw materials inventory	24,000
Ending work in process inventory	50,000
Ending raw materials inventory	20,000
Raw materials purchased	680,000
Direct labor	240,000
Manufacturing overhead	100,000

How much is the cost of goods manufactured for the year?

- a. P 684,000

b. P 1,024,000
- c. P 1,020,000

d. P 1,028,000



9. Erin Company gathered the following information on power costs and factory machine usage for the last six months:

<u>Month</u>	<u>Power Cost</u>	<u>Factory Machine Hours</u>
January	P24,400	13,900
February	30,300	17,600
March	29,000	16,800
April	22,340	13,200
May	19,900	11,600
June	14,900	6,600

Using the high-low method of analyzing costs, answer the following questions:

- a. What is the estimated variable portion of power costs per factory machine hour?
 - b. What is the estimated fixed power cost each month?
 - c. If it is estimated that 10,000 factory machine hours will be run in July, what is the expected total power cost for July?
10. The management of Joyce Company would like to separate the fixed and variable components of electricity as measured against machine hours in one of its plants. Data collected over the most recent six months follow:

<u>Month</u>	<u>Electricity Cost</u>	<u>Machine Hours</u>
January	P27,000	800
February	20,000	500
March	31,000	1,000
April	19,000	400
May	24,000	600
June	29,000	900

Using the method of least squares, compute the fixed cost and the variable cost rate for electricity expense.



COST-VOLUME-PROFIT ANALYSIS

- **Cost-volume-profit (CVP) analysis** is the study of the effects of changes in costs and volume on a company's profits.
- CVP analysis is important in profit planning. It is useful in setting selling prices, determining product mix, and maximizing use of production facilities.
- CVP analysis considers the interrelationships among the following components:
 - ✓ Volume or level of activity
 - ✓ Unit selling prices
 - ✓ Variable cost per unit
 - ✓ Total fixed costs
 - ✓ Sales mix
- The following **assumptions** underlie each CVP analysis:
 - The behavior of both costs and revenues is linear throughout the relevant range of the activity index.
 - Costs can be classified accurately as either variable or fixed.
 - Changes in activity are the only factors that affect costs.
 - All units produced are sold.
 - When more than one type of product is sold, the sales mix will remain constant (the percentage that each product represents of total sales will stay the same).
- **Contribution margin** is the amount of revenue remaining after deducting variable costs. It can be expressed as a per unit amount or as a ratio.
 - $\text{Contribution Margin per Unit} = \text{Unit Selling Price} - \text{Unit Variable Costs}.$
 - $\text{Contribution Margin Ratio} = \text{Contribution Margin per Unit} \div \text{Unit Selling Price}.$

Break-even Analysis

- At the **break-even point**, the company will realize no income but will suffer no loss.
- Knowledge of the break-even point is useful to management when it decides whether to introduce new product lines, change sales prices on established products, or enter new market areas.
- The break-even point can be:
 - **Computed by using contribution margin:**
 - $\text{Break-even Point in Units} = \text{Fixed Costs} \div \text{Contribution Margin per Unit}.$
 - $\text{Break-even Point in Peso} = \text{Fixed Costs} \div \text{Contribution Margin Ratio}.$

- **Computed from a mathematical equation:**
 - $\text{Break-even Point in Peso} = \text{Total Variable Costs} + \text{Total Fixed Costs}.$
 - The break-even point in units can be computed by using unit selling prices and unit variable costs.
- Derived from a CVP graph at the intersection of the total-cost line and the total-sales line.
- The income objective set by management is called **target net income**. To meet target net income, required sales must be determined.
 - **Contribution margin technique:**
 - $\text{Required Sales in peso} = (\text{Fixed Costs} + \text{Target Net Income}) \div \text{Contribution Margin Ratio}$
 - **Mathematical equation:**
 - $\text{Required Sales} = \text{Variable Costs} + \text{Fixed Costs} + \text{Target Net Income}.$
 - *Required sales may be expressed in either sales units or sales peso.*
 - **Graphic presentation:** In the profit area of the CVP graph, the distance between the sales line and the total cost line at any point equals net income. A company can find required sales by analyzing the differences between the two lines until the desired net income is found.

Margin of Safety

- The difference between actual sales and break-even sales.
- It indicates the maximum amount by which sales could decline without incurring a loss.

Cost-Volume-Profit (CVP) Review

- Because CVP analysis is important for decision making, management often wants this information reported in a CVP income statement format for internal use.
- The CVP income statement classifies costs and expenses as variable or fixed. It also reports contribution margin in the body of the statement.
- **Contribution margin** is the amount of revenue remaining after deducting variable costs and is stated as both a total amount and on a per unit basis.

Sales Mix

- When a company sells many products, it is important that it understands its sales mix.
- **Sales mix** is the relative proportion in which each product



is sold when a company sells more than one product. It is important to managers because different products often have substantially different contribution margins and break-even points.

- **Break-even sales in units** can be computed for a mix of two or more products by determining the weighted-average unit contribution margin of all the products.
 - **The break-even point in units** is computed by dividing fixed costs by the weighted-average unit contribution margin.
 - The **weighted-average unit contribution margin** is computed by adding the products of Product A's unit contribution margin X its percentage of sales and Product B's unit contribution margin X its percentage of sales.
 - At any level of units sold, net income will be greater if higher contribution margin units are sold than lower contribution margin units.
 - A shift from low-margin sales to high-margin sales may increase net income even though there may be a decline in total units sold. Conversely, a shift from high- to low-margin sales may result in a decrease in net income, even though there may be an increase in total units sold.
- The calculation of the break-even point in units works well if a company has only a small number of products. In a company with many products, break-even sales in peso is calculated using the weighted-average contribution margin ratio.
 - The **break-even point in peso** is computed by dividing fixed costs by the weighted-average contribution margin ratio.
 - The **weighted-average contribution margin ratio** is computed by adding the products of Division A's contribution margin ratio X its percentage of sales and Division B's contribution margin ratio X its percentage of sales.
- The **degree of operating leverage (DOL)** provides a measure of a company's earnings volatility and can be used to compare companies. Degree of operating leverage is computed by dividing total contribution margin by net income.
- When a company's sales revenue is increasing, high operating leverage is good because it means that profits will increase rapidly. However, when sales are declining, too much operating leverage can have devastating consequences.
- A cost structure that relies on higher fixed costs, and consequently has higher operating leverage, is not necessarily bad. Operating leverage can add considerably to a company's profitability when used carefully.

the impact of changes on any variables. For example, changes in prices, variable costs, and fixed costs on expected profits.

SUMMARY OF FORMULAS:

Contribution Margin (CM)

•
$$CM\ Ratio = \frac{Contribution\ Margin}{Sales} \quad OR \quad \frac{Unit\ Contribution\ Margin}{Unit\ Selling\ Price}$$

Break-Even Point (BEP) – single product

•
$$BEP\ Units = \frac{Fixed\ Costs}{Contribution\ Margin\ per\ Unit}$$

•
$$BEP\ Peso\ Sales = \frac{Fixed\ Costs}{Contribution\ Margin\ Ratio}$$

•
$$Unit\ Sales\ with\ Target\ Profit = \frac{Fixed\ Costs + Profit}{Contribution\ Margin\ per\ Unit}$$

•
$$Peso\ Sales\ with\ Target\ Return\ on\ Sales = \frac{Fixed\ Costs}{CM\ Ratio - Return\ on\ Sales}$$

•
$$Profit\ must\ be\ expressed\ before\ tax: \frac{Profit\ after\ tax}{(100\% - Tax\ rate)}$$

Break-Even Point (BEP) – multiple products (sales mix)

•
$$BEP\ Units = \frac{Fixed\ Costs}{Weighted\ Average\ CM\ per\ unit}$$

•
$$BEP\ Peso\ Sales = \frac{Fixed\ Costs}{Weighted\ Average\ CM\ Ratio}$$

Margin of Safety

•
$$Margin\ of\ Safety = Sales - Break\text{-}even\ Sales$$

•
$$Margin\ of\ Safety\ Ratio = Margin\ of\ Safety \div Sales$$

Degree of Operating Leverage (DOL)

•
$$DOL = Contribution\ Margin \div Profit\ before\ tax$$

•
$$\Delta\ \% \ sales \times DOL = \Delta\ \% \ profit\ before\ tax$$

-- END --



CVP ANALYSIS

THEORY

1. Cost-volume-profit analysis can be used to study the effect of

a. Changes in selling prices on a company's profitability

b. Changes in fixed and variable costs on a company's profitability

c. Changes in product sales mix on a company's profitability

d. All of the above
2. CVP analysis requires costs to be categorized as

a. Either fixed or variable

b. Fixed, mixed, or variable

c. Product or period

d. Standard or actual
3. Which of the following is not a major assumption underlying CVP analysis?

a. All costs incurred by a firm can be separated into their fixed and variable components

b. The product selling price per unit is constant at all volume levels

c. Operating efficiency and employee productivity are constant at all volume levels

d. For multi-product situations, the sales mix can vary at all volume levels
4. Contribution margin can be defined as

a. The amount of sales revenue necessary to cover variable expenses

b. Sales revenue minus fixed expenses

c. The amount of sales revenue necessary to cover fixed and variable expenses

d. Sales revenue minus variable expenses
5. After the level of volume exceeds the break-even point

a. The contribution margin ratio increases

b. The total contribution margin exceeds the total fixed costs

c. Total fixed costs per unit will remain constant

d. The total contribution margin will turn from negative to positive
6. At the break-even point

a. Sales would be equal to contribution margin

b. Contribution margin would be equal to fixed expenses

c. Contribution margin would be equal to net operating income

d. Sales would be equal to fixed expenses
7. The break-even point would be increased by

a. A decrease in total fixed expenses

b. A decrease in the ratio of variable expenses to sales

c. An increase in the contribution margin ratio

d. None of these
8. Which of the following strategies could be used to reduce the break-even point?

	<u>Fixed expenses</u>	<u>Contribution margin</u>
a.	Increase	Increase
b.	Decrease	Decrease
c.	Decrease	Increase
d.	Increase	Decrease
9. According to CVP analysis, a company could never incur a loss that exceeded its total

a. Variable costs

b. Fixed costs

c. Costs

d. Contribution margin
10. Introducing income taxes into cost-volume-profit analysis

a. Raises the break-even point

b. Lowers the break-even point

c. Increases unit sales needed to earn a particular target profit

d. Decreases the contribution margin percentage
11. If the sales mix shifts toward higher contribution margin products, the break-even point

a. Decreases

b. Increases

c. Remains constant

d. It is impossible to tell without more information
12. The break-even point is that level of activity where:

a. Total revenue equals total cost

b. Total contribution margin equals the sum of variable cost-plus fixed cost

c. Sales revenue equals total variable cost

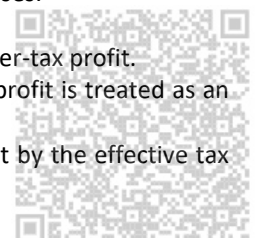
d. Profit is greater than zero



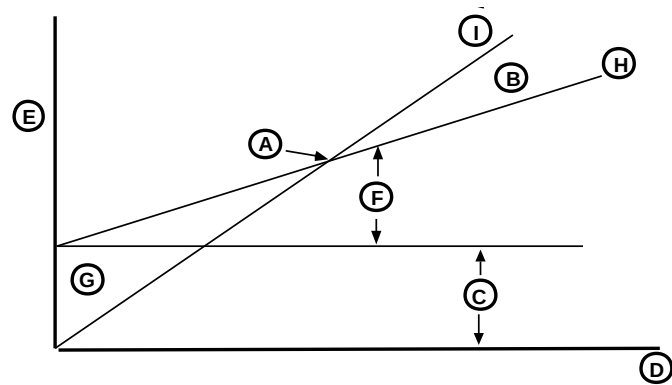
13. A company that desires to lower its break-even point should strive to
 - a. Decrease selling prices
 - b. Reduce variable costs
 - c. Increase fixed costs
 - d. Sell more units
14. If a firm's net income does not change as its volume changes, the firm('s)
 - a. Must be in the service industry
 - b. Must have no fixed costs
 - c. Sales price must equal zero
 - d. Sales price must equal its variable costs
15. The contribution margin ratio always increases when the
 - a. Variable costs as a percentage of net sales increase
 - b. Variable costs as a percentage of net sales decrease
 - c. Break-even point increases
 - d. Break-even point decreases
16. A company's break-even point in pesos of revenue may be affected by equal percentage increase in both selling price and variable cost per unit. The equal percentage changes in selling price and variable cost per unit will cause the break-even point in pesos to
 - a. Decrease by less than the percentage increase in selling price
 - b. Decrease by more than the percentage increase in the selling price
 - c. Increase by the percentage change in variable cost per unit
 - d. Remain unchanged
17. In a multiple-product firm, the product that has the highest contribution margin per unit will
 - a. Generate more profit for each P1 of sales than the other products
 - b. Have the highest contribution margin ratio
 - c. Generate the most profit for each unit sold
 - d. Have the lowest variable costs per unit
18. The margin of safety would be negative if a company('s)
 - a. Was presently operating at a volume that is below the break-even point
 - b. Present fixed costs were less than its contribution margin
 - c. Variable costs exceeded its fixed costs
 - d. Degree of operating leverage is greater than 100
19. The margin of safety is a key concept of CVP analysis. The margin of safety is the
 - a. Contribution margin rate
 - b. Difference between budgeted contribution margin and actual contribution margin
 - c. Difference between budgeted contribution margin and break-even contribution margin
 - d. Difference between budgeted sales and break-even sales
20. If a company is operating at the break-even point
 - a. Its contribution margin will be equal to its variable expenses
 - b. Its margin of safety will be equal to zero
 - c. Its fixed expenses will be equal to its variable expenses
 - d. Its selling price will be equal to its variable expense per unit
21. If the degree of operating leverage is 4, then a 1% change in quantity sold should result in a 4% change in
 - a. Unit contribution margin
 - b. Revenue
 - c. Variable expense
 - d. Net operating income
22. Which of the following is the correct calculation for the degree of operating leverage?
 - a. Net operating income divided by total expenses
 - b. Net operating income divided by total contribution margin
 - c. Total contribution margin divided by net operating income
 - d. Variable expense divided by total contribution margin

TRUE OR FALSE

- ___ 1. All other things the same, a reduction in the variable expense per unit will cause the break-even point to rise.
- ___ 2. In CVP analysis, sales and production are assumed to be equal.
- ___ 3. All other things the same, the margin of safety in pesos at a given level of sales will tend to be lower for a capital-intensive company than for a labor-intensive company with high variable expenses.
- ___ 4. A company's break-even point is the level where total revenues equal total costs.
- ___ 5. After the break-even point is reached, each peso of contribution margin is a peso of after-tax profit.
- ___ 6. When using CVP analysis to determine sales level for a desired amount of profit, the profit is treated as an additional cost to be covered.
- ___ 7. When computing profit on an after-tax basis, it is necessary to divide the pretax profit by the effective tax rate.
- ___ 8. The margin of safety is an effective measure of risk for a company.
- ___ 9. The margin of safety is computed by dividing 1 by the degree of operating leverage.
- ___ 10. There is an inverse relationship between degree of operating leverage and the margin of safety.



The Company has prepared the following cost-volume-profit graph:



For the items listed below, enter to the left of the item, the letter in the graph which best corresponds to the item.

- _____ 1. Activity base

_____ 2. Break-even point

_____ 3. Pesos

_____ 4. Fixed costs

_____ 5. Loss
- _____ 6. Profit

_____ 7. Revenues

_____ 8. Total costs

_____ 9. Variable costs

PROBLEMS

1. Nina Corporation is a single product firm with the following selling price and cost structure for next year:

Selling price per unit	P1.80
Contribution margin ratio	40%
Total fixed expenses for the year	P218,700

How many units will it have to sell next year in order to break-even?

- a. 121,500

b. 202,500
- c. 303,750

d. 546,750

2. The following data are available for Erwin Company for a recent month:

	Product A	Product B	Product C	Total
Sales	P150,000	P130,000	P90,000	P370,000
Variable expenses	<u>91,000</u>	<u>104,000</u>	<u>27,000</u>	<u>222,000</u>
Contribution margin	<u>P 59,000</u>	<u>P 26,000</u>	<u>P 63,000</u>	148,000
Fixed expenses				<u>55,000</u>
Net operating income				<u>P 93,000</u>

The break-even sales for the month for the company are:

- a. P 91,667

b. P 203,000
- c. P 148,000

d. P 137,500

3. Deliela company makes a single product that it sells for P16 per unit. Fixed costs are P76,800 per month and the product has a contribution margin ratio of 40%. If the company's actual sales are P224,000, its margin of safety is:

- a. P 32,000

b. P 96,000
- c. P 128,000

d. P 192,000

4. Below is an income statement for Philip Company:

Sales	P400,000
Variable costs	<u>(125,000)</u>
Contribution margin	P275,000
Fixed costs	<u>(200,000)</u>
Profit before taxes	<u>P 75,000</u>

Question 1: Based on the cost and revenue structure on the income statement, what was the break-even point in pesos?

- a. P200,000

b. P325,000
- c. P300,000

d. P290,909

Question 2: What was the margin of safety?

- | | |
|-------------|-------------|
| a. P200,000 | c. P100,000 |
| b. P75,000 | d. P109,091 |

Question 3:

Assuming that the fixed costs are expected to remain at P200,000 for the coming year and the sales price per unit and variable costs per unit are also expected to remain constant, how much profit before taxes will be produced if the company anticipates sales for the coming year rising to 130 percent of the current year's level?

- | | |
|-------------|---|
| a. P97,500 | c. P157,500 |
| b. P195,000 | d. A prediction cannot be made from the information given |

Question 4: What is the degree of operating leverage?

- | | |
|---------|---------|
| a. 3.67 | c. 1.45 |
| b. 5.33 | d. 2.67 |

5. Kay Corporation produces and sells a single product. Information on its costs follow:

Variable costs:	
SG&A	P2 per unit
Production	P4 per unit
Fixed costs:	
SG&A	P12,000 per year
Production	P15,000 per year

Question 1:

Assume it produced and sold 5,000 units. At this level of activity, it produced a profit of P18,000. What was the sales price per unit?

- | | |
|-----------|-----------|
| a. P15.00 | c. P9.60 |
| b. P11.40 | d. P10.00 |

Question 2:

In the upcoming year, it estimates that it will produce and sell 4,000 units. The variable costs per unit and the total fixed costs are expected to be the same as in the current year. However, it anticipates a sales price of P16 per unit. What is the projected margin of safety for the coming year?

- | | |
|------------|------------|
| a. P7,000 | c. P18,400 |
| b. P20,800 | d. P13,000 |

6. Lorelie Company produces and sells two products: A and B in the ratio of 3:5. Selling prices for A and B are, respectively, P1,200 and P240; respective variable costs are P480 and P160. The company's fixed costs are P1,800,000 per year. Compute the volume of sales in units of each product needed to:

- Break even
- Earn P800,000 of income before income taxes
- Earn P800,000 of income after income taxes, assuming a 30% tax rate
- Earn 12 percent on sales revenue in before-tax income
- Earn 12 percent on sales revenue in after-tax income, assuming a 30% tax rate



7. Mary Joy Company manufactures and sells three products: A, B, and C. Annual fixed costs are P3,315,000, and data about the three products follow.

	<u>A</u>	<u>B</u>	<u>C</u>
Sales mix in units	<u>30%</u>	<u>50%</u>	<u>20%</u>
Selling price	P250	P350	P500
Variable cost	100	150	250

- Determine the weighted-average unit contribution margin.
- Determine the break-even volume in units for each product.
- Determine the total number of units that must be sold to obtain a profit for the company of P234,000.

8. Harrah Company produced and sold 45,000 units of a single product last year, with the following results:

Sales revenue	P1,350,000
Manufacturing costs:	
Variable	585,000
Fixed	270,00
Selling costs:	
Variable	40,500
Fixed	54,000
Administrative costs:	
Variable	184,500
Fixed	108,000

Question 1: The operating leverage factor was:

- a. 4

b. 5
- c. 6

d. 7

Question 2:

If the sales revenues increase by 15%, what will be the percentage increase in income before income taxes?

- a. 15%

b. 45%
- c. 60%

d. 75%



ABSORPTION VERSUS VARIABLE COSTING

Product vs. Period Costs

- **Product costs** are costs that are a necessary and integral part of producing the finished product.
- Product costs do not become expenses until the company sells the finished goods inventory.
- **Period costs** are costs that are matched with the revenue of a specific time period rather than included as part of the cost of a salable product.
- Period costs include selling and administrative expenses and companies deduct them from revenues in the period in which they are incurred.

Absorption Costing

- Costing method that includes all manufacturing costs (direct materials, direct labor and both variable and fixed manufacturing overhead) in the cost of a unit of product.
- Treats fixed manufacturing overhead as a product cost.
- Also called Full Costing and Conventional Costing.

Variable Costing

- Costing method that includes only variable manufacturing costs (direct materials, direct labor, and variable manufacturing overhead) in the cost of a unit of product.
- Treats fixed manufacturing overhead as a period cost.
- Also called Direct Costing.

Summary of Differences

	Absorption costing	Variable costing
Cost segregation	Seldom segregates costs into variable and fixed costs.	Costs are segregated into variable and fixed.
Cost of Inventory	Cost of inventory includes all the manufacturing costs; materials, labor, variable factory overhead, and fixed factory overhead.	Cost of inventory includes only the variable manufacturing costs; materials, labor and variable factory overhead.
Treatment of Fixed factory overhead	Fixed factory overhead is treated as product cost.	Fixed factory overhead is treated as period cost.
Income Statement	Distinguishes between production and other costs.	Distinguishes between variable and fixed costs.

Note:

- ✓ Selling and administrative expenses are period costs under both absorption and variable costing.
- ✓ Companies use the cost-volume-profit format in preparing a variable costing income statement.

Difference in Net Income Under Absorption and Variable Costing:

- When units produced exceed units sold, net income under absorption costing will show a higher net income than variable costing since fixed overhead costs are deferred to a future period as part of the ending inventory cost.

- When units produced are less than units sold, net income under absorption costing will show lower net income than variable costing because fixed manufacturing overhead cost in beginning inventory is charged to the current year income under absorption costing.
- When units produced and sold are the same, net income will be equal under the two costing approaches because there is no increase in ending inventory, and therefore no deferral of fixed overhead costs to future periods through the ending inventory.

Decision-Making Concerns

- For external reporting purposes, companies must report financial information using GAAP, which requires that absorption costing be used for the costing of inventory.
- Some companies have recognized that net income calculated using GAAP does not highlight differences between variable and fixed costs and may lead to poor business decisions. Therefore, some companies use variable costing for internal reporting purposes.

Potential Advantages of Variable Costing

- Variable costing has several potential advantages relative to absorption costing:
 - Net income computed under variable costing is unaffected by changes in production levels.
 - The use of variable costing is consistent with cost-volume-profit analysis and incremental analysis.
 - Net income computed under variable costing is closely tied to changes in sales and provides a more realistic assessment of the company's success or failure.
 - The presentation of fixed and variable cost components on the variable costing income statement makes it easier to identify these costs and understand their effect on the company's results.

Reconciliation of Income under Absorption Costing and Variable Costing

- **Basic Formula:**

$$\Delta \text{ Income} = \Delta \text{ Inventory} \times \text{unit FFOH}$$

Where:

$$\Delta \text{ Inventory} = \text{Ending Inventory} - \text{Beginning Inventory}$$
$$\Delta \text{ Inventory} = \text{Units Produced} - \text{Units Sold}$$

- **Alternative Formula:**

Income, Absorption costing
Add: FFOH in beginning inventory
Total
Less: FFOH in ending inventory
Income, Variable costing

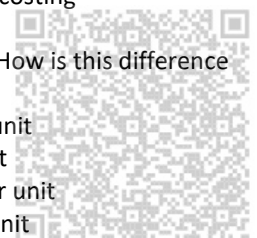
Pxxx	xxx
Pxxx	(xxx)
	Pxxx

-- END --

ABSORPTION VS. VARIABLE COSTING

THEORY

1. The costing procedure that treats fixed manufacturing costs as period costs is
 - a. Full costing
 - b. Absorption costing
 - c. Variable costing
 - d. Conventional costing
2. Another name for variable costing is
 - a. Full costing
 - b. Direct costing
 - c. Job order costing
 - d. Fixed costing
3. Under variable costing, which of the following are costs that can be inventoried?
 - a. Variable selling and administrative expense
 - b. Variable manufacturing overhead
 - c. Fixed manufacturing overhead
 - d. Fixed selling and administrative expense
4. If a firm uses variable costing, fixed manufacturing overhead will be included
 - a. Only on the balance sheet
 - b. Only on the income statement
 - c. On both the balance sheet and income statement
 - d. On neither the balance sheet nor income statement
5. Under variable costing
 - a. All product costs are variable
 - b. All period costs are variable
 - c. All product costs are fixed
 - d. Product costs are both fixed and variable
6. A basic tenet of variable costing is that period costs should be currently expensed. What is the rationale behind this procedure?
 - a. Period costs are uncontrollable and should not be charged to a specific product
 - b. Period costs are generally immaterial in amount and the cost of assigning the amounts to specific products would outweigh the benefits
 - c. Allocation of period costs is arbitrary at best and could lead to erroneous decision by management
 - d. Because period costs will occur whether or not production occurs, it is improper to allocate these costs to production and defer a current cost of doing business
7. In an income statement prepared as an internal report using the variable costing method, fixed manufacturing overhead would
 - a. Not be used
 - b. Be used in the computation of operating income but not in the computation of the contribution margin
 - c. Be used in the computation of the contribution margin
 - d. Be treated the same as variable manufacturing overhead
8. The FASB requires which of the following to be used in preparation of external financial statements?
 - a. Variable costing
 - b. Standard costing
 - c. Activity-based costing
 - d. Absorption costing
9. Another name for absorption costing is
 - a. Full or conventional costing
 - b. Direct costing
 - c. Job order costing
 - d. Fixed costing
10. If a firm uses absorption costing, fixed manufacturing overhead will be included
 - a. Only on the balance sheet
 - b. Only on the income statement
 - c. On both the balance sheet and income statement
 - d. On neither the balance sheet nor income statement
11. If a firm produces more units than it sells, absorption costing, relative to variable costing, will result in
 - a. Higher income and assets
 - b. Higher income but lower assets
 - c. Lower income but higher assets
 - d. Lower income and assets
12. An ending inventory valuation on an absorption costing balance sheet would
 - a. Sometimes be less than the ending inventory valuation under variable costing
 - b. Always be less than the ending inventory valuation under variable costing
 - c. Always be the same as the ending inventory valuation under variable costing
 - d. Always be greater than or equal to the ending inventory valuation under variable costing
13. Profit under absorption costing may differ from profit determined under variable costing. How is this difference calculated?
 - a. Change in the quantity of all units in inventory times the relevant fixed costs per unit
 - b. Change in the quantity of all units produced times the relevant fixed costs per unit
 - c. Change in the quantity of all units in inventory times the relevant variable cost per unit
 - d. Change in the quantity of all units produced times the relevant variable cost per unit



14. What factor, related to manufacturing costs, causes the difference in net earnings computed using absorption costing and net earnings computed using variable costing?
- a. Absorption costing considers all costs in the determination of net earnings, whereas variable costing considers fixed costs to be period costs
 - b. Absorption costing allocates fixed overhead costs between cost of goods sold and inventories, and variable costing considers all fixed costs to be period costs
 - c. Absorption costing "inventories" all direct costs, but variable costing considers direct costs to be period costs
 - d. Absorption costing "inventories" all fixed costs for the period in ending finished goods inventory, but variable costing expenses all fixed costs
15. The difference between the reported income under absorption and variable costing is attributable to the difference in the
- a. Income statement formats
 - b. Treatment of fixed manufacturing overhead
 - c. Treatment of variable manufacturing overhead
 - d. Treatment of variable selling, general, and administrative expenses
16. Absorption costing differs from variable costing in all of the following except
- a. Treatment of fixed manufacturing overhead
 - b. Treatment of variable production costs
 - c. Acceptability for external reporting
 - d. Arrangement of the income statement
17. Under absorption costing, if sales remain constant from period 1 to period 2, the company will report a larger income in period 2 when
- a. Period 2 production exceeds period 1 production
 - b. Period 1 production exceeds period 2 production
 - c. Variable production costs are larger in period 2 than period 1
 - d. Fixed production costs are larger in period 2 than period 1
18. When inventories increase from one period to the next and all other factors remain constant, income under direct costing:
- a. Will be irrelevant for decision making
 - b. Will be smaller than under absorption costing
 - c. Leads to smaller federal income tax payments
 - d. Will be greater than under absorption costing

TRUE OR FALSE

- ___ 1. Under variable costing, only variable production costs are treated as product costs.
- ___ 2. Under variable costing, variable selling and administrative costs are included in product costs.
- ___ 3. Absorption costing treats all manufacturing costs as product costs.
- ___ 4. In the preparation of financial statements using variable costing, fixed manufacturing overhead is treated as a period cost.
- ___ 5. Absorption costing treats fixed manufacturing overhead as a period cost.
- ___ 6. When the number of units in work in process and finished goods inventories increase, absorption costing net operating income will typically be greater than variable costing net operating income.
- ___ 7. Net operating income computed using absorption costing will always be greater than net operating income computed using variable costing.
- ___ 8. When reconciling variable costing and absorption costing net operating income, fixed manufacturing overhead costs released from inventory under absorption costing should be added to variable costing net operating income to arrive at the absorption costing net operating income.
- ___ 9. When production exceeds sales for the period, absorption costing net operating income will exceed variable costing net operating income.
- ___ 10. Under variable costing it may be possible to report a profit even if the company sells less than the break-even volume of sales.

PROBLEMS

1. June Company, which has only one product, has provided the following data concerning its most recent month of operations:

Selling price	P129
Units in beginning inventory	500
Units produced.....	3,600
Units sold.....	3,800
Units in ending inventory.....	300
Variable costs per unit:	
Direct materials	P13
Direct labor	P59
Variable manufacturing overhead.....	P4
Variable selling and administrative	P8



Fixed costs:	
Fixed manufacturing overhead	P97,200
Fixed selling and administrative	P64,600

The company produces the same number of units every month, although the sales in units vary from month to month. The company's variable costs per unit and total fixed costs have been constant from month to month.

- Question 1: What is the unit product cost for the month under variable costing?
- | | |
|----------|----------|
| a. P 76 | c. P 84 |
| b. P 103 | d. P 111 |

- Question 2: What is the unit product cost for the month under absorption costing?
- | | |
|---------|----------|
| a. P 84 | c. P 103 |
| b. P 76 | d. P 111 |

- Question 3: What is the net operating income for the month under variable costing?
- | | |
|-------------|------------|
| a. P 3,800 | c. P 9,200 |
| b. P 24,400 | d. P 8,100 |

- Question 4: What is the net operating income for the month under absorption costing?
- | | |
|------------|-------------|
| a. P 8,100 | c. P 3,800 |
| b. P 9,200 | d. P 24,400 |

2. Christopher Corporation produces a single product that sells for P7.00 per unit. Standard capacity is 100,000 units per year; 100,000 units were produced, and 80,000 units were sold during the year. Manufacturing costs and selling and administrative expenses are presented below. There were no variances from the standard variable costs. Any under- or overapplied overhead is written off directly at year-end as an adjustment to cost of goods sold.

	Fixed costs	Variable costs
Direct material	P0	P1.50 per unit produced
Direct labor	0	1.00 per unit produced
Manufacturing overhead	P150,000	0.50 per unit produced
Selling & Administration expense	80,000	0.50 per unit sold

The company had no inventory at the beginning of the year.

- Question 1: In presenting inventory on the balance sheet at December 31, the unit cost under absorption costing is
- | | |
|----------|----------|
| a. P2.50 | c. P3.50 |
| b. P3.00 | d. P4.50 |

- Question 2: What is the net income under variable costing?
- | | |
|------------|-------------|
| a. P50,000 | c. P90,000 |
| b. P80,000 | d. P120,000 |

- Question 3: What is the net income under absorption costing?
- | | |
|------------|-------------|
| a. P50,000 | c. P90,000 |
| b. P80,000 | d. P120,000 |

3. The following information was extracted from the first-year absorption-based accounting records of Paolo Corporation

Total fixed costs incurred	P100,000
Total variable costs incurred	50,000
Total period costs incurred	70,000
Total variable period costs incurred	30,000
Units produced	20,000
Units sold	12,000
Unit sales price	P12



Question 1: What is Cost of Goods Sold for first year?

- a. P80,000

b. P90,000
- c. P48,000

d. None of the above

Question 2: If it had used variable costing in its first year of operations, how much income (loss) before income taxes would it have reported?

- a. (P6,000)

b. P54,000
- c. P26,000

d. P2,000

Question 3: Based on variable costing, if it had sold 12,001 units instead of 12,000, its income before income taxes would have been

- a. P9.50 higher

b. P11.00 higher
- c. P8.50 higher

d. P8.33 higher

4. Johanna Company, which has only one product, has provided the following data concerning its most recent month of operations:

Selling price	P112
Units in beginning inventory	500
Units produced.....	2,600
Units sold	3,000
Units in ending inventory	100
Variable costs per unit:	
Direct materials	P13
Direct labor	P49
Variable manufacturing overhead.....	P6
Variable selling and administrative	P10
Fixed costs:	
Fixed manufacturing overhead	P80,600
Fixed selling and administrative	P15,000

The company produces the same number of units every month, although the sales in units vary from month to month. The company's variable costs per unit and total fixed costs have been constant from month to month.

- What is the unit product cost for the month under variable costing?
- What is the unit product cost for the month under absorption costing?
- Compute the net income for the month using the variable costing method.
- Compute the net income for the month using the absorption costing method.
- Reconcile the variable costing and absorption costing net operating incomes for the month.



STANDARD COSTING

- A system that determines product cost by using standards or norms for quantities and/or prices of component elements. It also allows costs to be compared against norms for cost control purposes.

Standard Cost – a planned unit cost of the product, component or service produced in a period.

The Need for Standards

- A **standard** is a measure of acceptable performance established by management as a guide in making economic decisions.
- A **standard** is a benchmark or “norm” for measuring performance. In managerial accounting, standards relate to the cost and quantity of inputs used in manufacturing goods or providing services.
- A **standard cost** is a determined unit cost which is used as a measure of performance.
- A **standard** is the budgeted cost per unit of product.
- Both standards and budgets are predetermined costs, and both contribute to management planning and control.
 - A **standard** is a unit amount.
 - A **budget** is a total amount.
- **Standard costs** offer a number of **advantages** to an organization:
 - ✓ They facilitate management planning.
 - ✓ They promote greater economy by making employees more “cost-conscious”.
 - ✓ They are useful in setting selling prices.
 - ✓ They contribute to management control by providing a basis for evaluation of cost control.
 - ✓ They are useful in highlighting variances in management by exception.
 - ✓ They simplify costing of inventories and reduce clerical costs.

Setting Standard Costs

- Companies set standards at one of **two levels**:
 - **Ideal standards** - represent optimum levels of performance under perfect operating conditions.
 - **Normal standards** - represent efficient levels of performance that are attainable under expected operating conditions.
- The **direct materials price standard** should be based on the delivered cost of raw materials plus an allowance for receiving and handling.
- The **direct materials quantity standard** should establish the required quantity plus an allowance for unavoidable waste and normal spoilage.
- The **direct labor price standard** should be based on current wage rates and anticipated adjustments.
- The **direct labor quantity standard** should be based on required production time plus an allowance for rest periods, cleanup, machine setup, and machine downtime.
- For **manufacturing overhead**, a standard predetermined overhead rate is used. It is based on an expected standard activity index such as standard direct labor hours or standard machine hours.
- The **total standard cost per unit** is the sum of the standard costs of direct materials, direct labor, and manufacturing overhead.

Variance Analysis

The following are the different types of Manufacturing Variance:

- ✓ Direct Materials Variance

- ✓ Direct Labor Variance
- ✓ Factory Overhead Variance

Direct Materials Variance

a) Material Price Variance (MPV)

$$MPV = (actual\ price - standard\ price) \times actual\ qty.\ purchase$$

Key points:

- If the actual price is greater than the standard price, it will result to unfavorable price variance.
- If the actual price is less than the standard price, it will result to favorable price variance.

Accountability: The purchasing agent is generally responsible for the price variance because he has the control over the price paid for the acquisition of the materials.

Journal Entry:

Raw Materials Inventory	
(AQ Purchase x Std. Price)	xx
MPV – unfavorable	xx
MPV – favorable	
Accounts payable	xx
(AQ Purchase x Actual Price)	xx

b) Material Quantity Variance (MQV)

$$MQV = (actual\ qty. - standard\ qty.) \times standard\ price$$

Key points:

- If the actual quantity is greater than the standard quantity, it will result to unfavorable quantity variance.
- If the actual quantity is less than the standard quantity, it will result to favorable quantity variance.

Accountability: The production manager is generally responsible for the quantity variance because he has the control over the use of the materials.

Journal Entry:

Work in Process Inventory	
(Std. Qty. x std. price)	xx
MQV – unfavorable	xx
MQV – favorable	
Raw Materials Inventory	
(Actual qty. used x std. price)	xx

Direct Labor Variances

a) Labor Rate Variance (LRV)

$$LRV = (actual\ rate - standard\ rate) \times actual\ hours$$

Key points:

- If the actual rate is greater than the standard rate, it will result to unfavorable rate variance.
- If the actual rate is less than the standard rate, it will result to favorable rate variance.

Accountability: The production manager is generally responsible for the labor rate variance because he has the responsibility for seeing that labor price/rate variance are kept under control.

b) Labor Efficiency Variance (LEV)

$$LEV = (actual\ hours - standard\ hours) \times standard\ rate$$

Key points:

- If the actual hours are greater than the standard hours, it will result to unfavorable

efficiency variance.

- o If the actual hours are less than the standard hours, it will result to favorable efficiency variance.

Accountability: The production manager is generally responsible for the labor efficiency variance since he has the control over the staffs which are directly involved in the production.

Journal entry for Labor Rate and Efficiency Variance:

Work in Process Inventory	xx	
(Std. hours x std. price)		
LRV – unfavorable	xx	
LEV – unfavorable	xx	
LRV – favorable		xx
LEV – favorable		xx
Wages Payable		
(actual hours x actual rate)		xx

Factory Overhead Variance

1) Two-way Analysis

- a) **Controllable Variance** – it is the responsibility of the production department managers to the extent that they can exercise control over the costs to which the variances relate.

Actual Factory Overhead	xx
Budgeted Allowed Based on Std. Hours	(xx)
Controllable Variance	xx

- b) **Volume Variance** – it is the responsibility of the executive and departmental management.

Budgeted Allowed Based on Std. Hours	xx
Standard Factory Overhead	(xx)
Volume Variance	xx

Key points:

- o If the actual factory overhead is greater than the budgeted factory overhead, it will result to unfavorable controllable variance.
- o If the budgeted factory overhead is greater than the standard factory overhead, it will result to unfavorable volume variance.

2) Three-way Variance

a) Spending Variance

Actual Factory Overhead	xx	
Budgeted Allowed Based on Actual Hours:		
Fixed as budgeted	xx	
Variable (AH x SR)	xx	(xx)
Spending Variance		xx

b) Efficiency Variance

Budgeted Allowed Based on Actual Hours:		
Fixed as budgeted	xx	
Variable (AH x SR)	xx	xx
Budgeted Allowed Based on Std. Hours:		
Fixed as budgeted	xx	
Variable (SH x SR)	xx	(xx)
Efficiency Variance		xx

c) Volume Variance

Budgeted Allowed Based on Std. Hours:		
Fixed as budgeted	xx	
Variable (SH x SR)	xx	xx
Standard Factory Overhead		(xx)
Volume Variance		xx

3) Four-way Variance

a) Variable Spending Variance

Actual Variable Factory Overhead	xx	
Budgeted Allowed Based on Actual Hours:		
Variable (AH x SR)	xx	(xx)
Variable Spending Variance		xx

b) Fixed Spending Variance

Actual Fixed Factory Overhead	xx	
Budgeted Allowed Based on Actual Hours:		
Fixed as budgeted	xx	(xx)
Fixed Spending Variance		xx

c) Efficiency Variance

Budgeted Allowed Based on Actual Hours:		
Fixed as budgeted	xx	
Variable (AH x SR)	xx	xx
Budgeted Allowed Based on Std. Hours:		
Fixed as budgeted	xx	
Variable (SH x SR)	xx	(xx)
Efficiency Variance		xx

d) Volume Variance

Budgeted Allowed Based on Std. Hours:		
Fixed as budgeted	xx	
Variable (SH x SR)	xx	xx
Standard Factory Overhead		(xx)
Volume Variance		xx

Journal Entries:

a) Factory Overhead Control	xx	
Various Accounts		xx
b) Work in process (std. costs)	xx	
Applied Factory Overhead		xx

Under Two-way Method:

Applied Factory Overhead	xx
Controllable Variance – unfavorable	xx
Volume Variance – unfavorable	xx
Controllable Variance – favorable	xx
Volume Variance – favorable	xx
Factory Overhead Control	xx

Reporting Variances

- All variances should be reported to appropriate levels of management as soon as possible.
- Variance reports facilitate the principle of “management by exception” by highlighting significant differences.
- Top management normally looks for significant variances. These may be judged on the basis of some quantitative measure, such as more than 10% of the standard or more than P1,000.

Statement Presentation of Variances

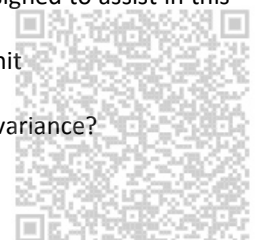
- In income statements prepared for management under a standard cost accounting system, cost of goods sold is stated at standard cost and the variances are disclosed separately.
- When there are no significant differences between actual costs and standard costs, companies report their inventories at standard costs.
- If there are significant differences between actual and standard costs, the financial statements must report inventories and cost of goods sold at actual costs.

-- END --

STANDARD COSTING

THEORY

1. A company controls its production costs by comparing its actual monthly production costs with the expected levels. Any significant deviations from expected levels are investigated and evaluated as a basis for corrective actions. The quantitative technique that is most probably being used is
 - a. Time-series or trend regression analysis
 - b. Correlation analysis
 - c. Differential calculus
 - d. Standard cost variance analysis
2. A primary purpose of using a standard cost system is
 - a. To make things easier for managers in the production facility
 - b. To provide a distinct measure of cost control
 - c. To minimize the cost per unit of production
 - d. b and c are correct
3. A purpose of standard costing is to
 - a. Replace budgets and budgeting
 - b. Simplify costing procedures
 - c. Eliminate the need for actual costing for external reporting purposes
 - d. Eliminate the need to account for year-end underapplied or overapplied manufacturing overhead
4. Standard costs may be used for
 - a. Product costing
 - b. Planning
 - c. Controlling
 - d. All of the above
5. The standard cost card contains quantities and costs for
 - a. Direct material only
 - b. Direct labor only
 - c. Direct material and direct labor only
 - d. Direct material, direct labor, and overhead
6. A company using very tight (high) standards in a standard cost system should expect that
 - a. No incentive bonus will be paid
 - b. Most variances will be unfavorable
 - c. Employees will be strongly motivated to attain the standards
 - d. Costs will be controlled better than if lower standards were used
7. The type of standard that is intended to represent challenging, yet attainable results is
 - a. Theoretical standard
 - b. Flexible budget standard
 - c. Normal standard
 - d. Expected actual standard
8. Of the following variances, the one that is most useful in assessing the performance of the Purchasing Department is the
 - a. Idle capacity variance
 - b. Materials purchase price variance
 - c. Labor rate variance
 - d. Materials price usage variance
9. Materials usage variances are normally chargeable to the
 - a. Production Department
 - b. Purchasing Department
 - c. Finished Goods Department
 - d. Materials Storage Department
10. When a change in the manufacturing process reduces the number of direct labor hours and standards are unchanged, the resulting variance will be:
 - a. An unfavorable labor usage variance
 - b. An unfavorable labor rate variance
 - c. A favorable labor rate variance
 - d. A favorable labor usage variance
11. The most probable reason a company would experience a favorable labor rate variance and an unfavorable labor efficiency variance is that
 - a. The mix of workers assigned to the particular job was heavily weighted toward the use of higher paid, experienced individuals
 - b. The mix of workers assigned to the particular job was heavily weighted toward the use of new, relatively low-paid, unskilled workers
 - c. Because of the production schedule, workers from other production areas were assigned to assist in this particular process
 - d. Defective materials caused more labor to be used in order to produce a standard unit
12. Which of the following would least likely cause an unfavorable materials quantity (usage) variance?
 - a. Labor that possesses skills equal to those required by the standards
 - b. Scheduling of substantial overtime
 - c. A mix of direct materials that does not conform to plan
 - d. Materials that do not meet specifications



13. The sum of the material price variance (calculated at point of purchase) and material quantity variance equals
 - a. The total cost variance
 - b. The material mix variance
 - c. The material yield variance
 - d. No meaningful number
14. The sum of the material mix and material yield variances equals
 - a. The material purchase price variance
 - b. The material quantity variance
 - c. The total material variance
 - d. None of the above
15. The sum of the labor mix and labor yield variances equals
 - a. The labor efficiency variance
 - b. The total labor variance
 - c. The labor rate variance
 - d. Nothing because these two variances cannot be added since they use different costs
16. A variable overhead spending variance is caused by
 - a. Using more or fewer actual hours than the standard hours allowed for the production achieved
 - b. Paying a higher/lower average actual overhead price per unit of the activity base than the standard price allowed per unit of the activity base
 - c. Larger/smaller waste and shrinkage associated with the resources involved than expected
 - d. Both b and c are causes
17. A favorable fixed overhead spending variance indicates that
 - a. Budgeted fixed overhead is less than actual fixed overhead
 - b. Budgeted fixed overhead is greater than applied fixed overhead
 - c. Applied fixed overhead is greater than budgeted fixed overhead
 - d. Actual fixed overhead is less than budgeted fixed overhead
18. The variance least significant for purposes of controlling costs is the
 - a. Material quantity variance
 - b. Variable overhead efficiency variance
 - c. Fixed overhead spending variance
 - d. Fixed overhead volume variance
19. The variance most useful in evaluating plant utilization is the
 - a. Variable overhead spending variance
 - b. Fixed overhead spending variance
 - c. Variable overhead efficiency variance
 - d. Fixed overhead volume variance
20. An unfavorable fixed overhead volume variance is most often caused by
 - a. Actual fixed overhead incurred exceeding budgeted fixed overhead
 - b. An over-application of fixed overhead to production
 - c. An increase in the level of the finished inventory
 - d. Normal capacity exceeding actual production levels

PROBLEMS

1. Ernest Corporation is developing standards for its products. One product requires an input that is purchased for P82.00 per kilogram from the supplier. By paying cash, the company gets a discount of 2% off this purchase price. Shipping costs from the supplier's warehouse amount to P6.55 per kilogram. Receiving costs are P0.47 per kilogram. The standard price per kilogram of this input should be:
 - a. P 76.62
 - b. P 87.38
 - c. P 90.66
 - d. P 82.00
2. Michaela Corporation is developing direct labor standards. The basic direct labor wage rate is P14.00 per hour. Employment taxes are 11% of the basic wage rate. Fringe benefits are P3.24 per direct labor-hour. The standard rate per direct labor-hour should be:
 - a. P 14.00
 - b. P 9.22
 - c. P 4.78
 - d. P 18.78

3. The following July information is for Casey Company:

Standards:

Material	3.0 feet per unit @ P4.20 per foot
Labor	2.5 hours per unit @ P7.50 per hour

Actual:

Production	2,750 units produced during the month
Material	8,700 feet used; 9,000 feet purchased @ P4.50 per foot
Labor	7,000 direct labor hours @ P7.90 per hour

Question 1: What is the material price variance (calculated at point of purchase)?

- a. P2,700 U
- b. P2,700 F
- c. P2,610 F
- d. P2,610 U



Question 2: What is the material quantity variance?

- a. P3,105 F
- b. P1,050 F
- c. P3,105 U
- d. P1,890 U

Question 3: What is the labor rate variance?

- a. P3,480 U
- b. P3,480 F
- c. P2,800 U
- d. P2,800 F

Question 4: What is the labor efficiency variance?

- a. P1,875 U
- b. P938 U
- c. P1,875 U
- d. P1,125 U

4. Kristine Company has the following information available for October when 3,500 units were produced.

Standards:	
Material	3.5 pounds per unit @ P4.50 per pound
Labor	5.0 hours per unit @ P10.25 per hour
Actual:	
Material purchased	12,300 pounds @ P4.25
Material used	11,750 pounds
Labor used	17,300 direct labor hours @ P10.20 per hour

Question 1: What is the labor rate variance?

- a. P875 F
- b. P865 F
- c. P865 U
- d. P875 U

Question 2: What is the labor efficiency variance?

- a. P2,050 F
- b. P2,050 U
- c. P2,040 U
- d. P2,040 F

Question 3: What is the material price variance (based on quantity purchased)?

- a. P3,075 U
- b. P2,938 U
- c. P2,938 F
- d. P3,075 F

Question 4: What is the material quantity variance?

- a. P2,250 F
- b. P2,250 U
- c. P225 F
- d. P2,475 U

Question 5: Assume that the company computes the material price variance on the basis of material issued to production. What is the total material variance?

- a. P2,850 U
- b. P5,188 U
- c. P5,188 F
- d. P2,850 F

5. Ezequil Company uses a standard cost system for its production process and applies overhead based on direct labor hours. The following information is available for August when the company made 4,500 units:

Standard:	
DLH per unit	2.50
Variable overhead per DLH	P 1.75
Fixed overhead per DLH	P 3.10
Budgeted variable overhead	P21,875
Budgeted fixed overhead	P38,750



Actual:	
Direct labor hours	10,000
Variable overhead	P26,250
Fixed overhead	P38,000

Question 1: Using the one-variance approach, what is the total overhead variance?

- a. P 6,062.50 U

b. P 3,625.00 U
- c. P 9,687.50 U

d. P 6,562.50 U

Question 2: Using the two-variance approach, what is the controllable variance?

- a. P 5,812.50 U

b. P 5,812.50 F
- c. P 4,375.00 U

d. P 4,375.00 F

Question 3: Using the two-variance approach, what is the noncontrollable variance?

- a. P 3,125.00 F

b. P 3,875.00 U
- c. P 3,875.00 F

d. P 6,062.50 U

Question 4: Using the three-variance approach, what is the spending variance?

- a. P 4,375 U

b. P 3,625 F
- c. P 8,000 U

d. P 15,750 U

Question 5: Using the three-variance approach, what is the efficiency variance?

- a. P 9,937.50 F

b. P 2,187.50 F
- c. P 2,187.50 U

d. P 2,937.50 F

Question 6: Using the three-variance approach, what is the volume variance?

- a. P 3,125.00 F

b. P 3,875.00 F
- c. P 3,875.00 U

d. P 6,062.50 U

Question 7: Using the four-variance approach, what is the variable overhead spending variance?

- a. P 4,375.00 U

b. P 4,375.00 F
- c. P 8,750.00 U

d. P 6,562.50 U

Question 8: Using the four-variance approach, what is the variable overhead efficiency variance?

- a. P 2,187.50 U

b. P 9,937.50 F
- c. P 2,187.50 F

d. P 2,937.50 F

Question 9: Using the four-variance approach, what is the fixed overhead spending variance?

- a. P 7,000 U

b. P 3,125 F
- c. P 750 U

d. P 750 F

Question 10: Using the four-variance approach, what is the volume variance?

- a. P 3,125 F

b. P 3,875 F
- c. P 6,063 U

d. P 3,875 U



6. Kyla Company uses a standard cost system for its production process. It applies overhead based on direct labor hours. The following information is available for July:

Standard:	
Direct labor hours per unit	2.20
Variable overhead per hour	P2.50
Fixed overhead per hour (based on 11,990 DLHs)	P3.00
Actual:	
Units produced	4,400
Direct labor hours	8,800
Variable overhead	P29,950
Fixed overhead	P42,300

Question 1: Using the four-variance approach, what is the variable overhead spending variance?

- a. P 7,950 U
- b. P 25 F
- c. P 7,975 U
- d. P 10,590 U

Question 2: Using the four-variance approach, what is the variable overhead efficiency variance?

- a. P 9,570 F
- b. P 9,570 U
- c. P 2,200 F
- d. P 2,200 U

Question 3: Using the four-variance approach, what is the fixed overhead spending variance?

- a. P 15,900 U
- b. P 6,330 U
- c. P 6,930 U
- d. P 935 F

Question 4: Using the four-variance approach, what is the volume variance?

- a. P 6,930 U
- b. P 13,260 U
- c. P 0
- d. P 2,640 F

Question 5: Using the three-variance approach, what is the spending variance?

- a. P 23,850 U
- b. P 23,850 F
- c. P 14,280 F
- d. P 14,280 U

Question 6: Using the three-variance approach, what is the efficiency variance?

- a. P 11,770 F
- b. P 2,200 F
- c. P 7,975 U
- d. P 5,775 U

Question 7: Using the three-variance approach, what is the volume variance?

- a. P 13,260 U
- b. P 2,640 F
- c. P 6,930 U
- d. P 0

Question 8: Using the two-variance approach, what is the controllable variance?

- a. P 21,650 U
- b. P 16,480 U
- c. P 5,775 U
- d. P 12,080 U

Question 9: Using the two-variance approach, what is the noncontrollable variance?

- a. P 26,040 F
- b. P 0
- c. P 6,930 U
- d. P 13,260 U



Question 10: Using the one-variance approach, what is the total variance?

- a. P 19,010 U
- b. P 6,305 U
- c. P 12,705 U
- d. P 4,730 U

7. Betania Company manufactures a cleaning solvent. The company employs both skilled and unskilled workers. To produce one 55-gallon drum of solvent requires Materials A and B as well as skilled labor and unskilled labor. The standard and actual material and labor information is presented below:

Standard:

Material A: 30.25 gallons @ P1.25 per gallon

Material B: 24.75 gallons @ P2.00 per gallon

Skilled Labor: 4 hours @ P12 per hour

Unskilled Labor: 2 hours @ P 7 per hour

Actual:

Material A: 10,716 gallons purchased and used @ P1.50 per gallon

Material B: 17,484 gallons purchased and used @ P1.90 per gallon

Skilled labor hours: 1,950 @ P11.90 per hour

Unskilled labor hours: 1,300 @ P7.15 per hour

During the current month the company manufactured 500 55-gallon drums.

Round all answers to the nearest whole peso.

Question 1: What is the total material price variance?

- a. P 877 F
- b. P 877 U
- c. P 931 U
- d. P 931 F

Question 2: What is the total material mix variance?

- a. P 3,596 F
- b. P 3,596 U
- c. P 4,864 F
- d. P 4,864 U

Question 3: What is the total material yield variance?

- a. P 1,111 U
- b. P 1,111 F
- c. P 2,670 U
- d. P 2,670 F

Question 4: What is the labor rate variance?

- a. P 0
- b. P 1,083 U
- c. P 2,583 U
- d. P 1,083 F

Question 5: What is the labor mix variance?

- a. P 1,083 U
- b. P 2,588 U
- c. P 1,083 F
- d. P 2,588 F

Question 6: What is the labor yield variance?

- a. P 2,583 U
- b. P 2,583 F
- c. P 1,138 F
- d. P 1,138 U



BUDGETING

Budgeting Basics

- A **budget** is a formal written statement of management’s plans for a specified time period, expressed in financial terms.
- The **role of accounting** during the budgeting process is to:
 - Provide historical data on revenues, costs, and expenses.
 - Express management’s plans in financial terms.
 - Prepare periodic budget reports.

Benefits of Budgeting

The primary benefits of budgeting are as follows:

- ✓ It requires all levels of management to plan ahead.
- ✓ It provides definite objectives for evaluating performance.
- ✓ It creates an early warning system for potential problems.
- ✓ It facilitates the coordination of activities within the business.
- ✓ It results in greater management awareness of the entity’s overall operations.
- ✓ It motivates personnel throughout the organization.

Essentials of Effective Budgeting

- In order to be effective management tools, budgets must be based upon:
 - A sound organizational structure in which authority and responsibility are clearly defined.
 - Research and analysis to determine the feasibility of new products, services, and operating techniques.
 - Management acceptance which is enhanced when all levels of management participate in the preparation of the budget, and the budget has the support of top management.
- A **continuous twelve-month budget** results from dropping the month just ended and adding a future month.
- **Zero-based budgeting** is a budget and planning process in which each manager must justify a department’s entire budget from a base of zero every period.
- **Life-cycle budget** estimates a product’s revenues and expenses over its entire life cycle beginning with research and development, proceeding through the introduction and growth stages, into the maturity stage, and finally, into the harvest or decline stage.
- **Kaizen budgeting** assumes the continuous improvement of products and processes, usually by way of many small innovations rather than major changes.

- The **responsibility** for coordinating the preparation of the budget is assigned to a **budget committee**. The budget committee usually includes the president, treasurer, chief accountant (controller), and management personnel from each major area of the company.
- **Long-range planning** involves the selection of strategies to achieve long-term goals and the development of policies and plans to implement the strategies. Long-range plans contain considerably less detail than budgets.

The Master Budget

- The **master budget** is a set of interrelated budgets that constitutes a plan of action for a specified time period.
- **Sales Budget:** the starting point in preparing the master budget.
- **Production Budget:** shows the units that must be produced to meet anticipated sales.

- **Production requirements** are determined from the following formula:

Budgeted Sales Units	xxx
Desired Ending Finished Goods Units	xxx
Beginning Finished Goods Units	(xxx)
Required Production Units	xxx

- The **production budget** provides the basis for the budgeted costs for each manufacturing cost element.

- **Direct Materials:** shows both the quantity and cost of direct materials to be purchased.

- The **quantities of direct materials** are derived from the following formula:

Direct Materials Units Required for Production	xxx
Desired Ending Direct Materials Units	xxx
Beginning Direct Materials Units	(xxx)
Required Direct Materials Units to Purchase	xxx

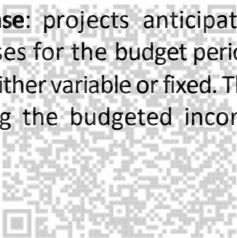
- The **desired ending inventory** is a key component in the budgeting process; inadequate inventories could result in temporary shutdowns of production.

- **Direct Labor:** contains the quantity (hours) and cost of direct labor necessary to meet production requirements.

- The **direct labor budget** is critical in maintaining a labor force that can meet the expected levels of production.

- **Manufacturing Overhead:** shows the expected variable and fixed manufacturing overhead costs for the budget period.

- **Selling and Administrative Expense:** projects anticipated selling and administrative expenses for the budget period. This budget classifies expenses as either variable or fixed. This budget is also used in preparing the budgeted income statement and the cash budget.



- **Budgeted Income Statement:** the important end-product of the operating budgets.
 - This budget indicates the expected profitability of operations for the budget period.
 - The budgeted income statement provides the basis for evaluating company performance.
- **Cash Budget:** shows anticipated cash flows.
 - Because cash is so vital, this budget is often considered to be the most important financial budget.
 - The **cash budget** contains three section, (a) **Cash receipts**, (b) **Cash disbursements** and (c) **Financing**.

The Flexible Budget

- A flexible budget projects budget data for various levels of activity. In essence, the flexible budget is a series of static budgets at different levels of activity.
- Flexible budget reports are appropriate for evaluating performance since both actual and budgeted costs are based on the actual activity level achieved.

Management by Exception

- **Management by exception** means that top management's review of a budget report is focused either entirely or primarily on differences between actual results and planned objectives.
- For management by exception to be effective, there must be guidelines for identifying an exception. The usual **criteria** are:
 - **Materiality**—usually expressed as a percentage difference from budget.
 - **Controllability of the item**—exception guidelines are more restrictive for controllable items than for items the manager cannot control.

-- END --



BUDGETING

THEORY

1. A budget is
 - a. A planning tool
 - b. A control tool
 - c. A means of communicating goals to the firm’s divisions
 - d. All of the above
2. The preparation of an organization’s budget
 - a. Forces management to look ahead and try to see the future of the organization
 - b. Requires that the entire management team work together to make and carry out the yearly plan
 - c. Makes performance review possible at all levels of management
 - d. All of the above
3. Which of the following benefits could an organization reasonably expect from an effective budget program?
 - a. Better control of the organization's costs
 - b. Better coordination of an organization's activities
 - c. Better communication of the organization's objectives
 - d. All of the above
4. Which of the following statements is true?
 - a. All organizations have the same set of budgets
 - b. All organizations are required to budget
 - c. Budgets are a quantitative expression of an organization’s goals and objectives
 - d. Budgets should never be used to evaluate performance
5. The primary role of the budget committee is to
 - a. Justify the budget to the executive committee of the board of directors
 - b. Decide on general policies, compile the budget, and manage the budget process
 - c. Settle disputes among operating executives during the development of the annual operating plan
 - d. Develop the annual profit plan by selecting the alternatives to be adopted from the suggestions submitted by the various operating segments
6. The comprehensive set of budgets that serves as a company's overall financial plan is commonly known as
 - a. An integrated budget
 - b. A pro-forma budget
 - c. A master budget
 - d. A financial budget
7. The master budget usually includes
 - a. An operating budget
 - b. A capital budget
 - c. Pro forma financial statements
 - d. All of the above
8. A master budget contains which of the following?

	<u>Sales</u>	<u>Production</u>	<u>Pro-forma statements</u>
a.	Yes	Yes	Yes
b.	No	No	Yes
c.	No	No	No
d.	Yes	No	Yes
9. Chronologically, the first part of the master budget to be prepared would be the
 - a. Sales budget
 - b. Production budget
 - c. Cash budget
 - d. Pro forma financial statements
10. A budget that includes a 12-month planning period at all times is called a _____ budget
 - a. Pro forma
 - b. Flexible
 - c. Master
 - d. Continuous
11. A company's plan for the acquisition of long-lived assets, such as buildings and equipment, is commonly called a
 - a. Pro-forma budget
 - b. Master budget
 - c. Financial budget
 - d. Capital budget
12. A company is budgeting its equipment needs on an on-going basis, with a new quarter being added to the budget as the current quarter is completed. This type of budget is most commonly known as a
 - a. Capital budget
 - b. Rolling budget
 - c. Revised budget
 - d. Pro-forma budget
13. The budgeted income statement, budgeted balance sheet, and budgeted statement of cash flows comprise
 - a. The final portion of the master budget
 - b. The first step of the master budget



- c. The portion of the master budget prepared after the sales forecast and before the remainder of the operational budgets
 - d. The second step of the master budget
14. Which of the following is not an “operating” budget?
- a. Sales budget
 - b. Production budget
 - c. Purchases budget
 - d. Capital budget
15. Budgeted production for a period is equal to
- a. The beginning inventory + sales – the ending inventory
 - b. The ending inventory + sales – the beginning inventory
 - c. The ending inventory + the beginning inventory – sales
 - d. Sales – the beginning inventory + purchases
16. Which of the following equations can be used to budget purchases?
(BI = beginning inventory, EI = ending inventory desired, CGS = budgeted cost of goods sold, P = budgeted purchases)
- a. $P = CGS + BI - EI$
 - b. $P = CGS + BI$
 - c. $P = CGS + EI + BI$
 - d. $P = CGS + EI - BI$
17. A company that maintains a raw material inventory, which is based on the following month’s production needs, will purchase less material than it uses in a month where
- a. Sales exceed production
 - b. Production exceeds sales
 - c. Planned production exceeds the next month’s planned production
 - d. Planned production is less than the next month’s planned production
18. If a company has a policy of maintaining an inventory of finished goods at a specified percentage of the next month’s budgeted sales, budgeted production for January will exceed budgeted sales for January when budgeted
- a. February sales exceed budgeted January sales
 - b. January sales exceed budgeted December sales
 - c. January sales exceed budgeted February sales
 - d. December sales exceed budgeted January sales
19. Which of the following represents a proper sequencing in which the budgets below are prepared?
- a. Direct Material Purchases, Cash, Sales
 - b. Production, Sales, Income Statement
 - c. Sales, Balance Sheet, Direct Labor
 - d. Sales, Production, Manufacturing Overhead
20. Which of the following items would not be found in the financing section of the cash budget?
- a. Cash payments for debt retirement
 - b. Cash payments for interest
 - c. Dividend payments
 - d. Payment of accounts payable
21. Which of the following is least likely to be affected if unit sales for this month are lower than budgeted?
- a. Production for this month
 - b. Cash receipts for next month
 - c. Production for next month
 - d. Inventory at the end of this month
22. If cash receipts from customers are greater than sales, which of the following is most likely to be true?
- a. Accounts receivable will decrease
 - b. Cash balance will increase
 - c. Outstanding debt will decrease
 - d. The company will show a profit

PROBLEMS

1. Queeny Company has budgeted unit sales for the next four months as follows:

October	4,800 units
November	5,800 units
December	6,400 units
January.....	5,200 units

The ending inventory for each month should be equal to 15% of the next month's sales in units. The inventory on September 30 was below this level and contained only 600 units.

Question 1: The total units to be produced in October are:

- a. 4,530
- b. 5,070
- c. 5,670
- d. 5,890

Question 2: The desired ending inventory for December is:

- a. 960
- b. 870
- c. 780
- d. 690



2. Bernalyn Corporation is in the process of preparing its annual budget. The following beginning and ending inventory levels are planned for the year.

	<u>Beginning Inventory</u>	<u>Ending Inventory</u>
Finished goods (units)	20,000	30,000
Raw material (grams)	50,000	40,000

Each unit of finished goods requires 7 grams of raw material.

Question 1: If the company plans to sell 270,000 units during the year, the number of units it would have to manufacture during the year would be:

- a. 300,000 units

b. 270,000 units
- c. 260,000 units

d. 280,000 units

Question 2: How much of the raw material should the company purchase during the year?

- a. 1,960,000 grams

b. 1,950,000 grams
- c. 1,970,000 grams

d. 2,000,000 grams

3. Nelsie Company has the following historical collection pattern for its credit sales:

70% collected in month of sale
15% collected in the first month after sale
10% collected in the second month after sale
4% collected in the third month after sale
1% uncollectible

Budgeted credit sales for the last six months of the year follow.

July	P30,000
August	35,000
September	40,000
October	45,000
November	50,000
December	42,500

Required:

- a. Calculate the estimated total cash collections during October.

b. Calculate the estimated total cash collections during the year's fourth quarter.

4. Melanie Corporation, a wholesaler, provided the following information:

	Merchandise	
<u>Month</u>	<u>Purchases</u>	<u>Sales</u>
January	P142,000	P172,000
February	148,000	166,000
March	136,000	165,000
April	154,000	178,000
May	160,000	166,000

Customers pay 60% of their balances in the month of sale, 30% in the month following sale, and 10% in the second month following sale. The company pays all invoices in the month following purchase and takes advantage of a 3% discount on all amounts due. Cash payments for operating expenses in May will be P119,500; Cash balance on May 1 was P127,800.

Determine the following:

- a. Expected cash collections during May.

b. Expected cash disbursements during May.

c. Expected cash balance on May 31.

5. Michelle Corporation is preparing its Manufacturing Overhead Budget for the fourth quarter of the year. The budgeted variable factory overhead rate is P1.70 per direct labor-hour; the budgeted fixed factory overhead is P116,000 per month, of which P30,000 is factory depreciation.

Question 1: If the budgeted direct labor time for October is 8,000 hours, then the total budgeted factory overhead for October is:

- a. P 129,600

b. P 43,600
- c. P 99,600

d. P 86,000



Question 2: If the budgeted direct labor time for November is 7,000 hours, then the total budgeted cash disbursements for November must be:

- a. P 41,900

b. P 127,900
- c. P 86,000

d. P 97,900

Question 3: If the budgeted direct labor time for December is 4,000 hours, then the predetermined factory overhead per direct labor-hour for December would be:

- a. P 9.20

b. P 30.70
- c. P 23.20

d. P 1.70

6. Vichille Company makes and sells only one product, Product X. The company is in the process of preparing its Selling and Administrative Expense Budget for the last half of the year. The following budget data are available:

	<u>Variable Cost Per</u> <u>Unit Sold</u>	<u>Monthly Fixed</u> <u>Cost</u>
Sales commissions	P0.70	
Shipping	P1.10	
Advertising	P0.20	P14,000
Executive salaries.....		P34,000
Depreciation on office equipment		P11,000
Other.....	P0.25	P19,000

All expenses other than depreciation are paid in cash in the month they are incurred.

Question 1: If the company has budgeted to sell 25,000 units of Product X in July, then the total budgeted selling and administrative expenses for July will be:

- a. P 56,250

b. P 78,000
- c. P 134,250

d. P 123,250

Question 2: If the company has budgeted to sell 24,000 units of Product X in September, then the total budgeted fixed selling and administrative expenses for September would be:

- a. P54,000

b. P48,000
- c. P67,000

d. P78,000

Question 3: If the company has budgeted to sell 20,000 units of Product X in October then the total budgeted variable selling and administrative expenses for October will be:

- a. P 45,000

b. P 40,000
- c. P 56,250

d. P 78,000

7. Rolly Company, a merchandising firm, has budgeted its activity for December according to the following information:

- Sales at P550,000, all for cash.
- Merchandise inventory on November 30 was P300,000.
- Budgeted depreciation for December is P35,000.
- The cash balance at December 1 was P25,000.
- Selling and administrative expenses are budgeted at P60,000 for December and are paid in cash.
- The planned merchandise inventory on December 31 is P270,000.
- The invoice cost for merchandise purchases represents 75% of the sales price. All purchases are paid for in cash.

Question 1: The budgeted cash receipts for December are:

- a. P 412,500

b. P 137,500
- c. P 585,000

d. P 550,000

Question 2: The budgeted cash disbursements for December are:

- a. P 382,500

b. P 442,500
- c. P 472,500

d. P 477,500

Question 3: The budgeted net income for December is:

- a. P 107,500

b. P 137,500
- c. P 42,500

d. P 77,500



INCREMENTAL ANALYSIS/RELEVANT COSTING

Decision making is the process of choosing from at least two alternatives. For business entities, management must choose in favor of the option that maximizes the company profits.

Short-term decisions:

- ✓ Accept or reject a special order.
- ✓ Sell or process further.
- ✓ Make or buy.
- ✓ Retain or replace equipment.
- ✓ Continue or shut down a business segment.
- ✓ Choosing the best product combination.
- ✓ Utilization of scarce resources.
- ✓ Selecting a change in profit factors.

DEFINITIONS

Relevant Costs – future costs that are expected to be different under each alternative course of action.

Differential Costs – increases (increments) or decreases (decrements) in total costs that result from selecting one alternative instead of another.

Avoidable Costs – costs that will be saved or those that will not be incurred if a certain decision is made.

Opportunity Costs – the benefit lost by taking one action as opposed to another.

Sunk Costs – refer to the non-recoverable costs incurred in the past.

Joint Costs – costs incurred in simultaneously processing or manufacturing two or more products which are difficult to identify individually as separate types of products until a certain processing stage known as the point of separation or split-off point.

Further Processing Costs – costs incurred beyond the split off point as separated joint products are to be processed further.

Split-Off Point – the earliest stage in the production where joint products can be recognized as distinct and separate products.

Shutdown Costs – usual costs that a company will continue even if it decides to discontinue or shutdown the operation of a company segment.

DECISION CRITERIA

Nature of Alternatives	Decision Criteria
Make or Buy a part/product	Choose the option that has the lower cost. In most cases, fixed costs are irrelevant. Consider opportunity costs, if any.
Accept or Reject a special order	Accept the order when the additional revenue from the special order exceeds additional cost, provided the regular market

	will not be affected. In most cases, fixed costs are irrelevant.
Continue or Shutdown a business segment	Continue if segment’s avoidable revenue is greater than the avoidable costs; otherwise consider shutting down the segment since allocated fixed cost is usually unavoidable, it is considered irrelevant.
Sell or Process further a product	Process further if additional revenue from processing further is greater than further processing costs. Joint costs, since already incurred prior to the split-off point, are considered sunk costs and irrelevant.
Best Product Combination (Optimization of Scarce Resources)	Identify and measure the constraint on the limited resources(s). Rank the product(s) according to the highest contribution margin per unit of limited resources.
Change in Profit Factors (related with CVP Analysis)	Identify the factor to change and the amount of contemplated change. Change the profit factor if it will cause an improvement on the company’s overall profit position.

Management’s Decision-Making Process

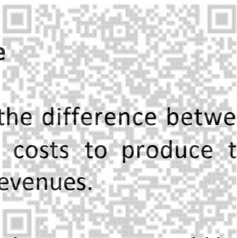
- The **steps** are:
 1. Identify the problem and assign responsibility.
 2. Determine and evaluate possible courses of action.
 3. Make a decision.
 4. Review the results of the decision.
- Accounting’s contribution to the decision-making process occurs primarily in steps (b) and (d)—evaluating possible courses of action and reviewing results.

Incremental Analysis

- The process used to identify the financial data that change under alternative courses of action is called incremental analysis.
- These data are relevant to the decision because they will vary in the future among the possible alternatives.
- Incremental analysis sometimes involves changes that might seem contrary to your intuition. For example, sometimes:
 - Variable costs do not change under the alternative courses of action.
 - Fixed costs do change.

a. Accept an order at a special price

- The relevant information is the difference between the variable manufacturing costs to produce the special order and expected revenues.
- If other sales are affected, then the company would have to consider the lost sales in making the decision.



- If the company is operating at full capacity, it is likely that the special order would be rejected.

- In deciding on the future status of an unprofitable segment, management should consider the effect of elimination on related segments.

b. Make or buy

- In a make or buy decision, the **relevant costs** are:
 - The variable manufacturing costs that will be saved.
 - The fixed manufacturing costs that can be eliminated.
 - The purchase price.
 - **Opportunity costs:** The potential benefit that may be obtained by following an alternative course of action.

-- END --

c. Sell or process further

- Many manufacturers have the option of selling products at a given point in the production cycle or continuing to process with the expectation of selling them at a later point at a higher price.
- The basic decision rule is: Process further as long as the incremental revenue from such processing exceeds the incremental processing costs.
- All costs incurred prior to the point at which the two products are separately identifiable (the split-off point) are called joint costs.
- Joint product costs must be allocated to individual products, frequently done based on the relative sales value of the joint products.
- The allocation of joint product costs is important for the determination of product cost but is irrelevant for any sell-or-process-further decisions since these joint costs are sunk costs.

d. Retain or replace equipment

- Management often has to decide whether to continue using an asset or replace it.
- The relevant items to be considered are:
 - The **effects** on variable costs.
 - The **cost** of the new equipment.
- Any disposal value of the existing asset must also be considered.
- The book value of the old asset does not affect the decision. Book value is a sunk cost, which is a cost that cannot be changed by any present or future decision.

e. Eliminate an unprofitable segment

- In deciding whether to eliminate an unprofitable segment, the relevant information is the contribution margin produced by the segment and the disposition of the segment's fixed expenses.



INCREMENTAL ANALYSIS / RELEVANT COSTING

THEORY

1. What is the process of evaluating financial data that change under alternative courses of action called?
 - a. Incremental analysis
 - b. Decision-making analysis
 - c. Contribution margin analysis
 - d. Cost-benefit analysis
2. Which one of the following is an alternative name for incremental analysis?
 - a. Managerial analysis
 - b. Cost analysis
 - c. Contribution margin analysis
 - d. Differential analysis
3. Which of the following pairs of stages in the management decision-making process is properly sequenced?
 - a. Evaluate possible courses of action -> Make a decision
 - b. Review the actual impact of the decision -> Determine possible courses of action
 - c. Assign responsibility for the decision -> Identify the problem
 - d. Make a decision -> Assign responsibility for the decision
4. Relevant costs are
 - a. All fixed and variable costs
 - b. All costs that would be incurred within the relevant range of production
 - c. Past costs that are expected to be different in the future
 - d. Anticipated future costs that will differ among various alternatives
5. An opportunity cost is
 - a. A cost that may be shifted to the future with little or no effect on current operations
 - b. A cost that cannot be avoided because it has already been incurred
 - c. The difference in total costs that results from selecting one alternative instead of another
 - d. The profit foregone by selecting one alternative instead of another
6. The term incremental cost refers to
 - a. The profit foregone by selecting one choice instead of another
 - b. The additional cost of producing or selling another product or service
 - c. A cost that continues to be incurred in the absence of activity
 - d. A cost common to all choices in question and not clearly or feasibly allocable to any of them
7. The term "differential cost" refers to
 - a. The profit foregone by selecting one alternative instead of another
 - b. A cost that continues to be incurred even though there is no activity
 - c. A cost common to all alternatives in question and not clearly or practically allocable to any of the alternatives
 - d. The difference in total costs that results from selecting one alternative instead of another
8. Which of the following will always be a relevant cost?
 - a. Sunk cost
 - b. Fixed cost
 - c. Variable cost
 - d. Opportunity cost
9. A cost that does not affect a decision is called an
 - a. Opportunity cost
 - b. Incremental cost
 - c. Avoidable cost
 - d. Irrelevant cost
10. A cost incurred in the past that cannot be changed by any future action is a(n)
 - a. Opportunity cost
 - b. Sunk cost
 - c. Relevant cost
 - d. Avoidable cost
11. Which of the following is an irrelevant cost?
 - a. An avoidable cost
 - b. An incremental cost
 - c. A sunk cost
 - d. An opportunity cost
12. Relevant costs are always
 - a. Fixed costs
 - b. Variable costs
 - c. Avoidable costs
 - d. Sunk costs
13. In a make-or-buy decision
 - a. Fixed costs that can be avoided in the future are relevant
 - b. Only variable costs are relevant
 - c. Only prime costs are relevant
 - d. Fixed costs that will continue regardless of the decision are relevant



14. In deciding whether to manufacture a part or buy it from an outside vendor, a cost that is relevant to the short-run decision is:
- a. Direct materials and direct labor
 - b. Variable overhead
 - c. Fixed overhead that will be avoided if the part is bought from an outside vendor
 - d. All of the above
15. Which of the following are relevant in a make or buy decision?
- | | <u>Variable costs</u> | <u>Avoidable fixed costs</u> | <u>Unavoidable fixed costs</u> |
|----|-----------------------|------------------------------|--------------------------------|
| a. | No | Yes | Yes |
| b. | Yes | No | Yes |
| c. | No | No | Yes |
| d. | Yes | Yes | No |
16. Which of the following are relevant in a make or buy decision?
- | | <u>Prime costs</u> | <u>Sunk costs</u> | <u>Incremental costs</u> |
|----|--------------------|-------------------|--------------------------|
| a. | Yes | Yes | Yes |
| b. | Yes | No | Yes |
| c. | Yes | No | No |
| d. | No | No | Yes |
17. In considering a special order that will enable a company to make use of present idle capacity, which of the following costs would be irrelevant?
- a. Fixed factory overhead that can be avoided
 - b. Materials
 - c. Depreciation of the factory building
 - d. Direct labor
18. The minimum selling price that should be acceptable in a special-order situation is equal to total
- a. Production cost
 - b. Variable production cost
 - c. Variable costs
 - d. Production cost plus a normal profit margin
19. Production of a special order will increase the contribution margin when the additional revenue from the special order is greater than
- a. The non-variable costs incurred in producing the order
 - b. The direct materials and labor costs in producing the order
 - c. The fixed costs incurred in producing the order
 - d. The marginal cost in producing the order
20. Irrelevant costs generally include
- | | <u>Sunk costs</u> | <u>Historical costs</u> | <u>Allocated costs</u> |
|----|-------------------|-------------------------|------------------------|
| a. | Yes | Yes | No |
| b. | Yes | No | No |
| c. | No | No | Yes |
| d. | Yes | Yes | Yes |
21. The opportunity cost of making a component part in a factory with excess capacity for which there is no alternative use is
- a. The total manufacturing cost of the component
 - b. The total variable cost of the component
 - c. The fixed manufacturing cost of the component
 - d. Zero
22. In evaluating the profitability of a specific organizational segment, all _____ would be ignored.
- a. Segment variable costs
 - b. Segment fixed costs
 - c. Costs allocated to the segment
 - d. Period costs
23. Which of the following is relevant information in a decision whether old equipment presently being used should be replaced by new equipment?
- a. The cost of the old equipment
 - b. The salvage value of the old equipment
 - c. The book value of the old equipment
 - d. The accumulated depreciation of the old equipment
24. A company is deciding whether or not to replace some old equipment with new equipment. Which of the following is not considered in the incremental analysis?
- a. Annual operating cost of the new equipment
 - b. Annual operating cost of the old equipment
 - c. Net cost of the new equipment
 - d. Book value of the old equipment
25. A company is considering replacing old equipment with new equipment. Which of the following is a relevant cost for incremental analysis?
- a. Total accumulated depreciation of the old equipment

- b. Cost of the old equipment
 - c. Annual operating cost of the new equipment
 - d. Book value of the old equipment
26. The point in the production process when joint products are readily identifiable is the
- a. Separation point
 - b. Split-off point
 - c. Common point
 - d. Break-even point
27. The costs incurred prior to the split-off point are referred to as
- a. Separable costs
 - b. Split-off costs
 - c. Joint product costs
 - d. Joint costs
28. When a scarce resource, such as space, exists in an organization, the criterion that should be used to determine production is
- a. Contribution margin per unit
 - b. Selling price per unit
 - c. Contribution margin per unit of scarce resource
 - d. Total variable costs of production
29. Assume a company produces three products: A, B, and C. It can only sell up to 3,000 units of each product. Production capacity is unlimited. The company should produce the product (or products) that has (have) the highest
- a. Contribution margin per hour of machine time
 - b. Gross margin per unit
 - c. Contribution margin per unit
 - d. Sales price per unit
30. A manager is attempting to determine whether a segment of the business should be eliminated. The focus of attention for this decision should be on
- a. The net income shown on the segment's income statement
 - b. Sales minus total expenses of the segment
 - c. Sales minus total direct expenses of the segment
 - d. Sales minus total variable expenses and avoidable fixed expenses of the segment
31. Costs which can be eliminated in whole or in part if a particular business segment is discontinued are called:
- a. Sunk costs
 - b. Opportunity costs
 - c. Avoidable costs
 - d. Irrelevant costs

CLASSIFICATION

The following costs relate to a variety of decision settings:

Cost	Decision
1. Allocated corporate overhead	Closing a money-losing department
2. Cost of an old car	Vehicle replacement
3. Direct materials	Make or buy a product
4. Salary of marketing manager	Project discontinuance: manager to be transferred elsewhere in the firm
5. Home theater installation	Purchase of a new home
6. Unavoidable fixed overhead	Plant closure
7. Research expenditures incurred last year, related to new product	Product introduction to marketplace
8. P4 million advertising program	Whether to promote product A or B with the P4 million program
9. Manufactured cost of existing inventory	Whether to discard the goods or sell them to a third-world country

Consider each of the nine costs listed and determine whether it is relevant or irrelevant to the decision cited.

TRUE OR FALSE

- ___ 1. Information that is related to past events is relevant in the decision-making process.
- ___ 2. Information that has a bearing on future events is relevant in the decision-making process.
- ___ 3. A cost may be relevant for one decision making situation but irrelevant for another situation.
- ___ 4. A future cost that does not vary among alternatives under consideration is irrelevant.
- ___ 5. The outsourcing decision is also referred to as a “make-or-buy” decision.
- ___ 6. In an outsourcing decision, unavoidable fixed costs are irrelevant.
- ___ 7. In an outsourcing decision, avoidable fixed costs are irrelevant.
- ___ 8. In a special-order decision, unavoidable fixed costs are taken into consideration in setting a sales price.
- ___ 9. In a special-order decision, the sales price should be sufficient to cover a job’s variable costs, incremental fixed costs, and generate a profit.
- ___ 10. As a general guide, it is profitable to continue processing joint products after the split-off point if their total revenues exceed the joint costs.
- ___ 11. Joint costs are irrelevant in the decision of whether to sell a joint product at the split-off point or process it further and then sell it.

- 12. In evaluating alternative courses of action, a manager should select the alternative that provides the highest incremental benefit to the company.
- 13. When making a decision to discontinue an operating segment, allocated common costs are not considered.
- 14. When making a decision to discontinue an operating segment, avoidable fixed costs are not considered.

PROBLEM

1. Venus Company needs 10,000 units of a certain part to be used in its production cycle. The following information is available concerning the unit product cost:

Direct materials	P 6
Direct labor	24
Variable manufacturing overhead.....	12
Fixed manufacturing overhead.....	<u>15</u>
Unit product cost.....	<u>P57</u>

Jesito Company has offered to supply Venus’ entire annual requirements of the part for P53 each. If it buys the part from Jesito instead of making it, it will have no other use for the facilities and 60 percent of the fixed manufacturing overhead would continue. In deciding whether to make or buy the part, the total relevant costs to make the part internally are:

- a. P 342,000
 - b. P 480,000
 - c. P 530,000
 - d. P 570,000
2. Leah Company uses 10,000 units of a part in its production process. The costs to make a part are: direct material, P12; direct labor, P25; variable overhead, P13; and applied fixed overhead, P30. It has received a quote of P55 from a potential supplier for this part. If it buys the part, 70 percent of the applied fixed overhead would continue. The company would be better off by
- a. P 50,000 to manufacture the part
 - b. P 150,000 to buy the part
 - c. P 40,000 to buy the part
 - d. P 160,000 to manufacture the part

3. The Chip Division of Justin, Inc. produces a high-quality computer chip. Unit production costs (based on capacity production of 100,000 units per year) follow:

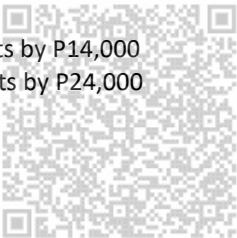
Direct material	P50
Direct labor	20
Overhead (20% variable)	10
Other information:	
Sales price	100
SG&A costs (40% variable)	15

Question 1: Assume, for this question only, that the Chip Division is producing and selling at capacity. What is the minimum selling price that the division would consider on a "special order" of 1,000 chips on which no variable period costs would be incurred?

- a. P100
 - b. P72
 - c. P81
 - d. P94
- Question 2: Assume, for this question only, that the Chip Division is operating at a level of 70,000 chips per year. What is the minimum price that the division would consider on a "special order" of 1,000 chips to be distributed through normal channels?
- a. P78
 - b. P95
 - c. P100
 - d. P81

Question 3: Assume, for this question only, that the Chip Division is presently operating at a level of 80,000 chips per year. Accepting a "special order" on 2,000 chips at P88 will

- a. Increase total corporate profits by P4,000
- b. Increase total corporate profits by P20,000
- c. Decrease total corporate profits by P14,000
- d. Decrease total corporate profits by P24,000



4. Melissa Company is trying to decide whether it should keep its existing car washing machine or purchase a new one that has technological advantages (which translate into cost savings) over the existing machine. Information on each machine follows:

	<u>Old machine</u>	<u>New machine</u>
Original cost	P9,000	P20,000
Accumulated depreciation	5,000	0
Annual cash operating costs	9,000	4,000
Current salvage value of old machine	2,000	
Salvage value in 10 years	500	1,000
Remaining life	10 yrs.	10 yrs.

- Question 1: The P4,000 of annual operating costs that are common to both the old and the new machine are an example of a(n)
- a. Sunk cost

b. Irrelevant cost

c. Future avoidable cost

d. Opportunity cost
- Question 2: The P9,000 cost of the original machine represents a(n)
- a. Sunk cost

b. Future relevant cost

c. Historical relevant cost

d. Opportunity cost
- Question 3: The P20,000 cost of the new machine represents a(n)
- a. Sunk cost

b. Future relevant cost

c. Future irrelevant cost

d. Opportunity cost
- Question 4: The estimated P500 salvage value of the existing machine in 10 years represents a(n)
- a. Sunk cost

b. Opportunity cost of selling the existing machine now

c. Opportunity cost of keeping the existing machine for 10 years

d. Opportunity cost of keeping the existing machine and buying the new machine
- Question 5: The incremental cost to purchase the new machine is
- a. P11,000

b. P20,000

c. P13,000

d. P18,000

5. Paul Corporation currently operates two divisions which had operating results last year as follows:

	<u>A Division</u>	<u>B Division</u>
Sales	P600,000	P300,000
Variable costs	<u>310,000</u>	<u>200,000</u>
Contribution margin	290,000	100,000
Traceable fixed costs	110,000	70,000
Allocated common corporate costs	<u>90,000</u>	<u>45,000</u>
Net operating income (loss)	<u>P 90,000</u>	<u>(P 15,000)</u>

- Since the B Division also sustained an operating loss in the prior year, the president is considering the elimination of this division. B Division's traceable fixed costs could be avoided if the division were eliminated. The total common corporate costs would be unaffected by the decision. If the B Division had been eliminated at the beginning of last year, the operating income for last year would have been:
- a. P 15,000 higher

b. P 30,000 lower

c. P 45,000 lower

d. P 60,000 higher



6. Myrchelle Corporation manufactures and sells FM radios. Information on the prior year's operations (sales and production Model A) is presented below:

Sales price per unit	P30
Costs per unit:	
Direct material	7
Direct labor	4
Overhead (50% variable)	6
Selling costs (40% variable)	10
Production in units	10,000
Sales in units	9,500

Question 1: The Model B radio is currently in production and it renders the Model A radio obsolete. If the remaining 500 units of the Model A radio are to be sold through regular channels, what is the minimum price the company would accept for the radios?

- a. P30
b. P27
- c. P18
c. P4

Question 2: Assume that the remaining Model A radios can be sold through normal channels or to a foreign buyer for P6 per unit. If sold through regular channels, the minimum acceptable price will be

- a. P30
b. P33
c. P10
d. P4

7. Khariza Company manufactures three chemicals (A, B, and C) from a joint process. The three chemicals are in industrial grade form at the split-off point. They can either be sold at that point or processed further into premium grade. Costs related to each batch of this chemical process is as follows:

	A	B	C
Sales value at split-off point	P16,000	P12,000	P5,000
Allocated joint costs.....	P 6,000	P 6,000	P6,000
Sales value after further processing	P20,000	P18,000	P9,000
Cost of further processing	P 5,000	P 3,000	P2,000

For which product(s) above would it be more profitable for the company to sell at the split-off point rather than process further?

- a. A only
b. C only
c. A and C only
d. B and C only

8. The constraint at Louise Corporation is time on a particular machine. The company makes three products that use this machine. Data concerning those products appear below:

	A	B	C
Selling price per unit.....	P192.00	P542.66	P222.84
Variable cost per unit	P158.72	P420.54	P167.76
Minutes on the constraint.....	3.20	8.60	3.60

Assume that sufficient time is available on the constrained machine to satisfy demand for all but the least profitable product. Up to how much should the company be willing to pay to acquire more of the constrained resource?

- a. P 33.28 per unit
b. P 10.40 per minute
c. P 122.12 per unit
d. P 15.30 per minute



RESPONSIBILITY ACCOUNTING

Concepts

- **Responsibility accounting** involves accumulating and reporting costs (and revenues) on the basis of the manager who has the authority to make the day-to-day decisions about the items.
- Under responsibility accounting, a manager's performance is evaluated on matters directly under that **manager's control**.
- Responsibility accounting can be used at every level of management in which the following conditions exist:
 - Costs and revenues can be directly associated with the specific level of management responsibility.
 - The costs and revenues can be controlled by employees at the level of responsibility with which they are associated.
 - Budget data can be developed for evaluating the manager's effectiveness in controlling the costs and revenues.
- The **reporting** of costs and revenues under responsibility accounting differs from budgeting in two respects:
 - A distinction is made between **controllable** and **noncontrollable** items.
 - Performance reports either emphasize or include only items controllable by the individual manager.
- A cost over which a manager has control is called a **controllable cost**. It follows that:
 - All costs are controllable by top management because of the broad range of its activity.
 - Fewer costs are controllable as one moves down to each lower level of managerial responsibility because of the manager's decreasing authority.
- **Noncontrollable costs** are costs incurred indirectly and allocated to a responsibility level.
- A **responsibility reporting system** involves the preparation of a report for each level of responsibility in the company's organization chart.
- **Responsibility reports** for cost centers compare actual controllable costs with flexible budget data. The reports show only controllable costs and no distinction is made between variable and fixed costs.

Decentralization

- **Decentralization** refers to the separation or division of the organization into more manageable units wherein each unit is managed by an individual who is given decision authority and is held accountable for his or her decisions.
- **Goal congruence** occurs when units of organization have incentives to perform for a common interest. The purpose of a responsibility system is to motivate management performance that adheres to company overall objectives.

- **Sub-Optimization** occurs when one segment of a company takes action that is in its own best interests but is detrimental to the firm as a whole.

Responsibility Centers

There are four basic types of responsibility centers: revenue center, cost center, profit center and investment center.

- ✓ A **revenue center** is responsible primarily for generating revenues.
- ✓ A **cost center** incurs costs (and expenses) but does not directly generate revenues.
- ✓ A **profit center** incurs costs (and expenses) and also generates revenues.
- ✓ An **investment center** incurs costs (and expenses) and generates revenues. In addition, an investment center has control over decisions regarding the assets available for use.

Responsibility Reports

- The evaluation of a manager's performance for cost centers is based on his or her ability to meet budgeted goals for controllable costs.
- To evaluate the performance of a profit center manager, upper management needs detailed information about both controllable revenues and controllable costs. The report is prepared using the cost-volume-profit income statement. In the report:
 - Controllable fixed costs are deducted from contribution margin.
 - The excess of contribution margin over controllable fixed costs is identified as controllable margin.
 - Noncontrollable fixed costs are not reported.

Measuring the Performance of Investment Centers

- a. **Return on Investment (ROI)** is the most common measure of performance for investment centers.

$$ROI = \frac{\text{Operating Income}}{\text{Average Operating Assets}}$$

Operating income refers to earnings before interest and taxes. Operating assets includes all assets acquired to generate operating income.

ROI is patterned after the DuPont technique to compute Return on Assets:

$$\text{Return on Assets} = \text{Return on Sales} \times \text{Asset Turnover}$$
$$\frac{\text{Net Income}}{\text{Assets}} = \frac{\text{Net Income}}{\text{Sales}} \times \frac{\text{Sales}}{\text{Assets}}$$

- b. **Residual Income (RI)** – is the difference between operating income and the minimum peso return required on a company’s operating assets.

RI = Operating Income – (Minimum Rate of Return x Operating Assets)

- c. **ECONOMIC VALUE ADDED (EVA)** – more specific version of residual income that measures the investment center’s real economic gains. It uses the weighted average cost of capital (WACC) to compute the required income.

<i>After-tax operating income</i> <i>(EBIC x [1 – Tax Rate])</i>	<i>xx</i>
<i>Less: Desired income</i> <i>(After-tax WACC x [Total assets – Non-</i>	<i>xx</i>
<i>interest-bearing Current liabilities])</i>	
<i>Economic Value Added (EVA)</i>	<i>xx</i>

Principles of Performance Evaluation

- o The human factor is critical in evaluating performance. **Behavioral principles** include:
 - Managers of responsibility centers should have direct input into the process of establishing budget goals of their area of responsibility.
 - The evaluation of performance should be based entirely on matters that are controllable by the manager being evaluated.
 - Top management should support the evaluation process.
 - The evaluation process must allow managers to respond to their evaluations.
 - The evaluation should identify both good and poor performance.
- o Performance evaluation under responsibility accounting should be based on certain reporting principles.
- o **Performance reports** should:
 - Contain only data that are controllable by the manager of the responsibility center.
 - Provide accurate and reliable budget data to measure performance.
 - Highlight significant differences between actual results and budget goals.
 - Be tailor-made for the intended evaluation.
 - Be prepared at reasonable intervals.

--End--



RESPONSIBILITY ACCOUNTING

THEORY

1. What term identifies an accounting system in which the operations of the business are broken down into reportable segments, and the control function of a foreperson, sales manager, or supervisor is emphasized?
 - a. Responsibility accounting
 - b. Operations-research accounting
 - c. Control accounting
 - d. Budgetary accounting
2. When managers of subunits throughout an organization strive to achieve the goals set by top management, the result is:
 - a. Goal congruence
 - b. Planning and control
 - c. Responsibility accounting
 - d. Delegation of decision making
3. A management decision may be beneficial for a given profit center, but not for the entire company. From the overall company viewpoint, this decision would lead to
 - a. Goal congruence
 - b. Centralization
 - c. Sub-optimization
 - d. Maximization
4. The cost object under the control of a manager is called a(n) _____ center
 - a. Cost
 - b. Revenue
 - c. Responsibility
 - d. Investment
5. Which of the following is not an example of a responsibility center?
 - a. Cost center
 - b. Revenue center
 - c. Profit center
 - d. Contribution center
6. A manufacturer's raw material purchasing department would likely be classified as a
 - a. Cost center
 - b. Revenue center
 - c. Profit center
 - d. Investment center
7. If the head of a hotel's food and beverage operation is held accountable for revenues and costs, the food and beverage operation would be considered a(n)
 - a. Cost center
 - b. Revenue center
 - c. Profit center
 - d. Investment center
8. Decentralized firms can delegate authority by structuring an organization into responsibility centers. Which of the following organizational segments is most like a totally independent, standalone business where managers are expected to "make it on their own"?
 - a. Cost center
 - b. Revenue center
 - c. Profit center
 - d. Investment center
9. A responsibility center in which the manager is held accountable for the profitable use of assets and capital is commonly known as a(n)
 - a. Cost center
 - b. Revenue center
 - c. Profit center
 - d. Investment center
10. Of most relevance in deciding how or which costs should be assigned to the responsibility center is the degree of
 - a. Variability
 - b. Controllability
 - c. Avoidability
 - d. Causality
11. Controllable costs are
 - a. Costs that fluctuate in total in response to small changes in the rate of capacity utilization
 - b. Costs that will be unaffected by current managerial decisions
 - c. Costs that management decides to incur in the current period to enable the company to achieve objectives other than filling customers' orders
 - d. Costs that are likely to respond to the amount of attention devoted to them by a specified manager
12. The cost item least likely to appear in a performance report based on responsibility accounting techniques for the supervisor of an assembly line in a large manufacturing situation is
 - a. Materials
 - b. Repairs and maintenance
 - c. Direct labor
 - d. Supervisor's salary
13. When used for performance evaluation, periodic internal reports based on a responsibility accounting system should not
 - a. Distinguish between controllable and noncontrollable costs
 - b. Be related to the organization chart
 - c. Include allocated fixed overhead
 - d. Include variances between actual and budgeted controllable costs



14. The most desirable measure of departmental performance for evaluating the departmental manager is departmental
- a. Contribution to indirect expenses
 - b. Revenue less departmental variable expenses
 - c. Revenue less departmental fixed expenses
 - d. Revenue less controllable departmental expenses
15. The profit figure that is preferred in connection with the analysis of a division or department is
- a. Income before income tax
 - b. Taxable profit
 - c. Net income
 - d. Operating income
16. Variance analysis would be appropriate to measure performance in
- a. Profit centers
 - b. Investment centers
 - c. Cost centers
 - d. All of the above
17. Return on investment (ROI) is a term often used to express income earned on capital invested in a business unit. A company's ROI would be increased if
- a. Sales decreased by the same peso amount that expenses increased
 - b. Sales and expenses increased by the same percentage that total assets increased
 - c. Net profit margin on sales increased by the same percentage that total assets increased
 - d. Sales increased by the same peso amount that expenses and total assets increased
 - e. Sales remained the same and expenses were reduced by the same peso amount that total assets decreased
18. A sub-unit of an organization is evaluated on the basis of its ROI. If this sub-unit's sales and expenses both increase by P30,000, how will the following measures be affected?
- | ROI | Asset turnover | Profit margin |
|------------------|----------------|---------------|
| a. Increase | Increase | Increase |
| b. Indeterminate | Increase | Decrease |
| c. No change | Increase | Decrease |
| d. No change | Decrease | No change |
19. Return on investment is computed by dividing income by
- a. Contribution margin
 - b. Inventory turnover
 - c. Assets invested
 - d. Average assets employed
20. Profit margin equals
- a. Income divided by sales
 - b. Incomes divided by average inventory
 - c. Income divided by average assets
 - d. Income divided by average stockholder's equity
21. The Du Pont model measures
- a. Residual income
 - b. Return on investment
 - c. Throughput
 - d. Profit
22. The Du Pont model measures ROI as it is affected by
- a. Contribution margin and asset turnover
 - b. Profit margin and asset turnover
 - c. Asset turnover
 - d. Profit margin
23. Residual income is the
- a. Contribution margin of an investment center, less the imputed interest on the invested capital used by the center
 - b. Contribution margin of an investment center, plus the imputed interest on the invested capital used by the center
 - c. Income of an investment center, less the imputed interest on the invested capital used by the center
 - d. Income of an investment center, plus the imputed interest on the invested capital used by the center
24. If a division generates a positive residual income then the division's
- a. Asset turnover was very high
 - b. Profitability was greater than that of other divisions in the company
 - c. Performance was above expectations
 - d. Actual return on investment exceeds the division's target return
25. Indirect costs should be allocated for all of the following reasons except to
- a. Motivate managers
 - b. Determine the full cost of a product
 - c. Motivate general administration
 - d. Compare alternatives for decision making



26. The criteria that are most often used to decide on allocation bases are?
- | <u>Benefits received</u> | <u>Fairness</u> | <u>Causal relationships</u> |
|--------------------------|-----------------|-----------------------------|
| a. Yes | Yes | No |
| b. Yes | Yes | Yes |
| c. No | Yes | Yes |
| d. No | No | No |
27. Which of the following is a reason for allocating service department costs and thereby motivating management?
- a. Provides for cost recovery
 - b. Provides relevant information in determining corporate-wide profits generated by alternative actions
 - c. Meets regulations in some pricing instances
 - d. Reflects usage of services on a fair and equitable basis
28. Which of the following is not a method for allocating service department costs?
- a. Step method
 - b. Indirect method
 - c. Direct method
 - d. Algebraic method
29. The overhead allocation method that allocates service department costs without consideration of services rendered to other service departments is the
- a. Step method
 - b. Direct method
 - c. Reciprocal method
 - d. None of the above
30. Which service department cost allocation method assigns indirect costs to cost objects after considering some of the interrelationships of the cost objects?
- a. Step method
 - b. Indirect method
 - c. Algebraic method
 - d. Direct method
31. The most accurate method for allocating service department costs is the
- a. Step method
 - b. Direct method
 - c. Algebraic method
 - d. None of the above
32. Which service department cost allocation method provides for reciprocal allocation of service costs among the service department as well as to the revenue producing departments?
- a. Algebraic method
 - b. Indirect method
 - c. Step method
 - d. Direct method
33. A primary purpose of a balanced scorecard is to give
- a. Managers a way to judge past performance
 - b. Stockholders a way to judge current performance
 - c. Managers a way to forecast future performance
 - d. Stockholders a way to tie strategy to profitability
34. In a balanced scorecard, measurements should be directly linked to
- a. Organizational strategy and values
 - b. The cost management system
 - c. Current organizational profitability
 - d. Activity-based management concepts
35. Customer measures on the balanced scorecard should be
- | <u>Internal</u> | <u>External</u> | <u>Monetary</u> | <u>Non-monetary</u> |
|-----------------|-----------------|-----------------|---------------------|
| a. Yes | No | No | Yes |
| b. No | Yes | Yes | No |
| c. No | Yes | No | Yes |
| d. Yes | Yes | Yes | Yes |

PROBLEMS

1. The following information was taken from the segmented income statement of Jeric, Inc., and the company's three divisions:

	Jeric, <u>Inc.</u>	A <u>Division</u>	B <u>Division</u>	C <u>Division</u>
Revenues	P750,000	P200,000	P235,000	P325,000
Variable operating expenses	410,000	110,000	120,000	180,000
Controllable fixed expenses	210,000	65,000	75,000	70,000
Noncontrollable fixed expenses	60,000	15,000	20,000	25,000

In addition, the company incurred common fixed costs of P18,000.

Question 1: B's segment profit margin is:

- a. P 14,000
- b. P 18,000
- c. P 20,000
- d. P 40,000



Question 2: The profit margin controllable by the C segment manager is:

- a. P 32,000
- b. P 44,000
- c. P 50,000
- d. P 75,000

Question 3: Assuming use of a responsibility accounting system, which of the following amounts should be used to evaluate the performance of the A division manager?

- a. P 4,000
- b. P 8,000
- c. P 10,000
- d. P 25,000

Question 4: Which of the following amounts should be used to evaluate whether it should continue to invest company resources in the A division?

- a. P 4,000
- b. P 8,000
- c. P 10,000
- d. P 25,000

2. The D Division of Tefany Company had the following financial data for the year:

Assets available for use	P1,000,000 Book Value
	P1,500,000 Market Value
Residual income	P100,000
Return on investment	15%

Question 1: What was the D Division's segment income?

- a. P 150,000
- b. P 100,000
- c. P 250,000
- d. P 50,000

Question 2: What was the target rate of return?

- a. 10%
- b. 15%
- c. 25%
- d. 5%

Question 3: If the manager of the D Division is evaluated based on return on investment, how much would she be willing to pay for an investment that promises to increase net segment income by P50,000?

- a. P 50,000
- b. P 333,333
- c. P 1,000,000
- d. P 500,000

3. Armida Corporation has established a target rate of return of 16% for all divisions. For the most recent year, Division D generated sales of P10,000,000 and expenses of P7,500,000. Total assets at the beginning of the year were P5,000,000 and total assets at the end of the year were P7,000,000.

Question 1: In the most recent year, what was Division D's residual income?

- a. P 960,000
- b. P 1,380,000
- c. P 1,540,000
- d. P 1,700,000

Question 2: For the most recent year, what was Division D's return on investment?

- a. 20.83%
- b. 35.71%
- c. 41.67%
- d. 50.00%

4. The following information pertains to Christopher Corporation:

Sales revenue	P1,500,000
Gross margin	600,000
Income	90,000
Invested capital	450,000

The company's imputed interest rate is 8%.

Question 1: The capital turnover is:

- a. P 3.33
- b. P 5.00
- c. P 16.67
- d. P 20.00

Question 2: The sales margin is:

- a. 6%
- b. 15%
- c. 20%
- d. 30%



Question 3: The ROI is:

- a. 6%

b. 15%
- c. 20%

d. 30%

Question 4: The residual income is:

- a. P 30,000

b. P 36,000
- c. P 42,000

d. P 54,000

5. C Division of the Mae Company has the following statistics for its most recent operations:

Assets available for use (market value)	P3,600,000
Assets available for use (book value)	P2,000,000
Texas Division's return on investment	25%
Texas Division's residual income	200,000
Return on investment (entire company)	20%

Question 1: Compute EVA assuming the cost of capital is 10% and the tax rate is 40%.

- a. P 90,000

b. P 150,000
- c. P 0

d. P (60,000)

Question 2: What is the target rate of return?

- a. 25%

b. 20%
- c. 15%

d. 10%

6. The information below relates to costs, revenues, and assets anticipated in the B Division of Rusty Corporation:

Sales	P 4,000,000
Variable costs	75% of sales
Average assets employed	P12,000,000
Fixed costs	0

How would each of the following measures be affected if sales rise by P5,000 in the B Division?

	<u>ROI</u>	<u>Asset turnover</u>	<u>Profit margin</u>
a.	Increase	Increase	Increase
b.	Increase	No change	Increase
c.	Increase	Increase	No change
d.	No change	No change	Increase

7. Michelle Corporation has three production departments A, B, and C. It also has two service departments, Administration and Personnel. Administration costs are allocated based on value of assets employed, and Personnel costs are allocated based on number of employees. Assume that Administration provides more service to the other departments than does the Personnel Department.

<u>Dept.</u>	<u>Direct Costs</u>	<u>Employees</u>	<u>Asset Value</u>
Admin.	P900,000	25	P450,000
Personnel	350,000	10	600,000
A	700,000	15	300,000
B	200,000	5	150,000
C	250,000	10	800,000

Question 1: Using the direct method, what amount of Administration costs is allocated to A (round to the nearest peso)?

- a. P 216,000

b. P 150,000
- c. P 288,000

d. P 54,000

Question 2:

Using the direct method, what amount of Personnel costs is allocated to B (round to the nearest peso)?

- a. P 50,000

b. P 43,750
- c. P 26,923

d. P 58,333

Question 3: Using the direct method, what amount of Administration costs is allocated to C (round to the nearest peso)?

- a. P 576,000

b. P 54,000
- c. P 108,000

d. P 150,000



Question 4: Using the step method, what amount of Administration costs is allocated to Personnel (round to the nearest peso)?

- a. P 72,973

b. P 291,892
- c. P 145,946

d. P 389,189

Question 5: Using the step method, what amount of Administration costs is allocated to A (round to the nearest peso)?

- a. P 72,973

b. P 291,892
- c. P 145,946

d. P 389,189

Question 6: Using the step method, what amount of Administration costs is allocated to B (round to the nearest peso)?

- a. P 72,973

b. P 291,892
- c. P 145,946

d. P 389,189

Question 7: Using the step method, what amount of Administration costs is allocated to C (round to the nearest peso)?

- a. P 389,189

b. P 145,946
- c. P 291,892

d. P 72,973

8. Ayana Maureen Inc. is exploring ways to allocate the cost of service departments such as Quality Control and Maintenance to the production departments such as Machining and Assembly. The controller of the company has provided the following information:

	<u>Quality Control</u>	<u>Maintenance</u>	<u>Machining</u>	<u>Assembly</u>	<u>Total</u>
Budgeted overhead costs before allocation	P350,000	P200,000	P400,000	P300,000	P1,250,000
Budgeted machine hours	-	-	50,000 hrs.	-	50,000 hrs.
Budgeted direct labor hours	-	-	-	25,000 hrs.	25,000 hrs.
Budgeted hours of service of quality control	-	7,000 hrs.	21,000 hrs.	7,000 hrs.	35,000 hrs.
Budgeted hours of service of maintenance	10,000 hrs.	-	18,000 hrs.	12,000 hrs.	40,000 hrs.

Question 1: Under direct method of allocating service department costs, what are the total service costs allocated to the machining and assembly departments, respectively?

- a. P 382,500 and P 167,500

b. P 300,000 and P 130,000
- c. P 412,500 and P 137,500

d. P 330,000 and P 220,000

Question 2: Under the step-down method of allocating service department costs from quality control to maintenance, what are the total service costs allocated to the machining and assembly departments, respectively?

- a. P 372,000 and P 178,000

b. P 412,500 and P 137,500
- c. P 330,000 and P 220,000

d. P 405,000 and P 145,000

Question 3: Under the reciprocal method of allocating service department costs, what are the total amount of quality control costs and total amount of maintenance costs, respectively, to be allocated to the other departments?

- a. P 421,053 and P 284,211

b. P 453,201 and P 290,640
- c. P 410,250 and P 282,050

d. P 435,800 and P 287,160



TRANSFER PRICING

Transfer Price is the monetary value, or the price charged by one segment of a firm for the goods and services it supplies to another segment of the same firm.

Objectives of Transfer Pricing:

- To facilitate optimal decision-making.
- To provide a basis in measuring divisional performance.
- To motivate the different department heads in improving their performance and that of their departments.

Basis of Transfer Price:

- ✓ Cost-Based Price
- ✓ Market-Based Price
- ✓ Negotiated Price
- ✓ Arbitrary Price

General Rules in Choosing a Transfer Price:

- The **maximum price** should be no greater than the lowest market price at which the buying segment can acquire the goods or services externally.
- The **minimum price** should be no less than the sum of the selling segment’s incremental costs associated with the goods or services plus the opportunity cost of the facilities used.
- A good should be transferred internally whenever the minimum transfer price (set by the selling division) is less than the maximum transfer price (set by the buying division). By doing this, total profits of the firm are not decreased by an internal transfer.

Maximum vs. Minimum Transfer Prices

To minimize the effect of sub-optimization, a **range** for transfer price must be set based on the following limits:

- **Maximum transfer price:** Cost of buying from outside suppliers
- **Minimum transfer price:** Variable cost per unit + Lost Contribution Margin per unit on outside sales
 - When a company segment is operating at full capacity, the lost CM per unit on outside sales is the opportunity cost of transferring products to another company segment.

Internal Sales

- The transfer of goods between divisions of the same company is called **internal sales**. Divisions within vertically integrated companies normally sell goods to other company divisions as well as to outside customers.
- The **charge for labor time** is expressed as a rate per labor hour which includes:

- The direct labor cost of the employee (hourly rate or salary and fringe benefits).
- Selling, administrative, and similar overhead costs.
- An allowance for a desired profit or ROI per hour of employee time.

- The **charge for materials** typically includes a material loading charge which covers the costs of purchasing, receiving, handling, and storing materials, plus any desired profit margin on the materials themselves.
- The charges for any particular job are the **sum** of the:
 - Labor charge
 - Charge for materials
 - Material loading charge

Cost-Based Transfer Prices

- One method of determining transfer prices is to base the transfer price on the costs incurred by the division producing the goods.
- A **cost-based transfer price** may be based on full cost, variable cost, or some modification including a markup.
- The cost-based approach often leads to poor performance evaluations and purchasing decisions. Under this approach, divisions sometimes use improper transfer prices which leads to a loss of profitability and unfair evaluations of division performance.
- The cost-based approach does not provide the selling division with proper incentive. In addition, this approach does not reflect the selling division’s true profitability and doesn’t even provide adequate incentive for the selling division to control costs since the division’s costs are passed on to the buying division.

Absorption Cost Approach

- The absorption cost approach uses total manufacturing cost as the cost base and provides for selling/administrative costs plus the target ROI through the markup.
- The absorption cost approach involves **three steps**:
 - Compute the unit manufacturing cost.
 - Compute the markup percentage (the percentage must cover both the desired ROI and selling and administrative expenses).
 - Set the target selling price.
- The **markup percentage** is computed by dividing the sum of the desired ROI per unit and selling and administrative expenses per unit by the manufacturing cost per unit.

- o The **target selling price** is computed as: Manufacturing cost per unit + (Markup percentage X Manufacturing cost per unit).

Variable Cost Pricing

- Variable cost pricing uses all of the variable costs, including selling and administrative costs, as the cost base and provides for fixed costs and target ROI through the markup.
- Variable cost pricing is more useful for making short-run decisions because it considers variable cost and fixed cost behavior patterns separately.
- Variable cost pricing involves the following steps:
 - o Compute the unit variable cost.
 - o Compute the markup percentage.
 - o Set the target selling price.
- The **markup percentage** is computed by dividing the sum of the desired ROI per unit and fixed costs per unit by the variable cost per unit.
- The **target selling price** is computed as: Variable cost per unit + (Markup percentage X Variable cost per unit).
- The specific reasons for using variable cost pricing are:
 - o It is more consistent with cost-volume-profit analysis used to measure the profit implications of changes in price and volume.
 - o This approach provides the type of data managers need for pricing special orders.
 - o It avoids arbitrary allocation of common fixed costs to individual product lines.

Market Based Transfer Prices

- o The market-based transfer price is based on existing market prices of competing goods. This system is often considered the best approach because it is objective and generally provides the proper economic incentives.
- o When the selling division has no excess capacity, it receives market price and the purchasing division pays market price.
- o If the selling division has excess capacity, the market based system can lead to actions that are not in the best interest of the company.

Negotiated Transfer Prices

- o Under negotiated transfer pricing, the selling division, establishes, a minimum transfer price and the purchasing division establishes a maximum transfer price.
- o Companies often do not use negotiated transfer pricing because:

- Market price information is sometimes not easily obtainable.
- A lack of trust between the two negotiating divisions may lead to a breakdown in negotiations.
- Negotiations often lead to different pricing strategies from division to division which is sometimes costly to implement.

-- END --



TRANSFER PRICING

THEORY

1. The price that one division of a company charges another division for goods or services provided is called the:
 - a. Market price
 - b. Transfer price
 - c. Outlay price
 - d. Distress price
2. From the standpoint of the company, the important question in transfer pricing is
 - a. What is fair to the divisions
 - b. How to determine the profit of the divisions
 - c. Whether or not the transfer should take place
 - d. When the transfer should be made
3. As a general rule, the best transfer price to use to transfer the costs of a service center to an operating department is
 - a. The price charged by an outside company for the same service
 - b. The price that encourages goal congruence
 - c. One that is based on budgeted variable cost
 - d. One that is based on budgeted total cost
4. Which of the following is a consistently desirable characteristic in a transfer pricing system?
 - a. System is very complex to be the most fair to the buying and selling units
 - b. Effect on subunit performance measures is not easily determined
 - c. System should reflect organizational goals
 - d. Transfer price remains constant for a period of at least two years
5. In a decentralized company in which divisions may buy goods from one another, the transfer pricing system should be designed primarily to
 - a. Minimize the degree of autonomy of division managers
 - b. Aid in the appraisal and motivation of managerial performance
 - c. Increase the consolidated value of inventory
 - d. Discourage division managers from buying from outsiders
6. Market-based transfer prices are best for
 - a. The company when the selling division is operating below capacity
 - b. The company when the selling division is operating at capacity
 - c. The buying division if it is operating at capacity
 - d. The buying division
7. Given a competitive outside market for identical intermediate goods, what is the best transfer price, assuming all relevant information is readily available?
 - a. Average cost of production
 - b. Average cost of production plus average production department's allocated profit
 - c. Market price of the intermediate goods
 - d. Market price of the intermediate goods less average production department's allocated profit
8. The transfer pricing method that allows managers the greatest degree of authority and control over the profit of their units is
 - a. Market pricing
 - b. Arbitrary methods
 - c. Cost
 - d. Negotiated pricing
9. Which of the following is the most valid reason for not using a cost-plus transfer price between decentralized units of a company? A cost-plus transfer price
 - a. Does not reflect the excess capacity of the supplying unit
 - b. Is typically more costly to implement
 - c. Does not ensure the control of costs of a supplying unit
 - d. Is not available unless market-based prices are available
10. The most valid reason for using something other than a full-cost-based transfer price between units of a company is because a full-cost price
 - a. Is typically more costly to implement
 - b. Does not ensure the control of costs of a supplying unit
 - c. Is not available unless market-based prices are available
 - d. Does not reflect the excess capacity of the supplying unit
11. With two autonomous division managers, the price of goods transferred between the divisions needs to be approved by
 - a. Corporate management
 - b. Both divisional managers
 - c. Both divisional managers and corporate management
 - d. Corporate management and the manager of the buying division



12. The minimum potential transfer price is determined by
 - a. Incremental costs in the selling division
 - b. The lowest outside price for the good
 - c. The extent of idle capacity in the buying division
 - d. Negotiations between the buying and selling division
13. Which of the following is true about transfer prices for sales between divisions located in different countries?
 - a. They should consider the tax structures in the two countries
 - b. They are usually set by the governments of the two countries
 - c. They cannot affect the total income of the company
 - d. All of the above

PROBLEMS

1. Victoria Corporation produces various products used in the construction industry. The P Division produces and sells 100,000 copper fittings each month. Relevant information for last month follows:

Total sales (all external)	P250,000
Expenses (all on a unit base):	
Variable manufacturing	P0.50
Fixed manufacturing	.25
Variable selling	.30
Fixed selling	.40
Variable G&A	.15
Fixed G&A	.50
Total	<u>P2.10</u>

Question 1: Top-level managers are trying to determine how a transfer price can be set on a transfer of 10,000 of the copper fittings from the P Division to the B Division. A transfer price based on variable cost will be set at _____ per unit.

- a. P 0.50

b. P 0.80
- c. P 0.95

d. P 0.75

Question 2: A transfer price based on full production cost would be set at _____ per unit.

- a. P 0.75

b. P 2.10
- c. P 1.45

d. P 1.60

Question 3: A transfer price based on market price would be set at _____ per unit.

- a. P 2.10

b. P 2.50
- c. P 1.60

d. P 2.25

Question 4:

If the P Division is operated as an autonomous investment center and its capacity is 100,000 fittings per month, the per-unit transfer price is not likely to be below

- a. P 0.75

b. P 1.60
- c. P 2.10

d. P 2.50

2. Ella Corporation manufactures and sells various high-tech office automation products. Two divisions of the company are the C Division and the D Division. The C Division manufactures one product, a "super chip," that can be used by both the D Division and other external customers. The following information is available on this month's operations in the C Division:

Selling price per chip	P50
Variable costs per chip	P20
Fixed production costs	P60,000
Fixed SG&A costs	P90,000
Monthly capacity	10,000 chips
External sales	6,000 chips
Internal sales	0 chips



Presently, the D Division purchases no chips from the C Division, but instead pays P45 to an external supplier for the 4,000 chips it needs each month.

Question 1: Assume that next month's costs and levels of operations in the C and D Divisions are similar to this month. What is the minimum of the transfer price range for a possible transfer of the super chip from one division to the other?

- a. P 50
- b. P 45
- c. P 20
- d. P 35

Question 2: Assume that next month's costs and levels of operations in the D and C Divisions are similar to this month. What is the maximum of the transfer price range for a possible transfer of the chip from one division to the other?

- a. P 50
- b. P 45
- c. P 35
- d. P 30

Question 3: Two possible transfer prices (for 4,000 units) are under consideration by the two divisions: P35 and P40. Corporate profits would be _____ if P35 is selected as the transfer price rather than P40

- a. P 20,000 larger
- b. P 40,000 larger
- c. P 20,000 smaller
- d. The same

Question 4: If a transfer between the two divisions is arranged next period at a price (on 4,000 units of super chips) of P40, total profits in the C division will

- a. Rise by P20,000 compared to the prior period
- b. Drop by P40,000 compared to the prior period
- c. Drop by P20,000 compared to the prior period
- d. Rise by P80,000 compared to the prior period

Question 5: Assume, for this question only, that the C Division is selling all that it can produce to external buyers for P50 per unit. How would overall corporate profits be affected if it sells 4,000 units to the D Division at P45? (Assume that the D Division can purchase the super chip from an outside supplier for P45.)

- a. No effect
- b. P20,000 increase
- c. P20,000 decrease
- d. P90,000 increase

3. Angelika Company has two divisions: The C Division and the B Division. The B Division produces containers that can be used by the C Division. The B Division's variable manufacturing cost is P2, shipping cost is P0.10, and the external sales price is P3. No shipping costs are incurred on sales to the C Division, and the C Division can purchase similar containers in the external market for P2.60.

Question 1: The B Division has sufficient capacity to meet all external market demands in addition to meeting the demands of the C Division. Using the general rule, the transfer price from the B Division to the C Division would be:

- a. P 2.00
- b. P 2.10
- c. P 2.60
- d. P 2.90

Question 2: Assume the B Division has no excess capacity and could sell everything it produced externally. Using the general rule, the transfer price from the B Division to the C Division would be:

- a. P 2.00
- b. P 2.10
- c. P 2.60
- d. P 2.90

Question 3: The maximum amount the C Division would be willing to pay for each bottle transferred would be:

- a. P 2.00
- b. P 2.10
- c. P 2.60
- d. P 2.90



4. Division A makes a part that it sells to customers outside of the Jomer Company. Data concerning this part appear below:

Selling price to outside customers	P40
Variable cost per unit	P30
Total fixed costs.....	P10,000
Capacity in units	20,000

Division B of the same company would like to use the part manufactured by Division A in one of its products. Division B currently purchases a similar part made by an outside company for P38 per unit and would substitute the part made by Division A. Division B requires 5,000 units of the part each period. Division A is already selling all of the units it can produce to outside customers. If Division A sells to Division B rather than to outside customers, the variable cost per unit would be P1 lower. What is the lowest acceptable transfer price from the standpoint of the selling division?

- a. P 40

b. P 39
- c. P 38

d. P 37

Annual production capacity	80,000 units
Selling price of the item to outside customers	P35
Variable cost per unit.....	P23
Fixed cost per unit	P5

Division Q of the company requires 15,000 units per year and is currently paying an outside supplier P33 per unit. Consider each part below independently.

Question 1: If outside customers demand only 50,000 units per year, what is the lowest acceptable transfer price from the viewpoint of the selling division?

- a. P 35

b. P 33
- c. P 28

d. P 23

a. P 35

b. P 33

c. P 28

d. P 23

Question 3: If outside customers demand 80,000 units and if, by selling to Division Q, Division P could avoid P4 per unit in variable selling expense, what is the lowest acceptable transfer price from the viewpoint of the selling division?

- a. P 35

b. P 21
- c. P 31

d. P 33

a. P 33

b. P 27

c. P 28

d. P 29



CAPITAL BUDGETING

$$\text{Payback Period} = \text{Cost of Capital Investment} \div \text{Net Annual Cash Flow}$$

Capital Budgeting Evaluation Process

- The process of making capital expenditure decisions in business is referred to as **capital budgeting**.
- Capital budgeting involves choosing among various projects to find the one(s) that will maximize a company's return on its financial investment.
- The capital budgeting evaluation process generally has the following **steps**:
 - 1) Project proposals are requested from departments, plants, and authorized personnel.
 - 2) Proposals are screened by a capital budget committee.
 - 3) Officers determine which projects are worthy of funding.
 - 4) Board of directors approves capital budget.

Cash Flow Information

- While accrual accounting has advantages over cash accounting in many contexts, for purposes of capital budgeting, **estimated cash inflows and outflows** are preferred for inputs into the capital budgeting decision tools.
- Sometimes cash flow information is not available, in which case adjustments can be made to accrual accounting numbers to estimate cash flows.
- The capital budgeting decision, under any technique, depends in part on a variety of considerations:
 - ✓ The availability of funds.
 - ✓ Relationships among proposed projects.
 - ✓ The company's basic decision-making approach.
 - ✓ The risk associated with a particular project.

Commonly Used Methods of Evaluating Capital Investment Projects

- 1) Methods that **do not consider** the time value of money
 - a. Payback Period
 - b. Accounting rate of return
- 2) Methods that **consider** the time value of money (discounted cash flow methods)
 - a. Net present value (NPV)
 - b. Profitability Index (PI)
 - c. Internal Rate of Return (IRR)

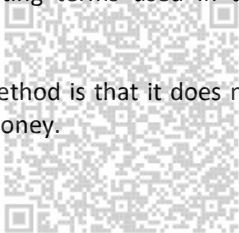
a. Payback Period

- The formula when net annual cash flows are equal is:

- The **cash payback** technique recognizes that:
 - The shorter the payback period, the more attractive the investment.
- The **cash payback** technique recognizes that:
 - The earlier the investment is recovered, the sooner the company can use the cash funds for other purposes.
 - The risk of loss from obsolescence and changed economic conditions is less in a shorter payback period.
- **Net annual cash flow** is computed by adding back depreciation expense to net income. Depreciation expense is added back because it is an expense that does not require an outflow of cash.
- In the case of uneven net annual cash flows, the company determines the cash payback period when the cumulative net cash flows from the investment equal the cost of the investment.
- The cash payback technique is relatively easy to compute and understand.
- It should not ordinarily be the only basis for the capital budgeting decision because it ignores the expected profitability of the project.

b. Accounting Rate of Return

- The **annual rate of return method** is based directly on accounting data rather than on cash flows.
- The annual rate of return method indicates the profitability of a capital expenditure and its formula is:
$$\text{Expected Annual Net Income} \div \text{Average Investment}$$
- Management compares the annual rate of return with its required rate of return for investments of similar risk.
- The **required rate of return** is generally based on the company's cost of capital.
- The **decision rule** is: A project is acceptable if its rate of return is greater than management's required rate of return. It is unacceptable when the reverse is true.
- The higher the rate of return for a given risk, the more attractive the investment.
- The principal advantages of this method are the simplicity of its calculation and management's familiarity with the accounting terms used in the computation.
- A major limitation of this method is that it does not consider the time value of money.



c. Net Present Value

- o Discounted cash flow techniques are generally recognized as the most informative and best conceptual approaches to making capital budgeting decisions.
- o These techniques consider both the time value of money and the estimated net cash flow from the investment.
- o The primary discounted cash flow technique is the net present value method.
- o The net present value method is discounting net cash flows to their present value and then comparing that present value with the capital outlay required by the investment. The difference between these two amounts is referred to as net present value (NPV).
 - Company management determines what interest rate to use in discounting the future net cash flows. This rate is often referred to as the discount rate or required rate of return.
 - A proposal is acceptable when net present value is positive, because this means the rate of return on the investment equals or exceeds the discount rate (required rate of return).
 - The higher the positive net present value, the more attractive the investment.
- The discount rate used by most companies is its **cost of capital**—that is, the rate that the company must pay to obtain funds from creditors and stockholders.
- The net present value method demonstrated in the text requires the following **assumptions**:
 - All cash flows come at the end of each year.
 - All cash flows are immediately reinvested in another project that has a similar return.
 - All cash flows can be predicted with certainty.

d. Profitability Index

- In theory, all projects with positive NPVs should be accepted. However, companies rarely are able to adopt all positive-NPV proposals because:
 1. The proposals are **mutually exclusive** (if the company adopts one proposal, it would be impossible to also adopt the other proposal).
 2. Companies have limited resources.
- Proposals are often mutually exclusive—if the company adopts one proposal, it would be impossible to also adopt the other proposal.

- In choosing between two projects, one method that takes into account both the size of the original investment and the discounted cash flows is the profitability index.
- The **profitability index** is a method that compares the relative merits of alternative capital investment projects.
- It is computed by dividing the present value of net cash flows by the initial investment.

$$\text{Profitability Index} = \frac{\text{Present Value of Future Cash Flows}}{\text{Initial Investment}}$$

- The higher the profitability index, the more desirable the project.
- The project with the greater profitability index should be the one chosen.

e. Internal Rate of Return

- The internal rate of return method differs from the net present value method in that it finds the **interest yield** of the potential investment.
- The **internal rate of return** is the interest rate that will cause the present value of the proposed capital expenditure to equal the present value of the expected net annual cash flows.
- Determining the internal rate of return can be done with a financial (business) calculator, computerized spreadsheet, or by employing a trial-and-error procedure.
- Determine the present value factor (PVF) for the internal rate of return (IRR) with the use of the following formula:

$$\text{PVF for IRR} = \frac{\text{Net investment cost}}{\text{Net cash inflows}}$$

- Once managers know the internal rate of return, they compare it to the company's required rate of return (the discount rate).
- The **decision rule** is: Accept the project when the internal rate of return is equal to or greater than the required rate of return. Reject the project when the internal rate of return is less than the required rate.

Intangible Benefits

- Intangible benefits, such as increased quality, improved safety, or enhanced employee loyalty, are difficult to quantify, and thus often are ignored in capital budgeting decisions.
- To avoid rejecting projects that should actually be accepted, managers can either:
 - o Calculate the net present value (NPV) ignoring intangible benefits, and if the resulting NPV is negative, evaluate whether the intangible benefits are worth at least the amount of the negative NPV.

- o Incorporate intangible benefits into the NPV calculation by projecting rough, conservative estimates of their value. If, after using conservative estimates, the net present value is positive, the project should be accepted.

Sensitivity Analysis

- Another consideration made by financial analysts is uncertainty or risk. One approach for dealing with uncertainty is sensitivity analysis.
- Sensitivity analysis uses a number of **outcome estimates** to get a sense of the variability among potential returns. In general, a higher risk project should be evaluated using a higher discount rate.

Post-Audit of Investment Projects

- A **post-audit** is a thorough evaluation of how well a project's actual performance matches the projections made when the project was proposed.
- Performing a post-audit is important for several reasons.
 - o Since managers know that their results will be evaluated, there is an incentive for them to make accurate estimates rather than presenting overly optimistic estimates in an effort to get projects approved.
 - o A post-audit provides a formal mechanism for determining whether existing projects should be continued, expanded, or terminated.
 - o Post-audits improve future investment proposals because managers improve their estimation techniques by evaluating past successes and failures.
- A post-audit involves the same evaluation techniques that were used in making the original capital budgeting decision—for example, use of the net present value method. The difference is that, in the post-audit, actual figures are inserted where known, and estimation of future amounts is revised based on new information.

--End--



CAPITAL BUDGETING

THEORY

1. Capital budgeting techniques are least likely to be used in evaluating the
- a. Acquisition of new aircraft by a cargo company
 - b. Design and implementation of a major advertising program
 - c. Trade for a star quarterback by a football team
 - d. Adoption of a new method of allocating non-traceable costs to product lines
2. The capital budgeting technique known as accounting rate of return uses
- | | <u>Salvage value</u> | <u>Time value of money</u> |
|----|----------------------|----------------------------|
| a. | No | No |
| b. | No | Yes |
| c. | Yes | Yes |
| d. | Yes | No |
3. In computing the accounting rate of return, the _____ level of investment should be used as the denominator
- a. Average
 - b. Initial
 - c. Residual
 - d. Cumulative
4. The payback period is the
- a. Length of time over which the investment will provide cash inflows
 - b. Length of time over which the initial investment is recovered
 - c. Shortest length of time over which an investment may be depreciated
 - d. Shortest length of time over which the net present value will be positive
5. Which of the following capital budgeting techniques ignores the time value of money?
- a. Payback period
 - b. Net present value
 - c. Internal rate of return
 - d. Profitability index
6. Which of the following capital budgeting techniques may potentially ignore part of a project's relevant cash flows?
- a. Net present value
 - b. Internal rate of return
 - c. Payback period
 - d. Profitability index
7. If investment A has a payback period of three years and investment B has a payback period of four years, then
- a. A is more profitable than B
 - b. A is less profitable than B
 - c. A and B are equally profitable
 - d. The relative profitability of A and B cannot be determined from the information given
8. The net present value and internal rate of return methods of decision making in capital budgeting are superior to the payback method in that they
- a. Are easier to implement
 - b. Consider the time value of money
 - c. Require less input
 - d. Reflect the effects of sensitivity analysis
9. A company has unlimited funds to invest at its discount rate. The company should invest in all projects having
- a. An internal rate of return greater than zero
 - b. A net present value greater than zero
 - c. A simple rate of return greater than the discount rate
 - d. A payback period less than the project's estimated life
10. The type of costs presented to management for a decision to replace equipment should be limited to
- a. Controllable costs
 - b. Conversion costs
 - c. Historical costs
 - d. Relevant costs
11. With regard to a capital investment, net cash inflow is equal to the
- a. Cost savings resulting from the investment
 - b. Sum of all future revenues from the investment
 - c. Net increase in cash receipts over cash payments
 - d. Net increase in cash payments over cash receipts
12. The interest rate used to find the present value of a future cash flow is the
- a. Prime rate
 - b. Discount rate
 - c. Cutoff rate
 - d. Internal rate of return
13. A firm's discount rate is typically based on
- a. The interest rates related to the firm's bonds
 - b. A project's internal rate of return
 - c. Its cost of capital
 - d. The corporate Aa bond yield



14. To reflect greater uncertainty (greater risk) about a future cash inflow, an analyst could
 - a. Increase the discount rate for the cash flow
 - b. Decrease the discounting period for the cash flow
 - c. Increase the expected value of the future cash flow before it is discounted
 - d. Extend the acceptable length for the payback period
15. A change in the discount rate used to evaluate a specific project will affect the project's
 - a. Life
 - b. Payback period
 - c. Net present value
 - d. Total cash flows
16. The combined weighted average interest rate that a firm incurs on its long-term debt, preferred stock, and common stock is the
 - a. Cost of capital
 - b. Discount rate
 - c. Cutoff rate
 - d. Internal rate of return
17. Depreciation is incorporated explicitly in the cash flow analysis of an investment proposal because it
 - a. Is a cost of operations that cannot be avoided
 - b. Results in an annual cash outflow
 - c. Is a cash inflow
 - d. Reduces the cash outlay for income taxes
18. All of the following are common cash inflows related to capital expenditure proposals, except
 - a. Additional revenues from increased sales
 - b. Increased working capital requirements
 - c. Reduction in inventory carrying costs
 - d. Salvage value at the end of the project
19. All of the following are common cash outflows from capital expenditure programs, except
 - a. Equipment installation
 - b. Employee training
 - c. Increased working capital requirements
 - d. Salvage value at the end of the project
20. A project's net present value, ignoring income taxes, is affected by
 - a. The net book value of an asset that is replaced
 - b. The depreciation on an asset that is replaced
 - c. The depreciation to be taken on assets used directly on the project
 - d. Proceeds from the sale of an asset that is replaced
21. The project profitability index and the internal rate of return
 - a. Will always result in the same preference ranking for investment projects
 - b. Will sometimes result in different preference rankings for investment projects
 - c. Are less dependable than the payback method in ranking investment projects
 - d. Are less dependable than net present value in ranking investment projects
22. The time value of money is considered in long-range investment decisions by
 - a. Assuming equal annual cash flow patterns
 - b. Investing only in short-term projects
 - c. Assigning greater value to more immediate cash flows
 - d. Ignoring depreciation and tax implications of the investment
23. Annual after-tax corporate net income can be converted to annual after-tax cash flow by
 - a. Adding back the depreciation amount
 - b. Deducting the depreciation amount
 - c. Adding back the quantity $(t \times \text{depreciation deduction})$, where t is the corporate tax rate
 - d. Deducting the quantity $[(1 - t) \times \text{depreciation deduction}]$, where t is the corporate tax rate
24. The rate of interest that produces a zero net present value when a project's discounted cash operating advantage is netted against its discounted net investment is the
 - a. Cost of capital
 - b. Discount rate
 - c. Cutoff rate
 - d. Internal rate of return
25. If an investment has a positive net present value, the
 - a. Internal rate of return is higher than the discount rate
 - b. Discount rate is higher than the hurdle rate of return
 - c. Internal rate of return is lower than the discount rate of return
 - d. Hurdle rate of return is higher than the discount rate
26. The profitability index is
 - a. The ratio of net cash flows to the original investment
 - b. The ratio of the present value of cash flows to the original investment
 - c. A capital budgeting evaluation technique that doesn't use discounted values
 - d. A mandatory technique when capital rationing is used



27. If the profitability index for a project exceeds 1, then the project's
- a. Net present value is positive
 - b. Internal rate of return is less than the project's discount rate
 - c. Payback period is less than 5 years
 - d. Accounting rate of return is greater than the project's internal rate of return

TRUE OR FALSE

- ___ 1. Capital budgeting uses financial criteria exclusively when evaluating projects.
- ___ 2. Most capital budgeting techniques focus on cash flows.
- ___ 3. The payback period ignores the time value of money.
- ___ 4. If the net present value is positive, the actual return on a project exceeds the required rate of return.
- ___ 5. If a project's internal rate of return is greater than or equal to an organization's hurdle rate, the project is considered to be an unacceptable investment.
- ___ 6. The internal rate of return is the rate at which a project's net present value is zero.
- ___ 7. The tax benefit from depreciation expense is the depreciation amount multiplied by (1 - tax rate).
- ___ 8. The accounting rate of return considers the time value of money.
- ___ 9. When using the payback method, any cash flows for a project that occur after the payback period are not considered in computing the payback period for that project.
- ___ 10. The present value of a given future cash flow will increase as the discount rate decreases.

PROBLEMS

1. The management of Jane Corporation is investigating purchasing equipment that would cost P518,000 and have a 7-year life with no salvage value. The equipment would allow an expansion of capacity that would increase sales revenues by P364,000 per year and cash operating expenses by P211,000 per year.

Determine the simple rate of return on the investment to the nearest tenth of a percent.

2. Mariedel Company has gathered the following data on a proposed investment project:

Investment required in equipment	P240,000
Annual cash inflows	P50,000
Salvage value.....	P0
Life of the investment	8 years
Required rate of return	10%

Question 1: The payback period for the investment is closest to:

- a. 0.2 years
- b. 2.5 years
- c. 4.8 years
- d. 5.0 years

Question 2: The simple rate of return on the investment is closest to:

- a. 12.5%
- b. 10.0%
- c. 20.8%
- d. 8.3%

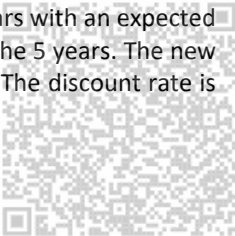
Question 3: The net present value on this investment is closest to:

- a. P 160,000
- b. P 240,024
- c. P 58,800
- d. P 26,750

Question 4: The internal rate of return on the investment is closest to:

- a. 11%
- b. 13%
- c. 15%
- d. 17%

3. Bea Corporation is considering a capital budgeting project. This project will initially require a P25,000 investment in equipment and a P3,000 working capital investment. The useful life of this project is 5 years with an expected salvage value of zero on the equipment. The working capital will be released at the end of the 5 years. The new system is expected to generate net cash inflows of P9,000 per year in each of the 5 years. The discount rate is 14%. The net present value of this project is closest to
- a. (P3,088)
 - b. P3,383
 - c. P4,454
 - d. P5,897



4. Joshua Corporation is considering an investment project that would require an initial investment of P250,000 and that would last for 9 years. The annual cash receipts from the project would be P175,000 and the annual cash expenses would be P79,000. The equipment used in the project could be sold at the end of the project for a salvage value of P13,000. The company's tax rate is 30%. For tax purposes, the entire initial investment will be depreciated over 7 years without any reduction for salvage value. The company uses a discount rate of 10%.

Question 1: When computing the net present value of the project, what are the annual after-tax cash receipts?

- a. P 52,500
- b. P 122,500
- c. P 139,286
- d. P 96,000

Question 2: The net present value of the project is closest to:

- a. P 140,863
- b. P 137,005
- c. P 193,020
- d. P 189,162

5. Maegan company needs an increase in working capital of P50,000 in a project that will last 4 years. The company's tax rate is 30% and its discount rate is 14%. The present value of the release of the working capital at the end of the project is closest to:
- a. P 15,000
 - b. P 20,723
 - c. P 29,600
 - d. P 35,000

6. The management of Melvin Corporation is considering the following three investment projects:

	Project L	Project M	Project N
Investment required	P37,000	P55,000	P82,000
Present value of cash inflows	P38,480	P62,150	P90,200

Rank the projects according to the profitability index, from most profitable to least profitable.

- a. M,N,L
- b. L,N,M
- c. N,L,M
- d. N,M,L

7. Rochelle Inc. has provided the following data to be used in evaluating a proposed investment project:

Initial investment	P880,000
Annual cash receipts	P660,000
Life of the project	8 years
Annual cash expenses	P330,000
Salvage value	P88,000
Tax rate	30%

For tax purposes, the entire initial investment without any reduction for salvage value will be depreciated over 7 years. The company uses a discount rate of 12%.

Question 1: When computing the net present value of the project, what are the annual after-tax cash receipts?

- a. P 462,000
- b. P 396,000
- c. P 198,000
- d. P 69,300

Question 2: When computing the net present value of the project, what are the annual after-tax cash expenses?

- a. P 429,000
- b. P 242,000
- c. P 99,000
- d. P231,000

Question 3: When computing the net present value of the project, what is the annual amount of the depreciation tax shield? In other words, by how much does the depreciation deduction reduce taxes each year in which the depreciation deduction is taken?

- a. P 37,714
- b. P 88,000
- c. P 77,000
- d. P 33,000

Question 4: When computing the net present value of the project, what is the after-tax cash flow from the salvage value in the final year?

- a. P 0
- b. P 88,000
- c. P 26,400
- d. P 61,600

Question 5: The net present value of the project is closest to:

- a. P 464,622
- b. P 439,736
- c. P 292,494
- d. P 267,608



COST OF CAPITAL

Source	Capital	Cost of Capital
Creditors	Long-term debt	After-tax rate of interest
Stockholders:		
Preferred	Preferred stock	Preferred dividends per <u>share</u> Current market price or Net issuance price
Common	Common stock	CAPM or DDM

1. CAPITAL ASSET PRICING MODEL (CAPM)

$R = R_F + \beta(R_M - R_F)$

where:

R = rate of return

R_F = risk-free rate determined by government securities

B = beta coefficient of an individual stock which is the correlation between the volatility (price variation) of the stock market and the volatility of the price of the individual stock.

2. THE DIVIDEND DISCOUNT MODEL (OR DIVIDEND GROWTH MODEL)

a. Cost of Retained Earnings

$\frac{D_1}{P_0} + G$

where:

P₀ = current price

D₁ = next dividend

G = growth rate in dividends per share (it is assumed that the dividend payout ratio, retention rate, and therefore the EPS growth rate are constant)

b. Cost of New Common Stock

$\frac{D_1}{P_0 (1 - \text{Flotation Cost})} + G$

Flotation Cost = the cost of issuing new securities.

-- END --



COST OF CAPITAL

THEORY

1. Cost of capital is
 - a. The amount the company must pay for its plant assets
 - b. The dividends a company must pay on its equity securities
 - c. The cost the company must incur to obtain its capital resources
 - d. The cost the company is charged by investment bankers who handle the issuance of equity or long-term debt securities
2. The weighted average cost of capital (WACC) represents the
 - a. Cost of bonds, preferred stock, and common stock divided by the three sources
 - b. Equivalent units of capital used by the organization
 - c. Overall cost of capital from all organization financing sources
 - d. Overall cost of dividends plus interest paid by the organization
3. Which of the following is not considered a capital component for the purpose of calculating the weighted average cost of capital (WACC) as it applies to capital budgeting?
 - a. Long-term debt
 - b. Common stock
 - c. Accounts payable and accruals
 - d. Preferred stock
4. Which of the following statements is most correct?
 - a. The WACC is a measure of the before-tax cost of capital
 - b. Typically the after-tax cost of debt financing exceeds the after-tax cost of equity financing
 - c. The WACC measures the marginal after-tax cost of capital
 - d. All of the above are correct
5. Which of the following statements about the cost of capital is incorrect?
 - a. A company's target capital structure affects its weighted average cost of capital
 - b. Weighted average cost of capital calculations should be based on the after-tax costs of all the individual capital components
 - c. If a company's tax rate increases, then, all else equal, its weighted average cost of capital will increase
 - d. Flotation costs can increase the weighted average cost of capital
6. An investor uses the capital asset pricing model (CAPM) to evaluate the risk-return relationship on a portfolio of stocks held as an investment. Which of the following would not be used to estimate the portfolio's expected rate of return?
 - a. Expected risk premium on the portfolio of stocks
 - b. Interest rate for the safest possible investment
 - c. Expected rate of return on the market portfolio
 - d. Standard deviation of the market returns
7. The company uses the CAPM to calculate the cost of equity capital. The company's capital structure consists of common stock, preferred stock, and debt. Which of the following events will reduce the company's WACC?
 - a. A reduction in the market risk premium
 - b. An increase in the flotation costs associated with issuing new common stock
 - c. An increase in the company's beta
 - d. An increase in expected inflation
8. Which of the following statements is most correct?
 - a. Since the money is readily available, the cost of retained earnings is usually a lot cheaper than the cost of debt financing.
 - b. When calculating the cost of preferred stock, a company needs to adjust for taxes, because preferred stock dividends are tax deductible
 - c. When calculating the cost of debt, a company needs to adjust for taxes, because interest payments are tax deductible
 - d. All of the above are correct
9. **[SKIP]**
10. When calculating the cost of capital, the cost assigned to retained earnings should be
 - a. Zero
 - b. Lower than the cost of external common equity
 - c. Equal to the cost of external common equity
 - d. Higher than the cost of external common equity



PROBLEMS

1. Emmanuel Corporation has a target capital structure consisting of 20% debt, 20% preferred stock, and 60% common equity.
- Assume the firm has insufficient retained earnings to fund the equity portion of its capital budget.
 - Its bonds have a 12% coupon, paid semiannually, a current maturity of 20 years, and sell for P1,000.
 - The firm could sell, at par, P100 preferred stock that pays a 12% annual dividend, but flotation costs of 5% would be incurred.
 - The firm's beta is 1.2, the risk-free rate is 10%, and the market risk premium is 5%.
 - The corporation is a constant growth firm that just paid a dividend of P2.00, sells for P27.00 per share, and has a growth rate of 8%.
 - Flotation costs on new common stock total 10%.
 - The firm's marginal tax rate is 40%.

Question 1: What is the component cost of debt?

- a. 10.0%
- b. 9.1%
- c. 8.6%
- d. 7.2%

Question 2: What is the cost of preferred stock?

- a. 10.0%
- b. 11.0%
- c. 12.0%
- d. 12.6%

Question 3: What is the cost of retained earnings using the CAPM approach?

- a. 13.6%
- b. 14.1%
- c. 16.0%
- d. 16.6%

Question 4: What is the cost of retained earnings using the DCF approach?

- a. 13.6%
- b. 14.1%
- c. 16.0%
- d. 16.6%
- e. 16.9%

Question 5: What is the WACC, if the firm has insufficient retained earnings to fund the equity portion of its capital budget?

- a. 13.6%
- b. 14.1%
- c. 16.0%
- d. 16.6%

2. Cristy Company's stock currently has a price of P50 per share and is expected to pay a year-end dividend of P2.50 per share ($D_1 = P2.50$). The dividend is expected to grow at a constant rate of 4% per year. The company has insufficient retained earnings to fund capital projects and must, therefore, issue new common stock. The new stock has an estimated flotation cost of P3 per share. What is the company's cost of equity capital?
- a. 10.14%
 - b. 9.21%
 - c. 9.45%
 - d. 9.32%

3. Ronelo Electric has a capital structure that consists of 70% equity and 30% debt.

- The company's long-term bonds have a before-tax yield to maturity of 8.4%.
- The company uses the DCF approach to determine the cost of equity.
- The company's common stock currently trades at P45 per share.
- The year-end dividend (D_1) is expected to be P2.50 per share, and the dividend is expected to grow forever at a constant rate of 7% a year.
- The company estimates that it will have to issue new common stock to help fund this year's projects.
- The flotation cost on new common stock issued is 10%.
- The company's tax rate is 40%.

What is the company's weighted average cost of capital, WACC?

- a. 10.73%
- b. 10.30%
- c. 11.31%
- d. 7.48%



4. Marjon Corporation is estimating its WACC. The company has collected the following information:

- Its capital structure consists of 40% debt and 60% common equity.
- The company has 20-year bonds outstanding with a 9% annual coupon that are trading at par.
- The company's tax rate is 40%.
- The risk-free rate is 5.5%.
- The market risk premium is 5%.
- The stock's beta is 1.4.

What is the company's WACC?

- | | |
|----------|-----------|
| a. 9.71% | c. 8.31% |
| b. 9.66% | d. 11.18% |

5. Princess Industries finances its projects with 40% debt, 10% preferred stock, and 50% common stock.

- The company can issue bonds at a yield to maturity of 8.4%.
- The cost of preferred stock is 9%.
- The risk-free rate is 6.57%.
- The market risk premium is 5%.
- The company's beta is equal to 1.3.

Assume that the firm will be able to use retained earnings to fund the equity portion of its capital budget. The company's tax rate is 30%. What is the company's weighted average cost of capital (WACC)?

- | | |
|----------|-----------|
| a. 8.33% | c. 9.79% |
| b. 8.95% | d. 10.92% |

6. Catherine Corporation has a capital structure that consists of 20% equity and 80% debt. The company expects to report P3 million in net income this year, and 60% of the net income will be paid out as dividends. How large must the firm's capital budget be this year without it having to issue any new common stock?

- | | |
|-------------------|-------------------|
| a. P 1.20 million | c. P 1.50 million |
| b. P13.00 million | d. P 6.00 million |



FINANCIAL STATEMENT ANALYSIS

Characteristics

- o **Financial Statement (FS) analysis** enables the financial statement user to make informed decisions about a company.
- o **FS analysis** involves the evaluation of an entity's past performance, present condition and business potentials by way of analyzing the financial statements.
- o When analyzing financial statements, three major **characteristics** of a company are generally evaluated:
 - ✓ Liquidity
 - ✓ Profitability
 - ✓ Solvency
- o **Comparative analysis** may be made on a number of different bases.
 - **Intracompany basis**—Compares an item or financial relationship within a company in the current year with the same item or relationship in one or more prior years.
 - **Industry averages**—Compares an item or financial relationship of a company with industry averages.
 - **Intercompany basis**—Compares an item or financial relationship of one company with the same item or relationship in one or more competing companies.

Tools of Financial Analysis

- o There are three basic tools of analysis:
 - a. Horizontal
 - b. Vertical
 - c. Ratio

Horizontal Analysis

- o **Horizontal analysis**, also called **trend analysis**, is a technique for evaluating a series of financial statement data over a period of time to determine the increase or decrease that has taken place, expressed as either an amount or a percentage.
- o In horizontal analysis, a base year is selected, and changes are expressed as percentages of the base year amount.

Vertical Analysis

- **Vertical analysis**, also called **common size analysis**, expresses each item within a financial statement as a percent of a base amount. Generally, the base amount is total assets for the balance sheet, and net sales for the income statement.

Ratio Analysis

- A **ratio** expresses the mathematical relationship between one quantity and another as either a percentage, rate, or proportion. Ratios can be classified as:
 - ✓ **Liquidity ratios**—measures of the short-term debt-paying ability.
 - ✓ **Profitability ratios**—measures of the income or operating success of an enterprise for a given period of time.
 - ✓ **Solvency ratios**—measures of the ability of the enterprise to survive over a long period of time.
- There are four **liquidity ratios**:
 - ✓ Current ratio
 - ✓ Acid test ratio
 - ✓ Receivables turnover
 - ✓ Inventory turnover
- The **current ratio** expresses the relationship of current assets to current liabilities. It is a widely used measure for evaluating a company's liquidity and short-term debt paying ability.
- The **acid-test or quick ratio** relates cash, short-term investments, and net receivables to current liabilities. This ratio indicates a company's immediate liquidity. It is an important complement to the current ratio.
- The **receivables turnover ratio** is used to assess the liquidity of the receivables. This ratio measures the number of times, on average, receivables are collected during the period.
- **Inventory turnover** measures the number of times, on average, the inventory is sold during the period. Companies compute the inventory turnover by dividing cost of goods sold by the average inventory during the year. One computes the average days in inventory by dividing the inventory turnover into 365 days.

Profitability Ratios

- **Profit margin** is a measure of the percentage of each peso of sales that results in net income. Companies compute it by dividing net income by net sales.
- **Asset turnover** measures how efficiently a company uses its assets to generate sales. It is computed by dividing net sales by average assets.
- An overall measure of profitability is **return on assets**. One computes this ratio by dividing net income by average assets.
- **Return on common stockholders' equity** shows how many pesos of net income the company earned for each peso invested by the owners. Companies compute it by dividing net income by average common stockholders' equity.



- o When a company has preferred stock, it must deduct preferred dividend requirements from net income to compute income available to common stockholders.
- o Companies deduct the par value of preferred stock (or call price) from total stockholders' equity to determine the amount of common stockholders' equity used in the denominator.
- **Earnings per share** is a measure of the net income earned on each share of common stock. It is computed by dividing net income by the number of weighted average common shares outstanding during the year.
- The **price-earnings ratio** is a measure of the ratio of the market price of each share of common stock to the earnings per share. One computes it by dividing the market price per share of the stock by earnings per share.
- The **payout ratio** measures the percentage of earnings distributed in the form of cash dividends. Companies compute it by dividing cash dividends by net income.

Solvency ratios

- The **debt to total assets ratio** measures the percentage of the total assets that creditors provide. One computes it by dividing total debt (both current and long-term liabilities) by total assets.
- **Times interest earned** (interest coverage ratio) provides an indication of the company's ability to meet interest payments as they come due. Companies compute it by dividing income before interest expense and income taxes by interest expense.

SUMMARY OF FINANCIAL RATIOS

LIQUIDITY

Current Ratio	<u>Current Assets</u> Current Liabilities	It is a measure of adequacy of working capital. It is the primary test of liquidity to meet current obligations from current assets.
Quick Ratio (Acid Test Ratio)	<u>Quick Assets</u> Current Liabilities	It measures the number of times that the current liabilities could be paid with the available cash and near-cash assets (i.e., cash, current receivables and marketable securities).
Receivables Turnover	<u>Net Credit Sales</u> Average Receivables	It measures the number of times receivables are recorded and collected during the period.
Average Age of Receivables	<u>360 days</u> Receivables Turnover	It indicates the average number of days during which

(Average Collection Period) (Days' in Receivables)		the company must wait before receivables are collected.
Inventory Turnover	Cost of Goods Sold <u>Sold</u> Average Merchandise Inventory	It measures the number of times that the inventory is replaced during the period.
Average Age of Inventory* (Inventory Conversion Period) (Days' in Inventory)	<u>360 days</u> Inventory Turnover	It indicates the average number of days during which the company must wait before the inventories are sold.
Accounts Payable Turnover	Net Credit <u>Purchases</u> Average Trade Payables	It measures the speed with which a company pays its suppliers.
Average Age of Accounts Payable	<u>360 days</u> Payables Turnover	It indicates the length of time during which payables remain unpaid.
Normal Operating Cycle	Average Age of Inventory + Average Age of Receivables	The time it takes a company to acquire inventory, sell that inventory, and receive cash from its customers in exchange for the inventory sold.
Cash Conversion Cycle	Average Age of Inventory + Average Age of Receivables + Average Age of Accounts Payable	The time (measured in days) it takes for a company to convert its investments in inventory and other resources into cash flows from sales.

PROFITABILITY

Return on Sales (Net Profit Margin)	<u>Income</u> Net Sales	Determines the portion of sales that went into company's earnings.
Return on Assets	<u>Income</u> Average Asset	Efficiency with which assets are used operate the business.
Return on Equity	<u>Income</u> Average Equity	Measures the amount earned on the owner's or stockholders' investment.
Earnings Per Shares	Net Income – Preferred <u>Dividends</u> Weighted Ave. Common Shares Outstanding	Measures the amount of net income earned by each common share.
Operating Profit Margin	<u>Operating Profit</u> Net Sales	Measures profit generated after

		consideration of operating costs.
Cash Flow Margin	$\frac{\text{Operating Cash Flow}}{\text{Net Sales}}$	Measures the ability of the firm to translate sales to cash.
Price-Earnings (PE) Ratio	$\frac{\text{Price Per Share}}{\text{Earnings Per Share}}$	It indicates the number of pesos required to buy P1 of earnings.
Dividend Yield	$\frac{\text{Dividend Per Share}}{\text{Price Per Share}}$	Measures the rate of return in the investor's common stock investments.
Dividend Pay-out Ratio	$\frac{\text{Dividend Per Share}}{\text{Earnings Per Share}}$	It indicates the proportion of earnings distributed as dividends.

SOLVENCY

Times Interest Earned	$\frac{\text{EBIT}}{\text{Interest Expense}}$	It determines the extent to which operations cover interest expense.
Debt-Equity Ratio	$\frac{\text{Total Liabilities}}{\text{Total Equity}}$	Proportion of assets provided by creditors compared to that provided by owners.
Debt Ratio	$\frac{\text{Total Liabilities}}{\text{Total Assets}}$	Proportion of total assets provided by creditors.
Equity Ratio	$\frac{\text{Total Equity}}{\text{Total Assets}}$	Proportion of total assets provided by owners.

-- END --



FINANCIAL STATEMENT ANALYSIS

THEORY

1. A company has a current ratio of 2 to 1. The ratio will decrease if the company
 - a. Receives a 5% stock dividend on one of its marketable securities
 - b. Sells merchandise for more than cost and records the sale using the perpetual inventory method
 - c. Pays a large account payable which had been a current liability
 - d. Borrow cash on a six-month note
2. When compared to a debt-to-assets ratio, a debt-to-equity ratio would
 - a. Be about the same as the debt-to-assets ratio
 - b. Be higher than the debt-to-assets ratio
 - c. Be lower than the debt-to-assets ratio
 - d. Have no relationship at all to the debt-to-assets ratio
3. A company issued long-term bonds and used the proceeds to repurchase 40% of the outstanding shares of its stock. This financial transaction will likely cause the
 - a. Total assets turnover ratio to increase
 - b. Times-interest-earned ratio to decrease
 - c. Current ratio to decrease
 - d. Fixed charge coverage ratio to increase
4. How are financial ratios used in decision making?
 - a. They can help identify the reasons for success and failure in business, but decision making requires information beyond the ratios
 - b. They remove the uncertainty of the business environment
 - c. They aren't useful because decision making is too complex
 - d. They give clear signals about the appropriate action to take
5. Which of these ratios are measures of a company's profitability?
 1. Earnings per share
 2. Current ratio
 3. Return on sales
 4. Debt-equity ratio
 5. Return on assets
 6. Inventory turnover
 7. Receivables turnover
 8. Price-earnings ratio
 - a. All eight ratios
 - b. 1, 3, 5, and 8 only
 - c. 1, 3, 5, 6, 7, and 8 only
 - d. 1, 3, and 5 only
6. Which one of the following is not a characteristic generally evaluated in analyzing financial statements?
 - a. Liquidity
 - b. Profitability
 - c. Marketability
 - d. Solvency
7. What type of ratios best measure the short-term ability of the enterprise to pay its maturing obligations and to meet unexpected needs for cash?
 - a. Leverage
 - b. Solvency
 - c. Profitability
 - d. Liquidity.
8. Long-term creditors are usually most interested in evaluating
 - a. Liquidity and solvency
 - b. Solvency and marketability
 - c. Liquidity and profitability
 - d. Profitability and solvency
9. Comparisons of financial data made within a company are called
 - a. Intracompany comparisons
 - b. Interior comparisons
 - c. Intercompany comparisons
 - d. Intramural comparisons
10. A technique for evaluating financial statements that expresses the relationship among selected items of financial statement data is
 - a. Common size analysis
 - b. Horizontal analysis
 - c. Ratio analysis
 - d. Vertical analysis
11. Which one of the following is not a tool in financial statement analysis?
 - a. Horizontal analysis
 - b. Circular analysis
 - c. Vertical analysis
 - d. Ratio analysis
12. Horizontal analysis is also called
 - a. Linear analysis
 - b. Vertical analysis
 - c. Trend analysis
 - d. Common size analysis
13. A useful tool in financial statement analysis is the common-size financial statement. What does this tool enable the financial analyst to do?
 - a. Evaluate financial statements of companies within a given industry of approximately the same value
 - b. Determine which companies in the same industry are at approximately the same stage of development



- c. Compare the mix of assets, liabilities, capital, revenue, and expenses within a company over time or between companies within a given industry without respect to relative size
 - d. Ascertain the relative potential of companies of similar size in different industries
14. Vertical analysis is also called
- a. Common size analysis
 - b. Horizontal analysis
 - c. Ratio analysis
 - d. Trend analysis
15. Vertical analysis is a technique which expresses each item within a financial statement
- a. In pesos and cents
 - b. In terms of a percentage of the item in the previous year
 - c. In terms of a percent of a base amount
 - d. Starting with the highest value down to the lowest value
16. Each of the following is a liquidity ratio except the
- a. Acid-test ratio
 - b. Current ratio
 - c. Debt to total assets ratio
 - d. Inventory turnover
17. The current ratio is
- a. Calculated by dividing current liabilities by current assets
 - b. Used to evaluate a company's liquidity and short-term debt paying ability
 - c. Used to evaluate a company's solvency and long-term debt paying ability
 - d. Calculated by subtracting current liabilities from current assets
18. The acid-test (quick) ratio
- a. Is used to quickly determine a company's solvency and long-term debt paying ability
 - b. Relates cash, short-term investments, and net receivables to current liabilities
 - c. Is calculated by taking one item from the income statement and one item from the balance sheet
 - d. Is the same as the current ratio except it is rounded to the nearest whole percent
19. The debt to total assets ratio measures
- a. The company's profitability
 - b. Whether interest can be paid on debt in the current year
 - c. The proportion of interest paid relative to dividends paid
 - d. The percentage of the total assets provided by creditors
20. A company has just converted a long-term note receivable into a short-term note receivable. The company's acid-test and current ratios are both greater than 1. This transaction will
- a. Increase the current ratio and decrease the acid-test ratio
 - b. Increase the current ratio and increase the acid-test ratio
 - c. Decrease the current ratio and increase the acid-test ratio
 - d. Decrease the current ratio and decrease the acid-test ratio
21. An investor has been given several financial ratios for an enterprise but none of the financial reports. Which combination of ratios can be used to derive return on equity?
- a. Market-to-book-value ratio and total-debt-to-total-assets ratio
 - b. Price-to-earnings ratio, earnings per share, and net profit margin
 - c. Price-to-earnings ratio and return-on-assets ratio
 - d. Net profit margin, total assets turnover, and equity multiplier
22. On December 31, a company collected a receivable due from a major customer. Which of the following ratios would be increased by this transaction?
- a. Inventory turnover ratio
 - b. Current ratio
 - c. Receivable turnover ratio
 - d. Quick ratio



PROBLEM

1. The balance sheet and income statement shown below are for AJ Company.

Balance Sheet (Millions of P)	
Assets	20X0
Cash and securities	P1,554.0
Accounts receivable	9,660.0
Inventories	13,440.0
Total current assets	P24,654.0
Net plant and equipment	17,346.0
Total assets	P42,000.0
Liabilities and Equity	
Accounts payable	P7,980.0
Notes payable	5,880.0
Accruals	4,620.0
Total current liabilities	P18,480.0
Long-term bonds	10,920.0
Total debt	P29,400.0
Common stock	3,360.0
Retained earnings	9,240.0
Total common equity	P12,600.0
Total liabilities and equity	P42,000.0

Income Statement (Millions of P)	
Net sales	P58,800.00
Operating costs except depreciation	P54,978.0
Depreciation	P1,029.0
Earnings before int and taxes (EBIT)	P2,793.0
Less interest	1,050.0
Earnings before taxes (EBT)	P1,743.0
Taxes	P610.1
Net income	P1,133.0
Other data:	
Shares outstanding (millions)	175.00
Common dividends	P509.83
Int rate on notes payable & bonds	6.25%
Income tax rate	35%
Year-end stock price	P77.69

Question 1: What is the firm's current ratio?

- a. 0.97

b. 1.08
- c. 1.20

d. 1.33

Question 2: What is the firm's quick ratio?

- a. 0.49

b. 0.61
- c. 0.73

d. 0.87

Question 3: What is the firm's days sales outstanding? Assume a 360-day year for this calculation.

- a. 48.17

b. 50.71
- c. 56.19

d. 59.14

Question 4: What is the firm's total assets turnover?

- a. 0.90

b. 1.12
- c. 1.40

d. 1.68

Question 5: What is the firm's inventory turnover ratio?

- a. 4.38

b. 4.59
- c. 4.82

d. 5.06



Question 6: What is the firm's times interest earned (TIE)?

- | | |
|---------|---------|
| a. 1.94 | c. 2.39 |
| b. 2.15 | d. 2.66 |

Question 7: What is the firm's EBITDA coverage?

- | | |
|---------|---------|
| a. 3.29 | c. 3.64 |
| b. 3.46 | d. 3.82 |

Question 8: What is the firm's debt ratio?

- | | |
|-----------|-----------|
| a. 45.93% | c. 56.70% |
| b. 51.03% | d. 70.00% |

Question 9: What is the firm's ROA?

- | | |
|----------|----------|
| a. 2.70% | c. 3.26% |
| b. 2.97% | d. 3.59% |

Question 10: What is the firm's ROE?

- | | |
|----------|----------|
| a. 8.54% | c. 9.44% |
| b. 8.99% | d. 9.91% |

Question 11: What is the firm's profit margin?

- | | |
|----------|----------|
| a. 1.40% | c. 1.73% |
| b. 1.56% | d. 1.93% |

Question 12: What is the firm's dividends per share?

- | | |
|----------|----------|
| a. P2.62 | c. P3.20 |
| b. P2.91 | d. P3.53 |

Question 13: What is the firm's cash flow per share?

- | | |
|-----------|-----------|
| a. P10.06 | c. P11.15 |
| b. P10.59 | d. P12.35 |

Question 14: What is the firm's EPS?

- | | |
|----------|----------|
| a. P5.84 | c. P6.47 |
| b. P6.15 | d. P6.80 |

Question 15: What is the firm's P/E ratio?

- | | |
|---------|---------|
| a. 12.0 | c. 13.2 |
| b. 12.6 | d. 13.9 |

Question 16: What is the firm's book value per share?

- | | |
|-----------|-----------|
| a. P61.73 | c. P68.40 |
| b. P64.98 | d. P72.00 |

Question 17: What is the firm's market-to-book ratio?

Question 18: What is the firm's equity multiplier?

- | | |
|---------|---------|
| a. 3.33 | c. 3.68 |
| b. 3.50 | d. 3.86 |



2. Veronica Corporation's most recent balance sheet and income statement appear below:

Statement of Financial Position			
December 31, Year 2 and Year 1			
(in thousands of pesos)			
	Assets	Year 2	Year 1
Current assets:			
Cash		P 140	P 130
Accounts receivable		160	140
Inventory		170	150
Prepaid expenses.....		90	90
Total current assets.....		560	510
Plant and equipment, net		840	900
Total assets.....		<u>P1,400</u>	<u>P1,410</u>
Liabilities and Stockholders' Equity			
Current liabilities:			
Accounts payable		P 150	P 150
Accrued liabilities		60	60
Notes payable, short term.....		60	60
Total current liabilities		270	270
Bonds payable		230	270
Total liabilities		<u>500</u>	<u>540</u>
Stockholders' equity:			
Preferred stock, P100 par value, 5%		200	200
Common stock, P1 par value		100	100
Additional paid-in capital—common stock.....		100	100
Retained earnings.....		500	470
Total stockholders' equity.....		<u>900</u>	<u>870</u>
Total liabilities & stockholders' equity		<u>P1,400</u>	<u>P1,410</u>

Income Statement	
For the Year Ended December 31, Year 2	
(in thousands of pesos)	
Sales (all on account)	P1,370
Cost of goods sold	<u>800</u>
Gross margin	570
Selling and administrative expense.....	<u>439</u>
Net operating income	131
Interest expense.....	<u>31</u>
Net income before taxes	100
Income taxes (30%).....	<u>30</u>
Net income.....	<u>P 70</u>

Dividends on common stock during Year 2 totaled P30 thousand. Dividends on preferred stock totaled P10 thousand. The market price of common stock at the end of Year 2 was P4.86 per share.

- Question 1: The gross margin percentage for Year 2 is closest to:
- a. 814.3%

b. 71.3%

c. 41.6%

d. 12.3%
- Question 2: The earnings per share of common stock for Year 2 is closest to:
- a. P0.60

b. P0.70

c. P1.00

d. P1.31
- Question 3: The price-earnings ratio for Year 2 is closest to:
- a. 8.10

b. 3.71

c. 6.94

d. 4.86
- Question 4: The dividend payout ratio for Year 2 is closest to:
- a. 66.7%

b. 50.0%

c. 833.3%

d. 42.9%



Question 5: The dividend yield ratio for Year 2 is closest to:

- | | |
|-----------|----------|
| a. 75.00% | c. 2.06% |
| b. 8.23% | d. 6.17% |

Question 6: The return on total assets for Year 2 is closest to:

- | | |
|----------|----------|
| a. 5.00% | c. 6.53% |
| b. 6.55% | d. 4.98% |

Question 7: The return on common stockholders' equity for Year 2 is closest to:

- | | |
|----------|-----------|
| a. 6.78% | c. 8.76% |
| b. 7.91% | d. 10.22% |

Question 8: The book value per share at the end of Year 2 is closest to:

- | | |
|-----------|------------|
| a. P 0.60 | c. P 9.00 |
| b. P 7.00 | d. P 14.00 |

Question 9: The working capital at the end of Year 2 is:

- | | |
|--------------|--------------|
| a. P 840,000 | c. P 290,000 |
| b. P 560,000 | d. P 900,000 |

Question 10: The current ratio at the end of Year 2 is closest to:

- | | |
|---------|---------|
| a. 0.36 | c. 0.89 |
| b. 0.40 | d. 2.07 |

Question 11: The acid-test ratio at the end of Year 2 is closest to:

- | | |
|---------|---------|
| a. 1.11 | c. 2.07 |
| b. 1.12 | d. 1.44 |

Question 12: The accounts receivable turnover for Year 2 is closest to:

- | | |
|---------|---------|
| a. 1.14 | c. 0.88 |
| b. 8.56 | d. 9.13 |

Question 13: The average collection period for Year 2 is closest to:

- | | |
|--------------|--------------|
| a. 1.1 days | c. 0.9 days |
| b. 42.6 days | d. 40.0 days |

Question 14: The average inventory for Year 2 is closest to:

- | | |
|---------|---------|
| a. 4.71 | c. 5.00 |
| b. 0.88 | d. 1.13 |

Question 15: The average sale period for Year 2 is closest to:

- | | |
|--------------|---------------|
| a. 45.3 days | c. 213.1 days |
| b. 77.5 days | d. 73.0 days |

Question 16: The times interest earned for Year 2 is closest to:

- | | |
|---------|---------|
| a. 4.23 | c. 2.26 |
| b. 6.04 | d. 3.23 |

Question 17: The debt-to-equity ratio at the end of Year 2 is closest to:

- | | |
|---------|---------|
| a. 0.71 | c. 0.56 |
| b. 0.26 | d. 0.32 |



3. Financial statements for Norbilyn Company appear below:

Norbilyn Company		
Statement of Financial Position		
December 31, Year 2 and Year 1		
(pesos in thousands)		
	Year 2	Year 1
Current assets:		
Cash and marketable securities	P 180	P 180
Accounts receivable, net	220	190
Inventory	170	180
Prepaid expenses	30	20
Total current assets.....	600	570
Noncurrent assets:		
Plant & equipment, net	1,830	1,820
Total assets	P2,430	P2,390
Current liabilities:		
Accounts payable	P 120	P 130
Accrued liabilities	90	60
Notes payable, short term	140	160
Total current liabilities	350	350
Noncurrent liabilities:		
Bonds payable	360	400
Total liabilities	710	750
Stockholders' equity:		
Preferred stock, P20 par, 10%	120	120
Common stock, P10 par	140	140
Additional paid-in capital—common stock.....	160	160
Retained earnings.....	1,300	1,220
Total stockholders' equity.....	1,720	1,640
Total liabilities & stockholders' equity.....	P2,430	P2,390

Norbilyn Company		
Income Statement		
For the Year Ended December 31, Year 2		
(pesos in thousands)		
Sales (all on account)	P2,060	
Cost of goods sold.....	1,440	
Gross margin.....	620	
Selling and administrative expense	240	
Net operating income	380	
Interest expense	40	
Net income before taxes	340	
Income taxes (30%).....	102	
Net income	P 238	

Dividends during Year 2 totaled P158 thousand, of which P12 thousand were preferred dividends. The market price of a share of common stock on December 31, Year 2 was P210.

Question 1: The earnings per share of common stock for Year 2 was closest to:

- a. P 16.14

b. P 24.29
- c. P 17.00

d. P 3.65

Question 2: The price-earnings ratio on December 31, Year 2 was closest to:

- a. 8.65

b. 13.01
- c. 57.61

d. 12.35

Question 3: The dividend payout ratio for Year 2 was closest to:

- a. 38.4%

b. 23.5%
- c. 66.4%

d. 64.6%

Question 4: The dividend yield ratio on December 31, Year 2 was closest to:

- a. 5.4%

b. 1.2%
- c. 5.0%

d. 4.6%



Question 5: The return on total assets for Year 2 was closest to:

- a. 11.0%

b. 8.7%
- c. 9.9%

d. 10.4%

Question 6: The return on common stockholders' equity for Year 2 was closest to:

- a. 14.5%

b. 15.3%
- c. 13.5%

d. 14.2%

Question 7: The book value per share at the end of Year 2 was closest to:

- a. P 21.43

b. P 114.29
- c. P 10.00

d. P 122.86

4. Katherine Inc. has the following income statement (in millions):

Katherine Inc.	
Income Statement	
For the Year Ended December 31, 20X0	
Net Sales	P180
Cost of Goods Sold	<u>120</u>
Gross Profit	60
Operating Expenses	<u>33</u>
Net Income	<u>P 27</u>

Question 1: Using vertical analysis, what percentage is assigned to Cost of Goods Sold?

- a. 67%

b. 33%
- c. 100%

d. None of the above

Question 2: Using vertical analysis, what percentage is assigned to Net Income?

- a. 100%

b. 85%
- c. 15%

d. None of the above



WORKING CAPITAL MANAGEMENT

Working Capital Management

- The administration and control of current assets and current liabilities with the goal of maximizing the value of the firm with appropriate balance between profitability and risk.

Working Capital Financing Policies

- Matching** – matching the maturity of a financing source with an asset's useful life.
 - Short-term assets are financed with short-term liabilities.
 - Long-term assets are funded by long-term financing sources.
- Conservative** – operations are conducted with too much working capital; involves financing almost all asset investments with long-term capital.
- Aggressive** – operations are conducted on a minimum amount of working capital; uses short-term liabilities to finance, not only temporary, but also part or all of the permanent current asset requirement.

CASH MANAGEMENT

Cash Management – maintenance of the appropriate level of cash and investment in marketable securities to meet the firm's cash requirements and to maximize income on idle funds.

Reasons for Holding Cash

- 1) **Transaction motive** - to facilitate normal transactions of the business.
- 2) **Precautionary motive** - to provide for buffer against contingencies.
- 3) **Speculative motive** - to avail of business and investment opportunities.
- 4) **Contractual motive** - by provisions of a contract (e.g. compensating balance in a bank).

Optimal Cash Balance: BAUMOL Model

$$\text{OPTIMAL CASH BALANCE (OCB)} = \sqrt{\frac{2 (\text{Annual Cash Requirement})(\text{Cost Per Transaction})}{\text{Opportunity Cost of Holding Cash}}}$$

Total cost of cash balance = holding costs + transaction costs

- **Holding Costs** = average cash balance* x opportunity cost
- **Transaction Costs** = number of transactions** x cost per transaction

Where:

*Average cash balance = OCB ÷ 2

**Number of transactions per year = annual cash requirement ÷ OCB

Float – the difference between the cash balance per bank and the cash balance per book as of a particular period, primarily due to outstanding checks and other similar reasons.

Types of Float:

- Positive Float:** Bank Balance > Book Balance
Example: Outstanding checks issued by the firm that have not cleared yet.
- Negative Float:** Book Balance > Bank Balance

Examples:

- 1) **Mail Float** – Payments mailed by customers but not yet received by the seller company.
- 2) **Processing Float** – Payments that have been received by the seller but not yet deposited.
- 3) **Clearing Float** – Checks that have been deposited but have not cleared yet.

Positive float should be maximized while negative float be minimized.

RECEIVABLE MANAGEMENT

Accounting Receivable Management – plans and policies related to sales on account and ensuring the maintenance of receivables at a predetermined level and their collectibility as planned.

Ways to Accelerate Collection of Receivables:

- ✓ Shorten credit terms.
- ✓ Offer special discounts to customers who pay their accounts within a specified period.
- ✓ Speed up the mailing time of payments from customers to the firm.
- ✓ Minimize float, that is, reduce the time during which payments received by the firm remain uncollected funds.

Analyzing Receivables:

- ✓ Ratio of receivables to net credit sales
- ✓ Receivable turnover
- ✓ Average collection period
- ✓ Aging of accounts

Factors considered in making Accounts Receivable Policies:

1) Credit Standard: the Five C's of Credit:

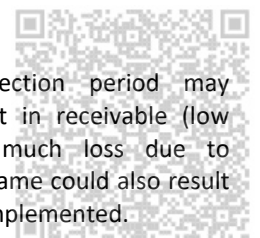
- ✓ **Character** – customers' willingness to pay.
- ✓ **Capacity** – customers' ability to generate cash flows.
- ✓ **Capital** – customers' financial sources.
- ✓ **Conditions** – current economic or business conditions.
- ✓ **Collateral** – customers' assets pledged to secure debt.

2) Credit Terms

This defines the credit period and discount offered for customer's prompt payment. The following costs associated with the credit terms must be considered: cash discounts, credit analysis and collections costs, bad debt losses and financing costs.

3) Collection Program

Shortening the average collection period may preclude too much investment in receivable (low opportunity costs) and too much loss due to delinquency and defaults. The same could also result to loss of customers if harshly implemented.



INVENTORY MANAGEMENT

Inventory Management – plans and policies to efficiently and satisfactorily meet production and merchandising requirements and minimize costs relative to inventories.

INVENTORY MODELS

A basic inventory model exists to assist in two inventory questions:

- 1) How many units should be ordered?
- 2) When should the units be ordered?

Economic Order Quantity – the quantity to be ordered, which minimizes the sum of the ordering and carrying costs.

- **Economic Order Quantity** may be computed as follows:

$$EOQ = \sqrt{\frac{2aD}{k}}$$

where:

- a = cost of placing one order (or ordering cost)
- D = Annual Demand in Units
- k = Annual cost of carrying one unit in inventory for one year

Assumptions of the EOQ Model:

- 1) Demand occurs at a constant rate throughout the year.
- 2) Lead time on the receipt of the orders is constant.
- 3) The entire quantity ordered is received at one time.
- 4) The unit costs of the items ordered are constant; thus, there can be no quantity discounts.
- 5) There are no limitations on the size of the inventory.

- The **average inventory** is computed as follows:

$$\text{Average Inventory} = \frac{EOQ}{2}$$

- **When to Reorder:**

When to reorder is stock-out problem, i.e., the objective is to order at a point in time so as not to run out of stock before receiving the inventory ordered but not so early that an excessive quantity or safety stock is maintained.

- o **Lead time** – period between the time the order is placed and received.
- o **Normal time usage** = Normal lead time x Average usage.
- o **Safety stock** = (Maximum lead time – Normal lead time) x Average usage
- o **Reorder point if there is no safety stock required** = Normal lead time usage
- o **Reorder point if there is safety stock required**

$$\begin{aligned} & \text{Safety stock} + \text{Normal lead time usage} \\ & \text{or} \\ & \text{Maximum lead time} \times \text{Average usage} \end{aligned}$$

SHORT-TERM FINANCING

1) Accounts Payable

- o **Credit terms:** credit period, cash discount, cash discount period
- o **Analysis of credit terms:**
 - **Taking the cash discount** – if cash discount is to be taken, a firm should pay on the last day of the discount period.
 - **Giving up cash discount** – if the firm has to give up the cash discount, it should pay on the last day of the credit period.
 - **Cost of giving up cash discount** = $[CD / (100\% - CD)] \times 360 / N$

where:

- CD = cash discount percentage
- N = number of days payment can be delayed by giving up the cash discount

2) Bank Loans

- o **Single-payment notes** – if the interest is payable upon maturity, the effective interest rate is equal to the nominal rate.
- o **Discounted Note** – the effective interest rate is higher than the nominal rate.

$$\text{Effective interest rate} = \frac{\text{Interest}}{\text{Principal amount} - \text{Discounted interest}}$$

If the term is less than a year, the interest rate is annualized.

- a. **Compensating Balance** – an arrangement whereby a borrower is required to maintain a certain percentage of amount borrowed as compensating balance in the current account of the borrower.

Cost of Bank Loans (Effective Annual Rate)

- o **Without Compensating Balance:**

$$\text{Cost} = \frac{\text{Discount Rate}}{100\% - \text{Discount Rate}} \times \frac{360 \text{ days}}{\text{Credit period} - \text{Discount Period}}$$

- o **With Compensating Balance (CB):**

$$\text{COST} = \frac{\text{Interest}}{\text{Face Value} - \text{CB}}$$

OR

$$\text{COST} = \frac{\text{Nominal \%}}{100\% - \text{CB\%}}$$

-- END --



WORKING CAPITAL MANAGEMENT

THEORY

1. Which of the following statements is most correct?
 - a. Working capital management involves both setting working capital policy and carrying out that policy in day-to-day operations
 - b. The aging schedule is the cycle in which a firm purchases inventory, sells goods on credit, and then collects accounts receivable
 - c. The best and most comprehensive picture of a firm's liquidity position is shown by its cash budget, which forecasts cash inflows and outflows
 - d. Statements a and c are correct
2. Which of the following statements is most correct?
 - a. The current ratio is calculated as net working capital divided by current liabilities
 - b. Gross working capital represents current assets used in operations
 - c. Net working capital is defined as current assets minus current liabilities
 - d. Statements b and c are correct
3. Which of the following actions are likely to reduce the length of a company's cash conversion cycle?
 - a. Adopting a new inventory system that reduces the inventory conversion period
 - b. Reducing the average days sales outstanding (DSO) on its accounts receivable
 - c. Reducing the amount of time the company takes to pay its suppliers
 - d. Statements a and b are correct
4. Other things held constant, which of the following would tend to reduce the cash conversion cycle?
 - a. Carry a constant amount of receivables as sales decline
 - b. Place larger orders for raw materials to take advantage of price breaks
 - c. Take all discounts that are offered
 - d. Continue to take all discounts that are offered and pay on the net date
5. An increase in sales resulting from an increased cash discount for prompt payment would be expected to cause
 - a. An increase in the operating cycle
 - b. An increase in the average collection period
 - c. A decrease in the cash conversion cycle
 - d. A decrease in purchase discounts taken
6. Which of the following actions would be likely to shorten the cash conversion cycle?
 - a. Adopt a new manufacturing process that speeds up the conversion of raw materials to finished goods from 20 days to 10 days
 - b. Change the credit terms offered to customers from 3/10 net 30 to 1/10 net 50
 - c. Begin to take discounts on inventory purchases; we buy on terms of 2/10 net 30
 - d. Adopt a new manufacturing process that saves some labor costs but slows down the conversion of raw materials to finished goods from 10 days to 20 days
7. The following are desirable in cash management except:
 - a. Cash is collected at the earliest time possible
 - b. Most sales are on cash basis and receivables are aged "current"
 - c. Post-dated checks are not deposited on time upon maturity
 - d. All sales are properly receipted and promptly deposited intact
8. A lockbox plan is
 - a. Used to protect cash, i.e., to keep it from being stolen
 - b. Used to identify inventory safety stocks
 - c. Used to slow down the collection of checks our firm writes
 - d. Used to speed up the collection of checks received
9. Which of the following actions would not be consistent with good management?
 - a. Increased synchronization of cash flows
 - b. Minimize the use of float
 - c. Maintaining an average cash balance equal to that required as a compensating balance or that which minimizes total cost
 - d. Use of checks and drafts in disbursing funds
10. A high turnover of accounts receivable, which implies a very short days-sales outstanding, could indicate that the firm
 - a. Has a relaxed (lenient) credit policy
 - b. Offers small discounts
 - c. Uses a lockbox system, synchronizes cash flows, and has short credit terms
 - d. Has an inefficient credit and collection department



11. Which of the following statements about current asset management is most correct?
 - a. A positive net float means that a company has more cash available for its use than the amount shown in the company's books
 - b. Use of a lockbox reduces the possibility that petty cash will be lost
 - c. Depreciation has an impact on the cash budget
 - d. Statements a and c are correct
12. When managing cash and short-term investments, a corporate treasurer is primarily concerned with
 - a. Maximizing rate of return
 - b. Minimizing taxes
 - c. Investing in Treasury bonds since they have no default risk
 - d. Liquidity and safety
13. Which of the following is not commonly regarded as being a credit policy variable?
 - a. Credit period
 - b. Collection policy
 - c. Cash discounts
 - d. All of the statements above are credit policy variables
14. A change in credit policy has caused an increase in sales, an increase in discounts taken, a reduction of the investment in accounts receivable, and a reduction in the number of doubtful accounts. Based on this information, we know that:
 - a. Net profit has increased
 - b. The average collection period has decreased
 - c. Gross profit has declined
 - d. The size of the discount offered has decreased
15. Accounts receivable turnover will normally decrease as a result of
 - a. The write-off of an uncollectible account (assume the use of the allowance for doubtful accounts method)
 - b. A significant sales volume decrease near the end of the accounting period
 - c. An increase in cash sales in proportion to credit sales
 - d. A change in credit policy to lengthen the period for cash discounts
16. The level of accounts receivable will most likely increase as
 - a. Cash sales increase and number of days sales
 - b. Credit limits are expanded, credit sales increase, and credit terms remain the same
 - c. Credit limits are expanded, cash sales increase, and aging of the receivables is improving
 - d. Cash sales increase, current receivables ratio to past due increases, credit limits remain the same
17. The Baumol Cash Management Model can be adapted in order for a firm to determine the optimal mix between cash and marketable securities. The model assumes all of the following except
 - a. The cost of a transaction is independent of the peso amount of the transaction and interest rates are constant over the short run
 - b. An opportunity cost is associated with holding cash, beginning with the first peso
 - c. The total demand for cash is known with certainty
 - d. Cash flow requirements are random
18. Inventory management requires the firm to balance the quantity of inventory on hand for operations with the investment in inventory. Two cost categories in inventory management are order costs and carrying costs. Which of the following is true?
 - a. The carrying costs include handling costs, interest on capital invested and obsolescence
 - b. The order costs include quantity discounts lost, handling costs, and setup costs for a production run
 - c. The carrying costs include purchasing costs, shipping costs, quantity discounts lost, and setup costs
 - d. The order costs include insurance costs, shipping costs, and obsolescence
19. The EOQ model is a deterministic model that calculates the ideal order quantity (or production lot) given specified periodic demand, the cost per order or production run, and the periodic carrying cost per unit. The EOQ model
 - a. Minimizes the sum of inventory carrying costs and either ordering or production setup costs
 - b. Minimize the sum of ordering costs and production setup costs
 - c. Minimizes the sum of carrying costs and handling costs
 - d. Minimizes the level of average inventory in units
20. Which of the following is not an element in the EOQ formula?
 - a. Yearly demand
 - b. Variable cost per order
 - c. Safety stock
 - d. Periodic carrying cost per unit
21. If a firm had been extending trade credit on a 2/10, net/30 basis, what change would be expected on the balance sheet of its customer if the firm went to a net cash 30 policy?
 - a. Increased payables and increased bank loan
 - b. Increased receivables
 - c. Decreased receivables
 - d. Decrease in cash



22. A company obtaining short-term financing with trade credit will pay a higher percentage financing cost, everything else being equal, when
- a. The discount percentage is lower
 - b. The items purchased have a higher price
 - c. The items purchased have a lower price
 - d. The supplier offers a longer discount period

PROBLEMS

1. Marie Company has the following data. What is the firm's cash conversion cycle?

Inventory conversion period	50 days
Average collection period	17 days
Payables deferral period	25 days

- a. 31 days
 - b. 34 days
 - c. 38 days
 - c. 42 days
 - d. 46 days
2. Your consulting firm was recently hired to improve the performance of Richaela Inc., which is highly profitable but has been experiencing cash shortages due to its high growth rate. As one part of your analysis, you want to determine the firm's cash conversion cycle. Using the following information and a 365-day year, what is the firm's present cash conversion cycle?

Average inventory	P75,000
Annual sales	P600,000
Annual cost of goods sold	P360,000
Average accounts receivable	P160,000
Average accounts payable	P25,000

- a. 120.6 days
 - b. 126.9 days
 - c. 133.6 days
 - d. 148.0 days
3. Joefil Corporation uses the Baumol Cash Management Model to determine its optimal cash balance. For the coming year, the expected cash disbursements total P432,000. The interest rate on marketable securities is 5% per annum. The fixed cost of selling marketable securities is P8 per transaction.

Question 1: Using the Baumol Cash Management Model, the company's optimal cash balance is

- a. P 11,757.55
- b. P 5,878.78
- c. P 142,000.00
- d. P 1,175.76

Question 2: Using the Baumol Cash Management Mode, the average cash balance is

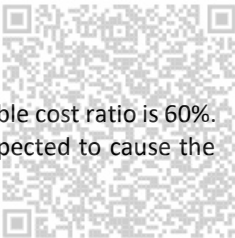
- a. P 11,757.55
- b. P 5,878.78
- c. P 142,000.00
- d. P 1,175.76

4. Hannah Inc. sells to customers all over the Philippines and all receipts come in to its headquarters in Manila. The firm's average accounts receivable balance is P2.5 million, and they are financed by a bank loan at an 11% annual interest rate. The firm is considering setting up a regional lockbox system to speed up collections, and it believes this would reduce receivables by 20%. If the annual cost of the system is P15,000, what pre-tax net annual savings would be realized?

- a. P 29,160
- b. P 32,400
- c. P 36,000
- d. P 40,000

5. Angela Company's average monthly cash receipts is P1,500,000. Its average collection period is ten (10) days. A collection agency has offered to be the company's collector and shorten collection period to four (4) days for a monthly fee of P1,500. The company can invest its excess funds in money market placement at a rate of 8%. If the collection agency's offer is accepted, the net annual benefit (loss) is
- a. P 6,000
 - b. (P 6,000)
 - c. P 270,000
 - d. P 500

6. Dwight Corporation's average daily sales is P6,400,000, 10% of which is cash sales. The variable cost ratio is 60%. Starting next year, it will relax its credit standards. The relaxation in credit standards is expected to cause the following changes:
- Total credit sales will increase by 20%
 - The collection period for incremental sales is 60 days.



The variable cost ratio, even for the incremental sales, will be the same as in the past. The cost of borrowing is estimated at 25% per year. The company uses 360 days in a year in all its computations.

What is the expected benefit (loss) from planned relaxation in credit policy?

- a. P 1,152,000
- b. P 460,000
- c. (P 27,520)
- d. P 432,000

7. Marela Corporation is considering relaxing its credit standards to encourage more sales. As a result, sales are expected to increase 15 percent from 300 canoes per year to 345 canoes per year. The average collection period is expected to increase to 40 days from 30 days and bad debts are expected to double the current 1 percent level. The price per canoe is P850, the variable cost per canoe is P650 and the average cost per unit at the 300-unit level is P700. The firm's required return on investment is 20 percent.

Question 1: What is the additional profit contribution from sales under the proposed relaxation of credit standards?

- a. P 2,250
- b. P 6,750
- c. P 9,000
- d. P 69,000

Question 2: What is the cost of marginal investments in accounts receivable under the proposed plan?

- a. P 1,817
- b. P 1,867
- c. P 1,733
- d. P 1,617

Question 3: What is the cost of marginal bad debts under the proposed plan?

- a. P 383
- b. P 765
- c. P 3,315
- d. P 5,100

Question 4: What is the net result of implementing the proposed plan?

- a. P 3,952
- b. (P 3,868)
- c. P 2,083
- d. (P 2,083)

8. Leny Corporation sells cellphone cases which it buys from a local manufacturer. It sells 24,000 cases evenly throughout the year. The cost of carrying one unit in inventory for one year is P11.52 and the order cost per order is P38.40.

Question 1: What is the economic order quantity?

- a. 400
- b. 283
- c. 200
- d. 625

Question 2: If it would buy in economic order quantities, the total order costs is

- a. P 921,600
- b. P 2,304
- c. P 76,800
- d. P 460,800

Question 3: If it would buy in economic order quantities, the total inventory carrying costs per year is

- a. P 276,480
- b. P 2,304
- c. P 23,040
- d. P 138,240

9. The following information is available for Kaye Corporation's Material X

Annual usage	12,600 units
Working days per year	360 days
Normal lead time	20 days

The units of Material X are required evenly throughout the year.

Question 1: What is the reorder point?

- a. 35 units
- b. 20th day
- c. 700 units
- d. 630 units

Question 2: Assuming that occasionally, the company experiences delay in the delivery of Material X, such that the lead time reaches a maximum of 30 days, how many units of safety stock should the company maintain and what is the reorder point?



QUANTITATIVE ANALYSIS

- 1) **Quantitative Analysis** refer to the application at mathematics in actual business operations. It is also known as quantitative methods.
- 2) Typical **Quantitative methods** applications:
 - ✓ Corporate planning models
 - ✓ Forecasting mechanism
 - ✓ Productivity and efficiency measure
 - ✓ Inventory planning and control
 - ✓ Resource allocation

NETWORK MODELS

- 1) **Network Models**
 - o Involves project scheduling techniques that are designed to aid the planning and control of large-scale projects that have many interrelated activities.
 - o These models aid management in predicting and controlling costs that pertain to certain projects or business activities.
- 2) **Use of Network Models**
 - ✓ Planning
 - ✓ Measuring progress to schedule
 - ✓ Evaluating changes to schedule
 - ✓ Forecasting future progress
 - ✓ Practicing and controlling costs

Common Project Scheduling Techniques:

- 1) Gantt or Bar Chart
- 2) Program Evaluation and Review Technique (PERT)
- 3) Critical Path Method (CPM)

- 1) **Gantt Charts**
 - o This is a graphical illustration of a scheduling technique in the form of a horizontal bar chart. The project is divided into different sub-projects called activities or tasks (also call 'milestones').
 - o The starting and completion time of activity is estimated and a bar chart prepared showing each activity as a horizontal bar along a time scale.

- 2) **Program Evaluation and Review Technique (PERT) – Critical Path Method (CPM)**

PERT – is developed to aid managers in controlling large-scale, complex problems.

Terminologies:

- o **Pert Diagram** – is a probabilistic diagram of the interrelationship of a complex series of activities; it is a free-form network showing each activity as line between events.
- o **Events** – discrete moment in time representing the start or finish of an activity; they consume no resources.
- o **Activities** – tasks to be accomplished; they consume resources (including time).
 - a. **Series** – an activity that cannot be done unless another activity is undertaken first.
 - b. **Parallel** – an activity that can be performed simultaneously with another activity.

- 3) **Critical Path Method (CPM)**, like PERT, is a network technique, however, CPM uses deterministic time and cost estimates, among its advantages include cost estimates plus the concept of crash efforts and costs.

Terminologies:

- o **Critical Path** – is longest path through the PERT network.
- o **Expected Time** – is the average time an activity would require if it were repeated several times.

Slack Time - amount of time that can be added to an activity without increasing the total time required on the critical path; the length of time an activity can be delayed without forcing a delay for the entire project.

Crash Time - amount of time to complete an activity assuming that, under rush or urgent condition, all available resources were devoted to the task (e.g., overtime, extra labor, etc.); any crash time spend in an activity normally would incur crash cost.

PROBABILITY ANALYSIS

- 1) **Probability Analysis** – is important to decision-making because of the unpredictability of future events.
- 2) **Decision-making** involves:
 - Risk** – this occurs when the probability distribution of the possible future state of nature is known.
 - Uncertainty** – this occurs when the probability distribution of possible future state of nature is not known and must be subjectively determined.

The **probability of an event** varies from 0 to 1 (0% to 100%). 100% or probability of 1.0 means that event is certain to occur while zero probability means the event cannot occur under any circumstances.

The Concept of Expected Value

- The **expected value** of an action is found by multiplying the probability of each outcome by its pay-off and summing up the products.
- A **decision tree diagram** is normally devised to show several possible decisions or acts and the possible consequences (outcome or events) of each act.

Terminologies:

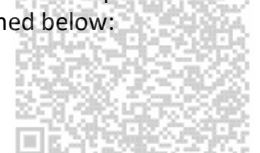
Objective probabilities – calculated from either logic or actual experience.

Subjective probabilities – estimates, based on judgements of the likelihood of future events.

- ✓ Two events are said to be mutually exclusive if they cannot occur simultaneously.
- ✓ Two events are said to be independent if occurrence of one has no effect on probability of another.
- ✓ The joint probability of two events is the probability that both will occur.
- ✓ The conditional probability of two events is the probability that one will occur given that the other has already occurred.

LEARNING CURVE

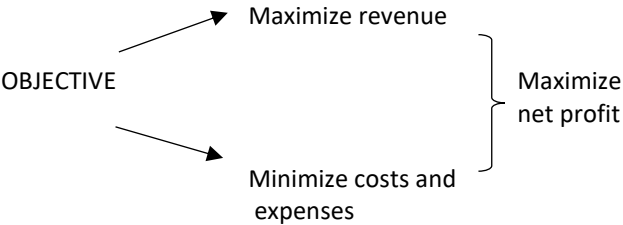
Learning Curve describes the efficiencies arising from experience, because with experience comes increased productivity. This productivity increases with production size, but at a decreasing rate as diagrammed below:



- Important Notes in Learning Curves Analysis:
- o The **cumulative average time per unit** is reduced by a certain percentage each time production doubles.
 - o **Incremental unit time** (time to produce the last unit) is reduced when production doubles.

LINEAR PROGRAMMING

Linear Programming is a mathematical technique that helps managers to determine the volume of various products to produce when resources are limited or scarce in order to maximize net income. It is a technique used to optimize an objective function (maximize revenue of profit function, or minimize a cost function), subject to constraints (such as scarce resources, minimum/maximum levels of production, performance, etc.).



- **Limited resources** must be allocated to the company's most profitable products so that net income is maximized.
- **Linear programming models** are extremely helpful in the analysis and solution of resource allocation problems.
- **Simplex method** is a much detailed linear programming technique especially useful if there are more than two variables in a linear programming problem.

-- END --



QUANTITATIVE ANALYSIS

THEORY

1. Various tools are employed to control large scale projects. They include all of the following except
 - a. Critical Path Method (CPM)
 - b. Gantt charts
 - c. Program Evaluation Review Technique (PERT)
 - d. Statistical process control
2. A quantitative technique used for selecting the combination of resources that maximize profits or minimize costs is
 - a. Curvilinear analysis
 - b. Dynamic programming
 - c. Linear programming
 - d. Queuing theory
3. Linear programming is an operations research technique that allocates resources. Mathematical expressions are used to describe the problem. The measure of effectiveness that is to be maximized or minimized is the
 - a. Constraints
 - b. Set of decision variables
 - c. Objective function
 - d. Derivative of the function
4. The constraints in a linear programming model are
 - a. Included in the objective function
 - b. Costs
 - c. Scarce resources
 - d. Dependent variables
5. Given the basic equations for maximization of profits in linear programming model, what quantitative techniques would generally be employed to arrive at an optimal solution?
 - a. Markov analysis
 - b. Regression analysis
 - c. Monte Carlo analysis
 - d. Simplex method analysis
6. To facilitate planning and budgeting, management of a travel service company wants to develop forecasts of monthly sales for the next 24 months. Based on past data, management has observed an upward trend in the level of sales. There are also seasonal variations with high sales in June, July and August, and low sales in January, February and March. An appropriate technique for forecasting the company's sales is
 - a. Time series analysis
 - b. Queuing theory
 - c. Linear programming
 - d. Sensitivity Analysis
7. What are the four components of a time series?
 - a. Trend, cyclical, seasonal and irregular
 - b. Alpha, cyclical, seasonal and irregular
 - c. Alpha, cyclical, seasonal and repetitive
 - d. Trend, cyclical, seasonal and repetitive
8. The modelling technique to be used for situations involving a sequence of events with several possible outcomes associated with each event is
 - a. Queuing theory
 - b. Dynamic programming
 - c. The critical path method
 - d. Decision tree analysis
9. Which of the following statements does not apply to decision tree analysis?
 - a. The sum of the probabilities of the events is less than one
 - b. All of the events are mutually exclusive
 - c. All of the events are included in the decision
 - d. The branches emanate from a node from left to right
10. A quantitative technique useful in projecting a firm's sales and profits is
 - a. Probability distribution theory
 - b. Gantt chart
 - c. Learning curves
 - d. Queuing theory
11. A company is preparing its 20X1 budget and, taking into consideration the recent pace of economic recovery, has developed several sales forecasts and the estimated probability associated with each sale forecast. To determine the sales forecast to be used for 20X1 budgeting purposes, which one of the following techniques should the company use?
 - a. Expected value analysis
 - b. Continuous probability simulation
 - c. Monte Carlo simulation
 - d. Sensitivity analysis
12. The expected value of perfect information is the
 - a. Same as the expected profit under certainty
 - b. Sum of the conditional profit (loss) for the best event of each act times the probability of each events occurring
 - c. Difference between the expected profit under certainty and the expected opportunity loss
 - d. Difference between the expected profit under certainty and the expected monetary value of the best act under uncertainty
13. In evaluating projects, a popular approach to recognize uncertainty about individual items and to obtain an immediate financial estimate of the consequences of possible predicting errors is
 - a. Exponential analysis
 - b. Learning curve analysis

- b. Sensitivity analysis

d. Expected value analysis
14. A bank is designing an on-the-job training program for its branch managers. The bank would like to design the program so that participants can complete it as quickly as possible. The training program requires that certain activities be completed before others. For example, a participant cannot make credit loan decisions without first having obtained experience in the loan department. An appropriate scheduling technique for this training program is

a. PERT-CPM

c. Queuing theory

b. Linear programming

d. Sensitivity analysis
15. When using the PERT method for network analysis, the critical path through the network is

a. The least cost path

c. The path with the most slack

b. The longest path through the network

d. The shortest path through the network
16. In the PERT, slack is the

a. Uncertainty associated with time estimates

b. Path that has the largest amount of time associated with it

c. Excess time available in the completion of the project after crashing the critical path

d. Number of days an activity can be delayed without forcing a delay for the entire project
17. The process of adding resources to shorten selected activity times on the critical path in project scheduling is called

a. A branch-and-bound solution

c. Material-requirements planning

b. Crashing

d. The Delphi technique
18. The calculation of reasonable probabilities about the future, based on the analysis of all the latest relevant information by tested and logically sound statistical and economic techniques, and applied in terms of an executive's personal judgement and knowledge of his business is

a. Budgeting

c. Planning and control

b. Business forecasting

d. Project feasibility studies
19. The moving-average method of forecasting

a. Is a cross-sectional forecasting method

b. Regresses the variable of interest on a related variable to develop a forecast

c. Derives final forecast by adjusting the initial forecast based on the smoothing constant

d. Includes each new observation in the average as it becomes available and discards the oldest observation
20. Which formula describes the learning curve?

a. $y = ax^b$

c. $y = ax^{-b}$

b. $y = a^bx$

d. $x = ay^b$

PROBLEMS

21. A company has two products, Product X and Product Y, that it manufactures through its production facilities. The contribution margin for Product X is P15 per unit, whereas Product Y's contribution is P25. Each product uses Materials A and B. Product X uses 3 pounds of Material A and Product Y uses 6 pounds. Product X require 6 feet of Material B and Product Y uses 4 feet. The company can only purchase 600 pounds of Material A and 880 feet of Material B. The optimal mix of products to manufacture is

Product X

Product Y

a. 146 units

0 units

b. 0 units

100 units

Product X

Product Y

c. 120 units

40 units

d. 40 units

120 units
22. In the two following constraint equations, X and Y represent two products (in units) produced by the Harris Products Corporation.

Constraint 1: $3X + 5Y \leq 4,200$

Constraint 2: $5X + 2Y \geq 3,000$

Question 1: What is the maximum number of units of Product X that can be produced?

a. 4,200

c. 600

b. 3,000

d. 1,400

Question 2: What is the feasible range for the production of Y?

a. 840 to 1,500 units

c. 0 to 631 units

b. 0 to 840 units

d. 0 to 1500 units

Question 3: A solution of X = 500 and Y = 600 would violate

a. Constraint 1

c. Both constraints

b. Constraint 2

d. Neither constraint
-
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- Page | 89

23. Andrea Company has available production capacity of 180,000 hours. This can be used to produce 3 products in any combination. Total fixed cost is P180,000, other facts are:

	PRODUCTS		
	<u>X</u>	<u>Y</u>	<u>Z</u>
Selling price	P 8	P 23	P 5
Variable cost	7	12	2
No. of hours per unit	1 hr.	10 hrs.	2 hrs.
Market limits		5,000	50,000

Question 1: The best possible combination of product is:

	A	B	C	D
Product X	4,000	30,000	30,000	80,000
Product Y	4,000	3,000	5,000	0
Product Z	50,000	50,000	50,000	50,000

Question 2: The net profit associated with the best combination of products is:

- a. P33,000

b. P50,000
- c. P54,000

d. P55,000

Question 1: The expected payoff for selling coffee is

- a. P1,360

b. P2,200
- c. P3,900

d. P1,960

a. P3,900

b. P2,200

c. P1,960

d. P1,950

a. P600

b. P300

c. P1,000

d. P800

25. The following information applies to a project:

<u>Activity</u>	<u>Time</u> <u>(days)</u>	<u>Immediate</u> <u>Predecessor</u>	<u>Activity</u>	<u>Time</u> <u>(days)</u>	<u>Immediate</u> <u>Predecessor</u>
A	5	None	D	2	B
B	3	None	E	6	C, D
C	4	A			

The earliest completion time for the project is

- a. 11 days

b. 14 days
- c. 15 days

d. 20 days

Activities	<u>Cost to Crash</u>	<u>Cost to Crash</u>
	1 week	2 weeks
BC	P8,000	P15,000
DE	10,000	19,600
EF	8,800	19,500

The company desires to reduce the normal completion time of Job 101 and, at the same time, report the highest possible income for the year. The company should crash

- a. Activity BC 1 week and activity EF 1 week

b. Activity DE 1 week and activity BC 1 week
- c. Activity EF 2 weeks

d. Activity DE 1 week and activity EF 1 week

a. 32.77

b. 40.96

c. 51.2

d. 64



ECONOMICS

Fundamental Concepts of Economics

- The fundamental economic problem is **scarcity**; the fact that human wants cannot be fully satisfied with available resources reflects the definition of scarcity.
- Because the available resources are never enough to satisfy human wants, choices are necessary.
- **Economics** is the science of choice; it is the social science that studies the choices people, businesses, governments, and societies make as they cope with scarcity.
- All societies, regardless of their political or economic system, are subject to scarcity; consequently, economics is useful for understanding human behavior in all nations.

Divisions of Economics

- The traditional domain of economics is divided between Microeconomics, the economics of individual action, and Macroeconomics, the economics of the entire nation.
- **Microeconomics** is the study of choices that individuals and businesses make, the way these choices interact, and the influences that governments exert on these choices.
- **Macroeconomics** is the study of the effects on the national economy and the global economy of the choices that individuals, businesses, and government make.
- Both micro and macroeconomics analysis examine the factors that influence people’s decisions, but macroeconomics requires additional step of “adding up” the effects of individual behavior to see what happens on a larger scale as a result of the decisions of many individuals.

MICROECONOMICS

Demand

- **Demand** is the relationship between the price of a good and the quantity demanded. It is also defined as the schedule of quantities of a good that people are willing to buy at different prices.
- The **quantity demanded of a good** is the amount that consumers plan to buy during a period at a particular price.
- The **Law of Demand** states that ‘ceteris paribus, the higher the price of a good, the smaller the quantity demanded’. Higher price decreases the quantity demanded for two reasons:
 - 1) **Substitution Effect** – a higher relative price raises opportunity cost of buying a good, as a result, people buy less of the goods as there could be other available goods with a lower price.
 - 2) **Income Effect** – a higher relative price reduces the amount of goods people can afford to buy.

The factors that affect the demand for a product are the following:

FACTOR	EFFECT on DEMAND
--------	------------------

Price of Substitute goods*	Direct. Example: if the price of pork increases, the demand for beef may increase.
Price of Complementary goods**	Inverse. Example: if the price of gasoline increases, the demand for cars tends to decrease.
Expected future prices	Direct. If the price of the goods is expected to increase in the future, there will be an increase in demand.
Consumer wealth/income	Direct for Nominal goods. As consumer income goes up, the demand for many products (normal goods) increases.
Consumer wealth/income	Inverse for Inferior goods. Demand for inferior goods (e.g., instant noodle, sardines) increases as consumer income decreases since consumers buy more inferior goods when they are short of money.
Population growth	Direct. An increase in population increases number of potential buyers.
Size of market	Direct. As market size expands, demand for the product also increases.
Consumer tastes/preferences	Indeterminate. The effect depends on whether the shift in taste or preference is favorable or unfavorable to the demand for the product.

***Substituted goods** are goods that can be used in place of another because they could perform the same function: butter and margarine; pens and pencils.
****Complementary products** are products that go hand in hand: whiteboard and whiteboard markers; CPU and monitors.

Elasticity of Demand (E_D), which measures the sensitivity of demand to changes in price, is computed as follows:

$$E_D = \frac{\frac{\Delta \text{ in Quantity Demanded}}{\text{Average Quantity}}}{\frac{\Delta \text{ in Price}}{\text{Average Price}}}$$

- ✓ If **E_D > 1**, demand is said to be elastic (sensitive to price changes)
- ✓ If **E_D = 1**, demand is said to be unit-elastic/unitary (insensitive to price changes)
- ✓ If **E_D < 1**, demand is said to be inelastic (not that sensitive to price changes)
- The elasticity of demand is **greater** for a product when there are more substitutes for the good, a larger proportion of income is spent on the good, and a longer period of time is considered. For example, the demand for luxury goods tends to be more elastic than the demand for necessities.
- An individual demands a particular good because of the utility (satisfaction) received from consuming it. The more goods an individual consumes, the more utility the individual receives. However, the marginal (additional) utility from consuming each additional unit decreases. This is referred to as the **Law of Diminishing Marginal Utility**.

- Consumption decisions depend on many factors but the main one is personal disposable income. **Personal disposable income** is the amount of income consumers have after paying taxes to the government. When personal disposable income goes up, consumers buy more.
- The consumer’s **Marginal Propensity to Consume (MPC)** describes how much of each additional peso in personal disposable income that the consumer will spend. The **Marginal Propensity to Save (MPS)** is the percentage of additional income that is saved. Since consumers can either spend or save money, then **MPC + MPS = 100%**.

Supply

- **Supply** is the relationship between the price of a good and the quantity supplied. It is also defined as the schedule of quantities of a good that people are willing to sell at different prices.
- The **quantity supplied** is the amount of a good that producers plan to sell at particular price during a given time period.
- The **Law of Supply** states that “ceteris paribus, the higher the price of a good, the greater is the quantity supplied.”
- A **supply curve** shows the positive relationship between the quantity supplied and price, ceteris paribus. Supply curves are positively sloped.

The factors that affect the supply for a product are the following:

FACTOR	EFFECT ON SUPPLY
Production costs	Inverse. As production costs go up, fewer products will be supplied at a given price. If costs go down, more products will be produced.
Number of producers	Direct. An increase in the number of producers will cause an increase in the amount of goods supplied at a certain level of price.
Price of substitute goods	Inverse. If other products can be produced with greater returns, producers will produce those goods.
Price of complementary goods	Direct. A rise in the price of a complement in production increases supply and shifts the supply curve rightward.
Expected future prices	Direct. If it is expected that prices will be higher for the good in the future, production of the good will increase.
Technology	Direct. Technological advancement increases supply and thus shifts the supply curve rightward.
Government subsidies	Direct. Subsidies reduce the production cost of goods and, therefore, increase the goods supplied at a given price.
Government tax and tariffs	Inverse. Increase in taxes would raise production costs, thereby decreasing supply.

Elasticity of Supply (Es), which measures the percentage change in quantity supplied of a product resulting from a change in product price, is computed as follows:

$$E_s = \frac{\Delta \% \text{ in Quantity Supplied}}{\Delta \% \text{ in Price}}$$

- ✓ If $E_s > 1$, supply is said to be elastic (sensitive to price changes)
- ✓ If $E_s = 1$, supply is said to be unit-elastic/unitary (insensitive to price changes)
- ✓ If $E_s < 1$, supply is said to be inelastic (not that sensitive to price changes)

Elastic supply means that a percentage increase in price will create a larger percentage increase in supply.

EQUILIBRIUM

- **Equilibrium** is a state wherein the demand and supply are in balance.
- **Below the equilibrium price**, a shortage exists (i.e., quantity demanded exceeds quantity supplied) and the price will rise; above the equilibrium price, a Surplus exists (i.e., quantity supplied exceeds quantity demanded) and the price will fall.
- **Equilibrium** is a market clearing situation where neither surpluses nor shortage exist.
- A **price ceiling** is a maximum price that seller may charge for a good while a price floor is a minimum price. If set below equilibrium price, a price ceiling results in shortages; if set above equilibrium price, a price floor results in surpluses.
- **Government intervention** may change market equilibrium through taxes and subsidies:
 - A subsidy paid to farmers will reduce cost of producing farm goods; equilibrium price will be lower.
 - Import taxes increase cost of imported products causing the equilibrium price to be higher.
- Another factor that causes inefficiencies in the pricing of goods in the market is the existence of **externalities** – damage to environment caused by production (e.g., pollution).



MARKET

- A **market** is any institution, mechanism, or situation which brings together the buyers and sellers of a particular product. It is a place where sellers and buyers meet (e.g., grocery, internet).
- The four basic **Market models** are:

Market	Number of Producers	Type of Product	Control over Price	Condition of Entry
Pure Competition	Large	Virtually Identical	None	Very Easy
Monopolistic Competition	Many	Differentiated	Limited	Easy
Oligopoly	Few	Standardized/ Differentiated	Limited or Wide	Hard
Pure Monopoly	One	Unique	Wide	Blocked

- **Competition** denotes rivalry between among producers, each of which seeks to deliver, a better deal to buyers when quality, price and product information are all considered.
- In **pure competition**, the firm’s demand curve is perfectly elastic (horizontal). The firm can sell many goods it can produce at the equilibrium price (i.e., very low sales at a higher price).
- In **monopolistic competition**, consumers go for a certain product based on differentiation.
- In **pure monopoly**, the firm has no or very little market incentive to innovate or control costs; hence, pure monopolies are usually subject to government regulation.
- **Oligopoly** is a competition among few; if left unregulated, oligopolists tend to establish cartel that engage in price fixing through collusion.
- A **monopsony** is a market where only one buyer exists for all sellers.
- A **black market** is an illegal market wherein people conduct transactions at price (usually high) forbidden by the government.

Production and Cost

- The costs of production change as the firm output changes, in the short run and in the long run.
- In the **short run**, at least one input is fixed (e.g., plant depreciation). Some costs are fixed and some are variable.
- In the **long run**, all inputs are variable. All costs are variable. (e.g., additional plant can be built).
- **Total product** is the total quantity of the output produced in a given period.
- **Marginal product** is the change made in total product from a change in a variable input (e.g., labor). In

economics, the term “marginal” is often used to mean “additional”.

- **Average product** is the total product per unit of input (e.g., labor). It is total product divided by the quantity of labor employed. Another term for average product is productivity.
- **Increasing marginal returns** occur when the marginal product of an additional worker exceeds the marginal product of the previous worker. In most productions, increasing marginal returns occurs initially but decreasing marginal returns will occur eventually.
- **Economies of Scale** arise because of labor and management specialization, efficient capital, and factors such as spreading advertising cost over an increasing level of output.

MACROECONOMICS

Gross Domestic Product

- **Gross Domestic Product (GDP)** is the market value of all the final goods and services produced within a country, whether these are produced by the citizens of that country or by foreigners.
- A **Final Good** is an item that is bought by its final user while an intermediate good is an item produced by one firm, bought by another and used as a component of the final good intermediate goods are not directly included in measuring GDP.
- **Two principal methods of calculating GDP:**
 - **Expenditure Approach** – adds up all expenditures to purchase final goods and services by household (consumers), business and the government.

$GDP = C + I + G + X$

Where:

C = Consumption expenditures (total household spending on consumption of goods and services).

I = Investment (firm’s purchase of plants, equipment, buildings, and addition to inventories).

G = Government purchases (government spending on goods and services).

X = Net exports (exports minus imports = ‘foreign’ sales – ‘foreign’ purchases).

- **Income Approach** – adds the compensation of employees, not interest, rental income, corporate profits and proprietors’ income.
- **GDP** is measured either in current prices (nominal GDP) or in prices of a given year (real GDP).

- ✓ **Nominal GDP** – the value of final goods and services produced by a domestic economy for a year at current market prices.
- ✓ **Real GDP** – the value of final goods and services produced in a given year when valued at

constant prices. Price level adjustment eliminates the effect of inflation on the measure.

- When all the economy's resources are fully employed, the value of production is called Potential GDP.
- **Economic Growth** is an increase in real GDP while recession is a period of negative GDP growth.

Gross National Product

- **Gross National Product (GNP)** is the total and final output of land, labor, capital, and entrepreneurial ability produced by the country's citizens, produced whether inside the country or elsewhere abroad.

Inflation

- **Inflation** exists when there is a sustained increase in the price level. The price level is the average level of prices.

Primary causes of inflation:

- **Demand-Pull Inflation** – happens when there is excess or too much demand for certain goods and services that are not met by a corresponding increase in the supply of those goods and services (i.e., excess demand propels prices to go up, which results to inflation).
- **Cost-Push Inflation** – happens when there is a general increase in the cost of production that may be due to higher wages (wage-push theory) or increase in the cost of raw materials and other inputs (supply-shock theory).

Inflation and Unemployment

There is an **inverse** relationship between inflation and unemployment:

- ✓ When unemployment rate is low, inflation tends to increase.
- ✓ When unemployment rate is high, inflation tends to decrease.

The **Philips Curve** shows a relationship between the inflation rate and the unemployment rate.

People are unemployed because of frictional, structural or cyclical causes:

- **Frictional Unemployment** – occurs because individuals are forced or voluntarily change jobs; new entrants into the workforce also fall into this category.
 - **Structural Unemployment** – occurs due to changes in demand for products, or technological advances causing not as many individuals with a particular skill to be needed; this can be reduced by retraining programs.
 - **Cyclical Unemployment** – occurs as a result of the business cycle; cyclical unemployment increases during recession and decreases during expansion.
- **Full employment** occurs when there is no cyclical unemployment.

Fiscal Policy vis-à-vis Monetary Policy

- A country uses fiscal and monetary policies to effectively counter inflation or inflationary tendencies.

- **Fiscal Policy** is a government actions, such as taxes, subsidies, and government spending, designed to achieve economic goals. Examples are:

- A **reduction of taxes** increases personal disposable income, which will stimulate economic activity.
- Economy may also be stimulated through increased government spending.
 - An increase in deficit either due to an increase in government spending or to a decrease in taxes, is called a Fiscal Expansion.
 - An increase in taxes to reduce a deficit is called Fiscal Contraction.

- If a government collects more in taxes than it spends, it has a budget surplus; if a government spends more than it collects in taxes, it has a budget deficit.

- **Money** is a liquid asset because it exchanges easily for other assets:

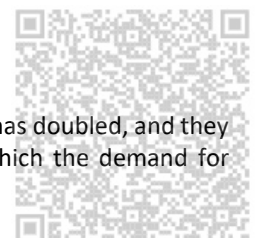
- ✓ **M1** – the most liquid (e.g., currency demand deposits, current accounts and traveler's checks).
- ✓ **M2** – M1 money plus savings account, certificates of deposits, money market mutual funds, money market deposit accounts, small-denomination time deposits.
- ✓ **M3** – M2 money plus other less liquid form of money (e.g., large denomination time deposits).

-- END --



Microeconomics

1. When markets are perfectly competitive, consumers
 - a. Are able to avoid the problem of diminishing returns
 - b. Have goods and services produced at the lowest cost in the long run
 - c. Do not receive any consumer surplus unless producers choose to overproduce
 - d. Must search for the lowest price for the products they buy
2. Compare with firms in a perfectly competitive market, a monopolist tends to
 - a. Produce substantially less but charge a higher price
 - b. Produce substantially more and charge a higher price
 - c. Produce the same output and charge a higher price
 - d. Produce substantially less and charge a lower price
3. The distinguishing characteristic of an oligopoly market is
 - a. A single seller of a homogeneous product with no close substitute
 - b. A single seller of a heterogeneous product with no close substitute
 - c. Lack of entry and exit barriers in the industry
 - d. Mutual interdependence of firm pricing and output decisions
4. Monopolistic competition is characterized by
 - a. A relatively large group of sellers who produce differentiated products
 - b. A relatively small group of sellers who produce differentiated products
 - c. A monopolistic market where the consumer is persuaded that there is perfect competition
 - d. A relatively large group of sellers who produce a homogeneous product
5. The demand curve for a normal good is
 - a. Upward sloping because firms produce more at higher prices
 - b. Upward sloping because higher-priced goods are of higher quality
 - c. Vertical
 - d. Downward sloping because of the income and substitution effects of price changes
6. The movement along the demand curve from one price-quantity combination to another is called a(n)
 - a. Change in demand
 - b. Shift the demand curve
 - c. Change in the quantity demanded
 - d. Increase in demand
7. Which one of the following would cause the demand curve for a normal good to shift to the left?
 - a. A rise in the price of a substitute product
 - b. A rise in average household income
 - c. A rise in the price of a complementary commodity
 - d. A change in consumers' taste in favor of the commodity
8. If a group of consumers decide to boycott a particular product, the expected result would be
 - a. An increase in the product price to make up lost revenue
 - b. A decrease in the demand for the product
 - c. An increase in product supply because of increased availability
 - d. That demand for the product would become completely inelastic
9. All of the following are complementary goods except
 - a. Margarine and butter
 - b. Cameras and rolls of film
 - c. DVDs and DVD players
 - d. Razors and razor blades
10. A decrease in the price of a complementary good will
 - a. Shift the demand curve of the joint commodity to the left
 - b. Increase the price paid for a substitute good
 - c. Shift the supply curve of the joint commodity to the left
 - d. Shift the demand curve of the joint commodity to the right
11. The local video store's business increased by 12% after the movie theater raised its prices from P6.50 to P7.00. This is an example of
 - a. Substitute goods
 - b. Superior goods
 - c. Complementary goods
 - d. Public goods
12. A family typically eats hamburger as a staple in their diet. In the last years, the family's income has doubled, and they have now replaced hamburger with steak as a staple in their diet. This is an example in which the demand for hamburger
 - a. Is relatively elastic
 - b. Is perfectly elastic
 - c. Is relatively inelastic
 - d. Responds as an inferior good



13. If a diabetic must have insulin no matter what the cost, the diabetic’s demand is considered to be
- a. Perfectly elastic
 - b. Perfectly inelastic
 - c. Relatively inelastic
 - d. Indifferent
14. If the price elasticity of demand for a normal good is estimated to be 2.5, a 5% reduction in its price causes
- a. Total revenue to fall by 5%
 - b. Total revenue to fall by 12.5%
 - c. Quantity demanded to rise by 12.5%
 - d. Quantity demanded to decrease by 5%
15. A supply curve illustrates the relationship between
- a. Price and quantity supplied
 - b. Price and consumer tastes
 - c. Price and quantity demanded
 - d. Supply and demand
16. An improvement in technology that in turn leads to improved worker productivity would most likely result in
- a. A shift to the right in the supply curve and a lowering of the price of the output
 - b. A shift to the left in the supply curve and a lowering of the price of the output
 - c. An increase in the price of the output if demand is unchanged
 - d. Wage increases
17. In the short run, the supply curve in a competitive market shows a positive relationship between price and quantity supplied because
- a. Consumers will only buy more of a product at a higher price
 - b. Of the law of diminishing returns
 - c. As the size of a business, price must rise
 - d. Increase in output imply a shift in consumer preferences, allowing a higher price
18. In a competitive market for labor in which demand is stable, if workers try to increase their wage
- a. Employment must fall
 - b. Government must set a maximum wage below
 - c. Firms in the industry must become smaller
 - d. Product supply must decrease
19. The law of diminishing marginal utility states that
- a. Marginal utility will decline as a consumer acquires additional units of a specific product
 - b. Total utility will decline as a consumer acquires additional units of specific product
 - c. Declining until cause the demand curve to slope upward
 - d. Consumers’ wants diminish with the passage of time
20. Marginal revenue is
- a. Equal to price in monopolistic competition
 - b. The change in total revenue associated with increasing prices
 - c. Greater than price in pure competition
 - d. The change in total revenue associated with producing and selling one more unit

21. Consider the following:

<u>Number of Workers</u>	<u>Total Produced Units</u>	<u>Average Selling Price</u>
10	20	P50.00
11	25	P49.00
12	28	P47.50

The marginal revenue per unit if one worker is added to a team of 11 workers is

- a. P35.00
 - b. P225.00
 - c. P105.00
 - d. P47.50
22. The output and cost information for a firm is presented below:

<u>Output</u>	<u>Total Cost</u>
0	P100
1	P250
2	P360
3	P450

The marginal cost of the second unit of output is

- a. P100
 - b. P110
 - c. P150
 - d. P180
23. In the long run, firms may experience increasing returns due to
- a. Law of diminishing returns
 - b. Opportunity costs
 - c. Comparative advantage
 - d. Economies of scale



MACROECONOMICS

24. Under Income approach, Gross Domestic Product (GDP) is measured as
- Depreciation charges and indirect business taxes + Wages + Rents + interest + Profits – Net income earned abroad
 - Wages + Rents + Interest + Profits
 - Depreciation charges and indirect business taxes + Wages + Rents – Interest + Profits
 - Wages + Rents + Interest – Profits + Net income earned abroad
25. In national income terms, aggregate demand is the
- Demand for money by the community in a period of full employment
 - Total expenditure on capital goods by entrepreneurs during a period of full employment
 - Demand that is needed if a country's economy is to operate at optimum level and the level of investment is to be raised
 - Total expenditure on consumer goods and investment, including government and foreign expenditure during a given period
26. For a given level of tax collections, prices and interest rates, a decrease in government purchases will result in a(n)
- Increase in aggregate demand
 - Increase in aggregate supply
 - Decrease in aggregate demand
 - Decrease in aggregate supply
27. Assume that real gross domestic product (GDP) measured in 20X0 pesos, rose from P3,000 billion in 20X0 to P4,500 billion in 20X2. Assume also that the consumer price index (CPI) rose from 100 to 200 during the same period. The GDP for 20X0 expressed in terms of 20X2 prices is
- P1,500 billion
 - P3,000 billion
 - P4,500 billion
 - P6,000 billion
28. Which of the following may provide a leading indicator of a future increase in gross domestic product?
- A reduction in the money supply
 - A decrease in the issuance of building permits
 - An increase in the timeliness of delivery by vendors
 - An increase in the average hours worked per week of production workers
29. The trough of a business cycle is generally characterized by
- Shortage of essential raw materials and rising costs
 - Increasing purchasing power and increasing capital investments
 - Rising and willingness to risk new investments
 - Unused productive capacity and an unwillingness to risk new investments
30. During the recessionary phase of a business cycle
- The purchasing power of money is likely to decline rapidly
 - The natural rate of unemployment will increase dramatically
 - Potential national income will exceed actual national income
 - Actual national income will exceed potential national income
31. Economist and economic policy makers are interested in the multiplier effect because the multiplier explains why
- A small change in investment can have a much larger impact on gross domestic product
 - Consumption is always a multiple of savings
 - The money supply increases when deposits in the banking system increase
 - The velocity of money is less than one
32. If a government were to use only fiscal policy to stimulate the economy from a recession, it would
- Raise consumer taxes and increase government spending
 - Lower the money taxes and government spending
 - Increase the money supply and increase government spending
 - Lower consumer taxes and increase government spending
33. The narrow definition of money supply, M1, consists only of
- Current and demand deposits
 - Currency, demand deposits, other checkable deposits and traveler's checks
 - Currency, demand deposits, and small-time deposits
 - Currency, demand deposits, small time deposits, and mutual fund balances
34. In order for the BSP to increase the money supply, the appropriate policy would be to
- Encourage banks to increase their holdings of excess reserves
 - Increase the discount rate
 - Engage in open-market purchases of government securities
 - Raise margin requirements on stock market purchases



35. The BSP’s reserve ratio is
- a. The specified percentage of a commercial bank’s deposit liabilities that must be deposited in the central bank
 - b. The rate that the central bank charges for loans granted to commercial banks
 - c. The ratio excess reserves to legal reserves that are deposited in the central bank
 - d. The specified percentage of a commercial bank’s demand deposits to total liabilities
36. The money supply in a nation’s economy will decrease following
- a. Open-market purchases by the nation’s central bank
 - b. A decrease in the discount rate
 - c. An increase in the reserve ratio
 - d. A decrease in the margin requirement
37. Given a deposit expansion model in which the required reserve ratio is 12.5%, a P100,000 purchase of government securities by the BSP will result in a maximum increase (decrease) in the money supply of
- a. P0
 - b. P12,500
 - c. P87,500
 - d. P800,000
38. A banking system with a reserve ratio of 20% and a change in reserves of P1,000,000 can increase its total demand deposits by
- a. P200,000
 - b. P5,000,000
 - c. P1,000,000
 - d. P800,000
39. The discount rate of the BSP is
- a. The specified percentage of a commercial bank’s deposit liabilities that must be deposited in the central bank
 - b. The rate that the central bank charges for loans granted to commercial banks
 - c. The rate that commercial bank charges for loans granted to the public
 - d. The ratio of excess reserve to legal reserves that are deposited in the central bank
40. The most effective fiscal policy program to help reduce demand-pull inflation would be to
- a. Decrease the rate of growth of the money supply
 - b. Increase both taxes and government spending
 - c. Decrease taxes and increase government spending
 - d. Increase taxes and decrease government spending
41. A period of rising inflation
- a. Increases the price level, which benefits those who are entitled to receive specific amounts of money
 - b. Enhances the positive relationship between the price level and the purchasing power of money
 - c. Will not be affected by contracts that include the indexing of payments
 - d. Increases the price level, which is negatively related to the purchasing power of money
42. The Laffer Curve predicts that
- a. If taxes are too high and they are lowered, tax revenues will decrease
 - b. If taxes are too low and they are lowered, tax revenues will increase
 - c. If taxes rates are too high and they are raised, tax revenues will decrease
 - d. None of the above
43. Unemployment that is caused by a mismatch between the composition of the labor force (in terms of skills, occupation, industries, or geographic location, and the makeup of the demand for labor is called
- a. Real wage unemployment
 - b. Deficient-demand unemployment
 - c. Frictional unemployment
 - d. Structural unemployment
44. If an increase in government purchases of goods and services of P30 billion causes equilibrium GDP to rise by P120 billion, and if total taxes, investment, consumption, and net exports are constant, the marginal propensity to consume is
- a. 0.25
 - b. 0.75
 - c. 4.00
 - d. 1.33

45. A consumer has the following consumption patterns at different income levels:

Level of income	Consumption
P250	P130
P300	P160
P350	P190

At an income level of P300, this consumer has a marginal propensity to consume of <List A> and an average propensity to save of <List B>

- | List A | List B |
|---------|--------|
| a. 0.40 | 0.47 |
| b. 0.40 | 0.53 |
| c. 0.60 | 0.47 |
| d. 0.60 | 0.53 |





Auditing Theory (AT)



OVERVIEW OF AUDIT AND ENGAGEMENT STANDARDS

REFERENCES:

- **PSA 120:** Framework of Philippine Standards on Auditing
- **PAS 200:** Overall Objectives of the Independent Auditor and the Conduct of an Audit in accordance with Philippine Standards on Auditing
- **PSRE 2400:** Engagement to Review Financial Statements
- **PSAE 3400:** The Examination of Prospective Financial Information
- **PSRS 4400:** Engagements on Agreed-Upon Procedures
- **PSRS 4410** Compilation Engagements

Assurance Services/Engagements:

- **Assurance services** – independent professional services in which a practitioner issues a written communication that expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.
 - ✓ **Independence** is required whenever a professional accountant performs assurance services.
- **Assurance engagement** – an engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

Objective of an Assurance Engagement, In General:

- Assurance engagements performed by professional accountants are intended to enhance the credibility of information about the outcome of the evaluation or measurement of a subject matter against criteria, thereby improving the likelihood that the information will meet the needs of an intended user. Assurance engagements enhance the degree of confidence of the intended user because the quality of information for decision making is improved.

Objective of Assurance Engagements:

- According to the Philippine Framework for Assurance Engagements, an assurance engagement is conducted:
 - ✓ To provide a **high level of assurance** that the subject matter conforms in all material respects with identified suitable criteria; or
 - ✓ To provide a **moderate level of assurance** that the subject matter is plausible in the circumstances.

Types of Assurance Engagements and their Objectives:

- **Reasonable assurance engagements** – engagements that provide high, but not absolute, level of assurance.
 - Also called **high-level engagements**.
 - The objective of a reasonable assurance engagement is a reduction in assurance engagement risk to an acceptably low level as the basis for a positive form of expression of the practitioner’s conclusion.
 - Absolute assurance is not attainable: In assurance engagements, absolute assurance is generally not attainable because of such factors as:
 - ✓ Use of judgment.
 - ✓ Use of testing.

- ✓ Inherent limitations of internal control.
- ✓ Most evidence available to the practitioner is persuasive rather than conclusive.
- ✓ In some cases, the characteristics of the subject matter.

○ **Limited assurance engagements** – engagements that provide only a “moderate” or “limited” level of assurance.

- The objective of a limited assurance engagement is a reduction in assurance engagement risk to an acceptable level as the basis for a negative form of expression of the practitioner’s conclusion. Thus, the risk in limited assurance engagement is greater than for a reasonable assurance engagement.
- ✓ For assurance engagements regarding historical financial information in particular, limited assurance engagements are called **review engagements**.

Assertion-based and Direct Reporting Engagements:

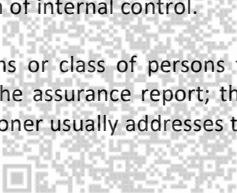
- **Assertion based engagements** – evaluation or measurement of the subject matter is performed by the responsible party, and the subject matter information is in the form of an assertion by the responsible party that is made available to the interested users.
 - Assertion-based engagements are also known as **attestation engagements**.
 - Examples of assertion-based engagements:
 - ✓ Audit engagements
 - ✓ Review engagements
- **Direct reporting engagements** – the practitioner either directly performs the evaluation or measurement of the subject matter or obtains a representation from the responsible party that has performed the evaluation or measurement that is not available to the intended users.

Elements of Assurance Engagements:

- Not all engagements performed by practitioners are assurance engagements. An assurance engagement must have the following elements:
 - ✓ Three party relationship (involving a practitioner, a responsible party and intended users)
 - ✓ Appropriate subject matter
 - ✓ Suitable criteria
 - ✓ Sufficient appropriate evidence
 - ✓ Written assurance report in the form appropriate to a reasonable assurance engagement or a limited assurance engagement

Three Party Relationship:

- **Practitioner** – CPA in public practice who performs the assurance engagement. The term practitioner is broader than the term “auditor” as used in professional standards, which only refers to practitioner performing audit or review engagements with respect to historical financial information.
- **Responsible party** – person/s who is responsible for the subject matter or the assertion (subject matter information). For example, an entity’s management is responsible for the preparation and presentation of financial statements or the establishment and implementation of internal control.
- **Intended user/s** – person, persons or class of persons for whom the practitioner prepares the assurance report; they are the users to whom the practitioner usually addresses the report.



Appropriate Subject Matter:

- o **Subject matter** refers to the information to be evaluated or measured against the criteria. **Subject matter information** means the outcome of the evaluation or measurement of a subject matter.

o Requirements for subject matter to be considered appropriate:

- ✓ Identifiable
- ✓ Capable of consistent evaluation and measurement against suitable criteria
- ✓ In the form that can be subjected to procedures for gathering evidence to support that evaluation or measurement.

o **Forms of subject matter of an assurance engagement:**

- ✓ **Financial performance or conditions** (for example, historical or prospective financial position, financial performance and cash flows) for which the subject matter information may be the recognition, measurement, presentation and disclosure represented in the financial statements.
- ✓ **Non-financial performance or conditions** (for example, performance indicators of an entity) for which the subject matter information may be key indicators of efficiency and effectiveness.
- ✓ **Physical characteristics** (for example, capacity of a facility) for which the subject matter information may be a specifications document.
- ✓ **Systems and processes** (for example, entity's internal control or IT system) for which the subject matter information may be an assertion about effectiveness.
- ✓ **Behavior** (for example, corporate governance, compliance with regulation, human resource practices) for which the subject matter information may be a statement of compliance or a statement of effectiveness.

Suitable Criteria:

- o **Criteria** refer to the standard or benchmark used to evaluate or measure the subject matter of an assurance engagement, including, where relevant, benchmarks for presentation and disclosure.

o **Five characteristics of suitable criteria:**

- ✓ **Relevance** – relevant criteria contribute to conclusions that assist decision-making by the intended users.
- ✓ **Completeness** – criteria are sufficiently complete when relevant factors that could affect the conclusions in the context of the engagement circumstances are not omitted.
- ✓ **Reliability** – reliable criteria allow reasonably consistent evaluation or measurement of the subject matter when used in similar circumstances by similarly qualified practitioners.
- ✓ **Neutrality** – neutral criteria contribute to conclusions that are free from bias.
- ✓ **Understandability** – understandable criteria contribute to conclusions that are clear, comprehensive, and not subject to significantly different interpretations.

o **Two types of criteria:**

- ✓ **Established criteria** – those criteria that are embodied in laws or regulations or issued by authorized or recognized bodies of experts that follow a transparent due process.
- ✓ **Specifically developed criteria** – those criteria specifically designed for the purpose of the engagement.

Sufficient Appropriate Evidence:

- o The practitioner shall plan and perform the engagement with an attitude of professional skepticism to obtain sufficient appropriate evidence that the assertions are free of material misstatements.

- ✓ **Professional skepticism** – an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of evidence.

- ✓ **Evidence** – refers to the information obtained by the practitioner in arriving at the conclusions on which the conclusion is based.

- ✓ **Sufficiency** – refers to the measure of the quantity of evidence.

- ✓ **Appropriateness** – refers to the measure of the quality of evidence, that is, its relevance and its reliability.

Written Assurance Report:

- o **A written assurance report** should be in the form appropriate to a reasonable assurance engagement or a limited assurance engagement.

Attestation Services:

- o An **attestation service** is a type of assurance service in which a practitioner is engaged to issue a written communication that expresses a conclusion about the reliability of a written assertion that is the responsibility of another party. **Attestation** generally refers to an expert's written communication of a conclusion about the reliability of someone else's assertions.

Relationships among Auditing, Attestation, and Assurance Services:

- o **Similarity:** These services are often used interchangeably because they encompass the same decision-process

o **Main difference/distinction:** Scope of services

- ✓ "Assurance services" is broader in scope and in concept than either auditing or attestation. It encompasses both audit and attestation services.

- ✓ "Attestation services" is broader than audit because attest function is beyond historical FS. Attestation services cover even non-GAAP FS.

- ✓ Auditing, particularly FS audit, is a type of assurance and attestation service that involves examination of historical FS prepared in accordance with GAAP.

Non-assurance Engagements:

- o Not all engagements are assurance engagements. **Non-assurance engagements** are those that do not result in the practitioner's expression of a conclusion that provides a level of assurance, whether negative assurance or other form of assurance. The practitioner does not convey to the intended users any assurance as to the reliability of an assertion.

o **Examples of non-assurance engagements:**

- ✓ **Related services**, such as:
 - **Agreed-upon procedures** engagements, and
 - **Compilations** of financial or other information engagements.
- ✓ **Tax services** (such as the preparation of tax returns where no conclusion conveying assurance is expressed).
- ✓ **Consulting** (or advisory) engagements, such as management and tax consulting.

Agreed-upon Procedures Engagements:

- o Objective of agreed-upon procedures engagements: For the auditor to carry out procedures of an audit nature as agreed by the auditor and the entity and any appropriate third parties and to report on factual findings.

- o No assurance is expressed in the report: The users/recipients of the report assess for themselves the procedures and findings reported by the auditor and form their own conclusions from the report by the auditor.
- o Distribution of report is restricted: The report on agreed upon procedures engagement is restricted to those parties that have agreed to the procedures to be performed since others who are unaware of the reasons for the procedures may misinterpret the results.

Compilation of Financial or Other Information Engagements:

- o Objective of compilation engagements: For the accountants to use accounting expertise, as opposed to auditing expertise, to collect, classify and summarize financial information.
- o No test of assertions.
- o No assurance is expressed in the report.

Tax Services:

- o **Tax compliance** – includes the preparation of tax returns (for individuals, corporations, estates and trusts, and other entities) and acting as client’s representative to tax authorities or in tax litigations.
- o **Tax planning** – includes the determination of the tax consequences of planned or potential transactions (legally minimizing client’s tax liability) followed by making suggestions on the most desirable course of action.

Management Consulting:

- o **Management advisory (consulting) services** – refers to the function of providing professional advisory (consulting) services, the primary purpose of which is to improve client’s use of its capabilities and resources to achieve the objectives of the organization.

Levels of Assurance for Audit, Review, Agreed-upon Procedures and Compilation

- o **Assurance** refers to the practitioner’s satisfaction as to the reliability of an assertion being made by one party for use by another party. The level of assurance is the degree of the practitioner’s satisfaction or degree of certainty the practitioner has attained and wishes to convey to intended users. Such level or degree of assurance depends on the procedures performed and the evidence collected by the practitioner.
- o **Engagements and level of assurance:**
 - ✓ **Audit:** The auditor provides a reasonable (high, but not absolute) level of assurance that the information subject to audit is free of material misstatement. This is expressed positively in the audit report as **reasonable assurance**.
 - ✓ **Reviews:** The auditor provides a moderate/limited level of assurance that the information subject to review is free of material misstatement. This is expressed in the form of **negative assurance**.
 - ✓ **Agreed-upon procedures:** **No assurance** is expressed. The auditor simply provides a report of the factual findings. Users of the report assess for themselves the procedures and findings reported by the auditor and draw their own conclusions from the auditor’s work.
 - ✓ **Compilation:** Although the users of the compiled information derive some benefit from the accountant’s involvement, **no assurance** is expressed in the report.

Pronouncements on Assurance Engagements:

- o The following are the forms of pronouncements of the Auditing and Assurance Standards Council (AASC):

AASC Engagement Standards	Applications	Related Practice Statements
Philippine Standards on Auditing (PSAs)	FS audit engagements	Philippine Auditing Practice Statements (PAPSs)
Philippine Standards on Review Engagements (PSREs)	Review engagements	Philippine Review Engagement Practice Statements (PREPSs)
Philippine Standards on Assurance Engagements (PSAEs)	Other assurance engagements dealing with subject matters other than historical financial information	Philippine Assurance Engagement Practice Statements (PAEPSs)
Philippine Standards on Related Services (PSRSs)	Related services	Philippine Related Services Practice Statements (PRSPSs)

o Other pronouncements:

- ✓ **Philippine Standards on Quality Control (PSQCs)** – to be applied for all services that fall under the AASC’s engagement standards, namely, audit, review, other assurance, and related services.
- ✓ **Philippine Framework for Assurance Engagements** – to be applied for assurance engagements.

Philippine Framework for Assurance Engagements:

- o Defines and describes the elements and objectives of an assurance engagement.
- o Identifies engagements to which assurance engagement standards (PSAs, PSREs, and PSAEs) apply.
- o Provides frame of reference for:
 - ✓ Practitioners who perform assurance engagements (such as audit and review engagements).
 - ✓ Others involved with assurance engagements (such as the intended users and the responsible party).
 - ✓ The International Auditing and Assurance Standards Board (IAASB) in its development of assurance engagement standards which will be adopted by the AASC for application in the Philippines.
- o Distinguishes assurance engagements and non-assurance engagements (non-assurance engagements are not covered by the Framework).
- o Sets out characteristics that must be exhibited before a practitioner can accept an assurance engagement.

In addition to the Framework and PSAs, PSREs and PSAEs, practitioners who perform assurance engagements are governed by:

- The Code of Ethics for Professional Accountants in the Philippines.
- The Philippine Standards on Quality Control (PSQCs).

The Framework does not itself establish standards or provide procedural requirements for the performance of assurance engagements.

Reports on Non-Assurance Engagements:

- o Should not use the words “assurance”, “audit” or “review”.
- o Should not imply compliance with assurance engagement standards (PSAs, PSREs or PSAEs).
- o Should not include a statement that may be misinterpreted as assurance engagements.



OVERVIEW OF AUDIT AND ENGAGEMENT STANDARDS

QUESTIONS

1.

The single feature that most clearly distinguishes auditing, attestation, and assurance is

a. Type of service

b. Training required to perform the service

c. Scope of services

d. CPA’s approach to the service
2.

The primary goal of the CPA in performing the attest function is to

a. Detect fraud

b. Examine individual transactions so that the auditor may certify as to their validity

c. Determine whether the client's assertions are fairly stated

d. Assure the consistent application of correct accounting procedures
3.

An attestation engagement

a. Has as its primary source of standards the assurance standards

b. Includes a report on subject matter, or on an assertion about subject matter

c. Includes search and verification procedures for all major accounts

d. Is ordinarily an examination, review or compilation engagement
4.

Which of the following statements best describes assurance services?

a. Independent professional services that are intended to enhance the credibility of information to meet the needs of an intended user

b. Services designed to express an opinion on the fairness of historical financial statements based on the results of an audit

c. The preparation of financial statements or the collection, classification and summarization of other financial information

d. Services designed for the improvement of operations, resulting in better outcomes
5.

An assurance engagement should have which of the following elements?

	Subject matter	Criteria		Subject matter	Criteria
a.	Yes	No	c.	Yes	Yes
b.	No	Yes	d.	No	No
6.

The primary reason for a financial statement audit by an external audit firm is

a. To satisfy governmental regulatory requirements

b. To guarantee that there are no misstatements in the financial statements

c. To provide increased assurance to users as to the fairness of the financial statements

d. To ensure that any fraud will be discovered
7.

An audit of the financial statements is being conducted by an external auditor. The external auditor is expected to

a. Express an opinion as to the fairness of the financial statements

b. Express an opinion as to the fairness for investment purposes

c. Certify the correctness of the financial statements

d. Examine all evidence supporting the financial statements
8.

A financial statement audit aids in the communication of economic data because the audit

a. Assures the readers of financial statements that any fraudulent activity has been corrected

b. Guarantees that financial data are fairly presented

c. Lends credibility to the financial statements

d. Confirms the accuracy of management’s financial representations
9.

The overall objectives of the auditor in conducting an audit of financial statements are

I. To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether caused by fraud or error

II. To report on the financial statements

III. To obtain conclusive rather than persuasive evidence

IV. To detect all misstatements, whether due to fraud or error

a. I and II only

b. II and IV only

c. I, II and III only

d. I, II, III and IV
10.

Which of the following best describes the reason why an independent auditor reports on financial statements?

a. A management fraud may exist, and it is more likely to be detected by independent auditors

b. Different interests may exist between the company preparing the statements and the persons using the statements

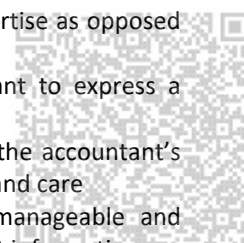
c. A misstatement of account balances may exist and is generally corrected as the result of the independent auditor’s work

d. A poorly designed internal control system may be in existence

11. An audit of financial statements is conducted to determine if the
 - a. Organization is operating efficiently and effectively
 - b. Auditee is following specific procedures or rules set down by some higher authority
 - c. Overall financial statements are stated in accordance with the applicable financial reporting framework
 - d. Client's internal control is functioning as intended
12. The auditor's judgment concerning the overall fairness of the presentation of financial position, results of operations, and changes in financial position is applied within the framework of
 - a. Generally accepted accounting principles
 - b. Generally accepted auditing standards
 - c. Internal control
 - d. Information systems control
13. The criteria for evaluating quantitative information vary. For example, in the case of an independent audit of financial statements by CPA firms, the criteria are usually the
 - a. PFRS or PFRS for SMEs
 - b. Philippine Standards on Auditing (PSA)
 - c. National Internal Revenue Code
 - d. Regulations of the Securities and Exchange Commission
14. Broadly defined, the subject matter of any audit consists of
 - a. Financial statements
 - b. Economic data
 - c. Financial Statement Assertions
 - d. Operating data
15. Which of the following best describes what is meant by generally accepted auditing standards?
 - a. Acts to be performed by the auditors
 - b. Measures of the quality of the auditors' performance
 - c. Procedures to be used to gather evidence to support financial statements
 - d. Audit objectives generally determined on audit engagements
16. The procedures deemed necessary in the circumstances to achieve the objective of the audit shall be determined by the
 - a. Client management
 - b. Independent auditor
 - c. Internal auditor
 - d. Those charged with governance
17. Which of the following professionals has primary responsibility for the performance of an audit?
 - a. The managing partner of the firm
 - b. The senior assigned to the engagement
 - c. The manager assigned to the engagement
 - d. The partner in charge of the engagement
18. Which of the following has the primary responsibility for the fairness of the representations made in the financial statements?
 - a. Client's management
 - b. Audit committee
 - c. Independent auditor
 - d. Board of Accountancy
19. Which of the following standards are to be applied, as appropriate, in the audit of historical financial information?
 - a. PSREs
 - b. PSAEs
 - c. PSRSs
 - d. PSAs
20. What level of assurance is provided by the auditor in an audit engagement?
 - a. Absolute
 - b. High, but not absolute
 - c. Moderate
 - d. No assurance
21. The review of a company's financial statements by a CPA firm
 - a. Is substantially less in scope of procedures than an audit
 - b. Requires detailed analysis of the major accounts
 - c. Is of similar scope as an audit and adds similar credibility to the statements.
 - d. Culminates in issuance of a report expressing the CPA's opinion as to the fairness of the statements.
22. Inquiries and analytical procedures ordinarily form the basis for which type of engagement?
 - a. Agreed-upon procedures
 - b. Audit
 - c. Examination
 - d. Review
23. What level of assurance is provided by the practitioner in a review engagement?
 - a. No assurance
 - b. High, but not absolute
 - c. Reasonable
 - d. Moderate
24. Which of the following describes how the objective of a review of financial statements differs from the objective of a compilation engagement?
 - a. The primary objective of a review engagement is to test the completeness of the financial statements prepared, but a compilation tests for reasonableness



- b. The primary objective of a review engagement is to provide positive assurance that the financial statements are fairly presented, but a compilation provides no such assurance
 - c. In a review engagement, accountants provide limited assurance, but a compilation expresses no assurance
 - d. In a review engagement, accountants provide reasonable or positive assurance that the financial statements are fairly presented, but a compilation provides limited assurance
25. In an engagement to perform agreed-upon procedures, an auditor is engaged to
- a. Carry out those procedures of an audit nature to which the auditor and the entity and any appropriate third parties have agreed to report on factual findings
 - b. Use accounting expertise as opposed to auditing expertise to collect, classify and summarize financial information
 - c. Provide a moderate level of assurance that the information is free of material misstatement
 - d. Provide a high, but not absolute, level of assurance that the information is free of material misstatement
26. An accountant may accept an engagement to apply agreed-upon procedures to prospective financial statements provided that
- a. Use of the report is restricted to the specified parties
 - b. The prospective financial statements are also examined and audited
 - c. Responsibility for the adequacy of the procedures performed is taken by the accountant
 - d. Negative assurance is expressed on the prospective financial statements taken as a whole
27. Mr. Accounting, CPA, was engaged by a group of royalty recipients to apply agreed-upon procedures to financial data supplied by X Co. regarding X's written assertion about its compliance with contractual requirements to pay royalties. Mr. Accounting's report on these agreed-upon procedures should contain a(n)
- a. Disclaimer of opinion about the fair presentation of X's financial statements
 - b. List of the procedures performed (or reference thereto) and Mr. Accounting's findings
 - c. Opinion about the effectiveness of X's internal control activities concerning royalty payments
 - d. Acknowledgment that the sufficiency of the procedures is solely Mr. Accounting's responsibility
28. An engagement to perform agreed-upon procedures may involve the auditor in performing certain procedures concerning
- | | |
|---------------------------------------|---|
| I. Individual items of financial data | III. A complete set of financial statements |
| II. A single financial statement | |
| a. I and II only | c. I and III only |
| b. II and III only | d. I, II and III |
29. What assurance is provided by the auditor in an agreed-upon procedures engagement?
- | | |
|---------------|-----------------|
| a. Reasonable | c. Moderate |
| b. Absolute | d. No assurance |
30. A summary of findings rather than assurance is most likely to be included in a(n)
- | | |
|----------------------------------|-----------------------|
| a. Agreed-upon procedures report | c. Examination report |
| b. Compilation report | d. Review report |
31. When compiling the financial statements of a client, an accountant should
- a. Review agreements with financial institutions for restrictions on cash balances
 - b. Understand the accounting principles and practices of the entity's industry
 - c. Inquire of key personnel concerning related parties and subsequent events
 - d. Perform ratio analyses of the financial data of comparable prior periods
32. When performing a compilation engagement, the accountant is required to
- a. Assess internal controls
 - b. Make inquiries of management to assess the reliability and completeness of the information provided
 - c. Verify matters and explanations
 - d. Obtain a general knowledge of the business and operations of the entity
33. Which of the following statements concerning compilation engagement is incorrect?
- a. In a compilation engagement, the accountant is engaged to use accounting expertise as opposed to auditing expertise to collect, classify and summarize financial information
 - b. The procedures employed in a compilation engagement enable the accountant to express a moderate level of assurance on the compiled financial information
 - c. Users of the compiled financial information derive some benefit as a result of the accountant's involvement because the service has been performed with due professional skill and care
 - d. A compilation engagement ordinarily entails reducing detailed data to a manageable and understandable form without a requirement to test the assertions underlying that information



34. Which of the following procedures is ordinarily performed by an accountant in a compilation engagement?
 - a. Reading the financial statements to consider whether they are free of obvious mistakes in the application of accounting principles
 - b. Obtaining written representations from management indicating that the compiled financial statements will not be used to obtain credit
 - c. Making inquiries of management concerning actions taken at meetings of the stockholders and the board of directors
 - d. Applying analytical procedures designed to corroborate management's assertions that are embodied in the financial statement components
35. Which of the following statements concerning consulting services is false?
 - a. The performance of consulting services for audit clients does not, in and of itself, impair the auditor's independence
 - b. Consulting services differ fundamentally from the CPA's function of attesting to the assertions of other parties
 - c. Consulting services ordinarily involves external reporting
 - d. Most CPAs, including those who provide audit and tax services, also provide consulting services to their clients
36. An attitude that includes a questioning mind and a critical assessment of audit evidence is referred to as
 - a. Due professional care
 - b. Professional skepticism
 - c. Reasonable assurance
 - d. Supervision
37. Professional skepticism requires that an auditor assume that management is
 - a. Honest, in the absence of fraud risk factors
 - b. Dishonest until completion of audit tests
 - c. Neither honest nor dishonest
 - d. Offering a reasonable assurance of honesty
38. Which of the following is one of the limitations of an audit?
 - a. The possibility that management may prevent the auditor from performing the necessary audit procedures
 - b. The likelihood that the auditor may not be able to detect material misstatements in the financial statements because the auditor is engaged only after the client's year-end
 - c. The fact that most audit evidence is persuasive rather than conclusive in nature
 - d. The risk that the auditor may not possess the training and proficiency required by the engagement
39. Which of the following is not one of the limitations of an audit
 - a. The use of testing
 - b. Limitations imposed by client
 - c. Human error
 - d. Nature of evidence that the auditor obtains
40. The auditor communicates the results of his or her work through the medium of the
 - a. Engagement letter
 - b. Management letter
 - c. Audit report
 - d. Financial statements
41. Which of the following types of services is generally provided only by CPA firms?
 - a. Tax audits
 - b. Financial statement audits
 - c. Compliance audits
 - d. Operational audits
42. Operational auditing is primarily oriented toward
 - a. Future operational improvements to accomplish the goals of management
 - b. The accuracy of data reflected in management's financial records
 - c. The verification that a company's financial statements are fairly presented
 - d. Past protection provided by existing internal control
43. A typical objective of an operational audit is for the auditor to
 - a. Determine whether the financial statements fairly present the entity's operations
 - b. Evaluate the feasibility of attaining the entity's operational objectives
 - c. Make recommendations for improving performance
 - d. Report on the entity's relative success in attaining profit maximization
44. Governmental auditing often extends beyond examinations leading to the expression of opinion on the fairness of financial presentation and includes audits of efficiency, economy, effectiveness, and also
 - a. Accuracy
 - b. Evaluation
 - c. Compliance
 - d. Internal control



AUDITOR’S PROFESSIONAL AND LEGAL RESPONSIBILITIES
AND QUALITY ON AUDIT

REFERENCES:

- PSQC 1:** Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and other Assurance and Related Services
- PSA 220:** Quality Control for an Audit of Financial Statements
- PSA 240:** The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements

Nature of System of Quality Control

- One of the recognized objectives of the accountancy profession is to attain the highest levels of performance.
- To achieve this objective, there is a need for assurance that all professional services provided by CPAs are carried out to the highest quality or standards of performance.
- Reasonable assurance of meeting such need is provided through a system of quality control.
- A **system of quality control** refers to quality control policies and procedures adopted by CPA firms that are designed to provide reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements and that reports issued by the firm or engagement partners are appropriate in the circumstances.

QC policies vs. QC procedures

- Quality control policies** – are the objectives and goals to be achieved.
- Quality control procedures** – are steps/procedures to be taken to:
 - Accomplish the policies adopted, or
 - Implement and monitor compliance with those policies.

Mandatory requirement for CPA firms to establish SQC

- Under Philippine Standard on Quality Control 1 (PSQC 1) CPA firms are required to establish and implement a system of quality control.

Nature and Extent of a System of Quality Control

- The nature and extent of the SQC developed by CPA firms vary from firm to firm due to various factors such as:
 - Size of the CPA firm
 - Nature of its practice
 - Operating characteristics
 - Its organization
 - Geographical dispersion
 - Cost-benefit consideration
 - Whether it is part of a network

Elements of System of Quality Control

- Although the nature and extent of the system of quality control developed by CPA firms vary from one firm to another, a system of quality control must have the following elements:
 - Leadership responsibilities for quality within the firm**
The CPA firm should establish policies and procedures that:
 - Promote an internal culture based on recognition that quality is essential in the performance of the engagements.

- Require CPA firm’s leader (CEO/ managing board of partners or its equivalent), to assume ultimate responsibility for the firm’s system of quality control.

- Ethical requirements, including independence**
 - The CPA firm should establish policies and procedures to provide reasonable assurance that the firm and its personnel comply with relevant ethical requirements (including independence).
- Acceptance and continuance of client relationships and specific engagements** – The CPA firm should establish policies and procedures to provide reasonable assurance that the CPA firm will only undertake or continue relationships and engagements where it:
 - Has considered the client’s integrity.
 - Is competent to perform the engagement and has the capabilities, time and resources to do so.
 - Can comply with ethical requirements.
- Human resources** – The CPA firm should establish policies and procedures to provide reasonable assurance that it has sufficient personnel with the capabilities, competence, and commitment to ethical principles necessary to perform the engagement.
- Engagement performance** – The CPA firm should establish policies and procedures to provide reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements, and that the firm or engagement partner issue reports that are appropriate in the circumstances.
- Monitoring** – The CPA firm should establish policies and procedures to provide reasonable assurance that quality controls are relevant, adequate and operating effectively and complied with in practice and should include an ongoing consideration and evaluation of the firm’s system of quality control, including a periodic inspection of a selection of completed engagements.

Distinction between GAAS/PSA and SQC

- GAAS/PSAs relate to each individual audit engagement, whereas SQC relates to all professional activities/services of the firms practice as a whole.

Quality Review Committee

- To ensure that CPAs work to the highest standards, the government thru the **Professional Regulatory Board of Accountancy (BOA)** has required all CPA firms and individual CPAs in public practice to obtain a certificate of accreditation to practice public accountancy. Such certificate is valid for three (3) years and can be renewed after complying with the requirements of the BOA.
- As a condition to the renewal of the certificate of accreditation to practice public accountancy, the BOA requires individual CPAs and CPA firms to undergo a quality control review to ensure that these CPAs comply with accounting and auditing standards and practices.
- The BOA has created a **Quality Review Committee (QRC)** which shall conduct a quality review on applicants for registration to practice public accountancy.

Functions of the Quality Review Committee

- Conducts quality review on applicants for registration, or renewal thereof, to practice public accountancy.
- Render a report on such quality review, which shall be attached to the application for registration.

- Recommend to BOA revocation of registration and professional ID cards of CPAs for not observing the SQC requirements.

Quality review

- An oversight into (or study or appraisal of) the quality of audit of FS through a review of quality control measures established by CPA firms and individual CPAs in public practice to ensure compliance with accounting and auditing standards and practices.

Fraud

- Intentional misstatements or omissions of amounts or disclosures in the financial statements.
- The term “fraud” refers to an intentional act by one or more individuals among management, those charged with governance, employees or third parties, involving the use of deception to obtain an unjust or illegal advantage.

Two types of Fraud

- **Fraudulent financial reporting (or management fraud)** – intentional misstatements committed by members of management or those charged with governance or oversight to render financial statements misleading to deceive users of the financial statements.

Fraudulent financial reporting may be accomplished by:

- ✓ Manipulation, falsification, or alteration of accounting records or related supporting documents.
- ✓ Misrepresentation in, or intentional omission from, the FS of events/transactions or other significant information.
- ✓ Intentional misapplication of accounting principles.

- **Misappropriation of assets (employee fraud or defalcation)** – Theft of assets and is often perpetrated by non-management employees. Examples:

- ✓ Misappropriating collections on accounts receivable
- ✓ Stealing inventory
- ✓ Colluding with a competitor by disclosing technological data in return for payment
- ✓ Payments to fictitious employees or vendors
- ✓ Using the entity’s assets as collateral for a personal loan

Fraud Risk Factors

- **Fraud risk factors** – conditions that could heighten an auditor’s concern about risk of material misstatements because they provide clues or red flags to the existence of fraud.
 - **Incentives/pressures** – reasons to commit fraud. A pressure is often generated by immediate needs (such as having significant personal debts or meeting an analyst’s or bank’s expectations for profit) that are difficult to share with others.

Examples:

 - ✓ Management is under pressure to reduce earnings to minimize taxes.
 - ✓ Management is under pressure to inflate earnings to secure bank financing.
 - ✓ Meeting analyst’s or bank’s expectations for profit.
 - ✓ Inflating the purchase price of the business

- ✓ Meeting the threshold for a performance bonus.
- ✓ Having significant personal debts or poor credit
- ✓ Trying to cover financial losses.
- ✓ Being greedy or involved in gambling, drugs, and/or affairs.
- ✓ Being under undue peer or family pressure to succeed.
- ✓ Living beyond one’s means.

- **Opportunity** (whether perceived or real) – Opportunity pertains to an individual’s perception that he can commit fraud and that it will not be detected. Potential perpetrators who think they might be detected and charged with a criminal offense would not likely to commit fraud. A poor corporate culture and a lack of adequate internal control procedures can often create the confidence that a fraud could go undetected.

Opportunity often emanates from:

- ✓ Poor corporate culture.
- ✓ Where a person feels they can take advantage of the trust placed in him or her.
- ✓ Knowledge of specific control weakness.

- **Attitudes/rationalizations** – fraud involves some rationalization to commit fraud or the belief that a crime has not been committed.

For example:

- ✓ Some individuals possess an attitude or character to knowingly and intentionally commit a dishonest act.
- ✓ Being dissatisfied with pay.
- ✓ Feeling underappreciated (such as not getting an expected promotion).

Degree of assurance between detection of material fraud and material errors

- **Fraud is harder to detect than errors.**

Reasons:

- ✓ Fraud may involve sophisticated and carefully organized schemes designed to conceal it.
- ✓ Fraud may be accompanied by collusion.

- **Management fraud vs. employee fraud** – the risk of not detecting a material misstatement resulting from management fraud is greater than for employee fraud.

Reasons:

- ✓ Management has the most opportunity to commit fraud, while employees need to exploit weakness in internal control in order to commit fraud.
- ✓ Management has the ability to override or bypass an existing effective internal control.
- ✓ Management can influence the preparation and presentation of financial statements.

Considering compliance with laws and regulations

- **Non-compliance** refers to acts of omission or commission by the entity being audited, either intentional or unintentional, which are contrary to the prevailing laws or regulations.

- The auditor should consider compliance with laws and regulations since noncompliance by the entity with laws and regulations may materially affect the financial statements. However, an audit cannot be expected to detect noncompliance with all laws and regulations.
- Noncompliance is sometimes described as violations of law or regulations or illegal acts.
- **Common examples of non-compliance:**
 - ✓ Violation of tax laws and environmental laws
 - ✓ Occupational safety and health
 - ✓ Inside trading of securities
- **Result of non-compliance with laws and regulations:**
 - ✓ Fines/penalties
 - ✓ Damages
 - ✓ Threat of expropriation of assets
 - ✓ Enforced discontinuation of operations
 - ✓ Litigation
- Auditor's responsibility in detecting non-compliance is limited to material direct-effect noncompliance or illegal act. (Reason: Generally, the further removed non-compliance is from the events and transactions that are ordinarily reflected in financial statements, the less likely the auditor is to become aware of or to recognize non-compliance.
- Responsibility for the compliance with laws and regulations rests with management. This responsibility includes prevention and detection (and correction) of noncompliance with laws and regulations.

Indications that noncompliance may have occurred

- The entity is under investigation by government departments.
- Payment of fines or penalties.
- Payments for unspecified services or loans to consultants, related parties, employees or government employees.
- Sales commissions or agent's fees that appear excessive in relation to those ordinarily paid by the entity or in its industry or to the services actually received.
- Purchasing at prices significantly above or below market price.
- Unusual payments in cash, purchases in the form of cashiers' checks payable to bearer or transfers to numbered bank accounts.
- Unusual transactions with companies registered in tax havens.
- Payments for goods or services made other than to the country from which the goods or services originated.
- Payments without proper exchange control documentation.
- Existence of an accounting system with inadequate audit trail or sufficient evidence.
- Unauthorized transactions or improperly recorded transactions.
- Media comment.

-- END --



AUDITOR'S PROFESSIONAL AND LEGAL RESPONSIBILITIES AND QUALITY CONTROL ON AUDIT

QUESTIONS

1. Which of the following statements best describes why the CPA profession has deemed it essential to promulgate ethical standards and to establish means for ensuring their observance?
 - a. A requirement for a profession is the establishment of ethical standards that stress primarily a responsibility to clients and colleagues
 - b. A requirement of most state laws calls for the profession to establish a code of ethics
 - c. An essential means of self-protection for the profession is the establishment of flexible ethical standards by the profession
 - d. A distinguishing mark of a profession is its acceptance of responsibility to the public
2. A basic objective of a CPA firm is to provide professional services that conform with professional standards. Reasonable assurance of achieving this basic objective is provided through
 - a. A system of peer review
 - b. Continuing professional education
 - c. A system of quality control
 - d. Compliance with generally accepted reporting standards
3. The objective of quality control mandates that a public accounting firm should establish policies and procedures for professional development which provide reasonable assurance that all entry-level personnel
 - a. Prepare working papers which are standardized in form and content
 - b. Have the knowledge required to enable them to fulfill responsibilities assigned
 - c. Will advance within the organization
 - d. Develop specialties in specific areas of accounting
4. The Philippine Standards on Quality Control (PSQCs) are to be applied to
 - a. Assurance engagements only
 - b. Review Assurance engagements only
 - c. Compilation and review engagements only
 - d. All services that fall under the AASC's engagement standards
5. Who should take responsibility for the overall quality on each audit engagement?
 - a. Engagement quality control reviewer
 - b. Engagement partner
 - c. Engagement team
 - d. CPA firm
6. For audits of financial statements of listed entities, the partner should
 - a. Determine that an engagement quality control reviewer has been appointed
 - b. Discuss significant matters arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer
 - c. Not issue the auditor's report until the completion of the engagement quality control review
 - d. All of the above
7. The primary purpose of establishing quality control policies and procedures for deciding whether to accept a new client is to
 - a. Enable the CPA firm to attest to the reliability of the client
 - b. Satisfy the CPA firm's duty to the public concerning the acceptance of new clients
 - c. Minimize the likelihood of association with clients whose management lacks integrity
 - d. Anticipate before performing any fieldwork whether an unqualified opinion can be expressed
8. The firm should establish policies and procedures designed to promote an internal culture based on the recognition that quality is essential in performing engagements. Such policies and procedures should require the firm's chief executive officer or, if appropriate, the firm's managing board of partners, to assume ultimate responsibility for the firm's system of quality control
 - a. Ethical requirements
 - b. Monitoring
 - c. Human resources
 - d. Leadership responsibilities for quality within the firm
9. In pursuing a CPA firm's quality control objectives, a CPA firm may maintain records indicating which partners or employees of the CPA firm were previously employed by the CPA firm's clients. Which quality control objective would this be most likely to satisfy?
 - a. Acceptance and continuance of clients and engagements
 - b. Engagement performance
 - c. Personnel management
 - d. Relevant ethical requirements
10. Which element of quality control is addressed by the establishment of policies and procedures designed to provide the firm with reasonable assurance that it has sufficient personnel with the competence, capabilities and commitment to ethical principles?
 - a. Monitoring
 - b. Human resources
 - c. Human resources
 - d. Human resources

- b. Leadership responsibilities for quality within the firm
 - d. Engagement performance
11. This quality control element requires a CPA firm to establish policies and procedures to provide it with reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements, and that the firm or the engagement partners issue reports that are appropriate in the circumstances
 - a. Ethical requirements
 - b. Engagement performance
 - c. Monitoring
 - d. Human resources
12. A procedure in which a quality control partner periodically tests the application of quality control procedures is most directly related to which quality control element?
 - a. Engagement performance
 - b. Human resources
 - c. Leadership responsibilities for quality within the firm
 - d. Monitoring
13. In compliance with the element of human resources, the firm should address issues relating to
 - a. Engagement performance
 - b. Assignment of engagement teams
 - c. Consultation
 - d. Differences of opinion
14. Which of the following quality control policies and procedures does not relate to human resources and assignment?
 - a. Emphasize independence of mental attitude in training programs and in supervision and review of the audits
 - b. Monitor the effectiveness of recruiting programs
 - c. Identify criteria which will be considered in evaluating individual performance and expected proficiency
 - d. Identify on a timely basis the staffing requirements of specific audits
15. In connection with the element of assignment, a CPA firm's system of quality control should ordinarily establish procedures that
 - a. Provide adequate supervision at all levels, considering the training, ability and experience of the personnel assigned
 - b. Encourage personnel to use authoritative sources on complex or unusual matter
 - c. Require preparation of time budgets for audits to determine manpower requirements and to schedule the audit work
 - d. Establish qualifications deemed necessary for various levels of responsibility within the firm
16. In connection with the element of engagement performance, a CPA firm's quality control should ordinarily provide that all personnel
 - a. Have the knowledge required to enable them to fulfill responsibilities assigned
 - b. Review and test compliance with the firm's quality control policies and procedures
 - c. Seek assistance from persons having appropriate levels of knowledge, judgment and authority
 - d. Appropriately maintain independence when providing assurance services
17. For audits of financial statements of listed entities, the engagement partner should not issue the auditor's report until the completion of the
 - a. Engagement Quality Control Review
 - b. Management Review
 - c. Engagement Team Review
 - d. Engagement Partner Review
18. An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should
 - a. Withdraw and consider whether there is any obligation to report to other parties the circumstances necessitating the withdrawal
 - b. Issue a report that includes reference to the original engagement and any procedures that may have been performed in the original engagement
 - c. Not agree to a change of engagement where there is no reasonable justification for doing so
 - d. Consider the change reasonable if it relates to information that is correct, incomplete or otherwise unsatisfactory
19. Which of the following quality control objectives would be least important to the auditor?
 - a. Engagement performance
 - b. Human resources
 - c. Determination of audit fee
 - d. Independence
20. As a guidance for measuring the quality of the performance of an auditor, the auditor should refer to
 - a. Statements of the Financial Accounting Standards Board
 - b. Generally Accepted Auditing Standards
 - c. Interpretations of the Statements on Auditing Standards
 - d. Statements on Quality Control Standards



21. A CPA, while performing an audit, strives to achieve independence in appearance in order to
 - a. Reduce risk and liability
 - b. Comply with the generally accepted standards of field work
 - c. Become independent in fact
 - d. Maintain public confidence in the profession

22. Which of the following best describes a portion of the auditors' responsibility regarding illegal acts by clients?
 - a. The auditors have a responsibility to discover all material illegal acts
 - b. If audit procedures reveal illegal acts, the auditors should take appropriate actions
 - c. If the auditors suspect illegal acts have been performed, they should conduct a legal audit of the company
 - d. The auditors' responsibility for the detection of all illegal acts is the same as their responsibility regarding material misstatements due to errors and fraud

23. The auditors who find that the client has committed an illegal act would be most likely to withdraw from the engagement when the
 - a. Management fails to take appropriate corrective action
 - b. Illegal act has material financial statement implications
 - c. Illegal act has received widespread publicity
 - d. Auditors cannot reasonably estimate the effect of the illegal act on the financial statements

24. If an illegal act is discovered during the audit of a publicly held company, the auditors should first
 - a. Notify the regulatory authorities
 - b. Determine who was responsible for the illegal act
 - c. Intensify the examination to identify all illegal acts
 - d. Report the act to high level personnel within the client's organization and to the audit committee

25. The following are examples of error, except
 - a. A mistake in gathering or processing data from which financial statements are prepared
 - b. An incorrect accounting estimate arising from oversight or misinterpretation of facts
 - c. A mistake in the application of accounting principles relating to measurement, recognition, classification, presentation, or disclosure
 - d. Misrepresentation in the financial statements of events, transactions or other significant information

26. The term "fraud" refers to an intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage. Which statement is correct regarding fraud?
 - a. Auditors make legal determinations of whether fraud has actually occurred
 - b. Misstatement of the financial statements may not be the objective of some frauds
 - c. Fraud involving one or more members of management or those charged with governance is referred to as "employee fraud"
 - d. Fraud involving only employees of the entity is referred to as "management fraud"

27. The types of intentional misstatements that are relevant to the auditor's consideration of fraud include
 - I. Misstatements resulting from fraudulent financial reporting
 - II. Misstatements resulting from misappropriation of assets
 - a. I and II
 - b. I only
 - c. II only
 - d. Neither I nor II

28. Fraudulent financial reporting involves intentional misstatements or omissions of amounts or disclosures in financial statements to deceive financial statement users. Fraudulent financial reporting least likely involve
 - a. Deception such as manipulation, falsification, or alteration of accounting records or supporting documents from which the financial statements are prepared
 - b. Misrepresentation in, or intentional omission from, the financial statements of events, transactions or other significant information
 - c. Intentional misapplication of accounting principles relating to measurement, recognition, classification, presentation, or disclosure
 - d. Embezzling receipts, stealing physical or intangible assets, or causing an entity to pay for goods and services not received

29. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error because
 - a. The effect of fraudulent act is likely omitted in the accounting records
 - b. Fraud is ordinarily accompanied by acts specifically designed to conceal its existence
 - c. Fraud is always a result of connivance between or among employees
 - d. The auditor is responsible to detect errors but not fraud



30. Which of the following best describes what is meant by the term “fraud risk factor”?
- Factors whose presence indicates that the risk of fraud is high
 - Factors whose presence often has been observed in circumstances where frauds have occurred
 - Factors whose presence requires modifications of planned audit procedures
 - Reportable conditions identified during an audit
31. Fraud risk factors relating to management’s characteristics and influence over the control environment
- Pertain to management’s abilities, pressures, style, and attitude relating to internal control and the financial reporting process
 - Involve the economic and regulatory environment in which the entity operates
 - Pertain to the nature and complexity of the entity and its transactions, the entity’s financial condition, and its profitability
 - Involve the lack of controls designed to prevent or detect misappropriation of assets
32. Which of the following is least likely a category of fraud risk factors that relate to misstatements resulting from fraudulent financial reporting?
- Management’s characteristics and influence over the control environment
 - Industry conditions
 - Operating characteristics and financial stability
 - Susceptibility of assets to misappropriation
33. Which of the following circumstances most likely indicate the possibility of fraud or error?
- Management engages in frank communication with appropriate third parties, such as regulators and bankers
 - Evidence of an unduly lavish lifestyle by officers or employees
 - Conservative application of accounting principles
 - Minimal differences from expectations disclosed by analytical procedures
34. If the auditor believes an indicated fraud or error could have a material effect on the financial statements, the nature, timing and extent of the procedures to be performed depends on the auditor’s judgment as to
- The type of fraud or error
 - The likelihood that a particular type of fraud or error could have a material effect on the financial statements
 - The likelihood of their occurrence
 - All of the above
35. If an auditor believes a client may have committed illegal acts, which of the following actions should the auditor take?
- Consult with the client’s counsel and the auditor’s counsel to determine how the suspected illegal acts will be communicated to stockholders
 - Extend auditing procedures to determine whether the suspected illegal acts have a material effect on the financial statements
 - Make inquiries of the client’s management and obtain an understanding of the circumstances underlying the acts and of other evidence to determine the effects of the acts on the financial statements
 - Notify each member of the audit committee of the board of directors about the nature of the acts and request that they advise an approach to be taken by the auditor
36. When the auditor becomes aware of information concerning a possible noncompliance to laws or regulations, the auditor should appropriately
- Obtain an understanding of the nature of the act and the circumstances in which it has occurred, and evaluate the possible effect on the financial statements
 - Discuss his suspicion with the management
 - Ask management to determine whether a violation is really committed
 - Consult with the entity’s legal counsel as to what appropriate action the auditor should do
37. Which of the following circumstances regarding the entity’s noncompliance to laws or regulations may cause the auditor to resign from an engagement?
- The auditor is unable to determine whether noncompliance has occurred
 - If the auditor concludes that the noncompliance has a material effect on the financial statements and has not been properly reflected in the financial statements
 - When the entity does not take remedial action that he considers necessary in the circumstances even when the noncompliance is not material to financial statements
 - When the disclosure of the effect of noncompliance to legal authority is necessary



AUDIT PLANNING AND MATERIALITY

REFERENCES:

PSA 210: Agreeing the Terms of Audit Engagements

PSA 230: Audit Documentation

PSA 300: Planning an Audit of Financial Statements

PSA 315: Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment

PSA 320: Materiality in Planning and Performing an Audit

PSA 520: Analytical Procedures

Preliminary Engagement Activities

- Perform procedures regarding acceptance or continuance of the client relationship.
 - **Acceptance or selection procedures – in case of initial audit (prospective/new client)**
 - **Evaluate integrity of the client’s management**
 - ✓ Most of litigations involving CPAs are due to lack of integrity of client’s management.
 - ✓ Lack of management integrity usually results to high audit risk.
 - **Investigate/research the client’s background**
 - ✓ Internet searches.
 - ✓ Review the entity’s financial statements.
 - ✓ Consider engaging professionals/investigators to evaluate the principals associated with the prospective client.
 - ✓ Obtain credit ratings and reports, if necessary.
 - **Inquiring from other firm personnel or third parties**
 - **Communicate with prospective client’s predecessor auditor:** Matters to be inquired of or discussed with the predecessor (previous/former) auditor by the incoming/successor auditor:
 - ✓ Facts/information that might bear on the integrity of the prospective client.
 - ✓ Predecessor auditor’s understanding as to the reasons for the change of auditors.
 - ✓ Any disagreement between the predecessor auditor and the client regarding accounting principles or auditing procedures or other similarly significant matters.
 - **Continuance or retention procedures – in case of recurring audit (or existing client)**
 - To ensure the audit firm’s continuing compliance with acceptance and continuance procedures, existing clients should be evaluated once a year or upon occurrence of the following:
 - ✓ Changes in management, directors or ownership.
 - ✓ Nature of client’s business.
 - **Evaluate compliance with ethical requirements, including independence**
 - **Independence** – The CPA firm or auditor shall identify, evaluate and respond to any threat to independence.

- The CPA firm or auditor must be independent of the client whose financial statements are subject to audit.
- Audit opinion is not credible or of little or no value if the auditor is not independent.
- **Professional competence** – determine if the CPA firm or auditor has the necessary skills and competence.
 - Professional accountants should not portray themselves as having the required expertise which they do not possess.
 - The auditor should obtain preliminary understanding of prospective client’s business and industry to determine whether the auditor has the required degree of competence.
 - If the auditor does not possess the industry expertise, he should obtain knowledge of matters that relate to the nature of the entity’s business and industry.
- **Ability to serve the client properly** – the CPA firm or auditor must have capability, time and resources to perform the audit.
- **Establish an understanding of the terms of the engagement**
 - The CPA firm or auditor shall accept or continue an audit engagement only when: a. The **preconditions for an audit** are present:
 - Management has used acceptable financial reporting framework (or suitable criteria or appropriate basis for) in the preparation of the financial statements.
 - Factors to consider in determining the acceptability of the financial reporting framework:
 - The nature of the entity.
 - The purpose of the financial statements.
 - The nature of the financial statements.
 - Whether law or regulation prescribes the applicable financial reporting framework.
 - ✓ Management agrees to the premise that it has acknowledged and understood its responsibilities.

Agreement on audit engagement terms

- The auditor shall agree on the terms of the audit engagement with management or those charged with governance, as appropriate.
- **Engagement letter** – an agreement between the CPA firm or auditor and the client for the conduct of the audit. It is a letter from the auditor to the client management, and when signed by the client it serves as a formal written contract between them. Engagement letter documents and confirms the:
 - Auditor’s acceptance of the appointment.
 - Client’s acceptance of the terms of the audit engagement.
 - Responsibilities of both the client management and the auditor.
 - Arrangements or agreed terms of the engagement (such as the objectives and scope of the audit, the form of any reports, etc.).
 - ✓ **Importance (primary reason) of an engagement letter:** It clarifies the nature of the engagement and the responsibilities of management and those of the auditor. This will help in avoiding or minimizing or resolving future misunderstandings disagreement

between the auditor and the client with respect to the engagement.

- o Engagement letter should be sent to the client preferably before the start of the engagement.
- o An engagement letter is normally addressed to whoever hired the CPA.

Audit Engagement in Recurring Audits

- o The auditor may decide not to send a new engagement letter or other written agreement each period.
- o The following factors may make it appropriate to send a new engagement letter:
 - Revision of the terms of audit engagement because:
 - ✓ Any revised or special terms of the engagement.
 - ✓ A recent change of senior management or those charged with governance.
 - ✓ A significant change in ownership.
 - ✓ A significant change in nature or size of the client's business.
 - Reminder to the client of the existing terms of the engagement any indication that the client misunderstands the objective and scope of the audit.

Audit procedures when the client requests for a change in engagement

- o Consider the appropriateness of reasons for the engagement.
- o If there is a reasonable justification for the change – stop the original engagement and agree on the new terms of engagement. And then proceed with the new engagement.
 - To avoid confusing the users of the new report, do not mention the following in the new report:
 - ✓ The original engagement.
 - ✓ Any procedures that may have been performed in the original engagement (except where the engagement is changed to an engagement to undertake agreed- upon procedures and thus the reference to the procedures performed is a normal part of the report).
- o **If there is no reasonable justification** – refuse the client's request, and continue to perform the original engagement and issue the original report.
 - If the auditor is not permitted to continue the original engagement, the auditor should withdraw from the engagement and consider reportorial responsibilities to the BOD or shareholders of the client.

Whether or not to accept a change in engagement

- o **Change to a lower level assurance engagement:** The auditor shall not agree where there is no justification/basis for the change to a lower level assurance engagement.
 - **The auditor should agree if there is reasonable basis, such as:**
 - ✓ A change in circumstances affecting the entity's requirements or need for the service.
 - A misunderstanding as to the nature of an audit or related service originally requested.
 - A restriction on the scope of the engagement, whether imposed by management or caused by circumstances.

- ✓ If there is a reasonable change, no reference of the same shall be included in the report.

- **Not agree if there is no reasonable justification** – if the **change** relates to incorrect, incomplete or otherwise unsatisfactory information.

- ✓ **Withdraw from the engagement** – if the auditor is unable to agree to the change and is not permitted/allowed to continue the original engagement because of his disagreement.

Audit Planning

- o Audit planning involves establishing the overall audit strategy for the engagement and developing an audit plan, in order to reduce audit risk to an acceptably low level.

Factors that affect the nature and extent of audit planning

- o **The size and complexity of the entity** – big companies and companies with more complex operations require more audit planning time.
- o **Changes in circumstances that occur during the audit engagement** – for example, expansion of operation because of diversification.
- o **The auditor's previous experience with and understanding of the entity** – more work is required to obtain information regarding a new client than for an existing client.
 - ✓ Initial audit requires more audit time because the auditor has no previous knowledge or is unfamiliar with the client's business, industry and internal control which need to be carefully studied.
 - ✓ Recurring audit requires lesser audit time because of auditor's previous knowledge of the entity and its industry.

o The composition and size of the audit team

Planning stage of audit – the time before fieldwork starts, when the auditor is gathering information about the client and its environment and designing overall audit strategy and audit plan.

Planning Activities for the Audit Engagement

- o In order to **reduce audit risk to an acceptably low level**, the auditor shall:
 - Establish an **overall audit strategy** that sets the scope, timing and direction for the audit, and that guides the development of the more detailed audit plan.
 - Develop an **audit plan** that addresses the various matters identified in the overall audit strategy.

Audit plan includes a description of:

- The nature, timing and extent of planned risk assessment procedures.
- The nature, timing and extent of planned further audit procedures (at the assertion level) – to be performed during testing stage.

Further audit procedures include:

- ✓ **Tests of controls** – tests of the operating effectiveness of internal control.
- ✓ **Substantive tests/procedures** – include tests of details and analytical procedures.
- Other planned audit procedures (that are required to be carried out to comply with PSAs).

Planning the nature, timing and extent of direction

- o The nature, timing and extent of direction, supervision of audit engagement team members and review of their work depend on the following factors:

- **Size and complexity of the entity** – Audits of small entities requires lesser (or even no) direction, supervision, and review of the work of assistants.
- **Area of audit** – Difficult aspects of audit demand increased direction, supervision, and a more detailed review of work of assistants.
- **Risks of material misstatement** – As the assessed risk of material misstatement increases, a given area of the audit, the auditor ordinarily increases the extent and timeliness of direction, supervision and review.
- **Capabilities and competence** of personnel performing the audit work.

Other planning considerations

- **The auditor should consider the work of experts and other independent auditors**
 - **Considering the work of an expert** – An **expert** is a person or firm possessing special skill, knowledge and experience in a particular field or discipline other than accounting and auditing.
 - **Considering the work of other independent auditors** – applicable when a component of the entity is to be audited by other independent auditor.
- **Discussing planned audit procedures with client management:**
 - Discussion is allowed to facilitate the conduct and management of the audit engagement.
 - Discussion should not compromise the effectiveness of the audit (audit procedures should not be too predictable).

Determining the appropriate materiality levels

- The auditor shall determine **materiality** and **performance materiality** when planning the audit.

Concept of materiality

- **Materiality** is the amount (threshold or cut-off point) at which judgment of informed decision makers based on the financial statement may be altered (changed or influenced).
- An item or information is material if its omission or misstatement could influence the economic decisions of users taken on the basis of the financial statements.
- In determining appropriate level of materiality, the auditor uses professional judgment using his perception of the needs of reasonable users of the financial statements.

Uses of materiality in planning the audit

- To determine the nature, timing and extent of risk assessment procedures.
- To identify and assess risk of material misstatement.
- To determine the nature, timing and extent of further audit procedures.

Considering materiality throughout the audit

- **Planning stage**
 - ✓ To identify and assess risks of material misstatements.
 - ✓ To determine the nature, timing and extent of further audit procedures.
- **Testing stage** (materiality levels set during audit planning are simply updated/revised if necessary).
- **Completion stage**
 - ✓ To evaluate the effect of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report.

Materiality levels

- **Materiality at financial statement as a whole** – it is the smallest aggregate level that could misstate/distort any of the financial statements.
 - Also known as **materiality threshold** or **planning materiality** or **overall materiality**.
 - Overall materiality is usually expressed as a % of a chosen benchmark (such as profit before tax, total revenues, gross profit, total expenses, total equity or net asset value).
- **Materiality at assertion level** – materiality level for individual or particular class of transactions, account balance, or disclosure where appropriate; this is also known as **tolerable misstatement**.
 - **Tolerable misstatement** refers to allocated materiality to affected accounts (usually statement of financial position accounts because they are fewer).
 - **Account balance** – an individual line item in the financial statements, such as cash and cash equivalents, loans and receivable, etc.
 - **Class of transactions** – type of transaction processed by the client's accounting system, such as sales transactions and purchasing transactions.
 - Materiality at this level is lesser than the overall materiality level but could reasonably be expected to influence the economic decisions of financial statement users.
- **Performance materiality** – amount or amounts set by the auditor:
 - At less than materiality for the financial statements as a whole.
 - At less than materiality level or levels for particular classes of transactions, account balances or disclosures.

Identify the risks of material misstatement:

- Identify risks of material misstatement (inherent risk and control risk) based on understanding the entity and its environment, including the entity's relevant internal control. The auditor shall provide reasonable assurance of detecting material misstatements, whether arising from errors or fraud.

Risk of material misstatement (RMM) – the risk that the financial statements contain a material misstatement.

Components of RMM:

- The risks of **material** misstatement are a combination of inherent risk and control risk:
 - **Inherent risk** – the susceptibility of an assertion to a misstatement that could be material, either individually or when aggregated with other misstatements, assuming there are no related controls to mitigate such risks
Inherent risk may also be described as follows:
 - ✓ The concept of inherent risk recognizes that the risk of misstatement is greater for some assertions than for others.
 - ✓ Inherent risk is the risk that financial statements are likely to be materially misstated.

Examples of inherent risk:

- ✓ Cash is more susceptible to theft than an inventory of coal.
- ✓ Complex calculations are more likely to be misstated than simple calculations.

- ✓ Estimation transactions, especially if they involve accounting estimates that are subject to significant measurement uncertainty.
- ✓ High value inventory (could be easily stolen, thus, there would be an inherent risk relating to the existence assertion).

- **Control risk** – the risk that a material misstatement, either individually or when aggregated with other misstatements, that could occur will not be prevented or detected and corrected on a timely basis by the entity's internal control.

- ✓ Control risk is a function of the effectiveness of the entity's internal control.
- ✓ Control risk is the type of risk that the management has the most control over in the short term.
- ✓ Some control risk will always exist because of the inherent limitations of any internal control system.

- Risk of material misstatement (inherent risk and control risk) cannot be eliminated or controlled by the auditor because these are entity's risks that exist independently of the audit of financial statements.

Assess the identified risks of material misstatement

- Factors to consider whether a risk is significant:
 - Whether the risk is a risk of fraud.
 - Whether the risk is related to recent significant economic accounting or other developments and, therefore, requires specific attention.
 - Complexity of transactions.
 - Whether the risk involves significant transactions with related parties.
 - The degree of subjectivity in the measurement of financial information related to the risk, especially those involving uncertainty.
 - Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

Risk assessment procedures

- Inquires of management and others within the entity that is likely to assist the auditor in identifying risk of material misstatement due to fraud or error.
- **Analytical procedures**
 - **Analytical procedures** – evaluations of financial information made by a study of plausible relationships among both financial and nonfinancial data.
 - Purpose of preliminary analytical procedures:
 - ✓ To identify areas that may represent specific risks.
 - ✓ To enhance the auditor's understanding of the entity's business and transactions.
 - Planning is known as **preliminary analytical procedures**
 - Analytical procedures involve:
 - ✓ Analysis of significant ratios and trends or the study of plausible relationships among both financial and non-financial data.
 - ✓ Investigation of fluctuations and relationships that are inconsistent with other relevant information or deviate significantly from predicted amounts by:
 - Inquiries of management.

- Corroboration of management responses.
- Applying other appropriate audit procedures.

Specific purpose/focus/objective of analytical procedures in the three stages of audit

- **In the planning stage** – performed as risk assessment procedures (required/mandatory) to obtain an understanding of the entity and its environment.

Objective/purpose/focus during planning stage:

- ✓ To enhance the auditor's understanding of the entity's business and transactions to help plan the nature, timing, and extent of substantive auditing procedures that will be used to gather audit evidence.
- ✓ To identify areas that may represent specific risks (such as unusual transactions and events or abnormal/significant fluctuations in amounts, ratios, or trends) that the auditor may need to investigate further.

- **In testing stage** – as substantive procedures when their application is, based on the auditor's judgment, more effective and efficient than test of details (not required).

Objective/purpose/focus during testing stage:

- ✓ To obtain audit evidence to confirm individual account balances.

- **In the overall review or completion stage** – as an overall review of the financial statements (required).

Objective/purpose/focus:

- ✓ To identify a previously unrecognized risk of material misstatement (unusual fluctuations that were not identified in the planning and testing phases of the audit).
- ✓ To confirm conclusions reached with respect to the fairness of the financial statements.

-- END --



AUDIT PLANNING AND MATERIALITY

QUESTIONS

1. It involves establishing the overall audit strategy for the engagement and developing an audit plan in order to reduce audit risk to an acceptably low level
 - a. Reporting
 - b. Planning
 - c. Field Work
 - d. Organizing
2. Adequate planning of the audit work helps ensure that
 - Appropriate attention is devoted to important areas
 - All misstatements will be detected
 - Potential problems are identified
 - The work is completed efficiently and effectively
 - a. Yes, Yes, Yes, Yes
 - b. No, Yes, No, Yes
 - c. Yes, No, Yes, Yes
 - d. Yes, No, Yes, No
3. Audit plans should
 - Precede actions
 - Be flexible
 - Be cost beneficial
 - a. No, Yes, Yes
 - b. Yes, No, Yes
 - c. Yes, Yes, Yes
 - d. No, Yes, No
4. The auditor should plan the audit work so that the audit will be performed in an effective manner. The extent of planning will vary according to the
 - Size of the entity
 - Complexity of the audit
 - Auditor's experience with the entity and knowledge of the business
 - a. Yes, Yes, Yes
 - b. Yes, No, Yes
 - c. No, Yes, Yes
 - d. No, No, No
5. Which of the following matters should be considered by the auditor in developing the overall audit strategy?
 - a. Important characteristics of the entity, its business, its financial performance and its reporting requirements including changes since the date of the prior audit
 - b. Conditions requiring special attention such as the existence of related parties
 - c. The setting of materiality level for audit purposes
 - d. All of the above
6. An audit program should be designed for each individual audit and should include audit steps and procedures to
 - a. Detect and eliminate all fraud
 - b. Increase the amount of management information available
 - c. Provide assurance that the objectives of the audit are met
 - d. Insure that only material items are audited
7. Which of the following matters would least likely appear in the audit program?
 - a. Specific procedures that will be performed
 - b. Specific audit objectives
 - c. Estimated time that will be spent in performing certain procedures
 - d. Documentation of the accounting and internal control systems being reviewed
8. The auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate. The agreed terms shall be recorded in a/an
 - a. Engagement letter
 - b. Letter of audit inquiry
 - c. Management representation letter
 - d. Confirmation letter
9. Which of the following topics is not normally included in an engagement letter?
 - a. The auditors' preliminary assessment of internal control
 - b. The auditors' estimate of the fee for the engagement
 - c. Limitations on the scope of the engagement
 - d. A description of responsibility for the detection of fraud
10. During the initial planning phase of an audit, a CPA most likely would
 - a. Identify specific internal control activities that are likely to prevent fraud
 - b. Evaluate the reasonableness of the client's accounting estimates
 - c. Discuss the timing of the audit procedures with the client's management
 - d. Inquire of the client's attorney as to whether any unrecorded claims are probable of assertion



11. The element of the audit planning process most likely to be agreed upon with the client before implementation of the audit strategy is the determination of the
 - a. Evidence to be gathered to provide a sufficient basis for the auditor's opinion
 - b. Procedures to be undertaken to discover litigation, claims, and assessments
 - c. Pending legal matters to be included in the inquiry of the client's attorney
 - d. Timing of inventory observation procedures to be performed
12. In the planning stage of an audit engagement, the auditor is required to perform audit procedures to obtain an understanding of the entity and its environment, including its internal control. These procedures are called
 - a. Risk assessment procedures
 - b. Substantive tests
 - c. Tests of control
 - d. Dual-purpose tests
13. Which of the following procedures would a CPA ordinarily perform during audit planning?
 - a. Obtain understanding of the client's business and industry
 - b. Review the client's bank reconciliation
 - c. Obtain client's representation letter
 - d. Review and evaluate client's internal control
14. In performing an audit of financial statements, the auditor should have or obtain knowledge of the client's business sufficient to
 - a. Make constructive suggestions concerning improvements in internal control
 - b. Identify transactions and events that may affect the financial statements
 - c. Develop an attitude of professional skepticism
 - d. Assess the level of control risk
15. Which of the following factors most likely would lead a CPA to conclude that a potential audit engagement should be rejected?
 - a. The details of most recorded transactions are not available after a specified period of time
 - b. Internal control activities requiring the segregation of duties are subject to management override
 - c. It is unlikely that sufficient appropriate evidence is available to support an opinion on the financial statements
 - d. Management has a reputation for consulting with several accounting firms about significant accounting issues
16. Which of the following factors most likely would influence an auditor's determination of the auditability of an entity's financial statements?
 - a. The complexity of the accounting system
 - b. The existence of related party transactions
 - c. The adequacy of the accounting records
 - d. The operating effectiveness of control activities
17. The auditors are planning an audit engagement for a new client in a business that is unfamiliar to the auditors. Which of the following would be the most useful source of information for the auditors during the preliminary planning stage when they are trying to obtain a general understanding of audit problems that might be encountered?
 - a. Client manuals of accounts and charts of accounts
 - b. AICPA Industry Audit Guides
 - c. Prior year working papers of the predecessor auditors
 - d. Latest annual and interim financial statements issued by the client
18. Prior to beginning the field work on a new audit engagement in which a CPA does not possess expertise in the industry in which the client operates, the CPA should
 - a. Reduce audit risk by lowering the preliminary levels of materiality
 - b. Design special substantive tests to compensate for the lack of industry expertise
 - c. Engage financial experts familiar with the nature of the industry
 - d. Obtain a knowledge of matters that relate to the nature of the entity's business
19. Before accepting an engagement to audit a new client, an auditor is required to
 - a. Obtain a copy of the client's financial statements
 - b. Prepare a memorandum setting forth the staffing requirements and documenting the preliminary audit plan
 - c. Make inquiries of the predecessor auditor after obtaining the consent of the prospective client
 - d. Discuss the management representation letter with the client's audit committee
20. Before accepting an audit engagement, a successor auditor should make specific inquiries of the predecessor auditor regarding the predecessor's
 - a. Opinion of any subsequent events occurring since the predecessor's audit report was issued
 - b. Understanding as to the reasons for the change of auditors
 - c. Awareness of the consistency in the application of GAAP between periods
 - d. Evaluation of all matters of continuing accounting significance



21. Which of the following procedures would an auditor most likely include in the initial planning of a financial statement audit?
 - a. Obtaining a written representation letter from the client's management
 - b. Examining documents to detect illegal acts having a material effect on the financial statements
 - c. Considering whether the client's accounting estimates are reasonable in the circumstances
 - d. Determining the extent of involvement of the client's internal auditors
22. Prior to commencing fieldwork, an auditor usually discusses the general audit strategy with the client's management. Which of the following matters do the auditor and management agree upon at this time?
 - a. The appropriateness of the entity's plans for dealing with adverse economic conditions
 - b. The determination of the fraud risk factors that exist within the client's operations
 - c. The control weaknesses to be included in the communication with those charged with governance
 - d. The coordination of the assistance of the client's personnel in data preparation
23. Analytical procedures used in planning an audit should focus on
 - a. Evaluating the adequacy of evidence gathered concerning unusual balances
 - b. Testing individual account balances that depend on accounting estimates
 - c. Enhancing the auditor's understanding of the client's business
 - d. Identifying material weaknesses in the internal control structure
24. These consist of the analysis of significant ratios and trends including the resulting investigation of fluctuations and relationship that are inconsistent with other relevant information or deviate from predictable amount
 - a. Financial statement analysis
 - b. Variance analysis
 - c. Analytical procedures
 - d. Regression analysis
25. A basic premise underlying analytical procedure is that
 - a. These procedures cannot replace test of balances and transactions
 - b. Statistical tests of financial information may lead to the discovery of material misstatements in the financial statements
 - c. The study of financial ratios is an acceptable alternative to the investigation of unusual fluctuations
 - d. Plausible relationships among data may reasonably be expected to exist and continue in the absence of known conditions to the contrary
26. Which of the following is an analytical procedure that an auditor most likely would perform when planning an audit?
 - a. Confirming bank balances with the financial institutions
 - b. Scanning accounts receivable for amounts over credit limits
 - c. Recalculating inventory extensions of physical inventory counts
 - d. Comparing the current-year account balances for conformity with predictable patterns
27. One reason why an auditor makes an analytical review of the client's operations is to identify
 - a. Improper separation of accounting and other financial duties
 - b. Weakness of a material nature in the system of internal accounting control
 - c. Unusual transactions
 - d. Non-compliance with prescribed control procedures
28. Which of the following statements about analytical procedures is incorrect?
 - a. Analytical procedures are required to be performed in the planning phase of the audit
 - b. Analytical procedures are required to be done during the testing phase of the audit
 - c. Analytical procedures are required to be done during the completion phase of the audit
 - d. Analytical procedures may be performed in the planning, testing and completion phase of the audit
29. Which of the following items tend to be the most predictable for purposes of analytical procedures applied as substantive tests?
 - a. Relationships involving balance sheet accounts
 - b. Transactions subject to management discretion
 - c. Relationships involving income statement accounts
 - d. Data subject to audit testing in the prior period
30. When planning an audit, an auditor should:
 - a. Consider whether the extent of substantive procedures may be reduced based on the results of the internal control questionnaire
 - b. Make preliminary judgments about materiality levels for audit purposes
 - c. Conclude whether changes in compliance with prescribed control procedures justifies reliance on them
 - d. Prepare a preliminary draft of the management representation letter



31. The auditors must consider materiality in planning an audit engagement. Materiality for planning purposes is
 - a. The auditors' preliminary estimate of the largest amount of misstatement that would be material to any one of the client's financial statements
 - b. The auditors' preliminary estimate of the smallest amount of misstatement that would be material to any one of the client's financial statements
 - c. The auditors' preliminary estimate of the amount of misstatement that would be material to the client's balance sheet
 - d. An amount that cannot be quantitatively stated since it depends on the nature of the item
32. Materiality should be considered by the auditor when
 - Determining the nature, timing and extent of audit procedures
 - Evaluating the effect of misstatements
 - a. Yes, Yes
 - b. Yes, No
 - c. No, No
 - d. No, Yes
33. In developing the preliminary level of materiality in an audit, the auditor will
 - a. Look to audit standards for specific materiality guidelines
 - b. Increase the level of materiality if fraud is suspected
 - c. Rely primarily on professional judgment to determine the materiality level
 - d. Use the same materiality level as that used for different clients in the same industry
34. Which of the following statements concerning materiality thresholds is incorrect?
 - a. Aggregate materiality thresholds are a function of the auditor's preliminary judgments concerning audit risk
 - b. In general, the more misstatements the auditor expects, the higher should be the aggregate materiality threshold
 - c. The smallest aggregate level of errors or fraud that could be considered material to any one of the financial statements is referred to as a "materiality threshold"
 - d. Materiality thresholds may change between the planning and review stages of the audit. These changes may be due to quantitative and/or qualitative factors
35. In considering materiality for planning purposes, an auditor believes that misstatements aggregating P100,000 would have a material effect on an entity's income statement, but those misstatements would have to aggregate P200,000 to materially affect the balance sheet. Ordinarily, it would be appropriate to design auditing procedures that would be expected to detect misstatements that aggregate
 - a. P100,000
 - b. P200,000
 - c. P150,000
 - d. P300,000
36. In planning the audit, the auditor should assess materiality at two levels
 - a. The preliminary level and the final level
 - b. The company level and the divisional level
 - c. The account balance level and the detailed item level
 - d. The financial statement level and the account level
37. "Tolerable misstatement" is the term used to indicate materiality at the
 - a. Balance sheet level
 - b. Account balance level
 - c. Income statement level
 - d. Company-wide level
38. Which of the following statements is correct regarding the auditor's determination of materiality?
 - a. The planning level of materiality should normally be the larger of the amount considered for the balance sheet versus the income statement
 - b. The auditors' planning level of materiality may be disaggregated into smaller "tolerable misstatements" for the various accounts
 - c. Auditors may use various rules of thumb to arrive at an evaluation level of materiality, but not for determining the planning level of materiality
 - d. The amount used for the planning should equal that used for evaluation
39. All else being equal, as the level of materiality decreases, the amount of evidence required will
 - a. Remain the same
 - b. Change in an unpredictable fashion
 - c. Decrease
 - d. Increase
40. Which of the following would an auditor most likely use in determining the auditor's preliminary judgment about materiality?
 - a. The anticipated sample size of the planned substantive tests
 - b. The entity's annualized interim financial statements
 - c. The results of the internal control questionnaire
 - d. The content of the management representation letter



AUDIT RISK

REFERENCES:

PSA 450: Evaluation of Misstatements Identified during the Audit

PSA 330: The Auditor’s Responses to Assessed Risks

Audit risk

- Risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated.
- A function of the risks of material misstatement and detection risk.
- Does not include the risk that the auditor might express an opinion that the financial statements are materially misstated when they are not.
- A technical term related to the process of auditing.
- It does not refer to the auditor’s business risks such as loss from litigation, adverse publicity, or other events arising in connection with the audit of financial statements.

Risk of material misstatements

- The risk that the financial statements are materially misstated prior to audit.
- Risk of material misstatement may exist at two levels:
 - ✓ **Overall financial statement level** – refer to risks of material misstatement that relate pervasively to the financial statements as a whole and potentially affect many assertions.
 - ✓ **Assertion level** – refer to risks of material misstatement that relate to classes of transactions, account balances, and disclosures.
- Risk of material misstatement at the assertion level has two components:
 - ✓ **Inherent risk** – the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls.
 - ✓ **Control risk** – the risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity’s internal control.
 - Control risk is a function of the effectiveness of the design, implementation and maintenance of internal control by management to address identified risks that threaten the achievement of the entity’s objectives relevant to preparation of the entity’s financial statements. However, internal control, no matter how well designed and operated, can only reduce, but not eliminate, risks of material misstatement in the financial statements, because of the inherent limitations of internal control. Accordingly, some control risk will always exist.
 - Risks of material misstatement at assertion level (inherent risk and control risk) are the entity’s risks; they exist independently of the audit of the financial statements.
 - Such risks are assessed in order to determine the nature, timing and extent of further audit procedures necessary to obtain sufficient appropriate audit evidence.

- This evidence enables the auditor to express an opinion on the financial statements at an acceptably low level of audit risk.
- The assessment of risks is a matter of professional judgment, rather than a matter capable of precise measurement.

- ✓ **Detection risk** is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.
 - Detection risk relates to the nature, timing and extent of the auditor’s procedures that are determined by the auditor to reduce audit risk to an acceptably low level. It is therefore a function of the effectiveness of an audit procedure and of its application by the auditor.
 - For a given level of audit risk, the acceptable level of detection risk bears an inverse relationship to the assessed risks of material misstatement at the assertion level. For example, the greater the risks of material misstatement the auditor believes exists, the less the detection risk that can be accepted and, accordingly, the more persuasive the audit evidence required by the auditor.
 - The following matters assist to enhance the effectiveness of an audit procedure and of its application and reduce the possibility that an auditor might select an inappropriate audit procedure, misapply an appropriate audit procedure, or misinterpret the audit results:
 - Adequate planning
 - Proper assignment of personnel to the engagement team
 - The application of professional skepticism, and
 - Supervision and review of the audit work performed
 - Detection risk, however, can only be reduced, not eliminated, because of the inherent limitations of an audit. Accordingly, some detection risk will always exist.

Steps in assessing Audit Risk

- **Set the desired level of Audit Risk**
 - ✓ **Audit risk** – the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated; it is the risk that the auditor may unknowingly fail to modify appropriately the opinion on financial statements that are materially misstated.
- **Assess the level of Inherent Risk** (such as low, medium, or high) – for example, low level if likelihood of misstatement is low.
 - ✓ **Inherent risk** – the susceptibility of an assertion to a misstatement that could be material, either individually or when aggregated with other misstatements, assuming there are no related controls to mitigate such risks.
 - ✓ Sources of assessment include knowledge of entity and its environment and preliminary analytical procedures.
- **Assess the level of Control Risk** (such as low, medium, or high) – for example, low control risk if internal control is

effective, or high control risk if internal control is not effective.

- ✓ **Control risk** – the risk that a material misstatement, either individually or when aggregated with other misstatements, that could occur will not be prevented or detected and corrected on a timely basis by the entity’s internal control.
- ✓ Sources of assessment include knowledge of internal control and observation and inspection.
- ✓ **Combined assessment:**
The auditor usually makes combined assessment of inherent and control risks. If the combined assessment of inherent risk and control risk is high, the auditor should:
 - Place more emphasis on obtaining external evidence.
 - Reduce reliance on internal evidence.
 - Design more effective substantive procedures.
- **Determine the acceptable level of detection risk:** The acceptable level of detection risk depends on the assessed level of inherent and control risk (inverse relationship).
 - ✓ **Detection risk** – the risk that the auditor will not detect such a material misstatement that exists/occurs in an assertion.
 - Detection risk is a function of the effectiveness of an auditing procedure and its application by the auditor.
 - Detection risk is significantly affected by the nature, timing, and extent of the auditor’s substantive procedures.
 - Detection risk is a complement of assurance provided by substantive tests (for example, a 10% detection risk means a 90% assurance of detecting material misstatement).
 - Detection risk can be increased or decreased by the auditor by performing substantive tests but can never be reduced to zero because of the inherent limitations in the procedures carried out, the human judgments required, and the nature of the evidence examined.
 - ✓ The auditor uses the **Audit Risk Model:**
 - $\text{Audit Risk} = \text{Inherent risk} \times \text{Control risk} \times \text{Detection risk}$

Acceptable level of Detection risk = $\frac{\text{Audit risk}}{\text{Inherent risk} \times \text{Control risk}}$

- **Design audit substantive tests**
 - ✓ Auditor’s reaction to level of detection risk:
 - **Lower acceptable level of detection risk** – higher assurance is to be provided by substantive tests by changing any or combination of the following:
 - ✓ **Nature** – performing more effective substantive procedures.
 - ✓ **Timing** – performing substantive procedures at year-end rather than at interim dates (decreases detection risk by reducing the risk for the period subsequent to the performance of those tests).

- ✓ **Extent** – increasing the extent of substantive tests by using larger sample size.
- ✓ **Higher acceptable level of detection risk** – low assurance is to be provided by substantive tests by changing any or combination of the following:
 - ✓ **Nature** – performing less effective substantive procedures.
 - ✓ **Timing** – performing substantive procedures at interim dates.
 - ✓ **Extent** – decreasing the extent of substantive tests using smaller sample size.

Summary of relationships among audit risk components

- The acceptable level of detection risk for a given level of audit risk bears an inverse relationship to the risks of material misstatement at the assertion level.
- Therefore:**
↑ Risk of material misstatement (inherent risk and control risk), ↓ detection risk that can be accepted, and vice versa.
- Audit risk and detection risk move in the same direction: ↑ Audit risk, ↑ detection risk, and vice versa.
- The relationship between the risks can also be expressed mathematically in the following formula:

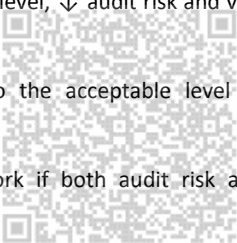
Audit Risk = RMM (Inherent Risk x Control Risk) x Detection Risk

Inherent risk and control risk are independent variables while detection risk is a dependent variable.

- All the components of audit risk cannot be eliminated by the auditor due to the following reasons:
 - ✓ **Inherent risk** – some accounts are susceptible to a material misstatement or the risk of such misstatement is greater for some accounts than for others.
 - ✓ **Control risk** – due to inherent limitations of internal control system.
 - ✓ **Detection risk**
 - Use of testing/sampling.
 - Use of auditor’s judgment.
 - Even when the auditor conducts 100% examination because audit evidence is persuasive rather than conclusive in nature.
- The components of audit risk that can or cannot be controlled by the auditor:
 - ✓ **Inherent risk and control risk** – cannot be controlled because these are entity’s risk and exist independently of the audit.
 - ✓ **Detection risk** – can be directly controlled (increased or decreased) by the auditor because detection risk relates to the auditor’s procedures and can be altered by adjusting the nature, timing, and extent of substantive procedures.

The relationship between materiality and audit risk:

- There is an inverse relationship between materiality and the level of audit risk – ↑ materiality level, ↓ audit risk and vice versa.
- Materiality is directly related to the acceptable level of detection risk.
- It would lead to most audit work if both audit risk and materiality levels are low.



AUDIT RISK

QUESTIONS

1. The audit risk model is used primarily
 - a. For planning purposes in determining how much evidence to accumulate
 - b. While doing tests of controls
 - c. To determine the type of opinion to express
 - d. To evaluate the evidence which has been gathered
2. Having evaluated inherent risk and control risk, the auditor determines detection risk
 - a. As the complement of overall audit risk
 - b. By performing substantive audit tests
 - c. As a product of further study of the business and industry and application of analytical procedures
 - d. At a level that equates the joint probability of inherent risk, control risk, and detection risk with overall audit risk
3. Audit risk consists of all but the following components

a. Inherent risk	c. Substantive risk
b. Detection risk	d. Control risk
4. The risk that the auditor may express an incorrect opinion on the financial statements is called

a. Inherent risk	c. Control risk
b. Detection risk	d. Audit risk
5. The susceptibility of an account to misstatements assuming no internal control is referred to as the

a. Inherent risk	c. Control risk
b. Detection risk	d. Audit risk
6. For a particular assertion, control risk is the risk that
 - a. A material misstatement will occur in the accounting process
 - b. Controls will not detect a material misstatement that occurs
 - c. Audit procedures will fail to detect a weak control system
 - d. The prescribed control procedures will not be applied uniformly
7. The risk that the auditor's procedures will lead them to conclude that a material misstatement does not exist in an account balance when in fact such a misstatement does exist is referred to as

a. Account risk	c. Detection risk
b. Control risk	d. Inherent risk
8. Inherent risk and control risk differ from detection risk in that inherent and control risks
 - a. Arise from the misapplication of auditing procedures
 - b. May be assessed in either quantitative or non-quantitative terms
 - c. Exist independently of the financial statement audit
 - d. Can be changed at the auditor's discretion
9. An auditor uses the assessed level of control risk and inherent risk to
 - a. Evaluate the effectiveness of the entity's internal control policies and procedures
 - b. Identify transactions and account balances where inherent risk is at a high level
 - c. Indicate whether materiality thresholds for planning and evaluation purposes are sufficiently high
 - d. Determine the acceptable level of detection risk for financial statements
10. Which of the following is an incorrect statement?
 - a. Detection risk cannot be changed at the auditor's discretion
 - b. If individual audit risk remains the same, detection risk bears an inverse relationship to inherent and control risks
 - c. The greater the inherent and control risks the auditor believes exists, the less detection risk that can be accepted
 - d. The auditor might make separate or combined assessment of inherent risk and control risk
11. Because control risk and inherent risk vary from cycle to cycle, account to account, or objective to objective,
 - a. Acceptable audit risk must remain constant
 - b. Detection risk and required audit evidence will also vary
 - c. Detection risk will vary but audit evidence will remain constant
 - d. Detection risk will remain constant, but audit evidence will vary



12. On the basis of the audit evidence gathered and evaluated, an auditor decides to increase the assessed level of control risk from that originally planned. To achieve an overall audit risk level that is substantially the same as the planned audit risk level, the auditor would
 - a. Decrease substantive testing
 - b. Increase inherent risk
 - c. Decrease detection risk
 - d. Increase materiality levels
13. Relationship between control risk and detection risk is ordinarily
 - a. Parallel
 - b. Direct
 - c. Inverse
 - d. Equal
14. Relationship between inherent risk and control risk is ordinarily
 - a. None
 - b. Direct
 - c. Inverse
 - d. Equal
15. Which of the following conditions supports an increase in detection risk?
 - a. Internal control over cash receipts is excellent
 - b. Application of analytical procedures reveals a significant increase in sales revenue in December, the last month of the fiscal year
 - c. Internal control over shipping, billing and recording of sales revenue is weak
 - d. Study of the business reveals that the client recently acquired a new company in an unrelated industry
16. Inherent risk is defined as the susceptibility of an account balance or class of transactions to error that could be material assuming that there were no related internal controls. Which of the following is an example of the concept of inherent risk
 - a. Humans make more errors than computers, therefore a manual accounting system is riskier than a computerized system
 - b. Accounting systems with vouchers have may more controls built in, so the risk that there will be errors on the financial statements is reduced
 - c. Loans receivable for a finance company are less likely to be collectible than those of a bank
 - d. Audits with larger sample sizes are less risky than those with smaller sample sizes
17. Which of the following discoveries by the auditor would not raise the red flag of increased inherent risk?
 - a. Management bonuses are based on a percentage of net income
 - b. A bond indenture requires a current ratio of at least three to one
 - c. Client makes extensive use of notes receivable and notes payable rather than buying and selling on open account
 - d. Client is a parent company with a subsidiary
18. Of the following conditions which one does not increase inherent risk?
 - a. The client has entered numerous related party transactions during the year under audit
 - b. Internal control over shipping, billing and recording of sales revenue is weak
 - c. The client has lost a major customer accounting for approximately 30% of annual revenue
 - d. The board of directors approved a substantial bonus for the president and chief executive officer and also approved an attractive stock option plan for themselves
19. The acceptable level of detection risk is inversely related to the
 - a. Assurance provided by substantive tests
 - b. Risk of misapplying auditing procedures
 - c. Preliminary judgment about materiality levels
 - d. Risk of failing to discover material misstatements
20. As the acceptable level of detection risk decreases, the auditor may do one or more of the following, except change the
 - a. Nature of substantive tests to more effective procedures
 - b. Timing of substantive tests such as performing them at year-end rather than at an interim date
 - c. Extent of substantive tests, such as using larger sample sizes
 - d. Assurance provided by substantive tests to a lower level
21. As the acceptable level of detection risk decreases, the assurance directly provided from
 - a. Substantive tests should increase
 - b. Substantive tests should decrease
 - c. Tests of controls should increase
 - d. Tests of controls should decrease
22. As the acceptable level of detection risk decreases, an auditor may change the
 - a. Timing of substantive tests by performing them at interim date rather than at year-end
 - b. Nature of substantive tests from a less effective to a more effective procedure
 - c. Timing of tests of controls by performing them at several dates rather than at one time
 - d. Assessed level of inherent risk to a higher level



23. As the acceptable level of detection risk decreases, an auditor may
- a. Reduce substantive testing by relying on the assessment of inherent risk and control risk
 - b. Postpone the planned timing substantive tests from interim dates to the year-end
 - c. Eliminate the assessed level of inherent risk from consideration as a planning factor
 - d. Lower the assessed level of control risk
24. The existence of audit risk is recognized by the statement in the auditor's report that the
- a. Financial statements are presented fairly, in all material respects, in accordance with Philippine Financial Reporting Standards
 - b. Audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements
 - c. Auditor obtains reasonable assurance about whether the financial statements are free of material misstatement
 - d. Auditor is responsible for expressing an opinion on the financial statements, which are management's responsibility
25. Risk in auditing means that the auditor accepts some level of uncertainty in performing the audit function. An effective auditor will
- a. Take any means available to reduce the risk to the lowest possible level
 - b. Set the risk level between 5% and 10%
 - c. Perform the audit procedures first and quantitatively set the risk level before forming an opinion and writing a report
 - d. Recognize that risk exists and deal with them in an appropriate manner
26. Which of the following statements is true with regard to the relationship among audit risk, audit evidence, and materiality?
- a. The lower the inherent risk and control risk, the lower the aggregate materiality threshold
 - b. Under conditions of high inherent and control risk, the auditor should place more emphasis on obtaining external evidence and should reduce reliance on internal evidence
 - c. Where inherent risk is high and control risk is low, the auditor may safely ignore inherent risk
 - d. Aggregate materiality thresholds should not change under conditions of changing risk levels
27. Which of the following models expresses the general relationship of risks associated with the auditor's evaluation of internal control (CR), study of the business and application of analytical procedures (IR), and overall audit risk (AR), that would lead the auditor to conclude that additional substantive tests of details of an account balance are not necessary?

	<u>IR</u>	<u>CR</u>	<u>AR</u>
a.	20%	40%	10%
b.	20%	60%	5%
c.	10%	70%	4.5%
d.	30%	40%	5.5%



INTERNAL CONTROL

REFERENCES:

- PSA 330: The Auditor’s Responses to Assessed Risks
- PSA 265: Communicating Deficiencies in Internal Control to those Charged with Governance and Management

Basic Concepts and Elements of Internal Control

- Internal control (IC) – the process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity’s objectives.

Essential concepts of internal control

- Internal control is a process. Internal control is not an end in itself but a means of achieving the entity's objectives.
- Internal control is effected by those charged with governance, management and other personnel. Internal control is accomplished by people at every level of organization.

Responsibilities:

- Management: to design, implement and maintain internal control to assist in achieving the entity's objective.
- Those charged with governance: to ensure the integrity of accounting and financial reporting systems through oversight of management.
- Staff personnel: to perform their respective functions in order to accomplish the objectives of the entity.
- Primary purpose/reason for establishing internal control is to provide reasonable assurance about the achievement of an entity’s objectives.
- Internal control can be expected to provide reasonable assurance of achieving the entity's objectives – this is due to inherent limitations of any system of internal control; although internal control is designed to prevent, detect and correct problems, an effective internal control can only minimize but not eliminate material misstatements, whether due to fraud or error. Inherent limitations of internal control include the following:
 - Management overriding the internal control.
 - Circumvention of internal controls through the collusion among employees.
 - The cost-benefit relationship is a primary criterion in designing internal control, that is, the cost of a control should not exceed its expected benefits. This is known as the concept of reasonable assurance.
 - Most internal controls tend to be directed at routine transactions rather than non-routine transactions.
 - The potential for human error due to carelessness, distraction, mistakes of judgment and the misunderstanding of instructions. Human error may include errors in the design or use of automated controls.
 - The possibility that procedures may become inadequate due to changes in conditions, and compliance with procedures may deteriorate.
 - Segregation of duties may be difficult to achieve in a smaller entity.
- Internal control is designed to help achieve the entity's objectives. Internal control is geared towards the achievement of the entity's objectives.

- Entity’s objectives: what an entity strives to achieve. Categories of entity's objectives are the following:
 - Financial reporting objective – this objective relates to reliability of financial reporting.
 - Operational effectiveness objective – this objective is intended to enhance effectiveness and efficiency of operations.
 - Compliance objective – this objective relates to entity’s compliance with applicable laws and regulations.

Classification of internal control

- According to objectives:
 - Financial reporting controls – controls to achieve reliability of financial reporting objective.
 - Operational effectiveness controls – controls to achieve operational effectiveness objective.
 - Compliance controls – controls to achieve compliance objective.
 - There is a direct relationship between the entity’s objectives and the internal control it implements to provide reasonable assurance about their achievement. Both the entity’s objectives and controls relate to financial reporting, operations and compliance.
- According to functions:
 - Preventive controls – to deter problems before they arise.
 - Examples:
 - Segregation of employee duties.
 - Control physical access to assets, facilities and information.
 - Detective controls – to discover problems as they arise.
 - Examples:
 - Preparing bank reconciliation.
 - Preparing monthly trial balance.
 - Corrective controls – to remedy problems discovered with detective controls.
 - Example:
 - Maintaining backup copies of transactions and master files.

Benefits of strong internal control

- Reduced cost of an external audit.
- Availability of reliable data for decision-making purposes.
- Protection of important documents and records.
- Assurance of compliance with applicable laws and regulations.

Components of Internal Control

- The interrelated components of internal control represent means used by an entity to help it achieve its objectives (CRIME). The five interrelated and essential components or aspects of internal control include the following:
 - Control environment – the overall tone of the organization.
 - Risk assessment – management’s identification and assessment of risks.
 - Information, financial reporting and communication systems – a means of recording transactions and

communicating responsibilities.

- ✓ **Monitoring the controls** – assessment of internal control performance over time.
- ✓ **Existing control activities** – control policies and procedures.

Component 1 – Control Environment:

- It sets the tone of an organization, influencing the control consciousness of its people.
- It includes the governance and management functions the attitudes, awareness, and actions of those charged with governance and management concerning the entity's internal control and its importance in the entity.
- It is a set of characteristics that defined good control working relationships in an entity.
- It is the foundation for effective internal control for it provides an appropriate foundation for other components of internal control.
- **Elements of control environment:**
 - ✓ **Integrity and ethical values** – The entity should establish ethical standards. Ethical standards influence the effectiveness of the design, administration and monitoring of controls.
 - ✓ **Participation by those charged with governance (BOD and audit committee).**
 - ✓ **Management's philosophy and operating style** – Management's approach to taking and managing business risks, attitudes and actions toward financial reporting, and attitudes toward information processing and accounting functions and personnel.
 - ✓ **Assignment of authority and responsibility** – How authority and responsibility for operating activities are assigned and how reporting relationships and authorization hierarchies are established.
 - ✓ **Commitment to competence** – Management's consideration of the competence levels for particular jobs and how those levels translate into requisite skills and knowledge.
 - ✓ **Personnel or Human resource policies and procedures** – The entity must implement appropriate policies for recruitment/hiring, orientation, training, evaluating, counseling, promoting, compensating, and remedial actions because the competence of the entity's employees will bear directly on the effectiveness of the entity's internal control.
 - ✓ **Organizational structure** – The framework within which an entity's activities for achieving its objectives are planned, executed, controlled and reviewed.

Component 2 – Risk Assessment

- An entity's risk assessment for financial reporting purposes is its identification, analysis, and management of risks relevant to the preparation of financial statements that are fairly presented in conformity with generally accepted accounting principles.
- Matters the auditor should consider are how management:
 - ✓ Identifies business risks (inherent and residual risks) relevant to financial reporting.
 - ✓ Estimates the significance of the risks.
 - ✓ Assesses the likelihood of their occurrence.
 - ✓ Decides upon actions to manage them.

Component 3 – Information and Communication System

- Information and communication systems support the identification, capture, and exchange of information in a timely and useful manner.
- The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following areas:
 - ✓ The classes of transactions in the entity's operations that are significant to the financial statements.
 - ✓ The procedures, within both information technology (IT) and manual systems, by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements.
 - ✓ The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions; this includes the correction of incorrect information and how information is transferred to the general ledger.

Component 4 – Control Activities

- **Control activities** are the policies and procedures that help ensure management's directives are carried out and that necessary steps to address risks are taken.
- Control activities address risks that if not mitigated would threaten the achievement of the entity's objectives.
- The auditor should obtain a sufficient understanding of control activities to assess the risks of material misstatement at the assertion level and to design further audit procedures responsive to assessed risks.
- **Categories of Control activities:** Categories of specific control activities that may be relevant to an audit:
 - ✓ **Prenumbering of documents** – helps to assure that:
 - All transactions are recorded (completeness).
 - No transactions are recorded more than once (existence).
 - ✓ **Authorization of transactions** – authorization should occur before commitment of resources.
 - ✓ **Independent checks to maintain asset accountability** – independent checks involve the verification of work previously performed by others.
 - ✓ **Documentation** – provides evidence of the underlying transactions and is a basis for establishing responsibility for the execution and recording of transactions.
 - ✓ **Performance reviews** – includes review of the following:
 - Reviews and analyses of actual performance versus budgets, forecasts, and prior period performance.
 - Relating different sets of data to one another, together with analyses of the relationships and investigative and corrective actions.
 - Comparing internal data with external sources of information.
 - Review of functional or activity performance.
 - ✓ **Information processing controls** – ensure that transactions are valid, properly authorized, and completely and accurately recorded.
 - **Application controls** – controls which apply to the processing of individual applications.
 - **General controls** – which are controls that relate to many applications and support the effective

functioning of application controls by helping to ensure the continued proper operation of information systems. General controls apply to information processing throughout the company.

- ✓ **Physical controls** – are physical controls for safeguarding assets involve security devices and limited access to programs and to restricted areas, including computer facilities.
 - Physical segregation and security of assets, including adequate safeguards such secured facilities over access to assets and records.
 - Authorization for access to computer programs and data files.
 - Authorized access to assets and records.
 - Required signatures on documents for the removal or disposition of asset.
 - Periodic counting and comparison with amounts shown on control records.
 - The extent to which physical controls intended to prevent theft of assets are relevant to the reliability of financial statement preparation, and therefore the audit, depends on circumstances such as when assets are highly susceptible to misappropriation.
- ✓ **Segregation of duties** – involves ensuring that individuals do not perform incompatible duties. Duties should be segregated such that the work of one individual provides a crosscheck on the work of another individual. A proper segregation of duties (or incompatible functions) requires that one person should not be responsible for all phases of a transaction. It requires assigning different people the responsibilities of:
 - Authorizing transactions.
 - Recording transactions – recordkeeping.
 - Maintaining custody of assets involved in the transactions.

Component 5 – Monitoring the Controls

- Monitoring is a process that assesses the quality of internal control performance on an ongoing basis.
- Management’s monitoring of controls includes considering whether they are operating as intended and that they are modified as appropriate for changes in conditions.
- Monitoring assesses the effectiveness of the internal control’s performance over time.
- The objective is to ensure the controls are working properly and, if not, to take necessary corrective actions.
- Management accomplishes monitoring of controls through ongoing activities, separate evaluations or a combination of the two.

Considering Internal Control

- **Considering internal control** – involves study and evaluation of internal control.
- **Reasons/purpose of the auditor’s study and evaluation of internal control:**
 - ✓ Primary: to provide a basis for planning the audit to determine the nature, timing, and extent of audit procedures.
 - ✓ Secondary: to provide a basis for constructive suggestions to management about improvements in internal control structure.

○ Steps in consideration of internal control:

- ✓ **Obtain sufficient understanding of the internal control relevant to the audit** – involves obtaining understanding of the design and operation of internal control relevant to the audit.
- **Evaluate the design of relevant control** – involves determining whether the control, individually or in combination with other controls, is capable of effectively preventing or detecting and correcting material misstatements.
- **Determine whether the control has been implemented** – whether the control is placed in operation; a control has been implemented if the control exists and is being used by the entity.

Procedures to obtain evidence about the design and implementation of controls:

- Inquiry of entity personnel (inquiry alone is not sufficient).
- Inspecting documents and records.
- Observing of application of specific controls.
- Performing a “walk-through” test – tracing a transaction through the accounting system, from initial recording to presentation in the financial statements.

- ✓ **Perform preliminary assessment of control risk** – the assessment of control risk is based on understanding of internal control.

▪ Assess control risk at a high level:

- ✓ If internal control is poor or not effective, or
- ✓ If it is inefficient to rely on internal control (inefficient to perform tests of controls).
 - Auditor’s response if control risk is assessed at a high/maximum level:
 - ✓ Skip or do not perform tests of controls.
 - ✓ Rely primarily on substantive tests.

▪ Assess control risk at less than high level:

- ✓ If internal control is effective or reliable, and
- ✓ If it is inefficient to obtain evidence to justify the assessment of control risk at less than high level.
 - Auditor’s response if control risk is assessed at less than high/maximum level:
 - Perform tests of controls – to confirm operating effectiveness of controls.

- ✓ **Perform tests of controls** – tests of controls are performed when the auditor plans to rely on internal control; the auditor will only test those controls that he plans to rely upon (controls that are likely to prevent or detect and correct material misstatement relevant to the financial statements).

Tests of controls

- Tests performed to test the operating effectiveness (as to design and operation) of internal controls that are likely to detect or prevent material misstatements in support of a reduced assessed level of control risk. Thus, tests of controls are

performed to substantiate the reduced assessed level of control risk.

- Tests performed confirm that the controls tested are working effectively.
- Unlike substantive tests of details, tests of controls are not required audit procedure.
- The greater the reliance the auditor plans to place on internal control, the more extensive the tests of those controls that need to be performed.
- Tests of controls generally consist of one (or combination of the following evidence gathering techniques:
 - ✓ Inquiry
 - ✓ Observation
 - ✓ Inspection
 - ✓ Reperformance

Required Documentation

o Document the understanding of accounting and internal control systems.

- ✓ Form of documentation may vary.
- ✓ One form or a combination of forms of documentation may be used at the same time.
- ✓ **Forms of documentation:**
 - ✓ **Internal control questionnaire** – consists of a list of questions on internal control be answered by "Yes" or "No" response. A negative response is designed to draw attention to a possible weakness in internal control. Written explanations are required for "No" answers.
 - ✓ **Flowcharts** – pictorial/symbolic diagram depicting the operation of a program/system or the sequential flow of authority, processes, transactions and documents.
 - **Systems flowcharts** – used to evaluate internal control because it shows the origin of each document in the system, its subsequent processing, and its final disposition.
 - **IT flowcharts** – used in evaluating the internal control in an automated/computerized accounting environment.
 - ✓ **Internal control checklists** – a detailed listing of ideal control measures (the auditor tickmarks the controls adopted by the client).
 - ✓ **Narrative memoranda** – a written version of a flowchart. It is a description of the auditor's understanding of the system of internal control.
 - ✓ **Decision trees or tables**
 - **Decision trees** – are graphic illustrations that depict the logic of an operation or process. They generally employ questions with "Yes" or "No" answers, which direct the user to the next relevant questions.
 - **Decision tables** – are graphic illustrations that depict the logical relationships of a system in table form. Both approaches document the auditor's understanding of a process.

o Document the assessed level of control risk

- ✓ If the control risk is assessed at a high level, the auditor should document his conclusion that control risk is at a high level.
- ✓ If the control risk is assessed at less than high level, the auditor should document:
 - His conclusion that control risk is at less than high level, and
 - The basis for that assessment – results of tests of controls confirming the assessment of control risk at below high/maximum level.

Communicating with those charged with governance and management

- o The auditor should communicate audit matters of governance interest arising from the audit of financial statements with those charged with governance of an entity.
- o **Governance** refers to the role of persons entrusted with the supervision, control and direction of an entity.
- o Those charged with governance ordinarily are accountable for ensuring that the entity achieves its objectives, financial reporting, and reporting to interested parties.

Reportable conditions

- o Significant deficiencies/weaknesses in the design or operation of the internal control which have come to the auditor's attention that should be reported to the appropriate level of management such as the highest official of the company or those charged with governance (usually to the entity's audit committee of the board of directors) in writing, in a formal **management letter** (the by-product of the audit engagement) at the earliest opportunity so that appropriate corrective actions may be taken as soon as possible.

Significant Deficiency

- o A deficiency may be of such magnitude as to be considered a material weakness in internal control. A **material internal control weakness** is a condition in which material errors or fraud would ordinarily not be detected within a timely period by employees in the normal course of performing their assigned functions.

No expression of opinion on entity's internal control

- o Consideration of internal control in financial statement audit is not sufficient to express an opinion on an entity's controls because only those controls on which an auditor intends to rely are reviewed, tested, and evaluated. Moreover, the auditor is not required to identify or search for internal control weaknesses. Examples of significant weaknesses in internal control include:
 - ✓ Weak control environment (such as ineffective oversight, poor attitude toward internal control, or instances found of management override or fraud).
 - ✓ Weaknesses in IT general controls.
 - ✓ Significant business risks that have not been addressed by policies, procedures or internal controls.
 - ✓ Significant internal control activities or application controls not operating as designed, not applied consistently by appropriate individuals, or not monitored by appropriate individuals.

-- END --



INTERNAL CONTROL

UNDERSTANDING INTERNAL CONTROL

1. It is the process designed and effected by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of the entity's objectives
 - a. Internal auditing
 - b. Internal control
 - c. Business strategy
 - d. Accounting process
2. The primary objective of procedures performed to obtain an understanding of internal control is to provide an auditor with
 - a. Knowledge necessary to plan the audit
 - b. A basis for modifying tests of controls
 - c. Information necessary to prepare flowcharts
 - d. Evidence to use in reducing detection risk
3. The auditor uses the understanding of internal control to
 - I. Identify types of potential misstatements
 - II. Consider factors that affect the risks of material misstatement
 - III. Design the nature, timing and extent of further audit procedures
 - a. I and II only
 - b. I and III only
 - c. II and III only
 - d. I, II and III
4. The primary responsibility for establishing and maintaining an internal control rests with
 - a. The external auditors
 - b. The internal auditors
 - c. Management and those charged with governance
 - d. The controller or the treasurer
5. Auditing standards require the auditor to obtain an understanding of the client's internal control structure
 - a. For every audit
 - b. For first time audits
 - c. Sufficient to find any frauds which may exist
 - d. Whenever it would be appropriate
6. Which of the following is a reason to establish internal control?
 - a. To provide reasonable assurance that the entity's objectives are achieved
 - b. To safeguard the resources of the organization
 - c. To encourage compliance with organizational objectives
 - d. To ensure the accuracy, reliability and timeliness of information
7. When obtaining an understanding of controls that are relevant to the audit, the auditor is required to
 - a. Evaluate the design of those controls
 - b. Determine whether those controls have been implemented
 - c. Evaluate the design of those controls and determine whether they have been implemented
 - d. Evaluate the design of those controls and determine whether they have been implemented by performing tests of controls
8. Which of the following internal control objectives would be most relevant to the audit?
 - a. Operational objective
 - b. Compliance objective
 - c. Financial reporting objective
 - d. Administrative control objective
9. Which of the following statements concerning the relevance of various types of controls to a financial statement audit is correct?
 - a. All controls are ordinarily relevant to the financial statement audit
 - b. Controls over safeguarding of assets and liabilities are of primary importance, while controls over the reliability of financial reporting may also be relevant
 - c. Controls over the reliability of financial reporting are ordinarily most directly relevant to a financial statement audit, but other controls may also be relevant
 - d. An auditor may ordinarily ignore a consideration of controls when a substantive audit approach is taken
10. When obtaining an understanding of an entity's control environment, an auditor should concentrate on the substance of management's policies and procedures rather than their form because
 - a. The auditor may believe that the policies and procedures are inappropriate for that particular entity
 - b. The board of directors may not be aware of management's attitude toward the control environment
 - c. Management may establish appropriate policies and procedures but not act on them
 - d. The policies and procedures may be so ineffective that the auditor may assess control risk as a high level
11. In obtaining an understanding of internal control relevant to the audit, an auditor is required to obtain knowledge about the
 - a. Effectiveness of controls that have been implemented

- b. Consistency with which controls are currently being applied
 - c. Design of the controls pertaining to internal control components
 - d. Controls related to each class of transactions and account balance
- 12. An auditor's flowchart of a client's information system relevant to financial reporting is a diagrammatic representation that depicts the auditor's
 - a. Assessment of control risk
 - b. Identification of weaknesses in the system
 - c. Assessment of the control environment's effectiveness
 - d. Understanding of the system
- 13. As part of understanding internal control, an auditor is not required to
 - a. Consider factors that affect the risk of material misstatement
 - b. Ascertain whether internal controls have been implemented
 - c. Identify the types of potential misstatements that can occur
 - d. Obtain knowledge about the operating effectiveness of internal control
- 14. Which of the following best describes the interrelated components of internal control?
 - a. Organizational structure, management, philosophy and planning
 - b. Control environment, risk assessment, control activities, information and communication systems and monitoring
 - c. Risk assessment, backup facilities, responsibility accounting and natural laws
 - d. Internal audit and management's philosophy and operating style
- 15. This internal control component is the foundation for all other components. It sets the tone of the organization, provides discipline and structure, and influences the control consciousness of employees
 - a. Control activities
 - b. Monitoring of controls
 - c. Control environment
 - d. The entity's risk assessment process
- 16. Management philosophy and operating style most likely would have a significant influence on an entity's control environment when
 - a. The internal auditor reports directly to management
 - b. Management is dominated by one individual
 - c. Accurate management job descriptions delineate specific duties
 - d. Those charged with governance actively oversee the financial reporting process
- 17. Which of the following statements best describes the entity's risk assessment process
 - a. Entity's process of identifying business risks relevant to financial reporting objectives and deciding about actions to address those risks
 - b. Entity's assessment of audit risks affecting the financial statements
 - c. Entity's process of evaluating the risks of misstatements due to fraud
 - d. Entity's assessment of risks that internal control may fail to detect misstatements affecting the financial statements
- 18. The policies and procedures that help ensure that management directives are carried out are referred to as the
 - a. Control environment
 - b. Control activities
 - c. Monitoring of controls
 - d. Information system
- 19. Which of the following is not one of the specific control procedures that are relevant to financial statement audit?
 - a. Performance reviews
 - b. Physical controls
 - c. Segregation of duties
 - d. Monitoring
- 20. As a result of obtaining an understanding of an entity's internal control system, the auditor may become aware of material weaknesses in the design or implementation of internal control. The auditor is required to communicate this matter to
 - a. Those charged with governance or management
 - b. Chief executive officer
 - c. Securities and Exchange Commission
 - d. Board of Accountancy
- 21. Internal control can provide only reasonable assurance of achieving entity's control objectives. One factor limiting the likelihood of achieving those objectives is that
 - a. The auditor's primary responsibility is the detection of fraud
 - b. The board of directors is active and independent
 - c. The cost of internal control should not exceed its benefits
 - d. Management monitors internal control
- 22. Inherent limitations in an internal control must be considered in evaluating its effectiveness in preventing and detecting errors and fraud. Inherent limitations do not include



- a. Misunderstanding of instructions, mistakes of judgment, personal carelessness, distraction or fatigue
 - b. Incompatible functions performed by the same person
 - c. Collusion among employees
 - d. Management override of certain policies or procedures
23. The internal control cannot be designed to provide reasonable assurance that
- a. Transactions are executed in accordance with management’s authorization
 - b. Fraud will be eliminated
 - c. Access to assets is permitted only in accordance with management’s authorization
 - d. The recorded accountability for assets is compared with the existing assets at reasonable intervals
24. Proper segregation of functional responsibilities in an effective structure of internal control calls for separation of the functions of
- a. Authorization, execution and payment
 - b. Authorization, recording and custody
 - c. Custody, execution and reporting
 - d. Authorization, payment and recording
25. After documenting the client's prescribed internal control, the auditors will often perform a walk-through of each transaction cycle. An objective of a walk-through is to
- a. Verify that the controls have been implemented (placed in operation)
 - b. Replace tests of controls
 - c. Evaluate the major strengths and weaknesses in the client's internal control
 - d. Identify weaknesses to be communicated to management in the management letter
26. When obtaining understanding of the entity’s internal control, the auditor should obtain knowledge about the system’s

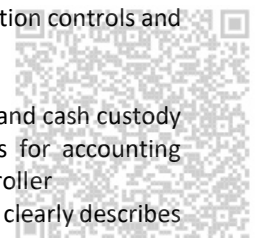
	<u>Design</u>	<u>Implementation</u>	<u>Operating effectiveness</u>
a.	Yes	Yes	Yes
b.	Yes	Yes	No
c.	Yes	No	No
d.	No	No	Yes

TESTING INTERNAL CONTROL

1. After obtaining an understanding of internal control relevant to the audit, the auditor may attempt to assess control risk at below the maximum level. In turn, the auditor will (1) identify specific controls that are likely to prevent or detect material misstatements in the relevant financial statement assertions and (2) perform tests of controls. The purpose of performing tests of controls is to
- a. Evaluate inherent risk
 - b. Assure that the auditor has a sufficient understanding of internal control
 - c. Evaluate the effectiveness of such controls
 - d. Provide recommendations to management to improve internal control
2. The ultimate purpose of assessing control risk is to contribute to the auditor's evaluation of the risk that
- a. Specific internal control activities are not operating as designed
 - b. The collective effect of the control environment may not achieve the control objectives
 - c. Tests of controls may fail to identify activities relevant to assertions
 - d. Material misstatements may exist in the financial statements
3. If the auditors do not perform tests of controls for certain assertions
- a. They have performed a substandard audit
 - b. They are not required to communicate significant deficiencies relating to those accounts to management and the board of directors
 - c. They must issue a qualified opinion
 - d. They must assess control risk at the maximum level for those assertions
4. An auditor may decide not to test controls related to certain assertions because the auditor believes
- a. Sufficient appropriate evidence to support the assertions is likely to be available
 - b. Evaluating the effectiveness of controls is inefficient
 - c. More emphasis on tests of controls than substantive tests is warranted
 - d. Considering the relationship of assertions to specific account balances is more efficient
5. After considering the client's internal control the auditors have concluded that it is well designed and is functioning as anticipated. Under these circumstances the auditors would most likely
- a. Cease to perform further substantive procedures
 - b. Reduce substantive procedures in areas where the internal control was found to be effective
 - c. Increase the extent of anticipated analytical procedures
 - d. Perform all tests of controls to the extent outlined in the preplanned audit program



6. After testing a client's internal control activities, an auditor discovers a number of significant deficiencies in the operation of a client's internal controls. Under these circumstances the auditor most likely would
 - a. Issue a disclaimer of opinion about the internal controls as part of the auditor's report
 - b. Increase the assessment of control risk and increase the extent of substantive tests
 - c. Issue a qualified opinion of this finding as part of the auditor's report
 - d. Withdraw from the audit because the internal controls are ineffective
7. The scope of substantive procedures as compared to the scope of tests of controls generally vary
 - a. In a parallel manner
 - b. Inversely
 - c. Directly
 - d. Equally
8. Which of the following audit tests would be regarded as a test of a control?
 - a. Tests of the specific items making up the balance in a given general ledger account
 - b. Tests confirming receivables
 - c. Tests of the signatures on canceled checks to board of director's authorizations
 - d. Tests of the additions to property, plant, and equipment by physical inspection
9. In performing tests of the operating effectiveness of an entity's controls, an auditor selects from a variety of techniques, including
 - a. Repformance and observation
 - b. Inquiry and analytical procedures
 - c. Comparison and confirmation
 - d. Inspection and verification
10. An auditor wishes to perform tests of controls on a client's cash disbursements procedures. If the controls leave no audit trail of documentary evidence, the auditor most likely will test the procedures by
 - a. Confirmation and observation
 - b. Observation and inquiry
 - c. Analytical procedures and confirmation
 - d. Inquiry and analytical procedures
11. Which of the following audit techniques ordinarily would provide an auditor with the least assurance about the operating effectiveness of an internal control activity?
 - a. Inquiry of client personnel
 - b. Inspection of documents and reports
 - c. Observation of client personnel
 - d. Preparation of system flowcharts
12. Which of the following statements about performing tests of controls to support a lower level of control risk is not true?
 - a. Observation by the auditor provides more assurance than inquiry alone
 - b. Inquiry alone generally will support a conclusion for a lower assessed level of control risk
 - c. Prior audits may be considered by the auditor in assessing control risk in the current audit
 - d. An audit of financial statements is a cumulative process
13. Audit evidence concerning segregation of duties ordinarily is best obtained by
 - a. Performing tests of transactions that corroborate management's financial statement assertions
 - b. Observing the employees as they apply control procedures
 - c. Obtaining a flowchart of activities performed by available personnel
 - d. Developing audit objectives that reduce control risk
14. Audit evidence concerning proper segregation of duties ordinarily is best obtained by
 - a. Preparation of a flowchart of duties performed by available personnel
 - b. Inquiring whether control activities operated consistently throughout the period
 - c. Reviewing job descriptions prepared by the personnel department
 - d. Direct personal observation of the employees who apply control activities
15. An auditor generally tests the segregation of duties related to inventory by
 - a. Personal inquiry and observation
 - b. Test counts and cutoff procedures
 - c. Analytical procedures and invoice recomputation
 - d. Document inspection and reconciliation
16. In general, material irregularities perpetrated by which of the following are most difficult to detect?
 - a. Internal auditor
 - b. Key punch operator
 - c. Cashier
 - d. Controller
17. Controls that enhance the reliability of the financial statements may be classified as prevention controls and detection controls. Which of the following is primarily a detection control?
 - a. Separation of duties between recording cash receipts and depositing cash
 - b. Bank accounts are reconciled monthly by persons independent of cash recording and cash custody
 - c. The human resources department authorizes the hiring of only those persons for accounting positions that meet the written job requirements specified by the corporate controller
 - d. An accounting manual, accompanied by a detailed chart of accounts, carefully and clearly describes each type of transaction affecting the entity



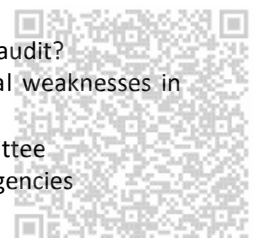
18. Which of the following is an effective internal accounting control over cash payments?
- a. Signed checks should be mailed under the supervision of the check signer
 - b. Spoiled checks which have been voided should be disposed of immediately
 - c. Checks should be prepared only by persons responsible for cash receipts and cash disbursements
 - d. A check signing machine with two signatures should be utilized
19. Which of the following is of least concern to an auditor in assessing the risks of material misstatements?
- a. Signed checks are distributed by the controller to approved payees
 - b. Checks are signed by one person
 - c. Cash receipts are not deposited intact daily
 - d. Treasurer does not verify the names and addresses of check payees
20. Which of the following controls would an entity most likely use in safeguarding against the loss of trading securities?
- a. The independent auditor traces all purchases and sales of trading securities through the subsidiary ledgers to the general ledger
 - b. An independent trust company has no direct contact with the employees who have record-keeping responsibilities has possession of the securities
 - c. The internal auditor inspects the trading securities in the entity's safe each year on the balance sheet date
 - d. A designated member of the board of directors controls the securities in a bank safe-deposit box
21. The following are directly involved in the revenue/receipt cycle, except
- a. Treasurer and controller
 - b. Receiving department clerk
 - c. Billing clerk
 - d. Sales manager and the credit manager
22. For effective internal control, employees maintaining the accounts receivable subsidiary ledger should not also approve
- a. Cash disbursements
 - b. Write-offs of customer accounts
 - c. Granting of credit to customers
 - d. None of the above
23. Which of the following control activities in an entity's revenue/receipt cycle would provide reasonable assurance that all billed sales are correctly posted to the accounts receivable ledger?
- a. Each shipment of goods on credit is supported by a prenumbered sales invoice
 - b. The accounts receivable subsidiary ledger is reconciled daily to the accounts receivable control account in the general ledger
 - c. Daily sales summaries are compared to daily postings to the accounts receivable ledger
 - d. Each sales invoice is supported by a prenumbered shipping document
24. Which of the following controls most likely would provide reasonable assurance that all credit sales transactions of an entity are recorded?
- a. The accounting department supervisor controls the mailing of monthly statements to customers and investigates any differences reported by customers
 - b. The accounting department supervisor independently reconciles, on a monthly basis, the accounts receivable subsidiary ledger to the accounts receivable control account
 - c. The billing department supervisor matches prenumbered shipping documents with entries in the sales journal
 - d. The billing department supervisor sends copies of approved sales orders to the credit department for comparison to authorized credit limits and current customer account balances
25. Which of the following control procedures may prevent the failure to bill customers for some shipments?
- a. Each shipment should be supported by a prenumbered sales invoice that is accounted for
 - b. Each sales order should be approved by authorized personnel
 - c. Sales journal entries should be reconciled to daily sales summaries
 - d. Each sales invoice should be supported by a shipping document
26. The most effective control for ensuring that customers are billed only for goods shipped is to
- a. Require that carriers sign properly completed bills of lading
 - b. Implement a policy that prevents the mailing of sales invoices to customers in the absence of a properly approved shipping order and a bill of lading signed by the carrier
 - c. Require that all shipments be approved by accounting
 - d. Prohibit goods from leaving the warehouse without being accompanied by a signed bill of lading and a properly approved shipping order
27. A company uses its sales invoices for posting perpetual inventory records. Inadequate internal control over the invoicing function allows goods to be shipped but not invoiced. The inadequate controls could cause what type of misstatement in each of the following accounts?
- | <u>Revenues</u> | <u>Receivables</u> | <u>Inventories</u> |
|-------------------|--------------------|--------------------|
| a. Understatement | Understatement | Understatement |
| b. Overstatement | Overstatement | Understatement |

- | | | |
|-------------------|----------------|---------------|
| c. Understatement | Understatement | Overstatement |
| d. Overstatement | Overstatement | Overstatement |

28. Effective controls relevant to purchasing of raw materials should usually include all of the following, except
- a. Determining the need for the raw materials prior to preparing the purchase order
 - b. Systematic reporting of product changes that will affect raw materials
 - c. Obtaining financial approval prior to making a commitment
 - d. Obtaining third-party written quality and quantity reports prior to payment for the raw materials
29. Which of the following is the most effective control procedure to detect vouchers that were prepared for the payment of goods that were not received?
- a. Count goods upon receipt in storeroom
 - b. Match purchase order, receiving report, and vendor's invoice for each voucher in accounts payable department
 - c. Compare goods received with goods requisitioned in receiving department
 - d. Verify vouchers for accuracy and approval in internal audit department
30. In a properly designed accounts payable system, a voucher is prepared after the invoice, purchase order, requisition, and receiving report are verified. The next step in the system is to
- a. Cancel the supporting documents
 - b. Enter the check amount in the check register
 - c. Approve the voucher for payment
 - d. Post the voucher amount to the expense ledger
31. Which of the following is an internal control procedure that would prevent a paid disbursement voucher from being presented for payment a second time?
- a. Vouchers should be prepared by individuals who are responsible for signing disbursement checks
 - b. Disbursement vouchers should be approved by at least two responsible management officials
 - c. The date on a disbursement voucher should be within a few days of the date the voucher is presented for payment
 - d. The official signing the check should cancel the paid voucher after examining the documentation supporting the disbursement
32. Internal control procedures are strengthened when the quantity of merchandise ordered is omitted from the copy of the purchase order sent to the
- a. Department that initiated the requisition
 - b. Receiving department
 - c. Purchasing agent
 - d. Accounts payable department
33. Which of the following is an essential control procedure to ensure the accuracy of the recorded inventory quantities?
- a. Calculating unit costs and valuing obsolete or damaged inventory items in accordance with inventory policy
 - b. Testing inventory extensions
 - c. Performing a gross profit test
 - d. Establish a cutoff for goods received and shipped
34. Which of the following controls most likely would be implemented to achieve the production cycle control objective of maintaining accurate inventory records?
- a. Periodic inventory counts are used to adjust the perpetual inventory records
 - b. A just-in-time inventory ordering system keeps inventory levels to a desired minimum
 - c. Perpetual inventory records are periodically compared with the net realizable value of individual inventory items
 - d. Purchase requisitions, receiving reports, purchase orders and vendor invoices are independently matched before payment is approved
35. When there are numerous property and equipment transactions during the year, an auditor who plans to assess control risk at a low level usually performs
- a. Tests of controls and extensive tests of property and equipment balances at the end of the year
 - b. Analytical procedures for current year property and equipment transactions
 - c. Tests of controls and limited tests of current year property and equipment transactions
 - d. Analytical procedures for property and equipment balances at the end of the year
36. The following controls are appropriate for property, plant and equipment, except
- a. Written policies for capitalization and expenditure and review of application of depreciation methods
 - b. Disposal of fully depreciated PPE items
 - c. Proper authority for acquisition and retirement of PPE items
 - d. Detailed PPE records and physical controls over PPE items



37. An internal control objective concerning property, plant and equipment (PPE) acquisitions is that they be recorded at the correct amounts and in the proper period, and properly classified. In which of the following conditions would an auditor most likely assess a high level of risk of material misstatement?
 - a. All material acquisition of PPE are required to be approved by the board of directors
 - b. Most additions are self-constructed by the entity
 - c. Recently acquired loans include covenants that preclude further plant acquisitions for 5 years
 - d. Gross PPE increased 30% during the current period
38. Which of the following departments should have the responsibility for authorizing payroll rate changes?
 - a. Human Resources
 - b. Payroll
 - c. Treasurer
 - d. Timekeeping
39. Which of the following controls would be the most appropriate means to ensure that terminated employees had been removed from the payroll?
 - a. Mailing checks to employees' residences
 - b. Establishing direct-deposit procedures with employees' banks.
 - c. Reconciling payroll and time-keeping records
 - d. Establishing computerized limit checks on payroll rates
40. Which of the following situations represents an internal control weakness in the payroll department?
 - a. The timekeeping function is independent of the payroll department
 - b. Payroll records are periodically reconciled with tax reports
 - c. Paychecks are distributed by the employees' immediate supervisor
 - d. Payroll department personnel are rotated in their duties
41. Which of the following personnel department procedures reduces the risk of payroll fraud and represents an appropriate responsibility for the department?
 - a. Authorizing the addition or deletion of employees from the payroll
 - b. Authorizing overtime hours
 - c. Collection and retention of unclaimed paychecks
 - d. Distributing paychecks
42. Which of the following must the auditor communicate to the audit committee?
 - a. Significant deficiencies and material weaknesses
 - b. Only significant deficiencies
 - c. Only material weaknesses
 - d. Neither significant deficiencies nor material weaknesses
43. A significant deficiency
 - a. Differs from a material weakness in that it involves internal control over operations rather than internal control over financial reporting
 - b. Involves an amount of discovered misstatements greater than the amount used as the planning measure of materiality
 - c. Is identical to a material weakness except that it need not be communicated to those responsible for oversight of the company's financial reporting
 - d. Is less severe than a material weakness
44. A control deficiency that is less severe than a material weakness, but important enough to merit attention by those responsible for oversight of the company's financial reporting is referred to as a(n)
 - a. Control deficiency
 - b. Inherent limitation
 - c. Reportable deficiency
 - d. Significant deficiency
45. A material weakness involves an amount that could result in a misstatement that is
 - a. Smaller than inconsequential
 - b. Larger than inconsequential
 - c. Tolerable
 - d. Material
46. A situation in which the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect material misstatements on a timely basis is referred to as a
 - a. Control deficiency
 - b. Material weakness
 - c. Reportable condition
 - d. Significant deficiency
47. Which of the following is correct with respect to control deficiencies discovered during an audit?
 - a. Auditors must communicate and recommend corrections relating to all material weaknesses in internal control to management
 - b. All material weaknesses in internal control should be reported to the audit committee
 - c. All such matters must be communicated to the audit committee and regulatory agencies
 - d. All control deficiencies are also significant deficiencies



AUDIT EVIDENCE

REFERENCES:

- PSA 500: Audit Evidence
- PSA 501: Audit Evidence – Specific considerations for Selected Items
- PSA 505: External Confirmations
- PSA 520: Analytical Procedures
- PSA 230: Audit Documentation

ASSERTIONS AND AUDIT OBJECTIVES

Nature of Assertions:

- Financial statements are not statements of facts.
- They are a collection of claims and assertions, made implicitly or explicitly by the entity’s management, about the recognition, measurement, presentation, and disclosure of information in the financial statements.
- Assertions (or management assertions)** are representations by management, explicit or otherwise, that are embodied in the financial statements.
- These assertions relate to the fairness of presentation of the financial statements; thus, they are directly related to applicable financial reporting framework.
- Examples of assertions:**
 - ✓ All the assets exist. (Existence).
 - ✓ All sales transactions have been recorded. (Completeness).
 - ✓ Inventories are properly valued. (Valuation).
 - ✓ All amounts are properly presented and disclosed in the financial statements. (Accuracy).

Levels of Assertions:

- Financial statement level** – entity’s management representation that the financial statements as a whole are presented fairly, in all material respects, in accordance with the applicable financial reporting framework.
- Account balance or class of transactions level** – entity’s management representation that the underlying account balances and class of transactions, including related disclosures, are free of material misstatements.

Categories of Assertions used by the Auditor:

- Assertions about classes of transactions and events for the period under audit**
 - ✓ **Completeness** – all transactions and events that should have been recorded have been recorded.
 - ✓ **Occurrence** – recorded transactions and events have occurred and pertain to the entity.
 - ✓ **Cutoff (proper period)** – transactions and events have been recorded in the correct accounting period.
 - ✓ **Accuracy** – amounts and other data relating to recorded transactions and events have been recorded appropriately.
 - ✓ **Classification** – transactions have been recorded in the proper accounts.
- Assertions about account balances at the period end**
 - ✓ **Completeness** – all assets, liabilities and equity interests that should have been recorded have been recorded.

- ✓ **Valuation and allocation** – assets, liabilities, and equity interests are included in the FS at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.
- ✓ **Existence** – assets, liabilities, and equity interests exist.
- ✓ **Rights and obligations** – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
- Assertions about presentation and disclosure**
 - ✓ **Completeness** – all disclosures that should have been included in the financial statements have been included.
 - ✓ **Occurrence and rights and obligations** – disclosed events, transactions, and other matters have occurred and pertain to the entity.
 - ✓ **Classification and understandability** – financial information is appropriately presented and described, and disclosures are clearly expressed.
 - ✓ **Accuracy and valuation** – financial and other information are disclosed fairly and at appropriate amounts.

Auditor’s Use of Relevant Assertions:

- The auditor uses relevant assertions in developing audit objectives that will be the basis for designing audit procedures.
- Relevant assertions** are assertions that have a meaningful bearing on whether an account is fairly stated. For example:
 - ✓ Existence assertion, not valuation, is typically relevant to the audit of cash account.
 - ✓ The valuation assertion would be relevant to assessing the inventory balance than assessing sales balance.

Audit Objectives

- The auditor develops audit objectives that relate to management assertions about the financial statement components.
- To achieve audit objectives, the auditor shall design audit procedures and gather sufficient appropriate audit evidence whether the assertions are in accordance with the applicable financial reporting framework.
- Audit objectives are used to verify management assertions. Thus, there should be proper matching of auditor’s objectives with management assertions.

Types of Audit Objectives:

- Whether general or specific:**
 - ✓ **General audit objectives** – are broad objectives of auditing an account balance or class of transactions.
 - ✓ **Specific audit objectives** – audit objectives stated in terms tailored to the specific audit engagement.
- Whether substantive or compliance**
 - ✓ **Substantive audit objectives** – objectives that relate to the determination of the validity of assertions on account balances or class of transactions or disclosures found in the financial statements.
 - ✓ **Compliance audit objectives** – objectives that relate to the degree of entity’s compliance with relevant controls.

Audit Procedures

- Based on audit objectives, the auditor should plan and perform audit procedures.

- **Audit procedures** are the means for obtaining sufficient appropriate audit evidence to satisfy financial statement assertions and to support audit opinion on the fairness of the financial statements.
- They are the detailed instructions for the collection of a particular type of evidence that is to be obtained during the audit. Since audit procedures are performed to verify management assertions, they would differ depending on the particular assertion or account audited.

Primary Purpose of Audit Procedures:

- Audit procedures are performed to gather necessary (not all) corroborative evidence to achieve audit objectives in order to result to sufficient appropriate audit evidence on the fairness of the presentation of the entity's financial statements.

Nature, Timing and Extent of Audit Procedures:

- **Nature of an audit procedure** – refers to:
 - ✓ Its purpose (i.e., test of controls or substantive procedure) and
 - ✓ Its type (i.e., inspection, observation, inquiry, confirmation, recalculation, reperformance, or analytical procedures).
- **Timing of an audit procedure** – refers to when to perform the audit procedure, or the period or date to which the audit evidence applies.
 - ✓ Audit procedures are normally performed:
 - Early in the accounting period being examined.
 - Throughout the accounting period being examined, but with emphasis of the transactions near the end.
 - Within one to three months after the close of the accounting period.
 - ✓ Audit procedures performed before period end are known as **interim work**.
- **Extent of an audit procedure** – refers to the quantity to be performed or the extent of testing or the number of items to be examined.

Audit Procedures for Obtaining Audit Evidence:

- **Risk assessment procedures** – procedures to obtain an **understanding** of the entity and its environment, including its internal control, in order to identify and assess the risks of material misstatement (RMM).

Risk assessment procedures include:

 - ✓ Inquiry of management and other personnel.
 - ✓ Analytical procedures (as a planning tool).
 - ✓ Observation and inspection.
- **Further audit procedures** – The auditor shall design and perform audit procedures whose nature, timing, and extent are based on and are responsive to the assessed RMM at the assertion level.
 - ✓ Further audit procedures are actually audit procedures classified according to purpose.
 - ✓ In designing the further audit procedures to be performed, the auditor shall:
 - Consider the assessed RMM.
 - Obtain more persuasive audit evidence the higher the auditor's assessment of risk by:
 - Increasing the quantity of evidence; or

- Obtain evidence that is more relevant or reliable (such as obtaining third party evidence or by obtaining corroborating evidence from a number of independent sources).

Further audit procedures include:

- **Tests of controls (compliance tests)** – audit procedures designed to evaluate the operating effectiveness of relevant controls in preventing, or detecting and correcting material misstatements at the assertion level.
 - ✓ In designing and performing tests of controls, the auditor shall obtain more persuasive audit evidence the higher/greater reliance the auditor places on the effectiveness of a control.
 - ✓ Test of controls, although not intended to detect material misstatements, may provide evidence that a misstatement is likely to occur.
- **Substantive procedures** – audit procedures designed to detect material misstatements at the assertion level.
 - **Types of substantive procedures:**
 - 1) **Tests of details** – examining or obtaining audit evidence on the actual details of account balance, class of transactions, and disclosure.
 - The objective of tests of details is to substantiate or identify misstatements in the recorded amounts.
 - **Directional testing** – refers to the direction of an audit test.
 - ✓ **Tracing** – if the auditor starts from original source documents and traces forward to the accounting records, this tests the assertion of **completeness**. This helps the auditor identify understatement errors.
 - ✓ **Vouching** – If the auditor starts from the accounting records and vouches backwards to the original source documents, this tests the assertion of **existence** or **occurrence**. This helps the auditor identify overstatement errors.
 - a) **Test of details of transactions** – testing of transactions which give rise to the ending balance of a given account; these involve examining authorization, recording and posting of transactions.
 - ✓ **Applicability of test of details of transactions:** It is used when the account being substantiated has relatively few or smaller volume of transactions of relatively material amounts occurring during the year.
 - ✓ **Test of transactions** are often performed several months prior to the balance sheet date.
 - ✓ **Tests of details** of transactions primarily involve tracing and vouching.
 - b) **Tests of details of balances** – direct testing of accounts ending balance.
 - ✓ Tests of details of balances focus on obtaining evidence directly about an account balance.
 - ✓ More types of evidence are obtained using tests of details of balances than by using any other type of test.
 - ✓ Test details of balances is usually the most

costly to perform.

- 2) **Substantive analytical procedures** – these are analytical procedures performed during testing phase to substantiate predictable relationships among both financial and non-financial data.
 - ✓ **Analytical procedures** are evaluations of financial information made by a study of plausible relationships among both financial and nonfinancial data. Analytical procedures generally involve comparisons of recorded amounts to independent expectations developed by the auditor.
 - ✓ Analytical procedures will result to circumstantial evidence rather than conclusive evidence.
 - ✓ Results of substantive analytical procedures would entail additional tests to be performed.
 - ✓ Analytical procedures are the audit tests that are usually the least costly to perform.

Audit Procedures According to Types:

- **Inspection** – consists of examining records or documents (whether internal or external, in paper form, or other media), or a physical examination of an asset.
- **Observation** – consists of viewing/looking at a process or procedure being performed by others.
- **External confirmation** – represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party (the confirming party) in paper form, or by electronic or other medium.

Examples of external confirmation:

- ✓ Confirmation of accounts receivable balances:
 - **Positive confirmation** – customers should reply whether or not they agree with their respective balances; it is considered more effective than negative confirmation.
 - **Negative confirmation** – customers should reply if there are discrepancies.
- ✓ Bank confirmation of account balances (including amount of loan outstanding).
- ✓ Suppliers’ confirmation of accounts payable.
- ✓ Confirmation from lenders.
- ✓ Inventory confirmation when inventory is under custody and control of a third party.
- **Recalculation (computation)** – consists of checking the mathematical accuracy (manually or electronically) of documents or records.
- **Reperformance** – involves the auditor’s independent execution of procedures or controls that were originally performed (by the client’s staff) as part of the entity’s internal control.
- **Analytical procedures** – consist of evaluations of financial information made by a study of plausible relationships among both financial and non-financial data.
- **Inquiry** – consists of seeking information of knowledgeable persons, both financial and non-financial, within the entity or outside the entity.

Audit Techniques

- The auditor applies audit techniques (methods) to gather corroborative evidence and uses his professional judgment to

determine which audit techniques would best result to the audit evidence he needs.

- **Examples of audit techniques:**
 - ✓ **Confirm** – to obtain information directly from an independent third party.
 - ✓ **Inspect** – to obtain evidence through physical examination.
 - ✓ **Count** – physical examination of assets (such as cash count or petty cash count).
 - ✓ **Compare** – technique used after count of assets; also used to compare current period balances with those of prior periods.
 - ✓ **Inquire** – asking questions, whether oral or written, directed to the client or to third parties.
 - ✓ **Trace** – to determine whether transactions supported by source documents are properly recorded and posted.
 - ✓ **Vouch** – examine and authenticate of underlying evidential papers.
 - ✓ **Verify** – to prove the accuracy of extensions, footings, postings, ownership and existence.

Audit Program

- An **audit program** is a detailed listing of the nature, timing and extent of planned audit procedures (tests of controls and/or substantive tests) that the auditor will perform to gather sufficient appropriate evidenced.
- It is a set of instructions to assistants involved in the audit and as a means to control and record the proper execution of work.

Audit Evidence

- **Audit evidence** refers to all the information used by the auditor in arriving at the conclusions on which the audit opinion is based. Thus, audit evidence supports the opinion and the auditor’s report.
- Sometimes called as **evidential matter**, it is the main output/product of performing audit procedures.
- The auditor shall conclude whether sufficient appropriate audit evidence has been obtained based on his professional judgment.

Nature of Audit Evidence:

- **Accounting records (Underlying data)** – accounting records/data prepared by the client’s personnel and from which financial statements are prepared.
 - ✓ Records of initial accounting entries.
 - ✓ Supporting records, such as checks and records of electronic fund transfers, invoices and contracts.
 - ✓ General and subsidiary ledgers.
 - ✓ Journal entries and other adjustments to the financial statements that are not reflected in formal journal entries.
 - ✓ Records such as worksheets and spreadsheets supporting cost allocations, computations, reconciliation and disclosures.
- **Corroborating evidence** – corroborating information that are used by the auditor to verify the fairness of the accounting records.
 - ✓ Documents (such as checks, bank statements, contracts and minutes of meetings).
 - ✓ Information/evidence from other sources such as:
 - Previous audits
 - Confirmations from third parties

- Client written representation
- ✓ Information obtained by the auditor from audit procedures such as inquiry, observation, inspection and computation.
- ✓ Other information developed by, or available to, the auditor that permits the auditor to reach conclusions through valid reasoning.

Types of Audit Evidence:

- **Physical evidence** – obtained by physical examination of assets.
- **Mathematical recomputation** – auditor’s recomputation of the accuracy of client’s computations such as depreciation, amortization, doubtful accounts, etc.
- **Documentation** – examination of the supporting documents of recorded transactions and balances appearing in the financial statements.
- **Representation by third parties (or confirmation)** – a document originating from independent outside party and sent directly to the auditor.
- **Representation by client personnel** – statements from client personnel in response to queries posed by the auditor.
- **Results of analytical procedures.**
- **Internal control** – existence of effective internal control may be regarded as a strong evidence of the validity of the accounts and amounts found in the financial statements.
- **Subsequent events** – they provide additional evidence regarding conditions that already existing on the balance sheet that and affect accounting estimates.

Sufficient Appropriate Audit Evidence

- **Sufficiency** – the measure of the quantity or amount of audit evidence that the auditor shall accumulate.
 - ✓ Sufficiency is determined based on the auditor’s professional judgment.
 - ✓ Audit evidence is sufficient if there is enough of it to afford a reasonable basis for an audit opinion on the financial statements.
- **Appropriateness** – measures the quality of audit evidence, that is, its relevance and its reliability in providing support for the conclusions on which the auditor’s opinion is based.
 - ✓ **Relevance** – deals with the logical connection with, or bearing upon, the purpose of audit procedures and the assertion under consideration.
 - ✓ **Reliability** – objectivity of evidence
 - Reliability of evidence is influenced by:
 - ✓ Its source (external or internal)
 - ✓ Its nature (visual, documentary, or oral)
 - ✓ The circumstances under which it is obtained
 - ✓ Where relevant, the controls over its preparation and maintenance
 - **Hierarchy of reliability of evidence:** (from most reliable to least reliable)
 - ✓ Direct evidence or personal observation and knowledge (such as physical observation).
 - ✓ Externally generated evidence sent directly to the auditor (such as confirmations from banks and customers and bank statements and cut-off bank statements received from banks).

- ✓ Externally generated evidence kept by the client (such as vendor’s invoices, bank statements received from the client).
- ✓ Internally generated evidence circulated externally (such as sales invoices from sale to customers and paid checks and cost allocations).
- ✓ Internally generated evidence not circulated externally (such as purchase requisitions, customer’s order and cost allocations).
- ✓ Oral evidence.

Persuasive Evidence:

- Audit evidence is persuasive if it is sufficient both in quantity and quality to support audit opinion. Thus, sufficiency and appropriateness of audit evidence are the determinants of persuasiveness of audit evidence. The auditor may need to rely on audit evidence that is persuasive rather than conclusive. However, to obtain reasonable assurance, the auditor must not be satisfied with audit evidence that is less than persuasive.

Information produced by a management expert as audit evidence

- A **management expert** is an individual or organization possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing the financial statements.
- When information to be used as audit evidence has been prepared using the work of a management’s expert, the auditor shall, to the extent necessary, having regard to the significance of that expert’s work for the auditor’s purpose.

0 Evaluate the competence, capabilities and objectivity of that expert.

- ✓ **Competence** – relates to the nature and level of expertise of the management’s expert.
- ✓ **Capability** – relates to the ability of the management’s expert to exercise that competence in the circumstances.
- ✓ **Objectivity** – relates to the possible effects that bias, conflict of interest or the influence of others may have on the professional or business judgment of the management expert.

0 Obtain an understanding of the work or field of expertise of that management’s expert.

Aspects of the management’s expert’s field relevant to the auditor’s understanding may include:

- ✓ Whether that expert’s field has areas of specialty within it that are relevant to the audit.
- ✓ Whether any professional or other standards, and regulatory or legal requirements apply.

0 Evaluate the appropriateness of that expert’s work as audit evidence for relevant assertion.

The auditor shall consider:

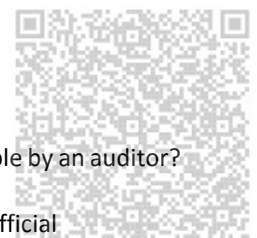
- ✓ The relevance and reasonableness of that expert’s findings or conclusions, their consistency with other audit evidence, and whether they have been appropriately reflected in the financial statements.
- ✓ If the expert’s work involves use of significant assumptions and methods, the relevance and reasonableness of those assumptions and methods.
- ✓ If that expert’s work involves significant use of source data the relevance, completeness, and accuracy of that source data.

-- END --

AUDIT EVIDENCE

AUDIT EVIDENCE PART I: Financial Statement Assertions

1. The information obtained by the auditor in arriving at the conclusions on which the audit opinion is based is called
 - a. Audit working papers
 - b. Audit assertions
 - c. Audit evidence
 - d. Audit standards
2. The major reason an independent auditor gathers evidence is to
 - a. Form an opinion on the financial statements
 - b. Detect fraud
 - c. Evaluate management
 - d. Evaluate internal control
3. The sufficiency and appropriateness of evidential matter ultimately is based on the
 - a. Availability of corroborating data
 - b. Philippine Standards on Auditing
 - c. Pertinence of the evidence
 - d. Judgments of the auditor
4. Audit evidence comprises:
 - I. Information that supports and corroborates management's assertions
 - II. Any information that contradicts management's assertions
 - a. I only
 - b. II only
 - c. Neither I nor II
 - d. Both I and II
5. Which of the following is correct about the appropriateness of evidence?
 - a. Audit evidence from external sources is more relevant than evidence generated internally
 - b. Audit evidence is more persuasive when items of evidence from different sources or different nature are not consistent
 - c. Audit evidence generated internally is more reliable when the related accounting and internal control systems are effective
 - d. Sufficiency refers to the amount of evidence needed
6. Evidential matter is generally considered sufficient when
 - a. It is appropriate
 - b. There is enough of it to afford a reasonable basis for an opinion on financial statements
 - c. It has the qualities of being relevant, objective and free from unknown bias
 - d. It has been obtained by random selection
7. Which of the following statements about audit evidence is correct?
 - a. Appropriateness is the measure of the quantity of audit evidence
 - b. Sufficiency is the measure of the quality of audit evidence and its relevance to a particular assertion and its reliability
 - c. Audit evidence is more persuasive when items of evidence from different sources or of different nature are consistent
 - d. There should be a one-to-one relationship between audit objectives and audit procedure
8. Which of the following assertions is correct about the reliability of evidential matter?
 - a. Information obtained indirectly from outside sources is the most reliable evidential matter
 - b. To be reliable, evidential matter should be convincing rather than persuasive
 - c. Reliability of evidential matter refers to the amount of corroborating evidence obtained
 - d. An effective internal control structure provides more assurance about the reliability of evidential matter
9. In determining the validity of accounts receivable, which of the following would the auditor consider to be the most reliable?
 - a. Documentary evidence that supports the accounts receivable balance
 - b. Credits to accounts receivable from the cash receipts book after the close of business at year-end
 - c. Direct telephone communication between the auditor and customer
 - d. Confirmation replies received directly from customers
10. Which of the following types of evidence is the least persuasive?
 - a. Pre-numbered purchase order forms
 - b. Bank statements obtained from the client
 - c. Test counts of inventory performed by the auditor
 - d. Correspondence from the client's attorney about litigation
11. Which of the following forms of documentary evidence would be considered the most reliable by an auditor?
 - a. Internally generated
 - b. Prenumbered
 - c. Easily duplicated
 - d. Authorized by a responsible official



12. In the context of an audit of financial statements, substantive tests are audit procedures that
 - a. May be eliminated under certain conditions
 - b. Are designed to discover significant subsequent events
 - c. May be either tests of transactions, direct test of financial balances or analytical tests
 - d. Will increase proportionately with the auditor's assessment of control risk
13. The objective of tests of details of transactions performed as substantive tests is to
 - a. Comply with generally accepted auditing standards
 - b. Attain assurance about the reliability of the accounting system
 - c. Detect material misstatements in the financial statements
 - d. Evaluate whether management's policies and procedures operate effectively
14. Which of the following is the best example of corroborating evidence?
 - a. General journal
 - b. Worksheet cost allocations
 - c. Purchase orders
 - d. Cash receipts journal
15. Which of the following is an example of "other information" that could be used by an auditor as evidential matter supporting the financial statements?
 - a. Worksheets supporting cost allocations
 - b. Confirmation of accounts receivable
 - c. Special journals
 - d. Cash receipts journal
16. Management assertions are
 - a. Stated in the footnotes to the financial statements
 - b. Implied or expressed representations about the accounts in the financial statements
 - c. Explicitly expressed representations about the financial statements
 - d. Provided to the auditor in the Assertions Letter, but are not disclosed in the financial statements
17. Which of the following statements is true?
 - a. The auditor's objectives follow and are closely related to management assertions
 - b. Management's assertions follow and are closely related to the auditor's objectives
 - c. The auditor's primary responsibility to find and disclose fraudulent management assertions
 - d. Assertions about presentation and disclosure deal with whether the accounts have been included in the financial statements at appropriate amounts
18. Which of the following statements is true?
 - a. The evidence which the auditor accumulates remains the same from audit to audit, but the general audit objectives vary, depending on the circumstances
 - b. The general audit objectives remain the same from audit to audit, but the evidence varies, depending on the circumstances
 - c. The circumstances may vary from audit to audit, but the evidence accumulated remains the same
 - d. The general audit objectives may vary from audit to audit, but the circumstances remain the same
19. An auditor most likely would review a client's periodic accounting for the numerical sequence of shipping documents and sales invoices to support management's financial statement assertion of
 - a. Existence
 - b. Rights and obligations
 - c. Completeness
 - d. Valuation and allocation
20. Cut-off tests designed to detect credit sales made after the end of the year that have been recorded in the current year provide assurance about management's assertion of
 - a. Accuracy
 - b. Classification
 - c. Rights and obligations
 - d. Existence
21. In confirming with an outside agent, such as a financial institution, that the agent is holding investment securities in the client's name, an auditor most likely gathers evidence in support of management's financial statement assertions of existence and
 - a. Valuation and allocation
 - b. Rights and obligations
 - c. Completeness
 - d. Classification and understandability
22. Two assertions for which confirmation of accounts receivable balances provides primary evidence are
 - a. Completeness and valuation and allocation
 - b. Valuation and allocation and rights and obligations
 - c. Rights and obligations and existence
 - d. Existence and completeness
23. An auditor concluded that no excessive costs for an idle plant were charged to inventory. This conclusion most likely related to the auditor's objective to obtain evidence about the financial statement assertions regarding inventory, including presentation and disclosure and
 - a. Valuation and allocation
 - b. Completeness
 - c. Rights and obligations
 - d. Existence



24. Which of the following most likely would give the most assurance concerning the valuation and allocation assertion of accounts receivable?
 - a. Vouching amounts in the subsidiary ledger to details on shipping documents
 - b. Inquiring about receivables pledged under loan agreements
 - c. Assessing the allowance for bad debts for reasonableness
 - d. Comparing receivable turnover ratios with industry statistics for reasonableness
25. An auditor is most likely to inspect loan agreements under which an entity's inventories are pledged to support management's financial statement assertion of
 - a. Presentation and disclosure
 - b. Existence
 - c. Completeness
 - d. Valuation and allocation
26. An auditor's purpose in reviewing the renewal of a note payable shortly after the balance sheet date most likely is to obtain evidence concerning management's assertion about
 - a. Existence
 - b. Presentation and disclosure
 - c. Completeness
 - d. Valuation and allocation
27. During an audit of a company's stockholders' equity accounts, the auditor determines whether there are restrictions on retained earnings resulting from loans, agreements, or law. This audit procedure most likely is intended to verify management's assertion of
 - a. Existence
 - b. Presentation and disclosure
 - c. Completeness
 - d. Valuation and allocation
28. In testing the existence assertion for an asset, an auditor ordinarily works from the
 - a. Potentially unrecorded items to the financial statements
 - b. Financial statements to the potentially unrecorded items
 - c. Supporting evidence to the accounting records
 - d. Accounting records to the supporting evidence
29. In determining whether transactions have been recorded, the direction of the audit testing should be from the:
 - a. General journal entries
 - b. Original source documents
 - c. General ledger balances
 - d. Adjusted trial balance
30. If the objective of a test of details of transactions is to detect overstatement of sales, the auditor's direction of testing should be from the
 - a. Cash receipts journal to the sales journal
 - b. Accounting records to the source documents
 - c. Source documents to the accounting records
 - d. Sales journal to the cash receipts journal
31. Tracing bills of lading to sales invoices provides evidence that
 - a. Invoiced sales were shipped
 - b. Recorded sales were shipped
 - c. Shipments to customers were recorded as sales
 - d. Shipments to customers were invoiced
32. To determine that all sales have been recorded, the auditors would select a sample of transactions from the
 - a. Shipping documents file
 - b. Sales journal
 - c. Accounts receivable subsidiary ledger
 - d. Remittance advices
33. The document used to indicate to the customer the amount of a sale and due date of the payment is the
 - a. Sales order
 - b. Shipping document
 - c. Bill of lading
 - d. Sales invoice
34. A document prepared to initiate shipment of the goods sold is the
 - a. Sales order
 - b. Bill of lading
 - c. Sales invoice
 - d. Shipping form

AUDIT EVIDENCE Part II: Substantive Testing

CASH

1. Which of the following is not considered an objective of the audit of cash?
 - a. Cash is stated at its realizable value
 - b. Compensating cash balances are reported as other current assets
 - c. Cash is properly classified, described and disclosed in the financial statements, including notes, in conformity with GAAP
 - d. The client has ownership rights in the reported cash
2. The most likely reason for the auditor to be concerned about the valuation of cash is that
 - a. The proof of cash cannot be reconciled
 - b. The client uses a checking account
 - c. Both currency and negotiable securities are on hand
 - d. The client has foreign currency accounts



3. When counting cash on hand, the auditor must exercise control over all cash and other negotiable assets to prevent
 - a. Theft
 - b. Deposits in transit
 - c. Substitution
 - d. Irregular endorsement
4. The best evidence regarding year-end bank balances is documented in the
 - a. Bank reconciliations
 - b. Interbank transfer schedule
 - c. Cash in bank lead schedule
 - d. Cutoff bank statement
5. Which procedure is an auditor most likely to use to detect a check outstanding at year-end that was not recorded as outstanding on the year-end bank reconciliation?
 - a. Prepare a bank transfer schedule using the client's cash receipts and cash disbursements journal
 - b. Receive a cutoff statement directly from the client's bank
 - c. Prepare a four-column bank reconciliation using the year-end bank statement
 - d. Confirm the year-end balance using the standard form to confirm account balance information with financial institutions
6. X embezzled P10,000 from his company's account in Bank A. At year-end he hid the shortage by making a deposit on December 31 in Bank A, drawn on Bank B. He has not recorded the transaction on the books. This is an example of
 - a. Lapping
 - b. Kiting
 - c. Effective cash management
 - d. Related party transactions
7. An auditor will most likely detect kiting by
 - a. Completing an analysis of interbank transfers and obtaining cutoff bank statements directly from all banks
 - b. Reconciling all bank accounts as of year end
 - c. Reconciling Bank A as of year end and Bank B at the end of the first week following year end
 - d. Reconciling Bank B as of year end and Bank A at the end of the first week following year end
8. The purpose of a proof of cash is to
 - a. Validate that the client's bank did not make an error during the period being examined
 - b. Confirm that the client has properly separated the custody function from the recording function with respect to cash
 - c. Prove that the client's year-end balance of cash is fairly stated
 - d. Determine whether any unauthorized disbursements or unrecorded deposits were made for a given time period

INVESTMENTS

9. Which of the following is not one of the auditor's primary objectives in an audit of trading securities?
 - a. To determine whether securities are authentic
 - b. To determine whether securities actually exist
 - c. To determine whether securities are the property of the client
 - d. To determine whether securities are properly classified on the balance sheet
10. A company makes a practice of investing excess short-term cash in trading securities that are traded regularly on the Philippine Stock Exchange (PSE). A reliable test of the valuation of those securities is
 - a. Calculation of premium or discount amortization
 - b. Confirmation of securities held by the broker
 - c. Consideration of current market quotations
 - d. Recalculation of investment value using a valuation model
11. A logical substantive test for accrued interest receivable would be to
 - a. Compare the interest income with published interest investment records
 - b. Verify the interest income by a calculation based on the face amount of notes and the nominal interest rate
 - c. Verify the cost, carrying value, and market value of notes receivable
 - d. Recalculate interest earned and compare it to the amounts received
12. In establishing the existence and ownership of an investment held by a corporation in the form of publicly traded stock, an auditor should inspect the securities or
 - a. Determine that the investment is carried at the lower of cost or market
 - b. Confirm the number of shares owned that are held by an independent custodian
 - c. Inspect the audited financial statements of the investee company
 - d. Obtain written representations from management confirming that the securities are properly classified as trading securities



13. Which of the following provides the best form of evidence pertaining to the annual valuation of an investment in which the client owns a 30% voting interest?
- Historical cost of the investee company's assets
 - Audited financial statements of the investee company
 - Current fair value of the investee company's assets
 - Market quotations of the investee company's stock

RECEIVABLE

14. Which of the following is not a principal objective in auditing accounts receivable?
- To determine whether receivables are carried at their net realizable value
 - To determine whether receivables are properly classified, described and disclosed in the financial statements, including notes, in conformity with GAAP
 - To determine whether the entity has real claims in all receivables on the balance sheet
 - To determine whether the accounts are collected by the balance sheet date
15. In many audits of sales transactions, no substantive tests of transactions are made for the completeness objective on the ground that
- Overstatements of assets and income are a greater concern than understatements
 - Understatements of assets and income are a greater concern than overstatements
 - It doesn't matter if income is understated because the savings on income tax offsets the reduced revenue and net income is correct
 - The reduced sales causes a reduction of accounts receivable, therefore the ratios of the two financial statements will not be misleading
16. All of the following are examples of substantive procedures to verify the valuation of net accounts receivable, except the
- Comparison of the allowance for bad debts with past records
 - Recomputation of the allowance for bad debts
 - Inspection of the aging schedule and credit records of past due accounts
 - Inspection of accounts for current versus noncurrent status in the statement of financial position
17. Which of the substantive field work procedures presented below provides the best evidence about the completeness of recorded revenues?
- Reconciling the sales journal to the general ledger control account
 - Vouching charges made to the accounts receivable subsidiary ledger to supporting shipping record
 - Vouching shipping records to the customer order files
 - Reconciling shipping records to recorded sales
18. Which of the following is the most effective procedure for determining the collectability of an accounts receivable?
- Confirmation of the account
 - Review of the subsequent cash collections
 - Review of authorization of credit sales to the customer and the previous history of collections
 - Examination of the related sales invoice(s)
19. The process of obtaining and evaluating audit evidence through a direct communication from a third party in response to a request for information about a particular item affecting assertions made by management in the financial statements is called
- | | |
|--------------------------|------------------|
| a. Reperformance | c. Inquiry |
| b. External confirmation | d. Recalculation |
20. The confirmation of customers' accounts receivable rarely provides reliable evidence about the valuation assertion because
- Customers may not be inclined to report understatement errors in their accounts
 - Auditors typically select many accounts with low recorded balances to be confirmed
 - It is not practicable to ask the customer to confirm detailed information relating to its ability to pay the account
 - Recipients usually respond only if they disagree with the information on the request
21. Auditors may use positive and/or negative forms of confirmation requests. An auditor most likely will use
- The negative form for small balances
 - The positive form, when the combined assessed level of inherent and control risk for related assertions is acceptably low, and the negative form when it is unacceptably high
 - The positive form to confirm all balances regardless of size
 - A combination of the two forms, with the positive form used for trade balances and the negative form for other balances



22. Negative confirmation of accounts receivable is less effective than positive confirmation of accounts receivable because
 - a. A majority of recipients usually lack the willingness to respond objectively
 - b. Some recipients may report incorrect balances that require extensive follow-up
 - c. The auditor cannot infer that all non-respondents have verified their account information
 - d. Negative confirmations do not produce evidential matter that is statistically quantifiable
23. For customers not responding to a first request for positive confirmation requests, the auditor should next
 - a. Contact the customer by telephone and attempt to confirm the balance orally
 - b. Analyze subsequent remittances from the customer to see if the year-end balance has been paid
 - c. Send a second request for confirmation
 - d. Examine underlying documentation supporting the year-end balance
24. An auditor should perform alternative procedures to substantiate the existence of accounts receivable when
 - a. No reply to a positive confirmation request is received
 - b. No reply to a negative confirmation request is received
 - c. Collectibility of the receivables is in doubt
 - d. Pledging of the accounts receivables is probable
25. In confirming accounts receivable, an auditor decided to confirm customers' account balances rather than individual invoices. Which of the following most likely would be included with the client's confirmation letter?
 - a. An auditor-prepared letter explaining that a non-response may cause an inference that the account balance is correct
 - b. An auditor-prepared letter requesting the customer to supply missing and incorrect information directly to the auditor
 - c. A client-prepared letter reminding the customer that a nonresponse will cause a second request to be sent
 - d. A client-prepared statement of account showing the details of the customer's account balance
26. Which of the following statements would an auditor most likely add to the negative confirmation form of confirmations of accounts receivable to encourage timely consideration by the recipient?
 - a. "This is not a request for payment; remittances should not be sent to our auditors in the enclosed enveloped"
 - b. "If you do not report any differences within 15 days, it will be assumed that this statement is correct"
 - c. "The following invoices have been selected for confirmation and represent amounts that are overdue"
 - d. "Report any differences on the enclosed statement directly to our auditors; no reply is necessary if the amount agrees with your records"
27. An auditor confirms a representative number of open accounts as of December 31 and investigates respondents' exceptions and comments. By this procedure, the auditor is most likely to learn which of the following?
 - a. One of the cashiers has been covering a personal embezzlement by lapping
 - b. The credit manager has misappropriated remittances from customers whose accounts have been written off
 - c. One of the sales clerks has not been preparing charge slips for credit sales to family and friends
 - d. One of the customer processing control clerks has been removing all sales invoices applicable to his account from the data file

INVENTORY

28. Purchase cutoff procedures test the completeness assertion. An entity should include goods in its inventory if it

a. Has paid for the goods	c. Has physical possession of the goods
b. Holds legal title to the goods	d. Has sold the goods
29. Purchase cutoff procedures should be designed to test whether all inventory
 - a. Owned by the company was recorded
 - b. On the year-end balance sheet was carried at lower of cost or market
 - c. On the year-end balance sheet was paid for by the company
 - d. Owned by the company is in the possession of the company
30. In an audit of inventories, an auditor is least likely to verify that
 - a. The client has used proper inventory pricing
 - b. Damaged goods and obsolete items have been properly accounted for
 - c. The financial statement presentation of inventories is appropriate
 - d. All inventory owned by the client is on hand at the time of the count



31. In auditing inventories, a major objective relates to the existence assertion. Of the following audit procedures relating to inventories, which does not support the existence assertion?
 - a. The auditor observes the client's inventory and performs test counts as appropriate
 - b. The auditor confirms inventories not on the premises
 - c. The auditor performs a lower of cost or market test for major categories of inventory
 - d. The auditor reviews the client's inventory-taking instructions for such matters as proper arrangement of goods, separation of consigned goods, and limits on movements of goods during inventory
32. After accounting for a sequence of inventory tags, an auditor traces a sample of tags to the physical inventory listing to obtain evidence that all items
 - a. Included in the listing have been counted
 - b. Represented by inventory tags are included in the listing
 - c. Included in the listing are represented by inventory tags
 - d. Represented by inventory tags are bona fide
33. A client maintains perpetual inventory records in both quantities and pesos. If the assessed level of control risk is high, an auditor will probably
 - a. Increase the extent of tests of controls relevant to the inventory cycle
 - b. Request the client to schedule the physical inventory count at the end of the year
 - c. Apply gross profit tests to ascertain the reasonableness of the physical counts
 - d. Insist that the client perform physical counts of inventory items several times during the year
34. An auditor's attendance at the physical inventory at the client's main plant at year-end provides direct evidence to support which of the following objective?
 - a. Accuracy of the priced-out inventory
 - b. Determination of goods in the hands of consignees
 - c. Evaluation of lower of cost or net realizable value test
 - d. Identification of obsolete or damaged merchandise to evaluate allowance (reserve) for obsolescence
35. An auditor is most likely to learn of slow-moving inventory through

a. Inquiry of sales personnel	c. Review of perpetual inventory records
b. Inquiry of warehouse personnel	d. Physical observation of inventory
36. Which of the following audit procedures probably provides the most reliable evidence concerning the entity's assertion of rights and obligations related to inventories?
 - a. Inspect the open purchase order file for significant commitments that should be considered for disclosure
 - b. Trace test counts noted during the entity's physical count to the entity's summarization of quantities
 - c. Inspect agreements to determine whether any inventory is pledged as collateral or subject to any liens
 - d. Select the last few shipping advices used before the physical count and determine whether the shipments were recorded as sales

PROPERTY, PLANT AND EQUIPMENT

37. A weakness in internal accounting control over recording retirements of equipment may cause the auditor to
 - a. Inspect certain items of equipment in the plant and trace those items to the accounting records
 - b. Review the subsidiary ledger to ascertain whether depreciation was taken on each item of equipment during the year
 - c. Trace additions to the "other assets" account to search for equipment that is still on hand but no longer being used
 - d. Select certain items of equipment from the accounting records and locate them in the plant
38. Which of the following combinations of procedures is an auditor most likely to perform to obtain evidence about fixed asset conditions?
 - a. Confirming ownership and corroborating transactions through inquiries of client personnel
 - b. Inspecting documents and physically examining assets
 - c. Recomputing calculations and obtaining written management representations
 - d. Observing operating activities and comparing balances to prior period balances
39. If an auditor tours a production facility, which of the following misstatements or questionable practices is most likely to be detected by the audit procedure specified?
 - a. Depreciation expense on fully depreciated machinery has been recognized
 - b. Insurance coverage on the facility has lapsed
 - c. Necessary facility maintenance has not been performed
 - d. Overhead has been overapplied



40. The auditor may conclude that depreciation charges are insufficient by noting
 - a. Large amounts of fully depreciated assets
 - b. Continuous trade-ins of relatively new assets
 - c. Excessive recurring losses on assets retired
 - d. Insured values greatly in excess of book values
41. In violation of a company policy, a company erroneously capitalized the cost of painting its warehouse. The auditor examining its financial statements will most likely detect this misstatement when
 - a. Observing, during the physical inventory observation, that the warehouse had been painted
 - b. Examining the construction work orders supporting items capitalized during the year
 - c. Examining maintenance expense accounts
 - d. Discussing capitalization policies with the company's controller
42. Which of the following is the primary audit test to determine if accounts payable are valued properly?
 - a. Vouching accounts payable to supporting documentation
 - b. An analytical procedure
 - c. Verification that accounts payable are reported as a current liability in the balance sheet
 - d. Examination of cash disbursements subsequent to year-end
43. One audit procedure for an audit of facilities and equipment is to test the accuracy of recorded depreciation. Which of the following is the best source of evidence that the equipment in question is in service?
 - a. A review of inventory documentation for the equipment
 - b. A comparison of depreciation schedules with the maintenance and repair logs for the same equipment
 - c. A comparison of depreciation schedules with a listing of insurance appraisals for the same equipment
 - d. A review of depreciation policies and procedures
44. Which of the following accounts would most likely be reviewed by the auditor to gain reasonable assurance that additions to the equipment account are not understated?

a. Repairs and maintenance expense	c. Gain on disposal of equipment
b. Depreciation expense	d. Accounts payable

LIABILITIES

45. Auditor confirmation of accounts payable balances at the balance sheet date may be unnecessary because
 - a. This is a duplication of cutoff tests
 - b. Accounts payable balances at the balance sheet date may not be paid before the audit is completed
 - c. Correspondence with the audit client's attorney will reveal all legal action by vendors for non-payment
 - d. There is likely to be other reliable external evidence to support the balances
46. Which of the following procedures is least likely to be performed before the balance sheet date?

a. Search for unrecorded liabilities	c. Attendance at the physical inventory account
b. Confirmation of accounts receivable	d. Testing internal control over cash
47. The auditors' search for unrecorded liabilities is completed

a. During an interim period	c. Subsequent to the balance sheet date
b. At the balance sheet date	d. At any time during the examination
48. Which of the following audit procedures is best for identifying unrecorded trade accounts payable?
 - a. Reviewing cash disbursements recorded subsequent to the balance sheet date to determine whether the related payable applies to the prior period
 - b. Investigating payables recorded just prior to and just subsequent to the balance sheet date to determine whether they are supported by receiving reports
 - c. Examining unusual relationships between monthly accounts payable balances and recorded cash payments
 - d. Reconciling vendors' statements to the file of receiving reports to identify items received just prior to the balance sheet date
49. A CPA, in performing an independent audit, would most likely use recalculation as a substantive test for which of the following expense-related accounts?

a. Purchases of supplies	c. Advertising expense
b. Interest expense	d. Repairs and maintenance expense
50. Which of the following best describes the specific accounts payable that are selected for confirmation?
 - a. Accounts with large balances
 - b. Accounts with zero balances
 - c. Accounts with a large amount of activity regardless of their balance
 - d. Accounts for which vendor statements are available



51. When using confirmations to provide evidence about the completeness assertion for accounts payable, the appropriate population most likely is
 - a. Amounts recorded in the accounts payable subsidiary ledger
 - b. Vendors with whom the entity has previously done business
 - c. Invoices filed in the entity's open invoice file
 - d. Payees of checks drawn in the month subsequent to the balance sheet date
52. Unrecorded liabilities are most likely to be found during the review of which of the following documents?
 - a. Bills of lading
 - b. Unpaid bills
 - c. Unmatched sales invoices
 - d. Shipping records
53. The auditor can best verify a client's bond sinking fund transactions and year-end balance by
 - a. Confirmation with the bond trustee
 - b. Confirmation with individual holders of retired bonds
 - c. Examination and count of the bonds retired during the year
 - d. Recomputation of interest expense, interest payable, and amortization of bond discount or premium
54. An auditor's program to examine long-term debt most likely would include steps that require
 - a. Comparing the carrying amount of the debt to its year-end market value
 - b. Correlating interest expense recorded for the period with outstanding debt
 - c. Verifying the existence of the holders of the debt by direct confirmation
 - d. Inspecting the accounts payable subsidiary ledger for unrecorded long-term debt

STOCKHOLDER'S EQUITY

55. In the audit of a medium-sized manufacturing concern, which one of the following areas can be expected to require the least amount of audit time?
 - a. Revenue
 - b. Assets
 - c. Liabilities
 - d. Stockholder's Equity
56. If the client corporation has a material amount of treasury stock on hand at year-end, the auditor should
 - a. Count the certificates only if the company reports treasury stock as an asset
 - b. Not count the certificates if treasury stock is reported as a deduction from stockholders' equity
 - c. Count the certificates only if the company had material treasury stock transaction during the year
 - d. Count the certificates at the same time other securities are counted
57. In an audit of stockholders' equity, an auditor is most concerned that
 - a. Capital stock transactions are properly authorized
 - b. All changes in the stockholders' equity accounts are monitored by an independent transfer agent and register
 - c. Stock splits are charged to retained earnings at par or stated value
 - d. Dividends declared during the year were approved by the stockholders
58. When a client company does not maintain its own stock records, the auditor should obtain written confirmation from the transfer agent and register concerning
 - a. The number of shares issued and outstanding
 - b. Restrictions on the payment of dividends
 - c. The number of shares subject to agreements to repurchase
 - d. Guarantees of preferred stock liquidation value
59. The auditor is concerned with establishing that dividends are paid to client corporation stockholders owning stock as of the
 - a. Payment date
 - b. Record date
 - c. Declaration date
 - d. Issue date
60. An audit program for the retained earnings account should include a step that requires verification of the
 - a. Gain or loss resulting from disposition of treasury shares
 - b. Approval of the adjustment to the beginning balance as a result of a write-down of an accounts receivable
 - c. Authorization for both cash and stock dividends
 - d. Fair value used to charge retained earnings to account for a two-for-one stock split



DOCUMENTATION: WORKING PAPERS

61. Audit working papers are indexed by means of reference numbers. Which of the following is the primary purpose of indexing?
- a. Determine that working papers adequately support findings, conclusions and reports
 - b. Support the audit opinion
 - c. Permit cross-referencing and simplify supervisory review
 - d. Eliminate the need for follow-up reviews
62. During the course of an audit engagement, an auditor prepares and accumulates audit working papers. The primary purpose of the audit working papers is to
- a. Aid the auditor in adequately planning his work
 - b. Provide a point of reference for future audit engagements
 - c. Support the underlying concepts included in the preparation of the basic financial statements
 - d. Support the auditor's opinion
63. Audit working papers are used to record the results of the auditor's evidence-gathering procedures. When preparing working papers, the auditor should remember that working papers should be
- a. Kept on the client's premises so that the client can have access to them for reference purposes
 - b. The primary support for the financial statements being examined
 - c. Considered as a part of the client's accounting records that are retained by the auditor
 - d. Designed to meet the circumstances and the auditor's needs on each engagement
64. The main advantage of properly indexed working papers is to
- a. Reduce the size of the file
 - b. Better organize the working papers
 - c. Allow division of labor within the audit team
 - d. Facilitate the efficient use of audit staff
65. During the working paper review, an audit supervisor finds that the auditor's reported findings are not adequately cross-referenced to supporting documentation. The supervisor will most likely instruct the auditor to
- a. Prepare a working paper to indicate that the full scope of the audit was carried out
 - b. Familiarize him/herself with the sequence of working papers so that he/she will be able to answer questions about the conclusions stated in the report
 - c. Eliminate any cross-references to other working papers since the system is unclear
 - d. Provide a workpaper indexing system that shows the relationship between findings, conclusions, and the related facts

IDENTIFICATION

For each of the listed procedures, indicate, by letter, the assertion(s) being tested.

- | | |
|----------------------------|--------------------------------|
| a. Existence or occurrence | d. Valuation or allocation |
| b. Completeness | e. Presentation and disclosure |
| c. Rights and obligations | |
-
- 1. Confirmed customer accounts receivable
 - 2. Vouched property additions to underlying documentation consisting of vendors' invoices and work orders
 - 3. Inquired of corporate treasurer as to reasons for buying and holding securities
 - 4. Selected a sample of bills of lading representing shipments to customers and traced to sales invoices to determine that all shipments have been billed to customers
 - 5. Examined vendors' invoices recorded after year-end to determine whether any of these invoices represent liabilities of the client as of year-end
 - 6. Obtained confirmation of marketable securities from client's brokers
 - 7. Evaluated the reasonableness of the client's depreciation policy
 - 8. Obtained letter from client's outside legal counsel regarding pending litigation
 - 9. Inspected recorded addition to client materials handling facilities
 - 10. Investigated decrease in revenue from scrap sales as revealed by the application of analytical procedures
 - 11. Calculated depreciation expense for the year
 - 12. Test counted client's year-end inventory of materials and finished goods
 - 13. Examined vehicle title applicable to new truck purchased during the current year
 - 14. Considered need for a footnote describing a lawsuit pending against the client
 - 15. Conducted a search for unrecorded liabilities
 - 16. Advised client of the need to reclassify the current portion of a long-term mortgage note
 - 17. Performed tests to determine that overhead had been properly applied to ending inventory and cost of sales
 - 18. Reconciled client's bank accounts as of year end
 - 19. Examined appraisal reports applicable to land donated by the city
 - 20. Obtained written confirmation from customers regarding year end balances in selected accounts receivable



AUDIT SAMPLING

REFERENCE:

PSA 530: Audit Sampling

Definition of terms:

- **Sampling** – testing of less than 100% of the items within a population to form a conclusion about the population.
- **Audit sampling** – applying audit procedures to less than 100% of the items within an account balance or class of transactions, such that all sampling units have a chance of selection, to form a conclusion about the balance or class.
- **Error** – either control deviations, when performing tests of control, or misstatements, when performing substantive procedures.
- **Anomalous error** – means an error that arises from an isolated event that has not recurred other than on specifically identifiable occasions and is therefore not representative of errors in the population.
- **Sampling risk** – the possibility that the auditor’s conclusion, based on a sample may be different from the conclusion reached if the entire population were subjected to the same audit procedure.
- **Non-sampling risk** – arises from factors that cause the auditor to reach an erroneous conclusion for any reason not related to the size of the sample. For example, most audit evidence is persuasive rather than conclusive, the auditor might use inappropriate procedures, or the auditor might misinterpret evidence and fail to recognize an error.
- **Population** – the entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions. For example, all of the items in an account balance or a class of transactions constitute a population. A population may be divided into strata, or sub-populations, with each stratum being examined separately. The term population is used to include the term stratum.
- **Confidence levels** – the mathematical complements of sampling risks.
- **Sampling unit** – the individual items constituting a population, for example checks listed on deposit slips, credit entries on bank statements, sales invoices or debtors’ balances, or a monetary unit.
- **Stratification** – the process of dividing a population into subpopulations, each of which is a group of sampling units which have similar characteristics (often monetary value).
- **Tolerable error**
 - ✓ **Tolerable error amount** – in substantive procedures, it is the maximum total error in a population that the auditor is willing to accept.
 - ✓ **Tolerable deviation rate** – in tests of control, it is the maximum rate of deviation from the prescribed control procedure the auditor is willing to accept without changing control risk assessment or planned reliance on internal control.
- **Expected error**
 - ✓ **Expected error amount** – in substantive tests, it is the auditor's best estimate of the amount of error the auditor expects to find in the population.
 - ✓ **Expected deviation rate** – in tests of control, it is the auditor's best estimate of the rate of deviation from a prescribed control procedure in the population.

Whether audit sampling is a required: Audit sampling is not required part of any audit procedure because when designing audit procedures, the auditor should determine appropriate means of selecting items for testing as follows:

- ✓ **Selecting all items** (100% examination).
- ✓ **Selecting specific items** from a population judgmentally based on such factors as knowledge of the client’s business, preliminary assessments of inherent and control risks, and the characteristics of the population being tested (subject to non-sampling risk).
- ✓ **Audit sampling:** Sampling is essential throughout audits as auditors attempt to gather sufficient appropriate evidence in a cost efficient manner.

Approaches to audit sampling:

- **Statistical sampling**
 - In statistical sampling, auditors specify the sampling risk they are willing to accept and then calculate the sample size that provides that degree of reliability. Results are evaluated quantitatively.
 - Statistical sampling measures quantitatively the risk from testing only part of an audit population.
 - Any approach to sampling that has the following characteristics:
 - ✓ Random selection of a sample; and
 - ✓ Use of probability theory to evaluate sample results, including measurement of sampling risk.
 - **Advantages of statistical sampling:** Conclusions may be drawn in more precise ways when using statistical sampling because it enables the auditor to:
 - ✓ Measure the sufficiency of the audit evidence obtained.
 - ✓ Provide an objective basis for quantitatively evaluating sample results.
 - ✓ Design an efficient sample.
 - ✓ Quantify sampling risk so as to limit/control risk to an acceptable level.
 - **Random sample selection:** Random sample selection methods should be used in statistical sampling. Such methods give all items in the population an equal chance to be included in the sample to be audited.
 - **Nonstatistical sampling** – the sample size is not determined mathematically. Auditors use their judgment in determining sample size, and sample results are evaluated judgmentally. **Conclusions may be drawn in more precise ways when using statistical sampling methods.**
 - It is acceptable for auditors to use either or combination of statistical and nonstatistical sampling.
 - Both sampling approaches involve judgment in planning, executing the sampling plan, and evaluating the results of the sample.
 - Sampling methods are used by auditors in both control testing and substantive testing.
 - Statistical sampling is a mathematical approach to inference, whereas nonstatistical sampling is a more subjective approach.
- Auditor’s professional judgment:**
- Although statistical sampling aids the auditor in quantitative ways, it is not a substitute for professional judgment.
 - The auditor must exercise professional judgment in both statistical and nonstatistical sampling to:
 - ✓ Define the population and the sampling unit.

- ✓ Select the appropriate sampling method.
- ✓ Evaluate the appropriateness of audit evidence.
- ✓ Evaluate the nature of deviations or errors.
- ✓ Consider sampling risk.
- ✓ Evaluate the results obtained from the sample and project those results to the population.

Types of sampling:

- **Attribute sampling** – estimates the quality characteristic of a population; it estimates the rate of deviation for internal controls that the auditor decides to rely upon.
 - ✓ **Applicability of attribute sampling:** primarily used for test of controls because attribute sampling deals with estimating deviation from internal control procedures.
- **Variables sampling** – estimates the numerical quantity of a population.
 - ✓ **Applicability of variable sampling:** typically used in substantive testing of account balances because variables sampling deal with peso balances.

Sampling risk:

- The possibility that the auditor’s conclusion, based on a sample may be different from the conclusion reached if the entire population were subjected to the same audit procedure.
- The risk that the sample is not representative of the population and that the auditor's conclusion will be different from the conclusion had the auditor examined 100% of the population.
- The possibility that even though a sample is properly chosen, it may not be representative of the population.

Two types of sampling risk:

- **Risk that affects audit effectiveness and may lead to an inappropriate audit opinion (“Beta risk” or “Type II error”)** – the risk the auditor will conclude that:
 - ✓ In the case of a test of control, that control risk is lower than it actually is, or
 - ✓ In the case of a substantive test, that a material error does not exist when in fact it does.
- **Risk affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect (“Alpha risk” or “Type I error”)** – the risk the auditor will conclude that:
 - ✓ In the case of a test of control, that control risk is higher than it actually is, or
 - ✓ In the case of a substantive test, that a material error exists when in fact it does not.

Aspects of audit risk: (Sampling risk and Nonsampling risk)

- **Sampling risk:** aspects of audit risk that are due to sampling; the risk or the possibility that, when a test of controls or a substantive test is restricted to a sample, the auditor's conclusions may be different from the conclusions which would have been reached had the tests been applied to all items in the account balance or class of transactions.
 - ✓ **Sampling risks in substantive testing: (Risk of incorrect acceptance and risk of incorrect rejection)**
 - **Risk of incorrect acceptance** – the risk that the recorded account balance (based on the sample) is not materially misstated when in fact it is materially

misstated (i.e., sample results fail to identify an existing material misstatement).

- This means that the auditor wrongly concludes material error in an account balance does not exist when in fact it does.

- **Risk of incorrect rejection** – the risk that the recorded account balance (based on the sample) is materially misstated when in fact it is not materially misstated (i.e., sample results mistakenly indicate a material misstatement).

- This means that the auditor wrongly concludes that material error in an account balance exists when in fact it does not.

- ✓ **Sampling risks in tests of controls: (Risk of assessing control risk to low and Risk of assessing control risk to high)**

- **Risk of assessing control risk too low** – the risk that the assessed level of control risk (based on the sample) is lower than the true level of control risk (i.e., sample results indicate a lower deviation rate than actually exists in the population).

- This means that the auditor wrongly concludes that the control risk is low or that client’s internal control system can be relied upon.

- **Risk of assessing control risk too high** – the risk that the assessed level of control risk (based on the sample) is higher than the true level of control risk (i.e., sample results indicate a greater deviation rate than actually exists in the population).

- This means that the auditor wrongly concludes that the control risk is high or that the client’s internal control system cannot be relied upon.

Analysis of sampling risks:

Aspects of sampling risks	Auditor’s wrong conclusion	Effect on audit work because of wrong conclusion	Sacrificed
Risk of incorrect acceptance	Not materially misstated when in fact materially misstated	Performance of less extensive substantive tests	Effectiveness of the audit because it may lead to inappropriate opinion due to inappropriate less extensive substantive tests
Risk of incorrect rejection	Materially misstated when in fact not materially misstated	Additional work (performance of unnecessary more extensive substantive tests)	Efficiency of the audit because of unnecessary additional work
Risk of assessing control risk too low	↓CR than actual CR – internal control is reliable	Performance of tests of controls and less extensive substantive tests	Effectiveness of the audit because it may lead to inappropriate opinion due to inappropriate less extensive

			substantive tests
Risk of assessing control risk too high	↑ CR than actual CR – internal control is not reliable	Additional work (because non-performance of tests of controls would lead to the performance of unnecessary more extensive substantive tests	Efficiency of the audit because of unnecessary additional work

- o **Nonsampling risk:** all aspects of audit risk that are not due to sampling. Nonsampling risk is the possibility that auditors will arrive at an erroneous conclusion not because of the chosen sample but due to other factors.
- Nonsampling risk is always present and cannot be measured.
 - Nonsampling risk can be controlled by adequate planning and supervision of audit work and proper adherence to quality control standards.
 - Examples of nonsampling risk:
 - The auditor might use/select inappropriate procedures.
 - The auditor might misinterpret evidence or the results of audit tests and fail to recognize an error.

Types of statistical plans:

- o **Attribute sampling** – sampling in tests of controls
- Attribute sampling** is a statistical sampling method used to estimate the rate (%) of occurrence (exception) of a specific characteristic or attribute.
 - Samples taken to test the operating effectiveness of controls are intended to provide a basis for the auditor to conclude whether the controls are being applied as prescribed.
 - Attribute sampling generally deals with yes/no questions. For example, "Are time cards properly authorized (i.e., to assure recorded hours were worked)?", or "Are invoices properly voided (e.g., stamped "paid") to prevent duplicate payments?".
 - Attribute sampling models:**
 - ✓ **Discovery sampling** – a special type of attribute sampling appropriate when the auditor believes the population deviation rate is zero or near zero. It is used when the auditor is looking for a very critical characteristic or deviations (e.g., fraud). The auditor predetermines the desired reliability (confidence) level (e.g., 95%) and the maximum acceptable tolerable rate (e.g., 1%), and a table is then used to determine sample size. If no deviations are found in the sample, the auditor can be 95% certain that the rate of deviation in the population does not exceed 1%. If deviations are found, a regular attribute sampling table may be used to estimate the deviation rate in the population, and audit procedures may need to be expanded.
 - ✓ **Stop-or-go sampling (sequential sampling)** – is designed to avoid oversampling for attributes by allowing the auditor to stop an audit test before completing all steps. It is used when few errors are

expected in the population. Sequential sampling separates the sampling process into several states. After a step, the auditor determines if it is warranted to accept or increase the preliminary level of control risk.

- o **Variables sampling** – sampling in substantive tests:
- ✓ **Probability-proportional-to-size (PPS) sampling** – sampling technique where the sampling unit is defined as an individual peso in a population. Once a peso is selected, the entire account (containing that peso) is audited.
 - It is a sampling plan that automatically stratifies the population.
 - ✓ **Classical variables sampling** – a statistical sampling method used to estimate the numerical measurement of a population, such as a peso value (e.g., accounts receivable balance). This sampling method is used primarily in substantive testing. The objective of variables sampling is to obtain evidence about the reasonableness of monetary amounts. The auditor estimates the true value of the population by computing a point estimate of the population and computing a precision interval around this point estimate. Classical variables sampling measures sampling risk by using the variation of the underlying characteristic of interest.
 - ✓ **Three commonly used classical variables sampling:**
 - **Mean-per-unit estimation** – a sampling plan that uses the average value of the items in the sample to estimate the true population value (i.e., estimate = average sample value x number of items in population). MPU does not require the book value of the population to estimate true population value.
 - **Ratio estimation** – a sampling plan that uses the ratio of the audited (correct) values of items to their book values to project the true population value. Ratio estimation is a highly efficient technique when the calculated audit amounts are approximately proportional to the client's book amounts.
 - **Difference estimation** – a sampling plan that uses the average difference between the audited (correct) values of items and their book values to project the actual population value. Difference estimation is used instead of ratio estimation when the differences are not nearly proportional to book values.

Comparison of PPS sampling to classical variables sampling

Advantages of PPS sampling		Advantages of classical variables sampling	
1. Generally easier to use.	2. Size of sample not based on variation of audited amounts.	1. May result in a smaller sample size if there are many differences between audited and book values.	2. Easier to expand sample size if that becomes necessary.
3. Automatically results in a stratified sample.	4. Individually significant items are automatically identified.	3. Selection of zero balances does not require special sample design considerations.	4. Inclusion of negative balances does not require special sample design considerations.
5. Usually results in a smaller sample size if no misstatements are expected.	6. Can be easily designed and sample selection can begin before the complete population is available.		

Factors influencing determination of sample size for tests of control and substantive procedures:

Factor		Relationship to sample size	Required sample size	
Tests of control	Substantive procedures		↓	↑
			Smaller	Larger

	Assessed level of IR and CR	Direct	↓ Lower	↑ Higher
	Acceptable level of detection risk	Direct	↓ Lower	↑ Higher
	Reliance on other substantive procedures	Inverse	↑ Higher	↓ Lower
Expected deviation rate	Expected error	Direct	↓ Lower	↑ Higher
Degree or level of intended reliance	Degree or level of confidence	Direct	↓ Lower	↑ Higher
Tolerable deviation rate	Tolerable error	Inverse and indirect	↑ Higher	↓ Lower
Risk of assessing control risk too low		Inverse	↑ Higher	↓ Lower
	Risk of incorrect acceptance	Inverse	↑ Higher	↓ Lower

Principal sample selection methods:

Appropriate sample selection methods could reduce sampling risk.

- ✓ **Random-number sampling** – use of a computerized random number generator or random number tables.
- ✓ **Systematic selection** – the number of sampling units in the population is divided by the sample size to give a sampling interval regardless of the amount involved (for example 50, and having determined a starting point within the first 50, each 50th sampling unit thereafter is selected).
- ✓ **Haphazard selection** – the auditor selects the sample without following a structured technique, but the method is intended to avoid or predictability (for example avoiding difficult to locate items, or always choosing or avoiding the first or last entries on a page) and thus attempt to ensure that all items in the population have a chance of selection. Haphazard selection is not appropriate when using statistical sampling.

Other sample selection methods:

- ✓ **Value-weighted selection** – sets the high-value items as priority to be included in the sample.
- ✓ **Block selection** – involves selecting a block(s) of contiguous items from within the population. Block selection cannot ordinarily be used in audit sampling because most populations are structured such that items in a sequence can be expected to have similar characteristics to each other, but different characteristics from items elsewhere in the population.
- ✓ **Stratification** – grouping of items of similar size and each group is treated as a separate population. For example, assume 1,000 items are stratified into two groups: the 100 largest items will all be examined individually, but sampling techniques will be applied to the remaining 900 items. In this case, the population size for the sampling application would be 900, not 1,000. Stratification is used when there is a wide range (variability) in the monetary size of items in the population.

-- END --



AUDIT SAMPLING

QUESTIONS

1. This involves the application of the procedures to less than 100% of the items within an account balance or class of transactions. This enables the auditor to obtain and evaluate audit evidence about some characteristics of the selected items in order to form an opinion about the characteristics of all the items supporting an account balance or transaction class
 - a. Audit techniques
 - b. Selective testing
 - c. Audit sampling
 - d. Specific identification
2. Population, as defined in PSA 530, means that the entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions. It is important for the auditor to ensure that the population is
 - I. Appropriate to the objective of the audit procedure
 - II. Complete
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
3. PSA 530 identifies two general approaches to audit sampling. They are
 - a. Random and non-random
 - b. Statistical and non-statistical
 - c. Precision and reliability
 - d. Risk and non-risk
4. An advantage of statistical over non-statistical sampling is that statistical sampling
 - a. Enables auditors to objectively measure the reliability of their sample results
 - b. Permits use of a smaller sample size than would be necessary with non-statistical sampling
 - c. Is compatible with a wider variety of sample selection methods than is non-statistical sampling
 - d. Allows auditors to inject their subjective judgment in determining sample size and selection process in order to audit items of greatest value and highest risk
5. Of the following statements, which one best differentiates statistical sampling from nonstatistical sampling?
 - a. Statistical sampling is a mathematical approach to inference, whereas nonstatistical sampling is a more subjective approach
 - b. Nonstatistical sampling has greater applicability to large populations than does statistical sampling
 - c. Nonstatistical sampling is more subjective but produces greater consistency in the application of audit judgment
 - d. Nonstatistical sampling has greater applicability to populations that lend themselves to random selection
6. There are many kinds of statistical estimates that an auditor may find useful, but basically every statistical estimate in auditing is of either a quantity or of an error rate. The statistical terms that roughly correspond to "quantities" and "occurrence rate", respectively, are
 - a. Attributes and variables
 - b. Variables and attributes
 - c. Constants and attributes
 - d. Constants and variables
7. Which of the following sampling methods is most useful to auditors when testing for internal control effectiveness?
 - a. Stratified random sampling
 - b. Attribute sampling
 - c. Variables sampling
 - d. Unrestricted random sampling with replacement
8. Which of the following sampling plans would be designed to estimate a numerical measurement of a population such as peso value during substantive testing phase?
 - a. Numerical sampling
 - b. Sampling for attributes
 - c. Discovery sampling
 - d. Variables sampling
9. A sample in which every possible combination of items in the population has a chance of constituting the sample is a
 - a. Representative sample
 - b. Random sample
 - c. Statistical sample
 - d. Judgment sample
10. The process which requires the calculation of an interval and then selects the items based on the size of the interval is
 - a. Statistical sampling
 - b. Systematic selection
 - c. Random selection
 - d. Computerized selection



11. If certain forms are not consecutively numbered
 - a. Selection of a random sample probably is not possible
 - b. Systematic sampling may be appropriate
 - c. Stratified sampling should be used
 - d. Random number tables cannot be used
12. A method of sampling in which all the items in the population are divided into two or more sub-population is
 - a. Variable sampling
 - b. Stratified sampling
 - c. Attribute sampling
 - d. Divisible sampling
13. What is the primary objective of using stratification as a sampling method in auditing?
 - a. To increase the confidence level at which a decision will be reached from the results of the sample selected
 - b. To determine the occurrence rate for a given characteristic in the population being studied
 - c. To decrease the effect of variance in the total population
 - d. To determine the precision range of the sample selected
14. In which sampling method is the probability of selection of an item proportional to the size or the value of the item?
 - a. Discovery sampling
 - b. Value weighted sampling
 - c. Ration estimation
 - d. Stratified sampling
15. In comparison with classical variables sampling, which of the following is an advantage of value weighted sampling?
 - a. Value weighted sampling automatically results in a stratified sample
 - b. Value weighted sampling results in a smaller sample size if many differences are expected between audited and recorded amounts
 - c. Value weighted sampling is particularly appropriate when understatement errors are expected
 - d. Value weighted sampling is less likely to overstate the allowance for sampling risk when errors are found in the sample
16. If the auditor is concerned that a population may contain exceptions, the determination of a sample size sufficient to include at least one such exception is a characteristic of
 - a. Discovery sampling
 - b. Variables sampling
 - c. Random sampling
 - d. PPS Sampling
17. An auditor samples cash disbursement records for significant errors of P500 or more. Upon finding one such error, these records are scheduled for a complete review. This conclusion is most likely based on a
 - a. Cluster sample
 - b. Discovery sample
 - c. Systematic sample
 - d. Stratified sample
18. When the auditor goes through a population and selects items for the sample without regard to their size, source or other distinguishing characteristics, it is called
 - a. Block selection
 - b. Systematic selection
 - c. Haphazard selection
 - d. Random selection
19. Which of the following statistical selection techniques is least desirable for use by an auditor?
 - a. Systematic selection
 - b. Stratified selection
 - c. Block selection
 - d. Sequential selection
20. The possibility that the auditor's conclusion based on a sample may be different from the conclusion reached if the entire population were subjected to the same procedure is called
 - a. Audit risk
 - b. Non-sampling risk
 - c. Sampling risk
 - d. Detection risk
21. Which of the following best illustrates the concept of sampling risk?
 - a. A randomly chosen sample may not be representative of the population as a whole on the characteristics of interest
 - b. An auditor may select audit procedure that are not appropriate to achieve the specific objective
 - c. An auditor may fail to recognize errors in the documents examined for chosen sample
 - d. The documents related to the chosen sample may not be available for inspection
22. One of the ways to reduce sampling risk is to
 - a. Use an appropriate method of selecting sample items from the population
 - b. Carefully design the audit procedures to be used
 - c. Provide proper supervision and instruction of the audit team
 - d. Use variables sampling rather than attribute sampling



23. One of the causes of non-sampling error is
- a. Failure to draw a random sample
 - b. Failure to draw a representative sample
 - c. The use of inappropriate or ineffective audit procedures
 - d. The use of attributes sampling instead of variables sampling
24. In assessing sample risk, alpha risks relate to the
- a. Efficiency of the audit
 - b. Selection of the sample
 - c. Effectiveness of the audit
 - d. Audit quality controls
25. In performing substantive tests, the auditor is concerned with two risks of errors of sampling: the alpha error and the beta error
- a. The alpha error is of greater concern to the auditor than the beta error
 - b. The beta error is of greater concern to the auditor than the alpha error
 - c. The beta error and the alpha error are of equal importance to the auditor
 - d. Neither the alpha error nor the beta error need be considered by the auditor
26. The risk of incorrect acceptance and the likelihood of assessing control risk too low relate to the
- a. Efficiency of the audit
 - b. Effectiveness of the audit
 - c. Preliminary estimates of materiality levels
 - d. Tolerable misstatement
27. While performing a test of details during an audit, the auditor determined that the sample results supported the conclusion that the recorded account balance was materially misstated. It was, in fact, not materially misstated. The situation illustrates the risk of
- a. Incorrect rejection
 - b. Incorrect acceptance
 - c. Assessing control risk too low
 - d. Assessing control risk too high
28. As a result of tests of controls, an auditor assessed control risk too low and decreased substantive testing. This assessment occurred because the true deviation rate in the population was
- a. Less than the risk of assessing control risk too low, based on the auditor's sample
 - b. Less than the deviation rate in the auditor's sample
 - c. More than the risk of assessing control risk too low, based on the auditor's sample
 - d. More than the deviation rate in the auditor's sample
29. The likelihood of assessing control risk too high is the risk that the sample selected to test controls
- a. Does not support the auditor's planned assessed level of control risk when the true operating effectiveness of internal control justifies such an assessment
 - b. Contains misstatements that could be material to the financial statements when aggregated with misstatements in other account balances or transactions classes
 - c. Contains proportionately fewer monetary errors or deviations from prescribed internal controls than exist in the balance or class as a whole
 - d. Does not support the tolerable error for some or all of management's assertions
30. In determining the sample size for a test of controls, an auditor should consider the likely rate of deviations, the allowable risk of assessing control risk too low, and the
- a. Tolerable deviation rate
 - b. Risk of incorrect acceptance
 - c. Nature and cause of deviations
 - d. Population size
31. The deviation rate the auditor will permit in the population and still be willing to reduce the assessed level of control risk is called the
- a. Tolerable deviation rate
 - b. Estimated population deviation rate
 - c. Acceptable sampling risk
 - d. Sample deviation rate
32. The maximum amount of error in a population that the auditor is willing to accept is referred to as the
- a. Acceptable risk
 - b. Tolerable error
 - c. Expected error
 - d. Tolerable materiality
33. The deviation rate the auditor expects to find in the population, before testing begins, is called the
- a. Tolerable deviation rate
 - b. Computed upper deviation rate
 - c. Sample deviation rate
 - d. Expected deviation rate
34. How would increases in tolerable misstatement and assessed level of control risk affect the sample size in a substantive test of details?
- | <u>Tolerable misstatement</u> | <u>Assessed level of control risk</u> |
|-------------------------------|---------------------------------------|
| a. Increase | Increase |
| b. Increase | Decrease |
| c. Decrease | Increase |
| d. Decrease | Decrease |



35. Which of the following results in a decrease in sample size for attributes?
- | | <u>Acceptable sampling risk</u> | <u>Tolerable deviation rate</u> | <u>Expected population deviation rate</u> |
|----|---------------------------------|---------------------------------|---|
| a. | Increase | Decrease | Increase |
| b. | Decrease | Increase | Decrease |
| c. | Increase | Increase | Decrease |
| d. | Increase | Increase | Increase |
36. Which of the following sampling planning factors would influence the sample size for a substantive test of details for a specific account?
- | | <u>Expected Error</u> | <u>Tolerable Error</u> | <u>Expected Error</u> | <u>Tolerable Error</u> |
|----|-----------------------|------------------------|-----------------------|------------------------|
| a. | No | No | No | Yes |
| b. | Yes | Yes | Yes | No |
37. If all other factors specified in a sampling plan remain constant, changing the acceptable risk of assessing control risk too low from 10 percent to 5 percent would cause the required sample size to
- | | |
|--------------------|-------------------------|
| a. Increase | c. Decrease |
| b. Remain the same | d. Become indeterminate |
38. If all other factors specified in a sampling plan remain constant, changing the tolerable deviation rate from 8 percent to 12 percent would cause the required sample size to
- | | |
|--------------------|-------------------------|
| a. Increase | c. Decrease |
| b. Remain the same | d. Become indeterminate |
39. Which of the following statements is correct concerning statistical sampling in tests of controls?
- a. The population size has little or no effect on determining sample size except for very small populations
 - b. The expected population deviation rate has little or no effect on determining sample size except for very small populations
 - c. As the population size doubles, the sample size should also double
 - d. For a given tolerable rate, a larger sample size should be selected as the expected population deviation rate decreases
40. An auditor who uses statistical sampling for attributes in testing internal controls should increase the assessed level of control risk when the
- a. Sample occurrence rate is less than the expected occurrence rate used in planning the sample
 - b. Tolerable rate less the allowance for sampling risk exceeds the sample occurrence rate
 - c. Sample occurrence rate plus the allowance for sampling risk exceeds the tolerable rate
 - d. Sample occurrence rate plus the allowance for sampling risk equals the tolerable rate

IDENTIFICATION

Indicate by letter the term matching the definition given.

- | | |
|-----------------------------|------------------------------|
| A. Attribute sampling | G. Discovery sampling |
| B. Alpha risk | H. Sampling risk |
| C. Discovery sampling | I. Systematic sampling |
| D. Beta risk | J. Tolerable occurrence rate |
| E. Expected occurrence rate | K. Upper occurrence limit |
| F. Precision | L. Variables sampling |
- 1. An estimate of frequency of events.
 - 2. An orderly approach to locating a particular event.
 - 3. The anticipated error rate.
 - 4. Risk of underassessment.
 - 5. Maximum rate of error acceptable to the auditor.
 - 6. Risk that the auditor's conclusions about a population will be incorrect.
 - 7. A random selection method that involves choosing every nth item in the population until the requisite sample size has been reached.
 - 8. The calculated maximum error rate based on the results of sampling.
 - 9. Risk of overassessment.
 - 10. Range within the true answer most likely falls.



CALCULATION

1. The 10,000 accounts receivable of a company have a total book value of P120,000. A CPA has selected and audited a sample of 100 accounts with a total book value of P1,000 and an audited value of P1,200.

Question 1: Using the difference estimation technique, estimated total audited value of the population is

- | | |
|-------------|-------------|
| a. P100,000 | c. P140,000 |
| b. P120,000 | d. P144,000 |

Question 2: Using the ratio estimation technique, the estimated total audited value of the population is

- | | |
|-------------|-------------|
| a. P100,000 | c. P140,000 |
| b. P120,000 | d. P144,000 |

Question 3: Using the mean-per-unit estimation technique, the estimated total audited value of the population is

- | | |
|-------------|-------------|
| a. P100,000 | c. P140,000 |
| b. P120,000 | d. P144,000 |

2. Using the mean-per-unit estimation method an auditor has properly calculated the estimated total audited value of a population as P200,000. Her sample included 200 of the population's 40,000 items. She found that, in her sample the average audited value was P1 less than the average book value. What was the average audited value in the sample?

- | | |
|-------|--------|
| a. P4 | c. P6 |
| b. P5 | d. P10 |

3. Using difference estimation, an auditor has taken a sample of 200 from a population's 40,000 items; that population has a book value of P200,000. She found that in her sample the average audited value was P4.20, while the average book value was P5.20. What is the estimated total audited value of the population?

- | | |
|-------------|-------------|
| a. P160,000 | c. P168,000 |
| b. P161,538 | d. P200,000 |

4. Using ratio estimation, an auditor has taken a sample of 200 from a population's 40,000 items; that population has a book value of P200,000. She found that in her sample the average audited value was P4.20, while the average book value was P5.20. What is the estimated total audited value of the population?

- | | |
|-------------|-------------|
| a. P160,000 | c. P168,000 |
| b. P161,538 | d. P200,000 |



COMPLETING THE AUDIT

REFERENCES:

- PSA 520: Analytical Procedures
- PSA 550: Related Parties
- PSA 560: Subsequent Events
- PSA 570: Evaluation of Going Concern Status
- PSA 580: Written Representations

- The procedures being performed in completing the audit are necessary. These procedures are usually performed by audit managers or other senior members of the audit team who have extensive audit experience with the client because the procedures involve many subjective judgments by the auditor. These procedures do not pertain to specific transaction cycles or accounts.

Reviewing Related Party Transactions

- Related party transaction** – a transfer of resources, services or obligations between related parties, regardless of whether a price is charged.
- The auditor shall inquire of management regarding:
 - ✓ The identity of the entity’s related parties (relationships and transactions), including changes from the prior period.
 - ✓ The nature of the relationships between the entity and these related parties.
 - ✓ Whether the entity entered into any transactions with these related parties during the period and, if so, the type and purpose of the transactions.

Management’s responsibility

- Identification and disclosure of:
 - ✓ Related parties; and
 - ✓ Related party transactions

Auditor’s responsibility

- Review related party transactions to ensure that they have been properly identified, recorded and disclosed in the financial statements.
- Obtain a written representation from management concerning:
 - ✓ Completeness of information on identification of related parties; and
 - ✓ Adequacy of disclosure in the FS.

Reasons for the review: The auditor should modify the auditor’s report in case of:

- Inability to obtain sufficient appropriate audit evidence concerning related parties and transactions with such parties.
- Inadequate disclosure in the FS.

Perform Subsequent Events Review

- Subsequent events** refer to events occurring between period end (the date of the financial statements or the balance sheet date) and the date of the auditor’s report that may affect the financial statements and the auditor’s report.
- These events are also called **post-balance sheet events/transactions** since they occur after or subsequent to the balance sheet date.
- Subsequent events may also refer to facts discovered after the date of the auditor’s report.
- The period between the date of the financial statements and the date of the auditor’s report is called the **subsequent period**.

During this period, the auditor has an active responsibility to investigate certain subsequent events.

- Types of subsequent events:**
 - Those requiring adjustment** – those that provide evidence of conditions that existed at the date of the financial statements.

Examples:

 - ✓ Settlement of litigation in excess of amount recorded.
 - ✓ Loss on uncollectible accounts resulting from of customer’s continued deteriorating financial condition leading to bankruptcy.
 - Those requiring disclosure** – events that are indicative of conditions that arose after the date of the financial statements.

Examples:

 - ✓ Issuance of bonds/stocks after the BS date.
 - ✓ Major purchase of a business.
 - ✓ Loss on inventory due to fire that occurred in the subsequent period.
 - ✓ Loss of plant due to flood.
 - ✓ Loss on uncollectible receivable because of a major catastrophe suffered by the customer after the BS date.
- Subsequent events relevant to the auditor:** limited to those subsequent events (both requiring adjustment or disclosure) that occur subsequent to date of the FS and the date of the auditor’s report.
- Auditor’s responsibility for subsequent events:**
 - Perform audit procedures designed to identify subsequent events.**
 - The auditor should perform procedures designed to obtain sufficient appropriate audit evidence that all events up to the date of the auditor’s report that may require adjustment of, or disclosure in, the financial statements have been identified. These procedures would include:
 - ✓ Reviewing procedures management has established to ensure that subsequent events are identified.
 - ✓ Inquiry
 - Inquiring of management as to whether any subsequent events have occurred which might affect the financial statements.
 - Inquiring of the entity’s legal counsel concerning litigation claims, and assessments.
 - ✓ Reading minutes of the meetings (of shareholders, those charged with governance, audit and executive committees) including those held after period end and inquiring about matters discussed at meetings for which minutes are not yet available.
 - ✓ Reading the entity’s latest available interim financial statements as well as budgets and cash flow forecasts and other related management reports; compare them with the financial statements under audit.
 - ✓ Obtaining representation letter from management regarding whether any events

occurred during the subsequent period that require adjustments to or disclosure in the financial statements.

- To consider/evaluate the effect of subsequent events (whether such events are properly accounted for and adequately disclosed) on the financial statements and on the auditor's report.

Litigations and Claims

- Litigation and claims involving an entity may have a material effect on the financial statements and thus may be required to be disclosed and/or provided for in the financial statements.
- **Audit procedures regarding litigation and claims:**
 - **Identify existence of any litigation and claims:** The auditor should carry out procedures to identify existence of any litigations and claims involving the entity which may result in a material misstatement of the financial statements. Such procedures would include the following:
 - ✓ Make appropriate inquiries of management including obtaining representations.
 - ✓ Review minutes of those charged with governance and correspondence with the entity's legal counsel.
 - ✓ Examine legal expense accounts.
 - ✓ Use any information obtained regarding the entity's business including information obtained from discussions with any in-house legal department.
 - **Communicate directly with the entity's lawyers:** The auditor should seek direct communication with the entity's lawyers when litigation or claims have been identified or when the auditor believes they may exist. The letter would ordinarily specify the following:
 - ✓ A list of litigation and claims.
 - ✓ Management's assessment of the outcome of the litigation or claim and its estimate of the financial implications, including costs involved.
 - ✓ A request that the entity's legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's legal counsel to be incomplete or incorrect.
 - The letter, which should be prepared by management and sent by the auditor, should request the lawyer to communicate directly with the auditor.
- If management refuses to give the auditor permission to communicate with the entity's legal counsel, this would be a scope limitation and should ordinarily lead to a qualified opinion or a disclaimer of opinion.
- Where the entity's legal counsel refuses to respond in an appropriate manner and the auditor is unable to obtain sufficient appropriate audit evidence by applying alternative audit procedures, the auditor would consider whether there is a scope limitation which may lead to a qualified opinion or a disclaimer of opinion.

Performing Wrap-Up Procedures

Performing analytical procedures in the overall review at/near the end of the audit

Analytical procedures involve analysis of significant ratios and trends including the resultant investigation of fluctuations and relationships that are inconsistent with other relevant information or expectation:

Analytical procedures are required to be performed during the **planning and overall review stages**.

- **Purpose of performing analytical procedures in the overall review stage of the audit:** to ensure that the auditor's overall conclusion as to whether the financial statements as a whole are consistent with the auditor's understanding of the entity.
- **Auditor's focus when performing analytical procedures in the overall review stage:**
 - ✓ Identifying unusual fluctuations or transactions or unexpected account balances that were not previously identified.
 - Requires investigation, adequate explanation and appropriate corroborative evidence by performing additional tests of details.
 - ✓ Assessing the validity of the conclusions reached and evaluating the overall financial statements presentation.

Assessing going concern assumption

- Financial statements are ordinarily prepared based on going concern basis, contrary to the quitting concern basis, in the absence of information to the contrary. This means that the assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.
- **Going concern assumption** – an entity is ordinarily viewed as continuing in business for the foreseeable future with neither the intention nor the necessity of liquidation, ceasing trading or seeking protection from creditors pursuant to laws and regulations.
- **Management's responsibility:**
 - ✓ Management should assess the entity's ability to continue as a going concern – making a judgment about the future outcome of uncertain events or conditions (for a period of one year from balance sheet date).
 - ✓ To disclosure (based on the result of assessment).
- **Disclosure requirements if FS are not prepared on a going concern basis:**
 - ✓ The fact that FS are not prepared on a going concern basis.
 - ✓ The basis on which the FS are prepared.
 - ✓ The reasons why the entity is not regarded as a going concern.
- **Auditor's responsibility:**
 - ✓ Overall evaluation of the appropriateness of management's use of the going concern assumption in the preparation of the financial statements.
 - ✓ Identifying material uncertainties about the entity's ability to continue as a going concern that need to be disclosed in the financial statements.
 - ✓ Whether such events or conditions are adequately disclosed in the financial statements.
 - ✓ Consider report modification because of these events or conditions.
 - ✓ If conditions or events such as those identified previously create substantial doubt as to the ability of the entity to continue as a going concern, the auditor should consider whether management has feasible plans (plans for and the ability to implement alternative means of maintaining adequate cash flows).

Factors that can mitigate the adverse effects of identified material going concern uncertainty:

- The auditor should consider whether management has plans for and the ability to implement alternative means of maintaining adequate cash flows to mitigate events and conditions that may cast doubt about the entity's ability to continue as a going concern.

- **Examples of mitigating factors:**
 - When there is a history of profitable operations and a ready access to financial resources.
 - Management has plans and ability to maintain adequate cash flows by alternative means, such as:
 - ✓ Disposal of assets (including disposal of operations producing negative cash flows).
 - ✓ Borrowing money or restructuring debt.
 - ✓ Leasing (instead of purchasing) of PPE items.
 - ✓ Renewal or, extension or rescheduling of loan repayments.
 - ✓ Reducing or delaying or postponing expenditures.
 - ✓ Obtaining additional capital.
 - ✓ Reducing or postponing dividend payments.
- Availability of alternative source of supply in case of loss of a principal supplier.

Audit procedures to identify conditions and events that may cast doubt about an entity’s ability to continue as a going concern:

- Analytical procedures
- Subsequent events review
- Review of compliance with debt and loan agreements
- Reading minutes of meetings
- Inquiry of legal counsel
- Confirmation with related and third parties of arrangements for financial support

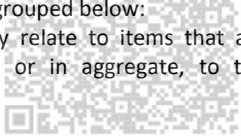
Management Representation Letter

- **Auditor’s responsibility:** The auditor should obtain appropriate written representations from management.
- **Management’s responsibility:** Management has responsibility to provide written representations (this responsibility is included in the engagement letter that sets out the terms of engagement).
- **Purposes of a management representation letter:**
 - **Main:** To emphasize or impress upon management its ultimate responsibility for the financial statements.
 - **Other purposes:**
 - ✓ It confirms oral representations made by management during the audit.
 - ✓ It reduces the possibility of misunderstanding between the auditor and the client concerning the matters that are the subject of the representations.
 - ✓ It documents management’s acceptance acknowledgment of its responsibility for fair presentation of the financial statements.
 - ✓ It may provide corroborative evidence when audit evidence may not be reasonably expected to be available.

For example: Audit evidence to corroborate management’s intention to hold a specific investment for long-term appreciation or to discontinue a line of business.

 - ✓ It complements, but do not replace or substitute, other audit procedures or other audit evidence that the auditor could reasonably expect to be available.

- **Forms of management representations:** Management representations may be verbal, whether solicited or unsolicited, or written, whether explicitly such as contained in a management representation letter or implicitly such as contained in financial information provided. The forms of representations include:
 - ✓ A representation letter from management – known as the **management representation letter** or **client’s representation letter**.
 - ✓ A letter from the auditor (**confirmatory letter**) – outlining the auditor’s understanding of management’s representations, duly acknowledged and confirmed by management.
 - ✓ Relevant minutes of meetings (of the board of directors or similar body).
 - ✓ Signed copy of the financial statements.
 - ✓ Matters communicated in discussions or electronically such as e-mails or telephone messages.
 - ✓ Schedules, analyses, and reports prepared by the entity, and management’s notations and comments therein.
- **Basic elements of a management representation letter:**
 - ✓ **Addressee:** Should be addressed to the auditor.
 - ✓ **Contents:** Should contain the specified information.
 - ✓ **Date:** Should be appropriately dated (ordinarily coincides with date of the auditor’s report).
 - ✓ **Signatory:** Should be appropriately signed by the members of management who have primary or overall responsibility for financial and operating aspects of the entity.
- **Appropriate signatory of a management representation letter:**
 - ✓ Owner-manager
 - ✓ Chief/senior executive officer
 - ✓ Chief/senior financial officer
 - ✓ Other members of management
- **Basic contents of management representation letter:**
 - ✓ That management acknowledges its responsibility for the fair presentation of the financial statements in accordance with the applicable financial reporting framework.
 - ✓ That management has approved the financial statements.
 - ✓ That management acknowledges its responsibility for the design and implementation of internal control to prevent and detect error.
 - ✓ That management believes the effects of those uncorrected financial statement misstatements aggregated by the auditor during the audit are immaterial, both individually and in the aggregate, to the financial statements taken as a whole
- **Classification of matters to be included in a management representation letter:** Written confirmation or representations should be obtained for all significant representations provided to the auditor for all financial statements on which the auditor reports. These representations are grouped below:
 - ✓ Representations that directly relate to items that are material, either individually or in aggregate, to the financial statements.



- ✓ Representations not directly related to items that are material to the financial statements but are significant, either individually or in aggregate, to the engagement.
- ✓ Representations that are relevant to management's judgments or estimates that are material, either individually or in aggregate, to the financial statements.
- **Limitations of management representations:** although management representations are considered part of evidential matter, they (are):
 - ✓ Not a substitute for performing other audit procedures or a means to reduce the auditor's responsibility.
 - ✓ Not as the sole source of evidence on significant audit matters.
 - ✓ Cannot be substitute for other audit evidence that the auditor could reasonably expect to be available.
- **Auditor's responsibility on representations relating to matters that are material to the financial statements:**
 - ✓ Seek corroborative audit evidence from sources inside or outside the entity.
 - ✓ Evaluate whether the representations made by management appear reasonable and consistent with other audit evidence obtained, including other representations.
 - ✓ Consider whether the individuals making the representations can be expected to be well informed on the particular matters.
- **Legal representation letter** – client's letter of inquiry to lawyer who have been consulted by the client concerning litigation, claims, or assessments to provide corroborative evidential matter; such letter of inquiry should be mailed only by the auditor after preparation by the client and review by the auditor.
- **Application of materiality:**
 - ✓ Representations may be limited to matters that are considered either individually or collectively material to the financial statements.
 - ✓ Materiality limits would not apply when obtaining written client representation on:
 - Fraud or irregularities involving management.
 - Availability of minutes of meetings.
- **Effect if management refuses to provide the necessary written representations:** Refusal by management to provide a written representation requested by the auditor that the auditor deems necessary constitutes a scope limitation and would result in a qualified opinion or a disclaimer of opinion. In such circumstances, also consider:
 - ✓ Any reliance placed on other representations made by management during the audit; and
 - ✓ Any additional implications of the refusal on the auditor's report.
- **When management representation is contradicted by other audit evidence:** The auditor should investigate the circumstances and, when necessary, reconsider the reliability of other representations made by management.

- ✓ The auditor should determine whether other audit procedures that were applied tend to compensate for the omitted audit procedures. If so, no further action is necessary.
- ✓ If, on the other hand, the omitted audit procedures impair the auditor's ability to support the previously issued opinion, and there are people relying (or likely to rely) on the report, then the auditor should promptly undertake to apply the omitted procedures or the corresponding alternative procedures.
- ✓ If, after applying the omitted procedures, the auditor determines that the financial statements are materially misstated and that the auditor's report is inappropriate, the auditor should discuss the matter with the management and take steps to prevent future reliance on the report.

-- END --

Subsequent Discovery of Omitted Procedures After Submission of the Audit Report

- Omitted audit procedures may be discovered (after the audit report has been submitted) during a firm's internal inspection program or during peer review.
- **Auditor's action:**
 - ✓ The auditor should assess the importance of the omitted procedures to his ability to support the audit opinion.



COMPLETING THE AUDIT

QUESTIONS

1. Subsequent events refer to

a. Significant events that occur between the balance sheet date and the date of the auditor’s report which have been discovered by the auditor during the same period

b. Significant events that occur between the balance sheet date and the date of the auditor’s report irrespective of the date they have been discovered by the auditor

c. Significant events that occur between the balance sheet date and the date the audited financial statements have been released to the client, irrespective of the date of their discovery by the auditor

d. All significant events that occur after balance sheet date
2. Which of the following statements best describes the “date of the financial statements”?

a. The date on which those with the recognized authority assert that they have prepared the entity’s complete set of financial statements, including the related notes, and that they have taken responsibility for them

b. The date that the auditor’s report and audited financial statements are made available to third parties

c. The date of the end of the latest period covered by the financial statements, which is normally the date of the most recent balance sheet in the financial statements subject to audit

d. The date on which the auditor has obtained sufficient appropriate audit evidence on which to base the opinion on the financial statements
3. When completing the audit, the auditor performs procedures designed to identify subsequent events that may require adjustment of, or disclosure in, the financial statements. Accordingly

Those that provide evidence about conditions that existed at period end

a. Will require adjustment

b. Will require adjustment

c. Will require disclosure

d. Will require disclosure

Those that are indicative of conditions that arose subsequent to period end

Will require adjustment

Will require disclosure

Will require disclosure

Will require adjustment
4. Which of the following is not among the characteristics of the procedures performed in completing the audit?

a. They are optional since they have only an indirect impact on the opinion to be expressed

b. They involve many subjective judgments by the auditor

c. They are performed after the balance sheet date

d. They are usually performed by audit managers or other senior members of the audit team who have extensive audit experience with the client
5. A Type I subsequent event involves subsequent information about a condition that existed at the balance sheet date. Subsequent knowledge of which of the following would cause the entity to adjust its December 31 financial statements?

a. Sale of an issue of new stock for P500,000 on January 30

b. Settlement of a damage lawsuit for a customer’s inquiry sustained February 15 for P100,000

c. Settlement of litigation in February for P100,000 that had been estimated at P120,000 in the December 31 financial statements

d. Storm damage of P1 million to the entity’s buildings on March 1
6. A major customer of an audit client suffers a fire just prior to completion of year-end field work. The auditor believes that his event could have a significant direct effect on the financial statements. The auditor should

a. Advise management to disclose the events in notes to the financial statements

b. Disclose the event in the auditor’s report

c. Withhold submission of the auditor’s report until the extent of the direct effect on the financial statements is known

d. Advise management to adjust the financial statements
7. Which of the following subsequent events will be least likely to results in an adjustment to the financial statements?

a. Culmination of events affecting the realization of accounts receivable owned as of the balance sheet date

b. Culmination of events affecting the realization of inventories owned as of the balance sheet date

c. Material changes in the settlement of liability which were estimated as of the balance sheet date

d. Material changes in the quoted market prices of listed investment securities since the balance sheet date



8. Which of the following is not a procedure normally performed while completing the audit?
 - a. Obtain a lawyer's letter
 - b. Obtain a representations letter
 - c. Perform an overall review using analytical procedures
 - d. Obtain confirmation of capital stockholdings from shareholders
9. Which of the following auditing procedures is ordinarily performed last?
 - a. Reading of the minutes of the directors' meetings
 - b. Confirming accounts payable
 - c. Obtaining a management representation letter
 - d. Testing of the purchasing function
10. Analytical procedures are required as a part of the
 - a. Detailed tests of balances
 - b. Internal control assessment
 - c. Overall review at the conclusion of the audit
 - d. Substantive testing
11. One reason why the independent auditors perform analytical procedures on the client's operations is to identify
 - a. Weaknesses of a material nature in internal control
 - b. Non-compliance with prescribed control procedures
 - c. Improper separation of accounting and other financial duties
 - d. Unusual transactions
12. Analytical procedures performed in the overall review stage of an audit suggest that several accounts have unexpected relationships. The results of these procedures most likely indicate that
 - a. The communication with the audit committee should be revised
 - b. Irregularities exist among the relevant account balances
 - c. Additional substantive tests of details are required
 - d. Internal control activities are not operating effectively
13. The auditor notices significant fluctuations in key elements of the company's financial statements. If management is unable to provide an acceptable explanation, the auditor should
 - a. Consider the matter as a scope limitation
 - b. Perform additional audit procedures to investigate the matter further
 - c. Intensify the examination with the expectation of detecting management fraud
 - d. Withdrawal from the engagement
14. The responsibility for the identification and disclosure of related parties and transactions with such parties' rests with the
 - a. Auditor
 - b. Entity's management
 - c. Financial Reporting Standards Council (FRSC)
 - d. Securities and Exchange Commission (SEC)
15. When auditing related party transactions, an auditor places primary emphasis on
 - a. Ascertaining the rights and obligations of the related parties
 - b. Confirming the existence of the related parties
 - c. Ensuring that the recording of the related party transactions is equivalent to an arm's-length transaction
 - d. Evaluating the disclosure of the related party transactions
16. Which of the following events most likely indicates the existence of related parties?
 - a. Making a loan without scheduled terms for repayment of the funds
 - b. Discussing merger terms with a company that is a major competitor
 - c. Selling real estate at a price that differs significantly from its book value
 - d. Borrowing a large sum of money at a variable rate of interest
17. After determining that a related party transaction has, in fact, occurred, an auditor should
 - a. Obtain an understanding of the business purpose of the transactions
 - b. Substantiate that the transaction was consummated on terms equivalent to an arm's-length transaction
 - c. Add a separate paragraph to the auditor's report to explain the transaction
 - d. Perform analytical procedures to verify whether similar transactions occurred, but were not recorded
18. The main purpose of management representations is to
 - a. Shift responsibility for financial statements from the auditors to management
 - b. Shift responsibility for financial statements from the management to auditors
 - c. Provide a substitute source of audit evidence for substantive procedures that auditors would otherwise perform
 - d. Impress on management its ultimate responsibility for the financial statements and disclosures

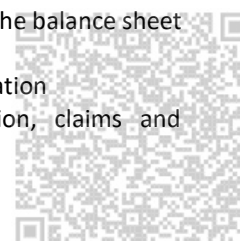


19. A purpose of a management representation letter is to reduce
 - a. Audit risk to an aggregate level of misstatement that could be considered material
 - b. An auditor's responsibility to detect material misstatements only to the extent that the letter is relied on
 - c. The possibility of misunderstanding concerning management's responsibility for the financial statements
 - d. The scope of an auditor's procedures concerning related party transactions and subsequent events
20. A representation letter issued by a client
 - a. Is essential for the preparation of the audit program
 - b. Is a substitute for testing
 - c. Does not reduce the auditor's responsibility
 - d. Reduces the auditor's responsibility only to the extent that it is relied upon
21. An auditor accepted an engagement to audit the 20X0 financial statements of an entity and began the fieldwork on September 30, 20X0. The entity gave the auditor the 20X0 financial statements on January 17, 20X1. The auditor completed the audit on February 10, 20X1 and delivered the report on February 16, 20X1. The client's representation letter normally would be dated
 - a. December 31, 20X0
 - b. January 17, 20X1
 - c. February 10, 20X1
 - d. February 16, 20X1
22. When considering the use of management's written representations as audit evidence about the completeness assertion, the auditor should understand that such representations
 - a. Constitute sufficient appropriate audit evidence to support the assertion when considered in combination with a sufficiently low assessed level of control risk
 - b. Are not part of the audit evidence considered to support the assertion
 - c. Replace a low assessed level of control risk as audit evidence to support the assertion
 - d. Complement, but do not replace, substantive tests designed to support the assertion
23. Which of the following matters would an auditor most likely include in a management representation letter?
 - a. Communications with the audit committee concerning weaknesses in the internal control structure
 - b. The completeness and availability of minutes of stockholders' and directors' meetings
 - c. Plans to acquire or merge with other entities in the subsequent year
 - d. Management's acknowledgment of its responsibility for the detection of employee fraud
24. Which of the following statements best describes the auditor's responsibility concerning the appropriateness of the going concern assumption in the preparation of the financial statements?
 - a. The auditor's responsibility is to make a specific assessment of the entity's ability to continue as a going concern
 - b. The auditor's responsibility is to predict future events or conditions that may cause the entity to cease to continue as a going concern
 - c. The auditor's responsibility is to consider the appropriateness of management's use of the going concern assumption and consider whether there are material uncertainties about the entity's ability to continue as a going concern that need to be disclosed in the financial statements
 - d. The auditor's responsibility is to give a guarantee in the audit report that the entity has the ability to continue as a going concern
25. When the auditor concludes that there is substantial doubt about a continuing audit client's ability to continue as a going concern for a reasonable period of time, the auditor's responsibility is to
 - a. Consider the adequacy of disclosures about the client's possible inability to continue as a going concern
 - b. Issue a qualified or adverse opinion, depending upon materiality, due to the possible effects of the financial statements
 - c. Report to the client's audit committee that management's accounting estimates may need to be adjusted
 - d. Reissue the prior year's auditor's report and add an emphasis of matter paragraph that specifically refers to "substantial doubt" and "going concern"
26. Which of the following audit procedures would most likely assist an auditor in identifying conditions and events that may indicate there could be substantial doubt about an entity's ability to continue as a going concern?
 - a. Confirmation of bank balances
 - b. Confirmation of accounts receivable from major customers
 - c. Reconciliation of interest expense with debt outstanding
 - d. Review of compliance with terms of debt agreements



27. Which of the following auditing procedures most likely would assist an auditor in identifying conditions and events that may indicate substantial doubt about an entity's ability to continue as a going concern?
 - a. Inspecting title documents to verify whether any assets are pledged as collateral
 - b. Confirming with third parties the details of arrangements to maintain financial support
 - c. Reconciling the cash balance per books with the cut-off bank statement and the bank confirmation
 - d. Comparing the entity's depreciation and asset capitalization policies to other entities in the industry
28. Which of the following conditions or events most likely would cause an auditor to have substantial doubt about an entity's ability to continue as a going concern?
 - a. Cash flows from operating activities are negative
 - b. Stock dividends replace annual cash dividends
 - c. Significant related party transactions are pervasive
 - d. Research and development projects are postponed
29. Which of the following conditions or events most likely would cause an auditor to have substantial doubt about an entity's ability to continue as a going concern?
 - a. Restrictions on the disposal of principal assets are present
 - b. Usual trade credit from suppliers is denied
 - c. Significant related party transactions are pervasive
 - d. Arrearages in principal stock dividends are paid
30. An auditor believes that there is substantial doubt about an entity's ability to continue as a going concern for a reasonable period of time. In evaluating the entity's plans for dealing with the adverse effects of future conditions and events, the auditor most likely would consider, as a mitigating factor, the entity's plans to
 - a. Repurchase the entity's stock at a price below its book value
 - b. Issue stock options to key executives
 - c. Lease rather than purchase operating facilities
 - d. Accelerate the due date of an existing mortgage
31. After considering an entity's negative trends and financial difficulties, an auditor has substantial doubt about the entity's ability to continue as a going concern. The auditor's considerations relating to management's plan for dealing with the adverse effects of these conditions most likely would include management's plans to

a. Increase current dividend distributions	c. Increase ownership equity
b. Reduce existing lines of credit	d. Purchase assets formerly leased
32. X, CPA, believes that there is substantial doubt about the ability of a company to continue as a going concern for a reasonable period of time. In evaluating the company's plans for dealing with the adverse effects of future conditions and events, X most likely would consider, as a mitigating factor, the company's plans to
 - a. Discuss with lenders the terms of all debt and loan agreements
 - b. Strengthen internal controls over cash disbursements
 - c. Purchase production facilities currently being leased from a related party
 - d. Postpone expenditures for research and development projects
33. The adverse effects of events causing an auditor to believe there is substantial doubt about an entity's ability to continue as a going concern would most likely be mitigated by evidence relating to the
 - a. Ability to expand operations into new product lines in the future
 - b. Feasibility of plans to purchase leased equipment at less than market value
 - c. Marketability of assets that management plans to sell
 - d. Committed arrangements to convert preferred stock to long-term debt
34. Which of the following procedures would an auditor most likely perform to obtain evidence about the occurrence of subsequent events?
 - a. Recomputing a sample of large-peso transactions occurring after year-end for arithmetic accuracy
 - b. Investigating changes in stockholders' equity occurring after year-end
 - c. Inquiring of the entity's legal counsel concerning litigation, claims and assessment arising after year-end
 - d. Confirming bank accounts established after year-end
35. The primary reason an auditor requests that letters of inquiry be sent to a client's attorneys is to provide the auditor with
 - a. A description and evaluation of litigation, claims and assessments that existed at the balance sheet date
 - b. The attorney's opinions of the client's historical experiences in recent similar litigation
 - c. Corroboration of the information furnished by management about litigation, claims and assessments
 - d. The probable outcome of asserted claims and pending or threatened litigation



36. The letter of audit inquiry should be
 - a. Prepared and sent by the auditor
 - b. Prepared by management and sent by the auditor
 - c. Prepared and sent by management
 - d. Prepared by the auditor and sent by management

37. Auditors often request that the audit client send a letter of inquiry to those attorneys who have been consulted with respect to litigation, claims, or assessments. The primary reason for this request is to provide the auditors with
 - a. An estimate of the dollar amount of the probable loss
 - b. An expert opinion as to whether a loss is possible, probable or remote
 - c. Information concerning the progress of cases to date
 - d. Corroborative audit evidence

38. The refusal of a client's lawyer to provide a representation on the legality of a particular act committed by the client is ordinarily
 - a. Proper grounds to withdraw from the engagement
 - b. Insufficient reason to modify the auditor's report because of the lawyer's obligation of confidentiality
 - c. Considered to be a scope limitation
 - d. Sufficient reason to issue a "subject to" opinion

39. After issuing a report, an auditor has no obligation to make continuing inquiries or perform other procedures concerning the audited financial statements, unless
 - a. Information, which existed at the report date and may affect the report, comes to the auditor's attention
 - b. Management of the entity requests the auditor to reissue the auditor's report
 - c. Information about an event that occurred after the date of the auditor's report comes to the auditor's attention
 - d. Final determinations or resolutions are made of contingencies that had been disclosed in the financial statements

40. An auditor concludes that a substantive auditing procedure considered necessary during the prior period's audit was omitted. Which of the following factors would most likely cause the auditor promptly to apply the omitted procedure?
 - a. There are no alternative procedures available to provide the same evidence as the omitted procedure
 - b. The omission of the procedure impairs the auditor's present ability to support the previously expressed opinion
 - c. The source documents needed to perform the omitted procedure are still available
 - d. The auditor's opinion on the prior period's financial statements was unqualified

41. An auditor is considering whether the omission of a substantive procedure considered necessary at the time of an audit may impair the auditor's present ability to support the previously expressed opinion. The auditor need not apply the omitted procedure if the
 - a. Financial statements and auditor's report were not distributed beyond management and the board of directors
 - b. Auditor's previously expressed opinion was qualified because of a departure from GAAP
 - c. Results of other procedures that were applied tend to compensate for the procedure omitted
 - d. Omission is due to unreasonable delays by client personnel in providing data on a timely basis



FORMING AN OPINION AND AUDITOR’S REPORT

REFERENCES:

- PSA 700:** Forming an Opinion and Reporting on Financial Statements
- PSA 701:** Communicating Key Audit Matters in the Independent Auditor’s Report
- PSA 705:** Modifications to the Opinion in the Independent Auditor’s Report
- PSA 706:** Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor’s Report
- PSA 710:** Comparative Information – Corresponding Figures and Comparative Financial Statements
- PSA 720:** The Auditor’s Responsibility in Relation to Other Information in Documents Containing Audited Financial Statements

AUDITOR’S OPINIONS

Types of Auditor’s Opinions

- Unmodified (unqualified) opinion**—The opinion expressed when the FSs are prepared, in all material respects, in accordance with the applicable financial reporting framework.
- Modified opinion**—The three types of are:
 - Qualified opinion** – the auditor is satisfied that the FSs are presented fairly, except for a specific aspect of them.
 - Adverse opinion** – the auditor does not believe the FSs are fairly presented.
 - Disclaimer of opinion** – the auditor does not know if the FSs are presented fairly.

The table below illustrates how the auditor’s judgment about the affects the type of opinion to be expressed.

Nature of Matter Giving Rise to the Modification	Material but Not Pervasive	Material and Pervasive
FSs are materially misstated	Qualified opinion	Adverse opinion
Inability to obtain SAAE (Scope limitation):		
Due to management imposed limitation	Qualified opinion	Resign, if appropriate; or Disclaimer of opinion
Other limitations	Qualified opinion	Disclaimer of opinion

Auditor’s Reports

- The auditor’s report shall be in writing (hard copy format or an electronic medium).

Standard Auditor’s Report

- The following are the parts of a standard auditor’s report with unqualified opinion without emphasis of matter paragraph and other matter paragraph:
 - Title
 - Addressee
 - Auditor’s Opinion
 - Basis for Opinion
 - Key Audit Matters
 - Management’s Responsibilities
 - Auditor’s Responsibilities

- Other Reporting Responsibilities
- Name of the Engagement Partner
- Signature of the Auditor
- Auditor’s Address
- Date of the Auditor’s Report

Title

- The auditor’s report shall have a title that clearly indicates that it is the report of an independent auditor. For example, “Independent Auditor’s Report,” affirms that the auditor has met all of the relevant ethical requirements regarding independence and distinguishes the independent auditor’s report from reports issued by others.

Addressee

- The auditor’s report is normally addressed to those for whom the report is prepared, often either to the shareholders and/or to those charged with governance of the entity.

Auditor’s Opinion

- The section in the auditor’s report shall include:
 - Reference to the financial statements that have been audited.
 - Description of the financial statements and the matters they present.
 - Description of the applicable financial reporting framework and how it may affect the auditor’s opinion.

Basis for Opinion

- The Basis for Opinion section provides important context about the auditor’s opinion. Accordingly, this PSA requires the Basis for Opinion section to directly follow the Opinion section in the auditor’s report.
- The reference to the standards used conveys to the users of the auditor’s report that the audit has been conducted in accordance with established standards.

Key Audit Matters

- Law or regulation may require communication of key audit matters for audits of entities other than listed entities, for example, entities characterized in such law or regulation as public interest entities.
- The auditor may also decide to communicate key audit matters for other entities, including those that may be of significant public interest, for example because they have a large number and wide range of stakeholders and considering the nature and size of the business.

Management’s Responsibilities

- Management and, where appropriate, those charged with governance accept responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation.
- Management also accepts responsibility for such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
- The description of management’s responsibilities in the auditor’s report includes reference to both responsibilities as it helps to explain to users the premise on which an audit is conducted.

Auditor’s Responsibilities

- The auditor’s report explains that the objectives of the auditor are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes the auditor’s opinion.
- These are in contrast to management’s responsibilities for the preparation for the financial statements.

Other Reporting Responsibilities

- In some jurisdictions, the auditor may have additional responsibilities to report on other matters that are

supplementary to the auditor’s responsibilities under the PSAs. For example, the auditor may be asked to report certain matters if they come to the auditor’s attention during the course of the audit of the financial statements.

- o In some cases, the relevant law or regulation may require or permit the auditor to report on these other responsibilities as part of their auditor’s report on the financial statements. In other cases, the auditor may be required or permitted to report on them in a separate report.

Name of the Engagement Partner

- o Naming the engagement partner in the auditor’s report is intended to provide further transparency to the users of the auditor’s report of a complete set of general purpose financial statements of a listed entity.

Signature of the Auditor

- o The auditor’s signature is either in the name of the audit firm, the personal name of the auditor or both, as appropriate for the particular jurisdiction.
- o In addition to the auditor’s signature, in certain jurisdictions, the auditor may be required to declare in the auditor’s report the auditor’s professional accountancy designation or the fact that the auditor or firm, as appropriate, has been recognized by the appropriate licensing authority in that jurisdiction.

Date of the Auditor’s Report

- o The date of the auditor’s report informs the user of the auditor’s report that the auditor has considered the effect of events and transactions of which the auditor became aware and that occurred up to that date.

Modifications to Auditor’s Report

- o The instances of modifications include when the auditor:
 - ✓ Adds “Emphasis of Matter Paragraph”
 - ✓ Includes “Other of Matter Paragraph”
 - ✓ Provides modified auditor’s opinion

Emphasis of Matter Paragraph

- o A paragraph included in the auditor’s report that refers to a matter appropriately presented or disclosed in the FSs, in the auditor’s judgment, is of such importance that it is fundamental to users’ understanding of the FSs. The auditor can include emphasis of matter paragraph provided the auditor has obtained SAAE that the matter is not materially misstated in the FSs. The inclusion of this paragraph in the auditor’s report does not affect the auditor’s opinion.

Other Matter Paragraph

- o A paragraph included in the auditor’s report that refers to a matter other than those presented or disclosed in the FSs that, in the auditor’s judgment, is relevant to users’ understanding of the audit, the auditor’s responsibilities or the auditor’s report. The auditor shall include this paragraph immediately after the Opinion paragraph and any Emphasis of Matter paragraph, or elsewhere in the auditor’s report if the content of the Other Matter paragraph is relevant to the Other Reporting Responsibilities section.

Modified Auditor’s Opinions

Description of Introductory Paragraph

- o **Qualified or Adverse Opinion** – No modification made.
- o **Disclaimer of Opinion** – Amend this paragraph of the auditor’s report to state that the auditor was only engaged (not audited) to audit the FSs.

Description of Auditor’s Responsibility Paragraph

- o **Qualified or Adverse Opinion** – Amend this section to state that the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor’s modified audit opinion.

- o **Disclaimer of Opinion** – Amend this section to state only the following: “Our responsibility is to express an opinion on the financial statements based on conducting the audit in accordance with Philippine Standards on Auditing. Because of the matter(s) described in the Basis for Disclaimer of Opinion paragraph, however, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion.”

Basis for Modification Paragraph

- o The auditor shall include additional paragraph on the standard auditor’s report immediately before the opinion paragraph, and use the heading “Basis for Qualified Opinion,” “Basis for Adverse Opinion,” or “Basis for Disclaimer of Opinion,” as appropriate.

Opinion Paragraph

- o The auditor shall use the heading “Qualified Opinion,” “Adverse Opinion,” or “Disclaimer of Opinion,” as appropriate, for the opinion paragraph.

Supplementary Information Presented with the Financial Statements

- o **Supplementary information** – information that is presented together with the FSs that is not required by the applicable FRF used to prepare the FSs, normally presented in either supplementary schedules or as additional notes.

Comparative Information

- o The two broad approaches to the auditor’s reporting responsibilities in respect of comparative information are:
 - ✓ **Corresponding figures** –comparative information where amounts and other disclosures for the prior period are included as an integral part of the current period FSs, and are intended to be read only in relation to the amounts and other disclosures relating to the current period (referred to as “current period figures”). The level of detail presented in the corresponding amounts and disclosures is dictated primarily by its relevance to the current period figures; and
 - ✓ **Comparative FSs** –comparative information where amounts and other disclosures for the prior period are included for comparison with the FSs of the current period but, if audited, are referred to in the auditor’s opinion. The level of information included in those comparative FSs is comparable with that of the FSs of the current period.

Audit Procedures

- o **The auditor shall evaluate whether:**
 - ✓ The comparative information agrees with the amounts and other disclosures presented in the prior period or, when appropriate, have been restated; and
 - ✓ The accounting policies reflected in the comparative information are consistent with those applied in the current period or, if there have been changes in accounting policies, whether those changes have been properly accounted, presented and disclosed.
 - If the auditor becomes aware of a possible material misstatement in the comparative information while performing the current period audit, the auditor shall perform such additional audit procedures necessary to obtain SAAE, including requesting written representations for all periods referred to in the auditor’s opinion.

Audit Reporting

- o The essential audit reporting differences between the approaches are:
 - ✓ For corresponding figures, the auditor’s opinion on the FSs refers to the current period only; whereas
 - ✓ For comparative FSs, the auditor’s opinion refers to each period for which FSs are presented.

Corresponding figures

- o The auditor’s opinion shall not refer to the corresponding figures because the auditor’s opinion is on the current period FSs includes corresponding figures, except:
 - ✓ Modification in auditor’s report on the prior period remain unresolved.
 - ✓ Misstatement in prior period FSs.
 - ✓ Prior period FSs not audited.
 - ✓ Prior period FSs audited by a predecessor auditor.
- o If the auditor obtains audit evidence that a material misstatement exists in the prior period FSs on which an unmodified opinion has been previously issued, and the corresponding figures have not been properly restated, the auditor shall express a **qualified opinion** or an **adverse opinion** in the auditor’s report on the current period FSs.
- o When the prior period FSs that are misstated have not been amended and an auditor’s report has not been reissued, but the corresponding figures have been properly restated or appropriate disclosures have been made in the current period FSs, the auditor’s report may include an Emphasis of Matter paragraph.

Prior period FSs audited by a predecessor auditor

- o The auditor shall state (if not prohibited by law to do so) in an Other Matter paragraph in the auditor’s report:
 - ✓ That the FSs of the prior period were audited by the predecessor auditor;
 - ✓ The type of opinion expressed and, if the opinion was modified, the reasons therefore; and
 - ✓ The date of that report.

Comparative financial statements

- o The auditor’s opinion shall refer to each period for which FSs are presented on which an audit opinion is expressed.

Opinion on Prior Period FSs Different from Previous Opinion

- o The opinion expressed on the prior period FSs may be different from the opinion previously expressed if the auditor becomes aware of circumstances or events that materially affect the FSs of a prior period during the course of the audit of the current period. The auditor shall disclose the substantive reasons for the different opinion in an Other Matter paragraph.

Prior Period FSs Audited by a Predecessor Auditor

- o In addition to expressing an opinion on the current period’s FSs, the auditor shall state in an Other Matter paragraph:
 - ✓ That the FSs of the prior period were audited by a predecessor auditor;
 - ✓ The type of opinion expressed and, if the opinion was modified, the reasons therefore; and
 - ✓ The date of that report, unless the predecessor auditor’s report on the prior period’s FSs is reissued with the FSs.

Other Information in Documents Containing Audited Financial Statements

- o Other information refers to financial and non-financial information (other than the FSs and the auditor’s report thereon) which is included, either by law, regulation or custom, in a document containing audited FSs and the auditor’s report thereon. Other information may comprise, for example:
 - ✓ A report by management or those charged with governance on operations.
 - ✓ Financial summaries or highlights.
 - ✓ Employment data.
 - ✓ Planned capital expenditures.

- ✓ Financial ratios.
- ✓ Names of officers and directors.
- ✓ Selected quarterly data.
- o The auditor’s opinion does not cover other information and the auditor has no specific responsibility for determining whether or not other information is properly stated. However, the auditor reads the other information because the credibility of the audited FSs and the auditor’s report may be undermined by material inconsistencies between the audited FSs and other information.

Restriction on Distribution or Use or Alerting Readers to the Basis of Accounting

- o When distribution or use of the auditor’s report on the audited FSs is restricted, or the auditor’s report on the audited FSs alerts readers that the audited financial statements are prepared in accordance with a special purpose framework, the auditor shall include a similar restriction or alert in the auditor’s report on the summary FSs.

-- END --



FORMING AN OPINION AND AUDITOR’S REPORT

QUESTIONS

1. The auditor’s judgment as to whether the financial statements are presented fairly, in all material respects, is made in the context of

a. Philippine Standards on Auditing

b. Applicable financial reporting framework

c. The professional ethical requirements

d. Generally accepted auditing standards
2. Which of the following statements is not correct about the unmodified audit report on the financial statements?

a. The auditor’s report shall include a section with a heading “Management’s Responsibility for the financial statements”

b. The auditor’s report shall include a section with a heading “Auditor’s Responsibility”

c. The auditor’s report shall include a section with a heading “Introduction”

d. The auditor’s report shall include a section with a heading “Opinion”
3. The Opinion paragraph in the auditor’s report would normally include the following, except

a. Identification of the financial statements audited

b. Should refer to the summary of significant policies and other explanatory notes

c. Date and period covered by the financial statements

d. A description of the work to be performed by the auditor
4. How are management’s responsibility and the auditor’s responsibility represented in the auditor’s report?

<u>Management Responsibility</u>	<u>Auditor’s Responsibility</u>
a. Explicitly	Explicitly
b. Implicitly	Implicitly
c. Implicitly	Explicitly
d. Explicitly	Implicitly
5. PSA 700 requires the auditor’s report to describe management’s responsibility for the financial statements. The description shall include an explanation that management is responsible for the preparation of the financial statements and

a. For selecting and applying appropriate accounting policies

b. For such internal control as it determines necessary to enable the preparation of financial statements that are free from material misstatement

c. For making accounting estimates that are reasonable in the circumstances

d. Preventing collusion among employees
6. The Auditor’s Responsibility paragraph in the auditor’s report would normally include the following, except

a. Statement that the audit was conducted in accordance with PSAs

b. Statement that the audit was planned and performed to obtain reasonable assurance about whether the financial statements are free of material misstatement

c. Statement by the auditor that the audit provides a basis for the opinion

d. Statement that the audit includes examining on a detailed basis evidence supporting the amounts and disclosures in the financial statements
7. Which section of the auditor’s report gives a general description of an audit of financial statements?

a. Introductory paragraph

b. Auditor’s responsibility

c. Management’s responsibility

d. Auditor’s opinion
8. An auditor should disclose the substantive reasons for expressing an opinion in a separate paragraph

a. Preceding the management’s responsibility for the financial statements

b. Preceding the opinion paragraph

c. Following the opinion paragraph

d. Within the notes to the financial statements
9. The use of an “Emphasis of a Matter” paragraph shall be limited only to those matters

a. Disclosed in the financial statements

b. Affecting the auditor’s opinion

c. Not presented in the financial statements

d. Involving an uncertainty
10. The “Other Matter” paragraph is used by the auditor

a. To draw the readers’ attention to a matter presented in the financial statements

b. To draw the readers’ attention to a matter disclosed in the notes to the financial statements

c. To draw the readers’ attention to a matter not presented or disclosed in the financial statements

d. To draw the readers’ attention to a matter that gives rise to a modification of an opinion
11. The auditor’s report should be dated as of the date on which the

a. Report is delivered to the client

b. Field work is completed

c. Fiscal period under audit ends

d. Review of the working papers is complete



12. If a misstatement is immaterial relative to the financial statements of the entity for the current period and is not expected to have a material effect in future periods, it is appropriate to issue
- a. An unqualified opinion
 - b. A qualified opinion
 - c. An adverse opinion
 - d. A disclaimer of opinion
13. When financial statements contain material misstatements, the auditor's report may contain
- | | <u>Qualified Opinion</u> | <u>Adverse Opinion</u> | <u>Disclaimer of Opinion</u> |
|----|--------------------------|------------------------|------------------------------|
| a. | Yes | No | Yes |
| b. | Yes | Yes | No |
| c. | No | No | Yes |
| d. | Yes | Yes | Yes |
14. When the auditor knows that the financial statements may be misleading because they were not prepared in conformity with financial reporting standards, he or she must issue
- a. A qualified opinion
 - b. An adverse opinion
 - c. A disclaimer of opinion
 - d. A qualified or an adverse opinion, depending on the materiality and pervasiveness
15. The qualified opinion report will be issued by the independent auditor when, in the auditor's judgment, the effects or possible effects of the item under consideration are
- a. Material and pervasive
 - b. Material but not pervasive
 - c. Pervasive but not material
 - d. Not material and not pervasive
16. Auditors found that the entity has not capitalized a material amount of leases in the financial statements. When considering the materiality of this departure from financial reporting standards, the auditors would choose between which reporting options?
- a. Unqualified opinion or disclaimer of opinion
 - b. Unqualified opinion or qualified opinion
 - c. Emphasis paragraph with unqualified opinion or an adverse opinion
 - d. Qualified opinion or adverse opinion
17. An auditor would issue an adverse opinion if
- a. The audit was begun by other independent auditors who withdrew from the engagement
 - b. A qualified opinion cannot be given because the auditor lacks independence
 - c. The restriction on the scope of the audit was significant
 - d. The statements taken as a whole do not fairly present the financial condition and results of operations of the company
18. When the auditor is unable to obtain sufficient appropriate audit evidence because of client-imposed limitation, the auditor's report may contain
- | | <u>Qualified Opinion</u> | <u>Adverse Opinion</u> | <u>Disclaimer of Opinion</u> |
|----|--------------------------|------------------------|------------------------------|
| a. | Yes | No | Yes |
| b. | Yes | Yes | No |
| c. | No | No | Yes |
| d. | Yes | Yes | Yes |
19. Restrictions imposed by a client prohibit the observation of physical inventories, which account for 35% of all assets. Alternative audit procedures cannot be applied, although the auditor was able to examine satisfactory evidence for all other items in the financial statements. The auditor should issue a(an)
- a. "Except for" qualified opinion
 - b. Disclaimer of opinion
 - c. Unqualified opinion with a separate explanatory paragraph
 - d. Unqualified opinion with an explanation in the scope paragraph
20. A limitation on the scope of the audit sufficient to preclude an unqualified opinion will always result when management
- a. Asks the auditor to report on the balance sheet and not on the other basic financial statements
 - b. Refuses to permit its lawyer to respond to the letter of audit inquiry
 - c. Discloses material related party transactions in the notes to the financial statements
 - d. Knows that confirmation of accounts receivable is not feasible
21. When the auditor concludes that the use of the going concern assumption is appropriate in the circumstances, but material uncertainty exists, the auditor shall
- a. Issue either qualified or adverse opinion
 - b. Consider the adequacy of disclosure in the notes to financial statements
 - c. Report to the audit committee the need to adjust management estimates
 - d. Reissue the prior year's audit report and add an emphasis of a matter paragraph



22. An auditor who concludes that an uncertainty is not adequately disclosed in the financial statements would most likely issue a
 - a. Disclaimer of opinion
 - b. A report with emphasis of matter paragraph
 - c. Special report
 - d. Qualified opinion
23. In extreme cases, such as situations involving multiple uncertainties that are significant to the financial statements, the auditor may consider it appropriate to express a
 - a. Qualified opinion
 - b. A report with emphasis of matter paragraph
 - c. Disclaimer of opinion
 - d. Adverse opinion
24. When an auditor of financial statements has substantial doubt about an entity's ability to continue as a going concern because of the probable discontinuance of operations, the auditor most likely would express a qualified opinion if
 - a. The effects of the adverse financial conditions likely will cause a bankruptcy filing
 - b. Information about the entity's ability to continue as a going concern is not disclosed
 - c. Management has **no** plans to reduce or delay future expenditures
 - d. Negative trends and recurring operating losses appear to be irreversible
25. An independent auditor has concluded that a substantial doubt remains about a client's ability to continue as a going concern, but the client's financial statements have properly disclosed all of its solvency problems. The auditor would probably issue a(an)
 - a. Unqualified opinion with emphasis of paragraph
 - b. "Except for" qualified opinion
 - c. Standard unqualified opinion
 - d. Adverse opinion
26. An entity accomplished an early extinguishment of debt and the auditors believe that literal application of the financial reporting standards would cause recognition of a loss that would materially distort the financial statements and cause them to be misleading. Given these facts, the auditors would probably choose which reporting option, assuming the auditor did not apply the literal application of the standards?
 - a. Explain the situation and issue an adverse opinion
 - b. Explain the situation and issue a disclaimer of opinion
 - c. Explain the situation and issue an unqualified opinion
 - d. Issue the standard report
27. Whenever an auditor issues a qualified report, he or she
 - a. Must use the term "subject to" in the opinion paragraph
 - b. May use either the terms "subject to" or "except for" in the opinion paragraph, depending on the nature of the qualification
 - c. Must use the term "except for" in the opinion paragraph
 - d. Must not use the terms "subject to" or "except for" in the opinion paragraph
28. If the auditor is determined to lack independence, a disclaimer of opinion must be issued
 - a. In all cases
 - b. Only if it is highly material
 - c. Only if it is material
 - d. If the client requests it
29. A corporation uses the weighted average method of costing for half of its inventory and the first-in, first-out method of costing for the other half of its inventory. Because of these recording and reporting methods, the auditor should issue a (an)
 - a. Standard unqualified report
 - b. Disclaimer of opinion
 - c. "Except for" qualified opinion
 - d. Unqualified report with an explanatory paragraph
30. A client has changed the salvage values of a number of its fixed assets. The auditors believe that the salvage values are realistic. The appropriate report is
 - a. Standard unqualified
 - b. Unqualified with explanatory paragraph
 - c. Qualified
 - d. Disclaimer
31. An entity changed from the straight-line method to the declining balance method of depreciation for all newly acquired assets. This change has no material effect on the current year's financial statements but is reasonably certain to have a substantial effect in later years. If the changes is disclosed in the notes to the financial statements, the auditor should issue a report with a (an)
 - a. "Except for" qualified opinion
 - b. Explanatory paragraph
 - c. Unqualified opinion
 - d. Consistency modification
32. When the audited financial statements of the prior year are presented together with those of the current year, the continuing auditor's report should cover
 - a. Both years
 - b. Only the current year
 - c. Only the current year, but the prior year's report should be presented
 - d. Only the current year, but the prior year's report should be referred to



33. An auditor includes a separate paragraph in an otherwise unqualified report to emphasize that the entity being reported upon had significant transactions with related parties. The inclusion of this separate paragraph
 - a. Violates generally accepted auditing standards if this information is already disclosed in footnotes to the financial statements
 - b. Necessitates a revision of the opinion paragraph to include the phrase "with the foregoing explanation"
 - c. Is appropriate and would not negate the unqualified opinion
 - d. Is considered an "except for" qualification of the report
34. Client A reports property, plant, and equipment at appraisal values and records depreciation based on the appraised amounts. Also, the company does not defer income taxes for temporary differences arising from using the installment method of recognizing gross profit for tax purposes. The company uses the accrual method for financial reporting purposes. Under these circumstances, the auditor will probably issue a(n)
 - a. Audit opinion qualified for a departure from GAAP
 - b. Adverse audit opinion
 - c. Disclaimer of opinion
 - d. Unqualified audit opinion with an explanatory paragraph describing the client's unique accounting practices
35. X, an independent auditor, was engaged to perform an audit of the financial statements of a corporation one month after its fiscal year had ended. Although the inventory count was not observed by X, and accounts receivable were not confirmed by direct communication with customers, X was able to gain satisfaction by applying alternative auditing procedures. X's audit report will probably contain
 - a. A standard unqualified opinion
 - b. An unqualified opinion and an explanatory paragraph
 - c. Either a qualified opinion or a disclaimer of opinion
 - d. An "except for" qualification
36. The following statements relate to the auditor's reporting responsibilities regarding comparative information. Which is incorrect?
 - I. For corresponding figures, the auditor's report only refers to the financial statements of the current period
 - II. For comparative financial statements, the auditor's report refers to each period that financial statements are presented
 - a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
37. Which of the following best describes the auditor's responsibility when reporting on comparatives?
 - a. For corresponding figures, the auditor's opinion on the financial statements refers to the current period only
 - b. For all comparatives, the auditor's opinion refers to each period for which the financial statements are presented
 - c. For all comparatives, the auditor's opinion refers to the current period only
 - d. For comparative financial statements, the auditor's opinion on the financial statements refers to the current period only
38. A framework of presentation where amounts and other disclosures for the prior period are included as an integral part of the current period financial statements, and are intended to be read only in relation to the amounts and other disclosures relating to the current period
 - a. Current period figures
 - b. Comparatives
 - c. Comparative financial statements
 - d. Corresponding figures
39. When audited financial statements are presented in a client's document containing other information, the auditor should
 - a. Perform inquiry and analytical procedures to ascertain whether the other information is reasonable
 - b. Add an explanatory paragraph to the auditor's report without changing the opinion on the financial statements
 - c. Perform the appropriate substantive auditing procedures to corroborate the other information
 - d. Read the other information to determine that it is consistent with the audited financial statements
40. Before the date of the auditor's report, the auditor found a material inconsistency between the other information and the information presented in the financial statements. If revision of the financial statements is necessary and management refuses to make the revision, the auditor shall
 - a. Modify the opinion on the financial statements
 - b. Include Other Matter paragraph in the unmodified report to describe the material inconsistency
 - c. Disclaim an opinion on the financial statements
 - d. Disclaim an opinion on the other information



AUDITING IN A CIS (IT) ENVIRONMENT

Risk Assessments and Internal Control:
CIS Characteristics and Consideration

Organizational Structure

- o **Characteristics of a CIS organizational structure includes:**
 - ✓ **Concentration of functions and knowledge:** Although most systems employing CIS methods will include certain manual operations, generally the number of persons involved in the processing of financial information is significantly reduced.
 - ✓ **Concentration of programs and data:** Transaction and master file data are often concentrated, usually in machine-readable form, either in one computer installation located centrally or in a number of installations distributed throughout the entity.

Nature of Processing

- o The use of computers may result in the design of systems that provide less visible evidence than those using manual procedures. In addition, these systems may be accessible by a larger number of persons.
- o System characteristics that may result from the nature of CIS processing include:
 - ✓ **Absence of input documents**
 - Data may be entered directly into the computer system without supporting document.
 - In some on-line transaction systems, written evidence of individual data entry authorization (e.g., approval for order entry) may be replaced by other procedures, such as authorization controls contained in computer programs (e.g., credit limit approval).
 - ✓ **Lack of visible audit trail:** The transaction trail may be partly in machine-readable form and may exist only for a limited period of time (e.g., audit logs may be set to overwrite themselves after a period of time or when the allocated disk space is consumed).
 - ✓ **Lack of visible output:** Certain transactions or results of processing may not be printed or only summary data may be printed.
 - ✓ **Ease of access to data and computer programs:** Data and computer programs may be assessed and altered at the computer or through the use of computer equipment at remote locations. Therefore, in the absence of appropriate controls, there is an increased potential for unauthorized access to, and alteration of, data and programs by persons inside or outside the entity.

Internal Controls in a CIS Environment

- o **General CIS Controls** – to establish a framework of overall control over the CIS activities and to provide a reasonable level of assurance that the overall objectives of internal control are achieved.
- o **General CIS controls may include:**
 - **Organization and management controls** – designed to define the strategic direction and establish an organizational framework over CIS activities, including:
 - ✓ Strategic information technology plan
 - ✓ CIS policies and procedures
 - ✓ Segregation of incompatible functions
 - ✓ Monitoring of CIS activities performed by third party consultants

- **Development and maintenance controls** – designed to provide reasonable assurance that systems are developed or acquired, implemented and maintained in an authorized and efficient manner. They also typically are designed to establish control over:
 - ✓ Project initiation, requirements definition, systems design, testing, data conversion, go-live decision, migration to production environment, documentation of new or revised systems, and user training
 - ✓ Acquisition and implementation of off-the-shelf packages
 - ✓ Request for changes to the existing systems
 - ✓ Acquisition, implementation, and maintenance of system software
- **Delivery and support controls** – designed to control the delivery of CIS services and include:
 - ✓ Establishment of service level agreements against which CIS services are measured
 - ✓ Performance and capacity management controls
 - ✓ Disaster recovery/contingency planning, training, and file backup
 - ✓ Computer operations controls
 - ✓ Systems security
 - ✓ Physical and environment controls
- **Monitoring controls** – designed to ensure that CIS controls are working effectively as planned. These include:
 - ✓ Monitoring of key CIS performance indicators
 - ✓ Internal external CIS audits

CIS Application Controls – to establish specific control procedures over the application systems in order to provide reasonable assurance that all transactions are authorized, recorded and are processed completely, accurately and on a timely basis. CIS application controls include:

- o **Controls over Input** – designed to provide reasonable assurance that:
 - ✓ Transactions are properly authorized before being processed by the computer.
 - ✓ Transactions are accurately converted into machine readable form and recorded in the computer data files.
 - ✓ Transactions are not lost, added, duplicated or improperly change.
 - ✓ Incorrect transactions are rejected, corrected and, if necessary, resubmitted on a timely basis.
- o **Controls over processing and computer data files** – designed to provide reasonable assurance that:
 - ✓ Transactions, including system generated transactions, re properly processed by the computer.
 - ✓ Transactions are not lost, added, duplicated or improperly changed.
 - ✓ Processing errors (i.e., rejected data and incorrect transactions) are identified and corrected on a timely basis.
- o **Controls over output** – designed to provide reasonable assurance that:
 - ✓ Results of processing are accurate.

- ✓ Access to output is restricted to authorized personnel on a timely basis.
- ✓ Output is provided to appropriate authorized personnel on a timely basis.

Review of general CIS controls

- o General CIS controls that relate to some or all applications are typically interdependent controls in that their operation is often essential to the effectiveness of CIS application controls. Accordingly, it may be more efficient to review the design of the general controls before reviewing the application controls.

Review of CIS application controls

- o CIS application controls which the auditor may wish to test include:
 - ✓ Manual controls exercised by the user
 - ✓ Controls over system output
 - ✓ Programmed control procedures

CIS ENVIRONMENTS – STAND-ALONE PERSONAL COMPUTERS

- o A personal computer (PC) can be used in various configurations. These include:
 - ✓ A stand-alone workstation operated by a single user or a number of users at different times.
 - ✓ A workstation which part of a Local Area Network (LAN) of PCs.
 - ✓ A workstation connected to a server.
- o In a stand-alone PC environment, it may not be practicable or cost-effective for management to implement sufficient controls to reduce the risks of undetected error to a minimum level.
- o After obtaining the understanding of the accounting system and control environment, the auditor may find it more cost-effective not to make a further review of general controls or application controls, but concentrate audit efforts on substantive procedures.

CIS ENVIRONMENTS – ON-LINE COMPUTER SYSTEMS

- o On-line computer systems are computer systems that enable users to access data and programs directly through terminal devices.
- o On-line systems allow users to directly initiate various functions such as:
 - ✓ Entering transactions
 - ✓ Making inquiries
 - ✓ Requesting reports
 - ✓ Updating master files
 - ✓ Electronic commerce activities
- o Types of terminals used in on-line systems:
 - **General purpose terminals**
 - ✓ Basic keyboard and screen
 - ✓ Intelligent terminal
 - ✓ PCs
 - **Special purpose terminals**
 - ✓ Point-of-sale devices
 - ✓ Automated teller machines (ATM)
- o **Types of on-line computer systems:**

- **On-line/ real time processing** - Individual transactions are entered at terminal devices, validated, and used to update related computer files immediately.
- **On-line/batch processing** - Individual transactions are entered at a terminal device, subjected to certain validation checks, and added to a transaction file that contains other transactions entered during the period. Later, during a subsequent processing cycle, the transaction file may be validated further and then used to update relevant master file.

NETWORK ENVIRONMENT

- o A network environment is a communication system that enables computer users to share computer equipment, application software, data, and voice and video transmissions.
- o A file server is a computer with an operating system that allows multiple users in a network to access software applications and data files.
- o Basic types of networks
 - ✓ Local area network (LAN)
 - ✓ Wide area network (WAN)
 - ✓ metropolitan area network (MAN)

CIS ENVIRONMENTS – DATABASE SYSTEMS

- o **DATABASE** – a collection of data that is shared and used by many different users for different purposes.
- o Two components of database systems:
 - ✓ Database
 - ✓ Database management system (DBMS) – software that creates, maintains, and operates the database
- o Characteristics of database systems:
 - ✓ Data sharing
 - ✓ Data independence

SOFTWARE

- o Consists of computer programs which instruct the computer hardware to perform the desired processing.

Types of computer programs

- o **Operating System** – controls the functioning of the CPU and its peripheral equipment. Several different operating systems allow a single configuration of hardware to function in the following modes:
 - ✓ **Multiprogramming** – the operating system processes a program until an input/output operation is required. Since input or output can be handled by peripheral devices, such as channels and controllers, the CPU can begin executing another program's instructions. Several programs appear to be concurrently processing.
 - ✓ **Multiprocessing** – multiple CPUs process data while sharing peripheral devices, allowing two or more programs to be process simultaneously.
 - ✓ **Virtual Storage** – the operating system separates user programs into segment pages automatically. It appears as though there is unlimited memory available for programs, even though the program is still confined to a physical segment of memory.
- o **Database Management System (DBMS)** – a software package for the purpose of creating, accessing, and maintaining a database

ELECTRONIC DATA INTERCHANGE (EDI) – the electronic exchange of transactions, from one entity's computer to another entity's

computer through an electronic communications network. In electronic fund transfer (EFT) Systems, for example, electronic transactions replace checks as a mean of payment.

- o **EDI controls** include:
 - ✓ **Authentication** – controls must exist over the origin, proper submission, and proper delivery of EDI communications to ensure that the EDI messages are accurately sent and received to and from authorized customers and suppliers.
 - ✓ **Encryption** – involves conversion of plain text data to cipher text data to make EDI messages unreadable to unauthorized persons.

AUDIT APPROACHES

- o **Auditing around the computer** – the auditor ignores or bypasses the computer processing function of an entity’s EDP system.
- o **Auditing with the computer** – the computer is used as an audit tool.
- o **Auditing through the computer** – the auditor enters the client’s system and examines directly the computer and its system and application software.

COMPUTER ASSISTED AUDIT TECHNIQUES (CAATs) FOR TESTS OF CONTROLS

- o **Program analysis** – techniques that allow the auditor to gain an understanding of the client’s program.
 - ✓ **Code review** – involves actual analysis of the logic of the program’s processing routines.
 - ✓ **Comparison programs** – programs that allow the auditor to compare computerized files.
 - ✓ **Flowcharting software** – used to produce a flowchart of a program’s logic and may be used both in mainframe and microcomputer environments.
 - ✓ **Program tracing and mapping** – program tracing is a technique in which instruction executed is listed along with control information affecting that instruction. Program mapping identifies sections of code which may be potential source of abuse.
 - ✓ **Snapshot** – this technique “takes a picture” of the status of program execution, intermediate results, or transaction data at specified processing points I the program processing.
- o **Program testing** – involves the use of auditor-controlled actual or simulated data.
 - **Historical audit techniques** – test the audit computer controls at a point in time.
 - **Test data**
 - ✓ A set of dummy transactions specifically designed to test the control activities that management claims to have incorporated into the processing programs.
 - ✓ Shifts control over processing to the auditor by using the client’s software to process auditor-prepared test data that includes both valid and invalid conditions.
 - ✓ It embedded controls are functioning properly, the client’s software should detect all the exceptions planted in the auditor’s test data.

- ✓ Ineffective if the client does not use the software teste.

- **Integrated test facility (ITF)**
 - ✓ A variation of test of data whereby simulated data and actual data are run simultaneously with the client’s program and computer results are compared with auditor’s predetermined results.
 - ✓ It provides assurance that the software tested is actually used to prepare financial reports.
- **Parallel simulation**
 - ✓ It involves of processing client’s live (actual) data utilizing an auditor’s generalized audit software.
 - ✓ If an entity’s control have been operating efficiently, the client’s software should generate the same exceptions as the auditor’s software.
 - ✓ It should be performed on a surprise basis, I possible.

-- END --



INFORMATION TECHNOLOGY (IT) AUDIT

QUESTIONS

1. Which of the following characteristics distinguishes computer processing from manual processing?
 - a. Computer processing virtually eliminates the occurrence of computational error normally associated with manual processing
 - b. Errors or fraud in computer processing will be detected soon after their occurrences
 - c. The potential for systematic error is ordinarily greater in manual processing than in computerized processing
 - d. Most computer systems are designed so that transaction trails useful for audit purposes do not exist
2. What type of computer system is characterized by data that are assembled from more than one location and records that are updated immediately?
 - a. Microcomputer system
 - b. Minicomputer system
 - c. Batch processing system
 - d. Online, real-time system
3. In a computer-based information system, which of the following duties needs to be separated?
 - a. Program coding from program operations
 - b. Program operations from program maintenance
 - c. Program maintenance from program coding
 - d. All of the above duties should be separated
4. All of the following are issues of computer security except
 - a. Releasing incorrect data to authorized individuals
 - b. Permitting computer operators unlimited access to the computer room
 - c. Permitting access to data by unauthorized individuals
 - d. Providing correct data to unauthorized individuals
5. Which is the most critical segregation of duties in the centralized computer services function?
 - a. Systems development from data processing
 - b. Data operations from data librarian
 - c. Data preparation from data control
 - d. Data control from data librarian
6. Systems development is separated from data processing activities because failure to do so
 - a. Weakens database access security
 - b. Allows programmers access to make unauthorized changes to applications during execution
 - c. Results in inadequate documentation
 - d. Results in master files being inadvertently erased
7. Adequate backups will protect against all of the following except
 - a. Natural disasters such as fires
 - b. Unauthorized access
 - c. Data corruption caused by program errors
 - d. System crashes
8. Which of the following is not an essential feature of a disaster recovery plan?
 - a. Off-site storage of backups
 - b. Computer services function
 - c. Second site backup
 - d. Critical applications identified
9. An auditor anticipates assessing control risk at a low level in a computerized environment. Under these circumstances, on which of the following activities would the auditor initially focus?
 - a. Programmed control activities
 - b. Application control activities
 - c. Output control activities
 - d. General control activities
10. An auditor would most likely be concerned with which of the following controls in a distributed data processing system?
 - a. Hardware controls
 - b. Systems documentation controls
 - c. Access controls
 - d. Disaster recovery controls
11. Auditing by testing the input and output of a computer system instead of the computer program itself will
 - a. Not detect program errors which do not show up in the output sampled
 - b. Detect all program errors, regardless of the nature of the output
 - c. Provide the auditor with the same type of evidence as tests of application controls
 - d. Not provide the auditor with confidence in the results of the auditing procedures
12. Which of the following computer-assisted auditing techniques processes client input data on a controlled program under the auditor's control to test controls in the computer system?
 - a. Test data
 - b. Review of program logic
 - c. Integrated test facility
 - d. Parallel simulation



13. To obtain evidence that online access controls are properly functioning, an auditor most likely would
- a. Create checkpoints at periodic intervals after live data processing to test for unauthorized use of the system
 - b. Examine the transaction log to discover whether any transactions were lost or entered twice due to a system malfunction
 - c. Enter invalid identification numbers or passwords to ascertain whether the system rejects them
 - d. Vouch a random sample of processed transactions to assure proper authorization
14. An auditor most likely would introduce test data into a computerized payroll system to test controls related to the
- a. Existence of unclaimed payroll checks held by supervisors
 - b. Early cashing of payroll checks by employees
 - c. Discovery of invalid employee I.D. numbers
 - d. Proper approval of overtime by supervisors
15. When an auditor tests a computerized accounting system, which of the following is true of the test data approach?
- a. Several transactions of each type must be tested
 - b. Test data are processed by the client's computer programs under the auditor's control
 - c. Test data must consist of all possible valid and invalid conditions
 - d. The program tested is different from the program used throughout the year by the client
16. Which of the following is not among the errors that an auditor might include in the test data when auditing a client's computer system?
- a. Numeric characters in alphanumeric fields
 - b. Authorized code
 - c. Differences in description of units of measure
 - d. Illogical entries in fields whose logic is tested by programmed consistency checks
17. Which of the following computer-assisted auditing techniques allows fictitious and real transactions to be processed together without client operating personnel being aware of the testing process?
- a. Integrated test facility
 - b. Input controls matrix
 - c. Parallel simulation
 - d. Data entry monitor
18. To avoid invalid data input, a bank added an extra number at the end of each account number and subjected the new number to an algorithm. This technique is known as
- a. Optical character recognition
 - b. A check digit
 - c. A dependency digit
 - d. A format check

19. An entity has the following invoices in a batch

<u>Invoice #</u>	<u>Product</u>	<u>Quantity</u>	<u>Unit Price</u>
101	A	150	P 5.00
102	B	200	P10.00
103	C	250	P25.00
104	D	300	P30.00

Which of the following most likely represents a hash total?

- a. 80
 - b. 4
 - c. 104
 - d. 410
20. A client is concerned that a power outage or disaster could impair the computer hardware's ability to function as designed. The client desires off-site back-up hardware facilities that are fully configured and are ready to operate within several hours. The client most likely should consider
- a. Cold site
 - b. Cool site
 - c. Warm site
 - d. Hot site
21. A cold site backup approach is also known as
- a. Internally provided backup
 - b. Recovery operations center
 - c. Empty shell
 - d. Mutual aid pact
22. An advantage of a recovery operations center is that
- a. This is an inexpensive solution
 - b. The initial recovery period is very quick
 - c. The company has sole control over the administration of the center
 - d. None of the above are advantages of the recovery operations center
23. For most companies, which of the following is the least critical application for disaster recovery purposes?
- a. Month-end adjustments
 - b. Accounts receivable
 - c. Accounts payable
 - d. Order entry/billing



24. Which of the following is not true?
- a. When management outsources their organization's IT functions, they also outsource responsibility for internal control
 - b. Once a client firm has outsourced specific IT assets, its performance becomes linked to the vendor's performance
 - c. IT outsourcing may affect incongruence between a firm's IT strategic planning and its business planning functions
 - d. The financial justification for IT outsourcing depends upon the vendor achieving economies of scale
25. A disadvantage of distributed data processing is
- a. The increased time between job request and job completion
 - b. The potential for hardware and software incompatibility among users
 - c. The disruption caused when the mainframe goes down.
 - d. That users are not likely to be involved
26. Which of the following disaster recovery techniques may be least optimal in the case of a disaster?
- a. Empty shell
 - b. Mutual aid pact
 - c. Internally provided backup
 - d. They are all equally beneficial
27. Which of the following disaster recovery techniques is has the least risk associated with it?
- a. Empty shell
 - b. ROC
 - c. Internally provided backup
 - d. They are all equally risky



CODE OF ETHICS

REFERENCE:

CODE OF ETHICS FOR PROFESSIONAL ACCOUNTANTS IN THE PHILIPPINES (PARTS A, B, AND C)

Code of Ethics for Professional Accountants in the Philippines

- Based on the International Code of Ethics for professional accountants developed by the International Federation of Accountants.
- Mandatory for all CPAs and is applicable to professional services performed in the Philippines on or after January 1, 2004.
- Divided into three parts:
 - Part A** - applies to all professional accountants unless otherwise specified.
 - Part B** - applies only to those professional accountants in public practice.
 - Part C** - applies to employed professional accountants, and may also apply, in appropriate circumstances, to accountants employed in public practice.

Contents of the Code

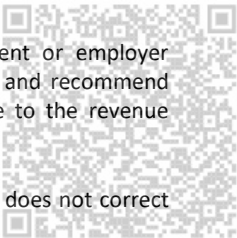
PART A – General Application of the Code	- Conceptual Framework Approach to Compliance - Fundamental Principles - Threats and Safeguards - Ethical Conflict Resolution
PART B – Professional Accountants in Public Practice	- Professional Appointment - Conflicts of Interest - Second Opinions - Fees and Other Types of Remuneration - Marketing Professional Services - Gifts and Hospitality - Custody of Clients - Objectivity – All Services - Independence – Audit and Review Engagements - Independence – Other Assurance Engagements
PART C – Professional Accountants in Business	- Conflict of Interest - Preparation and Reporting of Information - Acting with Sufficient Expertise - Financial Interest - Inducements

Fundamental Principles that CPAs should observe:

- Integrity
- Objectivity
- Professional competence and due care
- Confidentiality
- Professional behavior

Rules Applicable to all Professional Accountants

- Integrity and Objectivity**
 - Integrity implies not merely honesty but fair dealing and truthfulness. The principle of objectivity imposes the obligation on all professional accountants to be fair, intellectually honest, and free of conflicts of interest.
 - Professional accountants should neither accept nor offer gifts or entertainment which might reasonably be believed to have a significant and improper influence on their professional judgment or those with whom they deal.
- Professional Competence** may be divided into two separate phases, namely:
 - Attainment of professional competence- requires initially a high standard of general education followed by specific education, training, and examination in professionally relevant subjects and a period of work experience.
 - Maintenance of professional competence - requires a continuing awareness of development in the accountancy profession including relevant national and international pronouncements on accounting, auditing, and other relevant regulations and statutory requirements.
- CONFIDENTIALITY**
 - Professional accountants have an obligation to respect the confidentiality of information about a client's or employer's affairs acquired in the course of professional services.
 - The duty of confidentiality continues even after the end of the relationship between the professional accountant and the client or employer.
- TAX PRACTICE**
 - The professional accountant should ensure that the client or the employer are aware of the limitations attaching to tax advice and services so that they do not misinterpret an expression of opinion as an assertion of fact.
 - A professional accountant should not be associated with any return or communication in which there is reason to believe that it:
 - Contains a false or misleading statement;
 - Contains statements or information furnished recklessly or without any real knowledge of whether they are true or false; or
 - Omits or obscures information required to be submitted and such omission or obscurity would mislead the revenue authorities.
 - When a professional accountant learns of a material error or omission in a tax return of a prior year, or the failure to file a required tax return, he/she has a responsibility to:
 - Promptly advise the client or employer of the error or omission and recommend that disclosure be made to the revenue authorities.
 - If the client or employer does not correct the error, he/she:



- Should inform the client or the employer that it is possible to act for them in connection with that return or other related information submitted to the authorities; and
- Should consider whether continued association with the client or employer in any capacity is consistent with professional responsibilities.

O Cross Border Activities

- When a professional accountant performs services in a country other than the home country and differences on specific matters exist between ethical requirements of the two countries, the following provisions should be applied:
 - ✓ When the ethical requirements of the country in which the services are being performed are LESS STRICT than the Philippine Code of Ethics, then our code should be applied.
 - ✓ When the ethical requirements of the country in which the services are being performed are STRICTER than our code, then the ethical requirements in the country where services are being performed should be applied.
 - ✓ When the ethical requirements of the Philippines are mandatory for services performed outside the Philippines and are stricter than that set out in (1) and (2) above, then the ethical requirements of the Philippines should be applied.

O Publicity

- In the marketing and promotion of themselves and their work, professional accountants should:
 - ✓ Not use means which brings the profession into disrepute.
 - ✓ Not make exaggerated claims for the services they are able to offer, the qualifications they possess, or experience they have gained; and
 - ✓ Not denigrate the work of other accountants.

Rules Applicable to Professional Accountants in Public Practice

Independence

O Independence requires:

- ✓ **Independence of mind** - The state of mind that permits the provision of an opinion without being affected by influences that compromise professional judgment, allowing an individual to act with integrity, and exercise objectivity and professional skepticism.
- ✓ **Independence in appearance** - The avoidance of facts and circumstances that are so significant that a reasonable and informed third party, having knowledge of all relevant information, including safeguards applied, would reasonably conclude a firm, or a member of the assurance team's integrity, objectivity or professional skepticism had been compromised.

- O Members of assurance teams, firms, and network firms should identify THREATS to independence, evaluate the significance of those threats, and, if the threats are other than clearly insignificant, identify and apply SAFEGUARDS to eliminate the threats or reduce them to acceptable level, such that independence of mind and independence in appearance are not compromised. In situations when no safeguards are available to reduce the threat to an acceptable level. The only possible actions are to:
 - ✓ Eliminate the activities or interest creating the threat; or
 - ✓ Refuse to accept or continue the assurance engagement.

Independence Requirements in Assurance Engagements

- O For assurance engagements provided to an audit client, the member of the assurance team, the firm and network firms are required to be independent of the client.
- O For assurance engagements provided to clients that are not audit clients, when the report is not expressly restricted for use by identified users, the members of the assurance team and firm are required to be independent of the client.
- O For assurance engagements provided to clients that are not audit clients, when the assurance report is expressly restricted for use by identified users, the members of the assurance team are required to be independent of the client. In addition, the firm should not have a material director indirect financial interest in the client.

Network firm - an entity under common control, ownership or management with the firm or any entity that a reasonable and informed third party having knowledge of all relevant information would reasonably conclude as being part of the firm nationally or internationally.

Financial interest - an interest in equity or other security, debenture, loan or other debt instrument of an entity including rights and obligations to acquire such an interest and derivatives directly related to such interest.

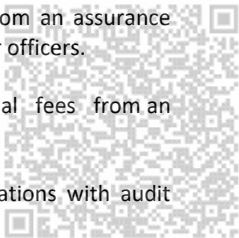
Direct financial interest - a financial interest:

- O Owned directly by and under the control of an individual or entity; or
- O Beneficially owned through a collective investment vehicle, estate, trust, or other intermediary over which the individual or entity has control.

Indirect financial interest - a financial interest beneficially owned through a collective investment vehicle, estate, trust or other intermediary over which the individual or entity has no control.

Threats to Compliance with Fundamental Principles

- O **Self-Interest Threat** – The threat that a financial or other interest will inappropriately influence the accountant's judgement or behavior. Examples:
 - ✓ A direct financial interest or material indirect financial interest in an assurance client.
 - ✓ A loan or guarantee to or from an assurance client or any of its directors or officers.
 - ✓ Undue dependence on total fees from an assurance client.
 - ✓ Entering employment negotiations with audit client.



- ✓ Concern about the possibility of losing the engagement.
- ✓ Having a significant close business relationship with an assurance client.
- ✓ Participating in incentive compensation arrangements offered by the employer.
- ✓ Potential employment with an assurance client.
- ✓ Contingent fees relating to assurance engagements.
- ✓ Concern over employment security.
- ✓ Inappropriate personal use of corporate assets.

o **Self-Review Threat** – The threat that an accountant will not appropriately evaluate the results of a previous judgement made, or activity or service performed by the accountant, or by another individual within the accountant’s firm or employing organization, on which the accountant will rely when forming a judgement as part of performing a current activity or providing a current service. Self-review threat occurs when:

- ✓ Any product or judgment of a previous assurance engagement or non-assurance engagement needs to be reevaluated in reaching conclusions on the assurance engagement; or
- ✓ When a member of the assurance team was previously a director or officer of the assurance client or was an employee in a position to exert direct and significant influence over the subject matter of the assurance engagement.
- ✓ Performing a service for an assurance client that directly affects the subject matter information of the assurance engagement.
- ✓ Determining the appropriate accounting treatment for a business combination after performing the feasibility study that supported the acquisition decision.

o **Advocacy Threat** - Occurs when a firm, or a member of the assurance team, promotes, or may be perceived to promote, an assurance client’s position or opinion to the point that objectivity may, or may be perceived to be compromised.

Examples are:

- ✓ Promoting shares in an audit client.
- ✓ Acting as an advocate on behalf of an audit client in litigation or disputes with third parties.

o **Familiarity Threat** - Occurs when, by virtue of a close relationship with an assurance client, its directors, officers or employees, a firm or a member of the assurance team becomes too sympathetic to the client’s interests.

Examples are:

- ✓ A member of the engagement team having a close or immediate family member who is a director, an officer, or an employee in a position to exert significant influence over the subject matter of the engagement of the client.
- ✓ A director, an officer, or an employee in a position to exert significant influence over the subject matter of the engagement of the client having recently served as the engagement partner.

- ✓ Accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential.
- ✓ Senior personnel having a long association with the assurance client.
- ✓ Being responsible for the employer’s financial reporting when an immediate or close family member employed by the entity makes decisions that affect the entity’s financial reporting.
- ✓ Long association with business contacts influencing business decisions.

o **Intimidation Threat** – The threat that an accountant will be deterred from acting objectively because of actual or perceived pressures, including attempts to exercise undue influence over the accountant.

Examples are:

- ✓ Threatened with dismissal from a client engagement.
- ✓ An audit client indicating that it will not award a planned non-assurance contract to the firm if the firm continues to disagree with the client.
- ✓ Threatened with litigation by the client.
- ✓ Pressured to reduce inappropriately the extent of work to reduce fees.
- ✓ Threat of dismissal or replacement of the accountant or a close or immediate family member over a disagreement about an accounting principle.

-- END --



CODE OF ETHICS

QUESTIONS

1. Which of the following engagements require compliance with the requirements of the Code of Ethics for Professional Accountants in the Philippines?
- | | <u>Compilation</u> | <u>Review</u> | <u>Agreed-Upon Procedures</u> |
|----|--------------------|---------------|-------------------------------|
| a. | Yes | Yes | No |
| b. | No | No | Yes |
| c. | No | No | No |
| d. | Yes | Yes | Yes |
2. The code of professional ethics for CPAs promulgated by the Board of Accountancy applies to
- a. All CPAs in public practice
 - b. All CPAs in government
 - c. All CPAs in public practice and employed in private business
 - d. All CPAs in public practice, employed in private business and industry, in the government and in education
3. The underlying reason for a code of professional ethics is
- a. That it is required by legislation
 - b. To provide the licensing agencies with a basis for measuring the performance of the practitioners
 - c. The need for public confidence in the quality of service of the profession
 - d. That it provides a safeguard against unscrupulous people
4. When a professional accountant performs services in a country other than the home country and differences on specific matters exist between ethical requirements of the two countries, the professional accountants should apply
- a. The ethical requirements of his or her home country
 - b. The ethical requirements of the country in which services are being performed
 - c. The stricter of the two ethical requirements
 - d. The less strict ethical requirements
5. One of the major differences between auditors and other professionals is that most professionals
- a. Do not have to pass rigorous examination to be admitted in the profession
 - b. Are not expected to act in the best interest of the public
 - c. Need not be concerned about independence
 - d. Do not need the confidence of the public
6. Independence in auditing means
- a. Not having any financial or economic relationship with the client
 - b. Being an advocate of the assurance client
 - c. Taking an unbiased viewpoint
 - d. Not having a loan to or from an assurance client
7. The Code of Ethics requires that members of assurance teams, firms and, when applicable, network firms be independent of assurance clients. Independence means
- a. Independence of mind only
 - b. Independence in appearance only
 - c. Both independence of mind and independence in appearance
 - d. Either independence of mind or independence in appearance
8. It refers to the avoidance of facts and circumstances that are so significant that a reasonable and informed third party, having knowledge of all relevant information, including safeguards applied, would reasonably conclude a firm's or a member of the assurance team's integrity, objectivity or professional skepticism had been compromised
- a. Independence in fact
 - b. Independence in appearance
 - c. Independence of mind
 - d. Inherent independence
9. To emphasize auditor independence from management, many corporations follow the practice of
- a. Appointing a partner of the CPA firm conducting the audit to the corporation's audit committee
 - b. Establishing a policy of discouraging social contact between employees of the corporation and the staff of the independent auditor
 - c. Requesting that a representative of the independent auditor be on hand at the annual stockholders' meeting
 - d. Having the independent auditor report to an audit committee of outside members of the board of directors

10. Which of the following professional services does not require independence?
 - a. Direct reporting engagements
 - b. Examination of financial forecast
 - c. Tax consultancy services
 - d. Assertion-based engagements
11. When an accountant is not independent, the accountant is precluded from issuing a
 - a. Compilation report
 - b. Review report
 - c. Management advisory report
 - d. Tax planning report
12. Which of the following fundamental ethical principles require a professional accountant to be straightforward and honest in all professional and business relationships?
 - a. Objectivity
 - b. Professional behavior
 - c. Professional competence and due care
 - d. Integrity
13. The Code of Ethics for Professional Accountants in the Philippines states, in part, that a CPA should maintain a high degree of integrity and objectivity in all actuations. Objectivity in said Code refers to a CPA's ability
 - a. To maintain an impartial attitude on all matters which come under the CPA's review
 - b. To independently distinguish between accounting practices that are acceptable and those that are not
 - c. To be unyielding in all matters dealing with auditing procedures
 - d. To independently choose between alternate accounting principles and auditing standards
14. The principle of professional competence and due care imposes certain obligations on professional accountants. Which of the following is not one of those obligations required by this principle?
 - a. To act diligently in accordance with applicable technical and professional standards
 - b. To be fair, intellectually honest and free of conflict of interest
 - c. To become aware and understand relevant technical, professional and business developments
 - d. To obtain professional knowledge and experience to enable them to fulfill their responsibilities
15. Competence as a certified public accountant includes all of the following except
 - a. Having the technical qualifications to perform an engagement
 - b. Possessing the ability to supervise and evaluate the quality of staff work
 - c. Warranting the infallibility of the work performed
 - d. Consulting others if additional technical information is needed
16. The principle of confidentiality imposes an obligation on professional accountants to refrain from
 - a. Disclosing confidential information to another party even if the client authorizes the disclosure
 - b. Using confidential information acquired as a result of professional and business relationships to their personal advantage or the advantage of third parties
 - c. Disclosing information to defend themselves in case of litigation
 - d. Responding to an inquiry or investigation conducted by the Professional Regulatory Board of Accountancy
17. Which of the following most accurately states how objectivity has been defined by the Code of Ethics?
 - a. Being honest and straightforward in all professional and business relationships
 - b. A state of mind that permits the provision of an opinion without being affected by influence that compromise professional judgment
 - c. A combination of impartiality, intellectual honesty and a freedom from conflict of interest
 - d. Avoiding facts and circumstances that could not reduce the public confidence in the professional accountant's report
18. Upon discovery of irregularities in the client's tax return that the client refuses to correct, a CPA withdraws from the engagement. How should the withdrawing CPA respond if asked by the successor CPA why the relationship was terminated?
 - a. "It was a misunderstanding"
 - b. "I suggest you get the client's permission for us to discuss all matters freely"
 - c. "I suggest you ask the client"
 - d. "I found irregularities in the tax return which the client would not correct"
19. CPAs should not be liable to any party if they perform their services with:
 - a. Ordinary negligence
 - b. Regulatory providence
 - c. Due professional care
 - d. Good faith
20. The standard of due care requires the auditor to
 - a. Apply judgment in a conscientious manner, carefully weighing the relevant factors before reaching a decision
 - b. Ensure that the financial statements are free from error
 - c. Make perfect judgment decisions in all cases
 - d. Possess skills clearly above the average for the profession



21. The exercise of due professional care requires that an auditor
 - a. Examine all available corroborating evidence
 - b. Critically review the judgment exercised at every level of supervision
 - c. Reduce control risk below the maximum
 - d. Attain the proper balance of professional experience and formal education
22. This threat to independence occurs when a firm or a member of the assurance firm has a direct financial interest or material indirect financial interest in an assurance client
 - a. Self-review threat
 - b. Advocacy threat
 - c. Intimidation threat
 - d. Self-interest threat
23. This threat to independence occurs when a member of the assurance team has recently performed services for an assurance client that directly affect the subject matter of the assurance engagement (e.g. valuation services)
 - a. Self-review threat
 - b. Self-interest threat
 - c. Advocacy threat
 - d. Familiarity threat
24. This occurs when, because of a close relationship, a professional accountant becomes too sympathetic to the interests of others
 - a. Self-interest threat
 - b. Self-review threat
 - c. Advocacy threat
 - d. Familiarity threat
25. This occurs when a member of the assurance team may be deterred from acting objectively and exercising professional skepticism by threats, actual or perceived, from the directors, officers or employees of an assurance client
 - a. Intimidation threat
 - b. Familiarity threat
 - c. Advocacy threat
 - d. Self-interest threat
26. Acting for an audit client in the resolution of a dispute or litigation would most likely create
 - a. Self-interest threat
 - b. Intimidation threat
 - c. Advocacy threat
 - d. Familiarity threat
27. The preparation of accounting records or financial statements for an audit client will most likely create
 - a. Self-interest threat
 - b. Self-review threat
 - c. Intimidation threat
 - d. Familiarity threat
28. When threats to independence, that are other than those clearly insignificant, are identified, the professional accountant should
 - a. Continue the assurance engagement but with heightened level of professional skepticism
 - b. Downgrade the nature of engagement to one that does not require independence
 - c. Assign more experienced staff to the assurance engagement
 - d. Apply appropriate safeguards to eliminate threats to independence or to reduce them to an acceptable level
29. Which of the following circumstances may create self-interest threats for a professional accountant in public practice?
 - a. A financial interest in a client or jointly holding a financial interest with a client
 - b. Performing a service for a client that directly affects the subject matter of the assurance engagement
 - c. Being threatened with litigation
 - d. Acting as an advocate on behalf of an assurance client in litigation or disputes with third parties
30. The following are examples of circumstances that may create familiarity threats, except
 - a. Promoting shares in a listed entity when an entity is a financial statement audit client
 - b. Long association of senior personnel with the assurance client
 - c. A member of the engagement team having a close or immediate family relationship with a director or officer of the client
 - d. A former partner of the firm being a director or officer of the client or an employee in a position to exert direct and significant influence over the subject matter of the engagement
31. According to Section 240 of the Code of Ethics, fees charged for assurance engagements should be a fair reflection of the value of the work involved. In determining professional fees, the following should be taken into account, except
 - a. The time necessarily occupied by each person engaged on the work
 - b. The outcome or result of a transaction or the result of the work performed
 - c. The skill and knowledge required for the type of work involved
 - d. The level of training and experience of the persons necessarily engaged on the work



32. Which of the following threats to independence is created when a member of the assurance team participates in the assurance engagement while knowing, or having reason to believe, that he is to, or may, join the assurance client sometime in the future?
 - a. Intimidation threat
 - b. Self-interest threat
 - c. Self-review threat
 - d. Familiarity threat
33. If the financial statement audit of listed entities, the engagement partner and the individual responsible for the engagement quality control review should be rotated after serving in either capacity, or a combination thereof, for a pre-defined period, normally no more than
 - a. 5 years
 - b. 7 years
 - c. 10 years
 - d. 6 years
34. As defined in the Code, “a valuation compromises the making of assumptions with regard to future developments, the application of certain methodologies and techniques, and the combination of both in order to compute a certain value, or range of values, for an asset, a liability or for a business as a whole.” Which of the following threats may be created when a firm or a network firm performs valuation for an audit client that is to be incorporated in the client’s financial statements?
 - a. Advocacy threat
 - b. Familiarity threat
 - c. Self-review threat
 - d. Intimidation threat
35. When the total fees generated by an assurance client represent a large portion of a firm’s total fees, the dependence on that client or client group and concern about the possibility of losing the client may create a/an
 - a. Self-interest threat
 - b. Self-review threat
 - c. Intimidation threat
 - d. Advocacy threat
36. Which of the following threats to independence may be created when litigation takes place, or appears likely, between the firm or a member of the assurance team the assurance client?
 - a. Self-interest or advocacy threat
 - b. Advocacy or intimidation threat
 - c. Self-interest or intimidation threat
 - d. Familiarity or self-review threat
37. As defined in the Code of Ethics, _____ is the communication to the public of information as to the services or skills provided by professional accountants in public practice with a view to procuring professional business
 - a. Advertising
 - b. Publicity
 - c. Solicitation
 - d. Marketing professional services
38. As defined in the Code of Ethics _____ is the communication to the public of facts about a professional accountant which are not designed for the deliberate promotion of that professional accountant
 - a. Advertising
 - b. Publicity
 - c. Solicitation
 - d. Marketing professional services
39. A professional accountant in public practice is allowed to
 - a. Refer to, use or cite actual or purported testimonials by third parties
 - b. Publish services in billboard (e.g., tarpaulin, streamers, etc) advertisements
 - c. Publish and compare fees with other CPAs or CPA firms or compare those services with those provided by another firm or CPA practitioner
 - d. Inform interested parties through any medium that a partnership or salaried employment of an accountancy nature is being sought
40. After evaluating the significance of the threat created by an actual or threatened litigation, the following safeguards should be applied to reduce the threat to an acceptable level, except
 - a. Disclosing to the audit committee, or others charged with governance, the extent and nature of the litigation
 - b. If the litigation involves a member of the assurance team, removing that individual from the assurance team
 - c. Involving an additional professional accountant in the firm who was not a member of the assurance team to review the work or otherwise advise as necessary
 - d. Withdraw from, or refuse to accept, the assurance engagement
41. Which of the following threats to independence may be created by family and personal relationships between a member of the assurance team and a director, an officer, or an employee of the assurance client in a position to exert direct and significant influence over the subject matter information of the assurance engagement?
 - a. Self-interest, familiarity or intimidation threats
 - b. Self-review, familiarity or advocacy threats
 - c. Advocacy, familiarity or self-review threats
 - d. Self-interest, advocacy or self-review threats



42. Which of the following will not create self-interest threats for a professional accountant in public practice?
- The possibility of losing a significant client
 - Direct financial interest in the assurance client
 - Undue dependence on total fees from a client
 - Preparing the original data used to generate records that are the subject matter of the assurance engagement
43. The following circumstances create advocacy threats for a professional accountant in public practice except
- Promoting shares in an audit client
 - Acting as an advocate on behalf of an audit client in litigation or disputes with third parties
 - Acting as campaign manager for the president of a client who is running for a public office
 - Discovery of a significant error during a re-evaluation of his work
44. Familiarity threat could be created under the following circumstances except
- A professional accountant accepting gifts from a client whose value is inconsequential or trivial
 - Senior personnel of the engagement team having strong association with the assurance client
 - A member of the engagement team is the spouse of one of the directors of the client
 - A member of the engagement team is the spouse of the chief accountant of the client
45. Intimidation threat could be created under the following circumstances except
- A firm being threatened with litigation by the client
 - A firm being pressured to reduce inappropriately the extent of work performed in order to reduce fees
 - A professional accountant being informed by a partner of the firm that he would not be promoted unless he agrees with an audit client's inappropriate accounting treatment
 - A firm entering into a contingent fee arrangement relating to an assurance engagement
46. A CPA's retention of client records as a means of enforcing payment of an overdue audit fee is an action that is
- Considered acceptable by the code of ethics
 - Ill-advised since it would impair the CPA's independence with respect to the client
 - Considered discreditable to the profession
 - A violation of the standards on auditing
47. According to the Code of Ethics, a CPA who has a financial interest in a partnership that invests in a potential client is considered to have
- An indirect financial interest in the client
 - A direct financial interest in the client
 - No financial interest in the client
 - A partial financial interest in the client
48. Which of the following acts by a CPA would be most likely to be a violation of the code of ethics?
- Assisting a client in preparing a financial forecast
 - Acting as auditor of a non-profit charitable organization with audit client serving as president
 - Accepting a fee in a tax matter that is contingent upon the result of an administrative proceeding
 - Having an immaterial loan to the president of an audit client
49. A loan, or guarantee of a loan, to the firm from an assurance client that is a bank or a similar institution, would not create a threat to independence provided
- The loan, or guarantee, is made under normal lending procedures, terms and requirements
 - The loan is immaterial to both the firm and the assurance client
- I only
 - II only
 - Neither I nor II
 - Both I and II
50. If requested to perform a review engagement for a nonpublic entity in which an accountant has an immaterial direct financial interest, the accountant is
- Not independent and, therefore, may issue a review report, but may not issue an auditor's opinion
 - Not independent and, therefore, may not issue a review report
 - Not independent and, therefore, may not be associated with the financial statements
 - Independent because the financial interest is immaterial and, therefore, may issue a review report



REPUBLIC ACT NO. 9298 – PHILIPPINE ACCOUNTANCY ACT OF 2004 (AND ITS IMPLEMENTING RULES AND REGULATIONS)

professional knowledge in the science of accounting, or where a civil service eligibility as a CPA is a prerequisite.

REFERENCE:

Republic Act 9298: Philippine Accountancy Act of 2004 (Revised in 2016)

Objectives of the Philippine Accountancy Act:

- The standardization and regulation of accounting education.
- The examination for registration of CPAs.
- The supervision, control, and regulation of the practice of accountancy in the Philippines.

Scope of Practice of Accountancy:

- Practice of accountancy shall include, both not limited to the following:
 - **Practice of Public Accountancy** – Practice of public accountancy shall constitute in a person, be it his/her individual capacity, or as a partner or as a staff member in an accounting or auditing firm, holding out himself/herself as one skilled in the knowledge, science and practice of accounting, and as a qualified person to render professional services as a certified public accountant; or offering or rendering, or both, to more than one client on a fee basis or otherwise.
 - **Practice in Commerce and Industry** – Practice in commerce and industry shall constitute in a person:
 - ✓ Involved in decision making requiring professional knowledge in the science of accounting, (as well as the accounting aspects of finance and taxation).
 - ✓ When the CPA represents his employer before government agencies on tax and other matters related to accounting.
 - ✓ When such employment or position requires that the holder thereof must be a CPA.
 - **Practice in Education / Academe** – Practice in education or the academe shall constitute in a person in an educational institution which involve teaching of accounting, auditing, management advisory services, finance, business law, taxation, and other technically related subjects.
 - ✓ A CPA is considered to be engaged in the practice of accountancy in education / academe if he/she is employed in educational institutions as teachers of accounting, auditing, MAS, (accounting aspects of) finance, business law, taxation and other technically related subjects.
 - ✓ Members of the Integrated Bar of the Philippines (IBP) may be allowed to teach law and taxation subjects.
 - ✓ The position of either the Dean or department chairman (or its equivalent) that supervises the BSA program of an educational institution is deemed to be in practice of accountancy in the academic /education and therefore must be occupied only by a duly registered CPA.
 - **Practice in Government** – Practice in the government shall constitute in a person who holds, or is appointed to, a position in an accounting professional group in government or in a government-owned and/or controlled corporation, including those performing proprietary functions, where decision making requires

Limitations of the Practice of Public Accountancy:

- Single practitioners (individual CPAs) and Partnership of CPAs shall be registered CPAs in the Philippines.
- The SEC shall not register any corporation organized for the practice of public accountancy. In other words, corporation form of CPA firm is not allowed.
- A **certificate of accreditation** issued only after showing that the registrant has acquired the minimum 3 years meaningful experience in any of the areas of accountancy (whether in the public accountancy, commerce and industry, education/academe and government).
 - ✓ **Certificate of Accreditation** – a certificate under seal, issued by the PRC upon the recommendation by the BOA, attesting that Individual CPAs, including the staff members thereof, firms including the sole proprietors and the staff members thereof and partnerships of CPAs including the partners and the staff members thereof, are duly accredited to practice public accountancy in the Philippines.

Prohibition in the Practice of Accountancy:

- **Non-CPAs:**
 - ✓ Are not allowed to practice accountancy in the Philippines.
 - ✓ Cannot use the title “Certified Public Accountant” or “CPA”.
 - ✓ Should not indicate (thru display or use any title, sign, card, advertisement, or other device) that he practices or offers to practice accountancy or that he is a CPA.
- **Non-Filipino professional accountants/CPAs:**
 - ✓ Are also not allowed to practice accountancy in the Philippines, unless:
 - Through foreign reciprocity.
 - With valid temporary/special permit duly issued by the BOA and the PRC.

Professional Regulatory Board of Accountancy (BOA):

- The BOA is the official government agency empowered to enforce RA 9298.
- BOA is under the supervision and administrative control of the Professional Regulation Commission (PRC).
- **Composition of BOA:**
 - ✓ BOA shall be composed of a **chairman and 6 members** (all of which are to be appointed by the President of the Philippines).
 - ✓ BOA shall elect a vice-chairman from among its members for a term of **1 year**.
 - ✓ According to the IRR, the 4 sectors in the practice of accountancy shall as much as possible be equitably represented in the BOA.
- **Qualifications of BOA members:** At the time of appointment, he/she must be:
 - ✓ Natural-born citizen and a resident of the Philippines.
 - ✓ Duly registered CPA with at least **10 years** of work experience in ANY scope of practice of accountancy.
 - ✓ Of good moral character and must not have been convicted of crimes involving moral turpitude.

- ✓ Not have any pecuniary interest, directly or indirectly, in any school, college, university or institution conferring an academic degree necessary for admission to the practice of accountancy (those that offer BSA degree) or where review classes in preparation for the licensure examination are being offered or conducted, nor shall he/she be a member of the faculty or administration thereof at the time of his/her appointment to the BOA.
- ✓ Not be a director/officer of the APO (PICPA) at the time of his/her appointment – this is an additional requirement under the IRR.
- **Term of office of BOA members:**
 - ✓ The Chairman and the members of the BOA members shall hold office for a term of **3 years**.
 - ✓ Any vacancy during the term of a member shall be filled up for the unexpired portion of the term only. Appointment to fill up an unexpired term is not to be construed as a complete term.
 - ✓ No person who has served **2 successive complete terms** shall be eligible for reappointment until the lapse of **1 year**.
 - ✓ No person shall serve in the BOA for more than **12 years**.
- **Powers and Functions of the BOA:** The BOA shall exercise the following specific powers, functions and responsibilities:
 - ✓ To prescribe and adopt the rules and regulations necessary for carrying out the provisions of this Act (RA 9298).
 - ✓ To supervise the registration, licensure and practice of accountancy in the Philippines.
 - ✓ To administer oaths.
 - ✓ To issue, suspend, revoke, or reinstate the Certificate of Registration for the practice of the accountancy profession.
 - ✓ To adopt its own official seal.
 - ✓ To prescribe and/or adopt a Code of Ethics for the practice of accountancy.
 - ✓ To conduct an oversight into the quality of audits of financial statements through a review of the quality control measures.
- **Grounds for Suspension or Removal of BOA Members:**
 - ✓ The **President of the Philippines**, upon the **recommendation of the PRC** may suspend or remove any BOA member on the following grounds:
 - Neglect of duty or incompetence.
 - Violation or tolerance of any violation of RA 9298 and its IRR or the CPA Code of Ethics and the technical and professional standards of practice for CPAs.
 - Final judgment of crimes involving moral turpitude.
 - Manipulation or rigging of the CPA's licensure examination results, disclosure of secret and confidential information in the examination questions prior to the conduct of the said examination or tampering of grades.

CPA Examinations:

- All applicants for registration for the practice of accountancy shall be required to undergo a licensure examination to be given by the BOA in such places and dates as the PRC may designate subject to compliance with the requirements prescribed by the PRC in accordance with Republic Act No. 8981.
- **Qualifications of Applicants for CPA Examinations:**
 - ✓ Must be a **Filipino citizen**.
 - ✓ Must be of **good moral character**.
 - ✓ Must be a **holder of the degree of BSA** conferred by a school, college, academy or institute duly recognized and/or accredited by the CHED or other authorized government offices.
 - ✓ **Has not been convicted** of any criminal offense involving moral turpitude.
- **Scope of Examinations:**
 - The CPA examination shall cover, but are not limited to, the following subjects:
 - ✓ **Financial Accounting and Reporting**
 - ✓ **Advanced Financial Accounting and Reporting**
 - ✓ **Management Advisory Services**
 - ✓ **Auditing**
 - ✓ **Regulatory Framework for Business Transactions**
 - ✓ **Taxation**
- **Rating in the CPA Examinations:**
 - ✓ **To pass the CPA exams:** A candidate must obtain at least a **general average of 75%**, with **no grades lower than 65%** in any given subject.
 - ✓ **Conditional status:** If a candidate obtains a rating of 75% and above in at least a majority of the subjects tested, he/she will be given conditional credits for the subjects passed.
- **Removal Examination:**
 - ✓ The candidates with conditional status shall take an examination in the remaining subjects within **2 years** from the preceding examination.
 - ✓ If the candidate fails to obtain at least a general average of 75% and a rating of at least 65% in each of the subjects reexamined, he/she shall be considered as failed in the entire examination.
 - ✓ The original exam and the removal exam are counted as one exam only.
- **Candidates required to take Refresher Course:**
 - ✓ Any candidate who fails in **2 complete CPA exams** shall be disqualified from taking another set of examinations unless he/she submits evidence to the satisfaction of the BOA that he/she enrolled in and completed a refresher course with at least **24 units** of subjects given in the CPA exams.
- The examination in which the candidate was conditioned together with the removal examination on the subject in which he/she failed shall be counted as one complete examination.

- The IRR provides that the required refresher course (whether regular or special refresher course) shall be offered only by an educational institution granting a degree of BSA.

Issuance of Certificates of Registration and Professional Identification Card:

- **Certificate of Registration** – a certificate under seal bearing a registration number, issued to an individual, by the PRC, upon recommendation by the BOA, signifying that the individual has complied with all the legal and procedural requirements for such issuance including, in appropriate cases, having successfully passed the CPA licensure examination.
 - ✓ A certificate of registration shall be issued to examinees who pass the CPA licensure examination subject to payment of fees prescribed by the PRC.
 - ✓ The Certificate of Registration shall bear the signature of the chairperson of the PRC and the chairman and members of the BOA, stamped with the official seal of the PRC and of the BOA, indicating that the person named therein is entitled to the practice of the profession with all the privileges appurtenant thereto. The said certificate shall remain in full force and effect until withdrawn, suspended or revoked.
- **Professional Identification Card** – a card with validity of **3 years** bearing the registration number, date of issuance with an expiry date, due for periodic renewal, duly signed by the Chairperson of the PRC issued by the PRC to a registered CPA upon payment of the annual registration fees for 3 years.

Expiration:

- **Certificate of Registration** – has **no expiry**; shall remain in full force until/unless withdrawn, suspended or revoked.
- **Professional Identification Card** – subject to expiry; renewable every **3 years**.

Grounds for Refusal to Issue Certificate of Registration and Professional ID:

- The BOA shall not register and issue a certificate of registration and professional identification card to any successful examinee due to the following grounds:
 - ✓ Convicted by a court of competent jurisdiction of a criminal offense involving moral turpitude.
 - ✓ Guilty of immoral and dishonorable conduct.
 - ✓ Of unsound mind.
- The BOA shall not register either, any person who has falsely sworn, or misrepresented himself/herself in his/her application for examination.
- Registration shall not be refused, and a name shall not be removed from the roster of CPAs on conviction for a political offense (or for an offense, in the opinion of the BOA, that does not disqualify a person from practicing accountancy).

Suspension and Revocation of Certificates of Registration and Professional Identification Card and Cancellation of Special Permit:

- The **BOA** shall have the power, upon due notice and hearing, to:
 - ✓ Suspend or revoke the practitioner's certificate of registration and professional identification card.
 - ✓ Suspend him/her from the practice of his/her profession.
 - ✓ Cancel his/her special permit.
- **Causes or Grounds for Suspension/Revocation/Cancellation:**
 - ✓ Convicted by a court of competent jurisdiction of a criminal offense involving moral turpitude.

- ✓ Guilty of immoral and dishonorable conduct.
- ✓ Of unsound mind.
- ✓ Any unprofessional or unethical conduct.
- ✓ Malpractice.
- ✓ Violation of any of the provisions of this Act and its IRR.
- ✓ Violation of the CPA's Code of Ethics and the technical and professional standards of practice for CPAs.

Reinstatement, Reissuance and Replacement of Revoked or Lost Certificates:

- The BOA may, after the expiration of 2 years from the date of revocation of a certificate of registration and upon application and for reasons deemed proper and sufficient, reinstate the validity of a revoked certificate of registration and in so doing, may, in its discretion, exempt the applicant from taking another examination.

Continuing Professional Development (CPD) Program:

- **Rationale:** Voluntary compliance with the CPD program is an effective and credible means of ensuring competence, integrity and global competitiveness of professional in order to allow them to continue the practice of their profession.
- **Continuing Professional Education (CPD)** – refers to the inculcation assimilation and acquisition of knowledge, skills, proficiency and ethical and moral values, after the initial registration of a professional that raise and enhance the professional's technical skills and competence.
- **CPD program** – consists of properly planned and structured activities, the implementation of which requires the participation of a determinant group of professionals to meet the requirements of voluntarily maintaining and improving the professional standards and ethics of the profession.

CPD Program:

- **CPD credit units:**
 - ✓ 15 credit units for 3 years
- **Exemption** from CPE requirement:
 - ✓ **Permanent exemption:** Upon reaching the age of 65 years old.
 - ✓ **Temporary exemption:** If the following conditions are met:
 - During their stay abroad for at least 2 years immediately prior to the date of renewal.
 - Working or practicing his/her profession or furthering his/her studies abroad.

Seal and Use of Seal:

- All licensed CPAs shall obtain and use a seal of a design prescribed by the BOA bearing the registrant's name, registration number and title.
- The auditor's reports shall be stamped with said seal, indicating therein his/her current Professional Tax Receipt (PTR) number, date/place of payment when filed with government authorities or when used professionally.

Coverage of Temporary or Special Permits:

- **Special / temporary permit** may be issued by the BOA subject to the approval of the PRC and payment of the fees the latter has prescribed and charged thereof to the following Foreign CPAs:
 - ✓ A foreign CPA called for consultation or for a specific purpose which, in the judgment of the BOA, is essential for the development of the country.
 - ✓ A foreign CPA engaged as professor, lecturer or critic in fields essential to accountancy education in the

Philippines and his/her engagement is confined to teaching only.

- ✓ A foreign CPA who is an internationally recognized expert or with specialization in any branch of accountancy and his/her service is essential for the advancement of accountancy in the Philippines.

Penal Provisions:

- Any person who shall violate any of the provisions of this Act or any of its IRR shall, upon conviction, be punished by:
 - ✓ **Fine** – not less than P 50,000.00, or
 - ✓ **Imprisonment** – for a period not exceeding 2 years, or both.

Standard-Setting Bodies:

- **Local/Domestic:**
 - ✓ **Financial Reporting Standards Council (FRSC)** – accounting standard-setting body/council created by the BOA.

FRSC Composition/Membership:

Chairman (had been or presently a senior practitioner in any of the scope of accounting practice)		1
BOA		1
SEC		1
BSP		1
BIR		1
COA		1
A major organization composed of preparers and users of FS		1
Accredited National Professional Organization of CPAs (APO) – PICPA:		
Public practice	2	
Commerce and industry	2	
Academe/Education	2	
Government	2	8
Total members		15

- ✓ **Auditing and Assurance Standards Council (AASC)** – auditing standard-setting body/council created by the BOA.

AASC Composition/Membership:

Chairman (had been or presently a senior accounting practitioner in public accountancy)		1
BOA		1
SEC		1
BSP		1
COA		1
Association or organization of CPAs in active public practice of accountancy		1
Accredited National Professional Organization of CPAs - PICPA:		
Public practice	6	
Commerce and industry	1	
Academe/Education	1	
Government	1	9
Total members		15

- ✓ **BIR representation.** The BIR, although represented in the FRSC, is not represented in the AASC.
- ✓ **Appointment.** The **Chairman and members of the FRSC** and AASC shall be appointed by the PRC upon the recommendation of the BOA in connection with the APO (PICPA).
- ✓ **Term of office.** The Chairman and members of both the FRSC and AASC shall have a term of **3 years** renewable for another term.
- ✓ **Main function of FRSC and AASC:** To assist BOA in carrying out its powers and functions on monitoring the conditions

affecting the practice of accountancy and adoption of such measures, including promulgation of accounting and auditing standards, rules and regulations and best practices.

Professional and Sectoral Organizations:

- **Philippine Institute of Certified Public Accountant (PICPA)** – the globally-recognized and integrated national professional organization of CPAs in the Philippines accredited by the BOA and the PRC.
 - ✓ **PICPA** is designated as the accredited professional organization (APO) in the Philippines.
 - ✓ The Mission of PICPA is to **enhance the integrity of the accountancy profession**, serve the best interest of its members and other stakeholders, and contribute to the attainment of the country's national objectives.
- PICPA must renew its accreditation **once every three years**.
- **Sectoral Organizations**
 - ✓ Serve the needs of CPAs in different scopes of practice.
 - ✓ Provide seminars, programs and workshops that specifically serve the interests of the CPAs in their respective sectors.
 - ✓ Each sector has its own organization as follows:
 - **Public Practice** – Association of CPAs in Public Practice (ACPAPP)
 - **Commerce and Industry** – Association of CPAs in Commerce and Industry (ACPACI)
 - **Education/Academe** – Association of CPAs in Education (ACPAE)
 - **Government** – Government Association of CPAs (GACPA)

-- END --



QUESTIONS

1. The objectives of the Philippine Accountancy Act of 2004 are the following except
 - a. The standardization and regulation of accounting education
 - b. Examination for registration of certified public accountants
 - c. Supervisions, control and regulation of the practice of accountancy
 - d. Integration of accountancy profession
2. The body mandated by law to promulgate rules and regulations affecting the practice of Accountancy?
 - a. Professional Regulation Commission
 - b. Philippine Institute of Certified Public Accountants
 - c. Professional Regulatory Board of Accountancy
 - d. Commission on Higher Education
3. The members of the Professional Regulatory Board of Accountancy shall be appointed by the
 - a. Philippine Institute of CPAs (PICPA)
 - b. Professional Regulation Commission (PRC)
 - c. President of the Philippines
 - d. Association of CPAs in Public Practice (ACPAPP)
4. Which of the following statements about the composition of the Board of Accountancy is incorrect?
 - a. The four sectors in the practice of Accountancy shall as much as possible be equally represented in the Board
 - b. The Board shall be composed of a chairman and six members
 - c. The members of the board shall be appointed by the President of the Philippines from a list of three recommendees for each position and ranked by the Commission, from a list of five nominees for each position submitted by Accredited Professional Organization (APO)
 - d. The Board shall elect a chairman from among its members to serve for a term of one year
5. The following statements relate to the term of office of the chairman and members of the Board of Accountancy. Which of them is incorrect?
 - a. The chairman and members of the Board of Accountancy shall hold office for a term of three years
 - b. Any vacancy occurring within the term of a member shall be filled up for the unexpired portion of the term only
 - c. Appointment to fill up an expired term is not to be considered as a complete term
 - d. The Board of Accountancy member who has served two successive complete terms as chairman or member shall be eligible for reappointment until the lapse of three years
6. Which of the following is not a qualification of a member of the Board of Accountancy?
 - a. He must be a natural born citizen and a resident of the Philippines
 - b. He must not be a director or officer of the Accredited National Professional Organization of CPAs at the time of his appointment
 - c. He must be of good moral character and must not have been convicted of crimes involving moral turpitude
 - d. He must be a duly registered certified public accountant with at least ten years of experience in public accounting
7. Which of the following is not a function of the Board of Accountancy as specified in the Philippine Accountancy Act of 2004?
 - a. To investigate violations of the Accountancy Law and the rules and regulations promulgated therewith
 - b. To look from time to time into the conditions affecting the practice of the accountancy profession
 - c. To create and direct accrediting agencies that are entrusted the functions of reviewing higher educational institutions' policies and practices leading to accreditation/reaccreditation of BSA program
 - d. To determine and prescribe minimum requirements leading to the admission of candidates to the CPA licensure examination
8. Which of the following is not one of the functions of the Board of Accountancy as specified in RA 9298?
 - a. To look from time to time at the conditions affecting the practice of the accountancy profession
 - b. To appoint members of the AASC
 - c. To investigate violations of RA 9298 and its IRRs
 - d. To determine the prescribed minimum requirements leading to the admission of candidates to the CPA examination



9. The following statements relate to RA 9298. Which statement is true?
 - a. The Professional Regulation Commission has the authority to remove any member of the Board of Accountancy for negligence, incompetence or any other just cause
 - b. Insanity is not a ground for proceeding against a CPA
 - c. A person shall be considered to be in the professional practice of accounting if, as an officer in a private enterprise, he makes decisions requiring professional accounting knowledge
 - d. After three years, subject to certain conditions, the Board of Accountancy may order the reinstatement of a CPA whose certificate of registration has been revoked
10. No person shall serve the Professional Regulatory Board of Accountancy for more than
 - a. 3 years
 - b. 6 years
 - c. 9 years
 - d. 12 years
11. The following statements relate to RA 9298. Which statement is true?
 - a. The Professional Regulatory Commission has the authority to remove any member of the Board of Accountancy for negligence, incompetence or any other just cause
 - b. Insanity is not a ground for proceeding against a CPA
 - c. No person shall be appointed as a member of the Board of Accountancy unless he has been in the practice of accountancy for at least 10 years, among others
 - d. After three years, subject to certain conditions, the Board of Accountancy may order the reinstatement of a CPA whose certificate of registration has been revoked
12. Which of the following is (are) grounds for suspension or removal of members of BOA?
 - I. Neglect of duty or incompetence
 - II. Violation or tolerance of any violation of the CPA's Code of Ethics
 - III. Final judgment of crimes involving moral turpitude
 - IV. Rigging of the Certified Public Accountants licensure examination results
 - a. I, II, III and IV
 - b. I, II and III
 - c. III and IV
 - d. I, III and IV
13. The sector that is most represented in the Auditing and Assurance Standards Council is the
 - a. Commerce and Industry
 - b. Academe
 - c. Public Practice
 - d. Government
14. The standard setting body created by the PRC to promulgate accounting standards that will be generally accepted in the Philippines is known as
 - a. Financial Reporting Standards Council (FRSC)
 - b. Auditing Standards Practices Council (ASPC)
 - c. Accounting Standards Council (ASC)
 - d. Auditing and Assurance Standards Council (AASC)
15. The Financial Reporting Standards Council which is the accounting standards setting body is composed of a chair and
 - a. Fourteen members
 - b. Fifteen members
 - c. Sixteen members
 - d. Seventeen members
16. The chairman and the members of both Financial Reporting Standards Council and Auditing and Assurance Standards Council have a renewable term of
 - a. 4 years
 - b. 2 years
 - c. 3 years
 - d. 5 years
17. The following is deemed a practice of accountancy, except
 - a. Appointment to a position in the government that requires a CPA license as a prerequisite
 - b. Employment as budget officer in a local government unit regardless of the officer being a holder of a CPA license or not
 - c. Teaching professional subject in a collegiate program leading to the degree of Bachelor of Science in Accountancy, or equivalent
 - d. Representing his clients before government agencies on tax and other matters related to accounting
18. Which of the following is not one of the grounds for proceedings against a CPA?
 - a. Gross negligence or incompetence in the practice of his profession
 - b. Engaging in public practice while being employed in a private enterprise
 - c. Insanity
 - d. Immoral or dishonorable conduct
19. Who is not permitted by law to practice accountancy?
 - a. A corporation whose stockholders are all CPAs
 - b. A partnership of CPAs
 - c. An individual CPA practitioner
 - d. A partnership of CPAs with some non-CPA staff



20. Which of the following is not a requisite in applying for the CPA licensure examination?
- Natural-born citizen of the Philippines
 - Good moral character
 - Holder of the degree of Bachelor of Science in Accountancy
 - Has not been convicted of any criminal offense involving moral turpitude
21. Which of the following is incorrect?
- Candidates who fail to obtain a general average of 75% but obtain a rating of at least 75% in at least four subjects shall receive a conditional credit for the subjects passed
 - To successfully pass the licensure examination, the candidates should obtain a general weighted average of at least 75% with no rating lower than 65% in any subject
 - Conditional candidates shall take an examination in the conditional subject (s) within two years from the preceding examination
 - Candidates who failed in three complete examinations must enroll in refresher course consisting of twenty-four units of the subjects given in the licensure examination
22. The Board of Accountancy shall submit to the PRC the ratings obtained by each candidate within _____ days after the examination, unless extended for just cause
- 10
 - 5
 - 2
 - 3
23. The Board, subject to the approval of the Commission, may revise or exclude any of the subjects and their syllabi, and add new ones as the need arises. Provided that the change shall not be more often than every
- 2 years
 - 3 years
 - 4 years
 - 5 years
24. Which of the following is not one of the reasons for not issuing a certificate of registration to a successful examinee? The individual
- Is of unsound mind
 - Had been guilty of immoral and dishonorable conduct
 - Had been convicted by a court of a criminal offense involving moral turpitude
 - All of the given choices
25. The Philippine Accountancy Act of 2004 provides that all working paper made during an audit shall be the property of the auditor. These working papers shall include all of the following, except
- Working papers prepared by the CPA and his staff
 - Analysis and schedule prepared and submitted to the auditor by his client's staff
 - Excerpts or copies of documents furnished to the auditor
 - Any report submitted by the auditor to his client
26. A document under seal issued to an individual by the Professional Regulation Commission signifying that he has complied with all the legal and procedural requirements for such issuance including the passing of the licensure examination for Certified Public Accountants
- Certificate of Accreditation
 - Professional Identification Card
 - Certificate of Registration
 - Professional Seal
27. Which of the following is not included in the seal of a professional accountant?
- Tax identification number
 - Name of the professional accountant
 - Title of the profession
 - Registration number
28. A CPA whose certificate of registration has been revoked
- Can no longer be reinstated
 - Is automatically reinstated as a CPA by the PRC after two years if he acted in an exemplary manner
 - May be reinstated by the Professional Regulation Commission after two years if he has acted in an exemplary manner
 - May be reinstated as a CPA by the Board of Accountancy after two years if he has acted in an exemplary manner
29. The APO shall renew the Certificate of Registration once every how many years after the date of the Resolution granting the petition for re-accreditation and the issuance of the said certificate upon submission of the requirements?
- 2 years
 - 3 years
 - 4 years
 - 6 years
30. Individual CPAs, Firms or Partnerships of CPAs, including partners and staff members shall thereof register with the BOA and the PRC. If the Certificate of Accreditation of ABC and Co., CPAs, was renewed on September 30, 2020, the next renewal must be on or before
- September 30, 2022
 - September 30, 2023
 - December 31, 2022
 - December 31, 2023



31. How many CPD credit units must be accumulated by a registered accounting professionals within 3-year period?
 - a. 15 credit units
 - b. 45 credit units
 - c. 60 credit units
 - d. 90 credit units
32. How many credit units per hour will be earned by a participant in a CPD seminar
 - a. 1 CU per hour
 - b. 3 CU per hour
 - c. 5 CU per hour
 - d. 2 CU per hour
33. Below are the names of four CPA firms and pertinent facts relating to them. Unless otherwise indicated, the individual's names are CPAs and partners and there are no other partners. Which firm name and related facts indicate a violation of the Philippine Accountancy Act of 2016?
 - a. A, B, C, CPAs (A died about 5 years ago; B and C are continuing the firm)
 - b. A and B, CPAs (the name of C, CPA, a third partner is omitted from the firm name)
 - c. A and B, CPAs (B died about three years ago; A is continuing the firm as a sole practitioner)
 - d. A and Co., CPAs (A has ten other partners who are all CPAs)
34. A partner surviving the death or withdrawal of all other partners in a partnership may continue to practice under the partnership name for a period of not more than _____ year (s) after becoming a sole proprietor
 - a. 1
 - b. 2
 - c. 3
 - d. 4
35. Any position in any company in private sector which requires supervision of recording transactions, financial statement preparation and other related functions must be occupied by a duly registered CPA if the company where the above position exists has a paid-up capital and annual revenue of at least
 - a. P10,000,000 and P5,000,000, respectively
 - b. P5,000,000 and P10,000,000, respectively
 - c. P1,000,000 and P5,000,000, respectively
 - d. P5,000,000 and P1,000,000, respectively
36. A CPA certificate is evidence of
 - a. Independence as a professional
 - b. Basic competence at the time of certification
 - c. Membership in the accredited association
 - d. Completion of continuing professional education program
37. Any person who shall violate any of the provisions of the Accountancy Act or any of its implementing rules and regulations promulgated by the Board of Accountancy subject to the approval of the PRC, shall upon conviction, be punished by
 - a. Lethal injection
 - b. A fine of not more than P50,000
 - c. Imprisonment for a period not exceeding two years
 - d. A fine of not less than P50,000 or by imprisonment for a period not exceeding two years or both
38. Which of the following shall be issued to examinees who passed the CPA licensure examination?
 - a. Certificate of registration and death certificate
 - b. Professional identification card and warrant of arrest
 - c. Certificate of registration and professional identification card
 - d. Warrant of arrest and death certificate.

-End-





Auditing Practice (AP)



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AUDIT OF ACCOUNTS RECEIVABLE

PROBLEM 1

Pinnacle Corporation’s general ledger showed the following information:

Accounts Receivable	P550,000 (debit)
Allowance for Doubtful Accounts	16,500 (debit)

On the other hand, the accounts receivable subsidiary ledger shows the following composition:

	Invoice Date	Invoice Amount	Balance
Customer A	12/06	P42,000	
	11/29	63,540	P105,540
Customer B	9/27	36,000	
	8/20	26,760	62,760
Customer C	12/30	20,000	
	12/08	40,000	
	10/25	31,800	91,800
Customer D	11/17	69,420	
	10/09	66,000	135,420
Customer E	12/12	57,600	
	8/20	37,200	94,800
Customer F	9/12	52,200	52,200

Audit notes:

- a. Accounts receivable confirmation letters were sent to the customers. You have noted the following:
b.

<u>Customer</u>	<u>Balance per reply</u>	<u>Remarks</u>
Customer B	P36,000	Invoice dated 8/20 was already settled. Investigation revealed that Customer B’s payment was erroneously posted against Customer E’s account for an invoice dated 12/20 for the same amount.
Customer C	71,800	The difference was due to the invoice dated 12/30. Goods have not yet been received by Customer C as of December 31. Terms of sale is FOB Destination.
Customer E	121,560	“Amount per our records appear to be higher, so please check”.
Customer F	No reply	Customer F is under liquidation and the amount receivable from the company is deemed definitely uncollectible.

- c. The company’s policy with regard uncollectible accounts is summarized below:

<u>Age</u>	<u>Collectibility %</u>
30 days and below	99%
31-60 days	98%
61-90 days	95%
91-120 days	90%
Over 120 days	50%

- d. In the event that the Accounts Receivable general ledger does not reconcile with the subsidiary ledger after corrections are made and the difference cannot be located, you have come into an agreement with the client to adjust the control to the sum of the subsidiaries as miscellaneous income or expense.

Requirements:

- The erroneous posting of Customer B’s payment to Customer E’s account resulted to total accounts receivable being
 - Properly stated
 - Overstated P26,760
 - Understated by P26,760
 - Understated by P53,520
- The correct bad debt expense for the year is
 - P67,113
 - P70,383
 - P100,113
 - P103,393



3. The journal entry to reconcile the balances of the Accounts Receivable general and subsidiary ledger after corrections, if any, will include a
- a. Debit to Sales

b. Credit to Accounts Receivable

c. Credit to Miscellaneous Income

d. No journal entry required
4. What is the audited balance of the Accounts Receivable account as of December 31?
- a. P438,907

b. P443,560

c. P458,707

d. P470,320
5. What is the correct Allowance for Doubtful Accounts balance as of December 31?
- a. P31,413

b. P31,613

c. P44,525

d. P44,725
6. What is the audited net realizable value of the Accounts Receivable as of December 31?
- a. P 438,907

b. P 441,947

c. P 458,707

d. P 470,320

PROBLEM 2

You are auditing the accounts receivable and the related allowance for doubtful accounts of Mr. Accounting Inc. for calendar year 2025. The control account of the aforementioned accounts had the following balances:

Accounts receivable	P1,270,000
Allowance for doubtful accounts	<u>(78,000)</u>
Net realizable value	P1,192,000

Upon your investigation, you found out the following information:

- a. The company’s normal sales term is n/30.
- b. The allowance for doubtful accounts had the following details in the general ledger:

Allowance for Doubtful Accounts			
July 31 Write-off	P 24,000	Jan. 1 Balance	P30,000
		Dec. 31 Provisions	72,000

- c. The subsidiary ledger balances of the company’s account receivable as of December 31 contained the following information:

Debit balances		Credit balances	
Under 1 month	P540,000	ABC Co.	P12,000
1-6 months	552,000	DEF Corp.	21,000
Over 6 months	<u>228,000</u>	GHI, Inc.	<u>27,000</u>
Total	P1,320,000	Total	P60,000

Additional information:

- i. The credit balance of ABC Co. was for an overpayment from the customer. The company delivered additional merchandise to ABC Co. on January 3, 2026 to cover such overstatement.

ii. The credit balance of DEF Corp. was due to a posting error as the amount should have been credit to XYZ Corp. for a 60-day outstanding receivable.

iii. The credit balance of GHI Inc. was a cash advance for a delivery to be made on January 15, 2026.
- d. It was estimated that 1% of accounts receivable under 1 month is doubtful of collection while 2% of accounts receivable under 1-6 months are expected to require an allowance for doubtful accounts. The accounts over 6 months are analyzed as follows:

Definitely uncollectible	P72,000
Doubtful (estimated to be 50% collectible)	36,000
Apparently good but slow (estimated to be 90% collectible)	<u>120,000</u>
Total	P228,000



Requirements:

1. Assuming the difference is immaterial and cannot be located, what is the entry to adjust the difference between the control account and the subsidiary ledger?

a. Sales

10,000

Accounts Receivable

10,000

b. Miscellaneous Expense

10,000

Accounts Receivable

10,000

c. Accounts Receivable

10,000

Miscellaneous Income

10,000

d. No adjustment is necessary since the control account and subsidiary ledger reconcile.
2. The adjusted accounts receivable balance on December 31, 2025 should be

a. P1,212,000

b. P1,227,000

c. P1,239,000

d. P1,260,000
3. The required balance of the allowance for doubtful accounts on December 31, 2025 is

a. P46,020

b. P46,440

c. P64,020

d. P142,020
4. What is the entry to adjust the allowance for doubtful accounts to its required balance?

a. Bad Debt Expense

46,020

Allowance for doubtful accounts

46,020

b. Bad Debt Expense

52,020

Allowance for doubtful accounts

52,020

c. Bad Debt Expense

6,000

Allowance for doubtful accounts

6,000

d. Bad Debt Expense

40,020

Allowance for doubtful accounts

40,020
5. The adjusted bad debt expense for 2025 is

a. P124,020

b. P78,000

c. P118,020

d. P112,020
6. What is the adjusted net realizable value of accounts receivable as of December 31, 2025?

a. P1,180,980

b. P1,213,980

c. P1,114,980

d. P1,174,980



AUDIT OF INVENTORY

PROBLEM 1

You are engaged in the audit of financial statements of JMD Company for the year ended December 31, 2025 and have observed the physical inventory count on December 30, 2025. All merchandise received up to and including December 30 has been included in the physical count which totaled P354,500. As a result of the count, the following cost of sales schedule has been prepared by the client’s accountant:

JMD Company	
Statement of Cost of Sales	
For the fiscal year ended December 31, 2025	
Inventory, January 1, 2025	P235,000
Net purchases (unadjusted)	<u>2,543,900</u>
Cost of goods available for sale	2,778,900
Inventory, December 31, 2025 (per count)	<u>(354,500)</u>
Cost of sales	<u>P2,424,400</u>

The following list of invoices is for purchases of merchandise and are entered in the Purchases Journal for the months of December 2025 and January 2026:

December 2025

Receiving Report No.	Amount	Freight Terms	Date of Invoice / Date of Shipment	Date of Receipt of Merchandise
105	P18,500	FOB shipping point	Dec. 20	Dec. 30
106	7,800	FOB destination	Dec. 25	Jan. 3
107	5,000	FOB destination	Jan. 4	Dec. 29
108	20,500	FOB shipping point	Dec. 25	Dec. 30
109	24,200	FOB destination	Dec. 21	Dec. 30

January 2026

Receiving Report No.	Amount	Freight Terms	Date of Invoice / Date of Shipment	Date of Receipt of Merchandise
110	P4,000	FOB destination	Dec. 29	Dec. 31
111	9,700	FOB destination	Dec. 30	Dec. 30
112	14,440	FOB shipping point	Jan. 2	Jan. 3
113	25,640	FOB shipping point	Dec. 23	Jan. 3
114	14,200	FOB destination	Dec. 27	Jan. 3

As of December 31, 2025, JMD Company reported accounts payable balance of P547,200 before any adjustments. The unadjusted net income for 2025 is P1,000,000.

Requirements:

- As a result of the recording of the accountant, the purchases balance of the company before any adjustments is
 - P5,000 overstated
 - P12,800 overstated
 - P31,540 understated
 - P58,540 understated
- As a result of the recording of the accountant, the ending inventory balance of the company before any adjustments is
 - P5,000 overstated
 - P12,800 overstated
 - P29,640 understated
 - P31,540 understated
- As a result of the recording of the accountant, the cost of sales balance of the company before any adjustments is
 - P1,900 understated
 - P12,800 overstated
 - P50,360 overstated
 - Properly stated
- What is the audited purchases balance to be reported by JMD for the fiscal year ended December 31, 2025?
 - P2,531,100
 - P2,538,900
 - P2,374,040
 - P2,575,440
- What is the audited ending inventory balance to be reported by JMD for the fiscal year ended December 31, 2025?
 - P349,500
 - P384,140
 - P386,040
 - P413,040
- What is the audited cost of sales balance to be reported by JMD for the fiscal year ended December 31, 2025?
 - P2,394,760
 - P2,424,400
 - P2,426,300
 - P2,455,940



7. What is the audited balance of accounts payable to be reported by JMD for the fiscal year ended December 31, 2025?

a. P534,400

b. P542,200

c. P578,740

d. P605,740
8. What is the audited net income to be reported by JMD for the fiscal year ended December 31, 2025?

a. P1,000,000

b. P998,100

c. P968,460

d. P1,027,740

PROBLEM 2

In your audit of the December 31, 2025 financial statements of ABC Company, you found the following inventory-related transactions:

- a. Goods costing P50,000 are on consignment with a customer. These goods were not included in the physical count on December 31, 2025.

b. Goods costing P16,500 were delivered to ABC on January 4, 2026. The invoice for these goods was received and recorded on January 10, 2026. The invoice showed the shipment was made on December 29, 2025, FOB shipping point.

c. Goods costing P21,640 were sold to a customer for P38,950, which were shipped FOB shipping point on December 31, 2025 and were received by the customer on January 2, 2026. These goods were included in the 2025 ending inventory. The sale was recorded in 2026 upon confirmation of receipt of goods by the customer.

d. Goods costing P8,640 were shipped to a customer on December 31, 2025, FOB destination. These goods were delivered to the customer on January 5, 2026 and were not included in the inventory. The sale was properly taken up in 2026.

e. Goods costing P8,600 shipped by a vendor under FOB destination term, were received on January 3, 2026, and thus were not included in the physical inventory. Because the related invoice was received on December 31, 2025, this shipment was recorded as a purchase in 2025.

f. Goods valued at P51,000 were received from a vendor under a consignment term during the year. These goods were included in the physical count.

g. ABC recorded as a 2025 sale a P64,300 shipment of goods to a customer on December 31, 2025, FOB destination. This shipment of goods costing P37,500 was received by the customer on January 5, 2026 and was not included in the ending inventory figure.
- Prior to any adjustments, ABC Company’s ending inventory is valued at P445,000 and the reported sales, purchases, accounts receivable and accounts payable for the year are P1,864,000, P968,700, P691,400 and P536,600, respectively.

• The unadjusted net income and cost of goods sold in 2025 amounted to P2,000,000 and P934,700, respectively.

Requirements: Determine the audited balances of the following accounts for the period ended December 31, 2025.

1. Sales

a. P1,799,700

b. P1,838,650

c. P1,889,350

d. P1,902,950
2. Purchases

a. P960,100

b. P960,800

c. P976,600

d. P985,200
3. Ending Inventory

a. P468,500

b. P476,360

c. P476,400

d. P485,000
4. Cost of Goods Sold

a. P902,600

b. P911,200

c. P919,100

d. P952,600
5. Accounts Receivable

a. P627,100

b. P666,050

c. P716,750

d. P730,350
6. Accounts Payable

a. P528,000

b. P528,700

c. P544,500

d. P553,100
7. Net income

a. P2,006,750

b. P1,990,250

c. P1,930,300

d. P1,998,150



PROBLEM 3

You are engaged in the audit of the inventory of Pinnacle Company as of December 31, 2025. The physical inventory count was taken on the evening of December 29, 2025 rather than on December 31. You have observed the physical inventory count, and as taken, the physical inventory included only merchandise received through December 29. The subsequent compilation of the inventory includes only merchandise physically counted but is not yet recorded in the books of the company.

After having completed appropriate work on the inventory as compiled, you make additional tests to determine:

- a. The correct cut-off of the Purchases account for the year 2025 (it is the company policy to recognize purchases based on freight terms and the passage of title). The ledger balance is P650,000.
- b. The correct amount of the inventory to be stated on a comparative basis with purchases and sales. The inventory summary shows a total of P27,000 based on physical count.

Listed in the table below are certain matters developed in the course of your tests:

December 2025

Invoice Number	FOB Shipping Terms	Date Shipped	Date Received	Amount
140	Destination	Dec. 23	Dec.26	P250
917	Shipping point	Dec.24	Dec.30	310
001	Shipping point	Dec.24	Dec.31	180
130	Destination	Dec.24	Dec.29	550
660	Shipping point	Dec.26	Jan. 2	690
661	Destination	Dec.26	Dec.31	420
048	Destination	Dec.26	Jan. 3	750
367	Shipping point	Dec.27	Dec.30	290
609	Shipping point	Jan. 2	Jan. 4	350

January 2026

Invoice Number	FOB Shipping Terms	Date Shipped	Date Received	Amount
761	Destination	Dec.26	Jan. 2	P680
771	Shipping point	Dec.27	Dec. 30	460
900	Destination	Dec.27	Dec. 29	770
834	Destination	Dec.28	Jan. 2	205
467	Shipping point	Dec.28	Jan. 3	315
998	Shipping point	Dec.29	Dec. 31	595
726	Destination	Dec.29	Dec. 31	610
491	Destination	Dec.31	Jan. 4	375
566	Shipping point	Jan. 2	Jan. 5	805

Audit notes:

- a. The physical inventory compilation includes P750 of merchandise received on consignment from a supplier.
- b. The company has other consigned stocks on hand from various companies which were not included in the physical inventory compilation and which cost P5,200 if purchased.
- c. Shipments to customers on December 31, 2025 were properly recorded on the books as sales. You computed that the cost of these sales is P1,900.
- d. The balance of the company’s inventory account on January 1, 2025 is determined to be P15,000.
- e. The accounts payable on December 31, 2025 in the company’s books has a balance of P125,000.
- f. The unadjusted net income on December 31, 2025 is P500,000.

Requirements: Determine the audited balances of the following accounts.

1. Ending Inventory

a. P26,430

b. P27,300

c. P28,220

d. P30,120
2. Purchases

a. P649,675

b. P649,990

c. P650,585

d. P651,650
3. Cost of Goods Sold

a. P635,780

b. P638,430

c. P639,350

d. P640,410
4. Accounts Payable

a. P124,675

b. P124,990

c. P125,585

d. P126,650
5. Net income

a. P499,570

b. P502,220

c. P499,990

d. P499,110



AUDIT OF INVESTMENTS

PROBLEM 1

On December 31, 2024, TDC Corporation’s statement of financial position showed the following balances of its investments account:

<u>Fair Value Through Profit or Loss (FVPL)</u>	<u>Cost</u>	<u>Market Value</u>
i. 10,000 shares of ABC Corp.	P1,500,000	P1,525,000
ii. 8,000 shares of DEF Inc.	1,100,000	1,056,500
iii. 10%, GHI bonds purchased at face value	500,000	373,500

The interest on GHI bonds is payable semi-annually every January and July.

<u>Fair Value Through Other Comprehensive Income (FVOCI)</u>	<u>Cost</u>	<u>Market Value</u>
i. 10,000 shares of JKL shares	P1,180,000	P1,260,000
ii. 20,000 shares MNO shares	980,000	1,100,000

During 2025, the following transactions took place:

Jan. 1	Received the semi-annual interest from GHI bonds.
March 1	Purchased 3,000 additional shares of ABC Corp. for P459,000 classified as investment at fair value through profit or loss.
April 15	Sold 4,000 shares of DEF Inc. for P138 per share.
May 4	Sold 4,000 shares of JKL Corp. for P124 per share.
July 1	Received semi-annual interest from GHI bonds.
Sept. 1	Purchased 400 of PQR’s 5 year, 12%, P1,000 bonds at 93 plus accrued interest. The bonds pay interest annually every January 1. The bonds was designated as investment at fair value through profit or loss.

The market values of stocks and bonds on December 31, 2025 are as follows:

ABC Corp.	P153.20	JKL Corp.	P110.50
DEF Inc.	P137.00	MNO stocks	P44.00
GHI bonds	82.22	PQR bonds	98.00

Requirements:

- How much is the realized gain or loss on the sale of shares of DEF?
 - P0
 - P2,000
 - P23,750
 - (P23,750)
- How much OCI is transferred to Retained Earnings as a result of sale of shares of JKL?
 - P0
 - P8,000
 - P24,000
 - (P24,000)
- The investment in PQR bonds will be initially recorded at an amount of:
 - P372,000
 - P404,000
 - P432,000
 - P420,000
- How much is the unrealized gain to be reported in the 2025 income statement?
 - P64,950
 - P49,750
 - P10,250
 - P84,950
- How much is the unrealized loss to be reported in the 2025 statement of financial position?
 - P121,000
 - P125,000
 - P129,000
 - P145,000
- What is the carrying value of the investments at fair value through profit or loss (FVPL) on December 31, 2025?
 - P3,100,000
 - P3,257,750
 - P3,342,700
 - P3,354,700
- What is the carrying value of the investments at fair value through other comprehensive income (FVOCI) on December 31, 2025?
 - P1,543,000
 - P1,688,000
 - P1,856,000
 - P1,935,000

PROBLEM 2

During the course of your audit of the financial statements of NJL, Inc. for the year ended December 31, 2025, you found a new account, “Investment in Equity Securities”. Your audit revealed that during 2025, NJL entered all investment-related transactions in this account. Your analysis of this account for 2025 follows:



Date	Transactions	Debit	Credit
<u>A Co. Ordinary Shares</u>			
Feb. 14	Purchased 36,000 shares at P55 per share	P1,980,000	
July 26	Received 3,600 shares as stock dividend (memo entry)		
Sept. 28	Sold the 3,600 shares received on July 26 at P70 per share		P252,000
<u>B Corp. Ordinary Shares</u>			
Apr. 1	Purchased 180,000 shares at P40 per share	7,200,000	
Oct. 28	Received dividend of P1.20 per share		216,000
<u>C, Inc. Ordinary Shares</u>			
Apr. 1	Purchased 12,500 shares at P40 per share	500,000	
Dec. 31	Recorded share in net income	60,000	

Additional information:

- a. The ordinary shares of A Co. were acquired with an intention of generating short-term profits. NJL has made an irrevocable election to present in other comprehensive income subsequent changes in fair value of B Corp. ordinary shares.
- b. On April 1, NJL acquired 40% of the outstanding shares of C, Inc. For the year ended December 31, 2025, C Inc. reported a net income of P150,000. C Inc. paid total cash dividends of P20,000 on December 31.
- c. The fair value for each security on various dates in 2025 are as follows:

<u>Security</u>	<u>Feb. 14</u>	<u>Apr. 1</u>	<u>July 26</u>	<u>Sept. 28</u>	<u>Dec. 31</u>
A	P55		P62	P70	P74
B		P40			P32
C		P40			P45

Requirements:

- 1. What amount should be reported as gain or loss on sale of A. Co. ordinary shares in the income statement of NJL, Inc. for the year ended December 31, 2025?
 - a. P0
 - b. P18,000
 - c. P54,000
 - d. P72,000
- 2. The receipt of 3,600 stock dividend from A Company would result to an increase in the investment balance by:
 - a. P 0
 - b. P 198,000
 - c. P 223,200
 - d. P 252,000
- 3. What is the journal entry to correct the recording of the cash dividend received from B Corporation?
 - a. Cash 216,000
 - Dividend Income 216,000
 - b. Cash 216,000
 - Investment in Equity Securities 216,000
 - c. Investment in Equity Securities 216,000
 - Dividend Income 216,000
 - d. Dividend Income 216,000
 - Investment in Equity Securities 216,000
- 4. What amount of unrealized gain or loss should be reported in the 2025 statement of comprehensive income as component of other comprehensive income?
 - a. P 576,000 gain
 - b. P 576,000 loss
 - c. P 1,440,000 gain
 - d. P 1,440,000 loss
- 5. What amount should be reported as investment in equity securities classified as FVOCI in the statement of financial position on December 31, 2025?
 - a. P 5,760,000
 - b. P 8,424,000
 - c. P 9,000,000
 - d. P 9,864,000
- 6. What amount of investment income from C, Inc. should be reported for the year ended December 31, 2025?
 - a. P 44,100
 - b. P 45,000
 - c. P 58,800
 - d. P 61,200
- 7. What is correct carrying amount of investment in C, Inc. on December 31, 2025?
 - a. P 536,100
 - b. P 537,000
 - c. P 553,200
 - d. P 562,500

PROBLEM 3

NDC, Inc. had the following portfolio of financial assets as of December 31, 2025:



<u>Investment</u>	<u>Acquisition Cost</u>
A Corp. stocks (20,000 shares)	P605,000
B Inc. stocks (40,000 shares)	1,100,000
C Co. 10%, P2,000,000 bonds	1,973,008
D Corp. stocks (50,000 shares)	2,400,000

Audit notes:

- a. The shares of A Corp. were acquired with an intention of generating short-term profits from the share price's fluctuations. The company paid P30.25 per share, which included the P1.25 per share broker's fees and commissions. The shares were acquired on February 20, 2025. A P2 per share cash dividends were received on March 30. These dividends were declared by A Corp. on January 20, 2025 to stockholders as of record date March 1, 2025.
- b. The company paid P27.50 per share, including P0.50 per share broker's fees and commissions on the acquisition of B, Inc.'s stocks on March 1, 2025. These shares were classified as FVOCI. A P3 per share dividends were received from the said shares on May 3, 2025. The dividends were declared on April 1 to stockholders as of record date April 20, 2025.
- c. C Co. bonds, which pay semi-annual interest every June 30 and December 31, were acquired on October 1, 2025 at P1,973,008 when the prevailing market interest rate on similar instruments was at 12%. The bonds will mature on December 31, 2027. The company adopts a business model of holding debt securities to collect contractual cash flows.
- d. D Corp. stocks were acquired at P48 per share, including P3 per share broker's fees and commissions on June 30, 2025. D Corp. had a total of 200,000 shares outstanding on the same date. The company received P5 dividends per share from D Corp. on December 20, 2025.
- e. The following information are available at year-end:

	<u>A Corp.</u>	<u>B, Inc.</u>	<u>C Co.</u>	<u>D Corp.</u>
Net income	P1,200,000	P1,500,000	P2,000,000	P2,240,000
Fair value	P35/share	P25/share	11%	P52/share

Requirements:

- 1. The journal entry to record the acquisition of A Corp. stocks will include a:
 - a. Debit to Investment in A Corp. Stocks for P605,000
 - b. Debit to Expense for P65,000
 - c. Credit to Dividend Income for P40,000
 - d. Debit to Dividend Receivable for P40,000
- 2. At what amount should the B, Inc. stocks be recorded on its date of acquisition?
 - a. P960,000
 - b. P980,000
 - c. P1,080,000
 - d. P1,100,000
- 3. The journal entry to record the acquisition of C Co. bonds will include a:
 - a. Credit to Cash for P1,923,008
 - b. Debit to Interest Receivable for P50,000
 - c. Debit to Investment in C Co. bonds for P2,000,000
 - d. Credit to Interest Income for P50,000
- 4. At what amount should the D Corp. stocks be recorded on its date of acquisition?
 - a. P2,250,000
 - b. P2,400,000
 - c. P2,600,000
 - d. P2,550,000
- 5. The net effect from the equity investments to be recorded in profit or loss for 2025 is:
 - a. P360,000
 - b. P450,000
 - c. P535,000
 - d. P560,000
- 6. The net investment income from the debt investments to be recorded in profit or loss for 2025 is:
 - a. P0
 - b. P50,000
 - c. P57,690
 - d. P91,912
- 7. What is the net effect of all the investments-related transactions on net income of NDC, Inc. in 2025?
 - a. P435,000
 - b. P485,000
 - c. P492,690
 - d. P592,690
- 8. What is correct carrying amount of investments that should be presented as current assets on December 31, 2025?
 - a. P700,000
 - b. P4,130,000
 - c. P6,094,920
 - d. P6,374,920
- 9. What is correct carrying amount of investments that should be presented as non-current assets on December 31, 2025?
 - a. P4,394,920
 - b. P4,640,698
 - c. P5,360,698
 - d. P5,674,920



AUDIT OF PROPERTY, PLANT AND EQUIPMENT (PPE)

PROBLEM 1

Pinnacle Company incurred the following expenditures related to land and building:

Cash paid for land and dilapidated building	P1,000,000
Removal of old building to make room for construction of a new building	50,000
Payment to tenants for vacating old building	15,000
Architect fee for new building	200,000
Building permit for new construction	30,000
Fee for land title search	10,000
Survey before construction of new building	20,000
Excavation before new construction	100,000
New building constructed	6,000,000
Assessment by city for drainage project	5,000
Cost of grading, levelling and landfill	45,000
Driveways and walks to new building from street (part of building plan)	40,000
Temporary quarters for construction crew	80,000
Temporary building to house tools and materials	60,000
Cost of changes during construction to make new building more energy efficient	50,000
Cost of windows broken by vandals	25,000

- Requirements:
- a. Cost of the land
 - b. Cost of the new building

PROBLEM 2

Mr. Accounting Inc. incurred the following expenditures related to the construction of a new office:

Purchase price of land and an old apartment building	P2,000,000
Legal fees, including fee for title search	10,000
Payment of land mortgage and related interest due at time of sale	50,000
Payment of delinquent property taxes assumed	20,000
Cost of razing the apartment building	30,000
Grading and drainage on land site	15,000
Architect fee on new building	200,000
Payment to building contractor	8,000,000
Payment of medical bills of employees accidentally injured while inspecting building construction	10,000
Cost of paving driveway and parking lot	40,000
Cost of trees, shrubs and other landscaping	55,000
Cost of installing lights in parking lot	5,000
Premium for insurance on building during construction	25,000
Cost of open house party to celebrate opening of building	60,000

- Requirements:
- a. Cost of land
 - b. Cost of new building
 - c. Cost of land improvements
 - d. Amount charged to expense



PROBLEM 3

On January 1, 2025, Mr. Accounting Company reported the following property, plant and equipment and accumulated depreciation balances:

	<u>Cost</u>	<u>Accumulated Depreciation</u>
Machinery and equipment	P1,380,000	P367,500
Automobiles and trucks	210,000	114,326
Leasehold improvements	432,000	108,000

Audit notes:

- a. Mr. Accounting Company employs the following depreciation methods and useful lives:
 - Machinery and equipment – straight line; 10 years
 - Automobiles and trucks – 150% declining balance; 5 years
 - Leasehold improvements – straight line
- b. Salvage values are immaterial except for automobiles and trucks which have estimated salvage values equal to 15% of cost.

Additional information:

- a. On July 1, 2025, machinery and equipment were purchased at a total invoice cost of P325,000. Installation cost of P44,000 was incurred.
- b. On August 31, 2025, Mr. Accounting purchased new automobile for P25,000.
- c. On September 30, 2025, a truck with a cost of P48,000 and a carrying amount of P30,000 on December 31, 2024 was sold for P23,500.
- d. On December 31, 2025, a machine with a cost of P17,000, a carrying amount of P2,975 on date of disposition, was sold for P4,000.
- e. Mr. Accounting entered into another 12-year operating lease starting January 1, 2022. The new leasehold improvements were completed on December 31, 2021 and the facility was occupied on January 1, 2022.

Requirements:

- 1. Net gain or loss on sale of property, plant and equipment to be reported in 2025
 - a. P1,025 net gain
 - b. P1,275 net gain
 - c. P2,975 net gain
 - d. P5,475 net loss
- 2. Adjusted balance of the property, plant and equipment as of December 31, 2025
 - a. P1,919,000
 - b. P2,307,000
 - c. P2,351,000
 - d. P2,388,500
- 3. Total depreciation expense for the year ended December 31, 2025
 - a. P138,000
 - b. P185,402
 - c. P221,402
 - d. P245,065
- 4. Audited balance of accumulated depreciation as of December 31, 2025
 - a. P772,453
 - b. P779,203
 - c. P797,203
 - d. P811,228
- 5. Audited carrying amount of the property, plant and equipment as of December 31, 2025
 - a. P1,139,797
 - b. P1,527,797
 - c. P1,578,547
 - d. P1,591,297



PROBLEM 4

Pinnacle Company presented to you the following Property, Plant and Equipment schedule at the beginning of the year in line with your audit for the calendar year 2025:

	Cost	Accumulated Depreciation	Useful Life	Depreciation Method
Land	P4,200,000	-	-	-
Building	P9,000,000	P3,095,100	20 years	Double declining balance
Machinery and equipment	P15,000,000	P6,000,000	10 years	Straight line
Furniture and fixtures	P6,000,000	P3,709,091	10 years	Sum-of-years-digit

Audit notes:

- a. The PPE were acquired at the beginning of 2021 when the company started its operations.
- b. On January 1, 2025, Pinnacle incurred P230,000 in minor repairs on various parts of the building.
- c. On June 30, 2025, an old machinery with an original cost of P2,400,000 was exchanged for a machinery of NDC Company. The fair value of Pinnacle’s machinery was at P1,250,000 while the fair value of NDC’s machinery was at P1,400,000 on the date of exchange. Pinnacle paid additional cash at P200,000 on the exchanged which was deemed to have commercial substance.
- d. On March 1, 2025, some furniture and fixtures were sold for P400,000. These furniture and fixtures were originally acquired at P1,800,000.
- e. New furniture and fixtures were acquired on June 30, 2025 at a price of P2,400,000, payable in 3 equal installments starting June 30, 2026. Pinnacle incurred freight and handling costs of P138,320. The prevailing market rate of interest on this date was 8%. The present value factor of an ordinary annuity of 1 at 8% for 3 periods is 2.5771.

Requirements:

- 6. How much is the gain or loss to be recognized on the exchange of machinery on June 30, 2025?
 - a. P 130,000
 - b. P 70,000
 - c. P 250,000
 - d. P 190,000
- 7. How much is the gain or loss to be recognized on the sale of furniture and fixtures on March 1, 2025?
 - a. P 650,000
 - b. P 254,545
 - c. P 680,000
 - d. P 287,273
- 8. The new furniture acquired on June 30, 2025 should be recorded at a cost of
 - a. P 2,061,680
 - b. P 2,538,320
 - c. P 2,400,000
 - d. P 2,200,000
- 9. What is the carrying value of the building on December 31, 2025?
 - a. P 7,200,000
 - b. P 4,782,969
 - c. P 5,314,410
 - d. P 5,521,410
- 10. What is the carrying value of the machinery and equipment on December 31, 2025?
 - a. P 7,677,500
 - b. P 7,797,500
 - c. P 7,487,500
 - d. P 7,867,500
- 11. What is the carrying value of the furniture and fixtures on December 31, 2025?
 - a. P 3,145,454
 - b. P 3,178,182
 - c. P 3,453,018
 - d. P 3,109,709
- 12. The total depreciation expense to be recognized for the calendar year 2025 is
 - a. P 2,721,325
 - b. P 2,733,899
 - c. P 2,581,172
 - d. P 2,743,899



AUDIT OF INTANGIBLE ASSETS

PROBLEM 1

The following account balances are excerpt from Pinnacle Corporation’s trial balance for the audit period ended December 31, 2024:

Patent	P4,940,000
Licensing agreement	1,920,000
Trademark	1,606,000
Leasehold improvements	1,300,000

Audit notes:

- a. The patent for Pinnacle’s manufacturing process was acquired on January 1, 2024 at a cost of P3,740,000. An additional amount of P1,387,000 was spent on December 31, 2024 for repairs on machinery covered by the patent and charged to the Patent account. The repairs were necessarily incurred to bring back the said machinery to its original working condition. The useful life of the patent is its legal life of 20 years.
- b. Pinnacle purchased the licensing agreement on January 1, 2023. The Licensing Agreement account balance included the purchase price of P2,160,000 and P240,000 cost to train employees at the inception of the licensing agreement. The license has been amortized over the agreement term which is 10 years.
- c. A trademark was purchased by Pinnacle for P1,280,000 on July 1, 2023. Expenditures for the successful litigation in defense of the trademark totaled to P326,000 were paid on July 1, 2025 and were charged to the Trademark account. The trademark was estimated to have an indefinite life. By the end of 2025, the company estimated to general annual net future cash flow from the continued use of the trademark at P90,000. The prevailing market rate of interest on this date was at 9%.
- d. A 10-year non-renewable lease was signed January 1, 2025 for the leased building that Pinnacle used in manufacturing operations. The Leasehold Improvement account includes: (1) P900,000 cost of improvements which was completed on March 1, 2025 with a total estimated useful life of 5 years; and (2) P400,000 lease rights paid for the exclusive right to occupy the leased property for the duration of the lease term without the lessor having the right to lease it out to other third parties.
- e. No amortization or depreciation is recognized yet on the lease-related assets. Pinnacle uses the straight-line method with zero residual value for all depreciation and amortization of assets.

Based on the above information and on your audit, answer the following requirements:

- 1. What is the correct carrying value of the Patent as of December 31, 2025?
 - a. P3,366,000
 - b. P3,553,000
 - c. P4,680,000
 - d. P4,753,000
- 2. What is the correct carrying value of the Licensing Agreement as of December 31, 2025?
 - a. P1,334,000
 - b. P1,512,000
 - c. P1,536,000
 - d. P1,728,000
- 3. What is total retroactive adjustment to beginning retained earnings in 2025 related to the Licensing Agreement account?
 - a. P0
 - b. P180,000
 - c. P192,000
 - d. P216,000
- 4. What is the correct carrying value of the Trademark as of December 31, 2025?
 - a. P768,927
 - b. P1,000,000
 - c. P1,280,000
 - d. P1,606,000
- 5. What is the total expense to be recognized in relation to the lease agreement for 2025?
 - a. P180,000
 - b. P190,000
 - c. P200,000
 - d. P220,000
- 6. What is the total carrying amount of intangible assets to be presented in the balance sheet as of December 31, 2025?
 - a. P5,878,000
 - b. P6,238,000
 - c. P6,518,000
 - d. P6,988,000



PROBLEM 2

ABC Company reported the following intangibles in its December 31, 2024 statement of financial position:

Patent	P200,000
Copyright	400,000
Trademark	350,000
Computer Software	100,000
Goodwill	900,000

The company’s accountant determines the patent has an expected life of 10 years and no expected residual value, and that it will generate approximately equal benefits each year. On the other hand, the copyright and trademark have a legal life of 50 years and 10 years, respectively, but the company expects to use the copyright and the trademark for the foreseeable future.

The accountant knows that the computer software has been used by the company in 120 sales offices and the company has replaced the software in 60 offices in 2025 and expects to replace the software in 40 more offices in 2026 and the remainder in 2027.

On December 31, 2025, there are no indications of impairment on the patent and computer software. The following information relates to the other intangible assets:

- a. Because of the rampant piracy, the copyright is expected to generate cash flows of just P8,000 per year.
- b. The trademark is expected to generate cash flows of P15,000 per year.
- c. The goodwill is associated with one of ABC’s reporting unit. The cash flows expected to generate by the reporting unit is P200,000 per year for the next 25 years. The reporting unit has a carrying amount of P2,100,000 excluding goodwill.

The appropriate discount rate for all the above items is 5%. The present value of an ordinary annuity of 1 at 5% for 25 periods is 14.0939.

Requirements:

- 7. What is the total amortization expense to be recognized on the intangible assets in 2025?
 - a. P20,000
 - b. P70,000
 - c. P88,750
 - d. P107,500
- 8. What is the total loss on impairment to be recognized on the intangible assets in 2025?
 - a. P433,720
 - b. P452,470
 - c. P471,220
 - d. P530,280
- 9. What is the carrying amount of goodwill on December 31, 2025?
 - a. P659,720
 - b. P718,780
 - c. P855,000
 - d. P900,000
- 10. What is the carrying amount of the patent on December 31, 2025?
 - a. P160,000
 - b. P180,000
 - c. P190,000
 - d. P200,000
- 11. What is the carrying amount of the copyright on December 31, 2025?
 - a. P156,800
 - b. P160,000
 - c. P392,000
 - d. P400,000
- 12. What is the carrying amount of the trademark on December 31, 2025?
 - a. P270,000
 - b. P300,000
 - c. P315,000
 - d. P350,000
- 13. What is the carrying amount of the computer software on December 31, 2025?
 - a. P16,667
 - b. P25,000
 - c. P50,000
 - d. P100,000



AUDIT OF LIABILITIES

PROBLEM 1

You were able to obtain the following from the accountant for Pinnacle Corporation related to the company’s liabilities as of December 31, 2025.

Accounts payable	P 650,000
Notes payable – trade	190,000
Notes payable – bank	800,000
Wages and salaries payable	15,000
Interest payable	?
Mortgage notes payable – 10%	600,000
Mortgage notes payable – 12%	1,500,000
Bonds payable	2,000,000

The following additional information pertain to these liabilities.

- a. The trade notes payable is due within six months from the end of the reporting period.
- b. Bank notes payable include two separate notes payable to ABC Bank.
 - i. A P300,000, 8% note issued on March 1, 2023, payable on demand. Interest is payable every six months.
 - ii. A 1-year, P500,000, 11% note issued on January 1, 2025. On December 30, 2025. Pinnacle negotiated a written agreement with ABC Bank to replace the note with a 2-year, P500,000, 10% note. The interest was paid on December 31, 2025.
- c. The 10% mortgage note was issued on October 1, 2022, with a term of 10 years. Terms of the note give the holder the right to demand immediate payment if the company fails to make a monthly interest payment within 10 days of the date the payment is due. As of December 31, 2025, Pinnacle is three months behind in paying its required interest payment.
- d. The 12% mortgage note was issued on May 1, 2014, with a term of 20 years. The current principal amount due is P1,500,000. Principal and interest are payable annually on April 30. A payment of P220,000 is due April 30, 2026. The payment includes interest of P180,000.
- e. The bonds payable is a 10-year, 8% bonds, issued on June 30, 2016. Interest is payable semi-annually every June 30 and December 31.

Based on the above and the result of your audit, answer the following:

- 1. Interest payable as of December 31, 2025 is
 - a. P143,000
 - b. P155,000
 - c. P203,000
 - d. P215,000
- 2. The portion of the Note Payable bank to be reported under current liabilities as of December 31, 2025 is
 - a. P0
 - b. P300,000
 - c. P500,000
 - d. P800,000
- 3. Total current liabilities as of December 31, 2025 is
 - a. P3,938,000
 - b. P3,950,000
 - c. P3,998,000
 - d. P4,138,000
- 4. Total noncurrent liabilities as of December 31, 2025 is
 - a. P1,760,000
 - b. P1,960,000
 - c. P2,560,000
 - d. P3,960,000

PROBLEM 2

ABC Company is in the business of selling appliances. The company’s fiscal year ends on March 31. The following information relates to the obligations of the company as of March 31, 2025:

Notes payable

ABC has signed several long-term notes with financial institutions. The maturities of these notes are given below. The total unpaid interest for all these notes amounts to P408,000 on March 31, 2025.

Due date	Amount
April 31, 2025	P720,000
July 31, 2025	1,080,000
September 1, 2025	500,000
February 1, 2026	580,000
April 1, 2026 to March 31, 2027	<u>3,240,000</u>
	P6,120,000



Estimated warranties

ABC has a one-year product warranty on some selected items. The estimated warranty liability on sales made during the 2023-2024 fiscal year and still outstanding as of March 31, 2024, amounted to P302,400. The warranty costs on sales made from April 1, 2024 to March 31, 2025, are estimated at P756,000. The actual warranty costs incurred during 2024-2025 fiscal year are as follows:

Warranty claims honored on 2023-2024 sales	P302,400
Warranty claims honored on 2024-2025 sales	<u>342,000</u>
Total	P644,400

Trade accounts payable

Accounts payable for supplies, goods and services purchases on open account amount to P622,000 as of March 31, 2025, net of P50,000 debit balances in accounts payable.

Dividends

On March 10, 2025, ABC’s board of directors declared a cash dividend of P0.30 per ordinary share and a 10% ordinary share dividend. Both dividends were to be distributed on April 5, 2025 to shareholders on record at the close of business on March 31, 2025. As of March 31, 2025, ABC has 6 million, P2 par value, ordinary shares issued outstanding.

Bonds payable

ABC issued P6,000,000, 12% bonds, on October 1, 2016 at face value. The bonds will mature on October 1, 2026. Interest is paid semi-annually on October 1 and April 1.

Based on the forgoing information, determine the adjusted balance of the following as of March 31, 2025:

5. Estimated warranty payable

a. P302,400

b. P414,000

c. P786,000

d. P1,058,400
6. Bonds interest payable

a. P 0

b. P180,000

c. P300,000

d. P360,000
7. Total current liabilities

a. P4,734,000

b. P6,126,000

c. P6,534,000

d. P7,734,000
8. Total noncurrent liabilities

a. P9,000,000

b. P9,108,000

c. P9,132,000

d. P9,240,000

PROBLEM 3

You are auditing the financial statements of Mr. Accounting Inc. for the year ended December 31, 2025. The liability section of the company’s balance sheet shows the following information:

Accounts payable	P250,000
Warranty liability	10,000
Premiums payable	242,000
Bonds payable	851,706
Liability under finance lease	5,400,000

Upon further investigation on the liabilities account, you discovered the following information:

Accounts Payable

You rendered purchases cut-off on the company’s purchases transactions from December 15 to January 10. The results of such cut-off test are summarized below:

Receiving Report No.	Amount	Shipment Terms	Shipment Date	Date of Receipt of Goods
2631	P5,500	FOB Shipping point	12/15/25	12/16/25
2632	6,000	FOB Shipping point	12/17/25	12/20/25
2633	7,900	FOB Destination	12/21/25	12/23/25
2635	8,900	FOB Destination	12/26/25	12/30/25
2636	10,000	FOB Shipping point	12/28/25	12/31/25
2637	8,000	FOB Shipping point	12/29/25	1/2/26
2638	9,500	FOB Destination	12/30/25	12/31/25
2639	10,500	FOB Destination	1/2/26	1/5/26
2640	11,000	FOB Shipping point	1/5/26	1/10/26
2641	12,000	FOB Shipping point	1/7/26	1/11/26
2642	15,000	FOB Destination	1/10/26	1/15/26



- The inventory count procedures were done on December 31, 2025 and documents cut-off shows that the last receiving report used and recorded for the current year by the company is Receiving Report No. 2635.
- Receiving Report No. 2634 is for a shipment made on December 27, 2025 under FOB shipping point. The related invoice amounting to P12,500 was misplaced and was recovered only on January 5, 2026 and was recorded thereafter.

Warranty Liability

The company has a two-year warranty on its products. The warranty estimates in the past years were at 5% of net sales. During the current year, because of increased returns, the company decided to increase warranty estimates at 6% of its total net sales, two-thirds (2/3) of which is expected to be incurred during the year of sale and one-third (1/3) on the year following the year of sale. The summary of the company's total sales and actual warranty costs incurred for the past three years are presented below (assume sales were made evenly throughout the year):

	2023	2024	2025
Net sales	P8,000,000	P9,050,000	P10,550,000
Actual warranty costs paid	375,000	467,500	310,000

The company is yet to update its warranty liabilities as of December 31, 2025.

Premiums Payable

The premiums payable was the accrued amount on December 31, 2024 for a promotional program the company has started in 2024. For every 5 product labels the customer surrenders plus P50, the customer receives a specially designed shirt which the company purchases at cost of P160/unit. Details about the said promotional program in 2024 and 2025 are as follows:

	2024	2025
Sales in units	50,000	60,000
Premiums purchased in units	3,000	6,000
Inventory of premiums in units	1,200	2,100

The company estimates that from the labels issued with products sold, 40% shall be presented for the said promotional redemption plan.

Bonds Payable

The company issued P800,000 of 12% face value bonds for P851,706. The bonds are dated and issued on April 1, 2025 and are due March 31, 2029. Interest is payable semi-annually on September 30 and March 31. The company sold the bonds to yield 10%.

Liability under Finance Lease

The company leases one of its warehouses from ABC, Inc. The terms of the lease provide for minimum lease payments of P150,000 per quarter, payable at the beginning of the quarter. The initial lease term runs for ten years. The lease was signed and the warehouse was occupied on January 1, 2025. The company recorded the lease liability at the total amount expected to be paid for the 10-year period and charges the same for the quarterly payments made.

The interest rate stated in the lease agreement is 8%. The present value of an annuity due of 1 at 2% for 40 periods is 27.9026.

Requirements:

9. What is the correct balance of accounts payable as of December 31, 2025?
 - a. P260,000
 - b. P272,500
 - c. P282,000
 - d. P290,000
10. What is the correct balance of warranty liability as of December 31, 2025?
 - a. P308,000
 - b. P318,000
 - c. P323,000
 - d. P333,000
11. What is the correct balance of premiums payable as of December 31, 2025?
 - a. P143,000
 - b. P171,000
 - c. P209,000
 - d. P304,000
12. How much is the carrying value of the bonds payable as of December 31, 2025?
 - a. P840,606
 - b. P840,817
 - c. P843,448
 - d. P843,584
13. What is the balance of the liability under finance lease to be presented as non-current liabilities as of December 31, 2025?
 - a. P3,520,252
 - b. P3,616,406
 - c. P3,823,328
 - d. P3,912,160
14. What is the total amount of current liabilities to be presented in relation to the liability under finance lease and bonds payable as of December 31, 2025?
 - a. P0
 - b. P48,000
 - c. P303,076
 - d. P327,076



AUDIT OF SHAREHOLDERS' EQUITY

PROBLEM 1

The shareholders' equity section of Pinnacle Corporation's statement of financial position as of December 31, 2024, is as follows:

Ordinary share capital, P10 par value (authorized 2,000,000 shares, issued and outstanding 400,000 shares)	P4,000,000
20%, non-cumulative preferred share capital, P5 par value (authorized 1,000,000 shares, issued 200,000)	1,000,000
Share premium - Ordinary	1,800,000
Share premium - Preferred	600,000
Unrealized holding gain (Loss) on FVOCI investments	(400,000)
Retained earnings	<u>6,000,000</u>
TOTAL	P13,000,000

The following transactions occurred during 2025:

- Jan. 5 The company issued 100,000 ordinary shares for P15 per share and 50,000 preferred shares for P10 per share.
- Feb. 16 50,000 previously unissued preferred shares were subscribed at P12 per share.
- Mar. 25 20,000 previously unissued ordinary shares were issued in exchange for an equipment with a fair market value of P500,000. The company incurred share issue costs at P20,000.
- Apr. 20 Reacquired 40,000 ordinary shares as treasury shares at P18 per share.
- May 5 The company declared a 3-for-2 stock split on ordinary shares.
- Jun. 30 The company declared and paid cash dividends to preferred shares based on the stated dividend rate and P0.50 cash dividends to ordinary shareholders.
- Jul. 30 Reissued half of the treasury shares at P16 per share.
- Aug. 30 A 10% ordinary stock dividend was declared and issued to ordinary shareholders at a time when the market value is at P17 per share.
- Sep. 16 Collected full payments on 80% of the preferred shares subscribed on February 16 on the due date. The remainder of the subscribers on the preferred shares defaulted.
- Dec. 15 The company declared and paid P0.70 cash dividends to ordinary shareholders.
- Dec. 31 The company's investment in equity securities (originally acquired at a total cost of P1,300,000) had a total fair value of P1,500,000 at year-end. There were no acquisitions or disposals of investments during the year.
- Dec. 31 Net income reported for the year amounted to P3,510,000.

Requirements: Determine the ending balances of the following accounts.

- 1. Ordinary share capital
 - a. P5,710,000
 - b. P5,920,000
 - c. P5,950,000
 - d. P5,980,000
- 2. Preference share capital
 - a. P1,250,000
 - b. P1,300,000
 - c. P1,450,000
 - d. P1,500,000
- 3. Share premium
 - a. P4,435,000
 - b. P4,505,000
 - c. P4,355,000
 - d. P4,612,500
- 4. Treasury shares
 - a. P240,000
 - b. P360,000
 - c. P480,000
 - d. P720,000
- 5. Unrealized gain (loss) on FVOCI investments
 - a. (P400,000)
 - b. (P600,000)
 - c. P200,000
 - d. P600,000
- 6. Unappropriated retained earnings
 - a. P3,127,500



- b. P5,437,500
- c. P6,533,400
- d. P6,637,500

PROBLEM 2

Your audit client, ABC Company is a public entity whose shares are traded in the stock exchange market. On December 31, 2024, ABC had 3,000,000 authorized, P10 par value, ordinary shares, of which 1,000,000 shares were issued and outstanding. The equity accounts on December 31, 2024 had a following balances.

Ordinary share capital	P10,000,000
Share premium	3,750,000
Retained earnings	3,250,000

Transactions during 2025 and other information relating to the equity accounts were as follows:

- a. On January 2, 2025, ABC issued at P54 per share, 50,000 shares of P50 par value, 9% cumulative convertible preference shares. Each preference share is convertible into two ordinary shares. ABC had 300,000 authorized shares of preference shares.
- b. On February 1, 2025, ABC reacquired 10,000 ordinary shares for P16 per share.
- c. On April 30, 2025, ABC sold 250,000, P10 par value, ordinary shares (previously unissued) to the public at P17 per share.
- d. On June 15, 2025, ABC declared a cash dividend of P1 per share on ordinary shares, payable on July 15, 2025, to shareholders of record on July 1, 2025.
- e. On November 10, 2025, ABC sold 5,000 treasury shares for P21 per share.
- f. On December 15, 2025, ABC declared the yearly cash dividend on preference share, payable on January 15, 2026, to shareholders of record on December 31, 2025.
- g. On January 20, 2026, before the books were closed for 2025, ABC became aware that the ending inventories on December 31, 2024 were understated by P150,000. The tax rate is 30%.
- h. After correcting the beginning inventory, the net income for 2025 was P2,250,000.

Based on the above and the result of your audit, determine the following as of December 31, 2025:

- 7. Ordinary share capital
 - a. P2,500,000
 - b. P10,000,000
 - c. P12,500,000
 - d. P15,000,000
- 8. Share premium
 - a. P5,500,000
 - b. P5,525,000
 - c. P5,700,000
 - d. P5,725,000
- 9. Unappropriated retained earnings
 - a. P3,955,000
 - b. P4,035,000
 - c. P4,060,000
 - d. P4,125,000
- 10. Treasury shares
 - a. P50,000
 - b. P55,000
 - c. P80,000
 - d. P160,000
- 11. Total shareholders' equity
 - a. P22,190,000
 - b. P24,690,000
 - c. P24,785,000
 - d. P24,840,000



PROBLEM 3

In your audit of NJL Corporation for the calendar year ended December 31, 2025, you discovered the breakdown of the company’s Retained Earnings account:

Balance, January 1	P7,400,000
Unrealized holding loss on financial assets held at fair value through other comprehensive income (FVOC)	(300,000)
Inventory fire loss	(250,000)
Impairment loss on machinery	(650,000)
25% stock dividends (declared on 100,000 shares outstanding at market value of P112 per share)	(2,800,000)
Loss on sale of equipment	(200,000)
Prior period error correction	(1,000,000)
Loss on retirement of ordinary shares as treasury	(1,050,000)
Gain on sale of ordinary shares at excess over par	950,000
Gain on pre-mature retirement of bonds payable	400,000
Unrealized holding gain on financial assets held at fair value through profit or loss (FVPL)	800,000
Proceeds from sale of donated shares (originally issued at P500,000)	800,000
Net income for the year	9,000,000
Appropriation for treasury shares (at cost)	(450,000)

Audit notes:

- a. The 25% stock dividends on ordinary shares with par value of P100 were declared on November 1, 2025 distributable to stockholders on January 15, 2026 of record on December 1, 2025. NJL’s stocks were selling at P105 on November 1, P110 on December 1, and P112 on December 31.
- b. The company’s Share Premium from Treasury Stock Transaction amounted to P750,000.
- c. The company’s management decided to change its inventory costing method from the weighted average (WAVE) to the first-in, first-out (FIFO) method during the current year. The inventory balances under two methods are as follows:

	Ending Inventory, 2024	Ending Inventory, 2025
WAVE	2,500,000	1,900,000
FIFO	2,600,000	2,200,000

The company has yet to reflect the said changes in its current year financial statements.

Requirements:

- 12. How much is the audited beginning retained earnings in 2025?
 - a. P6,400,000
 - b. P6,500,000
 - c. P7,400,000
 - d. P7,500,000
- 13. How much is the audited net income for the year 2025?
 - a. P9,100,000
 - b. P9,300,000
 - c. P9,400,000
 - d. P9,750,000
- 14. How much is the audited ending retained earnings in 2025?
 - a. P12,250,000
 - b. P12,550,000
 - c. P12,875,000
 - d. P13,000,000
- 15. Based on the above information, what is the net adjustment to Additional Paid-in Capital account for the year?
 - a. P100,000
 - b. P200,000
 - c. P1,000,000
 - d. P1,750,000
- 16. Assuming the paid-in capital of the company is equal to P10,000,000 at the end of the year, what is the total shareholders’ equity of NJL Corporation in 2025?
 - a. P 22,500,000
 - b. P 22,800,000
 - c. P 23,250,000
 - d. P 23,700,000



AUDIT OF CASH

PROBLEM 1

As the representative of your audit firm, you were assigned to verify the petty cash on hand of Pinnacle Company in the morning of January 4, 2026. You began to count at 9:00 A.M. in the presence of the company’s cashier. While counting, you found currencies in paper bills and coins together with checks, vouchers, and other items, which are listed below:

Bills:

P100	25 pieces
P50	130 pieces
P20	142 pieces

Coins:

P10	1 roll and 10 loose (20 pieces to a roll)
P5	4 rolls (50 pieces to a roll)
P1	2 rolls and 29 loose (50 pieces to a roll)

Checks:

<u>Maker</u>	<u>Date</u>	<u>Payee</u>	<u>Amount</u>
A, Asst. Manager	12/22/21	Pinnacle Company	P1,200
B, Cashier	12/27/21	Pinnacle Company	800

IOUs:

<u>Name</u>	<u>Date</u>	<u>Amount</u>
C, Janitor	12/19/21	P700
D, Employee	12/21/21	500
E, Bookkeeper	12/23/21	300

Petty cash vouchers:

<u>Payee</u>	<u>Date</u>	<u>Account charged</u>	<u>Amount</u>
F, Messenger	12/15/21	Advances to employees	P200
G, Carpenter	12/19/21	Repairs	900
XYZ Company	12/16/21	Supplies	290
J&T	12/17/21	Freight-in	365
Shopee	12/17/21	Supplies (postage stamps)	600
Lazada	12/20/21	Miscellaneous expenses	308

Your investigation also disclosed the following:

- a. The balance of petty cash fund per books is P18,000.
- b. Cash sales of January 2, 2026 amounted to P17,300 per sales records while the cash receipts book and deposit slips showed that only P15,300 was deposited in the bank on January 3, 2026.
- c. The following pay envelopes of employees had been opened and the money removed. Each envelope was marked “unclaimed”.

H	P665
I	495

Requirements:

- 1. The cash overage (shortage) on the petty cash fund is:
 - a. (P1,728)
 - b. (P3,160)
 - c. P568
 - d. P1,432
- 2. What is the adjusted petty cash fund balance on December 31, 2025?
 - a. P10,677
 - b. P12,109
 - c. P12,405
 - d. P13,269

PROBLEM 2

In connection with your audit of Mr. Accounting Inc. for the year ended December 31, 2025, you gathered the following information:

- a. The company’s trial balance as of December 31, 2025 include the following accounts:
 - Cash in bank – BPI
 - Cash in bank – BDO (restricted account for plant expansion, expected to be disbursed in 2026)
 - Petty cash fund
 - Time deposit, placed December 20, 2025 and due March 20, 2026

P748,320
700,000
30,000
5,000,000



Money market placement, placed December 28, 2025 and due April 28, 2026 2,500,000

- b. The company maintains its current account with BPI. The bank statement on December 31, 2025 showed a balance of P638,340. Your audit of the company’s account with BPI revealed the following:
- i. A check for P22,500 received from a customer whose account is current had been deposited and then returned by the bank on December 28, 2025. No entry was made for the return of this check. The customer replaced the check on January 15, 2026.
 - ii. A check for P5,720 was cleared by the bank as P7,520. The bank made the correction on January 2, 2026.
 - iii. A check for P3,500 representing payment of an employee advance was received and deposited on December 27, 2025 but was not recorded until January 3, 2026.
 - iv. Various debit memos for drafts purchased for payment of importation of equipment totaling P230,000 were not recorded. These purchases were previously set up as accounts payable. Said equipment arrived in December 2025.
 - v. Interest earned on the bank balance for the 4th quarter of 2025 amounting to P1,950 was not recorded.
 - vi. Bank service charged totaling P1,260 were not recorded.
 - vii. Deposits-in-transit and outstanding checks as of December 31, 2025 totaled P136,250 and P276,380, respectively.
 - viii. Postdated checks totaling P67,300 were included in the deposits-in-transit. These represent collections of current accounts receivable from customers. The checks were actually deposited on January 5, 2026.
- c. Various expenses from the company’s petty cash fund dated December 2025 totaled P16,250, while those dated January 2026 amounted to P5,903. Another disbursement from the fund dated December 2025 was a cash advance to an employee amounting to P3,500. A replenishment of the petty cash fund was made on January 8, 2026.

Requirements:

- 3. What is the adjusted Cash in bank – BPI balance on December 31, 2025?
 - a. P429,110
 - b. P432,710
 - c. P500,010
 - d. P748,320
- 4. The compound journal entry to adjust the Cash in bank – BPI balance at year-end should include a debit to:
 - a. Interest expense for P1,950
 - b. Accounts receivable for P86,300
 - c. Accounts receivable for P89,800
 - d. Accounts payable for P228,200
- 5. What is the adjusted Petty cash fund balance on December 31, 2025?
 - a. P4,347
 - b. P10,250
 - c. P24,097
 - d. P30,000
- 6. The net effect on the company’s net income in 2025 of all the adjustments on various cash accounts is:
 - a. P690
 - b. P2,810
 - c. P3,657
 - d. P15,560
- 7. What is the total amount of Cash and Cash Equivalents to be shown in the Statement of Financial Position on December 31, 2025?
 - a. P5,439,360
 - b. P5,442,960
 - c. P6,142,960
 - d. P7,942,960

PROBLEM 3

ABC Company provided the following data for the month of December:

	November 30	December 31
Cash in bank account balances	P2,032,000	P3,160,000
Bank statement balance	1,890,000	2,900,000
Bank debits		1,080,000
Bank credits		?
Book debits		?
Book credits	1,440,000	
Outstanding checks	180,000	592,000
Deposit in transit	80,000	498,000
Check erroneously charged by bank against entity’s account and corrected in subsequent month	40,000	50,000
Bank service charge	2,000	4,000
Note recorded as cash receipt by entity when placed with bank for collection and note is actually collected by bank in subsequent month and credited by bank to entity’s account in same month	200,000	300,000



- 8. How much is the unadjusted receipts per book for the month of December?
 - a. P1,440,000
 - b. P2,568,000
 - c. P2,032,000
 - d. P3,160,000
- 9. How much is the unadjusted receipts per bank for the month of December?
 - a. P1,080,000
 - b. P1,890,000
 - c. P2,090,000
 - d. P2,900,000
- 10. How much is the adjusted cash in bank balance as of November 30?
 - a. P1,442,000
 - b. P1,830,000
 - c. P2,468,000
 - d. P2,856,000
- 11. How much is the adjusted cash in bank balance as of December 31?
 - a. P1,442,000
 - b. P1,830,000
 - c. P2,468,000
 - d. P2,856,000
- 12. How much is the adjusted receipts for the month of December?
 - a. P1,442,000
 - b. P1,830,000
 - c. P2,468,000
 - d. P2,856,000
- 13. How much is the adjusted disbursements for the month of December?
 - a. P1,442,000
 - b. P1,830,000
 - c. P2,468,000
 - d. P2,856,000

PROBLEM 4

Mastery Company provided the following data concerning the cash records for the months of January and February:

	January 31	February 28
Book balance	1,900,000	?
Total cash receipts per book		1,400,000
Total cash disbursements per book		2,400,000
Bank balance	2,100,000	?
Total charges in bank statement		2,500,000
Total credits in bank statement		1,200,000
NSF check	60,000	40,000
Collections of accounts receivable not recorded by entity and corrected in subsequent month	30,000	50,000
Overstatement of check in payment of salaries corrected in subsequent month	90,000	120,000
Deposit in transit	130,000	260,000
Outstanding checks	270,000	30,000

- 14. How much is the unadjusted balance per book as of February 28?
 - a. P900,000
 - b. P1,400,000
 - c. P1,900,000
 - d. P2,400,000
- 15. How much is the unadjusted balance per bank as of February 28?
 - a. P800,000
 - b. P1,200,000
 - c. P2,100,000
 - d. P2,500,000
- 16. How much is the adjusted cash in bank balance as of January 31?
 - a. P1,030,000
 - b. P1,330,000
 - c. P1,960,000
 - d. P2,260,000
- 17. How much is the adjusted cash in bank balance as of February 28?
 - a. P1,030,000
 - b. P1,330,000
 - c. P1,960,000
 - d. P2,260,000
- 18. How much is the adjusted receipts for the month of February?
 - a. P1,030,000
 - b. P1,330,000
 - c. P1,960,000
 - d. P2,260,000
- 19. How much is the adjusted disbursements for the month of February?
 - a. P1,030,000
 - b. P1,330,000
 - c. P1,960,000
 - d. P2,260,000



CORRECTION OF ERRORS

PROBLEM 1

You have engaged to review the records and prepare corrected financial statements of Pinnacle Corporation. The December 31, 2025 Statement of Financial Position is shown below:

Pinnacle Corporation
Statement of Financial Position
December 31, 2025

<u>Assets</u>	
Cash	P15,000
Accounts receivable	30,000
Notes receivable	9,000
Inventory	<u>75,000</u>
Total	P129,000
<u>Liabilities and Shareholders' Equity</u>	
Accounts payable	P6,000
Notes payable	12,000
Share capital	5,000
Share premium	25,000
Retained earnings	<u>81,000</u>
Total	P129,000

A review of the books of the company indicates that the following errors and omissions had not been corrected during years shown below:

	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>
Inventory under(over)statement	P18,000	(P21,000)	(P24,000)	P27,000
Omissions:				
a. Prepaid expense	2,700	2,100	1,500	1,800
b. Deferred income	-	1,200	-	900
c. Accrued expense	600	225	300	150
d. Accrued income	-	375	-	450

The unadjusted net income per books are: 2022: P10,000 2023: P22,500; 2024: P19,500; 2025: P16,500. No dividends were declared during these years, and no adjustments were made to retained earnings.

Requirements:

- What is the adjusted net income/loss for the year ended December 31, 2022?
 - P19,550
 - P20,750
 - P25,750
 - P30,100
- What is the adjusted net income/loss for the year ended December 31, 2023?
 - P17,550
 - P18,750
 - P21,750
 - P22,950
- What is the adjusted net income/loss for the year ended December 31, 2024?
 - P16,650
 - P17,250
 - P20,850
 - P21,450
- What is the adjusted net income/loss for the year ended December 31, 2025?
 - P66,600
 - P67,500
 - P67,725
 - P70,500
- What is the adjusted retained earnings on December 31, 2025?
 - P52,800
 - P55,200
 - P109,200
 - P132,000
- What is the adjusted total assets on December 31, 2025?
 - P139,200
 - P158,250
 - P158,700
 - P159,150
- What is the adjusted total liabilities on December 31, 2025?
 - P 18,750
 - P 19,050
 - P 19,950
 - P 21,375



PROBLEM 2

You are engaged for the first-time audit of the financial statements of ABC Company for the period ended December 31, 2025. The company both incorporated and commenced its operations in 2023. In reviewing the books, you discovered that certain adjustments had either been overlooked or improperly recorded at the end of years to 2025. The following yearly information is summarized below:

	2023	2024	2025
1. Omissions of the following year-end accruals and deferrals:			
Accrued utilities expense	10,000	14,000	12,000
Accrued interest income	4,000	8,000	6,000
Prepaid rent expense	-	4,000	2,000
Unearned royalty income	16,000	-	6,000
2. Receipt of merchandise at year-end from suppliers (recorded as purchases upon payment the following year; inventories were included in physical count at the year when these were received)	-	12,000	6,000
3. Cash received from customers at year-end (recorded as sales but deliveries were made the following year; corresponding inventories at cost were included in the physical count in the year of collection)	6,000	-	10,000
4. Overstatement in ending inventories	18,000	-	14,000
5. Understatement in ending inventories	-	8,000	-
6. Organization costs incurred in the start-up of the business at the beginning of 2023 (capitalized as an intangible asset and amortized over 5 years)	100,000	-	-
7. Major repairs eligible for capitalization on the company’s equipment (recognized as outright expense); Depreciation on equipment is at 20% per annum, except for the year of expenditure which is at 10%	-	70,000	80,000
8. Cash dividends paid (paid at beginning of the year but declared in the previous year-end; dividends declared in 2025 but paid in 2026 amounted to P300,000)	-	220,000	260,000

The unadjusted net income for calendar years 2023, 2024 and 2025 are P445,000, P486,000 and P410,000, respectively.

Requirements:

8. The ending balance of retained earnings for calendar year 2025 before any corrections is:
a. P561,000
b. P624,000
c. P861,000
d. P1,341,000
9. How much is the audited net income to be reported for calendar year 2023?
a. P109,000
b. P319,000
c. P341,000
d. P373,000
10. How much is the audited net income to be reported for calendar year 2024?
a. P563,000
b. P583,000
c. P596,000
d. P609,000
11. How much is the audited net income to be reported for calendar year 2025?
a. P454,000
b. P472,000
c. P488,000
d. P496,000
12. How much is the audited ending retained earnings balance to be reported for calendar year 2023?
a. P99,000
b. P111,000
c. P121,000
d. P153,000
13. How much is the audited ending retained earnings balance to be reported for calendar year 2024?
a. P444,000
b. P445,000
c. P447,000
d. P448,000
14. How much is the audited ending retained earnings balance to be reported for calendar year 2025?
a. P600,000
b. P602,000
c. P640,000
d. P644,000

PROBLEM 3

Mr. Accounting Company engaged you in 2025 to examine its books and records and to make whatever adjustments are necessary. Your examination disclosed the following:

- a. Prior to any adjustments, the Retained Earnings account is reproduced below:



<u>Date</u>	<u>Particulars</u>	<u>Debit</u>	<u>Credit</u>	<u>Balance</u>
2023				
Jan. 1	Balance			P580,000
Dec. 31	Net income for the year		310,000	890,000
2024				
Jan. 31	Dividends paid	140,000		750,000
Apr. 3	Paid in capital in excess of par		90,000	840,000
Aug. 30	Gain on retirement of ordinary shares at less than issue price		64,500	904,500
Dec. 31	Net loss for the year	205,000		699,500
2025				
Jan. 31	Dividends paid	100,000		599,500
Dec. 31	Net loss for the year	165,500		P434,000

b. The company failed to properly recognize accruals and prepayments. Selected accounts revealed the following information:

	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>
1. Prepaid expenses	P8,500	P6,200	P7,400	P9,500
2. Accrued expenses	5,400	7,300	8,700	9,000
3. Unearned income	6,900	7,800	8,900	9,600
4. Accrued income	4,700	5,600	6,200	7,800

- c. Dividends had been declared on December 31 in 2023 and 2024 but had not been entered in the books until paid.
- d. The company purchased a machine worth P270,000 on April 30, 2022. The company charged the purchase to expense. The machine has an estimated useful life of 3 years. The company uses the straight -line method and residual values are deemed immaterial.
- e. The company received a transportation equipment as donation from one of its shareholders on September 30, 2024. The equipment was used to deliver goods to customers. The equipment has a fair value of P240,000 and has a remaining life of 3 years on the date of donation. P30,000 was incurred for registering the transfer of ownership. The company did not record the donation on its books. The expense paid related to the donated equipment were charged to expense.
- f. The physical inventory of merchandise had been understated by P64,000 and by P44,500 at the end of 2023 and 2025, respectively.
- g. The merchandise inventories at the end of 2024 and 2025 did not include merchandise that was then in transit shipped FOB shipping point. These shipments of P43,400 and P32,600 were recorded as purchase in January 2025 and 2026, respectively.

Based on the above audit findings, compute the adjusted balances of the following:

15. Net income/loss for 2023

a. P215,800

b. P279,800

c. P369,800

d. P373,100
16. Net income/loss for 2024

a. P269,700

b. P349,700

c. P359,700

d. P379,700
17. Net income/loss for 2025

a. P118,300

b. P148,300

c. P178,300

d. P228,300
18. Retained earnings, December 31, 2022

a. P580,900

b. P760,900

c. P790,900

d. P850,900
19. Retained earnings, December 31, 2023

a. P720,700

b. P860,700

c. P930,700

d. P976,700
20. Retained earnings, December 31, 2024

a. P241,000

b. P341,000

c. P411,000

d. P481,000
21. Retained earnings, December 31, 2025

a. P252,700

b. P302,700

c. P332,700

d. P362,700





Taxation (TAX)



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GENERAL PRINCIPLES

THEORY

1. The process or means by which the sovereign, through its law-making body, raises income to defray the expenses of the government
 - a. Toll
 - b. License fee
 - c. Taxation
 - d. Assessment
2. The proportional contribution by persons and property levied by the law-making body of the State by virtue of its sovereignty for the support of the government and all public needs is referred to as
 - a. Taxes
 - b. Toll
 - c. License fees
 - d. Assessment
3. The primary purpose of taxation is
 - a. To encourage the growth of some industries through the proper use of incentives
 - b. To implement the police power of the State
 - c. To reduce excessive inequalities of wealth
 - d. To raise revenue for governmental needs
4. Which of the following is not a secondary purpose of taxation?
 - a. To serve as key instrument of social control
 - b. To effect a more equitable distribution of wealth among people
 - c. To achieve social and economic stability
 - d. To raise revenue to defray the necessary expenses of the government
5. Which theory in taxation states that without taxes, a government would be paralyzed for lack of power to activate and operate it, resulting in its destruction?
 - a. Power to destroy theory
 - b. Lifeblood theory
 - c. Sumptuary theory
 - d. Symbiotic doctrine
6. Which among the following concepts of taxation is the basis for the situs of income taxation?
 - a. Lifeblood doctrine of taxation
 - b. Symbiotic relation in taxation
 - c. Compensatory purpose of taxation
 - d. Sumptuary purpose of taxation
7. Treating persons who are similarly situated in the same manner
 - a. Uniformity of taxation
 - b. Equality of taxation
 - c. Due process of law
 - d. Non-delegation of legislative power
8. One of the characteristics of a tax is
 - a. A tax is a pecuniary burden and the law may not allow payment in kind
 - b. It is dependent upon the will or contractual assent, express or implied, of the person taxed
 - c. It is levied by the state by virtue of its sovereignty
 - d. It is collected for public and private purposes
9. One of the characteristics of internal revenue tax is that they are
 - a. Criminal in nature
 - b. Penal in nature
 - c. Political in nature
 - d. Civil in nature
10. Which of the following is a nature of taxation?
 - a. The power is granted by legislative action
 - b. It is essentially an administrative function
 - c. It is generally payable in money
 - d. Without it the state can continue to exist

Final answer: None of the above

11. Being legislative in nature, the power to tax may not be delegated, except
 - a. To local governments or political subdivisions
 - b. When allowed by the Constitution
 - c. When delegation relates merely to administrative implementation that may call for some degree of discretionary powers under a set of sufficient standards expressed by law or implied from the policy and purpose of the Act



- d. All of the choices
12. Although the power of taxation is basically legislative in character, it is not the function of Congress to
- Fix with certainty the amount of taxes
 - Collect the tax levied under the law
 - Identify who should collect the tax
 - Determine who should be subject to the tax
13. The levying and imposition of tax and the collection of tax are processes which constitute the taxation system
- Basis of taxation
 - Aspects of taxation
 - Nature of taxation
 - Theory of taxation
14. The official action of an officer authorized by law in ascertaining the amount of tax due under the law from a taxpayer is
- Assessment
 - Delinquency
 - Deficiency
 - Distrain
15. The actual effort exerted by the government to effect the exaction of what is due from the taxpayer is known as
- Assessment
 - Levy
 - Payment
 - Collection
16. Deals with the provisions of the law which determines the person or property to be taxed, the sums to be raised, the rate thereof, and the time and manner of levying, receiving and collecting taxes
- Collection
 - Payment
 - Enforced contribution
 - Levy
17. When the power to tax is delegated to the local government
- Only the local executive can exercise the power
 - Only the legislative branch of the local government can exercise the power
 - The local executive and the legislative branch of the government can exercise the power
 - Neither the local executive nor the legislative branch of the local government can exercise the power
18. Levying of local government taxes may be exercised by
- The local executive only
 - The legislative branch of the local government only
 - The local executive and the legislative branch of the local government unit
 - Neither the local executive nor the legislative branch of the local government can exercise the power
19. Where does taxing power of the provinces, municipalities and cities precede from?
- Constitutional grant
 - Legislative enactment
 - Presidential decree or Executive act
 - Local legislation
20. All of the following, except one, are basic principles of the sound tax system
- Fiscal adequacy
 - Theoretical justice
 - Administrative feasibility
 - Inherent in sovereignty
21. Under this basic principle of sound tax system, the government should not incur a deficit
- Theoretical justice
 - Administrative feasibility
 - Fiscal adequacy
 - None of the above
22. The tax imposed should be proportionate to the taxpayer's ability to pay
- Fiscal adequacy
 - Equality or theoretical justice
 - Administrative feasibility
 - Intellectual sensitivity
23. The tax laws must be capable of convenient, just and effective administration
- Fiscal adequacy
 - Equality or theoretical justice
 - Administrative feasibility
 - Intellectual sensitivity



24. The following, except one, are basic principles of a sound tax system
 - a. It should be capable of being effectively enforced
 - b. It must be progressive
 - c. Sources of revenue must be sufficient to meet government expenditures and other public needs
 - d. It should be exercised to promote public welfare
25. The power to demand proportionate contributions from persons and property to defray the expenses of the government
 - a. Power of taxation
 - b. Police power
 - c. Power of eminent domain
 - d. Power of recall
26. The power of the state or those to whom the power has been delegated to take private property for public use upon paying to the owner a just compensation
 - a. Power of eminent domain
 - b. Police power
 - c. Power of taxation
 - d. People power
27. The power of the state to enact such laws in relation to persons and property as may promote public health, public morals, public safety and the general welfare of the people
 - a. Power of eminent domain
 - b. Police power
 - c. Power of taxation
 - d. People power
28. The following are similarities of the inherent power of taxation, eminent domain and police power, except one
 - a. Are necessary attributes of sovereignty
 - b. Interfere with private rights and property
 - c. Affect all persons or the public
 - d. Are legislative in implementation
29. Which statement refers to police power as distinguished from taxation?
 - a. It can only be imposed on specific property or properties
 - b. The amount imposed depends on whether the activity is useful or not
 - c. It involves the taking of property by the government
 - d. The amount imposed has no limits
30. Which of the following may not raise money for the government
 - a. Power of taxation
 - b. Police power
 - c. Power of eminent domain
 - d. Privatization of government's capital assets
31. In this power of the State, the person who is parting with his money or property is presumed to receive a benefit
 - a. Taxation
 - b. Police power
 - c. Eminent domain
 - d. Forfeiture power
32. Which of the following statements is correct?
 - a. Non-payment of tax and debt is a ground for imprisonment
 - b. The power to tax may include the power to destroy
 - c. Provisions in the Philippine Constitution on taxation are grants of power
 - d. Lands and buildings being used actually, directly and exclusively for religious and charitable purposes by churches and charitable institutions are exempt from income and property taxes
33. They restrict the exercise of the power of taxation although they are not embodied in the Constitution
 - a. Theoretical justice
 - b. Legislative in character
 - c. Inherent limitations
 - d. Constitutional limitations
34. Those restrictions on the exercise of the power of taxation that are found in the Constitution or implied from its provisions
 - a. Theoretical justice
 - b. Legislative in character
 - c. Inherent limitations
 - d. Constitutional limitations



35. Which of the following statements is not correct?
- Taxes may be imposed to raise revenues or to provide disincentives to certain activities within the state
 - The state can have the power of taxation even if the Constitution does not expressly give it the power to tax
 - For the exercise of the power of taxation, the state can tax anything at any time
 - The provisions of taxation in the Philippine Constitution are grants of power and not limitations on taxing powers
36. This is an inherent limitation on the power of taxation
- Rule on uniformity and equity in taxation
 - Due process of law and equal protection of the laws
 - Non-impairment of the jurisdiction of the Supreme Court in tax cases
 - Tax must be for the public purpose
37. This is a constitutional limitation on the power of taxation
- Tax laws must be applied within the territorial jurisdiction of the state
 - Exemption of government agencies and instrumentalities from taxation
 - No appropriation of public money for religious purposes
 - Power to tax cannot be delegated to private persons or entities
38. A tax must be imposed for public purpose. Which of the following is not a public purpose?
- National defense
 - Public education
 - Improvement of the sugar and coconut industries
 - Improvement of a subdivision road
39. Which of the following statements is incorrect?
- No person shall be imprisoned for non-payment of debt or non-payment of taxes
 - The passage of laws granting tax exemptions requires the concurrence by majority of all the members of Congress
 - The Supreme Court's jurisdiction over tax cases cannot be impaired
 - The revenues and assets of non-stock, non-profit educational institutions and donations for educational purposes are exempted from taxes and duties
40. Toll as distinguished from tax
- Demand of sovereignty
 - Imposed by government only
 - Amount is based on the cost of construction of public improvement used
 - Paid for the support of the government
41. All of the following, except one, are characteristics of a toll
- Demand of proprietorship
 - Compensation for the use of another's property
 - Maybe imposed by private individuals
 - Levied for the support of the government
42. One of the following is not a characteristic of a special assessment
- It has special application only to a particular time and place
 - It is levied only on land
 - May be levied on business
 - Based wholly on benefits
43. Tax imposed by the national government and as effective within the entire jurisdiction thereof
- | | |
|-----------------|---------------------|
| a. National tax | c. Proportional tax |
| b. Local tax | d. General tax |
44. Taxes imposed by a political subdivision of the state and is effective only within the territorial boundaries thereof
- | | |
|-----------------|--------------------|
| a. National tax | c. Progressive tax |
|-----------------|--------------------|



- b. Local tax
- d. Regressive tax
45. A tax that is imposed upon a person who is directly bound to pay it
- a. Direct tax
- b. Indirect tax
- c. Excise tax
- d. Poll tax
46. Forms part of the purchase price of the commodity or service and passed on to customers
- a. Direct tax
- b. Indirect tax
- c. Excise tax
- d. Poll tax
47. Scholar system of income taxation means
- a. All types of income are added together to arrive at gross income
- b. Separate graduated rates are imposed on different types of income
- c. Capital gains are excluded in determining gross income
- d. Compensation income and business/professional income are added together in arriving at gross income
48. In case of conflict between tax laws and generally accepted accounting principles (GAAP)
- a. Both tax laws and GAAP shall be enforced
- b. GAAP shall prevail over tax laws
- c. Tax laws shall prevail over GAAP
- d. The issue shall be resolved by the courts
49. Tax as distinguished from license fee
- a. Non-payment does not necessarily render the business illegal
- b. A regulatory measure
- c. Imposed in the exercise of police power
- d. Limited to cover cost of regulation
50. Tax imposed upon performance of an act, the enjoyment of privilege or the engaging in an occupation
- a. Personal, poll or capitation
- b. Property
- c. Excise
- d. Regressive
51. Which of the following is not an example of excise tax?
- a. Transfer tax
- b. Sales tax
- c. Real property tax
- d. Income tax
52. An example of a property tax is
- a. Additional community tax on income of real properties
- b. Real estate tax on real properties
- c. Estate tax on inherited personal as well as real properties
- d. Donor's tax on donation of property
53. Tax which imposes a specific sum by the head or number or by some standards of weight or measurement and which requires no assessment other than a listing or classification of the objects to be taxed
- a. Ad Valorem
- b. Specific
- c. Excise
- d. Revenue
54. Tax of a fixed proportion of the value of the property with respect to which the tax is assessed and requires the intervention of assessors or appraisers to estimate the value of such property before the amount due from each taxpayer can be determined is known as
- a. Specific
- b. Ad Valorem
- c. Special or regulatory
- d. Answer not given
55. The following are kinds of taxes as to graduation. Which one is not?
- a. Digressive
- b. Uniform
- c. Regressive
- d. Progressive
56. Tax based on a fix percentage of the amount of property, income or other basis to be taxed
- a. Progressive
- b. Proportional
- c. Regressive
- d. Indirect



57. Tax where the rate decreases as the tax base increases
- Progressive
 - Proportional
 - Regressive
 - Indirect
58. Tax where the rate increases as the tax base increases
- Progressive
 - Proportional
 - Regressive
 - Indirect
59. Value-added tax is an example of
- Graduated tax
 - Progressive tax
 - Regressive tax
 - Proportional tax
60. Tax of a fix amount imposed among all persons residing within a specified territory without regard to their property or occupation they may be engage
- Personal, poll or capitation tax
 - Property
 - Excise tax
 - Regressive
61. Tax imposed on personal or real property in proportion to its value or some other reasonable method of apportionment
- Personal, poll or capitation tax
 - Property
 - Excise tax
 - Regressive
62. One of the following is not an inherent limitation on the exercise of the power of taxation
- International comity
 - Double taxation
 - Non-delegation of the legislative power to tax
 - Territoriality
63. The following constitute double taxation except one
- Both taxes are imposed in the same amount
 - Both taxes are levied for the same purpose
 - Both taxes are imposed by the same taxing authority
 - Both taxes are imposed upon the same person
64. Which of the following constitutes objectionable double taxation?
- A license fee and a tax imposed on the same business or occupation for selling the same articles
 - A 20% final withholding tax on interest income on bank deposits and a 5% gross receipts tax on banks is a direct duplicate taxation
 - Persons engaged in leasing or selling real property are subject to real estate dealers tax and their sales are also subject to 12% VAT
 - A tax of 1% is imposed for bank reserve deficiency while a penalty of 1/10 of 1% is also imposed as a consequence of such reserve deficiency
65. Which of the following statements is correct?
- Indirect double taxation violates the Constitutional provision of uniformity and equal protection
 - There is direct double taxation in taxing the income of the corporation and again subject the portion of that income declared as dividend to final tax
 - Indirect double taxation is legal as long as there is no violation of equal protection and uniformity clauses of the Constitution
 - All of the above
66. The usual mode(s) of avoiding occurrence of double taxation is/are
- Reciprocal exemption, either by law or treaty
 - Tax credit of foreign taxes paid
 - Deduction for foreign taxes paid
 - All of the above



67. Which is not a direct double taxation?
- A lessor of property pays a real estate tax and income tax on the same property
 - Imposition of tax on the finished products and the raw materials used in the production of the said finished products
 - Imposition of tax on corporate income and shareholder's dividends from the same corporation
 - All of the above
68. Transfer of the tax burden by one on whom the tax is assessed to another
- Shifting
 - Capitalization
 - Transformation
 - Tax exemption
69. Which of the following is not a scheme of shifting the incidence of taxation?
- The manufacturer transfers the tax to the consumer by adding the tax to the selling price of the goods sold
 - The purchaser asks for a discount or refuses to buy at regular prices unless it is reduced by the amount equal to the tax he will pay
 - Changing the terms of the sale like FOB shipping point in the Philippines to FOB destination abroad, so that the title passes abroad instead of in the Philippines
 - The manufacturer transfers the sales tax to the distributor, then in turn to the wholesaler, in turn to the retailer and finally to the consumer
70. The reduction in the selling price of income-producing property by an amount equal to the capitalized value of future taxes that may be paid by the purchaser
- Shifting
 - Capitalization
 - Transformation
 - Tax exemption
71. The method by which the manufacturer or producer upon whom the tax is imposed pays the tax and strives to recover such expense through lower production cost without sacrificing the quality of his product
- Shifting
 - Capitalization
 - Transformation
 - Tax exemption
72. The grant of immunity to particular persons or corporation or to persons or corporations of a particular class from a tax which persons and corporations generally within the same taxing district are obliged to pay
- Tax exemption
 - Tax evasion
 - Tax avoidance
 - Tax amnesty
73. In every case of doubt, tax statutes are construed
- Strictly against the government and the taxpayer
 - Liberally in favor of the government and the taxpayer
 - Strictly against the government and liberally in favor of the taxpayer
 - Liberally in favor of the government and strictly against the taxpayer
74. In every case of doubt, tax exemptions are construed
- Strictly against the government and the taxpayer
 - Liberally in favor of the government and the taxpayer
 - Strictly against the government and liberally in favor of the taxpayer
 - Liberally in favor of the government and strictly against the taxpayer
75. The exploitation by the taxpayer of legally permissible alternative tax rates or methods of assessing taxable property or income, in order to reduce tax liability. It is also known as tax minimization
- Tax exemption
 - Tax evasion
 - Tax avoidance
 - Transformation
76. The use of illegal or fraudulent means to avoid or defeat the payment of tax. It is also known as tax dodging
- Exemption
 - Shifting
 - Avoidance
 - Evasion



77. Which of the following statements constitutes tax avoidance?
- Deliberate failure of a taxpayer to pay the taxes due to the government
 - Connotes fraud through the use of pretenses and forbidden devices to lessen or defeat taxes
 - Punishable by law
 - Maybe contrary to the intent of the legislature but nevertheless does not violate the law
78. The least source of tax laws
- Statutes
 - Presidential decrees
 - Revenue regulations
 - Tax treaties or conventions
79. All appropriation, revenue or tariff bills, bills authorizing increase of the public debt, bills of local application, and private bills shall originate exclusively in the
- Office of the President
 - House of Representatives
 - Senate
 - Supreme Court
80. Which statement is wrong? Tax laws
- Must originate from the House of Representatives and on which same bill the Senate may propose amendments
 - May originate from the Senate and on which same bill the House of Representatives may propose amendments
 - May have a House version and Senate version approved separately
 - May be recommended by the President to Congress
81. Which of the following is not considered as a step in making a revenue regulation effective?
- Recommendation by the Commissioner of Internal Revenue to the Secretary of Finance
 - Approval by the Secretary of Finance
 - Legislation by Congress
 - Publication in a newspaper of general circulation
82. The Commissioner of Internal Revenue is granted certain powers under the Tax Code. Which of the following is not a power granted to the Commissioner under the Code?
- Interpret tax laws and decide tax cases
 - Issue summons and subpoena
 - Enact tax laws and make amendments
 - Make assessment and prescribe additional requirements
83. Which of the following statements is incorrect with respect to the power of the President?
- Congress may authorize the President to fix within specified limits tariff rates, import and export quotas, tonnage and wharfage dues, and other duties or imposts within the framework of the national development program of the government
 - The President can veto any particular item in a revenue or tariff bill, but the veto shall not affect the items or items to which he does not object
 - The power of taxation can be delegated to the President of the Philippines
 - The President of the Philippines is empowered to grant tax exemption on certain class of taxpayers
84. The place or authority that has the right to impose and collect taxes
- Territoriality
 - International comity
 - Situs of taxation
 - Transformation
85. A fundamental rule in taxation is that "the property of one country may not be taxed by another country." This is known as
- International law
 - International comity
 - Reciprocity
 - International inhibition



INDIVIDUALS

THEORY

1. It is important to know the source of income for tax purposes because
 - a. Some individual taxpayers are taxed on their worldwide income while others are taxable only upon income from sources within the Philippines
 - b. The Philippines imposes income tax only on income from sources within
 - c. Some individual taxpayers are citizens while others are aliens
 - d. Export sales are not subject to income tax

2. The following are the general principles of situs of income taxation:

Statement 1: A citizen of the Philippines residing therein is taxable on all income derived from sources within and without the Philippines.

Statement 2: A nonresident citizen is taxable on income derived from sources within the Philippines.

Statement 3: An individual citizen of the Philippines who is working and deriving income from abroad as an overseas contract worker is taxable only on income from sources within the Philippines.

Statement 4: An alien individual, whether a resident or not of the Philippines, is taxable only on income derived from sources within the Philippines.

 - a. All the statements are true
 - b. All the statements are false
 - c. One of the statements is false
 - d. Some of the statements are false

3. A citizen of the Philippines who works and derives income abroad is a resident citizen if he stayed outside the Philippines
 - a. For less than 180 days
 - b. For more than 180 days
 - c. For 183 days or more
 - d. For less than 183 days

4. A citizen of a foreign country is considered a non-resident alien engaged in business in the Philippines if he stayed inside the Philippines
 - a. For 183 days or more
 - b. For less than 183 days
 - c. For more than 180 days
 - d. For less than 180 days

5. Who among the following is a non-resident alien?
 - a. An alien who comes to the Philippines for a definite purpose which in its nature may be promptly accomplished
 - b. An alien who comes to the Philippines for a definite purpose which in its nature would require an extended stay
 - c. An alien who has acquired residence in the Philippines
 - d. An alien who lives in the Philippines with no definite intention as to his stay

6. A resident citizen is taxable on all income derived from sources
 - a. Within the Philippines only
 - b. Without the Philippines only
 - c. Partly within and partly without
 - d. Within and without the Philippines

7. A non-resident citizen is taxable on all income derived from sources
 - a. Within the Philippines only
 - b. Without the Philippines only
 - c. Partly within and partly without
 - d. Within and without the Philippines

8. A resident alien is taxable on all income derived from sources
 - a. Within the Philippines only
 - b. Without the Philippines only
 - c. Partly within and partly without
 - d. Within and without the Philippines

9. A non-resident alien is taxable on all income derived from sources
 - a. Within the Philippines only
 - b. Without the Philippines only
 - c. Partly within and partly without
 - d. Within and without the Philippines



10. A citizen of the Philippines who works and whose employment requires him to be physically present abroad most of the time during the taxable year is
- a. Taxable on income within and without the Philippines
 - b. Taxable on income from without the Philippines
 - c. Exempt from income tax
 - d. Taxable on income from within the Philippines
11. Determine the correct classification of the following:
- I. Mr. A, a Filipino businessman, went on a business trip abroad and stayed there most of the time during the year.
 - II. Mr. B, a Filipino professional singer, held a series of concerts in various countries around the world during the current taxable year. He stayed abroad most of the time during the year.
 - III. Mr. C, a Filipino artist went to Korea during the taxable year to train and participate in the world cup of pool. He stayed there most of the time during the year.
- | | a | b | c | d |
|-----|-----|-----|-----|----|
| I | NRC | RC | RC | RC |
| II | NRC | NRC | RC | RC |
| III | NRC | NRC | NRC | RC |
12. Who among the following individual taxpayers is taxable on income within and without?
- a. Mr. A, a native of Bulacan, working as overseas contract worker in Japan
 - b. Mr. B, a naturalized Filipino citizen and married to a Filipina. He had been living in Cavite since 1970
 - c. Mr. C, Spanish citizen, a resident of Madrid, Spain, spent a one (1) week vacation trip in Boracay
 - d. Mr. D, Taiwanese singer, held a 3-day concert in Manila
13. Mr. Y, a Japanese national, arrived in the Philippines on January 1, 2021 to visit his Filipino friends. He planned to stay in the country until December 31, 2023, by which time he would go back to Japan. Mr. Y derived income during his stay here in the Philippines. For 2021 taxable year, Mr. Y shall be classified as a
- a. Resident alien
 - b. Non-resident alien engaged in trade or business in the Philippines
 - c. Non-resident alien not engaged in trade or business in the Philippines
 - d. Special alien employee
14. Mr. X was hired by a foreign petroleum contractor in South Korea to provide technical assistance for two months from February to March. He was hired again for the month of June to July and October to December of the same taxable year. Mr. X is a
- a. Resident citizen
 - b. Nonresident citizen
 - c. Special Filipino employee
 - d. None of the above
15. Mr. Z, an Australian, arrived in the Philippines on January 1, 2021 and continued to live and engage in business in the Philippines. He went on a tour of Southeast Asia from August 1 to November 5, 2021. He returned to the Philippines on November 6, 2021 and stayed until April 15, 2022. He earned during his stay in the Philippines income from his investments in Philippine corporations. For the year 2021, his taxable status is that of a
- a. Non-resident alien not engaged in trade or business
 - b. Resident alien engaged in trade or business
 - c. Resident alien not engaged in trade or business
 - d. Non-resident alien engaged in trade or business
16. Mr. X, a Korean singer, was engaged to sing for one week at the Philippine Arena after which he returned to South Korea. For income tax purposes he shall be classified as
- a. Resident alien
 - b. Nonresident alien engaged in trade or business
 - c. Nonresident alien not engaged in trade or business
 - d. Resident citizen



17. Mr. Y, nonresident citizen, arrived in the Philippines on July 1, 2021 to reside here permanently after working as a doctor in the United States for many years. Which of the following statements is correct with respect to his classification for income tax purposes?
 - a. He shall be classified as nonresident citizen for the year 2021 with respect to his income derived from sources abroad from January 1, 2021 until the date of his arrival in the Philippines
 - b. He shall be classified as nonresident citizen for the whole year of 2021
 - c. He shall be classified as resident citizen for the whole year 2021
 - d. He shall be classified as neither resident nor nonresident citizen for the year 2021
18. Mr. Z, a Filipino citizen migrated in the US six years ago and got a permanent resident status or green card. He should pay his Philippine income tax on
 - a. Dividends received from a two-year old foreign corporation whose gross income was derived solely from Philippine sources
 - b. The gains derived from the sale in New York of jewelry he purchased in the Philippines
 - c. The proceeds he received from a Philippine insurance company as the sole beneficiary of life insurance taken by his father who died recently
 - d. The gains derived from the sale in the New York Stock Exchange of share of stock in PLDT, a Philippine corporation
19. An Australian citizen permanently residing in the Philippines, received several items during the taxable year. Which among the following is not subject to Philippine income taxation?
 - a. Dividends received from an American corporation which derived 60% of its annual gross receipts from Philippine sources for the past 7 years
 - b. Interests from his deposits in a local bank of foreign currency earned abroad converted to Philippine pesos
 - c. Gains derived from the sale of his condominium unit located in Makati City to another resident alien
 - d. Consultancy fees received for designing a computer program and installing the same in a Tokyo facility of a Japanese firm
20. Mr. X left the Philippines on April 10, 2021 to work as an internal auditor in a big firm in Sydney, Australia. For income tax purposes, which of the following statements is correct with respect to Christopher's classification?
 - a. He shall be classified as nonresident citizen for the whole year of 2021
 - b. His classification as a nonresident citizen will start in 2022
 - c. He shall be classified as nonresident citizen for the year 2021 with respect to his income derived from sources without from April 10, 2021
 - d. He shall be classified as nonresident citizen for the year 2021 with respect to his income derived from sources without from April 11, 2021
21. A citizen of the Philippines was a non-resident citizen in 2020. On May 14, 2021, he arrived in the Philippines to reside permanently in the Philippines. His income for the year was
 - A – From January 1, 2021 to May 14, 2021.
 - B – From May 15, 2021 to December 31, 2021.

Which of the following is wrong?

- a. He is considered a resident citizen on his "B" income
 - b. He is considered a non-resident citizen on his "A" income
 - c. He is considered a resident citizen on his "A" and "B" income
 - d. He is not taxable on his "A" income
22. One of the following individuals is not subject to withholding tax on compensation
 - a. An individual who derives compensation from two or more employers at anytime during the taxable year
 - b. An individual who has compensation and business income
 - c. An individual whose gross income in a year is more than P220,000
 - d. An individual whose monthly gross compensation income is P8,000



23. The Withholding Tax System was devised for the following reasons, except:
- a. To provide the taxpayer a convenient manner to meet his probable income tax liability.
 - b. To ensure the collection of the income tax.
 - c. To improve the government’s cash flow.
 - d. To do away with the filing of income tax returns.
24. Individual taxpayers are subject to the following income tax
- I. Basic tax based on graduated tax table
 - II. Final withholding tax on passive income derived from sources within the Philippines
 - III. Capital gains tax
- a. I and II only
 - b. I and III only
 - c. II and III only
 - d. All of the above

PROBLEMS

1. Ms. Y operates a pharmaceutical store and offers tax preparation services to her clients. In 2021, her gross sales amounted to P800,000, in addition to her receipts from tax preparation services of P300,000.

Scenario 1: If she already signified her intention to be taxed at 8% income tax rate in her 1st quarter return, how much is the tax due in 2021?

- a. P68,000
- b. P78,000
- c. P88,000
- d. P98,000

Scenario 2: If she failed to signify her intention to be taxed at 8% income tax rate on gross sales in her initial Quarterly Income Tax Return, and she incurred cost of sales and operating expenses amounting to P600,000 and P200,000, respectively, how much is the tax due in 2021?

- a. P10,000
- b. P20,000
- c. P25,000
- d. P30,000

2. Ms. Y signified her intention to be taxed at 8% income tax rate on gross sales in her first quarter return. Her gross sales and other information during the taxable year are shown below.

	1 st quarter	2 nd quarter	3 rd quarter	4 th quarter
Total sales	P500,000	P1,000,000	P1,500,000	P6,000,000
Cost of sales	300,000	500,000	700,000	2,250,000
Operating expenses	100,000	200,000	250,000	750,000

Question 1: How much is the income tax payable for the second quarter?

- a. P100,000
- b. P80,000
- c. P40,000
- d. P20,000

Question 2: How much is the income tax payable for the final return?

- a. P894,000
- b. P720,000
- c. P500,000
- d. P480,000



3. Mr. X, a senior manager of a huge real estate company, earned an annual gross compensation income of P1,700,000 in 2021. In addition, he earned 13th month pay and other benefits amounting to P50,000. The total mandatory contributions to SSS, Pag-ibig and Philhealth amounted to P10,000.

Aside from employment income, he owns a Korean store with gross sales of P2,600,000. Sales discounts totaled P120,000, while sales returns and allowances totaled P80,000. Cost of sales and operating expenses are P1,200,000 and P400,000, respectively, and with non-operating income of P80,000.

Question 1: If the best option is availed of by Mr. X, being a mixed income earner, the income tax payable for 2021 is

- a. P602,400
- b. P611,400
- c. P595,400
- d. P583,400

Question 2: If Mr. X chose to be taxed at the progressive income tax rates under Sec. 24 (A) of the Tax Code, the income tax payable for 2021 is

- a. P723,600
- b. P736,400
- c. P659,600
- d. P672,400

Question 3: Which is the better option to choose from: (a) the special income tax rate of eight percent (8%); or (b) the graduated income tax rate under Sec. 24 (A) of the Tax Code?

- a. Progressive rates under Sec. 24 (A)
- b. 8% income tax rate based on taxable income
- c. Indifferent, as the two options will result in the same total national internal revenue taxes liability anyway of the taxpayer
- d. It's always the 8% income tax rate because of the twin benefits of not only avoiding the graduated income tax rates under Sec. 24 (A) but also the exemption from the OPT under Sec. 116

4. Mr. Y owns a nightclub and videoke bar, which are subject to Other Percentage Taxes. In 2021, the business generated gross sales of P2,500,000 with cost of sales and operating expenses of P1,000,000 and P600,000, respectively and with non-operating income of P100,000. How much is income tax due?

- a. P190,000
- b. P180,000
- c. P170,000
- d. P200,000

5. Mr. Z, a self-employed resident citizen provided the following data for 2021 taxable year:

Sales	P2,800,000
Cost of sales	1,125,000
Business operating expenses	650,000
Interest income from peso bank deposit	80,000
Interest income from a depository bank under the Expanded Foreign Currency Deposit System	120,000
Gain on sale of land in the Philippines held as capital asset with fair market value (equal to the selling price) of P2,000,000 and zonal value of P1,600,000	500,000

Question 1: How much is the total income tax expense of Mr. Z for the year?

- a. P321,500
- b. P342,500
- c. P351,500
- d. P358,000

Question 2: How much is the total income tax assuming Mr. Z opted to be taxed at 8%?



- a. P321,500

b. P342,500
- c. P351,500

d. P358,000

Question 3: Using the same data except that the gross sales for the year was P3,800,000, how much is the total income tax assuming Mr. Z opted to be taxed at 8% income tax rate?

- a. P321,500

b. P342,500
- c. P351,500

d. P652,000

6. [SKIP]

7. On July 1, 2021, Mr. X left the Philippines to go to Japan and planned to work there for five (5) years. The following data were provided as of December 31, 2021.

Period	Gross Business Income		Business Expenses	
	Philippines	Japan	Philippines	Japan
Jan. 1 to June 30	P300,000	P200,000	P100,000	P50,000
July 1 to Dec. 31	600,000	400,000	150,000	50,000

Question 1: His taxable income is

- a. P800,000

b. P950,000
- c. P1,100,000

d. P600,000

Question 2: Assuming he arrived from Japan on July 1, 2021 to permanently resettle in the Philippines, after working abroad for 5 years, his taxable income as of December 31, 2021 is

- a. P750,000

b. P1,000,000
- c. P1,100,000

d. P600,000

Question 3: If he did not leave Philippines at all, his taxable income is

- a. P750,000

b. P950,000
- c. P1,150,000

d. P600,000

8. Mr. Y, a CPA, had the following data for the current taxable year (Exchange Rate \$1 = P50):

	Philippines	Abroad
Business income	P1,000,000	\$20,000
Professional income	400,000	10,000
Salaries	200,000	-
Business and professional expenses	250,000	8,000
Income tax paid	-	4,000

Scenario 1: Compute the income tax payable of Mr. Y assuming he is classified as a resident citizen

- a. P434,000

b. P570,500
- c. P589,000

d. P509,000

Scenario 2: Compute the income tax payable of Mr. Y assuming he is classified as a resident alien

- a. P295,000

b. P358,020
- c. P384,380

d. P357,000

Scenario 3: Disregarding professional and business income, the total income tax that should be withheld from the salaries of Mr. Y assuming he is classified as non-resident alien not engaged in trade or business (NRANETB)

- a. P50,000

b. P18,500
- c. P31,500

d. P338,500

9. A taxpayer provided the following data for 2021:

Compensation income
(10% represents SSS, Pag-ibig, Philhealth and Union dues contributions)
Income from business
Other income (20% represents income from bank deposits abroad)
Expenses (15% represents personal expenses)
Income from bank deposit

P 825,000
10,500,000
750,000
7,200,000
300,000

Additional information:
1/4 of business income and deductible business expenses is from outside the Philippines.

Scenario 1: If the taxpayer is a resident citizen, his taxable income is

- a. P4,050,000
- b. P4,626,000
- c. P4,875,000
- d. P5,872,500

Scenario 2: If the taxpayer is a non-resident alien engaged in trade or business, his taxable income is

- a. P4,050,000
- b. P4,627,500
- c. P4,875,000
- d. P5,722,500

Scenario 3: If the taxpayer is a non-resident alien not engaged in trade or business in the Philippines, his taxable income is

- a. P9,217,500
- b. P9,517,500
- c. P9,750,000
- d. P12,225,000

10. Mr. X, a resident citizen, has the following data for year 2021:

Gross sales, Philippines	P1,250,000
Gross sales, USA	750,000
Sales returns and allowances, Philippines	125,000
Sales returns and allowances, USA	50,000
Cost of sales, Philippines	375,000
Cost of sales, USA	200,000
Business expenses, Philippines (itemized)	125,000
Business expenses, USA (itemized)	75,000
Interest income, peso bank deposit, BPI – Makati	10,000
Interest income, US dollar deposit, BPI – Makati	25,000
Gain from sale of residential house and lot (selling price, P900,000; FMV at time of sale, P1,000,000)	125,000
Gain from sale of shares of stock listed and traded in the local stock exchange (selling price, P100,000)	30,000
Gain from sale of shares of stock not traded in the local stock exchange	150,000

Question 1: How much is the taxable income subject to the graduated tax table?

- a. P1,250,000
- b. P625,000
- c. P1,050,000
- d. P1,175,000

Question 2: How much is the total final tax on passive income?

- a. P1,250,000
- b. P73,875

Question 3: How much is the capital gains tax due?

- a. P70,000
- b. P82,500
- c. P22,500
- d. P30,000

11. Mr. Z, a non-resident Japanese stockholder, received a dividend income of P300,000 in 2021 from ABC Corporation, a foreign corporation doing business in the Philippines. The gross income of ABC Corporation from sources within and without the Philippines for the past three years preceding 2021 is provided as follows:

Source	2018	2019	2020
Philippines	P16,000,000	P15,000,000	P17,000,000
Abroad	8,000,000	11,000,000	13,000,000

Question 1: The amount of income subject to tax should be

- a. P0
- b. P120,000
- c. P180,000
- d. P300,000

Final answer: D



Basis: According to RMC No. 62-2021A9, once the entity passes the predominance test, the entire amount of dividend (100%) is now considered derived within the Philippines.

Question 2: Mr. Z is subject to

- a. Basic income tax on P180,000
- b. Basic income tax on gross income of P300,000
- c. Final withholding tax of 25% on P180,000
- d. Final withholding tax of 25% on gross income of P300,000

Final answer: D

Basis: According to RMC No. 62-2021A9, once the entity passes the predominance test, the entire amount of dividend (100%) is now considered derived within the Philippines.

Question 3: Assuming ABC Corporation is a domestic corporation, the amount of income subject to tax should be

- a. P0
- b. P120,000
- c. P180,000
- d. P300,000

12. Mr. X is a minimum wage earner. He is not engaged in business nor has any other source of income other than his employment.

In 2021, he earned a total compensation income of P135,000. He also received overtime pay of P80,000, night shift differential of P30,000, hazard pay of P15,000 and holiday pay of P15,000. He contributed to the SSS, Philhealth and HDMF amounting to P5,000 and has received 13th month pay of P11,000. What is his income tax liability in 2021?

- a. P0
- b. P1,800
- c. P2,200
- d. P2,600

13. Mr. Y, single, is a minimum wage earner. In addition to his basic minimum wage of P150,000 for the year, he also received the following benefits:

- De minimis, P60,000 (P20,000 over the ceiling)
- 13th month pay and other benefits, P112,000
- Holiday pay, P30,000
- Overtime pay, P10,000
- Night shift differential, P15,000
- Hazard pay, P5,000

Question 1: How much is the income tax due of Mr. Y?

- a. P48,000
- b. P53,000
- c. P82,000
- d. P0

Question 2: How much is the income tax due of Mr. Y in 2021 assuming he also earned P450,000 derived from his business?

- a. P48,000
- b. P53,000
- c. P82,000
- d. P0



CORPORATIONS

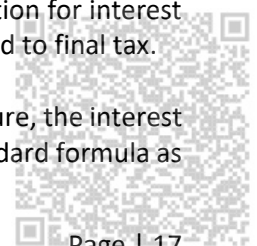
THEORY

1. Which of the following statements is incorrect?
 - a. Domestic corporations are subject to income tax based on net income from all sources
 - b. Resident foreign corporations are subject to income tax based on net income from sources within the Philippines
 - c. Non-resident foreign corporations are subject to income tax based on gross income from sources within the Philippines
 - d. Proprietary educational institutions and hospitals for non-profit are subject to income tax based on gross income from sources within the Philippines at a tax rate of 10% beginning July 1, 2020 until June 30, 2023
2. Which of the following statements is wrong on corporations?
 - a. Domestic corporations, in general, are subject to a tax rate of twenty-five percent (25%) effective July 1, 2020, on income derived from all sources within and outside the Philippines
 - b. Proprietary educational institutions and hospitals which are nonprofit shall pay a tax of one percent (1%) on their taxable income from all sources within and outside the Philippines beginning July 1, 2020, until June 30, 2023, provided that gross income from 'unrelated activities' exceeds fifty percent (50%) of the total gross income derived from all sources
 - c. Resident foreign corporations are subject to a tax rate of twenty-five percent (25%) effective July 1, 2020, on income derived from sources within the Philippines
 - d. Domestic corporations with net taxable income not exceeding Five Million Pesos (P5,000,000) and total assets not exceeding One Hundred Million (P100,000,000), excluding the land on which the particular business entity's office, plant and equipment are situated, are subject to a tax rate of twenty percent (20%) effective July 1, 2020
3. This term applies to a foreign corporation engaged in trade or business in the Philippines.
 - a. Resident foreign corporation
 - b. Non-resident foreign corporation
 - c. Multinational corporation
 - d. Petroleum contractor
4. Which of the following is subject to income tax?
 - a. SSS and GSIS
 - b. Home Development Mutual Fund (HDMF)
 - c. Local water districts
 - d. Philippine Amusement and Gaming Corporation (PAGCOR)
5. Statement 1: In the case of corporations adopting the fiscal-year accounting period, the taxable income shall be computed without regard to the specific date when specific sales, purchases and other transactions occur. Their income and expenses for the fiscal year shall be deemed to have been earned and spent equally for each month of the period.

Statement 2: The corporate income tax rate shall be applied on the amount computed by multiplying the number of months covered by the new rate within the fiscal year by the taxable income of the corporation for the period, divided by twelve.

- a. The first statement is true while the second statement is false
 - b. The first statement is false while the second statement is true
 - c. Both statements are true
 - d. Both statements are false
6. Statement 1: The amount of interest paid or incurred within a taxable year on indebtedness in connection with the taxpayer's profession, trade or business shall be allowed as deduction from gross income: Provided, however, That the taxpayer's otherwise allowable deduction for interest expense shall be reduced by twenty percent (20%) of the interest income subjected to final tax.

Statement 2: Provided, finally, that if the interest income tax is adjusted in the future, the interest expense reduction rate shall be adjusted accordingly based on the prescribed standard formula as



defined in the rules and regulations to be promulgated by the Secretary of Finance, upon the recommendation of the Commissioner of Internal Revenue.

- a. The first statement is true while the second statement is false
 - b. The first statement is false while the second statement is true
 - c. Both statements are true
 - d. Both statements are false
7. Which of the following statements is true? Dividends received by a
- a. Domestic corporation from a resident foreign corporation are subject to final withholding tax
 - b. Resident foreign corporation from another resident foreign corporation are subject to schedular income tax in the Philippines
 - c. Non-resident foreign corporation from domestic corporation are subject to final withholding tax
 - d. Domestic corporation from another domestic corporation are subject to schedular income tax in the Philippines
8. Interest income on bank deposit or investment with maturity period of at least five (5) years received by a corporation is subject to
- | | | |
|-----------------|-------------------------------------|---|
| <u>Domestic</u> | <u>Resident Foreign Corporation</u> | <u>Non-resident Foreign Corporation</u> |
|-----------------|-------------------------------------|---|

Final answers:

Domestic – Ordinary income (subject to RCIT/MCIT)

RFC – Ordinary income (subject to RCIT/MCIT)

NRFC – 25% FWT

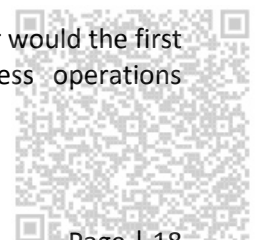
Basis: RR 14-12 Sec. 3:6

Take note that the exemption only applies to individuals.

9. Statement 1: The entire amount of the gain or loss shall be recognized on a corporation or on its stock or securities if such corporation is a party to a reorganization and exchanges property in pursuance of a plan of reorganization solely for stock or securities in another corporation that is a party to the reorganization.
- Statement 2: Sale or exchanges of property used for business for shares of stock covered under this Subsection shall not be subject to value-added tax.
- a. Both statements are true
 - b. Both statements are false
 - c. The first statement is true while the second statement is false
 - d. The first statement is false while the second statement is true
10. Statement 1: The income from bank deposit of a non-stock non-profit educational institution is exempt.

Statement 2: Income of a non-stock non-profit educational institution is exempt.

- a. Both statements are true
 - b. Both statements are false
 - c. The first statement is true while the second statement is false
 - d. The first statement is false while the second statement is true
11. Which of the following may not be allowed to claim OSD in lieu of the itemized deductions?
- | | |
|---------------------------------|--|
| a. Domestic corporation | c. Nonresident foreign corporation |
| b. Resident foreign corporation | d. All of the above are not allowed to claim OSD |
12. A domestic corporation was registered with the BIR on January 1, 2021. What year would the first MCIT be imposed on such corporation assuming it commenced its business operations immediately after the date of registration?
- | | |
|---------|---------|
| a. 2022 | c. 2024 |
| b. 2023 | d. 2025 |



13. Which of the following statements is correct?
 - I. A minimum corporate income tax (MCIT) of 1% of gross income beginning July 1, 2020 until June 30, 2023 is imposed upon any domestic corporation beginning the 4th taxable year immediately following the taxable year in which such corporation commenced its business operations.
 - II. MCIT shall be imposed whenever such corporation has zero or negative taxable income, or when the amount of MCIT is greater than normal income tax due from such corporation.
 - III. The computation and the payment of MCIT, shall likewise apply at the time of filing the quarterly corporate income tax.
 - a. I only
 - b. II only
 - c. I and II only
 - d. I, II and III

14. The MCIT shall apply to which of the following resident foreign corporations?
 - I. International carrier
 - II. Offshore banking units (OBUs)
 - III. Regional operating headquarters
 - a. I and III only
 - b. II and III only
 - c. I and II only
 - d. I, II and III

15. If the gross income from unrelated activity exceeds 50% of the total gross income derived by any private educational institution, the rate shall be the regular corporate tax rate based on the entire taxable income. This principle is known as
 - a. Constructive receipt
 - b. Tax benefit rule
 - c. End result doctrine
 - d. Predominance test

16. Which of the following income is not from a related trade, business or activity of a domestic proprietary educational institution?
 - a. Income from hospital where medical graduates are trained for residency
 - b. Income from the canteen situated within the school campus
 - c. Income from bookstore situated within the school campus
 - d. Income from rent of available office spaces in one of the school buildings

17. A proprietary educational institution spent P10 million for the construction of a new school building. The amount spent for the construction
 - a. May be capitalized or expensed outright at the option of the school
 - b. May be capitalized or expensed at the option of the BIR
 - c. Must be claimed as expense in the year of completion
 - d. May be capitalized and claim annual depreciation over the useful life of the building

18. The ABC Corporation is an international carrier doing business in the Philippines its taxable base for income tax purpose is
 - a. 2.5% on Gross Philippine Billings
 - b. 2.5% on Gross Philippine Billings minus deductible expenses
 - c. Regular rate on its net taxable income
 - d. Allocation of income from sources within and without the Philippines, as well as expenses

19. Rentals, charters and other fees derived by a non-resident lessor of aircraft, machineries and other equipment in the Philippines shall be subject to a tax of
 - a. Twenty-five percent (25%)
 - b. Seven and one-half (7 ½%)
 - c. Four and one-half percent (4 ½%) of gross rentals or fees
 - d. Two and one-half percent (2 ½%) of gross income

20. Rentals and charter fees payable to non-resident owners of vessels chartered by Philippine nationals shall be subject to a tax of
 - a. Twenty-five percent (25%)
 - b. Seven and one-half (7 ½%)
 - c. Four and one-half percent (4 ½%) of gross rentals or fees
 - d. Two and one-half percent (2 ½%) of gross income



21. XYZ University is a non-stock, non-profit educational institution registered with Securities and Exchange Commission (SEC) as a corporation. For the year ended December 31, 2021, it reported rental income amounting to P150M from various tenants leasing portions of the said corporation. The Bureau of Internal Revenue (BIR) assessed XYZ P45M deficiency income tax for rental income earned. Is the action of the BIR proper?
- No, because a proprietary educational institution shall be subject only to 10% preferential corporate income tax
 - No, because all revenues of non-stock, non-profit educational institution shall be exempt from taxes and duties as long as they are used actually, directly, and exclusively for educational purposes
 - Yes, because leasing of property is not actually, directly, and exclusively related to educational purposes
 - Yes, because taxes are the lifeblood of the government and tax exemptions are construed strictly against the taxpayer and liberally in favor of the government
22. Which of the following statements is correct?
- Any profit remitted by a branch office of a multinational corporation to its head office is subject to 15% final tax based on total profits applied or earmarked by remittance without deduction for the tax component
 - Branch profit for purposes of branch remittance tax shall include interests, dividends, rents, royalties, including remuneration for technical services, salaries, wages, premiums, annuities, emoluments or other fixed or determinable annual, periodic or casual gains, profits, income and capital gains received during each taxable year from all sources within the Philippines
 - For purposes of branch profit remittance, income items which are not effectively connected with the conduct of its trade or business in the Philippines are not considered branch profits
 - All of the above
23. ABC Corporation is registered under the laws of Korea. In the Philippines, its products are imported and sold at a mark-up by its exclusive distributor, XYZ, Inc. The BIR compiled a record of all the imports of XYZ from ABC and imposed a tax on ABC's net income derived from its exports to XYZ. Is the BIR correct?
- Yes. ABC is doing business in the Philippines through its exclusive distributor, XYZ
 - No. ABC is a non-resident foreign corporation not engaged in trade of business in the Philippines
 - No. The tax should have been computed based on gross revenues and not net income
 - Yes. ABC is a non-resident foreign corporation engaged in trade of business in the Philippines
24. ABC Corporation, a corporation registered in Japan, has a 50 MW electric power plant in Laguna. Aside from ABC's income from its power plant, which among the following is considered as part of its income from sources within the Philippines?
- Dividends from a two-year old Japanese subsidiary with operations in Tokyo but derives 60% of its gross income from the Philippines
 - Interests earned on its dollar deposits in a Philippine bank under the Expanded Foreign Currency Deposit System
 - Royalties from the use in Thailand of generator sets designed in the Philippines by its engineers
 - Gains from the sale to a Bataan power plant of generators bought from the United States
25. In 2021, XYZ Corporation, a domestic corporation, had a net income of P3,000,000. If a dividend is declared by the corporation and received by the following stockholders, which of the following statements is false?
- Nonresident aliens engaged in trade or business are liable to pay 30% dividend tax
 - Nonresident aliens not engaged in trade or business are liable to pay 25% dividend tax
 - Resident citizens are liable to pay 10% dividend tax
 - Resident foreign corporations are exempt from the payment of dividend tax



PROBLEMS

1. Company X, a retailer, has gross sales of P1,100,000,000 with a cost of sales of P750,000,000 and allowable deductions of P250,000,000 for the calendar year 2021. Its total assets of P230,000,000 as of December 31, 2021 per Audited Financial Statements which includes the land costing P90,000,000 and the building of P45,000,000 in which the business entity is situated, with an aggregate amount of P135,000,000 as Fixed Assets. Assuming CY 2021 is the 5th year of operation of Company X.

Question 1: How much was the MCIT recognized during the current taxable year?

Question 2: How much was the income tax payable during the current taxable year?

2. Company X, a manufacturer, has gross sales of P400,000,000 for CY 2021, its 2nd year of operations. Its total assets amounted to P100,000,000, net of the value of the land amounting to P35,000,000, where its manufacturing plant and business operations are situation. Its cost of sales and allowable operating expenses amounted to P180,000,000 and P70,000,000, respectively.

How much is the income tax due for CY 2021?

3. Company X, a manufacturer, has gross sales of P190,000,000 for CY 2021, its 2nd year of operations. Its total assets amounted to P50,000,000, net of the value of the land of P6,000,000 where its manufacturing plant and business operations are situation. Its cost of sales and allowable operating expenses amounted to P100,000,000 and P85,000,000, respectively.

How much is the income tax due for CY 2021?

4. ABC Corporation reported the following information in 2021:

Total assets (excluding land): P150,000,000

	<u>Philippines</u>	<u>Japan</u>
Gross sales	P6,000,000	P4,000,000
Sales returns and allowances	200,000	150,000
Sales discounts	100,000	80,000
Cost of sales	2,000,000	1,500,000
Deductible expenses	1,000,000	500,000

Requirement: Compute for the income tax due under the following scenarios:

Scenario 1: Domestic corporation (DC)

Scenario 2: Resident foreign corporation (RFC)

Scenario 3: Nonresident foreign corporation (NRFC)



Scenario 4: Domestic corporation with total assets of P90 million
Scenario 5: Domestic corporation availing the Optional Standard Deduction (OSD)

5. ABC Corporation, a corporation organized in 2017 under Philippine laws, reported the following information from 2021 to 2024:

	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>
Total assets (including land)	110,000,000	120,000,000	140,000,000	120,000,000
Land value	20,000,000	20,000,000	25,000,000	25,000,000
Gross Income	8,000,000	10,000,000	7,000,000	10,500,000
Allowable Deductions	(3,500,000)	(4,500,000)	(7,250,000)	(9,000,000)

Requirement: Compute for the income tax payable for years 2021, 2022, 2023 and 2024.

6. ABC University is a non-profit private educational institution with an issued permit to operate from the Commission on Higher Education (CHED). It is maintained and administered by Company Y, a private domestic corporation registered under the Securities and Exchange Commission. ABC University uses a fiscal year accounting ending December 31st of each year.

On December 31, 2021, it recorded total gross receipts amounting to P25,000,000, of which P15,000,000 came from education-related activities, while P10,000,000 from other unrelated business activities. Also, ABC University recorded cost of service and operating expenses from related activities amounting to P5,000,000 and P4,000,000, respectively, and from unrelated business activities amounting to P5,000,000 and P3,000,000, respectively.

How much was the income tax payable for the current year?

7. ABC Hospital, a private non-profit hospital, has gross receipts of P20,000,000 with a cost of P8,000,000 and allowable deductions of P4,500,000 from related activities, while for its unrelated activities, it incurred P5,000,000 and P2,000,000 as cost of sales and allowable deductions, respectively, with a gross income of P13,000,000, for calendar year 2021.

How much was the income tax payable for the current year?



8. Company X is registered as a Regional Operating Head Quarters (ROHQ) since 2015. For taxable years 2020 to 2023, its operation showed the financial results.

	<u>TY 2020</u>	<u>TY 2021</u>	<u>TY 2022</u>	<u>TY 2023</u>
Annual Income	75,000,000	120,000,000	130,000,000	75,000,000
Cost of Services	<u>41,250,000</u>	<u>66,000,000</u>	<u>71,500,000</u>	<u>41,250,000</u>
Gross Income	33,750,000	54,000,000	58,500,000	33,750,000
Less: Allowable Deductions	<u>33,625,000</u>	<u>41,200,000</u>	<u>42,550,000</u>	<u>35,125,000</u>
	125,000	12,800,000	15,950,000	(1,375,000)

Compute the income tax payable for the years 2020 to 2023.

9. Company X, a domestic corporation, owns twenty percent (20%) of the outstanding shares of Company Y, a non-resident foreign corporation (NRFC), since August 1, 2015. On June 30, 2021 it received dividend amounting to P1,000,000 from the said NRFC. The said dividends has not been used until January 13, 2023.

Question 1: Based on the above problem, how much taxable income shall be declared for the taxable year 2021?

Question 2: Assuming the entity has complied with the requirements under Sec. 27 (D) of NIRC with respect to dividends received from NRFC, how much taxable income shall be declared for the taxable year 2021?

10. Company X, a domestic corporation, owns twenty percent (20%) of the outstanding shares of Company X, a non-resident foreign corporation (NRFC), since August 1, 2015. On May 1, 2021, the NRFC distributed dividends amounting to P1,000,000 to Company X. On September 1, 2022, Company X utilized 80% of the dividends it received for a qualified activity under Sec. 27 (D)(4) of NIRC. On January 1, 2023, it utilized the remaining P200,000 for its working capital requirements.

How much taxable income shall be declared for the taxable year 2021?

11. Company X, a domestic corporation, holds 20% of the stocks of Company Y, a non-resident foreign corporation, Company X a wholly-owned subsidiary of Company Z, a non-resident foreign corporation. Company X’s holdings in Company Y started in 2018, and the holding period is uninterrupted. On July 1, 2021, Company X received dividends from Company Y amounting to P2,000,000 and subsequently paid out dividends on December 31, 2022, in the amount of P1,500,000. The remaining amount of P500,000 has not been used in any qualified activity or exempt foreign-source dividends.

How much taxable income of Company X shall be subject to income tax during the current taxable year?



12. Company X, a domestic retailer, has gross sales of P1,400,000,000 with cost of sales of P560,000,000 and allowable deductions of P150,000,000 for calendar year 2020, its fifth year of business operations. Its total assets of P180,000,000 include the land and building in which the business is situated, amounting to P50,000,000 and P25,000,000, respectively.

Requirement 1: Compute the regular income tax (RCIT).

Requirement 2: Compute the minimum corporate income tax (MCIT).

Requirement 3: Determine the income tax payable to be reported for the current taxable year.

Requirement 4: Assuming the taxable period of Company X is ending on April 30, 2021, compute the income tax payable to be recognized for the current year.

13. Company X, a resident foreign corporation, has gross sales of P500,000,000 cost of sales of P300,000,000 and allowable deductions of P75,000,000 for fiscal year ending April 30, 2021, its fifth year of business operations. Its total assets is P800,000,000 which included the land of P50,000,000 and other fixed assets of P200,000,000.

What would be the taxable income for the current taxable year?

14. ABC Corporation provided the following data for calendar year ending December 31, 2021:

(Exchange rate: \$1 : P50)

	<u>Philippines</u>	<u>USA</u>
Gross Income	P4,000,000	\$40,000
Deductions	P2,500,000	\$15,000
Income tax paid		\$3,000

Requirement 1: If the corporation is a domestic corporation, its income tax payable is

Requirement 2: If the corporation is a domestic corporation but it opts to claim the tax paid abroad as deductions from gross income, its income tax payable is

Requirement 3: If the corporation is a resident corporation, its income tax payable is



Requirement 4: If the corporation is a non-resident corporation, its income tax payable is

Requirement 5: If the corporation is a resident international carrier, its income tax payable is

Requirement 6: If the corporation is a non-resident cinematographic film owner or lessor, its income tax payable is

Requirement 7: If the corporation is a non-resident lessor of vessel chartered by Philippine nationals, its income tax payable is

Requirement 8: If the corporation is a non-resident lessor of aircraft, machineries and equipment, its income tax payable is

Requirement 9: If the corporation is a regional operating headquarters earning income in the Philippines, its income tax payable is

Requirement 10: If the corporation is a regional or area headquarters of a multinational corporation that does not earn or derive income from the Philippines, its income tax payable is

Requirement 11: If the corporation is a resident foreign corporation and it applied with the Banko Sentral ng Pilipinas for a remittance of profits of P1,500,000, but only remitted P1,275,000, net of tax:



ADDITIONAL EXERCISES

PROBLEM 1

ABC Corporation has the following records in 2021:

	1 st	2 nd	3 rd	4 th
	<u>Quarter</u>	<u>Quarter</u>	<u>Quarter</u>	<u>Quarter</u>
Gross profit	P500,000	P850,000	P800,000	P770,000
Expenses	400,000	770,000	640,000	575,000
Dividends from domestic corporation	15,000	15,000	20,000	20,000
Interest on peso bank deposit	3,000	5,000	3,750	2,250
Income tax withheld	5,000	7,000	8,000	6,750
Rent income, gross of 5% withholding tax	36,000	36,000	48,000	48,000

The company had an excess payment of P12,500 in 2020 from which it had decided to claim tax credit on the excess.

Requirement: Compute for the income tax payable (refund) for each of the quarter and final return.

PROBLEM 2

ABC Corporation, a domestic corporation, declared and paid the following dividends to its shareholders in 2021:

To A, a resident citizen	P300,000
To B, a non-resident citizen	200,000
To C, a resident alien	500,000
To D, a non-resident alien engaged in trade in the Philippines	600,000
To E, a non-resident alien not engaged in trade in the Philippines	700,000
To F, a domestic corporation	900,000
To a resident foreign corporation	400,000
To a non-resident foreign corporation (with tax sparing)	100,000

Requirement: Compute for the final tax to be withheld by ABC Corporation.



PROBLEM 3

The following information were taken from the records of ABC Inc., a domestic corporation already in its fifth year of operations:

Gross profit from sales	P3,100,000
Capital gain on sale directly to buyer of shares in a domestic corporation	100,000
Dividend from:	
Domestic corporation	20,000
Resident foreign corporation (complied with Sec. 27D)	10,000
Interest on:	
Bank deposit	20,000
Trade receivable	50,000
Business expenses	2,100,000
Income tax withheld	115,000
Quarterly income tax payments	160,000
Excess payment from prior year	10,000

Requirement: Compute for the income tax payable at the end of the year.

PROBLEM 4

The following data were taken from the financial statement of ABC Corporation taxable for the current year:

	Philippines	USA
Gross sales	P950,000	P2,000,000
Sales returns	25,000	
Cost of goods sold	425,000	300,000
Income from trade receivable	10,000	50,000
Interest income from bank deposit	20,000	
Royalty income	20,000	
Sales of shares of stocks of domestic corporation held as capital asset through local stock exchange	70,000	
Operating expenses, 30% of the operating expenses are non-deductible	250,000	300,000
Income from money market placement	35,000	100,000
Selling price of real property in the Philippines not used in business, cost P4,000,000 (the FMV of the real property was P8,000,000 and zonal value of P7,000,000 at the time of sale)	5,000,000	

Compute for the following:

1. Income tax due
2. Total tax on passive income
3. Capital gains tax



PARTNERSHIP, CO-OWNERSHIP, JOINT VENTURE

THEORY

1. For purposes of taxation, partnership is
 - I. Classified into two major categories, ordinary partnership (OP) and general professional partnership (GPP)
 - II. Ordinary partnership is treated as corporate taxpayer
 - III. General professional partnership is exempt from income tax
 - a. I, II and III
 - b. I and II only
 - c. I and III only
 - d. I only
2. The members of this form of business organization shall be liable for income tax only on their individual capacity, and their share in the profits, whether distributed or otherwise, shall be returned for taxation. This applies to
 - a. Duly registered general co-partnership
 - b. Unregistered general co-partnership
 - c. General professional partnership
 - d. Joint-stock companies

3. Statement 1: A general professional partnership is exempt from income tax, but a partner shall be taxable on his share in the partnership net income, that he should consolidate with his own income from other sources.

Statement 2: A partnership that is not a general professional partnership is taxable as a corporation, and a partner shall report his share in the partnership net income, as dividend income, whether actually received or not.

- a. Both statements are correct
- b. Both statements are wrong
- c. The first statement is correct but the second statement is wrong
- d. The first statement is wrong but the second statement is correct

Final answer: C (Statement 2 is incorrect)

Rationale: Dividend income of a partner under ordinary partnership is subject to 10% FWT; hence, it will not form part of the partner's personal income tax return (ITR). Since it is subject to FWT, the partnership will act as a withholding agent and pay the respective liability of the partner.

4. Which of the following statements is false?
 - a. A partner's share in the net profits of a general professional partnership is not compensation income
 - b. A limited partnership is considered for tax purposes as a corporation, and the partnerships thereof likened to stockholders
 - c. Tax income taxation rules application to corporations likewise apply to informal partnerships
 - d. Registered general professional partnerships are subject to income tax
5. Statement 1: The distributive share of a partner in the net income of a taxable partnership is equal to each partner's distributive share of the net income declared in the partnership for a taxable year after deducting the corresponding corporate tax.

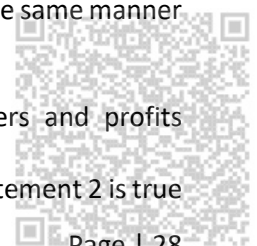
Statement 2: If a taxable partnership sustains net operating loss, the partners shall be entitled to deduct their respective shares in the net operating loss from their individual gross income.

- a. Statements 1 and 2 are false
- b. Statement 1 is true but statement 2 is false
- c. Statement 1 is false but statement 2 is true
- d. Statements 1 and 2 are true

6. Statement 1: For purposes of computing the distributive share of the partners of a general professional partnership, the net income of the partnership shall be computed in the same manner as a corporation.

Statement 2: Partners of a taxable partnership are considered as shareholders and profits distributed to them by the partnership are considered as dividends.

- a. Statements 1 and 2 are false
- c. Statement 1 is false but statement 2 is true



- b. Statement 1 is true but statement 2 is false d. Statements 1 and 2 are true
7. Statement 1: The share of the partner in the gross income of the GPP is added to his own gross income.
- Statement 2: The share of the partner in the net income of a GPP is also considered passive income.
- a. Statements 1 and 2 are false c. Statement 1 is false but statement 2 is true
b. Statement 1 is true but statement 2 is false d. Statements 1 and 2 are true
8. The share of a partner in the profits of a general professional partnership is regarded as received by him and thus taxable although not yet distributed. This principle is known as
- a. Advance reporting of income c. Accrual method of accounting
b. Actual receipt of income d. Constructive receipt of income
9. Statement 1: Under RA10963, an individual partner of a GPP applying optional standard deduction is not allowed for any deduction on his distributive shares.

- Statement 2: Under RA10963, an individual partner of a GPP may avail of 8% tax on his distributive share, in lieu of graduated tax rate.
- a. Only statement 1 is correct c. Both statements are correct
b. Only statement 2 is correct d. Both statements are incorrect
10. If a general professional partnership is on the accrual method of accounting, and a partner, on his own transactions, is on the cash method of accounting, in the partner's determination of his taxable income for a year
- a. He can consolidate his share in the net income of the partnership, determined by the partnership under the accrual method, with his own income determined under the cash method
b. He must convert his income from the partnership into cash method before consolidating it with his own income on the cash method
c. He must convert his own income into accrual method before consolidating it with his own income from the partnership under the accrual method
d. He does not have to report his income from the partnership because the partnership is exempt from income tax
11. A general professional partnership is exempt from income tax, but is required to file an income tax return
- a. For statistical purposes
b. Because the net income of the partnership will be traced into the income tax return of the partners
c. Because all income earners are required to file income tax return
d. None of the above
12. It arises when two or more heirs or beneficiaries inherit an undivided property from a decedent, or when a donor makes a gift of an undivided property in favor of two or more donees
- a. Partnership c. Joint account
b. Trust d. Co-ownership
13. 1st Question: Is a co-ownership taxable? No, because the activities of the co-owners are limited to the preservation of the property and the collection of income therefrom.
- 2nd Question: is the share of a co-owner in the net income of a co-ownership taxable? Yes, because each co-owner is taxed individually on his distributive share in the income of the co-ownership.
- a. Answers to both questions are correct.
b. Answer to Question 1 is wrong, answer to Question 2 is correct
c. Answer to Question 1 is correct, answer to Question 2 is wrong
d. Answers to both questions are wrong
14. Which of the following statements is correct?
- a. A joint venture for undertaking construction projects is not taxable as a corporation



- b. A consortium for energy operations pursuant to an operation consortium agreement under a service contract with the government is not taxable as a corporation
 - c. A co-ownership where the activities of the co-owners are limited to the preservation of property and collection of income from the property is not taxable as a corporation
 - d. All of the above
15. Statement 1: Joint ventures, regardless of the purpose by they were created, are generally exempt from corporate income tax.

Statement 2: The share of a co-venturer corporation in the net income of tax-exempt joint venture or consortium is subject to corporate income tax.

- a. Only statement 1 is correct
 - b. Only statement 2 is correct
 - c. Both statements are correct
 - d. Both statements are incorrect
16. Statement 1: The share of a co-venturer individual in the net income of a tax-exempt joint venture or consortium is subject to normal income tax.

Statement 2: The share of a co-venturer individual in the net income of a tax-exempt joint venture or consortium is subject to creditable withholding tax of 20%.

- a. Only statement 1 is correct
 - b. Only statement 2 is correct
 - c. Both statements are correct
 - d. Both statements are incorrect
17. The share of a co-venturer individual in the net income after tax of a joint venture or consortium taxable as a corporation is
- a. Subject to creditable withholding tax of 10%
 - b. Subject to final withholding tax of 10%
 - c. Subject to capital gains tax
 - d. Exempt from income tax

18. The share of a co-venturer corporation in the net income after tax of a joint venture or consortium taxable as a corporation is
- a. Subject to creditable withholding tax of 10%
 - b. Subject to final withholding tax of 10%
 - c. Subject to capital gains tax
 - d. Exempt from income tax

19. Statement I: A joint venture for undertaking construction projects is not taxable as a corporation.

Statement II: A consortium for energy operations pursuant to an operating consortium agreement under a service contract with the government is not taxable as a corporation.

Statement III: A general partnership in trade is not taxable as a corporation.

Statement IV: A co-ownership where the activities of the co-owners are limited to the preservation of property and collection of income from the property is taxable as a corporation.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true

PROBLEMS

1. AB & Co., a partnership, had the following data for 2021:
- | | |
|---|------------|
| Gross income from professional services | P2,500,000 |
| Expenses related to the income | 800,000 |

With personal data of:	Partner A	Partner B
Gross income	P1,000,000	P800,000
Deductible expenses	350,000	200,000

Scenario 1: If AB & Co. is classified as a general professional partnership (GPP), compute for the following:

- a. Net distributable income of the partnership



- b. Income tax of AB & Co. Partnership
- c. Income tax due from each partner

Scenario 2: If AB & Co. is classified as an ordinary partnership (OP), compute for the following:

- a. Distributive share of each partner

- b. Income tax of AB & Co. Partnership
- c. Income tax due from each partner

2. On January 1, 2021, Atty. X, Atty. Y and Atty. Z established a law firm. The 2021 financial records of the firm disclosed the following:

Service Revenue	P4,990,000
Cost of Services	1,610,000
Operating expenses	800,000
Interest income from bank deposit	200,000
Interest income from FCDS deposit	280,000

Atty. Y is also engaged in business with the following data for 2021:

Sales	P2,500,000
Cost of Sales	1,250,000
Operating expenses	550,000

Question 1: Compute for the distributive share of each partner in the total income of the general professional partnership (GPP)

- a. P992,667
- b. P1,019,333
- c. P2,578,000
- d. P2,976,000

Question 2: Compute for the taxable income of Y on his separate capacity in 2021

- a. P860,000
- b. P1,510,000
- c. P1,560,000
- d. P2,580,000

Question 3: Compute for the taxable income of Y in 2021 assuming the GPP opted to use Optional Standard Deduction (OSD)

- a. P1,376,000
- b. P1,426,000
- c. P1,692,000
- d. P1,660,600



- Question 4: Compute for the taxable income of Y in 2021 assuming the GPP and Y opted to use Optional Standard Deduction (OSD)
- a. P1,426,000
 - b. P1,692,000
 - c. P2,176,000
 - d. None of the above
3. XYZ Company is a business partnership. Its gross sales amounted to P30,000,000 for taxable year 2021. The recorded cost of sales and operating expense of the partnership were P8,250,000 and P4,500,000, respectively.

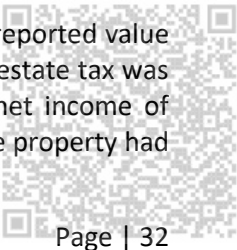
It had also incurred an interest expense of P600,000 in connection with asset acquisition and interest income from bank deposit amounting to P300,000, net of final withholding tax.

- Question 1: How much is the taxable income of the partnership?
- Question 2: How much is the income tax liability of the partnership?
- Question 3: Assuming the partnership avails of the Optional Standard Deduction, how much is the tax liability of the partnership?

4. A and B are co-owners by inheritance of an income producing property. A and B merely preserve and collect income from the said property. Data on the co-ownership and co-owners A and B for the current year are as follows:

	Co-ownership	A	B
Gross income	P2,000,000	P 400,000	P 350,000
Expenses	1,000,000	150,000	200,000

- Compute for the following:
- a. Income tax due of the co-ownership
 - b. Taxable income of co-owners A and B
5. A and B inherited an income earning property. In 2020, without dividing the property, they had a net income of P230,000 which they deposited in a joint bank account. In 2021, they used the money in the bank to purchase another income-producing property. From the net income of P500,000 in 2021 from the two properties, A and B each withdrew P100,000. A and B are brothers. Which of the following statements is wrong?
- a. In 2020, A and B each had an income from the properties, taxable to each as income of individual taxpayers
 - b. The income of P500,000 in 2021 is income of a partnership, taxable income of a corporation
 - c. In 2021, A and B each had an income of P250,000, taxable income of an individual
 - d. In 2021, A and B each had an income of P100,000, taxable as income of an individual
6. In 2020, X and Y inherited income-producing properties from their mother with a reported value of P1,000,000 to the court and the Bureau of Internal Revenue, and on which the estate tax was paid. The properties remained registered in the name of the mother, but the net income of P40,000 from the property was deposited in a joint account of X and Y. In 2021, the property had



- a net income of P70,000, from which each withdrew P15,000. In the same year, they sold the property for P3,000,000. Which of the following statements is wrong?
- a. X and Y in 2020 each had an income of P20,000 from the property, as individual taxpayers
 - b. X and Y became an entity taxable as a corporation beginning 2021
 - c. X and Y in 2021 each had an income of P35,000 from the property as individual taxpayers
 - d. X and Y each had a capital gain tax of on a selling price of P1,500,000
7. On January 1, 2021, A Co. and B Co., contractors, formed a joint venture (JV). Data on the JV and parties to the venture for the year are as follows:

	<u>Joint Venture</u>	<u>A Co.</u>	<u>B Co.</u>
Gross income	P10,000,000	P5,000,000	P6,000,000
Expenses	4,000,000	3,000,000	2,500,000
Quarterly income tax paid		500,000	900,000

- Compute for the income tax due (before CWT) from the JV and joint venturers, A Co. and B Co.
- Scenario 1: If the JV was entered into solely to construct an expressway north and south of Manila and collect toll from users.
- Scenario 2: If the JV was entered into solely to engage in petroleum operations pursuant to an operating or consortium agreement under a service contract with the Government.
- Scenario 3: If A Co. and B Co. are transportation companies and they entered a JV wherein A Co. will transport units south of Manila and B Co. will transport units north of Manila and that the JV has remitted a total of P1,500,000 quarterly tax payments.

8. X Builders and Y Development, both domestic corporations, are engaged in the construction business. They formed a joint venture, XY Inc., with an agreed profit and loss sharing ratio of 60:40 for X Builders and Y Development, respectively. X, Y and the joint venture are all licensed by the PCAB and eligible for tax incentives. Summary information for the three entities are as follows:

	<u>Joint Venture</u>	<u>X Builders</u>	<u>Y Development</u>
Gross income	P12,000,000	P3,000,000	P4,500,000
Expenses	9,000,000	1,800,000	3,000,000

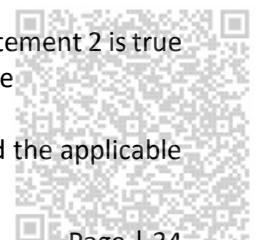
- Question 1: Determine the income tax liability of the joint venture, XY Inc.
- Question 2: Determine income tax liability before tax credits of X Builders
- Question 3: Assume instead that X and Y are both engaged in the transportation business, determine the income tax liability of the joint venture
9. A Co. is an owner of a large tract of land, B. Co. is a construction company. A Co. and B Co. entered into a consortium under which A Co. will contribute the land, and B Co. will construct subdivision houses on it. A Co. B Co. will divide the property (land and houses) between them. A Co. and B Co. will sell their respective shares in the developed property. Which statement is incorrect?
- a. A Co. and B Co. do not constitute a taxable entity on the project
 - b. A Co. and B Co. are not be taxable on their allocated shares (in land and property) in the developed property
 - c. A Co. and B Co. is one taxable entity on the sale of all land and houses covered by the consortium agreement
 - d. A Co. and B Co. are taxable on the sale of the land and houses allocated to them, as separate taxpayers



ESTATE AND TRUST

THEORY

1. The property, rights and obligations of a person which are not extinguished by his death and those which accrued thereto since the opening of succession
 - a. Assets
 - b. Capital
 - c. Estate
 - d. Income
2. A person whose property is transmitted through succession, whether or not he left a will
 - a. Decedent
 - b. Transferor
 - c. Transferee
 - d. Testator
3. A decedent who has a will upon death
 - a. Transferor
 - b. Grantor
 - c. Donor
 - d. Testator
4. The person called to the succession either by the provision of the will or by operation of law
 - a. Heir
 - b. Devisee
 - c. Legatee
 - d. Trustor
5. An heir who inherits personal property by will is called
 - a. Legatee
 - b. Devisee
 - c. Trustor
 - d. Beneficiary
6. An heir who inherits real property by will is called
 - a. Legatee
 - b. Devisee
 - c. Trustor
 - d. Beneficiary
7. Statement 1: Where the estate is under judicial administration, the income of the estate shall be taxable to the fiduciary of trustee.
 Statement 2: Where the estate is not under judicial administration, the income of the estate shall be taxable to the heirs and beneficiaries.
 - a. Statements 1 and 2 are false
 - b. Statement 1 is true but statement 2 is false
 - c. Statement 1 is false but statement 2 is true
 - d. Statement 1 is false but statement 2 is true
8. Income received by the estate during the period of administration or settlement of the estate, for tax purposes is known as
 - a. Income of the estate
 - b. Income of the heirs
 - c. Income of the trustee
 - d. Income of the testator
9. Statement 1: The amount of income of the estate for the taxable year, which is properly paid or credited during such year to any legatee, heir or beneficiary, is a special item of deduction from the gross income of the estate.
 Statement 2: An allowance paid to a widow or heir out of the corpus of the estate is not deductions from the gross income of the estate.
 - a. Statements 1 and 2 are false
 - b. Statement 1 is true but statement 2 is false
 - c. Statement 1 is false but statement 2 is true
 - d. Statements 1 and 2 are true
10. Statement 1: When an estate, under administration, has income-producing properties, the annual income of the estate becomes part of the taxable gross estate.
 Statement 2: When an estate, under administration, has income-producing properties and its income during the year is distributed to the heirs, the income so distributed is taxable to the heirs as part of their gross income for the year.
 - a. Statements 1 and 2 are false
 - b. Statement 1 is true but statement 2 is false
 - c. Statement 1 is false but statement 2 is true
 - d. Statements 1 and 2 are true
11. The following statements refer to the rules in determining the taxable income and the applicable income tax liability of an estate. Which of the statements is/is/are correct?



- I. The items of gross income of the estate are the same items as the items of gross income of individual taxpayers.
 - II. In addition to the allowable deductions under the Tax Code, the estate is allowed to deduct the amount of income of the estate during the taxable year that is paid or credited to the legatee, heir or beneficiary
 - III. The amount of income of the estate during the year that is paid or credited to the legatee, heir or beneficiary is subject to final withholding tax of 15%
 - a. I and II only
 - b. I and III only
 - c. II and III only
 - d. None of the above
12. An arrangement under which title to property is passed to another for investment with the income and ultimately the principal to be distributed in accordance with the direction of the creator is
 - a. A will
 - b. A trust
 - c. An inheritance
 - d. Pacto de retro
 13. The person who establishes a trust
 - a. Heir
 - b. Devisee
 - c. Legatee
 - d. Trustor
 14. The person in whom the confidence is reposed as regards property for the benefit of another person
 - a. Devisee
 - b. Trustee
 - c. Legatee
 - d. Trustor
 15. The person for whose benefit the trust has been created
 - a. Legatee
 - b. Heir
 - c. Beneficiary
 - d. Trustee
 16. For income tax purposes, any person or corporation that holds in trust an estate of another person or persons
 - a. Beneficiary
 - b. Fiduciary
 - c. Legatee
 - d. Devisee
 17. Which of the following is not subject to tax?
 - a. Estates under judicial settlement.
 - b. Irrevocable trust
 - c. Unregistered partnerships
 - d. Revocable trust
 18. Which of the following statements is correct?
 - a. Estates and trusts are allowed a personal exemption of P50,000 if the executor or trustee is married
 - b. The income tax rates for corporate taxpayers apply to taxable estates and trusts
 - c. The taxable year of estates and trusts maybe calendar or fiscal year.
 - d. For a trust to be taxable it must be irrevocable, both as to corpus (principal) and income
 19. Statement I: Estates and trusts can deduct from their gross income the same items of deductions authorized under the Tax Code as those allowed to individual taxpayers.

Statement II: The schedular tax rates under Section 24 (A), which are prescribed for individuals, will be used in computing the income tax of estates and trusts.

Statement III: The amount of income of the estate for the taxable year, which is properly paid or credited during such year to any legatee, heir or beneficiary, is a special item of deduction from the gross income of the estate.

Statement IV: An allowance paid to a widow or heir out of the corpus or principal of the estate is deductible from the gross income of the estate.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true



PROBLEMS

1. The following data for an estate and its heirs, X and Y, are available for year 2021.

	Estate	X	Y
Gross income	1,200,000	900,000	700,000
Expenses	400,000	200,000	150,000
Distribution made to/received by heirs	200,000	100,000	100,000

The income tax was properly withheld by the estate. Compute for the income tax due of the estate, X and Y for 2021.

Scenario 1: The estate is under judicial settlement or administration.

Scenario 2: The estate is under extra-judicial settlement.

2. Mr. X died on March 1, 2021. He left an estate with a fair market value of P12,000,000. During the year, the estate had a gross income of P1,000,000 and related expenses of P300,000. During the year, the administrator gave P200,000 each to Y and Z (Mr. X's beneficiaries). Of the amounts given to Y and Z, 50% came from the income of the estate and the other 50% came from the estate. The net taxable income of the estate of Mr. X in 2021 is

- a. P300,000

b. P500,000
- c. P480,000

d. P0

3. Mr. X, a resident citizen, died on January 10, 2021 and left an estate of P10,000,000, which is under the administration of Mr. Y. It includes a portfolio of rental properties. In 2021, the estate generated total rental revenue of P3,800,000, after 5% withholding tax. The estate also incurred deductible expenses amounting to P800,000. Mr. Y distributed P500,000 and P750,000 to Mr. X's two kids, A and B, respectively. 60% of the distribution came from the income of the estate while the rest came from the estate itself. Compute for the tax still due from the estate in 2021

- a. P634,000

b. P434,000
- c. P874,000

d. P674,000

4. On January 1, 2021, Mr. X established a trust fund for the benefit of his daughter, Y. Mr. X appointed Z as the trustee. The property transferred to the trust is a piece of land earning rental income. During the year, the trust earned P60,000,000 revenues and incurred expenses of P25,000,000. Out of the trust's income, Z gave Y P15,000,000 cash. In the same year, Y earned compensation income of P5,000,000. Compute the taxable income of the trust and Y under the following scenarios:

Scenario 1: The trust is revocable.

Final answers: Trust – P0; Grantor (Mr. X) – P35M; Beneficiary (Y) – P20M.

Scenario 2: The trust is irrevocable.

5. Mr. X designated two (2) irrevocable trusts in favor of his son. For year 2021, the trusts earned the following income:

Trust 1	P4,000,000
Trust 2	6,000,000

Question 1: How much is the consolidated income tax payable of the two Trusts?

- a. P3,165,000

b. P3,152,200
- c. P3,110,000

d. P0

Question 2: How much is the income tax due of Trust 1?

- a. P1,244,000

b. P1,263,440
- c. P1,266,000

d. P0

Question 3: How much is the income tax due of Trust 2?

- a. P1,895,160

b. P1,899,000
- c. P1,891,320

d. P1,866,000



GROSS INCOME

1. Which of the following is a requisite for an income to be taxable?
 - a. There must be gain
 - b. The gain must be realized or received
 - c. The gain must not be excluded by law from taxation
 - d. All of the above
2. Which of the following is not an income for income tax purposes?
 - a. Gain derived from labor
 - b. Return on capital
 - c. Excess of selling price over cost of assets sold
 - d. Gift received
3. Which of the following test of source of income is incorrect?
 - a. Interest income – residence of the debtor
 - b. Income from services – place of performance
 - c. Royalties – place of use of intangible
 - d. Gain on sale of real property – place of sale
4. Which of the following compensation will be subject to graduated rates?
 - a. Basic salary whether or not the employee is a minimum wage earner
 - b. Basic salary only if the employee is not a minimum wage earner
 - c. 13th month pay and other benefits not exceeding P90,000
 - d. Fringe benefits received by supervisory or managerial employee
5. Prizes and awards received shall be exempt from income tax when the following conditions are met, except
 - a. It is given in recognition of religious, charitable, scientific, educational, artistic, literary or civic achievement
 - b. The recipient of the award or prize is not required to render substantial future services as a condition in receiving the prize or award
 - c. The recipient of the award was selected without any action on his part to enter the contest or proceeding
 - d. The amount of prizes does not exceed P10,000
6. One of the following compensation income of an individual taxpayer is not an exclusion from gross income
 - a. Monetized vacation leaves not exceeding 10 days a year
 - b. Separation pay of an employee who resigned from his employment
 - c. Retirement benefits of an employee under a qualified benefit plan who has worked for an employer for at least 10 years, who at the time of retirement is not less than 50 years of age, and who availed of the retirement for the first time
 - d. All of these
7. Which of the following is not a taxable income?
 - a. Bad debts previously deducted as item of expense and partially recovered subsequently
 - b. Tax expense previously disallowed as deduction from taxable income, fully refunded subsequently
 - c. Income from gambling
 - d. Income from usurious financing
8. Proceeds of Insurance taken by a corporation on the life of an executive to indemnify it against loss in case of his death is
 - a. Exempt from income tax
 - b. Part of taxable income
 - c. Subject to final tax
 - d. Partly exempt, partly taxable
9. The proceeds received under a life insurance endowment contract is not considered part of gross income
 - a. If it is so stated in the life insurance endowment policy
 - b. If the price for the endowment policy was not fully paid
 - c. Where payment is made as a result of the death of the insured
 - d. Where the beneficiary was not the one who took out the endowment contract



10. Which of the following is taxable?
 - a. Separation pay received by a 50-year old employee due to the retrenchment program of the employer
 - b. Retirement pay received from a benefit plan registered with the BIR where at the time the employee retired, he was 57 years of age, retiring from employment for the first time in his life, and was employed with the employer for 8 years
 - c. Social security benefit received by a balikbayan from employer abroad at age of 30
 - d. None of the above

11. Which among the following is part of the taxable income of an employee?
 - I. Insurance premium provided by employer on the life insurance policy of the employee where the designated beneficiary is the relative of the employee.
 - II. Insurance premium paid by employer on the life insurance policy of the employee where the designated beneficiary is the employer.
 - III. The income tax of the employee paid by the employer as part of the employee's benefit.
 - IV. The income tax of the employee advanced by the employer, deductible against future income of the employee.
 - a. I only
 - b. I and III only
 - c. II and III only
 - d. III only

12. Which of the following interest income is subject to normal tax?
 - I. Interest income earned or derived from the normal course of trade or business.
 - II. Interest income earned or derived from notes receivable.
 - III. Interest income earned or derived from the over-payment of income tax for previous years.
 - IV. Interest income derived from investments in government bonds.
 - a. I only
 - b. I and II only
 - c. I, II and III only
 - d. All of the above

13. This is taxable income
 - a. Retrenchment pay
 - b. Separation pay due to resignation
 - c. SSS/GSIS benefits
 - d. Refund of Philippine Income tax

14. If an individual performs services for a creditor who, in consideration thereof, cancels the debt, the cancellation of indebtedness may amount
 - a. To a gift
 - b. To a capital contribution
 - c. To a donation inter vivos
 - d. To a payment of income

15. ABC Corporation took two life insurance policies on the life of its VP, Mr. X. In one policy, the beneficiary is the corporation and the other, designates his wife as the revocable beneficiary. The insurance premium paid by ABC Corporation is
 - a. Tax deductible insofar as the first policy is concerned
 - b. Tax deductible for both policies
 - c. Not tax deductible for both policies
 - d. First policy is not deductible; second policy is deductible

16. One of the following is taxable income
 - a. Gifts, bequests and devices
 - b. Amounts received as rewards for giving information instrumental in the discovery of violation of the Tax Code and seizure of smuggled goods
 - c. Proceeds from life insurance
 - d. Separation pay received by an employee due to a cause beyond his control

17. As a rule, the following are taxable income, except
 - a. Cash dividend
 - b. Scrip dividend
 - c. Property dividend
 - d. Stock dividend

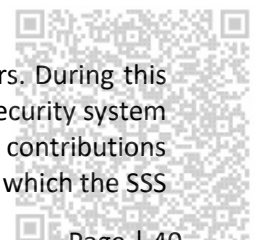
18. The following items are exclusions from gross income, except
 - a. Labor union dues
 - b. IOU's
 - c. SSS/GSIS premiums contributions
 - d. Pag-ibig premiums contributions



19. Which of the following is part of gross income?
- PCSO and Philippine Lotto winnings
 - Bank interest on long-term deposit
 - Proceeds of life insurance
 - Raffle prize not exceeding P10,000
20. Dividends paid by a domestic corporation maybe taxable but subject to final tax, except
- If received by a resident citizen
 - If received by a resident alien
 - If received by a non-resident corporation
 - If received by another domestic corporation
21. Which statements is correct?
- Incomes from illegal activities are taxable
 - Tax refunds constitute taxable income to the taxpayer
 - Recovery of bad debts previously written off is part of taxable income
 - As a rule, contest awards and prizes are subject to 20% final tax if they amount to P10,00 or more, otherwise they will be exempt from income tax
22. One of the following is taxable income
- Compensation for damages
 - The share of a partner in the undistributed net income of a general professional partnership
 - Living quarters and meals furnished and given to an employee for the convenience of the employer
 - Facilities or privilege of relatively small value offered by the employer as a means of promoting the health, goodwill, contentment, or efficiency of the employee
23. Gain realized from the sale or exchange or retirement of bonds, debentures or other certificate of indebtedness is excluded from gross income if with a maturity of
- 5 years or more
 - More than 8 years
 - More than 7 years
 - More than 10 years
24. Gross benefits received by officials and employees of public and private entities as 13th month pay and other benefits such as productivity bonus, service incentive pay, and Christmas bonus shall be excluded from taxable income up to
- P20,000
 - P40,000
 - P90,000
 - P50,000
25. Advance rental in the nature of prepaid rental, received by the lessor under a claim or right and without restriction as to use is
- Taxable income of the lessor in the year received if he is on the cash method of accounting
 - Taxable income of the lessor in the year received if he is on the accrual method of accounting
 - Taxable income of the lessor in the year received whether he is on the cash or accrual method of accounting
 - Taxable income of the lessor up to the amount earned in the year the rental is received
26. Statement I: Holiday pay and hazard pay are not exempt from income tax.
- Statement II: Tips or gratuities paid directly to an employee by a customer of the employer which are not accounted for by the employee to the employer are considered as taxable income.
- True; False
 - False; False
 - True; True
 - False; True
27. Statement I: If services are paid for in a medium other than money, it is not to be included as compensation.
- Statement II: Passive income subject to final tax shall not form part of the gross income for purposes of computing the normal income tax liability of individuals and corporations.
- True; False
 - False; False
 - True; True
 - False; True
28. X Corporation took 2 life insurance policies on the life of its VP. In one policy, the beneficiary is the corporation and the other, designates his wife as the revocable beneficiary. The insurance premium paid by X Corporation is



- a. Tax deductible insofar as the first policy is concerned
 - b. First policy is not deductible; second policy is deductible
 - c. Not tax deductible for both policies
 - d. Tax deductible for both parties
29. X was selected as the most outstanding teacher in her region. Her name was submitted by the school principal without her knowledge. She received a trophy and cash award of P15,000
 - a. Exempt from income tax
 - b. Subject to final tax
 - c. Partly taxable, partly exempt
 - d. Taxable income
30. Which of the following tax refunds constitutes income?
 - a. Refund of Philippine income tax
 - b. Refund of estate tax
 - c. Refund of donor's tax
 - d. Refund of percentage tax
31. One of the following is correct
 - a. Income from long-term contracts may be reported on the completed contracts method of accounting
 - b. Income from long-term contracts must be reported only on the percentage of completion method of accounting
 - c. The value of property acquired by gifts, bequests and devises are included from gross income
 - d. Benefits received from SSS and GSIS are taxable
32. The following are excluded from gross income, except
 - a. Interest payments on proceeds of life insurance held by the insurer
 - b. GSIS, SSS, Philhealth, Pag-ibig contributions and union dues of individuals
 - c. Gains realized by an investor upon redemption of shares of stock in a mutual fund company
 - d. Income derived from the sale of gold pursuant to RA 7076 (People's Small-scale Mining Act of 1991)
33. Should the lessee make permanent improvements on the property leased under an agreement that upon the expiration of the lease contract the improvements shall belong to the lessor, the lessor may recognize income from the leasehold improvements
 - I. At the time when such improvements are completed, the fair market value of such improvements.
 - II. By spreading over the remaining term of the lease the estimated depreciated value of such improvements at the termination of the lease and report as income for each year of the lease.
 - a. Only I is allowed
 - b. Only II is allowed
 - c. Either I or II is allowed
 - d. Neither I nor II is allowed
34. Mr. X was named the MVP in the recently concluded FIBA Basketball World Cup. In recognition of his outstanding performance, he was awarded a trophy and a cash prize of P500,000.
 - a. The value of the trophy and the cash prize are part of his taxable income
 - b. Only the value of the trophy is taxable
 - c. Only the cash prize is taxable
 - d. Both are exempt from income tax
35. The following income received by officials and employees in the public sector are not subject to income tax and withholding tax on compensation, except
 - a. Representation and transportation allowance (RATA) granted under the General Appropriations Act
 - b. Personnel Economic Relief Allowance (PERA) granted to government personnel
 - c. Monetized value of leave credits paid to government officials and employees
 - d. The excess of the 13th month pay and other benefits paid or accrued during the year over P90,000
36. Mr. X was employed by several companies on a part time basis for several years. During this time, all of his employers were withholding and excluding from his salary Social Security system contributions despite the fact that he has already exceeded the maximum allowed contributions under the SSS. Mr. X then filed a refund from the SSS on the said contributions to which the SSS



paid back to Mr. X the said amount excess. The effect of the said refund of SSS payment to Mr. X would be

- a. The amount refunded represent return of capital and therefore not subject to income taxfor the years that they were deducted
- b. The amount refunded represents return of income and therefore should be included inthe income tax on the years that they were deducted
- c. The amount refunded represents return of income and therefore should be included inthe income tax on the year that it was received
- d. The amount refunded represents return of capital and therefore not subject to income tax for the year that it was received

37. X was a passenger of an airliner that crashed. He survived the accident but sustained serious physical injuries which required hospitalization for 3 months. Following negotiations with the airline and its insurer, an agreement was reached under the terms of which X was paid some amounts. Which of the following amounts constitute taxable income?
- a. P500,000 for hospital confinement
 - b. P400,000 for medical expenses
 - c. P250,000 as moral damages
 - d. P300,000 for loss of income during the period of his treatment and recuperation

PROBLEMS

1. In 2021, Ms. X earned P500,000 as income from her beauty parlor and received P250,000 as Christmas gift fromher aunt. She had no other receipts for the year. She spent P150,000 for the operation of her beauty parlor. For tax purposes, her gross income for 2021 is
- a. P600,000
 - b. P500,000
 - c. P750,000
 - d. P350,000
2. X took a life insurance from Z Insurance Company, with her husband Y as the beneficiary. Under the policy, Z will pay X the amount of P500,000 when the policy matures, or to her beneficiary husband in case she dies before the maturity. X will pay P10,000 annually for 20 years. Assuming that the policy matured when X reached 50 years old and she received the entire P500,000 from the insurer, how much income should she report?
- a. P500,000
 - b. P200,000
 - c. P300,000
 - d. None
3. Interest income on trade notes receivable P 30,000
Interest income from government bonds 50,000
Interest income from money market placements 20,000
Interest income on Banko Sentral bonds 100,000
Interest income on bank savings deposit 60,000

Question 1: How much is the interest income subject to final tax, and how much is the final tax?

Question 2: How much is the interest income in the taxable income at the end of the year?

4. X was allowed to deduct P200,000 bad debts written off in 2020, where she had a net income before bad debts of P180,000 and a net loss of P20,000. In 2021, she was able to recover the bad debts written off in full. The bad debts recovery is
- a. Taxable to the extent of P180,000
 - b. Not taxable
 - c. Taxable to the extent of P200,000
 - d. Taxable to the extent of P20,000

5. The following data on net income, bad debt, write-off and recovery show:

	Case A	Case B	Case C
2020			
Net income (loss) before write-off	P80,000	P40,000	(P20,000)



Less: Bad debts written-off and claimed as deduction	P50,000	P50,000	P 50,000
Net income (loss) after write-off	P30,000	(P10,000)	(P70,000)
<u>2021</u>			
Subsequent recovery	P50,000	P50,000	P50,000

The taxable recovery is

- a. Case A (P50,000); Case B (P40,000); Case C (P20,000)
- b. Case A (P50,000); Case B (P0); Case C (P0)
- c. Case A (P50,000); Case B (P50,000); Case C (P50,000)
- d. Case A (P50,000); Case B (P40,000); Case C (P0)

6. ABC Corporation reported the following figures on net income, bad debts, write-offs and recoveries:

<u>2020</u>	Case 1	Case 2	Case 3
Net income (loss) before write off	P80,000	P40,000	(P20,000)
Less: Bad debts written off and claimed as deduction	50,000	60,000	70,000
Net income (loss) after write-off	P30,000	(P20,000)	(P90,000)
<u>2021</u>			
Subsequent recovery	P50,000	P50,000	P50,000

Question 1: The taxable recovery is

- | | | | |
|----|---------|---------|---------|
| | Case 1 | Case 2 | Case 3 |
| a. | P50,000 | P50,000 | P50,000 |
| b. | P50,000 | P0 | P0 |
| c. | P50,000 | P40,000 | P20,000 |
| d. | P50,000 | P30,000 | P0 |

Question 2: If the subsequent recovery for Case 1 – P30,000, Case 2 – P30,000 and Case 3 – P30,000, the taxable recovery is

- | | | | |
|----|---------|---------|---------|
| | Case 1 | Case 2 | Case 3 |
| a. | P30,000 | P30,000 | P30,000 |
| b. | P30,000 | P30,000 | P0 |
| c. | P30,000 | P20,000 | P0 |
| d. | P30,000 | P10,000 | P0 |

7. Mr. X leased his land to Mr. Y. The terms of the contract of lease is for fifteen (15) years and the rental fee is P36,000 a year. The contract provides that Mr. Y, the lessee, will construct a building and at the end of the term of the contract, the building will be owned by Mr. X, the lessor. The building was constructed at a cost of P600,000 and has a useful life of 30 years. Assuming Mr. X will spread his income over the term of the contract of lease, for income taxpurposes, his yearly income is

- | | |
|------------|------------|
| a. P40,000 | c. P76,000 |
| b. P56,000 | d. P20,000 |

8. A lessee made the payments to a lessor in 2021:

Advance rental, applicable to two years	P480,000
Security deposit	P400,000

The lessee also made leasehold improvements on January 2, 2021 that will belong to the lessor when thelease expires, with the following data:

Cost of leasehold improvements	2,000,000
Estimated useful life	25 years
Remaining term of the lease	10 years

Question 1: How does a lessor recognize income from a prepaid rent of the lessee?

Question 2: How does a lessor recognize income from a security deposit of the lessee?



Question 3: How does a lessor recognize income from leasehold improvements made by the lessee using spread-out method?
Question 4: How much was the income of the lessor in 2021?

9. On January 1, 2020, Mr. X leased his vacant lot for a period of 10 year. It was agreed that the lessee will pay the following:
- Rent of P1,500,000 for 2020 and 2021
 - Refundable security deposit of P250,000
 - Real property tax of P60,000 per year

The lease contract provides that the lessee will construct a building at a cost of P2,800,000 which shall belong to the lessor upon expiration of the lease term. The building was completed on July 1, 2020, with an estimated useful life of 12 years. Using the spread-out method, Mr. X shall report total income from lease in 2020 for

- a. P1,579,444
- b. P1,590,702
- c. P1,621,404
- d. P2,051,228

10. Cost of leasehold improvement P1,000,000
Estimated useful life of improvements 50 years
Estimated useful life of improvements 40 years

Question 1: Income from the improvements, if reported in one lump sum

- a. P1,000,000
- b. P800,000
- c. P200,000
- d. P 100,000

Question 2: If the income from the improvements is reported annually, the annual income is

- a. P 5,000
- b. P 4,000
- c. P200,000
- d. P20,000

Question 3: If the income from the improvements was reported annually, and at the beginning of the twenty-first year of the improvements, when the fair market value thereof was P250,000, the lessor took possession of the improvements, his income in Year 21 is

- a. P250,000
- b. P100,000
- c. P150,000
- d. P50,000

Question 4: If the income was reported annually, and the leasehold improvements were destroyed by fire before the end of Year 10, when the fair market value was P800,000 and insurance recovery for the lessor was P40,000 only, the deductible loss of the lessor is:

- a. P5,000
- b. P800,000
- c. P700,000
- d. P45,000

11. Mr. X bought a 2,000 square meter land at a cost of P500,000. He leased the land to Mr. Y at an annual rental of P40,000. The term of the contract of lease is 15 years. The contract of lease provides that Mr. Y shall construct a building on the land and the building shall belong to the lessor at the end of the term of the lease or at the termination of the lease. The building was constructed at a total cost of P400,000 and has an estimated useful life of 20 years which is the basis of a straight-line method of depreciation.

Question 1: Assuming that Mr. X shall spread his income over the term of the contract of lease, the annual income of Mr. X is

- a. P46,666.66
- b. P26,666.66
- c. P66,666.66
- d. P40,000

Question 2: Assuming the contract of lease was terminated after the tenth (10th) year of the beginning of the eleventh (11th) year due to the fault of the lessee, the income of M. X in the eleventh (11th) year is

- a. P173,333.34
- b. P200,000
- c. P133,333.34
- d. P400,000



12. An individual had:

Refund of graduated income tax	P500,000
Refund of fringe benefit tax	300,000
Refund of estate tax	50,000
Refund of donor's tax	10,000
Refund of income tax paid to a foreign country (previously claimed as deduction)	100,000
Refund of value-added tax	60,000
Refund of city business taxes	15,000
Damages recovered for physical injuries	40,000
Recovery of lost profits from patent infringement	300,000
Prize won in an essay contest	10,000

Bad debt recoveries:

- a. Write off in a year with a net income of P100,000 before write-off 10,000
- b. Write off in a year with a net loss of P60,000 before write-off 12,000
- c. Write off in a year with a net income of P5,000 before write-off 20,000

Cancellation of indebtedness to a friend to whom the taxpayer rendered services amounting to P50,000. How much is the gross income?

13. Mr. X, a resident citizen had the following data on income and expenses for taxable year 2021:

Gross business income	P1,500,000
Business expenses	600,000
Interest from local savings deposit	150,000
Prize in a literary contest he joined	300,000
Prize received for scientific achievement (did not join contest)	30,000
Gain from sale of bonds (maturity is 6 years)	15,000
Separation pay from his former job due to retrenchment	750,000
Professional income	900,000
Proceeds of his wife's life insurance (irrevocable beneficiary)	3,000,000
Amount received as return of premium	600,000
Revenues recovered by BIR due to Mr. X's information	1,500,000

Question 1: How much was the total amount of excluded or exempted income?

- a. P4,395,000
- b. P4,095,000
- c. P4,080,000
- d. P1,395,000

Question 2: How much was the total final tax from certain income?

Final answer: P105,000

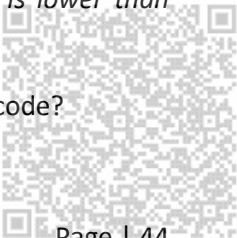
Interest income	P30,000
Tax on informer's reward	15,000
Prize	60,000
Total	P105,000

According to Sec. 282 of the Tax Code, an informer shall be rewarded in a sum equivalent to 10% of the revenues, surcharges or fees recovered and/or fine or penalty imposed and collected or P1,000,000 per case, whichever is lower. The cash reward of informer is subject to 10% FWT.

The amount to be rewarded to Mr. X is P150,000 (P1.5M x 10%) because it is lower than P1,000,000. The FWT is P15,000 (P150,000 x 10%).

Question 3: How much was the taxable income subject to Section 24 (A) of the tax code?

- a. P1,740,000
- b. P1,800,000
- c. P975,000
- d. P825,000



DEDUCTIONS

THEORY

1. In cases of deduction and exemption on income tax return doubts shall be resolved
 - a. Strictly against the taxpayer
 - b. Strictly against the government
 - c. Liberally in favor of the taxpayer
 - d. Liberally in favor of the employer
2. The following are examples of expenses deductible from gross income, except one
 - a. Representation expenses designed to promote business
 - b. Payment of the tuition fees of the taxpayer's children
 - c. Expenses paid to an advertising firm in order to create a favorable image for the business
 - d. Premiums on life insurance covering the life of an employee if the beneficiary is his heirs
3. The interest expense of a domestic corporation on a bank loan in connection with the purchase of production equipment
 - a. Is not deductible from gross income of the borrower-corporation
 - b. Is deductible from the gross income of the borrower-corporation during the year or it may be capitalized as part of cost of the equipment
 - c. Is deductible only for a period of five years from date of purchase
 - d. Is deductible only if the taxpayer uses the cash method of accounting
4. Statement 1: Interest paid or incurred in the acquisition of fixed assets may be capitalized to the asset account.

Statement 2: An individual on the cash basis of accounting shall deduct interest paid in advance in the year that the principal is paid.

- a. Statement 1 is correct while statement 2 is wrong
 - b. Statement 1 is wrong while statement 2 is correct
 - c. Both statements are correct
 - d. Both statements are wrong
5. One of the following is not correct for deductibility of losses from gross income
 - a. It must arise from fire, storm, or other casualty, robbery, theft, or embezzlement
 - b. It must not be compensated by insurance or any form of indemnity
 - c. A Notice of Loss by casualty should be filed with the Bureau of Internal Revenue within 60 days from the date of discovery
 - d. It is a property used in trade, business or practice of profession
6. Which of the following losses is deductible?
 - a. Loss on wash sale
 - b. Loss on merger
 - c. Loss on a transfer of property to a corporation solely stock resulting in control
 - d. Loss on casualty
7. Statement 1: A net operating loss is the excess of allowable deductions over the gross income from business for a taxable year.

Statement 2: A net operating loss which had not previously been deducted from gross income shall be carried over as a deduction only in the next year immediately following the year of such loss.

- a. True, true
 - b. False, false
 - c. True, false
 - d. False, true
8. Statement 1: In a total loss due to casualty, the measure of loss is the book value of the asset reduced by any form of indemnity.

Statement 2: In a partial loss due to casualty, the measure of loss is the book value of the property, or the cost to restore the property to its normal operating condition, whichever is lower, reduced by any form of indemnity.



Statement 3: In a wash sale, loss is not deductible.

Statement 4: In a merger or consolidation, or transfer to a controlled corporation, loss is not deductible.

- | | |
|-------------------------------|-----------------------------|
| a. True, true, true, true | c. True, false, true, false |
| b. False, false, false, false | d. False, true, false, true |

9. Statement 1: Bad debt is an accounting expense when a provision is made for it.

Statement 2: Bad debt is a deduction from the gross income when the account is written off.

- | |
|--|
| a. The first statement is true while the second statement is false |
| b. The first statement is false while the second statement is true |
| c. Both statements are true |
| d. Both statements are false |

10. Statement 1: The cost of leasehold improvements shall be deductible by the lessee by spreading the cost of the improvements over the life of the improvements or remaining term of the lease, whichever period is shorter.

Statement 2: Depreciation expense can be a deduction for both tangible and intangible property with limited useful life.

- | | |
|-----------------|----------------|
| a. True, true | c. True, false |
| b. False, false | d. False, true |

11. Statement 1: Contributions by the employer to a pension trust for past service cost is deductible in full in year that the employer made the contributions if he is on the cash basis of accounting.

Statement 2: Contributions or donations given directly to individuals cannot be deducted from gross income.

- | | |
|-----------------|----------------|
| a. True, true | c. True, false |
| b. False, false | d. False, true |

12. Which statement is wrong about research and development costs?

- When related to the acquisition and/or improvement of land and building, must be capitalized
- If not related to land and building, may be treated as an outright deduction
- If not related to land and building, may be treated as a deferred expense which may be amortized
- Cannot be deducted because it has unlimited life

13. Statement 1: A corporation cannot deduct a loss arising from a sale between the corporation and the controlling individual stockholders.

Statement 2: A corporation cannot deduct a loss arising from a sale between the corporation and the controlling parent corporation.

- First statement is correct, but the second statement is wrong
- First statement is wrong, but the second statement is correct
- Both statements are correct
- Both statements are wrong

14. The phrase "related taxpayers" will apply to the following, except

- Between members of the family
- Between the grantor and a fiduciary of any trust
- Between a fiduciary of a trust and a beneficiary of such trust
- Between an individual and a corporation more than 50% in value of the outstanding stock of which is owned, directly or indirectly by or for such individual, in case of distributions in liquidation

15. The following are deductible taxes, except

- | | |
|--------------------------|--------------------------|
| a. Community tax | c. Excise tax |
| b. Documentary stamp tax | d. Philippine income tax |



16. The following are non-deductible taxes, except
 - a. Special assessment
 - b. VAT
 - c. Stock transaction tax
 - d. Local taxes

17. Which interest expense can be deducted from gross income?
 - a. Interest expense on money borrowed to buy government bonds
 - b. Interest expense on money borrowed to finance petroleum operations
 - c. Interest expense between a corporation and the controlling individual
 - d. None of the above

18. Which statement is wrong? Research and development cost
 - a. On land and building acquired for research and development purposes is not deductible as research and development cost
 - b. May be claimed as an outright deduction from gross income
 - c. May be treated as a deferred expense to be amortized over the period which will benefit from the expenditure
 - d. May be treated as a deferred expense to be amortized over a period of not less than sixty months from the date benefit from expenditure is derived

19. Which of the following statements is wrong?
 - a. A deduction for bad debt is not available when a provision for it is made
 - b. A deduction for bad debt is available only when a write off is made
 - c. There is no deduction for bad debt when there is a surety for the debtor against whom collection may be enforced
 - d. None of the above

20. Which statement is wrong? Contributions made by an employer to a pension trust
 - a. For lump sum payment to cover past service cost, is allowable as deduction beginning with the year the payment was made
 - b. For lump sum payment to cover past service cost is allowable as deduction amortized for period of ten years
 - c. For a lump sum payment to cover past service cost, may be amortized over a period of more than, but not less than ten years
 - d. For present service cost, is deductible in the year that payment is made

21. Statement I: Interest paid on preferred stock is deductible from gross income of the paying corporation.
 Statement II: A capital expenditure usually benefits more than one accounting period and is deductible from gross income in the year it is paid or incurred.
 - a. True, true
 - b. True, false
 - c. False, true
 - d. False, false

22. Which statement is not correct? Deduction for depletion
 - a. Is allowed on wasting assets only
 - b. For foreign corporations engaged in doing business in the Philippines is allowed only if the mine is located in the Philippines
 - c. For domestic corporations, shall be allowed only if the mine is located in the Philippines
 - d. Is separate from deduction for depreciation of building in the mine site

23. In order that an expense may be deductible from gross income
 - I. It should be paid or incurred within the taxable year.
 - II. It should be in connection with trade or business.
 - III. It should be supported by vouchers or receipts.
 - IV. If subject to withholding income tax when received as income by the payee, the income tax should have been withheld.

Which is the correct answer?

 - a. All the statements are true
 - b. All the statements are false
 - c. One of the statements is true
 - d. One of the statements is false



24. Which of the following is not deductible from gross income?
 - a. Salaries and wages of employees
 - b. Entertainment, amusement and recreation expenses
 - c. Rental expenses
 - d. Bribes, kickbacks and other similar payments
25. Which of the following is not a requisite for taxes to be deductible?
 - a. Must have been paid or incurred within the taxable year
 - b. Deductible only by the person/s upon whom the tax is imposed by law
 - c. Must be in connection with the taxpayer's profession, trade or business
 - d. Must be imposed by the national government
26. Which of the following is the correct allowable entertainment expense?
 - a. Not more than ½% of revenue from services
 - b. Not more than 1% of net sales of goods
 - c. Not more than 1 ½% of revenue from services
 - d. Not more than ½% of net sales of goods
27. The net operating loss of the business or enterprise for any taxable immediately preceding the current taxable year, which had not been previously offset as deduction from gross income shall
 - a. Be carried over as a deduction from gross income for the next 3 consecutive taxable years immediately following the year of such loss
 - b. Be carried over as a deduction from gross income for the next 5 consecutive taxable years immediately following the year of such loss
 - c. Not be carried over as a deduction from gross income in any of the succeeding years
 - d. Be carried over as a deduction from gross income in any of the succeeding years until it is fully offset
28. Which statement is wrong? The net operating loss carry-over (NOLCO) is
 - a. Available to a domestic corporation
 - b. Available to a registered general partnership in business in the Philippines
 - c. Available to an individual in business in the Philippines
 - d. Not available to resident foreign corporations
29. Which of the following is not correct regarding NOLCO?
 - a. NOLCO is allowed as deduction from business income for the next 3 succeeding years.
 - b. Domestic and resident foreign corporation subject to normal income tax is allowed with NOLCO
 - c. Offshore banking unit of a foreign corporation is allowed with NOLCO
 - d. Private educational institution enjoying preferential tax rate is allowed with NOLCO
30. All of the following, except one, are not deductible from gross income
 - a. Tuition fees and other expenses of the taxpayer's children
 - b. Replacement of the roof of the office building
 - c. Premiums paid in insuring the life of the Corporate President, appointing the corporation as the beneficiary of the policy
 - d. Premiums paid on a life insurance policy of a rank-and-file employee with the latter's children as the appointed beneficiary
31. To be deductible in full, certain accredited non-government organizations or non-profit domestic corporations must meet certain requisites. One of the following is not a requisite
 - a. Organized and operated exclusively for scientific, research, educational, character-building and youth and sports development, health, social welfare, cultural and charitable purposes or combination of these purposes
 - b. Not later than the 15th day of the third month after the close of the taxable year in which the contributions are received, makes utilization of the contributions directly for the purposes or function for which the organization is organized and operated
 - c. The assets of which, in the event of dissolution, would be distributed to another non-profit domestic corporation organized for similar purpose or purposes, or to the State for public purpose or would be distributed by a court to another organization to be used in

such manner as in the judgment of said court shall best accomplish the general purpose for which the dissolved organization was organized

- d. The administrative expenses shall, on an annual basis, not exceed 40% of the total expenses

32. One of the following charitable and other contributions is not deductible in full

- a. Donations to Government of the Philippines or to any of its agencies or political subdivisions, including fully owned government corporations, exclusively to finance, provide for, or to be used in undertaking priority projects
- b. Donations to certain foreign institutions or international organizations (i.e. International Red Cross, World Health Organization)
- c. Donations to accredited non-government organizations or non-profit domestic corporations that satisfied the four requirements set by law
- d. Donations made for the use of the Government of the Philippines or any of its agencies or political subdivision exclusively for public purpose

33. To be allowed as a valid deduction, charitable and other contribution must not exceed

- a. 5% of taxable income after charitable contribution, in case of individuals
- b. 10% of taxable income after charitable contribution, in case of individuals
- c. 5% of taxable income before charitable contribution, in case of individuals
- d. 10% of taxable income before charitable contribution, in case of individuals

34. In computing allowable deduction for purposes of income taxation

Statement 1: Interest expense arising from loans or indebtedness in connection with taxpayer's business shall be reduced by an amount equal to 33% interest income subjected to final tax.

Statement 2: Interest incurred on money used to acquire property to be used in trade shall only be allowed as capital expenditure.

- a. Only statement 1 is correct
- b. Only statement 2 is correct
- c. Both statements are correct
- d. Both statements are incorrect

35. Research and development expenses treated as a deferred expense shall be allowed as deduction ratably distributed over a period of

- a. Not more than 60 months beginning with the month in which the taxpayer first realizes benefits from such expenditure
- b. Not less than 60 months beginning with the month in which the taxpayer first realizes benefits from such expenditure
- c. Not less than 30 months beginning with the month in which the taxpayer first realizes benefits from such expenditure
- d. Not less than 6 months beginning with the month in which the taxpayer first realizes benefits from such expenditure

36. Optional standard deduction

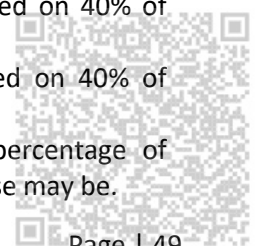
- a. Is equal to 40% of the gross income from business practice of profession
- b. Cannot be used as a deduction from compensation income
- c. May be availed by all individuals
- d. May be availed of by the taxpayer whether or not he signifies his desire to elect optional standard deduction

37. The following may be allowed to claim OSD in lieu of the itemized deductions, except

- a. Taxable estates and trust
- b. Non-resident aliens
- c. Resident foreign corporation
- d. Domestic corporations

38. Which of the following should be used as a basis in computing the Optional Standard Deduction?

- I. For individual taxpayers using the accrual basis of accounting, OSD is based on 40% of gross sales.
- II. For individual taxpayers using the cash basis of accounting, OSD is based on 40% of gross receipts.
- III. For individual taxpayers using the other basis of accounting such as percentage of completion method, OSD is based on 40% of gross receipts of sales, as the case may be.



- IV. For OSD purposes, corporate taxpayers shall compute the OSD in the same manner with individual taxpayers.
- a. I and III only

b. I, II and III only

c. All of the above

d. None of the above

PROBLEMS

1. A store building was constructed on January 1, 2016 with a cost of P570,000. Its estimated useful life is 16 years with scrap value of P70,000 after 16 years. In January 2021 replacement of some worn-out parts of the building costing P50,000 was spent. After the repairs, the building was appraised with a fair market value of P770,000. The allowable deduction for depreciation for the year 2021 is

a. P35,794.45

b. P43,750.00

c. P49,431.82

d. P0
2. On July 1, 2019, Mr. X leased his vacant lot for a period of 12 years to Mr. Y at an annual rate of P2,400,000. It was also agreed that Mr. Y will pay the following:

• P4,800,000 representing rental payment for the year 2019 and 2020

• Security deposit of P2,400,000

• Annual real property tax of P30,000

The lease contract provides, among others that the lessee will construct a 5-storey building for parking purposes at a cost of P10,000,000. Ownership of the building shall belong to the lessor upon the expiration or termination of the lease contract. The building was completed on July 1, 2021 with an estimated useful life of 15 years.

- Question 1: How much can Mr. Y claim as deduction in relation to the lease in 2021?
- a. P2,430,000

b. P2,930,000

c. P2,400,000

d. P3,063,333

- Question 2: How much can Mr. Y claim as deduction in relation to the lease in 2022?
- a. P2,430,000

b. P2,930,000

c. P3,430,000

d. P3,063,333

3. A taxpayer engaged in business incurred a partial loss of property as follows:

	Asset 1	Asset 2
Book value at the time of loss	P200,000	P200,000
Cost to restore the property	120,000	300,000
Insurance recovery	50,000	0
Proceeds from salvage value	0	40,000

- Question 1: Compute for the deductible loss for Asset 1
- a. P120,000

b. P70,000

c. P30,000

d. P80,000

- Question 2: Compute for the deductible loss for Asset 2
- a. P300,000

b. P200,000

c. P160,000

d. P240,000

Note: Just like insurance recovery, the salvage value is also deducted to get the deductible loss, since it is the amount that we get from selling what was left in the asset which was partially damaged.

4. X Corporation shows the following data during taxable year:

Sales

Interest income, net of 20% final tax

Cost of sales

Salary expense

P500,000

24,000

300,000

120,000



Interest expense	60,000
Rent expense	24,000
Advertising expense	6,000
Depreciation expense	5,000
NOLCO	50,000

What is the correct amount of itemized deduction?

5. ABC Corporation paid the following expenses during the year:
- | | |
|--|---------|
| Interest for late payment (delinquent) income tax | P5,000 |
| Surcharges and penalties for late payment of income tax | P30,000 |
| Interest on bonds issued | P40,000 |
| Interest on money borrowed from a stockholder owning 90% of the outstanding stock of ABC | P20,000 |

How much is the deductible expense for the year?

- a. P45,000

c. P95,000
- b. P75,000

d. P60,000
6. X Corporation is engaged in the sale of goods and services with net sales/net revenue of P3,000,000 and P2,000,000 respectively. The actual entertainment amusement and recreational (EAR) expense for the taxable year totaled P30,000. How much is the deductible EAR expense?
- a. P30,000

c. P25,000
- b. P27,000

d. P0
7. ABC is a retailer of goods and reported the following during the taxable year.
- | | |
|----------------------|------------|
| Gross sales | P2,600,000 |
| Cost of sales | 1,100,000 |
| Operating expenses | 220,000 |
| Non-operating income | 100,000 |

Question 1: If ABC is an individual, and he avails the OSD, his taxable income is:

Question 2: If ABC is an individual, and he opts for Itemized Deductions, his taxable income is:

Question 3: If ABC is a corporation, and it avails the OSD, the taxable income is:

8. A domestic corporation has the following data on income and expenses
- | | |
|---|------------|
| Gross business income | P6,200,000 |
| Deductions including SSS and Philhealth contribution of P150,000 | 2,500,000 |
| Contributions to the Government for priority project in education | 100,000 |
| Contribution to foreign private foundation | 100,000 |
| Contribution to domestic charitable organization | 190,000 |

How much is the deductible charitable and other contributions?

- a. P390,000
- b. P290,000
- c. P285,000
- d. P211,000



9. An employer maintains pension trust for its employees. The following contributions are made:

	<u>2019</u>	<u>2020</u>	<u>2021</u>
Current service costs	P1,000,000	P1,000,000	P1,000,000
Past service costs	800,000	600,000	

How much is the deductible pension contributions?

	<u>2019</u>	<u>2020</u>	<u>2021</u>
a. P1,800,000	P1,600,000	P1,000,000	
b. P1,080,000	P1,060,000	P1,000,000	
c. P1,080,000	P1,140,000	P1,060,000	
d. P1,080,000	P1,140,000	P1,140,000	

10. For the calendar year 2021, the net income per books after tax of ABC Corporation is P850,000, after considering among others:

Interest income from bank deposit	P5,500
Intercorporate dividends	5,000
Gain from sale of unlisted shares of a domestic corporation	7,000
Loss from wash sale	2,500
Bad debts written off	6,500
Write-off of inventories lost due to spoilage or expiry	12,000
Depreciation on appraised value of property	15,000
Surcharge and compromise paid in relation to the late filing of ITR	80,000
Contribution to government exclusively for public purpose	50,000
Contribution to government's priority program in education	10,500
Quarterly income tax payments	65,000
Provision for bad debts	8,000

The net income per books should be reconciled with the provisions of the Tax Code, meaning, items which are not taxable must be excluded, and items which are not deductible are to be added back.

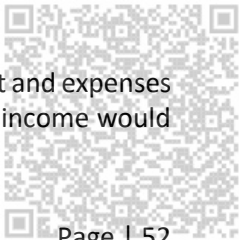
Question 1: How much is the net income before charitable and other contributions?

Question 2: How much is the income tax still due?

11. Company X, a domestic manufacturing corporation, had gross sales of P150,000,000 for fiscal year ending June 30, 2021 and incurred cost of sales of P80,000,000 and operating expenses of P17,500,000, with the following details:

Cost of Sales	
Direct materials	30,000,000
Direct labor	20,000,000
Manufacturing overhead	<u>30,000,000</u>
Total	<u>80,000,000</u>
Operating Expenses	
Salaries and Wages	7,000,000
Taxes	300,000
Depreciation	3,500,000
Professional fees	200,000
Advertising expenses	3,000,000
Training expenses	3,000,000
Office supplies	<u>500,000</u>
Total	<u>17,500,000</u>

Assuming Company X has complied with the withholding tax requirement on all cost and expenses incurred subject to withholding tax, the amount for the corporation's net taxable income would be:



12. Company X, a domestic manufacturing corporation, had gross sales of P100,000,000 for fiscal year ending June 30, 2021 and incurred cost of sales of P60,000,000 and operating expenses of P17,500,000, with the following details:

Cost of Sales	
Direct materials	30,000,000
Direct labor	20,000,000
Manufacturing overhead	<u>10,000,000</u>
Total	<u>60,000,000</u>
Operating Expenses	
Salaries and Wages	7,000,000
Taxes	300,000
Depreciation	3,500,000
Professional fees	200,000
Advertising expenses	3,000,000
Training expenses	3,000,000
Office supplies	<u>500,000</u>
Total	<u>17,500,000</u>

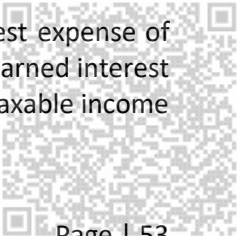
For fiscal year ending June 30, 2021, if Company X, aside from the operating expenses of P17,500,000, incurred interest expense of P400,000 which satisfied the prescribed requirement for deductibility, but it also earned interest income of P100,000 net of final tax of twenty percent (20%), how shall the taxable income be computed?

13. For taxable year 2021, Company X, incurred interest expense of P500,000 on its bank loan. Its gross assets amounted to P50,000,000, exclusive of the cost of the land of P7,100,000. It registered a gross income of P10,000,000 and incurred operating expenses of P6,000,000, inclusive of the interest expense. It also had interest income earned for the same year amounting to P150,000. Compute for the allowable interest expense.

14. Company X, a domestic manufacturing corporation, had gross sales of P100,000,000 for calendar year ending December 31, 2020 and incurred cost of sales of P60,000,000 and operating expenses of P17,500,000, with the following details:

Cost of Sales	
Direct materials	30,000,000
Direct labor	20,000,000
Manufacturing overhead	<u>10,000,000</u>
Total	<u>60,000,000</u>
Operating Expenses	
Salaries and Wages	7,000,000
Taxes	300,000
Depreciation	3,500,000
Professional fees	200,000
Advertising expenses	3,000,000
Training expenses	3,000,000
Office supplies	<u>500,000</u>
Total	<u>17,500,000</u>

If Company X, aside from the operating expenses of P17,500,000, incurred interest expense of P400,000 which satisfied the prescribed requirement for deductibility, but it also earned interest income of P100,000, net of final tax of twenty percent (20%), what would be the taxable income for the current taxable year?



FRINGE BENEFITS

THEORY

1. Which of the following is subject to fringe benefit tax?
 - a. Compensation income of the rank and file employees
 - b. Compensation income of the supervisory employees
 - c. Fringe benefit of the rank and file employees
 - d. Fringe benefit of the managerial employees
2. Which statement is incorrect? The fringe benefit tax is
 - a. A final tax withheld at source
 - b. Imposed on the employee
 - c. Imposed on the employer
 - d. Deductible by the employer
3. Which of the following fringe benefit is not subject to the fringe benefits tax?
 - a. Housing
 - b. Expense account
 - c. Vehicle of any kind
 - d. De minimis benefits
4. Statement 1: A fringe benefit which is subject to the fringe benefit tax is part of the taxable compensation income of the employee.

Statement 2: A fringe benefit which is not subject to the fringe benefit tax is part of the taxable compensation income of the employee.

Statement 3: The fringe benefit tax is not deductible from the gross income of the employer.

Statement 2: The fringe benefit tax is withheld by the employee.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
5. Which of the following statement are incorrect?

Statement 1: Fringe benefit is a form of pay which may be in the form of property, services, cash or cash equivalent to supplement a stated pay for the performance of services under an employee-employer relationship.

Statement 2: Fringe benefits subject to fringe benefit tax cover those fringe benefits given or furnished to a managerial, supervisory and rank-and-file employee.

Statement 3: FBT is a final tax imposed on the employee withheld by the employer, computed based on the monetary value of the fringe benefit.

Statement 4: The one liable under the law to pay the fringe benefit tax is the employee.

Statement 5: Fringe benefits subject to FBT shall be included in the income tax return of the employee.

- a. Statements I and II only
 - b. Statements II and III only
 - c. Statements II, III and IV only
 - d. Statements II, III, IV and V only
6. Statement 1: Grossed-up monetary value is reflected in the books of accounts as fringe benefit expense and fringe tax expense.

Statement 2: Any amount not withheld by the employer on employee's salary is the liability of the employer.

Statement 3: The compensation income of supervisory employees is subject to both basic tax and fringe benefit tax.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true



7. Statement 1: Monetized value of unused vacation and sick leave credits not exceeding 10 days to private employees is a tax-exempt benefit.

Statement 2: Monetized value of unused vacation and sick leave credits not exceeding 10 days to government employee is a tax-exempt benefit.

Statement 3: De minimis benefits of managerial employees within the ceiling is exempt from income tax.

8. Which of the following housing benefits is/are subject to fringe benefit tax?
- Housing privilege of military officials of the Armed Forces of the Philippines
 - Housing unit inside or adjacent within 50 meters from the perimeter of the business premises
 - Temporary housing for a stay in the housing unit for six (6) months or less
 - All of the above are subject to fringe benefit tax

9. Statement 1: Expenses receipted in the name of the employer which do not partake the nature of personal expenses attributable to employees should be treated as taxable fringe benefits.

Statement 2: "Other benefits" subject to P90,000 ceiling include Christmas bonus, productivity incentive bonus, loyalty awards and gifts in cash or in kind and other benefits of similar nature.

Statement 3: The excess of de minimis benefits over their respective ceilings are considered as part of other benefits subject to tax only on the excess over the P90,000 ceiling.

- Statements 1 and 2 are correct
 - Statements 2 and 3 are correct
 - Statements 1 and 3 are correct
 - All of the above statements are correct
10. Statement 1: Meal allowance and lodging furnished by the employer to the employees are exempt from tax if furnished for the "advantage or convenience of the employer".

Statement 2: Tax exempt meal allowance should be furnished within the premises of the employer.

- Only statement 1 is correct
 - Only statement 2 is correct
 - Both statements are correct
 - Both statements are incorrect
11. The following denote exemption from the fringe benefits tax, except
- Convenience of the employer
 - Necessity to the business or trade
 - Welfare and benefits of the employee
 - De minimis benefits

12. The following are basic rules on fringe benefits tax, except
- Fringe benefit given to rank and file employees is not subject to fringe benefits tax
 - Fringe benefit given to a supervisory or managerial employee is subject to fringe benefits tax
 - De minimis benefit whether given to rank and file employee or to supervisory or managerial employee is not subject to fringe benefit tax
 - The fringe benefit tax is a tax paid by the managerial or supervisory employee

13. The following fringe benefits are exempt from fringe benefit tax, except
- Benefits given to the rank and file employees
 - If required by the nature of or necessary to the trade, business or profession of the employer
 - If given for the convenience or advantage of the employee
 - Contributions of the employer for the benefit of the employee to retirement, insurance and hospitalization benefit plans

14. The following fringe benefits exempt from fringe benefits tax, except
- Contributions of the employer for the benefit of the employees to retirement, insurance and hospitalization benefits plans
 - De minimis benefits
 - Fringe benefits given to the rank and file employees



- d. Fringe benefits furnished or granted by the employer to its managerial and supervisory employees
15. The grossed-up monetary value of fringe benefit subject to fringe benefit tax received by a non-resident alien not engaged in trade or business (NRANETB) in the Philippines is computed by dividing the monetary value of the fringe benefit by
- | | |
|--------|--------|
| a. 75% | c. 85% |
| b. 25% | d. 15% |

PROBLEMS

1. ABC Corporation provided the following fringe benefits, in cash and in kind, to its employees for the taxable year 2021:
- | | |
|--------------------------------|------------|
| To supervisory level employees | P1,250,000 |
| To management level employees | P1,300,000 |
| To rank-and-file employees | 4,000,000 |

Question 1: The fringe benefit tax is

- | |
|---------------|
| a. P892,500 |
| b. P2,292,500 |
| c. P3,526,923 |
| d. P1,373,077 |

Question 2: The deduction from gross income of the employer for Fringe Benefit Expense is

Question 3: The total deduction from gross income of the employer is

- | |
|---------------|
| a. P6,550,000 |
| b. P7,923,077 |
| c. P2,550,000 |
| d. P3,923,077 |

Question 4: What is the journal entry of the above fringe benefits?

2. Mr. X is a newly promoted executive of ABC Corporation. One of his perks as an executive is the free use of the company’s residential condominium unit in Makati. The data on the condominium unit are as follows:

Fair market value in the Real Property Declaration	P3,500,000
Zonal value	5,000,000

Question 1: The monthly gross monetary value of the fringe benefit is

- | |
|-------------|
| a. P125,000 |
| b. P10,417 |
| c. P7,292 |
| d. P208,333 |

Question 2: How much is the fringe benefit tax for the year?

- | |
|---------------|
| a. P67,308 |
| b. P807,692 |
| c. P47,115 |
| d. P1,346,154 |

3. In 2021, ABC Corporation purchased a condominium unit on an installment basis for its CFO. The following information are available:

Acquisition cost inclusive of 10% interest	P10,080,000
Fair market value of the property per Tax Declaration	P10,200,000
Zonal value	P9,750,000

Compute the fringe benefit tax under the following scenarios.



Scenario 1: The condominium unit will be used by the CFO without transfer of ownership.

Scenario 2: The condominium unit will be transferred to the name of the CFO.

Scenario 3: The condominium unit will be transferred to the name of the CFO for a payment of P5,000,000.

Scenario 4: The condo unit is owned by ABC Corporation and was assigned to the CFO for his personal use.

4. In 2021, ABC Corporation provided a luxury car, Audi R8, to its CEO, Mr. X as part of his car plan. The said car is to be used exclusively by Mr. X.

Compute the amount of fringe benefit tax for taxable year 2021 under the following scenarios:

Scenario 1: ABC Corporation owns and maintains the car with acquisition cost of P6,000,000.

Scenario 2: ABC Corporation leases the car from a dealer for P100,000 per month. Ownership is retained by ABC Corporation.

Scenario 3: ABC Corporation shoulders 50% of the purchase price and the ownership is transferred to the name of Mr. X. The total price of the car is P6,000,000.

Scenario 4: ABC Corporation bought the car on installment and the ownership is transferred to the name of Mr. X. The total acquisition cost of the car is P6,600,000, inclusive of 10% interest.

5. A house and lot were owned by ABC Corporation. The ownership of the said house and lot was transferred to its President in 2021. The following data were made available:

Cost	P4,000,000
Zonal value per BIR	4,500,000
Fair market value per Assessor’s Office	3,500,000

Question 1: The fringe benefits tax was

- a. P2,153,846
- b. P1,884,615
- c. P2,423,077
- d. P1,211,538

Question 2: Using the same information in the preceding number except that there was no transfer of ownership and the house and lot was acquired in installment for P4,400,000, inclusive of 10% interest. The President was only allowed to use it as his residence. The quarterly fringe benefits tax is

- a. P14,808
- b. P53,846
- c. P302,885
- d. P13,462



6. ABC Corporation purchased a residential house and lot in the name of its CEO for the latter's residence in the amount of P6,000,000. The property has a BIR's zonal value of P7,000,000 and the City Assessor's market valuation of P8,000,000.

Question 1: The fringe benefit tax is

- a. P3,294,118
- b. P4,307,692
- c. P3,230,769
- d. P3,769,231

Question 2: Using the same facts, except that ABC Corporation retained ownership over the property purchased and only allowed its CEO to occupy the same as his residence, the fringe benefit tax for one quarter is

- a. P20,192
- b. P23,558
- c. P26,923
- d. P107,692

Question 3: Using the same facts, except that ABC Corporation did not buy the property and instead rented it as the residence of its CEO. The monthly rental is P90,000. The fringe benefit tax each month is

- a. P42,353
- b. P20,475
- c. P21,176
- d. P24,231

7. The following fringe benefits were given by an employer to its employees for the quarter ending June 30, 2021:

Housing benefits to supervisors and managers (representing total rents)	P340,000
De minimis benefits (not exceeding the maximum)	100,000
Reimbursed expenses of rank-and-file employees	200,000

How much was the fringe benefit tax payable for the quarter?

- a. P80,000
- b. P91,538
- c. P160,000
- d. P183,077

8. As a means of promoting the health, goodwill, and efficiency of his employees, ABC Inc., a private corporation, provided its rank-and-file employee, Mr. X, the following de minimis benefits for the taxable year 2021:

Monetized unused sick leaves for 10 days	P20,000
Monetized unused vacation leave of 15 days	30,000
Rice subsidy	34,000
Uniform and clothing allowance	10,000
Christmas gifts	4,000
Medical benefits	12,000
Medical cash allowance to dependents	15,000
Laundry allowance	5,000
Achievement award for length of service in the form of tangible personal property	16,000

The amount of "excess" fringe benefits subject to basic income tax is

- a. P65,400
- b. P45,400
- c. P64,400
- d. P72,400



CAPITAL ASSETS

THEORY

1. The term “capital assets” includes
 - a. Stock in trade or other property included in the taxpayer’s inventory
 - b. Property primarily for sale to customers in the ordinary course of his trade or business
 - c. Property used in the trade or business of the taxpayer and subject to the depreciation
 - d. Real property not used in the trade or business of taxpayer
2. Which of the following properties is classified as a capital asset?
 - a. Real properties acquired in the course of trade or business by a taxpayer habitually engaged in the sale of real estate
 - b. Real properties of the real estate lessor, whether land and/or improvements, which are for lease or being offered for lease, or otherwise for use or being used in the trade or business
 - c. Real property initially acquired by a taxpayer engaged in real estate business but subsequently abandoned or become idle
 - d. Real property transferred through succession or donation to the heir or donee who is not engaged in the real estate business with respect to the real property inherited or donated, and who does not subsequently use such property in trade or business
3. Under Section 39 (b) of the Tax Code, how much shall be taken into account in computing net income, if a gain is realized by an individual taxpayer from the sale or exchange of capital assets, other than real properties and shares of stocks, held for more than 12 months?
 - a. 50% of the net capital gain
 - b. 100% of the net capital gain
 - c. 50% in all cases
 - d. 100% in all cases
4. Where the taxpayer is a corporation, which of the following statements is true?
 - a. The holding period does not apply to corporations; hence, capital gains and losses are recognized at 50%
 - b. Ordinary loss is always deductible in full
 - c. The net capital loss can be carried over in the next succeeding year
 - d. Capital loss is deductible only up to the extent of ordinary gains
5. Rules on capital gains and losses of corporations, except
 - a. Capital gains and losses are recognized to the extent of 100% regardless of the holding period
 - b. The net capital loss carry-over is not applicable
 - c. Capital losses are deductible only to the extent of capital gains
 - d. There is a final tax of 15% on real property sold
6. Which of the following taxpayers is allowed to observe the “no holding period and no carry over of net capital loss”?
 - a. Individual
 - b. Corporation
 - c. Estates
 - d. Trusts
7. Which of the following transactions is subject to 6% capital gains tax
 - a. Sale of condominium units by a real estate dealer
 - b. Sale of apartment houses
 - c. Sale of vacant lot by an employee
 - d. Sale of real property utilized for office use
8. Mr. X bought a parcel of residential land for P1,000,000 sometime in 2020 for personal use. He sold the same to Mr. Y for P2,000,000 on September 1, 2021. The transaction is subject to 6% capital gains tax
 - a. True
 - b. False if Mr. X is engaged in the real estate business
 - c. False because it is subject to VAT if the sale is in the regular course of trade or business
 - d. None of the above



9. A client not engaged in realty business paid in full the P50,000 attorneys’ fees of his counsel in lot which he bought in 2021 for P500,000 and which has a fair market value of P600,000. Which of these is correct?
- a. The client-transferor is subject to final capital gains tax based on P500,000
 - b. The client-transferor is not subject to final capital gains tax
 - c. The client-transferor is subject to final capital gains tax based on P600,000
 - d. The client-transferor is subject to income tax for the difference between P500,000 and P50,000
10. Mr. X, a resident citizen taxpayer owns a property converted into apartment units with a monthly rental of P10,000 per unit. He subsequently sold the property to Mr. Y, a resident alien taxpayer. The sale shall be subject to
- a. Basic income tax
 - b. 6% Capital gains tax
 - c. 6% capital gains tax or basic income tax at the option of Mr. X
 - d. 6% capital gains tax or basic income tax at the option of Mr. Y
11. Statement 1: The CGT on sale of real properties shall be paid within 30 days from sale of disposition.
- Statement 2: The determination of 6% capital gains tax on sale of real property is based on net capital gains realized by the seller of real property.
- Statement 3: Proceeds of sale of real property classified as capital asset may be exempt from the 6% capital gains tax.
- a. Only one (1) of the above statements is correct
 - b. Two (2) of the above statements are correct
 - c. Three (3) of the above statements are correct
 - d. All of the above statements are incorrect
12. In computing gain or loss from the sale or other disposition of property acquired as gift or donation, the basis of cost shall be
- a. The zonal value at the date of acquisition
 - b. The fair market value at the date of acquisition
 - c. The same as it would be in the hands of the donor
 - d. The purchase price plus expenses of acquisition
13. All of the following, except one, results to a capital gain or loss
- a. Gain on short sales
 - b. Option loss
 - c. Worthless securities
 - d. Ordinary gains
14. A transaction in which the speculator sells securities which he does not own (he merely borrows the stock certificate through or from his stock broker) in anticipation of a decline in its price, and within a reasonably short period of time buys or covers the stock to complete the transaction
- a. Wash sale
 - b. Short sale
 - c. Auction sale
 - d. Rescissible sale
15. A bought from B Corporation ten (10) shares of stock. Sixty days thereafter, the corporation was adjudged bankrupt and its stock as worthless. The loss of A to be reported for income tax purposes is classified as
- a. A wagering loss
 - b. Non-deductible loss for income tax purposes
 - c. Short-term capital loss
 - d. Casualty loss
16. Gain from sale of real property classified as capital asset located abroad by a resident citizen is subject to
- | | a | b | c | d |
|-----------------------------|------|-------|-------|-------|
| 6% capital gains tax | True | False | True | False |
| Section 24A of the tax code | True | False | False | True |
17. Mr. X sold to Mr. Y shares of stocks not traded in an exchange for a consideration of P20,000. At the time of the sale, its fair market value was P50,000. Mr. X should pay
- a. Capital gains tax
 - b. Donor’s tax
 - c. Documentary stamp tax
 - d. All of the above



PROBLEMS

1. Compute for the Capital Gain Tax (CGT) on sale of real property classified as capital asset.

	<u>Case 1</u>	<u>Case 2</u>	<u>Case 3</u>	<u>Case 4 (2 properties)</u>	
Taxpayer	Individual	Individual	Corporation		Corporation
Selling price	P3,000,000	P2,900,000	P6,000,000	P3,200,000	P2,800,000
FMV	3,200,000	2,200,000	7,500,000	2,800,000	2,700,000
Cost	1,900,000	3,250,000	4,000,000	2,700,000	3,100,000
Gain/(loss)	1,100,000	(350,000)	2,000,000	500,000	(300,000)

2. Compute for the Capital Gain Tax (CGT) on sale of shares of stock not listed and traded in stock exchange.

	<u>Case 1</u>	<u>Case 2</u>
Taxpayer	Individual	Corporation
Sale No. 1	P200,000 gain	P1,000,000 gain
Sale No. 2	150,000 gain	300,000 gain
Sale No. 3	160,000 loss	120,000 loss

3. ABC Corporation realized an ordinary gain of P1,000,000 from an asset held for 5 years. Its capital asset transactions during the year are as follows:

	<u>Amount</u>	<u>Holding period</u>
Capital gain	P125,000	6 months
Capital gain	112,500	2 years
Capital loss	57,500	12 months
Capital loss	70,000	10 years

What is ABC Corporation’s taxable income?

- a. P1,210,000
 - b. P1,110,000
 - c. P1,088,750
 - d. P1,117,500
4. ABC Corporation, a domestic corporation, had the following data for taxable years 2020 and 2021

	<u>2020</u>	<u>2021</u>
Taxable income before capital asset transactions	P1,100,000	P1,375,000
Gain from sale of capital assets:		
Held for 12 months	55,000	63,250
Held for 9 months	13,750	27,500
Loss from sale of capital assets:		
Held for 15 months	19,250	41,250
Held for 22 months	68,750	33,000

Compute for the taxable income of the corporation for years 2020 and 2021.



5. Mr. X, a resident citizen, reported the following summary of financial results for years 2018 to 2021:

	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>
Ordinary taxable income	P480,000	P600,000	P720,000	P840,000
Capital asset transactions:				
Gain from sale of capital assets				
Held for 10 months	70,000	7,000	350,000	199,500
Held for 20 months	28,000	35,000	70,000	98,000
Loss from sale of capital assets				
Held for 5 months	10,500	105,000	175,000	17,500
Held for 15 months	77,000	70,000	210,000	35,000

Question 1: Determine the net taxable income for 2019

- P484,500
- P600,000
- P467,000
- P533,500

Question 2: Determine the net taxable income for 2020

- P825,000
- P720,000
- P709,500
- P639,500

Question 3: Determine the net taxable income for 2021

- P840,000
- P1,043,000
- P1,053,500
- P1,085,000

6. Mr. X had the following financial information for taxable years 2020 and 2021.

	<u>2020</u>	<u>2021</u>
Ordinary business income	P170,100	P182,400
Interest on time deposit with local bank	6,000	9,000
Short-term capital gain	15,000	25,500
Long-term capital gain	10,800	15,600
Short-term capital loss	24,000	8,700
Long-term capital loss	13,200	0

Question 1: In 2020, the taxable income of Mr. X is

- P176,100
- P159,900
- P110,100
- P170,100

Question 2: In 2021, the taxable income of Mr. X is

- P196,800
- P357,000
- P258,000
- P286,800



7. Mr. X sold his principal residence at a selling price of P5,000,000 but with a fair market value of P6,000,000. The property sold was acquired for P3,000,000. He purchased his new principal residence at a cost of P7,000,000.

Question 1: How much is the basis (cost) of the new principal residence?

- a. P4,000,000
- b. P5,000,000
- c. P6,000,000
- d. P7,000,000

Question 2: If only P4,000,000 out of P5,000,000 was utilized in acquiring his new principal residence, the capital gain tax is

- a. P60,000
- b. P72,000
- c. P300,000
- d. P360,000

Question 3: Using the preceding number, the basis (cost) of the new principal residence?

- a. P3,200,000
- b. P2,400,000
- c. P4,000,000
- d. P3,000,000

8. Mr. X, citizen and resident of the Philippines, sold his principal residence in the Philippines for P6,000,000 which had a cost to him of P4,000,000. Its fair market value at the time of sale was P6,500,000. The proceeds of the sale were not invested in the new principal residence, but instead new funds from bank loan of P7,000,000 were used.

Question 1: The capital gain tax on the sale and the basis of the new principal residence are

- a. P490,000, P5,000,000
- b. P590,000, P6,000,000
- c. P390,000, P7,000,000
- d. P690,000, P8,000,000

Question 2: If only P4,500,000 of the proceeds of the sale were invested in the new principal residence, the capital gain tax on the sale and the basis of the new principal residence are

- a. P87,950, P2,500,000
- b. P99,750, P3,500,000
- c. P99,000, P4,500,000
- d. P97,500, P3,000,000

9. Mr. X sold his residential land in Cagayan de Oro for P5,000,000 (FMV was P6,000,000). The proceeds were used to build a principal residence in Cebu. He informed the BIR within 30 days from the date of sale that he intended to use the proceeds to build a new principal residence. What was the tax consequence of the sale?
- a. Mr. X should pay a capital gains tax of P300,000
 - b. Mr. X should pay a capital gains tax of P360,000
 - c. Mr. X should deposit in escrow the amount of P300,000
 - d. Mr. X would be exempt from capital gains tax

10. Mr. X, a Filipino citizen, reported the following information for taxable year 2021:

Net sales	P1,000,000
Business expense	600,000
Rental income, net of withholding tax	237,500
Dividend income received from a resident foreign corporation	50,000
Dividend income received from domestic corporation	100,000



Royalties from books	125,000
Interest on local currency bank deposit	175,000

Other transactions related to sale of properties are as follows (the dates of purchase are shown in parentheses):

Assets used in business:

	<u>Machinery (2016)</u>	<u>Land (2021)</u>	<u>Warehouse (2018)</u>
Selling Price	500,000	500,000	25,000,000
Cost	750,000	450,000	29,500,000
Accumulated Dep'n	150,000	-	5,000,000

Capital assets:

	<u>Jewelry (2018)</u>	<u>Land (2019)</u>	<u>Furniture and Fixtures (2017)</u>
Selling Price	625,000	2,000,000	25,000
Cost	450,000	2,250,000	100,000

Shares of stocks:

	<u>Traded (2019)</u>	<u>Not traded (2021)</u>
Selling Price	550,000	750,000
Cost	750,000	450,000

Requirement: Determine the taxable income of Mr. X

11. Compute for the Gain under the following scenarios:

Scenario 1: A sold his land to B for P 17,000. The land, costing P20,000, was inherited by A from his father where by the time it was inherited, the FMV of such land amounted to P 15,000.

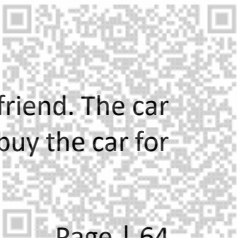
Scenario 2: Assume A acquired the land through gift from C (costing to C P20,000), his grandfather. At the time of gift, the FMV of such land is P21,000.

Scenario 3: Assume A acquired the land through gift from C, his grandfather. C also acquired such land by donation from D. D acquired the land through purchase at P16,000. At the time it was received by C from D, the land was valued at P20,000. At the time of donation from C to A, the FMV of such land is P21,000.

Scenario 4: Assume A acquired the land through gift from C, his grandfather. C also acquired such land by donation from D. D acquired the land through purchase at P21,000. At the time it was received by C from D, the land was valued at P17,000. At the time of donation from C to A, the FMV of such land is P19,000. A sold such land for P17,000 to B.

Scenario 5: Assume A acquired the land through gift from C, his grandfather. C also acquired such land by donation from D. D acquired the land through purchase at P19,000. At the time it was received by C from D, the land was valued at P17,000. At the time of donation from C to A, the FMV of such land is P23,000. A sold such land for P17,000 to B.

Scenario 6: A sold his car for P25,000 to B. The car was acquired 2 years ago from S, his friend. The car was valued at P21,500 on the date of acquisition. However, A was able to convince S to buy the car for only P16,000.



INSTALLMENT REPORTING

THEORY

1. An individual making a casual sales or disposition of property involving deferred payment, not in the course of trade or business, must report his income
 - a. Under cash method
 - b. Under accrual method
 - c. Under installment method
 - d. Any of the above
2. Gross income is reported partially in each taxable year in proportion to collections made in such period as it bears to the total contract price refer to
 - a. Crop year basis method
 - b. Installment sales method
 - c. Percentage of completion method
 - d. Accrual method
3. On capital gains tax on real property, which of the following statements is not correct?
 - a. The installment payment of the tax should be made within 30 days from receipt of each installment payment on the selling price
 - b. The term "initial payment" is synonymous to "downpayment"
 - c. The tax should be paid, if in one lump sum within 30 days from the date of the sale
 - d. The tax may be paid in installment if the initial payments do not exceed 25% of the selling price
4. The taxpayer is not a dealer of personal property regularly selling on installment. Installment method of reporting income is available to him on a sale of property if the initial payments on the sale
 - a. Exceed 25% of the selling price
 - b. Do not exceed 25% of the selling price
 - c. Do not exceed 25% of the contract price
 - d. Regardless of the ratio of initial payments to the selling price
5. All of the following, except one, are not taken into account in determining the correct amount of initial payments
 - a. Commission
 - b. Other selling expenses
 - c. Installment payments in the year of sale
 - d. Gross profit
6. Which statements is correct?
 - a. In installment method, if the seller of the property is an individual the holding period of the capital asset is still applied even if the property is a real property
 - b. The installment method of reporting income is allowed if the initial payment does not exceed 25% of the contract price
 - c. If the amount paid at the time of purchase does not exceed 25% of the selling price, the installment method of reporting income may be applied even if the entire price is paid in the year of sale
 - d. Reporting of income under the installment method is based on the percentage of collection of the selling price
7. Which of the following statements is false in installment method of reporting income
 - a. The gain on sale is computed by subtracting the book value from the selling price of the property if the property is a capital asset
 - b. If the property sold is not a subject of mortgage, the selling price is equivalent to the amount of contract price
 - c. An installment payment of tax may also be made even if the asset is subject to capital gains tax
 - d. The initial payment includes the excess of mortgage over cost, if any
8. The following statements about installment method of reporting income are incorrect. Which is the exception?
 - a. If a mortgage has been assumed by the buyer but the acquisition cost of the property is more than the mortgage, the amount of selling price is equal to the contract price
 - b. If the buyer assumes an unpaid mortgage on the property sold, the contract price is less than the selling price
 - c. If the initial payment exceeds 25% of the selling price, the sale shall be reported under cash method of reporting income



- d. The excess of mortgage over cost is added to the initial payment is computing the amount of cash paid as down payment
9. Deferred payment method of reporting income on an installment sale is available to a taxpayer if, there being a requirement of the law on the ratio of initial payments to the selling price, the initial payments on the sale
- a. Exceed 25% of the selling price
 - b. Do not exceed 25% of the selling price
 - c. Do not exceed 25% of the contract price
 - d. Regardless of the ratio of initial payments to the selling price

PROBLEMS

1. Mr. X owns a personal car which he sold in installment on October 1, 2021 as follows:

Date of acquisition	April 20, 2019	
Acquisition cost	P750,000	
Terms of Payment:		
Downpayment	October 1, 2021	P125,000
1 st installment	November 1, 2021	125,000
2 nd installment	March 1, 2022	375,000
3 rd installment	April 1, 2022	375,000

Question 1: The initial payment in 2021 is

- a. P125,000
- b. P250,000
- c. P750,000
- d. P1,000,000

Question 2: The amount of gain to be reported in 2021 is

- a. P125,000
- b. P62,500
- c. P93,750
- d. P31,250

Question 3: The amount of gain to be reported in 2022 is

- a. P125,000
- b. P62,500
- c. P93,750
- d. P31,250

2. Ms. X sold a vacant lot to her sister, Ms. Y. The details of which are as follows:

Acquisition cost of land, March 5, 2019	P1,687,500
Cash payments:	
Downpayment, December 15, 2021	P375,000
Payment, January 15, 2022	375,000
Mortgage assumed by Ms. Y	1,875,000

Question 1: The initial payment is

- a. P375,000
- b. P937,500
- c. P562,500
- d. P937,500

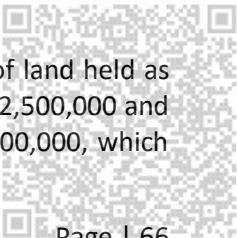
Question 2: The selling price of the property is

- a. P562,500
- b. P2,062,500
- c. P2,625,000
- d. P937,500

Question 3: The contract price is

- a. P562,500
- b. P2,062,500
- c. P2,625,000
- d. P937,500

3. Mr. X, a citizen and resident of the Philippines, sold to Mr. Y on July 1, 2021 a piece of land held as capital asset in the Philippines at a selling price of P5,000,000. The land had a cost of P2,500,000 and at the time of the sale had a fair market value of P6,000,000 and a mortgage of P2,000,000, which mortgage was assumed by Mr. Y.



The sale called for a payment of P300,000 on the date of sale and P200,000 on December 1, 2021. the balance shall be paid in installments of P500,000 each on December 1, 2022, December 1, 2023, December 1, 2024, December 1, 2025 and December 1, 2026. Mr. X will pay the tax on the transaction in installments, if qualified.

Question 1: Compute for the initial payments

- a. P300,000

b. P500,000
- c. P700,000

d. None of the above

Question 2: Compute for the contract price

- a. P2,000,000

b. P2,500,000
- c. P3,000,000

d. None of the above

Question 3: Compute for the tax paid on the payment received on July 1, 2021

- a. P20,000

b. P30,000
- c. P36,000

d. P50,000

4. On December 1, 2021, Mr. X, a real estate dealer, sold a residential land for P4,800,000. The cost of the said lot is P2,880,000. Mr. X received P1,600,000 as downpayment and a promissory note for the balance payable at P320,000 per month beginning January 1, 2022. The promissory note has fair market value equal to 75% of its face value. If the income is to be reported under the deferred payment method, the income in 2021 is
- a. P1,920,000

b. P640,000
- c. P960,000

d. P1,120,000

5. In 2021, Mr. X sold a parcel of land for P2,000,000. His acquisition cost of the land is only P500,000. The terms of the sale are the following:

Assumption of mortgage by the buyer	P750,000
Cash downpayment	250,000
Installment payments every year thereafter starting 2022	250,000

If the land is classified as an ordinary asset and using installment method of reporting, how much income can Mr. X report in 2021?

- a. P333,333

b. P500,000
- c. P600,000

d. P1,500,000

6. Mr. X reported the following sale of capital assets for taxable year 2021:

	Land 1	Land 2	Land 3	Land 4
Selling Price	P540,000	P810,000	P1,080,000	P1,620,000
Cost	270,000	337,500	540,000	540,000
Commission paid	40,500	94,500	0	0
Selling expenses	27,000	40,500	54,000	67,500
Terms of sale				
Downpayment, March. 15, 2021	67,500	94,500	67,500	202,500
Installment payments:				
Aug. 15, 2021	67,500	94,500	67,500	202,500
Aug. 15, 2022	202,500	135,000	270,000	270,000
Aug. 15, 2023	202,500	351,000	0	270,000
Mortgage assumed by the buyer	0	135,000	675,000	675,000

Requirement: Compute for the Capital Gain Tax (CGT) in 2021



DONOR'S TAX

THEORY

- 1. An act of liberality whereby one disposes gratuitously of a thing or right in favor of another who accepts it
 - a. Occupation
 - b. Donation
 - c. Succession
 - d. Tradition
- 2. A tax imposed on the gratuitous transfer of property between two or more persons who are living at the time the transfer is made
 - a. Income tax
 - b. Business tax
 - c. Estate tax
 - d. Donor's tax
- 3. The following are the requisites of a donation for purposes of the donor's tax except
 - a. Capacity of the donor
 - b. Capacity of the donee
 - c. Delivery of the subject matter of gift
 - d. Donative intent
- 4. For the donation to be considered valid, acceptance of the donation must be made
 - a. During the lifetime of the donor only
 - b. During the lifetime of the donee only
 - c. During the lifetime of the donor and the donee
 - d. None of the choices

- 5. Statement 1: Donation is perfected from the time the donee has accepted the donation.

Statement 2: Donations made to conceived and unborn children are not allowed by law.

Statement 3: In all cases, void donations are not subject to donor's tax.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements are true
- 6. A wrote a letter to B on December 31, 2020 donating his car worth P350,000. The letter received by the latter on January 10, 2021 who accepted the donation. The letter of acceptance was received only by A on January 17, 2021. The donor's tax was not paid until March 20, 2022. The donation was consummated on
 - a. December 31, 2020
 - b. January 10, 2021
 - c. January 17, 2021
 - d. March 20, 2022

- 7. Statement 1: Donor's tax shall be levied, assessed, collected and paid upon the transfer of property by any person, resident or non-resident, as a gift.

Statement 2: Donor's tax is a property tax.

Statement 3: Donor's tax is an excise tax.

Statement 4: The donor's tax shall apply whether the transfer is in trust or otherwise, whether the gift is direct or indirect, and whether the property is real or personal, tangible or intangible.

- a. Only one (1) of the above statements is true.
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
- 8. Statement 1: Donative intent is required for both direct and indirect gifts.

Statement 2: Donation of real property must be made in a public document specifying therein the property donated.



Statement 3: The acceptance may be made in the same Deed of Donation or in a separate public instrument, but it shall not take effect unless it is done during the lifetime of the donor.

Statement 4: If the acceptance is made in a separate instrument, the donor shall be notified thereof in an authentic form and this step shall be noted in both instruments.

- a. Only one (1) of the above statements is false
- b. Two (2) of the above statements are false
- c. Three (3) of the above statements are false
- d. All of the above statements are false

9. Statement 1: The donation of movable property amounting to P5,000 or below may be made orally or in writing.

Statement 2: The donation of an immovable property shall be made in public instrument regardless of the amount.

Statement 3: The donation and acceptance should be in writing if the value of the property donated is at least P5,000.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true

10. One of the following is a valid donation

- a. Oral donation of a passenger jeepney worth P100,000
- b. A parcel of land worth P5,000 in a private document
- c. Oral donation of an air conditioner worth P4,000
- d. A parcel of land worth P1,000,000 in a private document

11. Which of the following statements is false? The gross gift of a non-resident alien

- a. Will include all intangible personal properties situated in the Philippines
- b. Will include all intangible personal properties regardless of location
- c. With reciprocity will not include all intangible personal properties regardless of location
- d. Without reciprocity will not include all intangible personal properties situated outside the Philippines

12. Which of the following is not considered as an intangible personal property within

- a. Franchise which must be exercised in the Philippines
- b. Obligations or bonds issued by a foreign corporation with business situs in the Philippines
- c. Shares of stock issued by a foreign corporation 51% of the business of which is located in the Philippines
- d. Shares of stocks issued by a domestic corporation

13. Statement 1: The gross gifts of a donor who is a non-resident alien will include all properties regardless of location.

Statement 2: The gross gifts of a donor who is a non-resident alien of the Philippines, will include only property located in the Philippines.

Statement 3: The reciprocity clause in the donor's tax law only applies to non-resident alien (NRA).

Statement 4: The reciprocity clause in the donor's tax law only applies to tangible and intangible personal properties donated by an NRA.

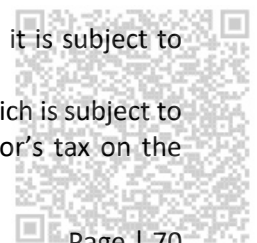
- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true

14. One of the following is subject to donor's tax

- a. Donation inter vivos to the Catholic Church
- b. Remission of debt where the debtor did not render services in favor of the creditor



- c. Donation inter vivos to International Rice Research Institute
 - d. Cash contribution to a political candidate, duly reported to the Commission on Election
15. All of the following, except one, are exempt from donor's tax
- a. Donation to the Philippine Red Cross
 - b. Donation to the Development Academy of the Philippines
 - c. Donation of cash to the City of Cebu for public use
 - d. Donation directly given to the victims of the eruption of Mt. Mayon
16. Which of the following renunciations shall not be subject to donor's tax?
- a. Renunciation by the surviving spouse of his/her share in the conjugal partnership or absolute community after the dissolution of the marriage in favor of the heirs of the deceased spouse or any other person/s
 - b. General renunciation by an heir, including the surviving spouse, of his/her share in the hereditary estate left by the decedent
 - c. Renunciation by an heir, including the surviving spouse, or his/her share in the hereditary estate left by the decedent categorically in favor of identified heir/s to the exclusion or disadvantage of the other co-heirs
 - d. None of the choices
17. Statement 1: As a rule, donations to candidates in local and/or national elections are not subject to donor's tax.
- Statement 2: Donation to a political party is not subject to donor's tax if it is reported by the donor to the Comelec and by the candidate in his Statement of Expenditures.
- Statement 3: When the donee is exempt from income tax the donation made by a taxable individual is also tax-exempt.
- Statement 4: Proceeds of life insurance policy on the life of the decedent where the designation of the beneficiary is irrevocable is always subject to donor's tax.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
18. Statement 1: A donation by husband and wife jointly of a conjugal property will require two separate computations of donor's tax which will be contained in two separate donor's tax return.
- Statement 2: If the property donated is a community property of the spouses, each of them is considered as a donor of his share in the co-owner property and shall be liable for whatever tax that may accrue on such donation.
- Statement 3: As a rule, a donation inter vivos between spouses during the marriage is voidable, except for moderate gifts.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements are true
19. What is the tax implication if a corporation condones the debt of a stockholder because of a good thing done by the latter to the corporation?
- a. The condonation is subject on its liberality. Moreover, it is equivalent to a payment of dividend to the stockholder which is, therefore, subject to a dividend tax of 10%
 - b. It is just a simple case of extinguishment of an obligation which is neither subject to income tax on the stockholder nor subject to donor's tax on the corporation
 - c. The condonation is based on the liberality of the corporation; therefore, it is subject to donor's tax
 - d. It is tantamount to a declaration of dividend. Therefore, it is an income which is subject to 10% dividend tax on the shareholder. However, it is not subject to donor's tax on the corporation



20. Which of the following donations result to a net gift of P80,000?
- The daughter of A was married to her boyfriend. As a gift, A donated cash worth P90,000 to his daughter
 - Property worth P80,000 was donated by A to Barangay Teacher's Village for use as site of the Barangay Hall
 - A donated property to B with a market value of P140,000. The property is subject to a mortgage indebtedness of P60,000 which was paid by the donor at the time of the donation
 - A requested B to pay A's liability with C in the amount of P100,000 and in return, the personal property of A valued at P180,000 will be donated to B

21. When a property is donated, the basis of the donor's tax is
- The cost of acquisition if acquired by purchase, or the fair market value at acquisition date, whichever is higher
 - The agreed upon value by the donor and the donee
 - The fair market value at the time of the donation
 - Any of the above

22. Statement 1: A donated real property can be registered in the name of the donee even if the donor's tax thereon had not been paid.

Statement 2: In case of a deficiency donor's tax, the donee shall be required to pay the tax if the property is already in his possession

Statement 3: Only one return shall be filed for several gifts (donations) by a donor to the different donees on the same date.

Statement 4: If the donation involves conjugal / community property, each spouse shall file separate return corresponding to his/her respective share in the conjugal/community property.

- Only one (1) of the above statements is true
 - Two (2) of the above statements are true
 - Three (3) of the above statements are true
 - All of the above statements are true
23. Donor's tax return shall be filed within
- 25 days after giving the gift
 - 30 days after the end of every quarter
 - 30 days after the gift has been made
 - 6 months after the gift from the date of gift
24. Mr. X, resident alien, donated a piece of jewelry to his son who got married on January 15, 2021. The piece of jewelry was mailed to his son on January 10, 2021, and was received and accepted on January 20, 2021. When is the last day to file the donor's tax return?
- | | |
|----------------------|----------------------|
| a. February 9, 2021 | c. February 19, 2021 |
| b. February 14, 2021 | d. March 20, 2021 |

25. Statement 1: The income tax on the income of the donated property after the donation but before registration in the name of the donee shall be a liability of the donee.

Statement 2: The 30-day period for filing the donor's tax return and payment of tax shall commence after the gift is made even if the donated property has not yet been delivered to the donee.

Statement 3: The donor's tax return shall be filed at the place of residence of the donor or of the donee, at the option of the donor.

- Only one (1) of the above statements is true
- Two (2) of the above statements are true
- Three (3) of the above statements are true
- All of the above statements are false



26. Statement 1: Where a property that has been subjected to the final capital gains tax is transferred for less than an adequate and full consideration in money or money's worth, the amount by which the fair market value of the property at the time of transfer exceeds the actual consideration shall be deemed gift and shall be included in the computation of gifts made during the calendar year.

Statement 2: A purchased a house and lot in 2020 for P5,000,000. In 2021, A decided to sell the house and lot to B for P2,000,000 although its fair market value is P7,000,000. The P5,000,000 difference in selling price and market value is a gift subject to donor's tax.

Statement 3: A donation inter vivos by the husband and the wife jointly during the marriage is a donation of each spouse to the extent of one-half that will require separate computations for two donor's taxes, under whichever property relationship exists between the spouses.

Statement 4: A sold his car, costing P3,000,000, to B for P5,000,000. The car has a fair market value of P9,000,000 at the time of sale. The difference of P4,000,000 in selling price and fair market value constitutes a gift subject to donor's tax.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
27. The rule on transfer for inadequate consideration does not apply to
- a. Delivery truck
 - b. Vacant lot
 - c. Apartment house
 - d. Jewelry for personal use
28. Which of the following is not a deduction from the gross gifts?
- a. Unpaid mortgage on the donated property assumed by the donee
 - b. Diminution on the donated property specifically provided by the donor
 - c. Unpaid donor's tax on the donated property assumed by the donee
 - d. Unpaid real estate tax on the property donated assumed by the donee
29. Statement 1: When a donor's tax return was filed and it was found out by the BIR to have errors which gave rise to a deficiency donor's tax, the donor might be required to pay the deficiency although he did not possess or own the property anymore.
- Statement 2: The Government is not bound by any agreement between the donor and the donee that the latter shall pay the donor's tax instead of the former.
- a. Statements 1 and 2 are false
 - b. Statement 1 is true but statement 2 is false
 - c. Statement 1 is false but statement 2 is true
 - d. Statements 1 and 2 are true
30. A tax minimization scheme which is done by spreading the gift over numerous calendar years to avail of lower tax liability
- a. Splitting of gift
 - b. Spread-out method
 - c. Donation of life insurance
 - d. Void donation

PROBLEM

1. Mr. X donated the following properties to various donees on December 25, 2021:

House and lot in Taiwan	P4,550,000
Apartment house in Quezon City	10,400,000
Car in Pasay City	676,000
Car in Japan	1,170,000
Savings deposit with BPI	65,000
Time deposit in a Los Angeles Bank	156,000
Building in Spain	1,760,000
Jewelries in Philippines	49,500
Shares of stock in a corporation based in New York	66,000
Accounts receivable, debtor residing in Philippines	154,000
Accounts receivable, debtor residing in China	42,000
Franchise exercised in Los Angeles	270,000

Franchise exercised in Philippines	144,000
Investment in ABC Corp., partnership established in China	224,000
Investment in XYZ Inc., partnership established in Philippines	175,000

Mr. X also sold the following properties in 2021:

	<u>Selling Price</u>	<u>FMV</u>
Car, Philippines	P 250,000	P 375,000
Car, Japan	450,000	300,000
Residential lot, Philippines	1,400,000	2,800,000
Residential lot, Japan	2,100,000	3,500,000

Mr. X likewise condoned receivables from a Philippine customer amounting to P400,000.

Question 1: The gross gift if Mr. X is a resident or citizen

- a. P20,426,500
- b. P21,826,500
- c. P23,226,500
- d. P21,576,500

Question 2: The gross gift if Mr. X is a non-resident alien without reciprocity

- a. P12,123,500
- b. P13,588,500
- c. P12,188,500
- d. P11,938,500

Question 3: The gross gift if Mr. X is a non-resident alien with reciprocity

2. Mr. and Mrs. X made the following donations from their conjugal properties (unless otherwise stated) for taxable years 2020 and 2021:

2020:

Jan. 15: To A, their legitimate son, for successfully passing the CPALE, car worth P1,200,000 with P300,000 unpaid mortgage, 50% of which was assumed by A.

Mar. 15: To B, brother of Mr. X, his separate property worth P1,000,000 on account of marriage 6 months ago with a condition that the donee will pay the corresponding donor’s tax.

June 15: To C, daughter of Mrs. X by former marriage, on account of her marriage 12 months ago, out of Mrs. X’s separate property worth P700,000.

July 15: To D, Mr. X’s brother, a car worth P3,000,000 with an agreement that Mr. X may revoke the donation anytime he wishes.

Sept. 15: To ABC Learning, an accredited non-government organization, a land with a fair market value of P2,400,000 at the time of donation.

Nov. 15: To E, a relative, a family car worth P1,600,000 with P400,000 unpaid mortgage, assumed by E.

2021:

Feb. 15: To F, nephew, a motorcycle worth P800,000 embodied in the will of Mr. X.

April 15: To Brgy. Teacher’s Village, a vacant lot with a fair market value of P2,250,000 for use as site of barangay hall.

June 15: To Mr. X’s parents as golden anniversary gifts, cash for P1,950,000.



Aug. 15: To G, their driver, a second hand car worth P350,000. The donation was made orally. Since then, the driver had taken possession of the property.

Sept. 15: To their sons, H and I, on account of their graduation, a rest house in Tagaytay valued at P3,200,000 but with a cost of P2,400,000.

Determine the donor’s tax payable on each date of donation for years 2020 and 2021.

3. Mr. X, a Filipino citizen, made the following donations to various donees for taxable year 2021:

	<u>Philippines</u>	<u>Japan</u>	<u>Korea</u>	<u>China</u>
Total gifts	P1,050,000	P1,200,000	P750,000	P800,000
Donor’s tax paid		P 60,000	P 30,000	P 40,000

Requirement: Compute the donor’s tax still due after tax credits.

- a. P213,000
- b. P83,000
- c. P58,855
- d. P98,000

4. On January 1, 2021, Mr. X, a resident citizen engaged in business of selling laptops, purchased 100 common shares of ABC Corporation, a privately-owned domestic company, for P600 per share. On July 1, 2021, he sold all the shares for P700 per share.

At the time of sale, the following financial information are made available:

	<u>BV</u>	<u>FMV</u>	<u>Assessed</u>	<u>Zonal</u>	<u>Appraised</u>
Current assets	P5,800,000	P5,200,000			
Non-current assets:					
Land 1	2,500,000		3,125,000	8,750,000	7,500,000
Land 2	1,000,000		1,100,000	2,000,000	2,250,000
Building 1	1,200,000		4,800,000		3,600,000
Building 2	750,000		3,000,000		3,450,000
Current liabilities	2,750,000	3,300,000			
Non-current liabilities	2,750,000	2,420,000			
Preferred shares	1,000,000				
Outstanding shares	15,000				

Compute the total taxes due upon sale of 100 shares, assuming Mr. X donated P500,000 worth of personal properties at the start of the year.

Note: The donor’s tax under the book value (BV) method is P15,000, computed as follows:

Total gift	P500,000
Less: exempt	<u>(250,000)</u>
Taxable gift	250,000
Tax rate	<u>x 6%</u>
Donor’s tax	P15,000



ESTATE TAX

THEORY

1. It is a mode of acquisition by virtue of which, the property, rights and obligations, to the extent of the value of the inheritance, of a person are transmitted through his death to another either by his will or by operation of law
 - a. Succession
 - b. Donation
 - c. Prescription
 - d. Exchanges
2. Succession which results from the designation of an heir, made in a will executed in the form prescribe by law
 - a. Testamentary
 - b. Mixed succession
 - c. Intestate succession
 - d. Legal succession
3. An act whereby a person is permitted with the formalities prescribed by law, to control to a certain degree the disposition of his estate, to take effect after his death
 - a. Contract
 - b. Trust
 - c. Will
 - d. Legacy
4. It is a will which must be entirely written, dated and signed by the hand of the testator himself. It is subject to no other form and it may be made in or out of the Philippines and need not be witnessed
 - a. Ordinary will
 - b. Notarial will
 - c. Holographic will
 - d. Codicil
5. The person whose property is transmitted through succession, whether or not he left a will
 - a. Successor
 - b. Heir
 - c. Legatee
 - d. Decedent
6. The person called to the succession, either by the provision of a will or by operation of law.
 - a. Heir
 - b. Legatee
 - c. Devisee
 - d. Decedent
7. An heir to a particular personal property given by virtue of will
 - a. Legacy
 - b. Devisee
 - c. Successor
 - d. Legatee
8. An heir to particular real property given by virtue of will
 - a. Devise
 - b. Successor
 - c. Devisee
 - d. Legatee
9. Part of the testator's property which he cannot dispose of because the law has reserved it for certain heirs who are called compulsory heirs
 - a. Legitimate
 - b. Free portion
 - c. Legitime
 - d. Estate
10. Which statement is false about succession
 - a. In succession, fruits and credits maturing after the death of the decedent pass to the heirs even if they were not subjected to estate tax
 - b. The successor can be made liable for the obligations of the decedent beyond the value of the asset he received
 - c. In succession, the successor can refuse the inheritance
 - d. The successor inherits all the transmissible property of a decedent including his liabilities
11. The estate should be valued at the time
 - a. The heirs are ascertained
 - b. The estate tax is paid
 - c. The estate is ready for distribution to the heirs
 - d. Of death of the decedent
12. Statement I: The estate tax accrues upon the death of the decedent-owner of the properties transmitted by succession.



Statement II: The estate tax should be paid by the executor or administrator, or the heir, before title to any registerable property may be registered in the name of the heir to whom it is given by succession.

Statement III: The heirs or successors have the personal liability to pay the estate tax.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above is true

13. The personal properties of a non-resident, not citizen of the Philippines, would not be included in the gross estate if
 - a. The intangible personal property in the Philippines
 - b. The personal property is shares of stock of a domestic corporation 90% of whose business is in the Philippines
 - c. The intangible personal property in the Philippines and the reciprocity clause of the estate tax law applies
 - d. The tangible personal property is in the Philippines
14. One of the following is not an exemption or inclusion from gross estate
 - a. Properties outside the Philippines of a non-resident Japanese decedent
 - b. Shares of stock of Ayala Land Inc. of a non- resident Australian
 - c. Capital or exclusive property of the surviving spouse
 - d. The owner of usufruct in the owner of a naked title
15. Which of the following is correct?
 - a. The personal property of a non-resident alien without reciprocity is not included in the gross estate in the Philippines if they are intangible
 - b. The gross estate of an American decedent who was a resident of the Philippines includes all properties in the Philippines only
 - c. The gross estate of a Filipino decedent who was residing in Australia would include all properties regardless of location
 - d. The gross estate of a resident citizen decedent would not include all properties, whether real or personal and whether within or without
16. In computing the gross estate of a decedent
 - a. If he was a non-resident, but citizen of the Philippines, tangible and intangible properties, regardless of location, shall be included
 - b. If he was a resident who was not a citizen of the Philippines, tangible and intangible properties, regardless of location, shall be included
 - c. If he was a non-resident who was not a citizen of the Philippines, tangible and intangible personal properties, located in the Philippines, shall be included
 - d. All above statements are correct
17. Which of the following statements is incorrect?
 - a. In a revocable transfer, the decedent during his lifetime, may revoke, alter, amend or terminate the terms of enjoyment or ownership of the property
 - b. A revocable transfer is always includible in the gross estate of the decedent-transferor
 - c. A revocable transfer shall be included in the gross estate of the decedent-transferor even though the power to revoke was not exercised
 - d. The power of the decedent-transferor to revoke terms may be exercised just once
18. Statement I: A special power of appointment authorizes the donee of the power to appoint only from among a designated class or group of persons other than himself.

Statement II: The donee-decedent of a special power of appointment only holds the property in trust, hence, the property shall form part of the donee-decedent's gross estate.

Statement III: The appointed property passing under a general power of appointment is not includible in the gross estate of the donee-decedent.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above is true



19. Statement I: The power of appointment is “general” when the power of appointment authorizes the donee of the power to appoint only from a restricted or designated class of persons other than himself.

Statement II: Special power of appointment exists when the power of appointment authorizes the donee of the power to appoint any person he pleases.

- a. Only statement 1 is correct
 - b. Only statement 2 is correct
 - c. Both statements are correct
 - d. Both statements are incorrect
20. Statement 1: Mr. X devised in his will real property to his brother A who is entrusted with the obligation to preserve and transmit the property to B, a son of A, when B becomes of age. The transmission from A to his son B is subject to tax.

Statement II: Mr. X died leaving a farmland. In his will, he transferred the ownership thereof to A but subject to the condition that B will have the right to use the land for a period of ten years (usufruct). In the seventh year however, B died and in B’s will he surrendered his right over the land to A. The transaction is a tax exempt transfer.

Statement III: Mr. X devised in his will a piece of land, naked title to A and usufruct to B for as long as B lives, thereafter to A. The transmission from Mr. X to A and B is subject to estate tax but the merger of the usufruct and the naked title is A upon the death of B is exempt.

Statement IV: Mr. D, with stage three cancer, made a last will and testament disposing of properties mentioned in the last will and testament. On the same day, he made gifts inter vivos to his children. A few days later he died. The donated properties are to be excluded in the gross estate.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above is true
21. Statement I: A died giving B power to appoint a person who will inherit A’s house and lot. B, however can only choose among C, D, E and F. B decided to transfer the property to C, in B’s will when he was old already. The transfer from B to C is subject to estate tax.

Statement II: During A’s lifetime, he decided to give B as gift his car subject to the condition that if B does not become a CPA within three years, A shall revoke the transfer. In the second year, however, A died. The car can no longer from part of A’s gross estate.

- a. True, true
 - b. True, false
 - c. False, true
 - d. False, false
22. Which of the following is not included in the gross estate?
- a. Transfer in contemplation of death where the consideration is not sufficient
 - b. Revocable transfer where the power of revocation was not exercised
 - c. Proceeds of life insurance where the beneficiary designated is the executor and the designation is irrevocable
 - d. Proceeds of life insurance where the irrevocably designated beneficiary is the father

23. Proceeds of life insurance where the beneficiary of the decedent is not his estate, executor or administrator is
- a. Part of gross income if the beneficiary is revocable
 - b. Part of gross income regardless whether the beneficiary is revocable or irrevocable
 - c. Not part of gross estate if the beneficiary is irrevocable
 - d. Part of gross estate regardless whether the beneficiary is revocable or irrevocable

24. Statement I: Unpaid mortgage indebtedness is deductible from the gross estate provided the said property subject to the indebtedness is included in the gross estate, net of mortgage indebtedness.

Statement II: A donation inter-vivos by the decedent to the Philippine government few months before the death is a deduction from the gross estate.

- a. True, true
- b. True, false
- c. False, true
- d. False, false



25. The following statements are correct regarding standard deduction under the CREATE law, except
- A deduction in the amount of P5,000,000 shall be allowed as an additional deduction without need of substantiation
 - The full amount of P5,000,000 shall be allowed as deduction for the benefit of the decedent
 - Standard deduction is not allowed to decedents who are non-resident aliens
 - None of the above

26. Which of the following is deductible from the gross estate?
- Income tax paid on income received after death
 - Unpaid property taxes accrued in the year of death
 - Donor's tax accrued after to death
 - Estate tax paid to a foreign country

27. Statement I: The underlying reason for vanishing deduction is to offer a relief from heavy burden of taxation if the same property is subjected to two estate taxes within a short period of time because of proximate dates.

Statement II: In order that there can be vanishing deduction, the estate tax on a prior succession must have been previously finally determined and paid.

- True, true
 - False; false
 - True, false
 - False; true
28. A resident and citizen of the Philippines died on May 10, 2021. Among his gross estate are properties inherited from his deceased father who died on April 4, 2018. What percentage of deduction will be used in computing the amount of vanishing deduction?
- 80% of the value taken as basis for vanishing deduction
 - 100% of the value taken as basis for vanishing deduction
 - 60% of the value taken as basis for vanishing deduction
 - 40% of the value taken as basis for vanishing deduction

29. The following are requisites for vanishing deductions, except one
- The estate tax of the prior succession must have been finally determined
 - The present decedent died within five (5) years from date of death of the prior decedent
 - The property with respect to which deductions is sought can be identified
 - The property must have formed part of the gross estate situated in the Philippines of the prior decedent

30. Statement I: If the property is inherited before marriage, it will belong to both spouses; while if it is inherited during marriage, it is exclusive.

Statement II: Unless stipulated, the property relations shall be governed by conjugal partnership of gains for marriages celebrated on or before August 3, 1988.

- True, true
 - True, false
 - False, true
 - False, false
31. Statement I: Unless stipulated, the property relations shall be governed by absolute community of property for marriages celebrated on or before August 3, 1988.

Statement II: Under the regime of absolute community of property, property for personal and exclusive use of either spouse except jewelry shall belong to both spouses.

- True, true
 - True, false
 - False, true
 - False, false
32. One of the following is a conjugal property of the spouses
- That which is brought to the marriage as his or her own
 - That which each acquires during the marriage by inheritance
 - The fruits of an exclusive property
 - That which is purchased with the exclusive property of the wife



33. One of the following is not a community property of the spouses
- a. Properly inherited by the husband before marriage
 - b. Winnings in gambling
 - c. Fruits of property inherited during the marriage
 - d. Fruits of property inherited before the marriage
34. Personal property for personal and exclusive use shall be classified as
- | <u>Absolute Community Property</u> | <u>Conjugal Partnership of Gain</u> |
|------------------------------------|-------------------------------------|
| a. Community | Conjugal |
| b. Exclusive | Exclusive |
| c. Community | Exclusive |
| d. Exclusive | Conjugal |
35. Under the absolute community of property, jewelry for personal and exclusive use shall belong to the
- a. Wife
 - b. Husband
 - c. Husband and wife
 - d. Children
36. This is not part of the conjugal property
- a. Those acquired by onerous title during the marriage at the expense of the common fund
 - b. Those acquired by industry or work of either of them
 - c. The fruits, rents or interests received or due during the marriage coming from the conjugal property or from the exclusive properties of the spouses
 - d. Those acquired during the marriage by gratuitous title

PROBLEMS

1. Mr. X died in 2021 and left the following properties:
- | | |
|--|-------------|
| House and lot in Quezon City serving as family home | P 3,700,000 |
| House and lot in USA | 2,000,000 |
| Land in Baguio with P300,000 unpaid mortgage | 1,000,000 |
| Vacant lot in Manila | 1,500,000 |
| Car in Manila | 500,000 |
| Jewelries in USA | 300,000 |
| Other personal properties in Manila | 200,000 |
| Franchise in Japan | 100,000 |
| Receivable from debtor in Philippines | 90,000 |
| Receivable from debtor in Japan | 100,000 |
| Bank deposits in Bank of the Philippine Islands (BPI) | 90,000 |
| Bank deposits in Canada | 50,000 |
| Shares of stock in a domestic corp., 40% of the business is in Philippines | 100,000 |
| Shares of stock in a foreign corp., 70% of the business is in Philippines | 150,000 |
| Shares of stock in a foreign corp., 90% of the business is in Philippines | 250,000 |
| Shares of stocks in a foreign corp., 75% of the business is in Philippines and has acquired situs in Philippines | 175,000 |

Question 1: If the decedent is a non-resident citizen, his gross estate is

- a. P10,305,000
- b. P10,005,000
- c. P8,305,000
- d. P8,005,000

Question 2: If the decedent is a non-resident alien, his gross estate is

- a. P7,430,000
- b. P7,605,000
- c. P7,355,000
- d. P7,505,000

Question 3: If in the preceding number reciprocity law can be applied, his gross estate is

- a. P6,990,000
- b. P7,000,000
- c. P6,900,000
- d. P7,100,000



2. Mr. X, head of family, died on December 15, 2021. The following information are provided by the estate administrator:

House and lot serving as Family Home	P12,000,000
Cash (60% donated to the city, 40% deposited in bank)	2,000,000
Tangible personal properties	3,000,000
Farmland with unpaid mortgage of P750,000	5,250,000
Receivables from various customers	1,000,000
Claim against an insolvent person (80% collectible)	2,500,000
Transfer in contemplation of death (gratuitous)	700,000
Transfer in contemplation of death (received P500,000 consideration)	800,000
Transfer of property passing under special power of appointment (SPA)	950,000
Proceeds of revocable life insurance where his father is the beneficiary	300,000
Proceeds of irrevocable life insurance where the estate is the beneficiary	200,000
Insurance death benefit as SSS member	150,000
Property transferred to his cousin which Mr. X can revoke anytime	100,000
Amounts received by heirs under RA 4917	120,000
Funeral expenses	300,000
Judicial expenses	275,000
Medical expenses	450,000

- Question 1: Compute for the net taxable estate.
Question 2: Compute for the estate tax due.
Question 3: Compute for the net distributable estate.

3. The estate of Mr. X, resident citizen decedent, married, who died on April 1, 2021 are as follows:

House and lot serving as Family Home	P13,000,000
The lot was acquired at a cost of P3M before marriage while the house was constructed during marriage at a cost of P10M from common funds	
Properties acquired during marriage	5,000,000
Property acquired during marriage in exchange of exclusive property	3,000,000
Properties acquired before marriage where Mr. X has a legitimate child from previous marriage	2,000,000
Jewelry inherited during marriage, then with a fair market value of P1,300,000	2,500,000
Apartment units in Japan acquired during marriage	2,700,000
Rental income from the apartment units up to time of death	200,000
Casualty losses incurred on Nov. 1, 2021 (common)	200,000
Claims against insolvent person which is 100% uncollectible (common)	500,000
Unpaid taxes (exclusive)	100,000

- Question 1: Compute for the estate tax due under Conjugal Partnership of Gains (CPG).
Question 2: Compute for the estate tax due under Absolute Community of Property (ACP).



4. Mr. X died on July 1, 2021 and left the following properties:
- A real property which Mr. X inherited on March 1, 2018. The property had a fair market value of P8,800,000 and a bank mortgage balance of P1,200,000 at the time of his death. The said property had a FMV of P7,150,000 with unpaid mortgage of P2,000,000 at the time of inheritance.
 - Other properties in his gross estate had fair market value of P12,000,000.
 - Deductible losses, indebtedness, taxes amounted to P3,500,000.
- Given the above information, what is the amount of deductible vanishing deduction?

5. Mr. X died on December 1, 2021 leaving the following properties:
- | | |
|--|------------|
| Farmland in Baguio, brought to marriage by wife | P5,400,000 |
| Income from farmland in Baguio | 500,000 |
| Apartment units in Quezon City, acquired during marriage | 4,000,000 |
| Rental income from apartment units in Quezon City | 80,000 |
| Rest house in Tagaytay, acquired before marriage | 5,000,000 |
| Income from rest house in Tagaytay | 400,000 |
| Car, inherited by Mr. X during marriage | 1,950,000 |
| Jewelry, acquired during marriage for exclusive use and using the exclusive money of the wife | 300,000 |
| House and lot inherited from his father on September 1, 2020 (fair market value when inherited, P3,000,000), used as family home | 4,000,000 |
| Unpaid mortgage on the inherited house and lot (original mortgage, P1,200,000) | 200,000 |
| Car received as gift from his mother in 2021 | 750,000 |
| Deductible losses, indebtedness, taxes | 1,500,000 |

Question 1: How much is the estate tax due under Conjugal Partnership of Gains (CPG)?
Question 2: How much is the estate tax due under Absolute Community of Property (ACP)?

6. Mr. X died and the following information are made available:
- | | |
|-----------------------------------|------------|
| Gross estate, Philippines | P5,000,000 |
| Gross estate, Japan | 3,000,000 |
| Gross estate, USA | 2,000,000 |
| Allowable deductions, Philippines | 1,975,000 |
| Allowable deductions, Japan | 1,525,000 |
| Allowable deductions, USA | 800,000 |
| Estate tax paid, Japan | 10,000 |
| Estate tax paid, USA | 15,000 |

The deductions are exclusive of the Standard Deduction.

Compute for the estate tax still due after-tax credit for foreign estate taxes paid.

- a. P42,000
- b. P27,000
- c. P23,158
- d. P22,289



VALUE-ADDED TAX (VAT)

THEORY

1. Which of the following is not a major business internal revenue tax in the Tax Code?
 - a. Value-added tax
 - b. Excise tax
 - c. Income tax
 - d. Percentage tax

2. Which of the following is not included in the term "Gross Selling Price"?
 - a. Total amount of money or its equivalent paid by the purchaser
 - b. Delivery, freight and insurance paid by the purchaser
 - c. Value-added tax passed on by the seller to the buyer
 - d. Excise tax

3. Statement 1: An article exempt from VAT may be exempt from percentage tax.
 Statement 2: An article subjected to excise tax may be subjected to VAT.
 Statement 3: An article subjected to VAT may be subjected to percentage tax.
 - a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements are true

4. Statement 1: The term "in the course of trade or business" includes regular conduct or pursuit of a commercial or economic activity.
 Statement 2: The term "in the course of trade or business" includes incidental business transactions.
 Statement 3: In value-added tax, although the seller-businessman is the one statutorily liable to pay and shoulders the burden of the tax.
 - a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements are true

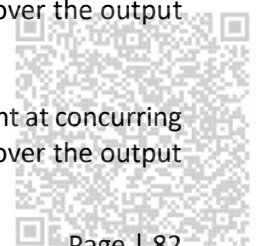
5. In case of sale, barter or exchange of real property subject to VAT, the term "fair market value" shall mean
 - a. The fair market value as shown in the schedule of values of the Provincial and City Assessors (real property tax declaration)
 - b. The fair market value as determined by the Commissioner of Internal Revenue (zonal value)
 - c. Whichever is higher between the zonal value and the value per real property tax declaration
 - d. Whichever is lower between the zonal value and the value per real property tax declaration

6. Statement 1: If the debit to the Output Taxes is an amount more than the credit to the Input Taxes account, the balancing credit entry is an account Value-added Tax Payable.

Statement 2: The credit to the Input Taxes account cannot be more than the debit to the Output Taxes account.

Statement 3: If after debit to Output Taxes account and credit to Input Taxes account at concurring amounts, there is a credit balance (unused) of input taxes the excess input taxes over the output taxes may remain in the Input Taxes Account for use in the next month.

Statement 4: If after debit to Output Taxes account and credit to Input Taxes account at concurring amounts, there is a credit balance (unused) of input taxes the excess input taxes over the output



taxes may be credited with a debit to the account Deferred Input Tax, and this new account with a balance which will be credited against the output taxes of the succeeding month.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
7. Statement 1: A taxpayer whose annual gross sales or receipts exceed P3,000,000 shall pay VAT even if he is not VAT-registered. He is likewise entitled to input taxes.

Statement 2: Imported goods for personal use is not subject to VAT if he is non-VAT registered.

Statement 3: Zero rated transactions are exempt transactions because it does not result to output tax.

Statement 4: There may be an export sale although there is not sale or shipment of the goods from the Philippines to other countries.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
8. Which statements is correct?
- a. A person whose sales or receipts do not exceed P3,000,000 is exempt from VAT and OPT
 - b. A person who issues a VAT invoice on a VAT exempt transaction is subject to VAT on the said transaction
 - c. Entities which are exempt from income tax are also exempt from VAT
 - d. Zero-rated sales are exempt from VAT
9. One of the following is not a transaction deemed sale
- a. Transfer, use or consumption not in the course of business of goods or properties originally intended for sale or for use in the course of business
 - b. Distribution or transfer to shareholders or investors of goods or properties as share in the profits of a VAT-registered person or creditors in payment of debt
 - c. Retirement from or cessation from business with respect to all goods on hand as of the date of such retirement or cessation
 - d. Consignment of goods if actual sale is made within 60 days following the date such goods were consigned

10. Transaction 1 – An agricultural food producer sells his products in their original state to a food processor who also buys packaging materials and containers from a manufacturer or supplier.

Transaction 2 – The food processor transforms the food products into processed foods and sells to a wholesaler or exporter.

Transaction 3 – The exporter sells the goods to foreign buyers.

Transaction 4 – The wholesaler delivers the merchandise to retailers.

Transaction 5 – The retailers sell the goods to households or ultimate consumers.

Assume that all transactions came from VAT-registered persons.

Question 1: Which of the above transactions is VAT exempt?

- a. Transaction 1
- b. Transaction 2
- c. Transaction 3
- d. Transaction 4

Question 2: Which of the above transactions is zero-rated?

- a. Transaction 1



- b. Transaction 2
- c. Transaction 3
- d. Transaction 4

11. Statement 1: Any person who is not subject to mandatory registration because his actual or expected gross sales or receipts from non-exempt business for the past 12 months do not exceed P3,000,000, may opt to register under the VAT system, but shall not be allowed to cancel his VAT registration for the next three (3) years.

Statement 2: Any person who is VAT-registered but enters into transactions which are exempt from VAT may opt that the VAT apply to his transactions which would have been exempt but shall not be allowed to cancel his VAT registration for the next three (3) years.

Statement 3: Franchise grantees of radio and/or television broadcasting whose annual gross receipts of the preceding year do not exceed P10M may opt for VAT registration, but shall not be allowed to cancel his VAT registration for the next three (3) years.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above is true

12. Statement 1: When an importation is made by a VAT taxpayer, the value-added tax shall be based on the dutiable value if customs and tariff duties are based on quantity or volume.

Statement 2: When an importation is made by a VAT taxpayer, the value-added tax shall be based on landed cost if the customs duty is based on the value of the importation.

Statement 3: Export sales are exempt from value-added tax regardless of whether the exporters are VAT registered or not.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

13. Statement 1: Inventories of goods for sale which are exempt from value-added tax may be subject to transitional input tax when the seller becomes liable to VAT for the first time, or when he voluntarily registers under the VAT system even if his annual gross sales do not exceed P3,000,000.

Statement 2: The purchase of fish to be processed into sardines shall entitle the manufacturer of sardines to a 4% presumptive input tax.

Statement 3: A person who sells his land classified as capital asset because he needs money for the hospitalization of his child is subject to VAT on the sale of real property.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

14. Statement 1: Transport of passengers and cargo by domestic air or sea vessels from the Philippines to a foreign country is subject to VAT at a rate of 0%.

Statement 2: Transport of passengers and cargo by domestic air or sea vessels from Luzon to Visayas and Mindanao, vice versa, is subject to VAT at a rate of 0%.

Statement 3: There is a VAT in an importation by an importer-merchant even if he does not intend to sell the imported article.

Statement 4: A person who is exempt from VAT may register under the VAT system.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true



d. All of the above statements are true

15. Which of the following statements is correct?

- a. Transitional input tax is 2% of the value of the inventory or the actual VAT paid, whichever is lower
- b. Amounts received from services performed by an individual pursuant to an employer-employee relationship are subject to VAT
- c. Export sales by VAT registered persons are not subject to VAT
- d. Export sales by persons who are not VAT-registered are VAT exempt

16. Which of the following shall be subject to 0% Value-Added Tax?

- a. Sale of electricity by generation companies
- b. Sale of electricity by transmission companies
- c. Sale of electricity by distribution companies
- d. Sale of power or fuel generated through renewable sources of energy

17. Which of the following statements is incorrect?

- a. VAT on importation is paid to the Bureau of Customs before the imported goods are released from its custody
- b. When a person who enjoys the tax-exemption on his importation subsequently sells in the Philippines such imported articles to non-exempt persons, the purchaser-non-exempt person shall pay the VAT on such importation
- c. Expenses incurred after the goods are released from Customs custody are disregarded in computing VAT on importation
- d. Imported goods which are subject to excise tax are no longer subject to value-added tax

18. Which statement is correct? VAT on importation

- a. Should be paid by the tax-exempt importer, if he subsequently sells the goods to a non-tax-exempt purchaser
- b. Should not be paid if the importer is tax exempt but the imported article was subsequently sold to a non-exempt purchaser because the transaction was exempt at the point of importation
- c. Should be paid by the non-tax-exempt purchaser to whom the tax-exempt importer sells it
- d. Is a liability, either of the tax-exempt importer or the non-tax exempt purchaser

19. Statement 1: VAT is imposed on goods brought into the Philippines, whether for use in business or not.

Statement 2: In case tax exempt products are sold domestically to a VAT registered person, the VAT otherwise due on such product shall be considered as input tax creditable against his output tax payable.

Statement 3: Export sales by a VAT registered person are subject to zero-rating and so he can claim and enjoy a credit for the tax invoiced to him on his purchases. If he is not VAT registered, his export sales are exempt, but he is still entitled to tax credit for inputs.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

20. Statement 1: There is a presumptive input tax on sales of goods, properties and services.

Statement 2: There is a transitional input tax on sales of goods, properties and services.

Statement 3: The transitional input tax shall be two percent (2%) of the value of the beginning inventory on hand or actual VAT paid on such goods, materials and supplies, whichever is higher.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true



21. Statement 1: Lease of residential units with a monthly rental per unit not exceeding P15,000, regardless of the amount of aggregate annual gross rentals shall be exempt from VAT but subject to OPT.
Statement 2: Lease of residential units with a monthly rental per unit exceeding P15,000 but the aggregate of such rentals during the year do not exceed P3,000,000 shall be exempt from OPT but subject to VAT.
Statement 3: Lease of commercial units regardless of monthly rental per unit.
- Only one (1) of the above statements is true
 - Two (2) of the above statements are true
 - Three (3) of the above statements are true
 - None of the above statements are true
22. Sale of the following real properties are subject to VAT, except
- Residential lot, held for sale in the ordinary course of business, sold for P1,800,000
 - Residential house and lot, held for sale in the ordinary course of trade, sold for P2,800,000
 - Sale of real property not primarily held for sale in the ordinary course of business
 - Sale of real property used in the ordinary course of business
- Note: VAT exemption threshold to be used for residential house and lot is now P3,199,200 (RR 8-2021).*
23. Which of the following is not subject to VAT by a VAT-registered seller?
- Remaining inventory upon retirement from business
 - Sale of company used car to its officers
 - Sale of goods or services to the national government
 - Sale of residential lot amounting to P1,000,000
24. Statement 1: Sale of drugs and medicines of pharmacy run by the hospital to outpatients are subject to VAT.
Statement 2: Pharmacy items used in the performance of medicinal procedures in hospital units such as in the operating and delivery rooms and by other departments are considered part of medical services rendered by the hospital, hence, exempt from VAT.
- Only Statement 1 is true
 - Only Statement 2 is true
 - Statements 1 and 2 are true
 - None of the above statements are true
25. Tax credit for input taxes shall be allowed if
- The seller is VAT-registered regardless of whether the purchaser is VAT-registered or not
 - Both the seller and the purchaser are VAT-registered
 - Either one of the seller or the purchaser is VAT-registered
 - Neither one of the seller or the purchaser is VAT-registered as long as VAT invoice is issued
26. Any input tax attributable to zero-rated sales by a VAT-registered person may at his option be
- Deducted from output tax
 - Refunded
 - Applied for a tax credit certificate which may be used in payment of other internal revenue taxes
 - All of the above
27. Which statement is not correct?
- The excess input taxes of a taxable period arising from local sales may be refunded
 - The excess input taxes of a payable period arising from exports sales may be refunded
 - The excess input taxes of a taxable month arising from local sales may be carried over the succeeding month
 - The excess input taxes of a taxable quarter arising from local sales may be carried over to the succeeding quarter
28. Statement 1: On a sale of real property on installments by a real estate dealer, the seller shall be subject to VAT on the installment payment received, excluding interests and penalties for the late payment.



Statement 2: On sale of real property on installments by real estate dealer, where the VAT is computed not on the consideration in the deed of sale but on the higher fair market value, the Vat must be billed separately with a specific mention that it is based on the market value of the property.

Statement 3: In the case of sale on deferred payment basis not qualifying under the installment plan, the transaction shall be treated as cash sale and the VAT is payable on the month of sale.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

29. Statement 1: Monthly VAT declaration is filed on or before the 25th day from the end of each month.

Statement 2: Quarterly VAT return shall be filed on or before the 20th day from the end of each quarter.

Statement 3: A taxpayer who has two or more businesses shall look at the aggregate of gross receipts from all businesses.

Statement 4: Husband and wife with separate businesses determine liability for the value-added tax based on his or her separate business.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

30. The following are exempt from VAT, except

- a. Sale of gold to the BSP
- b. Association dues, membership fees, and other assessments and charges collected by home-owners associations and condominium corporations
- c. Sale of marinated fish
- d. Services of banks, money changers, pawnshops and cooperatives

31. The following are exempt from VAT, except

- a. Importation of ordinary feeds for poultry chicken
- b. Sale of roasted chicken
- c. Sale of newspaper
- d. Sale of pet food

32. Statement 1: A sale of smoked fish by its producer is subject to value-added tax if the seller-producer is earning annual gross sales of more than P3,000,000.

Statement 2: A sale of a goldfish by a pet shop is subject to value-added tax, while a sale of fresh tilapia in the market is exempt.

Statement 3: A sale of live chicken by an agricultural contract grower to ABC Corporation, its supplier of feeds is subject to VAT.

Statement 4: Both the sale of fresh eggs in the market and the sale of fried egg in a restaurant are exempt from value-added tax.

Statement 5: The sale of raw sugar is exempt from value-added tax, while the sale of refined sugar is taxable.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true



33. If a VAT-registered person issues a VAT invoice or VAT official receipt for a VAT-exempt transaction, but fails to display prominently on the invoice or receipt the words ‘VAT-exempt sale”, the transaction shall
- a. Still be exempt from value-added tax
 - b. Become taxable and the issuer shall be liable to pay VAT thereon
 - c. Be effectively subject to zero percent
 - d. Be considered erroneous transaction and must be disregarded
34. Which statement is correct?
- a. The sales invoice that shows a total, with an indication that it includes the value-added tax even if it does not show the tax separately, is a correctly prepared invoice
 - b. The invoice which shows the selling price and the value-added tax separately, but with a total which is a correct amount is a properly prepared invoice
 - c. An invoice which shows the selling price and the value-added tax separately, which is paid by the buyer, is violative of the revenue regulations on issuance of sales invoice
 - d. All of the above are correct

PROBLEMS

1. ABC Inc., a VAT registered taxpayer, is a seller of goods. ABC reported the following data for the period (all figures are exclusive of VAT):

Gross sales	P600,000
Sales return and allowances	50,000
Sales discounts	30,000
Payment for purchases of materials:	
From VAT taxpayers	80,000
From non-VAT taxpayers	30,000
Payment for supplies from VAT taxpayers	60,000
Salaries of employees	50,000
Payment to Manila Water (non-VAT)	35,000
Other operating expenses	100,000

Requirement: Compute for the VAT payable

- a. P45,600
 - b. P39,600
 - c. P41,400
 - d. P33,600
2. XYZ Construction Inc., a VAT registered contractor, provided the following information:

Collections on total contract price for projects already completed, inclusive of P500,000 for materials	P1,344,000
Receivables on progress billings (VAT inclusive)	436,800
Advances on contracts (VAT not inclusive)	300 000
Retentions on contracts made by clients out of contract price already earned	153,000
Purchases:	
Materials (gross of VAT)	313,600
Materials from VAT exempt suppliers	100,000
Services of sub-contractor (VAT exclusive)	627,200
Services of persons subject to other percentage taxes	78,400
Salaries of employees	78,000

Requirement: Compute for the VAT payable

- a. P17,565
- b. P61,728
- c. P52,776
- d. P71,136



3. The following information are available to you. All amounts provided are gross of VAT.
- | | |
|--|----------|
| W, non-VAT taxpayer, sells to X, VAT taxpayer | P 94,000 |
| X, VAT taxpayer, sells to Y, VAT taxpayer | 151,200 |
| Y, VAT taxpayer, sells to Z, VAT taxpayer, an exporter | 268,800 |
| Z, VAT taxpayer, exports | 360 000 |

Question 1: The value-added tax of X is

- a. P16,200
- b. P4,920
- c. P18,144
- d. P6,864

Question 2: The value-added tax of Y is

- a. P28,800
- b. P12,600
- c. P16,056
- d. P14,112

Question 3: The value-added tax of Z is

- a. P9,771 payable
- b. P28,800 payable
- c. P28,800 creditable
- d. P14,400 payable

4. Mr. X purchased the following fixed assets, VAT exclusive, for the taxable year 2021:

	<u>Date Acquired</u>	<u>Useful life (years)</u>	<u>Acquisition Cost</u>
Machinery 1	March 1	4	P500,000
Machinery 2	March 15	2.5	300,000
Office equipment 1	July 1	4	400,000
Office equipment 2	July 15	5	1,100,000
Store equipment 1	October 1	2	500,000
Store equipment 2	October 15	6	1,500,000

Question 1: How much is the input tax for March 2021?

Question 2: How much is the input tax for July 2021?

Question 3: How much is the input tax for October 2021?

Question 4: Assuming Mr. X disposed all the remaining assets mentioned above on January 1, 2025, how much unamortized VAT may the taxpayer apply against any output VAT until it is fully utilized?

5. The books of accounts of ABC Corporation, VAT registered, revealed the following data in 2021:

Deferred input taxes, 2020	P 18,600
Sales (VAT exclusive)	
January	P1,240,000
February	860,000
March	1,080,000
Purchases (VAT exclusive)	
January	P 762,000
February	950,400
March	471,750



Question 1: What is the VAT payable/(creditable) for January?

- a. P48,557
- b. P32,614
- c. P22,817
- d. P38,760

Question 2: What is the VAT payable/(creditable) for February?

- a. (P10,848)
- b. P21,905
- c. (P9,686)
- d. (P0)

Question 3: What is the VAT payable/(creditable) for March?

- a. P62,142
- b. P80,742
- c. P100,902
- d. P119,502

6. ABC Company operates two lines of business – one subject to VAT and another one not subject to VAT. Relevant data for the period are provided below:

Sales:	
VAT business, VAT inclusive	P1,232,000
Non-VAT business	220,000
Purchases:	
Merchandise, VAT business, VAT inclusive	P 231,000
Merchandise, non-VAT business, VAT inclusive	100,650
Capital goods, VAT business, VAT inclusive	52,164
Capital goods, for use in both businesses, VAT inclusive	84,000
Rent of store space, VAT business, VAT inclusive	21,840
Rent of warehouse, for use in both businesses, VAT exclusive	9,300
Freight of goods, for use in both businesses, VAT inclusive	3,864
Utility bills, for use in both businesses, VAT inclusive	2,436

How much is the VAT payable by ABC Company?

7. ABC Corporation, a VAT registered business, provided the following data for taxable year 2021:

Export sales, total invoice amount	P2,000,000
Local sales:	
Total amount invoiced to customers	2,800,000
Goods withdrawn for use by ABC Corp. (VAT exclusive)	100,000
Goods taken as payment to creditors (VAT exclusive)	150,000
Consigned goods still unsold (VAT exclusive)	
To consignee A (15 days)	P150,000
To consignee B (45 days)	P200,000
To consignee C (75 days)	P250,000

Purchases used to manufacture goods for export and local sales (VAT inclusive):

Raw materials	560,000
Supplies	336,000
Machinery	224,000

Question 1: The amount of input tax which can be refunded or converted into tax credit certificates (TCCs) is

- a. P48,000



- b. P72,000
- c. P120,000
- d. P0

Question 2: If the input taxes were used as tax credits, the VAT due is

- a. P240,000
- b. P288,000
- c. P360,000
- d. P0

Question 3: If the input taxes were claimed as refund, the VAT due is

- a. P240,000
- b. P288,000
- c. P360,000
- d. P0

8. Mr. X, a VAT registered taxpayer, is in the business of selling imported goods. On December 31, 2020, Mr. X's books showed a debit balance in the Input Taxes account of P36,000. Sales and purchases at total invoice prices and costs for January 2021 are:

Sales	P1,344,000
Sales returns and allowances	84,000
Sales discounts	33,600
Purchases of:	
Goods for sale from VAT-registered persons	313,600
Goods for sale from non-VAT registered persons	78,400
Services from VAT-registered persons	42,560
Equipment (life of 5 years) from VAT-registered person	123,200
Importation of goods for sale:	
Invoice cost	40,000
Freight	2,500
Insurance	3,200
Customs duty	5,600
Excise tax	3,100
Other expenses prior to removal from customs custody	7,300
Other expenses after removal from customs custody	2,250
Operating expenses	20,000
Freight from customs custody to warehouse (non-VAT registered)	5,000

How much is the VAT payable for January 2021?

9. Mr. X is a VAT registered real estate dealer. Mr. X provided the following information for taxable years 2020 and 2021:

Selling price (VAT exclusive)	P10,000,000
Zonal value	12,000,000
FMV as per City Assessor's Office	8,000,000
Payments made by the buyer:	
February 1, 2020	P 1,000,000
August 1, 2020	1,500,000
April 1, 2021	4,000,000
December 1, 2021	3,500,000

Question 1: The output tax on February 1, 2020 collection is

- a. P1,440,000
- b. P360,000
- c. P144,000
- d. P120,000



Question 2: The output tax on April 1, 2021 collection is

- a. P216,000
- b. P576,000
- c. P360,000
- d. P0

Question 3: Assuming the FMV in the Assessor’s Office is P12,500,000, the output tax on August 1, 2020 collection is

Question 4: Assuming the FMV in the Assessor’s Office is P12,500,000, the output tax on December 1, 2021 collection is

- a. P1,500,000
- b. P225,000
- c. P525,000
- d. P0

10. ABC Corporation, a VAT-registered enterprise, had the following financial information, VAT exclusive, for the last quarter of 2020.

<u>Sales:</u>	<u>October</u>	<u>November</u>	<u>December</u>	<u>Quarterly Totals</u>
Vatable sales to private entities	300,000	300,000	420,000	1,020,000
Exempt sales	150,000	240,000	180,000	570,000
Sales to government	140,000	160,000	130,000	430,000
Export (0-rated) sales	<u>130,000</u>	<u>80,000</u>	<u>60,000</u>	<u>270,000</u>
Total	720,000	780,000	450,000	2,290,000

<u>Purchase of goods from VAT suppliers:</u>				
Vatable sales to private entities	120,000	100,000	250,000	470,000
Exempt sales	60,000	80,000	110,000	250,000
Sales to government	110,000	80,000	120,000	310,000
Export (0-rated) sales	<u>40,000</u>	<u>50,000</u>	<u>40,000</u>	<u>130,000</u>
Total	330,000	310,000	520,000	1,160,000

ABC Corporation purchased depreciable capital goods on October 1, 2020 for P2,500,000 with an estimated useful life of 3 years and another one on November 1, 2020 for P1,800,000 with an estimated useful life of 7 years. These capital goods are being used for the benefit of the whole business. ABC Corporation likewise had excess input tax credit from the previous quarter amounting to P5,000.

Question 1: The VAT still due at the end of October is

- a. P11,823
- b. P6,823
- c. P3,467
- d. None of the choices

Question 2: The VAT still due at the end of November is

- a. P12,186
- b. P23,814
- c. P6,067
- d. None of the choices

Question 3: The VAT still due at the end of December is

- a. P90,139
- b. P32,261
- c. P8,252
- d. None of the choices



SOLUTION TO VAT PROBLEM 10

	<u>Before January 1, 2021</u>		
	October	November	December
Output tax			
Vatable sales to private entities	36,000	36,000	122,400
Sales to government	16,800	19,200	51,600
Total	52,800	55,200	174,000
Input tax			
Vatable sales to private entities	14,400	12,000	56,400
Sales to government	13,200	9,600	37,200
Export (0-rated) sales	4,800	6,000	15,600
Capital goods (pro-rated):			
Vatable sales to private entities	3,472	4,590	14,342
Sales to government	1,620	2,448	6,046
Export (0-rated) sales	1,505	1,224	3,797
Charged to expense*	(5,020)	(848)	(13,146)
Deferred input	5,000	-	5,000
Total	38,977	35,014	125,239
VAT payable	13,823	20,186	48,761
Less: VAT withheld (5%)	7,000	8,000	21,500
Less: VAT paid			19,009
VAT still due	6,823	12,186	8,252

**Charged to expense*

Actual			
Purchase (sales to government)	13,200	9,600	37,200
Capital goods allocated	1,620	2,448	6,046
Total	14,820	12,048	43,246
Standard input VAT (SIV) (7%)	9,800	11,200	30,100
Charged to expense	5,020	848	13,146

	<u>After January 1, 2021</u>		
	October	November	December
Output tax	52,800	55,200	174,000
Input tax			
Input tax (above)	38,977	35,014	125,239
Add back: charged to expense*	5,020	848	13,146
Input tax to be used	43,997	35,862	138,385
VAT payable	8,803	19,338	35,615
Less: VAT withheld (5%)	7,000	8,000	21,500
Less: VAT paid			13,141
VAT still due	1,803	11,338	974

**Note: Input VAT is based on actual purchases; therefore, no more SIV*



OTHER PERCENTAGE TAXES (OPT)

THEORY

1. Which of the following is subject to 1% (3% under TRAIN) percentage tax?
 - a. Establishments whose annual gross sales or receipts exceed P3,000,000 and who are VAT registered
 - b. Establishments whose annual gross sales or receipts do not exceed P3,000,000 and who are not VAT registered
 - c. Businesses whose annual gross sales or receipts exceed P3,000,000 and who are not VAT registered
 - d. VAT registered establishments whose annual gross receipts do not exceed P3,000,000

2. Statement I: Other percentage taxes (OPT) are indirect taxes that can be passed on by person required to pay to another person who shall bear the burden of paying the tax.

Statement II: Persons or transactions which are subject to OPT may still be subject to income tax.

Statement III: Persons and transactions that are subject to OPT are no longer subject to VAT and excise tax.

Statement IV: All VAT-exempt taxpayers shall be subject to OPT.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
3. Which of the following entities are subject to Other Percentage Tax (OPT)?
 - I. Philippine Airlines (PAL)
 - II. Batangas II Electric Cooperative
 - III. Soriano Nightclub
 - IV. Bank of the Philippine Islands (BPI)
 - a. I and II
 - b. II and III
 - c. III and IV
 - d. II and IV
4. Which of the following is not considered as a percentage tax?
 - a. 15% tax on shares not traded through the local stock exchange
 - b. 10% overseas communications tax
 - c. 3% tax on common carriers and keepers of garage
 - d. 6/10 of 1% stock transaction tax on shares traded through the local stock exchange

5. Statement I: A radio broadcasting company whose gross annual receipts do not exceed P10,000,000 shall not be subject to VAT even if it decides to be subject to VAT.

Statement II: A franchise on gas and water utilities whose gross annual receipts exceed P10,000,000 shall automatically be subject to VAT.

Statement III: Radio and/or television broadcasting whose gross receipts in the preceding year did not exceed P10,000,000 shall have an option to be registered as VAT taxpayer.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
6. Which of the following is subject to percentage tax?
 - a. Telephone bill on a call by a daughter in the Philippines to her father in the Japan
 - b. Telephone call by a brother in Korea to his friend in Cebu
 - c. Monthly telephone bill from Globe
 - d. Mobile call by a son from Quezon City to his mother in Baguio City



7. Statement I: A non-VAT registered transportation contractor engaged in the transport of passengers, goods and cargoes is liable to 1% on VAT-exempt persons on gross receipts from transport of goods and cargoes and 3% common carrier's tax on gross receipts from transport of passengers.

Statement II: A VAT registered transportation contractor engaged in the transport of passengers, goods and cargoes is liable to 12% VAT on gross receipts from transport of goods and cargoes and 3% common carrier's tax on gross receipt from transport of passengers.

Statement III: A non-VAT registered domestic carrier by land engaged in the transport of goods, whose annual gross receipts do not exceed P3,000,000 is liable to 1% OPT under Section 116.

Statement IV: A non-VAT registered domestic carrier by land engaged in the transport of goods, whose annual gross receipts exceed P3,000,000 is liable to 12% VAT.

- Only one (1) of the above statements is true
 - Two (2) of the above statements are true
 - Three (3) of the above statements are true
 - All of the above statements are true
8. Statement I: A non-VAT registered domestic carrier by sea engaged in the transport of passenger, goods and cargoes, whose annual gross receipts do not exceed P3,000,000 is liable to 1% OPT under Section 116.

Statement II: A non-VAT registered domestic carrier by sea engaged in the transport of passenger, goods and cargoes, whose annual gross receipts exceed P3,000,000 is liable to 12% VAT.

Statement III: A non-VAT registered domestic carrier by land engaged in the transport of passengers, whose annual gross receipts do not exceed P3,000,000 is liable to 3% common carrier's tax under Section 117.

Statement IV: A non-VAT registered domestic carrier by land engaged in the transport of passengers, whose annual gross receipts do not exceed P3,000,000 is liable to 3% common carrier's tax under Section 117.

- Only one (1) of the above statements is true
 - Two (2) of the above statements are true
 - Three (3) of the above statements are true
 - All of the above statements are true
9. An international air carrier doing business in the Philippines shall be subject to
- 3% percentage tax on gross receipts in the Philippines only
 - 2 ½% income tax on Gross Philippine billings only
 - Both the 2 ½% income tax on Gross Philippine Billings (GPB) and 3% percentage tax on gross receipts in the Philippines
 - Both the 2 ½% income tax on Gross Philippine billings and VAT on gross receipts in the Philippines

10. Statement I: Under RMC 70-2015, transport network vehicle services (TNVS), such as but not limited to the like of GRAB and its Partners and similar arrangements, which are holders of a valid and current Certificate of Public Convenience for the transport of passengers by land, shall be subject to 3% common carriers tax under Sec. 117.

Statement II: The 3% common carrier's tax is based on the actual quarterly gross receipts or minimum quarterly receipt whichever is lower.

Statement III: Domestic common carries are subject to 0% on its flight originating from abroad to Philippines.

Statement IV: Resident international carriers are subject to 0% VAT on its gross Philippine billings on flight originating from the Philippines to a foreign destination.

- Only one (1) of the above statements is true
- Two (2) of the above statements are true



- c. Three (3) of the above statements are true
 - d. All of the above statements are true
11. One of the following is subject to common carrier's tax
- a. Owners of banca
 - b. Owners of animal-drawn two wheeled vehicles
 - c. Common carriers by land for transport of goods or cargoes
 - d. Common carriers by land for transport of passengers
12. Statement I: Banks are subject to VAT on its interest income, commissions, and discounts from lending activities and financial leasing.

Statement II: Financing companies, pawnshops and duly registered credit cooperatives are subject to other percentage taxes.

Statement III: Pawnshops and money changers are exempt from 12% VAT and OPT.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements are true
13. Statement I: A person engaged in non-life insurance business is subject to VAT.
- Statement II: The tax on life insurance premiums is based upon the total premiums collected whether such premiums are paid in money, notes, credits, or any substitute for money.
- Statement III: The tax on agents of foreign insurance companies is 4% based upon the total premiums collected.
- Statement IV: All insurance premium collected by life insurance company is subject to 2% gross receipts.
- Statement V: A life insurance premium refunded within six(6) months is not subject to a 2% percentage tax.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true

14. Who shall be liable to the amusement taxes under Section 125?

- a. Patrons of amusement places
- b. Lessors of amusement places
- c. Proprietor, lessees, or operator of amusement places
- d. None of the choices

15. Statement I: The 10% tax on winnings is based on actual amount paid to the winner.

Statement II: The rate of tax on winnings in case of double, forecast, quinella and trifecta shall be four percent (4%).

Statement III: All boxing exhibitions held in the Philippines shall be subject to amusement tax.

Statement IV: Gross receipts from amusement tax shall include income from television, radio and motion picture rights.

Statement V: Gross receipts from amusement tax shall include income from sale of food and refreshments within and outside the amusement place.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true



16. One of the following is not subject to amusement tax on gross receipts
 - a. Disco houses
 - b. Cockpits
 - c. Professional basketball
 - d. Bowling alleys

17. Boxing exhibitions shall be exempt from amusement tax when the following conditions are present:
 - a. Involves World or Oriental championships in any division
 - b. One of the contenders is a citizen of the Philippines
 - c. Promoted by citizens of the Philippines or by a corporation or association at least 60% of the capital is owned by Filipino citizens
 - d. All of the conditions above must be met

18. Statement I: Primary offering of shares by the issuing corporation during IPO shall be subject to percentage on IPO of 4%, 2%, 1% based on gross selling price or gross value in money.
 Statement II: Secondary offering of stock held as investment when sold during IPO period shall be subject to percentage on IPO of 4%, 2%, 1% based on gross selling price or gross value in money.
 Statement III: Follow on, follow-through issuance of shares by the issuing corporation after IPO shall not be subject to business tax but subject to documentary stamp tax (DST).
 Statement IV: Shares of stock held as investment when sold through the local stock exchange shall be subject to percentage tax of 6/10 of 1% based on gross selling price or gross value in money.
 Statement V: Shares of stock held as investment when sold directly to a buyer shall be subject to capital gains tax of 15% of capital gain.
 - a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true

19. Statement I: Sale by a stock dealer of shares of stocks through the local stock exchange is subject to the stock transaction tax.
 Statement II: Sale by a stock dealer of shares of stocks directly to a buyer is subject to the capital gains tax.
 Statement III: The corporate issuer is the taxpayer as far as the IPO in the local stock exchange of closely held corporation is concerned .
 - a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true

PROBLEMS

1. Mr. X operates a Korean restaurant in Banawe, Quezon City. Its annual gross sales do not exceed P3,000,000. In March 2021, the gross sales amounted to P220,000 while purchases of goods subject to VAT is P30,000 and not subject to VAT, P52,000.

Question 1: If Mr. X is not a VAT registered taxpayer, his percentage tax due for the month is

Question 2: If Mr. X is a VAT-registered taxpayer and the amounts above are exclusive of VAT, the VAT due is



2. Mr. X, a self-employed individual, is a non-VAT registered taxpayer who operates a milk tea shop. The following information were provided in 2021:

Gross sales	P500,000
Sales discounts	60,000
Purchases from VAT registered suppliers	200,000
Business expenses	100,000

Question 1: The percentage tax due is (above amounts are exclusive of taxes)

Question 2: If Mr. X opted to be taxed at 8% on his gross sales and receipts, he will be liable to

- a. Subject to 12% VAT
- b. VAT exempt but subject to 1% OPT under Section 116
- c. 12% VAT or 1% OPT, at his option
- d. None of the above

Question 3: If Mr. X voluntarily registered for VAT

- a. He is subject to OPT under Section 116
- b. He is subject to 12% or 1% OPT, at his option
- c. He is exempt from OPT under Section 116 if he opted to be taxed at 8%
- d. He is subject to 12% VAT

3. Mr. X operates various vehicles plying all throughout Metro Manila. The gross receipts for the month per type of vehicle are shown below:

Jeepney	P20,000
Taxi	15,000
Grab	25,000
Truck	30,000
Pedicab	5,000

Question 1: The percentage tax due on Mr. X is

Question 2: The output VAT of Mr. X if he is VAT registered is

4. ABC Transport Company is a transportation contractor based in Guagua, Pampanga. During the month of November, it reported the following gross receipts:

From transport of passengers	P700,000
From transport of cargo	300,000
From rental of its cargo trucks to individual lessees	250,000
From rental to balikbayans with chauffeur	150,000

Payments to VAT registered persons during the same month amounted to P50,000, VAT exclusive.

Question 1: The percentage tax due is



Question 2: The VAT due of ABC if it is VAT registered is

5. ABC Transport Company operates ten (10) units of buses. During the month of December, it had the following data in its books:
- | | |
|---|------------|
| Receipts from passengers | P4,000,000 |
| Receipts from cargoes | 400,000 |
| Receivables for transport of passengers | 150,000 |
| Receivables for transport of cargoes | 50,000 |
| Payments for repair of transport units | 40,000 |
| Salaries of personnel | 100,000 |
| Purchase of spare parts | 70,000 |
| Registration with LTO | 12,000 |
| Premiums on insurance | 20,000 |

Question 1: How much is the percentage tax payable?

Question 2: How much is the VAT payable (assume amounts above are VAT exclusive)?

- a. P512,400
 - b. P522,960
 - c. P38,400
 - d. P32,400
6. ABC Corporation has been granted a legislative franchise. During the preceding year, its gross receipts did not exceed P10,000,000. During the first quarter of the current year, it reported the following data:
- | | |
|---|------------|
| Gross receipts, net of tax | P2,500,000 |
| Disbursements to VAT registered persons, exclusive of tax | 700,000 |

Compute the tax due for the first quarter under the following scenarios:

Scenario 1: ABC Corporation is a radio and TV broadcasting franchisee.

Scenario 2: ABC Corporation is a water or gas franchise grantee.

Scenario 3: ABC Corporation is an electricity franchise grantee.

Scenario 4: Same as Scenario 1 but the gross receipts totalled P12,000,000.



7. NanDITO Telecom has the following data for the month of October 2021:

Gross receipts from:	
Domestic calls	P4,000,000
Overseas calls originating in the Philippines	2,000,000
Purchase of supplies used in connection with domestic calls, net of VAT	500,000
Purchase of equipment used in connection with both domestic and overseas calls, net of VAT	700,000
Business expenses	600,000

Question 1: The overseas communications tax is

- a. P600,000
- b. P200,000
- c. P480,000
- d. P60,000

Question 2: The VAT payable is

- a. P364,000
- b. P336,000
- c. P576,000
- d. P504,000

8. ABC Bank has the following financial information for the months of November and December 2021:

	<u>Nov</u>	<u>Dec</u>
Interest income with maturity of less than 5 years	P600,000	P750,000
Rentals	350,000	200,000
Net trading gain/loss	(50,000)	80,000

The gross receipts taxes payable for the months of November and December 2021, respectively are

- a. P51,000; P57,100
- b. P54,500; P53,600
- c. P66,500; P66,500
- d. P63,000; P72,100

9. ABC Insurance Company, a domestic corporation, received the following premiums, net of any tax:

	<u>Life</u>	<u>Fire</u>	<u>Marine</u>
Cash receipts	P1,500,000	P500,000	P650,000
Promissory notes	300,000		

Question 1: The percentage tax due is

- a. P59,000
- b. P72,000
- c. P36,000
- d. P30,000



Question 2: The output VAT is

- a. P138,000
- b. P354,000
- c. P216,000
- d. P318,000

Note: Promissory notes may be a substitute for cash. The insurance company may hold or own notes issued by the trustees or receivers of any institution created or existing under the laws of the Philippines, which, or the assets of which, are administered under the direction of any court having jurisdiction. However, this should be secured in case of nonpayment.

10. ABC Insurance Corporation, a domestic corporation, had the following collections from insurance premiums during the month of December 2021:

Health and accident insurance	P1,750,000
Car insurance	850,000
Life and disability insurance	1,200,000
Property insurance	1,400,000
Premiums collected as an agent of a foreign insurance company	2,000,000
Purchase of supplies for use in non-life business in the Philippines	300,000

Question 1: The percentage tax due is

- a. P139,000
- b. P59,000
- c. P260,000
- d. P360,000

Question 2: The VAT payable, assuming amounts given above are net of VAT, is

- a. P588,000
- b. P234,000
- c. P168,000
- d. P102,000

11. Mr. John Aratea operates a cockpit in Zamboanga del Sur. Inside the cockpit is a restaurant which he also operates. The data during the month of July 2021 are as follows:

Gross receipts from the gates	P600,000
Receipts from advertisements inside the cockpit area	50,000
Gross receipts from restaurant:	
Sale of food and beverages	60,000
Sale of liquor	80,000
Disbursements, net of VAT	30,000
Disbursements, not subject to VAT	25,000

Question 1: The amusement tax due is

- a. P117,000
- b. P79,000
- c. P132,300
- d. P142,200



Question 2: Assuming that the restaurant is owned and operated by Mr. Soriano, a non-VAT registered person, the business tax payable by Mr. Soriano is

Question 3: Assuming that the restaurant is owned and operated by Mr. Soriano, the percentage tax due on Mr. Aratea is

Question 4: Assume that Mr. Soriano, a VAT registered taxpayer is operating the restaurant. The business tax payable by Mr. Soriano is

- a. P13,200
- b. P16,800
- c. P10,200
- d. P4,200

12. Mr. X is the operator of ABC Coliseum. During the month of August 2021, it had the following gross receipts from various activities:

Boxing championship bout between a Mexican and Japanese	P500,000
Professional basketball	250,000
Amateur basketball	70,000
Concert by Black Mink	150,000
Billiards tournament	85,000
Bowling tournament	25,000
Darts tournament	15,000

Question 1: The percentage tax payable by Mr. X is

Question 2: The output VAT by Mr. X is

- a. P18,000
- b. P15,505
- c. P15,500
- d. P15,500

13. Mr. X, a horse bettor, had the following records of his horse races for the month of July 2021:

<u>Horse winnings</u>	<u>Type of winnings</u>	<u>Gross winning</u>	<u>Cost of tickets</u>
W	Ordinary	P550,000	P150,000
X	Double	250,000	80,000
Y	Trifecta	300,000	120,000
Z	Quinella	400,000	150,000

Question 1: How much is Mr. X's business tax on winnings?

- a. P93,000
- b. P64,000
- c. P100,000
- d. P40,000



Question 2: Assuming Mr. X received gross winnings of P200,000 as a horse-owner during the same month. Mr. X spent P5,000 to prepare his horse for the race. Mr. X's tax on winnings should be

- a. P20,000
- b. P8,000
- c. P19,500
- d. P6,000

14. ABC Corporation, a closely held corporation, is engaged in manufacturing laptops and calculators. It has an authorized capital stock of 6,00,000 shares with par value of P10 per share. It issued 1,500,000 shares to the following shareholders.

A	150,000
B	300,000
C	450,000
D	225,000
E	<u>375,000</u>
Total	<u>1,500,000</u>

On July 2021, ABC Corporation decided to conduct an initial public offering (IPO) and offers 1,000,000 of its unissued shares to the investing public at an IPO price of P12.50 per share. During the IPO period, one of the existing shareholders, C, has decided to sell her entire stake to the public at the IPO price.

Question 1: How much is the percentage tax due on the primary offering?

Question 2: How much is the percentage tax due on the secondary offering?

Question 3: If in August 2021, ABC decides to increase its capitalization by offering additional 500,000 of its unissued shares to the public at P15 per share, how much is the percentage tax due?

Question 4: If in September 2021, D decides to sell his entire stock ownership to the public at P15 per share, how much is the percentage tax due?



EXCISE TAX AND DOCUMENTARY STAMP TAX

1. ABC Company produced 10,000 units of excisable goods that has a total wholesale value of P1,680,000, inclusive of VAT. If sold on a retail basis, the goods would be priced at P2,100,000. The goods are subject to a 20% ad valorem tax. Compute for the excise tax.
- a. P300,000
 - b. P336,000
 - c. P420,000
 - d. P375,000

2. On January 1, 2021, ABC Cigar Incorporated manufactured 100 boxes of cigars and removed them from the place of production. As of January 1, 2020, the cigars shall be subject to an excise tax as follows:

Specific tax (per cigar)	P6.33
Ad valorem tax rate (based on the net retail price per cigar)	20%

The specific tax is subject to 4% increase per year. The retail selling price per box, net of VAT and excise tax, was P10,000, and 1 box of cigars contained 25 cigars. Compute the excise tax per box of cigar on January 1, 2021.

- a. P2,158
 - b. P2,165
 - c. P2,000
 - d. P2,171
3. ABC Company imported excisable goods subject to 10% excise tax and 20% customs duties. As per Sec. 131B of the Tax Code, unless otherwise specified by law, the imported goods imposed with ad valorem tax shall be subject to the same rates and basis of excise taxes applicable to locally manufactured articles. Data relating to the imported articles were as follows:
- | | |
|--------------------------------------|------------|
| Purchase price | P6,000,000 |
| Other inland costs | 1,500,000 |
| Domestic wholesale price, net of VAT | 13,500,000 |

Compute for the following:

- Excise tax
 - Customs duties
 - VAT
4. ABC Corporation sold its commercial land and building for P5,000,000 to XYZ Company. The land had a fair value per assessor’s office of P1,500,000 and zonal value of P2,000,000. The building had a P4,000,000 fair value per assessor’s office. The documentary stamp tax is P15 per P1,000 transactional value. Compute for the DST.
- a. P75,000
 - b. P90,000
 - c. P82,500
 - d. P60,000

5. Under Sec. 179 of the Tax Code, on every original issue of debt instruments, there shall be collected a documentary stamp tax of P1.50 on each P200, or fractional part thereof, of the issue price of any such debt instrument. Provided, that for such debt instruments with terms of less than one year, the documentary stamp tax to be collected shall be of a proportional amount in accordance with the ratio of its term in number of days to 365 days. Compute for the DST.

Question 1: A promissory note is issued with a face value of P3,000,000 with a term of 3 years

- a. P30,000
- b. P37,500
- c. P22,500
- d. P0



Question 2: A promissory note is issued with a face value of P2,500,000 with a term of 150 days

- a. P18,750
- b. P11,045
- c. P7,705
- d. P0

6. ABC Corporation was organized with a proposed authorized capital stock of P5,000,000 divided into 250,000 common shares. Compute for the DST under the following scenarios:

Scenario 1: The shares were issued with a par value of P20 per share.

Scenario 2: Continuing Scenario 1, assume further that Mr. X, one of the shareholders, subsequently sold his 5,000 shares.

Scenario 3: The shares were issued for a total consideration of P1,000,000 with no par value.

Scenario 4: Continuing Scenario 3, assume further that the same P1,000,000 worth of shares were subsequently sold for P1,200,000.

7. Statement I: If the agreeing party fail to pay the documentary stamp tax, the government may enforce the tax against the other party.

Statement II: If one of the contracting parties enjoys exemption to documentary stamp tax, the other party who is not exempt shall be liable to the same.

Statement III: Documentary stamp taxes are levied independently of the legal status of the transaction giving rise thereto. It must be paid upon the issuance of the said documents, without regard to whether the contracts are voidable, rescissible, unenforceable or void.

Statement IV: Documents not specifically listed in the Tax Code may still be subject to DST.

Statement V: DST applies whenever the right or obligation arises from the Philippines or when property or object of contract is in the Philippines regardless of the place where the document is executed.

- a. Only one (1) of the above statements is false
- b. Two (2) of the above statements are false
- c. Three (3) of the above statements are false
- d. All of the above statements are false



LOCAL TAXATION

1. Which of the following has no power to impose taxes?
 - a. Provinces
 - b. Cities
 - c. Municipalities
 - d. Barrios
2. Where does the local tax authority emanate from?
 - a. Legislature
 - b. Supreme Court
 - c. Executive
 - d. Sanggunian
3. Which of the following is not a fundamental principle of local taxation?
 - a. It must be uniform within the territorial jurisdiction of each local government unit
 - b. Each local government unit shall, as far as practicable, evolve, a progressive system of taxation
 - c. It must not be unjust, excessive, oppressive, or confiscatory
 - d. Collection of local taxes can be delegated to any private person
4. When may an LGU adjust local taxes?
 - a. Every 2 years
 - b. Every 3 years
 - c. Every 4 years
 - d. Every 5 years
5. This doctrine is when the National government opts to tax a particular area, it impliedly withholds from the local government the delegated power to tax the same
 - a. Separation of Departments of Government
 - b. Doctrine of Pre-emption
 - c. Exclusive prerogative doctrine
 - d. Tax Jurisdiction
6. At present, the law governing taxation of real property in the Philippines is
 - a. Real Property Tax Code
 - b. Local Government Code of 1991
 - c. Local Tax Code
 - d. National Internal Revenue Code
7. Which of the following is not one of the guiding principles regarding appraisal, assessment, levy and collection of real property tax?
 - a. Real property shall be appraised at its current and fair market value
 - b. Real property shall be classified for assessment purposes on the basis of its actual use
 - c. Real property shall be assessed on the basis of a uniform classification within each local political subdivision
 - d. The appraisal and assessment of real property shall be based on audited financial statements of the owner
8. Which real property is subject to the real property tax?
 - a. Machineries actually, directly, and exclusively used by local water districts
 - b. Real property owned by cooperatives
 - c. Machineries for pollution control and environmental protection
 - d. Real property used for cultural, scientific or medical purposes
9. The real property tax rate to be imposed
 - a. Must not exceed 1% in a province and 2% in a city, of the market value
 - b. Must not exceed 1% in a province and 2% in a city, of zonal value
 - c. Must not exceed 1% in a province and 2% in a city, of assessed value
 - d. Is 1% in a province and 2% in a city, of assessed value

Note: Final answer should be letter C.

Basis: Sec. 233 of the Local Government Code.

"A province or city or a municipality within the Metro Manila Area shall fix a uniform rate of basic real property tax applicable to their respective localities as follows:

- (a) In the case of a province, at the rate **not exceeding** one percent (1%) of the assessed value of real property; and*
- (b) In the case of a city or a municipality within the Metro Manila Area, at the rate **not exceeding** two percent (2%) of the assessed value of real property."*

10. Which of the following is not one of special levies on real property?



- a. Special assessment
 - b. Ad valorem tax on idle land
 - c. Special education fund tax
 - d. Transfer tax on transfer of real property ownership
11. Statement I: An idle land is an agricultural land with more than one hectare in area, half of which remains uncultivated except agricultural land with perennial crops with at least 50 trees and those used for grazing.
- Statement II: An idle land is a land in the city or municipality more than one thousand square meters in area, one half of which remains unutilized or unimproved by the owner.
- Statement III: The special levy on idle lands applies to any classification of land, be it residential, commercial, agricultural or industrial.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements is true
12. Mr. X bought a piece of land in Manila in 2021 whereby he discovered that it has unpaid real property tax for year 2020. Which of the following is correct?
- a. Mr. X is liable to real property tax because he assumed responsibility carried from previous owner
 - b. Mr. X is liable to real property tax because he is the new owner
 - c. Mr. X is not liable because but realty tax attaches upon the property. It is the property itself which is liable
 - d. Mr. X is not liable because realty taxes attach to the property, and are chargeable against the person who had actual or beneficial use and possession of it regardless of whether or not he is the owner
13. A power generation company with principal office in Davao City acquired and operated a factory in Quezon City. The company also established an administrative office in Mandaluyong City. This administrative office does not generate sales orders, nor does it receive collections from sales. Which of the three offices shall be liable for the local business tax?
- a. Offices in Davao City, Quezon City and Mandaluyong City
 - b. Offices in Davao City and in Mandaluyong City
 - c. Offices in Davao City and in Quezon City
 - d. None of the above
14. A municipality may levy an annual ad valorem tax on real property such as land, building, machinery and other improvement only if
- a. The DILG authorizes it to do so
 - b. The real property is located in the municipality
 - c. The real property is within the Metropolitan Manila Area
 - d. The power is delegated to it by the province
15. ABC Colleges, Inc. a stock educational institution organized for profit, decided to lease for commercial use a 1,000 square meter portion of its school. The school actually, directly and exclusively used the rents for the maintenance of its school buildings, including payment of janitorial services. Is the leased portion subject to real property tax?
- a. No, since the school actually, directly and exclusively used the rents for educational purposes
 - b. No, but it may be subject to income taxation on the rents it receives
 - c. Yes, since the leased portion is not actually, directly and exclusively used for educational purposes
 - d. Yes, since ABC is a stock and for-profit educational institution
16. The assessment level of agricultural land in a city should be approved by the Sangguniang Panlungsod in an ordinance in which the rate
- a. Should not exceed 40% of the assessed value
 - b. Should not exceed 40% of the market value



- c. Should not exceed 40% of the zonal value
 - d. Should be fixed at 40%
17. You are consulted by a seller of real property as to what documents/prerequisites are needed before a transfer tax is paid to the treasurer’s office of the city. Given the options below, which of them is not a prerequisite?
- a. Certificate Authorizing Registration (CAR) from the Bureau of Internal Revenue
 - b. Realty tax clearance from the Treasurer’s Office
 - c. Registration of the document in the Registry of Deeds
 - d. Official receipt for payment of documentary stamp tax paid to the Bureau of Internal Revenue
18. A parcel of land located in a residential area in Malabon City and classified in the tax declaration as industrial is leased and used as commercial. What will be the basis of the city government in assessing the property?
- a. Industrial
 - b. Residential
 - c. Agricultural
 - d. Commercial
19. Which of the following real property tax formulas is false?
- a. Fair market value = Assessed Value/Assessment Level
 - b. Taxable value = Fair market value x Assessment level
 - c. Real property tax = Assessed Value x Tax Rate
 - d. Assessment level = Assessed Value x Market Value
20. After the province has constructed a barangay road, the Sanguniang Panglalawigan may impose a special levy upon the lands specifically benefitted by the road up to an amount not to exceed
- a. 100% of the actual project cost, keeping 60% for the province and giving 40% to the barangay
 - b. 100% of the actual project cost without giving any portion to the barangay
 - c. 60% of the actual cost of the road without giving any portion to the barangay
 - d. 60% of the actual cost, dividing the same between the province and the barangay
21. Mr. X owns an agricultural land with an area of ten (10) hectares, suitable for cultivation, dairying, inland fishery and other agricultural uses remains uncultivated and unimproved by the owner to the extent of 70% of the land. Which real property tax cannot be imposed on the property of Mr. X?
- a. Basic real property tax
 - b. Special education fund tax
 - c. Idle land tax
 - d. Special levy tax
22. Which of the following rules is not applicable to collection of special levy taxes?
- a. It cannot be imposed without public improvement
 - b. It does not apply to properties which are exempt from real property tax
 - c. The total amount to be collected should not exceed 50% of the expenses of total project cost and cost of acquiring the land
 - d. All of the above apply to collection of special levy taxes
23. Mr. X’s Tax Declaration for the year contains the following information:

Classification of property	Residential
Fair market value	
Land	P1,250,000
Improvement	P2,400,000
Assessment level	
Land	15%
Improvement	20%

How much is the aggregate basic real property tax assessable on the properties if the basic tax rate is 1%?

- a. P13,350
- b. P6,675
- c. P3,338
- d. P0



24. A vacant commercial land located in a city measuring 1,500 square meters has a market value of P1,000 per sqm in the tax declaration and a zonal value of P900. If the city has maximized the assessment level and tax rate to that allowed by law.

Question 1: How much is the total real property tax payable?

- a. P15,000
- b. P7,500
- c. P22,500
- d. P11,250

Question 2: If the taxpayer paid in advance, what is the maximum amount of discount that will be allowed as deduction from his tax due?

- a. P4,500
- b. P2,250
- c. P9,000
- d. P0

Question 3: How much is the total amount payable if the taxpayer pays his real property tax after six (6) months of delinquency?

- a. P23,850
- b. P27,900
- c. P25,200
- d. P0

25. A parcel of land in Metro Manila was assessed as commercial with a fair market value of P7,500,000. How much would be the highest possible amount of annual basic real property tax that can be collected from the owner?

Scenario 1: The property is located in a city

- a. P3,750,000
- b. P75,000
- c. P37,500
- d. P0

Scenario 2: The property is located in a municipality

- a. P3,750,000
- b. P75,000
- c. P37,500
- d. P0

Scenario 3: The property is located in a municipality and assessed as residential

- a. P1,500,000
- b. P15,000
- c. P30,000
- d. P0

26. A local government unit is empowered to collect this tax

- a. Documentary stamp tax
- b. Income tax on income of local business establishments
- c. Value-added tax
- d. Taxes, fees and charges on jeepneys

27. Which of the following statements is incorrect?

- a. A city can collect taxes that can also be collected by a province
- b. A city can collect taxes that can also be collected by municipality
- c. A city can collect taxes that can also be collected by a barangay
- d. A city can decide not to collect taxes that can be collected by a province



28. ABC Corporation's head office is located in Ortigas, Pasig City. However, its manufacturing plant is in Taytay, Rizal. Where should ABC Corp pay the 2% local business tax if its gross receipts totaled Php10 million
- Pay Php200,000 at Taytay, Rizal
 - Pay Php200,000 at Ortigas, Pasig City
 - Pay Php140,000 at Ortigas, Pasig City and Php60,000 at Taytay, Rizal
 - Pay Php60,000 at Ortigas, Pasig City and Php140,000 at Taytay, Rizal
29. What is the tax base for the imposition by the province of professional taxes?
- The pertinent provision of the local Government Code
 - That which Congress determined
 - The reasonable classification made by the provincial Sanggunian
 - That which the Department of Interior and Local Government determined
30. A province can impose the following taxes but not
- Community tax
 - Amusement tax on admission
 - Franchise tax
 - Tax on quarry resources
31. Which of the following cannot be collected by barangay?
- Community tax
 - Real property tax
 - Barangay clearance
 - Business tax on condominium associations
32. Which of the following statements is incorrect?
- Barangay clearances shall first be secured before Mayor's permit is issued by a city or municipality
 - A franchise tax shall be based on the gross receipts of the franchisee in the preceding calendar year
 - A local government unit may collect toll fees or charges for the use of a public road
 - A professional may pay Professional Tax anywhere in the Philippines
33. ABC Trucking is engaged in business of delivering sand, gravel and other quarry resources to its customers. During the period, it has extracted 20,000 cubic meters of quarry resources at an average fair market value of P200 per cubic meter. The expenses for the operation of the business amounted to P2,000,000. How much sand and gravel tax is due on ABC Trucking if the tax rate is 2%? To which local government unit is the sand and gravel tax payable?
- P40,000 payable to the municipality where the quarry resources have been extracted
 - P80,000 payable to the provinces where the quarry resources have been extracted
 - P40,000 payable to the barangay where the quarry resources have been extracted
 - P80,000 payable to the provinces where the quarry resources have been extracted
34. The presentation of a community tax certificate is necessary in the following situations, except
- To acknowledge execution of document before a notary public
 - To take oath of office in the government
 - To receive any license or permit or certificate from public authority
 - To receive private funds
35. Non-payment of the following is not a ground for imprisonment
- Income tax
 - Value-added tax
 - Community tax
 - Donor's tax
36. Statement 1: For purpose of community tax, a general professional partnership is taxable as a corporation.
Statement 2: Aliens who have stayed in the Philippines most of the time during the taxable year are required to pay community tax in the Philippines.
- Both are correct
 - Both are incorrect
 - Only the first is correct
 - Only the second is correct



37. Given the following statements
- I. A general professional partnership is required to pay community tax.
 - II. A business partnership is not required to pay community tax.
 - III. A domestic corporation is required to pay community tax.
 - IV. A resident foreign corporation is required to pay community tax.
- Which of the following is the best option?
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements is true
38. Maximum additional community tax payable by an individual and a corporation
- | <u>Individual</u> | <u>Corporation</u> | <u>Individual</u> | <u>Corporation</u> |
|-------------------|--------------------|-------------------|--------------------|
| a. P5,000 | P10,000 | c. P5,005 | P10,200 |
| b. P5,005 | P10,005 | d. P5,005 | P10,500 |
39. An exempt individual may secure community tax certificate by paying
- a. P1.00
 - b. P5.00
 - c. P10.00
 - d. P0
40. Given the following statements
- I. An applicant for a CPA Licensure Examination who is a resident of Cebu City may validly secure community tax certificate in Davao City.
 - II. The community tax certificate for 2021 can still be validly used in filing the income tax return on March 10, 2020.
 - III. An unemployed Filipino with seven (7) children whose only source of livelihood is to work in his own rice field measuring 1,000 square meters may be required to pay community tax.
- Which of the following statements is correct?
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements is true
41. Statement I: Barangay treasurers can be deputized to collect the community tax in their respective jurisdictions.
- Statement II: The printing of the community tax certificates shall be caused by the Bureau of Internal Revenue.
- Statement II: The community tax shall be paid in the place where the principal office is located.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. None of the above statements is true
42. If the community tax is collected by a barangay of a municipality, the collection
- a. Shall accrue entirely to the municipality
 - b. Shall accrue entirely to the barangay where the tax is collected
 - c. Shall be apportioned equally between the province, the municipality and the barangay where the tax is collected
 - d. Shall be apportioned equally between the municipality and the barangay where the tax is collected



43. Mr. X, 25 years of age who has been regularly employed, had the following data during the year:

Salary	P500,000
Gross receipts:	
Dormitory	150,000
Passenger jeepney	200,000
Expenses:	
Dormitory	80,000
Passenger jeepney	100,000

The community tax payable by Mr. X is

- a. P775

b. P675
- c. P850

d. P855

44. Mr. X, a resident of Katipunan, Quezon City, owns a restaurant in C.M. Recto Ave., Manila and in Cubao, Quezon City. In 2020, it had the following data:

	<u>Gross receipts</u>	<u>Expenses</u>
Manila	P5,000,000	P2,500,000
Quezon City	3,000,000	1,500,000

Question 1: For 2021, the total basic and additional community tax payable by Mr. X is

- a. P5,000
- b. P5,005
- c. P8,000
- d. P8,005

Question 2: The community tax for 2021 is payable on or before

- a. January 31, 2021
- b. February 28, 2021
- c. December 31, 2021
- d. April 15, 2022

Question 3: If the tax is paid on April 30, 2021, the amount payable is

- a. P5,205
- b. P5,205.2
- c. P5,325
- d. P5,325.2

45. ABC Corporation, a domestic corporation had the following data in 2021:

Cash sales	P4,500,000
Sales on accounts	2,500,000
Cost of sales	3,500,000
Expenses	1,500,000
Dividend from XYZ Corporation	150,000

	<u>Zonal value</u>	<u>Assessed value</u>
Real properties		
Land	P1,400,000	P1,000,000
Building	1,800,000	1,600,000

The total taxes to be paid by ABC Corporation in 2021 is

- a. P3,400
- b. P2,900
- c. P1,860
- d. P1,040



PREFERENTIAL TAXATION

Senior Citizens

- 1. Mr. X, 62 years of age, purchased a medicine from a pharmacy with a selling price of P3,360, gross of VAT. How much is the net amount to be paid by Mr. X?
 - a. P3,000
 - b. P3,360
 - c. P2,688
 - d. P2,400
- 2. Ms. A, 62 years old, was treated by her grandchildren X, Y and Z to ABC Restaurant during grandparents day and their total bill is P3,920.

Question 1: How much is the discount of the Senior Citizen?

- a. P175
- b. P196
- c. P784
- d. P700

Question 2: How much is the amount due and payable on the bill?

- a. P3,920
- b. P3,619
- c. P3,627
- d. P3,640

- 3. Mr. X, 65 years old, celebrated his birthday with a lunch with his two grandchildren, Y and Z. Mr. X ordered chicken with spaghetti and drinks worth P224, gross of VAT. Y ordered spaghetti, drinks and burger with an invoice price of P140 inclusive of VAT. Z ordered chicken with rice and drinks with an invoice price of P120, VAT inclusive. How much should be paid by Mr. X?
 - a. P484
 - b. P392.14
 - c. P420
 - d. P439.2

- 4. Mr. X, 60 years old, took an air-conditioned bus, operated by a company subject to OPT, with a normal fare of P1,000 from Bicol to Manila.

Question 1: How much should be paid by Mr. X to the bus conductor?

- a. P714
- b. P1,000
- c. P800
- d. P777

Question 2: Suppose Mr. X took an airplane in going to Manila and the fare, inclusive of VAT and gross of discount, was P5,040. How much fare should be paid by Mr. X?

- a. P5,040
- b. P4,500
- c. P4,032
- d. P3,600

- 5. ABC Corporation provides discounts to senior citizens. It reported the following during the taxable year 2021:

Receipts:	
Regular	P10,400,000
Senior citizen	1,300,000
Cost of services	6,000,000
Other deductible expenses	2,400,000



Compute for the taxable income of ABC Corporation

- a. P3,040,000
- b. P3,300,000
- c. P3,625,000
- d. P2,975,000

6. Which of the following statements is true?

- a. A senior citizen who buys fishball from a street vendor shall be entitled to a 20% discount on amount which is net of VAT
- b. The monthly electric bill in a household where the senior citizen lives shall be subject to 5% discount based on the billed amount
- c. A Korean national who comes to the Philippines for a tourist visit in Boracay shall be entitled to a 20% discount on plane fare and hotel accommodations
- d. A multi-millionaire senior citizen shall be also entitled to the 20% discount

7. Statement I: For private hospital confinement, the 20% discount and VAT exemption are deducted first from the medical bill before deducting the PhilHealth benefit.

Statement II: The No Balance Billing Policy applies in public hospitals, meaning senior citizen patients need no longer pay for their hospital bill.

Statement III: Families of deceased senior citizens can claim a 20% discount on funeral and burial services. This death benefit applies to hospital morgues, caskets or urns, and embalming and cremation services. On the other hand, if the deceased senior citizen was a member of the SSS, the family can claim an SSS death benefit provided that the late member had paid at least 36 months of contribution before the semester of their death.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. None of the above statements are true

8. Statement I: Senior citizens can get a 20% discount on groceries and avail an additional special 5% discount without VAT exemption on select grocery items, as granted by the Department of Trade and Industry and the Department of Agriculture.

Statement II: Seniors who buy groceries worth up to PHP 1,300 per week enjoy 5% off the retail prices of basic necessities and prime commodities.

Statement III: To get the 5% senior citizen discount on groceries, seniors must bring their OSCA purchase booklet when they shop in supermarkets, convenience stores, and drug stores.

Statement IV: Sari-sari stores, cooperative stores, wet markets, and talipapa are exempted from giving the special discount.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true
- c. Three (3) of the above statements are true
- d. All of the above statements are true

9. Statement I: At least fifty percent (50%) discount shall be granted on the consumption of electricity, water, and telephone by the senior citizens center and residential care/group homes that are government-run or non-stock, non-profit domestic corporation organized and operated primarily for the purpose of promoting the well-being of abandoned, neglected, unattached, or homeless senior citizens, subject to the guidelines formulated by the DSWD.

Statement II: Senior citizens can avail of a promotional discount in hotels, restaurants, and other establishments on top of the 20% discount.

Statement III: Authorized representatives may claim the senior citizen discount on their behalf, as long as the senior citizens the ones who will use the discounted products and services.

- a. Only one (1) of the above statements is true
- b. Two (2) of the above statements are true



- c. Three (3) of the above statements are true
- d. None of the above statements are true

Persons with Disability (PWDs)

10. Mr. X is a person with disability. He purchased medicines from drugstore with a list price of P10,080.

Question 1: If the amount is gross of discount and VAT, how much should Mr. X pay to the drugstore?

- a. P10,080
- b. P8,064
- c. P7,200
- d. P9,032

Question 2: How much special deduction from gross income can be claimed by the drugstore in computing its taxable income?

- a. P2,880
- b. P2,016
- c. P1,048
- d. P1,800

Question 3: Which of the following cards is not acceptable for Mr. X's proper identification?

- a. ID card issued by the local government unit where he is residing
- b. Passport of the person with disability
- c. ID card issued by the National Council on Disability Affairs
- d. ATM card or credit card

11. Mr. X, a PWD, was treated by his mother and two (2) of his younger siblings at a fast-food chain and their total bill is P1,680.

Question 1: How much is the actual VAT paid?

- a. P135
- b. P185
- c. P151
- d. P135

Question 2: If the seller is a non-VAT fast-food chain, how much is the discount of the PWD?

- a. P336
- b. P84
- c. P81.55
- d. P75

12. Private entities that employ disabled persons who meet the required skills or qualifications, either as regular employee, apprentice or learner, shall be entitled to an additional deduction from gross income equivalent to:

- a. 15% of the total amount paid as salaries and wages to PWDs
- b. 25% of the total amount paid as salaries and wages to PWDs
- c. 50% of the total amount paid as salaries and wages to PWDs
- d. 100% of the total amount paid as salaries and wages to PWDs

13. Ms. X, a person with disability, is the accountant of ABC Company earning a salary of P25,000 a month. Which of the following is not a tax consequence on Ms. X?

- a. She is not subject to value-added tax
- b. She is entitled to 20% discount on certain establishments
- c. The establishment may be entitled to a special deduction from gross income which is equivalent to the amount granted as discount
- d. If she is also a senior citizen, she will be entitled to another 20% discount exclusive of the discount allowed as PWD



Barangay Micro Business Enterprises (BMBEs)

14. It is defined as any business enterprise engaged in production, processing, or manufacturing products, including agro-processing, as well as trading and services, with total assets of not more than P3 million. Such assets shall include those arising from loans but not the land on which the plant and equipment are located
 - a. Economic zones
 - b. RHQs/ROHQs of Multinational Corporations
 - c. Barangay Micro Business Enterprises (BMBEs)
 - d. PEZA registered entities
15. Republic Act No. 9178 is otherwise known as
 - a. Barangay Enterprises for Micro Business
 - b. Barangay Micro Business Enterprise (BMBE's) Act of 2002
 - c. Barangay Micro Business Enterprises (BMBE's) Act
 - d. Magna Carta for Micro, Small and Medium Enterprises
16. The following are tax incentives given to micro business enterprises, except?
 - a. Exemption from the coverage of the Minimum Wage Law, but employees will still receive the same social security and health care benefits as other employees
 - b. Priority to a special credit window set up specifically for the financing requirements of BMBEs
 - c. Technology transfer, production and management training, and marketing assistance programs for BMBE beneficiaries
 - d. Income tax exemption on all types of income of the enterprise
17. Which of the following is eligible to register as BMBE?
 - a. A lawyer, in the exercise of his legal profession
 - b. Manufacturing business with local non-fixed assets of P10 million
 - c. A trading business with a total asset of P3 million
 - d. A branch of a multinational corporation
18. To avail of the exemption from income tax, a BMBE must register with the BIR and submit the following documents, except
 - a. Copy of the BMBE's Certificate of Authority
 - b. Latest audited Financial Statement or Account Information Form
 - c. Sworn Statement of Assets Owned and/or Used
 - d. Certificate of Registration
19. A certificate issued granting the authority to the registered BMBE to operate and be entitled to the benefits and privileges accorded thereto

a. Certificate of Authority	c. Certificate of Incorporation
b. BIR Certification of Registration	d. DTI Certificate of Registration
20. For BMBE purposes, the Certificate of Authority shall be effective for a period of _____ and renewable for the same period. The concerned officer shall indicate in the certificate the date when the registration of the BMBE commences

a. 1 year	c. 3 years
b. 2 years	d. 4 years
21. Grounds for revocation of income tax exemption of a BMBE, except
 - a. Total assets have exceeded P3 million
 - b. Submission of falsified documents
 - c. Merger with an entity which is not eligible to be a BMBE
 - d. Suspension of operation for 6 months



Double Taxation Agreement (DTA)

22. In general, in order to avail of relief from double taxation on income earned within the Philippines in the form of decreased tax rates thereon or exemption therefrom, what must be submitted by a non-resident alien to the International Tax Affairs Division (ITAD) of the BIR?
- Tax treaty law of the host country
 - Tax treaty relief application (TTRA)
 - None of the above.
 - Memorandum of agreement between the taxpayer and host country
23. In order to avail of relief from double taxation on dividends, interest, and royalty income earned within the Philippines in the form of decreased tax rates thereon or exemption therefrom, what must be submitted by a non-resident alien to the payor of the income?
- Memorandum of agreement between the taxpayer and host country
 - Tax treaty law of the host country
 - Certificate of Residence for Tax Treaty Relief (CORTT)
 - None of the above.
24. Statement I: Availment of tax treaty relief is not simply automatic in the sense that taxpayers are required under existing BIR rules and regulations to comply with certain formalities before the said tax relief can be availed.

Statement II: Securing a tax treaty relief ruling requires the filing of a formal request with the International Tax Affairs Division (ITAD) of the BIR stating the nature, mechanics, and conditions of the specific transaction applied for together with various supporting documents which include documents executed abroad and thus requires certification and authentication of the concerned Philippine consulate abroad.

Statement III: The processing of the application would normally take less than six (6) months although a longer timetable may apply if additional documents are requested in the course of the evaluation of the application.

- Only one (1) of the above statements is true
 - Two (2) of the above statements are true
 - Three (3) of the above statements are true
 - None of the above statements are true
25. Statement I: Non-resident individuals or corporations with income derived from sources within the Philippines and whose country of residence has an effective DTA with the Philippines or their duly authorized representatives may apply for a tax treaty relief.

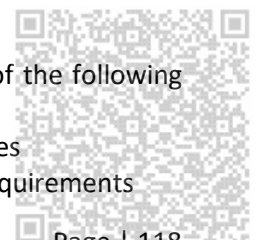
Statement II: For dividends, interests and royalties, the preferential tax treaty rates for these incomes shall be applied and used outright by the withholding agents upon submission of a Certificate of Residence for Tax Treaty Relief (CORTT) Form by the non-resident pursuant to Revenue Memorandum Order (RMO) No. 8-2017, which took effect on 26 June 2017.

Statement III: All TTRAs shall only be submitted to the International Tax Affairs Division (ITAD).

- Only one (1) of the above statements is true
- Two (2) of the above statements are true
- Three (3) of the above statements are true
- None of the above statements are true



26. It is the Philippine government agency tasked to promote investments, extend assistance, register, grant incentives to and facilitate the business operations of investors in export-oriented manufacturing and service facilities
- Board of Investments
 - Bureau of Customs
 - Philippine Economic Zone Authority
 - National Economic Development Authority
27. It refers to a selected area with highly developed enterprises or which have the potential to be developed into agro-industrial, industrial, tourist/recreational, commercial, banking, investment, and financial centers
- Pioneer enterprises
 - Special Economic Zone (ecozone)
 - Investment Priorities Plan (IPP)
 - Less Developed Area (LDA)
28. The short title of Republic Act 7916 is
- The Special Economic Zone Act of 1995
 - The Special Economic Zone Act of 2005
 - The Philippine Economic Zone Act of 1995
 - The Export Processing Zone Authority Act of 1995
29. Incentives to enterprises locating in export processing zones
- Foreign merchandise, raw materials, equipment, spare parts, etc. brought into the zone shall not be subject to customs and internal revenue laws and regulations nor to local tax ordinances
 - BOI-registered enterprise incentives
 - Exemption from local taxes and licenses except real estate taxes
 - All of the above
30. These are enterprises engaged in the manufacture, processing or production of commodities of raw materials that are not yet being produced in the Philippines on a commercial scale
- Pioneer enterprises
 - Non-pioneer enterprises
 - Multi-national companies
 - Export-oriented enterprises
31. A PEZA registered enterprise has a registered and an unregistered activity. The MCIT shall apply to
- Registered activity
 - Unregistered activity
 - Both activities
 - Neither registered nor unregistered activity
32. The chairman of the PEZA Board is
- PEZA Director General
 - Undersecretary of Trade and Industry
 - Secretary of Tourism
 - Secretary of Trade and Industry
33. Fiscal incentives may be granted to pioneer project for a maximum period of
- 2 years
 - 4 years
 - 6 years
 - 8 years
34. The following is a non-fiscal incentive to PEZA registered enterprise
- Income tax holiday
 - Tax and duty free importation of raw materials, capital equipment machineries and spare parts
 - Exemption from wharfage dues and export tax, impost or fees
 - Special non-immigrant VISA with multiple entry privileges for non-resident foreign nationals
35. Which of the following is an incorrect statement? An enterprise which is registered with PEZA is
- As a general rule, subject to real estate taxes while it is enjoying income tax holiday
 - Exempt from real property taxes on production equipment not attached to real estate
 - Exempt from real estate taxes for the first three (3) years of operation of machineries installed and operated in the economic zone for manufacturing, processing or for industrial purposes
 - Exempt from real estate tax while it is enjoying income tax holiday
36. Upon the expiration of income tax holiday, a PEZA registered enterprise may avail of the following fiscal incentive, except
- 5% Special Tax on Gross Income and exemption from all national and local taxes
 - VAT zero-rating of local purchases subject to compliance with BIR and PEZA requirements



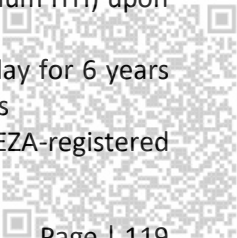
- c. Exemption from wharfage dues and export tax, impost or fees
 - d. Four (4) years of exemption from income tax for non-pioneer project
37. Which document is not required to be submitted in applying for registration with the PEZA?
- a. Project feasibility study
 - b. Project brief
 - c. Articles of Incorporation and By-Laws
 - d. Mayor's permit
38. ABC Corporation, A PEZA-registered company, has introduced a major innovation in technology. The said technology is new and untried in the Philippines. ABC Corporation yielded the following financial results for 2021, its fifth (5th) year of operations:

Gross revenue	P60,000,000
Cost of services	20,000,000
Operating expenses	8,000,000
Other income	4,000,000

- Question 1: How much is the tax due in 2021 assuming ABC Corporation qualified as a pioneer enterprise?
- a. P10,800,000
 - b. P3,000,000
 - c. P1,800,000
 - d. P0
- Question 2: Using the same information, except that it is already the seventh (7th) year of operations. How much is the tax due assuming it is subject to 5% preferential rate?
- a. P3,000,000
 - b. P2,200,000
 - c. P1,800,000
 - d. P0

Board of Investments (BOI)

39. Statement 1: EO 226 otherwise known as the Omnibus Investment Code of 1987, is a relatively focused and systematic grant of incentives based on an Investment Priorities Plan (IPP).
- Statement II: The Investment Priorities Plan (IPP) is an annual listing of activities or undertakings considered critical to the attainment of the country's overall economic growth and development.
- Statement III: BOI registered enterprises are subject to 5% gross income tax in lieu of national and local taxes, except real property tax.
- Statement IV: PEZA registered enterprises are subject to 5% gross income tax in lieu of national and local taxes, except real property tax.
- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
40. The Philippine Board of Investments (BOI) is an agency under the
- a. National Economic Development Authority
 - b. Department of Trade and Industry
 - c. Office of the President
 - d. Bureau of Domestic Trade
41. The appointing authority of the members of the Board of Governors in the Board of Investments
- a. President of the Philippines
 - b. Commission on Appointments
 - c. Secretary of Trade and Industry
 - d. Secretary of Labor
42. Which of the following statements is correct?
- a. The income tax holiday may be further extended not to exceed 8 years (maximum ITH) upon meeting certain conditions
 - b. New registered firms under the Board of Investments enjoys income tax holiday for 6 years from commercial operations for pioneer firms and 4 years for non-pioneer firms
 - c. For BOI-registered enterprises, the income tax holiday is same with PEZA-registered companies in general



- d. All of the above
43. Which of the following statements is incorrect?
- BOI registered companies are subject to zero rated (0%) VAT
 - After Income Tax Holiday period, BOI registered companies are treated as ordinary corporations
 - BOI registered companies are subject to 5% gross income tax in lieu of national and local taxes
 - None of the above
44. Which of the following is not a preferred area of investment by the BOI?
- Energy
 - Hospital medical services
 - Infrastructure
 - Food production
45. It refers to the most recent list of the thirty (30) poorest provinces of the Philippines at the time of application as determined by the National Economic Development Authority (NEDA)
- Pioneer enterprises
 - Special Economic Zones (ecozones)
 - Investment Priorities Plan (IPP)
 - Less Developed Areas (LDA)
46. To be entitled to registration under the Investment Priorities Plan, an applicant must satisfy that Board of Investments that the applicant is, except
- Filipino citizen
 - If it is a partnership or association, that it is organized under the laws of the Philippines and that at least 60% of its capital is owned or controlled by Filipinos.
 - If it is a corporation, it is organized under Philippine laws and that at least 60% of the capital stock outstanding and entitled to vote is owned and held by Philippine nationals, and at least 60% of the members of the Board of Directors are citizens of the Philippines
 - If it is a corporation, it is organized under Philippine laws and that at least 60% of the authorized capital stock is owned and held by Philippine nationals
47. One of the following statements is false. Which is it?
- Filipino enterprises are eligible to register their activity with the BOI if their project is listed as a preferred project in the current Investment Priorities Plan (IPP)
 - An activity which is not listed with the BOI may also be entitled to incentives if at least 50% of the production is for export (for 60% Filipino and 40% foreign-owned enterprises)
 - An activity of more than 40% foreign-owned enterprises which is not listed with the BOI may also be entitled to incentives if at least 70% of its production is for export
 - Foreign owned firms are not eligible to register their activity with the BOI
48. What are the documentary requirements for registration of firms with the Board of Investments?
- Certificate of Incorporation
 - Audited Financial Statements and Income Tax Return for the past three years
 - Board resolution expressing intention to register with the BOI
 - All of the above
49. Statement I: Additional deduction for labor expense (ADLE) For the first five (5) years from date of registration, a registered enterprise shall be allowed an additional deduction from taxable income equivalent to fifty percent (50%) of the wages of additional skilled and unskilled workers in the direct labor force.

Statement II: The ADLE shall be doubled or become one hundred percent (100%) if the activity is located in an LDA. The privilege, however, is not granted to mining and forestry-related projects as they would naturally be located in certain areas to be near their source of raw materials.

Statement III: ADLE cannot be simultaneously availed of with ITH.

- Only one (1) of the above statements is true
- Two (2) of the above statements are true
- Three (3) of the above statements are true
- None of the above statements are true



REMEDIES

THEORY

1. The power to decide disputed assessments, refunds of internal revenue taxes, fees or other charges, penalties imposed in relation thereto, or other matters arising under the Tax Code or other laws administered by the BIR is vested with
 - a. The Supreme Court
 - b. The Court of Tax Appeals
 - c. The Regular Courts
 - d. The Commissioner of the BIR
2. It is the official action of an administrative officer in determining the amount of tax due from a taxpayer, or it may be a notice to the effect that the amount stated therein is due from the taxpayer with a demand for payment of the tax or deficiency stated therein
 - a. Tax audit
 - b. Tax investigation
 - c. Tax mapping
 - d. Tax assessment
3. Where a return was filed, as a general rule, the prescriptive period for assessment after the date the return was due or was filed, whichever is later, is within
 - a. 3 years
 - b. 4 years
 - c. 5 years
 - d. 6 years
4. Which of the following prescriptive period for the BIR to conduct a tax audit is correct?
 - a. Ten years when no return is filed
 - b. Ten years when return filed is false or fraudulent
 - c. Three years from actual filing of return or from the deadline for filing if the return filed is not fraudulent
 - d. All of the above
5. A Pre-Assessment Notice (PAN) is required
 - a. When a discrepancy has been determined between the tax withheld and the amount actually remitted by the withholding agent
 - b. When an article locally purchased or imported by an exempt person has been sold, traded or transferred to non-exempt persons
 - c. When the deficiency tax is the result of mathematical errors in the computations appearing on the face of the return
 - d. Before a Final Assessment Notice (FAN) is sent to the taxpayer
6. The running of the prescriptive period for assessment is suspended, except
 - a. When the warrant of distraint has been duly served upon the taxpayer and no property could be located
 - b. If the taxpayer informs the Commissioner of any change in address
 - c. When the taxpayer requests for a reinvestigation which is granted by the Commissioner of Internal Revenue
 - d. When the taxpayer is out of the Philippines
7. Which of the following is correct?
 - a. A protest may be filed by the taxpayer anytime before the BIR collects the tax
 - b. The assessment shall include only the tax proper
 - c. The assessment should be made by the BIR within five years from the filing of the return
 - d. A protest should be filed by the taxpayer, otherwise the assessment becomes final and cannot longer be questioned in court
8. The following remedies are available to the government to collect taxes except
 - a. Distraint
 - b. Levy
 - c. Entering into compromise of tax cases
 - d. Inquiring into bank deposit accounts of taxpayers
9. Where any national internal revenue tax is alleged to have been erroneously or illegally collected by the BIR, the taxpayer should first
 - a. File an action for refund with the RTC
 - c. File a claim for refund or credit with the CIR



- b. File an action for refund with the CTA
 - d. File an action for refund with the MTC
10. A Tax Credit Certificate issued in accordance with the pertinent provisions of the Tax Code, which remains unutilized, shall, unless revalidated, be considered invalid, and shall not be allowed as payment for internal revenue tax liabilities of the taxpayer, and the amount covered by the certificate shall revert to the general fund, after how many years from the date of issue?
- a. Two (2) years
 - b. Three (3) years
 - c. Five (5) years
 - d. Ten (10) years
11. The Commissioner of BIR may compromise any internal revenue tax in the following instances, except
- a. The financial position of the taxpayer demonstrates a clear inability to pay the assessed tax
 - b. The tax or any portion thereof appears to be unjustly or excessively assessed
 - c. The taxpayer has been granted by the SEC or by any competent tribunal a moratorium or suspension of payments to creditors, or otherwise declared bankrupt or insolvent
 - d. A reasonable doubt as to the validity of the claim against the taxpayer exists
12. The following are grounds to cancel a tax liability by the Commissioner, except
- a. The administration and collection costs involved do not justify the collection of the amount
 - b. A reasonable doubt as to the validity of the claim against the taxpayer
 - c. The tax is unjustly or excessively assessed
 - d. None of the above
13. The summary remedies of distraint of personal property shall be exercised by the Commissioner of Internal Revenue if the amount involved is in excess of
- a. P10,000
 - b. P100,000
 - c. P1,000,000
 - d. P10,000,000
14. The property of a delinquent taxpayer shall not be placed under constructive distraint by the Commissioner of Internal Revenue if in his opinion the taxpayer is
- a. Retiring from any business subject to tax
 - b. Intending to leave the country or to remove his property therefrom
 - c. Doing all possible legal means to dispute the assessment
 - d. Performing an act tending to obstruct the proceedings for collecting the tax due
15. The distinction between actual distraint and constructive distraint is that
- a. Actual distraint may be made on the property of any taxpayer whether delinquent or not while constructive distraint is made on the property only of a delinquent taxpayer
 - b. In actual distraint, there is a taking of possession, while in constructive distraint, the taxpayer is merely prohibited from disposing of the property
 - c. Actual distraint is effected by requiring the taxpayer to sign a receipt of the property or by the revenue officer preparing and leaving a list of the distrained property or by service of a warrant of distraint or garnishment
 - d. None of the above
16. Which of the following statements is false? In case the personal property of the taxpayer has been distrained by the government thru the Bureau of Internal Revenue and the property
- a. Is about to be sold at public auction, the taxpayer may exercise the right of pre-emption
 - b. Is sold at public auction, any excess shall accrue to the taxpayer and any deficiency shall be to the account of him also
 - c. Has been sold at public auction, the taxpayer may exercise the right of redemption
 - d. Is being sold at public auction and the amount of bid is much less than the value of the goods, the Commissioner may purchase the same for the government, and this satisfied the liability
17. Statement I: All criminal violations may be compromised, except those already filed in court and those involving fraud.

Statement II: For filing a false and fraudulent return, a 25% surcharge is imposed.



Statement III: A compromise for a tax liability on the ground of financial incapacity to pay shall still involve a payment of tax from the taxpayer at a minimum compromise rate of 40% of the basic assessed tax.

Statement IV: A compromises other than on the ground of financial incapacity to pay, the compromise shall involve a minimum compromise rate of 10% of the basic assessed tax.

- a. Only one (1) of the above statements is true
 - b. Two (2) of the above statements are true
 - c. Three (3) of the above statements are true
 - d. All of the above statements are true
18. Mr. X, a self-employed taxpayer, filed his annual ITR for calendar year 2019, and paid P400,000. Upon examination of his return, it was disclosed that he erroneously computed the tax due. The correct amount of tax due should be P450,000. The taxpayer is assessed for deficiency income tax in a letter of demand and assessment notice issued on June 15, 2021 calling for payment on or before August 15, 2021. The amount still due on August 15, 2021 is
- a. P50,000
 - b. P58,000
 - c. P83,000
 - d. P108,000
19. The ITR for the calendar year 2020 was due for filing on April 15, 2021, but the taxpayer voluntarily filed his tax return without notice from the BIR, only on July 15, 2021. The tax due per return amounts to P500,000.

Question I: The total amount due on July 15, 2021 is

- a. P625,000
- b. P515,000
- c. P640,000
- d. P665,000

Question II: Assuming the taxpayer filed his return but only after the notice from the BIR was received on July 15, 2021. The total amount due on July 15, 2021 is

- a. P515,000
- b. P750,000
- c. P740,000
- d. P765,000

Question III: Assuming the ITR was filed on April 15, 2021 but through an internal revenue officer other than with whom the return is required to be filed. The total amount due is

- a. P625,000
- b. P515,000
- c. P640,000
- d. P665,000

20. ABC Corporation filed its ITR and paid the tax for calendar year 2019 with a net taxable income of P2,000,000. Upon investigation, it was disclosed that its ITR was false and fraudulent because it did not report a taxable income amounting to another P800,000. Failing to protest on time against the preliminary assessment notice, a final letter of demand and assessment notice issued on June 15, 2021 calling for payment on or before July 15, 2021.

Question I: The amount still due on July 15, 2021 is

- a. P240,000
- b. P346,000
- c. P396,000
- d. P276,000

Question II: Assuming that the assessment has become final and collectible, but the corporation pays the tax assessment only on September 15, 2021, the total amount due is

- a. P502,920
- b. P396,000
- c. P403,920
- d. P495,000

21. Mr. X filed an income tax return for the calendar year 2018 on March 15, 2019. The BIR assessed a deficiency income tax on April 10, 2021. When is the last day for the BIR to make an assessment?
- a. April 15, 2022
 - b. April 15, 2021
 - c. April 10, 2021
 - d. March 15, 2022
22. Mr. X filed his Income Tax Return (ITR) for taxable year 2018 on May 5, 2019. After an investigation, it was discovered that the tax paid was deficient. The last day for the BIR to send an assessment is
- a. April 15, 2022
 - c. May 5, 2021



29. Mr. X paid his income tax liability for 2020 on April 15, 2021. It was found out later on July 31, 2021 that he overpaid by more than P100,000.

Question I: When is the last day to file a claim for tax refund?

- a. April 15, 2023
- b. June 31, 2023
- c. April 15, 2024
- d. June 31, 2024

Question II: Assuming his claim for tax refund in the preceding number was denied and the denial was received on April 25, 2024, what is the proper remedy available to Mr. X?

- a. Appeal to Court of Tax Appeals on or before May 10, 2024
- b. Appeal to Court of Tax Appeals on or before May 15, 2024
- c. File a motion for reconsideration on or before May 25, 2024
- d. No more remedy since the 2-year period already expired

30. ABC Inc. received a notice of assessment and a letter from the BIR demanding the payment of P5 million pesos in deficiency income taxes for the taxable year 2020. The financial statements of the company show that it has been suffering financial reverses from the year 2021 up to the present. Its asset position shows that it could pay only P1,000,000 which it offered as a compromise to the BIR. Which among the following may the BIR require to enable it to enter into a compromise with ABC Inc.?

- a. ABC Inc. must immediately deposit the P1,000,000 with the BIR
- b. ABC Inc. must promise to pay its deficiency when financially able
- c. ABC Inc. must show it has faithfully paid taxes before 2021
- d. ABC Inc. must waive its right to the secrecy of its bank deposits

31. Mr. X, a Filipino citizen, filed his 2020 income tax return on March 15, 2021. On December 2021, he left the Philippines as an immigrant to join his family in US. After investigation of said return, the BIR issued a notice of deficiency income tax assessment on April 15, 2023. Mr. X returned to the Philippines as a balikbayan on December 8, 2023. Finding his name as a delinquent taxpayer, he filed a protest against the assessment on the ground that he did not receive the notice of assessment and that the assessment had prescribed. Will the protest of Mr. X prosper?

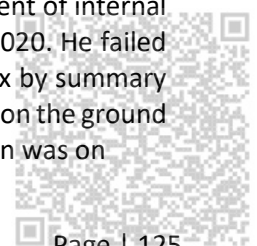
- a. No. The right of the government to make a tax assessment is prescriptible, irrespective of whether the delinquent taxpayer is out of the country or not
- b. No. The assessment has not prescribed because it was issued by the BIR on April 15, 2023, which is within the reglementary period of 3 years from the time the return should have been filed on April 15, 2021
- c. Yes. The assessment has prescribed because it was issued by the BIR on April 15, 2023, which is already beyond the reglementary period of 3 years from the time the return was filed on March 20, 2021
- d. Yes. In the instant case, the suspension of the running of the prescriptive period applies because the assessment notice was issued by the BIR beyond 3 years prescriptive period

32. An assessment was issued by the BIR against the taxpayer based on a review of the financial statements presented by the taxpayer together with the tax returns, without conducting an actual investigation, but it presented the facts and laws of the findings of the BIR. The same was questioned by the taxpayer on the ground that it was capricious, whimsical and without legal basis. The findings of the BIR would stand against the taxpayer because

- a. The taxpayer is prohibited from questioning the wisdom of congress in creating such a law which allows the executive branch of government to generate revenues from whatever sources
- b. There is a presumption of correctness on the findings of the BIR which shifts the burden to the taxpayer to disprove
- c. There is a presumption of regularity on the work of the BIR examiner
- d. The BIR stated the facts and laws which was the basis of the assessment made

33. On January 20, 2020, a taxpayer filed a petition for reinvestigation of an assessment of internal revenue tax. He received a final decision of the BIR on the petition on April 30, 2020. He failed to appeal the decision to the Court of Tax Appeals. The BIR was collecting the tax by summary proceedings on June 20, 2025. The taxpayer was opposing the collection of the tax on the ground of prescription of the right of the government to collect. The last day for collection was on

- a. July 29, 2025
- c. April 30, 2025



b. June 29, 2025

d. May 30, 2025

34. Mr. X erroneously paid an internal revenue tax of P600,000 on November 14, 2019. He filed a claim for refund with the Commissioner of Internal Revenue on July 31, 2020. The BIR, however, approved the refund only of P200,000 on January 20, 2021. On December 1, 2021, he engaged your tax services on a contingent basis for the purpose of recovering the remaining P400,000. Will you accept the engagement?

- a. No, because the taxpayer's claim for refund has been administratively fully satisfied
- b. Yes, because the claim for refund was duly administratively within two years from the date of payment of the tax
- c. Yes, because the denial of refund for the remaining P400,000 is still appealable to the Court of Tax Appeals
- d. No, because as of December 1, 2021 the right of the taxpayer to contest before the Court of Tax Appeals the BIR's denial of the refund for the remaining P400,000 has already prescribed

35. ABC Corporation received a notice of assessment from the BIR. It seasonably filed a motion for reinvestigation with all the necessary supporting documents, but the BIR failed to act on the protest. Thirty days from the lapse of 180 days from submission of the supporting documents, ABC still has not elevated the matter to the CTA. What remedy, if any, can ABC Corporation take?

- a. It may no longer appeal since there is no BIR decision from which it could appeal
- b. None. Its right to appeal to the CTA has prescribed
- c. It may file a motion to admit appeal if it could prove that its failure to appeal was due to the negligence of the counsel
- d. It may wait for the final decision of the BIR on his protest and appeal it to the CTA within 30 days from receipt of such decision

36. Mr. X paid excessive tax on April 15, 2019. On December 20, 2020 he filed a written claim for refund. His claim was denied by the BIR and he received the denial on March 20, 2021. Mr. X filed a motion for reconsideration with the BIR on March 31, 2021. On April 18, 2021, he received the final denial of the BIR. What will be his remedy?

- a. File another motion for reconsideration with the BIR within 30 days after the receipt of the final denial
- b. File an appeal with the CTA within 30 days after the receipt of the final denial
- c. File an appeal with the CTA within 15 days after the receipt of the final denial
- d. Mr. X has no more remedy against the final denial

37. On March 30, 2021, Company X, received a notice of assessment and a letter of demand on its April 15, 2018 final adjustment return from the BIR. Company X then filed a request for reinvestigation together with the requisite supporting documents on April 25, 2021. On June 2, 2021, the BIR issued a final assessment reducing the amount of the tax demand. Since Company X was satisfied with the reduction, it did not do anything anymore. On April 15, 2026 the BIR garnished the corporation's bank deposits to answer for the liability

Question 1: Was the BIR action proper?

- a. No. The taxpayer did not apply for a compromise
- b. Yes. The BIR has 5 years from the filing of the protest within which to collect
- c. No. Without the taxpayer's prior authority, the BIR action violated the Bank Deposit Secrecy Law
- d. Yes. The BIR has 5 years from the issuance of the final assessment within which to collect

Question 2: What is the effect of Company X's failure to file a protest on its assessed deficiency taxes?

- a. The taxpayer's liability becomes fixed and subject to collection as the assessment becomes final and collectible
- b. The taxpayer may appeal his liability to the CTA since the assessment is a final decision of the Commissioner on the matter
- c. The BIR could already enforce the collection of the taxpayer's liability if it could secure authority from the CTA
- d. The taxpayer may file a motion for reconsideration to the CIR on the matter





Regulatory Framework for Business Transactions (RFBT)



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INTELLECTUAL PROPERTY LAW

(R.A. NO. 8293 or the Intellectual Property Code of the Philippines)

o The law on Patents, Utility Model and Industrial Design

- **Definition of Patent** – it is a grant issued by the government through the **Intellectual Property Office of the Philippines (IP Philippines)**. It is an exclusive right granted for a product, process or an improvement of a product or process which is new, inventive and useful. This exclusive right gives the inventor the right to exclude others from making, using, or selling the product of his invention during the life of the patent.
- **Definition of Utility Model** – It is a protection option, which is designed to protect innovations that are not sufficiently inventive to meet the inventive threshold required for standard patents application. It may be any useful machine, implement, tools, products, composition, process, improvement or part of the same, that is of practical utility, novelty and industrial applicability. It is entitled to seven (7) years of protection from the date of filing, with no possibility of renewal.
- **Definition of Industrial Design** – It is any composition of lines or colors or any three-dimensional form, whether or not associated with lines or colors; provided that such composition or form gives a special appearance to and can serve as pattern for an industrial product or handicraft. It shall be valid for five (5) years from the filing date of the application. It may be renewed for not more than two (2) consecutive period of five (5) years each, by paying the renewal fee.
- **Mode of creation of right** – it must be registered with IPO to be protected by law (Created by Registration with IPO).
- **Term of patent** – A patent has a term of protection of twenty (20) years providing an inventor significant commercial gain. In return, the patent owner shares the full description of the invention. This information is made available to the public in the form of Intellectual Property Office Gazette and can be utilized as basis of future research and will in turn promote innovation and development.
- **Requisites of Patentable Inventions**
 - ✓ It must be a **technical solution** to a problem in any field of human activity. It may be, or may be relative to, a product, or process, or an improvement of any of the foregoing.
 - ✓ **(Novelty)** It must be **new**. An invention shall not be considered new if it forms part of a prior art.
 - **Prior art** shall consist of:
 - ✓ Everything which has been made available to the public anywhere in the world, before the filing date or the priority date of the application claiming the invention.
 - ✓ The whole contents of an application for a patent, utility model, or industrial design registration, published in accordance with this Act, filed or effective in the Philippines, with a filing or priority date that is earlier than the filing or priority date of the application; Provided, that the application which has validly claimed the filing date of an earlier application under Section 31 of this Act, shall be prior art with effect as of the filing date of such earlier application: Provided further, that the applicant or the inventor identified in both applications are not one and the same.
 - **(Inventive Step)** It must involve an inventive step. An invention involves an inventive step if, having regard to prior art, it is not obvious to a person skilled in the art at the time

of the filing date priority date of the application claiming the invention.

- **(Industrial Applicability)** It must be industrially applicable. An invention that can be produced and used in any industry shall be industrially applicable.

o Non-Patentable Inventions

- Discoveries, scientific theories and mathematical methods.
- Schemes, rules and methods of performing mental acts, playing games or doing business, and programs for computers.
- Methods for treatment of the human or animal body by surgery or therapy and diagnostic methods practiced on the human or animal body. This provision shall not apply to products and composition for use in any of these methods.
- Plant varieties or animal breeds or essentially biological process for the production of plants or animals. This provision shall not apply to microorganisms and non-biological and microbiological processes. Provisions under this subsection shall not preclude Congress to consider the enactment of a law providing sui generis protection of plant varieties and animal breeds and a system of community intellectual rights protection.
- Aesthetic creations.
- Anything which is contrary to public order or morality.
 - ✓ **First to File Rule** – if two (2) or more persons have made the invention separately and independently of each other, the right to the patent shall belong to the persons who filed an application for such invention, or where two or more applications are filed for the same invention, to the applicant who has the earliest filing date or, the earliest priority date.
 - ✓ **Right of Priority** – an application for patent filed by any person who has previously applied for the same invention in another country which by treaty, convention, or laws affords similar privileges to Filipino citizens, shall be considered as filed of the date of filing the foreign application. Provided, that: a, the local application expressly claims priority: b, it is filed within twelve (12) months from the date the earliest foreign application was filed: and c, a certified copy of the foreign application together with an English translation is filed within six (6) months from the date of filing in the Philippines.
 - ✓ **Right to Patent** – the right to a patent belongs to the **inventor**, his heirs or assigns. When two (2) or more persons have jointly made an invention, the right to a patent shall belong to them jointly.
 - ✓ **Inventions Created Pursuant to a Commission.** The person who commissions the work shall own the patent, unless otherwise provided in the contract.
 - In case the employee made the invention in the course of his employment contract, the patent shall belong to:
 - ✓ The employee, if the inventive activity is not a part of his regular duties even if the employee uses the time, facilities and materials of the employer.
 - ✓ The employer, if the invention is the result of the performance of his regularly-assigned duties, unless there is an agreement, express or implied, to the contrary.
- o **Patent Infringement** refers to the unauthorized making, using, offering for sale or selling any patented invention or products of the patented invention without consent from the patent holder.

o Tests of Patent Infringement

- **Literal Infringement** – in using literal infringement as a test, **resort** must be had, in the first instance, to the words of the claim. If accused matter clearly falls within the claim, infringement is made out and that is the end of it. To determine whether the particular item falls within the literal meaning of the patent claims, the court must juxtapose the claims of the patent and the accused product within the overall context of the claims and specifications, to determine whether there is exact identity of all material elements.
- **Doctrine of equivalent infringement** – It provides that infringement also takes place when a device appropriates a prior invention by incorporating its innovative concept and, although with some modification and changes, performs substantially the same function in substantially the same way to achieve substantially the same result. It requires satisfaction of the function-means-and-result test.

The Law on Trademarks, Service Marks and Trade Names

o Definition of Terms

- **“Trademark”** – it means any visible sign capable of distinguishing the goods of an enterprise and shall include a stamped or marked container of goods.
- **“Service mark”** – it means any visible sign capable of distinguishing services of an enterprise and shall include a stamped or marked container of services.
- **“Collective mark”** – means any visible sign designated as such in the application for registration and capable of distinguishing the origin or any other common characteristic, including the quality of goods or services of different enterprises which use the sign under the control of the registered owner of the collective mark.
- **“Trade name”** – means the name or designation identifying or distinguishing an enterprise.

o Mode of creation of right – Trademark, service mark and collective market must be registered with IPO to be protected by law while trade name need not be registered to be protected. (Created by Registration).

o Non-registrable marks – A mark cannot be registered if it:

- Consists of immoral, deceptive or scandalous matter, or matter which may disparage or falsely suggest a connection with persons, living or dead, institutions, beliefs, or national symbols, or bring them into contempt or disrepute.
- Consists of the flag or coat of arms or other insignia of the Philippines or any of its political subdivisions, or of any foreign nation, or any simulation thereof.
- Consists of a name, portrait or signature identifying a particular living individual except by his written consent, or the name, signature, or portrait of a deceased President of the Philippines, during the life of his widow, if any, except by written consent of the widow.
- Is identical with a registered mark belonging to a different proprietor or a mark with an earlier filing or priority date, in respect of: I, The same goods or services, or II, Closely related goods or services, or III, if it nearly resembles such a mark as to be likely to deceive or cause confusion.
- Is identical with, or confusingly similar to, or constitutes a translation of a mark which is considered by the competent authority of the Philippines to be well-known internationally and in the Philippines, whether or not it is registered here, as being already the mark of a person other than the applicant for registration, and used for identical or similar goods or services: Provided, that in determining whether a mark is well-known, account shall be taken of the knowledge of the

relevant sector of the public, rather than of the public at large, including knowledge in the Philippines which has been obtained as a result of the promotion of the mark.

- Is identical with, or confusingly similar to, or constitutes a translation of a mark considered well-known in accordance with the preceding paragraph, which is registered in the Philippines with respect to goods or services which are not similar to those with respect to which registration is applied for: Provided, that use of the mark in relation to those goods or services would indicate a connection between those goods or services, and the owner of the registered mark: Provided further, that the interest of the owner of the registered mark are likely to be damaged by such use.
- Is likely to mislead the public, particularly as to the nature, quality, characteristics or geographical origin of the goods or service.
- Consists exclusively of signs that are generic for the goods or services that they seek to identify.
- Consists exclusively of signs or of indications that have become customary or usual to designate the goods or services in everyday language or in bona fide and established trade practice.
- Consists exclusively of signs or indications that may serve in trade to designate the kind, quality, quantity, intended purpose, value, geographical origin, time of production of the goods or rendering of the services, or other characteristics of the goods or services.
- Consists of shapes that may be necessitated by technical factors or by the nature of the goods themselves or factors that affect their intrinsic value.
- Consists of color alone, unless defined by a given form.
- Is contrary to public order or morality.

o Term of Trademark and Service Mark – It has a term of 10 years but subject to unlimited times of renewal. Therefore, it has indefinite life.

o Trademark Infringement – Is the unauthorized use of a trademark or service mark on or in connection with goods/services in a manner that is likely to cause confusion, deception, or mistake about the source of the goods and/or services.

o Tests of Trademark Infringement

- **Dominancy Test** – it focuses on the similarity of the main, prevalent or essential features of the competing trademarks that might cause confusion. Infringement takes place when the competing trademark contains the essential features of another. Imitation or an effort to imitate is unnecessary. The question is whether the use of the marks is likely to cause confusion or deceive purchasers.
- **Holistic Test** – the focus is not only on the predominant words but also on the other features appearing on the labels.
- ✓ **Trademark Infringement** means any person who shall use, without the consent of the registrant, any reproduction, counterfeit, copy or colorable imitation of any registered mark or trade-name in connection with the sale, offering for sale, or advertising of any goods, business or services on or in connection with which such use is likely to cause confusion or mistake or to deceive purchasers or others as to the source or origin of such goods or services, or identify of such business; or reproduce, counterfeit, copy or colorably imitate any such mark or tradename and apply such reproduction, counterfeit, copy, or colorable imitation to labels, signs, prints, packages, wrappers, receptacles or advertisements intended to be used upon or in connection with such goods, business or services,

shall be liable to a civil action by the registrant for any or all of the remedies herein provided.

- ✓ To establish trademark infringement, the following elements must be proven: (1) The validity of plaintiff's mark; (2) the plaintiff's ownership of the mark; and (3) the use of the mark or its colorable imitation by the alleged infringer results in likelihood of confusion.
- ✓ Unfair competition has been defined as the passing off (or palming off) or attempting to pass off upon the public of the goods or business of one person as the goods or business of another with the end and probable effect of deceiving the public.
- ✓ The essential elements of unfair competition are (1) confusing similarity in the general appearance of the goods; and (2) intent to deceive the public and defraud a competitor.
- ✓ Jurisprudence also formulated the following true test of unfair competition: whether the acts of the defendant have the intent of deceiving or are calculated to deceive the ordinary buyer making his purchases under the ordinary conditions of the particular trade to which the controversy relates. One of the essential requisites in an action to restrain unfair competition is proof of fraud; the intent to deceive, actual or probable must be shown before the right to recover can exist.
- ✓ Note: There can be trademark infringement without unfair competition such as when the infringer discloses on the labels containing the mark that he manufactures the goods, thus presenting the public from being deceived that the goods originate from the trademark owner. In this case, no issue of confusion arises because the same manufactured products are sold; only the ownership of the trademarks is at issue.
- ✓ Distinction between trademark infringement and unfair competition.
- ✓ Infringement of Trademark is the unauthorized use of a trademark, whereas unfair competition is the passing off of one's goods as those of another.
- ✓ In infringement of trademark – fraudulent intent is unnecessary whereas in unfair competition fraudulent intent is essential.
- ✓ In infringement of trademark, the prior registration of the trademark is a prerequisite to the action, whereas in unfair competition registration is not necessary.

Law on Copyright

- o **Definition of Copyright** – it is the legal protection extended to the owner of the rights in an original work.
- o **Definition of "Original Work"** – it refers to every production in the literary, scientific and artistic domain. Among the literary and artistic works enumerated in the IP Code includes books and other writings, musical works, films, paintings and other works, and computer programs.
- o **Model of creation of right** – Works are protected by the sole fact of their creation, irrespective of their mode or form of expression, as well as their content, quality and purpose. Thus, it does not matter if, in the eyes of some critics, a certain work has little artistic value. So long as it has been independently created and has a minimum creativity, the same enjoys copyright protection. (From the moment of Creation without a need for registration).
- o **Term of copyright** – In general, the term of protection of copyright for original and derivative works is the life of the author plus fifty (50) years after his death. The Code specifies the terms of protection for the different types of works. In

calculating the term of protection, the term of protection subsequent to the death of the author shall run from the date of his death or of publication, but such terms shall always be deemed to begin on the first day of January of the year following the event which gave rise to them (i.e., death, publication, making).

o Two rights under Copyright

- **Economic rights** which enable the creator to obtain remuneration from the exploitation of his works by third parties.
 - ✓ Reproduction
 - ✓ Transformation
 - ✓ First public distribution
 - ✓ Rental
 - ✓ Public display
 - ✓ Public performance
 - ✓ Other communication to the public of the work
- **Moral rights** which make it possible for the creator to undertake measures to maintain and protect the personal connection between himself and the work.
 - ✓ Right of attribution
 - ✓ Right of alteration
 - ✓ Right of integrity (to object to any prejudicial distortion)
 - ✓ Right to restrain use of his name
- **Ownership of copyright**
 - Generally, the natural person who created the literary and artistic work owns the copyright to the same.
 - **For work created during or in the course of employment (works for hire):**
 - ✓ **Employee** - if the work is not part of his regular duties, even if he used the time, facilities, and materials of the employer.
 - ✓ **Employer** - if the work is the result of the performance of his regularly assigned duties, unless there is an express or implied agreement to the contrary.
 - For **commissioned works**: the person who commissioned the work owns the work but the copyright thereto remains with the creator, unless there is a written agreement to the contrary.
 - For **audiovisual works**: The producer, the author of the scenario, the composer of the music, the film director, and the author of the work so adapted.
- **Infringement of Copyright** – it consists of infringing any right secured or protected under the Code. It may also consist in aiding or abetting such infringement. The law also provides for the liability of a person who at the time when copyright subsists in a work has in his possession an article which he knows, or ought to know, to be an infringing copy of the work for the purpose of:
 - ✓ Selling or letting for hire, or by way of trade offering or exposing for sale or hire, the article;

- ✓ Distributing the article for the purpose of trade, or for any other purpose to an extent that will prejudice the rights of the copyright owner in the work; or
- ✓ Trade exhibit of the article in public.
- **Works that can be protected by Copyrights (Copyrightable Works)**
 - ✓ Books, pamphlets, articles and other writings
 - ✓ Periodicals and newspapers
 - ✓ Lectures, sermons, addresses, dissertations prepared for oral delivery, whether or not reduced in writing or other material form
 - ✓ Letters
 - ✓ Dramatic or dramatic-musical compositions, choreographic works or entertainment in dumb shows
 - ✓ Musical compositions, with or without words
 - ✓ Works of drawing, painting, architecture, sculpture, engraving, lithography or other works of art; models or designs for works of art
 - ✓ Original ornamental designs or models for articles of manufacture, whether or not registrable as an industrial design, and other works of applied art
 - ✓ Illustrations, maps, plans, sketches, charts and three-dimensional works relative to geography, topography, architecture or science
 - ✓ Drawings or plastic works of a scientific or technical character
 - ✓ Photographic works including works produced by a process analogous to photography; lantern slides
 - ✓ Audiovisuals works and cinematographic works and works produced by a process analogous to cinematography or any process for making audio-visual recordings
 - ✓ Pictorial illustrations and advertisements
 - ✓ Computer programs
 - ✓ Other literary, scholarly, scientific and artistic works
- **Works that are not protected by Copyrights (Non-copyrightable Works)**
 - ✓ Any idea, procedure, system, method or operation, concept, principle, discovery or mere data as such, even if they are expressed, explained, illustrated or embodied in a work;
 - ✓ News of the day and other miscellaneous facts having the character of mere items of press information; or
 - ✓ Any official text of a legislative, administrative or legal nature, as well as any official translation thereof.
 - **Doctrine of Fair Use** – It is a privilege to use the copyrighted materials in a reasonable manner without the consent of the copyright owner or as copying the theme or ideas rather than their expression. It is an exception to the copyright owner's monopoly of the use of the work to avoid stifling the very creativity which that law is designed to foster. In determining whether the use made of a work in any particular case is fair

use, the factors to be considered shall include the following:

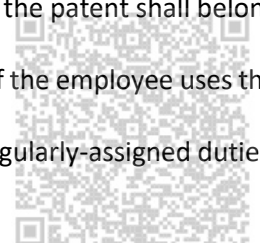
- ✓ The purpose and characters of the use, including whether such use is of a commercial nature or is for non-profit educational purposes.
- ✓ The nature of the copyrighted work.
- ✓ The amount and substantiality of the portion used in relation to the copyrighted work as a whole.
- ✓ The effect of the use upon the potential market for or value of the copyrighted work.

-- END --



INTELLECTUAL PROPERTY CODE

1. Statement I: Copyright refers to literary or artistic works which are intellectual creations
Statement II: Patent refers to technical solution of a problem which is new, involves an inventive step and is industrially applicable
Statement III: Trademark refers to any sign to distinguish the goods or services of an enterprise
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Only Statement III is true
 - d. All statements are true
2. It refers to an intellectual property which gives an exclusive right to the inventor over his new, inventive and useful product, process or an improvement of a product or process
 - a. Copyright
 - b. Trademark
 - c. Franchise
 - d. Patent
3. How is a patent as an intellectual property or right created or protected by law?
 - a. By invention by the inventor
 - b. By registration with Intellectual Property Office
 - c. By notarization of the invention
 - d. By experimenting over the invention
4. What is the legal term of a patent that gives its owner the exclusive right to use the covered invention?
 - a. 20 years
 - b. 10 years
 - c. 15 years
 - d. 25 years
5. Which of the following is not a requisite of a patentable invention?
 - a. It must involve a technical solution to a problem in any field of human activity
 - b. It must be new or novel
 - c. It must involve inventive step
 - d. It must be industrially applicable
 - e. It must be made by a scientist
6. Statement I: Any technical solution of a problem in any field of human activity which is new, involves an inventive step and is industrially applicable shall be patentable
Statement II: Patentable invention may be, or may relate to, a product, or process, or an improvement of any of the foregoing
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
7. Statement I: An invention shall not be considered new if it forms part of a prior art
Statement II: An invention involves an inventive step if, having regard to prior art, it is not obvious to a person skilled in the art at the time of the filing date or priority date of the application claiming the invention
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
8. Statement I: The right to a patent belongs to the inventor only
Statement II: When two or more persons have jointly made an invention, the right to a patent shall belong to them jointly
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
9. Statement I: The person who commissions the work shall own the patent, unless otherwise provided in the contract
Statement II: An application for patent by any person who has previously applied for the same invention in another country which by treaty, convention, or law affords similar privileges to Filipino citizens, shall be considered as filed as of the date of filing the foreign application
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
10. In case the employee made the invention in the course of his employment contract, the patent shall belong to:
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false



11. Statement I: No patent may be granted unless the application identifies the inventor
Statement II: An applicant who is not a resident of the Philippines must appoint and maintain a resident agent or representative in the Philippines
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
12. Statement I: After publication of a patent application, any interested party may inspect the application documents filed with the Intellectual Property Office
Statement II: Following the publication of the patent application, any person may present observations in writing concerning the patentability of the invention. Such observations shall be communicated to the applicant who may comment on them
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
13. The making, using, offering for sale, selling or importing a patented product or a product obtained directly or indirectly from a patented process, or the use of a patented process without the authorization of the patentee constitutes
 - a. Patent infringement
 - b. Trademark infringement
 - c. Copyright infringement
 - d. Double sale
14. This test of patent infringement means that a resort must be had, in the first instance, to the words of the claim
 - a. Literal infringement test
 - b. Doctrine of equivalents infringement test
 - c. Dominancy test
 - d. Holistic test
15. This test of patent infringement means that infringement also takes place when a device appropriates a prior invention by incorporating its innovative concept and, although with some modification and change, performs substantially the same function in substantially the same way to achieve substantially the same result
 - a. Literal infringement test
 - b. Doctrine of equivalents infringement test
 - c. Dominancy test
 - d. Holistic test
16. Any interested person may petition to cancel the patent or any claim thereof, or parts of the claim, on any of the following grounds
 - a. That the patent is invalid
 - b. That what is claimed as the invention is not new or patentable
 - c. That the patent does not disclose the invention in a manner sufficiently clear and complete for it to be carried out by any person skill in the art
 - d. All of the above
17. If two or more persons have made the invention separately and independently of each other, the right to the patent shall belong to the person who filed an application for such invention, or where two or more applications are filed for the same invention, to the applicant who has the earliest filing date or, the earliest priority date
 - a. First-to-File Rule
 - b. Second-to-File Rule
 - c. Third-to-File Rule
 - d. Fourth-to-File Rule
18. An application for patent filed by any person who has previously applied for the same invention in another country which by treaty, convention or law affords similar privileges to Filipino citizens, shall be considered as filed as of the date of filing the foreign application
 - a. Right of Priority
 - b. First-to-File Rule
 - c. Reciprocity Rule
 - d. Reverse Reciprocity Rule
19. This defense may be set up by a respondent in an action for patent infringement when the respondent is any prior user, who, in good faith was using the invention or has undertaken serious preparations to use the invention in his enterprise or business, before the filing date or priority date of the application on which a patent is granted
 - a. Doctrine of fair use
 - b. Doctrine of prior use
 - c. Doctrine of good faith
 - d. Doctrine of bad faith
20. Statement I: In an action for infringement, the defendant, in addition to other defenses available to him, may show the invalidity of the patent, or nay claim thereof

Statement II: In an action for infringement, if the court shall find the patent or any claim to be invalid, it shall cancel the same

- | | |
|------------------------------|-------------------|
| a. Only Statement I is true | c. Both are true |
| b. Only Statement II is true | d. Both are false |

21. It is any distinctive word, name, symbol, emblem, sign, or device, or any combination thereof, adopted, and used by a manufacturer or merchant on his goods to identify and distinguish them from those manufactured, sold or dealt by others

- | | |
|--------------|--------------|
| a. Patent | c. Copyright |
| b. Trademark | d. Tradename |

22. The function of trademark is

- To point out distinctly the origin or ownership of the goods to which it is affixed
- To secure to him, who has been instrumental in bringing into the market a superior article of the merchandise, the fruit of his industry and skill
- To protect the manufacturer against substitution and sale of an inferior and different article as his product
- All of the above

23. Modern authorities on trademark law view trademarks as performing three distinct functions

- The indicate origin or ownership of the articles to which they are attached
- They guarantee that those articles come up to a certain standard of quality
- They advertise the articles they symbolize
- All of the above

24. How is the right over a trademark, service mark or collective mark created or protected by law?

- By its usage of owner
- By its registration with Intellectual Property Office
- By its publication in a newspaper of general circulation
- By notarization of the mark

25. Which of following marks may be registered before Intellectual Property Office for protection?

- Marks consisting exclusively of signs that are generic for the goods or services that they seek to identify
- Marks consisting of color along
- Marks consisting of shapes only
- Marks consisting of combination of color, shapes and drawing

26. Which of the following marks may be registered before Intellectual Property Office for protection?

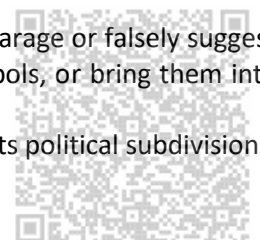
- Marks consisting of immoral, deceptive or scandalous matter, or matter which may disparage or falsely suggest a connection with persons, living or dead, institutions, beliefs, or national symbols, or bring them into contempt or disrepute
- Marks which are unlikely to mislead the public, particularly as to the nature, quality, characteristics or geographical origin of the goods or service
- Marks consisting of the flag or coat of arms or other insignia of the Philippines or any of its political subdivisions, or of any foreign nation, or any simulation thereof
- Marks identical to a registered mark belonging to a different proprietor or a mark with an earlier filing or priority date

27. What is the term and life of a trademark?

- It has a term of 10 years which is subject to unlimited times of renewal, thus, it has indefinite life
- It has a term of 5 years which is subject to unlimited times of renewal, thus, it has definite life
- It has a term of 20 years which is subject to unlimited times of renewal, thus, it has indefinite life
- It has a term of 15 years which is subject to unlimited times of renewal, thus, it has definite life

28. A mark cannot be registered if it

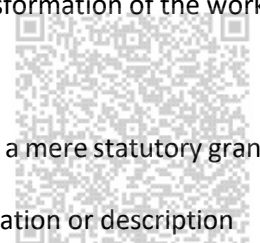
- Consists of immoral, deceptive, or scandalous matter, or matter which may disparage or falsely suggest a connection with persons, living or dead, institutions, beliefs, or national symbols, or bring them into contempt or disrepute
- Consists of the flag or coat of arms or other insignia of the Philippines or any of its political subdivisions, or any foreign nation or any simulation thereof



- c. Consists of a name, portrait or signature identifying a particular living individual except by his written consent, or the name, signature or portrait of a deceased President of the Philippines, during the life of his widow, if any, except by written consent of the widow
 - d. All of the above
29. Statement I: The Dominancy test focuses on the similarity of the prevalent or dominant features of the competing trademarks that might cause confusion, mistake or deception in the mind of the purchasing public
Statement II: The Holistic or Totality test necessitates a consideration of the entirety of the marks as applied to the products, including labels and packaging, in determining confusing similarity
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
30. Any person who shall, without the consent of the owner of the registered mark, use in commerce or any reproduction, counterfeit, copy, or colorable imitation of a registered mark or the same container or a dominant feature thereof in connection with the sale, offering for sale, distribution, advertising of any goods or services including other preparatory steps necessary to carry out the sale of any goods or services on or in connection with which such use is likely to cause confusion, or to cause mistake, or to deceive
- a. Infringement of trademark
 - b. Copyrighting of trademark
 - c. Patenting of trademark
 - d. Unfair competition of trademark
31. To establish trademark infringement, the following elements must be shown
- a. The validity of the mark
 - b. The plaintiff's ownership of the mark
 - c. The use of the mark or its colorable imitation by the alleged infringer results in "likelihood of confusion"
 - d. All of the above
32. Statement I: A mere distributor and not the owner cannot assert any protection from trademark infringement as it had no right in the first place to the registration of the disputed trademarks
Statement II: The crucial issue in any trademark infringement case is the likelihood of confusion, mistake or deceit as to the identity, source or origin of the goods or identity of the business as a consequence of using a certain mark
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
33. In determining the likelihood of confusion, the following must be considered
- a. The resemblance between the trademarks
 - b. The similarity of the goods which the trademarks are attached
 - c. The likely effect on the purchaser
 - d. All of the above
34. Statement I: Infringement of trademark is the unauthorized use of a trademark
Statement II: Unfair competition is the passing off of one's goods as those of another
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
35. Statement I: In infringement of trademark, fraudulent intent is unnecessary
Statement II: In unfair competition, fraudulent intent is essential
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
36. Statement I: In infringement of trademark, the prior registration of the trademark is a prerequisite to the action
Statement II: In unfair competition, registration is not necessary
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
37. Statement I: A certificate of registration shall remain in force for 10 years
Statement II: A certificate of registration may be renewed for periods of 10 years at its expiration
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false



38. Statement I: The owner of a registered mark may recover damages from any person who infringes his rights
Statement II: The measure of the damages suffered shall be either the reasonable profit which the complaining party would have made, had the defendant not infringed his rights, or the profit which the defendant actually made out of the infringement
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
39. Statement I: A registered mark shall have no effect against any person who, in good faith, before the filing date or the priority date, was using the mark for the purposes of his business or enterprise
Statement II: Where an infringer who is engaged solely in the business of printing the mark or other infringing materials for others is an innocent infringer, the owner of the right infringed shall be entitled as against such infringer only to an injunction against future printing
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
40. Is an intangible incorporeal rights to certain literary, scholarly, scientific and artistic productions granted by status to the author or creator of the work, and giving him, his heirs and assigns economic rights?
- Copyright
 - Trademark
 - Patent
 - Unfair competition
41. It refers to every production in the literary, scientific and artistic domain such as books and other writings, musical works, films, paintings and other works, and computer programs
- Original work
 - Imitated work
 - Counterfeited work
 - Copied work
42. As a general rule, what is the term of copyright?
- The term of protection of copyright for original and derivative works is the life of the author plus (50) years after his death
 - The term of protection of copyright for original and derivative works is the life of the author plus (20) years after his death
 - The term of protection of copyright for original and derivative works is the life of the author plus (10) years after his death
 - The term of protection of copyright for original and derivative works is the life of the author plus (30) years after his death
43. The following derivative works shall also be protected by copyright:
Statement I: Dramatizations, translations, adaptations, abridgments, arrangements, and other alterations of literary or artistic works; and
Statement II: Collections of literary, scholarly or artistic works, and compilations of data and other materials which are original by reason of the selection or coordination or arrangement of their contents
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
44. Statement I: The natural person whose name is indicated on a work is the usual manner as the author shall, in the absence of proof to the contrary, be presumed to be the author of the work
Statement II: The person or body, corporate whose name appears on an audio-visual work in the usual manner shall, in the absence of proof to the contrary, be presumed to be the maker of said work
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
45. Copyright or economic rights shall consist of the exclusive right to carry out, authorize, or prevent the following acts, except
- Reproduction of the work or substantial portion of the work
 - Dramatization, translation, adaptation, abridgment, arrangement, or other transformation of the work
 - Public display of the original or a copy of the work
 - None of the above
46. Statement I: Copyright, in the strict sense of the term is purely a statutory right. Being a mere statutory grant, the rights are limited to what the statute confers
Statement II: Copyright can cover only the works falling within the statutory enumeration or description
- Only Statement I is true
 - Both are true



- upon such terms and conditions as will best promote and enhance sales, implement

BANK SECRECY LAWS

[An act prohibiting disclosure of or inquiry into deposits with any banking institution (Republic Act No. 1405) a.k.a. Bank Secrecy Law on Domestic Bank Deposit]

- **Absolute Confidentiality of Domestic Bank Deposits and Investments in Government Bonds**
 - **All deposits** of whatever nature in banks or banking institutions in the Philippines and investments in government bonds are absolutely confidential in nature (Sec. 2, Rep. Act No. 405).
 - ✓ **Deposits refer to money or funds** placed with a bank that can be withdrawn on the depositor's order or demand, such as deposit accounts in the form of savings, current and time deposits.
 - ✓ Deposits are characterized as being in the nature of a simple loan. The placing of deposits in a bank creates a creditor-debtor relationship between the depositor and the bank. As such, the bank, being the debtor, has the obligation to pay a certain sum of money to the depositor, being the creditor.
 - ✓ **Investments in Government bonds** refer to investment in bonds issued by the Government of the Philippines, its political subdivisions and instrumentalities. Government bonds are debt securities which are unconditional obligations of the State, and backed by its full taxing power.
 - ✓ **Government bonds** include treasury bills, treasury notes, retails treasury bonds, dollar linked peso notes, and other risk-free bonds.
 - ✓ The **General Banking Law prohibits** bank directors, officer, employees or agents from disclosing to any unauthorized person, without order of a competent court, any information relative to funds or properties belonging to private individuals, corporations, or any other entity in the custody of the bank. (Sec. 55 [b], Rep. Act No. 8791) The Thrift Banks Act and the Rural Banks Act likewise prohibit any bank officer, employee or agent from disclosing any information on such funds or properties. (Sec. 21 [a][2], Rep. Act No. 7906 & Sec. 26 [a][2], Rep. Act No. 7353) Prohibited Acts and Persons Liable.
- **The following are criminally liable under this law:**
 - Any person or government official who, or any government bureau or office that, examines, inquires or looks into a bank deposit or government bond investment in any of the instances not allowed in Section 2;
 - Any official or employee of a banking institution who makes disclosure concerning Bank deposits to another in any instance not allowed by law (Sec. 3, Rep. Act No. 1405); and
 - Any person who commits a violation of any of the provisions of the law (Sec. 5, Rep. Act No. 1405).
 - Any bank official, director, employee or agent who discloses information relative to funds or properties in the custody of the bank may also be held liable under the applicable provisions of the General Banking Law, Thrifts Banks Act and Rural Banks Act.
- **Instances when Confidentiality of Domestic Bank Deposits is Not Absolute**
 - Bank deposits and investments in government bonds may be examined, inquired or looked into under limited

exceptions in Republic Act No. 1405 and in other laws as enumerated below:

- **Exceptions under the Law on Secrecy of Bank deposits**
 - **Section 2 of Republic Act No. 1405** provides that bank deposits and government bond investments may be examined, inquired and looked into the following instances:
 - ✓ Upon written permission or consent in writing by the depositor. For consent to be valid, it should be made knowingly, voluntarily and with sufficient awareness of the relevant circumstances and likely consequences.
 - ✓ In case of impeachment of the President, Vice-President, members of the Supreme court, members of the Constitutional Commission (Commission on Election, Civil Service Commission and Commission on Audit) and the Ombudsman for culpable violation of the Constitution, treason, bribery, graft and corruption, other high crimes or betrayal of public trust. (Art. XI, Sec. 2, 1987 Philippine Constitution).
 - ✓ Upon order of a competent court in cases of bribery or dereliction of duty of public officials.
 - ✓ In case where the money deposited or invested is the subject matter of the litigation. The money deposited should be the very thing in dispute.
- **Exceptions under Other Laws. Bank Deposits and Investments may be examined, inquired or looked into as provided under other laws in the following instances:**
 - The **Ombudsman** has the power to issue subpoena and subpoena duces tecum, take testimony in any investigation or inquiry, as well as examine and access bank accounts and records.
 - The power of the Ombudsman to subpoena deposit information of a government official may be exercised when the following conditions concur: (1) there must be a case pending before a court of competent jurisdiction; (2) the account must be clearly identified; (3) the inspection must be limited to the subject matter of the pending case, and (4) the bank personnel and the account holder must be notified to be present during the inspection.
 - Bank deposits of a public official, his spouse and unmarried children may be taken into consideration in the enforcement of Section 8 of the Anti-Graft and Corrupt Practices Act (Re. Act No. 3019).
 - Directors, officers, stockholders and related interests who contract a loan or any form of financial accommodation with their bank or related bank are required to execute a written waiver of secrecy of deposits pursuant to the New Central Bank Act. (Sec. 26, Rep. Act No. 7653)
 - The **Commissioner of Internal Revenue** is authorized to inquire into bank deposit accounts in relation to: (1) an application for compromise of tax liability of a decedent's gross estate under The National Internal Revenue Code (Rep. Act No. 8424, as amended by Rep. Act No. 10021); and (2) a request for tax information of specific taxpayers made by a foreign tax authority pursuant to a tax treaty under the Exchange of Information on Tax Matters Act of 2009 (Rep. Act No. 8424, as amended by Rep. Act No. 10021).
 - The **Anti-Money Laundering Council** may be authorized to examine and inquire into bank deposits or investments with banks or nonbank financial institutions – (1) with court order, when there is probable cause that the

deposits or investments are related to an unlawful activity or a money laundering offense (Sec. 3 [i] and 4 of Rep. Act No. 9160); and (2) without need of court order, when probable cause exists that a particular deposit or investment with any banking institution is related to certain predicate crimes, such as kidnapping for ransom, violation.

- The **Bangko Sentral** is authorized to – (1) inquire into or examine bank deposits or investments in the course of a periodic or special examination to ensure compliance with the Anti-Money Laundering Law, in accordance with the rule of examination of the Bangko Sentral (Sec. 11, Rep. Act No. 9160, as amended), and (2) conduct annual testing which is limited to the determination of the existence and true identity of the owners of numbered accounts (Sec. 9, Rep. Act No. 9160, as amended).
- The **Philippine Deposit Insurance Commission** and the **Bangko Sentral** may inquire into bank deposits when there is a finding of unsafe or unsound banking practices. (Sec. 8, Rep. Act No. 3591, as amended).
- The **Court of Appeals**, designate as a special court, may issue an order authorizing law enforcement officers to examine and gather information on the deposits, placements trust accounts, assets and records in a bank or financial institution in connection with anti-terrorism case (Rep. Act No. 9372).
- The **Commission on Audit** is authorized to examine and audit government deposits pertaining to the revenue and receipts of, and expenditures or uses of funds and properties, owned or held in trust by, or pertaining to, the Government or any of its subdivisions, agencies or instrumentalities, including government-owned and controlled corporations with original charters. (See Art. IX-D, 1987 Constitution and Pres. Dec. No. 1445).
- The **Presidential Commission on Good Government**, in the conduct of its investigations to recover ill-gotten wealth accumulated by Former President Ferdinand E. Marcos, his immediately family relatives, subordinates and close associates may issue subpoenas requiring the attendance and testimony of witnesses and/or the production of books, papers, contracts, records, statement of accounts and other documents. (Sec. 3 [3], Exec. Order No. 1 [1986]).
- **Exceptions under Jurisprudence or Decision by Supreme Court**
 - **Plunder is analogous to bribery.** The exception in the law that is applicable in bribery also applies to plunder. The overt or criminal acts as described in Section 1 (d) of Republic Act No. 7080 would make the similarity between plunder and bribery even more pronounced since bribery is essentially included among these criminal acts.
 - **Cases of unexplained wealth** are similar to cases of bribery or dereliction of duty and no reason is seen why these two classes of cases cannot be excepted from the rule making bank deposits confidential.
- **Authorized Disclosure by authorized and responsible bank officials are allowed in the following instances:**
 - Reporting of unclaimed balances to the Treasurer of the Philippines (Secs. 1 & 2, Act No. 3936);
 - Turn-over to the Commissioner of Internal Revenue of the amount in bank accounts as may be sufficient to satisfy the writ of garnishment issued to collect delinquent taxes (Secs. 205 & 208, Rep. Act No. 8424); and
 - Submission of report, and turn-over to, the court officer or executing sheriff of garnished amounts pursuant to a writ of garnishment in satisfaction of a judgment.
- Disclosure by a bank officer or employee upon order of the court in connection with a deposit in a closed bank that was in the perpetration of anomalies.
- **Penalties for Violation of Republic Act No. 1405 will subject the offender, upon conviction, to the following penalties:**
 - ✓ Imprisonment of not more than five years;
 - ✓ Fine of not more than P20,000; or
 - ✓ Both imprisonment and fine.
- **Foreign Currency Deposit Act of the Philippines (Republic Act No. 6426) a.k.a Foreign Currency Deposit Secrecy Law**
 - **Absolute Confidentiality of Foreign Currency Deposits**
 - **All foreign currency deposits** are absolutely confidential and cannot be examined, inquired, or looked into by any person, government official, bureau or office, whether judicial or administrative or legislative, or any other private or public entity.
 - **Foreign currency deposits** are also exempt from attachment, garnishment, or any other order or process of any court, legislative body, government agency or any administrative body whatsoever. (Sec. 8, Rep. Act No. 6426).
 - **Foreign currency deposits** refer to funds in foreign currencies which are accepted and held by authorized banks in the regular course of business with the **obligation** to return an equivalent amount to the owner thereof, with or without interest.
 - **Prohibited Acts and Persons Liable.** The following are liable under this law:
 - ✓ Any person or government official who, or any government bureau or office that, examines, inquires or looks into a foreign currency deposit without the written permission of the depositor (Sec. 8, Rep. Act No. 6426);
 - ✓ Any official or employee of a banking institution who makes a disclosure concerning foreign currency deposits to another, in any instances not allowed by law (See Sec. 10, Rep. Act No. 6426);
 - ✓ Anyone who shall attach, garnish, or subject the foreign currency deposit to any other order or process of any court, legislative body, government agency or any other administrative body (Sec. 8, Rep. Act No. 6426); and
 - ✓ Any person who commits a willful violation of any of the provisions of Republic Act. No. 6425 or regulation issued by the Monetary Board pursuant to the said law (Sec. 10, Rep. Act No. 6426).
 - **Instances when confidentiality of Foreign Currency Deposits is Not Absolute**
 - Foreign currency deposits may be examined, inquired or looked into under the limited exceptions in Republic Act No. 6426 and in other laws.
 - **Exception under The Foreign Currency Deposit Act.**
 - ✓ Foreign currency deposits may be examined, inquired or looked into when there is written permission of the depositor. (Only one exception under R.A. 6426).
 - **Exceptions under Other Laws**
 - ✓ Directors, officers, stockholders and related interest who construct a loan or any form of

financial accommodation with their bank or related bank are required to execute a written waiver of secrecy of deposits pursuant to The New Central Bank Act. (Sec. 26, Rep. Act No. 7653).

- ✓ The **Commissioner of Internal Revenue** is authorized to inquire into bank deposit accounts in relation to: (1) an application for compromise of tax liability or a determination of a decedent's gross estate under The National Internal Revenue Code (Rep. Act No. 8424, as amended by Rep. Act No. 10021); and (2) a request for tax information for specific taxpayers made by a foreign tax authority pursuant to a tax treaty under The Exchange of Information on Tax Matters Act of 2009 (Rep. Act No. 8424, as amended by Rep. Act No. 10021).
- ✓ The **Anti-Money Laundering Council** may be authorized to examine and inquire into bank deposits or investments with banking or non-bank financial institutions – (1) with court order, when there is probable cause that the deposits or investments are related to an unlawful activity or a money laundering offense (Secs. 3 (i) and 4 of Rep. Act No. 9160); and (2) without need of court order, when probable cause exists that a particular deposit or investment with any banking institution is related to certain predicate crimes, such as kidnapping for ransom, violation of the Comprehensive Dangerous Drugs Act, hijacking and other violations under Republic Act No. 6235, destructive arson and murder (Sec. 11 of Republic Act No. 9160).
- ✓ The **Bangko Sentral** is authorized to – (1) inquire into or examine bank deposits and investments in the course of a periodic or special examination to ensure compliance with The Anti-Money Laundering Act, in accordance with the rules of examination of the Bangko Sentral (Sec. 11, Rep. Act No. 9160, as amended); and (2) conduct annual testing which is limited to the determination of the existence and true identity of the owners of numbered accounts (Sec. 9, Rep. Act No. 9160, as amended).
- ✓ The **Philippine Deposit Insurance Commission** and the Bangko Sentral may inquire into bank deposits when there is a finding of unsafe or unsound banking practices. (Sec. 8, Rep. Act No. 3591, as amended).
- ✓ The **Commission on Audit** is authorized to examine and audit government deposits pertaining to the revenue and receipts of, and expenditures or uses of funds and properties, owned or held in trust by, or pertaining to, the Government or any of its subdivisions, agencies or instrumentalities, including government-owned and controlled corporations with original charters. (See Art. IX-D, 1987 Constitution and Pres. Dec. No. 1445).
- ✓ The **Presidential Commission on Good Government**, in the conduct of its investigations to recover ill-gotten wealth accumulated by former President Ferdinand E. Marcos, his immediate family, relatives, subordinates and close associates, may issue subpoenas requiring the attendance and testimony of witnesses and/or the production of books, papers, contracts, records, statement of accounts and other documents. (Sec. 3 [3], Exec. Order No. [1986]).

O Exceptions under Jurisprudence on Ground of Equity

- ✓ Account of a Non-resident Alien. The garnishment of a foreign currency deposit account of a non-resident alien found guilty of raping a minor was allowed on the basis of equity. ([1997]).
- ✓ Account of a Co-payee of check who filed a suit for recovery of sum of money was considered, in a pro hac vice ruling by the Supreme Court, as a depositor in view of the distinctive circumstances of the case.

• Penalties of Violation of Republic Act No. 6426:

- ✓ Imprisonment of not less than one (1) year but not more than five (5) years; or
- ✓ Fine of not less than Five Thousand Pesos (P5,000.00) but not more than Twenty-Five Thousand Pesos (P25,000.00); or
- ✓ Both imprisonment and fine.
- The following sanctions may also be imposed against a bank or any bank director and officer for violation of the provisions of Republic Act No. 6426 and Bangko Sentral regulation issued pursuant to said law:
 - ✓ Revocation of the authority of the bank to accept new foreign currency deposits; and
 - ✓ Administrative sanctions provided under Section 37 of the New Central Bank Act (Rep. Act No. 7653), as may be applicable.



BANK SECRECY

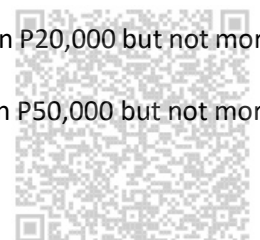
1. Which of the following is declared to be the policy of the Government under Republic Act No. 1405 a.k.a. Philippine Peso Deposit Secrecy Law?
 - I. To give encouragement to the people to deposit their money in banking institutions
 - II. To discourage private hoarding
 - a. Only Statement I
 - b. Only Statement II
 - c. Both Statements I and II
 - d. Neither Statements I nor II
2. They refer to money or funds place with a bank that can be withdrawn on the depositor's order or demand
 - a. Deposits
 - b. Trust funds
 - c. Money market placements
 - d. Deposit substitutes
3. All deposits of whatever nature with banks or banking institutions in the Philippines may not be examined, inquired or looked into by any person, government official, bureau or office except
 - a. Upon written permission of the depositor
 - b. In cases of impeachment
 - c. Upon order of a competent court in cases of bribery or dereliction of duty of public officials
 - d. All of the above
4. Which act is covered by Republic Act No. 1405 a.k.a. Philippine Peso Deposit Secrecy Law?
 - a. Disclosing the amount of deposit of a judgment debtor to the court sheriff who is executing a garnishment order against him
 - b. Disclosing the name of the drawer of a check to the payee
 - c. Disclosing the amount of deposit of a taxpayer to a duly authorized BIR examiner who is examining his income tax liability
 - d. Disclosing the amount of deposit exceeding P500,000 in one banking day to Anti-Money Laundering Council
5. Under Republic Act No. 1405, what is the nature of bank deposit and investment in government bonds?
 - a. As a general rule, they are absolutely confidential in nature
 - b. As a general rule, they are generally subject to any type of inspection
 - c. They are exempted from any type of inquiry
 - d. None of the above
6. Under Republic Act No. 1405, the following instruments are considered absolutely confidential in nature, except
 - a. Savings deposit
 - b. Time Deposit
 - c. Current Account or Demand Account
 - d. Money market placement or Telegraphic Notes or Telegram notes
7. Which of the following inquiries will be considered a violation of Philippine Peso deposit secrecy law?
 - a. Periodic inquiry or special examination of bank deposits by BSP to ensure compliance with Anti-Money Laundering Law
 - b. Inquiry of bank deposits by DOJ Secretary for the purpose of persecution of the members of the opposing political party.
 - c. Inquiry of bank deposits by BIR Commissioner in relation to an application for compromise of taxable liability or determination of a decedent's gross estate under National Internal Revenue Code
 - d. Inquiry or bank deposits by PDIC when there is finding of unsafe or unsound banking practices
8. Which of the following disclosures will be considered a violation of Philippine peso deposit secrecy law?
 - a. Turn-over by authorized bank officials to the BIR Commissioner of the amount in bank accounts as may be sufficient to satisfy the writ of garnishment issued to collect delinquent taxes
 - b. Reporting of unclaimed balances of a bank deposit to the Treasurer of the Philippines or Bureau of Treasury by authorized bank officials
 - c. Disclosure by a bank officer or employee upon order of a competent court in connection with a deposit in a closed bank that was used in the perpetration of anomalies
 - d. Using of insider information about the bank deposits by bank employees in order to determine the credit rating or credit standing of their depositors for purpose of offering credit cards



9. Which type of a bank deposit of impeachable officer may be examined by impeachment court without consent of the impeachable officer?
 - a. Philippine Peso Bank Deposit
 - b. Foreign Currency Bank Deposit
 - c. Both A and B
 - d. Neither A nor B
10. As a general rule, which type of bank deposit may not be subject to attachment, execution or garnishment?
 - a. Philippine Peso Bank Deposit
 - b. Foreign Currency Bank Deposit
 - c. Both A and B
 - d. Neither A nor B

Note: Final answer is letter B: Foreign Currency Bank Deposit.

11. The following are the exceptional cases when the BIR Commissioner may inspect bank deposits, except
 - a. When there is application of compromise liability by a taxpayer on the ground of financial incapacity
 - b. To determine the gross estate for computation of estate tax's liability
 - c. When a request for tax information of specific taxpayers made by a foreign tax authority pursuant to a tax treaty under The Exchange of Information on Tax Matter Act of 2009
 - d. To determine the taxable income of politicians
12. What is the penalty provided by law for violation of Republic Act No. 1405 a.k.a. Philippine Peso Deposit Secrecy Law?
 - a. Imprisonment of not more than five years or fine of not more than P20,000 or both imprisonment and fine
 - b. Imprisonment of not more than ten years or fine of not more than P200,000 or both imprisonment and fine
 - c. Imprisonment of not more than twenty years or fine of not more than P2,000,000 or both imprisonment and fine
 - d. Imprisonment of not more than twenty years or fine of not more than P2,000 or both imprisonment and fine
13. Under Foreign Currency Deposit Act of the Philippines or R.A. No. 6426, what is the only exception for the absolutely confidential nature of Foreign Currency Bank Deposits?
 - a. Upon written permission or consent in writing by the depositor
 - b. In cases of impeachment of the President, Vice-President, members of the Supreme Court, members of the Constitutional Commission (Commission on Elections, Civil Service Commission and Commission on Audit) and the Ombudsman for culpable violation of the Constitution, treason, bribery, graft and corruption, other high crimes or betrayal of public trust. (Art. XI, Sec. 2, 1987 Philippine Constitution)
 - c. Upon order of a competent court in cases of bribery or dereliction of duty of public officials
 - d. In cases where the money deposited or invested is the subject matter of the litigation
14. Which is false about Foreign Currency Deposit Act also known as R.A. No. 6426?
 - a. The foreign currency deposits maintained abroad by Filipino citizens are not covered by the provisions of this act
 - b. Depository banks which have been qualified by the Monetary Board to function under expanded foreign currency deposit system are exempt in maintaining the fifteen percent (15%) foreign currency cover for their liabilities in the form of foreign currency deposit with BSP
 - c. Foreign currency deposits are of absolutely confidential nature, except upon the written permission of the depositor
 - d. Foreign currency deposits are subject to attachment, garnishment, or any other order or process of the court
15. What is the penalty provided by R.A. No. 6426 for violation of confidentiality of foreign currency deposit act of the Philippines?
 - a. Imprisonment of not less than 1 year nor more than 5 years or fine not less than P5,000 but not more than P25,000 or both imprisonment and fine
 - b. Imprisonment of not less than 2 years nor more than 10 years or fine not less than P10,000 but not more than P50,000 or both imprisonment and fine
 - c. Imprisonment of not less than 3 years nor more than 15 years or fine not less than P20,000 but not more than P100,000 or both imprisonment and fine
 - d. Imprisonment of not less than 4 year nor more than 20 years or fine not less than P50,000 but not more than P500,000 or both imprisonment and fine



16. Statement I: It shall be unlawful for any official or employee of a banking institution to disclose to any person any information concerning deposits
Statement II: The Secrecy of Bank Deposit Account does not prohibit attachment or garnishment of bank accounts, which does not involve revealing specific information of deposits
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
17. S, a reporter, while having a bank transaction, overheard a bank teller informing a co-employee that B, the municipal mayor, has just P10,000 in his bank account and that his next check might probably bounce. S included this information in his newspaper report. Thus, B filed a complaint against S for violation of the Secrecy of Bank Deposits Act. Decide
- S is liable because bank deposits are absolutely confidential
 - S is not liable because he was in good faith when he overheard the remark of the bank teller to a co-employee
 - S is liable because bank deposits must not be examined, inquired or looked into by any person
 - S, who merely overheard the remark of the bank teller to a co-employee and writing the same in his newspaper report is neither the inquiry nor disclosure contemplated by law
18. S is the creditor of B. Upon demand, B failed to pay S; thus, the latter filed a case against the former. B had a savings account with Sea Bank. Subsequently, the court ordered that B's account be garnished the amount of P100,000 to satisfy the judgment in favor of S. B complained that the garnishment violated the Secrecy of Bank Deposit Act. Decide
- B is correct because in the process of garnishment, the information about his savings account is divulge to the public
 - B is correct because the Bank Secrecy Law protects the disclosure of the existence of bank accounts of depositors
 - B is not correct because peso deposits may be garnished, and Sea Bank can comply with the order of garnishment without violating the Secrecy of Bank Deposit Act
 - B complaint is meritorious because peso deposits may not be garnished
19. P is unemployed; however, he is suspected to be a drug lord. P has never been charged or convicted of any crime. He has several bank accounts and purchased several houses and lots from B amounting to P100,000,000. After that, the Register of Deeds reported his purchases to the Anti-Money Laundering Council (AMLC). Upon request of the AMLC, Sea Bank disclosed to it P's bank deposits. Subsequently, P was charged in court for violation of the Anti-Money Laundering Law. Did Sea Bank violate the Secrecy of Bank Deposit Act in disclosing P's bank account to the AMLC?
- No. Sea Bank did not violate the Secrecy of Bank Deposit Act because it is one of the obligation of banks to disclose bank accounts if public interest requires it
 - Yes. Sea Bank violated the Secrecy of Bank Deposit Act since it is absolutely prohibited from disclosing bank accounts
 - Yes. Sea Bank violated the Secrecy of Bank Deposit Act since it can disclose bank accounts only upon the request of the Supreme Court
 - No. Sea Bank did not violate the Secrecy of Bank Deposit Act. A bank is obliged to report to the AMLC covered and suspicious transactions
20. Under Republic Act No. 1405 a.k.a. Philippine Peso Deposit Secrecy Law, the bank deposits and investment in government bonds may be inquired into in the following exceptional instances, except
- Upon written permission or consent in writing by the depositor
 - In cases of impeachment of the President, Vice President, members of the Supreme Court, members of the Constitutional Commission (Commission on Elections, Civil Service Commission and Commission on Audit) and the Ombudsman for culpable violation of the Constitution, treason, bribery, graft and corruption, other high crimes or betrayal of public trust (Art. XI, Sec. 2, 1987 Philippine Constitution)
 - Upon order of a competent court in cases of bribery or dereliction of duty of public officials
 - In cases of tax evasion cases filed by BIR Commissioner against a taxpayer



PHILIPPINE DEPOSIT INSURANCE CORPORATION LAW
(RA 3591 AS AMENDED BY RA 10846)

o Description of Philippine Deposit Insurance Corporation

- PDIC is a government instrumentality created in 1963 by virtue of Republic Act 3591 to insure the deposits of all banks which are entitled to the benefits of Insurance. The PDIC is an attached agency of the Department of Finance.
- The latest amendments to RA 3591 are contained in RA 10846 signed into law on May 23, 2016. RA 10846 empowered PDIC with stronger authorities to protect the depositing public and promote financial stability. The new law also includes important provisions to ensure that the PDIC remains financially institutionally strong to fulfill its mandate under its Charter.
- The PDIC now has the authority to help depositors have quicker access to their insured deposits should their bank close; resolve problems banks while still open; hasten the liquidation process for closed banks; and mete out stiffer sanctions and penalties against those who engage in unsafe and unsound banking practices.
- Under amendment, depositors would have quicker access to their insured deposits in the event of bank closure since PDIC now has the authority to pay insured deposits without netting out depositors' loan obligations with the closed bank, based on evidence of deposits and not on the closed bank's records alone.
- With its enhanced resolution authorities, PDIC would also be able to more effectively promote financial inclusion through early intervention in problem banks or open bank resolution. In cases where bank closure becomes inevitable, the new law enhanced the chances of recovery by creditors of their claims against the assets of the closed bank by preventing the further dissipation of these assets through seamless transition from bank closure to liquidation.
- The new law does away with the 90-day receivership period and allows PDIC to proceed directly to liquidation. The immediate assignment of encumbered assets to closed bank creditors, adoption to purchase of assets and assumption of liabilities as a mode of liquidation and express prohibition on reopening of banks ordered closed by the Monetary Board of the Banko Sentral ng Pilipinas would help enhance recovery rate for creditors of closed banks.

Insurable Deposits under PDIC Law (Covered by PDIC Insurance)

o By Deposit Type:

- ✓ Savings Deposit
- ✓ Special Savings
- ✓ Demand/Checking Account
- ✓ Negotiable Order of Withdrawal (NOW)
- ✓ Certificate of Time Deposits
- ✓ Foreign Currency Deposit

o By Deposit Account:

- ✓ **Single Accounts** – are individually-owned accounts held under one name, either as natural person (single proprietorship or individual) or juridical entity (corporation, partnership or cooperative).
- ✓ **Joint Accounts** – are accounts held under more than one name.
 - A joint account regardless of whether the conjunction “and”, “or” and “and/or” is used shall be insured separately from single accounts.
 - Unless a different sharing is stipulation in the deposit documents, the insured amount up to the Maximum Deposit Insurance Coverage of P500,000 shall be

divided equally between or among co-owners of a joint account.

- The total shares of a co-owner in several joint accounts may exceed P500,000 but will only insured up to the Maximum Deposit Insurance Coverage of P500,000.
- Joint accounts held in the names of a juridical entity and a natural person shall be presumed to belong solely to the juridical entity.

o Account “By”, “In Trust For” (ITF) or “For the Account of” (FAO) another person

- In a “By” account Ana by Ben, Ana is the depositor.
- In an “In Trust For” (ITF) account, Ana in Trust For Ben, Ben is the depositor.
- In a “For the Account of” (FAO) account, Ana For the Account of Ben, Ben is the depositor.

o Explanatory Notes

- To simplify: In the case where a depositor is the sole beneficial owner of a single, “For the Account of”, “B”, and “In Trust For” accounts, the consolidated balances of these accounts shall be insured up to **P500,000**.
- The depositor’s total shares in his/her joint accounts shall be separately insured up to **P500,000**.
- A depositor with single accounts and joint accounts may have insured deposits of up to **P1,000,000**.

Maximum Liability (Maximum Deposit Insurance Coverage)

o The following, whether denominated, documented, recorded or booked as deposit by a bank, are **excluded from PDIC deposit insurance** (Section 4 (f) of the PDIC Charter).

- **Investment products** such as bonds and securities, trust accounts and other similar instruments
- **Telegraphic note**
- **Deposit accounts or transactions that:**
 - ✓ Are unfunded, fictitious or fraudulent.
 - ✓ Constitute and/or emanate from unsafe and unsound banking practices as determined by the PDIC, in consultation with the BSP, after due notice and hearing and publication of PDIC’s cease & desist order against such deposit accounts/transactions.
 - ✓ Are determined to be proceeds of an unlawful activity as defined in the Anti-Money Laundering Act (Republic Act 9160, as amended).
- **Bank Deposits in Foreign Banks** operating outside the Philippine territory or Bank Deposits in Foreign branch of domestic bank operating outside the Philippine territory.
 - ✓ **Note: Unsafe and unsound deposit-related activities** include, among others (PDIC Regulatory Issuance No. 2011-01).
 - ✓ Deposit-related practice/activity/transaction without the approval of adequate controls required under existing laws, rules and regulations.
 - ✓ Failure to keep bank records within bank premise.

- ✓ Granting high interest rates, when bank has: (1) negative unimpaired capital, or (2) liquid assets to deposit ratio less than 10%.
- ✓ Non-compliance with PDIC regulations.

REQUIREMENTS FOR CLAIMS OF INSURED DEPOSITS

- PDIC shall pay deposit insurance on all valid deposits up to the Maximum Deposit Insurance Coverage of P500,000 per depository, of a closed bank. Accounts maintained in the same right and capacity for a depositor’s benefit, whether in his own name or in the name of others, are covered by deposit insurance. However, A depositor with single accounts and joint accounts may have insured deposit of up to P1,000,000.
- **Illustrative examples:**
 - ✓ How much is Fe Santo’s insured deposit if she has the following four deposit accounts in the same bank?

Account Name	Deposit (in PHP)	Insured Deposit of Fe Santos
Fe Santos	100,000	100,000
Ben Santos For the Account of Fe Santos	100,000	100,000
Charlie Santos In Trust for Fe Santos	100,000	100,000
Fe Santos’ Store (Sole Proprietorship)	700,000	200,000
Total	1,000,000	500,000

- ✓ How much is Fe Santos’s insured deposit if she has the following three joint accounts in the same bank?

Account Name	Deposit (in PHP)	Insured Deposit of Fe Santos
Fe Santos or Ben Santos	500,000	250,000
Fe Santos and Charlie Santos	1,000,000	250,000
Fe Santos and/or Divina Santos	1,000,000	0*
Total	2,500,000	500,000

- *Note: Mrs. Fe Santos does not have any insured deposit share since she already has P500,000 in total shares in the two joint accounts she has with Ben and Charlie Santos.
- ✓ How much is Fe Santo’s insured deposit for all her single and joint accounts in the same bank?

Account Name	Deposit (in PHP)	Insured Deposit of Fe Santos
All single accounts of Fe Santos in BDO Branch 1	1,000,000	500,000
All joint accounts of Fe Santos in BDO Branch 2	2,500,000	500,000
Total	3,500,000	1,000,000

- Note: For purposes of computing the insured deposits, all obligations or loans of the depositor with the closed bank, as of bank closure, shall be deducted from the depositor’s total deposits with the said bank. (PDIC Regulatory Issuance No. 2011-04).
- Note: In case of joint account involving a juridical/artificial person and a natural person, the maximum insured deposit of P500,000 to such joint account shall be given to juridical/artificial person only.

REQUIREMENTS FOR CLAIMS OF INSURED DEPOSITS

- **When are claims filed?**
 - Claims are file during the claims settlement operations period, as announced in the Notice of Depository published in national or local newspapers, or posted in the bank premises and conspicuous places within the locality, and in the PDIC website.
 - **Depositors have two (2) years** from PDIC’s takeover of the closed bank to file their deposit insurance claims.
- **Who are required to file deposit insurance claims?**
 - Depositors with valid deposit accounts with balances of more than P100,000.
 - Depositors who have outstanding obligations with the closed bank regardless of amount of deposits.
 - Depositors with account balances of less than P100,000 who have no updated addresses in the bank records or who have not updated their addresses through the Mailing Address Update Form (MAUF) issued by the PDIC.
 - Depositors who maintain their accounts under the name of business entities, regardless of type of account and account balance.
 - Depositors with accounts not eligible for early payment, regardless of type of account and account balance per advice of PDIC.
- **Who are the depositors that are not required to file deposit insurance claims?**
 - Depositors with valid deposit accounts with balances of P100,000 and below are not required to file claims provided they have no obligations with the closed bank and have complete and updated addresses in the bank records or have updated these through the **Mailing Address Update Form (MAUF)** issued by the PDIC. Depositors with deposit balances of P100,000 and below may update their addresses using the MAUF and submit to PDIC representatives stationed at the closed bank premises before the start of the onsite claims settlement operations.
 - These depositors are entitled to immediately early payment of deposit insurance claim as part of PDIC’s initiative to provide convenience to small depositors. Payments to these depositors are sent as postal money orders to the depositors’ mailing addresses.
- **Steps in filing deposit insurance claims**
 - **Prepare the following documents:**
 - ✓ Original evidence of deposits such as savings passbook, certificate of time deposit, bank statement, unused checks, and ATM card.
 - ✓ Original copy of One (1) valid photo-bearing identification documents (id) with clear signature of depositor/claimant such as Driver’s License, SSS/GSIS ID, Senior Citizen’s ID, Passport, PRC ID, OWWA / OFW ID, Seaman’s ID, Alien Certification of Registration ID, Voter’s ID, IBP. Please ensure that the ID number is clear and legible.
 - ✓ If the depositor is below 18 years old, a photocopy of his/her birth certificate from the Philippine Statistics Authority (PSA) or duly certified copy from the local civil registrar and valid IDs of the parent.

- ✓ Original copy of a notarized Special Power of Attorney (SPA) for claimants who are not the signatories in the bank records. In the case of minor depositor, the SPA must be executed by the parent.

o **Submit to:**

- ✓ **If filing personally:**
 - The PDIC representatives at the premises of the closed bank during Claims Settlement Operations (CSO) or to the PDIC Public Assistance Center at the 3rd Floor, SSS Bldg., 6782 Ayala Avenue corner V.A. Rufino Street, Makati City after the onsite CSO.
- ✓ **If filing through Mail:**
 - Send the accomplished and notarized Claim Form and requirements to the Claim Processing Department of PDIC 4/F SSS Building, 6782 Ayala Avenue corner V.A. Rufino St. 1226 Makati City.

o **Who should sign the deposit insurance claim form?**

- ✓ **Depositor** of the account – for depositors 18 years old and above.
- ✓ **Parent** – if the depositor is below 18 years old.
- ✓ **Agent** – in the case of “By” accounts.
- ✓ **Trustee** – in the case of “In Trust for (ITF)” accounts.
- ✓ **Each Depositor** – in the case of joint accounts such as “Or”, “And/Or” or “And” accounts.

o **Procedures for Claiming Insurance Proceeds**

- **Period for Payment**
 - ✓ Whenever an insured bank is closed by Monetary Board.
 - ✓ Payment shall be made by PDIC as soon as possible.
- **Mode of Payment**
 - ✓ By Cash.
 - ✓ By making available to each depositor a transferred deposit in another insured bank in an amount equal to insured deposit of such depositor.
- **Requirement before payment**
 - ✓ PDIC may require proof of claims before paying the insured deposit.
 - ✓ If PDIC is not satisfied as to the validity of a claim for an insured deposit, it may require final determination of a court of competent jurisdiction before paying such claim.
- **Period for payment**
 - ✓ It must be made within 6 months from the date of filing otherwise the officers of PDIC will be liable for failure to pay if due to grave abuse of discretion, gross negligence, bad faith or malice.

- ✓ The six-month period shall not apply if the documents of the claimant are incomplete or if the validity of the claim requires the resolution of issues of facts and law by another office, body or agency, independently or in coordination with PDIC.

• **Rights of PDIC upon payment of insured deposits**

- ✓ PDIC shall be legally subrogated to all rights of depositor against the closed bank to the extent of such payment.

- - END - -



PHILIPPINE DEPOSIT INSURANCE CORPORATION (PDIC)

1. What is the government instrumentality created in 1963 by virtue of Republic Act 3591 to insure the deposits of all banks which are entitled to the benefits of insurance and considered as an attached agency of the Department of Finance?
 - a. Development Bank of the Philippines (DBP)
 - b. Landbank of the Philippines (LBP)
 - c. Philippine Deposit Insurance Corporation (PDIC)
 - d. Bangko Sentral ng Pilipinas (BSP)
2. The following are the composition of the board of directors of the Philippine Deposit Insurance Corporation (PDIC) except
 - a. Secretary of Finance
 - b. President of the PDIC, who shall be appointed by the President of the Philippines
 - c. Four (4) members from the private sector to be appointed by the President of the Philippines
 - d. None of the above
3. The following are the qualifications of the board of directors of the PDIC except
 - a. Good moral character
 - b. Unquestionable integrity and responsibility
 - c. Recognized competence in economics, banking and finance law, management administration or insurance
 - d. At least 45 years old
4. Which of the following is not a function of the PDIC?
 - a. Insurance
 - b. Corporate rehabilitation
 - c. Receivership of closed banks
 - d. Bank examination
5. It means the unpaid balance of money or its equivalent received by a bank in the usual course of business and for which it has given or is obliged to give credit to a commercial, checking, savings, time or thrift account, evidenced by a passbook, certificate of deposit, or other evidence of deposit issued in accordance with Bangko Sentral ng Pilipinas rules and regulations and other applicable laws, together with such other obligations of a bank
 - a. Insured deposit
 - b. Insured bank
 - c. Disputed claim
 - d. Deposit
6. Which of the following deposits is not insured by PDIC?
 - a. Savings Deposit
 - b. Special Savings
 - c. Telegraphic notes or Telegram notes
 - d. Negotiable Order of Withdrawal
7. Which of the following is insured by PDIC?
 - a. Investment in bonds issued by government
 - b. Investment in stocks of a private corporation
 - c. Trust account
 - d. Demand or Checking account
8. Which of the following deposits is not insured by PDIC?
 - a. Certificate of Time Deposit in Philippine National Bank Makati Branch
 - b. Bank Deposit in Japan Bank Tokyo Branch
 - c. Savings Deposit in Metrobank Manila Branch
 - d. Special Savings in Bank of Philippine Islands Taguig Branch
9. Which of the following deposits is insured by PDIC?
 - a. Investment products which do not fall under the definition of a deposit
 - b. Deposit accounts that are fictitious or fraudulent
 - c. Deposit accounts constituting or emanating from unsafe or unsound business practices
 - d. Deposit accounts that are determined to be proceeds from an unlawful activity as defined in AMLA
 - e. None of the above
10. Statement I: The Philippine Deposit Insurance Corporation (PDIC) shall insure the deposits of all banks
 Statement II: The PDIC shall promote and safeguard the interests of the depositing public by providing insurance coverage on all insured deposits and helping maintain a sound and stable banking system
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
11. It means the amount due to any bonafide depositor for legitimate deposits in an insured bank as of the date of closure but not to exceed P500,000
 - a. Insured bank
 - b. Insured deposit
 - c. Disputed claim
 - d. Deposit



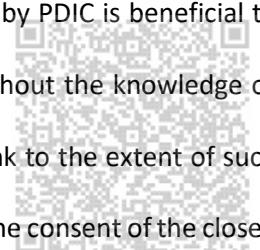
12. Statement I: A joint account regardless of whether the conjunction 'and', 'or', 'and/or' is used, shall be insured separately from any individually-owned deposit account
Statement II: That the aggregate of the interest of each co-owner over several joint accounts, whether owned by the same or different combinations of individuals, juridical persons or entities, shall likewise be subject to the maximum insured deposit of P500,000
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
13. Statement I: If the account is held jointly by two or more natural persons, or by two or more juridical persons or entities, the maximum insured deposit shall be divided into as many equal shares as there are individuals, juridical persons or entities, unless a different sharing is stipulated in the document of deposit
Statement II: If the account is held by a juridical person or entity jointly with one or more natural persons, the maximum insured deposit shall be presumed to belong entirely to such juridical person or entity
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
14. Statement I: Whenever upon examination by the PDIC into the condition of any insured bank, it shall be disclosed that an insured bank or its directors or agents have committed, are committing or about to commit unsafe or unsound practices in conducting the business of the bank, or have violated, are violating or about to violate any provisions of any law or regulation to which the insured bank is subject, the Board of Directors shall submit the report of the examination to the Monetary Board to secure corrective action thereon
Statement II: Each insured bank shall keep and maintain a true and accurate record or statement of its daily deposit transactions consistent with the standards set by the Bangko Sentral ng Pilipinas and the PDIC
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
15. Statement I: PDIC may require proof of claims to be filed before paying the insured deposits
Statement II: In any case, where PDIC is not satisfied as to the viability of a claim for an insured deposit, it may require final determination of a court of competent jurisdiction before paying such claim
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
16. Statement I: Whenever a bank is ordered closed by the Monetary Board, the PDIC shall be designated as receiver and it shall proceed with the takeover and liquidation of the closed bank
Statement II: The receiver is authorized to adopt and implement, without need of consent of the stockholders, board of directors, creditors or depositors of the closed bank, any or a combination of (1) conventional liquidation; and (2) purchase of assets and/or assumption of liabilities; as modes of liquidation
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
17. In addition to the powers of a receiver provided under the existing law, the PDIC, as receiver of a closed bank, is empowered to
- Represent and act for and on behalf of the closed bank
 - Gather and take charge of all the assets, records and affairs of the closed bank, and administer the same for the benefit of its creditors
 - Convert the assets of the closed bank to cash or other forms of liquid assets
 - All of the above
18. Statement I: Upon the designation of the PDIC as receiver of a closed bank, it shall serve a notice of closure to the highest-ranking officer of the bank present in the bank premises, or in the absence of such officer, post the notice of closure in the bank premises or on its main entrance
Statement II: The receiver shall have authority to use reasonable force, including the authority to force open the premises of the bank, and exercise such acts necessary to take actual physical possession and custody of the bank and all its assets, records, documents and take charge of its affairs upon the service of the notice of closure
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
19. Statement I: The receiver shall have the authority to facilitate and implement the purchase of the assets of the closed bank and the assumption of its liabilities by another insured bank, without need for approval of the liquidation court
Statement II: The assets gathered by the receiver shall be evaluated and verified as to their existence, ownership, condition and other factors to determine their realizable value



- a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
20. In the management and/or conversion of the assets of the closed bank, the receiver shall have the authority to
- I. Conduct a physical or ocular inspection of the properties owned by, or mortgaged to, the closed bank, to determine their existence and present condition
II. Determine the disposal price of assets in accordance with generally accepted valuation principles, standards and practices
- a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
21. Statement I: The creditors shall have a period of nine (9) months from the date of publication of notice of the approval by the court of the final asset distribution plan of the closed bank within which to claim payment of the principal obligations and surplus dividends
Statement II: The individual stockholders of record or their duly-authorized representative or the court-appointed stockholders' representative shall have a period of nine (9) months from publication of notice of the approval by the court of the final asset distribution plan of the closed bank within which to claim the residual assets
- b. Only Statement I is true
c. Only Statement II is true
c. Both are true
d. Both are false
22. Statement I: All payments by the PDIC of insured deposits in closed banks partake of the nature of public funds
Statement II: The PDIC, in its discretion, may require proof of claims to be filed before paying the insured deposits, and that in any case where the PDIC is not satisfied as to the validity of a claim from an insured deposit, it may require final determination of a court of competent jurisdiction before paying such claim
- a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
23. It occurs whenever a deposit account with an outstanding balance of more than the statutory maximum amount of insured deposit maintained under the name of natural or juridical persons is broken down and transferred into 2 or more accounts in the name/s of natural or juridical persons or entities who have no beneficial ownership on transferred deposits in their names within 120 days immediately preceding or during a declared bank holiday, or immediately preceding a closure order issued by the Monetary Board of the Bangko Sentral ng Pilipinas for the purpose of availing of the maximum deposit insurance coverage
- a. Splitting of deposits
b. Division of deposits
c. Separation of deposits
d. Partition of deposits
24. Under the amendment of PDIC Charter, may PDIC pay the insured deposits of a depositor without netting out depositor's loan obligation with the closed bank?
- a. Yes, but only using the closed bank's records alone
b. Yes, even based on evidence of deposits and not on the closed bank's recorded loan
c. No, because it will violate of the right to due process of the bank
d. No, because it will violate the principles of legal compensation
25. May PDIC proceed directly to liquidation of a closed bank even without undergoing 90-day receivership period?
- a. Yes, because it would enhance the recovery rate for creditors of closed bank
b. Yes, because it would result to further dissipation of assets of a closed bank
c. No, because it is a violative right to property of the owners of the bank
d. No, because it is violative of right to procedural due process of the owners of the bank
26. What is the possible maximum deposit insurance coverage if a depositor has several valid single accounts in a closed bank?
- a. P1,000,000
b. P500,000
c. P750,000
d. P1,500,000
27. What is the possible maximum deposit insurance coverage if a depositor has several valid single accounts and valid joint accounts in a closed bank?
- a. P1,000,000
b. P500,000
c. P750,000
d. P1,500,000



28. X has the following deposit accounts in a closed bank (BPI):
- | | |
|---|----------|
| X and Y Savings Deposit – BPI-Quezon City Branch | P600,000 |
| X and B Time Deposit – BPI-Taguig City Branch | P800,000 |
| X and F Checking Account – BPI-Mandaluyong Branch | P900,000 |
- What is the maximum deposit insurance coverage by PDIC in so far as X is concerned?
- P1,000,000
 - P1,200,000
 - P500,000
 - P800,000
29. X has the following deposit accounts in a closed bank (BPI):
- | | |
|---|----------|
| X Bakery Business (Sole Proprietorship) Checking Account – BPI-Mandaluyong Branch | P300,000 |
| X Savings Deposit – BPI-Taguig City Branch | P400,000 |
| X and Y Time Deposit – BPI-Pasig Branch | P600,000 |
| X and Z Savings Deposit – BPI-Quezon City Branch | P800,000 |
- What is the maximum deposit insurance coverage by PDIC in so far as X is concerned?
- P1,000,000
 - P1,200,000
 - P500,000
 - P800,000
30. What is the prescriptive period for depositors to file their deposit insurance claims to PDIC from date of takeover by PDIC of a closed bank?
- Within 1 year from PDIC's takeover of the closed bank
 - Within 2 years from PDIC's takeover of the closed bank
 - Within 3 years from PDIC's takeover of the closed bank
 - Within 4 years from PDIC's takeover of the closed bank
31. As a general rule, what is the threshold amount of the bank deposit to be required to file deposit insurance claims to PDIC?
- Balance of more than P100
 - Balance of more than P1,000
 - Balance of more than P10,000
 - Balance of more than P100,000
32. The following are the depositors who are required to file deposit insurance claims to PDIC in order to recover their claims from a closed bank, except
- Depositors who have outstanding obligations with the closed bank regardless of amount of deposits
 - Depositors with account balances of less than P100,000 who have updated addresses in the bank records, or who have updated their addresses through the Mailing Address Update Form (MAUF) issued by the PDIC
 - Depositors with account balances of less than P100,000 who have no updated addresses in the bank records or who have not updated their addresses through the Mailing Address Update Form (MAUF) issued by the PDIC
 - Depositors with valid deposit accounts with balances of more than P100,000
33. What is the mode of payment by PDIC of claims of depositors from a closed bank?
- By cash
 - By making available to each depositor a transferred deposit in another insured bank in an amount equal to insured deposit of such depositor
 - By checks, promissory note or bill of exchange
 - Either A or B
34. What is the maximum period for payment by PDIC to depositors of their claims from a closed bank in order not to make PDIC's office liable for failure to pay due to grave abuse of discretion, gross negligence, bad faith or malice?
- Within 3 months from the date of filing of deposit insurance claim to PDIC
 - Within 6 months from the date of filing of deposit insurance claim to PDIC
 - Within 1 year from the date of filing of deposit insurance claim to PDIC
 - Within 2 years from the date of filing of deposit insurance claim to PDIC
35. What is the effect of payment by PDIC of insured deposits to depositors?
- PDIC may recover from the assets of the closed in so far as the payment made by PDIC is beneficial to depositors
 - PDIC may not recover from the assets of the closed bank if the payment is without the knowledge or against the will of the closed bank
 - PDIC shall be legally subrogated to all rights of depositor against the closed bank to the extent of such payment
 - PDIC may only recover from the assets of the closed bank if the payment is with the consent of the closed bank



DATA PRIVACY ACT OF 2012 (R.A. NO. 10173)

o Policies of the State

- It is the policy of the state to protect the fundamental human rights of privacy, of communication while ensuring free flow of information to promote innovation and growth.
- The State recognizes the vital role of information and communications technology in nation-building and its inherent obligation to ensure that personal information in information and communications systems in the government and in the private sector are secured and protected.
- **Data privacy** refers to the right while data protection refers to the means to implement the right data privacy.

o Definition of Terms

- **Commission** shall refer to the **National Privacy Commission** created by virtue of this Act.
- **Consent of the data subject** refers to any freely given, specific, informed indication of will, whereby the data subject agrees to the collection and processing of personal information about and/or relating to him or her. Consent shall be evidenced by written, electronic or recorded means. It may also be given on behalf of the data subject by an agent specifically authorized by the data subject to do so.
- **Data subject** refers to an individual whose personal information is processed.
- **Direct marketing** refers to communication by whatever means of any advertising or marketing materials which is directed to particular individuals.
- **Filing system** refers to any act of information relating to natural or juridical persons to the extent that, although the information is not processed by equipment operating automatically in response to instructions given for that purpose, the set is structured, either by reference to individuals or by reference to criteria relating to individuals, in such a way that specific information relating to a particular person is readily accessible.
- **Information and Communications System** refers to a system for generating, sending, receiving, storing or otherwise processing electronic data messages or electronic documents and includes the computer system or other similar device by or which data is recorded, transmitted or stored and any procedure related to the recording, transmission, or storage of electronic data, electronic message, or electronic document.
- **Personal information** refers to any information whether recorded in a material form or not, from which the identity of an individual is apparent or can be reasonably and directly ascertained by the entity holding the information, or when put together with other information would directly and certainly identify an individual.
- **Personal information controller** refers to a person or organization who controls the collection, holding, processing or use of personal information, including a person or organization who instructs another person or organization to collect, hold, process, use, transfer or disclose personal information on his or her behalf. The term Personal information controller **excludes** the following:

- ✓ A person or organization who performs such functions as instructed by another person or organization; and
- ✓ An individual's personal, family or household affairs.
- **Personal information processor** refers to any natural or juridical person qualified to act as such under this Act to whom a personal information controller may outsource the processing of personal data pertaining to a data subject.
- **Processing** refers to any operation or any set of operations performed upon personal information including but not limited to, the collection, recording, organization, storage, updating or modification, retrieval, consultation, use, consolidation, blocking, erasure or destruction of data.
- **Privileged information** refers to any and all forms of data which under the Rules of Court and other pertinent laws constitute privileged communication.
- **Sensitive personal information** refers to personal information about the following:
 - ✓ About an individual's race, ethnic origin, marital status, age, color; and religious, philosophical or political affiliations;
 - ✓ About an individual's health, education, genetic or sexual life of a person, or to any proceeding for any offense committed or alleged to have been committed by such person, the disposal of such proceedings, or the sentence of any court in such proceedings;
 - ✓ Issued by government agencies peculiar to an individual which includes, but not limited to, social security numbers, previous or current health records, licenses or its denials, suspension or revocation, and tax returns; and
 - ✓ Specifically established by an executive order or an act of Congress to be kept classified.

Scope of Data Privacy Act

- o The law applies to the **processing of all types of personal information** and to any **natural and juridical** person involved in personal information processing including those personal information controllers and processors who, although, not found or established in the Philippines, use equipment that are located in the Philippines, or those who maintain an office, branch or agency in the Philippines subject to the immediately succeeding paragraph: Provided, That the requirement of Section 5 are complied with Section 5 affords protection to journalists and their sources.
- o Nothing in this Act shall be construed as to have amended or repealed the provisions of Republic Act No. 53, which affords the publishers, editors or duly accredited reports of any newspaper, magazine or periodical or periodical of general circulation protection from being compelled to reveal the source of any news report or information appearing in said publication which was related in any confidence to such publisher, editor or reporter.

Exceptions to Coverage of Data Privacy Act

- o **The law does not apply to the following:**
 - Information about any individual who is or was an officer or employee of a government institution that relates to the position or functions of the individual, including:
 - ✓ The fact that the individual is or was an officer or employee of the **government institution**.
 - ✓ The title, business address and office telephone number of the individual.

- ✓ The classification, salary range and responsibilities of the position held by the individual.
- ✓ The name of the individual on a document prepared by the individual in the course of employment with the government.
- Information about an individual who is or was performing service **under contract for a government institution** that relates to the services performed, including the terms of the contract, and the name of the individual given in the course of the performance of those services.
- Information relating to any discretionary benefit of a financial nature such as the **granting of a license or permit given by the government** to an individual, including the name of the individual and the exact nature of the benefit.
- Personal information processed for **journalistic, artistic, literary or research** purposes.
- **Information necessary in order to carry out the functions of public authority** which includes the processing of personal data for the performance by the independent, central monetary authority and law enforcement and regulatory agencies for their constitutionally and statutorily mandated functions. Nothing in this Act shall be construed as to have amended or repealed Republic Act No. 1405, otherwise known as the Secrecy of Bank Deposits Act; Republic Act No. 6426, otherwise known as the Foreign Currency Deposit Act; and Republic Act No. 9510, otherwise known as the Credit Information System Act (CISA).
- **Information necessary for banks and other financial institutions** under the jurisdiction of the independent, central monetary authority or Bangko Sentral ng Pilipinas to comply with Republic Act. No. 9510, and Republic Act No. 9160, as amended, otherwise known as the Anti-Money Laundering Act and other applicable laws.
- **Personal information originally collected from** residents of foreign jurisdictions in accordance with the laws of those foreign jurisdictions, including any applicable data privacy laws, which is being processed in the Philippines.

Extraterritorial Application of Data Privacy Act

- o The law applies to an act done or practice engaged in and outside of the Philippines by an entity if:
 - The act, practice or processing relates to **personal information about a Philippine citizen or a resident**.
 - The **entity has a link with the Philippines**, and the entity is processing personal information in the Philippines or even if the processing is outside the Philippines as long as it is about Philippine citizens or residents such as, but not limited to, the following:
 - A contract is entered in the Philippines.
 - A juridical entity unincorporated in the Philippines but has central management and control in the country.
 - An entity that has a branch, agency, office or subsidiary in the Philippines and the parent or affiliate of the Philippine entity has access to personal information.
 - The entity has **other links in the Philippines** such as, but not limited to:
 - The entity carries on business in the Philippines; and
 - The personal information was collected or held by an entity in the Philippines.

National Privacy Commission

o Functions of National Privacy Commission

- **Ensure compliance** of personal information controllers with the provisions of this Act.
- **Receive complaints**, institute investigations, facilitate or enable settlement of complaints through the use of alternative dispute resolution processes, adjudicate, award indemnity on matters affecting any personal information, prepare reports on disposition of complaints and resolution of any investigation it initiates, and, in cases it deems appropriate, publicize any such report: Provided, that in resolving any complaint or investigation (except where amicable settlement is reached by the parties), the Commission shall act as a collegial body. For this purpose, the Commission may be given access to personal information that is subject of any complaint and to collect the information necessary to perform its functions under this Act.
- **Issue cease and desist orders**, impose a temporary or permanent ban on the processing of personal information, upon finding that the processing will be detrimental to national security and public interest.
- **Compel or petition of any entity**; government agency or instrumentality to abide by its orders or take action on a matter affecting data privacy.
- **Monitor the compliance** of other government agencies or instrumentalities on their security and technical measures and recommend the necessary action in order to meet minimum standards for protection of personal information pursuant to this Act.
- **Coordinate** with other government agencies and the private sector on efforts to formulate and implement plans and policies to strengthen the protection of personal information to the country.
- **Publish on a regular basis a guide to all laws** relating to data protection.
- **Publish a compilation of agency system** of records and notices, including index and other finding aids.
- **Recommend to the Department of Justice (DOJ)** the **prosecution** and imposition of penalties specified in Sections 25 to 29 of this Act.
- **Review, approve, reject or require modification of privacy codes** voluntarily adhere to by personal information controllers: Provided, that the privacy codes shall adhere to the underlying data privacy principles embodied in this Act: Provided, further, that such privacy codes may include private dispute resolution mechanisms for complaints against any participating personal information controller. For this purpose, the Commission shall consult with relevant regulatory agencies in the formulation and administration of privacy codes applying the standards set out in this Act, with respect to the persons, entities, business activities and business sectors that said regulatory bodies are authorized to principally regulate pursuant to the law: Provided, finally, That the Commission may review such privacy codes and require changes thereto for purposes of complying with this Act.
- **Provide assistance** on matters relating to privacy or data protection at the request of a national or local agency, a private entity or any person.
- **Comment on the implication** on data privacy of proposed national or local statutes, regulations or procedures, issue advisory opinions and interpret the provisions of this Act and other data privacy laws.



- **Propose** legislation, amendments or modifications to Philippine laws on privacy or data protection as may be necessary.
- **Ensure property and effective coordination** with data privacy regulators in other countries and private accountability agents, participate in international and regional initiatives for data privacy protection.
- **Negotiate and contract** with other data privacy authorities of other countries for cross-border application and implementation of respective privacy laws.
- **Assist Philippine companies** doing business abroad to respond to foreign privacy or data protection and regulations.
- Generally perform such acts as may be **necessary to facilitate cross-border enforcement** of data privacy protection.

o **Confidentiality in National Privacy Commission** – The National Privacy Commission shall ensure at all times the confidentiality of any personal information that comes to its knowledge and possession.

o **Organization Structure of National Privacy Commission (NPC)**

- **Composition** – The Commission shall be attached to the Department of Information and Communications Technology (DICT) and shall be headed by a Privacy Commissioner, who shall also act as **Chairman** of the Commission. The Privacy Commissioner shall be assisted by **two (2) Deputy Privacy Commissioners**, one to be responsible for Data processing Systems and one to be responsible for Policies and Planning.
- **Appointment to the NPC** – the Privacy Commissioner and the two (2) Deputy Privacy Commissioners shall be appointed by the President of the Philippines. Vacancies in the Commission shall be filled in the same manner in which the original appointments were made.
- **Term of Office** – The Privacy Commissioner and the two (2) Deputy Privacy Commissioners shall have a term of **three (3) years**, and may be reappointed for another term of three (3) years.
- **Qualifications of NPC Commissioners**
 - ✓ The Privacy of Commissioner must be at least thirty-five (35) years of age and of good moral character, unquestionable integrity and known probity, and a recognized expert in the field of information technology and data privacy. The Privacy Commissioner shall enjoy the benefits, privileges and emoluments equivalent to the rank of Secretary.
 - ✓ The Deputy Privacy Commissioners must be recognized experts in the field of information and communications technology and data privacy. They shall enjoy the benefits, privileges and emoluments equivalent to the rank of Undersecretary.
- **Liability of NPC Commissioners**
 - ✓ As a general rule, the Privacy Commissioner, the Deputy Commissioners, or any person acting on their behalf or under their direction, shall not be civilly liable for acts done in good faith in the performance of their duties.
 - ✓ However, he or she shall be liable for willful or negligent acts done by him or her which are contrary to law, morals, public policy and good customs even if he or she acted under orders or instructions of superiors: Provided, that in case a lawsuit is filed

against such official on the subject of the performance of his or her duties, where such performance is lawful, he or she shall be reimbursed by the NPC for reasonable cost of litigation.

Processing of Personal Information

o **General Data Privacy Principles** – The processing of personal information shall be allowed, subject to compliance with the requirements of this Act and other laws allowing disclosure of information to the public and adherence to the principles of transparency, legitimate purpose and proportionality. It is the duty of personal information controller to ensure implementation of personal information processing principles set out below. The following are the general data privacy principles:

- ✓ Personal information must be collected for specified and legitimate purposes determined and declared before, or as soon as reasonably practicable after collection, and later processed in a way compatible with such declared, specified and legitimate purposes only.
- ✓ Personal information must be processed fairly and lawfully.
- ✓ Personal information must be accurate, relevant and, where necessary for purposes for which it is to be used the processing of personal information, kept up to date; inaccurate or incomplete data must be rectified, supplemented, destroyed or their further processing restricted.
- ✓ Personal information must be adequate and not excessive in relation to the purposes of which they are collected and processed.
- ✓ Personal information must be retained only for as long as necessary for the fulfillment of the purposes for which the data were obtained or for the establishment, exercise or defense of legal claims, or for legitimate business purposes, or as provided by law.
- ✓ Personal information must be kept in a form which permits identification of data subjects for no longer than is necessary for the purposes for which the data were collected and processed: Provided, that personal information collected for other purposes may lie processed for historical, statistical or scientific purposes, and in cases laid down in law may be stored for longer periods: Provided, further, that adequate safeguards are guaranteed by said laws authorizing their processing.

o **Criteria for Lawful Processing of Personal Information** – The processing of personal information shall be permitted only if not otherwise prohibited by law, and when at least one of the following conditions exists:

- ✓ The data subject has given his or her consent;
- ✓ The processing of personal information is necessary and is related to the fulfillment of a contract with the data subject or in order to take steps at the request of the data subject prior to entering into a contract;
- ✓ The processing is necessary to protect vitally important interests of the data subject, including life and health;
- ✓ The processing is necessary in order to respond to national emergency, to comply with the requirements of public order and safety, or to fulfill functions of public authority which necessarily includes the processing of personal data for the fulfillment of its mandate; or
- ✓ The processing is necessary for the purposes of the legitimate interest pursued by the personal information controller or by a third party or parties to whom the data is disclosed, except such interest are overridden by

fundamental rights and freedoms of the data subject which require protection under the Philippine Constitution.

O Sensitive Personal Information and Privileged Information –
As a general rule, the processing of sensitive personal information and privileged information shall be prohibited. However, the following are the exceptional cases wherein processing of sensitive personal information and privileged information may be allowed:

- The **data subject has given his or her consent**, specific to the purpose prior to the processing, or in the case of privileged information, all parties to the exchange have given their consent prior to processing;
- The processing of the same is provided for by existing laws and regulations: Provided, that such regulatory enactments guarantee the protection of the sensitive personal information and the privileged information: Provided, further that the consent of the data subjects are not required by law or regulation permitting the processing of the sensitive personal information or the privileged information;
- The processing is **necessary to protect the life and health** of the data subject or another person, and the data subject is not legally or physically able to express his or consent prior to the processing;
- The processing is **necessary to achieve the lawful and noncommercial objectives** of public organizations and their associations: Provided, that such processing is only confined and related to the bona fide members of these organizations or their associations; Provided, further that the sensitive personal information are not transferred to third parties: Provided finally, that consent of the data subject was obtained prior to processing;
- The processing is **necessary for purposes of medical treatment**, is carried out by a medical practitioner or a medical treatment institution, and an adequate level of protection of personal information is ensured; or
- The processing concerns such personal information as is necessary for the **protection of lawful rights and interests** of natural or legal persons in court proceedings, or the establishment, exercise or defense of legal claims, or when provided to government or public authority.

O Subcontract of Personal Information – A personal information controller may subcontract the processing of personal information. Provided, that the personal information controller shall be responsible for ensuring that proper safeguards are in place to ensure the confidentiality of the personal information processed, prevent its use for unauthorized purposes, and generally, comply with the requirements of this Act and other laws for processing of personal information. The personal information processor shall comply with all the requirements of this Act and other applicable laws.

O Extension of Privileged Communication and Inadmissibility of Privileged Information as Evidence – Personal information controllers may invoke the principle of privileged communication over privileged information that they lawfully control or process. Subject to existing laws and regulations, any evidence gathered on privileged information is inadmissible.

Rights of Data Subject

- **Right to be informed** whether personal information pertaining to him or her shall be, are being or have been processed;
- **Right to be furnished** the information indicated hereunder before the entry of his or her personal

information into the processing system of the personal information controller, or at the next practical opportunity:

- ✓ Description of the personal information to be entered into the system.
- ✓ Purposes for which they are being or are to be processed.
- ✓ Scope and method of the personal information processing.
- ✓ The recipients or classes of recipients to whom they are or may be disclosed.
- ✓ Methods utilized for automated access, if the same is allowed by the data subject, and the extent to which such access is authorized.
- ✓ The identity and contact details of the personal information controller or its representative.
- ✓ The period for which the information will be store; and
- ✓ The existence of their rights, i.e., to access, correction, as well as the right to lodge a complaint before the Commission.
- ✓ Any information supplied or declaration made to the data subject on these matters shall not be amended without prior notification of data subject: Provided, that the notification under subsection (b) shall not apply should the personal information be needed pursuant to a subpoena or when the collection and processing are for obvious purposes, including when it is necessary for the performance of or in relation to a contract or service or when necessary or desirable in the context of an employer-employee relationship, between the collector and the data subject, or when the information is being collected and processed as a result of legal obligation.
- **Right to have reasonable access** to, upon demand, the following:
 - ✓ Contents of his or her personal information that were processed.
 - ✓ Sources from which personal information were obtained.
 - ✓ Names and addresses of recipients of the personal information.
 - ✓ Manner by which such data were processed.
 - ✓ Reasons for the disclosure of the personal information to recipients.
 - ✓ Information on automated processes where the data will or likely to be made as the sole basis for any decision significantly affecting or will affect the data subject.
 - ✓ Date when his or her personal information concerning the data subject were last accessed and modified.
 - ✓ The designation, or name or identity and address of the personal information controller.

- **Right to dispute the inaccuracy or error** in the personal information and have the personal information controller correct it immediately and accordingly, unless the request is vexatious or otherwise unreasonable. If the personal information have been corrected, the personal information controller shall ensure the accessibility of both the new and the retracted information and the simultaneous receipt of the new and the retraced information by recipients thereof; Provided, that the third parties who have previously received such processed personal information shall be informed of its inaccuracy and its rectification upon reasonable request of the data subject.

- **Right to suspend, withdraw or order the blocking, removal or destruction** of his or her personal information from the personal information controller's filing system upon discovery and substantial proof that the personal information are incomplete, outdate, false, unlawfully obtained, used for unauthorized purposes or are not

longer necessary for the purposes for which they were collected. In this case, the personal information controller may notify third parties who have previously received such processed personal information.

- **Right to indemnified for any damages** sustained due to such inaccurate, incomplete, outdated, false, unlawfully obtained or unauthorized use of personal information.
 - ✓ **Transmissibility of Rights of Data Subject** – The lawful heirs and assigns of the data subject may invoke the rights of the data subject for, which he or she is an heir or assignee at any time after the death of the data subject or when the data subject is incapacitated or incapable of exercising the rights as enumerated above.
- **Right to Data portability** – The data subject shall have the right, where personal information is processed by electronic means and in a structured and commonly used format, to obtain from the personal information controller a copy of data undergoing processing in an electronic or structured format, which is commonly used and allows for further use by the data subject. The Commission may specify the electronic format referred to above as well as the technical standards, modalities and procedures for their transfer.
 - ✓ **Non-Applicability of the Rights of Data Subject** – The data privacy subject rights are not applicable if the processed information are used only for the needs of scientific and statistical research and on the basis of such, no activities are carried out and no decisions are taken regarding the data subject: Provided, that the personal information shall be held under strict confidentiality and shall be used only for the declared purpose. Likewise, the immediately preceding sections are not applicable to processing of personal information gathered for the purpose of investigations in relation to any criminal, administrative or tax liabilities of a data subject.

Security of Personal Information

- o The following are the **internal control measures** to be implemented by the personal information controller to secure personal information:
 - The personal information controller must implement reasonable and appropriate organizational, physical and technical measures intended for the protection of personal information against any accidental or unlawful destruction, alteration and disclosure, as well as against any other unlawful processing.
 - The personal information controller shall implement reasonable and appropriate measures to protect personal information against natural dangers such as accidental loss or destruction, and human dangers such as unlawful access, fraudulent misuse, unlawful destruction, alteration and contamination.
 - The determination of the appropriate level of security under this section must take into account the nature of the personal information to be protected, the risks represented by the processing, the size of the organization and complexity of its operations, current data privacy best practices and the cost of security implementation. Subject to guidelines as the Commission may issue from time to time, the measures implemented must include:
 - ✓ Safeguards to protect its computer network against accidental, unlawful or unauthorized usage or interference with or hindering of their functioning or availability.
 - ✓ A security policy with respect to the processing of personal information.

- ✓ A process for identifying and accessing reasonably foreseeable vulnerabilities in its computer networks, and for taking preventive, corrective and mitigating action against security incidents that can lead to a security breach.
- ✓ Regular monitoring for security breaches and a process for taking preventive, corrective and mitigating action against security incidents that can lead to a security breach.

- The personal information controller must further ensure that third parties processing personal information on its behalf shall implement the security measures required by this provision.
- The employees, agents or representatives of a personal information controller who are involved in the processing of personal information shall operate and hold personal information under strict confidentiality if the personal information are not intended for public disclosure. This obligation shall continue even after leaving the public service, transfer to another position or upon termination of employment or contractual relations.
- The personal information controller shall promptly notify the Commission and affected data subjects when sensitive personal information or other information that may, under the circumstances, be used to enable identify fraud are reasonably believed to have been acquired by an unauthorized person, and the personal information controller or the Commission believes that such unauthorized acquisition is likely to give rise to a real risk of serious harm to any affected data subject.
- The notification shall at least describe the nature of the breach, the sensitive personal information possibly involved, and the measures taken by the entity to address the breach. Notification may be delayed only to the extent necessary to determine the scope of the breach, to prevent further disclosures, or to restore reasonable integrity to the information and communication system.
- ✓ In evaluating if notification is unwarranted, the Commission may take into account compliance by the personal information controller with this section and existence of good faith in the acquisition of personal information.
- ✓ The Commission may exempt a personal information controller from notification where in its reasonable judgment, such notification would not be in the public interest or in the interests of the affected data subjects.
- ✓ The Commission may authorize postponement of notification where it may hinder the progress of a criminal investigation related to a serious breach.

Accountability of Personal Information Controller for Transfer of Personal Information

- o Each personal information controller is responsible for personal information under its control or custody, including information that have been transferred to a third party for processing, whether domestically or internationally subject to cross-border arrangement and cooperation.
- o The personal information controller is accountable for complying with the requirements of this Act and shall use contractual or other reasonable means to provide a comparable level of protection while the information are being processed by a third party.
- o The personal information controller shall designate an individual or individuals who are accountable for the organization's compliance with this Act. The identity of the individual(s) so designated shall be made known to any data subject upon request.

-- END --

DATA PRIVACY ACT

1. It refers to any information whether recorded in a material form or not, from which the identity of an individual is apparent or can be reasonably and directly ascertained by the entity holding the information, or when put together with other information would directly and certainly identify an individual
 - a. Public information
 - b. Private information
 - c. Personal information
 - d. Individual information
2. It refers to an individual whose personal information is processed
 - a. Data object
 - b. Data prestation
 - c. Data subject
 - d. None of the above
3. It refers to any freely given, specific, informed indication of will, whereby the data subject agrees to the collection and processing of personal information about and/or relating to him or her
 - a. Consent of the data subject
 - b. Object of the data subject
 - c. Cause of the data subject
 - d. None of the above

4. [SKIP]

5. It refers to a person or organization who controls the collection, holding, processing or use of personal information, including a person or organization who instructs another person or organization to collect, hold, process, use, transfer, or disclose personal information on his or her behalf
 - a. Private information controller
 - b. Personal information controller
 - c. Public information controller
 - d. Individual information controller
6. It refers to any natural or juridical person qualified to act as such under the Data Privacy Act of 2012 to whom a personal information controller may outsource the processing of personal data pertaining to a data subject
 - a. Private information controller
 - b. Public information controller
 - c. Individual information controller
 - d. Personal information controller

Note: Answer should be Personal information processor

Rationale: Data Privacy Act, Sec. 3 (i) Personal information processor refers to any natural or juridical person qualified to act as such under this Act to whom a personal information controller may outsource the processing of personal data pertaining to a data subject.

7. Which of the following is considered a sensitive personal information?
 - a. Information about an individual's business, company, business venture and profitable transactions
 - b. Information about an individual's Facebook public profile picture and display photo
 - c. Information about an individual's Instagram public account and public twitter account
 - d. Information about an individual's race, ethnic origin, marital status, age, color, and religious, philosophical or political affiliations
8. Which of the following is not considered a sensitive personal information?
 - a. Information about an individual's health, education, genetic or sexual life of a person, or to any proceeding for any offense committed or alleged to have been committed by such person, the disposal of such proceedings, or the sentence of any court in such proceedings
 - b. Information issued by government agencies peculiar to an individual which includes, but not limited to, social security numbers, previous or current health records, licenses or its denials, suspension or revocation, and tax returns
 - c. Information specifically established by an executive order or an act of Congress to be kept classified
 - d. Information about the platform of a candidate for national elective position that is discussed in a public debate televised in national television network
9. It refers to any and all forms of data which under the Rules of Court and other pertinent laws constitute privileged communication
 - a. Confidential information
 - b. Privileged information
 - c. Sensitive information
 - d. Personal information
10. Data Privacy Act applies to:

Statement I: The processing of all types of personal information

Statement II: To any natural and juridical person involved in personal information processing including those personal information controllers and processors who, although not found or established in the Philippines,



use equipment that are located in the Philippines, or those who maintain an office, branch or agency in the Philippines

- a. Only Statement I is true
- b. Only Statement II is true
- c. Both are true
- d. Both are false

11. Data Privacy Act does not apply to

- a. Information about an individual who is or was performing service under contract for a government institution that relates to the services performed, including the terms of the contract, and the name of the individual given in the course of the performance of those services
- b. Information relating to any discretionary benefit of a financial nature such as the granting of a license or permit given by the government to an individual, including the name of the individual and the exact nature of the benefit
- c. Personal information processed for journalistic, artistic, literary or research purposes
- d. Personal information originally collected from residents of foreign jurisdictions in accordance with the laws of those foreign jurisdictions, including any applicable data privacy laws, which is being processed in the Philippines
- e. All of the above

12. Data Privacy Act applies to an act done or practice engaged in and outside of the Philippines by an entity if:
Statement I: The act, practice or processing relates to personal information about a Philippine citizen or a resident

Statement II: The entity has a link with the Philippines, and the entity is processing personal information in the Philippines or even if the processing is outside the Philippines as long as it is about Philippine citizens or residents

- a. Only Statement I is true
- b. Only Statement II is true
- c. Both are true
- d. Both are false

13. Under the Data Privacy Act, personal information must be

- a. Processed unfairly and illegally
- b. Inadequate and excessive in relation to the purposes for which they are collected and processed
- c. Retained as long as possible despite the retention period necessary for the fulfillment of the purposes for which the data was obtained or for the establishment, exercise or defense of legal claims, or for legitimate business purposes, or as provided by law
- d. Collected for specified and legitimate purposes determined and declared before, or as soon as reasonably practicable after collection and later processed in a way compatible with such declared, specified and legitimate purposes only

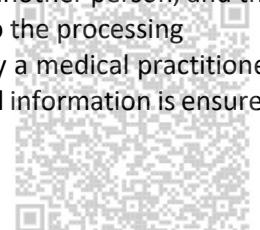
14. The processing of personal information shall be permitted only if not otherwise prohibited by law, and when at least one of the following conditions exists. Which is not one of the conditions?

- a. The processing of personal information is necessary and is related to the fulfillment of a contract with the data subject on in order to take steps at the request of the data subject prior to entering into a contract
- b. The processing is necessary for compliance with a legal obligation to which the personal information controller is subject
- c. The data subject need not necessarily give his or her consent
- d. The processing is necessary to protect vitally important interests of the data subject, including life and health

Note: According to section 12 of DPA, consent is only one of the several possible conditions that allows for lawful processing of personal information. So, it seems that consent need not actually be given.

15. The processing of sensitive personal information and privileged information shall be prohibited, except in the following cases

- a. The data subject has given his or her consent, specific to the purpose prior to the processing on in the case of privileged information, all parties to the exchange have given their consent prior to processing
- b. The processing is necessary to protect the life and health of the data subject or another person, and the data subject is not legally or physically able to express his or her consent prior to the processing
- c. The processing is necessary for purposes of medical treatment, is carried out by a medical practitioner or a medical treatment institution, and an adequate level of protection of personal information is ensured
- d. All of the above



16. The following are the rights of the data subject, except
- Be informed whether personal information pertaining to him or her shall be, are being or have been processed
 - Dispute the inaccuracy or error in the personal information and have the personal information controller correct it immediately and accordingly, unless the request is vexatious or otherwise unreasonable
 - Suspend, withdraw or order the blocking, removal or destruction of his or her personal information from the personal information of the controller's filing system upon discovery and substantial proof that the personal information are incomplete, outdated, false, unlawfully obtained, used for unauthorized purposes or are no longer necessary for the purposes for which they were collected
 - None of the above
17. Statement I: The lawful heirs and assigns of the data subject may invoke the rights of the data subject for, which he or she is an heir or assignee at any time after the death of the data subject or when the data subject is incapacitated
Statement II: The data subject shall have the right, where personal information is processed by electronic means and in a structured and commonly used format, to obtain from the personal information controller a copy of data undergoing processing in an electronic or structured format, which is commonly used and allows for further use by the data subject
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
18. Statement I: The personal information controller must implement reasonable and appropriate organizational, physical and technical measures intended for the protection of personal information against any accidental or unlawful destruction, alteration and disclosures, as well as against any other unlawful processing
Statement II: The personal information controller shall implement reasonable and appropriate measures to protect personal information against natural dangers such as accidental loss or destruction, and human dangers such as unlawful access, fraudulent misuse, unlawful destruction, alteration and contamination
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
19. Statement I: The employees, agents, or representative of a personal information controller who are involved in the processing of personal information shall operate and hold personal information under strict confidentiality if the personal information are not intended for public disclosure
Statement II: The personal information controller must further ensure that third parties processing personal information on its behalf shall implement the security measures
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
20. Statement I: Each personal information controller is responsible for personal information under its control or custody, including information that have been transferred to a third party for processing, whether domestically or internationally, subject to cross-border arrangement and cooperation
Statement II: The personal information controller shall designate an individual or individuals who are accountable for the organization's compliance with the Data Privacy Act. The identify of the individual(s) so designated shall be made known to any data subject upon request
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
21. Statement I: All sensitive personal information maintained by the government, its agencies and instrumentalities shall be secured, as far as practicable, with the use of the most appropriate standard recognized by the information and communications technology industry
Statement II: The head of each government agency or instrumentality shall be responsible for complying with the security requirements
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
22. Statement I: No employee of the government shall have access to sensitive personal information on government property or through online facilities unless the employee has received a security clearance from the head of the source agency
Statement II: Sensitive personal information maintained by an agency may not be transported or accessed from a location off government property unless a request for such transportation or access is submitted and approved by the head of the agency



- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
23. Which of the following is not a general data privacy principle?
- a. Personal information must be collected for specified and legitimate purposes determined and declared before, or as soon as reasonably practicable after collection, and later processed in a way compatible with such declared, specified and legitimate purposes only
 - b. Personal information must be disclosed for commercial purposes even without the consent of data subject
 - c. Personal information must be processed fairly and lawfully
 - d. Personal information must be accurate, relevant and, where necessary for purposes for which it is to be used the processing of personal information, kept up to date; inaccurate or incomplete data must be rectified, supplemented, destroyed or their further processing restricted
24. Which of the following is not a general data privacy principle?
- a. Personal information must be adequate and not excessive in relation to the purposes for which they are collected and processed
 - b. Personal information must be processed surreptitiously to achieve the objective of the company
 - c. Personal information must be retained only for as long as necessary for the fulfillment of the purposes for which the data was obtained or for the establishment, exercise or defense of legal claims, or for legitimate business purposes, or as provided by law
 - d. Personal information must be kept in a form which permits identification of data subjects for no longer than is necessary for the purposes for which the data were collected and processed
25. Which of the following is not a criterion for lawful processing of personal information?
- a. The data subject has given his or her consent
 - b. The processing of personal information is necessary and is related to the fulfillment of a contract with the data subject or in order to take steps at the request of the data subject prior to entering into a contract
 - c. The processing is necessary in order to take undue advantage on the personal information of the data subject
 - d. The processing is necessary for compliance with a legal obligation to which the personal information controller is subject
26. Which of the following is not a criterion for lawful processing of personal information?
- a. The processing is necessary to protect vitally important interests of the data subject, including life and health
 - b. The processing is necessary in order to respond to national emergency, to comply with the requirements of public order and safety, or to fulfill functions of public authority which necessarily includes the processing of personal data for the fulfillment of its mandate
 - c. The processing pertains to sensitive personal information of the data subject without the consent of the data subject
 - d. The processing is necessary for the purposes of the legitimate interests pursued by the personal information controller or by a third party or parties to whom the data is disclosed, except where such interests are overridden by fundamental rights and freedoms of the data subject which require protection under the Philippine Constitution
27. What is the principle about the processing of sensitive personal information and privileged information or communication?
- a. As a general rule, the processing of sensitive personal information and privileged information shall be allowed except to those prohibited by Data Privacy Act
 - b. The processing of sensitive personal information and privileged information shall be absolutely prohibited
 - c. The processing of sensitive personal information and privileged information shall be absolutely allowed
 - d. As a general rule, the processing of sensitive personal information and privileged information shall be prohibited except to those allowed by Data Privacy Act
28. Which of the following is not a right of Data Subject under Data Privacy Act?
- a. Right to question the decision made by the data controller regarding act of management or act of administration of the corporation
 - b. Right to be informed whether personal information pertaining to him or her shall be, are being or have been processed



- c. Right to be furnished the information indicated hereunder before the entry of his or her personal information into the processing system of the personal information controller, or at the next practical opportunity
 - d. Right to have reasonable access to, upon demand, the information being processed by the data controller
29. Which of the following is not a right of Data Subject under Data Privacy Act?
- a. Right to dispute the inaccuracy or error in the personal information and have the personal information controller correct it immediately and accordingly, unless the request is vexatious or otherwise unreasonable
 - b. Right to suspend, withdraw or order the blocking, removal or destruction of his or her personal information from the personal information controller's filing system upon discovery and substantial proof that the personal information are incomplete, outdated, false, unlawfully obtained, used for unauthorized purposes or are no longer necessary for the purposes for which they were collected
 - c. Right to be indemnified for any damages sustained due to such inaccurate, incomplete, outdated, false, unlawfully obtained or unauthorized use of personal information
 - d. Right to inspect or access the personal information of other data subject
30. What is the difference between the data privacy and data protection?
- a. Data privacy refers to a person while data protection refers to the technology
 - b. Data privacy refers to the technical rules and regulations while data protection refers to substantive laws
 - c. Data privacy refers to technology while data protection refers to legal principles
 - d. Data privacy refers to the rights of the data subject while data protection refers to the means employed to protects the rights of the data subject
31. This principle means that the data subject shall have the right, where personal information is processed by electronic means and in a structured and commonly used format, to obtain from the personal information controller a copy of data undergoing processing in an electronic or structured format, which is commonly used and allows for further use by the data subject
- a. Transmissibility of rights
 - b. Extraterritorial application of Data Privacy Act
 - c. Right to data portability
 - d. Confidentiality of personal information
32. What is the obligation of National Privacy Commission regarding any personal information that comes to its knowledge and possession?
- a. It shall disclose such personal information without the consent of data subject
 - b. It shall sell such personal information for commercial purposes
 - c. It shall at all times ensure the confidentiality of such personal information
 - d. It shall use such personal information for public persecution
33. Who is National Privacy Commission's head that shall also act as the National Privacy Commission Chairman?
- a. Privacy Chairperson
 - b. Privacy Director
 - c. Privacy Administrator
 - d. Privacy Commissioner
34. Who shall assist the Privacy Commissioner of National Privacy Commission?
- a. Two Assistant Privacy Commissioner, one to be responsible for Data Processing Systems and to be responsible for Policies and Planning
 - b. Two Deputy Privacy Commissioner, one to be responsible for Data Processing Systems and to be responsible for Policies and Planning
 - c. Two Vice Privacy Commissioner, one to be responsible for Data Processing Systems and to be responsible for Policies and Planning
 - d. Two Under Privacy Commissioner, one to be responsible for Data Processing Systems and to be responsible for Policies and Planning
35. Who has the authority to appoint the Privacy Commissioner and the two Deputy Privacy Commissioners?
- a. President of the Republic of the Philippines
 - b. Department of Information and Communication Technology (DICT) Secretary
 - c. Department of Justice Secretary
 - d. Commission of Human Rights (CHR) Chairman
36. What is the term of office of Privacy Commissioner and the two Deputy Privacy Commissioner?
- a. Term of three (3) years and may be reappointed for another term of three (3) years
 - b. Term of six (6) years but ineligible for reappointment
 - c. Term of seven (7) years but ineligible for reappointment



- d. Term of four (4) years and may be reappointed for another term of four (4) years
37. Which of the following is not a qualification of Privacy Commissioner?
- He must be at least 35 years of age
 - He must be of good moral character, unquestionable integrity and known probity
 - He must be a recognized expert in the field of information technology and data privacy
 - He must be a holder of Doctor of Philosophy (PhD) in the field of information technology and data privacy
38. Statement I: The unauthorized processing of personal information shall be penalized by imprisonment ranging from 1 year to 3 years and a fine of not less than P500,000 but not more than P2,000,000 shall be imposed on persons who process personal information without the consent of the data subject, or without being authorized
Statement II: The unauthorized processing of personal sensitive information shall be penalized by imprisonment ranging from 3 years to 6 years and a fine of not less than P500,000 but not more than P4,000,000 shall be imposed on persons who process personal information without the consent of the data subject, or without being authorized
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
39. Statement I: The improper disposal of personal information shall be penalized by imprisonment ranging from 6 months to 2 years and a fine of not less than P100,000 but not more than P500,000 shall be imposed on persons who knowingly or negligently dispose, discard or abandon the personal information of an individual in an area accessible to the public or has otherwise placed the personal information of an individual in its container for trash collection
Statement II: The improper disposal of sensitive personal information shall be penalized by imprisonment ranging from 1 year to 3 years and a fine of not less than P100,000 but not more than P1,000,000 shall be imposed on persons who knowingly or negligently dispose, discard or abandon the personal information of an individual in an area accessible to the public or has otherwise placed the personal information of an individual in its container for trash collection
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
40. Statement I: The processing of personal information for unauthorized purposes shall be penalized by imprisonment ranging from 1 year and 6 months to 5 years and a fine of not less than P500,000 but not more than P1,000,000 shall be imposed on persons processing personal information for purposes not authorized by the data subject or otherwise authorized
Statement II: The processing of sensitive personal information for unauthorized purposes shall be penalized by imprisonment ranging from 2 years to 7 years and a fine of not less than P500,000 but not more than P2,000,000 shall be imposed on persons processing sensitive personal information for purposes not authorized by the data subject, or otherwise authorized
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false



ELECTRONIC COMMERCE ACT OF 2000
(R.A. NO. 8792)

- **Policies of the State** – The state recognizes the vital role of information and communications technology (ICT) in nation-building; the need to create an information - friendly environment which supports and ensures the availability, diversity and affordability of ICT products and services; the primary responsibility of the private sector in contributing investments and services in telecommunications and information technology; the need to develop, with appropriate training programs and institutional policy changes, human resources for the information technology age, a labor force skilled in the use of ICT and a population capable of operating and utilizing electronic appliances and computers; its obligation to facilitate the transfer and promotion of technology; to ensure network security, connectivity and neutrality of technology for the national benefit; and the need to marshal, organize and deploy national information infrastructures, comprising in both telecommunications network and strategic information services, including their interconnection to the global information networks, with the necessary and appropriate legal, financial, diplomatic and technical framework, systems and facilities.
- **Objective of the Law** – the law aims to facilitate domestic and international dealings, transactions, arrangements, agreements, contracts and exchanges and storage of information through the utilization of electronic, optical and similar medium, mode, instrumentality and technology to recognize the authenticity and reliability of electronic document related to such activities and to promote the universal use of electronic transaction in the government and general public.
- **Coverage or Sphere of Application of Law** – The law shall apply to any kind of data message and electronic document used in the context of commercial and non-commercial activities to include domestic and international dealings, transactions, arrangements, agreements, contracts and exchanges and storage of information.
- **Definition of Terms**
 - **Addressee** – refers to a person who is intended by the originator to receive the electronic data message or electronic document. The term does not include a person acting as an intermediary with respect to that electronic data message or electronic data document.
 - **Computer** – refers to any device or apparatus which, by electronic, electro-mechanical, or magnetic impulse, or by other means, is capable of receiving, recording, transmitting, storing, processing, retrieving, or producing information, data, figures, symbols or other modes of written expression according to mathematical and logical rules or of performing any one or more of these functions.
 - **Electronic Data Message** – refers to information generated, sent, received or stored by electronic, optical or similar means.
 - **Information and Communications System** – refers to a system intended for and capable of generating, sending, receiving, storing or otherwise processing electronic data messages or electronic documents and includes the computer system or other similar device by or in which data is recorded or stored and any procedures related to the recording or storage of electronic data message or electronic document.
 - **Electronic Signature** refers to any distinctive mark, characteristic and/or sound in electronic form, representing the identity of a person and attached to or logically associated with the electronic data message or electronic document or any methodology or procedures employed or adopted by a person and executed or adopted by such

person with the intention of authenticating or approving an electronic data message or electronic document.

- **Electronic Document** – refers to information or the representation of information, data, figures, symbols or other modes of written expression, described or however represented, by which a right is established or an obligation extinguished, or by which a fact may be prove and affirmed, which is receive, recorded, transmitted, stored, processed, retrieved or produced electronically.
- **Electronic Key** – refers to a secret code which secures and defends sensitive information that cross over public channels into a form decipherable only with a matching electronic key.
- **Intermediary** – refers to a person who in behalf of another person and with respect to a particular electronic document sends, receives and/or stores provides other services in respect of that electronic data message or electronic document.
- **Originator** – refers to a person by whom, or on whose behalf, the electronic document purports to have been created, generated and/or sent. The term does not include a person acting as an intermediary with respect to that electronic document.
- **Service Provider** refers to a provider of –
 - ✓ **On-line services or network access** or the operator of facilities therefore, including entities offering the transmission, routing, or providing of connections for online communications, digital or otherwise, between or among points specified by a user, of electronic documents of the user's choosing; or
 - ✓ The **necessary technical means** by which electronic documents of an originator may be stored and made accessible to designated or undesignated third party.

Formation of Validity of Electronic Contracts

- Except as otherwise agreed by the parties, an offer, the acceptance of an offer and such other elements required under existing laws for the formation of contracts may be expressed in, demonstrated and proved by means of electronic data messages or electronic documents and no contract shall be denied validity or enforceability on the sole ground that it is in the form of an electronic data message or electronic document or that any or all of the elements required under existing laws for the formation of contracts is expressed, demonstrated and proved by means of electronic data, messages or electronic documents.
- Electronic transactions made through networking among banks, or linkages thereof with other entities or networks, and vice versa, shall be deemed consummated upon, the actual dispensing of cash or the debit of one account and the corresponding credit to another, whether such transaction is initiated by the depositor or by an authorized collecting party: Provided, that the obligation of one bank, entity, or person similarly situated to another arising therefrom shall be considered absolute and shall not be subjected to the process of preference of credits.

Recognition of Parties of Electronic Data Message or Electronic Document

- As between the originator and the addressee of an electronic data message or electronic document, a declaration of will or other statement shall not be denied legal effect, validity or enforceability solely on the ground that it is in the form of an electronic data message.

-- END --



ELECTRONIC COMMERCE ACT

1. Statement I: Electronic Commerce Act aims to facilitate domestic and international dealings, transactions, arrangements, agreements, contracts and exchanges, and storage of information, through the utilization of electronic, optical and similar medium, mode, instrumentality and technology to recognize the authenticity and reliability of electronic documents related to such activities and to promote the universal use of electronic transaction in the government and general public
Statement II: Electronic Commerce Act shall apply to any kind of data message and electronic document used in the context of commercial and non-commercial activities to include domestic and international dealings, transactions, arrangement, agreements, contracts and exchanges and storage of information
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
2. It refers to a system intended for and capable of generating, sending, receiving, storing or otherwise processing electronic data messages of electronic documents and includes the computer system or other similar device by or in which data is recorded or stored and any procedures related to the recording or storage of electronic data message or electronic document
 - a. Electronic Data System
 - b. Information and Communication System
 - c. Computer System
 - d. Data Processor System
3. It refers to any device or apparatus which, by electronic, electro-mechanical, or magnetic impulse, or by other means, is capable of receiving, recording, transmitting, storing, processing, retrieving or producing information, data, figures, symbols, or other modes of written expression according to mathematical and logical rules or of performing any one or more of these functions
 - a. System
 - b. Computer
 - c. Data processor
 - d. Notebook
4. It refers to information generated, sent, received, or stored by electronic, optical or similar means
 - a. Electronic Information
 - b. Electronic Data Message
 - c. Electronic Communication
 - d. None of the above
5. It refers to a person who is intended by the originator to receive the electronic data message or electronic document
 - a. Sender
 - b. Recipient
 - c. Addressee
 - d. None of the above
6. It refers to any distinctive mark, characteristic and/or sound in electronic form, representing the identity of a person and attached to or logically associated with the electronic data message or electronic document or any methodology or procedures employed or adopted by a person and executed or adopted by such person with the intention of authenticating or approving an electronic data message or electronic document
 - a. Electronic Trademark
 - b. Electronic Name
 - c. Electronic Signature
 - d. Electronic Copyright
7. It refers to information or the representation of information, data, figures, symbols or other modes of written expression, described or however represented, by which a right is established or an obligation extinguished, or by which a fact may be proved and affirmed, which is receive, recorded, transmitted, stored, processed, retrieved, or produced electronically
 - a. Electronic File
 - b. Electronic Paper
 - c. Electronic Document
 - d. Electronic Data
8. It refers to a secret code which secures and defends sensitive information that cross over public channels into a form decipherable only with a matching electronic key
 - a. Electronic Code
 - b. Electronic Password
 - c. Electronic Key
 - d. Electronic Answer
9. It refers to a person by whom, or on whose behalf, the electronic document purports to have been created, generated and/or sent
 - a. Creator
 - b. Maker
 - c. Inventor
 - d. Originator



10. It refers to a person who in behalf of another person and with respect to a particular electronic document sends, receives, and/or stores provides other services in respect of that electronic data message or electronic document
 - a. Messenger
 - b. Arbitrator
 - c. Intermediary
 - d. Mediator

11. Service provider refers to a provider of:

Statement I: On-line services or network access or the operator or facilities therefor, including entities offering the transmission, routing, or providing of connections for online communications, digital or otherwise, between or among points specified by a user, of electronic documents of the user's choosing

Statement II: The necessary technical means by which electronic documents of an originator may be stored and made accessible to designated or undesignated third party

 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false

12. Statement I: Information shall not be denied legal effect, validity, or enforceability solely on the grounds that it is in the data message purporting to give rise to such legal effect, or that it is merely referred to in that electronic data message

Statement II: Electronic documents shall have the legal effect, validity or enforceability as any other document or legal writing

 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false

13. In any proceedings involving an electronic signature, it shall be presumed that:

Statement I: The electronic signature is the signature of the person to whom it correlates

Statement II: The electronic signature was affixed by that person with the intention of signing or approving the electronic document unless the person relying on the electronically signed electronic document knows or has noticed of defects in or unreliability of the signature or reliance on the electronic signature is not reasonable under the circumstances

 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false

14. Where the law requires information to be presented or retained in its original form, that requirement is met by an electronic data message or electronic document if;

Statement I: The integrity of the information from the time when it was first generated in its final form, as an electronic data message or electronic document is shown by evidence aliunde or otherwise; and

Statement II: Where it is required that information be presented, that the information is capable of being displayed to the person to whom it is to be presented

 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false

15. In the absence of evidence to the contrary, the integrity of the information and communication system in which an electronic data message or electronic document is recorded or stored may be established in any legal proceeding
 - a. By evidence that at all material times the information and communication system or other similar device was operating in a manner that did not affect the integrity of the electronic data message and/or electronic document, and there are no other reasonable grounds to doubt the integrity of the information and communication system
 - b. By showing that the electronic data message and/or electronic document was recorded or stored by a party to the proceedings who is adverse in interest to the party using it; or
 - c. By showing that the electronic data message and/or electronic document was recorded or stored in the usual and ordinary course of business by a person who is not a party to the proceedings and who did not act under the control of the party using the record
 - d. All of the above

16. In any legal proceedings, nothing in the application of the rules on evidence shall deny the admissibility of an electronic data message or electronic document in evidence

Statement I: On the sole ground that it is in electronic form

Statement II: On the ground that it is not in the standard written form

 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false



17. Statement I: The person seeking to introduce an electronic data message or electronic document in any legal proceeding has the burden of proving its authenticity by evidence capable of supporting a finding that the electronic data message or electronic document is what the person claims it to be
Statement II: In assessing the evidential weight of an electronic data message or electronic document, the reliability of the manner in which it was generated, stored or communicated, the reliability of the manner in which its originator was identified, and other relevant factors shall be given due regard
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
18. The requirement in any provision of law that certain documents be retained in their original form is satisfied by retaining them in the form of an electronic data message or electronic document which
- Remains accessible so as to be usable for subsequent reference
 - Is retained in the format in which it was generated, sent or received, or in a format which can be demonstrated to accurately represent the electronic data message or electronic document generated, sent or received
 - Enables the identification of its originator and addressee, as well as the determination of the date and the time it was sent or received
 - All of the above
19. Statement I: In assessing the evidential weight of an electronic data message or electronic document, the reliability of the manner in which it was generated, stored or communicated, the reliability of the manner in which its originator was identified, and other relevant factors shall be given due regard
Statement II: As between the originator and the addressee of an electronic data message or electronic document, a declaration of will or other statement shall not be denied legal effect, validity or enforceability solely on the ground that it is in the form of an electronic data message
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
20. Statement I: An electronic data message or electronic document is that of the originator if it was sent by the originator himself
Statement II: Where an electronic data message or electronic document is that of the originator or is deemed to be that of the originator, or the addressee is entitled to act on that assumption, then, as between the originator and the addressee, the addressee is entitled to act on that assumption, then, as between the originator and the addressee, the addressee is entitled to regard the electronic data message or electronic document as received as being what the originator intended to send, and to act on that assumption
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
21. As between the originator and the addressee, an electronic data message or electronic document is deemed to be that of the originator if it was sent:
Statement I: By a person who had the authority to act on behalf of the originator with respect to that electronic data message or electronic document
Statement II: By an information system programmed by, or on behalf of the originator to operate automatically
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
22. Statement I: Unless otherwise agreed between the originator and the addressee, the dispatch of an electronic data message or electronic document occurs when it enters an information system outside the control of the originator or of the person who sent the electronic data message or electronic document on behalf of the originator
Statement II: Unless otherwise agreed between the originator and the addressee, an electronic data message or electronic document is deemed to be dispatched at the place where the originator has its place of business and received at the place where the addressee has its place of business
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false



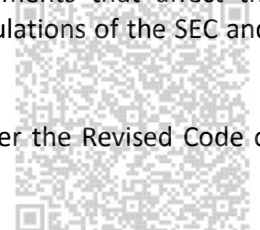
CODE OF CORPORATE GOVERNANCE

1. It refers to the framework of rules, systems and processes in the corporation that governs the performance by the Board of Directors and Management of their respective duties and responsibilities to the stockholders
 - a. Corporate by-laws
 - b. Articles of incorporation
 - c. Corporate governance
 - d. Corporate regulation
2. Which of the following companies is covered by the Revised Code of Corporate Governance?
 - a. Close corporation
 - b. Closely held corporation
 - c. Barangay Micro Business Enterprise
 - d. Corporation whose equity securities are listed on an exchange market
3. Which of the following companies is not covered by the Revised Code of Corporate Governance?
 - a. Small and Medium Enterprises (SMEs)
 - b. Corporation that sells equity and/or debt securities to the public that are required to be registered with the SEC
 - c. Corporation that has assets in excess of P50,000,000 and at least 200 stockholders who own at least 100 shares each of equity securities
 - d. Corporation that is a grantee of secondary licenses from SEC
4. How many independent directors must be present in a corporation covered by Revised Code of Corporate Governance?
 - a. One independent director
 - b. Two independent directors
 - c. Three independent directors
 - d. Four independent directors

Answer could be either B or C

Rationale: According to Recommendation 5.1, SEC MC 19-2016 there should be at least 3 or 1/3 of the members of the board, whichever is higher.

5. In addition to the qualifications provided by the Corporate Code of the Philippines, what qualifications of a member of the Board of Directors may be provided by the Corporation in accordance to Revised Code of Corporate Governance?
 - a. Practical understanding of the business of the corporation
 - b. Membership in good standing in relevant industry, business or professional organizations
 - c. Previous business experience
 - d. All of the above
6. What is the nature of the office of a director?
 - a. It is one of independence
 - b. It is one for public interest
 - c. It is one of trust and confidence
 - d. It is one for creditor's interest
7. Which of the following is a responsibility of a director of a corporation?
 - a. He should act in the best interest of the corporation in a manner characterized by transparency, accountability and fairness
 - b. He should also exercise leadership, prudence and integrity in directing the corporation towards sustained progress
 - c. Both A and B
 - d. Neither A nor B
8. Which of the following is not a responsibility of a director of a corporation?
 - a. He must conduct fair business transactions with the corporation, and ensure that his personal interest does not conflict with the interests of the corporation
 - b. He must devote the time and attention necessary to properly and effectively perform his duties and responsibilities
 - c. He must act injudiciously and exercise judgment dependent on other corporate directors
 - d. He must have a working knowledge of the statutory and regulatory requirements that affect the corporation, including its articles of incorporation and by-laws, the rules and regulations of the SEC and, where applicable, the requirements of relevant regulatory agencies
9. Which of the following is a ground for permanent disqualification of a director under the Revised Code of Corporate Governance?
 - a. Any director charged of crimes involving violation of Securities Regulation Code
 - b. Any director accused of violation of the Corporation Code



- c. Attainment of doctorate degree in a university
 - d. Conviction by final judgment of an offense punishable by imprisonment for more than six (6) years
10. Which of the following is a ground for permanent disqualification of a director under the Revised Code of Corporate Governance?
- a. Absence in more than 50% of all regular and special meetings of the Board during his incumbency
 - b. Any director charged of crimes involving violation of Securities Regulation Code
 - c. Refusal to comply with the disclosure requirements of the Securities Regulation Code and its Implementing Rules and Regulations
 - d. Any person earlier elected as independent director who becomes an officer, employee or consultant of the same corporation
11. Which of the following is a ground for temporary disqualification of a director under the Revised Code of Corporate Governance?
- a. Any person judicially declared as insolvent
 - b. Any person found guilty by final judgment or order of a foreign court or equivalent financial regulatory authority of fraudulent acts
 - c. Any person convicted by final judgment or order by a court or competent administrative body of an offense involving moral turpitude, fraud, embezzlement, theft, estafa, counterfeiting, misappropriation, forgery, bribery, false affirmation, perjury or other fraudulent acts
 - d. Absence for any 12-month period during his incumbency
12. He refers to a corporate officer who must monitor compliance by the corporation with Revised Code of Corporate Governance and the rules and regulations of regulatory agencies and, if any violations are found, report the matter to the Board of Directors and recommend the imposition of appropriate disciplinary action on the responsible parties and the adoption of measures to prevent a repetition of the violation
- a. Independent director
 - b. Compliance officer
 - c. Controller
 - d. Treasurer
13. Statement I: The audit committee refers to an executive committee with the responsibility to assist the Board of Directors in the performance of its oversight responsibility for the financial reporting process, system of internal control, audit process, and monitoring of compliance with applicable laws, rules and regulations
Statement II: The minimum composition of audit committee of a corporation is at least three directors who shall preferably have accounting and finance backgrounds, one of whom shall be an independent director and another with audit experience
- a. Both statements are true
 - b. Only Statement I is true
 - c. Only Statement II is true
 - d. Both statements are false
14. Statement I: The chairman of the audit committee of a corporation is an independent director
Statement II: The compliance officer reports directly to the Chairman of the board of directors
- a. Both statements are true
 - b. Only Statement I is true
 - c. Only Statement II is true
 - d. Both statements are false

Suggested Answer: a

Rationale: Statement II is found in par. M, Article 3 of MC 6 2009. However, in subsequent issuances, MC 19-2016 and MC 24-2019, it is explicitly stated that the Compliance Officer is "primarily responsible to the corporation and its shareholders, and NOT to the chairperson or president of the company." (see Explanation of Recommendation 1.6 in both issuances)

15. Statement I: The period for submission or filing to SEC of Audited Financial Statements (AFS) of a corporation whose fiscal year ends on a date other than December 31 is within 120 calendar days from the end of fiscal year
Statement II: The General Information Sheet (GIS) of a corporation shall be filed to SEC within 30 calendar days from the date of actual meeting of stockholders or members
- a. Both statements are true
 - b. Only Statement I is true
 - c. Only Statement II is true
 - d. Both statements are false



IDENTIFICATION

1. Board of Directors – the governing body elected by the stockholders that exercises the corporate powers of a corporation, conducts all its business and controls its properties.
2. Management – a group of executives given the authority by the Board of Directors to implement the policies it has laid down in the conduct of the business of the corporation.
3. Independent director – a person who is independent of management and the controlling shareholder, and is free from any business or other relationship which could, or could reasonably be perceived to, materially interfere with his exercise of independent judgment in carrying out his responsibilities as a director.
4. Executive director – a director who has executive responsibility of day-to-day operations of a part or the whole of the organization.
5. Non-executive director – a director who has no executive responsibility and does not perform any work related to the operations of the corporation.
6. Conglomerate – a group of corporations that has diversified business activities in varied industries, whereby the operations of such businesses are controlled and managed by a parent corporate entity.
7. Internal control – a process designed and effected by the board of directors, senior management, and all levels of personnel to provide reasonable assurance on the achievement of objectives through efficient and effective operations; reliable, complete and timely financial and management information; and compliance with applicable laws, regulations, and the organization's policies and procedures.
8. Enterprise Risk Management – a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise that is designed to identify potential events that may affect the entity, manage risks to be within its risk appetite, and provide reasonable assurance regarding the achievement of entity objectives.
9. Related Party – shall cover the company's subsidiaries, as well as affiliates and any party (including their subsidiaries, affiliates and special purpose entities), that the company exerts direct or indirect control over or that exerts direct or indirect control over the company; the company's directors; officers; shareholders and related interests (DOSRI), and their close family members, as well as corresponding persons in affiliated companies. This shall also include such other person or juridical entity whose interest may pose a potential conflict with the interest of the company.
10. Related Party Transactions – a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged. It should be interpreted broadly to include not only transactions that are entered into with related parties, but also outstanding transactions that are entered into with an unrelated party that subsequently becomes a related party.
11. Stakeholders – any individual, organization or society at large who can either affect and/or be affected by the company's strategies, policies, business decisions and operations, in general. This includes, among others, customers, creditors, employees, suppliers, investors, as well as the government and community in which it operates.



EASE OF DOING BUSINESS AND EFFICIENT GOVERNMENT SERVICE DELIVERY ACT OF 2018

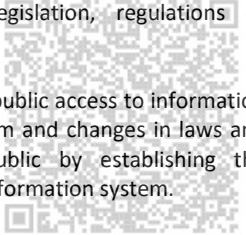
(R.A. NO. 11032)

- O **Policy of the State** - it is hereby declared that the policy of the State to promote integrity, accountability, proper management of public affairs and public property as well as to establish effective practices, aimed at efficient turnaround of the delivery of government services and the prevention of graft and corruption in the government. Towards this end, the State shall maintain honesty and responsibility among its public officials and employees, and shall take appropriate measures to promote transparency in each agency with regard to the manner of transacting with public, which shall encompass a program for the adoption of simplified requirements and procedures that will red tape and expedite business and nonbusiness related transactions in government.
- O **Coverage of the Law** – This Act shall apply to **all government offices and agencies** including local government units (LGUs), government-owned or controlled corporations and other government instrumentalities, whether located in the Philippines or abroad, that provides services covering business and nonbusiness related transactions as defined in this Act.
- O **Definition of Terms**
 - **Action** – refers to the written approval or disapproval made by a government office or agency on the application or request submitted by an applicant or requesting party for processing.
 - **Business One Stop Shop (BOSS)** – a single common site or location, or a single online website or portal designated for the Business Permits and Licensing System (BPLS) of an LGU to received and process applications, receive payments, and issue approved licenses, clearances, permits, or authorizations.
 - **Business-related transactions** – a set of regulatory requirements that a business entity must comply with to engage, operate or continue to operate a business, such as, but not limited to, collection or preparation of a number of documents, submission to national and local government authorities, approval of application submitted, and receipt of a formal certificate or certificates, permits, licenses which include primary and secondary, clearances and such similar authorization or documents which confer eligibility to operate or continue to operate as a legitimate business.
 - **Complex transactions** – applications or requests submitted by applicants or requesting parties of a government office which necessitate evaluation in the resolution of complicated issues by an officer or employee of said government office, such transactions to be determined by the office concerned.
 - **Fixer** – any individual whether or not officially involved in the operation of a government office or agency who has access to people working therein, and whether or not in collusion with them, facilitates speedy completion of transactions for pecuniary gain or any other advantages or consideration.
 - **Government service** – the process or transaction between applicants or requesting parties and government offices or agencies involving applications for any privilege, right, reward license, clearance, permit or authorization, concession, or for any modification, renewal or extension of the enumerated applications or requests which are acted upon in the ordinary course of business of the agency or office concerned.
 - **Highly technical application** – an application which request the use of technical knowledge, specialized skills and/or training in the processing and/or evaluation thereof.
 - **Nonbusiness transactions** – all other government transactions not falling under Section 4 of this Act.

- **Officer or employee** – a person employed in a government office or agency required to perform specific duties and responsibilities related to the application or **request** submitted by an applicant or requesting party for processing.
- **Processing time** – the **time consumed** by an LGU or national government agency (NGA) from the receipt of an application or request with complete requirements, accompanying documents and payment of fees to the issuance of certification of such similar documents approving or disapproving an application or request.
- **Red tape** – any regulation, rule or administrative procedure or system that is ineffective or detrimental in achieving its intended objectives and, as a result, produces slow, suboptimal and undesirable social outcomes.
- **Regulation** – any legal instrument that gives effect to a government policy intervention and includes licensing, imposing information obligation, compliance to standards or payment of any form of fee, levy, charge or any other statutory and regulatory requirements necessary to carry out activity.
- **Sample transactions** – applications or requests submitted by applicants or requesting parties of a government office or agency which only require ministerial actions on the part of the public officer or employee, or that which present only inconsequential issues for the resolution by an officer or employee of said government office.

Anti-Red Tape Authority

- ✓ Implement and oversee a national policy on anti-red tape and ease of doing business.
- ✓ Implement various case of doing business and anti-red tape reform initiatives aimed at improving the ranking of the Philippines.
- ✓ Monitor and evaluate the compliance of agencies covered under Section 3 of this Act, and issue notice of warning to erring and/or noncomplying government employees or officials.
- ✓ Initiate investigation, motu proprio or upon receipt of a complaint, refer the same to the appropriate agency, or file cases for violations of this Act.
- ✓ Assist complainants in filing necessary cases with the CSC, the Ombudsman and other appropriate courts, as the case may be.
- ✓ Recommend policies, processes and systems to improve regulatory management to increase the productivity, efficiency, and effectiveness of business permitting and licensing agencies.
- ✓ Review proposed major regulations of government agencies, using submitted regulatory impact assessments, subject to proportionality rules to be determined by the Authority.
- ✓ Conduct regulatory management training programs to capacitate NGAs and LGUs to comply with sound regulatory management practices.
- ✓ Prepare, in consultation with the appropriate agencies, regulatory management manuals for al government agencies and or instrumentalities and LGUs.
- ✓ Provide technical assistance and advisory opinions in the review of proposed national or local legislation, regulations or procedures.
- ✓ Ensure the dissemination of and public access to information on regulatory management system and changes in laws and regulations relevant to the public by establishing the Philippine Business Regulations Information system.



- ✓ Enlist the assistance of the CSC, DTI and other government agencies to the implementation of its power and functions provided for in this Act.
- ✓ Perform such acts as may be necessary to attain the objectives of this Act.
- o **Citizen's Charter** – All government agencies including departments, bureaus, offices, instrumentalities, or government-owned and/or controlled corporations or local LGUs shall set up their respective most current and updated service standards to be known as the Citizen's Charter in the form of information billboards which shall be posted at the main entrance of offices or at the most conspicuous place, in their respective websites and in the form of published materials written either in English, Filipino, or in the local dialect, that detail:
 - ✓ A comprehensive and uniform checklist of requirements for each type of application or request.
 - ✓ The procedure to obtain a particular service.
 - ✓ The person/s responsible for each step.
 - ✓ The maximum time to conclude the process.
 - ✓ The document/s to be presented by the applicant or requesting party, if necessary.
 - ✓ The amount of fees, if necessary.
 - ✓ The procedure for filing complaints.
- o **Zero-Contract Policy** – Except during the preliminary assessment of the request and evaluation of sufficiency of submitted requirements, no government officer or employee shall have any contact, in any manner, unless strictly necessary with any requesting party concerning an application or request. Once the Department of Information and Communications Technology (DICT) has completed a web-based software enabled business registration system that is acceptable to the public as mandated by Section 26 of this Act, all transactions shall be coursed through such system. All government agencies including LGUs shall adopt a zero-contact policy.
- o **Central Business Portal (CBP)** – To eliminate bureaucratic red tape, avert graft and corrupt practices and to promote transparency and sustain ease of doing business, the DICT shall be primarily responsible in establishing, operating and maintaining a CBP or other similar technology, as the DICT may prescribe. The Central Business Portal (CBP) shall serve as a central system to receive applications and capture applications data involving business-related transactions, including primary and secondary licenses, and business clearances permits, certifications or authorizations issued by the LGUs: Provided, that the CBP may also provide links to the online registration or application systems established by NGAs.
- o **Streamlined Procedures for Securing Fire Safety Evaluation Clearance (FSEC), Fire Safety Inspection Certificate (FSIC), and Certification of Fire Incidents for Fire Insurance**
 - Issuance of FSEC and FSIC shall in no case be longer than **seven (7) working days**.
 - For new business permit application, the FSIC already issued during the occupancy permit stage shall be sufficient as basis for the issuance of the FSIC for a business entity as a requirement for the business permit.
 - For **renewal of business permit**, the BFP shall, within **three (3) working days** from application, present the FSIC to the city/municipality, either thru the copy of the FSIC or the negative/positive list: Provided, that the business entity shall inform the BFP and submit the necessary documentary requirements if renovations, modifications or any form of alterations are made to the original building structure **thirty (30) working days before the expiration** of the business permit.
- If the BFP fails to furnish the city/municipality with an FSIC or to inform the same through the negative/positive list within **three (3) working days** from the application of business renewal, the business entity shall be deemed to have a temporary valid FSIC and, therefore shall serve as the basis for the automatic renewal of the business permit.
- Issuance of the certification of fire incident for fire insurance purposes shall in no case be longer than **twenty (20) working days**, and may be extended only once for another twenty (20) working days.
- o **Interconnectivity Infrastructure Development** – In order to expedite the processing of licenses, clearances, permits, certifications, or authorizations, the Authority, together with the DICT, shall develop a fast and reliable interconnectivity infrastructure. In relation to this, the processing and approval of licenses, clearances, permits, certifications, or authorizations for the installation and operation of telecommunication, broadcast towers, facilities, equipment and service shall be:
 - ✓ A total of **seven (7) working days** for those issued by the barangay.
 - ✓ A total of **seven (7) working days** for those issued by LGUs.
 - ✓ A total of **seven (7) working days** for those issued by NGAs.
- If the granting authority fails to approve or disapprove an application for a license, clearance, permit, certification or authorization within the prescribed processing time, said application shall be deemed approved: Provided, that when the approval of the appropriate local legislative body is necessary, a **non-extendible period of twenty (20) working days** is hereby prescribed.
- For homeowners and other community clearances, the officers of the homeowner's association shall be given **ten (10) working days** to refer the application to the members of the association pursuant to Section 19 (k) of Republic Act No. 9904 otherwise known as the "Magna Carta for Homeowners Associations": Provided, that a non-extendible period of thirty (30) working days is granted to the homeowners association to give its consent or disapproval: Provided, further, that in case of disapproval, the granting authority shall notify the applicant or requesting party within the prescribed period of the reason/s for disapproval as well as remedial measures that may be taken by the applicant or requesting party.

-- END --



EASE OF DOING BUSINESS LAW

1. The process or transaction between applicants or requesting parties and government offices or agencies involving applications for any privilege, right, reward, license, clearance, permit or authorization, concession, or for any modification, renewal or extension of the enumerated applications or requests which are acted upon in the ordinary course of business of the agency or office concerned
 - a. Front Line Service
 - b. Civil Service
 - c. Citizen's Charter
 - d. Government Service
2. What government services are covered by Ease of Doing Business and Efficient Government Service Delivery Act of 2018?
 - a. Government services covering business transactions
 - b. Government services covering non-business transactions
 - c. Both A and B
 - d. Neither A nor B
3. Which of the following is not covered by Ease of Doing Business and Efficient Government Service Delivery Act of 2018?
 - a. Government owned and controlled corporations (GOCCs)
 - b. Local government units (LGUs)
 - c. Government instrumentalities located abroad
 - d. National government offices and agencies
 - e. None of the above
4. They refer to sets of regulatory requirements that a business entity must comply with to engage, operate or continue to operate a business, such as, but not limited to, collection or preparation of a number of documents, submission to national and local government authorities, approval of application submitted, and receipt of a formal certificate or certificates, permits, licenses which include primary and secondary, clearances and such similar authorization or documents which confer eligibility to operate or continue to operate as a legitimate business
 - a. Business-related transactions
 - b. Arms length transactions
 - c. Related party transactions
 - d. Unrelated party transactions
5. Applications or requests submitted by applicants or requesting parties of a government office or agency which only require ministerial actions on the part of the public officer or employee, or that which present only inconsequential issues for the resolution by an officer or employee of said government office
 - a. Simple transactions
 - b. Complex transactions
 - c. Highly technical application
 - d. None of the above
6. Applications or requests submitted by applicants or requesting parties of a government office which necessitate evaluation in the resolution of complicated issues by an officer or employee of said government office, such transactions to be determined by the office concerned
 - a. Simple transactions
 - b. Complex transactions
 - c. Highly technical application
 - d. None of the above
7. An application which requires the use of technical knowledge, specialized skills and/or training in the processing and/or evaluation thereof
 - a. Simple transactions
 - b. Complex transactions
 - c. Highly technical application
 - d. None of the above
8. A single common site or location, or a single online website or portal designated for the Business Permit and Licensing System (BPLS) of an LGU to receive and process applications, receive payments and issue approved licenses, clearances, permits, or authorizations
 - a. One Stop Shop Business
 - b. Common Site Business
 - c. Business One Stop Shop
 - d. Common Location Business
9. It shall serve as a central system to receive applications and capture application data involving business-related transactions, including primary and secondary licenses, and business clearances, permits, certifications or authorizations issued by the LGUs
 - a. Central Business Center
 - b. Central Business District
 - c. Central One Stop Shop
 - d. Central Business Portal



10. Any regulation, rule or administrative procedure or system that is ineffective, or detrimental in achieving its intended objectives and as a result, produces slow, suboptimal, and undesirable social outcomes
 - a. Blue tape
 - b. Red tape
 - c. Brown tape
 - d. Black tape
11. It refers to the government agency, attached to the Office of the President, entrusted with the implementation of Ease of Doing Business and Efficient Government Service Delivery Act of 2018
 - a. Anti-Fixer Authority
 - b. Anti-Red Tape Authority
 - c. Anti-Influencer Authority
 - d. Anti-Bureaucracy Authority
12. Which is false regarding Anti-Red Tape Act/ Ease of doing Business Law?
 - a. To eliminate bureaucratic red tape, avert graft and corrupt practices and to promote transparency and sustain ease of doing business, the DOST shall be primarily responsible in establishing, operating and maintaining a Central Business Portal or other similar technology, as the DOST may prescribe
 - b. All government agencies including departments, bureaus, offices, instrumentalities, or government-owned and/or -controlled corporations, or local LGUs shall set up their respective most current and updated service standards to be known as the Citizen's Charter in the form of information billboards which shall be posted at the main entrance of offices or at the most conspicuous place, in their respective websites and in the form of published materials written either in English, Filipino, or in the local dialect
 - c. Except during the preliminary assessment of the request and evaluation of sufficiency of submitted requirements, no government officer or employee shall have any contact, in any manner, unless strictly necessary with any requesting party concerning an application or request. This principle is known as zero-contract policy
 - d. If the granting authority in the government fails to approve or disapprove an application for a license, clearance, permit, certification or authorization within the prescribed processing time under Ease of Doing Business Law, said application shall be deemed approved
13. It refers to respective most current and updated service standards of any government agency in the form of information billboards which shall be posted at the main entrance of offices or at the most conspicuous place, in their respective websites and in the form of published materials written either in English, Filipino, or in the local dialect, that detail the processing of business transactions in a specific government agency
 - a. Citizen's Bill of Rights
 - b. Citizen's Charter
 - c. Citizen's Protection
 - d. Citizen's Check and Balance
14. The Citizen's Charter shall detail the following
 - a. The maximum time to conclude the process
 - b. The document/s to be presented by the applicant or requesting party, if necessary
 - c. The amount of fees, if necessary
 - d. All of the above
15. No government officer or employee shall have any contact, in any manner, unless strictly necessary with any applicant or requesting party concerning an application or request
 - a. Zero contract policy
 - b. One contract policy
 - c. Two contract policy
 - d. Three contract policy
16. Statement I: All officers or employees shall accept written applications, requests, and/or documents being submitted by applicants or requesting parties of the offices or agencies
Statement II: The receiving officer or employee shall immediately inform the applicant or requesting party of any deficiency in the accompanying requirements
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
17. Statement I: Except during the preliminary assessment of the request and evaluation of sufficiency of submitted requirements, no government officer or employee shall have any contact, in any manner, unless strictly necessary with any applicant or requesting party concerning an application or request
Statement II: All government agencies including LGUs shall adopt a zero-contract policy
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
18. Statement I: The head of the office or agency shall not be held accountable to the public in rendering fast, efficient, convenient and reliable service
Statement II: All transactions and processes are not deemed to have been made with the permission or clearance from the highest authority having jurisdiction over the government office or agency concerned



- a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
19. Statement I: No application or request shall be returned to the applicant or requesting party without appropriate action
Statement II: In case an application or request is disapproved, the officer or employee who rendered the decision shall send a formal notice to the applicant or requesting party within the prescribed processing time, stating therein the reason for the disapproval
a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
20. Statement I: Any denial of application or request for access to government service shall be fully explained in writing, stating the name of the person making the denial and the grounds upon which such denial is based
Statement II: Any denial of application or request is not deemed to have been made with the permission or clearance from the highest authority having jurisdiction over the government office or agency concerned
a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
21. Statement I: If a government office or agency fails to approve or disapprove an original application or request for issuance of license, clearance, permit, certification or authorization within the prescribed processing time, said application or request shall not be deemed approved
Statement II: If a government office or agency fails to act on an application or request for renewal of a license, clearance, permit, certification or authorization subject for renewal within the prescribed processing time, said license, clearance, permit, certification or authorization shall not automatically be extended
a. Only Statement I is true
b. Only Statement II is true
c. Both are true
d. Both are false
22. The time consumed by an LGU or National Agency (NGA) from the receipt of an application or request with complete requirements accompanying documents and payment of fees to the issuance of certification or such similar documents approving or disapproving an application for request
a. Approved time
b. Documented time
c. Completed time
d. Processing time
23. All applications or requests submitted shall be acted upon by the assigned officer or employee within the prescribed processing time stated in the Citizen's Charter which shall not be longer than _____ working days in the case of simple transactions from the date the request and/or complete application or request was received
a. One
b. Two
c. Three
d. Four
24. All applications or requests submitted shall be acted upon by the assigned officer or employee within the prescribed processing time stated in the Citizen's Charter which shall not be longer than _____ working days in the case of complex transactions from the date the request and/or complete application or request was received
a. Four
b. Five
c. Six
d. Seven
25. For applications or requests involving activities which pose danger to public health, public safety, public morals, public policy and highly technical application, the prescribed processing time shall in no case be longer than _____ working days or as determined by the government agency or instrumentality concerned, whichever is shorter
a. 10
b. 15
c. 20
d. 25
26. If the application or request for license, clearance, permit, certification or authorization shall require the approval of the local Sangguniang Bayan, Sangguniang Panlungsod, or the Sangguniang Panlalawigan as the case may be, the Sanggunian concerned shall be given a period of _____ working days to act on the application or request, which can be extended to another _____ working days
a. 45; 20
b. 20; 20
c. 7; 20
d. 3; 7
27. What is the maximum period for issuance of certification of fire incident for fire insurance purposes by Bureau of Fire and Protection (BFP)?

- a. No longer than twenty (20) working days, and may be extended only once for another twenty (20) working days
 - b. No longer than ten (10) working days, and may be extended only once for another ten (10) working days
 - c. No longer than thirty (30) working days, and may be extended only once for another thirty (30) working days
 - d. No longer than forty (40) working days, and may be extended only once for another forty (40) working days
28. The number of signatories in any document shall be limited to a maximum of _____ signatures which shall represent officers directly supervising the office or agency concerned
- a. Two
 - b. Three
 - c. Four
 - d. Five
29. Statement I: Business permits shall be valid for a period of 2 years
Statement II: The city/municipality may have the option to renew business permits within the first month of the year or on the anniversary date of the issuance of the business permit
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
30. Statement I: Issuance of the certification of fire incident for fire insurance purposes shall in no case be longer than 20 working days and may be extended only once for another 20 working days
Statement II: The BFP or any of its officials or employees may recommend specific brands of fire extinguishers and other fire safety equipment to any applicant or requesting party or business entity
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
31. The processing and approval of licenses, clearances, permits, certifications or authorizations for the installation and operation of telecommunication, broadcast towers, facilities, equipment and service shall be
- Statement I: A total of 7 working days for those issued by the Barangay
Statement II: A total of 7 working days for those issued by LGUs
Statement III: A total of 7 working days for those issued by NGAs
- a. Statement I only
 - b. Statement I and II only
 - c. Statement II and III only
 - d. All statements
32. The following are violations under the Ease of Doing Business and Efficient Government Service Delivery Act of 2018
- a. Refusal to accept application or request with complete requirements being submitted by an applicant or requesting party without due cause
 - b. Failure to attend to application or requesting parties who are within the premises of the office or agency concerned prior to the end of official working hours and during lunch break
 - c. Failure to render government services within the prescribed processing time on any application or request without due cause
 - d. All of the above
33. The following are the requisites of Immunity under the Ease of Doing Business and Efficient Government Service Delivery Act of 2018, except
- a. There is no other direct evidence available for the proper prosecution of the offense committed, except the testimony of said respondent/accused-informant
 - b. There is absolute necessity for the testimony of the respondent/accused-informant whose discharge is requested
 - c. The testimony of said respondent/accused-informant can be substantially corroborated in its material points
 - d. The respondent/accused-informant appears to be the most guilty



SECURITIES REGULATIONS CODE

SECURITIES

- o **Securities** are shares, participation or interests in a corporation or in a commercial enterprise or profit-making venture and evidenced by a certificate, contract, instruments, whether written or electronic in character. (*Section 3.1*)
- o The main feature of a security is that a person purchases or acquires the same in the expectation of obtaining passive income or asset appreciation, that is income or gain obtained through the effort of another person. This feature makes them attractive and desirable and necessitates the protection of the investing public.
 - **They include:**
 - ✓ Shares of stocks, bonds, debentures, notes evidences of indebtedness, asset-backed securities;
 - ✓ Investment contracts, certificates of interest or participation in a profit-sharing agreement, certifies of deposit for a future subscription;
 - ✓ Fractional undivided interests in oil, gas or other mineral rights;
 - ✓ Derivatives like option and warrants;
 - ✓ Certificates of assignments, certificates of participation, trust certificates, voting trust certificates or similar instruments
 - ✓ Proprietary or nonproprietary membership certificates in corporations; and
 - ✓ Other instruments as may in the future be determined by the Commission.
- o **Investment contract** is a contract, transaction, or scheme whereby a person invests his money in a common enterprise and is led to expect profits primarily from the efforts of others.
 - **Requisites:**
 - ✓ An investment of money;
 - ✓ In a common enterprise;
 - ✓ With expectation of profits;
 - ✓ Primarily from the efforts of others (this modifies the *Howey Test* which requires profits to be derived "solely" from the efforts of others)
 - **ILLUSTRATION:** Power Homes Unlimited Corp. (PHUC) requires an investor to pay \$234 to become a Business Center Owner (BCO), which entitles him to recruit two person who should pay \$234 each and out of which he shall receive a commission of \$92. In case the two referrals/enrollees would recruit a minimum of four (4) persons each recruiting two (2) persons who become his/her own down lines, the BCO will receive a total amount of US\$147.20, and so on.

Here, the BCO is considered as an investment contract because the investor would be earning primarily from the efforts of his recruits and their recruits, as the pyramid goes on.

THE SECURITIES AND EXCHANGE COMMISSION:

- o **Composition and Term:** the SEC is composed of a Chairman and seven Commissioners who are given a 7-year term and has security of tenure to protect them from political influence.

- o **Transfer of Jurisdiction:** the following formerly under the jurisdiction of the SEC has been transferred to Special Commercial Courts:
 - ✓ Fraudulent devices or schemes employed by the directors, business associates, officers or partners against the public and the stockholders, partners, members of associations or organizations registered with SEC.
 - ✓ Intra-corporate and intra-partnership controversies; and controversies between the corporation, partnership, or association, on one hand, and the state, on the other, insofar as it concerns their individual franchise or right to exist as such entity.
 - ✓ Controversies in the election or appointment of directors, trustees, officers or managers of such entities.
 - ✓ Petitions of such entities to be declared in a state of suspension of payments in cases where the it is illiquid, or where it is insolvent but is under the management of a rehabilitation receiver or management committee.

REGISTRATION AND REPORTORIAL REQUIREMENTS

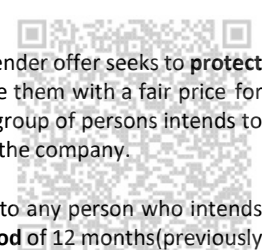
- o **REGISTRATION:** The Securities Regulations Code (SRC) provides that securities shall not be sold or offered for sale or distribution within the Philippines, without a registration statement duly filed with and approved by the SEC (Commission). Prior to such sale, information on the securities, in such form and with such substance as the Commission may prescribe, shall be made available to each prospective purchaser.
- o The Commission may audit the financial statements, assets and other information of firm applying for registration of its securities whenever it deems the same necessary to insure full disclosure or to protect the interest of the investors and the public in general.

SECURITIES exempt from registration:

- o Any security issued or guaranteed by the **Government** of the Philippines, or by any political subdivision or agency thereof, or by any person controlled or supervised by, and acting as an instrumentality of said Government.
- o Any security issued or guaranteed by the **government of any country** with which the Philippines maintains diplomatic relations, or by any state, province or political subdivision thereof on the basis of reciprocity: Provided, That the SEC may require compliance with the form and content for disclosures the SEC may prescribe.
- o Certificates issued by a **receiver** or by a **trustee** in bankruptcy duly approved by the proper adjudicatory body.
- o Any security or its derivatives the sale or transfer of which, by law, is under the supervision and regulation of the Office of the **Insurance Commission, Housing and Land Use Rule Regulatory Board, or the Bureau of Internal Revenue.**
- o Any **security** issued by a **bank** except its own shares of stock.

TENDER OFFER

- o A **tender offer** is an offer by a person or group of persons to the stockholders of a corporation to tender their shares for purchase.
- o **Purpose:** The rule on mandatory tender offer seeks to protect minority shareholders and provide them with a fair price for their share whenever a person or group of persons intends to buy a sizable number of shares in the company.
- o **Mandatory Tender Offer:** applies to any person who intends to acquire at least 35% over a **period** of 12 months (previously 30, increased by the SEC pursuant to Section 72.1 of the SRC)



of any class of any equity security of a:

- **Listed corporations; or Corporations with:**
 - ✓ Assets of at least P50M and
 - ✓ Having at least 200 shareholders who each have at least 100 shares
 - The rule shall likewise apply even if the acquisition is less than 35% but will result in ownership of over 51% of the total outstanding equity securities of the public company.
 - The offeror would be required to accept any and all securities thus tendered.
 - Note that the percentage requirements likewise applies even in indirect acquisitions.
 - **ILLUSTRATION:** U Corporation, a corporation listed in the PSE, has two principal stockholder- corporations, X Corporation which owns 60% and ABC Corporation which owns 17%.
 - In turn, the principal stockholders of X Corporation are: XA (21%); XB (30%) and ABC Corporation(9%). XA and XB agreed to sell their shares to ABC Corporation.
 - In this case, the mandatory tender offer rule applies to ABC Corporation.
 - ✓ ABC Corporation will own 60% of X Corporation (21% + 30% + 9%);
 - ✓ X Corporation likewise owns 60% of U Corporation, resulting in 36% (60% * 60%) indirect ownership;
 - ✓ Accordingly, they will own a total of 53% of U Corporation (36% indirect ownership + 17% direct ownership).
 - ✓ As such, ABC Corporation is required to make a tender offer to the stockholders of U Corporation.

Transactions EXEMPT from the Mandatory Tender Offer Requirement:

- o Any purchase of shares from the **unissued** capital stock provided that the acquisition will not result to a 50% or more ownership of shares by the purchaser;
- o Any purchase of shares from an **increase in authorized capital stock**.
- o Purchase in connection with **foreclosure** proceedings involving a duly constituted pledge or security arrangement where the acquisition is made by the debtor or creditor.
- o Purchases in connection with **privatization** undertaken by the government of the Philippines.
- o Purchases in connection with **corporate rehabilitation** under court supervision.
- o Purchases through an **open market** at the prevailing market price
- o **Merger** or consolidation.

Process:

- o The offeror will make an announcement of his intention in a newspaper of general circulation, prior to the commencement of the offer;

- At least 2 business days prior to the date of the commencement of the tender offer:
 - ✓ File SEC Form 19-1 with the SEC including all exhibits thereto and pay the prescribed filing fees
 - ✓ Hand deliver a copy of such form including all exhibits to the target company at its principal executive office and to each Exchange where such class of the target company's securities are listed for trading.
- o Report the results of the tender offer by filing with the Commission, not later than ten (10) calendar days after the termination of the tender offer, copies of the final amendments to the form.

INSIDER TRADING

- o **Material Non-Public Information:** Information that will affect the price of the security or would influence a person in deciding whether to buy, sell, or hold a security which is not available to the public.
- **Insider:**
 - ✓ The issuer.
 - ✓ A director or officer of the issuer or a person controlling the issuer.
 - ✓ A person whose relationship or former relationship to the issuer gives or gave him access to material non-public information.
 - ✓ A government employee, or director, or officer of an exchange, clearing agency, and/or self-regulatory organization who has access to material non- public information.
 - ✓ A person who learns such information by a communication from any of the foregoing insiders.
- o **Insider Trading:** when an insider in possession of material non-**public** information buys or sells a security.
- **Exceptions:** a person in possession of material non-public information can buy or sell securities:
 - When he can prove that the information was not gained from an insider;
 - If the other party is identified and that he:
 - ✓ Disclosed the information; or
 - ✓ Had reason to believe that the other party is also in possession of the information.
- **Presumption:** a purchase or sale of a security of the issuer made by an insider or such insider's spouse or relatives by affinity or consanguinity within the 2nd degree, legitimate or common-law, shall be presumed to have been effected while in possession of material non-public information if transacted:
 - ✓ After such information came into existence;
 - ✓ But prior to the dissemination of such information to the public and the lapse of a reasonable time for the market to absorb such information.
- **ILLUSTRATION:** Gas Corporation, a publicly listed company, discovered a rich deposit of natural gas. This information was not made public in order to acquire the lands in the surrounding area at cheap prices. Prior to the disclosure of the information to the SEC, the directors and officers of the company bought shares of the Corporation. The prices of such shares went up once the discovery

was made public.

- **Liability for disclosure:** It shall be unlawful for any insider to communicate material nonpublic information about the issuer or the security to any person who, by virtue of the communication, becomes an insider, where the insider communicating the information knows or has reason to believe that such person will likely buy or sell a security of the issuer while in possession of such information.

This is regardless of whether the one to whom the communication was given actually traded on the securities.

- **INSIDER TRADING WHERE INFORMATION RELATES TO A TENDER OFFER:** if the information is relative to a tender offer, it is unlawful for **any person** (other than the tender offeror) who is in possession of material nonpublic information relating to such tender offer, to buy or sell the securities of the issuer that are sought or to be sought by such tender offer if such person knows or has reason to believe that the information is nonpublic and has been acquired directly or indirectly from the tender offeror, those acting on its behalf, the issuer of the securities sought or to be sought by such tender offer, or any insider of such issuer.

FRAUDULENT TRANSACTIONS AND OTHER MARKET MANIPULATIONS

- **Wash sale** – any transaction in a security which involves no change in the beneficial ownership. A series of buy and sale transaction may be placed by one and the same beneficial owner in the exchange which would not affect any change of ownership of the shares transacted.
- **Matched Order** – refers to an order or orders for the purchase or sale of security with the knowledge that a simultaneous order or orders of substantially the same size, time and price for the sale or purchase of such security has, or will be entered by or for the same or different parties.
 - Wash Sale and Matched Orders are not in themselves illegal. But they are considered fraudulent whenever they are resorted to in order to create a false or misleading appearance of active trading.
- **Marking the close** – placing of purchase or sale order, at or near the close of the trading period in order to affect the closing price likewise affecting the opening price the following day.
- **Painting the tape** – akin to marking the close but the activity is made during normal trading hours which involves buying activity among nominee accounts at increasingly higher or lower prices or causing fictitious reports to appear on the ticker tape.
- **Squeezing the float** – part or portion of the issue/security which is outstanding but intentionally held by dealers or other person with a view of reselling them later for profit. Thereby affecting supply of the security or its availability while demand remains the same or increases, driving the prices up.
- **Hype and Dump** – involves the following steps:
 - ✓ Purchase of outstanding capital stock of a dormant public shell company for a nominal amount;
 - ✓ Merger of the shell company with the privately held company of the person or group of persons involved to gain control of the majority of the stocks of the merged entity;
 - ✓ Reverse-split of the shares
 - ✓ Reissuance of the shares certificates in the name of the merged entity to relatives and

associates;

- ✓ Hiring a broker-dealer who would market the stocks of the newly merged entity;
 - ✓ Hiring a promoter to “hype” the virtues of the company;
 - ✓ When the market reaches the high price, they would “dump” their shareholdings and bail out.
- **Boiler Room Operations** – involves an intensive selling campaign through numerous salesmen by telephone or through direct mail offerings for securities of either a certain type or from a specific issuer. Investors are induced to purchase through hard-sell techniques based on unfounded predictions and mailing of misleading market letters.
 - **All 5 above (3 to 7) become illegal/unlawful if its effected to:**
 - ✓ Raise the price or induce the purchase of a security or of a controlling, controlled or commonly controlled company by others;
 - ✓ Depresses their price to induce the sale of a security, whether of the same or of a different class, of the same issuer or of a controlling, controlled company, or commonly controlled company by others; and
 - ✓ Creates active trading to induce such purchase or sale through said devices or schemes.
 - **Circulating or Disseminating Information on Share Price Movement** – involves people providing information that the price of any security listed in the exchange will or is likely to rise or fall because of manipulative market operations of any one or more persons conducted for the purpose of raising or depressing the price of the security and thus inducing the purchase or sale of such security.
 - **Making False or Misleading Statements** – with respect to any material fact, which he knew or had some reasonable grounds to believe was so false or misleading for the purpose of inducing the purchase or sale of any security.
 - **Pegging or Fixing or Stabilizing the price of security** effected either alone or with others through any series of transactions for the purchase or sale thereof, if done for such purpose.
 - **Short Sale** – selling the security which the vendor does not own and borrowed only from another. This is not illegal per se but only regulated.

--End--

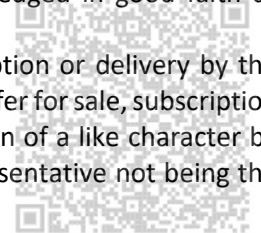


SECURITIES REGULATION CODE

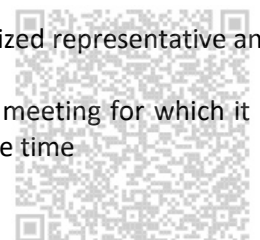
1. Which of the following is not an objective of Securities Regulation Code a.k.a. R.A. No. 8799?
 - a. To establish a socially conscious, free market that regulates itself
 - b. To encourage the widest participation of ownership in enterprises
 - c. To enhance the democratization of wealth
 - d. To promote monopoly and oligopoly
2. Which of the following is not an objective of Securities Regulation Code a.k.a. R.A. No. 8799?
 - a. To promote the development of the capital market
 - b. To protect investors
 - c. To ensure full and fair disclosure about securities
 - d. To encourage insider trading and other fraudulent or manipulative devices and practices which create distortions in the free market
3. These are shares, participation, or interests in a corporation or in a commercial enterprise or profit-making venture and evidenced by a certificate, contract, instruments, whether written or electronic in character
 - a. Shares
 - b. Bonds
 - c. Securities
 - d. Interest
4. Securities includes
 - a. Shares of stocks, bonds, debentures, notes evidences of indebtedness, asset-back securities
 - b. Investment contracts, certificates of interest or participation in profit sharing agreement, certificates of deposit for a future subscription
 - c. Fractional undivided interests in oil, gas or other mineral rights
 - d. All of the above
5. It refers to a contract, transaction, or scheme whereby a person invests his money in common enterprise and is led to expect profits primarily from the efforts of others
 - a. Investment contract
 - b. Profit-sharing agreement
 - c. Securities investment
 - d. Pyramid scheme
6. It refers to the originator, maker, obligor or creator of the security
 - a. Dealer
 - b. Broker
 - c. Issuer
 - d. Associated person of a broker or dealer
7. It means any person who buys and sells securities for his/her own account in the ordinary course of business
 - a. Dealer
 - b. Broker
 - c. Issuer
 - d. Associated person of a broker or dealer
8. It refers to a person engaged in the business of buying and selling securities for the account of others
 - a. Dealer
 - b. Broker
 - c. Issuer
 - d. Associated person of a broker or dealer
9. It means any person who acts as intermediary in making deliveries upon payment to effect settlement in securities transactions
 - a. Pre-need plans
 - b. Exchange
 - c. Clearing agency
 - d. Insider
10. It refers to an organized market place or facility that brings together buyers and sellers and executes trade of securities and/or commodities
 - a. Pre-need plans
 - b. Exchange
 - c. Clearing agency
 - d. Insider
11. It means (a) the issuer; (b) a director or officer (or any person performing similar functions) of, (c) or a person controlling the issuer; gives or gave him access to material information about the issuer or the security that is not generally available to the public; (d) a government employee, director or officer of an exchange, clearing agency and/or self-regulatory organization who has access to material information about an issuer or a security that is not generally liable to the public; or (e) a person who learns such information by a communication from any forgoing
 - a. Pre-need plans
 - b. Exchange
 - c. Clearing agency
 - d. Insider



12. These are contracts which provide for the performance of future services of or the payment of future monetary considerations at the time of actual need, for which plan holders pay in cash or installment at stated prices, with or without interest or insurance coverage and includes life, pension, education, interment, and other plans which the Commission may from time to time approve
 - a. Pre-need plans
 - b. Exchange
 - c. Clearing agency
 - d. Insider
13. It refers to a person who, acting alone or with others, takes initiative in founding and organizing the business or enterprise of the issuer and receives consideration therefor
 - a. Prospectus
 - b. Promoter
 - c. Salesman
 - d. Registration statement
14. It refers to the document made by or on behalf of an issuer, underwriter or dealer to sell or offer securities for sale to the public through registration statement filed with the Commission
 - a. Prospectus
 - b. Promoter
 - c. Salesman
 - d. Registration statement
15. It refers to the application for the registration of securities required to be filed with the Commission
 - a. Prospectus
 - b. Promoter
 - c. Salesman
 - d. Registration statement
16. It refers to a person who guarantees on a firm commitment and/or declared best effort basis the distribution and sale of securities of any kind by another company
 - a. Uncertificated security
 - b. Promoter
 - c. Underwriter
 - d. Registration statement
17. Which government agency is entrusted with the administration of the Securities Regulation Code?
 - a. Board of Accountancy
 - b. Securities and Exchange Commission
 - c. Bangko Sentral ng Pilipinas
 - d. Insurance Commission
18. Statement I: Securities shall not be sold or offered for sale or distribution within the Philippines, without a registration statement duly filed with and approved by the Commission
 Statement II: The Commission may audit the financial statements, assets and other information of firm applying for registration of its securities whenever it deems the same necessary to insure full disclosure or to protect the interest of the investors and the public in general
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
19. The requirement of registration shall not as a general rule apply to any of the following classes of securities
 - a. Any security issued or guaranteed by the Government of the Philippines, or by any political subdivision or agency thereof, or by any person controlled or supervised by, and acting as an instrumentality of said Government
 - b. Any security issued or guaranteed by the government of any country with which the Philippines maintains diplomatic relations, or by any state, province or political subdivision thereof on the basis of reciprocity, provided that the Commission may require compliance with the form and content for disclosures the Commission may prescribe
 - c. Certificates issued by a receiver or by a trustee in bankruptcy duly approved by the proper adjudicatory body
 - d. All of the above
20. The requirement of registration shall not apply to the sale of any security in any of the following transactions
 - a. At any judicial sale, or sale by an executor, administrator, guardian or receiver, or trustee in insolvency or bankruptcy
 - b. By or for the account of a pledge holder, or mortgagee or any of a pledge lien holder selling or offering for sale or delivery in the ordinary course of business and not for the purpose of avoiding the provision of the Securities Regulation Code, to liquidate a bonafide debt, a security pledged in good faith as security for such debt
 - c. An isolated transaction in which any security is sold, offered for sale, subscription or delivery by the owner therefore, or by his representative for the owner's account, such sale or offer for sale, subscription or delivery not being made in the course of repeated and successive transaction of a like character by such owner, or on his account by such representative and such owner or representative not being the underwriter of such security
 - d. All of the above



21. The Commission may reject a registration statement and refuse registration of the security, or revoke the effectivity of a registration statement and the registration of the security if it finds that the issuer
- Has been judicially declared insolvent
 - Has violated any of the provision of the Securities Regulation Code
 - Has been or is engaged or is about to engage in fraudulent transactions
 - All of the above
22. The reportorial requirements shall apply to the following
- An issuer which has sold a class of its securities pursuant to a registration: Provided however, that the obligation of such issuer to file reports shall be suspended for any fiscal year after the year such registration became effective if such issuer, as of the first day of any such fiscal year, has less than 100 holder of such class securities or such other number as the Commission shall prescribe and it notifies the Commission of such
 - An issuer with a class of securities listed for trading on an Exchange
 - An issuer with asset of at least P50,000,000 or such other amount as the Commission shall prescribe, and having 200 or more holder each holding at least 100 share of a class of its equity securities: Provided, however, that the obligation of such issuer to file report shall terminate 90 days after notification to the Commission by the issuer that the number of its holders holding at least 100 share reduced to less than 100
 - All of the above
23. Every issuer shall file with the Commission (reportorial requirements)
- Statement I: An annual report which shall include, among others, a balance sheet, profit and loss statement and statement of cash flows, for such last fiscal year
- Statement II: Such other periodical reports for interim fiscal periods and current reports on significant developments of the issuer as the Commission may prescribe as necessary to keep current information on the operation of the business and financial condition of the issuer
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
24. Statement I: Any person or group of persons acting in concert who intends to acquire at least 15% of any class of any equity security of a listed corporation of any class of any equity security of a corporation with assets of at least P50,000,000 and having 200 or more stockholders at least 100 shares each or who intends to acquire at least 30% of such equity over a period of 12 months shall make a tender offer to stockholders by filing with the SEC a declaration to that effect
- Statement II: Such person or group of persons shall publish all request or invitations or tender offer or requesting such tender offers subsequent to the initial solicitation or request shall contain such information as the Commission may prescribe, and shall be filed with the Commission and sent to the issuer not later than the time copies of such materials are first published or sent or given to security holders
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
25. Statement I: Securities deposited pursuant to a tender offer or request or invitation for tenders may be withdrawn by or on behalf of the depositor at any time throughout the period that tender offer remains open and if the securities deposited have not been previously accepted for payment, and at any time after 60 days from the date of the original tender offer to request or invitation, except as the Commission may otherwise prescribe
- Statement II: Where any person varies the terms of a tender offer or request or invitation for tenders before the expiration thereof by increasing the consideration offered to holders of such securities, such person shall pay the increased consideration to each security holder whose securities are taken up and paid for whether or not such securities have been taken up by such person before the variation of the tender offer or request or invitation
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
26. Statement I: Proxies must be in writing, signed by the stockholder or his duly authorized representative and file before the scheduled meeting with the corporate secretary
- Statement II: Unless otherwise provided in the proxy, it shall be valid only for the meeting for which it is intended. No proxy shall be valid and effective for a period longer than 5 years at one time
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false



27. Statement I: No broker or dealer shall give any proxy, consent or any authorization, in respect of any security carried for the account of the customer, to a person other than the customer, without written authorization of such customer
Statement II: A broker or dealer who holds or acquire the proxy for at least 10% or such percentage as the commission may prescribe of the outstanding share of such issuer, shall submit a report identifying the beneficial owner
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
28. It shall be unlawful for any person, directly or indirectly, in connection with the purchase or sale of any securities to
- Employ and device, scheme, or artifice to defraud
 - Obtain money or property by means of any untrue statement of a material fact or any omission to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading
 - Engage in any act, transaction, practice or course of business which operates or would operate as a fraud or deceit upon any person
 - All of the above
29. It shall be unlawful for an insider to sell or buy a security of the issuer, while in possession of material information with respect to the issuer or the security that is not generally available to the public, unless:
Statement I: The insider proves that the information was not gained from such relationship
Statement II: If the other party selling to or buying from the insider (or his agent) is identified, the insider proves: (a) that he disclosed the information to the other party, or (b) that he had reason to believe that the other party otherwise is also in possession of the information
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
30. It shall be unlawful for any person acting for himself or through a dealer or broker, directly or indirectly to create a false or misleading appearance of active trading in any listed security traded in an Exchange of any other trading market
- By effecting any transaction in such security which involves no change in the beneficial ownership thereof
 - By entering an order or orders for the purchase or sale of such security with the knowledge that a simultaneous order or orders of substantially the same size, time and price, for the sale or purchase of any such security, has or will be entered by or for the same or different parties
 - By performing similar act where there is no change in beneficial ownership
 - All of the above
31. Statement I: A purchase or sale of a security of the issuer made by an insider or such insider's spouse or relatives by affinity or consanguinity within the second degree, legitimate or common-law, shall be presumed to have been affected while in possession of material non-public information if transacted after such information came into existence but prior to dissemination of such information to the public and the lapse of a reasonable time for market to absorb such information
Statement II: The above-mentioned presumption shall be rebutted upon a showing by the purchaser or seller that he was aware of the material non-public information at the time of the purchase or sale
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
32. Information is "material nonpublic" if:
Statement I: It has not been generally disclosed to the public and would likely affect the market price of the security after being disseminated to the public and the lapse of a reasonable time for the market to absorb the information
Statement II: It would be considered by a reasonable person important under the circumstances in determining his course of action whether to buy, sell or hold a security
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false



33. It shall be unlawful where a tender offer has commenced or is about to commence for:
- Statement I: Any person (other than the tender offeror) who is in possession of material nonpublic information relating to such tender offer, to buy or sell the securities of the issuer that are sought or to be sought by such tender offer if such person knows or has reason to believe that the information is nonpublic and has been acquired directly or indirectly from the tender offeror, those acting on its behalf, the issuer of the securities sought or to be sought by such tender offer, or any insider of such issuer
- Statement II: Any tender offeror, those acting on its behalf, the issuer of the securities sought or to be sought by such tender offer, and any insider of such issuer to communicate material nonpublic information relating to the tender offer to any other person
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
34. Statement I: No broker, dealer, salesman, associated person of a broker or dealer, or Exchange, directly or indirectly, shall make use of any facility of an Exchange in the Philippines to effect any transaction in a security, or to report such transaction unless such Exchange is registered
- Statement II: No broker, dealer, salesman, or associated person of a broker or dealer, singly or in concert with any other person, shall make, create or operate, or enable another to make, create, or operate, any trading market, otherwise than on a registered Exchange, for the buying and selling of any security
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
35. A corporation whose securities are registered pursuant to the Securities Regulation Code or listed on securities exchange may:
- Statement I: If so resolved by its Board of Directors and agreed by a shareholder, investor or securities intermediary, issue shares to, or record the transfer of some or all its shares into the name of said shareholders, investors or, securities intermediary in the form of uncertificated securities. The use of uncertificated securities in these circumstances shall be without prejudice to the rights of the securities intermediary subsequently to require the corporation to issue a certificate in respect of any shares recorded in its name
- Statement II: If so provided in its articles of incorporation and by-laws, issue all of the shares of a particular class in the form of uncertificated securities and subject to a condition that investors may not require the corporation to issue a certificate in respect of any shares recorded in their name
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
36. Statement I: Transfers of securities including uncertificated securities, may be validly made and consummated by appropriate book-entries in the securities intermediaries, or in the stock and transfer book held by the corporation or the stock transfer agent and such bookkeeping entries shall be binding on the parties to the transfer
- Statement II: Transfer of uncertificated shares shall only be valid, so far as the corporation is concerned, when a transfer is recorded in the books of the corporation so as to show the names of the parties to the transfer and the number of shares transferred
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
37. Statement I: A pledge of, including an uncertificated security, is properly constituted and the instrument providing the right pledged shall be considered delivered to the creditor if a securities intermediary indicates by book entry that such security has been credited to a specially designated pledge account in favor of the pledgee
- Statement II: A pledge has the effect of the delivery of a security in bearer form or duly indorsed in blank representing the quantity or amount of such security or right pledged
- Only Statement I is true
 - Only Statement II is true
 - Both are true
 - Both are false
38. These pertain to those which may be offered for sale or otherwise disposed of to the general public by registration with the Securities and Exchange Commission (SEC) done by filing by the issuer, dealer, or underwriter of an application complying with the provisions of the Securities Regulation Code
- Exempt securities
 - Non-exempt securities
 - Exempt transactions
 - Non-exempt transactions



39. It shall be unlawful for any person to create a false or misleading appearance of active trading in any listed security traded in the Exchange:
 Statement I: By effecting any transaction in security which involves no change in the beneficial ownership
 Statement II: By entering an order for the purchase or sale of security with knowledge that a simultaneous order of substantially the same size, time and price, for the sale or purchase of any other security, has or will be entered by or for the same or different parties
 Statement III: By performing similar act where there is no change in beneficial owner
 a. Only Statement I is true
 b. Only Statement II is true
 c. Only Statement III is true
 d. All statements are true
40. It shall be unlawful for any person, in connection with the purchase and sale of any security to
 a. Employ any device, scheme, or artifice to defraud
 b. Obtain money or property by means of any untrue statement of a material fact or any omission to state a material fact necessary in order to make the statements made not misleading
 c. Engage in any act, transaction, practice, or course of business which operates or would operate as a fraud or deceit upon any person
 d. All of the above
41. Statement I: It shall be unlawful for an insider to sell or buy a security of the issuer, while in possession of material information with respect to the issuer or the security that is not generally available to the public
 Statement II: It shall be unlawful for an insider to communicate material non-public information about the issuer or the security to any person who becomes an insider, where the insider communicating the information knows or has reason to believe that such person will likely buy or sell a security of the issuer while in possession of such information
 a. Only Statement I is true
 b. Only Statement II is true
 c. Both are true
 d. Both are false
42. It involves the trading of securities based on knowledge of material information not disclosed to the public at the time
 a. Insider information
 b. Insider disclosure
 c. Insider trading
 d. None of the above
43. Statement I: The Securities Regulation Code treats investment contracts as “securities” that have to be registered with the Securities and Exchange Commission (SEC) before they can be distributed and sold
 Statement II: Securities shall not be sold or offered for sale or distribution to the public within the Philippines, without a registration statement duly filed with and approved by the SEC
 a. Only Statement I is true
 b. Only Statement II is true
 c. Both are true
 d. Both are false
44. Statement I: Tender offer is an offer by the acquiring person to stockholders of a public company for them to tender their shares therein on the terms specified in the offer
 Statement II: Tender offer is in place to protect minority shareholders against any scheme that dilutes the share value of their investments
 a. Only Statement I is true
 b. Only Statement II is true
 c. Both are true
 d. Both are false



BOUNCING CHECKS LAW
(BATAS PAMBANSA BILANG 22)

- **Punishable Acts under BP 22**
 - Any person who (a) makes or draws and issues any check to apply on account or for value, (b) knowing at the time of issue that he does not have sufficient funds in or credit with the drawee bank for the payment of such check in full upon its presentation. (c) which check is subsequently dishonored by the drawee bank for insufficiency of funds or credit or would have been dishonored for the same reason had not the drawer, without any valid reason, ordered the bank to stop payment.
 - Any person who, having sufficient funds in or credit with the drawee bank when he makes or draws and issues a check, shall fail to keep sufficient funds or to maintain a credit to cover the full amount of the check if presented within a period of ninety (90) days from the date appearing thereon, for which reason it is dishonored by the drawee bank.
- **Elements of Criminal Violation of BP 22 for issuance of worthless checks**
 - There must be making, drawing and issuance of any check to apply for account or for value.
 - There must be knowledge of the maker, drawer or issuer that at the time of issue he does not have sufficient funds in or credit with the drawee bank for the payment of the check in full upon its presentment.
 - There must be subsequent dishonor of the check by the drawee bank for insufficiency of funds or creditor dishonor for the same reason had not the drawer, without any valid cause, ordered the bank to stop payment.
- **Penalty for Violation of BP 22 at the discretion of the court**
 - Imprisonment of not less than thirty days but not more than one (1) year; or
 - Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Two Hundred Thousand Pesos; or
 - Both imprisonment of not less than thirty days but not more than one (1) year and Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Two Hundred Thousand Pesos.
- **Evidence of Knowledge of Insufficiency of Funds by the Issuer of Worthless Check**
 - The making, drawing and issuance of a check payment of which is refused by the drawee because of insufficient funds in or credit with such bank, when presented within ninety (90) days from the date of the check, shall be prima facie evidence of knowledge of such insufficiency of funds or credits.
- **Evidence or Defense to destroy prima facie evidence of knowledge of insufficiency of funds by the issuer of worthless checks**
 - The maker or drawer pays the holder thereof the amount due thereon or makes arrangements for payment in full by the drawee of such check within (5) banking days after receiving notice that such check has not been paid by the drawee.

- **Duty of Drawee Bank**
 - It shall be the duty of the drawee of any check, when refusing to pay the same to the holder thereof upon presentment, to cause to be written, printed, or stamped in plain language thereon, or attached thereto, the reason for drawee's dishonor or refusal to pay the same: Provided, that where there are no sufficient funds in or credit with such drawee bank, such fact evidence of any unpaid and dishonored check, having the drawee's refusal to pay stamped or written thereon or attached the due presentment to the drawee for payment and the dishonor thereof, and that the same was properly dishonored for stop payment, the drawee shall state in the notice that there were no sufficient funds in or credit with such bank for the payment in full of such check, if such be the fact.
- **Credit Construed**
 - The word "credit" as used herein shall be construed to mean an arrangement or understanding with the bank for the payment of such check.
- **Evidence Required for Violation of BP 22**
 - To provide violation of BP 22 or for conviction of crime of BP 22 – Proof beyond reasonable doubt.
 - To prove civil damages on civil action involving BP 22 – Preponderance of evidence.
 - To sue or to file a case for violation of BP 22 – Probable cause or Prima Facie evidence.

-- END --



BOUNCING CHECKS LAW (BP 22)

1. An act penalizing the making or drawing and issuance of a check without sufficient funds or credit
 - a. Batas Pambansa Blg. 20
 - b. Batas Pambansa Blg. 21
 - c. Batas Pambansa Blg. 22
 - d. Batas Pambansa Blg. 23
2. It is construed to mean an arrangement or understanding with the bank for the payment of such check
 - a. Debit
 - b. Credit
 - c. Balance
 - d. None of the above
3. What is the quantum of evidence required for awarding of civil damages for issuance of worthless checks?
 - a. Probable cause or prima facie evidence
 - b. Clear and convincing evidence
 - c. Preponderance of evidence
 - d. Proof of beyond reasonable doubt
4. What is the quantum of evidence required to sue or file a criminal case for criminal offense involving violation of BP 22 for issuance of worthless checks?
 - a. Probable cause or prima facie evidence
 - b. Clear and convincing evidence
 - c. Preponderance of evidence
 - d. Proof of beyond reasonable doubt
5. What is the quantum of evidence required for conviction of criminal offense involving violation of BP 22 for issuance of worthless checks?
 - a. Probable cause or prima facie evidence
 - b. Clear and convincing evidence
 - c. Preponderance of evidence
 - d. Proof of beyond reasonable doubt
6. In case of bouncing check issued on behalf of an artificial being or juridical person, who shall be criminally liable for imprisonment?
 - a. Juridical person
 - b. Corporate officer who signed the bouncing check
 - c. Both A and B
 - d. Neither A nor B
7. What is the minimum number of days for maintaining a balance in the checking account to cover the check he issued for the drawer to be exempted from conviction for violation of BP 22?
 - a. A period of at least 90 days from the maturity date of check
 - b. A period of at least 120 days from the maturity date of check
 - c. A period of at least 150 days from the maturity date of check
 - d. A period of at least 180 days from the maturity date of check
8. Which of the following is not an element of violation of BP 22 for issuance of worthless check or no sufficient fund (NSF) check?
 - a. There must be knowledge of the maker, drawer, or issuer that at the time of issue, he does not have sufficient funds in or credit with the drawee bank for the payment of the check in full upon its presentment
 - b. There must be criminal intent to defraud on the part of the drawer of the check
 - c. There must be subsequent dishonor of the check by the drawee bank for insufficiency of funds or creditor dishonor for the same reason had not the drawer, without any valid cause, ordered the bank to stop payment
 - d. There must be making, drawing, and issuance of any check to apply for account or for value
9. Statement I: What B.P. 22 punishes is the issuance of a bouncing check and not the purpose for which the check was issued
Statement II: What B.P. 22 punishes is the issuance of a bouncing check and not the non-payment of an obligation, or the terms and conditions of its issuance
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false
10. Statement I: Each act of drawing and issuing of a bounced check constitutes a violation of B.P. 22
Statement II: The Rule that there is only one offense when the offender is moved by one criminal intent cannot apply to B.P. 22 because criminal intent is immaterial
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false



11. Statement I: Batas Pambansa Blg. 22 does not make a distinction as to whether the bad check is issued in payment of an obligation or to merely guarantee an obligation
Statement II: The essence of B.P. Blg. 22 is the issuance of a check, not the non-payment of an obligation
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

12. The maker's knowledge of the insufficiency of his funds is presumed from the dishonor of his check for insufficiency of funds, except:
 - I. When the check is presented after 90 days from the date of the check
 - II. When the maker or drawer pays the holder thereof the amount due thereon or makes arrangements for payment in full by the drawee of such check within 5 banking days after receiving notice that such check has not been paid by the drawee
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

13. Statement I: If notice of non-payment by the drawee bank is not sent to the maker or drawer, then the presumption or prima facie evidence of knowledge of insufficiency of funds cannot arise
Statement II: The presumption of knowledge of insufficiency of funds or credit does not lie when the check is presented after 90 days from the date of the check
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

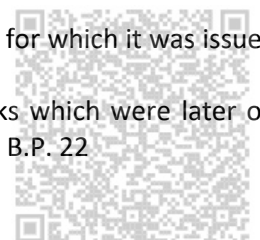
14. Statement I: It shall not be the duty of the drawee of any check, when refusing to pay the same to the holder thereof upon presentment, to cause to be written, printed, or stamped in plain language thereon, or attached thereto, the reason for drawee's dishonor or refusal to pay the same
Statement II: When there are no sufficient funds in or credit with such drawee bank, such fact shall always be explicitly stated in the notice of dishonor or refusal
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

15. Statement I: Under B.P. 22, the prosecution must prove not only that the accused issued a check that was subsequently dishonored, but it must also establish that the accused was actually notified that the check was dishonored and that he or she failed, within five (5) banking days from receipt of the notice, to pay the holder of the check the amount due thereon or to make arrangements for its payment
Statement II: The notice of dishonor of check, which must in writing, may be sent to the drawer or maker by the drawee-bank, the holder of the check, or the offended party either by personal delivery or by registered mail
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

16. Statement I: Where there are no sufficient funds in or credit with the drawee bank, such fact shall always be explicitly stated in the notice of dishonor or refusal, a mere oral notice or demand to pay would appear to be insufficient for conviction under the law
Statement II: The full payment of the amount appearing in the check within 5 banking days from notice of dishonor is a complete defense
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

17. Statement I: Under B.P. 22, only a full payment at the time of its presentment or during the five-day period could exonerate one from criminal liability, and that subsequent payments can only affect the civil, but not the criminal liability
Statement II: The full payment of the amount appearing in the check within 5 banking days from notice of dishonor is a partial defense
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false

18. Statement I: B.P. 22 punishes the issuance of a bouncing check and not the purpose for which it was issued or terms and conditions relating to its issuance
Statement II: The issue of lack of valuable consideration for the issuance of checks which were later on dishonored for insufficient funds is immaterial to the success of a prosecution under B.P. 22
 - a. Only I is true
 - b. Only II is true
 - c. Both are true
 - d. Both are false



19. What is the legal obligation on the part of the drawer of a funded check in order to exempt himself from criminal liability for bouncing check?
 - a. He must keep sufficient fund or maintain credit to cover the full amount of the check within a period of 90 days from the maturity date of the check
 - b. He must keep sufficient fund or maintain credit to cover the full amount of the check within a period of 30 days from the maturity date of the check
 - c. He must keep sufficient fund or maintain credit to cover the full amount of the check within a period of 60 days from the maturity date of the check
 - d. He must keep sufficient fund or maintain credit to cover the full amount of the check within a period of 120 days from the maturity date of the check

20. What is the prima facie evidence of the knowledge of insufficiency of funds or credit by the maker or drawer of a check?
 - a. The making, drawing and issuance of a check payment of which is refused by the drawee because of insufficient funds in or credit with such bank, when presented within (120) days from the date of the check
 - b. The making, drawing and issuance of a check payment of which is refused by the drawee because of insufficient funds in or credit with such bank, when presented within (90) days from the date of the check
 - c. The making, drawing and issuance of a check payment of which is refused by the drawee because of insufficient funds in or credit with such bank, when presented within (60) days from the date of the check
 - d. The making, drawing and issuance of a check payment of which is refused by the drawee because of insufficient funds in or credit with such bank, when presented within (30) days from the date of the check

21. What act may be presented by the maker or drawer of a check to destroy prima facie presumption of knowledge of insufficiency of funds or credit as established by the preceding number?
 - a. The maker or drawer pays the holder thereof the amount due thereon, or makes arrangements for payment in full by the drawee of such check within (15) banking days after receiving notice that such check has not been paid by the drawee
 - b. The maker or drawer pays the holder thereof the amount due thereon, or makes arrangements for payment in full by the drawee of such check within (20) banking days after receiving notice that such check has not been paid by the drawee
 - c. The maker or drawer pays the holder thereof the amount due thereon, or makes arrangements for payment in full by the drawee of such check within (10) banking days after receiving notice that such check has not been paid by the drawee
 - d. The maker or drawer pays the holder thereof the amount due thereon, or makes arrangements for payment in full by the drawee of such check within (5) banking days after receiving notice that such check has not been paid by the drawee

22. Which of the following is not a duty of a drawee bank under BP 22?
 - a. If there are no sufficient funds in or credit with such a drawee bank regarding such check, such fact shall always be explicitly stated in the notice of dishonor or refusal to be given by the drawee bank
 - b. Notwithstanding receipt of an order to stop payment from the drawer of check, the drawee bank shall state in the notice that there were no sufficient funds in or credit with such bank for the payment in full of such check, if such be the fact
 - c. The drawee bank shall report the act of issuance of worthless check to AMLC even if the amount does not exceed the quantitative threshold to be considered covered transaction
 - d. When refusing to pay the check to the holder thereof upon presentment, to cause to be written, printed or stamped in plain language thereon, or attached thereto, the reason for drawee's dishonor or refusal to pay the same

23. The introduction in evidence of any unpaid and dishonored check, having the drawee's refusal to pay stamped or written thereon or attached thereto, with the reason therefor as aforesaid, shall be prima facie evidence of the following elements of crime of issuance of worthless checks, except
 - a. The making or issuance of said check
 - b. The due presentment to the drawee bank of the check for payment and the dishonor thereof
 - c. The same check was properly dishonored for the reason written, stamped or attached by the drawee on such dishonored check
 - d. The knowledge of the maker or drawer of the insufficiency of fund or credit of the check he issued



24. Which of the following is punishable act under BP 22 also known as Bouncing Checks Law?
- a. Any person who (a) makes or draws and issues any check to apply on account or for value, (b) knowing at the time of issue that he does not have sufficient funds in or credit with the drawee bank for the payment of such check in full upon its presentment, (c) which check is subsequently dishonored by the drawee bank for insufficiency of funds or credit or would have been dishonored for the same reason had not the drawer, without any valid reason, ordered the bank to stop payment
 - b. Any person who, having sufficient funds in or credit with the drawee bank when he makes or draws and issues a check, shall fail to keep sufficient funds or to maintain a credit to cover the full amount of the check if presented within a period of ninety (90) days from the date appearing thereon, for which reason it is dishonored by the drawee bank
 - c. Either A or B
 - d. Both A and B
25. What is the penalty for violation of BP 22 or Bouncing Checks Law?
- a. Imprisonment of not less than 60 days but not more than (2) years or Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Three Hundred Thousand Pesos or both imprisonment and fine
 - b. Imprisonment of not less than 30 days but not more than (1) year or Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Two Hundred Thousand Pesos or both imprisonment and fine
 - c. Imprisonment of not less than 90 days but not more than (3) years or Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Four Hundred Thousand Pesos or both imprisonment and fine
 - d. Imprisonment of not less than 120 days but not more than (4) years or Fine of not less than but not more than double the amount of the check which fine shall in no case exceed Five Hundred Thousand Pesos or both imprisonment and fine



ANTI-MONEY LAUNDERING LAW (AMLA)

[R.A. 9160 or Anti-Money Laundering Act of 2001 as amended by R.A. 9194 and R.A. 10168 or Terrorism Financing Prevention and Suspension Act of 2012 and RA 10365 or An Act Further Strengthening the Anti-Money Laundering Law]

- Declaration of Policy
 - It is hereby declared the policy of the State to protect and preserve the integrity and confidentiality of bank accounts to ensure that the Philippines shall not be used as a money laundering site for the proceeds of any unlawful activity.
 - Consistent with its foreign policy, the Philippines shall extend cooperation in transnational investigations and prosecutions of persons involved in money laundering activities wherever committed.
- Definition of Money Laundering
 - Money laundering is committed by any person who, knowing that any person who, knowing that any monetary instrument or property represents, involves, or relates to the proceeds of any unlawful activity: (Acts punishable as Money Laundering):
 - ✓ Transacts said monetary instrument or property;
 - ✓ Converts, transfers, dispose of, moves, acquires, possesses or uses said monetary instruments or property or proceeds of any unlawful activity;
 - ✓ Conceals or disguises the true nature, source, location, disposition, movement or ownership of or rights with respect to said monetary, instruments or property or proceeds of unlawful activity;
 - ✓ Attempts or conspires to commit Money Laundering referred to in par. 1), 2) & 3);
 - ✓ Aids, abets, assists in or counsels the commission of the Money Laundering offenses referred to in par. 1), 2), & 3) in par. 1), 2) & 3) above; or
 - ✓ Any covered persons who, knowing that a covered or suspicious transaction is required under the AMLA to be reported to the AMLC, fails to do so.
- Predicate Crimes of Money Laundering (34 Crimes)
 - ✓ Kidnapping for ransom under the Revised Penal Code (RPC)
 - ✓ Drug Trafficking and other violations of the Comprehensive Dangerous Drugs Act of 2002
 - ✓ Graft and Corruption (R.A. No. 3019, as amended)
 - ✓ Plunder (R.A. No. 7080, as amended)
 - ✓ Robbery and extortion (RPC)
 - ✓ Jueteng and Masiao (PD 1602)
 - ✓ Piracy (RPC & PD 532)
 - ✓ Qualified Theft (RPC)
 - ✓ Swindling/Estafa (RPC)
 - ✓ Smuggling (R.A. Nos. 455 & 1937)
 - ✓ Violating of Electronic Commerce Act of 2000 (R.A. No. 8792)
 - ✓ Hijacking (R.A. No. 6235), Destructive Arson and Murder (RPC)
 - ✓ Terrorism and Conspiracy to Commit Terrorism (R.A. No. 9372)
 - ✓ Financing and Terrorism (R.A. No. 10168)
 - ✓ Bribery and Corruption of Public Officers (RPC)
 - ✓ Frauds and Illegal Exactions and Transactions (RPC)
 - ✓ Malversation of Public Funds (RPC)
 - ✓ Forgeries and Counterfeiting (RPC)
 - ✓ Trafficking in Persons (R.A. No. 9208)
 - ✓ Violations of the Revised Forestry Code (PD 705)

- ✓ Violations of the Philippine Fisheries Code of 1998 (R.A. No. 8550)
 - ✓ Violations of the Philippine Mining Act of 1995 (R.A. No. 7942)
 - ✓ Violations of the Wildlife Resources Conservation and Protection Act (R.A. No. 9147)
 - ✓ Violations of the National Caves and Cave Resources management Protection Act (R.A. No. 9072)
 - ✓ Carnapping (R.A. No. 6539)
 - ✓ Illegal/Unlawful Possession, Manufacture, Dealing In, Acquisition or Disposition of Firearms, Ammunitions and Explosives (PD 1866)
 - ✓ Fencing (PD 1612)
 - ✓ Illegal Recruitment (R.A. No. 8042)
 - ✓ Violations of the Intellectual Property Code
 - ✓ Voyeurism (R.A. No. 9995)
 - ✓ Child Pornography (R.A. No. 9775)
 - ✓ Child Prostitution, Trafficking, and other forms of Abuse (R.A. No. 7610)
 - ✓ Fraudulent practices and other violations of the Securities Regulation Code (R.A. No. 8799); and
 - ✓ Felonies or offenses of a similar nature that are punishable under the penal laws of other countries.
- Types of Reportable Transactions to AMLC
 - Covered Transactions are those transactions involving covered persons that breached the quantitative threshold provided by AMLA for reporting purposes to AMLC and therefore must be reported by covered persons to AMLC.
 - Suspicious Transactions are those transactions that do not breach the quantitative threshold provided by AMLA for reporting purposes to AMLC but must still be reported to AMLC by covered persons because of the suspicious nature of the transactions.
 - Amount of Covered Transactions for Reporting to AMLC
 - A transaction in cash or other equivalent monetary instrument exceeding Five Hundred Thousand pesos (P500,000.00).
 - A transaction exceeding One Million Pesos (P1,000,000.00) in cases of jewelry dealers, dealers in precious metals and dealers in precious stones.
 - Covered transaction now includes a Single Casino Cash Transaction involving an amount in excess of Five Million Pesos (P5,000,000.00) or its equivalent in any other currency.
 - Suspicious Transactions that shall also be reported to AMLC
 - There is no underlying legal or trade obligation, purpose or economic justification;
 - The client is not properly identified;
 - The amount involved is not commensurate with the business or financial capacity of the client;
 - Taking into account all known circumstances, it may be perceived that the client's transaction is structured in order to avoid being the subject of reporting requirements under the AMLA;
 - Any circumstances relating to the transaction which is observed to deviate from the profile of the client and/or the client's past transactions with the covered person;
 - The transaction is in any way related to an unlawful activity or any money laundering activity or offense that is about to be committed, is being or has been committed; or

- Any transaction that is similar, analogous or identical to any of the foregoing.
- Covered persons, natural or juridical, required to report to AMLC covered transactions and suspicious transactions.
- **Under Bangko Sentral ng Pilipinas**
 - ✓ Banks
 - ✓ Non-banks
 - ✓ Quasi-banks
 - ✓ Trust entities
 - ✓ Nonstock savings and loan associations
 - ✓ Foreign exchange dealers
 - ✓ Electronic money issuers
 - ✓ Pawnshops
 - ✓ Money changers
 - ✓ Remittance and transfer companies
 - ✓ All other persons and their subsidiaries and affiliated supervised or regulated by the BSP
- **Under Insurance Commission**
 - ✓ Insurance companies
 - ✓ Pre-need companies
 - ✓ Insurance agents
 - ✓ Insurance brokers
 - ✓ Professional reinsurers
 - ✓ Holding companies
 - ✓ Holding company systems
 - ✓ Mutual benefit associations
 - ✓ All other persons in their subsidiaries and affiliated supervised or regulated by the Insurance Commission
- **Under Securities and Exchange Commission**
 - ✓ Securities dealers, brokers, salesmen, investment houses, and other similar persons managing securities or rendering services such as investment agents.
 - ✓ Mutual funds or open-end companies, close-end investment, investment companies or issuers and other similar entities.
 - ✓ Other entities administering or otherwise dealing in commodities, or financial derivatives based thereon, valuable objects, cash substitutes and other similar monetary instruments or properties supervised and regulated by the SEC.
- **Other Designated Non-Financial Business and Professionals**
 - ✓ Jewelry dealers, dealers in precious metals, and dealers in precious stones for transactions in excess of **P1,000,000.**
 - ✓ Land Registration Authority and all of its Register of Deeds on all real estate transaction with price exceeding **P500,000.00.**
 - ✓ Casino refers to a business authorized by the appropriate government agency to engage in gaming operations for single casino transactions in excess of **P5,000,000.00.**
 - **Internet-based casino** shall refer to casinos in which persons participate by the use of remote communication facilities such as, but not limited to, internet, telephone, television, radio or any other kinds of electronic or other technology for facilitating communication.
 - **Ship-based casino** shall refer to casinos, the operation of which is undertaken on board at vessel, ship, boat at any other water-based craft wholly or partly intended for gambling.
- ✓ **Company service providers to 3rd parties including CPAs and Lawyers**
 - Acting as a formation agent to juridical persons;
 - Acting as (or arranging for another person to act as) a director or corporate secretary of a company, a partner of a partnership, or a similar position in relation to other juridical persons;
 - Providing a registered office; business address or accommodation, correspondence or administrative address for a company, a partnership or any legal person or arrangement; and
 - Acting as (or arranging for another person to act as) a nominee shareholder for another reason.
- ✓ **Person providing the following services including CPAs and Lawyers**
 - Managing of client money, securities or other assets;
 - Management of bank, savings or securities accounts;
 - Organization of contributions for the creation, operation or management of companies; and
 - Creation, operation or management of juridical persons or arrangements, and buying and selling business entities.
- **Persons excluded to report covered transactions or suspicious transactions to AMLC**
 - ✓ Lawyers if acting as independent legal professionals in relation to information concerning their clients or where disclosure of information would compromise client confidence or the attorney-client relationship.
 - ✓ Certified public accountants if acting as independent legal professionals in relation to information concerning their clients or where disclosure of information would compromise client confidences or the CPA-client relationship.
- **Jurisdictions over Money Laundering Cases**
 - Regional Trial Court – The regional trial courts shall have the jurisdiction to try money laundering cases committed by private individuals, and public officers not covered by the jurisdiction of the Sandiganbayan.
 - Sandiganbayan – The Sandiganbayan shall have jurisdiction to try money laundering cases committed by public officers under its jurisdiction, and private persons who are in conspiracy with such public officers.
- **Prosecution of Money Laundering Cases**
 - Independent Proceedings – The prosecution of money laundering and the unlawful activity shall proceed independently. Any person maybe charged with and convicted to both money laundering and the unlawful activity.
 - Separate and Distinct Elements – The elements of money laundering are separate and distinct from elements of the unlawful activity. The elements of the unlawful activity, including the identity of the perpetrators and the details of the commission of the unlawful activity, need not be established by proof beyond reasonable doubt in the case of money laundering.

- Knowledge – The elements of knowledge may be established by direct or circumstantial evidence.
- **Anti-Money Laundering Council**
 - Refers to the financial intelligence unit of the Republic of the Philippines which is the government agency tasked to implement the AMLA.
 - **Composition** of Anti-Money Laundering Council
 - ✓ Chairperson – BSP Governor
 - ✓ Member – Insurance Commissioner
 - ✓ Member – SEC Chairperson
 - **Unanimous Decision** – the AMLC shall act unanimously in discharging its functions. In case of incapacity, absence, or disability of any member, the officer duly designated or authorized to discharge the functions of the Governor of the BSP, the Commissioner of the IC, and the Chairperson of the SEC, as the case may be, shall act in his stead in the AMLC.
- **Preventive Measures**
 - **Customer Due Diligence** – covered persons shall establish and record the true identity of their clients based official documents, as defined under Rule of 3 RIRR of AMLA.
 - **Customer Identification**
 - **Face-to-Face Contact** – covered persons shall conduct face-to-face contact at the commencement of the relationship, or as reasonably practicable so as not to interrupt the normal conduct of business.
 - **Minimum Customer Information and Identification Documents**
 - ✓ Name of customer
 - ✓ Date and place of birth
 - ✓ Name of beneficial owner; if applicable
 - ✓ Name of beneficiary (in case of insurance contracts or remittance transactions)
 - ✓ Present address
 - ✓ Permanent addresses
 - ✓ Contact number or information
 - ✓ Nationality
 - ✓ Specimen signatures or biometrics of the customer
 - ✓ Nature of work and name of employer or nature of self-employment business, if applicable
 - ✓ Sources of funds or property; and
 - ✓ Tax Identification Number (TIN), Social Security System, (SSS) number or Government Service Insurance System (GSIS) number, if applicable.
- **Prohibited Accounts**
 - **Anonymous Accounts and Accounts under Fictitious Names** – covered persons shall maintain customer's account only in the true and full name of the account owner or holder. Anonymous accounts, accounts under fictitious names, and all other accounts shall be absolutely prohibited.
 - **Numbered Accounts** – numbered accounts, except non-checking numbered accounts, shall not be allowed. Covered and suspicious transaction reports involving non-checking numbered accounts shall contain the true name of the account holder.
 - **Record Keeping** – covered persons shall maintain and safely store for five (5) years from the dates of transactions

all records of customer identification and transaction documents of their customers or five (5) years from the date the account is closed.

- **Transaction Reporting** – covered person shall report to the AMLC all covered transactions and suspicious transactions within five (5) working days, unless the AMLC prescribes a different period not exceeding fifteen (15) working days, from the occurrence thereof.
- **For Suspicious transaction** – “occurrence” refers to the date of determination of the suspicious nature of the transaction, which determination should be made not exceeding ten (10) calendar days from the date of transaction. However, if the transaction is in any way related to, or the person transacting is involved in or connected to, an unlawful activity or money laundering offense, the 10-day period for determination shall be reckoned from the date the covered person knew or should have known the suspicious transaction indicator.
- **Safe Harbor Provision of AMLA** – No administrative, criminal or civil proceedings shall lie against any person for having made a covered transaction report in the regular performance of his duties and in good faith, whether or not such reporting results in any criminal prosecution under the AMLA or any other Philippine law.
- **Freeze Order** – Upon verified ex parte petition by the AMLC and after determination that probable cause exists that any monetary instrument or property is in any way related to an unlawful activity, the Court of Appeals may issue a freeze order, which shall be effective immediately for a period of 20 days. Within 20-day period, the Court of Appeals shall conduct a summary hearing with notice to the parties, to determine whether or not to modify or lift the freeze order or to extend its effectivity.
- **Freezing of Related Accounts and Materially-Linked Accounts** – considering the intricate and diverse web of interlocking accounts that a person may create in different covered persons, and the high probability that these accounts are utilized to divert, move, conceal and disguise the monetary instrument or property subject of the freeze order, the AMLC may include in its petition the freezing of related and materially-linked accounts.
- **Periodic to Resolve Petition** – The Court of Appeals shall resolve the petition to freeze within twenty-four (24) hours from filing thereof.
- **Effectivity of Freeze Order** – The total period of the freeze order issued by the Court of Appeals under this provision shall not exceed six months. This is without prejudice to an asset preservation order that the Regional Trial Court having jurisdiction over the appropriate money-laundering case or civil forfeiture case may issue on the same accounting depending upon the circumstances of the case, where the Court of Appeals will remand the case and its records: Provided, that if there is no case filed against a person whose account has been frozen within the period determined by the Court of Appeals, no exceeding six months, the freeze order shall be deemed ipso lifted.
- Provided further, that this new rule shall not apply to pending cases in the courts. In any case, the court should act on the petition to freeze within 24 hours from filing of the petition. If the application is filed a day before a nonworking day, the computation of the 24-hour period shall exclude the nonworking days. The freeze order or asset preservation order issued under this Act shall be limited only to the amount of cash or monetary instrument or value of property that the court finds there is probable cause to be considered as proceeds of a predicate offense, and the freeze order or asset preservation order shall not apply to amounts in the same

account in excess of the amount or value of the proceeds of the predicate offense.

• **Bank Inquiry with Court Order**

- o Notwithstanding the provisions of Republic Act No. 140S, as amended; Republic Act No. 6426, as amended; Republic Act No. 8791, and other laws, the AMLC may inquire into or examine any particular deposit or investment account, including related accounts, with any banking institution or non-bank financial institution, upon order by the Court of Appeals based on an ex parte application in cases of violation of the AMLA when it has been established that probable cause exists that the deposits or investments involved, including related accounts, are in any way related to an unlawful activity or a money laundering offense.
- o **Period to Resolve Application** – The Court of Appeals shall resolve the application within twenty-four (24) hours from filing thereof.
- o **Inquiry into or Examination of Related Accounts** – A court order ex parte must be obtained before the AMLC can inquire into the related accounts. The procedure for the ex parte application for an order of inquiry into the principal account shall be the same for that of the related accounts.
- o **Compliance with Article III, Section 2 and 3 of the Constitution** – The authority to inquire into or examine the main account and the related accounts shall comply with the requirements of Article III, Section 2 and 3 of the 1987 Constitution.

• **Bank Inquiry without Court Order**

- o The AMLC shall issue a resolution authorizing the AMLC Secretariat to inquire into or examine any particular deposit or investment account, including related accounts, with any banking institution or non-bank financial institution and their subsidiaries and affiliates when it has been established that probable cause exists that the deposits or investments involved, including related accounts, are in any way related to any of the following unlawful activities: (**Predicate crimes** that may authorize AMLC to inquire bank accounts even without Court Order from Court of Appeals)
 - ✓ **Kidnapping** for ransom under Article 267 of Act No. 3815, otherwise known as the Revised Penal Code, as amended
 - ✓ Section 4, 5, 6, 8, 9, 10, 11, 12, 13, 14, 15 and 16 of Republic Act No. 9165, otherwise known as the **Comprehensive Dangerous Drugs Act** of 2002
 - ✓ **Hijacking and other violations** under Republic Act No. 6235
 - ✓ **Destructive arson and murder**, as defined under the Revised Penal Code, as amended
 - ✓ **Felonies or offenses** of a nature similar to those mentioned in Section 3(i) (1), (2) and (12) of the AMLA which are punishable under the penal laws of other countries
 - ✓ **Terrorism and conspiracy to commit terrorism** as defined and penalized under Republic Act No. 9372; and
 - ✓ **Financing of terrorism** under Section 4 and offenses punishable under Sections 5, 6, 7 and 8 of Republic Act No. 10168, otherwise known as the Terrorism Financing Prevention and Suppression Act of 2012.

• **Asset Forfeiture**

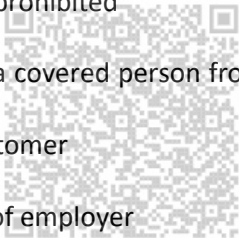
- o **Civil Forfeiture** – Upon determination that probable cause exists that any monetary instrument or property is in any way related to an unlawful activity or a money laundering offense, the AMLC shall file with the regional trial court, through the Office of the Solicitor General, a verified petition for civil forfeiture.
- o **No Prior Criminal Charge, Pendency of or Conviction Necessary** – No prior criminal charge, pendency of or conviction for an unlawful activity or money laundering offense is necessary for the commencement or the resolution of a petition for civil forfeiture.
- o **Asset Forfeiture in Money Laundering Cases** – Where there is conviction for money laundering, the court shall issue a judgment of forfeiture in favor of the Government of the Philippines with respect to the monetary instrument or property found to be proceeds of an unlawful activity.

-- END --



ANTI-MONEY LAUNDERING LAW (AMLA)

- 1. It refers to a crime committed by any person who knowing that any monetary instrument or property represents, involves, or relates to the proceeds of any unlawful activity, transacts, converts, transfers, disposes of, moves, acquires, possesses or uses said monetary instruments or proceeds of any unlawful activity
 - a. Forgery
 - b. Money laundering
 - c. Bribery
 - d. Estafa
- 2. What is the objective of Anti-Money Laundering Law?
 - a. To protect and preserve the integrity and confidentiality of bank accounts
 - b. To ensure that the Philippines shall not be used as a money laundering site for the proceeds of any unlawful activity
 - c. Consistent with its foreign policy, to extend cooperation in transnational investigations and prosecutions of persons involved in money laundering activities wherever committed
 - d. All of the above
- 3. Money laundering is committed by any person who, knowing that any monetary instrument or property represents, involves, or relates to the proceeds of unlawful activity
 - a. Transacts said monetary instrument or property
 - b. Converts, transfers, disposes of, moves, acquires, possesses or uses said monetary instrument or property
 - c. Conceals or disguise the true nature, source, location, disposition, movement or ownership of or rights with respect to said monetary instrument or property
 - d. All of the above
- 4. Covered persons, natural or juridical, refer to
 - a. Banks, non-banks, quasi-banks, trust entities, foreign exchange dealers, pawnshops, money changers, remittance and transfer companies and other similar entities and all other persons and their subsidiaries and affiliates supervised or regulated by the Bangko Sentral ng Pilipinas
 - b. Insurance companies, pre-need companies and all other persons supervised or regulated by the Insurance Commission
 - c. Securities, dealers, brokers, salesmen, investment houses and other similar persons managing securities or rendering services as investment agent, advisor or consultant, mutual funds, close-end investment companies, common trust funds, and other similar persons, and other entities administering or otherwise dealing in currency, commodities or financial derivatives based thereon, valuable objects, cash substitutes and other similar monetary instruments or property supervised or regulated by the Securities and Exchange Commission
 - d. Casinos, including internet and ship-based casinos, with respect to their casino cash transactions related to their gaming operations
 - e. All of the above
- 5. Statement I: Covered institutions shall establish and record the true identity of its clients based on official documents
Statement II: All records of all transactions of covered institutions shall be maintained and safely stored for 5 years from the date of transactions
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false
- 6. One method of preventing money laundering is customer identification. The following are the rules with regard to Customer Identification except
 - a. Covered institutions shall establish the true identify of clients based on official documents
 - b. Maintain a system of verifying true identity of clients
 - c. Peso and foreign currency non-checking numbered accounts are allowed
 - d. Anonymous accounts, those under fictitious names and similar accounts are not prohibited
- 7. Which of the following is not a minimum customer identification to be required by a covered person from its client or customer?
 - a. Name of customer, date and place of birth and Present and permanent address
 - b. Nationality of customer
 - c. Name of all relatives of customer
 - d. Nature of work and name of employer



8. Unlawful activity refers to any act or omission or series or combination thereof involving or having direct relation to the following
 - a. Kidnapping for ransom under the Revised Penal Code
 - b. The Comprehensive Dangerous Drugs Act of 2002 RA (9165)
 - c. The Anti-Graft and Corrupt Practices Act
 - d. All of the above
9. The following are required to be reported to the Anti-Money Laundering Council (AMLC) as they are covered transactions, except
 - a. Any transaction in cash or other equivalent monetary instrument involving a total amount in excess of P500,000 within 1 banking day
 - b. Jewelry dealers in precious stones, who, as a business, trade in precious stones, for transactions in excess of P1,000,000
 - c. The Land Registration Authority and all its Registries of Deeds to submit to the AMLC, reports on all real estate transactions involving an amount in excess of P500,000 within 15 days from the date of registration of the transaction, in a form to be prescribed by the AMLC
 - d. None of the above
10. Statement I: Any person may be charged with and convicted of both the offense of money laundering and the unlawful activity
 Statement II: Any proceeding relating to the unlawful activity shall be given precedence over the prosecution of the offense of money laundering
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both are true
 - d. Both are false

Note: Suggested answer is letter a: Only Statement I is true.

Rationale: RA 10365 and AMLA 2018 IRR: "The prosecutions of ML and the associated unlawful activity shall proceed independently. Any person may be charged with and convicted of both ML and the associated unlawful activity."

11. Which of the following is not considered offense punishable as money laundering?
 - a. Transacting known proceeds of any unlawful activity
 - b. Converting, transferring, disposing of, acquiring, possessing, moving or using known proceeds of any unlawful activity
 - c. Concealing, disguising the true nature, source, location, movement, or ownership of known proceeds of any unlawful activity
 - d. Mere knowledge of proceeds of any unlawful activity
12. Which of the following is not considered offense punishable as money laundering?
 - a. Attempting or conspiring to commit money laundering offenses punishable by Anti-Money Laundering Law
 - b. Aiding, abetting, assisting or counseling the commissions of money laundering offenses punishable by Anti-Money Laundering Law
 - c. Performing or failing to perform any acts as a result of which facilitates the commission of money laundering offenses punishable by Anti-Money Laundering Law
 - d. Mere employment in a covered institution required to report suspicious or reportable transactions to Anti-Money Laundering Council
13. Which of the following is not a predicate crime of Money Laundering Offense?
 - a. Fencing
 - b. Swindling
 - c. Illegal recruitment
 - d. Adultery
14. Which of the following is not a predicate crime of Money Laundering Offense?
 - a. Voyeurism
 - b. Smuggling
 - c. Extortion
 - d. Homicide
15. Which of the following is a predicate crime of Money Laundering Offense?
 - a. Violation of BP 22 a.k.a. Bouncing Check Law
 - b. Violation of Electronic Commerce Act of 2000 a.k.a. RA No. 8792
 - c. Violation of RA 11232 a.k.a the Revised Corporation Code of the Philippines
 - d. Violation of Data Privacy Act



16. Which of the following is not a predicate crime of Money Laundering Offense?
 - a. Fraudulent practices and other violations of the Securities Regulation Code
 - b. Forgeries and Counterfeiting
 - c. Violations of Intellectual Property Code
 - d. Rebellion

17. The following are predicate crimes that may authorize Anti-Money Laundering Council to inquire bank accounts even without court order from Court of Appeals, except
 - a. Violation of Section 4, 5, 6, 9 to 16 of Comprehensive Dangerous Drugs Act
 - b. Hijacking
 - c. Carnapping
 - d. Kidnapping for Ransom

18. The following are predicate crimes that may authorize Anti-Money Laundering Council to inquire bank accounts even without court order from Court of Appeals, except
 - a. Murder
 - b. Financing of Terrorism, Terrorism and conspiracy to commit terrorism
 - c. Destructive arson
 - d. Plunder

19. It refers to a type of transaction that shall be reported by a covered person to the Anti-Money Laundering Council because the transaction breaches the quantitative threshold of reporting purposes
 - a. Suspicious transaction
 - b. Reportable transaction
 - c. Exempted transaction
 - d. Covered transaction

20. As a general rule, what is the quantitative threshold for any transaction in cash or other equivalent of a covered person such as financial institutions, lending companies, insurance companies, preneed companies and other covered persons to be considered reportable transactions to Anti-Money Laundering Council?
 - a. A transaction with amount exceeding P100,000
 - b. A transaction with amount exceeding P500,000
 - c. A transaction with amount exceeding P1,000,000
 - d. A transaction with amount exceeding P5,000,000

21. In case of jewelry dealers, dealers of precious metals or dealers of precious stones, what is the quantitative threshold for any transaction in cash or other equivalent to be considered reportable transaction to Anti-Money Laundering Council?
 - a. A transaction with amount exceeding P100,000
 - b. A transaction with amount exceeding P500,000
 - c. A transaction with amount exceeding P1,000,000
 - d. A transaction with amount exceeding P5,000,000

22. In case of casino, what is the quantitative threshold for any transaction in cash or other equivalent to be considered reportable transaction to Anti-Money Laundering Council?
 - a. A transaction with amount exceeding P100,000
 - b. A transaction with amount exceeding P500,000
 - c. A transaction with amount exceeding P1,000,000
 - d. A transaction with amount exceeding P5,000,000

23. In case of Land Registration Authority and all Registry of Deeds, what is the quantitative threshold for any real estate transactions to be considered reportable transaction to Anti-Money Laundering Council?
 - a. A transaction with amount exceeding P100,000
 - b. A transaction with amount exceeding P500,000
 - c. A transaction with amount exceeding P1,000,000
 - d. A transaction with amount exceeding P5,000,000

24. It refers to a type of transaction that shall still be reported by a covered person to the Anti-Money Laundering Council even if the transaction does not breach the quantitative threshold for reporting purposes by reason of the unusual nature of the transaction
 - a. Suspicious transaction
 - b. Reportable transaction
 - c. Covered transaction
 - d. Exempted transaction



25. It refers to the financial intelligence unit of the Republic of the Philippines which is entrusted with the implementation of Anti-Money Laundering Law
 - a. Anti-Money Laundering Council
 - b. Monetary Board of Bangko Sentral ng Pilipinas
 - c. Insurance Commission
 - d. Securities and Exchange Commission
26. The composition of the Anti-Money Laundering Council are the following except
 - a. Governor of the Bangko Sentral ng Pilipinas
 - b. Chairman of the Civil Service Commission
 - c. Chairman of the Securities and Exchange Commission
 - d. Commissioner of the Insurance Commission
27. Which of the following is not a suspicious transaction and therefore shall not be reported to Anti-Money Laundering Council?
 - a. Transaction in which the client is properly identified
 - b. Transaction in which the amount involved is not commensurate with the business or financial capacity of the client
 - c. Transaction that has no underlying legal or trade obligation, purpose or economic justification
 - d. Transaction that deviates from the profile of the client
28. Which of the following is not a suspicious transaction and therefore that shall not be reported to Anti-Money Laundering Council?
 - a. Transaction that may be perceived that the client's transaction is structured in order to avoid being the subject of reporting requirements under AMLA
 - b. Transaction is any way related to an unlawful activity or any money laundering activity or offense that is about to be committed, is being or has been committed
 - c. Transaction that deviates from the client's transactions with the covered person
 - d. Transaction entered into in the ordinary course of business of the client
29. This principle means that no administrative, criminal or civil proceedings shall lie against any person for having made a covered transaction report in the regular performance of his duties in good faith, whether or not such reporting results in any criminal prosecution under the AMLA or any other Philippine law
 - a. Immunity from suit
 - b. Tax exemption
 - c. Safe harbor provision
 - d. Privity of interest
30. Which of the following statements about prosecution of money laundering offenses is true?
 - a. The prosecution of money laundering and the unlawful activity shall proceed independently such that any person may be charged with and convicted of both money laundering and the unlawful activity
 - b. The elements of money laundering are separate and distinct from the element of the unlawful activity
 - c. The elements of the unlawful activity, including the identity of the perpetrators and the details of the commission of the unlawful activity, need not be established by proof beyond reasonable doubt in the case for money laundering
 - d. All of the above
31. Who among the following is not part of Anti-Money Laundering Council?
 - a. BSP Governor as chairperson of AMLC
 - b. BIR Commissioner as member of AMLC
 - c. Insurance Commissioner as member of AMLC
 - d. SEC Chairperson as member of AMLC
32. Who is the chairman of the Anti-Money Laundering Council
 - a. Insurance Commissioner
 - b. SEC Chairperson
 - c. BSP Governor
 - d. BIR Commissioner
33. How shall the AMLC make decision in the discharge of its functions?
 - a. By majority vote of the three
 - b. By 1/3 vote of the three
 - c. By unanimous vote of the three
 - d. Any of the above
34. What is the minimum retention period of all records of customer identification and transaction documents of their customers by a covered person under Anti-Money Laundering Law?
 - a. At least 1 year from the date of transaction or from date of closure of the account
 - b. At least 3 years from the date of transaction or from date of closure of the account
 - c. At least 5 years from the date of transaction or from date of closure of the account
 - d. At least 10 years from the date of transaction or from date of closure of the account

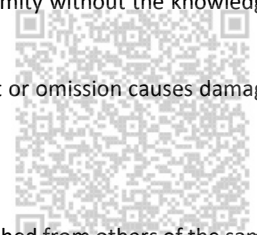


35. Unless changed by the Anti-Money Laundering Council, what is the period for reporting all covered transactions or suspicious transactions by a covered person to Anti-Money Laundering Council?
 - a. Within a period of (5) five working days from the occurrence thereof
 - b. Within a period of (5) five calendar days from the occurrence thereof
 - c. Within a period of (15) fifteen working days from the occurrence thereof
 - d. Within a period of (15) fifteen calendar days from the occurrence thereof
36. Which court has the jurisdiction to entertain a petition for civil forfeiture of any monetary instrument or property is in any way related to an unlawful activity or a money laundering offense?
 - a. Court of Appeals
 - b. Regional Trial Court
 - c. Municipal Trial Court
 - d. Court of Appeals
37. Which court has the jurisdiction to issue a freeze order on bank accounts upon verified ex parte petition by the AMLC and after determination that probable cause exists that any monetary instrument or property is in any way related to an unlawful activity?
 - a. Municipal Trial Court
 - b. Court of Appeals
 - c. Regional Trial Court
 - d. Court of Tax Appeals
38. As an exception to the general rule, which court has original jurisdiction to try money laundering cases committed by public officers with salary grade of at least 26 and private persons in conspiracy with such public officers?
 - a. Municipal trial court
 - b. Court of Tax Appeals
 - c. Sandiganbayan
 - d. Regional Trial Court
39. What is the validity period of the initial freeze order immediately issued by the Court of Appeals upon verified ex parte petition by the AMLC?
 - a. Period of 10 days
 - b. Period of 20 days
 - c. Period of 30 days
 - d. Period of 60 days
40. What is the maximum/total period of the freeze order that may be issued by Court of Appeals for bank accounts which is allegedly related to proceeds of any unlawful activity?
 - a. It shall not exceed (1) one month
 - b. It shall not exceed (2) two months
 - c. It shall not exceed (3) three months
 - d. It shall not exceed (6) six months
41. What is the period allowed by AMLA to Court of Appeals to resolve the verified ex parte petition filed by the AMLC for the issuance of bank inquiry order of bank accounts or investment accounts related to proceeds of any unlawful activity?
 - a. Within 12 hours from the filing of the petition
 - b. Within 24 hours from the filing of the petition
 - c. Within 36 hours from the filing of the petition
 - d. Within 48 hours from the filing of the petition
42. What is the period allowed by AMLA to Court of Tax Appeals to resolve the verified ex parte petition filed by the AMLC for the issuance of freeze order on bank accounts related to proceeds of any unlawful activity?
 - a. Within 12 hours from the filing of the petition
 - b. Within 24 hours from the filing of the petition
 - c. Within 36 hours from the filing of the petition
 - d. Within 48 hours from the filing of the petition
43. What quantum of evidence must be presented to AMLC before it may file with the Regional Trial Court through Office of Solicitor General a verified petition for civil forfeiture of any monetary instrument or property is in any way related to an unlawful activity or a money laundering offense?
 - a. Probable cause
 - b. Preponderance of evidence
 - c. Proof beyond reasonable doubt
 - d. Clear and convincing evidence
44. What quantum of evidence is necessary for conviction of crime of Money Laundering?
 - a. Probable cause
 - b. Preponderance of evidence
 - c. Proof beyond reasonable doubt
 - d. Clear and convincing evidence
45. When there is conviction for money laundering, to whom shall the monetary instrument or property found to be proceeds of an unlawful activity go to?
 - a. It shall be awarded by the regional trial court to the convicted person
 - b. It shall be awarded by the regional trial court to the innocent contracting party
 - c. It shall be given to non-stock non-profit charitable institutions
 - d. It shall be forfeited by the regional trial court in favor of the Government of the Republic of the Philippines



OBLIGATIONS

- **Definition of Obligation:** Article 1156 of the Civil Code defines an obligation as a juridical necessity to give, to do or not to do.
- **Essential Elements or Requisites of an Obligation**
 - An **active subject**, who has the power to demand prestation, also known as the obligee or creditor.
 - A **passive subject**, who is bound to perform the prestation, also known as the obligor or debtor.
 - **Object or prestation**, which is the promise or particular conduct to be performed in the performance of an obligation, and may consist of giving, doing or not doing a thing.
 - **Requisites of an object or prestation** of an obligation are:
 - ✓ It must be possible, physically and juridically.
 - ✓ It must be determinate, or, at least, determinable according to pre-established elements or criteria.
 - ✓ It must have possible equivalent in money.
 - Efficient **cause**, the tie which binds the parties to the obligation, also known as **juridical tie or vinculum**.
 - **Examples of juridical tie or vinculum**
 - ✓ Relation established by law.
 - ✓ Relation established by contract.
 - ✓ Relation established by quasi-contract.
 - ✓ Relation established quasi-delict or culpa aquiliana or tort.
 - ✓ Relation established by crime or delict.
- **Types of Obligation based on the definition**
 - **Positive obligation** refers to an obligation which consists of giving or doing something.
 - **Real obligation** refers to an obligation which consists to the delivery or giving of personal or real object.
 - **Personal obligation** refers to an obligation which consists of doing a particular prestation but not delivery of an object.
 - **Negative obligation** refers to an obligation which consists of abstaining from some act.
- **Distinctions between Civil Obligation and Natural Obligation**
 - **Civil obligations** derive their binding force from positive law or substantive law, while natural obligations derive their binding effect from equity and natural justice.
 - **Civil obligations** can be enforced by court action or the coercive power of public authority, while the fulfilment of natural obligations cannot be compelled by court action but depends exclusively upon the good conscience of the debtor.
 - However, voluntarily fulfilment of **natural obligation** by the debtor will preclude him from asking for reimbursement from the creditor of the amount he has voluntarily paid.
- **Sources of civil obligation demandable in a court of law**
 - **Law** refers to the principles and regulations established in a community by some authority and applicable to its people, whether in the form of legislation or of custom and policies recognized and enforced by judicial decision.
 - ✓ Only obligations expressly determined in the Civil Code or in special laws are demandable.
 - ✓ The obligations derived from law are never presumed.
 - ✓ The law cannot exist as a source of obligations, unless the acts to which its principles may be applied exist.
 - ✓ The obligations and correlative rights arising from law shall be governed by the law by which they are created.
 - **Contract** is a meeting of minds between two persons whereby one binds himself, with respect to the other, to give something or to render some service.
 - ✓ Obligations arising from contracts have the force of law between contracting parties.
 - ✓ Obligations arising from contracts should be complied with in good faith.
 - **Quasi-contract** is a juridical relation which arises from certain lawful, voluntary and unilateral acts, to the end that no one may be unjustly enriched or benefited at the expense of another.
 - **Two Types of Quasi-Contracts**
 - ✓ **Negotiorum Gestio** refers to the voluntary management of the property or affairs of another without the knowledge or consent of the latter.
 - ✓ **Solutio Indebiti** refers to the juridical relation which is created when something is received when there is no right to demand it and it was unduly delivered through mistake.
 - **Examples of Quasi-Contract**
 - ✓ A person voluntary takes charge of the agency or management of business or property of another without authority or consent of the latter.
 - ✓ A person receives something when there is no right to demand it or it was unduly delivered through mistake.
 - ✓ A stranger gives support to a child of another person without the knowledge of the person obliged to give support.
 - ✓ A person saves the property of another person during fire, flood, storm or other calamity without the knowledge of the owner.
 - **Quasi-delict or culpa aquiliana or torts** refers to a source of an obligation wherein a person by act or omission causes damage to another, there being fault or negligence.
 - **Crime or delict** refers to any act or omission which is punishable by law.
- **Kinds of Thing or Object**
 - ✓ A **generic or indeterminate thing** is only indicated by its kind, without being designated and distinguished from others of the same kind. (Note: Generic thing never perishes).



✓ A **determinate or specific thing** is one that is individualized and can be identified or distinguished from others of its kind.

• **Incidental or accessory obligations in an obligation to deliver a determinate thing**

- Obligation to preserve the determinate thing with due care.
 - **Degree of diligence to be exercised** by the obligor or debtor in the preservation of determinate thing.
 - ✓ Diligence required by law
 - Contract of common carrier – Extraordinary diligence
 - Contract of bank deposits – Extraordinary diligence
 - ✓ Diligence stipulated in the contract
 - The stipulation must be valid. Waiver of future fraud or future gross negligence is null and void.
 - ✓ Ordinary diligence or diligence of a good father of a family or diligence of a reasonably prudent person.
 - Obligation to deliver the fruits of the determinate thing if the fruits occur after the obligation to deliver the determinate thing arises.
 - **Kinds of fruits under the Civil Code**
 - ✓ **Natural fruits** are the spontaneous products of the soil, and the young and other products of animals.
 - ✓ **Industrial fruits** are those produced by lands of any kind through cultivation or labor.
 - ✓ **Civil fruits** are fruits as a **result of civilization** or fruit arising out of a juridical relation or contracts such as are the rents of buildings, the price of leases of lands and other property and the amount of perpetual or life annuities or other similar income.
 - Obligation to deliver the accessions and accessories of the determinate thing.
 - **Accessories** refer to those which destined for the embellishment, use or their preservation of another thing or more importance, have for their object the completion of the latter for which they are indispensable or convenient.
 - **Accessions** include everything which is produced by a thing, or which is incorporated or attached thereto, either naturally or artificially.

• **Types of Rights of Creditor over the thing and its fruits (Moment the right is obtained)**

- A **real right** is the power belonging to a person over a specific thing, without a passive subject individually determined, against whom such right may be personally exercised. It refers to a right that can be exercised against the whole world thereby allowing an action to recover the ownership or possession of a specific thing regardless of the possessor of such thing. Real right over a determinate thing is acquired from the moment of its actual or constructive delivery.
- A **personal right** is the power belonging to one person to demand of another, as a definite passive subject, the fulfillment of a prestation to give, to do or not to do. It refers to a right that can be exercised only against a specific person thereby prohibiting an action to recover the ownership or possession of a specific thing if already with a third person but only allows action for damages against a specific person. Personal right over a determinate thing is acquired from the moment provided by the Civil Code or Special Law.

• **General remedies available to creditor when the debtor fails to comply with his obligation**

- ✓ Action for specific performance with damages.
- ✓ Action to rescind the obligation with damages.
- ✓ Action for damages.

• **Remedies of the creditor in the case the debtor fails to comply with his obligation to deliver a determinate or specific thing**

- ✓ Action for specific performance in addition to damages under Article 1170.
- ✓ Action for damages if action for specific performance becomes legally impossible.

• **Remedies of the creditor in the case the debtor fails to comply with his obligation to deliver an indeterminate or generic thing**

- ✓ Action for specific performance with damages.
- ✓ He may ask the obligation to be complied with by a third person at the expense of the debtor with damages.

• **Remedy of the creditor if the debtor fails to do the prestation in obligation to do**

- ✓ The creditor or third person may do it in a proper manner at the expense of the debtor.

• **In an obligation to do whereby only the debtor can do the thing, remedy of the creditor if the debtor fails to do the prestation**

- ✓ Action for indemnification for damages.

• **In an obligation to do, remedy of the creditor in case the debtor did it in contravention of the tenor of the obligation or did it poorly**

- ✓ The creditor or third person may do it in a proper manner or it may be decreed that what had been poorly done be undone at the expense of the debtor.

• **In an obligation consisting in not doing, remedy of the creditor in case the debtor does what has been forbidden him**

- ✓ It shall be undone at the expense of debtor with indemnification for damages.

• **Definition of Delay**

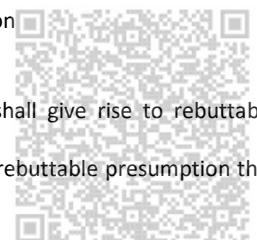
- ✓ **Default (Mora)** refers to the non-fulfilment of the obligation with respect to time.

• **Requisites** in order that the debtor may be in default or for debtor's delay or mora to exist:

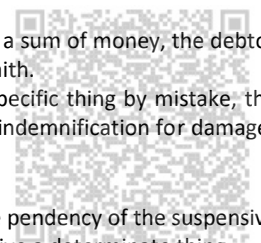
- ✓ The obligation must be demandable and already liquidated.
- ✓ The debtor delays performance of the obligation.
- ✓ The creditor demands the performance either judicially or extrajudicially.



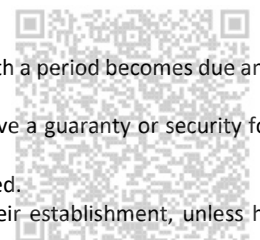
- As a general rule, judicial or **extrajudicial demand is necessary** for delay to exist. However, the following are the **exceptional instances** when demand by the creditor shall not be necessary in order that delay may exist:
 - ✓ When the obligation expressly so declares that demand is excused or waived.
 - ✓ When the law expressly so declares that demand is excused or waived.
 - ✓ When from the nature and the circumstances of the obligation it appears that the designation of the time when the thing is to be delivered or the service is to be rendered was a controlling motive for the establishment of the contract.
 - ✓ When demand would be useless, as when the obligor has rendered it beyond his power to perform.
- **Moment of delay in reciprocal obligation**
 - ✓ From the moment one of the parties fulfills his obligation.
- **Types of Delay or Default (Mora)**
 - **Mora solvendi** – Debtor’s delay
 - Effects of delay on the part of the debtor:
 - ✓ The debtor becomes liable for damages for the delay.
 - ✓ When it has for its object a determinate thing, the delay places the risk of the thing on the debtor.
 - **Mora accipiendi** – Creditor’s delay
 - Effects of the delay on the part of the creditor:
 - ✓ The creditor becomes liable for damages.
 - ✓ The debtor may relieve himself of the obligation by the consignation of the thing.
 - ✓ The creditor bears the risk of the loss of the thing.
 - ✓ The responsibility of the debtor for the thing is reduced and limited to fraud and gross negligence.
 - ✓ All expenses for the preservation of the thing after the mora shall be chargeable to the creditor.
 - **Compensatio morae** – Delay of both parties
 - Effect of compensatio morae:
 - ✓ The delays of both parties are compensated or offset.
- **Grounds for damages** in the performance of obligation under Article 1170 or Grounds for breach of contract
 - Fraud – Dolo refers to the deliberate and intentional evasion of the normal fulfilment of obligations.
 - Negligence - Fault – Culpa is the failure to observe for the protection of the interests of another person, that degree of care, precaution and vigilance which the circumstances justly demand, whereby such person suffers injury.
 - Delay – Default – Mora refers to the non-fulfilment of the obligation with respect to time.
 - Contravention of the tenor of obligation refers to illicit act which impairs the strict and faithful fulfilment of the obligation or every kind of defective performance.
- **Types of civil damages** that may be awarded by Court
 - **Mutually exclusive damages**
 - ✓ Liquidated damages are damages agreed upon by the parties to a contract, to be paid in case of breach thereof. It refers to the type of damages that is not assessed by the court but merely applied based on the contractual stipulation of the parties. It refers to the penalty in an obligation with a penal clause.
 - ✓ Actual damages or compensatory damages are those pecuniary losses suffered and duly proved by the plaintiff (Legal interest of 6% per annum starting July 1, 2013 and 12% before July 1, 2013).
 - ✓ Temperate damages or moderate damages are more than nominal but less than compensatory damages. They may be recovered when the court finds that some pecuniary loss has been suffered but its amount cannot, from the nature of the case, be provided with certainty.
 - ✓ Nominal damages are damages adjudicated in order that a right of the plaintiff, which has been violated or invaded by the defendant, may be vindicated or recognized, and not for the purpose of indemnifying the plaintiff for any loss suffered by him.
 - **Additional damages** to any of the mutually exclusive damages
 - ✓ Moral damages are damages awarded by reason of physical suffering, mental anguish, fright, serious anxiety, besmirched reputation, wounded feelings, moral shock, social humiliation, and similar injury.
 - ✓ Exemplary damages or corrective damages are damages imposed, by way of example or correction for the public good, in addition to the moral, temperate, liquidated or compensatory damages.
- **Waiver of fraud**
 - **Future Fraud** (Waiver of an action for future fraud is void).
 - **Past fraud** (Waiver of an action for past fraud may be considered valid).
- **Degree of Diligence** to be observed by Contracting Parties in the Performance of obligation
 - Diligence Required by Law
 - ✓ Contract of common carrier – Extraordinary diligence.
 - ✓ Contract of bank deposits – Extraordinary diligence.
 - Diligence Stipulated by the Contracting parties
 - ✓ The stipulation must be valid. Waiver of future fraud or future gross negligence is null and void.
 - Ordinary diligence or diligence of a good father of a family or diligence of a reasonably prudent person
- **Principles on issuance of receipt**
 - The receipt of the principal by the creditor, without reservation with respect to the interest, shall give rise to rebuttable presumption that said interest has been paid.
 - The receipt of a later installment of a debt without reservation as to prior installments, shall raise rebuttable presumption that such prior installments have been paid.



- In order to satisfy their claims against the debtor, the **unpaid creditor has the following successive rights** in order of priority after prevailing in the civil action for exact fulfillment.
 - ✓ To levy by attachment and execution upon all the property of the debtor including garnishment of bank deposits, EXCEPT such as exempt by law from execution.
 - ✓ To exercise all rights and actions of the debtor, EXCEPT such as are inherently personal to him (Accion subrogatoria).
 - ✓ To ask for the rescission of the contracts made by the debtor in fraud of his rights (Accion pauliana).
 - ✓ To file an action for damages against the third person who acquired the property of debtor in bad faith.
- **Principle on transmissibility of rights acquired from an obligation**
 - ✓ Subject to the provisions of laws, they are transmissible unless there is stipulation to the contrary.
- **Types of Obligations as to Demandability**
 - ✓ **Pure obligation** refers to an obligation which contains no term or condition whatever upon which depends the fulfillment of the obligation contracted by the debtor.
 - ✓ **Conditional obligation** refers to an obligation subject to a condition.
 - ✓ **Obligation with a period** refers to an obligation subject to a space of time which is certain to happen.
- **Obligations demandable at once**
 - ✓ Pure obligation.
 - ✓ Obligation in diem or obligation with a resolutive period.
 - ✓ Obligation with a resolution condition.
- **Obligations not demandable at once**
 - ✓ Obligation ex die or obligation with a suspensive period.
 - ✓ Obligation when the debtor's means permit him to do so.
 - ✓ Obligation with a suspensive condition.
- **Distinctions between suspensive condition and resolutive condition**
 - ✓ If the suspensive condition happens, the obligation arises while if the resolutive condition happens, the rights and obligations already existing are extinguished.
 - ✓ In suspensive condition, the rights and obligations do not exist before the happening of the condition while in resolutive condition, the rights and obligation already exist even before the happening of the condition.
 - ✓ Obligation subject to a suspensive condition is not demandable at once while obligation subject to resolutive condition is demandable at once.
 - ✓ Suspensive condition is known as condition precedent while resolutive condition is condition subsequent.
- **Types of conditions**
 - ✓ **Potestative Condition** is one which depends upon the will of one of the contracting parties.
 - If the suspensive condition is potestative upon debtor, the obligation that depends upon it is void while
 - if the suspensive condition is potestative upon creditor, the obligation that depends upon it is valid.
 - ✓ **Casual Condition** is one which depends exclusively upon chance or other factors, and not upon will of the contracting parties.
 - ✓ **Mixed Condition** is one which depends upon the will of the contracting **parties** and **other circumstances**, including the will of a third person.
- **Conditions that annul the obligation which depends upon them for their existence**
 - ✓ Impossible conditions.
 - ✓ Suspensive conditions which depend upon sole will of debtor.
 - ✓ Conditions contrary to good customs or public policy.
 - ✓ Conditions prohibited by law.
- **Effect if the obligor voluntarily prevented the fulfillment of the condition of an obligation subject to a suspensive condition.**
 - ✓ The suspensive condition shall be deemed fulfilled and the obligation becomes demandable.
- **Retroactive effect of fulfillment of suspensive condition in conditional obligation to give subject a suspensive condition.**
 - ✓ It shall retroact to the day of the constitution of the obligation once the condition has been fulfilled.
- **Effects of fulfillment of condition on the determinate thing's fruits occurring during the pendency of the condition**
 - ✓ In conditional reciprocal obligation, the fruits and interests during the pendency of the condition shall be deemed to have been mutually compensated.
 - ✓ In conditional unilateral obligation to give or unilateral obligation to give subject to a period, the fruits shall inure to the sole benefit of the debtor whether the condition is suspensive or resolutive in the absence of stipulation to the contrary.
 - ✓ In conditional obligation to do or not to do, the courts shall determine, in each case, the retroactive effect to the fruits of the condition that has been complied with taking into account the agreement of the parties.
 - ✓ Before the fulfillment or pendency of the suspensive condition, the creditor may bring appropriate actions for the preservation of his right regarding the fruits.
- **Effects of payment or delivery by mistake in a condition subject to a suspensive condition or suspensive period**
 - ✓ If during the pendency of the suspensive condition, the debtor has paid by mistake a sum of money, the debtor can recover the sum of money but with interests only if the creditor acted in bad faith.
 - ✓ If during the pendency of the period in an obligation with a period, the debtor has paid by mistake a sum of money, the debtor can recover the sum of money and with interests whether the creditor acted in good faith or bad faith.
 - ✓ If during the pendency of the suspensive condition, the debtor has delivered a determinate or specific thing by mistake, the debtor may file (1) an accion reivindicatoria if the thing is still with the creditor or (2) an action for indemnification for damages if the thing is no longer with the creditor.
- **Rules to be observed in case of the improvement, loss or deterioration of the determinate thing** during the pendency of the suspensive condition in an obligation to give a determinate thing or pendency of the suspensive period in obligation to give a determinate thing
 - ✓ If the thing is lost without the fault of the debtor, the obligation shall be extinguished.



- ✓ If the thing is lost through the fault of the debtor, he shall be obliged to pay damages.
 - ✓ When the thing deteriorates without the fault of the debtor, the impairment is to be borne by the creditor.
 - ✓ If the thing is improved by its nature, or by time, the improvement shall inure to the benefit of the creditor.
 - ✓ If it is improved at the expense of the debtor, he shall have no other right than that granted to the usufructuary which means that he shall only have the right to use the improved thing for a reasonable period.
- **Alternative remedies of creditor** when the determinate thing deteriorates through the fault of the debtor during the pendency of the suspensive condition in an obligation to give a determinate thing or suspensive period in an obligation to give a determinate thing.
 - ✓ He may ask for the rescission of the obligation with indemnity for damages.
 - ✓ He may ask for the performance of the obligation with indemnity for damages.
- **Instances when the thing is considered lost**
 - ✓ When it perishes.
 - ✓ When it goes out of commerce.
 - ✓ When it disappears in such a way that its existence is unknown or it cannot be recovered.
 - ✓ When it is a destroyed specific thing.
- **Effects of fulfillment of resolutive condition to the obligation of the parties**
 - ✓ There will be mutual restitution.
 - ✓ The fruits shall be returned by the person who will make the restitution with deduction for the expenses for the production, gathering and preservation of the fruits.
- **Reciprocal obligation** refers to a type of obligation which arises from the same cause and in which each party is a debtor and creditor of the other, such that the obligation of one is dependent upon the obligation of the other.
- **Right to ask for Rescission of Reciprocal Obligation by the Injured Party**
 - ✓ The injured party can ask for judicial rescission of the obligations in case one of the obligors should not comply with what is incumbent upon him because the power to rescind obligations is implied in reciprocal ones.
- **Alternative remedies of Injured Party in case of breach of reciprocal obligation**
 - ✓ As a general rule, the injured party may ask for the fulfillment of obligation with damages and can no longer ask for rescission of obligation after selection of this remedy. However, if the exact fulfillment becomes legally impossible after its selection, the injured party may exceptionally ask for the rescission of the obligation.
 - ✓ If the injured party asks for the rescission of the obligation, he is absolutely prohibited from asking exact fulfillment of the obligation.
- **Principles concerning reciprocal obligations**
 - ✓ The court shall decree the rescission claimed, unless there be just cause authorizing the fixing of a period.
 - ✓ In case both parties have committed a breach of the obligation, the liability of the first infractor shall be equitably tempered by the courts.
 - ✓ If it cannot be determined which of the parties first violated the contract, the same shall be deemed extinguished, and each shall bear his own damages.
- **Obligation with a period** is an obligation which is subject to a space of time which, exerting an influence on obligations as a consequence of a juridical act, suspends their demandability or determines their extinguishment.
- **Distinctions between a condition and a period**
 - ✓ A condition is an uncertain event while a period is an event that must necessarily come.
 - ✓ While a condition gives rise to an obligation or extinguishes one already existing, a period has no effect upon the existence of obligation, but only its demandability or performance and thus, a period does not carry with it any retroactive effect.
 - ✓ A condition may refer to a past event and unknown to parties while a period always refers to the future.
 - ✓ A suspensive condition purely potestative upon the debtor's will annuls the obligation that depends upon it while a suspensive period which depends exclusively on the will of the debtor does not annul the obligation that depends upon it but merely authorizes the court to fix the suspensive period of the obligation.
- **Types of Obligation with a period**
 - ✓ **Obligation Ex die or Obligation with a suspensive period** is an obligation already existing but not yet demandable until the arrival of the suspensive period.
 - ✓ **Obligation In diem or Obligation with a resolutive period** is an obligation already immediately demandable but will be extinguished upon the arrival of the resolutive period.
- **Benefit of the obligation with a period**
 - ✓ It is presumed to be for the benefit of both creditor and debtor in the absence of contrary agreement.
- As a general rule, the court is not allowed to fix a period in an obligation. However, the following are the exceptional instances wherein the court may fix the period of an obligation with a period.
 - ✓ If the obligation does not fix a period, but from its nature and the circumstances it can be inferred that a period was intended.
 - ✓ If the period depends upon the sole will of the debtor.
 - ✓ In case of pure obligation, to prevent unreasonable interpretations of its immediate demandability.
- **Instances** wherein the debtor shall lose every right to make use of the period and therefore the obligation with a period becomes due and demandable which allows the creditor to demand its performance from the debtor.
 - ✓ When after the obligation has been contracted, the debtor becomes insolvent and he does not give a guaranty or security for the debt.
 - ✓ When the debtor does not furnish to the creditor the guaranties or securities which he has promised.
 - ✓ When by debtor's own acts he has impaired or destroyed said guaranties or securities after their establishment, unless he immediately gives new one equally satisfactory.



- ✓ When through a fortuitous event the guaranties or securities after their establishment disappeared, unless the debtor immediately gives new one equally satisfactory.
- ✓ When the debtor violates any undertaking, in consideration of which the creditor agreed to the period.
- ✓ When the debtor attempts to abscond.

❖ **Alternative Obligation vs. Facultative Obligation vs. Conjunctive Obligation**

- ✓ **Alternative Obligation** is an obligation where the debtor is alternatively bound by different prestations and it is extinguished by the complete performance of any of them.
- ✓ **Facultative Obligation** is an obligation wherein only one prestation has been agreed upon but the obligor may render another in substitution.
- ✓ **Conjunctive Obligation** is an obligation where the debtor has to perform several prestations and it is extinguished only by the performance of all of them.

• **Distinctions between alternative obligation and facultative obligation**

- ✓ In alternative obligation, several objects being due, the fulfillment of one is sufficient, determined by the choice of the debtor who generally has the right of election while in facultative obligation, only one thing is due, but the debtor has reserved the right to substitute in with another.
- ✓ In alternative obligation, the loss of one of the things due through the fault of debtor may affect the obligation if the right of choice is given to creditor while in facultative obligation, the loss of that which may be given as substitute does not affect the obligation if the loss occurs before the substitution.
- ✓ In alternative obligation, the right of choice may be granted to the creditor while in facultative obligation, the right of choice can never be granted to creditor.
- ✓ In alternative obligation, the loss of one of the things due through fortuitous event does not extinguish the obligation while in facultative obligation, the loss through fortuitous event of that which is due as the object of the obligation will extinguishes such obligation.

• **Joint Obligation vs. Solidary Obligation**

- ✓ **Solidary obligation** is one in which each debtor is liable for the entire obligation and each creditor is entitled to demand the whole obligation.
- ✓ **Joint obligation** is one in which each of the debtors is liable only for a proportionate part of the debt and each creditor is entitled only to a proportionate share of the credit.

• **Instances when the obligation is considered solidary**

- ✓ When the obligation expressly so states that the obligation is solidary.
- ✓ When the law requires the obligation to be solidary.
- ✓ When the nature of the obligation requires it to be solidary.

• **Principal consequences of the joint character of the obligation**

- ✓ The demand by one creditor upon one debtor produces the effects of default only with respect to the creditor who demanded and the debtor on whom the demand was made, but not with respect to the others.
- ✓ The interruption of prescription by the judicial demand of one creditor upon a debtor, does not benefit the other creditors nor interrupt the prescription as to other debtors.
- ✓ The vices of each obligation arising from the personal effect of a particular debtor or creditor do not affect the obligation or rights of the others.
- ✓ The insolvency of a debtor does not increase the responsibility of his co-debtors and it does not authorize a creditor to demand anything from his co-creditors.

• **Principles concerning solidary obligations**

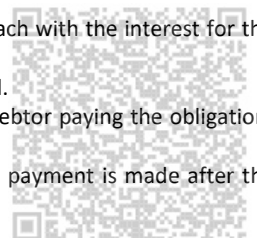
- ✓ The indivisibility of an obligation does not imply solidarity.
- ✓ The solidarity of an obligation does not imply indivisibility.
- ✓ Solidary may exist although the creditors and the debtors may not be bound in the same manner and by the same period and conditions.
- ✓ Each one of the solidary creditors may do whatever may be useful to the others, but not anything which may be prejudicial to the latter.
- ✓ A solidary creditor cannot assign his rights without the consent of the others.
- ✓ The debtor may pay any one of the solidary creditors but if any demand, judicial or extrajudicial, has been made by any one of the solidary creditors, payment should be made to him by the debtor to whom demand for payment is made.

• **Acts if made by any of the solidary creditors** with any of the solidary debtors extinguish the solidary obligation but may be subject to possible reimbursement among the solidary creditors and solidary debtors themselves EXCEPT in case of remission wherein reimbursement is not allowed:

- ✓ Novation
- ✓ Compensation
- ✓ Confusion
- ✓ Remission

• **Principles concerning the payment of solidary obligation**

- ✓ Payment made by one of the solidary debtors extinguishes the obligation and if two or more solidary debtors offer to pay, the creditor may choose which offer to accept.
- ✓ He who made the payment may claim from his co-debtors only the share which corresponds to each with the interest for the payment already made.
- ✓ If payment is made before the debt is due, no interest for the intervening period may be demanded.
- ✓ When one of the solidary debtors cannot, because of his insolvency, reimburse his share to the debtor paying the obligation, such shall be borne by the paying debtor and the other co-debtors pro-rata.
- ✓ Payment by a solidary debtor shall not entitle him to reimbursement from his co-debtors if such payment is made after the obligation has prescribed or become illegal.

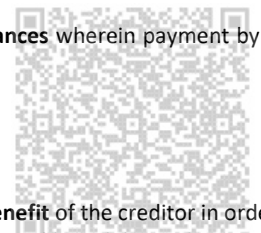


- ✓ The remission made by the creditor of the share which affects one of the solidary debtors does not release the latter from his responsibility towards the co-debtors, in case the debt had been totally paid by anyone of them before the remission was effected.
 - ✓ The remission of the whole obligation, obtained by one the solidary debtors, does not entitle him to reimbursement from his co-debtors.
 - ✓ If the thing has been lost or if the prestation has become impossible without the fault of the solidary debtors, the obligation shall be extinguished.
- **Defenses that may be availed of by the solidary debtor in actions filed by the creditor**
 - ✓ Defenses which are inherent from the nature of the solidary obligation.
 - ✓ Defenses personal to defendant-debtor for the whole amount of the obligation.
 - ✓ Defenses personal to other debtors as regards that part of the debt for which the latter are responsible.
- **Divisible Obligation vs. Indivisible Obligation**
 - **Divisible Obligation** is one which is susceptible of partial performance; that is, the debtor can legally perform the obligation by parts and the creditor cannot demand a single performance of the entire obligation.
 - **Indivisible Obligation** is one which is not susceptible of partial performance or the law provides that the performance of the obligation is indivisible or the contract provides that the performance of the obligation is indivisible.
 - **Instances when the obligation is considered indivisible**
 - ✓ When the obligation is not susceptible of partial performance.
 - ✓ When the law provides that the performance of obligation is indivisible.
 - ✓ When the contract provides that the performance of the obligation is indivisible.
- **Principles pertaining to divisible obligations and indivisible obligations**
 - ✓ Divisibility or indivisibility of the obligation refers not to the object or thing but to the performance of the obligation.
 - ✓ A divisible obligation, whatever may be the nature of the thing which is the object thereof, refers to one which can be validly performed in parts.
 - ✓ The thing or object may be divisible, yet the obligation may be indivisible.
 - ✓ Obligations to give definite things and those which are not susceptible of partial performance shall be deemed indivisible.
 - ✓ When the obligation has for its object the execution of a certain number of days of work, the accomplishment of work by metrical units, or analogous things which by their nature are susceptible of partial performance, it shall be divisible.
 - ✓ Even though the object or service may be physically divisible, an obligation is indivisible if so provided by law or intended by the parties.
 - ✓ In obligations to do, divisibility or indivisibility shall be determined by the character of the prestation in each particular case.
- **Principles of Joint Indivisible Obligation**
 - ✓ To enforce a joint indivisible obligation, there is necessity of collective fulfillment and the action must be against all the debtors which means that all joint indivisible debtors are indispensable party in the action to enforce joint indivisible obligation.
 - ✓ In case of non-performance by all debtors in a joint indivisible obligation, the action for exact fulfillment must be against all the joint indivisible debtors because they are all indispensable party in the suit.
 - ✓ In case of non-performance by any of the debtors in a joint indivisible obligation, the obligation is converted into a liability for losses and damages, which is divisible.
 - ✓ A joint indivisible obligation cannot be compelled by specific performance if anyone of the debtors does not or cannot comply with this undertaking.
 - ✓ The joint indivisible debtors who may have been ready to fulfill their promises shall not contribute to the indemnity beyond the corresponding portion of the price of the thing or of the value of the service in which the obligation consists.
- **Obligation with a penal clause** is an obligation which has an accessory undertaking to assume greater liability in case of breach. The penalty is also known as liquidated damages which are stipulated or predetermined by the contracting parties.
- **Principles pertaining to obligations with a penal clause**
 - ✓ The debtor does not have absolute right to just pay the penalty for non-performance of the obligation instead of fulfilling the obligation.
 - ✓ The penalty stipulated must not be contrary to law, morals, or public order to be enforceable.
 - ✓ Obligations with a penal clause must be construed strictly against the awarding of penalty.
 - ✓ In case of breach of obligations with a penal clause, the debtor cannot have both enforcement of penalty for non-compliance of obligation and specific performance of obligation because they are inconsistent remedies.
 - ✓ Proof of actual damages suffered by the creditor is not necessary in order that the penalty may be demanded because they are liquidated or predetermined damages by the contracting parties.
 - ✓ The judge shall equitably reduce the penalty when the principal obligation has been partly or irregularly complied with by the debtor and even if there has been no performance, the penalty may also be reduced by the courts if it is iniquitous or unconscionable.
 - ✓ The nullity of the principal obligation carries with it that of the penal clause.
 - ✓ The nullity of the penal clause does not carry with it that of the principal obligation.
- As a general rule, **penalty or liquidated damages** for breach of obligation with a penal clause are **awarded in lieu of damages and interest**. However, the following are the **exceptional instances** when the creditor may demand payment of damages and interest aside from penalty in obligation with a penal clause
 - ✓ If there is stipulation that damages and interests may be demanded in addition to penalty in case of breach of obligation with a penal clause.
 - ✓ When the debtor is guilty of bad faith or fraud in the breach of the obligation with a penal clause.
 - ✓ When the debtor fails to pay the penalty in case of breach of the obligation with a penal clause.
- **Modes of extinguishment of obligations: (No-Co-Me-Re-Pa-Lo-Pre-Re-Ful-An)**
 - ✓ **No** – Novation
 - ✓ **Co** – Compensation or Offset
 - ✓ **Me** – Merger or Confusion
 - ✓ **Re** – Remission or Donation or Condonation or Renunciation



- ✓ **Pa** – Payment or Performance
- ✓ **Lo** – Loss of the thing due
- ✓ **Pre** – Prescription of Right to File Action converting the civil obligation to natural obligation
- ✓ **Re** – Rescission of Rescissible Obligation or Rescissible Contract
- ✓ **Full** – Fulfillment of Resolutive Condition or Resolutive Period
- ✓ **An** – Annulment of Voidable Obligation or Voidable Contract

- **Prescription** refers to the mode of extinguishment of right to file an action or obligation by the **mere lapse of time** fixed by law.
 - ✓ **6 years** for quasi contract
 - ✓ **6 years** for oral contract
 - ✓ **10 years** for written contract
 - ✓ **10 years** for court judgment
 - ✓ **4 years** for quasi-delict
- **Payment or Performance** is a mode of extinguishing obligation which refers to the **fulfillment of the prestation due**.
- **Requisites of a valid payment**
 - ✓ The payment must be in accordance with the obligation.
 - ✓ The person paying as well as the one receiving payment should have the requisite capacity.
 - ✓ It should be made by the debtor to the creditor.
 - ✓ It should be made at the right time and place.
- **Principles applicable to payment**
 - ✓ Payment means not only delivery of money but also performance, in any other manner, of an obligation.
 - ✓ A debt shall not be understood to have been paid unless the thing or service in which the obligation consists has been completely delivered or rendered, as the case may be.
 - ✓ If the obligation has been substantially performed in good faith, the obligor may recover as though there had been a strict and complete fulfillment, less damages suffered by the obligee.
 - ✓ When the obligee accepts the performance, knowing its incompleteness or irregularity, and without expressing any protest or objection, the obligation is deemed fully complied with.
- **Payment concepts**
 - ✓ In obligations to give, payment made by one who does not have the free disposal of the thing due and capacity to alienate it shall not be valid.
 - ✓ Payment to a person who is incapacitated to administer his property shall be valid if he has kept the thing delivered or insofar as the payment has been beneficial to him.
 - ✓ Payment made to the creditor by the debtor after the latter has been judicially ordered to retain the debt shall not be valid.
 - ✓ The debtor of a thing cannot compel the creditor to receive a different one, although the latter may be of the same value as, or more valuable than that which is due.
 - ✓ In obligations to do or not to do, an act or forbearance cannot be substituted by another act or forbearance against the obligee's will.
 - ✓ When the obligation consists in the delivery of an indeterminate or generic thing, whose quality and circumstances have not been stated, the creditor cannot demand a thing of superior quality and the debtor cannot deliver a thing of inferior quality.
- **Rules concerning the payment of debts in money**
 - ✓ The payment of debts in money can be made in other currency.
 - ✓ The payment of debts in money shall be made in the currency stipulated.
 - ✓ In case the delivery of the currency stipulated is not possible, the payment of debts in money shall be made in the currency which is legal tender in the Philippines.
 - **Legal Tender in Philippine Jurisdiction** – refers to the currency which a debtor can compel a creditor to accept in an obligation to pay a sum of money.
 - 1 centavo, 5 centavos, 10 centavos, 25 centavos – Up to P100 only.
 - 2. P1, P5, P10 – Up to P1,000 only.
 - P20, P50, P100, P200, P500, P1,000 – Unlimited legal tender power.
 - ✓ The delivery of promissory notes payable to order or bills of exchange or other mercantile documents shall produce the effect of payment only: (1) when they have been cashed or (2) when through the fault of the creditor they have been impaired or (3) when the amount has been credited to the bank account of creditor. Negotiable instruments like promissory note, bill of exchange and checks are not legal tender and not as good as cash.
 - ✓ In case an extraordinary inflation or deflation of the currency stipulated should supervene, the value of the currency at the time of the establishment of the obligation shall be the basis of payment, unless there is an agreement to the contrary.
- **Place of payment of obligation**
 - ✓ Place designated in the obligation.
 - ✓ In the absence of agreement, delivery shall be made wherever the thing might be at the moment the obligation was constituted or perfected in case of obligation to deliver a determinate thing.
 - ✓ In the absence of agreement, delivery shall be made at the domicile of debtor in case of obligation to deliver a generic thing.
- **Right of a third person who pays for the debtor without the knowledge or against the will of the debtor**
 - ✓ The third person may recover only insofar as the payment has been beneficial to the debtor but there is no legal subrogation.
- **As a general rule, payment to a third person is not valid.** However, the following are the **exceptional instances** wherein payment by a debtor to a third person is valid:
 - ✓ When in good faith, the debtor pays to one in possession of the credit.
 - ✓ When, without notice of the assignment of the credit, the debtor pays to the original creditor.
 - ✓ When the payment to a third person redounded to the benefit of the creditor.
- Generally, it is the **obligation of the debtor to prove that the payment to a third person redounded to the benefit** of the creditor in order for the payment to be valid. The following are **exceptional instances** when benefit to creditor **need not be proved** by a debtor who pays a third person for such payment to be valid:



- ✓ If after the payment, the third person acquires the creditor's rights.
- ✓ If the third person is authorized by the creditor.
- ✓ If the creditor ratifies the payment to the third person.
- ✓ If by the creditor's conduct, the debtor has led to believe that the third person had authority to receive payment.

• **Special Forms of Payment**

- ✓ Application of payment (Not really a special form of payment).
- ✓ Payment by cession.
- ✓ Dation in payment.
- ✓ Tender of payment and consignment.

- **Dation in payment or Dacion en Pago** refers to a special form of payment whereby a property is alienated to the creditor in satisfaction of a debt in money when the loan in money is already due at the time of change. This special mode of payment shall be governed by Law on Sales. If the change occurs before the maturity day of the obligation to pay a sum of money, the mode of extinguishment of obligation is not dation en pago but it will be novation.

- **Cession** refers to a special type of payment which involves the voluntary abandonment of the universality of the property of the debtor for the benefit of his creditors, in order that such property may be applied to the payment of the credits.

▪ **Distinctions between dation in payment and payment by cession**

- ✓ Whereas dation in payment transfers the ownership over the thing alienated to the creditor, while in payment by cession, only the possession and administration (not ownership) are transferred to the creditors, with an authorization to convert the property into cash with which the debts shall be paid.
- ✓ While dation in payment may totally extinguish the obligation and release the debtor, the payment by cession only extinguishes the credits to the extent of the amount realized from the properties assigned, unless otherwise agreed upon.
- ✓ While dation in payment involves only some specific thing, payment by cession involves all the property of the debtor.
- ✓ While in dation in payment, the transfer is only in favor of one creditor to satisfy a debt, in payment by cession, there are various creditors.
- ✓ While dation in payment is governed by Law on Sales, payment by cession is governed by FRIA of 2010.

- **Application of payment** refers to the designation of the debt which is being paid by a debtor who has several obligations of the same kind in favor of the creditor to whom payment is made. The right of application of payment belongs to the debtor.

• **Principles on Application of Payment**

- ✓ Unless the parties so stipulate, or when the application of payment is made by the party for whose benefit the term has been constituted, application shall not be made as to debts which are not yet due.
- ✓ If the debtor accepts from the creditor a receipt in which an application of the payment is made, the former cannot complain of the same, unless there is a cause for invalidating the contract.

• **Limitations to the preferential right of the debtor to choose the debt to which his payment is to be made**

- ✓ If the debtor owes two debts, one for P50 and another for P200, and he makes a payment of P50, he cannot choose to apply it to the P200 debt because the creditor cannot be compelled to accept partial payment.
- ✓ If there is only one obligation bearing stipulated interest, the debtor can apply the payment to the interest before the capital.
- ✓ The debtor cannot apply the payment to a debt that is not yet liquidated.
- ✓ He cannot choose a debt with a period for the benefit of the creditor, when the period has not yet arrived.
- ✓ When there is an agreement as to the debts which are to be paid first, the debtor cannot vary the agreement.

• **Rules for application of payments**

- ✓ If the debt produces interest, payment of the interest shall not imply that the principal is already paid.
- ✓ When the payment cannot be applied in accordance with the preceding rules, or if application cannot be inferred from other circumstances, the debt which is most onerous to the debtor, among those due, shall be deemed to have been satisfied.
- ✓ If the debts due are of the same nature and burden, the payment shall be applied to all of them proportionately.
- ✓ If at the time of payment the debtor does not exercise his right to apply it to any of his debts, the application made by the creditor shall be followed even if the debtor does not consent to such application.

• **Tender of Payment and Consignation**

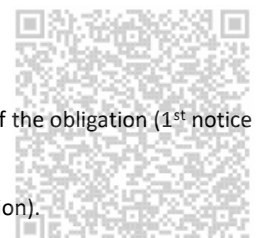
- ✓ **Tender of payment** is the manifestation made by the debtor to the creditor of his desire to comply with his obligation with the offer of immediate performance.
- ✓ **Consignation** is the deposit of the object of the obligation in a competent court in accordance with rules prescribed by law. It refers to the remedy available to the debtor if the creditor is guilty of delay also known as mora accipiendi.

- As a general rule, consignation shall be preceded by valid tender of payment for consignation to be valid. However, the following are the exceptional instances of valid consignation releasing the debtor from liability even without valid tender of payment:

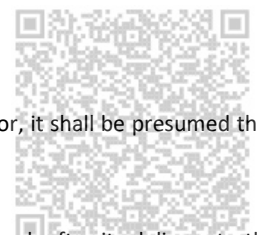
- ✓ When the creditor is absent or unknown, or does not appear at the place of payment.
- ✓ When the creditor is incapacitated to receive the payment at the time it is due.
- ✓ When, without just cause, the creditor refuses to give a receipt.
- ✓ When two or more persons claim the same right to collect.
- ✓ When the title of the obligation has been lost.

• **Essential requisites of valid consignation as a special mode of payment**

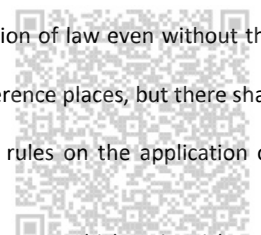
- ✓ There debt must be due.
- ✓ The consignation was made because of some legal cause provided by law.
- ✓ Previous notice of the consignation has been given to the persons interested in the performance of the obligation (1st notice of the intent to consign).
- ✓ The amount or thing was placed at the disposal of the court.
- ✓ After the consignation, the persons interested were notified thereof (2nd notice of actual consignation).



- **Principles of tender of payment and consignation**
 - ✓ Once the consignation has been duly made, the debtor may ask the judge to order the cancellation of the obligation.
 - ✓ Before the creditor has accepted the consignation, or before a judicial declaration that the consignation has been properly made, the debtor may withdraw the thing or the sum deposited, allowing the obligation to remain in force.
- **Effects once the consignation has been accepted by the creditor or the court has declared that it has been validly made**
 - ✓ The debtor is released in the same manner as if he had performed the obligation at the time of the consignation, because this produces the same effect as a valid payment.
 - ✓ The accrual of interest on the obligation is suspended from the moment of consignation.
 - ✓ The deterioration or loss of the thing or amount consigned occurring without fault of the debtor must be borne by the creditor, because the risks of the thing are transferred to the creditor from the moment of deposit.
 - ✓ Any increment or increase in value of the thing after the consignation inures to the benefit of the creditor.
- **Effects if, after the consignation has been made, the creditor should authorize the debtor to withdraw the same**
 - ✓ The creditor shall lose every preference which he may have over the thing.
 - ✓ The co-debtors shall be released of its solidary obligation but not of their respective shares in the obligation. It means that the obligation of the other co-debtors is converted into joint obligation. However, it will remain to be solidary obligation of the part of the consigning debtor.
 - ✓ The guarantors and sureties shall be released.
- **Loss of generic thing vs. Loss of specific thing**
 - ✓ An obligation which consists in the delivery of a determinate thing shall be extinguished if it should be lost or destroyed due to fortuitous event.
 - ✓ In an obligation to deliver a generic thing, the loss or destruction of anything of the same kind does not extinguish the obligation because generic thing never perishes.
- **Requisites of fortuitous events to exempt the obligor/debtor from liability**
 - ✓ The cause of the unforeseen and unexpected occurrence or the failure of the debtor to comply with his obligation must be independent of the debtor's will.
 - ✓ It must be impossible to foresee the event which constitutes the case fortuitous or if it can be foreseen, it must be impossible to avoid.
 - ✓ The occurrence must be such as to render it impossible for the debtor to fulfill his obligation in a normal manner.
 - ✓ The obligor must not participate in the aggravation of the injury resulting to the creditor.
- **Exceptional instances when the debtor is liable even there is fortuitous event at the time of loss:**
 - ✓ When the law expressly provides that the debtor shall be liable even if the loss is due to fortuitous event.
 - ✓ When by express stipulation, the obligor is made liable even if loss occurs through fortuitous events.
 - ✓ When the nature of the obligation requires the assumption of risk.
 - ✓ When the fault or negligence of the debtor concurs with the fortuitous event in causing the loss.
 - ✓ When the loss occurs after the debtor has incurred in delay.
 - ✓ When the debtor has promised to deliver the same thing to two or more different parties.
 - ✓ When the obligation to deliver a determinate object arises from a criminal act.
- **Effects of loss of the object of the obligation**
 - ✓ The courts shall determine whether, under the circumstances, the partial loss of the object of the obligation is so important as to extinguish the obligation.
 - ✓ The debtor in obligations to do shall also be released when the prestation becomes legally or physically impossible without the fault of the obligor.
 - ✓ When the service has become so difficult as to be manifestly beyond the contemplation of the parties, the obligation may also be released therefrom, in whole or in part.
 - ✓ When the debt of a thing certain and determinate proceeds from a criminal offense, the debtor shall not be exempted from the payment of its price, whatever may be the cause for the loss, unless the thing having been offered by him to the person who should receive it, the latter refused without justification to accept it.
 - ✓ The obligation having been extinguished by the loss of the thing, the creditor shall have all the rights of action which the debtor may have against third persons by reason of the loss meaning there will be legal subrogation.
- **Remission or Donation or Condonation or Renunciation** is a mode of extinguishing obligation which is an act of liberality, by virtue of which, without receiving any equivalent, the creditor renounces the enforcement of the obligation, which is extinguished in its entirety or in that part or aspect of the same. It is essentially gratuitous and requires acceptance by the debtor.
- **Essential requisites for validity of donation**
 - ✓ If the donation of movable involves P5,000 or less, there must be simultaneous delivery and acceptance.
 - ✓ If the donation of movable exceeds P5,000, the donation and acceptance must be both in writing.
 - ✓ If the donation involves immovable property, the donation and acceptance must be both in public instrument.
- **Requisites of remission or condonation**
 - ✓ The debt must be existing and demandable at the time the remission is made.
 - ✓ The renunciation of the debt must be gratuitous.
 - ✓ The debtor must accept the remission.
 - ✓ The remission or condonation may be expressed or implied.
- **Principles of condonation or remission**
 - ✓ Whenever the private document in which the debt appears is found in the possession of the debtor, it shall be presumed that the creditor delivered it voluntarily, unless the contrary is proved.
 - ✓ The renunciation of the principal debt shall extinguish the accessory obligations.
 - ✓ The renunciation of the accessory obligation shall not extinguish the principal debt.
 - ✓ It is presumed that the accessory obligation of pledge has been remitted when the thing is pledged, after its delivery to the creditor, is found in the possession of the debtor, or of a third person who owns the thing.

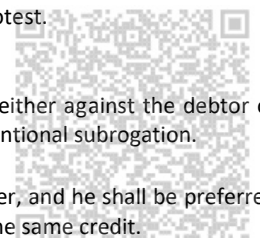


- **Confusion or merger** is a mode of extinguishing obligation that occurs where there is meeting in one person of the qualities of creditor and debtor with respect to the same obligation.
- **Requisites of merger or confusion**
 - ✓ It must take place between the creditor and the principal debtor.
 - ✓ The very same obligation must be involved, for if the debtor acquires rights from the creditor, but not the particular obligation in question, there will be no merger.
 - ✓ The confusion or merger must be total or as regards the entire obligation.
- **Principles concerning merger or confusion**
 - ✓ The effect of merger is to extinguish the obligation.
 - ✓ Merger which takes place in the person of the principal debtor or creditor benefits the guarantor.
 - ✓ Merger which takes place in the person of the guarantor does not extinguish the principal obligation.
 - ✓ Confusion does not extinguish a joint obligation EXCEPT as regards the share corresponding to the creditor or debtor in whom the two characters concur.
- **Compensation or Offset** is a mode of extinguishing to the concurrent amount, the obligations of those persons who in their own right are reciprocally debtors and creditors of each other.
- **Types of Compensation**
 - ✓ **Legal compensation** is a compensation which takes place by operation of law because the requisites provided by law are present.
 - ✓ **Facultative compensation** is a compensation which can be claimed by one of the parties who, however, has the right to object to it, such as when one of the obligations has a period for the benefit of one party alone and who renounces that period so as to make the obligations due.
 - ✓ **Conventional compensation** is a compensation wherein the parties agree to compensate their mutual obligations even if some requisite is lacking.
 - ✓ **Judicial compensation** is a compensation decreed by the court in a case where there is a counterclaim.
- **Requisites of legal compensation or compensation by operation of law**
 - ✓ Each one of the obligors be bound principally, and that he be at the same time a principal creditor of the other.
 - ✓ Both debts consist in a sum of money, or if the things due are consumable, they be of the same kind, and also of the same quality if the latter has been stated.
 - ✓ Both debts must be due.
 - ✓ Both debts must be liquidated and demandable.
 - ✓ That over neither of them there be any retention or controversy, commenced by third persons and communicated in due time to the debtor.
- **Debts that can be the subject of legal compensation**
 - ✓ Valid
 - ✓ Rescissible
 - ✓ Voidable
- **Principles concerning compensation**
 - ✓ The guarantor may set up compensation as regards what the creditor may owe the principal debtor.
 - ✓ Compensation may be total or partial and when the two debts are of the same amount, there is a total compensation.
 - ✓ The parties can agree upon compensation of debts which are not yet due.
 - ✓ If one of the parties to a suit over an obligation has a claim for damages against the other, the former may set it off by proving his right to said damages and the amount thereof.
 - ✓ When one or both debts are rescissible or voidable, they may be compensated against each other before they are judicially rescinded or avoided.
- **Instances wherein the debtor may still set up compensation against the assignee of creditor in case of assignment of credit:**
 - ✓ When the creditor communicated the assignment of his right to the third persons to the debtor and the latter did not consent thereto.
 - ✓ When the debtor has consented to the assignment of rights made by a creditor in favor of a third person and the assignor reserved his right to the compensation at the time he gave his consent.
 - ✓ When the assignment is made without the knowledge of the debtor.
 - ✓ When the debtor has consented to the assignment of rights made by a creditor with reservation as to his right to compensation.
- **Instances when legal compensation is prohibited by law but facultative compensation is allowed**
 - ✓ When there is a renunciation of the effect of compensation by a party.
 - ✓ When one of the debts arises from obligation of depositary in depositum
 - ✓ When one of the debts arises from or of a bailee in commodatum.
 - ✓ When the one of the creditor has a claim for future support due by gratuitous title.
 - ✓ When one of the debts consists in civil liability arising from a crime.
 - ✓ When one of the debts pertains to taxes.
- **Principles pertaining to legal compensation**
 - ✓ When all the requisites for legal compensation are present, compensation takes effect by operation of law even without the consent or awareness of the parties to the obligation.
 - ✓ Legal compensation takes place by operation of law even though the debts may be payable at difference places, but there shall be an indemnity for expenses of exchange or transportation to the place of payment.
 - ✓ If a person should have against him several debts which are susceptible of compensation, the rules on the application of payments shall apply to the order of the legal compensation.
- **Novation** is the extinguishment of an obligation by the substitution or change of the obligation by a subsequent one which extinguishes or modifies the first.



- **Requisites of Novation of Obligation**
 - ✓ There must be a previous valid obligation.
 - ✓ There must be agreement of all parties to the new contract.
 - ✓ There must be extinguishment of the old contract.
 - ✓ The new obligation must be valid.
- **Types of Novation of Obligation**
 - ✓ Changing their object or principal conditions.
 - ✓ Substituting the persons of the debtor (Delegacion or Expromission).
 - ✓ Subrogating a third person in the rights of the creditor (Legal Subrogation or Conventional Subrogation).
 - ✓ Shortening the term of the obligation.
- **Types of novation**
 - ✓ **Subjective or personal novation** is the modification of the obligation by the change of the subject; it is passive if there is substitution of the debtor, and it is active when a third person is subrogated in the rights of the creditor.
 - ✓ **Objective or real novation** is the change of the obligation by substituting the object with another or changing the principal conditions.
 - ✓ There is **partial novation** when there is only a modification or change in some principal conditions of the obligation.
 - ✓ There is **implied novation** when there is such an incompatibility between the old and the new obligations that they cannot stand together.
- **Concepts of novation**
 - ✓ In order that an obligation may be extinguished by another which substitutes the same, it is imperative that it be so declared in unequivocal terms.
 - ✓ Novation is never presumed.
 - ✓ Novation may be expressed or implied.
 - ✓ There is implied novation if the old and new obligations are on every point incompatible with each other.
 - ✓ When the principal obligation is extinguished in consequence of a novation, accessory obligations may subsist only insofar as they may benefit third person who did not give their consent.
 - ✓ If the new obligation is void, the original obligation was not extinguished, unless the parties intended that the former should not subsist in any event.
 - ✓ The novation is void if the original obligation was void, EXCEPT when annulment may be claimed only by the debtor, or when ratification validates acts which are voidable.
 - ✓ If the original obligation was subject to a suspensive condition or resolutive condition, the new obligation shall be under the same condition, unless it is otherwise stipulated.
- **Types of Novation by substitution of person of Debtor**
 - ✓ In **Expromission**, the initiative for the change does not emanate from the original debtor and may be made even without his knowledge, since it consists in a third person assuming the obligation and it logically requires the consent of the third person (new debtor) and the creditor.
 - ✓ In **Delegacion**, the original debtor (delegante) offers and the creditor (delegatario) accepts a third person (delegado) (new debtor) who consents to the substitution, so that the consent of the three parties is necessary.
- **Effects of Insolvency of New Debtor to liability of Old Debtor**
 - ✓ In **Expromission** the insolvency of new debtor or non-fulfillment of the obligation shall not generally give rise to any liability on the part of the original debtor because the original debtor did not have the initiative in making the change, which might have been made even without his knowledge. However, if the original debtor gives consent to the substitution, he may become liable to the insolvency of the new debtor especially of the original debtor acted in bad faith.
 - ✓ In **Delegacion** the insolvency of new debtor does not generally revive the obligation of old debtor unless (1) when said insolvency of new debtor was already existing and of public knowledge when he delegated his debt, or (2) when said insolvency of new debtor is known to the debtor, when he delegated his debt.
- **Subrogation** refers to the transfer of all the rights of the creditor to a third person, who substitute him in all his rights.
- **Types of Subrogation or Substitution of Creditor**
 - o **Conventional subrogation** refers to substitution of creditor by agreement of original parties and the new creditor.
 - ✓ Conventional subrogation must be clearly established in order that it may take effect.
 - ✓ Conventional subrogation of a third person requires the consent of the original parties and of third person.
 - o **Legal subrogation** is the substitution of new creditor in exceptional cases provided by law.
 - o **Legal subrogation** is never presumed and available only in cases provided by law.
 - **Instances wherein legal subrogation is presumed or instances of legal subrogation**
 - ✓ When a creditor pays another creditor who is preferred, even without the debtor's knowledge.
 - ✓ When, even without the knowledge of the debtor, a person interested in the fulfillment of the obligation pays, without prejudice to the effects of confusion as to the latter's share.
 - ✓ The obligation having been extinguished by the loss of the thing, the creditor shall have all the rights of action which the debtor may have against third persons by reason of the loss.
 - ✓ In contract of property insurance, when the insurance company pays the insured.
 - ✓ Under Negotiable Instruments Law, when there is a valid payment for honor supra protest.
- **Principles concerning subrogation**
 - o Subrogation transfers to the person subrogated the credit with all the rights thereto appertaining, either against the debtor or against third persons, be they guarantors or possessors of mortgages, subject to stipulation in a conventional subrogation.
 - o **Effect of Partial Subrogation of a third Person**
 - ✓ A creditor, to whom partial payment has been made, may exercise his right for the remainder, and he shall be preferred against the person who has been subrogated in his place in virtue of the partial payment of the same credit.

- - END - -



OBLIGATIONS

THEORY

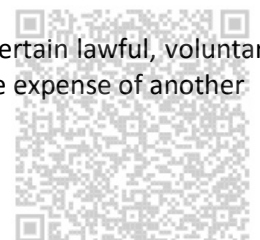
1. The following are the requisites of an obligation, except
 - a. Passive subject, debtor or obligor
 - b. Active subject, creditor or obligee
 - c. Efficient cause
 - d. Demand
2. The person who has the duty of giving, doing or not doing
 - a. Obligee
 - b. Obligor
 - c. Active subject
 - d. Creditor
3. The person in whose favor the obligation is constituted
 - a. Obligor
 - b. Obligee
 - c. Passive subject
 - d. Debtor
4. It refers to the juridical tie or efficient cause that binds the parties to the obligation
 - a. Obligee
 - b. Obligor
 - c. Prestation
 - d. Vinculum

Note: Answer should be letter D: Vinculum JURIS

Rationale: Wellex Group v. U-Land Airlines GR No. 167519, 14 January 2015

An obligation is a juridical necessity to give, to do or not to do (Art. 1156, Civil Code). The obligation is constituted upon the concurrence of the essential elements thereof, viz: (a) The vinculum juris or juridical tie which is the efficient cause established by the various sources of obligations (law, contracts, quasi-contracts, delicts and quasi-delicts); (b) the object which is the prestation or conduct, required to be observed (to give, to do or not to do); and (c) the subject-persons who, viewed from the demandability of the obligation, are the active (obligee) and the passive (obligor) subjects. The cause is the vinculum juris or juridical tie that essentially binds the parties to the obligation. This linkage between the parties is a binding relation that is the result of their bilateral actions, which gave rise to the existence of the contract.

5. It is an obligation which is based on positive law and gives right to enforce its performance
 - a. Natural obligation
 - b. Civil obligation
 - c. Moral obligation
 - d. Legal obligation
6. Which of the following statements does not pertain to natural obligation?
 - a. It is not enforceable in a court of justice
 - b. Obligation exists by reason of equity and moral justice
 - c. If performed voluntarily, recovery can no longer be made
 - d. There is juridical necessity to perform it
7. The duty not to recover what has voluntarily been paid although payment was no longer required
 - a. Civil Obligation
 - b. Natural Obligation
 - c. Moral Obligation
 - d. Juridical Obligation
8. Obligations may arise from any of the following, except
 - a. Contracts
 - b. Quasi-contracts
 - c. Law
 - d. Prestation
9. The source of an obligation which is a rule of conduct, just and obligatory, promulgated by legitimate authorities for common good, benefit and observance
 - a. Contracts
 - b. Quasi contracts
 - c. Delicts
 - d. Law
10. The duty to pay taxes and to support one's family are obligations arising from
 - a. Law
 - b. Contracts
 - c. Quasi Contracts
 - d. Delicts
11. It is a source of a civil obligation that refers to a juridical relation which arises from certain lawful, voluntary and unilateral act, to the end that no one may be unjustly enriched or benefited at the expense of another
 - a. Quasi-delict
 - b. Quasi-contract
 - c. Contract
 - d. Delict



12. Which of the following is not considered as quasi contract?
 - a. Solution Indebiti
 - b. When the third person without the knowledge of the debtor, pays the debt
 - c. Negotiorum Gestio
 - d. Reimbursement due to a person who saved the property during fire or storm without the owner's knowledge

13. When something is received when there is no right to demand it, and it was unduly delivered thru mistake, the recipient has the duty to return it
 - a. Quasi-contract
 - b. Quasi-delict
 - c. Negotiorum gestio
 - d. Solutio indebiti

14. When a person voluntarily takes charge of another's abandoned business or property without the owner's authority where reimbursement must be made for necessary and useful expenses
 - a. Quasi-contract
 - b. Quasi-delict
 - c. Negotiorum gestio
 - d. Solutio indebiti

15. A fault or act or omission of care which causes damage to another, there being no pre-existing contractual relations between the parties
 - a. Quasi-contract
 - b. Quasi-delict
 - c. Negotiorum gestio
 - d. Solutio indebiti

16. It refers to the negligence or fault that is a source of civil obligation wherein a person by act or omission cause damage to another
 - a. Culpa criminal
 - b. Culpa contractual
 - c. Culpa aquiliana
 - d. Culpa legal

17. It refers to a ground for breach of obligation that refers to the deliberate and intentional evasion for the normal fulfillment of obligation
 - a. Mora or delay
 - b. Dolo or fraud
 - c. Culpa or negligence
 - d. Contravention of the tenor of the obligation

18. It is a thing that is particularly designated or physically segregated from all others of the same class
 - a. Generic thing
 - b. Indeterminate thing
 - c. Determinate thing
 - d. Real thing

19. If a thing refers to a class, to a genus and cannot be pointed out with particularity
 - a. Generic
 - b. Specific
 - c. Determinate
 - d. Indeterminate

20. One of the following is a specific thing
 - a. Toyota Fortuner car
 - b. Mitsubishi Montero Sports car
 - c. Isuzu Altera
 - d. A Toyota car with engine no. 12345, body no. 6789 and plate no. ABC 123

21. Spontaneous products of the soil and the offspring and other products of animals
 - a. Natural
 - b. Industrial
 - c. Civil
 - d. Penal

22. Fruits arising out of contracts - like interest payments
 - a. Natural
 - b. Industrial
 - c. Civil
 - d. Penal

23. Products of the soil through cultivation or intervention of human labor
 - a. Natural
 - b. Industrial
 - c. Civil
 - d. Penal

24. The creditor has the right to the fruits of the thing
 - a. From the time the obligation to deliver it arises
 - b. From the time the fruits have been delivered
 - c. From the time there is meeting of the minds
 - d. From the perfection of the contract



25. Unless the law or the stipulation of the parties requires another standard of care, the obligation to give a thing carries with it the obligation to take care of it with
 - a. Extra-ordinary diligence
 - b. Degree of care agreed upon by the parties
 - c. Diligence of a Good Father of a Family
 - d. Diligence of a Good Family of a Father

26. On a certain year, D was obliged under a contract executed on March 1 to deliver an agricultural land to C on April 1. D, however, actually delivered the land and the fruits thereof to C on May 1. The right of C before the delivery, on one hand, and his right after the delivery, on the other hand, of the agricultural land and its fruits, to him are referred to as
 - a. Personal right and real right, respectively
 - b. Real right and personal right, respectively
 - c. Both are considered a personal right
 - d. Both are considered a real right

27. What is the term for the delay on the part of the debtor?
 - a. Mora solvendi
 - b. Mora accipiendi
 - c. Compensatio morae
 - d. Mora obligor

28. This refers to delay on the part of the creditor
 - a. Mora solvendi ex re
 - b. Compensatio morae
 - c. Mora solvendi ex persona
 - d. Mora accipiendi

29. Which of the following is demand necessary to make the debtor in delay in the performance of his obligation?
 - a. When the time of performance is of the essence
 - b. When the time of performance has been stipulated
 - c. When the law so provides
 - d. When demand would be useless

30. Which of the following statements concerning delay is incorrect?
 - a. There is no delay in obligations not to do
 - b. Delay, as a rule, exists, when the debtor does not perform his obligation on the date it is due
 - c. Demand, as a rule, is required, in order for delay to exist
 - d. When time is of the essence of the contract, delay on the part of the debtor exists despite the absence of demand

31. They are damages awarded by the court by reason of physical suffering, mental anguish, fright, serious anxiety, besmirched reputation, wounded feelings, moral shock, social humiliation and similar injury
 - a. Nominal damages
 - b. Exemplary damages
 - c. Temperate damages
 - d. Moral damages

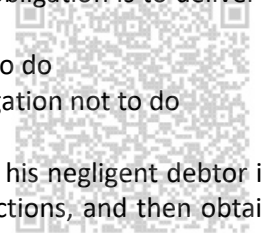
32. Damages awarded to vindicate a right
 - a. Liquidated
 - b. Actual
 - c. Nominal
 - d. Exemplary

33. When the exact amount of damages cannot be ascertained
 - a. Exemplary
 - b. Liquidated
 - c. Temperate
 - d. Moral

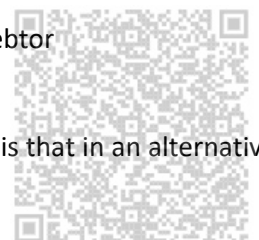
34. Statement I: The receipt of a later installment of a debt without reservation as to prior installments, shall give rise to a rebuttable presumption that such installments have been paid
 Statement II: If a taxpayer pays his income tax liability for the current year, there is a presumption that tax liability for the previous year has been paid
 - a. True; true
 - b. True; false
 - c. False; true
 - d. False; false

35. Which of the following is not a proper remedy for the creditor?
 - a. To compel the debtor to make the delivery, if the obligation is to deliver a determinate thing
 - b. To ask that the obligation be complied with at the expense of the debtor, if the obligation is to deliver a generic thing
 - c. To compel the debtor to perform the obligation, if the obligation is an obligation to do
 - d. To ask the debtor that what has been done be undone, if the obligation is an obligation not to do

36. It refers to one of the successive rights of unpaid creditor by exercising the rights of his negligent debtor in order to preserve or recover for the patrimony of the debtor the product of such actions, and then obtain therefrom the satisfaction of his own credit



- a. Levy by attachment and execution the property of the debtor
 - b. Accion subrogatoria
 - c. Accion pauliana
 - d. Action for damages against third persons who acquired the debtor's property in bad faith
37. D is obliged to give C P10,000 if X dies. This is an example of
- a. An obligation with a suspensive condition
 - b. An obligation with a resolutive condition
 - c. An obligation with a period
 - d. A pure obligation
38. Whenever a period is designated in an obligation, the said period shall be presumed to have been established for the benefit of
- a. The debtor
 - b. The creditor
 - c. Both the debtor and the creditor
 - d. Neither of the parties
39. The debtor shall lose the right to make use of the period in the following cases, except
- a. When he becomes insolvent
 - b. When he violates any undertaking in consideration of which the creditor agreed to the period
 - c. When the debtor attempts to abscond
 - d. When he does not furnish any guaranty or security to the creditor
40. On July 1, 2020, D obliged himself to give C P50,000 if C will marry X on or before December 31, 2020. The condition of the obligation is a
- a. Positive condition
 - b. Negative condition
 - c. Joint condition
 - d. Impossible condition
41. On July 1, 2020, D obliged himself to give C a specific car if C will not marry X on or before December 31, 2020. The condition of the obligation is a
- a. Positive condition
 - b. Negative condition
 - c. Divisible condition
 - d. Impossible condition
42. D is obliged to give C a specific car if C passes the CPA Examination. D's obligation is an example of
- a. A pure obligation
 - b. An obligation with a suspensive condition
 - c. An obligation with a resolutive condition
 - d. An obligation with a period
43. This obligation is demandable at once when it
- a. Has a resolutive condition
 - b. Has a suspensive condition
 - c. Is with a term ex-die
 - d. Has a period
44. A promised to allow B to use his car until the latter becomes a lawyer. What is the type of obligation?
- a. Obligation with a suspensive condition
 - b. Obligation with a resolutive condition
 - c. Obligation ex die or with a suspensive period
 - d. Obligation in diem or with a resolutive period
45. Where two or more prestations have been agreed upon but only one is due, the obligation is
- a. Alternative
 - b. Facultative
 - c. Conjoint
 - d. Solidary
46. Where only one prestation has been agreed upon, but the obligor may render another in substitution, the obligation is
- a. Alternative
 - b. Facultative
 - c. Conjoint
 - d. Solidary
47. In alternative obligation, the right of choice belongs to
- a. The creditor
 - b. The debtor
 - c. Both the creditor and the debtor
 - d. Third person
48. In facultative obligation, the right of choice belongs to
- a. The creditor
 - b. The debtor
 - c. Both the creditor and the debtor
 - d. Third person
49. One of the distinctions between a facultative obligation and an alternative obligation is that in an alternative obligation
- a. Only one thing is principally due
 - b. The right of choice belongs to the debtor alone



- c. If the obligation to give a principal thing is void, the obligation to give the substitute is also void
d. If all presentations except one are impossible, that which is possible must still be given
50. An obligation where various prestations are due but the performance of all of them is required in order to extinguish the obligation is known as
a. Alternative obligation
b. Facultative obligation
c. Conjunctive obligation
d. Simple obligation
51. Indivisibility as distinguished from solidarity
a. Plurality of subject is indivisible
b. When the obligation is converted into one of indemnity for damages because of breach, the character of the obligation remains
c. Refers to the legal tie or vinculum
d. Refers to the prestation which constitutes the object of the obligation
52. It refers to a joint obligation
a. One in which each debtor is liable for the entire obligation, and each creditor is entitled to demand the whole obligations
b. One in which either one of the parties is indispensable or the other is not necessary
c. One in which the obligation of one is a resolutive condition of the other, the non-fulfilment of which entitles the other party to rescind the contract
d. One in which each of the debtors is liable only for a proportionate part of the debt and each creditor is entitled only for a proportionate part of the credit
53. Which of the following is not a conditional obligation?
a. D to give C P1,000 if C passes the examination
b. D to pay C P1,000 if he has the means
c. D to give C a horse if C marries X
d. D is to use C's car until C returns from Davao
54. A is obliged to give B her college ring. If she fails to do so, she must give P10,000. This is
a. Alternative obligation
b. Conjoint obligation
c. Facultative obligation
d. Obligation with a penal clause
55. Consider the following statements
I. The nullity of the principal obligation carries with it the nullity of the penal clause
II. The nullity of the principal obligation does not carry with it the nullity of the penal clause
III. The nullity of the penal clause carries with it the nullity of the principal obligation
IV. The nullity of the penal clause does not carry with it the nullity of the principal obligation
a. Statements I and III are true
b. Statements I and IV are true
c. Statements II and III are true
d. Statements II and IV are true
56. In which of the following is the debtor still liable despite the fortuitous event causing the loss of the thing?
a. The thing lost is a specific thing
b. The performance of the obligation has become impossible
c. The nature of the obligation does not require the assumption of risk
d. When the law or the obligation expressly so provides
57. There shall be no liability for loss due to fortuitous events in one of the following cases. Which is it?
a. When the debtor commits delay
b. When the parties so stipulated that there shall be liability even in case of loss due to fortuitous events
c. When the nature of the obligation requires the assumption of risks
d. When the obligation is to deliver a determinate thing and there was no stipulation as to the liability of the debtor in case of loss due to fortuitous events
58. The act of offering the creditor what is due him together with a demand that the creditor accept the same
a. Application of payment
b. Tender of payment
c. Datio in solutum
d. Cession
59. Where a debtor transfers all his properties not subject to execution in favor of his creditors so that the latter may sell them and thus apply the proceeds to their credits
a. Dation in payment
b. Cession
c. Application of payment
d. Consignation

Note: should be not exempt from execution instead of not subject to execution



Rationale: The general rule is the properties covered by the cession of the debtor do not include those specifically exempted by Rule (e.g., Section 13 of Rule 39 of the Rules of Court) or Law (e.g. Arts. 155 & 160 of the Family Code) Unless there is a clear waiver from the debtor, and, if applicable, the specific provision of law allows for such waiver.

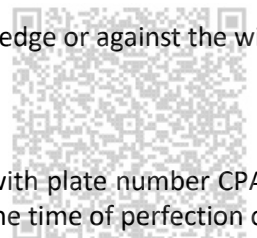
60. Where a property is alienated to the creditor in satisfaction of a debt in money
 - a. Dation in payment
 - b. Payment by cession
 - c. Application of payment
 - d. Consignation
61. If the creditor to whom tender of payment has been made refuses without just cause to accept it, the debtor shall be released from responsibility by
 - a. Assignment of property
 - b. Consignation of the thing or sum due
 - c. Adjudication or dacion en pago
 - d. Condonation
62. Consignation alone without tender of payment is sufficient in the following cases, except
 - a. When the creditor is absent or unknown or does not appear at the place of payment
 - b. When the creditor presents the title to the obligation for collection
 - c. When without just cause, the creditor refuses to give a receipt
 - d. When two or more persons claim the same right to collect
63. In tender and consignation, if after consignation is made, the creditor allows the debtor to withdraw the thing deposited in court, which is not true?
 - a. Co-debtors, guarantors and securities are released from the obligation unless they consented
 - b. The obligation remains to subsist
 - c. The obligation is extinguished
 - d. None of the above
64. The meeting in one person of the qualities of creditor and debtor with respect to the same obligation
 - a. Confusion
 - b. Compensation
 - c. Novation
 - d. Condonation
65. When two persons on their own right are creditors and debtors of each other
 - a. Confusion
 - b. Compensation
 - c. Novation
 - d. Condonation
66. One of the following is not a requisite of legal compensation. Which is it?
 - a. That each one of the obligors be bound principally, and that he be at the same time a principal creditor of the other
 - b. That the two debts be due
 - c. That both debts be liquidated and demandable
 - d. That the debts are payable at the same place
67. The substitution or change of an obligation by another, which extinguishes or modifies the first
 - a. Confusion
 - b. Compensation
 - c. Novation
 - d. Consignation
68. It is a type of novation involving a change of original debtor wherein the initiative does not emanate from the original debtor and may be made even without his knowledge since it consists in a third person assuming the obligation and it logically requires the consent of third person and the creditor
 - a. Expromission
 - b. Delegacion
 - c. Legal subrogation
 - d. Conventional subrogation
69. Substitution of debtor where the initiative comes from the debtor
 - a. Delegacion
 - b. Expromission
 - c. Subrogation
 - d. Novation
70. D owes C P50,000.00. Subsequently, D proposed to C that T will assume his (D's) debt. C accepted the proposal of D. This substitution of debtor is known as
 - a. Expromission
 - b. Delegacion
 - c. Tradition
 - d. Dacion en pago
71. When the obligation is extinguished because of the passage of time, this is
 - a. Fulfillment of resolutive condition
 - b. Arrival of resolutive period
 - c. Prescription
 - d. Rescission



72. What is the prescriptive period of action based on quasi-contract?
- 10 years
 - 5 years
 - 6 years
 - 4 years
73. If a third person pays an obligation. What are the rights, which are available to him if he pays the obligation with the knowledge and consent of the debtor?
- 1st answer – He can recover from the debtor the entire amount, which he has paid
- 2nd answer – He subrogated to all of the rights of the creditor
- Both answers are correct
 - Both answers are wrong
 - Only the first is correct
 - Only the second is correct
74. The transfer to a third person of all the rights appertaining to the creditor including the right to proceed against the guarantors, or possession of mortgages, subject to any legal provision or modification that may be agreed upon
- Novation
 - Delegacion
 - Expromission
 - Subrogation
75. The following are the instances of legal subrogation, except
- When a creditor pays another creditor who is preferred, even without the debtor's knowledge
 - When, even without the knowledge of the debtor, a person interested in the fulfillment of the obligation pays, without prejudice to the effects of confusion as to the latter's share
 - When a property insurance pays the insured in case of loss of the thing insured due to the occurrence of the peril insured
 - When a third person pays the obligation of the debtor and the latter benefitted from such payment by third person

SITUATIONAL

- X took a public bus going to his office. Although X paid his fare, the bus conductor did not issue him a ticket. Along the way, the bus met an accident causing a slight injury to X and other passengers. If X is to recover damages from the bus owner, the source of the bus owner's liability is
 - Contract
 - Quasi-delict
 - Law
 - P cannot recover any amount because no ticket was issued
- X, a customer, drinks a bottle of soft drinks in a restaurant and is hospitalized due to harmful substance in the beverage. Is the manufacturer liable for damages in the absence of contractual relation between them?
 - Yes, because of quasi delict
 - Yes, because its liability arises out of quasi-contract
 - No, there being no contract from which liability may arise
 - Yes, because there is actually a contract between them, the restaurant being the agent of the manufacturer
- A passenger on a truck was hurt but in a criminal case against the driver, said driver was acquitted. The victim now sues the owner of the truck for culpa contractual. May the suit still prosper?
 - No, this will constitute double jeopardy
 - No, the acquittal means that the guilt of the accused was not proven by proof beyond reasonable doubt
 - Yes, it is sufficient for him to prove the existence of the contract of carriage and the injuries suffered
 - Yes, provided he can prove the negligence of the driver
- A owes C P1M. B, without the knowledge or against the will of A paid C P2M. Can B get reimbursement from A?
 - P2M by way of reimbursement from A to prevent unjust enrichment on the part of A at the expense of B
 - P1M only for that is the extent of benefit of A
 - No reimbursement because the payment was not proper being without the knowledge or against the will of A
 - P1M plus interest from the time of payment until reimbursement
- X is domiciled in Quezon City. He has an obligation to deliver a Toyota Fortuner car with plate number CPA-123 to Y, domiciled in Makati City. The Toyota Fortuner is located in Marikina City at the time of perfection of



contract. Such car is found in Mandaluyong City at the agreed date of delivery. Where shall the said car be delivered by X to Y?

- a. Quezon City
- b. Makati City
- c. Marikina City
- d. Mandaluyong City

Note: Answer should be letter C: Marikina City. The place of payment should be the location of the object during perfection.

6. While on the way to deliver a specific diamond ring sold to B and P100,000 in payment of his debt to B, A (debtor) was robbed. What is the effect of this to his obligation?
 - a. Extinguished as to P100,000 but not as to ring
 - b. Extinguished as to ring but not as to P100,000
 - c. Not for both as he suffers loss
 - d. The obligation to the ring and P100,000 are both extinguished
7. While on the way to deliver an 18K diamond ring to B and P100,000 in payment of his debt to B, A (debtor) was robbed. What is the effect of this to his obligation?
 - a. Extinguished as to P100,000 but not as to ring
 - b. Extinguished as to ring but not as to P100,000
 - c. Both obligations are not extinguished because generic thing never perishes
 - d. The obligations to the ring and P100,000 are both extinguished
8. One of the following is a valid obligation. Which is it?
 - a. D promised to give C P50,000 if C will not swim across the Pacific Ocean
 - b. D promised to give C P50,000 if D goes to Canada
 - c. D promised to give C p50,000 if C can fly to the moon
 - d. D promised to give C P50,000 if C gives him 5 grams of marijuana
9. One of the following is void obligation
 - a. D is obliged to give C P5,000 if C does not go to the moon
 - b. D is obliged to give C P5,000 if D goes to Baguio
 - c. D is obliged to give C P5,000 if C goes to Baguio
 - d. D is obliged to give C P5,000 if D wins first prize in the sweepstakes on a ticket that he had already purchased
10. A, B and C bound themselves to deliver to X a specific car worth P3M. Due to the fault of A, the car was lost. In this case
 - a. X can claim damages from any one of the three for his proportionate part of liability because the obligation is indivisible
 - b. X can claim only from A the whole amount of damages other than the value of the car
 - c. Since it is solidary liability for damages, X can claim the same from any of the three
 - d. Only A is liable for damages although B and C are liable for their respective shares in the obligation
11. X is obliged to give Y a specific car on July 15, 2020. X did not deliver the car on July 15, 2020. On July 20, 2020, an earthquake destroyed the building where the car was parked, and the car was destroyed. Is X still liable?
 - a. No. Considering that no demand to deliver was made by Y and the specific thing was lost due to fortuitous event, hence the obligation is extinguished
 - b. No. The obligation is extinguished, even if the debtor is already in default, because the debtor can plead impossibility of performance
 - c. Yes. X is already in legal delay, thus the obligation to deliver the lost specified thing is converted into monetary claim for damages
 - d. Yes. The creditor can instead demand for a substitute of equivalent value from the debtor
12. A borrowed money from B payable on December 10, 2021. If A failed to pay on due date, will A be in delay?
 - a. Yes, because there is stipulation as regards the due date
 - b. Yes, if the obligation is in writing
 - c. No, because demand has not been made by B
 - d. No, if A has the money to pay B
13. Under a contract executed on November 1, 2020, D obliged himself to give a specific horse to C on December 10, 2020. On December 8, 2020, C demanded the delivery of the horse, but D did not comply. The following day, the horse was struck by lightning and died instantly
 - a. The obligation of D is extinguished because the loss is due to fortuitous event and D was not in default



- b. The obligation of D is not extinguished because D can deliver another horse
 - c. The obligation of D is not extinguished because D was in default
 - d. The obligation of D is not extinguished because the demand was not made on due date
14. A owes B P150,000 due on August 31, 2020. A executed a mortgage in favor of B on A's building to guaranty the obligation. On August 10, 2020, the mortgaged building was totally lost due to an earthquake. On August 12, 2020, B demanded payment from A. Is B's demand valid?
 - a. No. The obligation is one with a definite period, thus the creditor cannot demand fulfillment of the obligation before it due
 - b. No. The mortgage was extinguished because the object of the contract was lost through a fortuitous event
 - c. Yes. The debt becomes due at once because the guarantee was lost although through a fortuitous event, unless the debtor can mortgage another property that is equally satisfactory
 - d. Yes. The debts becomes due at once because the period's benefits is given solely to the creditor thereby giving the creditor the right to demand performance even before the due date
 15. On July 1, 2020, D obliged himself to give C P50,000 if C will marry X on or before December 31, 2020. Which of the following statements is incorrect?
 - a. The obligation of D is demandable if C marries X on or before December 31, 2020
 - b. The obligation of D is extinguished if it is already January 1, 2021 and C has not yet married X
 - c. The obligation of D is extinguished on December 2, 2020 if X dies on the said date and C has not yet married X
 - d. The obligation is demandable if C marries X on January 1, 2021
 16. A and B promised to deliver a car valued at P 100,000 to C on or before December 15, 2020. Dec. 15, 2020 came and upon demand by C of delivery from A and B, A is willing to deliver but B refused to deliver. In the case at bar
 - a. An action for specific performance will lie against both A and B
 - b. Both A and B shall be liable for P 50,000 each with damages
 - c. A shall be liable for P 50,000 without damages and B shall be liable for P 50,000 with damages
 - d. C can demand delivery of the car from A or B
 17. On May 1, 2020, D executed a written undertaking obliging himself to deliver 100 sacks of rice to C on May 31, 2020. On May 28, 2020, C demanded the delivery of 100 sacks of rice from D, but D did not comply. The following day, a fire of undetermined origin destroyed D's warehouse together with about 500 sacks of rice stored therein from which D intended to get 100 sacks of rice for delivery to C
 - a. D's obligation to deliver 100 sacks of rice to C is extinguished, the cause of the loss being a fortuitous event
 - b. D's obligation to deliver 100 sacks of rice to C is not extinguished because he can get 100 sacks of rice from other sources
 - c. D's obligation to deliver 100 sacks of rice to C is not extinguished because D was in default
 - d. D's obligation to pay damages because he was in default
 18. A, B and C are obliged to deliver a specific car to X, Y and Z
 - a. A demand made by X against A, B and C is a valid demand against all the debtors
 - b. A demand made by X, Y and Z against A is a valid demand against all the debtors
 - c. If a valid demand is made against all the debtors but debtor C cannot comply with his part of the obligation, the obligation is converted into a monetary obligation to pay the value of the horse plus damages
 - d. If the debtors default in their obligation because C is insolvent, A and B will be liable for C's share of the obligation
 19. The following are obligations with a term of period, except
 - a. D to give C P50,000 on December 1, 2020
 - b. D to give C P50,000 on Christmas day next year
 - c. D to give C P50,000 upon the death of C's father
 - d. D to give C P50,000 if C's father dies within 2 years
 20. A owes B who has 5 legitimate children, P50,000 payable on demand on December 31, 2020. Which is correct?
 - a. If A dies before Dec. 31, 2020, B cannot collect from the heirs of A
 - b. If A dies before Dec. 31, 2020, B can collect from the heirs of A
 - c. If B dies, his five legitimate children cannot recover from A his obligation
 - d. If both A and B die, the heirs of B can collect from the heirs of A

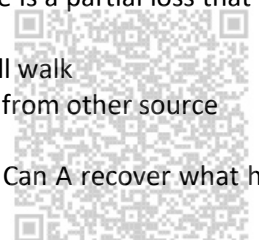
- c. If B dies before Dec. 31, 2020... children CAN recover...
- d. If both A and B die before Dec. 31, 2020...

Rationale: If phrased this way, only choice A is absolutely correct. Choices A & B have a specified reckoning point (i.e., before 31 Dec. 2020), thus it is easy to determine whether they are correct or not. However, choices C & D, unlike A & B, do not have specified reckoning points which to me implies that these events occur after 31 Dec 2020. If these meant to



happen before 31 Dec 2020, these would have specifically indicated the same. Under the original question, Choices c & D may be correct or incorrect depending on these occur before or after 31 Dec 2020.

21. On May 31, 2020, D promised to give a specific house and lot to C if C passes the Bar Examination. On September 24, 2020, C took the Bar Examination. The result of the Bar Examination which C took was released on April 14, 2021 and C passed it. C shall be entitled to the house and lot
 - a. On May 31, 2020
 - b. On September 24, 2020
 - c. On April 14, 2020
 - d. When he receives his rating
22. D promises to deliver a specific thing to C if the latter will pass the CPA Board Exam. Before the fulfillment of such suspensive condition, D made improvement to the specific thing. Afterwards, C passed the CPA Board Exam. What is the right of D to such improvement of specific thing during the pendency of condition at his expense?
 - a. D is the owner of such improvement because it was made at his expense
 - b. D shall have no other right than that granted to the usufructuary which is the right to enjoy and use the improved determinate thing for a reasonable time
 - c. D has the right to retain the improved specific thing by virtue of legal pledge until he was reimbursed by C for the improvement he made on the specific thing
 - d. D has the right to ask for reimbursement from C for the improvement he has made on the specific thing
23. Specific performance may not be possible in this civil obligation
 - a. A, a painter, obliges himself to paint the portrait of B on April 9, 2021
 - b. C, a farmer, obliges himself to give his only cow to D on February 14, 2021
 - c. E, a veterinarian, obliges himself to give one of his dogs to F on May 1, 2021
 - d. G, a registrar of deeds, obliges himself to effect registration of H's parcel of land on February 28, 2021
24. O brought his laptop at the shop of R for repair. O made several demands for the repair work to be done but R did not undertake the repairs. Eventually, R returned the laptop, unrepaired and with several parts missing. Which of the following remedies may be availed by O?
 - I. Ask another repair shop to make the repair with the repair cost thereof chargeable to R
 - II. Compel R to undertake the repair
 - III. Ask for damages for the missing parts of the laptop at the expense of R
 - a. I and II
 - b. II and III
 - c. I and III
 - d. I, II and III
25. A owes B sum of money evidenced by a promissory note which has prescribed. X, without the knowledge of A, paid B his debt. Later A reimbursed X for the payment of the latter to B although he has no obligation to do so
 - a. A can recover his reimbursement to X to prevent unjust enrichment on X's part at the expense of A
 - b. A cannot recover because he has the civil obligation to reimburse X for the latter paid his debt to B
 - c. A cannot recover because the payment partakes of natural obligation
 - d. A cannot recover since there was reimbursement by mistake
26. D obtained a loan of P1,000 from C who was in his right mind at the time he granted the loan to D. On due date, D paid his obligation to C who has since become insane. Of the total amount received, C lost P700 and spend P300 for his food and other necessary expenses. Which is correct?
 - a. The total obligation is fully extinguished because C received the payment in full
 - b. The obligation is extinguished up to P300 only
 - c. The obligation is extinguished up to P700 only
 - d. The obligation is voidable subject to legal remedy of annulment
27. D is obliged to deliver a specific horse to C for entry in the derby. The day before the agreed date of delivery, the horse broke its right leg. While it could walk, it could no longer run. Which is correct?
 - a. The obligation to deliver the horse is not extinguished because the injury to one leg was only considered partial loss
 - b. The obligation is extinguished because the injury to the right front leg of the horse is a partial loss that is so important in relation to obligation
 - c. The obligation to deliver the horse is not extinguished because the horse could still walk
 - d. The obligation to deliver the horse is not extinguished because he can get a horse from other source
28. A owes B P1,000. A, knowing that the debt has prescribed, nevertheless, still pays B. Can A recover what he voluntarily paid?
First answer: Yes, because B has no right to demand the payment effected by A



Second answer: No, the payment extinguished the natural obligation

- a. Both answers are correct
- b. Both answers are wrong
- c. Only the first is correct
- d. Only the second is correct

Note: should be B. Both answers are wrong.

Rationale:

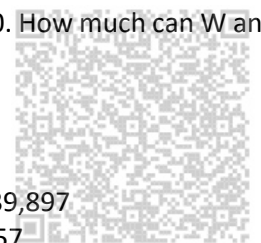
The original obligation has been extinguished already by extinctive prescription. Technically there is nothing to extinguish by payment anymore. What the law created here is a natural obligation on the part of the payor (debtor) to respect the right of retention by the payee creditor. This one is not extinguished by payment. The reason simply is that natural obligations, after there has been voluntary fulfillment by the obligor (payor, debtor), merely authorize the retention of what has been delivered by reason thereof. Thus, as in question #28, the obligor who voluntarily performs the contract cannot recover what he has delivered or the value of the service he has rendered due to the natural obligation, not because the obligation is extinguished by payment. (see Arts. 1423 & 1424)

29. X has been missing for some time leaving no one to manage his properties. A and B jointly took charge of the management thereof. However, due to the fault of A, the properties of X were damaged. The liability therefore to X for damages shall be
- a. Only A shall be liable
 - b. Both shall be jointly liable
 - c. Both shall be solidarily liable
 - d. They are not liable since x is at fault
30. X signs a promissory note and binds himself to pay Y P100,000 plus 15% per annum interest on June 30, 2021. Which statement is correct?
- a. Before June 30, 2021, Y can demand payment
 - b. If on June 30, 2021 X is paying Y, the latter can refuse payment
 - c. X can compel creditor Y to accept payment before June 30, 2021
 - d. Because the period is for the benefit of the debtor and creditor, Y can refuse any tendered payment before June 30, 2021
31. A entered into a contract with B by which A promised to deliver at price stipulated in the contract. Such delivery is to be made on February 14, 2021 with penalty in case of default. In this case, no further demand by B on A is necessary to consider A in delay because
- a. Time is of the essence
 - b. The obligation expressly so provides
 - c. The demand would be useless
 - d. Answer not given

*Note: should be ...consider A in **DEFAULT** because.*

Rationale: To be consistent on the distinction between delay and default: because, technically they are not the same thing. Per SC: "...mere delinquency in payment does not necessarily mean delay in the legal concept. To be in default. . is different from mere delay in the grammatical sense, because it involves the beginning of a special condition or status which has its own peculiar effects or results." (SSS v. Moonwalk, GR No. 73345, 07 April 1993)

32. X by mistake delivered to A and B a sum of money which should have been delivered to C and D. X now demands the return of the same from A and B. The liability of the latter for the sum of money to which they are not entitled shall be
- a. A and B shall be liable solidarily
 - b. A and B shall be liable jointly
 - c. They are not liable for having received the money in good faith
 - d. X has no right to recover as he was negligent in the delivery of the money
33. X, Y and Z are jointly and severally liable to C for P30,000 which matures on June 15, 2020. On May 1, 2020, X paid C for the whole amount of the debt. If on December 1, 2020, X will be reimbursed by Y, the latter will be liable for
- a. P10,000 with interest from June 15, 2020 to December 1, 2020
 - b. P10,000 without interest
 - c. P10,000 with interest from May 1, 2020 to June 15, 2020
 - d. P10,000 with interest from May 1, 2020 to December 1, 2020
34. A, B and C are joint debtors of joint creditors, W, X, Y and Z, in the amount of P300,000. How much can W and X collect from B?
- a. P 75,000
 - b. P 100,000
 - c. P 150,000
 - d. P 50,000
35. A, B, C and D, solidarily debtors, are obliged to give V, W, X, Y, Z, solidary creditors, P 39,897
- a. V may collect from D P 39,897
 - b. V may collect from D P 14,123
 - c. V may collect from D P 15,357
 - d. V may collect from D P 10,001



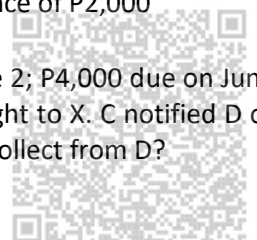
36. X and Y are solidary debtors of A, B, C, and D joint creditors to the amount of P80,000. How much can A collect from X?
- A could recover P 80,000 from X. A, in turn has to give to B, C and D P20,000 each
 - A could recover P 40,000 only from X
 - A could recover P 20,000 only from X
 - A could recover P 80,000 from X. A, in turn does not have to give to B, C and D P 20,000 each
37. A, B and C, solidary debtors, owe solidary creditors X and Y P100,000. X remitted the entire obligation in favor of A. The effect is
- The obligation is not extinguished until A collects from B and C
 - The obligation is not yet extinguished until Y is paid by X his share of the credit
 - A cannot recover from B and C because remission in his favor extend to the benefit of B and C under the principle of "all for one and one for all"
 - A can recover from B and C their respective share of the debt
38. A borrowed P1M from B and C who acted as solidary creditors. When the loan matured, B wrote a letter to A demanding payment of the loan directly to him. Before A could comply, C went to see him personally to collect and he paid him. Did A make a valid payment?
- No, since A should have split the payment between B and C
 - No, since B, the other solidary creditor, already made a prior demand for payment from A
 - Yes, since the payment covers the whole obligation
 - Yes, since C was a solidary creditor, payment to him extinguished the obligation
39. D obliged himself to give C a specific watch, a specific ring, or a specific bracelet. The parties agreed that C will have the right to choose the thing which will be given to him. Before C could make his choice, the watch and the ring are lost through D's fault, successively. What is the right of C?
- C may choose the delivery to him of the bracelet, or the price of the watch or the price of ring plus damages
 - C cannot choose the price of the watch or the price of the ring because the said objects have already been lost
 - C can only choose to have the bracelet because anyway, D can still perform his obligation
 - C can only choose to have delivery of the bracelet or the price of the ring which was the last item that was lost plus damages
40. A owes B P100,000.00 due on October 31, 2020. A executed a mortgage in favor of B on A's building to guaranty the obligation. On October 17, 2020, the building was destroyed by a massive earthquake. On October 18, 2020, B demanded payment from A. Is B's demand valid?
- No. The obligation is one with a definite period, thus the creditor cannot demand fulfilment of the obligation before it due
 - No. The mortgage was extinguished because of the contract was lost even though through a fortuitous event
 - Yes. The debt becomes due at once because the guarantee was lost even though through a fortuitous event, unless the debtor can mortgage another performance even before the due date
 - Yes. The debt becomes due at once because the period's benefit is given solely to the creditor thereby giving the creditor the right to demand performance even before the due date

Rationale: Letter C is the correct answer but question #40 does not indicate that a fortuitous event occurred.

41. D borrowed P 50,000.00 from C. C dies before he has collected the debt leaving S, his son, as heir. Which of the following statement is correct?
- S can collect from D although D and C did not agree that the right to the debt will pass on to the heirs of C
 - S cannot collect because the credit right is personal to C
 - S can collect only if D and C agreed that the right to the debt will pass on the heirs of C
 - S cannot collect because the law prohibits the transmission of the credit right
42. A borrowed from B a sum of money with a stipulated rate of interest to be paid in three equal monthly installments from January to March. A paid an amount for which the latter issued a receipt stating that the payment is for the month of February. In this case
- The installment for the month of March is also considered paid
 - The installment for the month of January is conclusively presumed to have been paid
 - The installment for the month of January is distributably presumed paid
 - The installment for the month of January is not presumed paid



43. A obliged himself to deliver the cans of powdered milk of B from his warehouse in Pangasinan to Manila. While his truck was traveling on the North expressway, it was hi-jacked by a band of robber who also took the cans of milk belonging to B. Is A liable for the loss of the goods?
- No, because they were generic things and as they cannot be lost
 - Yes, because he was in possession of the same at the time of the loss and therefore presumed at fault
 - Yes, because there was no stipulation exempting him from loss in case of fortuitous event
 - No, because the loss was due to fortuitous event
44. A obliged himself to pay B P100,000 in 30 days plus a penalty of P10,000 if A fails to pay the obligation in due time. A failed to pay the obligation in 30 days, B can demand from A
- The principal of P100,000 plus P10,000 penalty
 - The principal of P100,000 plus P10,000 penalty plus legal interest
 - The principal of P100,000 plus P10,000 penalty, plus legal interest, plus damages
 - The principal of P100,000 plus legal interest, plus damages
45. D is obliged to give C a specific ring. The parties that D may give a specific bracelet as substitute. Which of the following statements is true?
- If the ring is lost through a fortuitous event before substitution, the obligation is extinguished
 - If the bracelet is lost through a fortuitous event before substitution, the obligation is extinguished
 - If the ring is lost through a fortuitous event after substitution, the obligation is extinguished
 - If the ring is lost through the debtor's fault after substitution, the debtor shall pay damages
46. D owes C P10,000 with G as guarantor. C, on the other hand, owes D, P8,000. Both debts are already due, but D is insolvent. In this case
- C may collect from G P10,000
 - C may collect from G P2,000 because the guarantor can set up compensation as regards what the creditor may owe the principal debtor
 - C may collect nothing from G because D is insolvent
 - C may collect P8,000 from G
47. D owes C P50,000. Subsequently, D proposed to C that T will assume his (D's) debt. C accepted the proposal of D. Assume also that on due date, T could not pay because of his insolvency which was in fact subsisting but was not known to D or of public knowledge at the time that D delegated his debt. In this case
- C can revive D's debt because T's insolvency was already existing at the time that D delegated his debt
 - C can revive D's debt whether or not he (D) was aware of T's insolvency since he (D) proposed the substitution
 - C cannot hold D liable because his (D's) obligation was extinguished when he was substituted by T
 - The novation is void because D did not take steps to determine the solvency of T when he (D) delegated his debt
48. D stole the carabao of C. D was arrested, tried in court and convicted. Aside from being sentenced to a prison term, D was also ordered by the court to return the carabao. However, the carabao died before D could deliver it to C.
- D is not liable to C if the cause of the death of the carabao is a fortuitous event
 - D is liable to C only if the carabao died because of D's fault
 - D is liable to C whatever may be the cause of the death of the carabao
 - D has no liability to C whatever may be the cause of death of the carabao because his obligation to return the carabao was due to an order of the court and not on his own volition
49. A, B and C are solidary debtors of X in the amount of P3,000. X renounces the share of A and A accepts the renunciation. Thereafter, B becomes insolvent
- C alone will be liable for the balance of P2,000
 - A will be liable for P500, while C will be liable for P1,500
 - C will be liable only for his share of P1,000 A will no longer be liable since his share was already renounced by X
 - A will be liable for P1,000, while C will be liable for P1,000, for the remaining balance of P2,000
50. D owes C P30,000 due on June 20, C owes D the following debts: P15,000 due on June 2; P4,000 due on June 14; P6,000 due on June 16; and P3,000 due on June 18. On June 17, C assigned his right to X. C notified D of the assignment but D did not give his consent thereto. On June 20, how much may X collect from D?
- P30,000
 - P5,000
 - P2,000
 - Nothing



51. A, B and C are solidarily liable to X for P30,000. A is insolvent and X condoned B's share in the obligation. Which of the following statement is correct?
 - a. C is liable to X in the amount of P10,000 only
 - b. B is still liable to X in the amount of P20,000
 - c. X may only collect P10,000 from B
 - d. X may only collect P10,000 from C
52. A, B and C are solidary debtors of X, Y and Z. solidary creditors, in the amount of P2,700. X renounces the whole obligation without the consent of Y and Z. the debtors accepted the renunciation
 - a. The whole obligation is extinguished
 - b. Only P900 is extinguished
 - c. No part of the obligation is extinguished because not all the creditors consented to the renunciation
 - d. Only P300 is extinguished
53. A, B and are liable jointly in the amount of P60,000 to D and E, joint creditors. D condoned the whole obligation. How much obligation is extinguished by remission?
 - a. P60,000
 - b. P30,000
 - c. P20,000
 - d. P10,000
54. D obliged himself to give 5 grams of shabu to C. later, the parties agreed that D would instead give to C 5 sacks of rice. Which of the following statements is correct?
 - a. The novation is void because the original obligation is void. Hence, C cannot demand the delivery of 5 sacks of rice from D
 - b. The novation is valid because the new obligation is valid. Hence, C can demand the delivery of 5 sacks of rice from D
 - c. The original obligation although void is validated by the new obligation. Hence, C can demand the delivery of 5 sacks of rice from D
 - d. The new obligation is only voidable because D had not yet performed the original obligation at the time of the novation. Accordingly, the new obligation is binding, and C may demand the delivery of 5 sacks of rice from D until the new obligation is annulled by a proper action in court
55. Upon the proposal of a third person, a new debtor substituted the original debtor without the latter's consent. The creditor accepted the substitution. Later, however, the new debtor became insolvent and defaulted in his obligation. What is the effect of the new debtor's default upon the original debtor?
 - a. The original debtor is freed of liability since novation took place and this relieved him of his obligation
 - b. The original debtor shall pay or perform the obligation with recourse to the new debtor
 - c. The original debtor remains liable since he gave no consent to the substitution
 - d. The original debtor shall pay or perform 50% of the obligation to avoid unjust enrichment on his part
56. D has a grains warehouse in Davao, while C has a grains warehouse in Cebu. D borrowed 10 sacks of rice worth P10,000 from C for D's customer in Cebu. Later, C borrowed 10 sacks of rice which was also worth P10,000 from D for C's customer in Davao. Both the obligations are already due. Transport costs to Davao amount to P1,000, while those for Cebu amount to P800
 - a. D and C need not pay each other since their debts compensated each other
 - b. D and C need not pay each other since their debts compensated each other, except for the delivery charges which C must pay to D in the amount of P200 (P1,000 less P800)
 - c. Compensation cannot take place because the debts are payable at different places
 - d. D must pay C P10,800, while C must pay D P11,000
57. A has checking account in BDO Unibank with positive balance of P1,000,000. A borrowed of P1,000,000 from the same bank. At the maturity date of the loan payable of A, what mode of extinguishing obligation is present?
 - a. Condonation
 - b. Merger
 - c. Compensation
 - d. Delegacion
58. H and W are legally separated based on a court judgment. The decision requires H to give monthly support to W of P10,000 at the beginning of each month. On March 2020, W purchased goods on account from H's business in the amount of P10,000 with maturity date on May 1, 2020. H has not given W's monthly support for the month of April 2020 and May 2020. Which is incorrect?
 - a. If W demands her support for the month of April, H may set up compensation as regards to the debt W owes him
 - b. If W demands her support for the month of May, H may claim compensation as regards to the debt W owes him
 - c. If H demands payment of the debt from the sale of goods, W may set up compensation as regards to her support for the month of April
 - d. If H demands payment for the debt from the sale of goods, W may set up compensation as regards to her support for the month of May

Note: Answer should be letter B.



- o A **contract** is a meeting of minds between two persons whereby one binds himself, with respect to the other, to give something or to render some service.

ELEMENTS OF CONTRACTS

- ✓ **Essential** - those without which the contract cannot exist, i.e., Consent, object, consideration. In some contracts, form and delivery is essential too.
- ✓ **Natural** - those which exist as part of the contract even if the parties do not stipulate it because the law is deemed written therein. Example: Warranty against eviction in a contract of sale or the warranty against hidden defects.
- ✓ **Accidental** - those which are agreed upon by the parties and which cannot exist without being stipulated. Example: stipulation for interest.

STAGES OF A CONTRACT

- ✓ **Negotiation (preparation or conception or generacion)** – here the parties are progressing with their negotiations; prior to the arrival on a definite agreement. Here is where the parties provide for their offers and bargain with each other.
- ✓ **Perfection (or birth)** – when the parties have already come to a definite agreement and all the essential elements are present (which includes form or delivery in some).
- ✓ **Consummation (or death or termination)** – the terms of the contract have already been performed.

CLASSIFICATION OF CONTRACTS

- o **According to degree of dependence**
 - ✓ **Principal** – a contract which can stand on its own, such as a contract of sale, barter, lease, loan.
 - ✓ **Accessory** – those which cannot stand on its own and are dependent upon other contracts for its validity. E.g., guaranty, suretyship, mortgage and Antichresis.
 - ✓ **Preparatory** – a contract is a means to achieving an end, such as an option contract, a contract of partnership and that of agency.
- o **According to perfection**
 - ✓ **Consensual** – are those perfected by mere consent.
 - ✓ **Real** – those which are perfected only upon delivery of the thing subject of the contract. E.g., deposit, pledge, commodatum and mutuum.
 - ✓ **Formal** – those which require a certain form for its validity. e.g., Antichresis.
- o **According to purpose**
 - ✓ Transfer of ownership – Donation, Sale and Barter.
 - ✓ Conveyance of use – Usufruct, Lease and Loan.
 - ✓ Rendition of service – Lease and Agency.
- o **According to nature of obligation produced**
 - ✓ **Bilateral** – where both parties are reciprocally obligated, e.g., lease (where the lessor is obliged to allow the use of the thing and the lessee is obliged to pay rent) and sale (where the buyer is obliged to pay the price and the seller obliged to deliver the thing) (Arts. 1642, 1458).
 - ✓ **Unilateral** – only one party is obliged. E.g., guaranty and pledge. (Arts. 2047, 2093).
 - Importance of Classification:
 - **As to fruits:** in conditional obligations, who would be entitled to the fruits before the happening of the suspensive condition?
 - ✓ **Bilateral:** the fruits are deemed mutually compensated under Art. 1187.
 - ✓ **Unilateral:** the fruits shall pertain to the debtor unless a contrary intention is clear.
 - **Rescission:** under Art. 1191, is implied in reciprocal obligations, or in this case, bilateral contracts where both are reciprocally obligated. But if the contract is unilateral, logically, the creditor would not rescind, he would either demand performance or seek damages.
 - **Delay:** in reciprocal obligations (bilateral contracts), from the moment one of the parties had already complied and the other did not, the latter shall be considered in delay even if there is no demand.
- o **According to cause**
 - ✓ **Onerous** – such as a contract of sale, barter, lease and simple loans or mutuum with stipulation for interest.
 - ✓ **Gratuitous or lucrative** – such as a donation and commodatum.
 - ✓ **Remuneratory** – where one prestation is given for a benefit or service that had been rendered previously.
- o **According to risk**
 - ✓ **Commutative** – where the parties contemplate real fulfillment, therefore, equivalent values (presumably) are given, such as sales (where the price is presumably the equivalent of the thing to be delivered) or lease (where the rental payments is presumably the value of the use of the thing).
 - ✓ **Aleatory** – where the fulfillment of the cause as to one party is dependent upon chance, such as an insurance contract (where the payment will depend on the happening of the event insured against).
- o **According to name**
 - ✓ **Nominate** – those contracts for which a particular name has been designated and rules particular to them are applicable such as sales, commodatum, partnership, agency, deposit, etc.
 - ✓ **Innominate** – those which do not have particular designation, such as do ut des, do ut facias, facio ut des and facio ut facias.
- o **According to subject matter**
 - ✓ Thing
 - ✓ Right
 - ✓ Service



• **CONSENT OF CONTRACTING PARTIES**

- o **Consent:** the meeting of the offer and the acceptance upon the thing and the cause which are to constitute the contract.
- o Offer and Acceptance:
 - ✓ The offer must be certain
 - ✓ The acceptance must be absolute.
 - ✓ A qualified acceptance constitutes a counteroffer.
 - ✓ Acceptance made by letter or telegram does not bind the offerer EXCEPT from the time it came to his knowledge. The contract, in such a case, is presumed to have been entered into in the place where the offer was made.
 - ✓ An acceptance may be express or implied.
 - ✓ The person making the offer may fix the time, place, and manner of acceptance, all of which must be complied with.
 - ✓ An offer becomes ineffective upon the death, civil interdiction, insanity, or insolvency of either party before acceptance is conveyed.
- o **Option Agreement:** When the offerer has allowed the offeree a certain period to accept, the offer may be withdrawn at any time before acceptance by communicating such withdrawal, EXCEPT when the option is founded upon a consideration, as something paid or promised.
- o **Advertisements:** Unless it appears otherwise, business advertisements of things for sale are not definite offers, but mere invitations to make an offer. Advertisements for bidders are simply invitations to make proposals, and the advertiser is not bound to accept the highest or lowest bidder, unless the contrary appears.

SITUATIONS CONCERNING CONSENT OF THE PARTIES:

- o Both parties gave consent their consent as to the essential elements of the contract – the contract is valid.
- o Simulation: when one or both the parties did not intend to be bound by the contract (absolute simulation), the same is void. Otherwise, if the parties merely conceal their true agreement (relative simulation), they shall be bound by their real agreement.
- o Incapacity of one of the parties:
 - **Kinds of Capacity:**
 - ✓ **Juridical capacity** - is the fitness to be the subject of legal relations, is inherent in every natural person and is lost only through death.
 - If incapacity pertains to juridical capacity the contract is void.
 - ✓ **Capacity to act (or legal capacity)** - is the power to do acts with legal effect, is acquired and may be lost.
 - If incapacity pertains to capacity to act or legal capacity, it can be:
 - o **Absolute Incapacity** – the party cannot give consent in any contract, with anyone, in whatever capacity, over anything.
 - The following cannot give consent to a contract:
 - ✓ Unemancipated minors;
 - ✓ Insane or demented persons (EXCEPT if consent is given during lucid interval);
 - ✓ Deaf-mutes who do not know how to write; and
 - ✓ Drunks or hypnotized.
 - Here the contract would be voidable as to the party who is incapacitated.
 - Those who are “incompetent” under the Rules of Court who may be placed under guardianship:
 - ✓ Those suffering civil interdiction.
 - ✓ Hospitalized lepers.
 - ✓ Prodigals.
 - ✓ Deaf and dumb who are unable to read and write.
 - ✓ Those of unsound mind even though they have lucid intervals.
 - ✓ Those who by reason of age, disease, weak mind, and other similar causes, cannot without outside aid, take care of themselves and manage their property, becoming thereby an ease prey for deceit and exploitation.
 - o **Relative Incapacity** – a person may be prohibited from entering specific contracts or that in a contract, he may be prohibited in a certain capacity, i.e., prohibited to be the buyer, or to specific things, or to specific persons.
 - **Examples:**
 - ✓ An alien is prohibited under the Constitution from acquiring private lands.
 - **Except:** when acquired through (1) succession; or (2) sale of residential land to a former natural born Filipino citizen.
 - ✓ **Husbands and wives cannot enter into a contract of sale**, unless they agreed to a Separation of Property marital property regime or they have been legally separated.
- **Both are incapacitated:** the contract is **unenforceable**.
- **Both parties gave their consent, but such consent was vitiated: Vices of consent:** would render the contract **voidable**. Like:
 - o **Mistake** - must be that of (a) the object of the contract, or to (b) those conditions which have principally moved one or both parties to enter into the contract.
 - ✓ Mistake as to the identity or qualifications of one of the parties will vitiate consent only when such identity or qualifications have been the principal cause of the contract.
 - ✓ Mistake or error as to motive does not vitiate consent.
 - ✓ A simple mistake of account shall give rise to its correction.
 - ✓ There is no mistake if the party alleging it knew the doubt, contingency or risk affecting the object of the contract.
 - ✓ Mutual error as to the legal effect of an agreement when the real purpose of the parties is frustrated, may vitiate consent.
 - o **Violence** - when in order to wrest consent, serious or irresistible force is employed.

- o **Intimidation** - when one of the contracting parties is compelled by a reasonable and well-grounded fear of an imminent and grave evil upon his person or property, or upon the person or property of his spouse, descendants or ascendants, to give his consent.
 - To determine the degree of intimidation, the age, sex and condition of the person shall be borne in mind.
 - A threat to enforce one's claim through competent authority, if the claim is just or legal, does not vitiate consent.
- o **Undue Influence** - when a person takes improper advantage of his power over the will of another, depriving the latter of a reasonable freedom of choice.
 - The following circumstances shall be considered: the confidential, family, spiritual and other relations between the parties, or the fact that the person alleged to have been unduly influenced was suffering from mental weakness, or was ignorant or in financial distress.
- o **Fraud** - when, through insidious words or machinations of one of the contracting parties, the other is induced to enter into a contract which, without them, he would not have agreed to:
 - **Rules on Fraud:**
 - ✓ Failure to disclose facts, when there is a duty to reveal them, as when the parties are bound by confidential relations, constitutes fraud.
 - ✓ The usual exaggerations in trade, when the other party had an opportunity to know the facts, are not in themselves fraudulent.
 - ✓ A mere expression of an opinion does not signify fraud, unless made by an expert and the other party has relied on the former's special knowledge.
 - ✓ Misrepresentation by a third person does not vitiate consent, unless such misrepresentation has created substantial mistake and the same is mutual.
 - ✓ In order that fraud may make a contract voidable, it should be serious and should not have been employed by both contracting parties.
 - ✓ Incidental fraud only obliges the person employing it to pay damages.
 - ✓ Misrepresentation made in good faith is not fraudulent but may constitute error.

OBJECT CERTAIN WHICH IS THE SUBJECT MATTER

- o **Object (Subject Matter) of the Contract:** is really to create or to end obligations, which, in turn, may involve things, rights or services.
 - Requisites:
 - ✓ The thing, right or service must be within the commerce of man.
 - ✓ It must be transmissible.
 - ✓ It must not be contrary to law, morals, good customs, public order or public policy.
 - ✓ It must not be impossible.
 - ✓ It must be determinate as to its kind or determinable without the need of a new contract or agreement.
- o **Future Inheritance:** cannot be the subject matter of a valid contract. This is because the seller owns no inheritance while his predecessor lives. Public policy demands that if you're going to sell, you have the right to do so, but not necessarily requiring that the seller is the owner.

CAUSE

- o Cause is the essential or impelling reason why a party assumes an obligation. Strictly speaking, there is no cause of contract, but there is a cause for an obligation.
 - In onerous contracts the cause is understood to be, for each contracting party, the prestation or promise of a thing or service by the other; in remuneratory ones, the service or benefit which is remunerated; and in contracts of pure beneficence, the mere liberality of the benefactor.
 - **Rules on Cause:**
 - ✓ Contracts without cause, or with unlawful cause, produce no effect whatever. The cause is unlawful if it is contrary to law, morals, good customs, public order or public policy.
 - ✓ The statement of a false cause in contracts shall render them void, if it should not be proved that they were founded upon another cause which is true and lawful.
 - ✓ Although the cause is not stated in the contract, it is presumed that it exists and is lawful, unless the debtor proves the contrary.
 - ✓ As a rule, inadequacy of the price will not affect the contract.
 - **Except:**
 - When **expressly provided** by law, e.g., rescissible contracts.
 - When there has been **fraud, mistake or undue influence**.
- o **OTHER ESSENTIAL ELEMENTS:** in some cases, delivery is required for the perfection of the contract; in others, there are formal requirements.
 - **Real Contracts:** are those which are perfected by delivery, which include:
 - ✓ Deposit
 - ✓ Pledge
 - ✓ Commodatum
 - ✓ Loan

FORMS OF CONTRACT

- o **GENERAL RULE:** no form is required for the validity or perfection of a contract.
 - **Exceptions:**
 - ✓ Donations of real property which requires a public instrument.
 - ✓ Donations of personal property which exceeds P5,000 which requires that the donation be written.
 - ✓ Stipulation to pay interests on loans or for the use of money, which must be in writing.



- ✓ Sale or transfer of large cattle which requires that it be in a public instrument, registered and that there should be a certificate of transfer.

o **Formalities required for enforceability (STATUTE OF FRAUDS):**

- The following are **unenforceable, unless they are in writing**, or some note or memorandum and subscribed by the party charged, or by his agent:
 - ✓ An agreement that by its terms is not to be performed within a year from the making thereof.
 - ✓ A special promise to answer for the debt, default, or miscarriage of another.
 - ✓ An agreement made in consideration of marriage, other than a mutual promise to marry.
 - ✓ An agreement for the sale of goods, chattels or things in action, at a price not less than five hundred pesos, unless the buyer accept and receive part of such goods and chattels, or the evidences, or some of them, of such things in action or pay at the time some part of the purchase money; but when a sale is made by auction and entry is made by the auctioneer in his sales book, at the time of the sale, of the amount and kind of property sold, terms of sale, price, names of the purchasers and person on whose account the sale is made, it is a sufficient memorandum.
 - ✓ An agreement of the leasing for a longer period than one year, or for the sale of real property or of an interest therein.
 - ✓ A representation as to the credit of a third person.

o **Formalities required for convenience:**

- To bind third persons, the following are required to appear in a public instrument:
 - ✓ Acts and contracts which have for their object the creation, transmission, modification or extinguishment of real rights over immovable property; sales of real property or of an interest therein governed by the Statute of Frauds.
 - ✓ The cession, repudiation or renunciation of hereditary rights or of those of the conjugal partnership of gains.
 - ✓ The power to administer property, or any other power which has for its object an act appearing or which should appear in a public document, or should prejudice a third person.
 - ✓ The cession of actions or rights proceeding from an act appearing in a public document.

o **Remedy to require a specific form:**

- If the law requires a document or other special form, as in the acts and contracts required to be to appear in a public instrument for convenience, the contracting parties may compel each other to observe that form, once the contract has been perfected.

REFORMATION OF INSTRUMENTS

- o **Reformation:** is the remedy by means of which a written instrument is made or construed so as to express or conform to the true intention of the parties when some error or mistake has been committed.

➤ **Requisites:**

- ✓ There is a meeting of the minds;
- ✓ There is a written instrument; and
- ✓ The written instrument does not reflect the true intention of the parties.

o **When may reformation be had:**

- ✓ Mutual mistake of the parties.
- ✓ If one party was mistaken and the other acted fraudulently or inequitably in such a way that the instrument does not show their true intention, the former may ask for the reformation of the instrument.
- ✓ When one party was mistaken and the other knew or believed that the instrument did not state their real agreement, but concealed that fact from the former.
- ✓ Ignorance, lack of skill, negligence or bad faith on the part of the person drafting the instrument or of the clerk or typist.
- ✓ If two parties agree upon the mortgage or pledge of real or personal property, but the instrument states that the property is sold absolutely or with a right of repurchase.

o **Who can ask for reformation:**

- ✓ If the mistake was mutual, reformation may be ordered at the instance of either party or his successor in interest.
- ✓ Otherwise, the injured party, or his heirs and assigns.

o **No reformation:**

- ✓ Simple donations inter vivos wherein no condition is imposed
- ✓ Wills
- ✓ When the real agreement is void
- Likewise, when one of the parties has brought an action to enforce the instrument, he cannot subsequently ask for its reformation.

FUNDAMENTAL CHARACTERISTICS / PRINCIPLES OF CONTRACTS

o **CONSENSUALITY OF CONTRACTS**

- Contracts are perfected by mere consent, and from that moment the parties are bound not only to the fulfillment of what has been expressly stipulated but also to all consequences which, according to their nature, may be in keeping with good faith, usage and law.

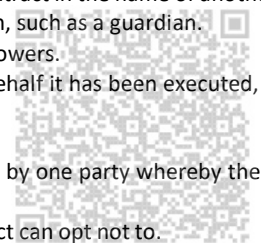
- o **Perfection of a contract:** is generally by the meeting of the minds or consensual, save for some cases where delivery or form is required for its perfection.

- o **Contract entered into by an unauthorized person:** is unenforceable since the rule is that no one may contract in the name of another without being authorized by the latter, such as an agent, or unless he has by law a right to represent him, such as a guardian.

- The same is true if the person, while authorized or has legal representation, acted beyond his powers.
- Unless, in both cases, the contract is ratified, expressly or impliedly, by the person on whose behalf it has been executed, before it is revoked by the other contracting party.

- o **Contract of adhesion** - one where there is already a prepared form containing the stipulations desired by one party whereby the latter only asks the other party to agree to them if he wants to enter into a contract.

- Generally valid: because a party who does not consent to the terms and conditions in the contract can opt not to.



0 **AUTONOMY OF CONTRACTS (FREEDOM OR LIBERTY TO CONTRACT)**

- The contracting parties may establish such stipulations, clauses, terms and conditions as they may deem convenient, provided they are not contrary to law, morals, good customs, public order, or public policy.

0 **Contrary to Law:** note that the law is deemed part of every contract and must thus be not contrary to the same.

- ✓ Waiver for future fraud.
- ✓ Partnership: Pactum Leonina – a stipulation which excludes one or more partners from any share in the profits or losses.
- ✓ Mortgage/Pledge: Pactum Commissorium – a stipulation where the creditor appropriates the things given by way of pledge or mortgage, or dispose of them.
- ✓ Mortgage/Pledge: Pactum de non aliendo – a stipulation forbidding the owner from alienating the immovable mortgaged.

0 **Contrary to Public Policy:**

- ✓ Refund of tuition fees during the time a student is covered by a scholarship if such student transfers schools.
 - Scholarships are granted not to attract and to keep brilliant students in school for their propaganda mine but to reward merit or help gifted students in whom society has an established interest or a first lien.
- ✓ Prohibiting a losing candidate in a convention to run as an independent candidate is contrary to constitutionality protected right to be elected in public office and the right of the electorate to choose.

0 **Contrary to Morals:** in a contract of loan, where the interest rate is 50%, is void for being contrary to morals, the same being unconscionable, confiscatory, exorbitant, excessive or inequitable, not because of it is usurious.

✓ **MUTUALITY**

- The contract must bind both contracting parties; its validity or compliance cannot be left to the will of one of them.
 - This provision stresses the mutuality of contracts – that is, both parties are bound. The principle is based on the essential equality of the parties since it would be unfair if it is binding on one party and yet leave the other free.

0 **Consequences of Mutuality:**

- ✓ One party cannot revoke or renounce a contract without the consent of the other, nor have it said aside on the ground that he had made a bad bargain.
- ✓ Potestative suspensive conditions dependent upon the sole will of the debtor voids the obligation. If the potestative condition is resolutory, it would not affect the validity of the contract, as such, extinguishment can be left to the will of one of the parties.
- ✓ The determination of the performance may be left to a third person:
 - Whose decision shall not be binding until it has been made known both contracting parties.
 - The determination shall not be obligatory if it is evidently inequitable. In such case, the courts shall decide what is equitable under the circumstances.

0 **ESCALATION CLAUSE:** where one increases/decreases compensation of one of the parties.

- ✓ When Void: when the increase is dependent solely upon the will of one of the parties.
- ✓ The unilateral determination and imposition of increased interest rates by the bank is obviously violative of the principle of mutuality of contracts ordained in Article 1308 of the Civil Code.
- ✓ When Valid: when the increase/decrease is dependent on valid and reasonable standards.

- **Contract for a piece of work:** where the compensation of the contractor may be increased on the basis of minimum wage or as to materials, based on the consumer price index.
- **Contract of Lease:** where the rental would be increased or decreased based on the movement (increase or devaluation) of foreign exchange – valid.

OBLIGATORY FORCE OF CONTRACTS

- Obligations arising from contracts have the force of law between the contracting parties and should be complied with in good faith.

0 **Relativity (or Privity) of Contracts:** means that the contract takes effect only between the parties, their assigns and heirs which are referred to as privies.

0 **When not transmissible:**

- ✓ When the nature of the obligation is that it is not transmissible: when the rights are purely or strictly personal in nature, i.e., the qualifications and skills of the person have been considered in the constitution of the contract.
- ✓ By stipulation: e.g. the right to sublease is granted by law - but may be prohibited by stipulation.
- ✓ By provision of law: e.g. heirs as to the usufruct. The law provides that the rights of a usufructuary shall not be transmitted to the heirs, unless the parties stipulate otherwise.

0 **Third Parties:** as a general rule do not have a cause of action to enforce or annul a contract nor are they bound by the terms thereof.

➤ **Exceptions:**

✓ **Third person may be bound by the contract:**

- In contracts creating real rights, third persons who come into possession of the object of the contract are bound thereby, subject to the provisions of the Mortgage Law and the Land Registration Laws.

✓ **A creditor may initiate an action against the contracting parties**

- Creditors are protected in cases of contracts intended to defraud them.
 - **Accion Pauliana:** is the action of the creditor to rescind the contract entered into by the debtor to defraud him.

✓ **Third persons may be liable under a contract**

- Any third person who induces another to violate his contract shall be liable for damages to the other contracting party.
 - **Malicious interference by third persons:** as the name implies, there should be malice or a malicious inducement by the third person as a result of which, the debtor does not comply with his obligation under the contract, which necessarily implies that such third person has knowledge of the existence of the contract.

✓ **Third persons may be benefited by a contract – 2nd paragraph of Art. 1311, otherwise known as a stipulation pour autrui.**

- If a contract should contain some stipulation in favor of a third person, he may demand its fulfillment provided he

communicated his acceptance to the obligor before its revocation. A mere incidental benefit or interest of a person is not sufficient. The contracting parties must have clearly and deliberately conferred a favor upon a third person.

- ✓ **Stipulation pour autrui:** is a stipulation in favor of a third person conferring a clear and deliverate favor upon him, and which stipulation is merely part of a contract entered into by the parties, neither of whom acted as agent of the third person.
- ✓ Communication of acceptance to the obligor is required. No form is required. It can even be implied from the acts of the third person.
- ✓ Revocation: cannot be done by one party alone. The Supreme Court has held that if this revocation is a unilateral act of one of the parties, it is void for violation of the principle of mutuality of contracts. For a revocation to take effect, it must be with consent of both parties (obligor and oblige) and should be done before the communication of acceptance to the obligor.

INTERPRETATION OF CONTRACTS

- If the terms of a contract are clear and leave no doubt upon the intention of the contracting parties, the literal meaning of its stipulations shall control.
 - If the words appear to be contrary to the evident intention of the parties, the latter shall prevail over the former.
 - Primordial Consideration: is the intention of the parties. Such that even if the terms of the contract are clear, but does not reflect the intention of the parties, it is the intention which would prevail.
- In order to judge the intention of the contracting parties, their contemporaneous and subsequent acts shall be principally considered.
 - **Contemporaneous and Subsequent Acts:** may be considered to determine if the parties' intention are different from the clear words of the agreement.
 - In a case where a Deed of Assignment was issued as payment for the obligation of the debtor in an indemnity agreement by way of dacion en pago, the debtor thereafter made subsequent installment payments and executed a mortgage, the SC held that clearly the subsequent acts of the debtor does not reflect his claim that the deed of assignment was by dacion en pago. The deed of assignment was a form of security for the indemnity agreement.
- When it is **absolutely impossible to settle doubts** by the rules established in the preceding articles, and the doubts refer to incidental circumstances of a gratuitous contract, the **least transmission of rights and interests** shall prevail. If the contract is onerous, the doubt shall be settled in favor of the **greatest reciprocity of interests**.
 - If the doubts are cast upon the principal object of the contract in such a way that it cannot be known what may have been the intention or will of the parties, the contract shall be null and void.
- **Other rules in interpretation of contract:**
 - ✓ General the terms of a contract may be, they shall not be understood to comprehend things that are distinct and cases that are different from those upon which the parties intended to agree.
 - ✓ If some stipulation of any contract should admit of several meanings, it shall be understood as bearing that import which is most adequate to render it effectual.
 - ✓ The various stipulations of a contract shall be interpreted together, attributing to the doubtful ones that sense which may result from all of them taken jointly.
 - ✓ Words which may have different significations shall be understood in that which is most in keeping with the nature and object of the contract.
 - ✓ The usage or custom of the place shall be borne in mind in the interpretation of the ambiguities of a contract, and shall fill the omission of stipulations which are ordinarily established.
 - ✓ The interpretation of obscure words or stipulations in a contract shall not favor the party who caused the obscurity.

KINDS OF CONTRACT AS TO VALIDITY

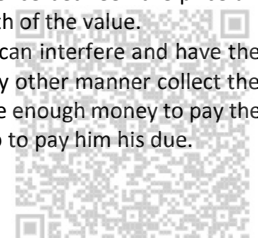
1. **VALID AND BINDING** – where all the essential requisites are present and no defect or vice attended the same.

2. RESCISSIBLE CONTRACTS

- **Rescission:** is a process designated to render inefficacious a contract validly entered into and normally binding, by reason of external conditions, causing an economic prejudice to a party or his creditors.
- **Resolution:** is the proper term to the “rescission” which is a remedy under Art. 1911 in reciprocal obligations. Unlike the proper rescission for rescissible contracts, resolution is a primary remedy which can be availed of by the parties and does not require lesion as a ground therefor but will require non- performance or non-fulfillment of the obligation or when there is substantial breach.
- The following contracts are **rescissible**:
 - ✓ Those which are entered into by guardians whenever the wards whom they represent suffer lesion by more than one-fourth of the value of the things which are the object thereof.
 - ✓ Those agreed upon in representation of absentees, if the latter suffer the lesion stated in the preceding number.
 - ✓ Those undertaken in fraud of creditors when the latter cannot in any other manner collect the claims due them.
 - ✓ Those which refer to things under litigation if they have been entered into by the defendant without the knowledge and approval of the litigants or of competent judicial authority.
 - ✓ All other contracts specially declared by law to be subject to rescission.
- **Lesion** – is the damage or injury to the party asking for rescission, which represents the difference between the price and the actual value of the property. Lesion, as a ground for rescission must be more than one-fourth of the value.
- **In fraud of creditors:** which is properly termed “**accion pauliana**,” through which the creditor can interfere and have the contract entered into by the debtor rescinded. This presupposes that the creditor cannot in any other manner collect the claims due. Thus, if the debtor entered into a contract of sale with a third person in order to have enough money to pay the creditor, the latter cannot rescind such contract of sale since the sale was precisely entered into to pay him his due.

Other contract subject to rescission under the law:

- ✓ Rights of an unpaid seller.
- ✓ In obligations to deliver a specific thing, where the same deteriorates with the fault of the debtor before the suspensive



- condition is fulfilled (or suspensive term arrives).
- ✓ Lesion of at least one-fourth in partition.
- ✓ In sale of real estate for a certain price per unit of measure and the real estate delivered is deficient by more than 1/10 or when the buyer would not have entered into the contract knowing the actual area of the real estate.
- ✓ Payments made in a state of insolvency for obligations whose fulfillment the debtor could not be compelled at the time they were effected.

Rescission as a remedy:

- ✓ The action for rescission is subsidiary; it cannot be instituted EXCEPT when the party suffering damage has no other legal means to obtain reparation for the same.
- ✓ Rescission shall be only to the extent necessary to cover the damages caused.
- ✓ Restitution - rescission creates the obligation to return the things which were the object of the contract, together with their fruits, and the price with its interest.
- ✓ It can be carried out only when he who demands rescission can return whatever he may be obliged to restore.
- ✓ Rescission shall not take place when the things which are the object of the contract are legally in the possession of third persons who did not act in bad faith. In which case, indemnity for damages may be demanded from the person causing the loss.
- ✓ If the sale of the property of the guardian or the absentee is approved by courts, rescission is not an available remedy.

Presumption of Fraud:

- ✓ Alienations by gratuitous title: presumed to have been entered into in fraud of creditors, when the donor did not reserve sufficient property to pay all debts contracted before the donation.
- ✓ Alienations by onerous title: presumed fraudulent when made by persons against whom some judgment has been issued. The decision or attachment need not refer to the property alienated, and need not have been obtained by the party seeking the rescission.

- o Whoever acquires in bad faith the things alienated in fraud of creditors shall indemnify the latter for damages suffered on account of the alienation, whenever, due to any cause, it should be impossible for him to return them.
- o **Prescriptive Period:** the action to claim rescission must be **commenced within 4 years**. For persons under guardianship and for absentees, such four year period shall begin upon termination of the ward’s incapacity or when the absentee’s domicile is known.
- o **Sale of land - 4 years is counted from the time of registration:** When a transaction involves registered land, the four-year period fixed in Article 1391 within which to bring an action for annulment of the deed, shall be computed from the registration of the conveyance.

3. VOIDABLE CONTRACTS

- **Voidable Contracts:** are those which are valid until they have been annulled by proper action in court. However, they are likewise subject to ratification to cure the defect.
- The following are voidable contracts:
 - Those where one of the parties is incapable of giving consent.
 - Those where the consent is vitiated by mistake, violence, intimidation, undue influence or fraud.
- **Prescriptive Period: shall be four years.**

Ground	Counted from:
Intimidation, violence or undue influence	The defect of the consent ceases
Mistake or fraud	Discovery
Minority or incapacity	Guardianship ceases

- **Ratification: extinguishes the action to annul** a voidable contract.
 - Ratification may be effected by the guardian of the incapacitated person.
 - It does not require the conformity of the contract party who has no right to bring the action for annulment.
 - It cleanses the contract from all the defects from the moment it was constituted.
 - It may be done:
 - Expressly – either oral or written; or
 - Tacitly (impliedly) – when the reason which renders the contract voidable has ceased, the person who has a right to invoke annulment should execute an act which necessarily implies an intention to waive such right.
- **Annulment: renders the contract non-existing, as if it was never entered into.**
 - Only the injured party (the victim, whether principal or subsidiary party) may ask for annulment.
 - Creditors of the injured party cannot ask for the annulment of the contract for they are not parties thereto.
 - In case of minority, and the minor misrepresents his age and the other party was led to believe the same, there can be no annulment, for here, the minor would be estopped.
 - Those who are capacitated cannot allege the incapacity of those with whom they contracted with nor those who exerted intimidation, violence or undue influence, or employed fraud, or caused mistake.
 - Effects of loss of the thing:
 - ✓ The action for annulment of contracts shall be extinguished when the thing which is the object thereof is lost through the fraud or fault of the person who has a right to institute the proceedings.
 - ✓ If the right of action is based upon incapacity, the loss of the thing shall not be an obstacle to the success of the action, unless said loss took place through the fraud or fault of the incapacitated person.
 - **Effects of annulment:**
 - ✓ Generally, the parties are obliged to restore to each other the things which have been the subject matter of the contract, with their fruits and the price with its interest.
 - ✓ In obligations to render service, the value thereof shall be the basis for damages.
 - ✓ In case of incapacity, the person incapacitated is not obliged to make any restitution EXCEPT insofar as he has been benefited by the thing or price received by him.
 - ✓ Whenever the person who is obliged to return the thing cannot do so because it has been lost through his fault, he shall return:
 - The fruits received.

- The value of the thing at the time of loss.
- With interest from the same date.
- ✓ When one party does not return what is due him by virtue of the annulment, he cannot compel the other to comply what is incumbent upon him.

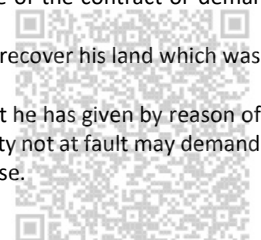
4. UNENFORCEABLE CONTRACTS

- **Unenforceable contracts** – are those which have no effect until they are ratified.
- **Kinds of Unenforceable Contracts:**
 - ✓ Unauthorized contracts – those entered into in the name of a person by one who has been given no authority or legal representation, or who has acted beyond his powers.
 - ✓ Those that do not comply with the Statute of Frauds – these are agreements that are required to be in writing in order to avoid fraud.
 - ✓ Those where both parties are incapable of giving consent.
- **Statute of Frauds:** in order to be enforceable, the following must be in writing, or in some note or memorandum:
 - ✓ An agreement that by its terms is not to be performed within a year from the making thereof.
 - ✓ A special promise to answer for the debt, default, or miscarriage of another.
 - This is applicable in contracts of guaranty where a person promises to pay in case the debtor defaults.
 - ✓ An agreement made in consideration of marriage, other than a mutual promise to marry.
- **Rules Applicable to Statute of Frauds:**
 - ✓ It applies only to executory contracts, and not those which have been partially or completely executed.
 - ✓ The list is exclusive, that is, it applies only to the agreements or contracts enumerated above.
 - ✓ The defense of Statute of Frauds may be waived.
 - ✓ The Statute of Frauds is a personal defense, that is, an agreement infringing it cannot be assailed by third persons.
 - ✓ If oral evidence is presented to prove the agreement, and the other does not object thereto, there is deemed a waiver of the defense of Statute of Frauds. The same is true if the other party has already accepted the benefits of the contract.

5. VOID OR INEXISTENT

- Void Contracts are those which are either inexistent (as when the required formalities are not complied with for its perfection, which produces no legal effects), or illegal or illicit.
- **The following contracts are inexistent and void from the beginning:**
 - ✓ Those whose cause, object or purpose is contrary to law, morals, good customs, public order or public policy.
 - ✓ Those which are absolutely simulated or fictitious.
 - ✓ Those whose cause or object did not exist at the time of the transaction.
 - ✓ Those whose object is outside the commerce of men.
 - ✓ Those which contemplate an impossible service.
 - ✓ Those where the intention of the parties relative to the principal object of the contract cannot be ascertained.
 - ✓ Those expressly prohibited or declared void by law.
 - These contracts cannot be ratified. Neither can the right to set up the defense of illegality be waived.
- **Rules Applicable:**
 - ✓ The action or defense for the declaration of the contract as inexistent does not prescribe.
 - ✓ The contract cannot be ratified.
 - ✓ It cannot give rise to valid subsequent contracts if the same are based on it.
 - ✓ Generally, produces no effect and no action to declare them void is needed.
 - ✓ When money is paid or property delivered for an illegal purpose, the contract may be repudiated by one of the parties before the purpose has been accomplished, or before any damage has been caused to a third person. In such case, the courts may, if the public interest will thus be sub served, allow the party repudiating the contract to recover the money or property.
 - ✓ Where one of the parties to an illegal contract is incapable of giving consent, the courts may, if the interest of justice so demands allow recovery of money or property delivered by the incapacitated person.
 - ✓ When the agreement is not illegal per se but is merely prohibited, and the prohibition by the law is designated for the protection of the plaintiff, he may, if public policy is thereby enhanced, recover what he has paid or delivered.
- **Illegal Contracts:** can either be that which involves a criminal offense or where there is no criminal offense.
 - o **When there is a criminal offense, it may be of two kinds:**
 - Those where both parties are guilty (in pari delicto) – they shall have no action against each other; they shall both be prosecuted; the effects of the crime shall be confiscated in favor of the government. Example is when both parties entered into a contract to smuggle contraband.
 - Those where only one is guilty and the other is innocent:
 - ✓ The guilty party will be prosecuted.
 - ✓ The instrument of the crime (or object of the contract) will be confiscated.
 - ✓ The innocent one may claim what he has given.
 - o **When there is no criminal offense, which may be:**
 - **Where both are guilty** – where neither can recover what he has given by virtue of the contract or demand the performance of the other's undertaking.
 - ✓ As such, if a Filipino sold to a Chinese his land, the Filipino vendor cannot recover his land which was illegally sold; neither can the Chinese recover the money paid.
 - **Where only one is guilty or at fault** – where the guilty party cannot recover what he has given by reason of the contract or ask for the fulfillment of what had been promised him and the party not at fault may demand the return of what he has given, without any obligation to comply with his promise.

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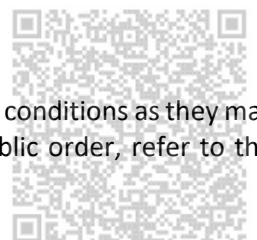


THEORY

- 1. A meeting of minds between two persons whereby one binds himself with respect to the other to give something or to render some service is known as
 - a. Obligation
 - b. Consent
 - c. Contract
 - d. Stipulation
- 2. Elements without which there cannot be a contract
 - a. Natural element
 - b. Accidental elements
 - c. Essential elements
 - d. All of the above
- 3. Elements that accompany certain contracts unless set aside or suppressed by the parties are known as
 - a. Natural elements
 - b. Accidental elements
 - c. Essential elements
 - d. Original elements
- 4. What are the essential requisites of a contract?
 - a. Consent
 - b. Cause
 - c. Subject
 - d. All of the above
- 5. It is the manifestation of the meeting of the offer and the acceptance upon the thing and the cause which are to constitute the contract
 - a. Consideration
 - b. Contract
 - c. Consent
 - d. Cause
- 6. The essential or impelling reason why the parties enter into a contract
 - a. Motive
 - b. Profit
 - c. Cause
 - d. All of the above
- 7. The following may be valid objects of a contract, except
 - a. All that are within the commerce of man
 - b. All services which are not contrary to law
 - c. Impossible things or services
 - d. All rights that are transmissible
- 8. Which of the following may not be the object of a contract of sale?
 - a. Thing having a potential existence
 - b. The sale of hope or expectancy
 - c. Future inheritance
 - d. Things subject to a resolutive condition
- 9. The stages of a contract according to the order of their occurrence are
 - a. Birth, conception and consummation
 - b. Conception, consummation and birth
 - c. Conception, birth and consummation
 - d. Consummation, conception and birth
- 10. A contract is in the stage of conception when
 - a. There is meeting of the minds
 - b. Negotiation is in progress
 - c. The parties come to the agreement
 - d. The contract is perfected
- 11. X asked Y if the latter can grant him a loan of P50,000 payable in one year plus 12% interest and Y nodded his head. The contract of loans is in the stage of
 - a. Preparation
 - b. Consummation
 - c. Perfection
 - d. None of the answers are correct
- 12. A real contract has the following essential elements
 - a. Consent of the contracting parties, object certain and cause of consideration
 - b. Consent of the contracting parties, object certain, cause of consideration and delivery of the object
 - c. Consent of the contracting parties, object certain, cause of consideration and formalities required by law
 - d. Consent of the contracting parties, object certain, delivery of the object, and formalities required by law
- 13. The following is an example of a real contract
 - a. Contract of pledge
 - b. Contract of deposit
 - c. Contract of commodatum
 - d. All of the above
- 14. A contract that can stand by itself is known as
 - a. Accessory contract
 - b. Principal contract
 - c. Commutative contract
 - d. Gratuitous contract



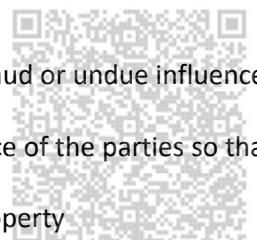
15. A contract that does not have any special name under the law is known as
 - a. Nominate contract
 - b. Innominate contract
 - c. Special contract
 - d. Nominal contract
16. Which of the following innominate contract refers to “I give that you may give”?
 - a. Do ut des
 - b. Do ut facias
 - c. Facio ut des
 - d. Facio ut facias
17. A contract where both parties are required to do or give something is known as a
 - a. Bilateral contract
 - b. Unilateral contract
 - c. Gratuitous contract
 - d. Commutative contract
18. A contract whose cause is the promise of a thing or service by the other party is
 - a. An onerous contract
 - b. A gratuitous contract
 - c. A lucrative contract
 - d. A remuneratory contract
19. Commodatum, pure donation, guaranty or suretyship unless there is a stipulation to the contrary and mortgage given by a third person to secure an obligation of a debtor unless a consideration is paid for such mortgage are examples of what classification of contract according to cause
 - a. Onerous
 - b. Remuneratory
 - c. Gratuitous
 - d. Bilateral
20. How shall doubt concerning the incidental circumstances of a gratuitous contract be resolved?
 - a. In favor of least transmission of rights
 - b. In favor of greatest reciprocity of interest
 - c. In favor of nullity of contract
 - d. In favor of the party who caused the obscurity
21. How shall doubt concerning the incidental circumstances of an onerous contract be resolved?
 - a. In favor of least transmission of rights
 - b. In favor of greatest reciprocity of interest
 - c. In favor of nullity of contract
 - d. In favor of the party who caused the obscurity
22. A contract where the parties contemplate a real fulfillment, hence, equivalent values are given is known as
 - a. Commutative contract
 - b. Gratuitous contract
 - c. Onerous contract
 - d. Aleatory contract
23. It refers to a contract perfected by the execution of the formality required by law
 - a. Legal contract
 - b. Solemn contract
 - c. Real contract
 - d. Consensual contract
24. It refers to a type of contract whose fulfillment depends upon chance
 - a. Auto contract
 - b. Contract of adhesion
 - c. Aleatory contract
 - d. Preparatory contract
25. The principle that contracts are perfected by mere consent is known as
 - a. Consistency of contract
 - b. Consensuality of contract
 - c. Consummation of contract
 - d. Mutuality of contract
26. The contract must bind both contracting parties; its validity or compliance cannot be left to the will of one of them. This is known as the principle of
 - a. Mutuality of contract
 - b. Relativity of contract
 - c. Consensuality of contract
 - d. Freedom to contract
27. Contracts take effect only between the contracting parties, their assigns and heirs, except in cases where the obligations and rights arising from the contract are not transmissible by their nature, or by stipulation or provision of law. This principle of contract is known as
 - a. Relativity of contract
 - b. Mutuality of contract
 - c. Obligatory force of contract
 - d. Liberty of contract
28. The principle that contracting parties may establish such stipulations, clauses, terms and conditions as they may deem convenient, provided they are not contrary to law, moral, public policy and public order, refer to the principle of
 - a. Mutuality of contract
 - b. Liberty of contract
 - c. Relativity of contract
 - d. Consensuality of contract



29. Although contracts bind only contracting parties, their assigns and heirs, in the following instances, third persons are bound thereby
 - a. In case of stipulation pour autri
 - b. In contracts creating real rights
 - c. In contracts intended to defraud the creditors
 - d. All of the above
30. In the order that stipulation in favor of a third person would be valid and binding upon the parties thereto, the following are requisites, except
 - a. There must be a stipulation in favor of a third person
 - b. That there must be an existing agency between either of the contracting parties and the third person
 - c. The contracting parties must have clearly and deliberately conferred a favor upon the third person
 - d. The third person communicated his acceptance to the obligor before its revocation
31. An offer becomes ineffective if, before acceptance is conveyed, either parties become
 - a. Civilly interdicted
 - b. Insane
 - c. Insolvent
 - d. All of the above
32. Acceptance of an offer made by letter or telegram shall bind the offeror from the time the
 - a. Offeror made the offer
 - b. Offeree sent his letter or telegram
 - c. Acceptance came to the knowledge of the offeror
 - d. Offeree accepted the contract
33. The defective contracts arranged according to the degree of their defectiveness from the least defective to the most defective are
 - a. Voidable, rescissible, unenforceable, and void contracts
 - b. Rescissible, unenforceable, voidable, and void contracts
 - c. Rescissible, voidable, unenforceable, and void contracts
 - d. Unenforceable, rescissible, voidable, and void contracts
34. The following contracts are valid
 - a. Rescissible
 - b. Voidable
 - c. Unenforceable
 - d. All of the above
35. This kind of defective contract refers to that contract which is validly agreed upon because all the essential elements exists, but courts can nullify it when there is damage or prejudice to one of the parties to a third person. Its enforcement would cause injustice by reason of some external facts
 - a. Voidable contract
 - b. Void or inexistent contract
 - c. Rescissible contract
 - d. Unenforceable contract
36. The following are attributes of a rescissible contract, except
 - a. It is valid and rescinded
 - b. It is a principal remedy of the creditor to collect his credit
 - c. Damage or lesion is absolutely material
 - d. Third person whose interest is affected may ask for rescission
37. Which of the following contracts is not rescissible?
 - a. Those which are entered into by guardians whenever the wards whom they represent suffer a lesion of more than $\frac{1}{4}$ of the value of the object of the contract
 - b. Those where one of the parties is incapable of giving consent to a contract
 - c. Those executed in representation of an absentee, if the latter suffers a lesion more than $\frac{1}{4}$ of the value of the object of the contract
 - d. Those undertaken in fraud of creditors when the latter cannot in any other manner collect the claims due to them
38. Valid, binding and enforceable until annulled
 - a. Rescissible contract
 - b. Voidable contract
 - c. Void ab initio contract
 - d. Validable contract
39. The following are attributes of a voidable contract. Which is not?
 - a. It is binding, valid and enforceable before annulment
 - b. Damage is material to be voidable
 - c. It can be ratified and ratification has retroactive effect
 - d. The capacitated cannot allege the incapacity of the other party



40. The span of time wherein a person is in possession, temporarily, of all his mental faculties
 - a. Option period
 - b. Prescriptive period
 - c. Lucid interval
 - d. Reglementary period
41. It exists when a person takes improper advantage of his power over the will of another depriving the latter of a reasonable freedom of choice
 - a. Intimidation
 - b. Duress
 - c. Threat
 - d. Undue influence
42. A without authority from B sold the latter's car in the name of the latter. The contract is therefore
 - a. Rescissible
 - b. Voidable
 - c. Unenforceable
 - d. Void
43. S orally leased to R his parcel of land for a term of two years. The contract is
 - a. Rescissible
 - b. Voidable
 - c. Unenforceable
 - d. Void
44. Which of the following contracts must be both in writing and public instrument to be enforceable and valid?
 - a. Agreement to pay interest in a contract of loan
 - b. Contract of sale of a piece of land by the agent in the name of the principal
 - c. Contract of donation of real property
 - d. Contract of Antichresis
45. Contract which cannot be sued upon unless ratified, thus as if they have no effect yet
 - a. Voidable
 - b. Rescissible
 - c. Unenforceable
 - d. Void
46. The following contracts are voidable, except
 - a. Contracts entered into during a state of drunkenness or hypnotic spell
 - b. Contracts entered into during a lucid interval
 - c. Contracts where one of the parties is incapacitated to give consent
 - d. Contracts where the consent of one party is vitiated by violence, intimidation, mistake, fraud or undue influence
47. The action to annul a voidable contract is extinguished by
 - a. Novation
 - b. Ratification
 - c. Rescission
 - d. Estoppel
48. One of the following is not incapable of giving his consent
 - a. Insane persons
 - b. Deaf-mutes who do not know how to write
 - c. Deaf-mutes who know how to read
 - d. Unemancipated minors
49. Statement I: Just like voidable and unenforceable contracts, rescissible contracts may also be ratified
Statement II: In case of fraud or mistake, the action for annulment must be made within four years from the commission of the vice of consent
 - a. Both statements are true
 - b. Both statements are false
 - c. First statement is true, while the second is false
 - d. First statement is false, while the second is true
50. A and B who are both unemancipated minors entered into a contract. The contract entered into by and between them is
 - a. Rescissible
 - b. Unenforceable
 - c. Voidable
 - d. Void
51. The following contracts are unenforceable, except
 - a. Those entered into by one who has no authority or legal representation
 - b. Those that do not comply with the Statute of Frauds
 - c. Those where both parties are incapable of giving consent to a contract
 - d. Those where the consent of a party is vitiated by violence, intimidation, mistake, fraud or undue influence
52. The following contracts are required to appear in a public document for the convenience of the parties so that they may be registered into the proper recording office, except
 - a. Contracts which have for their object the creation of real rights over immovable property
 - b. The acceptance of an inheritance



- c. The power to administer property
 - d. The cession of actions or rights proceeding from an act appearing in a public document
53. When the contract lacks one of the essential elements, the contract is
- a. Voidable
 - b. Rescissible
 - c. Void
 - d. All of the above
54. If the doubts are cast upon the principal object of the contract in such a way it cannot be known what may have been the intention or will of the parties. The contract shall be
- a. Voidable due to lack of meeting of minds
 - b. Interpreted for there is doubt
 - c. Reformed to express the true intention of the parties
 - d. Void
55. It is a contract whereby the parties conceal their true agreement. Thus, the contracting parties are bound by their real agreement provided it does not prejudice a third person and is not intended for any purpose contrary to law, morals, good customs, public order or public policy
- a. Absolutely simulated contract
 - b. Relatively simulated contract
 - c. Vitiating contract
 - d. Ratified contract
56. An absolutely simulated contract is
- a. Void
 - b. Voidable
 - c. Unenforceable
 - d. Rescissible
57. Which among the following contracts is void?
- a. A contract of barter between S, insane, and B, 17 years old
 - b. A contract of sale where B, the buyer, twisted the arm of S, the seller, so that S would sign the deed of sale
 - c. A contract of sale where B, the buyer, aimed a gun at the wife of S, so that S would sign the deed of sale
 - d. A contract for the sale of a cow which is suffering from a contagious disease
58. Sale is valid between spouses
- a. When there is an agreement of separation of property between the spouses in their marriage
 - b. When the spouses' property regime is covered by conjugal partnership of gains
 - c. When the spouses' property regime is covered by absolute community of property
 - d. When the spouses entered into contract of marriage before the effectivity of the Family Code
59. The following contracts are void or inexistent, except
- a. Those whose cause, object or purpose is contrary to law, morals, good customs, public order or public policy
 - b. Those which are absolutely simulated or fictitious
 - c. Those whose cause or object did not exist at the time of the transaction
 - d. Those where one of the parties employed fraud to obtain the consent of the other
60. The following contracts are void or inexistent, except
- a. Those whose object is outside the commerce of men
 - b. Those which contemplate an impossible service
 - c. Those where the intention of the parties relative to the principal object of the contract cannot be ascertained
 - d. Those where one of the parties is guilty of fraud in performing his obligation
61. Which of the following contracts is void?
- a. Lease of a piece of land made by a minor without a written authority from his parents (the owners)
 - b. Oral sale of a piece of land made by the owner to an insane person
 - c. Written sale of a gold necklace made without authority from the owner
 - d. Written sale of a piece of land with oral authority from the owner
62. Statement I: Where the illegal contract is a criminal offense, the innocent party shall not be bound to comply with his promise if he has not yet given anything and if he had given, he may claim or recover for its return
Statement II: Where the illegal contract is not a criminal offense, the innocent party may demand the return or recover what he has given without any obligation to comply with his promise
- a. True and True
 - b. False and False
 - c. True and False
 - d. False and True
63. Mistake in three of the following will make a contract voidable. Which one will not?
- a. Mistake as to the substance of the thing which is the object of the contract
 - b. Mistake as to the principal conditions which principally moved one or both parties to enter into the contract



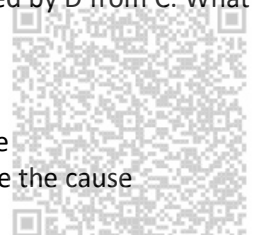
- c. Mistake as to the identity or qualifications of one of the parties in which identify or qualifications have been the principal cause of the contract
 - d. Simple mistake of account
64. Which one of the following constitutes fraud?
- a. Failure to disclose facts when there is a duty to reveal them as when parties are bounded by confidential reasons
 - b. Misrepresentation made not in bad faith
 - c. Misrepresentation by a third person and both parties were mistaken
 - d. Usual exaggeration in trade
65. If mistake, fraud or accident has prevented a meeting of the minds of the parties, the proper remedy is
- a. Reformation
 - b. Rescission
 - c. Annulment
 - d. Resolution
66. Which of the following is correct?
- a. An action to enforce judicially a natural obligation prescribes in 4 years
 - b. An action for annulment is imprescriptible
 - c. An action to declare a contract void is not subject to prescription
 - d. An action for rescission of contract prescribes in five years counted from the execution of the contract
67. It is a remedy in equity by means of which a written instrument is made or constructed so as to express or conform to the real intention of the parties when some error or mistake has been committed
- a. Ratification
 - b. Resolution
 - c. Reformation
 - d. All of the above
68. Which of the following contracts may be subject to reformation of instruments?
- a. Null and void contract
 - b. Last will and testament whether notarized will or holographic will
 - c. Simple donation inter vivos wherein no condition is imposed
 - d. Pacto de retro sale actually intended as loan with equitable mortgage
69. Reformation of an instrument is available in the following cases, except
- a. When a mutual mistake of the parties causes the failure of the instrument to disclose their agreement
 - b. When one party was mistaken, and the other party acted fraudulently or inequitably in such a way that the instrument does not show their true intention
 - c. When a party was mistaken and the other knew or believed that the instrument did not state their real agreement
 - d. When one of the parties has brought an action to enforce the contract

SITUATIONAL

1. A offered to sell her watch to B for P1,000. B offered to buy the watch for P800, but it was rejected by A. When B turned to go away, A called him and said she is now willing to sell the watch for P800. May B refuse to buy the said watch?
 - a. No, there is a meeting of the minds between the parties of the subject matter and the cause of the contract
 - b. Yes, because the agreement is under the Statute of Frauds
 - c. No, because B's offer of P800 was accepted by A
 - d. Yes, because B made a counter-offer which was rejected by A
2. A sent B a letter wherein the former offered to sell his car to the latter for P1M. B signed to show intention that he may buy the same. In A's letter, he gave B two weeks to raise the amount. After one week, A raised the price to P1.5M. Can B compel A to accept the P1M first offered by A and deliver him the car?
 - a. No, because there was no acceptance yet of the offer
 - b. Yes, since there was already offer and acceptance
 - c. Yes, because A cannot change his offer without the consent of B
 - d. Yes, because A cannot withdraw the offer within two weeks as he is under estoppel



3. S offers to sell his house to B for P100,000. B asks him if he would accept P80,000. Which of the following is correct?
 - a. Because of ambiguity, both offers are terminated by operation of law
 - b. B's response is a mere inquiry, the P100,000 offer by S is still there
 - c. B's response is a counter-offer effectively terminating the P100,000 offer and instigating an offer for P80,000
 - d. B's response is a rejection of the P100,000 offer and there is no offer for P80,000 because it is too indefinite to be an offer
4. S offers to sell his car to B for P125,000 cash. B accepts the offer but is willing to pay only P120,000
 - a. The contract was perfected at the price of P125,000
 - b. The contract was perfected at the price of P120,000
 - c. The contract was perfected at the price of P122,500
 - d. The contract was not perfected because the acceptance by B was qualified and it constituted a counter-offer
5. X offered to sell his house and lot to Y for P1,500,000. X told Y that he was giving Y thirty (30) days to decide whether to buy the house and lot. Y accepted the option but did not give anything to X to support the option given to him. Twenty days later, X found another buyer who was ready to buy the house and lot for P2,000,000. X wants to ask whether he can still withdraw the offer he made to Y. Decide.
 - a. Yes, X may withdraw the offer because he stands to gain an added profit of P500,000 and this will be more than enough to pay any damages to Y
 - b. Yes, X may withdraw the offer by just informing Y of such fact
 - c. No, X may not withdraw the offer because the option was accepted by Y although Y did not give anything in support thereof
 - d. No, X may not withdraw his offer until the lapse of the period given to Y to exercise his option
6. On October 3, 2020, D requested for a loan of P10,000 from C and he offered to pledge his ring as security for the loan. C granted his request and promised to give him the money on October 5, 2020. On October 5, 2020, C handed the amount of P10,000 to D and on October 6, 2020, D delivered his ring to C. Which of the following statements is correct?
 - a. The contract of loan between them was perfected when C accepted the offer of D on October 3, 2020
 - b. Both contracts of loan and pledge were perfected only on October 6, 2020
 - c. The contract of loan was perfected when C gave the money to D on October 5, 2020
 - d. The contract of pledge was perfected when C gave the money to D on October 5, 2020
7. A, a duly authorized agent of P, wrote a letter to B on March 1, 2020 offering to sell P's only Chevrolet car for P200,000 cash. On March 3, 2020, B wrote a letter to A stating that he was accepting all the terms of the offer, which letter was received by A on March 5, 2020. Before A could relay such acceptance to P, P died in a vehicular accident on March 6, 2020
 - a. The contract was not perfected because P, the real party to the sale, died before the acceptance came to his knowledge
 - b. The contract was perfected on March 1, 2020
 - c. The contract was perfected on March 3, 2020
 - d. The contract was perfected on March 5, 2020
8. S and B signed a deed of sale of specific motor vehicle at a price of P200,000. The parties agreed that S would deliver the said car and B would pay the price after two weeks. Before the two week period was over, S found another buyer who was willing to pay P250,000 for the car. May S validly withdraw from his contract with B?
 - a. Yes because B has not yet paid the price making the contract unenforceable
 - b. Yes because the contract of sale is not yet perfected without payment of earnest money
 - c. No because S was already bound by his contract with B and he cannot unilaterally withdraw from it
 - d. Yes because S has not yet delivered the car
9. D and C entered into a contract wherein D agreed to give to C P50,000 within 30 days from the date of the execution of their agreement, which, however, does not state the consideration received by D from C. What is the status of the contract between D and C?
 - a. The contract is void because the cause is not stated in the contract
 - b. The contract is valid because the cause is presumed to exist and that it is lawful
 - c. The contract is rescissible because D suffered damage by reason of absence of cause
 - d. The contract is valid provided another contract is executed between D and C to state the cause



10. A died leaving properties estimated at P1,000,000 to his sons S and T. Subsequently, S sold one-half of his inheritance to X for P300,000, although his share was still to be delivered.
 - a. The contract is valid since the inheritance is an existing inheritance.
 - b. The contract is void because what S sold is future inheritance which may not be the object of a contract as a rule
 - c. The contract is rescissible
 - d. The contract is unenforceable

11. A was forced by B to sign a contract. C, a creditor of A, wants to annul the contract. Is C allowed by law to do so?
 - a. No, because a third person cannot assail a contract
 - b. Yes, because the contract is voidable and C is damaged
 - c. Yes, a third person can annul a rescissible contract
 - d. No, because a third person cannot assail a voidable contract

12. In a contract of sale executed by S and B, S sold his car to B for P500,000. It turned out however, S has three vehicles: Fortuner valued at P800,000, Monterosport valued P700,000 and a Trailblazer valued at P600,000. Which of the following is correct?
 - a. The contract shall be reformed because there was mistake
 - b. The parties can ask for interpretation because the word motor vehicle is ambiguous
 - c. There is no contract
 - d. The parties can ask for annulment of the contract

13. S sold to B a fake 2020 model Lebron James pair of shoes on February 3, 2020. On March 10, 2020, B discovered that the shoes he bought from S was an imitation. The law provides that he can annul the sale as a voidable contract within four years. Prescription starts from
 - a. February 3, 2020 when the sale was perfected
 - b. March 10, 2020, when the fraud was discovered
 - c. The time of delivery of the shoes to B
 - d. The time they first talked about the sale of the shoes

14. S owns an oil painting. Being in need of money, S sold the painting to B for P1,000. After the sale, it was discovered that the painting was valuable and worth P5,000
 - a. S may rescind the contract due to lesion or inadequacy of cause
 - b. S may annul the contract because of the fraud
 - c. B is entitled to the benefit of the contract because it is valid and binding
 - d. S may annul the contract on the ground of error

15. S convinced B to buy a gold-plated bar which S told B was made of pure gold. B bought the thing believing that it was really made of pure gold. The contract between S and B is
 - a. Valid
 - b. Voidable
 - c. Rescissible
 - d. Void

16. A forced B to sell him his ring. B sued for annulment, but A had already lost the ring thru fortuitous event. Is A liable for loss?
 - a. A is not liable because the loss was without his fault
 - b. A is liable to pay damages if he cannot replace the ring
 - c. A is not liable to because no one shall be responsible for the loss of a thing due to fortuitous event
 - d. A is liable for the loss even if it was due to fortuitous event because of his bad faith

17. Example I: S sold his land to B in a private instrument. Later, B wanted to have the sale registered but it requires a public instrument. In here, B may compel S to execute the needed public instrument
 Example II: S orally sold his land to B. After B paid S, he wants to register the land in his name but he needs a public instrument of sale. In here, B may compel S to execute the needed public instrument
 - a. Both examples are false
 - b. Both examples are true
 - c. Only the first is true
 - d. Only the second is true



18. A verbal agreement was made between A and B whereby A agreed to sell and B agreed to buy A's farm for P100,000. The price was paid. Possession was not given nor the deed delivered. Both being refused. The contract is
- Rescissible
 - Voidable
 - Unenforceable
 - None of the above

Note: Answer should be letter D: None of the above

Rationale: Unenforceable contracts are purely executory only.

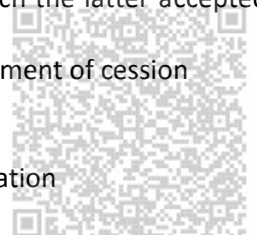
"[T]he Statute of Frauds applies only to executory contracts and not to contracts which are either partially or totally performed" (Averia v. Averia, G.R. No. 141877, 13 Aug 2004; Art. 1403 2 (e) Civil Code)

19. A loan for P800 was orally contracted. May the lender recover the sum lent?
- No, because the contract is unenforceable
 - Yes, because the contract is enforceable
 - Yes, if the debtor ratifies the loan
 - No, because the contract must be in writing to be valid
20. A and B mutually promised to marry each other. The promise being verbal and without witnesses to the promise. A did not marry B. B is now suing A for damages. Decide.
- The contract is unenforceable hence A is not liable
 - The contract is unenforceable because mutual promise to marry is covered by the Statute of Frauds
 - A may be liable for damages because mutual promise to marry is not covered by Statute of Frauds
 - A is liable for damages even if the contract is unenforceable

Note: Answer should be: None of the above.

Rationale: While outside the coverage of the Statute of Frauds (Art. 1403, 2 (c)), "[t]he existing rule is that a breach of promise to marry per se is NOT an actionable wrong." (Gashem Shookat Baksh v. Court of Appeals, G.R. No. 97336). However, if the wedding is already set and with all the necessary preparations and publicity, a breach of promise to marry here may be a basis for damages. This is "palpably and unjustifiably contrary to good customs," for which the erring promisor must be held answerable under Art. 21. (Wassmer v. Velez, G.R. No. L-20089)

21. A, minor, sold to B a parcel of land registered in his name misrepresenting to the latter that he is of legal age. Having been misled as to the true age of A, B entered into the contract. Is the contract voidable?
- It is voidable because the seller is the person incapable of giving consent to the contract being a minor
 - It is voidable because of mistake on the part of B when he thought that A was of legal age
 - It is not voidable because of the fraud committed by the minor seller and the buyer being in good faith
 - It is not voidable, but rather void because of lack of consent of A, who is only a minor being in good faith
22. X alleged that Y promised to give him one hectare of land. This is in consideration of X's meritorious services to Y. Y pleads in defense that since the promise was not in writing, it is unenforceable under the statute of Frauds. Decide.
- The promise is unenforceable because it is not in writing
 - The Statute of Frauds is not applicable here, because the promise to give the land is not a sale of real property
 - The statute of Frauds is applicable because A has rendered services
 - The statute of Frauds can apply to partially executed contract
23. A made a donation to B. Later, A contracted several debts. What A has left as assets are much less than his present liabilities. May the donation be rescinded?
- No, because the debts were incurred after the donation has been made
 - No, if A gave a guaranty or security for his debts
 - Yes, because the donation is rescissible being in fraud of creditors
 - Yes, because A has become insolvent after the donation
24. D borrowed P100,000 from C. On due date, C demanded payment but D refused. This prompted C to threaten to file a civil case to collect a sum of money against D. Afraid that he would be sued, D executed a contract transferring his car to C with book value of P95,000 as payment of the obligation which the latter accepted. Which is correct?
- The obligation is extinguished but only up to P95,000 by way of special mode of payment of cession
 - The executed contract is valid and binding because the threat was just and lawful
 - The special mode of payment is governed by Law on Obligation
 - The executed contract is voidable because the consent of D was vitiation by intimidation



25. To defraud his creditor, A sold his house to X. When the creditor wanted to collect his credit, somebody lent A enough money. Is the sale rescissible?
 - a. Yes, because it was entered into in fraud of creditors
 - b. No, because the creditor can collect the credit due to him
 - c. No, because the debtor has become in good faith when he was lent enough money to pay his debts
 - d. Yes, because the debtor was in bad faith when he sold the house to X
26. A and B entered into an oral sale of the former's car for P1M which amount has been credited to his bank account although the car has not yet been delivered to the latter. Can B compel A to execute the deed of the sale of the car?
 - a. No, because the sale is unenforceable
 - b. Yes, if A used the money paid to him
 - c. No, because the sale is void
 - d. Yes, because it is enforceable
27. Example I: The guardian of W sold W's house valued at P50,000 for P37,500 or a lesion by $\frac{1}{4}$ of the value
 Example II: S sold his house valued at P50,000 for only P10,000 because S did not know the true value of the house
 - a. Both contracts are rescissible
 - b. Both contracts are valid and enforceable
 - c. Example I is rescissible
 - d. Example II is voidable because there is an error
28. A threatened to kill B if the latter would not marry the former's daughter who was pregnant with B's child. Intimidated, B married A's daughter against his will
 - a. The contract is not voidable because the threat was made by a third person not by one of the parties
 - b. The contract is voidable due to intimidation even if employed by a third person
 - c. The contract is not voidable because the claim for marriage is just or legal and therefore consent is not vitiated
 - d. The contract is not voidable since B has to answer because it is his fault that A's daughter became pregnant
29. X, after the death of his father, sold his inheritance though its amount has not yet been determined to B, for a consideration of P50,000
 - a. The contract is valid only if the inheritance valued at least equal or more than P50,000
 - b. The contract is void if nothing remains of the inheritance to be turned over to B
 - c. The contract is rescissible
 - d. Contract is void, future inheritance cannot be the object of sale

Note: Answer should be: None of the above

Rationale: Letter B is not accurate.

Art. 1630 is found under chapter 8 of Title VI entitled "Assignment of Credits and other Incorporeal Rights." As such, it contemplates a situation where an heir sells his undivided SHARE in the inheritance, NOT any individual items of the estate. And the warranty in Art. 1630 is only with regard to the fact of heirship, and not as to any property or amount thereof. Thus, the value to be received by the assignee, whether more or less (even zero) than the amount paid, will not matter. Choice letter B may be considered if the reason why nothing was turned over to the assignee was because the assignor (X) was not an heir in the first place. In this instance, there is a breach of warranty of heirship under Art. 1630.

30. A sold a parcel of land to B by word of mouth and delivered to the latter the Transfer Certificate of Title of the land. Can B compel A to execute the deed of sale of the land?
 - a. B cannot compel A to execute the deed of sale being oral is unenforceable
 - b. B cannot compel A, because the sale is void being oral
 - c. B can compel A, because the sale is merely voidable and therefore binding until annulled
 - d. B can compel A, because the contract is enforceable due to the delivery of the TCT to him
31. To defraud his creditors, A sold his real property to B. B now seeks to register the sale. X, a creditor seeks to prevent the registration on the ground that it is a rescissible contract. Despite X's objection may the land be registered in B's name?
 - a. No, because the contract is rescissible and therefore without effect
 - b. Yes, because the contract although rescissible is valid, binding and enforceable before rescission
 - c. No, because the sale is void and after annulment is not binding
 - d. Yes, because the contract although voidable is valid and binding



32. A and B agreed on a contract of pledge. However, they entered into a contract of mortgage in the honest belief that the mortgage and pledge are the same. May the instrument be reformed?
 - a. No, the document cannot be reformed since the contract is void
 - b. No, it cannot be reformed because there was no meeting of minds between the parties and the remedy is annulment of contract
 - c. No, it cannot be changed and they are bound by the document which speaks for itself
 - d. Yes, it cannot be reformed because it does not express the true agreement of the parties
33. A gave B one million for the latter to kill C. Before B could accomplish his criminal intent to kill C, A changed his mind and demanded the return of money from B
 - a. A cannot recover the payment he made to B because it was void contract which does not allow recovery by the guilty party
 - b. A cannot recover the money because the contract is unenforceable
 - c. No recovery and both A and B will be prosecuted for their crime
 - d. A can recover the money although the contract is void since the crime was not committed
34. D owes C P500. However, C's right has already prescribed. Notwithstanding the knowledge of this fact, D paid the amount. Realizing this mistake D wants to recover the amount he paid
 - a. D can recover on the ground of mistake
 - b. D cannot recover
 - c. D can recover because his obligation is not enforceable
 - d. D can recover otherwise C will be enriched at the expense of D
35. A, an illiterate, borrowed P100,000 from B. Aside from that, A mortgaged his land to B which the latter accepted to secure the payment of the loan. B prepared a deed of sale with a right to repurchase and that such document evidenced their true agreement. What is the proper legal remedy available to A?
 - a. Action for reformation of instrument
 - b. Action for rescission of contract
 - c. Action for annulment of contract
 - d. Action for declaration of nullity of contract

Note: Answer should be letter C: Action for annulment of contract.

Rationale: The contract in this situation does not fall under any of the situations in Art. 1381 & 1382.

On the other hand, the facts fall squarely within the ambit of the following:

ARTICLE 1337. There is undue influence when a person takes improper advantage of his power over the will of another, depriving the latter of a reasonable freedom of choice. The following circumstances shall be considered ... the fact that the person alleged to have been unduly influenced was suffering from mental weakness, or was ignorant or in financial distress. and

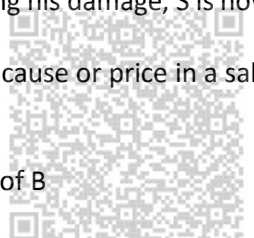
ARTICLE 1332. When one of the parties is unable to read, or if the contract is in a language not understood by him, and mistake or fraud is alleged, the person enforcing the contract must show that the terms thereof have been fully explained to the former.

Thus, the contract is voidable, and may be subject to annulment.

36. A delivered P1,000 cash to B as a contract of deposit which the latter thought to be a contract of loan. What is the proper legal remedy on the part of the injured party?
 - a. Action for reformation of instrument
 - b. Action for rescission of contract
 - c. Action for annulment of contract
 - d. Action for declaration of nullity of contract
37. A and B orally agreed that A would sell and B would buy A's radio for P200 three years from the date of the agreement. At the end of three years, A refused to hand over the radio although B was willing to pay. Is A bound to deliver the radio?
 - a. A is obliged to deliver what he sold since it was an enforceable agreement
 - b. A is obliged to deliver if B is ready to pay the price
 - c. A is not bound to deliver because the sale is void
 - d. A is not bound to deliver because the sale is unenforceable
38. What is the status of oral sale of specific cellphone at a price of P499 between an insane and a demented person?
 - a. Voidable
 - b. Unenforceable
 - c. Null and void
 - d. Rescissible
39. A promised to give B a car as a reward after B has killed C. Later, after the killing, the contract was changed to a lease of a big house for a certain period. The contract of lease is
 - a. Rescissible
 - b. Void
 - c. Unenforceable
 - d. Voidable



40. A and B are legally married but they have pre-nuptial agreement providing for absolute separation of property. A sold in writing his particular cellphone to B after the latter pointed a gun to A at a price of P1,000 when its book value is still P1,500. What is the status of contract of sale?
- Voidable
 - Unenforceable
 - Null and Void
 - Perfectly valid
41. What is the status of the contract of sale of a piece of land made by an agent in the name of the principal when the agent has oral authority to sell the land of the principal?
- Rescissible
 - Voidable
 - Unenforceable
 - Void
42. A is indebted in the amount of P1M to B, B filed an action for collection of a sum of money against A. The trial court judge issued a writ of attachment against A's property. Afterwards, A sold in writing his specific car to C at a selling price of P75,000 when its book value is still P100,000. What is the status of contract of sale?
- Voidable
 - Unenforceable
 - Null and Void
 - Rescissible
43. A sold to B orally a parcel of land for P10 million. Delivery and Payment were to be made four months later. When the said date arrived, A refused to deliver the land. Can B compel A to deliver?
- No, because the sale although valid is unenforceable
 - Yes, because there was an agreement to deliver after four months and that should be respected by the parties
 - Yes, because the sale has been perfected already and obligations of the parties are reciprocally demandable
 - No, because the sale is void, being orally entered into
44. S sold his specific lot consisting of 100 square meters to B. However, the deed of sale signed by the parties showed total area of 120 square meters due to the mistake of the secretary who drafted the contract. Later, S discovered the mistake. What remedy is available to either party?
- Action for annulment of contract
 - Action for reformation of instrument
 - Action for remission of contract
 - Action for declaration of nullity of contract
45. C filed a complaint against D which sought to collect a claim from D in the amount of P200,000 and attached D's specific lot located in Makati City. The trial court accordingly issued a writ of attachment on the said lot located in Makati City. While the civil case is pending, D sold his other specific lot located in Quezon City to B. T, another creditor of D, now questions the sale of the lot located in Quezon City contending that it is intended to defraud the creditor. Which is correct?
- T may not question the sale of lot in Quezon City because he was not the attaching creditor in the civil case
 - C may not question the sale of lot because it was not the subject matter of the writ of attachment
 - Either T or C may ask for the rescission of contract of sale because it was presumed to be intended to defraud the creditor
 - Neither T nor C may ask for the rescission of contract because they are not party to a contract of sale, thus violating relativity of contract
46. S, 15 years old, suffered a deep cut on his eyebrow during a basketball game. He asked Dr. X to treat him which the latter obliged. Later, Dr. X sent a bill to S for the services rendered. Which is correct?
- S is not liable to pay because the contract of service is voidable
 - S may refuse to pay the professional fee by raising the defense of minority
 - S is liable although he is a minor because the contract involved is necessary
 - D is liable but only if there will be ratification by his guardian
47. In 2020, A, 17 years old, sold his land orally to B, of legal age, payable in 3 equal annual installments. B paid in 2020, 2021 and 2022. Which is correct?
- The sale is unenforceable
 - The sale is voidable
 - A cannot ask for annulment
 - B can ask for annulment
48. S sold B his parcel of land worth P10 million for only P5 million. After the sale and realizing his damage, S is now seeking to set aside the sale
- The sale is valid, binding and enforceable because as a rule, lesion or inadequacy of cause or price in a sale does not invalidate a contract
 - It is rescissible because of the lesion or damage suffered by S
 - S has the right for an increase in the price to prevent unjust enrichment on the part of B
 - The contract is voidable because of mistake of the seller



49. A is selling his specific house and lot at a price of P1,000,000. B went to A to buy the specific house and lot for a lower price of P200,000. After knowing the unfortunate story of B, A told B that he is giving the said house and lot for free. The contract is sealed with a handshake. What is the status of the contract?
- Voidable
 - Perfectly valid
 - Void
 - Unenforceable
50. S, 15 years old orally sold and delivered a bike to B, an insane, who paid P1,000. After the discovery of the sale, M, the mother of S, asked S to give the P1,000 which M used for family's expenses. After the discovery of the sale, G, the guardian of B, used the bike for his work. Which is correct?
- The contract of sale remains to be unenforceable because the contracting parties are both incapacitated
 - The contract of sale is unenforceable because it is covered by the statute of fraud
 - The contract is validated from inception because of the subsequent acts of the guardians of the contracting parties
 - The contract is voidable because the contracting parties are both incapacitated
51. In January 2020, S, 17 years old, sold his only car to B, 21 years old. The sale was without the knowledge of G, the guardian of S. Assuming that an annulment case is filed today
- S may bring the action for annulment
 - G may bring the action for annulment
 - B may bring the action for annulment
 - Annulment will not prosper whoever will file it

Note: Answer should be letter A: S may bring the action for annulment

Rationale: On January 2020, S was already 17yrs old. Today is April 2021, and S necessarily turned 18yrs old already. Thus, S may bring the action for annulment within 4 years (see Arts. 1391 and 1397).

52. Which of the following contracts is valid and enforceable?
- A written contract for the purchase of a new-born baby who is the illegitimate child of the buyer
 - A written contract of employment where the employee agreed voluntarily not to demand overtime payment for work rendered in excess of the regular hours of work per day
 - An oral contract for the sale of a piece of land for P50,000 with the buyer giving a down payment of P20,000
 - An oral contract where the fruits of an immovable belonging to the debtor are to be applied to the interest and principal of his obligation
53. Which of the following contracts involving real property is valid and enforceable although not in writing?
- Sale of a piece of land for P50,000
 - Lease of an agricultural lot for a period of 2 years and monthly rental of P3,000
 - Mortgage of a commercial lot to secure a loan of P50,000
 - Donation and acceptance of a residential lot



PARTNERSHIPS

- o **Partnership** is a contract whereby two or more persons bind themselves to contribute money, property or industry to a common fund, with the intention of dividing the profits among themselves, or in order to exercise a profession.

CHARACTERISTICS

- ✓ **Consensual** – it is perfected by mere consent or the meeting of minds between parties.
- ✓ **Bilateral or Multilateral** – it is entered into between two or more persons.
- ✓ **Nominate** – it is designate by a specific name.
- ✓ **Principal** – its existence does not depend on the life of another contract.
- ✓ **Onerous** – certain contributions have to be made.
- ✓ **Preparatory** – in the sense that after it has been entered into, other contracts essential in the carrying out of its purposes can be entered into.

PARTNERSHIP VS. CORPORATION

PARTNERSHIP	CORPORATION
Creation: Voluntary agreement of parties.	Created by the state in the form of a special character or by a general enabling law (The Corporation Code).
Existence: No time limit except agreement of parties.	Not more than 50 years.
Liability: may extend to private property.	Liable only for payment of their subscribed capital stock.
Transferability of Interest: All partners need to consent to the transfer of interest to another.	Does not need the consent of the other stockholders.
Ability to bind the firm: Generally, partners acting on behalf of the partnership are agents thereof.	Generally, stockholders cannot bind corporations since its official acts are through a board of directors.
Mismanagement: A partner can sue another partner who mismanages.	A stockholder cannot sue a director who mismanages, it must be in the name of the corporation.
Nationality: A partnership is a national of the country where it was created.	Generally, under whose laws it was created.
Legal Personality: from the time the contract begins.	From registration with the Securities and Exchange Commission.
Dissolution: Death, retirement, insolvency, civil interdiction, or insanity of a partner dissolves the partnership.	Such causes do not dissolve a corporation.

- o **Separate juridical personality:** The partnership has a judicial personality separate and distinct from that of each of the partners. The partnership can, in general:
 - ✓ Acquire and possess property of all kinds.
 - ✓ Incur obligations.
 - ✓ Bring civil or criminal actions.
 - ✓ Adjudged insolvent even if the individual members be each financially solvent.

Rules to apply in determining existence of partnership

- o Except for partnerships by estoppel, persons who are not partners as to each other are not partners as to third persons.
- o Co-ownership or co-possession does not of itself establish a partnership, whether such-co-owners or co-possessioners do or do not share any profits made by the use of the property.
- o The sharing of gross returns does not of itself establish a partnership, whether or not the persons sharing them have a joint or common right or interest in any property from which the returns are derived.
- o The receipt by a person of a share of the profits of a business is prima facie evidence that he is a partner in the business, but no such inference shall be drawn if such profits were received in payment:
 - ✓ As a debt by installments or otherwise.
 - ✓ As wages of an employee or rent to a landlord.
 - ✓ As an annuity to a widow or representative of a deceased partner.
 - ✓ As interest on a loan, though the amount of payment varies with the profits of the business.
 - ✓ As the consideration for the sale of a goodwill of a business or other property by installments or otherwise.
- o **Formal requirements:** A partnership may be constituted in any form, except:
 - Where **immovable property** or real rights are contributed thereto, in which case a public instrument shall be necessary.
 - ✓ A contract of partnership is void, whenever immovable property is contributed thereto, if an inventory of said property is not made, signed by the parties, and attached to the public instrument.
 - **Capital is more than P3,000** – the contract of partnership must appear in a public instrument, which must be recorded in the SEC.

Universal partnership of all profit vs. Universal partnership of all present property

Universal partnership of all profit	Universal partnership of all present property
Only the usufruct of the properties of the partners become common property; naked ownership is retained by each of the partners.	All the property actually belonging to the partners are contributed both ownership and naked ownership.



All profits acquired by industry or work of the partners become common property (regardless of whether or not said profits were obtained through the usufruct contributed).	As a rule, aside from the contributed properties, only the profits of the contributed property. Profits from other sources may become common, but only if there is a stipulation to such effect. Properties subsequently acquired by inheritance, legacy, or donation, cannot be included in the stipulation, but the fruits thereof can be included in the stipulation.
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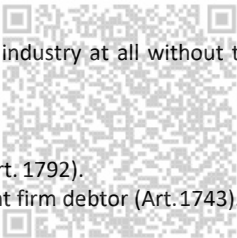
- **Persons not allowed to form a universal partnership:** those who cannot donate to each other, namely:
 - ✓ Husband and wife (Art. 133).
 - ✓ Those guilty of adultery and concubinage (Art. 739).
 - ✓ Those guilty of the same criminal offense, if the partnership was entered into in consideration of the same (Art. 739).
- A universal partnership is virtually a donation to each other of the partner's properties (or at least their usufruct). Therefore, if persons are prohibited by law to donate to each other, they should not be allowed to do indirectly what the law forbids directly.
- o **Particular** where the object are:
 - ✓ Determinate things, their use or fruits;
 - ✓ A specific undertaking, or
 - ✓ The exercise of a profession or occupation.
- o **According to LIABILITY**
 - ✓ **General** where all the partners are general partners whose liability extends to their individual properties, after the assets of the partnership have been exhausted.
 - ✓ **Limited** where at least one of the partners are liable only up to the extent of his contribution.
- o **According to TERM**
 - ✓ **Partnership with a fixed term or particular undertaking** - upon arrival of the fixed term or fulfilment of a particular undertaking, partnership is dissolved, and if continued, it will constitute a partnership at will and the rights and duties of the partners remain the same, so far as is consistent with a partnership at will.
 - ✓ **Partnership at will** – when there is no fixed term or particular undertaking.

OBLIGATIONS AND RIGHTS OF THE PARTNERS

- **OBLIGATIONS OF A PARTNER:**
 - a. **To give his contribution**
 - ✓ No demand is necessary to incur delay because the obligation is one where time is of the essence (Art. 1169) and shall be liable for damages (Art. 1170).
 - ✓ A partner must exercise due diligence in preserving the thing promised to be contributed; otherwise, he shall be liable for loss and deterioration.
 - b. **Deliver the fruits of what has been delivered:**
 - Fruits referred herein are of the thing/s contributed at the time that the latter should have been delivered.
 - If partner is in bad faith, he is liable for (1) the fruits actually produced and (2) the fruits that could have been produced.
 - If what has been promised is money, the partner is liable for the interest and damages from the time that he should have contributed the money (Art. 1788).
 - Before delivery of such promised things, ownership remains with the partner since actual or constructive delivery transfers ownership.
 - c. **Warrant the thing delivered against eviction**

RISK OF LOSS

- **Loss borne by the partner:**
 - ✓ Thing contributed is specific and determinate which is not fungible and only their use and fruits may be for the common benefit; and
 - ✓ There is stipulation that he shall bear the loss of the thing brought and appraised in the inventory.
- **Loss borne by the partnership:**
 - ✓ Thing contributed are:
 - Fungible;
 - Cannot be kept without deteriorating; or
 - They were contributed to be sold; and
 - There was appraisal in the inventory and no stipulation that partner will bear the loss.
- d. Not to convert partnership funds/ property for his own use (Art. 1788).
- e. Not to engage in unfair competition (applicable to capitalist partner); not to engage in any other industry at all without the consent of the partnership (applicable to industrial partner) (Art. 1808).
- f. To account for and hold as trustee, unauthorized personal profits (Art. 1807).
- g. Pay for damages caused by his fault (Art. 1794).
- h. Credit to the firm the payment made by a debtor who owes both the partnership and the partner (Art. 1792).
- i. Share with other partners the share of the partnership credit which he has received from an insolvent firm debtor (Art.1743).



SOME RIGHTS OF A PARTNER

- ✓ Property rights (Art. 1810).
- ✓ To associate with another person in his share (Art. 1804).
- ✓ To inspect and copy partnership books (Art. 1805).
- ✓ To demand a formal account (Art. 1809).
- ✓ To ask for a dissolution of the firm at the proper time (Art. 1830-31).

KINDS OF PARTNERS ACCORDING TO CONTRIBUTION

- ✓ **Capitalist Partners** – contributes capital.
- ✓ **Industrial Partners** – furnishes industry or labor.
- ✓ **Capitalist-Industrial Partners** – furnishes both.

Prohibition to engage in other businesses

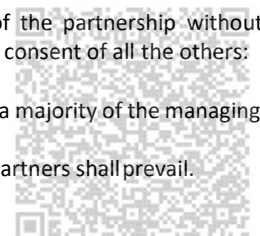
- **Industrial partners** - cannot engage in business for himself except when the capitalist partners permit him to do so.
 - Effect of non-compliance: The capitalist partners may either
 - ✓ Exclude him from the firm, or
 - ✓ Avail themselves of the benefits which he may have obtained in violation of this provision.
- **Capitalist partners** – the prohibition is limited to businesses in the same industry as that of the partnership which may result in competition.
 - **Exceptions:**
 - ✓ When it is expressly stipulated that the capitalist partner can so engage himself.
 - ✓ When the other partners expressly allow him to do so.
 - ✓ When the other partners impliedly allow him to do so, as when all are violation the article.
 - ✓ During the period of liquidation and winding up, when the partnership is already non-existent.
 - ✓ When the general-capitalist partner becomes a limited partner in a competitive enterprise.
 - Effect of non-compliance:
 - ✓ He shall bring to the partnership all the profits illegally obtained.
 - ✓ He is liable, personally, for all the losses.
 - ✓ He may be ousted for loss of trust and confidence.
- **Forced sale of partner's interest:** In case of an imminent loss of the business of the partnership, any partner who refuses to contribute an additional share to the capital to save the venture, shall be obliged to sell his interest to the other partners.
 - **Except:**
 - ✓ Industrial partners except if there is stipulation that he will likewise contribute.
 - ✓ If there is stipulation to the contrary.
- **Managing partner collecting from a common debtor:** To prevent the managing partner from furthering his personal interest to the detriment of the firm, if such managing partner collects a sum from a common debtor who owes money both to said partner and to the partnership:
 - ✓ If the managing partner issued a receipt in the name of the partnership: the payment shall be applied to the partnership credit.
 - ✓ If the managing partner issued a receipt in his name: the payment shall be applied proportionate to the amounts of the two debts, except when the debt owed by the debtor to the managing partner is more onerous, the debtor may choose to apply the payment exclusively to such.

DISTRIBUTION OF PROFITS AND LOSSES

- **Distribution of profits:**
 - ✓ In accordance with the agreement.
 - ✓ In proportion to contribution and the industrial partner shall receive such share as may be just and equitable.
- **Distribution of losses:**
 - ✓ In accordance with agreement; If there was agreement as to profits but not losses, same proportion.
 - ✓ In proportion to contribution but the industrial partner shall not be liable for losses.
- An industrial may be made liable for losses only if there was stipulation to that effect.
- **Void Stipulation:** A stipulation which excludes one or more partners from any share in the profits or losses.

Rules on management

- **Managing partner in the articles of partnership:** May execute all acts of administration, in good faith, even with opposition from the other partners.
 - The power to execute all acts of administration can only be revoked if (a) with just or lawful cause; and (2) by a vote of the partners representing the controlling interest.
- **Managing partner after partnership has been constituted:** the power as manager may be revoked by a vote of the partners representing the controlling interest even without just or lawful cause.
- **Multiple managing partners:** If two or more partners have been entrusted with the management of the partnership without specification of their respective duties, or without a stipulation that one of them shall not act without the consent of all the others:
 - ✓ Each partner may separately execute all acts of administration.
 - ✓ Should one of the managing partners oppose the act of another, the matter shall be decided by a majority of the managing partners per head count.
 - ✓ Should there be a tie in the votes of the managing partners, the controlling interest of ALL the partners shall prevail.



- o **Stipulation that no partner cannot act without the support of partners:** the concurrence of all shall be necessary for the validity of the acts, and the absence or disability of any one of them cannot be alleged, unless there is imminent danger of grave or irreparable injury to the partnership.
- o **No agreement as to management of partnership:**
 - ✓ All the partners shall be considered agents and whatever any one of them may do alone shall bind the partnership, without prejudice to the provisions of Article 1801 (on Multiple Managing Partners).
 - ✓ None of the partners may, without the consent of the others, make any important alteration in the immovable property of the partnership, even if it may be useful to the partnership. But if the refusal of consent by the other partners is manifestly prejudicial to the interest of the partnership, the court's intervention may be sought.
- o **Associate:** Every partner may associate another person with him in his share, but the associate shall not be admitted into the partnership without the consent of all the other partners, even if the partner having an associate should be a manager.

PROPERTY RIGHTS OF A PARTNER

- o **His rights in specific partnership property** – a partner is a co-owner with his partners of specific partnership property. The incidents of such co-ownership are:
 - ✓ A partner, subject to any agreement between the partners, has an equal right with his partners to possess specific partnership property for partnership purposes; but he has no right to possess such property for any other purpose without the consent of his partners.
 - ✓ A partner's right in specific partnership property is not assignable except in connection with the assignment of rights of all the partners in the same property.
 - ✓ A partner's right in specific partnership property is not subject to attachment or execution, except on a claim against the partnership. When partnership property is attached for a partnership debt the partners, or any of them, or the representatives of a deceased partner, cannot claim any right under the homestead or exemption laws.
 - ✓ A partner's right in specific partnership property is not subject to legal support.
- o **His interest in the partnership** - A partner's interest in the partnership is his share of the profits and surplus.

Effect of conveyance of a partner's whole interest:

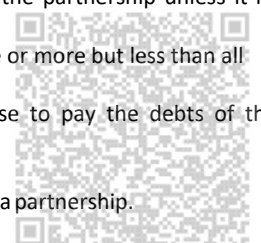
- o Does not, in itself, dissolve the partnership. The partnership is deemed dissolved only if there is stipulation to that effect.
- o The conveyee does not necessarily become a partner and such has no right to:
 - ✓ Demand accounting and settlement;
 - ✓ Interfere in the management or administration of the partnership business; or
 - ✓ Demand information, accounting and inspection of the partnership books.
- o **Rights of the assignee/conveyee:**
 - ✓ To get profits the assignor-partner would have obtained.
 - ✓ To avail of the usual remedies in case of fraud in the management.
 - ✓ Receive assignor's interest in the event of a dissolution.

Partner's Interest may be subject to a charge or attachment by the court:

- o Only the interest, that is profits and surplus of the partner and not his share in the specific properties of the partnership.
- o Priority is still given to creditors of the partnership.
- o Such interest may be redeemed prior to foreclosure with:
 - ✓ The separate property of any one or more of the partners; or
 - ✓ Partnership property with the consent of all the other partners.
- o His right to participate in the management.

Obligations of partners with regard to third parties:

- **Firm name:** Every partnership shall operate under a firm name, which may or may not include the name of one or more of the partners.
 - o Strangers who include their name in the firm are liable as partners because of estoppel but do not have the rights of partners – this is to protect customers from being misled.
 - o Under Art. 1846, if a limited partner included his name in the firm name, he shall be liable as a general partner.
- **Liability after exhaustion of partnership assets:** All partners, including industrial ones, shall be liable pro rata with all their property and after all the partnership assets have been exhausted, for the contracts which may be entered into in the name and for the account of the partnership, under its signature and by a person authorized to act for the partnership. However, any partner may enter into a separate obligation to perform a partnership contract.
 - o Any stipulation to the contrary shall be void, except as to the partners.
- **Authority to act for and in behalf of the partnership:** Every partner is an agent of the partnership for the purpose of its business.
 - o The authority of the partner to act in behalf of the partnership may be (a) express; or (b) implied when he apparently carries on the usual business of the partnership. In the latter, the act of the partner would bind the partnership, unless (i) he has in fact no authority to act in behalf of the partnership; and (ii) the person to whom he is dealing has knowledge of the fact that he has no such authority.
 - o If the partner is not carrying on the usual business of the partnership, the act will not bind the partnership unless it is authorized by the other partners.
 - o Except when authorized by the other partners or unless they have abandoned the business, one or more but less than all the partners have no authority to:
 - ✓ Assign the partnership property in trust for creditors or on the assignee's promise to pay the debts of the partnership.
 - ✓ Dispose of the goodwill of the business.
 - ✓ Do any other act which would make it impossible to carry on the ordinary business of a partnership.
 - ✓ Confess a judgment.
 - ✓ Enter into a compromise concerning a partnership claim or liability.



- ✓ Submit a partnership claim or liability to arbitration.
- ✓ Renounce a claim of the partnership.

▪ **Effects of conveyance of real property:**

- o **Partner conveys partnership's property in a conveyance executed in the partnership's name:**
 - General Rule: Partnership may recover.
 - Except:
 - ✓ When the act binds the partnership under the above.
 - ✓ When ownership has been transferred in transferee who had no knowledge that the partner has exceeded his authority.
- o **Partner conveys partnership's property in a conveyance executed in his own name:**
 - General Rule: passes only the equitable interest in the partnership.
 - Exception: if the partner acted outside the scope of his authority.
- o **One or more partners, but not all, and the property is in their name, and they convey such property:**
 - General Rule: Partnership may recover if partners' act does not bind the partnership.
 - Except: if the purchaser or his assignee is an innocent holder for value.
- o **When the property is in the name of one or more partners, but not all, or in the name of third person in trust for the partnership, a conveyance executed by a partner in the partnership name, or in his own name:**
 - General Rule: passes the equitable interest of the partnership.
 - Except: The act is not within the apparent business of the partnership.
- o **Where the title to real property is in the name of all the partners a conveyance executed by all the partners:**
 - Passes all their rights in such property.

▪ **Solidary liability of the partnership with the partner:** Where, by any wrongful act or omission of any partner acting in the ordinary course of the business of the partnership or with the authority of co-partners, loss or injury is caused to any person, not being a partner in the partnership, or any penalty is incurred, the partnership is liable therefor to the same extent as the partner so acting or omitting to act.

▪ **Misappropriation:** the partnership is bound to make good the loss, in two situations:

- o **Pertains to partner as receiver:** Where one partner acting within the scope of his apparent authority receives money or property of a third person and misapplies it.
- o **Pertains to partnership as receiver:** Where the partnership in the course of its business receives money or property of a third person and the money or property so received is misapplied by any partner while it is in the custody of the partnership.

▪ **Partner by estoppel:**

- o One who represents himself as a partner of an existing partnership with or without consent of the partnership:
 - ✓ **When the partnership consented** – a partnership by estoppel is created between the original members and the deceiver. A partnership liability results.
 - ✓ **When the partnership did NOT consent** – deceiver becomes a partner by estoppel where he is liable as a partner but does not acquire the rights thereof. No partnership liability exists.
- o One who represents himself as a partner of a non-existent partnership. Liability of parties is pro rata, since there is no partnership liability.
 - ✓ **This applies whenever the third person is misled by the representation.**

▪ **Liability of new partner to previous obligations:**

- ✓ He is liable for the obligations already contracted before his admission but only to the extent of his contribution.
- ✓ He is liable to the extent of his personal property for subsequent obligations like an original partner.
- o It is not considered harsh since he is to partake of the benefits of the partnership property and an established business.
- o He has every means of protecting himself by asking for a liquidation or settlement of the existing debts while the creditors have no such means.

Dissolution and winding-up

- o **Dissolution** of a partnership is the change in the relation of the partners caused by any partner ceasing to be associated in the carrying on as distinguished from the winding up of the business.
 - On dissolution the partnership is not terminated, but continues until the winding up of partnership affairs is completed.
- o **Winding up:** on the other hand, is the process of settling business affairs after dissolution.
- o **Termination:** is the point where all the partnership affairs have been wound up.

Causes of dissolution:

▪ **Extrajudicial causes:** without intervention of the court:

- o **Without violation of the agreement between the partners:**
 - ✓ By the termination of the definite term or particular undertaking specified in the agreement.
 - ✓ By the express will of any partner, who must act in good faith, when no definite term or particular undertaking is specified.
 - ✓ By the express will of all the partners who have not assigned their interests or suffered them to be charged for their separate debts, either before or after the termination of any specified term or particular undertaking.
 - ✓ By the expulsion of any partner from the business bona fide in accordance with such a power conferred by the agreement between the partners.
- o **In contravention of the agreement** between the partners, where the circumstances do not permit a dissolution under any other provision of this article, by the express will of any partner at any time.

- o **By operation of law:**
 - ✓ By any event which makes it unlawful for the business of the partnership to be carried on or for the members to carry it on in partnership.
 - ✓ When a specific thing which a partner had promised to contribute to the partnership, perishes before the delivery; in any case by the loss of the thing, when the partner who contributed it having reserved the ownership thereof, has only transferred to the partnership the use or enjoyment of the same; but the partnership shall not be dissolved by the loss of the thing when it occurs after the partnership has acquired the ownership thereof.
 - ✓ By the death of any partner.
 - ✓ By the insolvency of any partner or of the partnership.
 - ✓ By the civil interdiction of any partner.
- **Judicial causes:** where the dissolution of the partnership is decreed by the court:
 - ✓ A partner has been declared insane in any judicial proceeding or is shown to be of unsound mind.
 - ✓ A partner becomes in any other way incapable of performing his part of the partnership contract.
 - ✓ A partner has been guilty of such conduct as tends to affect prejudicially the carrying on of the business.
 - ✓ A partner willfully or persistently commits a breach of the partnership agreement, or otherwise so conducts himself in matters relating to the partnership business that it is not reasonably practicable to carry on the business in partnership with him.
 - ✓ The business of the partnership can only be carried on at a loss.
 - ✓ Other circumstances render a dissolution equitable.

Effects of dissolution:

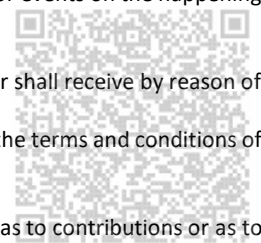
- **Act, Insolvency or Death:**
 - o **If the cause of the dissolution is AID** – notice should be given by the partners to terminate the mutual agency.
 - o **If the cause is not AID** – the mutual agency is terminated, and the dissolution is binding even without notice.
- The following acts are still binding even after dissolution:
 - o Acts to for winding-up of the affairs of the partnership.
 - o Contracts with creditors who had no notice of the dissolution.
- The partners may continue the partnership after dissolution of the old partnership. Such continuation still dissolves the old partnership and a new partnership is created. The creditors of the old partnership are also creditors of the person or partnership continuing the business.

Winding up or liquidation

- o This is the process of liquidating the partnership assets and the distributing the proceeds to satisfy the claims against the partnership.
- o **Distribution of Assets:** will be done in the following order:
 - ✓ Those owing to creditors other than partners.
 - ✓ Those owing to partners other than for capital and profits.
 - ✓ Those owing to partners in respect of capital.
 - ✓ Those owing to partners in respect of profits.
- o **Partner's Liability:** in case the assets of the partnership are not sufficient to cover the liabilities, the remaining claims may be satisfied against the separate assets of the partners.
- o However, where a partner has become insolvent, the claims against his separate property shall be satisfied in the following order:
 - ✓ Those owing to separate creditors.
 - ✓ Those owing to partnership creditors.
 - ✓ Those owing to partners by way of contribution.

Limited partnership

- o **Limited Partnership:** is one formed by two or more persons under the provisions of the following article, having as members one or more general partners and one or more limited partners.
- o **Limited liability:** a limited partners' liability is limited only to his capital contribution. Such that, after exhaustion of partnership assets, he cannot be made to contribute to answer the remaining liabilities to third parties.
- o **Formation:** two or more persons desiring to form a limited partnership shall:
- o **Sign and swear to a certificate, which shall state:**
 - ✓ The name of the partnership, adding thereto the word "Limited".
 - ✓ The character of the business.
 - ✓ The location of the principal place of business.
 - ✓ The name and place of residence of each member, general and limited partners being respectively designated.
 - ✓ The term for which the partnership is to exist.
 - ✓ The amount of cash and a description of and the agreed value of the other property contributed by each limited partner.
 - ✓ The additional contributions, if any, to be made by each limited partner and the times at which or events on the happening of which they shall be made.
 - ✓ The time, if agreed upon, when the contribution of each limited partner is to be returned.
 - ✓ The share of the profits or the other compensation by way of income which each limited partner shall receive by reason of his contribution.
 - ✓ The right, if given, of a limited partner to substitute an assignee as contributor in his place, and the terms and conditions of the substitution.
 - ✓ The right, if given, of the partners to admit additional limited partners.
 - ✓ The right, if given, of one or more of the limited partners to priority over other limited partners, as to contributions or as to compensation by way of income, and the nature of such priority.



- ✓ The right, if given, of the remaining general partner or partners to continue the business on the death, retirement, civil interdiction, insanity or insolvency of a general partner.
- ✓ The right, if given, of a limited partner to demand and receive property other than cash in return for his contribution.
- The said certificate will be filed with the SEC and a limited partnership is formed if there has been substantial compliance in good faith with the foregoing requirements

Limitations on a limited partner

- o A limited partner cannot be an industrial partner. His contribution must always be money or property.
- o The surname of a limited partner shall not appear in the partnership name unless:
 - ✓ It is also the surname of a general partner, or
 - ✓ Prior to the time when the limited partner became such, the business has been carried on under a name in which his surname appeared.
- Otherwise, a limited partner whose name appears in the partnership name, not covered by the above exemptions, is liable as a general partner.
- o The limited partner cannot take part in the management of the partnership. Otherwise, he shall be liable as a general partner.

Rights of a limited partner

- o **Have the partnership books kept** at the principal place of business of the partnership, and at a reasonable hour to inspect and copy any of them;
- o **Have on demand true and full information** of all things affecting the partnership, and a formal account of partnership affairs whenever circumstances render it just and reasonable; and
- o **Have dissolution and winding up by decree of court.**
- o **Receive a share of the profits** or other compensation by way of income, and to the return of his contribution. However, a limited partner shall not receive any part of his contribution until:
 - ✓ All liabilities of the partnership, except liabilities to general partners and to limited partners on account of their contributions, have been paid or there remains property of the partnership sufficient to pay them;
 - ✓ The consent of all members is had, unless the return of the contribution may be rightfully demanded as provided in the previous item; and
 - ✓ The certificate is cancelled or so amended as to set forth the withdrawal or reduction.
- o **Rightfully demand for his contribution:**
 - ✓ On the dissolution of a partnership; or
 - ✓ When the date specified in the certificate for its return has arrived, or
 - ✓ After he has six months' notice in writing to all other members, if no time is specified in the certificate, either for the return of the contribution or for the dissolution of the partnership.
- o **Have his written consent or ratification be sought by the general partner/s in order to:**
 - ✓ Do any act in contravention of the certificate.
 - ✓ Do any act which would make it impossible to carry on the ordinary business of the partnership.
 - ✓ Confess a judgment against the partnership.
 - ✓ Possess partnership property, or assign their rights in specific partnership property, for other than a partnership purpose.
 - ✓ Admit a person as a general partner.
 - ✓ Admit a person as a limited partner, unless the right so to do is given in the certificate.
 - ✓ Continue the business with partnership property on the death, retirement, insanity, civil interdiction or insolvency of a general partner, unless the right so to do is given in the certificate.
- o **A limited partner may loan money and to transact other business with the partnership, subject to the following restrictions:**
 - ✓ He cannot receive or hold as collateral security any partnership property.
 - ✓ He cannot receive any payment, conveyance or release from liability if at the time the assets of the partnership are not sufficient to discharge partnership liabilities to persons not claiming as general or limited partners.
- o **Assign his rights.** However, the assignee does not necessarily become a substitute limited partner.
 - **Substitute Limited Partner:** A Substituted Limited Partner is a person admitted to all the rights of a limited partner who has died or has assigned his interest in a partnership: Provided:
 - ✓ All the partners consent.
 - ✓ The assignor (Limited Partner), being thereunto empowered by the certificate, gives the assignee that right.
 - The substitute has all the rights and powers and is subject to all the restrictions and liabilities of his assignor except those liabilities of which he was ignorant at the time he became a limited partner and which could not be ascertained from the certificate.
 - ✓ The substitution does not release the original limited partner from liability to the partnership.
 - ✓ If the assignee does not become an substitute, he has no right to require any information or account of the partnership books; he is only entitled to receive the share of the profits or other compensation by way of income or the return of his contribution to which his assignor would otherwise be entitled; The assignee is still an outsider to the Partnership.

Dissolution and winding-up

- o **Grounds:** The retirement, death, insolvency, insanity or civil interdiction of a general partner dissolves the partnership. Except: If the partnership business is continued by the remaining general partners under a right to do so as stated in the Certificate of Limited Partnership or with the consent of all the partners.
- o A limited partner may have the partnership dissolved and its affairs wound up when he rightfully but unsuccessfully demands the return of his contribution.

- - END - -



PARTNERSHIP

THEORY

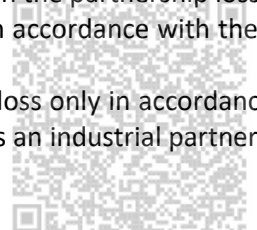
1. A contract where two or more persons bind themselves to contribute money, property or industry to a common fund with the intention of dividing the profits among themselves.
 - a. Voluntary association
 - b. Corporation
 - c. Partnership
 - d. Sole proprietorship
2. One of the following is not a characteristic of a contract of partnership.
 - a. Real, in that the partners must deliver their contributions in order for the partnership contract to be perfected
 - b. Principal, because it can stand by itself
 - c. Preparatory, because it is a means by which other contracts will be entered into
 - d. Onerous, because the parties contribute money, property or industry to the common fund
3. Partnership is distinguished from corporation
 - a. Acquires juridical personality upon approval of SEC and issuance of certificate
 - b. Created by operation of law
 - c. No power of succession
 - d. Has limited liability
4. Claims against partners' personal assets by creditors if the partnership can't pay its debt refers to
 - a. Unlimited liability
 - b. Mutual agency
 - c. Dissolution
 - d. Liquidation
5. A partnership begins from the moment of
 - a. Distribution of profits
 - b. Issuance of certificate by the SEC
 - c. Consent
 - d. Delivery of contributions
6. Which of the following statements is incorrect?
 - a. A partner has a personality separate from the partnership
 - b. A partnership must have a lawful object or purpose
 - c. A partnership may not be constituted in any form
 - d. There is no co-ownership, co-possession and agency in partnership
7. When cash or property worth P3,000 or more is contributed as capital, the Articles of Co-Partnership shall be in a public instrument and be registered with the Securities and Exchange Commission. If the said requirements are not complied with
 - a. It will render the partnership void
 - b. It will not affect the liability of the partnership and the partners to third parties
 - c. It will not give a legal personality to the partnership
 - d. It will give the partnership a de-facto existence
8. Which of the following is considered prima facie evidence of the existence of a partnership?
 - a. Where the parties are established as co-owners of a property
 - b. Where the payment of interest on a loan depends on the profit of the business
 - c. The receipt by a person of a share in the profits
 - d. None of the above
9. This partner shall have all the rights and powers and be subject to all the restrictions and liabilities of a partner in a partnership without limited partners.
 - a. Particular
 - b. General
 - c. Managing
 - d. None of these
10. May contribute money, property or industry to the common fund
 - a. Both general and limited partners
 - b. Limited partner
 - c. General partners
 - d. Capitalist partners
11. A partner who contributes money or property as well as his work or industry to the capital of the partnership is called
 - a. Industrial partner
 - b. Capitalist partner
 - c. Managing partner
 - d. Capitalist-industrial partner



12. He is a partner in a limited partnership who is liable for partnership's debts up to the extent of his capital contribution only
 - a. Limited partner
 - b. General partner
 - c. Nominal partner
 - d. Managing partner
13. One who takes active part in the business, but is not known to be a partner by outside parties is
 - a. Silent partner
 - b. Dormant partner
 - c. Nominal partner
 - d. Secret partner
14. They have no voice in the management of partnership affairs
 - a. Managing partners
 - b. Silent partners
 - c. Both A and B
 - d. None of the above
15. He is a partner who is active in management of partnership business and known to the public as a partner, such as by allowing his name to be included in the firm name
 - a. Ostensible partner
 - b. Secret partner
 - c. Silent partner
 - d. Dormant partner
16. Which partner is exempted from making additional capital contribution to the partnership in order to save the venture from imminent loss?
 - a. Industrial partner
 - b. Managing partner
 - c. Silent partner
 - d. Secret partner
17. A limited partner who takes active part in the management of the firm becomes
 - a. A managing partner
 - b. Liable as a general partner
 - c. A general partner
 - d. A general partner and a limited partner at the same time
18. A partner in a partnership who is not really a partner, not being a party to the partnership agreement, but is made liable as a partner for the protection of innocent third persons is known as
 - a. Secret partner
 - b. Dormant partner
 - c. Partner by estoppel
 - d. Answer not given
19. Composed of capitalist and industrial partners
 - a. Universal partnership
 - b. General partnership
 - c. Limited partnership
 - d. None of the above
20. A partnership formed for the exercise of a profession which is duly registered is an example of
 - a. Universal partnership of profits
 - b. Universal partnership of all present property
 - c. Particular partnership
 - d. Partnership by estoppel
21. A partnership without a definite period and which can be dissolved at any time by any of the partners is called
 - a. Particular partnership
 - b. Universal partnership of all present property
 - c. Universal partnership of profits
 - d. Partnership at will
22. A partnership which comprises all the profits that the partners may acquire by their work or industry during the existence of the partnership is called
 - a. Universal partnership of all present property
 - b. Partnership at will
 - c. Universal partnership of profits
 - d. Particular partnership
23. A partnership whereby the partners contribute to a common fund all the property actually belonging to them at the time of the constitution of the partnership, with the intention of dividing the same among themselves, as well as the profits which they may acquire therewith is
 - a. Partnership at will
 - b. Universal partnership of all present property
 - c. Universal partnership of profits
 - d. Particular partnership
24. The following persons are disqualified to form a universal partnership, except
 - a. Those guilty of adultery and concubinage
 - b. Husband and wife
 - c. Those guilty of the same criminal offense, if the partnership is entered into in consideration of the same
 - d. Brother and sister



25. Three of the following partnership contracts are void. Which one is not?
 - a. A universal partnership of all present property between husband and wife
 - b. A universal partnership of profits between a man and a woman living together as husband and wife without the benefit of marriage
 - c. A particular partnership between husband and wife
 - d. A universal partnership of profits between a private individual and a public officer
26. A partner can engage in business for himself without the consent of his co-partners if he is
 - a. An industrial partner whether or not the business he will engage in is or the same kind as or different from the partnership business
 - b. A capitalist partner and the business he will engage in is of a kind different from the partnership business
 - c. A capitalist partner whether or not the business he will engage in is of the same kind or different from the partnership business
 - d. An industrial partner and the business he will engage in is of a kind different from the partnership business
27. The remedy of capitalist partners against an industrial partner who engaged in a business for himself without the expressed permission from the partnership is
 - a. To remove him as manager if he is appointed as manager of the partnership
 - b. To exclude him from sharing in the profits of the partnership
 - c. To compel him to sell his interest to the said capitalist partners
 - d. To expel him from the partnership and claim for damages
28. A capitalist partner engaged for his own account in an operation which is of the kind of business in which the partnership is engaged. Said partner can be
 - a. Compelled to sell his interest in the partnership to the other capitalist partners
 - b. Compelled to dissolve or discontinue the operation of his business
 - c. Compelled to bring to the common funds of the partnership any profits accruing to him from his transactions
 - d. Denied his share in the profits of the partnership
29. If the partnership agreement does not specify how profit is to be allocated, profits or losses should be allocated
 - a. Equally
 - b. In accordance with their capital contribution
 - c. In proportion to the average of capital invested during the period
 - d. Equitably so that partners are well compensated for their time and effort
30. Which of the following statements is incorrect as to distribution of partnership profits to the partners of the partnership?
 - a. Profit shall be distributed in accordance with the valid profit agreement of the partners
 - b. In the absence of profit agreement, profit shall be distributed on the basis of loss agreement of the partners
 - c. In the absence of profit agreement, the industrial partners shall receive just and equitable share in the partnership profits
 - d. In the absence of profit agreement, the capitalist partners shall receive in accordance with their capital contribution ratio after distribution to the industrial partners of their just and equitable share
31. In the absence of agreement as to sharing of partnership losses, how shall the losses be distributed to the partners?
 - a. It should be divided equally among the partners including the industrial partners
 - b. It should be divided proportionately to the capitalist partners in accordance to their capital contribution ratio
 - c. It should be divided in accordance with the profit agreement ratio to the capitalist partners only
 - d. It should be divided equally among the capitalist partners only
32. Which of the following statements is incorrect as to distribution of partnership losses to the partners of the partnership?
 - a. Loss shall be distributed in accordance with the valid loss agreement of the partners
 - b. In the absence of loss, the industrial partners shall receive just and equitable share in the partnership loss
 - c. In the absence of loss agreement, only the capitalist partner shall divide the loss in accordance with their profit agreement ratio
 - d. In the absence of loss agreement, the capital industrial partners shall share in the loss only in accordance with the profit agreement ratio in his character as a capital partner but exempted as an industrial partner



33. The division of partnership profits on the basis of salaries, interest and an agreed ratio is usually necessary because
 - a. Most investors require this method of distribution
 - b. This reflects the amount of time devoted to the partnership by the partners
 - c. Partners seldom contribute time, effort and resources equally
 - d. This prevents arguments among the partners
34. It was agreed and stipulated in the Articles of Partnership that the determination of the sharing of profits and losses is left to the will of majority of the partners. Is this enforceable?
 - a. Yes, since the partners freely stipulated on it
 - b. Yes, since the agreement of the parties was approved by the majority of the partners
 - c. No, because all the partners must agree on the sharing
 - d. No, because this is a void stipulation since the designation of losses and profits cannot be entrusted to one of them
35. A partner's interest in the partnership is his share of the profits and surplus which he may assign to a third person. Which of the following statements concerning such right is correct?
 - a. The assignee has a right to interfere in the management of the partnership business
 - b. The assignee has the right to receive the profits which the assigning partner would otherwise be entitled thereto
 - c. The conveyance of a partner's interest will cause the dissolution of the partnership
 - d. The assignee becomes a partner
36. Which of the following is the right of an assignee of a partner's interest?
 - a. Right to participate in the management of the partnership
 - b. Right to vote in the selection of the managing partner
 - c. Right to the share in net income of his assignor
 - d. Right to inspect the partnership book and demand audited financial statements of the partnership
37. The following are the effects of unlawful partnership, except
 - a. The profits shall be confiscated in favor of the government
 - b. The instruments or tools and proceeds of the crime shall be forfeited in favor of the government
 - c. The contribution of the partners shall be confiscated in favor of the government
 - d. The contract is void ab initio and the partnership never existed in the eyes of the law
38. Which one of the following is not a requisite prescribed by law in order that a partnership may be held liable to a third party for the acts of one of its partners?
 - a. The contract must be in the partnership name or for its account
 - b. The partner binds the partnership by acquiescence for obligations he may have contracted in good faith
 - c. The partner must act on behalf of the partnership
 - d. The partner must have the authority to bind the partnership
39. In three of the following wrongful acts of partners, the partnership is solidarily liable with all the partners to third persons. Which one is the exception?
 - a. For loss or injury caused to a third person by reason of the wrongful act or omission of a partner acting in the ordinary course of business
 - b. Where a partner acting within the scope of his apparent authority receives money or property of a third person and misapplies it
 - c. Where the partnership receives money or property of a third person in the ordinary course of business and such money or property is misapplied by a partner while it is in the custody of the partnership
 - d. For loss or injury caused to a third person by reason of the use of partnership property by a partner for personal purpose
40. Which is not property right of a partner?

a. Right in specific partnership property b. Right to participate in the management	c. Right to require information on partnership affairs d. Interest in the partnership
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41. Three (3) of the following are rights of a partners. Which one is not?

a. Right to associate another person to his share b. Right to admit another partner	c. Right to inspect and copy partnership book d. Right to ask dissolution of the firm at the proper time
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42. A partner's interest in the partnership is his?
- Right to inspect partnership books
 - Right to share in the profit and surplus
 - Right to participate in the management
 - Answer not given
43. The partnership will bear the risk of loss of three of the following things, except
- Fungible things or those that cannot be kept without deteriorating
 - Non-fungible things contributed so that only their use and fruits will be for the common benefit
 - Things brought and appraised in the inventory
 - Things contributed to be sold
44. In the partnership of A, B and C, A was appointed in the Articles of Co-Partnership as managing partner. As such manager in good faith
- His power is revocable even without consent
 - His power can be revocable at any time even without just cause provided
 - He may execute all acts of administration despite the opposition of B and C
 - He can be removed for valid cause even without the vote of the partners owning the controlling interest
45. When a partner has been appointed manager in the articles of partnership, which of the following is not correct?
- He may execute all acts of administration despite the opposition of his partners unless he acts in bad faith
 - His power is irrevocable without just or lawful cause
 - If with just or lawful cause, his appointment can be revoked by majority vote of the partners
 - If without just or lawful cause, his appointment can be revoked only with the consent of all the partners including the managing partner
46. If two or more partners have been entrusted with the management of the partnership without stipulation that one of them shall not act without the consent of all the others or without specification of their respective duties, which of the following is correct?
- Each one may separately execute all acts of administration despite the opposition of his partners
 - If any of the managing partners should oppose the act of the others, the decision of majority of all the partners shall prevail
 - In case any of the managing partners oppose the acts of the others, the matter shall be decided by the managing partners owning the controlling interest
 - In case of opposition by the other managing partners, the decision of the majority of the managing partners shall prevail
47. When the manner of management has not been agreed upon, the following are the rules of partnership management to be observed, except
- All the partners shall be considered agents of the partnership or all of them are considered managers
 - Whatever any of the partners may do alone, particularly acts of administration, shall bind the partnership
 - In case of opposition of the other partners, the decision of the majority shall prevail and the decision of the partners owning the controlling interest shall prevail in case of tie
 - Any of the partners may take any important alteration in the immovable property of the partnership without the consent of the others if it may be useful to the partnership
48. The change in the relation of the partners which ceases them to be associated in the business.
- Dissolution
 - Withdrawal
 - Winding-up
 - Termination of partnership
49. A person admitted as a partner into an existing partnership shall be liable up to the extent of his separate assets for what obligations?
- Obligations of the partnership existing at the time of his admission only if there was a stipulation
 - Obligation of the partnership incurred after his admission only if there was a stipulation
 - Obligation of the partnership incurred before and after his admission even if there was not stipulation
 - Obligations of the partnership incurred before his admission if there was a stipulation; and those incurred after his admission even if there was no stipulation
50. Which of the following is an automatic ground for dissolution of general partnership?
- The business of the partnership can only be carried on at a loss
 - A partner is shown to be of unsound mind
 - A partner has been guilty of such conducts as tends to affect prejudicially the carrying on the business
 - A partner is civilly interdicted



51. Which of the following will not cause the automatic dissolution of a general partnership?
 - a. Death of a partner
 - b. Insolvency of a partner
 - c. When the partnership business becomes unlawful
 - d. Insanity of a partner
52. Which of the following losses will not cause the dissolution of a partnership?
 - a. Loss before delivery of a specific thing where the partner promised to contribute only its use and enjoyment, reserving the ownership thereof
 - b. Loss before delivery of a specific thing which a partner had promised to contribute to the partnership
 - c. Loss after delivery of a specific thing where the partner contributed only its use and enjoyment, where such partner reserved the ownership thereof
 - d. Loss of a specific thing after its delivery to and acquisition of its ownership by the partnership from the partner who contributed the same
53. Which of the following is not an automatic cause of general partnership dissolution?
 - a. When any event makes it unlawful for the business of the partnership to be carried on or for the members to carry it on in partnership
 - b. Expulsion of any partner from the business bona fide in accordance with such a power conferred by the agreement between partners
 - c. A partner becomes in any way incapable of performing his part of the partnership contract
 - d. The insolvency of a partner of the partnership
54. A partnership that is formed by two or more persons having as members one or more general partners and one or more limited partners.
 - a. Limited
 - b. Universal
 - c. General
 - d. Particular
55. In the absence of any contrary provisions in the agreement, under which of the following circumstances will a limited partnership be dissolved?
 - a. A limited partner dies and his state is insolvent
 - b. A personal creditor of a general partner obtains a judgment against the general partner's interest in the limited partnership
 - c. A general partner retires and all the remaining general partners do not consent to continue
 - d. A limited partner assigns his partnership interest to an outsider and the purchaser becomes a substituted limited partner
56. As regards a limited partner, which of the following is correct?
 - a. He is automatically an agent of the partnership with apparent authority to bind the limited partnership in a contract
 - b. He can not own limited partnership interest in other competing limited partnership
 - c. He has no liability to creditors even if he takes part in the control of the business as long as he is held out as being a limited partner
 - d. He can contribute money and/or property but not services
57. What is the minimum composition in a limited partnership?
 - a. At least one nominal partner and at least one general partner
 - b. All must be limited partners
 - c. At least one limited partner and at least one general partner
 - d. All must be general partners
58. A person admitted to all the rights of a limited partner who has died or has assigned his interest in the partnership is known as
 - a. An ostensible partner
 - b. A liquidating partner
 - c. A substituted limited partner
 - d. A general-limited partner
59. The order of preference in the liquidation of a general partnership
 - a. Outside creditors; Partner as creditors; Partners capital; Partners profit
 - b. Partner as creditors; Outside creditors; Partners capital; Partners profit
 - c. Partners capital; Outside creditors; Partner as creditors; Partners profit
 - d. Outside creditors; Partner capital; Partners profit; Partners as creditors
60. Which of the following statements is incorrect?
 - a. Partnership creditors are preferred as to partnership assets
 - b. Partnership creditors are preferred as to each partner's separate assets



- c. A partner's separate creditors are preferred as to the partner's separate assets
- d. [Disregard choice D]

61. These partners shall be liable pro rata with all their property and after all the partnership assets have been exhausted
- a. Only capitalist partners
 - b. All partners, including industrial ones
 - c. Only industrial partner
 - d. Only general partners

SITUATIONAL

1. A, B and C agreed to form ABC Partnership. It was orally agreed that A would contribute P20,000, B P15,000 and C P5,000. It was also orally agreed that in the event the venture incurs a financial loss, all losses above the amounts of capital contributed would be assumed by A. There were no other express agreements. Under these circumstances, which of the following is correct?
 - a. Profits are to be divided in accordance with the wish of A being the major contributor
 - b. Profits are to be divided equally
 - c. The partnership is a nullity because the agreement is not contained in a signed writing
 - d. Partnership is valid notwithstanding failure to put the agreement in a public instrument
2. A, B and C collected money among themselves to purchase lotto ticket for the purpose of dividing the winning among themselves. Is there a partnership formed among them?
 - a. No, because their agreement was not put in writing
 - b. No, because there is no contribution of money, property or services among them
 - c. Yes, because the profit is divided equally among them
 - d. Yes, because there is contribution of money among the parties with the intention of dividing the winnings among them
3. In A, B, C and D partnership, only B did not deliver his agreed capital contribution in the form of a specific car and office equipment. The proper remedy available to A, C and D is:
 - a. A, C and D to get back their contributions
 - b. Action for specific performance
 - c. Dissolution of the partnership
 - d. Annulment of the partnership contract
4. A and B are partners in a real estate partnership. The partnership owns a piece of land which C desired to buy. C contacted A and informed him of his desire to buy the land and A did not tell B about it. A bought B out of the partnership and afterwards sold the land to C with a big profit.
 - a. The partnership is dissolved when A became the sole owner
 - b. The sale of the land to C is void because it was without the knowledge of B
 - c. A is not liable to B for the latter's share in the profits
 - d. A is liable to B for the latter's share in the profits
5. A, B and C agreed to form a limited partnership with A and B as general partners contributing P50,000.00 each, and C as limited partner contributing P100,000.00. The partnership which is to engage to the trading of garments as indicated in the certificate was signed and sworn to by the partners before a notary public. However, the certificate was not filed with the Securities and Exchange Commission. In the meantime, the partners already began operating the business and transacting with third persons.
 - a. The partnership entered into by A, B and C is void
 - b. The partnership will be considered a general partnership. Accordingly, all partners will be liable with their separate property after the exhaustion of partnership assets
 - c. The partnership will be considered a limited partnership as indicated in its name. Only A and B will be liable with their separate property after the exhaustion of partnership assets
 - d. A, B and C will be considered separately as sole proprietors with each one having a capital equivalent to their respective contributions
6. A, B and C are partners in ABC Partnership. D represented himself as a partner in ABC Partnership to E, who, on the belief of such representation, extended P50,000 credit to ABC Partnership. Assuming only B and C consented to such representation, who will be held liable to E?
 - a. E extended the credit to ABC Partnership, so a partnership liability exists, thus, all the partners, A, B and C, are liable
 - b. B, C and D are partners by estoppel and thus, are liable pro-rata to E
 - c. Partners A, B and C who benefited from the credit extended by E are liable
 - d. D, who made the representation, is liable to E



7. A and B entered into a universal partnership of profits. Subsequently, A became a professor in a university. Will A's salary belong to the partnership?
 - a. Yes, because the salary was acquired through A's industry or work
 - b. No, unless it is stipulated that his salary shall be deemed contributed
 - c. No, because it is not considered a profit acquired from a property
 - d. Yes, if stipulated by the partners
8. A and B entered into a universal partnership of profits. Later, A purchased a parcel of land. Will the fruits of the said land belong to the partnership?
 - a. No, because the fruits of property shall refer only to property possessed by the partners at the time of the celebration of the contract
 - b. Yes, because the fruits are from the property of A
 - c. Yes, because the fruits under the law shall also cover after-acquired property
 - d. No, because partnership of profits refers only to present fruits
9. A, B, C and D are partners in ABCD Enterprises, a pet shop, with A contributing P50,000; B, P20,000; and C, P30,000. D is an industrial partner and manages the partnership. Based on the foregoing information, which of the following statement is false?
 - a. A may engage in the buying and selling of rice without the consent of the other partners
 - b. D may engage in the buying and selling of rice without the consent of the other partners
 - c. D is not liable for the losses of the partnership
 - d. D may be held liable with her separate property for partnership debts after the exhaustion of partnership assets
10. A, B and C are capitalist partners while D is an industrial partner. A, the managing partner, engaged personally in a business that is the same as the business of the partnership without the consent of the other partners. As a result,
 - a. If there are losses, the partnership will bear the losses
 - b. If there are profits, the profits will be shared by A and the partnership
 - c. If there are profits, A will give the profits to the partnership
 - d. A will be excluded from the partnership and will pay damages
11. X, Y and Z are equal partners of XYZ Partnership. A owes the XYZ Partnership for P9,000. Z, a partner, collected P3,000 from A, before X and Y received anything. Z issued a receipt on the P3,000 as his share of what A owes. When X and Y collected from A, A was insolvent.
 - a. Partner Z shall share the P3,000 with partners X and Y
 - b. Z cannot be required to share the P3,000 with X and Y
 - c. X and Y should first exhaust all remedies to collect from A
 - d. X and Y can automatically deduct from the capital contributions of Z in the partnership their respective share in the P3,000
12. ABC Limited Partnership LTD is organized by A, B and C. A contributed cash to the partnership. B contributed property, plant and equipment to the partnership. C contributed services to the partnership. Who among the partners may be classified as limited partner?

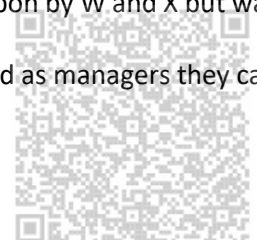
a. A, B and C	c. A only
b. A and B only	d. B and C only
13. ABCDEFG Company, a partnership engaged in the buying and selling of car spare parts, has the following partnership with their respective contributions: A – P10,000; B – P20,000; C – P30,000; D – P40,000; E – P100,000; F – P20,000 and G – P30,000. No one was appointed as manager of the partnership. In the course of the operation of the partnership, A proposed to buy car spare parts from X Motors but his proposal was opposed by B. When the voting took place, E abstained, C and D sided with A, while F and G sided with B, which is correct?
 - a. None will prevail because the voting was equal
 - b. The group of B, F and G will not prevail because they do not own the controlling interest
 - c. None will prevail because no one was appointed as manager in the partnership
 - d. The partners will have to appoint a manager in order to resolve the conflict
14. A, B, C, D and E are general partners in ABCDE Partnership. E is appointed as managing partner in the Articles of Co-partnership. Which of the following statements is correct?
 - a. E may be removed as managing partner by the vote of controlling partners but only if there is valid cause for removal
 - b. E may only be removed by the vote of all partners including the managing partner regardless of the reasons



- c. E's decision on acts of management may be reversed by the majority vote of the partners even if E acted in good faith
 - d. Majority vote of all partners is necessary for act of administration
15. A, B, C, D and E are general partners in ABCDE Partnership. E is appointed as managing partner in a separate document other than the articles of co-partnership. Which of the following statements is correct?
- a. E may be removed as managing partner by the vote of controlling partners regardless of the reasons
 - b. E's decision on acts of management requires ratification of the majority of the partners to be valid
 - c. E's decision on acts of management may not be reversed by the majority vote of the partners if E acted in good faith
 - d. Majority vote of all partners is necessary for act of administration
16. A, B, C, D and E are general partners in ABCDE Partnership. No one is appointed as managing partner. Which is correct?
- a. All the partners shall be considered agents and whatever any one of them may do alone shall bind the partnership
 - b. Unanimous vote is necessary for the validity of an act of management
 - c. The vote of controlling partner shall prevail in case of dispute in act of management
 - d. Majority vote is enough for act of strict dominion
17. A is the managing partner of ABC Partnership. X owes A personally and ABC Partnership P20,000 each. A collected and receive from X, P10,000 and he issued a receipt wherein it is stated that the amount is applied against his personal credit.
- a. The amount received will be applied in favor of the partnership credit
 - b. The amount will be applied in proportion to both credits
 - c. The amount received will be applied in the credit of A
 - d. All the partners will decide as to whose favor it will apply
18. A, B, C and D are partners in ABCD Company with D as manager. T owes ABCD Company P5,500 and A, in A's personal capacity, P4,500. T's debt to A is secured by a pledge of her diamond ring. Both debts are already due. T pays P4,500 to A and tells her that the same is in payment of her debt to A. Thus, A issues her personal receipt. Which is correct?
- a. The payment of P4,500 will be applied to the partnership credit at 2,475 and to A's credit at P2,025
 - b. The payment will be applied entirely to A's credit
 - c. The payment will be applied as follows: P5,500 to partnership and the balance to A in the amount of P1,000
 - d. T, A and ABCD Company will have to agree as to which credit the payment shall apply
19. A, B and C are partners in ABC Partnership. Later, they sold their ABC Partnership business to D with the agreement that D shall assume all the liabilities of the partnership to third persons. However, the third persons have no knowledge of the sale to D. Which is correct?
- a. The liabilities of ABC Partnership to third persons are extinguished
 - b. Third party creditors may only ask from D for payment of ABC partnership obligation
 - c. The creditors of ABC partnership are no longer creditors of A, B and C
 - d. A, B and C remain to be liable to the creditors of ABC Partnership in addition to D's liability to these creditors
20. A, B and C are partners in ABC Partnership. On June 15, 2020, partner C died. Not knowing that C died, on June 20, 2020, A contracted a liability to D who also does not know the death of C. The partnership debt is in the amount of P30,000, he can collect
- a. P30,000 from A
 - b. P15,000 from A and P15,000 from B
 - c. P10,000 from estate of C; P10,000 from A; P10,000 from B
 - d. P20,000 from A and P10,000 from B
21. X is an accountant and Y is a lawyer. Can they form a particular partnership for an accounting practice?
- a. Yes, they are both professionals
 - b. No, because in the practice of profession, all partners must belong to the same profession and the partnership should be for the exercise of common profession
 - c. No, because they have different fields of interest
 - d. Yes, partnership may pertain to the particular of profession
22. Three lawyers formed a law partnership. The senior and well-known partner died. Can they still continue using the name of such deceased partner?
- a. Yes, as long as they will put some mark in the name indicating that such partner is already deceased
 - b. Yes, since he was a partner
 - c. No, as he is already excluded from the partnership



- d. No, as the partnership has been dissolved
23. A and B are equal partners in AB Partnership by contributing P50,000 each on June 1, 2020. On July 1, 2020, the partnership contracted an obligation to pay Z the amount of P180,000 on August 31, 2020. On August 10, 2020, C was admitted as a new partner. C contributed P50,000. How will the obligation be paid?
- A P90,000; B P90,000; C None
 - A P180,000 or B P180,000 and C P50,000
 - A P60,000; B P60,000; C P60,000
 - A P65,000; B P65,000; C P50,000
24. A, B and C are partners in ABC General Partnership. D deposited his car to the parking lot of the partnership for a fee while A is managing the parking lot. After seeing D's parked car, A borrowed the said car. Unfortunately, the car was crushed by an accident. Who will be liable for the value of the car to D?
- ABC Partnership only
 - ABC Partnership or B only
 - ABC Partnership or A or B or C
 - ABC Partnership or A or B only
25. Mr. X is a partner who was able to bring in enormous profits to the partnership. With the consent of the other partners, he used the partnership car in meeting his clients. Because of intoxication, he figured in a collision resulting in damage to Mr. Y. As a consequence, the firm was sued and ordered by the court to pay damages. Which of the following statements is not correct?
- He can ask that whatever damages he is responsible for shall be deducted from the profits and benefits which he may have earned for the partnership
 - He is obliged to compensate the partnership for the damages it was ordered to pay
 - The partnership and all the partners are solidarily liable
 - Mr. X is personally responsible to the partnership for the damages suffered by it through his fault
26. A and B are partners in buying and selling cars. A, by the partners' agreement, was authorized to buy only in cash. One day, A bought on credit a car from X, a client, who did not know of A's lack of authority. A's purchase was made in the name of the partnership. Is the partnership bound in the sale?
- The partnership is not bound because the contract is unenforceable, A exceeded his authority
 - It is not bound because the contract with X is not in the ordinary course of business
 - It is bound because X was in good faith and the act of A was apparently in the conduct of the business.
 - It is bound if it ratifies the contract of sale by acceptance of benefits
27. A, B and C are partners in ABC Company with contributions of P10,000, P40,000 and P50,000, respectively. Their agreement shows that they will share in the profits in the ratio of 2:3:4. During the year, the partnership sustained a loss of P9,000. How shall this loss be divided among the partners?
- Equally at P3,000 each
 - A, P900; B, P3,600; and C, P4,500
 - A, P2,000; B, P3,000; and C, P4,000
 - The partners must establish first a loss sharing agreement before the loss may be divided because they failed to have an agreement on the division of loss
28. A, B, C, D, E and F are partners in ABCDEF Enterprises, a dealer in cosmetics and other beauty products, with contributions of P60,000, P50,000, P40,000, P30,000, P20,000, and P10,000, respectively. No one was appointed as manager in the articles of partnership.
- A is the manager because she made the biggest investment
 - Every act in the ordinary course of the business will have to be decided by the majority determined on a per head basis
 - Every act in the ordinary course of the business will have to be decided by the controlling interest (biggest investment) although the partners owning them do not constitute the majority
 - All the partners are agents or managers of the partnership and any one of them may perform acts of administration
29. W, X, Y and Z organized a general partnership with W and X as industrial partners and Y and Z as capitalist partners. Y contributed P.5M and Z contributed P.2M to the common fund. By a unanimous vote of the partners, W and X were appointed managing partners, without specification of their duties and powers. A applied as secretary and B applied as accountant of the partnership. The hiring of A was decided upon by W and X but was opposed by Y and Z. Whose decision shall prevail?
- The decision of W and X shall prevail because the hiring is an act of management and as managers they can do so
 - That of Y and Z shall prevail because they are the capitalist partners
 - The decision of Y and Z because they have the controlling interest
 - The decision of W and X because it is an act of ownership



30. X and Y established a partnership by contributing P50,000 each. Z, a third party, allowed his name to be included in the firm name of the partnership. The partnership was insolvent and after exhausting all the remaining asset, there was left a liability to third persons the amount of P30,000. The creditors can compel
- a. Z to pay P30,000 remaining liability
 - b. X, Y and Z to pay P10,000 each
 - c. X or Y to pay P30,000 remaining liability
 - d. X and Y to pay P15,000 each
31. A, B, C and D formed ABCD partnership. A, B and C are general partners and contributed P500,000 each while D is an industrial partner. All the partners signed an agreement stipulating that the liability of Andy will be limited to his contribution. After all the assets of the partnership were exhausted, there remains an unpaid liability of P600,000. The creditors of the partnership can compel
- a. All partners to pay P150,000 each
 - b. B and C to pay P300,000 cash
 - c. All partners to pay P600,000 each
 - d. All partners except A, to pay the P200,000 each
32. ABC Limited Partnership are formed by A and B as general partners and C as limited partner. ABC Limited Partnership became bankrupt and unpaid liabilities to partnership creditors amounted to P30,000. Which is correct?
- a. A, B and C are liable to the partnership creditors in the amount of P10,000 each but C may ask for reimbursement of P5,000 each from A and B
 - b. A and B are the only persons liable to the partnership creditors in the amount of P15,000 each
 - c. The partnership creditors may collect P30,000 from either A or B
 - d. The partnership creditors may collect P30,000 from either A, B or C
33. A, B, C and D are partners in AB and Company, contributing P20,000, P30,000 and P50,000 and industry, respectively. Due to financial reverses, they decided to dissolve the partnership. At the time of dissolution only P10,000 is left but the obligation to Y – P50,000; to partner B – P30,000 and to partner C – P20,000 remain unpaid. Which of the following is correct if there is no profit and loss sharing agreement?
- a. The partnership, A, B C and D will pay Y P10,000 each
 - b. Y can collect P12,500 each from partners A, B, C and D
 - c. D is exempt from loss, hence only A, B and C will bear the P90,000 loss in proportion to their capital contribution
 - d. Only partner A will make additional contributions because partners B and C can claim legal compensation
34. A, B, C and D are partners in AB General Partnership. A, B and D are capitalist partners while C is an industrial partner. D is exempted by partnership agreement from liability to third persons. The partnership became insolvent. Unpaid partnership liabilities amounted to P6M after exhaustion of partnership’s assets. How much may the unpaid partnership creditor collect from the partners?
- a. P1.5M each from A, B, C and D
 - b. P3M each from A and B
 - c. P2M each from A, B and D
 - d. P2M each from A, B and C
35. A, B and C are partners in AB Limited Partnership. A and B are general partners while C is a limited partner. The partnership became insolvent. Unpaid partnership liabilities amounted to P6M after exhaustion of partnership’s assets. How much may the unpaid creditors collect from the partners?
- a. P2M each from A, B and C
 - b. P3M each from A and B
 - c. P6M each from A, B or C
 - d. P6M each from A or B
36. A, B, C and D are partners contributing P10,000, P20,000, P30,000 and P40,000 respectively. A, B and D are the general partners while C is the limited partner. If only P30,000 asset remain and the partnership has unpaid obligations to Y – P50,000, to partner B – P30,000 and to partner C – P20,000. Which of the following is correct if there is no profit and loss sharing agreement?
- a. Y collects P30,000 from the partnership and P5,000 each from partners A, B, C and D
 - b. C is exempt from loss hence, he can recover the P20,000 obligations of the partnership to him from either A, B or D
 - c. The P20,000 obligation of the partnership to C can be used to offset C’s capital deficiency
 - d. Y collects P30,000 from the partnership and the balance of P20,000 will be collected from A, B and D in equal share
37. W, X, Y and Z are partners. They contributed capital as follows: W, P50,000; X, P30,000; Y, P20,000 and Z, is an industrial partner, his services. The partnership’s obligation to outsiders exceed the total net assets by P18,000. Who and by how much will the partners be liable for the payment of the P18,000?
- | | <u>W</u> | <u>X</u> | <u>Y</u> | <u>Z</u> |
|----|----------|----------|----------|----------|
| a. | P9,000 | P5,400 | P3,600 | 0 |
| b. | P4,500 | P4,500 | P4,500 | P4,500 |
| c. | P6,000 | P6,000 | P6,000 | P6,000 |
| d. | P4,500 | P2,700 | P1,800 | P9,000 |



SALES

o

Art. 1458. By the contract of sale one of the contracting parties obligates himself to transfer the ownership and to deliver a determinate thing, and the other to pay therefor a price certain in money or its equivalent.

Characteristics of a Contract of Sale

- ✓ **Purpose:** is to transfer of ownership.
- ✓ **Perfection:** is by mere consent, since one of the parties “obligates” himself, as such, he already bound himself, a contract is already perfected even before delivery of the thing.
- ✓ **Subject Matter:** determinate thing.
- ✓ **Cause:** the contract of sale is onerous, since the other party has the obligation to pay.
- ✓ **Bilateral Contract:** since both parties have their respective obligations.
- ✓ **Nominate Contract:** not only because there’s a specific designation of the contract, but more so because there are specific rules are provided by law to govern the rights and obligations of the parties, after stipulations.
- ✓ **Commutative:** classic commutative in the sense that there is equivalence in the prestation of the parties. Ordinarily, price reflects the value of the property, since the seller would not normally accept a price below the value of the property and the buyer would not normally pay an amount more than the value of the property.
- ✓ **Aleatory:** there is also a sale of hope where there is no equivalence in the value of prestations. Since the obligation of the other party is not certain to arise. e.g., lotto.
 - o Note that things having a potential existence may be the object of the contract of sale.
 - o The efficacy of the sale of a mere hope or expectancy is deemed subject to the condition that the thing will come into existence. The sale of a vain hope or expectancy is void. (Art. 1461)

KINDS OF SALE AS TO NATURE OF THE SUBJECT MATTER

- ✓ **Real or Personal.**
- ✓ **Thing** (corporeal or tangible) or **Rights** (incorporeal or intangible).

A Contract of Sale may be Absolute or Conditional

- o A **conditional sale** is the kind of contract of sale where ownership automatically transfers to the buyer upon fulfillment of the condition, without need of a new agreement or to execute a new contract.
- o In **absolute sale**, ownership transfers upon delivery, actual or constructive, even if no total payment yet. If no payment happened, the buyer becomes a debtor as far as the price is concerned. The remedy for the seller is rescission and not reconveyance of the property since the property already belongs to the buyer.
- o **Contract to Sell:** is a special kind of conditional sale where ownership does not automatically pass upon fulfillment of the condition. It will only give the buyer the right to demand the execution of a deed of sale or to compel the seller to sell. Ownership transfers only upon execution of the deed of sale or some other mode of delivery.

DISTINGUISHED FROM OTHER TRANSACTIONS:

- o **Contract for a piece of work**
 - A contract for the delivery at a certain price of an article which the vendor in the ordinary course of his business manufactures or procures for the general market, whether the same is on hand at the time or not, is a contract of sale, but if the goods are to be manufactured specially for the customer and upon his special order, and not for the general market, it is a contract for a piece of work.
 - **Importance of Distinction:** sale is covered by the Statute of Frauds. On the other hand, contracts for a piece of work is covered only if to be performed after more than one year.

Similarities:

- There is transfer of ownership.
- Buyer pays the price.

Distinction:

- **The Massachusetts Rule:** if the thing to be delivered by the obligor is manufactured in the ordinary course of business, and being offered to the general market, even if not at hand at the time the order is made, it is a contract of sale; but, if the thing is to be manufactured only because of the order of the buyer; not offered to the general market – contract for a piece of work.

o **Dacion en pago**

- Similarity: upon delivery, ownership passes. Although, dacion en pago, there is always transfer of ownership.
- Distinction:
 - ✓ Sale is a contract and a source of obligation; dation in payment is a special form of payment and a mode of extinguishment of an obligation.
 - ✓ In sale, there is no requirement of a pre-existing obligation, in dation in payment, as a special form of payment, there is a need for a pre-existing obligation.

o **Barter**

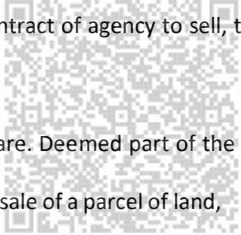
- If the consideration of the contract consists partly in money, and partly in another thing, the transaction shall be characterized by the manifest intention of the parties. If such intention does not clearly appear, it shall be considered a barter if the value of the thing given as a part of the consideration exceeds the amount of the money or its equivalent; otherwise, it is a sale.

o **Contract of agency to sell**

- In construing a contract containing provisions characteristic of both the contract of sale and of the contract of agency to sell, the essential clauses of the whole instrument shall be considered.

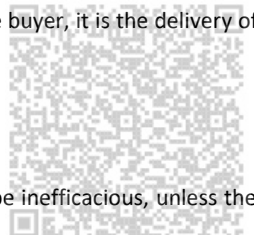
Elements of a contract of sale:

- ✓ **Natural** – those which are deemed part of the contract even if not stipulated or even if the parties are unaware. Deemed part of the contract by law. e.g., warranties.
- ✓ **Accidental** – present only because the parties so stipulated. e.g., obligation to pay interest. e.g., in a contract of sale of a parcel of land, obligation of the seller to cause the registration of the land in the name of the buyer.
- ✓ **Essential** – required for validity.



Essential elements of a contract of sale:

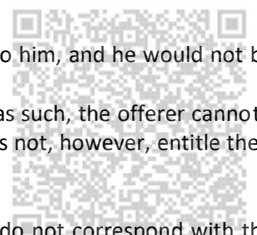
- o **Consent** of the contracting parties, i.e., the buyer and the seller.
 - **Incapacity:** consent may have been given, but the one giving it is incapacitated.
 - ✓ **Absolute Incapacity** – the party cannot give consent to any and all contract, which may result in the contract being voidable or void.
 - **Minors and those without capacity to act:** may enter into a valid contract of sale of “necessaries” as provided under Art. 1489. Necessaries are those which are indispensable for sustenance, dwelling, clothing and medical attendance.
 - ✓ **Relative Incapacity** – the party is prohibited from entering some specific transactions with some persons and sometimes over specific things.
 - Examples of Relative Incapacity:
 - **Husband and wife** cannot sell property to each other, except:
 - ✓ When a separation of property was agreed upon in the marriage settlements; or
 - ✓ When there has been a judicial separation or property.
 - The following **persons cannot acquire** by purchase, even at a public or judicial auction, either in person or through the mediation of another:
 - ✓ The guardian, the property of the person or persons who may be under his guardianship.
 - ✓ Agents, the property whose administration or sale may have been entrusted to them, unless the consent of the principal has been given.
 - ✓ Executors and administrators, the property of the estate under administration.
 - ✓ Public officers and employees, the property of the State or of any subdivision thereof, or of any government-owned or controlled corporation, or institution, the administration of which has been entrusted to them; this provision shall apply to judges and government experts who, in any manner whatsoever, take part in the sale.
 - ✓ Justices, judges, prosecuting attorneys, clerks of superior and inferior courts, and other officers and employees connected with the administration of justice, the property and rights in litigation or levied upon an execution before the court within whose jurisdiction or territory they exercise their respective functions; this prohibition includes the act of acquiring by assignment and shall apply to lawyers, with respect to the property and rights which may be the object of any litigation in which they may take part by virtue of their profession.
 - ✓ Any others specially disqualified by law.
 - **Aliens are prohibited** by the Constitution from acquiring lands in the Philippines, except by succession or in case of a former natural born Filipino citizen who has lost his citizenship.
 - **Vitiated consent:** by force, intimidation, violence, mistake or fraud – the contract is voidable.
 - **Consent by a party given by another without authority:** the contract is unenforceable as to the supposed principal.
 - **Seller need not be the owner for validity of the contract:** the seller need not be the owner and the sale is still valid if he sold the thing in a capacity authorizing him to do so such as a liquidator, executor, administrator, sheriff, or a notary (in case of pledge).
 - This is different from a **pledge or mortgage** which requires the pledger or mortgagor to be the absolute owner of the thing.
 - The **seller need not be the owner** to transfer ownership: if he received authority to do so from the:
 - ✓ **Owner himself** – agent.
 - ✓ **Law** – such as those mentioned under validity of contract above.
 - ✓ **Court** – in cases of judicial sale.
 - **If the seller had no authority to sell:** the buyer acquires no better title to the goods than the seller had, except:
 - **In cases of estoppel:**
 - ✓ **As to the owner: estoppel in pais** - by his conduct or representation, he led the buyer to believe that the seller had authority to sell.
 - ✓ **As to the seller: estoppel by deed** - if after the sale, he acquired ownership, such ownership automatically passes to the buyer. There must be delivery.
 - **Sale of an Apparent Owner:** the sale of an apparent owner will give the buyer a better right provided the following shall concur:
 - ✓ **There is apparent ownership.**
 - ✓ **Buyer in good faith and for value** – the buyer had no knowledge of any defect in the seller’s title at the time of full payment (not only at the time of sale).
 - ✓ **There must be a law.**
 - **Valid Sale by Statutory or Judicial Authority** – such as sales made by guardians, executors, administrators, sheriffs, etc.
 - **Purchase from a Merchant Store, Market or Fair in good faith and for value:** the purpose of this exception is to facilitate commercial transactions so as not to degrade the trust in sales made through such stores.
 - **Right of buyer to reimbursement:** One who has lost any movable or has been unlawfully deprived thereof, may recover it from the person in possession of the same. If the possessor of a movable lost or which the owner has been unlawfully deprived, has acquired it in good faith at a public sale, the owner cannot obtain its return without reimbursing the price paid thereof.
- o **Cause** – as to each contracting party is the prestation or promise to be performed by the other party. For the buyer, it is the delivery of the object, while for the seller, it is the payment of the price.
 - Rules as to price:
 - ✓ It must be **certain**.
 - With reference to another thing certain; or
 - The determination thereof be left to the judgment of a special person or persons.
 - Should such person or persons be unable or unwilling to fix it, the contract shall be inefficacious, unless the parties subsequently agree upon the price.
 - If the third person or persons acted in bad faith or by mistake, the courts may fix the price.



- Where such third person or persons are prevented from fixing the price or terms by fault of the seller or the buyer, the party not in fault may have such remedies against the party in fault as are allowed the seller or the buyer, as the case may be.
- ✓ **Gross inadequacy of price** does not affect a contract of sale, EXCEPT as it may indicate a defect in the consent, or that the parties really intended a donation or some other act or contract.
- ✓ The **price of securities, grain, liquids**, and other things shall also be considered certain, when the price fixed is that which the thing sold would have:
 - On a definite day; or
 - In a particular exchange or market; or
 - When an amount is fixed above or below the price on such day, or in such exchange or market, provided said amount be certain.
- ✓ The **fixing of the price** can never be left to the discretion of one of the contracting parties. However, if the price fixed by one of the parties is accepted by the other, the sale is perfected.
 - Where the price cannot be determined in accordance with the preceding rules, or in any other manner, the contract is inefficacious.
 - However, if the thing or any part thereof has been delivered to and appropriated by the buyer he must pay a reasonable price therefor. What is a reasonable price is a question of fact dependent on the circumstances of each particular case.
- o **Object** – is the subject matter which may be things or rights.
 - **Service:** unlike in contracts, in general, where “service” may be the object of the contract, in sales, service cannot be a valid subject since no person acquires ownership over service, and transfer of ownership is the purpose of a contract of sale. It, may, however, be another contract, such as a lease or agency.
 - **Rules as to Objects of Contracts of Sale:**
 - ✓ It must be licit or within the commerce of men.
 - ✓ The vendor must have a right to transfer the ownership thereof at the time it is delivered.
 - ✓ It must be determinate. A thing is determinate when:
 - It is particularly designated; or
 - Physical segregated from all other of the same class.
 - The requisite that a thing be determinate is satisfied if at the time the contract is entered into, the thing is capable of being made determinate without the necessity of a new or further agreement between the parties.
 - In the case of **fungible goods**, there may be a sale of an undivided share of a specific mass, even though
 - ✓ The seller purports to sell and the buyer to buy a definite number, weight or measure of the goods in the mass; and
 - ✓ The number, weight or measure of the goods in the mass is undetermined.
 - By such a sale the buyer becomes owner in common of such a share of the mass as the number, weight or measure bought bears to the number, weight or measure of the mass.
 - If the mass contains less than the number, weight or measure bought, the buyer becomes the owner of the whole mass and the seller is bound to make good the deficiency from goods of the same kind and quality, unless a contrary intent appears.
 - It may be either existing goods, owned or possessed by the seller, or goods to be manufactured, raised, or acquired by the seller after the perfection of the contract of sale, in this Title called “future goods.”
 - There may be a contract of sale of goods, whose acquisition by the seller depends upon a contingency which may or may not happen.
 - ✓ The sole owner of a thing may sell an undivided interest therein.
 - ✓ Things subject to a resolutive condition may be the object of the contract of sale.

PERFECTION OF A CONTRACT OF SALE

- o **Consensual Contract:** sale, being a consensual contract, is perfected by mere consent as to the object of the contract and upon the price.
- o **Transfer of ownership:** however, happens only after delivery, either actual or constructive, as a general rule. except if the parties agreed that ownership will not pass until full payment of the price.
- o **Sale by Auction:**
 - ✓ Where goods are put up for sale by auction in lots, each lot is the subject of a separate contract of sale.
 - ✓ A sale by auction is perfected when the auctioneer announces its perfection by the fall of the hammer, or in other customary manner. Until such announcement is made, any bidder may retract his bid; and the auctioneer may withdraw the goods from the sale unless the auction has been announced to be without reserve.
 - ✓ A right to bid may be reserved expressly by or on behalf of the seller, unless otherwise provided by law or by stipulation.
 - ✓ Where notice has not been given that a sale by auction is subject to a right to bid on behalf of the seller, it shall not be lawful for the seller to bid himself or to employ or induce any person to bid at such sale on his behalf or for the auctioneer, to employ or induce any person to bid at such sale on behalf of the seller or knowingly to take any bid from the seller or any person employed by him. Any sale contravening this rule may be treated as fraudulent by the buyer.
- o **Option Agreement and Contract:** A promise to buy and sell a determinate thing for a price certain is reciprocally demandable.
- o An **accepted unilateral promise** to buy or to sell a determinate thing for a price certain is binding upon the promissory if the promise is supported by a consideration distinct from the price, known as option money.
 - o **Withdrawal of Offer**
 - ✓ In an option agreement, the offerer may withdraw the offer before acceptance is communicated to him, and he would not be liable for damages.
 - ✓ In an option contract, however, there is a consideration distinct and separate from the price, and as such, the offerer cannot validly withdraw before the period agreed upon expires without being liable for damages. This does not, however, entitle the offeree the right to demand specific performance since there is no perfected contract of sale yet.
- o **Sale of Goods by Description or Sample:** the contract may be rescinded if the bulk of the goods delivered do not correspond with the description or the sample.



- o **Sale of Goods by Description and Sample:** if the contract be by sample as well as description, it is not sufficient that the bulk of goods correspond with the sample if they do not also correspond with the description.
- o The buyer shall have a reasonable opportunity of comparing the bulk with the description or the sample.
- o **Form:** no specific form is required for the perfection of a contract of sale. However, the same is still subject to the Statute of Frauds for its enforceability.

THE RECTO LAW: applies to a contract of sale of personal property the price of which is payable in installments. Under Art. 1484, the vendor will have the following **remedies** in case of non-payment by the vendee:

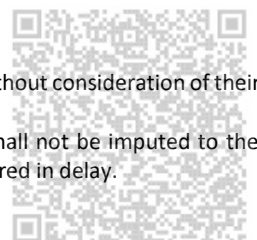
- o Exact fulfillment of the obligation, should the vendee fail to pay.
 - o Cancel the sale, should the vendee's failure to pay cover two or more installments.
 - o Foreclose the chattel mortgage on the thing sold, if one has been constituted, should the vendee's failure to pay cover two or more installments.
- **Notes:**
- ✓ The law applies only in case of "installment" sales. Not to sales "on credit". As such, if the sale of personal property required a down payment and the whole balance due on a certain date, the law does not apply, since it is not a sale on installment.
 - ✓ The remedies are alternative. As such, if the seller/vendor invoked one, he can no longer invoke any of the two remaining remedies. Any agreement to the contrary shall be void.
 - ✓ The 2nd and 3rd remedy are available only if there were two consecutive installments which are not paid. Accordingly, if there is only one installment that is unpaid, only the first remedy is available. Moreover, if the buyer failed to pay twice, but not consecutively, still only the first remedy is available.
 - ✓ The 2nd option of cancelling the sale would entail mutual restitution by the parties, but the seller is allowed to retain a reasonable amount of the purchase price already paid as compensation for the use of the thing, but he cannot retain all of the purchase price absent a forfeiture clause which entitles him to the purchase price already paid at the time of cancellation. However still, this clause will not apply if the retention of all the purchase price would be unconscionable.
 - Note that under the MACEDA law, a forfeiture clause would not be valid.
 - ✓ The 3rd option entails that the foreclosed mortgage is the mortgage on the personal property itself, not a mortgage on a different property.

THE MACEDA LAW, or the **Realty Installment Buyer Act** (RA No. 6552), applies to a contract of sale of residential realty on installments, where the buyer is given protection in case of failure to pay installments.

- **Notes:**
- ✓ The law applies to residential realty. Thus, it covers condominium units and houses and lots, but not all immovables.
 - ✓ It pertains only to sale on installment, not "on credit", similar to the Recto Law.
 - ✓ Under this law, the buyer has the following rights:
 - If installments already paid are less than two years equivalent:
 - ✓ Pay without interest within 60 days.
 - ✓ The buyer may sell his interest.
 - ✓ He may assign his interest (by way of donation or dacion en pago).
 - ✓ Pay the entire balance.
 - After two years' worth of installment, the buyer will have the following additional rights:
 - ✓ In addition to the 60 day grace period, the buyer shall have additional 1 month grace period for every year of installment payments after the first 2 years installments.
 - ✓ If the seller will exercise his right to rescind the contract, he is required to first give the Cash Surrender Value to the buyer.
 - **Cash Surrender Value:**
 - ✓ Minimum of 50% of all payments (including down payment) plus
 - ✓ 5% after five years (55% after 7 years of payment); and
 - ✓ 5% for every additional year thereafter up to a maximum of 90% (or 14 years of instalment).
 - ✓ **The following are void stipulations:**
 - Automatic cancellation or rescission upon default of the buyer.
 - Stipulation as to interest or damages or penalty during the grace period.
 - Forfeiture clause.

OBLIGATIONS OF THE VENDOR:

- ✓ **To take care of the thing** after the contract has been perfected, prior to delivery.
- o **Injury or Benefit Pending Delivery:** After perfection of the contract to the time of delivery:
- ✓ The seller shall take care of it with the proper diligence of a good father of a family, unless the law or the stipulation of the parties requires another standard of care.
 - ✓ The buyer has a right to the fruits of the thing from the time the obligation to deliver it arises. However, he shall acquire no real right over it until the same has been delivered to him.
 - ✓ They buyer may compel the seller to make the delivery. If the seller delays, or has promised to deliver the same thing to two or more persons who do not have the same interest, he shall be responsible for any fortuitous event until he has effected the deliver.
 - ✓ The obligation to deliver shall be extinguished if it should be lost or destroyed without the fault of the seller, and before he has incurred in delay, **EXCEPT:**
 - The law so provides.
 - If stipulated otherwise.
 - The obligation requires the assumption of risk.
 - ✓ The same rule shall apply to the sale of fungible things, made independently and for a single price, or without consideration of their weight, number, or measure.
 - ✓ Should fungible things be sold for a price fixed according to weight, number, or measure, the risk shall not be imputed to the vendee until they have been weighed, counted, or measured and delivered, unless the latter has incurred in delay.
- o **Risk of Loss**
- Unless otherwise agreed, the goods remain at the seller's risk until the ownership therein is transferred to the buyer, but when



the ownership therein is transferred to the buyer the goods are at the buyer's risk whether actual delivery has been made or not, except that:

- ✓ Where delivery of the goods has been made to the buyer or to a bailee for the buyer, in pursuance of the contract and the ownership in the goods has been retained by the seller merely to secure performance by the buyer of his obligations under the contract, the goods are at the buyer's risk from the time of such delivery.
 - ✓ Where actual delivery has been delayed through the fault of either the buyer or seller the goods are at the risk of the party in fault.
- If the thing is lost in part only, the buyer may choose between:
 - ✓ Withdrawing from the contract; and
 - ✓ Demanding the remaining part, paying its price in proportion to the total sum agreed upon.

- Where the parties purport a sale of specific goods, and the goods without the knowledge of the seller have perished in part or have wholly or in a material part so deteriorated in quality as to be substantially changed in character, the buyer may at his option treat the sale:
 - ✓ As avoided; or
 - ✓ As valid in all of the existing goods or in so much thereof as have not deteriorated, and as binding the buyer to pay the agreed price for the goods in which the ownership will pass, if the sale was divisible.

o **Loss, Deterioration or Improvement:** the rules under Art. 1189 applies, accordingly:

- **The thing is lost** (when it perishes, goes out of commerce, or disappears in such a way that its existence is unknown or it cannot be recovered).
 - ✓ Without fault of the seller – obligation is extinguished.
 - ✓ With fault of the seller – he is liable for damages.
- **The thing deteriorates**
 - ✓ Without fault of the seller – the impairment is borne by the buyer.
 - ✓ With fault of the seller – the debtor has two options.
 - To exact fulfillment and ask for damages.
 - Rescission with damages.
- **There is improvement**
 - ✓ By nature or time – the improvement will inure to the benefit of the buyer.
 - ✓ At the expense of the seller – he shall have no other right than that granted to the usufructuary, e.g., he may remove the improvement if it will not cause damage to the thing.

o **Res Perit Domino:** literally means the thing perishes with the owner.

➤ **Exceptions:**

- ✓ By stipulation – when it was stipulated that the risk of loss is with the buyer in possession of the thing even if ownership is not yet transferred.
- ✓ If ownership is retained only to secure performance by the buyer. Title of the seller is known as “security title”. This is what’s provided under Art. 1504(1).
- ✓ If there was delay in delivery of the goods and thereafter the goods are destroyed due to fortuitous event, whoever caused the delay bears the loss.

- ✓ Obligation to pay taxes and incidents of the sale, unless otherwise agreed upon.
- ✓ To warrant the thing.
- ✓ To transfer ownership. The ownership of the thing sold is acquired by the vendee from the moment it is delivered to him or in any other manner signifying an agreement that the possession is transferred from the vendor to the vendee.

Delivery

o Is the mode by which ownership is transferred. It is accomplished by placing the thing in the control and possession of the vendee.

o **Modes of delivery**

- **Actual Delivery:** The actual and physical transfer of the thing to the buyer.
- **Constructive Delivery**
 - ✓ **Execution of Public Instrument:** This mode of delivery is available to both sale of rights and sale of things.
 - ✓ **Traditio Longa Manu:** literally, long-hand delivery, or by pointing to the thing sold accomplished by mere consent of the seller, ownership transfers to the buyer, because at the time of sale, the seller cannot transfer possession to the buyer, e.g., the thing is leased by another.
 - ✓ **Consitutum Possessorium:** at the time of sale, the seller is in possession and remains in possession in another concept other than an owner, like that of a lessee, depositary or borrower.
 - ✓ **Brevi Manu:** or short hand delivery. When the buyer is in possession of the thing, in a concept other than that of an owner, at the time of sale, and remains in possession after sale, now as owner. E.g., a lessee who buys the thing leased.
 - ✓ **Symbolic Delivery:** where the seller merely gives the key to a warehouse where the goods are located. Note, if the object of the sale is the warehouse, this is actual delivery, since the buyer would have possession and control of the warehouse.
- **Delivery to a common carrier:** when the parties so agreed that the seller will deliver to the common carrier for ultimate delivery to the buyer. In this case, there is already delivery upon receipt of the common carrier.
 - **Except:**
 - ✓ Ownership is reserved by the seller – such as if it is deliverable to the seller or his agent.
 - ✓ The seller reserved possession – goods are deliverable to the buyer, but possession of the bill of lading is with the seller.

o **Mode of delivery: As to rights:**

- ✓ By execution of a public instrument;
- ✓ When the title of ownership is placed in the possession of the vendee (e.g., certificates of stock for sale of shares of stock);



- ✓ By the use of the vendee of his rights with the vendor's consent. (e.g., the vendee of shares where the same has not been transferred in his name yet, with the consent of the owner, through a proxy, he may exercise his rights as a stockholder)
- o **Sale or return:** where the goods are delivered to the buyer but the buyer has an option to return the goods instead of paying the price, the ownership passes to the buyer but he may revert the ownership in the seller by returning or tendering the goods within the time fixed in the contract, or when no time is fixed, within a reasonable time.
- o **Sale on approval or on trial or on satisfaction:** the ownership passes to the buyer:
 - ✓ When he signifies his approval or acceptance to the seller or does any other act adopting the transaction.
 - ✓ If he does not signify his approval or acceptance to the seller, but retains the goods without giving notice of rejection, then if a time has been fixed for the return of the goods, on the expiration of such time, and, if no time has been fixed, on the expiration of a reasonable time. What is a reasonable time is a question of fact.
- o **Time and place of delivery:**
 - ✓ Whether it is for the buyer to take possession of the goods or of the seller to send them to the buyer is a question depending in each case on the contract, express or implied, between the parties.
 - ✓ Apart from any such contract, express or implied, or usage of trade to the contrary, the place of delivery is the seller's place of business if he has one, and if not his residence; but in case of a contract of sale of specific goods, which to the knowledge of the parties when the contract or the sale was made were in some other place, then that place is the place of delivery.
 - ✓ Where by a contract of sale the seller is bound to send the goods to the buyer, but no time for sending them is fixed, the seller is bound to send them within a reasonable time.
 - ✓ Where the goods at the time of sale are in the possession of a third person, the seller has not fulfilled his obligation to deliver to the buyer unless and until such third person acknowledges to the buyer that he holds the goods on the buyer's behalf.
 - ✓ Demand or tender of delivery may be treated as ineffectual unless made at a reasonable hour. What is a reasonable hour is a question of fact.
 - ✓ Unless otherwise agreed, the expenses of and incidental to putting the goods into a deliverable state must be borne by the seller.
 - ✓ As a rule, the time to deliver is at the time of sale, if it is a pure obligation. However, as a rule, the seller is not bound to deliver until the buyer pays.
 - ✓ If there is a period agreed upon, the obligation to deliver shall be demandable at that time. EXCEPT, if the buyer loses the right to make use of the period under Art. 1198.
- o **Delivery of less or more of the quantity agreed upon in sale of personal property:**
 - ✓ **Delivery is less than quantity agreed upon, the buyer may:**
 - Reject the delivery; or
 - Accept or retain the goods delivered and pay:
 - The full contract price if he knew that the seller is not going to perform the contract in full; or
 - Pay the fair value of the goods delivered if without such knowledge.
 - ✓ **Delivery is greater than quantity agreed upon, the buyer may:**
 - Accept the goods in the quantity agreed upon and reject the rest; or
 - Accept the whole of the goods delivered and pay for them at the contract rate.
 - ✓ **Delivery of goods mixed with goods of different description** not included in the contract, the buyer may accept the goods which are in accordance with the contract and reject the rest.
 - ✓ In no. 2 and 3, if the subject matter is indivisible, the buyer may reject the whole of the goods.
- o **Delivery of less or more of the quantity agreed upon in sale of real estate with a statement of area and the sale is at a rate of a certain price for a unit of measure or number:**
 - ✓ Delivery is less than that agreed upon, the buyer may:
 - Ask for specific performance and demand delivery of the shortage;
 - Ask for the proportionate reduction of the price (accion quanti minoris)
 - Rescission, in case:
 - The lack in the area be not less than 1/10 of that stated; or
 - When the inferior value of the thing sold exceeds 1/10 of the price agreed upon;
 - The buyer would not have entered into the contract, had he known of its smaller area.
 - The same rules apply if any part of the immovable is not of the quality specified in the contract.
 - ✓ If the delivery is in excess of the area agreed upon, the buyer may:
 - Accept the area agreed upon and reject the rest; or
 - Accept the whole and b at the contract rate.
 - The above rules likewise applies to judicial sales.
- o **Delivery of less or more of the quantity agreed upon in sale of real estate for a lump sum price:**
 - ✓ Delivery is less than the area agreed upon, the buyer is bound to accept the actual area without any reduction of the price.
 - ✓ Delivery is more than the area agreed upon, the seller is bound to deliver the actual area without any increase in the price.
 - ✓ If the seller could not deliver the whole area which exceeds that which was agreed upon, the buyer may:
 - Reduce the price to be paid, in proportion to what is lacking in the area or number; or
 - Rescind the contract for failure of the vendee to deliver what has been stipulated.

Rights of an unpaid seller

- o **Unpaid Seller:** the seller of the goods is deemed to be an unpaid seller when:
 - ✓ The whole of the price has not been paid or tendered.
 - ✓ A bill of exchange or other negotiable instrument has been received as conditional payment, and the condition on which it was received has been broken by reason of the dishonor of the instrument, the insolvency of the buyer, or otherwise.
- o **Rights of an Unpaid Seller:** notwithstanding that the ownership of the goods may have passed to the buyer, the unpaid seller of goods has



the following rights:

- **Possessory lien** – right to retain the goods or right to withhold delivery of the goods.
 - **Grounds:**
 - ✓ Where the goods have been sold without any stipulation as to credit.
 - ✓ Where the goods have been sold on credit, but the term of credit has expired.
 - ✓ Where the buyer becomes insolvent.
 - The seller may exercise his right of lien notwithstanding that he is in possession of the goods as agent or bailee for the buyer.
 - **Partial Lien:** Where an unpaid seller has made part delivery of the goods, he may exercise his right of lien on the remainder, unless such part delivery has been made under such circumstances as to show an intent to waive the lien or right of retention.

o **Loss of possessor lien happens**

- ✓ When the seller delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the ownership in the goods or the right to the possession thereof.
- ✓ When the buyer or his agent lawfully obtains possession of the goods.
- ✓ By waiver.
- The unpaid seller of goods, having a lien thereon, does not lose his lien by reason only that he has obtained judgment or decree for the price of the goods.

o **Sale of the thing by the buyer to third persons**

- ✓ As a rule, the seller does not lose his right to possessory lien or right of stoppage in transitu.
- ✓ Exceptions:
 - If the seller assented to the transfer.
 - If the goods are covered by a negotiable document of title and it is sold to a purchaser for value in good faith to whom such document has been negotiated.

• **Stoppage in transitu** – right to stop the goods while in transit.

o **Requisites:**

- ✓ The seller already parted with the possession of the goods.
- ✓ The goods are already in transit.
- ✓ The buyer is insolvent.

o **Goods are in transit:**

- ✓ From the time when they are delivered to a carrier by land, water, or air, or other bailee for the purpose of transmission to the buyer, until the buyer, or his agent in that behalf, takes delivery of them from such carrier or other bailee.
- ✓ If the goods are rejected by the buyer, and the carrier or other bailee continues in possession of them, even if the seller has refused to receive them back.

o **Goods are no longer in transit:**

- ✓ If the buyer, or his agent in that behalf, obtains delivery of the goods before their arrival at the appointed destination.
- ✓ If, after the arrival of the goods at the appointed destination, the carrier or other bailee acknowledges to the buyer or his agent that he holds the goods on his behalf and continues in possession of them as bailee for the buyer or his agent; and it is immaterial that further destination for the goods may have been indicated by the buyer.
- ✓ If the carrier or other bailee wrongfully refuses to deliver the goods to the buyer or his agent in that behalf.

- If part delivery of the goods has been made to the buyer, or his agent in that behalf, the remainder of the goods may be stopped in transitu, unless such part delivery has been under such circumstances as to show an agreement with the buyer to give up possession of the whole of the goods.

o **Right of stoppage in transitu is exercised:**

- ✓ By taking actual possession of the goods; or
- ✓ By giving notice of his claim to the carrier or other bailee who is in possession of the goods, as a consequence of which:
 - The carrier or bailee then must redeliver the goods to, or according to the directions of, the seller.
 - The expenses of such delivery must be borne by the seller.
 - If, however, a negotiable document of title representing the goods has been issued by the carrier or other bailee, he shall not be obliged to deliver or justified in not delivering the goods to the seller unless such document is first surrendered for cancellation.

• **Resale**

o **Grounds:**

- ✓ The goods are perishable in nature.
- ✓ The seller expressly reserves the right of resale in case the buyer should make default; or
- ✓ Where the buyer has been in default in the payment of the price for an unreasonable time.

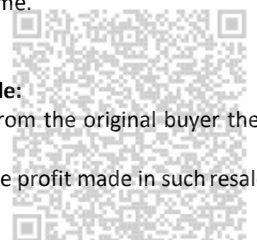
o To exercise such right: the unpaid seller must have a right of lien or stoppage in transitu.

➤ **In case the resale resulted in proceeds less than or more than the price in the original sale:**

- ✓ If the resale price is less than the price in the original sale, the seller can recover from the original buyer the difference as damages occasioned by the breach of contract of sale.
- ✓ If the resale price is more than the price in the original sale, the seller is entitled to the profit made in such resale.

o **Good Title:** the buyer in the resale acquires a good title as against the original buyer.

- Notice: except in case of resale made because the goods are perishable, notice shall be given to the original buyer



about:

- ✓ **The intention to resell** – which is relevant to prove that the buyer has been in default for an unreasonable length of time.
- ✓ **The date, time and place of resale** – to be considered doing the resale in good faith and entitle the seller to any deficiency.
- Note, however, that failure to give notice does not affect the validity of the resale.
- o **Participation:** the seller is prohibited from being the buyer in the resale, either directly or indirectly, whether the resale be public or private.
- **Rescission**
 - o Grounds:
 - ✓ When the right to rescind is expressly reserved by the seller.
 - ✓ When the buyer has been in default in the payment of the price for an unreasonable time.
 - o To exercise such right: the unpaid seller must have a right of lien or stoppage in transitu.
 - o **Recovery of damages:** the seller is not liable to the buyer upon the contract of sale, but may recover from the buyer damages for any loss occasioned by the breach of contract.
 - Notice is not necessary for the validity of rescission. But the same shall be relevant in determining whether the buyer has been in default for an unreasonable length of time.
 - o **Mutually Exclusive Rights:** the right of possessory lien and stoppage in transitu are mutually exclusive in the sense that the seller cannot have both rights at the same time. This is because the right of possessory lien presupposes that the seller retains possession, while in stoppage in transitu, the goods are supposedly in transit.
 - Note, however, that for the right of resale and right to rescind, it is necessary that the seller has either possessory lien or the right of stoppage in transitu.
 - o **Insolvency of the buyer:** is a requisite only for the right of stoppage in transitu, but not in all other rights. It is, however, a ground to exercise possessory lien, but still, not a requisite.

Double Sales - Movable property

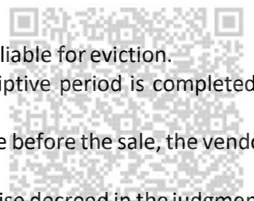
- o If the same movable is sold by the vendor to two or more vendees, the one who has a better right over the thing shall be the first one to take possession in good faith.

Double Sale - immovable property: if the same immovable property is sold by the vendor to two or more vendees, the one who has a better right over the thing shall be:

- ✓ The one to first register in good faith; if none,
- ✓ The one to first take possession in good faith; if none still,
- ✓ The one with the oldest title.
- o **Conditions:** where the obligation of either party to a contract of sale is subject to any condition which is not performed, such party may:
 - ✓ Refuse to proceed with the contract; or
 - ✓ Waive the performance of the condition; or
 - ✓ Treat the non-performance as a breach of warranty and ask for damages.

Warranties:

- o Any affirmation of fact or any promise by the seller relating to the thing is an express warranty if the natural tendency of such affirmation or promise is to induce the buyer to purchase the same, and if the buyer purchase the thing relying thereon.
- o Opinion of the seller is not understood to be a warranty unless the seller made such affirmation or statement as an expert and it was relied upon by the buyer.
- o **Express Warranty** is an affirmation of fact or promise by the seller relating to the thing which would induce the buyer to buy the same. However, those relating to opinions of the seller are not considered warranties unless they are made by experts and the buyer relies upon them.
- o **Implied Warranties**
 - **Warranty against eviction** – that the seller has a right to sell the thing at the time when ownership is to pass, and that the buyer shall from that time have and enjoy legal and peaceful possession of the thing;
 - o Requisites
 - ✓ The vendee is deprived of the whole or of a part of the thing purchased.
 - ✓ By virtue of a final judgment.
 - ✓ Such judgment is based on:
 - A right prior to the sale or
 - An act imputable to the vendor
 - o **Rules Applicable**
 - ✓ The warranty applies even if there is no agreement to such effect.
 - ✓ The vendee need not appeal from the decision in order that the vendor may become liable for eviction.
 - ✓ When the adverse possession had been commenced before the sale but the prescriptive period is completed after the transfer, the vendor shall not be liable for eviction.
 - ✓ If the property is sold for non-payment of taxes due and not made known to the vendee before the sale, the vendor is liable for eviction.
 - ✓ The judgment debtor is also responsible for eviction in judicial sales, unless it is otherwise decreed in the judgment.
 - ✓ The warranty cannot be enforced until a final judgment has been rendered, whereby the vendee loses the thing acquired or a part thereof.



- ✓ The defendant vendee shall ask, within the time fixed in the Rules of Court for answering the complaint, that the vendor be made a co-defendant.
 - ✓ The vendor shall not be obliged to make good the proper warranty, unless he is summoned in the suit for eviction at the instance of the vendee.
- o **Extent of Liability:** First, it will depend whether the seller is in bad faith:
- If the seller is in bad faith, he shall be liable for: (VICED)
 - ✓ Value of the thing sold at the time of eviction.
 - ✓ Income or fruits, if he has been ordered to deliver them to the party who won the suit against him.
 - ✓ Costs of the suit which caused the eviction, and, in a proper case, those of the suit bought against the vendor for the warranty.
 - ✓ Expenses of the contract, if the vendee has paid them.
 - ✓ Damages and interests and ornamental expenses.
 - If the seller is in good faith, the liability of the vendor shall depend whether there is a waiver executed by the buyer:
 - ✓ If there is no waiver, the seller is liable for VICE above except Damages.
 - ✓ If there is a waiver, the liability of the vendor shall depend whether the buyer is aware of the risk of eviction:
 - **Consciente** – the buyer is not aware of the risk, or without knowledge of the defect in the title of the seller: seller is still liable but only for the value of the thing at the time of eviction;
 - **Intencionada** – the buyer was aware of the risk of eviction or of the defect in the title of the seller, the seller is no longer liable for anything.
- o **Partial Loss:** should the vendee lose only a part of the thing sold but the same is of such importance, in relation to the whole, that he would not have bought it without said part, he may demand the rescission of the contract; but with the obligation to return the thing without other encumbrances that those which it had when he acquired it, instead of enforcing the vendor's liability for eviction.
- o **Two or more things sold:** the same rules as to partial loss shall apply:
 - ✓ If they have been jointly sold for a lumpsum; or
 - ✓ Even if they were sold for a separate price for each of them if it should appear that the vendee would not have purchased one without the other.
- **Warranty against hidden defects or of quality - the thing shall be free from any hidden faults or defects.**
 - o **Effect of Hidden Defects:** it would render the thing unfit for its intended use; or diminish its fitness for such use to such extent that, had the vendee been aware thereof, he would not have acquired it or would have given a lower price for it.
 - o **Vendor not liable: in case:**
 - ✓ The defects are patent or those which may be visible; or
 - ✓ Even if not visible, the vendee who is an expert, by reason of his trade or profession, should have known.
 - o **Warranty of Quality or Fitness of Goods:**
 - ✓ Where the buyer, expressly or by implication, makes known to the seller the particular purpose for which the goods are acquired, and it appears that the buyer relies on the seller's skill or judgment (whether he be the grower or manufacturer or not), there is an implied warranty that the goods shall be reasonably fit for such purpose.
 - ✓ Where the goods are brought by description from a seller who deals in goods of that description (whether he be the grower or manufacturer or not), there is an implied warranty that the goods shall be of merchantable quality.
 - o **Other rules on warranty against hidden defects or of quality:**
 - ✓ The vendor is responsible to the vendee for any hidden faults or defects in the thing sold, even though he was not aware thereof, unless there is contrary stipulation.
 - ✓ In the case of contract of sale of a specified article under its patent or other trade name, there is no warranty as to its fitness for any particular purpose, unless there is a stipulation to the contrary.
 - ✓ An implied warranty or condition as to the quality or fitness for a particular purpose may be annexed by the usage of trade.
 - ✓ In the case of a contract of sale by sample, if the seller is a dealer in goods of that kind, there is an implied warranty that the goods shall be free from any defect rendering them unmerchantable which would not be apparent on reasonable examination of the sample.
 - o **Remedies of the vendee:**
 - ✓ Withdraw from the contract plus damages.
 - ✓ Accion quanti minoris or demand a proportionate reduction of the price plus damages.
 - o **Loss of the thing with hidden defect; liability of the seller:**
 - ✓ If the cause was the defect itself: the seller shall be liable for:
 - ✓ If the cause of the loss is a fortuitous event or through the fault of the vendee, the seller shall be liable to refund the price less the value at the time of loss, plus damages (if he was aware).
 - o **Judicial sales:** the above rules likewise apply to judicial sales, except the judgment debtor shall not be liable for damages.
 - o **Period to file action:** is 6 years from delivery.
 - o **Rules on hidden defects in animals:**
 - ✓ Redhibitory Defect is the hidden defect on animals that, even in case a professional inspection has been made, should be of such nature that expert knowledge is not sufficient to discover it.
 - ✓ But if the veterinarian, through ignorance or bad faith shall fail to discover or disclose it, he shall be liable for damages.
 - ✓ If more than one animal is bought (whether for a lump sum or for a separate price for each of them), the redhibitory defect of one shall as a general rule, only give rise to its redhibition, and not of the others; EXCEPT: if the vendee would not have purchased the sound animal or animals without the defective one, which is presumed when a team, yoke pair, or set is bought, even if a separate price has been fixed for each one of the animals composing the same.
 - ✓ The above rule is applicable in like manner to the sale of other things (not just animals).
 - ✓ There is no warranty against hidden defects of animals sold at fairs or at public auctions, or of live stock sold as condemned.
 - ✓ The sale of animals suffering from contagious diseases shall be void.

- ✓ A contract of sale of animals shall also be void if the use or service for which they are acquired has been stated in the contract, and they are found to be unfit therefor.
 - ✓ The redhibitory action, based on the faults or defects of animals, must be brought within forty days from the date of their delivery to the vendee.
 - ✓ If the animal should die within three days after its purchase, the vendor shall be liable if the disease which cause the death existed at the time of the contract.
 - ✓ If the sale be rescinded, the animal shall be returned in the condition in which it was sold and delivered, the vendee being answerable for any injury due to his negligence, and not arising from the redhibitory fault or defect.
 - ✓ Remedies of the vendee in case of sale of animals with redhibitory defects are similar to the remedies for breach of warranty against hidden defects; but he must make use thereof within the same period which has been fixed for the exercise of the redhibitory action or 40 days.
 - ✓ Sale of large cattle is governed by special laws.
- **Warranty against non-apparent encumbrances:** an encumbrance (or an easement or servitude) is a burden imposed upon an immovable for the benefit of another immovable belonging to a different owner. It is non-apparent, when there are no external indications of their existence.
 - The warranty against non-apparent encumbrances arises when the same is:
 - ✓ Not mentioned in the agreement; or
 - ✓ Not recorded in the Registry of Property (now Registry of Deeds).
 - In which case, the buyer has the following remedies, within 1 year, counted from:
 - ✓ Ask for the rescission of the contract – from execution of the deed.
 - ✓ Ask for damages – from discovery.
 - **Not applicable to:** the implied warranties are not applicable to a sheriff, auctioneer, mortgagee, pledgee or other person professing to sell by virtue of authority in fact or law, for the sale of a thing in which a third person has a legal or equitable interest.

Obligations of the vendee

○ To pay the price

- At the time and place stipulated; or if none was stipulated, the payment must be made at the time and place of the delivery of the things sold.
- The vendee shall be liable for interest for the period between the delivery of the thing and the payment of the price in the following cases:
 - ✓ Should it have been so stipulated.
 - ✓ Should the thing sold and delivered produce fruits or income.
 - ✓ Should he be in default, from the time of judicial or extrajudicial demand for the payment of the price.
- **Suspension of payments:** if the vendee is disturbed in the possession or ownership of the thing acquired, or should he have reasonable grounds to fear such disturbance, by a vindicatory action or a foreclosure of mortgage, he may suspend the payment of the price until the vendor has caused the disturbance or danger to cease, unless:
 - ✓ The seller gives security for the return of the price in a proper case, or
 - ✓ It has been stipulated that, notwithstanding any such contingency, the vendee shall be bound to make the payment.
 - A mere act of trespass shall not authorize the suspension of the payment of the price.
- However, if the fear of loss covers immovable property, the vendor may immediately sue for rescission.
- In the sale of immovable property, even though it may have been stipulated that upon failure to pay the price at the time agreed upon the rescission of the contract may be had, the vendee may pay, even after the expiration of the period, as long as no demand for rescission of the contract has been made upon him either judicially or by a notarial act. After the demand, the court may not grant him a new term.

○ To accept delivery

- ✓ The buyer is not bound to accept delivery by installments, unless otherwise agreed upon.
- ✓ If it was agreed that delivery be done in installments and payments separately made, and the seller makes defective deliveries in respect of one or more instalments, or the buyer neglects or refuses without just cause to take delivery of or pay for one or more instalments, it depends in each case on the terms of the contract and the circumstances of the case, whether the breach of contract is so material as to justify the injured party in refusing to proceed further and suing for damages for breach of the entire contract, or whether the breach is severable, giving rise to a claim for compensation but not to a right to treat the whole contract as broken.
- ✓ **Deemed Acceptance:** the buyer is deemed to have accepted the delivery if:
 - He intimates to the seller that he has accepted the thing;
 - He does any act which is inconsistent with the ownership of the seller;
 - After the lapse of a reasonable time, he retains the goods without intimating to the seller that he has rejected them.
- ✓ In the absence of express or implied agreement of the parties, acceptance of the goods by the buyer shall not discharge the seller from liability in damages or other legal remedy for breach of any promise or warranty in the contract of sale. But, if, after acceptance of the goods, the buyer fails to give notice to the seller of the breach in any promise of warranty within a reasonable time after the buyer knows, or ought to know of such breach, the seller shall not be liable thereof.
- ✓ Unless otherwise agreed, where goods are delivered to the buyer, and he refuses to accept them, having the right so to do, he is not bound to return them to the seller, but it is sufficient if he notifies the seller that he refuses to accept them. If he voluntarily constitutes himself a depositary thereof, he shall be liable as such.

○ Right to Examine:

- ✓ Where goods are delivered to the buyer, which he has not previously examined, he is not deemed to have accepted them unless and until he has had a reasonable opportunity of examining them for the purpose of ascertaining whether they are in conformity with the contract if there is no stipulation to the contrary.
- ✓ Unless otherwise agreed, when the seller tenders delivery of goods to the buyer, he is bound, on request, to afford the buyer a reasonable opportunity of examining the goods for the purpose of ascertaining whether they are in conformity with the contract.
- ✓ Where goods are delivered to a carrier by the seller, in accordance with an order from or agreement with the buyer, upon the terms that the goods shall not be delivered by the carrier to the buyer until he has paid the price, whether such terms are indicated by marking the goods with the words "collect on delivery," or otherwise, the buyer is not entitled to examine the goods before the payment of the price, in the absence of agreement or usage of trade permitting such examination.

- With respect to movable property, the rescission of the sale shall be an available remedy to the vendor, if the vendee, upon the expiration of the period fixed for the delivery of the thing, should not have appeared to receive it, or, having appeared, he should not have tendered the price at the same time, unless a longer period has been stipulated for its payment.

Breach of contract of sale

- ✓ Where, under a contract of sale, the ownership of the goods has passed to the buyer and he wrongfully neglects or refuses to pay for the goods according to the terms of the contract of sale, the seller may maintain an action against him for the price of the goods.
- ✓ Where, under a contract of sale, the price is payable on a certain day, irrespective of delivery or of transfer of title and the buyer wrongfully neglects or refuses to pay such price, the seller may maintain an action for the price although the ownership in the goods has not passed. But it shall be a defense to such an action that the seller at any time before the judgment in such action has manifested an inability to perform the contract of sale on his part or an intention not to perform.
- ✓ Although the ownership in the goods has not passed, if they cannot readily be resold for a reasonable price, the seller may offer to deliver the goods to the buyer, and, if the buyer refuses to receive them, may notify the buyer that the goods are thereafter held by the seller as bailee for the buyer. Thereafter the seller may treat the goods as the buyer's and may maintain an action for the price.
- ✓ Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may maintain an action against him for damages for non- acceptance.
- ✓ The measure of damages is the estimated loss directly and naturally resulting in the ordinary course of events from the buyer's breach of contract.
- ✓ Where there is an available market for the goods in question, the measure of damages is, in the absence of special circumstances showing proximate damage of a different amount, the difference between the contract price and the market or current price at the time or times when the goods ought to have been accepted, or, if no time was fixed for acceptance, then at the time of the refusal to accept.
- ✓ If, while labor or expense of material amount is necessary on the part of the seller to enable him to fulfill his obligations under the contract of sale, the buyer repudiates the contract or notifies the seller to proceed no further therewith, the buyer shall be liable to the seller for labor performed or expenses made before receiving notice of the buyer's repudiation or countermand. The profit the seller would have made if the contract or the sale had been fully performed shall be considered in awarding the damages.
- ✓ Where the goods have not been delivered to the buyer, and the buyer has repudiated the contract of sale, or has manifested his inability to perform his obligations thereunder, or has committed a breach thereof, the seller may totally rescind the contract of sale by giving notice of his election so to do to the buyer.
- ✓ Where the seller has broken a contract to deliver specific or ascertained goods, a court may, on the application of the buyer, direct that the contract shall be performed specifically, without giving the seller the option of retaining the goods on payment of damages. The judgment or decree may be unconditional, or upon such terms and conditions as to damages, payment of the price and otherwise, as the court may deem just.
- ✓ **Where there is a breach of warranty by the seller, the buyer may, at his election:**
 - Accept or keep the goods and set up against the seller, the breach of warranty by way of recoupment in diminution or extinction of the price;
 - Accept or keep the goods and maintain an action against the seller for damages for the breach of warranty;
 - Refuse to accept the goods, and maintain an action against the seller for damages for the breach of warranty;
 - Rescind the contract of sale and refuse to receive the goods or if the goods have already been received, return them or offer to return them to the seller and recover the price or any part thereof which has been paid.
- ✓ Where the goods have been delivered to the buyer, he cannot rescind the sale if he knew of the breach of warranty when he accepted the goods without protest, or if he fails to notify the seller within a reasonable time of the election to rescind, or if he fails to return or to offer to return the goods to the seller in substantially as good condition as they were in at the time the ownership was transferred to the buyer. But if deterioration or injury of the goods is due to the breach or warranty, such deterioration or injury shall not prevent the buyer from returning or offering to return the goods to the seller and rescinding the sale.
- ✓ Where the buyer is entitled to rescind the sale and elects to do so, he shall cease to be liable for the price upon returning or offering to return the goods. If the price or any part thereof has already been paid, the seller shall be liable to repay so much thereof as has been paid, concurrently with the return of the goods, or immediately after an offer to return the goods in exchange for repayment of the price.
- ✓ Where the buyer is entitled to rescind the sale and elects to do so, if the seller refuses to accept an offer of the buyer to return the goods, the buyer shall thereafter be deemed to hold the goods as bailee for the seller, but subject to a lien to secure payment of any portion of the price which has been paid, and with the remedies for the enforcement of such lien allowed to an unpaid seller.
- ✓ In the case of breach of warranty of quality, such loss, in the absence of special circumstances showing proximate damage of a greater amount, is the difference between the value of the goods at the time of delivery to the buyer and the value they would have had if they had answered to the warranty.

Extinguishment of a contract of sale: sales are extinguished by the same causes as all other obligations, and by conventional or legal redemption.

- o **Conventional redemption:** otherwise known as "right of repurchase" shall take place when the vendor reserves the right to repurchase the thing sold, with the obligation to return the price, expenses related thereto and useful and necessary expenses, and other stipulations which may have been agreed upon.
 - The sale, with a right of repurchase, is also known as pacto de retro sale.
- o **Ownership:** transfers to the vendee a retro upon delivery. However, this ownership is not absolute but only conditional. This is because the seller a retro may be able to exercise the right to repurchase and the ownership of the buyer will be terminated.
- o **Amount to be paid at the time the right is exercised:**
 - ✓ The purchase price;
 - ✓ The expenses of the contract, and any other legitimate payments made by reason of the sale; and
 - ✓ Useful and necessary expenses (e.g., fencing of the land)
- o **Fruits:** If at the **time** of the execution of the sale there should be on the land, visible or growing fruits, there shall be no reimbursement for or prorating of those existing at the time of redemption, if no indemnity was paid by the purchaser when the sale was executed.
 - Should there have been no fruits at the time of the sale and some exist at the time of redemption, they shall be prorated between the redemptioner and the vendee, giving the latter the part corresponding to the time he possessed the land in the last year, counted from the anniversary of the date of the sale.
- o **Equitable Mortgage:** a sale with a right of repurchase (or even a contract of absolute sale) is presumed to be an equitable mortgage in the following cases:
 - ✓ When the price of a sale with right to repurchase is unusually inadequate;
 - ✓ When the vendor remains in possession as lessee or otherwise;
 - ✓ When upon or after the expiration of the right to repurchase another instrument extending the period of redemption or granting a new period is executed;
 - ✓ When the purchaser retains for himself a part of the purchase price;

- ✓ When the vendor binds himself to pay the taxes on the thing sold;
 - ✓ In any other case where it may be fairly inferred that the real intention of the parties is that the transaction shall secure the payment of a debt or the performance of any other obligation.
 - In any of the foregoing cases, any money, fruits, or other benefit to be received by the vendee as rent or otherwise shall be considered as interest which shall be subject to the usury laws. The remedy would be to ask for the reformation of the instrument purporting to be a contract of sale with right of repurchase or a contract of absolute sale.
 - In case of doubt, a contract purporting to be a sale with right to repurchase shall be construed as an equitable mortgage.
- o **Period to exercise right of repurchase:**
- ✓ That which was agreed upon which cannot exceed 10 years;
 - ✓ If no agreement as to the period, it shall be four years from the date of the contract.
 - The vendor may still exercise the right to repurchase within thirty days from the time final judgment was rendered in a civil action on the basis that the contract was a true sale with right to repurchase.
- o **Other rules on conventional redemption:**
- ✓ In case of real property, the consolidation of ownership in the vendee by virtue of the failure of the vendor to pay the required amounts shall not be recorded in the Registry of Property without a judicial order, after the vendor has been duly heard.
 - ✓ The vendor may bring his action against every possessor whose right is derived from the vendee, even if in the second contract no mention should have been made of the right to repurchase, without prejudice to the provisions of the Mortgage Law and the Land Registration Law with respect to third persons.
 - ✓ The vendee is subrogated to the vendor's rights and actions.
 - ✓ The creditors of the vendor cannot make use of the right of redemption against the vendee, until after they have exhausted the property of the vendor.
 - ✓ In a sale with a right to repurchase, the vendee of a part of an undivided immovable who acquires the whole thereof, may compel the vendor to redeem the whole property, if the latter wishes to make use of the right of redemption.
 - ✓ If several persons, jointly and in the same contract, should sell an undivided immovable with a right of repurchase, none of them may exercise this right for more than his respective share. The same rules apply to a person who sold an immovable alone but left several heirs, in which case, the heirs may only redeem the part which he may have acquired.
 - The vendee may demand of all the vendors or co-heirs that they come to an agreement upon the purchase of the whole thing sold; and should they fail to do so, the vendee cannot be compelled to consent to a partial redemption.
 - ✓ Each one of the co-owners of an undivided immovable who may have sold his share separately, may independently exercise the right of repurchase as regards his own share, and the vendee cannot compel him to redeem the whole property.
 - ✓ If the vendee should leave several heirs, the action for redemption cannot be brought against each of them EXCEPT for his own share, whether the thing be undivided, or it has been partitioned among them.
 - But if the inheritance has been divided, and the thing sold has been awarded to one of the heirs, the action for redemption may be instituted against him for the whole.
 - ✓ The vendor who recovers the thing sold shall receive it free from all charges or mortgages constituted by the vendee, but he shall respect the leases which the latter may have executed in good faith, and in accordance with the custom of the place where the land is situated.
- o **Legal redemption:** is the right to be subrogated, upon the same terms and conditions stipulated in the contract, in the place of one who acquires a thing by purchase or dation in payment, or by any other transaction whereby ownership is transmitted by onerous title.
- o **The Right of Legal Redemption is available to:**
- ✓ **Co-owners** – a co-owner of a thing may exercise the right of redemption in case the shares of all the other co-owners or of any of them, are sold to a third person.
 - Subject property: may be movable or immovable property.
 - Amount to be paid for redemption: is the purchase price, unless the price of alienation is grossly excessive, in which case, the redemptioner shall pay only a reasonable one.
 - Two or more redemptioners: should two or more co-owners desire to exercise the right of redemption, they may only do so in proportion to the share they may respectively have in the thing owned in common.
 - ✓ **Owners of adjoining lands** – have the right of redemption in case of transfers of land.
 - **Rural Land; Requisites:**
 - ✓ The subject is rural land;
 - ✓ The land does not exceed one hectare;
 - ✓ The redemptioner is an owner of a land adjoining the subject rural land;
 - ✓ The adjacent land is not separated by brooks, drains, ravines, roads and other apparent servitudes for the benefit of other estates; and
 - ✓ The grantee does not own any rural land;
 - **Multiple redemptioners:** in case two or more adjoining owners desire to exercise the right of redemption at the same time:
 - ✓ The owner of the adjoining land of smaller area shall be preferred; and
 - ✓ Should both lands have the same area, the one who first requested redemption.
 - **Redemption and Pre-emption of Urban Land; Requisites:**
 - ✓ The subject is urban land;
 - ✓ The area of the land is so small and so situated that a major portion thereof cannot be used for any practical purpose within a reasonable time, having been bought merely for speculation;
 - ✓ The one exercising the right of redemption or pre-emption is an adjoining land owner.
 - **When redemption, when pre-emption:**
 - ✓ **Pre-emption** is the right exercised by the adjoining land owner if the sale is not yet perfected;
 - ✓ **Redemption** is the right exercised if the sale is already perfected.
 - Multiple persons exercising the right of redemption/pre-emption: the one whose intended use is best justified shall be preferred.
 - **Period to exercise:** 30 days from notice in writing by the prospective vendor, or by the vendor. The deed of sale shall not be recorded in the Registry of Property, unless accompanied by an affidavit of the vendor that he has given written notice thereof to all possible redemptioners.
 - **If there are co-owners:** the right of redemption of the co-owners excludes that of adjoining owners.

-- END --

SALES

THEORY

1. A contract whereby one of the contracting parties obligates himself to transfer the ownership of and to deliver a determinate thing and the other to pay therefore a price certain in money or its equivalent is a contract of
 - a. Barter
 - b. Sale
 - c. Dacion en pago
 - d. Mortgage
2. The following are the characteristics of a contract of sale, except
 - a. Principal, which means that a contract of sale can stand by itself
 - b. Real, which requires the delivery of the object of the contract of sale for its perfection
 - c. Onerous, where rights are acquired in exchange for a valuable consideration
 - d. Bilateral, which means that both parties are bound reciprocally to each other
3. The following are the essential elements of a contract of sale, except
 - a. Consent of the contracting parties
 - b. Subject matter which should be determinate
 - c. Price which is certain in money or its equivalent
 - d. Warranty against eviction and against hidden defects
4. A contract of sale is perfected
 - a. Upon compliance with the requirements of the law as to form
 - b. Upon delivery of the object of the contract
 - c. Upon the meeting of the minds on the thing which is the object of the contract and upon the price
 - d. Upon demand
5. One of the following is not a requisite of the object of a contract of sale. Which is it?
 - a. It must be within the commerce of men
 - b. It must be licit
 - c. It must be determinate or determinable
 - d. Vendor must have the right to transfer the ownership of the thing at the time of sale
6. Which of the following may not be the object of a contract of sale?
 - a. Things having potential existence
 - b. Things, the acquisition of which depends upon a contingency which may or may not happen
 - c. Vain hope or expectancy
 - d. Things subject to a resolutive condition
7. The following items pertain to either emptio rei speratae or emptio spei:
 - I. The sale of a future thing
 - II. The sale of hope or expectancy
 - III. The sale of a present thing
 - IV. The thing sold must come into existence

Based on the above information, which of the following is correct?

- a. Items I and II pertain to emptio rei speratae
 - b. Items II and III pertain to emptio spei
 - c. Items II and III pertain to emptio rei speratae
 - d. Items III and IV pertain to emptio spei
8. Can future inheritance be the subject of contract of sale?
 - a. No, since it will put the predecessor at the risk of harm from a tempted buyer, contrary to public policy
 - b. Yes, since the death of the decedent is certain to occur
 - c. No, since the seller owns no inheritance while his predecessor lives
 - d. Yes, but on the condition that the amount of inheritance can only be ascertained after the obligations of the estate have been paid
 9. What is the name of the contract if the goods are to be manufactured especially for the customer upon his special order and not for the general market?
 - a. Contract of barter
 - b. Contract of sale
 - c. Contract for a piece of work
 - d. Contract of lease
 10. The following items pertain to either a contract of sale or a contract to sell:
 - I. Ownership of the thing sold is transferred upon delivery
 - II. Ownership of the thing is transferred to the buyer at some future time
 - III. The risk of loss is on the buyer
 - IV. The risk of loss is on the seller

Based on the above data, which of the following is correct?

 - a. Items I and III pertain to a contract to sell
 - b. Items II and III pertain to a contract to sell
 - c. Items II and IV pertain to a contract of sale
 - d. Items I and III pertain to a contract of sale



11. Statement 1: In a contract of sale, the buyer becomes owner upon delivery of the thing sold as a rule. Non-payment of price is a resolutive condition.
Statement 2: In a contract to sell, the buyer becomes owner only after he has fully paid the price. Payment of the price is a suspensive condition.
 - a. First statement is true, second is false
 - b. First is false, second is true
 - c. Both are false
 - d. Both are true
12. It is a contract by virtue of the terms of which the parties thereto promise and obligate themselves to enter into another contract at a future time, upon the happening of certain events, or the fulfillment of certain conditions
 - a. Contract of adhesion
 - b. Contract of option
 - c. Contract of sale
 - d. Auto-contract
13. Three of the following refer to option money. Which is the exception?
 - a. Given when contract of sale is perfected
 - b. Given when there is no contract of sale, but as a consideration
 - c. Given to bind the offeror in a unilateral promise to buy or sell
 - d. Given as a consideration distinct from the price
14. A sum of money paid, or a thing delivered upon the making of a contract for the sale of goods, to bind the bargain, the delivery and acceptance of which makes the final assent of both parties to the contract
 - a. Option money
 - b. Earnest money
 - c. Reservation money
 - d. Downpayment
15. One of the distinctions between option money and earnest money is that earnest money is
 - a. The consideration paid for the purpose of holding one to his promise to buy or sell a determinate thing for a certain period of time
 - b. Not part of the purchase price
 - c. Proof of the perfection of the contract of sale
 - d. Paid before the perfection of the contract of sale
16. The price in a contract of sale is certain, except
 - a. When the parties have fixed or agreed upon a definite amount
 - b. If the price is certain with reference to another thing certain
 - c. If the fixing of the price is left to the discretion of one of the contracting parties and the price fixed is not accepted by the other party
 - d. If the price fixed is that which the thing sold would have on a definite day or in a particular exchange or market
17. S sold his car to B. There was no fixed date for the performance of their respective obligations. The obligation of S as vendor is
 - a. To wait for the buyer to pay the price before he delivers
 - b. To deliver the car immediately since the sale has been perfected
 - c. To deliver the car after the buyer demands delivery
 - d. Rescind the contract since the time of performance is not fixed
18. In a contract of sale, what is the operative act that transfers ownership of the thing sold from the seller to the buyer?
 - a. Delivery whether actual or constructive
 - b. Consent of the contracting parties on the determinate thing and price certain in money
 - c. Full payment of the price
 - d. Execution of the written deed of sale
19. It refers to the delivery of the thing sold from hand to hand in case of movables, or the taking of possession with respect to immovables, in the presence and with the consent of the vendor
 - a. Actual or real delivery
 - b. Traditio constitutum possessorium
 - c. Traditio longa manu
 - d. Traditio brevi manu
20. When delivery takes place by mere consent or agreement of the parties as when the vendor merely points to the thing sold which shall thereafter be at the disposal of the vendee if the thing sold cannot be transferred to the possession of the vendee upon sale
 - a. Traditio symbolica
 - b. Traditio brevi manu
 - c. Traditio longa manu
 - d. Traditio constitutum possessorium
21. This is a kind of symbolic delivery where the vendor remains in possession of the property sold, such as by virtue of a lease agreement with the vendee

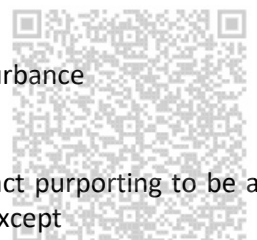
- a. Traditio longa manu
 - b. Traditio brevi manu
 - c. Traditio constitutum possessorium
 - d. Delivery to common carrier
22. Effected when the object of sale is already in the possession of the vendee at the time of sale so that delivery need no longer be made is
- a. Traditio longa manu
 - b. Traditio brevi manu
 - c. Traditio constitutum possessorium
 - d. Traditio symbolica
23. When goods are delivered to the buyer on "sale or return", the ownership passes to the buyer
- a. Upon delivery of the goods
 - b. Upon the expiration of the period agreed upon
 - c. Upon acceptance of the buyer of the seller's offer
 - d. Upon perfection of the sale
24. One of the following statements on the transfer of ownership of the thing in "sale on trial" is incorrect. Which is it?
- a. Ownership of the thing is transferred to the vendee when he signifies his approval or acceptance to the vendor
 - b. Ownership of the thing is transferred to the vendee when he does an act adopting the transaction
 - c. Ownership of the thing is transferred to the vendee if the time fixed for the return of the thing has expired and the vendee retains the thing without giving notice of rejection or acceptance to the vendor
 - d. Ownership of the thing is transferred to the vendee upon delivery
25. The buyer has a right to the fruits of the things
- a. From the time the fruits have been delivered
 - b. From the time the obligation to deliver the thing bought arises
 - c. From the time of perfection of the sale
 - d. From the time the thing bought is delivered
26. The unpaid seller, in addition to his right to retain the goods while he is in possession of them, has the following rights, except
- a. The right of stoppage in transit
 - b. The right to resell the goods
 - c. The right to rescind the sale
 - d. The right to bid when the goods are resold
27. Three of the following are the requisites in order that an unpaid seller may exercise his right of stoppage of transitu. Which one is not?
- a. The seller is unpaid
 - b. The seller has not parted with the possession of the goods
 - c. The goods are in transit
 - d. The buyer is or becomes insolvent
28. Goods are still in transit
- a. If the buyer or his agent obtains delivery of the goods before their arrival at the appointed destination
 - b. When the carrier acknowledges possession of the goods as bailee for the buyer after the arrival of the goods at the place of destination
 - c. If the carrier or other bailee wrongfully refuses to deliver the goods to the buyer or his agent
 - d. If the goods are rejected by the buyer, and the carrier or other bailee continues in possession of them, even if the seller has refused to receive them back
29. An unpaid seller loses his lien on the goods in the following cases, except
- a. When he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of ownership in the goods
 - b. When the buyer or his agent lawfully obtains possession of the goods
 - c. When the seller waives his possessory lien
 - d. When he has obtained judgment for the price of the goods
30. An unpaid seller's right to resell the goods is available in the following cases, except
- a. If the goods are of a perishable nature
 - b. When the seller reserved the right to resell the goods
 - c. When the buyer has defaulted in the payment of the price for an unreasonable time
 - d. When the seller has lost his lien on the goods
31. The justified refusal of the buyer to accept the goods produces the following effects, except
- a. Buyer has no duty to return the goods, unless otherwise stipulated
 - b. Title to the goods does not pass on to him
 - c. Buyer shall not be obliged to pay the price
 - d. Buyer is obliged to constitute himself as depositary until he returns the goods



32. The Recto Law applies to which of the following examples of sale?
- a. Sale of a car on straight term
 - b. Sale of house and lot on installment
 - c. Sale of car on installment where the buyer constituted a mortgage on his truck
 - d. Sale of a piano on installments where the buyer constituted a chattel mortgage on the piano
33. In a contract of sale of personal property the price of which is payable in installments, the vendor may exercise any of the following remedies, except
- a. Exact fulfillment of the obligation, should the vendee fail to pay any number of installments
 - b. Cancel the sale, should the vendee's failure to pay cover two or more installments
 - c. Foreclose the chattel mortgage on the property if the vendee's failure to pay cover two or more installments and recover any deficiency after the foreclosure sale if they stipulated it
 - d. Foreclose the chattel mortgage on the property if the vendee's failure to pay cover two or more installments but he may no longer recover any deficiency after the foreclosure sale
34. Under the "Realty Installment Buyer Act", the buyer of real estate on installment payments may pay an installment defaulted without additional interest if he has paid at least two years of installments. The law is applicable to sales/transactions involving
- a. Industrial lots
 - b. Commercial buildings
 - c. Residential lots
 - d. Sales to tenants under the Land Reform Law
35. Where the seller of goods has a voidable title thereto, but his title has not been avoided at the time of sale, the buyer acquires title to the goods. Such acquisition of title has the following requisites, except
- a. The buyer must have bought the goods in good faith
 - b. The buyer must have bought them for value
 - c. The buyer bought them without notice of the seller's defect of title
 - d. The party from whom the seller obtained the goods must ratify the sale
36. If a movable property is sold separately to two or more different vendees, ownership shall belong to the person
- a. Who in good faith first paid the purchase price in full
 - b. Who in good faith first recorded the sale in the Registry of Property
 - c. Who in good faith presents the oldest title
 - d. Who in good faith first took possession of the property
37. If an immovable property is sold to different vendees, the ownership shall be transferred to the person
- a. Who has first taken possession in good faith
 - b. Who presents the oldest title in good faith
 - c. Who in good faith first recorded it in the Registry of Property
 - d. Who has paid in good faith the purchase price in full
38. Statement I: In case of double sale of real property, the possessor in good faith shall be preferred to the registrant in bad faith
Statement II: In all cases of double sale, priority is given to the buyer in good faith, that is, whether registrant, possessor or with the oldest title
- a. First statement is false, second is true
 - b. First is true, second is false
 - c. Both are false
 - d. Both are true
39. It is an affirmation of fact or any promise by the seller relating to the thing which has a natural tendency to induce the buyer to purchase the same, relying on such promise or affirmation
- a. Condition
 - b. False representation
 - c. Warranty
 - d. Seller's talk
40. This refers to the implied warranty on the part of the seller that he has the right to sell the thing at the time when ownership is to pass, and that the buyer from that time shall have and enjoy legal and peaceful possession of the thing
- a. Warranty against hidden defects
 - b. Warranty against eviction
 - c. Warranty of ownership
 - d. Warranty of possession
41. Voluntary renunciation made by the buyer of his right to warranty against eviction where in case the buyer is evicted, the seller is liable to the value of the thing at the time of eviction
- a. Waiver intencionada
 - b. Waiver consciente
 - c. Waiver cursunada
 - d. Waiver inocente



42. Statement I: In waiver there is no warranty against eviction, but the seller is still liable to pay the value of the thing at the time of eviction if eviction takes place
Statement II: In case of total eviction, the vendee cannot rescind the sale with damages
- Both statements are correct
 - Both are incorrect
 - First is correct, second is incorrect
 - First is incorrect, second is correct
- Noted: Answer should be letter A.
43. Statement 1: Warranty against eviction, as well as against hidden defect, may be waived by the vendee provided the vendor is in good faith
Statement 2: Waiver intencionada on the part of the vendee will absolutely exempt the vendor from liability
- Both statements are false
 - Both are true
 - First is false, second is true
 - First is true, second is false
44. Three of the following are remedies of the buyer in case of the breach of warranty by the seller. Which is not included?
- Accept or keep the goods and set up the breach of warranty by way of recoupment or extinction of the price
 - Rescind the contract of sale and refuse to accept the thing, or if already delivered, refuse to return the same
 - Accept or keep the goods and claim damages for the breach of warranty
 - Refuse to accept the goods and claim damages for the breach of warranty
45. What is the prescriptive period for filing an action for breach of warranty of thing sold with hidden defect?
- 6 months from the date of delivery of the thing sold
 - 40 days from the date of delivery of the thing sold
 - 1 year from the date of delivery of the thing sold
 - 3 days from the date of delivery of the thing sold
46. Action by the vendee against the vendor to nullify the sale due to some vices or defects which render the object of sale unfit for the use intended or knowledge of which, the vendee would not have bought the thing
- Accion quanti minoris
 - Accion reivindicatoria
 - Accion pauliana
 - Redhibitory action
47. Three of the following are the requisites in order that the buyer may enforce the seller's liability for hidden defects. Which one is not?
- The defects of the thing sold must not be patent or visible
 - The defects render the thing unfit for the use for which it is intended, or which diminish its fitness for such use to such an extent that had the buyer been aware thereof, he would not have bought it
 - The defects must be existing at the time of sale
 - The defects must be capable of determination by an expert
48. The redhibitory action based on the faults or defects of animals must be brought within
- 30 days from delivery to the vendee
 - 40 days from delivery to the vendee
 - 45 days from delivery to the vendee
 - 6 months from delivery to the vendee
49. The vendor shall be liable for the death of the animal sold when the following requisites are present, except
- The disease existed at the time of sale
 - The disease is the cause of the death of the animal
 - The disease must be redhibitory
 - The animal dies within 3 days from the time of purchase
50. Action to seek a corresponding reduction in price by reason of some vices or defects in the thing purchased
- Accion quanti minoris
 - Accion reivindicatoria
 - Accion pauliana
 - Redhibitory action
51. In three of the following cases, the buyer is not entitled to suspend the payment of the price. Which one will give him the right to suspend payment?
- Disturbance in the possession or ownership of the thing purchased
 - The seller gives him security for the return of the price
 - It has been stipulated that the buyer shall pay the price notwithstanding any disturbance
 - The disturbance is a mere act of trespass
52. A contract of sale with a right to repurchase and other contracts including a contract purporting to be an absolute sale shall be presumed to be an equitable mortgage in the following cases, except
- When the price of sale with right to repurchase is unusually inadequate



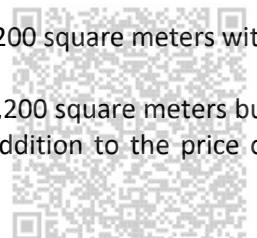
- b. When the vendor remains in possession of the thing sold
 - c. When the period to repurchase the property is extended
 - d. When the vendee binds himself to pay the taxes due
53. A contract of sale whereby the seller acquires the right to redeem or repurchase the object of the sale from the buyer within a certain period agreed upon
- a. Equitable mortgage
 - b. Absolute sale
 - c. On sale or return
 - d. Pacto de retro sale
54. It refers to the right which the vendor reserves to himself to repurchase the thing sold, with the obligation to reimburse the vendee of the price, the expenses of the contract, any other legitimate payments made therefore and the necessary and useful expenses made on the thing sold
- a. Conventional redemption
 - b. Legal redemption
 - c. Equity of redemption
 - d. Right of pre-emption
55. S sold a specific land to B under a pacto de retro sale agreement without any stipulation as to the period for the exercise of the right of redemption. What is the period available to S to exercise the right of redemption?
- a. 4 years
 - b. 5 years
 - c. 6 years
 - d. 10 years
56. A kind of mortgage which, although lacking some formality, form of words, or requisites prescribed by law, shows the intention of the parties to charge real property as security for debt and contains nothing impossible or contrary to law is known as
- a. Legal mortgage
 - b. Equitable mortgage
 - c. Conventional mortgage
 - d. Voluntary mortgage
57. It refers to the repurchase made by a co-owner, adjoining rural lot owner or adjoining urban lot owner of a land sold by a co-owner, adjoining rural lot owner or adjoining urban lot owner as expressly authorized by law
- a. Legal redemption
 - b. Legal pre-emption
 - c. Conventional redemption
 - d. Voluntary redemption
58. An owner of a rural land has the right of legal redemption of an adjoining rural land sold if the following requisites are present, except when
- a. The adjoining rural land is not separated by any apparent servitudes for the benefit of other estates
 - b. The land sold does not exceed one hectare
 - c. The grantee owns another rural land
 - d. The grantee owns an urban land
59. This refers to the right of an adjoining owner of an urban land to be given preference to the purchase of a small piece of urban land which is held for speculation before it is offered for sale to others
- a. Right of subrogation
 - b. Right of redemption
 - c. Right of pre-emption
 - d. Right of repurchase

SITUATIONAL

1. X entered into a contract for a particular wedding cake with Y. It is Y's business to produce a cake to the general public on the basis of the special request of the customer. What contract is entered into by X and Y?
 - a. Contract of sale
 - b. Contract for a piece of work
 - c. Contract of barter
 - d. Contract of agency to sell
2. A and B entered into a contract whereby A agreed to deliver a specific cellphone worth P20,000 to B while B will deliver a specific laptop worth P10,000 and cash amounting to P10,000 to A. What is the name of the contract entered into by A and B?
 - a. Contract of barter
 - b. Contract of sale
 - c. Contract for a piece of work
 - d. Contract of lease
3. S promised to sell his car to B for P1,000,000 giving B one month to decide whether to buy or not. B accepts the promise and gives a consideration of P10,000 for the month period. Which of the following statements is correct?
 - a. If B decides to buy the car, he must pay P1,000,000 to S because the P10,000 he has previously given is an option money
 - b. Contract of sale is perfected upon the payment by B of the P10,000 money
 - c. S may sell the car to others within the one month period without incurring any breach of contract because there is no contract to speak of
 - d. The P10,000 previously given by B is an arras money



4. On January 1, S and B orally agreed for the sale of S's specific watch at a price of P450. They agreed that delivery of the watch will happen on January 5 while payment of the price will happen on January 7. They executed the official sales receipt on January 8, when is the contract of sale perfected?
 - a. On January 1 when the parties had a meeting of minds on the object and price
 - b. On January 5 when the watch was actually delivered because delivery is the act that transfers ownership
 - c. On January 7 when the price was paid because payment of the price is the act that transfers ownership
 - d. On January 8 when the official sales receipt was executed because the contract of sale is a formal contract
5. S delivered his car to B by way of sale with the understanding that on the day following such delivery, S will name and fix the price. The said day came and S called B and stated and fixed the price at Php 1M. Is the sale perfected?
 - a. Yes, because the price was named and fixed on the agreed date
 - b. No. The price was left to the discretion of the seller only
 - c. Yes, since there was already delivery of the thing sold
 - d. No. The price fixed by the seller was not accepted by the buyer
6. On January 1, 2020, A sold the February monthly harvest of his specific farm lot to B. Due to unexpected storm, the harvest for the month of February did not materialize. What is the effect to the contract of sale?
 - a. The contract of sale becomes voidable
 - b. B is still bound to pay the price
 - c. The contract of sale remains to be valid and binding
 - d. The contract of sale shall be without any effect or shall become null and void for absence of subject matter
7. On January 1, 2020, A sold his specific cow to B at a certain price of P10,000 to be delivered on February 28, 2020. On January 30, 2020, the specific cow was forcibly taken by rebels from A. Which of the following is correct?
 - a. A shall suffer the loss because the seller remains to be the owner of the cow before delivery. Therefore, B shall not be required to pay the price
 - b. B shall still pay the price because the fruits inures to his benefit before the delivery
 - c. The contract of sale remains to be valid
 - d. The obligation is not extinguished because robbery is not a fortuitous event
8. B wants to buy the car of S for P100,000 and to show that he is in earnest, he pays S P2,000 which S accepts. There was no written instrument signed by S and B to incorporate their agreement. Based on the foregoing, which of the following statements does not pertain to the contract?
 - a. B, thereafter, needs to pay P98,000
 - b. The giving of earnest money binds S and B to a contract of sale
 - c. B, thereafter, must still pay P100,000 because the earnest money he paid is not part of the purchase price
 - d. The contract between S and B is enforceable although there was no written agreement between S and B
9. X sells to Y at P50 per gallon 300 gallons of gasoline stored in his truck's tank which, unknown to the parties, contains 500 gallons gasoline. What is the status of the contract of sale between X and Y?
 - a. The sale is void because the quantity available is less than the quantity sold
 - b. The sale is valid up to 500 gallons of gasoline. Y must pay for the additional 200 gallons of gasoline
 - c. The sale is valid up to 300 gallons of gasoline. Y becomes the owner of 3/5 of the whole stock, while X becomes the owner of 2/5 thereof
 - d. The sale is rescissible because X will suffer lesion of more than $\frac{1}{4}$ of the value of the whole stock
10. S and B executed a deed of absolute sale involving a parcel of land supposedly containing 2,000 square meters. B paid a lump sum of P2,200,000 for the purchase. Based on the foregoing facts, which of the following statements is correct?
 - a. If the parcel of land is actually 2,200 square meters in area, S has to deliver only 2,000 square meters thereof and B must pay P2,200,000 as agreed upon
 - b. If the parcel of land is actually 1,800 square meters in area, S must deliver only 1,800 square meters and B has to pay only the price equivalent to 1,800 square meters
 - c. If the parcel of land actually contains 2,200 square meters, S must deliver all of 2,200 square meters with B still paying the amount of P2,200,000
 - d. If the parcel of land actually contains 2,200 square meters, S must deliver all of 2,200 square meters but B must pay a proportionate amount for the additional 200 square meters in addition to the price of P2,200,000



11. On March 1, 2020, S sold and delivered to B a television set for P10,000 “on sale or return”, giving B up to March 16, 2020 within which to return the television set. On March 10, 2020, the television set was burned without the fault of B. Based on the foregoing, which of the following statements is incorrect?
 - a. B must pay the price of the television set
 - b. S must bear the loss since the time for the return of the television set had not yet expired
 - c. The ownership of the television set was transferred to B upon delivery to him
 - d. B must bear the loss of the television set

12. A and B entered into a “contract to sell” in private writing involving a specific parcel of land for P2M. B paid 50% of the purchase price, the balance payable in 3 years. A delivered the land to B. What is the effect of the delivery of the land to B?
 - a. B is the owner because there was delivery already
 - b. B’s ownership before it is converted into real ownership must compel A to execute a deed of sale in a public instrument
 - c. The partial payment made B the owner of the land
 - d. A is still the owner because the price is not yet totally paid

13. S sold a specific lot with an area of 100 sq. meters to B at a selling price of P2,000 per sq. m. Upon delivery, the actual area of the lot is only 90 sq. meters. What legal remedy is available to B?
 - a. Accept the 90 sq. meters lot and pay P180,000 only
 - b. Ask for cancellation of the contract of sale
 - c. Either A or B
 - d. Neither A nor B

14. X bought a residential house and lot from ABC Realty for P250,000 giving a down payment of P10,000 and promising to pay the balance of P240,000 in 20 years in monthly installments of P1,000. After paying 72 installments, X defaulted in the payment of the 73rd installment and subsequent ones. Despite the grace period he had learned, he was not able to make any further payments. Accordingly, ABC Realty cancelled the sale. How much cash surrender value is X entitled to receive?
 - a. P45,100
 - b. P39,600
 - c. P36,000
 - d. P41,000

15. S stole a ring belonging to O. Subsequently, the ring was offered for sale at a public auction where X, who was not aware that the ring was stolen, bought it. A few weeks later, O saw the ring and recognized it as his. Based on the foregoing information, which of the following statements is correct?
 - a. O may recover the ring from X without reimbursing X since O was unlawfully deprived of the ring
 - b. O may recover the ring from X but he has to reimburse X since X acquired title to the ring
 - c. O may no longer recover the ring even if he is willing to reimburse X
 - d. X did not acquire title to the ring since the auctioneer had no valid title thereto

16. X sold a registered place of land to Y on May 1, 2020 in a public instrument. On May 3, 2020, X sold in a private instrument the same piece of land to Z, who took physical possession of the land. Neither buyer was aware of the sale made to the other
 - a. The land belongs to Y
 - b. The land belongs to Z
 - c. The land still belongs to X, because both sales are void
 - d. The land should be divided equally between Y and Z to give effect to both sales

17. S sold a parcel of land separately to the following persons: on July 1, 2020 in a public document to X; on July 5, 2020 in a private document to Y, who took physical possession of the land; and on July 9, 2020, to Z, who registered the sale with the Register of Deeds. Neither X, Y nor Z was aware of the sale made to the other two buyers. Who is the owner of the parcel of land?
 - a. X, because he was the first purchaser
 - b. Y, because he took physical possession
 - c. Z, because he registered the sale
 - d. S, because the multiple sales he made rendered each sale a void contract

18. S sold to A in a memorandum of agreement of sale his parcel of land. After a week S sold the same land to B in a formal deed of sale. Upon buying the land, B who was aware of the sale to A, immediately took possession thereof and registered the sale in his favor. When informed of the second sale, A subsequently registered an adverse claim with the Registry of Deeds. The parcel of land shall belong to
 - a. A, because he has the older title
 - b. B, because the sale to him was in a formal deed of sale
 - c. B, because he first registered the sale in his favor
 - d. B, because he was the first possessor of the land



19. S sold his land to B. S became B's tenant on the land. Subsequently, S sold the same land to C. Neither sale was registered. Who shall be the owner?
 - a. S remains to be the owner because neither of the contracts of sale were registered
 - b. C is the owner because the possession of the land was not transferred to B as buyer thereof
 - c. B is the owner since he bought the land from S as owner thereof and has possession of the same
 - d. S retains the ownership of the land because he still has possession

20. P orally appointed A as his agent to sell the former's land. On January 3, 2020, A sold the land to B who forthwith took possession thereof. It turned out however, that on January 1, 2020, P, without informing A, had already sold the same land to C, who up to now has not taken possession of the same land. Neither of the sales were registered. Whose contract shall prevail?
 - a. The sale to B since he was first in possession in good faith
 - b. The sale to C since the land has first sold to him by the owner
 - c. The sale to B since the agent was duly authorized to sell the land
 - d. The sale to C since the sale to B was void, A was not duly authorized by P

21. B rented the specific truck of S. After the end of the contract, S sold the property to B. As a result of sale, B continues to have possession of the property. What type of constructive delivery is present in this contract of sale?
 - a. Traditio clavium
 - b. Traditio longa manu
 - c. Traditio brevi manu
 - d. Traditio constitutum possessorium

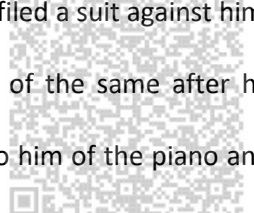
22. A owns 50 mango trees bearing fruits, ready for harvest. A sold all the fruits of all the trees to B who paid P100,000. A told B he can harvest the fruits anytime B likes while pointing at the mango trees. For legal purposes, A has fulfilled his obligation to deliver the mango fruits to B by
 - a. Traditio brevi-manu
 - b. Traditio symbolica
 - c. Traditio longa-manu
 - d. Traditio constitutum possessorium

23. On September 12, 2020, S sold under contract to sell a specific car to B without delivery. On September 15, 2020, S sold again the said car to D under contract of sale with delivery but without payment of price. On September 17, 2020, B fully paid the price to S. Which is correct?
 - a. B has better right over the car than D because he has earlier title
 - b. B has better right over the car because he is the first payer of the car
 - c. The rule on double sale will not apply because there is no double sale
 - d. There is double sale upon payment of the price by B

24. A bought a car from B who is an insane man, later A sold the same car to C who was in good faith having no knowledge of the voidable character of the sale. In this case, after delivery
 - a. C could not acquire title to the thing because his seller A had no ownership to transfer to him because B was insane person who was not able to give consent to the sale which is void
 - b. C cannot acquire title to the thing despite his good faith because the sale by B to A could be annulled since it is a voidable sale
 - c. C acquires good title to the thing as an innocent purchaser for value. His seller's title only voidable which has not been avoided at the time of sale
 - d. C acquires title to the thing but the same may be rescinded after the annulment of the sale between A and B

25. D obtained a loan from C amounting to P50,000, the same being secured by a mortgage on D's lot. Thereafter, C assigned his credit right to T with notice to D. Based on the foregoing facts, which of the following statements is incorrect?
 - a. T cannot collect from D if D does not give his consent to the assignment
 - b. T can collect from D. D's consent to the assignment is not required
 - c. T can collect from D and if D cannot pay, T can foreclose the mortgage on the lot
 - d. The notice to D of the assignment is sufficient. D must make his payment to T and no longer to C

26. A sold his piano to B, who immediately paid the price. Because the piano was at the repair shop at the time of the sale, no delivery was made. While at the said place, C, a creditor of A, who has filed a suit against him, attached the piano. May B oppose the attachment?
 - a. B may oppose the attachment on the ground that he was already the owner of the same after he immediately paid the price
 - b. B may oppose the attachment because there was already constructive delivery to him of the piano and therefore he is owner of the same



- c. B may not oppose the attachment because although he is not yet the owner of the piano, he has already paid the price and has preference over the thing than C
 - d. B may not oppose the attachment because he is not yet the owner despite payment of the price as there is no delivery yet
27. A, B, and C are co-owners of an undivided parcel of land. On May 1, A sold his share to X. On June 1, B also sold his shares to X. On July 1, C also sold his share to X. Each sale was with a right to repurchase
- a. X may compel A, B and C to come to an agreement to repurchase the whole land
 - b. Each co-owner may exercise his right of redemption on the whole property including the share of the other two co-owners
 - c. Each co-owner may exercise his right of redemption only with respect to his share
 - d. Any two of the three co-owners may redeem the property proportionately
28. S sold his lot to B, reserving his right to repurchase the same within 5 years form the date of the execution of their agreement. The sale, together with the right to repurchase, was registered with the Register of Deeds. Two years after the execution of the sale, B sold the same lot to X who was not aware that S reserved his right to repurchase the lot
- a. S may repurchase the lot from X within the five-year period although X was not aware of the reservation of the right to repurchase
 - b. S may not repurchase the lot because X was not aware of the reservation of the right
 - c. S may repurchase the lot from X if X was aware of such reservation
 - d. The sale by B to X is void because the acquisition of the lot by B from S is subject to a contingency
29. X owns a piece of land and sells it to Y with a right of repurchase within 4 years from the date of sale. If Y sells the property to Z, which of the following is not correct?
- a. The sale is valid because things subject to a resolutory condition may be the object of a contract of sale
 - b. X can still exercise his right of redemption against Z
 - c. The sale is void because it is a conditional sale
 - d. Z acquires the property but subject to the right of conventional redemption
30. A owns a piece of land and sells it to B with a right of repurchase within one year from the date of sale. Can B sell the land he purchased from A, to C, a third party?
- a. Yes, provided the sale is with the consent of A
 - b. No, B is not yet the absolute owner of the land
 - c. Yes, but A can still redeem the land from C
 - d. No, third parties that acquire real property are bound by prior contracts affecting such property even if the third person is not a party thereto
31. A and B are co-owners of a rural lot not exceeding 1 hectare. The lot is surrounded on its four sides as follows: on the North, by the road; on the East, by the lot of X consisting of 2 hectares; on the South, by the lot of Y consisting of 2 ½ hectares; and on the West, by Z's lot consisting of 2 ½ hectares. A sells his undivided interest in the agricultural lot to T, who owns several hectares of rural land in the area. Who has the right of legal redemption over the undivided interest in the lot sold by A to T?
- | | |
|------|------|
| a. B | c. Y |
| b. X | d. Z |
32. A and B are co-owners of a one hectare rural land. A sold his ½ share to Y. C, an adjoining land owner is interested in buying the share which A sold to Y. Which of the following is correct?
- a. B can redeem what A sold to Y if Y already owns a rural land
 - b. B can redeem what A sold to Y even if Y does not own any rural land
 - c. As adjoining land-owner, C has a superior right to redeem what A sold to Y
 - d. C can redeem what A sold to Y whether or not Y already owns a rural land
33. A, B and C are co-owners of a 1,000 sq. meters specific farm lot in the ratio of 1:4:5. The said farm lot is bounded by D's 200 sq. meters farm lot in the south and E's farm 300 sq. meters lot in the north. E's possible use of C's share in the farm lot appears to be best justified. C sold his share in the farm lot to F, a landlord. Who has the preferred right of redemption?
- | | |
|-----------------------------------|---|
| a. E for the whole 500 sq. meters | c. A and B for 100 sq. meters and 400 sq. meters respectively |
| b. D for the whole 500 sq. meters | d. D and E for 200 sq. meters and 300 sq. meters respectively |



CREDIT TRANSACTIONS

Requisites of contract of Pledge and Mortgage

- That they be constituted to secure the fulfillment of a principal obligation.
- That the pledgor or mortgagor be the absolute owner of the thing pledged or mortgaged.
- That the persons constituting the pledge or mortgage have the free disposal of their property, and in the absence thereof, that they be legally authorized for the purpose.

Third persons who are not parties to the principal obligation may secure the latter by pledging or mortgaging their own property.

Accessory contract: a pledge or mortgage, being an accessory contract, cannot exist without a valid obligation or a principal contract. Nevertheless, similar to a guaranty, a pledge or a mortgage may be constituted to guarantee the performance of a voidable or an unenforceable contract. It may also guarantee a natural obligation.

- It is also of the essence of these contracts that when the principal obligation becomes due, the things in which the pledge or mortgage consists may be alienated for the payment to the creditor.
- The contract of pledge or mortgage may secure all kinds of obligations, be they pure or subject to a suspensive or resolutive condition.

Automatic appropriation prohibited: the creditor cannot appropriate the things given by way of pledge or mortgage, or dispose of them. Any stipulation to the contrary is null and void.

- The stipulation is otherwise known as **Pactum Commissorium**.

Indivisibility of contract: A pledge or mortgage is indivisible, even though the debt may be divided among the successors in interest of the debtor or of the creditor.

- Therefore, the debtor's heir who has paid a part of the debt cannot ask for the proportionate extinguishment of the pledge or mortgage as long as the debt is not completely satisfied.
- Neither can the creditor's heir who received his share of the debt return the pledge or cancel the mortgage, to the prejudice of the other heirs who have not been paid.
- The indivisibility of a pledge or mortgage is not affected by the fact that the debtors are not solidarily liable.

Rule of Indivisibility not applicable: If there being several things given in mortgage or pledge, each one of them guarantees only a determinate portion of the credit.

- The debtor, in this case, shall have a right to the extinguishment of the pledge or mortgage as the portion of the debt for which each thing is specially answerable is satisfied.

PLEDGE

Pledge is a contract by virtue of which the debtor delivers to the creditor or to a third person movable (Art. 2094) or document evidencing incorporeal rights (Art. 2095) for the purpose of securing the fulfillment of a principal obligation with the understanding that when the obligation is fulfilled, the thing delivered shall be returned with all its fruits and

accessions.

Delivery: in addition to the above-mentioned essential requisites of contracts of pledge or mortgage, it is necessary, in order to constitute the contract of pledge, that the thing pledged be placed in the possession of the creditor, or of a third person by common agreement.

Kinds of Pledge

- ✓ Voluntary or conventional – created by agreement of the parties; or
- ✓ Legal – created by operation of law.

Characteristics

- ✓ Real – perfected by the delivery of the thing pledged.
- ✓ Accessory – no independent existence of its own.
- ✓ Unilateral – creates an obligation solely on the part of the creditor to return the thing.
- ✓ Subsidiary – obligation incurred does not arise until the fulfilment of the principal obligation which is secured.

Cause or consideration

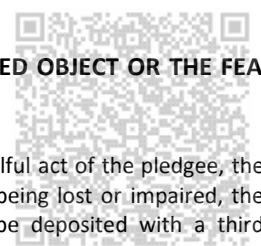
- ✓ Pledgor/debtor – the principal obligation.
- ✓ Pledgor not the debtor – compensation stipulated or mere liberality.

OBJECT

- ✓ Movable property.
- ✓ Within the commerce of man and capable of possession.
- ✓ Incorporeal rights, evidenced by negotiable instruments, bills of lading, shares of stock, bonds, warehouse receipts and similar documents may also be pledged. The instrument proving the right pledged shall be delivered to the creditor, and if negotiable, must be indorsed.
- ✓ If the pledge earns or produces fruits, income, dividends, or interests, the creditor shall compensate what he receives with those which are owing him; but if none are owing him, or insofar as the amount may exceed that which is due, he shall apply it to the principal.
- ✓ Unless there is a stipulation to the contrary, the pledge shall extend to the interest and earnings of the right pledged.
- ✓ In case of a pledge of animals, their offspring shall pertain to the pledgor or owner of animals pledged, but shall be subject to the pledge, if there is no stipulation to the contrary.
- ✓ Unless the thing pledged is expropriated, the debtor continues to be the owner thereof.
- ✓ Nevertheless, the creditor may bring the actions which pertain to the owner of the thing pledged in order to recover it from, or defend it against a third person.

LOSS, DETERIORATION OF PLEDGED OBJECT OR THE FEAR THEREOF

- ✓ If through the negligence or willful act of the pledgee, the thing pledged is in danger of being lost or impaired, the pledgor may require that it be deposited with a third person.



- ✓ If there are reasonable grounds to fear the destruction or impairment of the thing pledged, without the fault of the pledgee, the pledgor may demand the return of the thing, upon offering another thing in pledge, provided the latter is of the same kind as the former and not of inferior quality, and without prejudice to the right of the pledgee under the provisions of the following article.
- ✓ The pledgee is bound to advise the pledgor, without delay, of any danger to the thing pledged.
- ✓ If, without the fault of the pledgee, there is danger of destruction, impairment, or diminution in value of the thing pledged, he may cause the same to be sold at a public sale. The proceeds of the auction shall be a security for the principal obligation in the same manner as the thing originally pledged.
- **Form:** there is no form required to constitute a contract of pledge, but in order to affect third persons, there must be a public instrument containing both the description of the thing pledged and the date of the pledge.
- **Alienation of the thing pledged:** is allowed with the consent of the pledgee. The ownership of the thing pledged is transmitted to the vendee or transferee as soon the pledgee consents to the alienation, but the latter shall continue in possession.

CREDITOR-PLEDGE

- ✓ The creditor shall take care of the thing pledged with the diligence of a good father of a family; he has a right to the reimbursement of the expenses made for its preservation, and is liable for its loss or deterioration, in conformity with the Civil Code.
- ✓ The pledgee cannot deposit the thing pledged with a third person, unless there is a stipulation authorizing him to do so.
- ✓ The pledgee is responsible for the acts of his agents or employees with respect to the thing pledged.
- ✓ The creditor cannot use the thing pledged, without the authority of the owner, and if he should do so, or should misuse the thing in any other way, the owner may ask that it be judicially or extrajudicially deposited. When the preservation of the thing pledged requires its use, it must be used by the creditor but only for that purpose.
- ✓ If the creditor is deceived on the substance or quality of the thing pledged, he may either claim another thing in its stead, or demand immediate payment of the principal obligation.

PLEDGOR

- ✓ The pledgor who, knowing the flaws of the thing pledged, does not advise the pledgee of the same, shall be liable to the latter for the damages which he may suffer by reason thereof.
- ✓ The debtor cannot ask for the return of the thing pledged against the will of the creditor, unless and until he has paid the debt and its interest, with expenses in a proper case.
- **Thing Pledged is Returned:** If the thing pledged is returned by the pledgee to the pledgor or owner, the pledge is extinguished. Any stipulation to the contrary shall be void.
- If subsequent to the perfection of the pledge, the thing is in the possession of the pledgor or owner, there is a prima facie presumption that the same has been returned by the pledgee. This same presumption exists

if the thing pledged is in the possession of a third person who has received it from the pledgor or owner after the constitution of the pledge.

- **Renunciation or Abandonment of Pledge:** A statement in writing by the pledgee that he renounces or abandons the pledge is sufficient to extinguish the pledge. For this purpose, neither the acceptance by the pledgor or owner, nor the return of the thing pledged is necessary, the pledgee becoming a depositary.

FORECLOSURE SALE

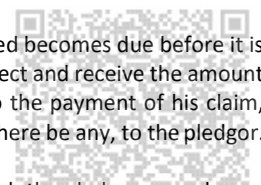
- ✓ The creditor to whom the credit has not been satisfied in due time, may proceed before a Notary Public to the sale of the thing pledged.
- ✓ This sale shall be made at a public auction, and
- ✓ With notification to the debtor and the owner of the thing pledged in a proper case, stating the amount for which the public sale is to be held.
- **Creditor's right of appropriation:** If at the first auction the thing is not sold, a second one with the same formalities shall be held; and if at the second auction there is no sale either, the creditor may appropriate the thing pledged. In this case, he shall be obliged to give an acquittance for his entire claim.
- **Right to bid:** At the public auction, the pledgor or owner may bid. He shall, moreover, have a better right if he should offer the same terms as the highest bidder. The pledgee may also bid, but his offer shall not be valid if he is the only bidder.
- All bids at the public auction shall offer to pay the purchase price at once. If any other bid is accepted, the pledgee is deemed to have been received the purchase price, as far as the pledgor or owner is concerned.

SALE OF THE THING AND PROCEEDS THEREOF

- ✓ The sale of the thing pledged shall extinguish the principal obligation, whether or not the proceeds of the sale are equal to the amount of the principal obligation, interest and expenses in a proper case.
- ✓ If the price of the sale is more than said amount, the debtor shall not be entitled to the excess, unless it is otherwise agreed.
- ✓ If the price of the sale is less, neither shall the creditor be entitled to recover the deficiency, notwithstanding any stipulation to the contrary.

OTHER RULES

- ✓ After the public auction, the pledgee shall promptly advise the pledgor or owner of the result thereof.
- ✓ Any third person who has any right in or to the thing pledged may satisfy the principal obligation as soon as the latter becomes due and demandable.
- ✓ If a credit which has been pledged becomes due before it is redeemed, the pledgee may collect and receive the amount due. He shall apply the same to the payment of his claim, and deliver the surplus, should there be any, to the pledgor.
- ✓ If two or more things are pledged, the pledgee may choose which he will cause to be sold, unless there is a stipulation to the contrary. He may demand the sale of only as many of the things as are necessary for the payment of the debt.



- ✓ If a third party secures an obligation by pledging his own movable property, he shall have the same rights as a guarantor to be:
 - Indemnified for the total amount of the debt, including interest, expenses or damages, if they are due.
 - Subrogated to all the rights the creditor had against the debtor.
 - He is not prejudiced by any waiver of defense by the principal obligor.
- ✓ Pledges created by operation of law, such as those referred to in Articles 546, 1731, and 1994, are governed by the foregoing articles on the possession, care and sale of the thing as well as on the termination of the pledge. However, after payment of the debt and expenses, the remainder of the price of the sale shall be delivered to the obligor.
- ✓ A thing under a pledge by operation of law may be sold only after demand of the amount for which the thing is retained. The public auction shall take place within one month after such demand. If, without just grounds, the creditor does not cause the public sale to be held within such period, the debtor may require the return of the thing.
- ✓ With regard to pawnshops and other establishments, which are engaged in making loans secured by pledges, the special laws and regulations concerning them shall be observed.

REAL ESTATE MORTGAGE

- o **Object:** Only the following property may be the object of a contract of mortgage:
 - ✓ **Immovables**
 - ✓ **Alienable real rights** in accordance with the laws, imposed upon immovables
- o Nevertheless, movables may be the object of a chattel mortgage.
- o **Form:** there is no form required to constitute a contract of real estate mortgage, but in order to affect third persons, there must be a public instrument containing the description thereof and the same should be recorded in the Registry of Property.
- o The creditor-mortgagee has no other right than to demand the execution and the recording of the document in which the mortgage is formalized.
- o **Extent:** The mortgage extends to the natural accessions, to the improvements, growing fruits, and the rents or income not yet received when the obligation becomes due, and to the amount of the indemnity granted or owing to the proprietor from the insurers of the property mortgaged, or in virtue of expropriation for public use, with the declarations, amplifications and limitations established by law, whether the estate remains in the possession of the mortgagor, or it passes into the hands of a third person.
- o **Mortgage credit is transferable:** The mortgage credit may be alienated or assigned to a third person, in whole or in part, with the formalities required by law.
- o **Pactum de non-aliendo:** the owner is allowed to alienate the immovable property mortgaged. A stipulation prohibiting/forbidding such right is called pactum de non-aliendo and is considered void.
- o **Third party transferee:** Buyers or transferees of the property mortgaged are not affected by an unregistered mortgage.

- However, if the mortgage is registered (Art. 1312) they are:
 - ✓ Bound by a foreclosure sale on the property.
 - ✓ Not bound to answer the deficiency.
 - ✓ Unless there is novation in the person of the debtor.

CHattel MORTGAGE

- o **Chattel mortgage: personal property** is recorded in the Chattel Mortgage Register as a security for the performance of an obligation. If the movable, instead of being recorded, is delivered to the creditor or a third person, the contract is a pledge and not a chattel mortgage.
 - o **Similarities** between the three:
 - **Requisites in common:**
 - ✓ It must be constituted to secure the fulfillment of a principal obligation.
 - ✓ The mortgagor must be the absolute owner of the thing mortgaged.
 - ✓ The mortgagor must have free disposal of the property.
 - **Indivisibility**
 - ✓ Several things to one debt: partial payment of the debt will not release any of the thing pledged/mortgaged.
 - ✓ Several things to one credit: the partial payment of the debt corresponding to an heir's share of the credit will not entitle him to release of any of the things pledged/mortgaged.
 - ✓ Several things to several debts: if each one thing guarantees only a determinate portion of the credit, there are as many pledges/mortgages as there are things given.
 - **Pactum Commissorium** – stipulation allowing the creditor, mortgage or pledgee to appropriate or dispose of the thing – **void**.
 - **Future things** – cannot be the subject of pledge/mortgage since the pledger/mortgagor is not the absolute owner nor do they have free disposal of the property.
 - **Third persons** – are allowed to pledge/mortgage the thing they own even if they are not parties to the principal obligation secured thereby.



DISTINCTIONS:

	Pledge	Real Estate Mortgage	Chattel Mortgage
Object	Personal property susceptible of possession including incorporeal rights.	Real property but extends to the natural accessions, improvements, growing fruits, and the rents or income not yet received when the obligation becomes due, and to the amount of indemnity from insurance or from expropriation. And may include after acquired properties as per stipulation.	Personal property subject thereof.
Perfection	Delivery. Public instrument required to bind third parties.	Consensual but covered by the statute of frauds. Public instrument that is registered in the Registry of deeds is required to bind third parties.	Consensual. Affidavit of Good Faith* registered in the Chattel Mortgage Registry in the Registry of Deeds required to bind third parties. For vessels – registration is with the MARINA. For motor vehicles - report to the LTO.
Possession	Transferred to the pledgee.	Retained by the mortgagor.	Retained by the mortgagor.
Principal obligation covered	That which is existing at the time of the pledge.	Generally, covers only that which is stated in the deed even if less than the amount of loan. Exception: if there is stipulation to cover future advancements.	Those indicated in the Affidavit of Good Faith unless there is stipulation as to increase in coverage which will be binding but the security itself arises only after amending the old contract.
Sale of the thing during the pendency of the contract	Valid as long as with consent of the creditor/pledgee who shall continue in possession even if the ownership is transferred to the buyer.	Valid – any stipulation to the contrary is void.	Mortgagor-owner cannot sell the property mortgaged otherwise he can be criminally liable under Art. 319 of the RPC: Removal of Mortgaged Property.
Sale of the thing to answer for the debt	Done by notary public – public auction – always extrajudicial – no intervention of the courts.	Extrajudicial (Act No. 3135) or judicial (Rule 68).	Extrajudicial (Act No. 1508).
Notice of sale to the mortgagor/pledgor	Required – stating the amount due.	Extrajudicial – not required, unless stipulated. Judicial Posting in 3 public places at least 20 days prior to sale and publication of the notice of sale in a newspaper of general circulation.	Required 10 days prior to sale. Posting in two or more public places 10 days before auction.
Creditor’s right to excess of selling price over unpaid obligation	The creditor is entitled to the excess unless there is stipulation to the contrary.	Creditor is not entitled to the excess.	Creditor is not entitled to the excess.
Creditor’s right to recover deficiency	The creditor is NOT entitled to recover any deficiency.	Creditor can recover deficiency except if the mortgagor is a third person (unless there is stipulation making him liable).	Creditor can recover deficiency unless the sale is covered by the Recto Law (i.e., sale of personal property on installment).
Redemption	No right of redemption.	Extrajudicial foreclosure: 1 year from date of foreclosure, Except: 1. Creditor is a bank 2. Debtor is a juridical person In which case the redemption period is until the registration of the foreclosure sale, not exceeding 3 months. Judicial foreclosure: Equity of redemption is until the confirmation of sale by the court.	No right of redemption after foreclosure sale. If the condition of the mortgage is broken, redemption may be made by: 1. The mortgagor; 2. Person holding subsequent mortgage; 3. A subsequent attaching creditor.

CREDIT TRANSACTIONS

THEORY

1. The following elements are common in both pledge and mortgage, except
 - a. The contract is constituted to secure the fulfillment of a principal obligation
 - b. The property on which the security is constituted must be delivered to the creditor
 - c. The debtor must be the absolute owner of the property pledger or mortgaged
 - d. The debtor must have free disposal of the property pledged or mortgaged
2. Which of the following statements is true?
 - a. Pledge and mortgage are accessory contracts because they cannot exist by themselves
 - b. In both pledge and mortgage, the creditor is entitled to deficiency judgment
 - c. Where an obligation is secured by a pledge or mortgage and it is not paid when due, the pledge or mortgagee may dispose of the thing pledged or mortgaged if there is an agreement to that effect between the parties
 - d. Unless otherwise agreed upon by the parties, the sale of the mortgage property extinguishes in full the obligation of the mortgagor to the mortgagee
3. To bind third persons, the following contracts must comply with certain formalities/requirements
 - I. A contract of pledge must be in a public instrument showing the date of the pledge and a description of the thing pledged and recorded with the Registry of Property
 - II. A contract of real estate mortgage must be recorded with the Register of Deeds
 - III. A contract of chattel mortgage must contain an affidavit of good faith and be recorded in the Chattel Mortgage Register
 - a. All statements are true
 - b. I and II are true
 - c. I and III are true
 - d. II and III are true
4. Which of the following is a similarity of chattel mortgage and pledge?
 - a. Deficiency is recoverable in case of sale of the thing pledged/mortgaged
 - b. The object of the contract is a movable property
 - c. The excess of the proceeds of sale over the amount of the obligation belongs to the pledger/mortgagor
 - d. An affidavit of good faith is required to bind third persons
5. If two or more things are pledged, who has the right to choose which thing will be sold in the absence of stipulation in the contract of pledge?
 - a. Pledgor
 - b. Pledgee
 - c. Debtor
 - d. Government
6. The requirement that the thing on which the security is constituted must be delivered by the debtor to the creditor or a third person by common agreement refers to the characteristic of a pledge being
 - a. An accessory contract
 - b. A real contract
 - c. An indivisible contract
 - d. A consensual contract
7. Statement I: The creditor can use the thing pledged even without the authority of the pledgor
Statement II: If through the negligence or willful act of the pledgee, the thing pledged is in danger of being lost or impaired, the pledgee may cause the same to be sold at a public auction
 - a. Both are true
 - b. Both are false
 - c. Only the first is true
 - d. Only the second is true
8. This is a stipulation in pledge or mortgage providing that the ownership of the thing given as security will pass to the pledgee or mortgagee upon default of the debtor
 - a. Constitutum possessorium
 - b. Pactum commissorium
 - c. Legal subrogation
 - d. Redemption
9. Statement I: If the thing pledged is returned by the pledgee to the pledgor or owner, the pledge is extinguished, except if there is a stipulation to the contrary
Statement II: If subsequent to the perfection of the pledge, the thing is in the possession of the pledgor or owner, there is a conclusive presumption that the same has been returned by the pledgee
 - a. Both are true
 - b. Both are false
 - c. Only the first is true
 - d. Only the second is true
10. Statement I: A statement in writing by the pledge that he renounces or abandons the pledge is sufficient to extinguish the pledge only if accepted by the pledgor or owner and the thing pledged is returned



Statement II: At the public auction, the pledgee may also bid, and his offer shall be valid even if he is the only bidder

- a. Both are true
- b. Both are false
- c. Only the first is true
- d. Only the second is true

11. A, minor, borrows money from B. The contract although voidable is secured by a pledge or mortgage of A's property.

Statement I: A can validly constitute a pledge or mortgage of his personal or real property

Statement II: The pledge or mortgage constituted by a minor is valid provided he is the absolute owner of the property pledged or mortgaged

- a. First statement is true, second statement is false
- b. First statement is false, second statement is true
- c. Both statements are true
- d. Both statements are false

Note: Answer should be letter C: Both statements are true.

Rationale: A contract executed by a minor is voidable. These are valid until they are annulled (Art. 1390, last par). This is true whether the contract is primary (loan) or accessory (security).

ARTICLE 1390. The following contracts are voidable or annulable, even though there may have been no damage to the contracting parties: (1) Those where one of the parties is incapable of giving consent to a contract; (2) Those where the consent is vitiated by mistake, violence, intimidation, undue influence or fraud. These contracts are binding, unless they are annulled by a proper action in court. They are susceptible of ratification. (n)

ARTICLE 2086. The provisions of article 2052 are applicable to a pledge or mortgage.

ARTICLE 2052. A guaranty cannot exist without a valid obligation. Nevertheless, a guaranty may be constituted to guarantee the performance of a voidable or an unenforceable contract. It may also guarantee a natural obligation.

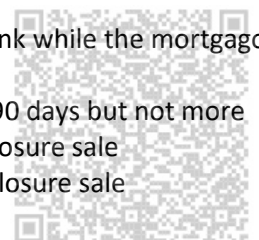
12. Which of the following stipulations in a contract of pledge is valid?
- a. A stipulation which provides that the contract of pledge is not extinguished by the return of the thing pledged
 - b. A stipulation allowing the appropriation by the pledgee of the thing pledged in case the same is not sold in the first and second auctions
 - c. A stipulation for the recovery of deficiency in case the proceeds from the sale of the thing pledged is less than the amount of the obligation
 - d. A stipulation authorizing the pledgee to become the automatic owner of the thing pledged in case of default by the debtor in the payment of the secured contract of loan
13. Which of the following statements regarding the sale of the thing pledged in public auction regarding contract of pledge is incorrect?
- a. The pledgee is generally entitled to the excess unless there is stipulation to the contrary
 - b. The pledgor may recover the excess if there is stipulation to that effect
 - c. The pledgee can never recover any deficiency even if there is stipulation for such recovery
 - d. The pledgor may become liable to any deficiency if there is stipulation to that effect
14. Who shall be entitled to the excess of the proceeds from the sale at public auction of the thing conventionally pledged after application to the secured loan?
- a. Always pledgee
 - b. Always pledgor
 - c. Generally pledgee unless granted to the pledgor
 - d. Generally pledgor unless granted to the pledgee
15. A third person who pledges his property to secure another person's debt is released from liability in the following cases, except
- a. When the creditor voluntarily accepts an immovable property in payment of debt
 - b. When the creditor voluntarily accepts a movable property in payment of the debt
 - c. If an extension of time is granted to the debtor by the creditor with the pledgor's consent
 - d. If through some acts of the creditor, the pledgee cannot be subrogated to the rights, mortgages and preferences of the creditor
16. This refers to the right of a person to retain a thing until he receives payment of his claim in the cases provided by law such as one who has executed work on a movable
- a. Conventional pledge
 - b. Voluntary pledge
 - c. Legal pledge
 - d. Chattel Mortgage
17. As a general rule, in case of excess of the proceeds of the foreclosure sale over the creditor's claim, the excess shall belong to the creditor in
- a. Chattel mortgage
 - b. Real mortgage
 - c. Conventional pledge
 - d. Antichresis



18. The debtor/pledgor has the following rights, except
 - a. To ask for the return of the thing pledged after he has paid the debt, its interests, and with expenses in a proper case
 - b. To continue to be the owner of the thing pledged unless it is expropriated
 - c. To require the deposit of the thing with a third person if it is in a danger of being impaired or lost through the negligence or willful act of the pledgee
 - d. To alienate the thing pledged without the consent of the pledgee
19. The creditor/pledgee has the following rights, except
 - a. To retain the thing in his possession until the debt is paid
 - b. To use the thing pledged without authority if such use is necessary for its preservation
 - c. To demand reimbursement of the expenses made for the preservation of the thing
 - d. To automatically appropriate the thing pledged upon the default of the debtor in the payment of his debt
20. Three of the following are essential requisites of a contract of mortgage. Which one is not?
 - a. The person instituting the mortgage has the free disposal of his property
 - b. The contract must be in writing
 - c. The mortgagor is the absolute owner of the thing mortgaged
 - d. The mortgage is constituted to secure the fulfillment of a principal obligation
21. One of the following may not be the object of a real mortgage
 - a. Land, buildings, roads and construction of all kinds adhered to the soil
 - b. Fertilizer actually used on a piece of land
 - c. Animal houses, pigeon houses or other breeding places intended by the owner to the permanently attached to the land, including the animals therein
 - d. Growing fruits that have been gathered from trees planted on land
22. The following is required in order that a real mortgage will bind third persons
 - a. The real mortgage must be accompanied by an affidavit of good faith and recorded with the Register of Deeds
 - b. The real mortgage must be in a public instrument showing a description of the thing mortgaged and the date of the real mortgage
 - c. It is sufficient that the real mortgage be in writing, public or private
 - d. The real mortgage must be recorded in the Registry of Property
23. Which of the following stipulation in a contract of real estate mortgage is valid?
 - a. A stipulation forbidding the mortgagor-owner from alienating the immovable mortgaged
 - b. A stipulation providing that the mortgagee shall become the automatic owner of the property mortgaged upon failure of the debtor to pay the principal obligation
 - c. Upset price which refers to price set by the parties as to the amount at which the property will be sold at public auction
 - d. A stipulation prohibiting a second mortgage with respect to property registered under the Torrens System
24. Which of the following statements regarding the sale of the thing mortgaged in public auction regarding contract of real estate mortgage is correct?
 - a. The mortgagor is generally entitled to the excess unless there is stipulation to the contrary
 - b. The mortgagee may generally recover the deficiency unless there is stipulation to the contrary
 - c. Both A and B
 - d. Neither A nor B
25. It is a type of foreclosure of real estate mortgage which is available to the mortgage only if the deed of real estate mortgage contains a special power of attorney (SPA) authorizing the public auction of the mortgaged real property despite the absence of prior civil action

a. Legal foreclosure	c. Extrajudicial foreclosure
b. Judicial foreclosure	d. Conventional foreclosure
26. What is the period for the exercise of right of redemption in case the mortgagee is a bank while the mortgagor is a juridical person?

a. Within three months from the foreclosure sale	c. Within a period not less than 90 days but not more than 120 days from the foreclosure sale
b. Within 1 year from the foreclosure sale	d. Within 30 days from the foreclosure sale
27. The following are the characteristics of a chattel mortgage, except



- a. The mortgagor must be the absolute owner of the property mortgaged
- b. It is an accessory contract
- c. It involves movable or immovable property
- d. The deed of chattel mortgage must be accompanied by an affidavit of good faith to be binding against third persons

28. What is the classification of contract of chattel mortgage as to its perfection?

- a. Solemn contract
- b. Consensual contract
- c. Real contract
- d. Legal contract

29. The following is required in order that a chattel mortgage will bind third persons

- a. The chattel mortgage must be accompanied by an affidavit of good faith and recorded in the Chattel Mortgage Register
- b. The chattel mortgage must be in a public instrument showing a description of the thing mortgaged and the date of the chattel mortgage
- c. It is sufficient that the chattel mortgage be in writing, public or private
- d. The thing mortgaged must be delivered to the creditor

Note: Answer should be letter A: The chattel mortgage must be accompanied by an affidavit of good faith and recorded in the Chattel Mortgage Register

Rationale: A chattel mortgage shall not be valid against any person except the mortgagor, his executors or administrators, unless ... the mortgage is recorded in the office of the register of deeds ... (Sec. 4 CML). Also, as a consequence a chattel mortgage of a vessel wherein the affidavit of good faith required by the Chattel Mortgage Law is lacking, is unenforceable against third persons. (Phil Refining v. Jarque et al, G.R. No. 41506. March 25, 1935)

30. A kind of mortgage which lacks the formalities required by law but nevertheless shows the intention of the parties to secure a debt with real property is known as

- a. Conventional mortgage
- b. Voluntary mortgage
- c. Equitable mortgage
- d. Legal mortgage

31. Recording in the Registry of Property in the appropriate book is required for the validity of the contract of

- a. Chattel mortgage
- b. Real mortgage
- c. Conventional pledge
- d. Antichresis

32. Where shall contract of chattel mortgage involving shares of stocks be registered?

- a. Chattel Mortgage Registry where the mortgagor resides
- b. Chattel Mortgage Registry where the principal office of the corporation is located
- c. Both A and B
- d. Neither A nor B

33. Which of the following statements regarding the sale of the thing mortgaged in public auction regarding contract of chattel mortgage is correct?

- a. The mortgagor is generally entitled to the excess unless there is stipulation to the contrary
- b. The mortgagee may generally recover the deficiency unless there is stipulation to the contrary
- c. Both A and B
- d. Neither A nor B

34. The right of a mortgagor in a judicial foreclosure to redeem the mortgaged property after his default in the performance of the conditions of the mortgage but before the sale of the mortgaged property or confirmation of the sale by the court is known as

- a. Accion pauliana
- b. Equity of redemption
- c. Pacto de retro
- d. Right or redemption

35. It refers to the right of the mortgagor to repurchase the property within a certain period after it was sold in public auction for the payment of the mortgage debt

- a. Equity of redemption
- b. Right of redemption
- c. Conventional redemption
- d. Right of pre-emption

36. In real estate mortgage, the following rules are valid, except one

- a. A stipulation in the mortgage contract prohibiting the owner from alienating the property is valid
- b. The mortgage may alienate the mortgage credit or assign to a third person in whole or in part
- c. Any stipulation allowing the mortgage creditor to appropriate the property mortgaged is null and void
- d. If alienation of the mortgage credit is not registered, it is still valid between the parties



Note: Answer should be letter A:

Rationale: Choices A is invalid because: ARTICLE 2130. A stipulation forbidding the owner from alienating the immovable mortgaged shall be void. Choices B, C and D are valid because: ARTICLE 2128. The mortgage credit may be alienated or assigned to a third person, in whole or in part, with the formalities required by law. ARTICLE 2088. The creditor cannot appropriate the things given by way of pledge or mortgage, or dispose of them. Any stipulation to the contrary is null and void. ARTICLE 1625. An assignment of a credit, right or action shall produce no effect as against third persons, unless it appears in a public instrument, or the instrument is recorded in the Registry of Property in case the assignment involves real property.

37. Statement I: In all cases of extrajudicial sale, the mortgagor may redeem the property at any time within the term of one year from and after the date of registration of the sale
Statement II: In judicial foreclosure of real estate mortgage, the general rule is that the mortgagor cannot exercise his right of redemption after the confirmation of the sale by the court
- Both statements are correct
 - Both statements are wrong
 - Only the first statement is correct
 - Only the second statement is correct
38. Statement I: The pledge extends to the interest and earnings of the thing pledged unless there is a stipulation to the contrary
Statement II: In case of pledge of animals, their offspring shall be subject to the pledge if there is a stipulation to that effect
- First statement is true, second statement is false
 - First statement is false, second statement is true
 - Both statements are true
 - Both statements are false

SITUATIONAL

- A borrowed P30,000 from B and as security, he pledged his ring, pair of earrings and necklace. On due date, A paid P20,000. As a result
 - A can demand the return of one (1) of the thing pledged
 - A can demand the return of any two (2) of the things pledged
 - A can demand the return of the ring
 - A cannot demand the return of any of the things pledged
- D borrowed P30,000 from C. To secure the debt, D pledged his ring, wristwatch, and necklace. Before the debt could be paid, C died leaving X, Y and Z as heirs. By agreement among the heirs who inherited the credit, the ring would secure the share of X on the credit, the wristwatch the share of Y, and the necklace the share of Z. Later, D pays X P10,000
 - D can demand the extinguishment of the pledge of the ring
 - X may release the pledge of the ring
 - The pledge of the ring will remain until the shares of Y and Z are paid by D
 - D can demand the extinguishment of the pledge of the ring, wristwatch and necklace because there has been partial payment
- A borrowed P10,000 from B, so A delivered his diamond ring to B as a pledge to secure his obligation. The contract of pledge was executed in a public document but the description of the ring and the date of the pledge did not appear thereon. A, pledgor, alienates the ring in favor of C.
Statement I: C has to respect the pledge because the contract of pledge is in a public document
Statement II: C has to respect the pledge if the alienation of the pledge was consented to by the pledgee
 - First statement is true, second statement is false
 - First statement is false, second statement is true
 - Both statements are true
 - Both statements are false

Note: Final answer should be letter D: Both statements are false. In order to affect third persons, the public instrument must contain the description of the thing pledged and the date of the pledge.

- On March 1, 2020, D obtained a loan of P10,000 from C. To secure the debt, which is payable on May 1, 2020, D pledged a promissory note amounting to P12,000 which was executed in his favor by M. The promissory note is due April 25, 2020 and properly endorsed by D to C
 - On April 25, 2020, C can collect the note of P12,000 from M. The entire proceeds will belong to C
 - On April 25, 2020, C can collect the note of P12,000 from M. However, he must give P2,000 to D
 - C cannot collect from M. D is the one entitled to collect the note from M
 - C cannot collect from M. He must sell the note at public auction at maturity if D cannot pay
- D pledged his 100 shares of stock of ABC Corporation to C to secure his debt of P5,000. On due date, D was not able to pay the debt, so C caused the sale of the shares at public auction. The shares of stock were sold at P4,500

- a. To extinguish the obligation, C may recover the deficiency of P500 from D if there is a stipulation to that effect
 - b. To extinguish the obligation, C may recover the deficiency even if there is no stipulation to that effect
 - c. The obligation is extinguished even if there is a deficiency of P500. Accordingly, C can no longer recover the deficiency
 - d. The obligation is extinguished only if the proceeds of sale amount to P5,000 or more
6. D pledged his computer to secure a loan which he obtained from C. The debt which amounts to P10,000 is due after 60 days. Before the due date, C executed an instrument abandoning the pledge.
- I. D's debt of P10,000 is extinguished
 - II. The pledge of the computer is extinguished even if D has not yet accepted the renunciation of the pledge
 - III. The pledge is not extinguished until C returns the computer to D
 - IV. The pledge is extinguished even if C has not returned the computer to D

Based on the foregoing, which are false among the four statements?

- a. I and III
 - b. II and IV
 - c. I and II
 - d. II and III
7. D borrowed P20,000 from C. To secure the obligation, D pledged his ring to C. Before the due date, C executed a public instrument stating that he was abandoning the pledge and informed D about it. In the meantime, the ring remained in the possession of C
- a. D must accept the renunciation in order to extinguish the pledge
 - b. C must return the ring to D to extinguish the pledge
 - c. D's loan obligation is extinguished by reason of the abandonment of the pledge
 - d. The pledge of the ring is extinguished although D does not accept the renunciation or has not yet received the ring from C
8. A pledged her ring to F to secure a P10,000 obligation payable in two years. One year thereafter, F gives note in writing to A stating that the debt needs to be secured and that A may get the ring back at her most convenient time. As a result
- a. The principal obligation and the contract of pledge are both extinguished
 - b. Only the principal obligation is extinguished but not the contract of pledge because A did not get back the ring
 - c. Both the principal obligations and the contract of pledge are not extinguished because A did not get back the ring
 - d. The pledge is extinguished and F is constituted as a depository
9. B borrowed P2,000 from L as evidenced by a promissory note. In order to secure the payment of the obligation, B pledged and delivered his laptop to L as collateral. At the maturity date of the secured loan, L voluntarily returned the promissory note to B. Which is correct?
- a. Only the contract of loan is extinguished
 - b. Only the contract of pledge is extinguished
 - c. Both contract of loan and contract of pledge are extinguished
 - d. Neither contract of loan nor contract of pledge is extinguished
10. A, minor, borrows P10,000 from B. To secure A's debt, X a good friend of A pledges his gold watch to B.
- Statement I: The pledge is not valid because the principal obligation is not valid
- Statement II: The pledge is not valid, because the thing pledged should belong to the debtor
- a. First statement is true, second statement is false
 - b. First statement is false, second statement is true
 - c. Both statements are true
 - d. Both statements are false
11. D borrowed P100,000 from C. To secure the debt, D mortgaged his land and building in favor of C. The mortgage is registered with the Register of Deeds. Sometime, D sold the land to X who was not aware of the mortgage of the land and building. Based on the above information, which of the following statements is false?
- a. X must respect the mortgage although he was not a party thereto
 - b. X was not bound by the mortgage because he was not aware of it
 - c. If C foreclose the mortgage and the proceeds of the foreclosure sale are not enough to pay for the debt, C can recover the deficiency from D
 - d. If C foreclose the mortgage and the proceeds of the foreclosure sale exceed the amount of debt, D is entitled to the excess
12. D borrowed P100,000 from C. The loan is secured by a mortgage of T's lot. On due date, D was unable to pay. Accordingly, C foreclosed the mortgage on the lot and during the public auction, the lot was sold for P90,000

- a. C can recover the deficiency from D
 - b. C can recover the deficiency from T
 - c. C can recover the deficiency from D and T
 - d. C can no longer recover the deficiency
13. ABC Corporation obtained a loan amounting to P1,000,000 from XYZ Bank. To secure the obligation, P, the president of ABC Corporation, mortgaged his own building in favor of the bank. The contract of loan and deed of mortgage have been signed by the parties but have not been acknowledged before a notary public
- a. ABC Corporation and P are one and the same person
 - b. P may validly mortgage his own property to secure the obligation of ABC Corporation to the bank
 - c. The mortgage is not yet binding between the parties since it has not been notarized
 - d. The mortgage contract can stand independently from the contract of loan
14. D obtained an interest-bearing loan from XYZ Bank amounting to P100,000. To secure the obligation, D mortgaged his building to XYZ Bank. As added requirement of the loan, a fire insurance on the building was also obtained by D with XYZ Bank as beneficiary. Before the due date of the loan, the building was razed by fire
- a. The loan of D amounting to P100,000 is extinguished but the security remains
 - b. Only the security for the obligation is extinguished
 - c. The proceeds of the insurance policy will be the new security of the loan obligation which will subsist
 - d. Both the loan and the mortgage security are extinguished
15. A and B are co-owners of a piece of land. They mortgaged their land in favor of C. While the mortgage debt is pending, A and B partitioned the land between them. On due date, A paid his share of the debt of C.
- Statement I: The mortgage on A's share of the land is extinguished
- Statement II: The mortgage on A's share cannot be extinguished unless B pays his share of debt
- a. First statement is true, second statement is false
 - b. First statement is false, second statement is true
 - c. Both statements are true
 - d. Both statements are false
16. S sells his piece of land to B for P100,000. Consequently, another contract was entered into between the parties whereby B leases the land to S
- Statement I: This contract shall be construed as an equitable mortgage
- Statement II: This contract is a contract of sale with leaseback
- a. First statement is true, second statement is false
 - b. First statement is false, second statement is true
 - c. Both statements are true
 - d. Both statements are false
17. X constituted a chattel mortgage on a car valued at P1M to secure a P500,000 loan. For the mortgage to be valid, X should have
- a. The right to mortgage the car to the extent of half of its value
 - b. Ownership of the car
 - c. Unqualified free disposal of his car
 - d. Registered the car in his name



ATTRIBUTES OF CORPORATION

- o **Definition of Corporation** - It is an artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence.
 - o **It is an artificial being.**
 - ✓ **Implications of corporation for being artificial being**
 - The corporation cannot be held criminally liable particularly the penalty of imprisonment, but it may be held liable for fines for corporate crimes. The corporate officers who approve the particular corporate crime will be the ones to be held criminally liable.
 - As a general rule, a corporation is not entitled to moral damages because, not being a natural person, it cannot experience physical suffering or sentiments like wounded feelings, serious anxiety, mental anguish and moral shock except when a corporation has a reputation that is debased, resulting in its humiliation in the business realm such in the case of civil action for damages on the ground of libel or defamation.
 - The corporation is not entitled to constitutional right against self-incrimination.
 - ✓ **Doctrine of separate personality** means that a corporation has a personality separate and distinct from the stockholders and affiliated companies.
 - ✓ **Limited liability rule** means that the stockholders are liable only up to the extent of their capital contribution when it comes to corporation's liabilities.
 - ✓ **Trust fund doctrine** means that assets of the corporations are considered trust fund reserved for payment of liabilities to creditors of the corporation.
 - ✓ **Doctrine of Piercing the veil of corporate fiction** as an exception to doctrine of separate personality
 - Fraud cases – When corporate fiction is used to commit fraud.
 - Alter ego cases – When the corporation is a mere instrumentality or alter ego of the stockholders or owners.
 - Defeat public convenience cases – When the corporate fiction is used to commit tax evasion or to justify a wrong or to defend a crime.
 - Equity cases – In case of labor cases in order to promote social justice.
 - o **It is created: (1) by operation of law in case of private corporation or (2) by enactment of special law in case of public corporation.**
 - ✓ The 1987 Constitution provides that only public corporations may be created by special law while all private corporations must be created by operation of general corporation law which is the Corporation Code of the Philippines a.k.a. BP Blg. 68 through filing articles of incorporation to SEC and waiting for the latter's issuance of certificate of registration.
 - ✓ Concession theory means that a corporation owes its existence to the law and the state and the extent of its existence, powers and liberties is fixed by its charter. Thus, it only possesses properties, attributes, rights and powers provided by law or incident to its existence.
 - o **It enjoys the right of succession because it continues to exist despite the death of the founders since the heirs or assignees of the stockholders will inherit the shares of their predecessors.**
 - ✓ **Right of succession** best describes the strong juridical personality of the corporation.
 - ✓ **Corporate Term** - A corporation shall have perpetual existence unless its articles of incorporation provides otherwise. Corporations with certificates of incorporation issued prior to the effectivity of this Code and which continue to exist shall have perpetual existence, unless the corporation, upon a vote of its stockholders representing a majority of its articles of incorporation: Provided, That any change in the corporate right of dissenting stockholders in accordance with the provisions of this Code.
 - ✓ A corporation whose term has expired may apply for revival of its corporate existence, together with all the rights and privileges under its certificate of incorporation and subject to all its duties, debts and liabilities existing prior to its revival. Upon approval by the Commission, the corporation shall be deemed revived and a certificate of revival of corporate existence shall be issued, giving it perpetual existence, unless its application for revival provides otherwise.
 - ✓ No application for revival of certificate of incorporation of banks, banking and quasi-banking institutions, preneed, insurance and trust companies, non-stock savings and loan associations (NSSLAs), pawnshops, corporations engaged in money service business, and other financial intermediaries shall be approved by the Commission unless accompanied by a favorable recommendation of the appropriate government agency.
 - ✓ **Period for renewal of corporate term of private corporation**
 - A corporate term for a specific period may be extended or shortened by amending the articles of incorporation: Provided, that no extension may be made earlier than three (3) years prior to the original or subsequent expiry date(s) unless there are justifiable reasons for an earlier extension as may be determined by the Commission: *Provided, further,* That such extension of the corporate term shall take effect only on the day following the original or subsequent expiry date(s).
 - ✓ **Effect of failure to renew the corporate term within the deadline for renewal**
 - Previously, the corporation is ipso facto or automatically dissolved by operation of law without need for a court order or SEC decision. However, under the Revised Corporation Code, a corporation whose term has expired may apply for revival of its corporate existence, together with all the rights and privileges under its certificate of incorporation and subject to all of its duties, debts and liabilities existing prior to its revival.
 - o **It has the powers, attributes, properties expressly authorized by law or incident to its existence.**
 - ✓ **Types of powers of corporation**
 - **Express powers** refer to the powers expressly provided, enumerated and granted by the Corporation Code or special law to a corporation.

- To purchase, receive, take or grant, hold, convey, sell, lease, pledge, mortgage and deal with real and personal property, securities and bonds.
 - For stock corporations, to issue and sell stocks to subscribers and treasury stock, for nonstock corporation, to admit members.
 - To enter into merger or consolidation.
 - To establish pension, retirement, and other plans for the benefit of its directors, trustees, officers and employees.
 - To sue and be sued.
 - To make reasonable donations for public welfare, hospital, charitable, cultural, scientific, civic or similar purposes.
 - Right of succession.
 - To adopt and use of corporate seal.
 - To amend its articles of incorporation.
 - To adopt its by-laws.
 - In case of domestic corporation to give donations in aid of any political party or candidate or for purposes of partisan political activity. However, no foreign corporation shall give donations in aid of any political party or candidate or for purposes of partisan political activity.
- **Implied or necessary powers** are those inferred from or reasonably necessary for the exercise of the provided powers of the Corporation. They flow from the nature of the underlying business enterprise.
 - To issue checks or promissory note or bill of exchange or mercantile documents.
 - To establish a local post office in case of a mining company.
 - To operate power plant in case of a cement factory company.
 - To sell, supply or manage advertising materials in case of an advertising company.
 - **Incidental or inherent powers** are powers that attached to a corporation at the moment of its creation **without** regard to its expressed powers or particular primary purpose and may be said to necessarily arise from its being a juridical person engaged in business. They flow from the nature of the corporation as a juridical person.
 - Right of succession.
 - Right to have corporate name.
 - Right to make by-laws for its governance.
 - Right to sue and be sued.
 - Right to acquire and hold properties for the purposes authorized by the charter.
- ✓ **Ultra Vires Acts or Contracts** are acts committed outside the object for which a corporation is created as defined by the law of its organization and therefore beyond the express, implied and incidentals powers of the corporation.
 - ✓ **Status of Ultra Vires Acts by the Corporation**
 - Ultra vires acts which are illegal per se – Null and void.
 - Ultra vires acts for failure to comply with voting formality required by law – Null and void but the declaration of nullity may be barred by estoppel.
 - Ultra vires acts for being outside the primary and secondary purposes of the corporation – Voidable on the part of the other party.
 - ✓ **Status of ultra vires acts or contracts by the corporate officers in behalf of the Corporation**
 - Ultra vires acts which are illegal per se – Null and void.
 - Ultra vires acts which are unauthorized or when the corporate officers exceed their authority – Unenforceable but they may become enforceable on the basis of (1) express or implied ratification by the corporation (2) doctrine of estoppel or (3) doctrine of apparent authority of the corporate officers.
- o **Advantages of forming a corporation**
 - ✓ Continuity of existence.
 - ✓ Limited liability on the part of investors.
 - ✓ Strong juridical personality.
 - ✓ Legal capacity to act as a distinct unit.
 - ✓ Centralized management.
 - ✓ Ease in transferability of shares of stocks in case of stock corporation.
 - ✓ Ease in raising funds.
 - o **Disadvantages of forming a corporation**
 - ✓ High cost of formation.
 - ✓ Little voice of stockholders in management.
 - ✓ Weakened credit rating because of limited liability feature.
 - ✓ Being subject to greater degree of governmental regulation.
 - ✓ More taxes.

TYPES OF CORPORATION

- o **As to formation and nature**
 - ✓ **Public corporation** is a corporation created by special law for public purpose.
 - **Municipal corporation** is a public corporation created by special law for the governance of a particular local territory.
 - **Government owned and controlled corporation** is a public corporation created by special law for public purpose but performing proprietary or commercial functions.
 - ✓ **Private corporation** is a corporation created by operation of law for private interest.
 - **Civil corporation** is a private corporation for profit or business.
 - **Quasi-public corporation a.k.a. public utility** is a private corporation owned by private individuals but performing an essential governmental function.



- ✓ **Corporation by prescription** is a corporation created by lapse of time. It is the only corporation that obtains juridical personality even without franchise granted by state or even without filing articles of incorporation to SEC.
- **As to purpose**
 - ✓ **Civil corporation** is a corporation created for profit.
 - ✓ **Lay corporation** is a corporation created for a purpose other than religion.
 - ✓ **Eleemosynary corporation** is a corporation created for charity.
 - ✓ **Ecclesiastical or religious corporation** is a corporation created for religious purposes.
 - **Corporation sole** is a religious corporation with a single corporator.
 - **Corporation aggregate or religious society** is a religious corporation governed by Board of Trustees.
- **As to being subject to direct attack by the state**
 - ✓ **De jure corporation** is a corporation both in fact and in law. Its juridical personality is not subject to the direct attack by the state.
 - ✓ **De facto corporation** is a corporation in fact but not in law. Its juridical personality is subject to direct attack by the state through a special civil action of quo warranto proceedings.
 - ✓ **Ostensible corporation or corporation by estoppel** is not actually a corporation since it does not have a charter. However, the persons pretending to be corporation will be liable as general partners for the contracts they have entered into.
 - When such ostensible corporation is sued on any transaction entered by it as a corporation or on any tort committed by it as such, it shall not be allowed to use as defense its lack of corporate personality.
 - When persons entered into a contract or obligation with ostensible corporation as such, such persons cannot resist performance of the obligation on the ground that there was in fact no corporation.
- **As to nationality - Doctrine of Incorporation** means that the nationality of the corporation is determined by the place of its **incorporation** or the law that created such corporation.
 - ✓ **Domestic corporation** is a corporation created by Philippine Law particularly BP 68. Domestic corporation is no longer required to obtain license from SEC to engage business in the Philippines. It may sue and be sued in Philippine courts.
 - ✓ **Foreign corporation** is a corporation created by law of other countries. Foreign corporation is required to obtain license from SEC before it may engage in business in the Philippines. It must appoint a resident agent in the Philippines before it may be given by license by SEC to engage in business in the Philippines.
 - **Right to sue of foreign corporation not doing business in the Philippines before Philippine Courts**
 - It may sue and be sued in Philippine courts for isolated transactions it entered into within Philippine territory.
 - It may sue in Philippine courts for violation of its intellectual property rights.
 - **Right to sue or personality to be sued of a foreign corporation doing business in the Philippines with license**
 - It may sue and be sued in Philippine courts.
 - **Effects if a foreign corporation doing business in the Philippines without licenses**
 - It may be sued on Philippine courts.
 - Generally, it may not sue before Philippine courts except in case of estoppel. However, it must obtain the necessary license and submit proof of its compliance with the requirement of law for the suit to prosper.
- **As to control or ownership**
 - ✓ **Holding or parent corporation** is a corporation that controls another corporation.
 - ✓ **Subsidiary corporation** is a corporation being controlled by another corporation.
 - ✓ **Affiliate** is a corporation which is a member of a group of companies.
 - ✓ **Associate** is a corporation being significantly influenced by an investor.
- **As to presence of stocks and distribution of dividends**
 - ✓ **Stock corporation** is a corporation whose capital stock is divided into shares of stocks and is authorized to declare dividends to its stockholders.
 - ✓ **Nonstock corporation** is a corporation which has no shares of stocks and is not authorized to declare dividends.
 - Mode of conversion of nonstock corporation to stock corporation
 - By dissolving the nonstock corporation and forming a new stock corporation.
 - Modes of conversion of stock corporation to nonstock corporation
 - By mere amendment of articles of incorporation; or
 - By dissolving the stock corporation and forming a new nonstock corporation.
 - ✓ **Transferability of membership in a nonstock corporation**
 - Membership in a non-stock corporation and all rights arising therefrom are personal and non-transferable, unless the articles of incorporation or the by-laws otherwise provide.
 - ✓ **Revocation of membership in a nonstock corporation**
 - Membership shall be terminated in the manner and for the causes provided in the articles of incorporation or the by-laws. Termination of membership shall have the effect of extinguishing all rights of a member in the corporation or in its property, unless otherwise provided in the articles of incorporation or the by-laws.

TYPES OF SHARES IN A CORPORATION

- **As to rights**
 - ✓ **Common stocks or ordinary shares** are those shares of stocks with complete voting rights. They must be present in every corporation. They may be issued as par value or no-par value shares.
 - ✓ **Preferred stocks or preference shares** are those shares of stocks with special privilege in dividend distribution or **liquidation**. They must be issued with stated par value.
 - **Cumulative Preferred Stocks** entitle the owner thereof to payment not only of current dividends but also back dividends not previously paid whether or not during the past year's dividends were declared or paid.
 - **Noncumulative Preferred Stocks** grant the holders of such shares only to the payment of current dividends but not back dividends when and if dividends are paid to the extent agreed upon before any other stockholders are paid the same.
 - **Participating Preferred Stocks** entitle the shareholders to participate with the common shares in excess distribution at some predetermined or at a fixed ratio as may be determined.
 - **Nonparticipating Preferred Stocks** entitle the shareholder thereof to receive the stipulated preferred dividends and no more.

- ✓ **Redeemable preference shares** are those shares of stocks which may be redeemed by the issuing corporation at the period **stated** despite the absence of unrestricted retained earnings.
- ✓ **Convertible preference shares** are those that are changeable by the stockholder from one class to another at a certain price and within a certain period.
- ✓ **Treasury shares** are those shares issued but subsequently reacquired by the corporation. They have no voting rights whatsoever and may be issued even below par value so long as the price is reasonable. They may be acquired only if there is unrestricted retained earnings in order not to violate the concept of Trust Fund Doctrine.

o **As to voting**

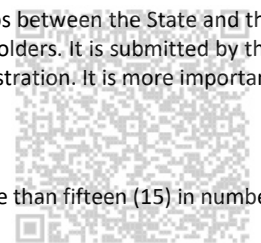
- ✓ **Voting shares** are those which have complete voting rights which are the common stocks.
- ✓ **Nonvoting shares** are those classified as such in the Articles of Incorporation and shall have limited voting rights.
 - **Corporate acts when nonvoting preferred shares may still vote (I³ AM SAD)**
 - Incurring, creating or increasing bonded indebtedness.
 - Investments of corporate funds in another corporation or another business purpose.
 - Increase or decrease of capital stock.
 - Amendment of Articles of Incorporation including changing the corporate term.
 - Merger or consolidation of corporations.
 - Sale or disposition or pledge or mortgage of all or substantially all of corporate property.
 - Adoption and amendment of by-laws.
 - Dissolution, rehabilitation or liquidation of the corporation.
 - **Corporate acts when nonvoting preferred shares are not allowed to vote (GRRAGE)**
 - Granting of compensation of directors.
 - Removal of directors.
 - Ratification of disloyalty of directors or voidable contract involving self-dealing director or interlocking director.
 - Approval of management contract.
 - Distribution of stock dividends.
 - Election of directors.

PRESENCE OF PAR VALUE

- o **Par value shares** are those shares with face value stated in the certificate of stock.
 - ✓ **Minimum par value** – there is no minimum par value.
 - ✓ **Minimum issue price of par value** – the minimum issue price of par value shares is the par value because shares as a general rule shall not be issued below par except treasury shares which may be issued below par as long as the price is reasonable.
 - ✓ **Legal capital in case of par value shares** – the total par value of shares issued and subscribed.
- o **No par value shares** are those shares without par value but must be issued with stated value. Only common stocks may be classified as no par value shares.
 - ✓ Minimum stated value – none as long as the minimum issue price is P5.
 - ✓ Minimum issue price of no-par value shares – P5.
 - ✓ Legal capital in case of no-par value shares – the total consideration received.
- o **Corporations that cannot issue no-par value shares (BLTBPIPO)**
 - ✓ Building and Loans Association
 - ✓ Trust Company
 - ✓ Bank
 - ✓ Public utility
 - ✓ Insurance company
 - ✓ Preneed company
 - ✓ Other corporations authorized to obtain or access money from the public (whether publicly listed or not)
- o **Other types of shares**
 - ✓ **Founders' shares** are those shares issued to founders of the corporation and may be given special privilege such as exclusively right to be elected in the Board of Directors. However, such special privilege given to founders' shares shall not exceed 5 years.
 - ✓ **Promoters' shares** are those shares issued to the promoters of the corporation.
 - ✓ **Escrow shares** are those shares the issuance of which is subject to a suspensive condition.
 - ✓ **Watered shares** are those shares issued for a price even below par resulting to overstatement of capital, overstatement of assets or understatement of liability. It violates trust fund doctrine.

FORMATION OF PRIVATE STOCK CORPORATION OR INCORPORATION

- Refers to the performance of conditions, acts, deeds, and writings by incorporators, and the official acts, certification or records, which give the corporation its existence. Filing of articles of incorporation and applications for amendments thereto with SEC in the form of electronic document is now allowed subject to the rules and regulations to be issued by SEC.
- o **Conditions precedent for acquiring juridical personality**
 - **Submission of Articles of Incorporation to SEC**
 - ✓ **Articles of Incorporation** refers to the document that defines the charter of relationships between the State and the corporation, the stockholder and the State, and between the corporation and its stockholders. It is submitted by the incorporators of a proposed corporation to SEC in order to obtain the Certificate of Registration. It is more important than By-Laws.
 - ✓ **Qualifications of Incorporators of Proposed Private Corporation**
 - Any person, partnership, association or corporation, singly or jointly but not more than fifteen (15) in number may become incorporators.
 - Majority must be residents of the Philippines and all must be of legal age.



- In stock corporations, each must own or subscribe to at least one share, while in nonstock corporations, members are not owners of shares of stocks, and their membership depends on terms provided in the articles of incorporation.
- Compliance with the required minimum ownership of Filipino or maximum ownership of foreigners in industries reserved to Filipinos.
 - **Nationality requirement in certain industry reserved for Filipinos**
 - **Mass Media** – 100% reserved to Filipinos.
 - **Advertising** – 70% reserved to Filipinos.
 - **Public Utility** – 60% reserved to Filipinos.
 - **Educational Institution** – 60% reserved to Filipinos.
 - **Exploration, evaluation and development of natural resources** – 60% to Filipinos.
 - **Ownership of land** – 60% of the stockholders of the Corporation must be Filipinos.
- ✓ **Required vote for amendment of Articles of Incorporation**
 - For simple amendment, the articles of incorporation may be amended by at least majority vote of the board of directors or trustees and the vote or written assent of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock, without prejudice to the appraisal right of dissenting stockholders in accordance with the provisions of this Code, or the vote or written assent of at least two-thirds (2/3) of the members if it be a non-stock corporation.
 - For very important amendment, articles of incorporation may be amended by a majority vote of the board of directors or trustees and the ratification vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock, without prejudice to the appraisal right of dissenting stockholders in accordance with the provisions of this Code, or the ratification vote of at least two-thirds (2/3) of the members if it be a non-stock corporation.
 - **Effectivity of Approval of Amendment of Articles of Incorporation**
 - Upon approval by Securities and Exchange Commission; or
 - Upon lapse of six (6) months from the date of submission to SEC if there is inaction by SEC for causes not attributable to the corporation.
- **Capital stock requirement prior to incorporation**
 - **Minimum authorized capital stock** – There is no express minimum authorized capital stock unless required by special law.
 - **Minimum subscribed capital** – None
 - **Minimum paid-up capital** – None
- o **Juridical personality of a private corporation**
 - ✓ **Moment of start of juridical personality of a private corporation**
 - The juridical personality of a private corporation begins from the moment the SEC issues the certificate of registration.
 - ✓ **Certificate of registration** refers to the document issued by the SEC to a newly formed corporation which evidenced the existence of the juridical personality of the corporation. It is also known as the primary franchise of a corporation.
 - ✓ **Effect of failure to formally organize within 5 years from the date of incorporation**
 - The corporation is ipso facto or automatically dissolved by operation of law without need of a court order or SEC decision.
 - ✓ **Effect of continuous inoperation for a period of at least 5 years after its formal organization**
 - The SEC may, after due notice and hearing, place a corporation which subsequently becomes inoperative for a period of at least five (5) years under delinquent status.
 - A delinquent corporation shall have a period of two (2) years to resume operations and comply with all requirements that SEC shall prescribe. Upon compliance by the corporation, the SEC shall issue an order lifting the delinquent status.
 - Failure to comply with the requirements and resume operations within the period given by the SEC shall cause the revocation of the corporation's certification of incorporation.
 - The SEC shall give reasonable notice to, and coordinate with the appropriate regulatory agency prior to the suspension, revocation of the certificate of incorporation of companies under their special regulatory jurisdiction.

GOVERNANCE OF A CORPORATION

- o **By-Laws** refers to the rules of action adopted by a corporation for its internal government and for the regulation of conduct, and it prescribes the rights and duties of its stockholders or members towards itself and among themselves in reference to the management of its affairs. It neither affects nor prejudices third persons. It is less important than Articles of Incorporation.
 - **Submission of By-Laws** – By-laws shall be submitted to SEC at the time of submission of Articles of Incorporation.
 - Required vote for adoption or amendment of by-laws or delegation to board of directors of power to amend by-laws or revocation of delegated power to the board.
 - Adoption of pre-incorporation by-laws.
 - ✓ Unanimous vote of the incorporators or subscribers.
 - Adoption or Amendment of Post-incorporation by-laws when there is no valid stockholders' delegation to the Board of Directors of the power to adopt or amend by-laws.
 - ✓ At least majority vote of the board of directors and approval by at least majority vote of the stockholders.
 - Adoption or Amendment of Post-incorporation by-laws when there is valid stockholders' delegation to the Board of Directors of the power to adopt or amend by-laws.
 - ✓ At least majority of the board of directors.
 - Delegation to the board of directors of the power to adopt or amend post-incorporation by laws by stockholders.
 - ✓ At least 2/3 vote of the stockholders.
 - Revocation of Delegated power board of directors to adopt or amend post-incorporation by laws by stockholders.
 - ✓ At least majority vote of the stockholders.
- o **Governing body of the Corporation**
 - ✓ Stock corporation – Board of Directors
 - ✓ Nonstock corporation – Board of Trustees



- 0 **Number of members of the board**
 - ✓ Stock corporation – 5 to 15
 - ✓ Ordinary nonstock corporation – At least 5 but may exceed 15
 - ✓ Educational nonstock corporation – 5 or 10 or 15
 - ✓ Corporation sole – One
- 0 **Term of office of members of the board**
 - ✓ Stock corporation – One year
 - ✓ Ordinary nonstock corporation – Three years
 - ✓ Educational nonstock corporation – Five years
- 0 **Qualifications of members of the board of directors or trustees**
 - ✓ He must own at least one share of the capital stock of the corporation or a member.
 - ✓ He must be of legal age.
 - ✓ Majority must be residents of the Philippines.
 - ✓ The number of directors, which shall not be more than fifteen (15) or the number of trustees which may be more than fifteen (15).
 - ✓ Compliance with the required minimum ownership of Filipino or maximum ownership of foreigners in industries reserved to Filipinos.
 - Note: The Corporation may provide additional qualifications to directors in its corporate by-laws provided such qualifications are just and reasonable and not violative of Corporation Code of the Philippines.
- 0 **Mandatory Presence of Independent Directors** - The board of the following corporations vested with public interest shall have independent directors constituting at least twenty percent (20%) of such board:
 - ✓ Corporations covered by Section 17.2 of "Securities Regulation Code" namely those whose securities are registered with SEC, corporations listed with an exchange (PSE) or with assets of at least P50,000,000 and having 200 or more shareholders, each holding at least 100 shares of a class of its equity shares.
 - ✓ Banks and quasi-banks, nonstock savings and loan associations, pawnshops, corporations engaged in money service business, preneed, trust and insurance companies, and other financial intermediaries; and
 - ✓ Other corporations engaged in business vested with public interest similar to the above, as may be determined by the SEC, after taking into account relevant factors which are germane to the objective and purpose of requiring the election of an independent director, such as the extent of minority ownership, type of financial products, or securities issued or offered to investors, public interest involved in the nature of business operations, and other analogous factors.
 - **Definition of Independent Director** - An independent director is a person who, apart from shareholdings and fees received from the corporation, is independent of management and free from any business or other relationship which could or could reasonably be perceived to materially interfere with the exercise of independent judgment in carrying out the responsibilities as a director. Independent directors must be elected by the shareholders present or entitled to vote in absentia during the election of directors.
 - Independent directors shall be subject to rules and regulations governing their qualifications, disqualifications, voting requirements, duration of term and their limit, maximum number of board memberships and other requirements that the SEC will prescribe to strengthen their independence and align with international business practices.
- 0 **Grounds for temporary disqualifications of members of the board for a period of at least five (5) years from conviction**
 - ✓ Conviction by final judgment (1) Of an offense punishable by imprisonment for a period exceeding six (6) years, (2) For violating this Code; and (3) For violating "The Securities Regulation Code"; or
 - ✓ Found administratively liable for any offense involving fraudulent acts; or
 - ✓ By a foreign court or equivalent foreign regulatory for acts, **violations or misconduct** similar to those enumerate in letter (i) and (ii) above.
- 0 **Election of the members of the board**
 - ✓ **Quorum for validity of meeting for election of members of the board of directors.**
 - At least majority of the outstanding capital stock (Outstanding capital stock = Issued shares + subscribed shares – treasury shares – delinquent shares).
 - ✓ **Electorate in election of directors.**
 - The common stockholders and voting preferred stockholders.
 - ✓ **Required vote to elect a director.**
 - The director garnering the highest number of votes will be elected. (Plurality rule).
 - ✓ **Required number of stocks to have a guaranteed sit.**
 - $(\text{Outstanding capitals stock}) / (\text{Number of sits to be elected} + 1) + 1$
 - ✓ **Manner of voting**
 - Stock corporation – Cumulative voting
 - Nonstock corporation – Variation of cumulative voting and straight voting
- 0 **Filling up of vacancy in the board**
 - ✓ By stockholders – The stockholders can always fill up the vacancy.
 - ✓ By remaining board of directors with quorum but only if the reason of vacancy is death, resignation, abandonment or disqualification.
 - Reasons of vacancy in the board that disqualifies the board with quorum to fill up the vacancy therefore stockholders may only fill up the vacancy.
 - ✓ Removal of directors.
 - ✓ Expiration of term.
 - ✓ Increase in sits.



- **Emergency Board** - When the vacancy prevents the remaining directors from constituting a quorum and emergency action is required to prevent grave, substantial, and irreparable loss or damage to the corporation, the vacancy may be temporarily filled from among the officers of the corporation by unanimous vote of the remaining directors or trustees. The action by the designated director or **trustee** shall be limited to the emergency action necessary, and the term shall cease within a reasonable time from the termination of the emergency or upon election of the replacement director or trustee, whichever comes earlier. The corporation must notify the SEC within three (3) days from the creation of the emergency board, stating therein the reason for its creation.
- **Compensation or salary of board members** – The directors as a general rule are not entitled to compensation except reasonable per diems.
 - ✓ **Required vote for granting compensation to board of directors.**
 - At least majority vote of the outstanding capital stock excluding the directors.
 - ✓ **Maximum limit for salary of board of directors.**
 - 10% of net income before tax of the immediately preceding year.
 - ✓ **Reasonable per diems of board of directors.**
 - At least majority vote of the board of directors.
- **Creation of Executive Committee**
 - ✓ **Requirement for creation of executive committee**
 - It must be created only by virtue of provision in the by-laws.
 - ✓ **Membership of executive committee**
 - It must consist of at least three members of the board of directors.
 - ✓ **Powers that cannot be delegated by board of directors to executive committee (FAAD)**
 - Filling up of vacancy in the board.
 - Adoption or amendment of by-laws.
 - Approval of corporate acts requiring approval or ratification by stockholders.
 - Distribution or declaration of cash dividends.
- **Acts of management or administration**
 - ✓ **Quorum for validity of meeting**
 - At least majority of the directors as stated in the Articles of Incorporation.
 - ✓ **Required vote for approval of act of management or administration**
 - At least majority of the directors who attended the meeting with quorum.
 - Business judgment rule means that the decision of the board of directors on matters of management cannot be changed by the court unless such management decision is ultra vires or destructive of the interest of minority stockholders.
- **Election of corporate officers**
 - ✓ **Quorum for validity of meeting**
 - At least majority of the directors as stated in the Articles of Incorporation.
 - ✓ **Required vote for election of corporation**
 - At least majority of the directors as stated in the Articles of Incorporation.
 - ✓ **Qualification of mandatory corporate officers**
 - **President**
 - Qualifications of a corporate President
 - ✓ He must be a stockholder.
 - ✓ He must be a director.
 - ✓ He must be neither secretary nor treasurer.
 - **Secretary**
 - Qualifications of a corporate Secretary
 - ✓ He must be a Filipino national.
 - ✓ He must be a resident of the Philippines.
 - ✓ He must not be a president.
 - **Treasurer**
 - Qualification of a corporate treasurer
 - ✓ He must not be a president.
 - ✓ He must be a resident of the Philippines.
 - **Compliance Officer** - If the corporation is vested with public interest, the board shall elect a compliance officer.
- **Three-fold duties of directors** - The directors or trustees elected shall perform their duties as prescribed by law, rules of good governance, and by-laws of the corporation.
 - ✓ **Duty of loyalty**
 - **Contract with self-dealing director**
 - Status – Voidable on the part of the corporation.
 - Requisites to be perfectly valid.
 - Ratification in case of voidability.
 - At least 2/3 of the outstanding capital stock.
 - **Contract between corporation with interlocking director**
 - Status – Generally valid.
 - Instance when it becomes voidable.
 - Ratification in case of voidability.
 - At least 2/3 of the outstanding capital stock.
 - **Ratification of disloyalty of director**
 - At least 2/3 of the outstanding capital stock.



- ✓ **Duty of obedience**
 - The **Board** of Directors must follow BP 68 and all implementing rules and regulations issued by SEC.
- ✓ **Duty of diligence**
 - The Board of Directors must observe ordinary diligence or diligence of good father of a family in making business judgment for the corporation.
- **Meeting of Board of Directors**
 - ✓ **Place of Meeting**
 - Place stated in the by-laws; or
 - In or out of the Philippine territory
 - ✓ **Frequency of Meeting**
 - Frequency stated in the by-laws; or
 - Monthly
 - ✓ **Minimum days of giving notice to directors**
 - At least two days before the scheduled meeting.
- **Management Contract** is a legal agreement that grants operational control of a business initiative (managed corporation) to a **separate** group (managing corporation).
 - ✓ **Required vote for approval of management contract without interlocking director**
 - At least majority vote of board of directors with ratification of at least majority of stockholders of managed corporation.
 - At least majority vote of board of directors with ratification of at least majority of stockholders of managing corporation.
 - ✓ **Required vote for approval of management contract with interlocking director**
 - At least majority vote of board of directors with ratification of at least 2/3 of stockholders of managed corporation.
 - At least majority vote of board of directors with ratification of at least majority of stockholders of managing corporation.

RIGHTS OF A STOCKHOLDER

- **Doctrine of equality of shares** means that all shares have equal rights except as provided in the Articles of Incorporation.
- **Right to participation in management through voting**
 - ✓ **Entitlement to vote** – As a general rule, all stocks are entitled to vote to except those which have limited voting rights because they classified as non-voting in the Articles of Incorporation and therefore allowed to vote only on fundamental corporate acts.
 - ✓ **Stocks which completely have no voting rights**
 - Treasury shares
 - Delinquent shares
 - Fractional shares
 - Escrow shares before the fulfillment of suspensive condition or arrival of suspensive period
 - ✓ **How to vote**
 - Personal voting by stockholders.
 - Through an agent by virtue a proxy agreement
 - **Proxy** refers to a written authorization given by one person to another so that the second can act for the first. It also refers to the agent or holder of authority or person authorized by an absent stockholder or member to vote for him at a stockholders' meeting.
 - **Requirements of proxy for validity**
 - It shall be valid only for the meeting which is was intended unless classified as continuing proxy.
 - It shall be in writing.
 - It shall be filed before the scheduled meeting with the corporate secretary.
 - It shall be signed by the shareholder/member concerned.
 - It shall be valid and effective for a period of 5 years at any one time.
 - **Term of proxy**
 - A period not exceeding 5 years.
 - **Through a trustee in a voting trust agreement**
 - **Voting trust** refers to the agreement whereby stockholders (trustors) of a stock corporation confers **upon** a trustee the right to vote and other rights pertaining to the shares and it should not be used to circumvent the law against monopolies and illegal combinations in restraint of trade or for fraud purposes.
 - **Requirement of voting trust for validity**
 - It should be in writing.
 - It should be notarized.
 - It should be filed before the corporate secretary.
 - It shall be valid and effective for a period of 5 years at any one time.
 - **Term of voting trust**
 - A period not exceeding 5 years.
 - **Differences between proxy and voting trust**
 - Proxy need not be notarized while voting trust agreement must be notarized.
 - There is no transfer of title to proxy while there is transfer of title to trustee.
 - The proxy must vote in person while the trustee may vote in person or by proxy.
 - Proxy can only act at a specified meeting if not continuing proxy while trustee is not limited to act at any particular meeting.
 - Proxy is revocable at any time while voting trust agreement is irrevocable.



- The proxy votes as an agent while the trustee votes as an owner.
- **Voting by co-owners**
 - Unanimously
 - Exceptional case when a co-owner may vote alone
 - When the certificate of stock provides “and/or”
 - When there is proxy or voting trust granted to a co-owner
- **Voting through remote communication** or in absentia by stockholders or members in the election of **directors** or trustees.
 - When so authorized in the by-laws or by a majority vote of the board of directors/trustees, the stockholders or members may also vote through remote communication or in absentia. Provided, that the right to vote through such modes may be exercised in corporations vested with public interest, notwithstanding the absence of a provision in the bylaws of such corporations. A stockholder or member who participates through remote communication or in absentia shall be deemed present for purposes of quorum.

MEETING OF STOCKHOLDERS

- **Place of Meeting**
 - ✓ Always in the city or municipality where the Principal Office of the Corporation is located preferably in the principal office of the corporation.
- **Frequency of Meeting**
 - ✓ Frequency stated in the by-laws; or
 - ✓ Annually
- **Minimum days of giving notice to Stockholders**
 - ✓ For regular meeting - At least 21 days before the scheduled meeting.
 - ✓ For special meeting – At least one week before the scheduled meeting.

PROPRIETY RIGHTS

- **Right to dividends**
 - **Entitlement to dividends**
 - ✓ The stockholders are entitled to dividends only upon declaration by the board of directors.
 - **Requirement for declaration of dividends**
 - ✓ There must be unrestricted retained earnings.
 - **Extent of right to dividends**
 - ✓ Of full-fledged stockholder – Full right.
 - ✓ Of subscribers which are not yet delinquent – Full right.
 - ✓ Of subscribers which are already delinquent – The delinquent subscribers are entitled to dividends, but the cash dividends shall be offsetted to the subscription balance while the stock dividends will be withheld until the subscription balance is fully paid.
- **Right to inspect corporate books**
 - **Requirements for exercise of the right to inspect**
 - ✓ The right must be exercised during reasonable hours on business days.
 - ✓ The person demanding the right has not improperly used any information obtained through any previous examination of the books and records of the corporation.
 - ✓ The demand is made in good faith or for legitimate purpose.
 - **Justified grounds for denial of right to inspection of corporate books**
 - ✓ To obtain information as to business secrets or to assist reveal business secrets.
 - ✓ To secure business prospects or investment advertising list for the purpose of selling it to an advertising agency.
 - ✓ To find technical defects in corporate transactions in order to bring nuisance or strike suits for purposes of blackmail or extortion.
 - ✓ To obtain information intended to be published as to embarrass the company business.
 - **Remedies if the denial of the right to inspect by the corporation is unjustified**
 - ✓ File a petition for mandamus against the said corporate officer.
 - ✓ File an action for damages against the said corporate officer.
 - ✓ File a criminal action for violation of BP 68 against the responsible officer.
- **Preemptive right**
 - **Preemptive right** refers to the natural right of shareholders to subscribe to all issues or disposition of shares of any class in **proportion** to their present shareholdings unless denied in the articles of incorporation. It is intended to protect both the proprietary and voting rights of a stockholder in a corporation, since such proportionate interest determines his proportionate power to vote in corporate affairs when the law gives the shareholders a right to affirm or deny board actions.
 - **Extent of preemptive right**
 - ✓ It extends to all issuance of shares.
 - **Issuance of shares where preemptive right is not available**
 - ✓ Shares to be issued to comply with laws requiring stock offering or minimum stock ownership by the public such in the case of initial public offering (IPO).
 - ✓ To shares that are being reoffered by the corporation after they were initially offered together with all the shares to the existing stockholders who initially refused them.
 - ✓ Shares issued in good faith with approval of the stockholders holding 2/3 of the outstanding capital stock in exchange for the property needed for corporate purposes.
 - ✓ Shares issued, with approval of the stockholders holding 2/3 of the outstanding capital stock, in payment of previously contracted debts of the corporation.
 - ✓ Waiver of the right by the stockholder.
 - ✓ In case of non-stock corporation since there is no control in membership.



- ✓ In so far as the assignee is concerned, where the assignors have previously exercised their pre-emptive rights to subscribe to new shares.
- ✓ When the pre-emptive right is denied in the articles of incorporation or amendment thereto.

▪ **Validity of Denial of pre-emptive right**

- ✓ It must be denied in the articles of incorporation and cannot be validly denied in the by-laws. The required vote for denial of pre-emptive right is 2/3 of outstanding capital stock.

o **Right of first refusal**

- **Right of first refusal** provides that a stockholder who may wish to sell or assign his shares must first offer the shares to the corporation or to other existing stockholders of the corporation, under terms and conditions which are reasonable; and that only when the corporation or the other stockholders do not or fail to exercise their option, is the offering stockholder at **liberty** to dispose of his shares to third parties. It arises only by virtue of contractual stipulations; in which case the right is construed strictly against the right of persons to dispose of or deal with their property. It is normally available in a close corporation as stated in its articles of incorporation. It is a contractual right of a stockholder.

o **Right of Appraisal**

- **Appraisal right** refers to the right of a dissenting stockholder to demand the payment of the fair value of his shares after **dissenting** from a proposed corporate action involving a fundamental change in the corporation in the cases provided by law when such right is available. This right may be waived by a shareholder if he has done so knowingly and intelligently. There must be unrestricted retained earnings before the stockholder in an ordinary corporation may exercise this right.

▪ **Grounds for exercise of appraisal right (AIM-CSC)**

- ✓ Amendment to the articles that has the effect of changing or restricting the rights of shareholder, or of authorizing preference over those of outstanding shares .
- ✓ Investment of corporate funds in another corporation or in a purpose other than the primary purpose.
- ✓ Merger or consolidations.
- ✓ Changing corporate term whether shortening or extending.
- ✓ Sale, encumbrance or other disposition of all or substantially all of the corporate property or assets.
- ✓ In a Close corporation, a stockholder may for any reason, compel the corporation to purchase his shares when the corporation has sufficient assets in its books to cover its debts and liabilities exclusive of capital stock.

▪ **Manner of exercise of appraisal right**

- ✓ The dissenting stockholder shall make a written demand on the corporation within 30 days after the date on which the vote was taken for the payment of the fair value of his shares.
- ✓ The withdrawing stockholder must submit his shares to the corporation for notation of being dissenting stockholder within 10 days from his written demand.
- ✓ All rights accruing to such shares shall be suspended from time of demand for payment of the fair value of the shares until the abandonment of the corporate action.
- ✓ The dissenting stockholder shall be entitled to receive payment of the fair value of shares thereof as of the day prior to the date on which the vote was taken, excluding any appreciation or depreciation in anticipation of such corporate action.
- ✓ The payment must be made by the corporation within 30 days from the determination by the Board of Appraisers of the fair value of the shares otherwise the rights of the dissenting stockholders will be restored. The Board of Appraisers consists of a person appointed by the corporation, a person appointed by the dissenting stockholder and the third person appointed by the two appointees. The decision of majority of the Board of Appraisers on the determination of fair value of shares shall prevail.
- ✓ Stockholder must transfer his shares to the corporation upon payment by the corporation.
- ✓ Upon payment of the fair value of shares, all the rights of dissenting stockholders are terminated and not merely suspended.
- ✓ There must be unrestricted retained earnings for the exercise of appraisal right to prosper.

o **Remedial Right**

- **Individual suit** is an action brought by a stockholder against the corporation for direct violation of his contractual rights. (Stockholder vs. Corporation)
- **Representative suit** refers to an action brought by a person in his own behalf or on behalf of all similarly situated. (Association of Stockholders vs. Corporation)
- **Derivative suit** refers to a suit brought by one or more stockholders or members in the name and on behalf of the corporation to redress wrongs committed against it or to protect or vindicate corporate rights, whenever the officials of the corporation refuse to sue or are the ones to be sued or hold control of the corporation. The corporation is a necessary party to the suit. It is a suit filed by a person who must be a shareholder to enforce a corporation's cause of action. (Stockholder in behalf of corporation vs. Board of Directors of Corporation)

OBLIGATIONS OF A STOCKHOLDER

- o **Limited liability rule** means that a stockholder is personally liable for the financial obligations of the corporation to the extent only of his unpaid subscription or that a stockholder's liability for corporate debts extends only up to the amount of his capital contribution.
- o **Trust fund doctrine** means that assets of the corporations are considered trust fund reserved for payment of liabilities to creditors of the corporation.

o **Liability for watered stock**

▪ **Instances of issuance of watered stock**

- Issuance of shares without consideration – bonus share.
- Issuance of shares as fully paid when the corporation has received a lesser sum of money than its par or issued value – discount share.
- Issuance of shares for a consideration other than actual cash such as property or services the fair valuation of which is less than its par or issued price.
- Issuance of stock dividend where there are no sufficient retained earnings or surplus to justify it.



- **Nature of liability for issuance of watered stocks**
 - Consenting director/officer, non-objecting director/officer despite knowledge of issuance of watered stock, subscriber, subsequent transferor and transferee shall be solidarily liable for the difference between the fair value received at the time of issuance of stock and the par or issue value of the same.

CAPITAL STRUCTURE

- **Subscription agreement**
 - **Nature of contract of subscription**
 - Contract of subscription is an indivisible contract.
 - Contract of subscription is a consensual contract.
 - Contract of subscription is not covered by statute of fraud.
 - **Types of subscription contract**
 - **Pre-incorporation subscription**
 - Period of irrevocability
 - It is irrevocable for a period of 6 months from the date of subscription and after its submission to SEC.
 - Period for cancellation
 - It may be revoked after 6 months from the date of subscription but it must be made before its submission to SEC.
 - **Post-incorporation subscription**
 - It may not be revoked unless there is unrestricted retained earnings to support its retirement in order not to violate trust fund doctrine.
- **Consideration for issuance of shares of stocks**
 - **Valid consideration**
 - Cash
 - Noncash asset
 - Preexisting obligation of the corporation in case of equity swap
 - Services rendered
 - Conversion of other class of shares of stocks in case of conversion of convertible bonds or conversion of convertible preference stocks
 - Unrestricted retained earnings in case of distribution of stock dividends
 - Shares of stock in another corporation; and/or
 - Other generally accepted form of consideration.
 - **Invalid consideration**
 - Promissory note
 - Future services
- **Shares of stocks** refer to the interests or rights which the owner has in the management of the corporation and its surplus profits, and on dissolution, in all of its assets remaining after the payment of its debts. They do not represent co-ownership in the assets of the corporation but such interests are merely indirect and inchoate.
 - Nature of shares of stocks as an asset
 - They are intangible and personal assets.
 - Requirements for issuance of certificate of stock
 - They must be fully paid.
- **Payment of balance of subscription**
 - **Accrual of interest for subscription**
 - Subscription contract with stated maturity date
 - The interest must accrue in the date stated in the subscription contract.
 - Subscription contract without stated maturity date
 - The interest must accrue at the date of delinquency of shares.
 - Interest of subscription contract
 - The stated rate in the contract.
 - In the absence, the legal interest rate which is 6% on or after July 1, 2013 and 12% before July 1, 2013.
 - **Delinquency of shares**
 - **Moment of delinquency of shares**
 - Subscription contract with stated maturity date
 - Upon lapsing of 30 days from the maturity date stated in the contract.
 - Subscription contract without stated maturity date
 - Upon lapsing of 30 days from the date of payment as stated in the call of Board of Directors for payment.
 - **Effect to rights of subscribers for delinquency shares**
 - The rights of delinquent shares are suspended except right to cash and stock dividends.
 - **Remedies of corporation for delinquent shares**
 - Civil action by filing before a regular court an action to collect a sum of money.
 - Sale of delinquent shares
 - To highest bidder.
 - Acquisition by corporation and placing them to treasury.
 - Period fixed by law for the sale of delinquent shares.
 - Not less than 30 days nor more than 60 days from the date the stocks become delinquent.
- **Certificate of stock** – is the tangible evidence of the shares of stock.
 - **Nature of the certificate of stock as instrument**



- It is a quasi-negotiable instrument in that sense that it may be transferred by endorsement coupled with delivery but it is not negotiable because the holder thereof takes it subject to personal and real defenses available to the registered owners.
- **Requirements for issuance of certificate of stock**
 - The certificate must be signed by the president or vice president and countersigned by the secretary or assistant secretary.
 - The certificate must be sealed with the seal of the corporation.
 - The par value, as to par value shares or the subscription as to no par value shares must first be fully paid.
 - The certificate must be delivered.
 - The original certificate must be surrendered where the person requesting the issuance of a certificate is a transferee from the stockholder.
- **Requirements for valid transfer of shares of stocks**
 - Under Civil Code
 - Upon constructive delivery of shares of stocks in a contract of sale.
 - Under Corporation Code
 - There must be delivery of the certificate of stock.
 - The share of stock or certificate of stock must be indorsed by the owner or his agent.
 - To be valid to the corporation and third persons, the transfer must be duly recorded in the books of the corporation showing the names of the parties, transaction date, number of certificate and shares transferred.

o **Stock and transfer books**

- It refers to corporate book which contains the record of all stocks in the names of the stockholders alphabetically arranged; the installment paid and unpaid on all stock for which subscription has been made, and the date of payment of any installment; a statement of every alienation, sale or transfer of stock made, the date thereof, and by and to whom made; and such other entries as the by-laws may prescribe. It must be set up and registered by the Corporation with the SEC within 30 days from receipt of its certificate of registration.
- All entries must be made only by the corporate secretary in the absence of a stock and transfer agent employed by the corporation. If any entry is made by any officer other than the corporate secretary, such entry is null and void.

DISSOLUTION AND LIQUIDATION OF CORPORATION

o **Dissolution**

- **Definition of corporate dissolution**
 - ✓ It refers to the extinguishment of the corporate franchise and the termination of corporate existence. It legally affects more the nature and capacity of the juridical being of the corporate being.
- **Modes of dissolution**
 - ✓ **Voluntary modes**
 - Where creditors are not affected - By administrative application to SEC submitting the board resolution and ratification by the stockholders.
 - At least majority vote of the board of directors with ratification of at least majority of stockholders.
 - Where creditors are affected - By formal petition to SEC with notice and hearing with creditors
 - At least majority vote of the board of directors with ratification of at least 2/3 of stockholders.
 - By shortening of corporate term - By amending the articles of incorporation and submitting such amendment to SEC.
 - By merger or consolidation - By submitting the Board resolution and ratification of the merging or consolidating corporation.
 - ✓ **Involuntary modes**
 - By expiration of corporate term.
 - Failure to formally organize within 5 years from incorporation.
 - Legislative dissolution.
 - Dissolution by SEC on grounds under existing laws.
- **Ground for automatic dissolution of a corporation or ipso facto corporate dissolution by operation of law**
 - ✓ By expiration of corporate term although the corporation may file an application for revival of corporation.
 - ✓ Failure to formally organize within 5 years from incorporation.
 - ✓ Approval by SEC of shortened corporate term.
 - ✓ Approval by SEC of certificate of merger or consolidation.
- **Grounds which will not automatically dissolve a corporation but will require court order or SEC decision**
 - ✓ Being De facto.
 - ✓ Violation of laws or rulings of SEC.
 - ✓ Failure to submit annual report or financial statements to SEC.
 - ✓ Continuous inoperation for a period of at least 5 years.
 - ✓ Failure to submit by-laws within 30 days from incorporation.

o **Liquidation**

- **Definition of Liquidation** – It refers to the process of converting non-cash assets of a liquidation corporation into cash and distributing the net proceeds to creditors first and then the remainder to stockholders.
- **Period of Liquidation** – It shall be finished within a recommendatory period of 3 years counted from the dissolution of a corporation.

CLOSE CORPORATION

o **Requirements to be classified as close corporation**

- ✓ The number of stockholder must not exceed 20.
- ✓ Issues stocks are subject to transfer restrictions such as right of first refusal or a right of preemption in favor of the stockholders or the corporation.
- ✓ The corporation shall not be listed in the stock exchange or its stocks should not be public offered.



- ✓ At least 2/3 of the voting stocks or voting rights are not owned or controlled by another corporation which is not a close corporation.
- **Characteristics of close corporation**
 - ✓ Stockholders may act as directors without need of election and therefore liable as directors.
 - ✓ Stockholders involved in the management of the corporation are liable as directors.
 - ✓ Quorum may be greater than mere majority.
 - ✓ The corporate officers or employees may be elected or employed directly by the stockholders instead by the board of directors.
 - ✓ Transfers of stocks to others, which would increase the number of stockholders to more than the maximum are invalid.
 - ✓ Corporate actions may be binding even without a formal board meeting.
 - ✓ Appraisal rights can be exercised regardless of existence of unrestricted retained earnings.
 - ✓ Pre-emptive right is absolute and available to all stock issuances unless restricted by the articles of incorporation.
 - ✓ Deadlocks are settled by SEC.
- **Disqualified corporations to be classified as close corporation (I COME BSP)**
 - ✓ Insurance companies
 - ✓ Corporations vested with public interest
 - ✓ Oil companies
 - ✓ Mining companies
 - ✓ Educational institutions
 - ✓ Banks
 - ✓ Stock exchange
 - ✓ Public utilities
- **Validity of restrictions on transfer of shares**
 - ✓ Right of first refusal
 - ✓ Right of first option
- **Void or Prohibited restriction on transfer of shares**
 - ✓ Absolute prohibition on sale of shares of stocks
- **Preemptive rights of stockholders**
 - ✓ It is absolute in nature and there are no exceptions.
- **Appraisal rights of stockholders**
 - ✓ It is exercisable for any reason.
- **Deadlock in a close corporation**
 - ✓ The SEC has the authority to break the deadlock of a close corporation.

MERGER AND CONSOLIDATION

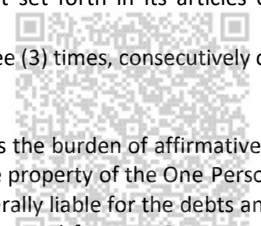
- **Difference between merger and consolidation**
 - ✓ **Merger** refers to a business combination whereby one or more existing corporations are absorbed by another corporation which survives and continues the combined business. (PNB + Allied Bank = PNB)
 - ✓ **Consolidation** refers to a business combination whereby two or more existing corporations form a new corporation different from the combining corporation. (Equitable Bank + PCI Bank = Equitable-PCI Bank)
- **Requisites of merger or consolidation**
 - ✓ It must be approved by the board of each corporation by at least majority vote.
 - ✓ There must be ratification by vote of stockholders representing at least 2/3 of outstanding capital stock or members.
 - ✓ There must be approval by the Securities and Exchange Commission.
- **Effectivity of merger and consolidation**
 - ✓ Upon approval by the SEC of certificate of merger or consolidation.
- **Effects of merger and consolidation**
 - ✓ There is automatic transfer of assets and the liabilities of the absorbed corporation or constituent corporations which are dissolved to the merged corporation or constituted corporation.
 - ✓ The absorbed or constituent corporations are ipso facto dissolved by operation of law without necessity of any further act or deed meaning the separate existence of the constituent corporations shall cease.
 - ✓ It will neither prejudice the rights of creditors nor impair any lien of the creditor over the property of the absorbed corporations.
 - ✓ It involves exchanges of properties, a transfer of the assets of the constituent corporations in exchange for securities in the new or surviving corporation but neither involves winding up of the affairs of the constituent corporations in the sense that their assets are distributed to the stockholders.

PROVISIONS APPLICABLE TO ONE PERSON CORPORATION

- **Definition of One Person Corporation.** A One Person Corporation is a corporation with a single stockholder.
- **Who may become One person Corporation**
 - ✓ Natural person
 - ✓ Trust
 - ✓ Estate of a person
- **Entities not allowed to form One Person Corporation**
 - ✓ Banks
 - ✓ Non-bank financial institutions
 - ✓ Quasi-banks
 - ✓ Pre-need
 - ✓ Trust entity/company
 - ✓ Insurance
 - ✓ Public entities
 - ✓ Publicly listed entities



- ✓ Non-charted government-owned and controlled corporations (GOCCs)
- ✓ A natural person who is licensed to exercise a profession (CPA or Lawyers) for the purpose of exercising such profession except as otherwise provided under special laws
- o **Minimum Capital Stock Not Required for One Person Corporation** - A One Person Corporation shall not be required to have a minimum authorized capital stock except as otherwise provided by special law.
- o **Articles of Incorporation of One Person Corporation.** A One Person Corporation shall file articles of incorporation in accordance with the requirements under Section 14 of Revised Corporation Code. It shall likewise substantially contain the following:
 - ✓ If the single stockholder is a trust or an estate, the name, nationality, and residence of the trustee, administrator, executor, guardian, conservator, custodian, or other person exercising fiduciary duties together with the proof of such authority to act on behalf of the trust or estate; and
 - ✓ Name, nationality, residence of the nominee and alternate nominee, and the extent, coverage and limitation of the authority.
- o **Bylaws of One Person Corporation** - The One Person Corporation is not required to submit and file corporate bylaws.
- o **Display of Corporate Name or SUFFIX of One Person Corporation.** - A One Person Corporation shall indicate the letters "OPC" either below or at the end of its corporate name.
- o **Officers of One Person Corporation** - The single stockholder shall be the sole director and president of the One Person Corporation.
- o **Appointment of Treasurer, Corporate Secretary, and Other Officers** - Within fifteen (15) days from the issuance of its certificate of incorporation, the One Person Corporation shall appoint a treasurer, corporate secretary, and other officers as it may deem necessary, and notify the Commission thereof within five (5) days from appointment. The single stockholder may not be appointed as the corporate secretary.
- o A single stockholder who is likewise the self-appointed treasurer of the corporation shall give a bond to the Commission in such a sum as may be required: Provided, That the said stockholder/treasurer shall undertake in writing to faithfully administer the One person Corporation's funds to be received as treasurer, and to disburse and invest the same according to the articles of incorporation as approved by the Commission. The bond shall be renewed every two (2) years or as often as may be required.
- o **Special Functions of the Corporate Secretary in One Person Corporation.** - In addition to the functions designated by the One Person Corporation, the corporate secretary shall:
 - ✓ Be responsible for maintaining the minutes book and/or records of the corporation;
 - ✓ Notify the nominee or alternate nominee of the death or incapacity of the single stockholder, which notice shall be given no later than five (5) days from such occurrence;
 - ✓ Notify the Commission of the death of the single stockholder within five (5) days from such occurrence and stating in such notice the names, residence addresses, and contact details of all known legal heirs; and
 - ✓ Call the nominee or alternate nominee and the known legal heir to meeting and advise the legal heirs with regard to, among others, the election of a new director, amendment of the articles of incorporation, and other ancillary and/or consequential matters.
- o **Nominee and Alternate Nominee of One Person Corporation.** - The single stockholder shall designate a nominee and an alternate nominee who shall, in the event of the single stockholder's death or incapacity, take the place of the single stockholder as director and shall manage the corporation's affairs.
- o The **articles of incorporation** shall state the names, residence addresses and contact details of the nominee and alternate nominee, as well as the extent and limitations of their authority in managing the affairs of the One Person Corporation until the stockholder, by self determination, regains the capacity to assume such duties.
- o In case of **death or permanent incapacity** of the single stockholder, the nominee shall act as director and manage the affairs of the One Person Corporation until the legal heirs of the single stockholder have been lawfully determined, and the heirs have designated one of them or have agreed that the estate shall be the single stockholder of the One Person Corporation.
- o The **alternate nominee** shall sit as director and manage the One Person Corporation in case of the nominee's inability, incapacity, death, or refusal to discharge the functions as director and manager of the corporation, and only for the same term and under the same conditions applicable to the nominee.
- o **Change of Nominee or Alternate Nominee of One Person Corporation** - the single stockholder may, at any time, change its nominee and alternate nominee by submitting to the Commission the names of the new nominees and their corresponding written consent. For this purpose, the articles of incorporation need not be amended.
- o **Minute Book of one Person Corporation.** - A One Person Corporation shall maintain a minutes book which shall contain all actions, decisions, and resolutions taken by the One Person Corporation.
- o **Records in Lieu of Meetings of One Person Corporation.** - When action is needed on any matter, it shall be sufficient to prepare a written resolution, signed and dated by the single stockholder; and recorded in the minutes book of the One Person Corporation. The date of recording in the minutes for all purposes under this Code.
- o **Reportorial Requirements of One Person Corporation.** - The One Person Corporation shall submit the following within such period as the Commission may prescribe:
 - ✓ Annual financial statements audited by an independent certified public accountant: *Provided*, That if the total assets or total liabilities of the corporation are less than Six hundred thousand pesos (₱600,000.00), the financial statements shall be certified under oath by the corporation's treasurer and president;
 - ✓ A report containing explanations or comments by the president on every qualification, reservation, or adverse remark or disclaimer made by the auditor in the latter's report;
 - ✓ A disclosure of all self-dealings and related party transactions entered into between the One Person Corporation and the single stockholder; and
 - ✓ Other reports as the Commission may require.
 - For the purpose of this provision, the fiscal year of a One Person Corporation shall be that set forth in its articles of incorporation or, in the absence thereof, the calendar year.
 - The Commission may place the corporation if it fails to submit the reportorial requirements three (3) times, consecutively or intermittently, within a period of five (5) years.
- o **Liability of Single Shareholder in One Person Corporation.** - A sole shareholder claiming limited liability has the burden of affirmatively showing that the corporation was adequately financed. Where the single stockholder cannot prove that the property of the One Person Corporation is independent of the stockholder's personal property, the stockholder shall be jointly and severally liable for the debts and other liabilities of the One Person Corporation. The principles of piercing the corporate veil applies with equal force to One Person Corporations as with other corporations.



- o **Conversion from an Ordinary Corporation to a One Person Corporation.** When a single stockholder acquires all the stocks of an ordinary stock corporation, the later may apply for conversion into a One Person Corporation, subject to the submission of such documents as the Commission may require. If the application for conversion is approved, the Commission shall issue a certificate of filing of amended articles of incorporation reflecting the conversion. The One Person Corporation converted from an ordinary stock corporation shall succeed the later and be legally responsible for all the latter's outstanding liabilities as of the date of conversion.
- o **Conversion from One Person Corporation to an Ordinary Stock Corporation.** - A One Person Corporation may be converted into an ordinary stock corporation after due notice to the Commission of such fact and of the circumstances leading to the conversion, and after compliance with all other requirements for stock corporations under this Code and applicable rules.
- o Such notice shall be filed with the Commission within sixty (60) days from the occurrence of the circumstances leading to the conversion into an ordinary stock corporation. If all requirement a have been complied with, the Commission shall issue a certificate of filing or amended articles of incorporation reflecting the conversion.
- o In case of death of the single stockholder, the nominee or alternate nominee shall transfer the shares to the duly designated legal heir or estate within seven (7) days from receipt of either an affidavit of heirship or self-adjudication executed by a sole heir, or any other legal document declaring the legal heirs of the single stockholder and notify the Commission of the transfer.
- o Within sixty (60) days from the transfer of the shares, the legal heirs shall notify the Commission of their decision to either wind up and dissolve the One Person Corporation or convert it into an ordinary stock corporation. The ordinary stock corporation converted from One Person Corporation shall succeed the latter and be legally responsible for all the latter's outstanding liabilities as of the date of conversion.

CORPORATE ACTS WHICH REQUIRE AT LEAST MAJORITY VOTE OF THE BOD ALONE (EVP)

Corporate Act		Salient Points
<u>E</u> lection of officers (Sec. 25, CC).	Majority vote of all the members of the BOD.	
<u>V</u> acancies in BOD if NOT due to removal, expiration of the term or increase in number of directors (Sec. 29, CC).	Majority vote of remaining directors if quorum still exists.	• If the directors do not constitute a quorum, stockholders have the right to elect.
<u>P</u> ower to acquire own shares (Sec. 41, CC).	Majority vote.	• Provided that there is unrestricted retained earnings. • Only for legislative purposes.

CORPORATE ACTS WHICH REQUIRE AT LEAST MAJORITY VOTE OF THE BOD AND VOTE OF THE STOCKHOLDERS REPRESENTING AT LEAST MAJORITY OF THE OCS (FAM)

Corporate Act			Salient Points
<u>F</u> ixing the issued Price of No-par value shares (Sec. 62, last par., CC).	Majority of quorum of BOD, if authorized by AOI or by-laws.	Majority of OCS, if BOD is not authorized by the AOI.	
<u>A</u> mdendment or repeal of By-laws or Adoption of new By-laws (Sec. 48, CC).	Majority vote.	Majority of OCS.	• Amendment may be made by the Board only after due delegation by the stockholders. • Non-voting shares can vote.
<u>M</u> anagement Contract (Sec. 44, CC).	Majority vote of BOD of both managing and managed corporation.	Majority of OCS/members of both managing and managed corporation and in some cases 2/3 of OCS/members.	

CORPORATE ACTS WHICH REQUIRE VOTE OF THE STOCKHOLDERS REPRESENTING AT LEAST MAJORITY OF THE OCS ALONE (FFAD)

Corporate Act		Salient Points
<u>F</u> ixing of compensation of directors (Sec. 30, CC).	Majority of OCS.	• Reasonable per diems may be given. • By-laws may provide for compensation. • Limit: not more than 10% of the net income before income tax.
<u>A</u> doption of By-laws (Sec. 46, CC).	Majority of OCS/members.	• Non-voting shares can vote.
Election of <u>D</u> irectors/trustees (Sec. 24, CC).	Majority of OCS/members.	• Candidates with the highest number of votes get elected. • Cumulative voting: No. shares x No. of directors to be elected. • Non-voting shares cannot vote.
<u>F</u> ixing the issued Price of No-Par value shares (Sec. 62, last par., CC).	Majority of OCS	• Stockholders/Members shall vote if the BOD/BOT are not authorized by the Articles of Incorporation and the by-laws to fix the price.

CORPORATE ACTS WHICH REQUIRE VOTE OF THE STOCKHOLDERS REPRESENTING AT LEAST 2/3 OF THE OCS ALONE (PARDS)

Corporate Act		Salient Points
Denial of <u>p</u> re-emptive right (Sec. 39, CC)	2/3 of OCS.	• Only if the AOI or amendment thereto denies pre-emptive right • Denial extends to shares issued in good faith in exchange for property needed for corporate purposes or in payment of previously contracted debts
Delegation of the power to <u>A</u> mend, Repeal or Adopt New By-laws to BOD (Sec. 48, CC).	2/3Sof OCS.	• Delegation can be revoked by majority OCS. • Non-voting shares cannot vote.
<u>R</u> emoval of Directors/Trustees (Sec. 28, CC).	2/3 of OCS/members.	• Notice and statement of purpose are necessary. • Must be made in a meeting called by the secretary on President's order or on written demand of majority of OCS.

		• Non-voting shares cannot vote. • Removal without cause cannot be used to deprive minority stockholders of their right of representation.
Ratification of act of <u>d</u> isloyal director (Sec. 34, CC).	2/3 of OCS.	
Ratification of a contract of <u>s</u> elf-dealing directors (Sec. 32, CC).	2/3 of OCS/members.	• The contract must be fair and reasonable under the circumstances. • Full disclosure of adverse interest of directors/trustees involved is necessary. • Presence of director/trustee must be necessary to constitute quorum OR the vote of director/trustee must be necessary for the approval of the contract.

CORPORATE ACTS WHICH REQUIRE AT LEAST MAJORITY VOTE OF THE BOD AND VOTE OF STOCKHOLDERS REPRESENTING AT LEAST 2/3 OF THE OCS (ADAM-LI³ES)

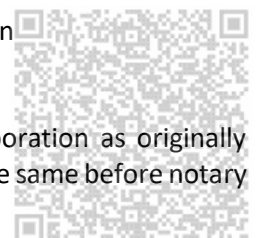
Corporate Act			Salient Points
<u>A</u> mendment of Articles of Incorporation.	Majority vote.	Vote or written assent of 2/3 of OCS/members.	• Non-voting shares can vote. • Appraisal right is available in certain cases. • Effective upon approval by SEC, or date of filing if not acted upon within six months. • Must be for a legitimate purpose.
<u>D</u> issolution of Corporation (Secs. 118 and 119, CC).	Majority vote.	2/3 of OCS/members.	• See sections 117-112. • Non-voting shares can vote.
<u>A</u> doption of plan of distribution of assets of non-stock corporation (Sec. 95 [2], CC).	Majority vote of trustees.	2/3 of members having voting rights.	
<u>M</u> erger or Consolidation (Sec. 77, CC).	Majority of BOD of constituent corporations.	2/3 of OCS/members of constituent corporations.	• Non-voting shares can vote. • Appraisal right is available, except when the plan is abandoned. • Any amendment to the plan may be made provided it is approved by majority vote of the board and 2/3 of OCS/members.
Sale, <u>L</u> ease, Exchange, Mortgage, Pledge, Dispose of all or substantially all of corporate assets (Sec. 40, CC).	Majority vote.	2/3 of OCS/members.	• Majority of the board is sufficient if the transaction does not cover all or substantially all of the assets of the corporation. • Non-voting shares can vote. • Appraisal right is available. • Notice is required. • If sale is abandoned, director's action is sufficient, no need for ratification by stockholders.
<u>I</u> ncrease or decrease of capital stock (Sec. 38, CC).	Majority vote.	2/3 of OCS/members.	• Meeting is required. • Non-voting shares can vote. • No appraisal right. • Notice requirement. • SEC prior approval Prior approval of the SEC is necessary for it is only from and after the approval by the SEC and the issuance by the SEC of a certificate of filing that the capital stock shall stand increased or decreased. • Treasurer's sworn statement is necessary. • No decrease of capital stock if it will prejudice right of creditors.
<u>I</u> ncur, Create, Increase Bonded Indebtedness (Sec. 38, CC).	Majority vote.	2/3 of OCS/members.	• Meeting is required. • Non-voting shares can vote. • No appraisal right. • Notice is required. • Registration of bonds with the SEC is necessary.
<u>I</u> nvestment of Corporate Funds in another Corporation or Business or for any other purpose other than primary purpose (Sec. 42, CC).	Majority vote.	2/3 of OCS/members.	• Non-voting shares can vote. • Appraisal right available. • Notice is required. • Investment in the secondary purpose is covered. • Stockholder's ratification is not necessary if the investment is incidental to primary purpose.
<u>E</u> xtension or shortening of corporate term (Sec. 37, CC).	Majority vote.	2/3 of OCS/members.	• Non-voting shares can vote. • Appraisal right is available. • Notice requirement. • Effected through an amendment of the AOI.
Issuance of <u>S</u> tock Dividends (Sec. 43, CC).	Majority of the quorum.	2/3 of OCS/members.	There must be unrestricted retained earnings.

-- END --

CORPORATIONS

PART I: THEORY

1. It is an artificial being created by operation of law, having the right of succession and the powers, attributes and properties expressly authorized by law or incident to its existence
 - a. Corporation
 - b. Cooperative
 - c. Partnership
 - d. Joint Venture
2. Corporations are distinguished from partnerships in that
 - a. The liability extends up to private properties
 - b. Created by agreement
 - c. No dissolution in case of death, withdrawal or resignation of the owner
 - d. Interest or ownership is transferable only if the owners consent
3. The following are the advantages of forming a corporation, except
 - a. There is ease in transferability of shares of stocks
 - b. It has a legal capacity to act and contract as a distinct unit in its own name
 - c. The stockholder's limited liability on the obligation of the corporation
 - d. All of the above are advantages
4. The following are the disadvantages of forming a corporation, except
 - a. Its credit is weakened by the limited liability feature
 - b. There is high cost of formation and operations
 - c. It is subject to higher taxes or sometimes indirect double taxation
 - d. All of the above are disadvantages
5. Statement 1: A stock corporation is a corporation which has capital stock divided into shares of stocks and are authorized to distribute to the holders of such shares dividends or allotments of the surplus profits on the basis of the shares held
 Statement 2: A non-stock corporation is a corporation where no part of its income is distributable as dividends to its members and the capital of the corporation is not divided into shares of stocks
 - a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
6. It refers to a corporation with a single stockholder
 - a. One person corporation (OPC)
 - b. Partnership
 - c. Joint Venture
 - d. Corporation Aggregate
7. Statement 1: A civil corporation is a corporation established for business or profit
 Statement 2: An eleemosynary corporation is a corporation established for charitable purposes
 - a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
8. Statement 1: A corporation sole is a religious corporation which consists of one member only or his successors
 Statement 2: A lay corporation is a corporation organized for a purpose other than for religious
 - a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
9. Statement 1: A domestic corporation is a corporation organized under the laws of the Philippines
 Statement 2: A foreign corporation is a corporation organized under laws other than those of the Philippines and whose laws allow Filipino citizens and corporations to do business in its own country or State
 - a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
10. Which of the following types of corporations is not required to file articles of incorporation to obtain juridical personality as a private corporation?
 - a. Corporation by prescription
 - b. De facto corporation
 - c. Ostensible corporation
 - d. De jure corporation
11. Statement 1: Incorporators refer to the persons mentioned in the Articles of Incorporation as originally forming and composing the corporation, having signed the Articles and acknowledged the same before notary public
 Statement 2: Corporators in a stock corporation are called stockholders



- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
12. Statement 1: Corporation by estoppel or ostensible corporation refers to all persons who assume to act as a corporation knowing it to be without authority. It has no juridical personality. It has no corporate existence and is not considered an artificial being in contemplation of Revised Corporation Code
Statement 2: The status of contract entered into between an ostensible corporation/corporation by estoppel and another person valid and binding by reason of estoppel on both parties
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
13. Statement 1: A de jure corporation refers to a corporation which actually exists both in fact and in law. It has complied with all the requirements of law and therefore its juridical personality is not subject to the direct attack by the state through quo warranto proceedings
Statement 2: A de factor corporation refers to a corporation which actually exists for all practical purposes as a corporation but which has no legal right to corporate existence as against the State since it has not complied with all the formalities or requirements provided by law. This corporation has a corporate existence but its juridical personality may be directly attacked by the state through quo warranto proceedings
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
14. Statement 1: Persons who have agreed to take and pay for original unissued shares of a corporation formed or to be formed are called subscribers
Statement 2: Persons who bring about or cause to bring about the formation and organization of a corporation by bringing together the persons interested in the enterprise are called promoters
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
15. Statement 1: The interest or right of the stockholder in the corporation's profit or in the net assets of corporation on dissolution is shares of stock
Statement 2: Certificate of stock refers to the paper representation or tangible evidence of the stock itself and of the various interests therein and expresses the contract between the corporation and the stockholder. It is not actually necessary to render a person a stockholder in a corporation because it is merely evidence of the shares of stock covered
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
16. Statement 1: Common shares refer to the basic class of ordinary shares usually without extraordinary rights and privileges, and the owners thereof are entitled to pro-rata share in the profits of the corporation and in its assets upon dissolution and likewise in the management of its affairs. This type of shares which has complete voting rights is required to be present in every stock corporation
Statement 2: Preferred shares refer to a type of shares of stocks that is issued with some privileges in the distribution of dividends and net assets of the corporation
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
17. It refers to a type of shares of stocks issued with an arbitrary amount stated in its certificate of stock. This type share of stocks cannot be issued below that said face value appearing in the certificate of stock and stated in the Articles of Incorporation. Preferred stocks must always be classified as this type of stocks while common may or may not be this type of stocks
- a. Par value shares
 - b. No par value shares
 - c. Issued value shares
 - d. Present value shares
18. Amount equal to the aggregate par value or issued value of the outstanding capital stock
- a. Legal capital
 - b. Unissued capital stock
 - c. Outstanding capital stock
 - d. Authorized capital stock
19. **[SKIP]**
20. Which of the following statements pertaining to the purpose or purposes of a stock corporation is incorrect?
- a. A stock corporation may have more than one purpose
 - b. The purposes, if there are several, must be susceptible of being lawfully combined
 - c. The primary purpose and the secondary purposes may be stated together as one purpose in the articles of



incorporation

d. The purposes must be lawful

21. How may a corporation be created under Philippine setting?

- a. In case of private corporation, by operation of general corporation law particularly the Revised Corporation Code of the Philippines.
- b. In case of public corporation, by law or enactment of special law.
- c. Either A or B.
- d. By mere consent of the contracting parties

22. Which of the following corporate legal doctrines is not true?

- a. The business judgement rule means that a stockholder is personally liable for the financial obligations of the corporation to the extent only of his unpaid subscription or that a stockholder's liability for corporate debts extends only up to the amount of his capital contribution
- b. The doctrine of separate juridical personality means that a corporation is a juridical entity with legal personality separate and distinct from those acting for and, in its behalf
- c. The right of succession or continuity of existence means that the corporation has the capacity for continuous existence despite the death or replacement of its shareholders or members, for it has a personality separate and distinct from those who compose it
- d. The trust fund doctrine means that the capital stock of a corporation or the assets of an insolvent corporation representing its capital is a trust fund reserved for the benefit of company's creditors

23. Are the stockholders, directors or officers personally liable for the liabilities of the corporation after the assets of the corporation are exhausted?

- a. Yes because they are considered to be general partners
- b. No under all instances
- c. Yes under all instances
- d. No as a general rule, unless exceptional cases warrant the piercing of the veil of corporate fiction

24. What are the exceptional cases wherein the courts may pierce the veil of corporate fiction so that the stockholders, directors or officers will become personally liable for corporate debts?

- a. When the corporate entity is used as a mere alter ego, business conduit or instrumentality of a person or another entity
- b. When the corporate entity is used to defeat public convenience such as in case of labor case
- c. When the corporate entity is used to commit fraud or to justify a wrong or to defend a crime or to commit tax evasion
- d. Any of the above

25. **[SKIP]**

26. Statement 1: The status of contracts entered into by a de facto corporation is valid and binding to protect members of the public who deal in good faith with a corporation who seems to be properly authorized
Statement 2: The liability of officers and directors of a de facto corporation to creditors is only up to the extent of their subscription unless they acted in bad faith

- a. Both statements are true
- b. Only Statement 1 is true
- c. Only Statement 2 is true
- d. Both statements are false

27. Under the Revised Corporation Code, what is the requirement for the issuance of preferred shares?

- a. Preferred shares of stock must be issued with par value
- b. Preferred shares of stock may either be par value shares or no-par value shares
- c. Preferred shares of stock must be no-par value shares
- d. Preferred shares of stock may be issued only with discounted value

28. What is/are the means by which the issue price of no par value common value shares is determined?

- a. It may be fixed by the Board of Directors based on the authority given in the articles of incorporation
- b. It may be fixed in the articles of incorporation or by-laws
- c. It may be fixed by stockholders representing at least a majority of the outstanding capital stock at a meeting duly called for the purpose
- d. Any of the above

29. Which is correct as regards to legal capital of par-value shares of stocks and no-par value shares of stocks?

- a. In case of par-value shares of stocks, the legal capital is the total par value of shares issued and subscribed
- b. In case of no par-value shares of stocks, the legal capital is the entire consideration received



- c. Both A and B
 - d. Neither A nor B
30. When no-par value common shares of stocks are issued, what is the minimum issue price?
- a. P1.00
 - b. P2.00
 - c. P5.00
 - d. P10.00
31. If founder's share classified as such in the Articles of Incorporation is given exclusive right to vote and be voted in the election of the board of directors, what is the maximum period or limit of that right?
- a. 2 years from the approval of SEC
 - b. 3 years from the approval of SEC
 - c. 5 years from the approval of SEC
 - d. 10 years from the approval of SEC
32. Which of the following statements refers to the authorized capital stock?
- a. It refers to the portion of the capital stock or total shares of stock issued to subscribers or stockholders, whether fully paid or partially paid, except treasury shares. It pertains to capital stock entitled to dividends or right to vote
 - b. It refers to the total amount of the capital that persons have agreed to take and pay for, which need not necessarily be, and can be more than, the par value of the shares
 - c. It refers to the amount fixed in the articles of incorporation that may be subscribed and paid by the stockholders of the corporation
 - d. It refers to the amount equal to the aggregate par value of total shares issued and subscribed in case of par value shares or total consideration received in case of no par value shares and it cannot be returned to shareholders until dissolution
33. What is the life of a private corporation?
- a. It has perpetual existence unless its articles of incorporation provide for a specific term
 - b. It has maximum life of 20 years
 - c. It has maximum life of 30 years
 - d. It has maximum life of 50 years
34. What is the period for renewal of term of a private corporation prior its term expiration?
- a. Within a 1-year period
 - b. Within a 2-year period
 - c. Within a 3-year period
 - d. Within a 5-year period
35. Under the Revised Corporation Code, may the corporation with a fixed term whose term has expired file an application for revival of certificate of incorporation with SEC?
- a. No, because the corporation is ipso facto dissolved by operation of law upon failure to renew the term within the deadline
 - b. Yes, a corporation whose term has expired may apply with SEC for the revival of its certificate of incorporation and subject to all of its duties, debts, and liabilities existing prior to its revival
 - c. No, in the absence of court order
 - d. Yes, but only with the consent of the Congress of the Philippines
36. What is the implied minimum authorized capital stock of an ordinary stock corporation?
- a. P50,000
 - b. P15,000
 - c. None
 - d. P200,000
37. ABC Inc. has an authorized capital stock of P60,000. Which of the following comply with the capital requirements of law for valid incorporation?
- a. Actual subscription of P24,000 and paid up capital of P5,200
 - b. Actual subscription of P12,000 and paid up capital of P5,000
 - c. Actual subscription of P15,000 and paid up capital of P3,750
 - d. Any of the above
38. Statement 1: Certificate of incorporation or registration refers to the document issued by the SEC to a newly formed corporation which evidenced the existence of the juridical personality of the corporation. It is also known as the primary franchise of a corporation
- Statement 2: By-laws refer to the document that defines the charter of relationships between the State and the corporation, the stockholder and the State, and between the corporation and its stockholders. It must be submitted to Securities and Exchange Commission (SEC) by the incorporators in order for the proposed corporation to obtain its juridical personality
- Statement 3: Articles of Incorporation refer to the rules of action adopted by a corporation for its internal government and for the regulation of conduct, and it prescribes the rights and duties of its stockholders or

members towards itself and among themselves in reference to the management of its affairs

- a. All statements are true
- b. Only one statement is true
- c. Only two statements are true
- d. All statements are false

39. Which is the primary government agency authorized to approve or reject the amendment in the articles of incorporation of a corporation?

- a. Securities and Exchange Commission
- b. Department of Trade and Industry
- c. Bureau of Internal Revenue
- d. Department of Finance

40. Under Revised Corporation Code, for primary registration with the Securities and Exchange Commission, the following are the documents to be submitted by the proponents for the creation of domestic stock corporation, except

- a. Cover Sheet for Registration
- b. Articles of Incorporation
- c. By-Laws
- d. Treasurer's Affidavit showing the compliance with minimum subscription and paid-up capital including the certificate of deposit and letter of authority to examine bank deposit

41. The purpose clause must specify the corporation's primary purpose and which are secondary which need not be related to the main purpose. The significance or reasons of purpose clause in the articles of incorporation are as follows, except

- a. It confers as well as limits the powers which a corporation may exercise
- b. It informs prospective investors and creditors of the kind of business the corporation deals with
- c. It notifies the management of the limits of its actions
- d. It allows the corporation to engage in any type of business or transactions

42. **[SKIP]**

43. Under the SEC Revised Guidelines, the corporate name shall contain any of the following words, except

- a. Corp.
- b. Incorporated
- c. Inc.
- d. Ltd.

44. When a change in the corporate name is approved, the SEC shall issue an amended certificate of incorporation under the amended name. What is the effect of the mere change of the corporate name approved by SEC?

- a. It will result to dissolution of the previous corporation
- b. It results to the creation of a new corporation
- c. It has no effect on the identity of the corporation, or on its property, rights or liabilities
- d. It will extinguish all the liabilities of the said corporation

45. When does a private corporation formed under the Revised Corporation Code obtain its corporate existence or juridical personality?

- a. From the date of consent of the incorporators to the articles of incorporation
- b. From the date of submission of the articles of incorporation to the SEC
- c. From the date of submission of the by-laws to the SEC
- d. From the date of issuance by the SEC of the certificate of incorporation under SEC's official seal

46. What is the mandatory period for a newly formed corporation to formally organize and to commence business transaction from the date of its incorporation to prevent automatic dissolution of the corporation?

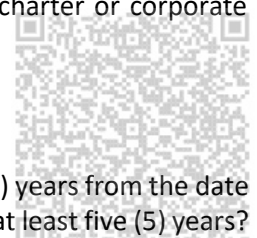
- a. 5 years
- b. 6 years
- c. 4 years
- d. 2 years

47. What is the effect if a corporation does not formally organize and commence the transaction of its business or the construction of its works within five (5) years from the date of its incorporation or issuance of certificate of registration by SEC under SEC's official seal for causes within the corporation's control?

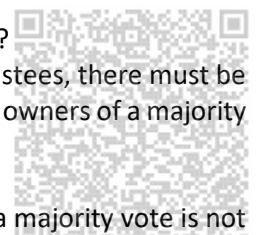
- a. The corporation is ipso facto dissolved by operation of law
- b. That shall be a non-automatic ground for suspension or revocation of corporate charter or corporate dissolution making such entity a de facto corporation
- c. The corporation is considered de facto corporation
- d. The corporation shall be criminally liable

48. What is the effect if a corporation has commenced the transaction of its business five (5) years from the date of its incorporation but subsequently becomes continuously inoperative for a period of at least five (5) years?

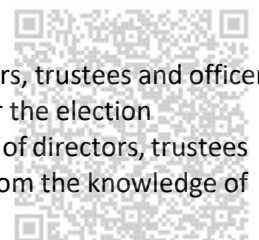
- a. The corporation is ipso facto dissolved by operation of law



- b. That shall be a non-automatic ground for suspension or revocation of corporate charter or corporate dissolution making such entity a delinquent corporation
 - c. The corporation is considered an ostensible corporation
 - d. The corporation shall be criminally liable
49. Statement 1: Under the Revised Corporation Code, a delinquent corporation refers to a corporation that becomes continuously inoperative for a period of at least five (5) years after its formal organization within the period provided by law
Statement 2: Under the Revised Corporation Code, the period allowed by law to a delinquent corporation to resume its operation from the notice given by SEC in order for SEC to lift the delinquency status of such delinquent corporation is within 2 years
- a. Both statements are true
 - b. Only Statement 1 is true
 - c. Only Statement 2 is true
 - d. Both statements are false
50. What is the policy-making or governing body of a private corporation?
- a. General partners
 - b. Board of Directors/Trustees
 - c. General manager
 - d. Council of elders
51. The following are the qualifications of directors of a stock corporation, except
- a. He must own at least one share of the capital stock of the corporation
 - b. He must be of legal age
 - c. They must not be more than 15 directors
 - d. All of the above are qualifications of directors
52. Under the Revised Corporation Code, what is minimum number of Independent Directors in corporations vested with public interest?
- a. At least 10% of the directors
 - b. At least 1/3 of the directors
 - c. At least 20% of the directors
 - d. At least 25% of the directors
53. What is the maximum term of office of directors of a stock corporation?
- a. Term of three years but he may continue to serve until their successors are elected and qualified
 - b. Term of four years but he may continue to serve until their successors are elected and qualified
 - c. Term of two years but he may continue to serve until their successors are elected and qualified
 - d. Term of one year but he may continue to serve until their successors are elected and qualified
54. Which of the following statements concerning number of directors/trustees of a corporation is false?
- a. Trustees of nonstock educational corporation shall be 5 or 10 or 15
 - b. In a one person corporation, the number of directors is at least 5
 - c. In a stock corporation, it must not be more than 15
 - d. In ordinary non-stock corporation, the board of trustees may exceed 15 members
55. Statement 1: Cumulative voting is defined as a method of concentrating votes devised to give sufficient opportunity to minority shareholders to secure representation in the board. It is the manner of voting required by the Revised Corporation Code for election of board of directors in a stock corporation
Statement 2: Straight voting is defined as method of voting wherein a member can only cast one vote per share for each director
- a. Only Statement 2 is true
 - b. Only Statement 1 is true
 - c. Both statements are true
 - d. Both statements are false
56. It is the manner of voting for election of board of trustees in a non-stock corporation
- a. Straight voting
 - b. Members of non-stock corporations may cast as many votes as there are trustees elected but may cast not more than one vote for one candidate
 - c. Cumulative voting by distribution
 - d. Cumulative voting for one candidate
57. Which of the following statements concerning the election of directors/trustees is false?
- a. At any meeting of stockholder or members called for the election of directors or trustees, there must be present either in person or by representative authorized to act by written proxy, the owners of a majority of the outstanding capital stock or majority of members entitled to vote
 - b. The election must be by ballot if requested by any voting member or stockholder
 - c. The candidates receiving the higher number of votes shall be declared elected and a majority vote is not necessary as long as there is a quorum during the election

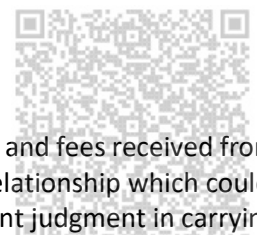


- d. Delinquent stocks may be voted
58. What is the number of vote of each director of a corporation regarding act of management or administration?
- It is dependent upon the stocks owned by a director
 - Five votes for each director
 - One vote for each director
 - None
59. Statement 1: Under the Revised Corporation Code, the period for reporting to SEC of non-holding of elections of directors/trustees and the reasons therefore is within 30 days from the date of the scheduled election
Statement 2: Under the Revised Corporation Code, the latest period for the holding of new election in case of non-holding of elections of directors/trustees shall not be later than 60 days from the scheduled date or original date
- Only Statement 1 is true
 - Only Statement 2 is true
 - Both statements are true
 - Both statements are false
60. When may the courts exceptionally interfere to the contracts entered into by the board of directors?
- When the contracts are so unconscionable and oppressive as to amount to a wanton destruction of rights of the minority
 - When the contracts are considered ultra vires
 - Neither A nor B
 - Either A or B
61. The following are the three-fold duties of corporate directors, trustees and officers, except
- Duty of diligence
 - Duty of loyalty
 - Duty of obedience
 - Duty of independence
62. The following are the mandatory corporate officers under the Revised Corporation Code, except
- Treasurer who has the authority to receive and keep funds of the corporation and to disburse them in accordance with the authority given to him by Board of authorized officers
 - Secretary who is regarded as the custodian of corporate records
 - President who is regarded as the highest executive officer in the corporate settings and necessarily brings with him implied powers and apparent authority of the corporation
 - All of the above are mandatory corporate officers
63. The following are the qualifications of a corporate president, except
- He must neither be a secretary nor a treasurer of the same corporation
 - He must be a resident citizen of the Philippines
 - He must be a stockholder of the corporation
 - He must be a director of the corporation
64. The following are the qualifications of a corporate secretary, except
- He must be a director of the corporation
 - He must be a Filipino citizen
 - He must be a resident of the Philippines
 - He must not be a president of the same corporation
65. What is the qualification of a corporate treasurer?
- Must be resident-citizen of the Philippines
 - Must be a stockholder and must be a Filipino Citizen
 - Not the corporate president and must be a resident of the Philippines
 - Must be a stockholder and a Director
66. Which of the following corporate officer is required to be a stockholder and a director?
- Secretary
 - Vice-president
 - President and chairman of the board of directors
 - Treasurer
67. Which of the following is allowed concurrent positions to a single person?
- President and Secretary
 - Secretary and Treasurer
 - President and Treasurer
 - None of the above
68. Statement 1: The period for reporting the names, nationalities and residences of directors, trustees and officers elected to the SEC by the corporate secretary or any other officer is within 30 days after the election
Statement 2: The period for reporting in writing the death, resignation or ceasing as such of directors, trustees and officers to the SEC by the corporate secretary or any other officer is within 7 days from the knowledge of the said death, resignation or cessation
- Only Statement 1 is true
 - Only Statement 2 is true
 - Both statements are true
 - Both statements are false



- b. Only Statement 2 is true
- d. Both statements are false

69. Under the Revised Corporation Code, which of the following is/are considered temporary grounds for disqualification of directors, trustees or corporate officers for a period of at least five (5) years?
- a. Found administratively liable for any offense involving fraudulent acts
 - b. By a foreign court or equivalent foreign regulatory for acts, violations or misconduct similar to those enumerate in letter (b) and (c) above
 - c. Convicted by final judgment of an offense punishable by imprisonment for a period exceeding six (6) years, violation of Revised Corporation Code, and violation of Securities Regulation Code
 - d. All of the above
70. Under Revised Corporation Code, when shall the election to fill-up vacancy in the board of directors/trustees be held if the reason is for causes other than the expiration of term (removal, increase in sits, resignation, abandonment of office, or death)?
- a. It shall be held no later than 15 days from the time the vacancy arose
 - b. It shall be held no later than 20 days from the time the vacancy arose
 - c. It shall be held no later than 45 days from the time the vacancy arose
 - d. It shall be held no later than 30 days from the time the vacancy arose
71. The following are the reasons for board vacancy which will disqualify the remaining members of the board with quorum to fill up the vacancy in the board, except
- a. Expiration of term of a director
 - b. Disqualification of a director
 - c. Removal of a director
 - d. Increase in the sits of the board
72. The Articles of Incorporation and By-Laws provide for a maximum of 15 directors for JD, Inc. During 2021:
- Statement 1: 3 directors resigned and 4 directors died. The vacancies can be filled up either by plurality vote of the majority of the outstanding capital stock entitled to vote or by majority vote of the remaining members of board of directors
- Statement 2: 3 directors were removed by stockholders' vote and 2 directors' term expired. The vacancies can only be filled up by plurality vote of the majority of the outstanding capital stock entitled to vote
- Statement 3: 2 directors resigned, 2 directors died and 4 directors were disqualified. The vacancies can only be filled up by plurality vote of the majority of the outstanding capital stock entitled to vote
- a. Only one statement is true
 - b. Only two statements are true
 - c. All statements are true
 - d. All statements are false
73. Statement 1: As a general rule, directors of a corporation are not entitled to receive any compensation except for reasonable per diems or unless the compensation is fixed by by-laws or when granted by the vote of stockholders
- Statement 2: The maximum amount to be granted as compensation to board of directors in such capacity is 10% of the net income of corporation before tax of the immediately preceding year
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
74. What is the liability of a director or officer when he attempts to acquire or acquires, in violation of his duty, any interest adverse to the corporation in respect of any matter which has been reposed in him in confidence?
- a. He shall be liable as a trustee for the corporation and must account for the profits which otherwise would have accrued to the corporation
 - b. He is not liable to the corporation if the director is the majority stockholder
 - c. He shall not be liable to the corporation
 - d. He is liable but only to the extent of his capital contribution
75. The following are the remedies of the stockholders in case of mismanagement of the corporation, except
- a. Ask for the involuntary dissolution of the corporation if the abuse amounts to a ground for the institution of a quo warranto proceedings but the Solicitor General refuses to act
 - b. File a derivative suit with RTC or complaint with the SEC
 - c. File an action for receivership
 - d. File a criminal action against the corporation
 - e. File an action for injunction if the act has not yet been done
76. Statement 1: An independent director refers to a person who, apart from shareholdings and fees received from the corporation, is independent of management and free from any business or other relationship which could, or could reasonably be perceived to materially interfere with the exercise of independent judgment in carrying out the responsibilities as a director



Statement 2: A self-dealing director, trustee or officer refers to a director, trustee, or officer who personally contracts with the corporation in which he is director, trustee or officer

Statement 3: An interlocking director, trustee or officer refers to a person who is a director, trustee or officer in different corporations

- | | |
|---------------------------------|-----------------------------|
| a. Only one statement is true | c. All statements are true |
| b. Only two statements are true | d. All statements are false |

77. The following are the essential requisites in order for a contract entered into by self-dealing director/officer with the corporation to be perfectly valid even without requiring ratification from stockholders, except
- That the contract is fair and reasonable under the circumstances
 - That the presence of such self-dealing director in the board meeting in which the contract was approved was necessary to constitute a quorum
 - In the case of an officer, the contract has been previously authorized by the board of directors
 - That the vote of the self-dealing director was not necessary for the approval of the contract
78. What is the status, as a general rule, of a contract entered into by 2 or more corporations, having interlocking directors?
- Voidable at the option of the director
 - Voidable at the option of the corporation
 - Null and void
 - Valid and without defect provided there is no fraud and the contract is fair and reasonable
79. It refers to a body created by the by-laws and composed of not less than three appointed members of the board which, subject to the statutory limitations, has all the authority of the board to the extent provided in the board resolution or by-laws. This body may act, by majority of all its members, on such specific matters within the competence of the board as may be delegated to it in by-laws
- Executive council
 - Executive group
 - Executive body
 - Executive committee
80. How may an executive committee be created?
- The executive committee can be created by the board of directors itself through a simple board resolution even if nothing is stated in the by-laws regarding its creation
 - The executive committee can only be created by virtue of a provision in the by-laws
 - Either A or B
 - Neither A nor B
81. Statement 1: Express powers refer to the powers expressly provided, enumerated and granted by the Revised Corporation Code or special law to a corporation
- Statement 2: Implied or necessary powers are those powers inferred from or reasonably necessary for the exercise of the provided powers of the Corporation. They flow from the nature of the underlying business enterprise
- Statement 3: Incidental or inherent powers are powers that attached to a corporation at the moment of its creation without regard to its expressed powers or particular primary purpose and may be said to necessarily arise from its being a juridical person engaged in business. They flow from the nature of the corporation as a juridical person
- Only one statement is true
 - Only two statements are true
 - All statements are true
 - All statements are false
82. The following are examples of implied or necessary powers of a private corporation, except
- To establish a local post office by a mining company
 - To issue checks
 - To sell, supply or manage advertising materials for an advertising company
 - To operate an online casino for a company engaged in amusement center for various computer games
 - To operate power plant for cement factory company
83. The following are examples of incidental or inherent powers of a private corporation, except
- Right to succession
 - Right to have corporate name
 - Right to make by-laws for its government
 - All of the above are incidental or inherent powers
84. Statement 1: An *ultra vires* act refers to act committed outside the object for which a corporation is created as defined by the law of its organization and therefore beyond the express, implied and incidental powers of the corporation
- Statement 2: The status of *ultra vires* contracts entered by a corporation which are illegal per se such as crime

are null and void

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

85. Statement 1: Pre-emptive right refers to the right of shareholders to subscribe to all issues or disposition of shares of any class in proportion to their present shareholdings in order to preserve their ownership interest in the corporation unless properly denied in the articles of incorporation. It is intended to protect both the proprietary and voting rights of a stockholder in a corporation, since such proportionate interest determines his proportionate power to vote in corporate affairs when the law gives the shareholders a right to affirm or deny board actions. It is a common law right which may be exercised by stockholders even when no provision is stated in the law

Statement 2: Right of first refusal provides that a stockholder who may wish to sell or assign his shares must first offer the shares to the corporation or to other existing stockholders of the corporation, under terms and conditions which are reasonable; and that only when the corporation or the other stockholders do not or fail to exercise their option, is the offering stockholder at liberty to dispose of his shares to third parties. It arises only by virtue of contractual stipulations in which case the right is construed strictly against the right of persons to dispose of or deal with their property. It is normally available in a close corporation as stated in its articles of incorporation as a type of transfer restriction

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

86. In which document shall the denial of pre-emptive right of a stockholder be stated for denial to be valid and binding?

- a. By-Laws
- b. Articles of incorporation
- c. Neither A nor B
- d. Either A or B

87. Statement 1: As a general rule and in compliance of trust fund doctrine, dividends can be declared only out of unrestricted retained earnings

Statement 2: As a general rule, the maximum surplus profits that can be retained by a stock corporation is 100% of paid up capital

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

88. Statement 1: Liquidating dividends are dividends which are actually distributions of the assets of the corporation upon dissolution or winding up of the same

Statement 2: Stock dividend is an example of dividends required to be ratified by the stockholders owning at least 2/3 of the outstanding capital stock entitled to vote

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

89. Statement 1: A management contract refers to any contract whereby a corporation undertakes to manage or operate all or substantially all of the business of another corporation, whether such contracts are called service contracts, operating agreements or otherwise

Statement 2: As a general rule, the maximum period for one term of management contract is 5 years

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

90. The following are the purposes of by-laws, except

- a. It defines the rights and duties of corporate officers and directors and of stockholders toward the corporation and among themselves
- b. It is a condition precedent before the acquisition of juridical personality of a corporation
- c. It affects and prejudices the interests of third persons
- d. It supplements the articles of incorporation
- e. It regulates the business transactions of the corporation in a particular way

91. The following are the requisites for the validity of by-laws, except

- a. It must be discriminatory, oppressive and arbitrary
- b. It must not impair obligations and contracts
- c. It must not be contrary to the Revised Corporation Code, any law, and Articles of Incorporation
- d. It must not be contrary to morals and public policy

92. Under Revised Corporation Code, what is the new mode of giving notice to stockholders/members regarding their regular or special meetings?



- a. It may now be sent through the use of pigeons

b. It may now be sent through the use of animals

c. It may now be sent electronically (electronic mail or other manner) in accordance with the rules and regulations of the SEC on the use of electronic data messages

d. All of the above
93. Under Revised Corporation Code, when may notice of meetings to stockholders/members be allowed to be given to them electronically in accordance with the rules and regulations of the SEC on the use of electronic data messages?

a. When electronic sending is done with the consent of stockholders or members

b. When electronic sending is allowed in the by-laws

c. Neither A nor B

d. Either A or B
94. Under Revised Corporation Code, if a date is not fixed in the by-laws for the regular meeting of shareholders or members, when shall the regular shareholders or members meeting be held?

a. On any date after May 15 as determined by Board of Directors or Trustees

b. On any date after July 15 as determined by Board of Directors or Trustees

c. On any date after April 15 as determined by Board of Directors or Trustees

d. On any date after June 15 as determined by Board of Directors or Trustees
95. Mandatorily, where shall the regular and special meeting of stockholders be located?

a. In the city/municipality where the principal warehouse is located preferably at the principal warehouse of the corporation

b. In the city/municipality where the largest branch is located preferably at the largest branch of the corporation

c. In the city/municipality where the principal office is located preferably at the principal office of the corporation

d. In the city/municipality where the principal branch is located preferably at the principal branch office of the corporation
96. Statement 1: In case the by-laws is silent, the regular meeting of stockholders shall be held annually

Statement 2: In case the by-laws is silent, the regular meeting of board of directors shall be held monthly

a. Only Statement 1 is true

b. Only Statement 2 is true

c. Both statements are true

d. Both statements are false
97. Statement 1: In case the by-laws is silent, the President has the authority to order the calling of regular and special meeting of board of directors and regular meeting of stockholders

Statement 2: In case the by-laws is silent, the Chairman of the Board shall preside the regular meeting of board of directors or regular meeting of shareholders

Statement 3: In case the by-laws is silent, the Secretary has the obligation to call the regular and special meeting of board of directors or regular meeting of stockholders after being properly authorized

a. Only one statement is true

b. Only two statements are true

c. All statements are true

d. All statements are false
98. Under Revised Corporation Code, in case the by-laws is silent, what is the minimum number of days of giving notice in case of meeting of stockholders or board of directors?

<u>Regular meeting of stockholders</u>	<u>Special meeting of stockholders</u>	<u>Meeting of Directors</u>
a. At least two weeks	At least one week	At least one day
b. At least three days	At least two days	At least five days
c. At least 21 days	At least one week	At least two days
d. At least four days	At least five days	At least six days
99. In case the by-laws is silent, where shall the meeting of the board of directors be held?

a. In the principal office of the corporation

b. In the principal operation of the corporation

c. Anywhere provided within the Philippines

d. Anywhere in or out of the Philippines
100. In which meeting is proxy allowed?

a. Meeting of shareholders/members

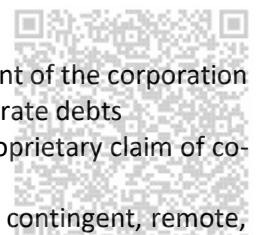
b. Meeting of board of directors/trustees

c. Both A and B

d. Neither A or B
101. The following shares are not entitled to vote, except



- a. Delinquent shares
 - b. Unpaid subscribed shares not yet declared delinquent
 - c. Treasury shares
 - d. Fractional shares
 - c. Escrow shares before the fulfillment of suspensive condition
102. Statement 1: A proxy refers to a written authorization given by one person to another so that the second can act for the first and it also refers to the holder of authority or person authorized by an absent stockholder or member to vote for him at a stockholders' meeting
Statement 2: A voting trust agreement refers to the agreement whereby stockholders (trustors) of a stock corporation confers upon a trustee the right to vote and other rights pertaining to the shares and it should not be used to circumvent the law against monopolies and illegal combinations in restraint of trade or for fraud purposes. It may be pre-terminated through a court petition by the trustors when their rights are trampled upon by the trustee
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
103. The following are the requisites for validity of proxy, except
- a. It shall be filed before the scheduled meeting with the corporate secretary
 - b. It shall be valid only for the meeting which is was intended unless the proxy is a continuing proxy
 - c. It shall be in writing
 - d. It shall be valid and effective even for a period longer than 10 years at any one time
 - e. It shall be signed by the shareholder/member concerned
104. Statement 1: The effectivity or validity period of a proxy at any one time is for a period not exceeding 5 years
Statement 2: The effectivity and validity period of voting trust agreement at any one time with the exception of voting trust specifically required as a condition in a loan agreement whose period depends upon the term of the loan is for a period not exceeding 5 years
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
105. The following are the correct differences between proxy and voting trust agreement, except
- a. There is no transfer of title to proxy while there is transfer of title to trustee
 - b. All of the above are differences between proxy and voting trust agreement
 - c. Proxy need not be notarized while voting trust agreement need to be notarized
 - d. The proxy must vote in person while the trustee may vote in person or by proxy
106. How may a stockholder or member vote in election of directors or trustees of a corporation?
- a. By personal voting
 - b. By remote communication or in absentia
 - c. Through a proxy
 - d. Any of the above
107. It refers to any contract for the subscription or acquisition of unissued stock in an existing corporation or the shares of the corporation still to be formed
- a. Promotion contract
 - b. Acquisition contract
 - c. Sales contract
 - d. Subscription contract
108. It refers to a stock issued for a consideration less than their par or issued price
- a. Gaseous stock
 - b. Secret reserves
 - c. Watered stock
 - d. Solidified shares
109. The following are the possible effects of watered stocks, except
- a. The total assets of the corporation are overstated
 - b. The total contributed capital of the corporation is understated
 - c. The total stockholders' equity of the corporation is overstated
 - d. The total liability of the corporation is understated
110. Which of the following statements concerning shares of stocks is incorrect?
- a. It constitutes intangible personal property of the shareholder
 - b. It represents an inchoate interest or a sheer expectancy of a right in the management of the corporation and to share in the profits and net assets of the corporation after payment of corporate debts
 - c. It represents proprietary right of stockholder to the assets of the corporation or proprietary claim of co-ownership in the assets of the corporation
 - d. It represents aliquot parts of the corporation's capital and this interest is indirect, contingent, remote, conjectural, consequential and collateral



111. Statement 1: A derivative suit refers to a suit brought by one or more stockholders or members in the name and on behalf of the corporation to redress wrongs committed against it or to protect or vindicate corporate rights, whenever the officials of the corporation refuse to sue or are the ones to be sued or hold control of the corporation. The corporation is a necessary party to the suit. It is a suit filed by a person who must be a shareholder to enforce a corporation's cause of action
Statement 2: An individual suit is an action brought by a stockholder against the corporation for direct violation of his contractual rights
Statement 3: A representative suit refers to an action brought by a person in his own behalf or on behalf of all similarly situated
- Only one statement is true
 - Only two statements are true
 - All statements are true
 - All statements are false
112. When may a corporation charge an interest on unpaid subscription not yet declared delinquent?
- From the date of subscription regardless of provision in the by-laws and subscription contract
 - Only from the moment there is judicial or extrajudicial demand
 - It cannot charge any interest
 - From the date of subscription when required by subscription contract or by-laws at the rate fixed in the by-laws or legal rate (which is 6% on or after July 1, 2013 or 12% before July 1, 2013) if no rate is stated. The agreement to pay interest must be made in writing to be valid
113. Under the Revised Corporation Code, what is the interest rate on unpaid subscription?
- Legal interest rate
 - Market rate
 - Rate of interest fixed in the subscription contract or legal interest rate in the absence of rate fixed in the subscription contract
 - Rate of interest fixed in the by-laws or legal interest rate in the absence of rate fixed in the by-laws
114. How many days shall lapse from the due date fixed in the subscription contract or from the date fixed in the call made by the Board of Directors for the shares to be delinquent if still unpaid?
- 20 days
 - 15 days
 - 30 days
 - 60 days
115. Who shall be considered the highest bidder in a delinquency sale/public auction?
- The person participating in the delinquency sale who offers to pay the full amount of the balance of the subscription together with the accrued interest, costs of advertisement and expenses of sale, for the highest number of shares
 - The person participating in the delinquency sale who offers to pay the full amount of the balance of the subscription excluding the accrued interest, costs of advertisement and expenses of sale, for the smallest number of shares
 - The person participating in the delinquency sale who offers to pay the full amount of the balance of the subscription together with the accrued interest, costs of advertisement and expenses of sale, for the smallest number of shares
 - The person participating in the delinquency sale who offers to pay the full amount of the balance of the subscription excluding the accrued interest, costs of advertisement and expenses of sale, for the highest number of shares
116. The rights of delinquent shareholder are suspended at the time of delinquency. What right is still available to a delinquent shareholder?
- Right to cash dividends to be offsetted to his balance and right to stock dividends which will be withheld until full payment of the subscription balance
 - Right to inspect corporate books
 - Right to vote at stockholders' meeting
 - Right to exercise appraisal right
117. The following are the property rights of a shareholder, except
- To transfer of stock in the corporate book
 - To receive dividends when declared by board of directors
 - To issuance of certificate of stock/other evidence of stock ownership
 - All of the above are property rights of a shareholder
118. The following are the remedial rights of a shareholder, except
- To demand payment in the exercise of appraisal right



- b. To recover stock unlawfully sold for delinquency
 - c. To inspect corporate books
 - d. All of the above are remedial rights of a shareholder
119. The following are the books or records to be kept by the corporation, except
- a. Annual financial statements
 - b. Book of minutes of all meetings
 - c. Stock and transfer book in case of stock corporation
 - d. All of the above are books or records to be kept by the corporation
120. Statement 1: Under the Revised Corporation Code, unless the by-laws provide for a longer period, the stock and transfer book or membership shall be closed at least twenty (20) days before the scheduled date of the regular meeting of stockholders
Statement 2: Under the Revised Corporation Code, unless the by-laws provide for a longer period, the stock and transfer book or membership shall be closed at least seven (7) days before the scheduled date of the special meeting
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
121. Under the Revised Corporation Code, unless changed by Department of Finance Secretary, how much is the total assets or total liabilities of the corporation for the financial statements to be required to be audited by CPA?
- a. At least P1,000,000 of total assets or total liabilities
 - b. At least P500,000 of total assets or total liabilities
 - c. At least P600,000 of total assets or total liabilities
 - d. At least P100,000 of total assets or total liabilities
122. Statement 1: Consolidation refers to a business combination whereby one or more existing corporations are absorbed by another corporation which survives and continues the combined business
Statement 2: Merger refers to a business combination whereby two or more existing corporations form a new corporation different from the combining corporation
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
123. Which of the following is not a requisite for merger or consolidation?
- a. There must be ratification by vote of stockholders representing at least 2/3 of outstanding capital stock or members
 - b. There must be approval by the Securities and Exchange Commission
 - c. It must be approved by the board of directors of each corporation by at least majority vote
 - d. All of the above are requisites for merger or consolidation
124. What is the effectivity date of the merger or consolidation?
- a. Upon publication of the articles of merger or consolidation
 - b. 2 weeks after the publication of the articles of merger or consolidation
 - c. Date of submission of the articles of merger or consolidation to the SEC
 - d. Date of issuance by SEC of certificate of merger or consolidation
125. It refers to the right to demand payment of the fair value of his shares, after dissenting from a proposed corporate action involving a fundamental change in the corporation in the cases provided by law. This right may be waived by a shareholder if he has done so knowingly and intelligently
- a. Pactum right
 - b. Demandable right
 - c. Pre-emptive right
 - d. Appraisal right
126. Statement 1: The period for making a written demand on the corporation by a dissenting stockholder for the exercise of his appraisal rights is within 30 days after the date on which the vote was taken
Statement 2: The period for submission of certificate of stocks to the corporation for notation as being dissenting stocks in the exercise of appraisal right by a stockholder is within 10 days from his written demand to withdraw
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
127. The following are the effects of exercise of appraisal right, except
- a. All rights accruing to such shares shall be suspended from time of demand for payment of the fair value



- of the shares until either the abandonment of the corporate action
- b. The dissenting stockholder shall be entitled to receive payment of the fair value of shares thereof as of the day prior to the date on which the vote was taken, excluding any appreciation or depreciation in anticipation of such corporate action
 - c. Upon payment of the fair value of shares, all the rights of dissenting stockholders are terminated and not merely suspended. However, presence of unrestricted retained earnings is necessary before payment to dissenting stockholders
 - d. A dissenting shareholder who demands payment of fair value of his shares is allowed to withdraw from his decision even without the consent of the corporation
128. Who shall bear the cost and expenses of appraisal of the fair value of the shares of a dissenting shareholder?
- a. The corporation as a general rule, except when the price offered by the corporation approximates the fair value determined by the appraiser, in which case, the dissenting stockholder will now be liable
 - b. Always corporation
 - c. Dissenting stockholder unless stipulated
 - d. Always dissenting stockholder
129. Which of the following are the requisites of a non-stock corporation?
- a. No part of whose income is, during its existence, distributable as dividends to its members, trustees, or officers
 - c. Neither A nor B
 - b. It does not have capital stock divided into shares
 - d. Both A and B
130. Unless otherwise provided in the articles of incorporation or by-laws, what is the number of the board of trustees of ordinary nonstock corporation?
- a. The number of trustees shall be fixed in the articles of incorporation or bylaw which may or may not be more than 15
 - c. It should be not less than 5 but not more than 20
 - b. It should be not less than 5 but not more than 15
 - d. It should be not less than 5 but not more than 10
131. What is the term of office of the Board of Trustees of an ordinary non-stock corporation?
- a. One year
 - c. Three years
 - b. Two years
 - d. Four years
132. What is the location of the regular or special meetings of members of a non-stock corporation?
- a. The place shall be in the principal office of the corporation
 - b. At any place even outside the principal office of the corporation as long as provided in the by-laws and within the Philippines
 - c. The place shall be in the residence of the founding members
 - d. The place shall be in the residence of the President
133. What is the nature of transferability of membership in a nonstock corporation?
- a. Membership in a non-stock corporation and all rights arising therefrom are not personal and transferable, unless the articles of incorporation or the by-laws otherwise provide
 - b. Membership in a non-stock corporation is a property right that can be transferred automatically
 - c. Membership in a non-stock corporation and all rights arising therefrom are personal and non-transferable, unless the articles of incorporation or the by-laws otherwise provide
 - d. None of the above
134. Statement 1: A close corporation is a type of stock corporation whose stockholders must not exceed the maximum limit of 20 and whose transfer of shares is normally subject to restriction normally a right of first refusal
- Statement 2: The maximum number of stockholders in a close corporation is 20
- a. Only Statement 1 is true
 - c. Both statements are true
 - b. Only Statement 2 is true
 - d. Both statements are false
135. It happens when the directors or stockholders of a close corporation are so divided respecting the management of the business and affairs of the corporation that the votes required for any corporate action cannot be obtained and as a result, business and affairs can no longer be conducted to the advantage of the stockholder
- a. Equal
 - c. Deadlock
 - b. Tie
 - d. Same
136. Statement 1: Corporate dissolution refers to the extinguishment of the corporate franchise and the termination of corporate existence. It legally affects more the nature and capacity of the juridical being of the

corporate being

Statement 2: Corporate liquidation refers to the process by which all the assets of the corporation are converted into liquid assets in order to facilitate the payment of obligations to creditors, and the remaining balance, if any, is to be distributed to the stockholders or members

- a. Only Statement 1 is true
- b. Only Statement 2 is true
- c. Both statements are true
- d. Both statements are false

137. The following are involuntary methods of dissolution. Which one is voluntary?
- a. Legislative dissolution meaning by a law filed by congress in case of public corporation
 - b. Failure to formally organize and commence business within 2 years from the date of issuance of the certificate of incorporation by SEC
 - c. Expiration of the corporate term
 - d. All of the above are involuntary methods of dissolution
138. After the dissolution of a corporation, what is the remaining period of the corporate body?
- a. 2 years from the time it is dissolved for the purpose of liquidation of its corporate affairs but not for entering into new business
 - b. 1 years from the time it is dissolved for the purpose of liquidation of its corporate affairs but not for entering into new business
 - c. 4 years from the time it is dissolved for the purpose of liquidation of its corporate affairs but not for entering into new business
 - d. 3 years from the time it is dissolved for the purpose of liquidation of its corporate affairs but not for entering into new business
139. May a dissolved corporate enforce its rights against another person despite its dissolution and even after the expiration of the three-year liquidation period?
- a. No, because it must be filed within the 3-year prescriptive period
 - b. No, because the corporation has no legal standing in a court of law
 - c. Yes, because Revised Corporation Code provides that no right or remedy in favor of or against any corporation shall be removed or impaired either by the subsequent dissolution of said corporation
 - d. Yes, but only if the case is filed within the three-year liquidation period
140. In determining the nationality of a corporation in the Philippines, whether domestic or foreign, what is the test applied by the Revised Corporation Code?
- a. Residency test
 - b. Grandfather rule test
 - c. Control test
 - d. Incorporation test
141. How can a foreign corporation be allowed to transact or do business in the Philippines?
- a. By submitting by-laws to the SEC
 - b. By asking for permission from the Bureau of Internal Revenue
 - c. By registering with Department of Trade and Industry
 - d. By securing a license for that purpose from the SEC and a certificate of authority from appropriate government agency
142. What is the period for the submission of the General Information Sheet of the Corporation to the SEC?
- a. Within 90 calendar days from date of the actual annual stockholders' or members meeting
 - b. Within 120 calendar days from date of the actual annual stockholders' or members meeting
 - c. Within 30 calendar days from date of the actual annual stockholders' or members meeting
 - d. Within 60 calendar days from date of the actual annual stockholders' or members meeting
143. The following can be the single stockholder of a one person corporation (OPC), except
- a. Natural person who must be of legal age
 - b. Estate of a deceased person
 - c. Partnership or corporation or cooperative or association
 - d. Trust who does not refer to a trust entity (company or corporation) but the subject being managed by a trustee
144. As a general rule, what is the term of existence of one person corporation (OPC)?
- a. 50 years subject to unlimited times of renewal
 - b. 20 years renewable for another term
 - c. 50 years renewable for another term
 - d. Perpetual existence
145. Where shall the suffix "OPC" be indicated by the one person corporation in its corporate name?
- a. At the end of its corporate name
 - c. Neither A nor B



- b. Below its corporate name
- d. Either A or B
146. Statement 1: The director of the one person corporation (OPC) is the single stockholder of the one person corporation
Statement 2: The president of the one person corporation (OPC) is the single stockholder of the one person corporation
Statement 3: In case the single stockholder of the one person corporation (OPC) becomes incapacitated, the nominee can take over the management of the OPC as its director and president
a. Only one statement is true c. All statements are true
a. Only two statements are true d. All statements are false
147. What document must be attached in the application for incorporation by single stockholder of the one person corporation (OPC)?
a. The PSA CENOMAR of both the nominee and alternate nominee
b. None of the above
c. The written consent of both the nominee and alternate nominee to the designation
d. The PRC ID of both the nominee and alternate nominee
148. Who will replace the single stockholder of the one person corporation (OPC) in case of his death and/or incapacity?
a. Alternate Nominee designated in the Articles of Incorporation c. Neither A nor B
b. Nominee designated in the Articles of Incorporation d. Either A or B
149. Unless provided by special law, what is the minimum authorized capital stock of one-person corporation (OPC)?
a. P5,000 c. P25,000
b. P5 d. No minimum authorized capital stock
150. Statement 1: Within 15 days from the issuance of its Certification of Incorporation by SEC, the OPC shall appoint a treasurer, corporate secretary and other officers
Statement 2: At any time, a single stockholder of the one person corporation (OPC) can change its nominee and alternative nominee
a. Only Statement 1 is true c. Both statements are true
b. Only Statement 2 is true d. Both statements are false
151. The following are the reports that must be submitted by OPC to SEC within the period required by SEC, except
a. A report on all explanations or comments by the president on the qualification, reservation or adverse remarks made by the auditor in the financial statements
b. Corporate by-laws
c. Annual audited financial statements or if total assets and total liabilities are less than P600,000, the financial statements shall be certified under oath by the corporation's treasurer
d. A disclosure of all self-dealings and related transactions entered into between the OPC and the single stockholder
152. Under the Revised Corporation Code, when may an ordinary corporation be allowed to convert to one person corporation?
a. When a single stockholder becomes the controlling stockholder of an ordinary stock corporation
b. When a single stockholder acquires all the stocks of an ordinary stock corporation
c. When a single stockholder becomes the majority stockholder of an ordinary stock corporation
d. Any of the above

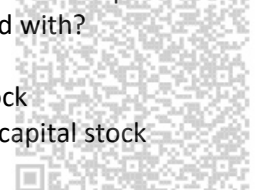
Part II: VOTING REQUIREMENTS

153. What is required vote for fundamental amendment of the articles of incorporation?
a. At least majority vote of the board of directors/trustees provided in Articles of Incorporation and the vote or written assent of the stockholders representing at least majority of the outstanding capital stock or the vote or written assent of at least majority of the members if it be a non-stock corporation
b. At least majority vote of the board of directors/trustees provided in Articles of Incorporation and the ratification of the stockholders representing at least majority of the outstanding capital stock or the ratification of at least majority of the members if it be a non-stock corporation
c. At least majority vote of the board of directors/trustees provided in Articles of Incorporation and the vote or written assent of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock or the vote or written assent of at least two-thirds (2/3) of the members if it be a non-stock corporation

corporation

- d. At least majority vote of the board of directors/trustees provided in Articles of Incorporation and the ratification vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock or the ratification of at least two-thirds (2/3) of the members if it be a non-stock corporation

154. What is the quorum or required number of present stockholders for validity of election of board of directors in a stock corporation?
 - a. Owners of at least 100% of the outstanding capital stock
 - b. Owners of at least 25% of the outstanding capital stock
 - c. Owners of at least majority of the outstanding capital stock allowed to vote
 - d. Owners of at least majority of the outstanding capital stock
155. In the absence of quorum stipulated in the articles of incorporation, what is required quorum for the validity of the meeting conducted by Board of Directors regarding a corporate act or act of administration or management?
 - a. At least 2/3 of the number of directors as fixed in the articles of incorporation
 - b. At least majority of the number of directors as fixed in the articles of incorporation
 - c. At least 2/3 of the number of directors filled up
 - d. At least majority of the number of directors filled up
156. For the validity of the decision of the Board of Directors regarding corporate acts or acts of administration, what is the required vote?
 - a. At least 2/3 of the number of directors as fixed in the articles of incorporation
 - b. At least majority of the number of directors as fixed in the articles of incorporation
 - c. At least majority of the present members of board of directors in a meeting where there is a quorum
 - d. At least majority of the number of directors filled up
157. What is the quorum required for the election of corporate officers by the Board of Directors to be valid?
 - a. At least 2/3 of the number of directors as fixed in the articles of incorporation
 - b. At least 2/3 of the number of directors filled up
 - c. At least majority of the number of directors as fixed in the articles of incorporation
 - d. At least majority of the number of directors filled up
158. What is the vote necessary for the valid election of the mandatory corporate officers by the Board of Directors?
 - a. At least 2/3 of the number of directors as fixed in the articles of incorporation
 - b. At least majority of the present members of board of directors in a meeting where there is a quorum
 - c. At least majority of the number of directors as fixed in the articles of incorporation
 - d. At least majority of the number of directors filled up
159. What is the required vote for the removal of incumbent director or trustee?
 - a. At least majority vote of the members of the board and at least 2/3 of the outstanding capital stock entitled to vote or at least 2/3 of members
 - b. At least majority vote of the members of the board
 - c. Owners of at least majority of the outstanding capital stock or at least majority of members
 - d. Owners of at least 2/3 of the outstanding capital stock entitled to vote or at least 2/3 of members entitled to vote
160. Under the Revised Corporation Code, what is the required vote for the granting of compensation to board of directors in such capacity other than reasonable per diems?
 - a. At least majority vote of the directors and at least 2/3 of the outstanding capital stock
 - b. Owners of at least 2/3 of the outstanding capital stock
 - c. At least majority vote of the directors and at least majority vote of the outstanding capital stock
 - d. Owners of at least majority of the outstanding capital excluding the directors concerned
161. What is the required vote for the ratification of the voidable contract entered into by a self-dealing director if the essential requisites for a contract entered into by self-dealing director/officer with the corporation to be perfectly valid even without requiring ratification from stockholders are not complied with?
 - a. Owners of at least majority of the outstanding capital stock
 - b. At least majority vote of the directors and at least 2/3 of the outstanding capital stock
 - c. At least majority vote of the directors and at least majority vote of the outstanding capital stock
 - d. Owners of at least 2/3 of the outstanding capital stock



162. If the interlocking director's interest in one corporation is substantial (more than 20% of outstanding capital stock) and his interest in the other corporation is merely nominal (20% or less of outstanding capital stock), then all the requisites for contracts with self-dealing directors must all be present to be perfectly valid. If either of the first two requisites are absent, the contract can be ratified by how many votes?
 - a. At least majority vote of the directors and at least 2/3 of the outstanding capital stock
 - b. Owners of at least majority of the outstanding capital stock
 - c. At least majority vote of the directors and at least majority vote of the outstanding capital stock
 - d. Owners of at least 2/3 of the outstanding capital stock in the corporation where the interlocking director has nominal interest
163. What is the required vote for the ratification of disloyalty conducted by a director against the corporation?
 - a. At least majority vote of the directors and at least 2/3 of the outstanding capital stock
 - b. Owners of at least 2/3 of the outstanding capital stock
 - c. At least majority vote of the directors and at least majority vote of the outstanding capital stock
 - d. Owners of at least majority of the outstanding capital stock
164. What is the required vote for the extension/shortening of corporate term?
 - a. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or members
 - b. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - c. Approval by at least majority vote of the board of directors/trustees
 - d. Approval by stockholders representing at least 2/3 of the outstanding capital stock or members
165. What is the required vote for the increase/decreasing of authorized capital stock?
 - a. Approval by at least majority vote of the board of directors and ratification by stockholders representing at least majority of the outstanding capital stock
 - b. Approval by at least majority vote of the board of directors
 - c. Approval by at least majority vote of the board of directors and ratification by stockholders representing at least 2/3 of the outstanding capital stock
 - d. Approval by stockholders representing at least 2/3 of the outstanding capital stock
166. What is the required vote for incurring, creating or increasing bond indebtedness?
 - a. Approval by stockholders representing at least 2/3 of the outstanding capital stock or members
 - b. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - c. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or members
 - d. Approval by at least majority vote of the board of directors/trustees
167. What is the required vote for validity of denial of pre-emptive right?
 - a. Approval by at least majority vote of the board of directors and ratification by at least 2/3 of stockholders
 - b. Approval by at least majority vote of the board of directors and ratification by stockholders representing at least majority of the outstanding capital stock
 - c. Approval by at least majority vote of the board of directors
 - d. Approval by stockholders representing at least 2/3 of the outstanding capital stock
168. What is the required vote for the sale, disposal, lease or encumbrance of all or substantially all of corporate assets?
 - a. Approval by stockholders representing at least 2/3 of the outstanding capital stock or members
 - b. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - c. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or members
 - d. Approval by majority vote of the board of directors/trustees
169. What is the required vote for acquisition of treasury shares?
 - a. Approval by at least majority vote of the board of directors and ratification by stockholders representing at least majority of the outstanding capital stock
 - b. Approval by at least majority vote of the board of directors and ratification by at least 2/3 of stockholders
 - c. Approval by stockholders representing at least 2/3 of the outstanding capital stock
 - d. Approval by at least majority vote of the board of directors



170. What is the vote required for the investment of corporate funds in another corporation or for purposes other than the primary purpose?
- Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or members
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - Approval by at least majority vote of the board of directors/trustees
 - Approval by stockholders representing at least 2/3 of the outstanding capital stock or members
171. When the investment of corporate funds is reasonably necessary to accomplish the corporation's primary purpose as stated in the articles of incorporation, what is the required vote necessary for its validity?
- Approval by at least majority vote of present members the board of directors/trustees in a meeting where there is quorum
 - Approval by stockholders representing at least 2/3 of the outstanding capital stock or members
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or members
172. Statement 1: The required vote for declaration of cash or property dividends is the approval by at least majority vote of the board of directors
Statement 2: The required vote for declaration of stock dividends is the approval by at least majority vote of the board of directors and ratification by stockholders representing at least 2/3 of the outstanding capital stock
- Only Statement 1 is true
 - Only Statement 2 is true
 - Both statements are true
 - Both statements are false
173. As a general rule, what is the required vote for validity of management contract or what is the required vote for validity of management contract in the absence of interlocking directors between the managed corporation and managing corporation?
- Approval by stockholders representing at least 2/3 of the outstanding capital stock of both managed and managing corporation
 - Approval by at least majority vote of the board of directors
 - Approval by at least majority vote of the board of directors and ratification by stockholders representing at least majority of the outstanding capital stock of both managed and managing corporation
 - Approval by at least majority vote of the board of directors and ratification by stockholders representing at least 2/3 of the outstanding capital stock of both managed and managing corporation
174. What is the required vote for the adoption of new pre-incorporation by-laws?
- Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock at least 2/3 members
 - Approval by all of the incorporators
 - Approval by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
175. As a general rule, what is the required vote for the amendment, repeal and adoption of post-incorporation by-laws?
- Approval by at least majority of the board of directors/trustees
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock or at least majority of members
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
 - Approval by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
176. What is the required vote for the adoption or amendment of by-laws if this power has already been validly delegated to the Board of Directors/Trustees by the stockholders/members?
- Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
 - Approval by at least majority of the board of directors/trustees
 - Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock at least 2/3 members
 - Approval by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members



177. What is the required vote for the valid delegation by the stockholders/members to the board of directors of the power to amend or repeal by-laws or adopt new one?
 - a. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least majority of the outstanding capital stock at least majority members
 - b. Approval by at least majority of the board of directors/trustees
 - c. Approval by at least majority vote of the board of directors/trustees and ratification by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
 - d. Approval by stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 members
178. What is the required vote for the revocation of the delegated power of board of directors to amend or repeal by-laws or adopt new one?
 - a. Stockholders owning at least majority of the outstanding capital stock or at least majority of members
 - b. Stockholders owning at least 75% of the outstanding capital stock or at least 75% of members
 - c. Stockholders owning at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - d. Stockholders owning at least 60% of the outstanding capital stock or at least 60% of members
179. What is the quorum for validity of meetings of shareholders/members?
 - a. Stockholders representing at least majority of the outstanding capital stock or majority of members
 - b. Stockholders representing at least 2/3 of the outstanding capital stock or at least 2/3 of members
 - c. Stockholders representing 100% of the outstanding capital stock or all members
 - d. Stockholders representing at least 75% of the outstanding capital stock or at least 75% of members
180. Under the Revised Corporation Code, what is the required vote for the voluntary dissolution of a private corporation where creditors are not affected?
 - a. Approval by at least majority vote of the trustees and ratification by at least majority of the members having voting rights
 - b. Approval by at least majority of the members
 - c. Approval by at least majority vote of the trustees and ratification by at least 2/3 of the members having voting rights
 - d. Approval 2/3 of the members having voting rights
181. Under the Revised Corporation Code, what is the required vote for the voluntary dissolution of a private corporation where creditors are affected?
 - a. Approval by at least majority vote of the trustees and ratification by at least majority of the members having voting rights
 - b. Approval by at least majority of the members
 - c. Approval by at least majority vote of the trustees and ratification by at least 2/3 of the members having voting rights
 - d. Approval 2/3 of the members having voting rights
182. What is the required vote for the approval of the resolution recommending a plan of distribution of non-stock corporation's assets?
 - a. Approval by at least majority vote of the trustees and ratification by at least majority of the members having voting rights
 - b. Approval by at least majority of the members
 - c. Approval by at least majority vote of the trustees and ratification by at least 2/3 of the members having voting rights
 - d. Approval 2/3 of the members having voting rights

PART III: SITUATIONAL

183. X Corporation posted a P1M profit in its realty business and its real estate has appreciated in value in the amount of P4M despite the drought that struck the northern and southern Philippines. The board then declared dividends to its stockholders computed on the basis of P5M representing profits and appreciation in the value of its real estate. Is the dividend declaration valid?
 - a. Not valid because there was no approval of 2/3 of the outstanding capital stock
 - b. Not valid because dividends must only come from the unrestricted retained earnings
 - c. Valid if no creditors shall be prejudiced and approved by the required votes of the directors and stockholders
 - d. Valid because it was based on profit and increment in the value of corporate asset



184. A, B, C, D, E, F and G are the duly elected directors for 2021 of Maginhawa Corporation whose articles of incorporation provide for 7 directors. On August 1, 2021, Directors A, B, C, D, and E met to fill the two vacancies in the board brought about by the valid removal of F for disloyalty to the corporation and the death of G. In the said meeting, the remaining directors voted for X to replace F, and Y a son of G, to replace his father. Both X and Y are owners of at least one share of stock of the corporation. The election of X and Y by the remaining directors is
- Not valid for both X and Y
 - Valid for both X and Y
 - Valid with respect to Y, not valid with respect to X
 - Valid with respect to X, not valid with respect to Y
185. In the meeting of the board of directors of Maginhawa Corporation, a construction company held on March 31, 2021, directors, A, B, C, D, and E were present among 9 directors. The meeting had for its agenda the following:
- The appointment of Y a new manager as allowed by the by-laws
 - The approval of the contract for the purchase of office supplies worth P130,000 from X Supplies Co
- When voting took place, directors A, B, C, and D voted for the election of Y as the new manager, and directors A, B, and C voted for the approval of the contract with X Supplies
- The election of Y as a manager is valid; the approval of the contract with X Supplies is not valid
 - Both corporate acts are valid
 - The election of Y as a manager is not valid; the approval of the contract with X Supplies is valid
 - Both corporate acts are not valid
186. Subscriber X has a total 1,000 delinquent share at P10 par value, to be sold at public auction sale. Total amount recoverable includes: Total amount of the delinquent shares, P10,000 and total expenses of the sale, P5,000. Who will be declared the highest bidder among the following bidders in the public sale?
- N who is willing to pay the P15,000 for 970 shares
 - P who is willing to pay the P15,000 for 900 shares
 - O who is willing to pay the P15,000 for 920 shares
 - M who is willing to pay the P15,000 for 950 shares
187. At the annual meeting of ABC Corporation for the election of five directors, A, B, C, D, E, F and G were nominated. A, B, C, D and E received the highest number of votes and proclaimed elected. F received ten votes less than E. Subsequently, E sold his shares to F, the transfer of shares having been registered with the corporation. Who between E and F has the right to attend as director in the board meeting?
- Either of them shall be the director
 - Neither of them shall be the director
 - E is the director because his term is one year until his successor is elected and qualified
 - F is the director for he has acquired all the shares of E
188. X sold all his shares in Maginhawa Corporation to Y. X owns 99% of Maginhawa Corporation. As the new owner, Y wanted a reorganization of the company which is to include primarily the separation of all existing employees and hiring of new employees. Which statement is most accurate?
- For as long as the existing employees are given their separation pay, they can be terminated
 - With the change in ownership, in effect there is a new juridical entity and therefore all employees are considered separated
 - Despite the change in shareholder, there is actually no change in the juridical entity and therefore existing employees cannot automatically be considered separated
 - Y, as the new shareholder, has the right to retain only those employees who in his judgment are qualified
189. Maginhawa Corporation has an authorized capital stock of P1 million divided into 50,000 common shares and 50,000 preferred shares. At its inception, the corporation offered for subscription all the common shares. However only 40,000 shares were subscribed. Recently, the directors thought of raising additional capital and decided to offer to the public all the authorized shares at their market value. Would X, the stockholder of 4,000 shares, have pre-emptive right to the remaining shares?
- Yes, because all stockholders have the pre-emptive rights to all issues of shares of any class in proportion to their shareholdings
 - No, because he was waived this right when he subscribed to a part only of the issuance of shares
 - No, because pre-emptive right does not apply to unissued shares to be issued
 - Yes, because pre-emptive right applies only to the issuance of unissued shares
190. Canadian Airlines is a foreign airline company. Canadian Airlines tickets are sold in the Philippines through Philippine Airlines as their agent. Canadian Airlines is not registered to do business as such with the Philippine SEC. Which statement is most accurate?



- a. Although unlicensed to do business in the Philippines, Canadian Airlines can sue before the Philippine Courts and can also be sued
 - b. Canadian Airlines can be sued in Philippine Courts but cannot sue
 - c. Canadian Airlines cannot sue and cannot be sued also
 - d. Canadian Airline can sue but cannot be sued
191. The term of X Corporation in accordance with its Articles of Incorporation ended last August 15, 2020. The term was not extended. What will happen to the corporation?
- a. The corporation is dissolved ipso facto
 - b. The Board of Directors must pass a resolution for the corporation to formally go into liquidation
 - c. There is a need to pass a board resolution to formally dissolve the corporation
 - d. The stockholders must pass a resolution to dissolve the corporation
192. The Articles of Incorporation of X Corporation was approved by the SEC. After the receipt of the Certificate of Approval from the SEC, X Corporation decided to immediately start the operation of its business despite the fact that it has no approved by-laws. What is the legal status of the X Corporation?
- a. A corporation by estoppel
 - b. A de jure corporation
 - c. A de facto corporation
 - d. An unregistered corporation
193. The certificate of incorporation of X Corporation, a trading corporation, was issued although only 2 of its 5 incorporators are residents of the Philippines. Three, however, are citizens of the Philippines. The corporation created in such a situation is a
- a. De facto corporation
 - b. No corporation was created at all
 - c. De jure corporation
 - d. Corporation by estoppel
194. X subscribed 10,000 shares in the capital stocks of Maginhawa Corporation. He paid 50% of the 10,000 shares. X asked the Corporate Secretary to issue him the corresponding stock certificate representing the 50% of what he already paid. The Corporate Secretary of the corporation refused. Was the Corporate Secretary correct?
- a. The Corporate Secretary cannot refuse because it is his legal duty to issue a stock certificate corresponding to the number of shares actually subscribed regardless of the actual payment
 - b. The Corporate Secretary is correct because the Revised Corporation Code provides that no certificate of stock shall be issued to a subscriber until the shares as subscribed have been fully paid
 - c. The Corporate Secretary cannot refuse because a Stock Certificate can be issued corresponding to the percentage of shares which were paid
 - d. The Corporate Secretary cannot refuse because a Certificate of Stock can be issued provided it is indicated in the Certificate the actual percentage of what has been paid
195. X, the President of Maginhawa Corporation, was authorized by the Board of Directors of Maginhawa Corporation to obtain a loan from Sea Bank and to sign documents in behalf of the corporation. X personally negotiated for the loan and got the loan at very low interest rates. Upon maturity of the loan, Maginhawa Corporation was unable to pay. Which statement is most accurate?
- a. Sea Bank can choose as to who it wants to hold liable for the loan
 - b. If Maginhawa Corporation cannot pay, X can be held subsidiary liable
 - c. Because X was personally acting in behalf of the Corporation, he can be held personally liable
 - d. X, as President, cannot be personally held liable for the obligation of the corporation even though he signed all the loan documents, because the loan was authorized by the Board
196. After ten years, five out of the nine incorporates who organized the corporation and signed the articles of incorporation died. The corporation is
- a. Not dissolved as it enjoys the right of succession
 - b. Dissolved as the Revised Corporation Code requires that the incorporators be alive during the operation of the business
 - c. Not dissolved as it still has forty years left in its term
 - d. Dissolved as there will be only four left which is below the minimum number of five incorporators required by the law



197. S is the registered owner of 500 shares of stock of Maginhawa Corporation whose articles of incorporation provide for 11 directors. In the annual election of directors for 2020, 12 stockholders filed their certificates of candidacy for the position, namely, A, B, C, D, E, F, G, H, I, J, K, and L. K and L are minority stockholders whom S wishes to elect to represent him and the other minority stockholders in the board. In the said election of directors, S may cast a maximum of
- 1,000 votes
 - 5,500 votes
 - 6,000 votes
 - 500 votes
198. A, B, C, D, E, F, G, H and I are directors of Maginhawa Corporation whose articles of incorporation provide for 9 directors. In the meeting of March 2020, directors A, B, C, D, and E, were present to approve a contract for the purchase of cement bags from E who deals in the said product. The contract was deliberated upon exhaustively by the said directors in the meeting including E. When the voting took place, however, only A, B, C and D who found the contract fair and reasonable under the circumstances, voted for its approval. The contract between the corporation and E is
- Valid and enforceable
 - Void because a corporation must not enter into a contract with any of its directors since a director occupies a position of trust
 - Voidable at the option of the corporation
 - Unenforceable against the corporation
199. A, B, C, D, E, F and G are directors of Maginhawa Corporation, a trade of appliances, whose articles of incorporation provide for 7 directors. On September 1, 2020, the board of directors met to approve a contract for the purchase of appliances from A, who is an importer of appliances. Present during the meeting were A, B, C, D and E with A, B, C and D voting for the approval of the contract. Assuming that the contract is fair and reasonable under the circumstances, what is the status of the contract between the corporation and A?
- Void
 - Unenforceable
 - Valid
 - Voidable
200. Under cumulative voting, the formula to determine the number of shares needed to elect a single director is as follows: $(S/(D+1)) + 1$ wherein S = total number of shares voting while D = numbers of directors to be elected. If there are 1,000 outstanding voting shares in the corporation and five directors will be elected, and all the shares are present and are going to vote, what is the minimum required number of voting shares to elect one director?
- 151 voting shares
 - 201 voting shares
 - 167 voting shares
 - 251 voting shares



COOPERATIVES
(Republic Act No. 9520 or the Philippine Cooperative Code of 2008)

- o **Cooperative** – an autonomous and duly registered association of persons, with a common bond of interest, who have voluntarily joined together to achieve their social, economic and cultural needs and aspirations by making equitable contributions to the capital required, patronizing their products and services and accepting a fair share of the risks and benefits of the undertaking in accordance with universally accepted cooperative principles.
- o **Cooperative Principles** - Every cooperative shall conduct its affairs in accordance with Filipino culture, good values and experience and the universally accepted principles of cooperation which include, but are not limited to, the following:
 - ✓ **Voluntary and Open Membership** – Cooperatives are voluntary organizations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political or religious discrimination.
 - ✓ **Democratic Member Control** – Cooperatives are democratic organizations that are controlled by their members who actively participate in setting their policies and making decisions. Men and women serving as elected representatives, directors or officers are accountable to the vote. Cooperatives at other levels are organized in the same democratic manner.
 - ✓ **Member Economic Participants** – Members contribute equitably to, and democratically control, the capital of their cooperatives. At least part of that capital is the common property of the cooperative. They shall receive limited compensation or limited interest, if any, on capital subscribed and paid as a condition of membership. Members allocate surpluses for any or all of at least be indivisible; benefitting members in proportion to their patronage of the cooperative’s business; and, supporting other activities approved by the membership.
 - ✓ **Autonomy and Independence** – Cooperatives are autonomous, self-help organizations controlled by their members. If they enter into agreements with other organizations, including government, or raise capital from external sources, they shall do so on terms that ensure democratic control of their members and maintain their cooperative autonomy.
 - ✓ **Education, Training and Information** – Cooperatives shall provide education and training for their members, elected and appointed representatives, managers, employees, so that they can contribute effectively and efficiently to the development of their cooperatives.
 - ✓ **Cooperation Among Cooperatives** – Cooperatives serve their members most effectively and strengthen the cooperative movement by working together through local, national, regional and international structures.
 - ✓ **Concern for Community** – Cooperatives work for the sustainable development of their communities through policies approved by their members.
- o **Definition of Terms**
 - ✓ **Member** – includes a person either natural or juridical who adhering to the principles set forth in this Code and in the Articles of Cooperative has been admitted by the cooperative as member.
 - ✓ **General Assembly** – shall mean the full membership of the cooperative duly assembled for the purpose of exercising all the rights and performing all the obligations pertaining to cooperatives, as provided by this Code, its articles of cooperation and by laws: Provided, that for cooperatives with numerous and dispersed membership, the general assembly may be composed of delegates elected by each sector, chapter or district of the cooperative in accordance with the rules and regulations of the Cooperative Development Authority.
 - ✓ **Board of Directors** – shall mean that body entrusted with management of the affairs of the cooperative under its articles of cooperation and by-laws.
 - ✓ **Committee** – shall refer to any body entrusted with specific functions, and responsibilities under the by-laws or resolution of the general assembly or the board of directors.
 - ✓ **Articles of Cooperation** – means the articles of cooperation registered under this Code and includes a registered amendment thereof.
 - ✓ **By-laws** – means the by-laws registered under this Code and includes any registered amendment thereof.
 - ✓ **Registration** – means the operative act granting juridical personality to a proposed cooperative and is evidenced by a certificate of registration.
 - ✓ **Cooperative Development Authority** – as such hereinafter referred to as the Authority.
 - ✓ **Universally Accepted Principles** – means that body of cooperative principles adhered to worldwide by cooperatives.
 - ✓ **Representative Assembly** – means the full membership of a body representatives elected by each of the sectors, chapters or district or the cooperative duly assembled for the purpose of exercising such powers lawfully delegated unto them by the general assembly in accordance with its by-laws.
 - ✓ **Officers of the Cooperative** – shall include the members of the board of directors, members of different committees created by the general assembly, general manager or chief executive officer, secretary, treasurer and members holding other positions as may be provided for in their by-laws.
 - ✓ **Social Audit** – is a procedure wherein the cooperative assesses its social impact and ethical performance vis-à-vis its stated mission, vision, goals and code of social responsibility for cooperatives to be established by the Authority in consultation with the cooperative sector. It enables the cooperative to develop a process whereby it can account for its social performance and evaluate its impact in the community and be accountable for its decisions and actions to its regular members.
 - ✓ **Performance Audit** – shall refer to an audit on the efficiency and effectiveness of the cooperative as a whole; its management and officers; and its various responsibility centers as basis for improving individual team or overall performance and for objectively informing the general membership on such performance.
 - ✓ **Single-Line or Single-Purpose Cooperative** – shall include cooperative undertaking activities which are related to its main line of business or purpose.
 - ✓ **Service Cooperatives** – are those which provide any type of service to its members, including but not limited to, transport, information and communication, insurance, housing, electric, health services, education, banking and savings and credit.
 - ✓ **Subsidiary Cooperative** – refers to three or more primary cooperatives, doing the same line of business, organized at the municipal, provincial, city, special metropolitan political subdivision, or economic zones creates by law, registered with the Authority to undertake business activities in support of its member-cooperatives.
- o **Purposes of Cooperatives**
 - ✓ To encourage thrift and savings mobilization among the members.
 - ✓ To generate funds and extend credit to the members for productive and provident purposes.
 - ✓ To encourage among members systematic production and marketing.
 - ✓ To provide goods and services and other requirements to the members.
 - ✓ To develop expertise and skills among its members.



- ✓ To acquire lands and provide housing benefits for the members.
- ✓ To insure against losses of the members.
- ✓ To promote and advance the economic, social and educational status of the members.
- ✓ To establish, own, lease or operate cooperative banks, cooperative wholesale and retail complexes, insurance and agricultural/industrial processing enterprises, and public markets.
- ✓ To coordinate and facilitate the activities movements.
- ✓ To advocate for the cause of the cooperative movements.
- ✓ To ensure the viability of cooperatives through the utilization of new technologies.
- ✓ To encourage and promote self-help or self-employment as an engine for economic growth and poverty alleviation.
- ✓ To undertake any and all other activities for the effective and efficient implementation of the provisions of this Code.

O Objectives and Goals of a Cooperative

- ✓ Provide goods and services to its members to enable them to obtain increased income, savings, investments, productivity, and purchasing power, and promote among themselves, equitable distribution of net surplus through maximum utilization of economies of scale, cost-sharing and risk-sharing.
- ✓ Provide optimum social and economic benefits to its members.
- ✓ Teach them efficient ways of doing things in a cooperative manner.
- ✓ Propagate cooperative practices and new ideas in business and management.
- ✓ Allow the lower income and less privileged groups to increase their ownership in the wealth of the nation.
- ✓ Cooperate with the government, other cooperatives and people-oriented organizations to further the attainment of any of the foregoing objectives.

O Powers and Capacities of Cooperative

- ✓ To the exclusive use of its registered name, to sue and be sued.
- ✓ Of succession.
- ✓ To amend its articles of cooperation in accordance with the provisions of this Code.
- ✓ To adopt by-laws not contrary to law, morals or public policy, and to amend and repeal the same in accordance with Cooperative Code.
- ✓ To purchase, receive, take or grant, hold, convey, sell, lease, pledge, mortgage, and otherwise deal with such real and personal property as the transaction of the lawful affairs of the cooperative may reasonably and necessarily require, subject to the limitations prescribed by law and the Constitution.
- ✓ To enter into division, merger or consolidation, as provided in Cooperative Code.
- ✓ To form subsidiary cooperatives and join federations or unions, as provided in Cooperative Code.
- ✓ To avail of loans, be entitled to credit and to accept and receive grants, donations and assistance from foreign and domestic sources, subject to the conditions of said loans, credits, grants, donations or assistance that will not undermine the autonomy of the cooperative. The Authority, upon written request, shall provide necessary assistance in the documentary requirements for the loans, credits, grants, donations and other financial support.
- ✓ To avail of preferential rights granted to cooperatives under Republic Act No. 7160, otherwise known as the Local Government Code, and other laws, particularly those in the grant of franchises to establish, construct, operate and maintain ferries, wharves, markets or slaughterhouses and to lease public utilities, including access to extension and on-site research services and facilities related to agriculture and fishery activities.
- ✓ To organize and operate schools in accordance with Republic Act No. 9155, Governance of Basic Education Act of 2001 and other pertinent laws.
- ✓ To exercise such other powers granted by Cooperative Code or necessary to carry out its purpose or purposes as stated in its Articles of Cooperation.

O Types and Categories of Cooperatives

- ✓ **Single-Line or Single-Purpose Cooperative** – shall include cooperative undertaking activities which are related to its main line of business or purpose.
- ✓ **Service Cooperatives** – are those which provide any type of service to its members, including but not limited to, transport, information and communication, insurance, housing, electric, health services, education, banking, and savings and credit.
- ✓ **Credit Cooperative** – is one that promotes and undertakes savings and lending services among its members. It generates a common pool of funds in order to provide financial assistance to its members for productive and provident purposes.
 - o **Objectives of Credit Cooperatives:**
 - To encourage savings among its members.
 - To create a pool of such savings for which loans for productive or provident purpose may be granted to its members.
 - To provide related services to enable its members to maximize the benefit from such loans.
- ✓ **Consumers Cooperative** – is one of the primary purpose of which is to procure and distribute commodities to members and non-members.
- ✓ **Producers Cooperative** – is one that undertakes joint production whether agricultural or industrial. It is formed and operated by its members to undertake the production and processing of raw materials or goods produced by its members into finished or processed products for sale by the cooperative to its members and non-members. Any end product or its derivatives arising from the raw materials produced by its members, sold in the name and for the account of the cooperative, shall be deemed a product of the cooperative and its members.
- ✓ **Marketing Cooperative** – is one which engages in the supply of production inputs to members and markets their products.
- ✓ **Multipurpose Cooperative** – is one which combines two (2) or more of the business activities of these different types of cooperatives.
- ✓ **Advocacy Cooperative** – is a primary cooperative which promotes and advocates cooperativism among its members and the public through socially-oriented projects, education and training, research and communication, and other similar activities to reach out to its intended beneficiaries.
- ✓ **Agrarian Reform Cooperative** – is one organized by marginal farmers majority of which are agrarian reform beneficiaries for the purpose of developing an appropriate system of land tenure, land development, land consolidation or land management in areas covered by agrarian reform.
- ✓ **Cooperative Bank** – is one organized for the primary purpose of providing a wide range of financial services to cooperatives and their members.
- ✓ **Dairy Cooperative** – is one whose members are engaged in the production of fresh milk which may be processed and/or marketed as dairy products.

- ✓ **Education Cooperative** – is one organized for the primary purpose of owning and operating licensed educational institutions notwithstanding the provisions of Republic Act No. 9155, otherwise known as the Governance of Basic Education Act of 2001.
- ✓ **Electric Cooperative** – is one organized for the primary purpose of undertaking power generations utilizing renewable energy sources, including hybrid systems, acquisition and operation of sub-transmission or distribution to its household members.
- ✓ **Financial Service Cooperative** – is one organized for the primary purpose of engaging in savings and credit services and other financial services.
 - **Services of Financial Service Cooperative**
 - The functions of credit cooperatives and other cooperatives, including multipurpose cooperatives, that provide savings and credit to their members, and
 - Other financial services subject to regulation by the BSP.
- ✓ **Fishermen Cooperative** – is one organized by marginalized fishermen in localities whose products are marketed either as fresh or processed products.
- ✓ **Health Services Cooperative** – is one organized for the primary purpose of providing medical, dental and other health services.
- ✓ **Housing Cooperative** – is one organized to assist or provide access to housing for the benefit of its regular members who actively participate in the savings program for housing. It is co-owned and controlled by its members.
- ✓ **Insurance Cooperative** – is one engaged in the business of insuring life and property of cooperatives and its members.
- ✓ **Transport Cooperative** – is one which includes land and sea transportation, limited to small vessels, as defined or classified under the Philippine maritime laws, organized under the provisions of this Code.
- ✓ **Water Service Cooperative** – is one organized to own, operate and manage water systems for the provision and distribution of potable water for its members and their households.
- ✓ **Workers Cooperative** – is one organized by workers, including the self-employed, who are at the same time the members and owners of the enterprise. Its principal purpose is to provide employment and business opportunities to its members and manage it in accordance with cooperative principles.
- ✓ **Laboratory Cooperative** – shall refer to a cooperative duly recognized by the Authority, formed and managed principally by minors and is affiliated with another registered cooperative which is called the guardian cooperative. Fifteen (15) or more minors who are Filipino citizens, actually residing in the community or enrolled in an educational institution within or near the area of operation of the Guardian Cooperative or out of school minor actually residing in the community, may organize a Laboratory Cooperative composed of minors, which shall be seven (7) years old but below eighteen (18) years of age.

○ **Purposes of Laboratory Cooperatives. A Laboratory Cooperative shall be organized for any or all of the following purposes:**

- ✓ To serve as a training ground for its members to prepare them for membership in regular cooperatives.
 - ✓ To reach the value of thrift and saving mobilization among its members.
 - ✓ To instill cooperative values, principles, financial discipline and leadership skills among its members.
 - ✓ To promote and advance Filipino social and cultural values, ecological awareness and sustainable development.
- **Guardian Cooperative** – shall refer to duly registered cooperative to which a laboratory cooperative is affiliated with.
 - **Primary Cooperative** – the members of which are natural persons.
 - **Secondary Cooperative** – the members of which are primary cooperatives.
 - **Tertiary Cooperative** – the members of which are secondary cooperatives.

○ **Functions of a Federation of Cooperatives** – A federation of cooperatives shall undertake the following functions:

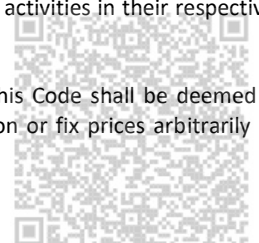
- ✓ To carry on any cooperative enterprise authorized under Article 6 that complements augments, or supplements but does not conflict, complete with, nor supplant the business or economic activities of its members.
- ✓ To carry on, encourage and assist educational and advisory work relating to its member cooperatives.
- ✓ To render services designed to encourage simplicity, efficiency, and economy in the conduct of the business of its members cooperatives and to facilitate the implementation of their bookkeeping, accounting, and other systems and procedures.
- ✓ To print, publish, and circulate any newspaper or other publication in the interest of its member cooperatives and enterprises.
- ✓ To coordinate and facilitate the activities of its member cooperatives.
- ✓ To enter into joint venture with national or international cooperatives of other countries in the manufacture and sale of products and/or services in the Philippines and abroad.
- ✓ To perform such other functions as may be necessary to attain its objectives.
 - A federation of cooperatives may be registered by carrying out the formalities of registration of a cooperative.
 - Registered cooperatives may organize a federation according to the type of business activity engaged in the cooperatives.

○ **Purposes of Cooperative Unions** – Registered cooperatives and federations at the appropriate levels may organize or join cooperative unions to represent the interest and welfare of all types of cooperatives at the provincial, city, regional and national levels. Cooperative unions may have the following purposes:

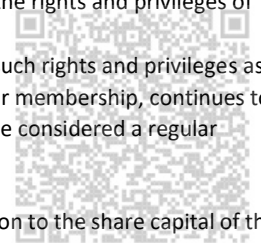
- ✓ To represent its member organizations.
- ✓ To acquire, analyze, and disseminate, economic, statistical, and other information relating to its members and to all types of cooperatives within its area of operation.
- ✓ To sponsor studies in the economic, legal, financial, social and other phases of cooperation, and publish the results thereof.
- ✓ To promote the knowledge of cooperative principles and practices.
- ✓ To develop the cooperative movement in their respective jurisdictions.
- ✓ To advise the appropriate authorities on all questions relating to cooperatives.
- ✓ To raise funds through membership fees, dues and contributions, donations, and subsidies from local and foreign sources whether private or government.
- ✓ To do and perform such other non-business activities as may be necessary to attain the foregoing objectives.
 - Cooperative unions may assist the national and local government in the latter's development activities in their respective jurisdictions.

○ **Cooperative Not in Restraint of Trade** – No cooperative or method or act thereof which complies with this Code shall be deemed a conspiracy or combination in restraint of trade or an illegal monopoly, or an attempt to lessen competition or fix prices arbitrarily in violation of any laws of the Philippines.

○ **Organization of Primary Cooperative**



- **Ordinary Cooperative** – Fifteen (15) or more natural persons who are Filipino citizens, of legal age, having a common bond of interest and are actually residing or working in the intended area of operation, may organize a primary cooperative under this Code. Provided, that a prospective member of a primary cooperative must have completed a Pre-Membership Education Seminar (PMES).
 - Any newly organized primary cooperative may be registered as multipurpose cooperative only after compliance with the minimum requirements for multipurpose cooperatives to be set by the Authority. A single-purpose cooperative may transform into a multipurpose or may create subsidiaries only after at least two (2) years of operations.
 - **Voting Requirement for Registration of Electric Cooperative** – In compliance with the referendum as a voting procedure, the required number of votes for the registration with the CDA shall be twenty percent (20%) of all members in good standing.
- o **Economic Survey before Formation of a Proposed Cooperative** – Every group of individuals or cooperatives intending to form a cooperative under Cooperative Code shall submit to the Cooperative Development Authority a general statement describing, among others the structure and purposes of the proposed cooperative: Provided, that the structure and actual staffing pattern of the cooperative shall include a bookkeeper: Provided, further, that they shall not be allowed to operate without the necessary personnel and shall also submit an economic survey, indicating therein the area of operation, the size of membership, and other pertinent data in a format provided by the Cooperative Development Authority.
- o **Liability of Cooperative duly registered under this Code** – A cooperative duly registered under this Code shall have limited liability.
- o **Terms of Cooperative** – A cooperative shall exist for a period not exceeding fifty (50) years from the date of registration unless sooner dissolve or unless said period is extended. The cooperative term, as originally stated in the articles of cooperation, may be extended for periods not exceeding fifty (50) years in any single instance by an amendment of articles of cooperation, in accordance with this Code: Provided, that no extension can be made earlier than five (5) years prior to the original or subsequent expiry date/dates unless there are justifiable reasons for an earlier extension as may be determined by the Authority.
- o **Articles of Cooperation** – All cooperatives applying for registration shall file with the Authority the articles of cooperation which shall be signed by each of the organizers and acknowledged by them if natural persons, and by the chairperson or secretaries, if juridical persons, before a notary public. Each cooperative to be registered under this Code shall adopt by laws not inconsistent with the provisions of this Code. The by-laws shall be filed at the same time as the articles of cooperation.
- **Contents of Articles of Cooperation**
 - ✓ The name of the cooperative which shall include the word cooperative.
 - ✓ The purpose or purposes and scope of business for which the cooperative is to be registered.
 - ✓ The term of existence of the cooperative.
 - ✓ The area of operation and the postal addresses of its principal office.
 - ✓ The names, nationality, and the postal addresses of the registrants.
 - ✓ The common bond of membership.
 - ✓ The list of names of the directors who shall manage the cooperative.
 - ✓ The amount of its share capital, the names and residences of its contributors and a statement of whether the cooperative is primary, secondary or tertiary in accordance with Article 23 thereof.
 - **Requirements for Registration with CDA**
 - ✓ No cooperative other than a cooperative union as described under Article 25 hereof, shall be registered unless the articles of cooperation is accompanied with the bonds of the accountable officers and a sworn statement of the treasurer elected by the subscribers showing that at least twenty-five per centum (25%) of the authorized share capital has been subscribed and at least twenty-five per centum (25%) of the total subscription has been paid: Provided, that in no case shall the paid-up share capital be less than Fifteen thousand pesos (P15,000.00).
 - ✓ The Cooperative Development Authority shall periodically assess the required paid-up share capital and may increase it every five (5) years when necessary upon consultation with the cooperative sector and the National Economic and Development Authority (NEDA).
- o **Juridical Personality of Cooperative** – A cooperative formed and organized under this Code acquires juridical personality from the date the Authority issues a certificate of registration under its official seal. All applications for registration shall be finally disposed of by the Authority within a period of sixty (60) days from the filing thereof, otherwise the application is deemed approved, unless the cause of the delay is attributable to the applicant: Provided, that in case of a denial of the application for registration, an appeal shall lie with the office of the President within ninety (90) days from receipt of notice of such denial: Provided, further, that failure of the Office of the President to act on the appeal within ninety (90) days from the filing thereof shall mean approval of said application.
- o **Evidence of juridical personality of cooperative** – A certificate of registration issued by the Authority under its official seal shall be conclusive evidence that the cooperative therein mentioned is duly registered unless it is proved that the registration thereof has been cancelled.
- o **Amendment of Articles of Cooperation and By-laws** – Unless otherwise prescribed by this Code and for legitimate purposes, any provision or matter stated in the articles of cooperation and by laws may be amended by two-thirds (2/3) vote of all members with voting rights, without prejudice to the right of the dissenting members to exercise their right to withdraw their membership under Article 30. The amendments shall take effect upon (1) its approval by the CDA or (2) within thirty (30) days from the date of filing thereof if not acted upon by the Authority for a cause not attributable to the cooperative.
- o **Types of Membership in cooperatives**
 - A regular member is one who has complied with all the membership requirements and entitled to all the rights and privileges of membership.
 - An associate member is one who has no right to vote nor be voted upon and shall be entitled only to such rights and privileges as the by-laws may provide: Provided, that an associate who meets the minimum requirements of regular membership, continues to patronize the cooperative for two (2) years, and signifies his/her intention to remain a member shall be considered a regular member.
- o **Liability of Members** - A member shall be liable for the debts of the cooperative to the extent of his contribution to the share capital of the cooperative.



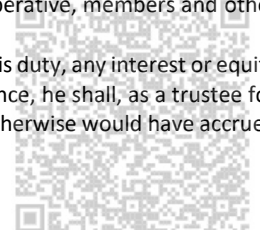
O Termination of Membership

- A member of a cooperative may, for any valid reason, withdraw his membership from the cooperative by giving a sixty (60) day notice to the board of directors. Subject to the by-laws of the cooperative, the withdrawing member shall be entitled to a refund of his share capital contribution and all other interests in the cooperative: Provided, that such fund shall not be made if upon such payment the value of the assets of the cooperative would be less than the aggregate amount of its debts and liabilities exclusive of his share capital contribution.
- The death or insanity of a member in a primary cooperative and the insolvency or dissolution of a member in a secondary or tertiary cooperative may be considered valid grounds for termination of membership: Provided, that the case of death or insanity of an agrarian reform beneficiary – member of a cooperative, the next-of-kin may assume the duties and responsibilities of the original member.
- Membership in the cooperative may be exterminated by a vote of the majority of all the members of the board of directors for causes provided by law.
- **Grounds for Membership Termination in a Cooperative**
 - ✓ When a member has not patronized any of the services of the cooperative for an unreasonable period of times as may be previously determined by the board of directors.
 - ✓ When a member has continuously failed to comply with his obligations.
 - ✓ When a member has acted in violation of the by-laws and the rules of the cooperative.
 - ✓ For any act or omission injurious or prejudicial to the interest or the welfare of the cooperative.
- **Procedures for Termination of Membership in a Cooperative** – Members whose membership the board of directors may wish to terminate shall be informed of such intended action in writing and shall be given an opportunity to be heard before the said board makes its decision. The decision of the board shall be in writing and shall be communicated in person or by registered mail to said member and shall be appealable within thirty (30) days from receipt thereof to the general assembly whose decisions shall be final.
- The general assembly may create an appeal and grievance committee whose members shall serve for period of one (1) year and shall decide appeals on membership termination. The committee is given thirty (30) days from receipt thereof to decide on the appeal. Failure to decide within the prescribed period, the appeal is deemed approved in favor of the member. Pending a decision by the general assembly, the membership remains in force.

O Administration of Cooperative

- ✓ **Composition of the General Assembly** – The general assembly shall be composed of such members who are entitled to vote under the articles of cooperation and by-laws of the cooperative.
- ✓ **Power and Definition of the General Assembly** - the general assembly shall be the highest policy-making body of the cooperative and shall exercise such powers as are stated in this Code, in the Articles of Cooperation and in the by-laws of the cooperative.
- ✓ **Nondelegable Powers of General Assembly**
 - To determine and approve amendments to the articles of cooperation and by-laws;
 - To elect or appoint the members of the board of directors, and to remove them for cause. However, in the case of the electric cooperatives registered under this Code, election of the members of the board shall be held in accordance with its by-laws or election guideline of such electric cooperative; and
 - To approve development plans of the cooperative.
- ✓ **Procedure and Required Vote for Delegation of Powers of General Assembly to Board of Directors or Smaller Body of the Cooperative** – Subject to such other provisions of this Code and only for purposes of prompt and intelligent decision-making, the general assembly may be a three-fourths (3/4) vote of all its members with voting rights, present and constituting a quorum, delegate some of its powers to a smaller body of the cooperative. These powers shall be enumerated under the by-laws of the cooperative.
- ✓ **Cooperative Meetings** – A regular meeting shall be held annually by the general assembly on a date fixed in the by-laws, or if not so fixed, on any dated within ninety (90) days after the close of each fiscal year: Provided, that notice of regular meetings shall be sent in writing, by posting or publication, or through other electronic means to all members of record.
 - Whenever necessary, a special meeting of the general assembly may be called at any time by a majority vote of the board of directors or as provided for in the by-laws: Provided, that a notice in writing shall be sent one (1) week prior to the meeting to members who are entitled to vote. However, a special meeting shall be called by the board of directors after compliance with the required notice within from at least ten per centum (10%) of the total members who are entitled to vote to transact specific business covered by the call.
 - If the board fails to call a regular or a special meeting within the given period, the Authority, upon petition of ten per centum (10%) of all the members of the cooperative who are entitled to vote, and for good cause shown, shall issue an order to the petitioners directing them to call a meeting of the general assembly by giving proper notice as required in this Code or in the by-laws;
 - In the case of a newly approved cooperative, a special general assembly shall be called, as far as practicable, within ninety (90) days from such approval;
 - The Authority may call a special meeting of the cooperative for the purpose of reporting to the members that result of any examination or other investigation of the cooperative affairs; and
 - Notice of any meeting may be waived, expressly or impliedly, by any member.
- ✓ **Quorum in General Assembly:**
 - **Ordinary Cooperative** – A quorum shall consist of at least twenty-five per centum (25%) of all the members entitled to vote.
 - **Electricity Cooperatives** – registered under this Code – A quorum, unless otherwise provided in the by-laws, shall const of five per centum (5%) of all the members entitled to vote.
 - **Cooperative Bank** – As a general rule, the quorum in the regular or special meetings of general assembly is at least one half plus one of the number of voting shares of all the members in good standing. However, as an exception to general rule, the quorum in the meeting of general assembly of a cooperative bank for the amendment of its articles of cooperation or by-laws is at least ¾ of all members with voting rights present and constituting a quorum.
- ✓ **Voting System** - Each member of a primary cooperative shall have only one (1) vote. In the case of members of secondary or tertiary cooperatives, they shall have one (1) basic vote and as many incentive votes as provided for in the by-laws but not exceed five (5) votes. The votes cast by the delegate shall be deemed as votes cast by the members thereof. However, the by-laws of a cooperative other than a primary may provide for voting by proxy. Voting by proxy means allowing a delegate of a cooperative to represent or vote in behalf of another delegate of the same cooperative.

- ✓ **Composition and Term of the Board of Directors** – Unless otherwise provided in the by-laws the direction management of the affairs of cooperative shall be vested in a board of directors which shall be composed of not less than five (5) nor more than fifteen (15) members elected by the general assembly for a term of two (2) years and shall hold the office until their successors are duly elected a qualified, or until duly removed for caused.
- ✓ **Powers of the Board of Directors** - The board of directors shall be responsible for the strategic planning, direction-settling and policy-formulation activities of the cooperatives.
- ✓ **Directors (Qualifications of Directors in a Cooperative)**
 - Any member of a cooperative who under the by-laws of the cooperative, has the right to vote and who possesses all the qualifications and none of the disqualifications provided in the by-laws or by-laws shall be eligible for election as director.
 - The cooperative may, by resolution of its board of directors, admit as directors, or committee member one appointed by any financing institution from which the cooperative received financial assistance by any financing institution from which the cooperative received financial assistance solely to provide technical knowledge not available within its membership. Such director or committee member not be a member of the cooperative and shall have no powers, rights, nor responsibilities except to provided technical assistance as required by the cooperative.
 - The members of the board of directors shall not hold any other position directly involved in the day to day operation and management of the cooperative.
 - Note: The members of the board of directors may hold the position of chairman and vice-chairman of the board but are not allowed to hold other official positions which shall be given to persons outside the board.
 - Any person engaged in a business similar to that of the cooperative or who in any way has a conflict of interest with it, is disqualified from election as a director of said cooperative.
- ✓ **Meeting of the Cooperative Board and Quorum Requirement**
 - In the case of primary cooperatives, regular meetings of the board of directors shall be held at least once a month.
 - Special meetings of the board of directors may be held at any time upon the call of the chairperson or a majority of the members of the board. Provided, that written notices of the meeting specifying the agenda of the special meeting shall be given to all members of the board at least one (1) week before the said meeting.
 - Directors cannot attend or vote by proxy at board meeting.
- ✓ **Quorum in Board of Directors**
 - **Ordinary Cooperative** – at least majority of the members of the Board unless the by-laws provide otherwise.
 - **Cooperative Bank** – one-half plus one of all the members of the board of directors.
- ✓ **Vacancy in the Board of Directors** – any vacancy in the board of directors, other than by expiration of term, may be filled by the vote of at least a majority of the remaining directors, if still constituting a quorum; otherwise, the vacancy must be filled by the general assembly in a regular or special meeting called for the purpose. A director so elected to fill a vacancy shall serve only the unexpired term of his predecessor in office.
- ✓ **Officers of the Cooperation** – The board of directors shall elect from among themselves the chairperson and vice-chairperson and elect or appoint other officers of the cooperative from outside of the board in accordance with their by-laws. All officers shall serve during good behavior and shall not be removed except for cause after due hearing. Loss of confidence shall not be a valid ground for removal unless evidenced by acts or omission causing loss of confidence in the honesty and integrity of such officer. No two (2) or more persons with relationships up to the third civil degree of consanguinity or affinity nor shall any person engaged in a business similar to that of the cooperative nor who in any other manner has interests in conflict with the cooperative shall serve as an appointive officer.
- ✓ **Committees of Cooperative**
 - The by-laws may create an executive committee to be appointed by the board of directors with such powers and duties as may be delegated to it in the by-laws or by a majority vote of all the members of the board of directors.
 - The by-laws shall provide for the creation of an audit, election, mediation and reconciliation, ethics and such other committees as may be necessary for the conduct of the affairs of the cooperative. The members of both the audit and election committee shall be elected by the general assembly and the rest shall be appointed by the board. The audit committee shall be directly accountable and responsible to the general assembly. It shall have the power and duty to continuously monitor the adequacy and effectiveness of the cooperative's management control system and audit the performance of the cooperative and its various responsibility centers.
 - Unless otherwise provided in the by-laws, the board, in case of a vacancy in the committees, may call an election to fill or appoint a person to fill the same subject to the provision that the person elected or appointed shall serve only for the unexpired portion of the term.
- ✓ **Functions, Responsibilities and Training Requirements of Directors, Officers and Committee Members** – the functions and responsibilities of directors, officers and committee members, as well as their training requirements, shall be in accordance with the rules and regulations issued by the Authority.
- ✓ **Liability of Directors, Officers and Committee Members** – Directors, officers and committee members, who are willfully and knowingly vote or assent to patently unlawful acts or who are guilty of gross negligence or bad faith in directing the affairs of the cooperative or acquire any personal or pecuniary interest in conflict with their duty as such directors, officers or committee members shall be liable jointly and severally for all damages or profits resulting therefrom to the cooperative, members and other persons.
 - When a director, officer or committee member attempts to acquire or acquires, in violation of his duty, any interest or equity adverse to the cooperative in respect to any matter which has been reposed in him in confidence, he shall, as a trustee for the cooperative, be liable for damages and shall be accountable for double the profits which otherwise would have accrued to the cooperative.



- ✓ **Compensation of Directors of Cooperative**
 - In the absence of any provisions in the by-laws fixing their compensation, the directors shall not receive any compensation except for reasonable per diems: Provided however, that the directors and officers shall not be entitled to any per diem when, in the preceding calendar year, the cooperative reported a net loss or had a divided rate less than the official inflation rate for the same year.
 - Any compensation other than per diems may be granted to directors by a majority vote of the members with voting rights or a regular or special general assembly meeting specifically called for the purpose: Provided, that no additional compensation other than per diems shall be paid during the first year of existence of any cooperative.
 - The compensation of officers of the cooperative as well as the members of the committee as well as the members of the committees created pursuant to this Code or its by-laws may be fixed in the by-laws.
 - Unless already fixed in the by-laws, the compensation of all other employee shall be determined by the board of directors.
- ✓ **Dealings of Directors, Officers, or Committee Members** – a contract entered into by the cooperative within one (1) or more of its directors, officers, and committee members is voidable, at the option of the cooperative, unless all the following conditions are present:
 - That the presence of such director in the board meeting wherein contract was approved was not necessary to constitute a quorum for such meeting;
 - That the vote of such director was not necessary for the approval of the contract;
 - That the contract is fair and reasonable under the circumstances; and
 - That in the case of an officer or committee member, the contract with the officer or committee member has been previously authorized by the general assembly or by the board of directors.
 - Where any of the first two conditions set forth in the preceding paragraph is absent, in the case of a contract with a director, such contract may be ratified by a three-fourths (3/4) vote of all the members with voting rights, present and constituting a quorum in a meeting called for the purpose: Provided, that full disclosure of the adverse interest of the directors involved is made at such meeting, and that the contracts is fair and reasonable under the circumstances.
- ✓ **Disloyalty of a Director** – A director who, by virtue of his office, acquires for himself an opportunity which should belong to the cooperative shall be liable for damages and must account for double the profits that otherwise would have accrued to the cooperative by refunding the same, unless his act has been ratified by a three-fourths (3/4) vote of all the members with voting rights, present and constituting a quorum. This provision shall be applicable, notwithstanding the fact that the director used his own funds in the venture.
- ✓ **Illegal Use of Confidential information** – A director or officer, or an associate of a director or officer, who, for his benefit or advantage or that of an associate, makes use of confidential information that, if generally known, might reasonably be expected to adversely affect the operation and viability of the cooperative, shall be held:
 - Liable to compensate the cooperative for the direct losses suffered by the cooperative as a result of the illegal use of information; and
 - Accountable to the cooperative for any direct benefit or advantage received or yet to be received by him or his associate, as a result of the transaction.
 - The cooperative shall take the necessary steps to enforce the liabilities described above.
- ✓ **Removal of Elected Officer or Director** – All complaints for the removal of any elected officer shall be filed with the board of directors. Such officer shall be given the opportunity to be heard. Majority of the board of directors may place the officer concerned under preventive suspension pending the resolution of the investigation. Upon finding of a prima facie evidence of guilt, the board shall present its recommendation for removal to the general assembly.
 - An elective officer may be removed by three fourths (3/4) votes of the regular members present and constituting a quorum, in a regular or special general assembly meeting called for the purpose. The officer concerned shall be given an opportunity to be heard at said assembly.

Privileges of Cooperative from Taxes

- o **Tax Treatment of Cooperative** – Duly registered cooperatives under this Code which do not transact any business with non-members or the general public shall not be subject to any taxes and fees imposed under the internal revenue laws and other tax laws. Cooperatives not falling under this article shall be governed by the succeeding section.
- o **Tax and Other Exemptions** – Cooperatives transacting business with both members and non-members shall not be subjected to tax on their transactions with members. In relation to this, the transactions of members with the cooperative shall not be subject to any taxes and fees, including but not limited to final taxes on members' deposits and documentary tax. Notwithstanding the provisions of any law or regulation to the contrary, such cooperatives dealing with nonmembers shall enjoy the following tax exemptions:
 - Cooperatives with accumulated reserves and undivided net savings of not more than Ten million pesos (P10,000,000.00) shall be exempt from all national, city, provincial, municipal or barangay taxes of whatever name and nature. Such cooperatives shall be exempt from customs duties, advance sales or compensating taxes on their importation of machineries, equipment and spare parts used by them and which are not available locally certified by the department of trade and industry (DTI). All tax free importations shall not be sold nor the beneficial ownership thereof be transferred to any person until after five (5) years, otherwise, the cooperative and the transferee or assignee shall be solidarily liable to pay twice the amount of the imposed tax and/or duties.
 - Cooperatives with accumulated reserved and dividend net savings of more than Ten million pesos (P10,000,000.00) shall pay the following taxes at the full rate:
 - ✓ **Income Tax** – On the amount allocated for interest on capitals: Provided, that the same tax is not consequently imposed on interest individually received by members: Provided, further, that cooperatives regardless of classification, are exempt from income tax from the date of registration with the Authority.
 - ✓ **Value-added Tax** – on transactions with non-members: Provided, however, that cooperatives duly registered with the Authority; are exempt from the payment of value-added tax; subject to Section 109, sub-section, L, M and N of Republic Act No. 9337, the National Internal Revenue Code, as amended: Provided, that the exempt transaction under Section 109 (L) shall include sales made by cooperatives duly registered with the Authority organized and operated by its member to undertake the production and processing of raw materials or of goods produced by its members into finished or process products for sale by the cooperative to its members and non-members: Provided, further, that any processed product or its derivative arising from the raw materials, produced by its members, sold in the name and for the account of the

cooperative: Provided, finally, that at least twenty-five per centum (25%) of the net income of the cooperatives is returned to the members in the form of interest and/or patronage refunds;

- ✓ All other taxes unless otherwise provided herein; and
 - ✓ Donations to charitable, research and educational institutions and reinvestment to socioeconomic projects within the area of operation of the cooperative may be tax deductible.
- o All cooperatives, regardless of the amount of accumulated reserves and undivided net savings shall be exempt from payment of local taxes and taxes on transactions with banks and insurance companies: Provided, that all sales or services rendered for non-members shall be subject to the applicable percentage taxes sales made by producers, marketing or service cooperatives: Provided further, that nothing in this article shall preclude the examination of the books of accounts or other accounting records of the cooperative by duly authorized internal revenue officers for internal revenue tax purposes only, after previous authorization by the Authority.

Dissolution of a Cooperative

- o **Voluntary Dissolution Where no Creditors are affected** – If the dissolution of a cooperative does not prejudice the rights of any creditor having a claim against it, the dissolution may be affected by a majority vote of the board of directors, and by a resolution adopted by the affirmative vote of at least three-fourths (3/4) of all the members with voting rights, present and constituting a quorum at a meeting to be held upon call of the directors: Provided, that the notice of time, place and object of the meeting shall be published for three (3) consecutive weeks in a newspaper published in the place where the principal office of said cooperative is located, or if no newspaper is published in such place, in a newspaper of general circulation in the Philippines: Provided, further, that the notice of such meeting is sent to each member of record either by registered mail or by personal delivery at least thirty (30) days prior to said meeting. A copy of the resolution authorizing the dissolution shall be certified to by a majority of the board of directors and countersigned by the board secretary. The Authority shall thereupon issue the certificate of dissolution.
- o **Voluntary Dissolution Where Creditors are affected** – where the dissolution of a cooperative may prejudice the rights of any creditor, the petition for dissolution shall be filed with the Authority. The petition shall be signed by a majority of its board of directors or other officers managing its affairs, verified by its chairperson or board secretary or one of its directors and shall set forth all claims and demands against it and that its dissolution was resolved upon by the affirmative vote of at least three-fourths (3/4) of all the members with voting rights, present and constituting a quorum at a meeting called for that purpose.
- o **Grounds for Involuntary Dissolution**
- ✓ **Violation** of any law, regulation or provisions of its by-laws; or
 - ✓ **Insolvency**
- o **Grounds for suspension or revocation, after due notice and hearing, of certificate of registration of a cooperative by Cooperative Development Authority**
- ✓ Having obtained its registration by fraud;
 - ✓ Existing for an illegal purpose;
 - ✓ Willful violation, despite notice by the Authority, of the provisions of this Code or its by-laws;
 - ✓ Willful failure to operate on a cooperative basis; and
 - ✓ Failure to meet the required minimum number of members in the cooperative.

Liquidation of Cooperative:

- o Every cooperative whose charter expires by its own limitation or whose existence is terminated by voluntary dissolution or through an appropriate judicial proceeding shall nevertheless continue to exist for three (3) years after the time it is dissolved; not to continue the business for which it was established but for the purpose of prosecuting and defending suits by or against it; settlement and closure of its affairs; disposition, conveyance and distribution of its properties and assets.
- o At any time during the said three (3) years, the cooperative is authorized and empowered to convey all of its properties to trustees for the benefit of its members, creditors and other persons in interest. From and after any such conveyance, all interests which the cooperative had in the properties are terminated.
- o A cooperative shall only distribute its assets or properties upon lawful dissolution and after payment of all its debts and liabilities, except in the case of decrease of share capital of the cooperative and as otherwise allowed by the Cooperative Code.
- o Upon the winding up of the cooperative affairs, any assets distributable to any creditor, shareholder or member who is unknown or cannot be found shall be given to the federation or union to which the cooperative is affiliated with.
- o Upon dissolution and liquidation, subsidies, donations, legacies, grants, aids and such other assistance from any local or foreign institution whether public or private given to a cooperative which form part of the donated capital or fund of the cooperative shall be escheated in favor of the Republic of the Philippines.

Merger of Cooperative and Division of Cooperative:

- o **Definition of merger** – shall refer to a union of two or more existing cooperatives belonging to the same category whereby the surviving cooperatives, retaining its identity, absorbs one or more constituent cooperatives.
- o **Procedures for merger of cooperatives**
- ✓ Two (2) or more cooperatives may merge into a single cooperative which shall either be one of the constituent cooperatives or the consolidated cooperative.
- o **Required vote for merger of cooperatives** – No merger or consolidation shall be valid unless approved by three-fourths (3/4) vote of all the members with voting rights, present and constituting a quorum of each of the constituent cooperatives at separate general assembly meetings. The dissenting members shall have the right to exercise their rights to withdraw their membership pursuant to Article 30.
- o **Effects of merger of cooperatives**
- The constituent cooperatives shall become a single cooperative which, in case of merger, shall be the surviving cooperative, and, in case of consolidation, shall be the consolidated cooperative.
 - The separate existence of the constituent cooperatives shall cease, except that of the surviving or the consolidated cooperative.
 - The surviving or the consolidated cooperative shall possess all the assets, rights, privileges, immunities and franchises of each of the constituent cooperatives.
 - The surviving or the consolidated cooperative shall be responsible for all the liabilities and obligations of each of the constituent cooperatives in the same manner as if such surviving or consolidated cooperative had itself incurred such liabilities or obligations. Any claim, action or proceeding pending by or against any such constituent cooperatives may be prosecuted by or against the surviving or consolidated cooperative, as the case may be. Neither the rights of creditors nor any lien upon the property of any such constituent cooperatives shall be impaired by such merger or consolidation.

- ✓ **Division of cooperatives** – Any registered cooperative may, by a resolution approved by a vote of three-fourths (3/4) of all the members with voting rights, present and constituting a quorum, resolve to divide itself into the two (2) or more cooperatives. The procedure for such division shall be prescribed in the regulations of the Authority: Provided, that all the requirements set forth in this Code have been complied with by the new cooperatives: Provided, further, that no division of a cooperative in fraud of creditors shall be valid.

Capital, Property and Funds of Cooperative

o Sources of Capital of Cooperative

✓ Member's share capital:

- **Common Share Capital shall be issued only to regular members** – Its holders shall be entitled to vote and be voted under the principle of one-man, one vote principle, and shall received interest, the rate which should not exceed the normal rate on investment.
- **Preferred Share Capital may be issued to regular and associate members** – Issuance and limitation on Preferred Share Capital shall be prescribed in the By-laws of the cooperative. However, associate members shall not be eligible to vote nor be voted on account of such shareholdings but shall be entitled to, among other the following:
 - Preference in the payment of interest as provided for in the By-laws of the cooperative; and
 - In case of liquidation, priority in the distribution on Preferred Share Capital shall be prescribed in the By-laws of the cooperative.

✓ Loans and borrowing including deposits;

✓ Revolving capital which consists of the deferred payment of patronage refunds, or interest on share capital; and

✓ Subsidies, donations, legacies, grants, aids and such other assistance from any local or foreign institution whether public or private: Provided, that capital coming from such subsidies, donations, legacies, grants, aids and other assistance shall not be divided into individual share capital holdings at any time but shall instead form part of the donated capital or fund of the cooperative. Upon dissolution, such donated capital shall be subject to escheat or forfeiture in favor of the government of the Republic of the Philippines.

- o **Maximum limitation on Share on Share Capital Holdings of a member** – No member of primary cooperative other than cooperative itself shall own or hold more than ten per centum (10%) of the share capital of the cooperative. The share capital contribution of the members shall be considered as **equity**. Provided, that it shall not be withdrawn and should not be used in offsetting obligations whether past due or current while the membership subsists.
- o **Maximum limit on the amount of "par value" of share of a cooperative** – The term "share" refers to a unit of capital in a primary cooperative the par value of which may be fixed to any figure not more than One thousand pesos (P1,000.00).
- o **Interest on Share Capital** – Interest on Share Capital shall not exceed the Rate of Return on Investment. Unless otherwise provided for in the By-laws of the cooperative share capital shall earn interest: The Rate of Interest shall be computed as follows:

$$\text{Rate of Interest} = X (\text{Net Surplus less Statutory Reserves}) / \text{Total Average Share Month}$$

➤ Where: X shall be a percentage to be determined by the Board of Directors allocated for interest on share capital.

- Required vote for allocation of interest on share capital – No allocation of interest on share capital shall be made without the approval of the Board of Directors (At least majority of all members of the board of directors present and constituting a quorum) which may increase or decrease any or both.
- Requirement vote for determent of payment of interest on share capital – Payment interest, unless otherwise provided for in the By-laws, must be made on such date as may be determined by the Board of Directors. The General/Representative Assembly (At least majority of all members of General Assembly present and constituting a quorum), however, upon the recommendation of the Board of Directors (Recommendation of At least majority of all members of the board of directors present and constituting a quorum), may defer the payment of such interest including Patronage Refund to raise Revolving Capital. No cumulative interest shall be allowed for any kind or class of share issued by the cooperative. Share Capital shall receive a strictly limited Rate of Interest.

- o **Fines on unpaid subscribed share capital in a cooperative** – the by-laws of a cooperative may prescribe a fine on unpaid unsubscribed share capital. Provided, that such is fair and reasonable under circumstances.
- o **Assignment of Share Capital Contribution or Interest in a cooperative** – Subject to the provisions of Cooperative Code, no member shall transfer his shares or interest in the cooperative or any part thereof unless: (Essential requisites before a member may assign his share capital or interest in a cooperative to another person).
 - ✓ He has held such share capital contribution or interest for not less than one (1) year.
 - ✓ The assignment is made to the cooperative or to a member of the cooperative or to a person who falls within the field of the membership of the cooperative; and
 - ✓ The board of directors has approved such assignment.
- o **Capital Build-up of a cooperative** – The by-laws of every cooperative shall provide for a reasonable and realistic member capital build-up program to allow the continuing growth of the members' investment in their cooperative as their economic conditions continue to improve.
- o **Revolving Capital of a cooperative** – The general assembly of any cooperative may authorize the board of directors to raise a revolving capital to strengthen its capital structure by deferring the payment of patronage refunds and interest on share capital or by authorized deduction of a percentage from the proceeds of products sold or services rendered, or per unit of product or services handled. The board of directors shall issue revolving capital certificates with serial number, name, amount, and rate of interest to be paid and shall distinctly set forth the time of retirement of such certificates and the amounts to be returned.
- o **Investment of Capital by a Cooperative** – A cooperative may invest its capital in any of the following:
 - ✓ In shares or debentures or securities of any other cooperative;
 - ✓ In any reputable bank in the locality, or any cooperative;
 - ✓ In securities issued or guaranteed by the Government;
 - ✓ In real state primarily for the use of the cooperative or its members; or
 - ✓ In any other manner authorized in the by-laws.



- o **Annual Audit** – Cooperatives registered under this Code shall be subject to an annual financial performance and social audit.
 - ✓ The financial audit shall be conducted by an external auditor who satisfies all the following qualifications:
 - He is independent of the cooperative or any of its subsidiary that he is auditing; and
 - He is a member in good standing of the Philippine Institute of Certified Public Accountants (PICPA) and is accredited by both the Board of Accountancy and the Authority.
 - ✓ The social audit shall be conducted by an independent social auditor accredited by the Authority.
 - ✓ Performance and social audit reports which contain the findings and recommendations of the auditor shall be submitted to the Board of Directors.
 - ✓ Audit Report – the auditor shall submit to the board of directors and to the audit committee the financial audit report which shall be in accordance with the generally accepted auditing standards for cooperatives as jointly promulgated by the Philippine Institute of Certified Public Accountants (PICPA) and the Authority. Thereafter, the board of directors shall present the complete audit report to the general assembly in its next meeting.
- o **Member's Right to Examine** – A member shall have the rights to examine the records required to be kept by the cooperative under Article 52 of this Code during reasonable hours on business days and he may demand, in writing, for a copy of excerpts from said records without charge except the cost of production. Any officer of the cooperative who shall refuse to allow any member of the cooperative to examine and copy excerpts from its records shall be liable to such member for damages and shall be guilty of an offense which shall be punishable under Article 140 of this Code: Provided, that if such refusal is pursuant to a resolution or order of the board of directors, the liability under this article shall be imposed upon the directors who voted for such refusal: Provided, further, that it shall be a defense to any action under this article that the member demanding to examine and copy excerpts from the cooperative records has improperly used any information secured through any prior examination of the records of such cooperative or was not acting in good faith or for a legitimate purpose in making his demand.

Capital, Property, and Funds of Cooperative

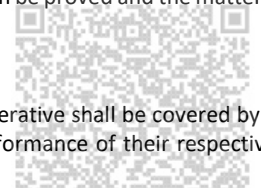
- o **Net Surplus** – Notwithstanding the provisions of existing laws, the net surplus of cooperatives shall be determined in accordance with its by-laws. Every cooperative shall determine its net surplus at the close of every fiscal year and at such other times as may be prescribed by the by-laws. Any provision of law to the contrary notwithstanding, the net surplus shall not be construed as profit but as an excess of payments made by the members for the loans borrowed, or the goods and services availed by them from the cooperative or the difference of the rightful amount due to the members for their products sold or services rendered to the cooperative including other inflows of assets resulting from its other operating activities and which shall be deemed to have.
- o **Order of Distribution** – the net surplus of every cooperative shall be distributed as follows:
 - ✓ An amount for the reserve fund which shall be at least ten per centum (10%) of net surplus: Provided, that, in the first five (5) years of operation after registration, this amount shall not be less than fifty per centum (50%) of the net surplus:
 - The reserve fund shall be used for the stability of the cooperative and to met net losses in its operations. The general assembly may decrease the amount allocated to the reserve fund when the reserve fund already exceeds the share capital. Any sum recovered on items previously charged to the reserve fund shall be credited to such fund.
 - The reserve fund shall not be utilized for investment, other than those allowed in this Code. Such sum of the reserve fund in excess of the share capital may be used at anytime for any project that would expand the operations of the cooperative upon the resolution of the general assembly.
 - Upon the dissolution of the cooperative, the reserve fund shall not be distributed among the members. The general assembly may resolve:
 - To establish a usufructuary trust fund for the benefit of any federation or union to which the cooperative is affiliated; and
 - To donate, contribute, or otherwise dispose of the amount for the benefit of the community where the cooperative operates. If the members cannot decide upon the disposal of the reserve fund, the same shall go to the federation or union to which the cooperative is affiliated.
 - ✓ An amount for the education and training fund, shall not be more than ten per centum (10%) of the net surplus. The by-laws may provide that certain fees or a portion thereof be credited to such fund. The fund shall provide for the training, development and similar other cooperative activities geared towards the growth of the cooperative movement:
 - Half of the amounts transferred to the education and training fund annually under this subsection shall be spent by the cooperative for education and training purposes; while the other half may be remitted to a union or federation chosen by the cooperative or of which it is a member. The said union or federation shall submit to the Authority and to its contributing cooperatives the following schedules:
 - List of cooperatives which have remitted their respective Cooperative Education and Training Funds (CETF);
 - Business consultancy assistance to include the nature and cost; and
 - Other training activities undertaken specifying therein the nature, participants and cost of each activity.
 - Upon the dissolution of the cooperative, the unexpended balance of the education and training fund appertaining to the cooperative shall be credited to the cooperative education and training fund of the chosen union or federation.
 - ✓ An amount for the community development fund, which shall not be less than three per centum (3%) of the net surplus. The community development fund shall be used for projects or activities that will benefit the community where the cooperative operates.
 - ✓ An optional fund, a land and building, and any other necessary fund the total of which shall not exceed seven per centum (7%).
 - ✓ The remaining net surplus shall be made available to the members in the form of interest on share capital not to exceed the normal rate of return on investments and patronage refunds, Provided, that any amount remaining after the allowable interest and sum allocated for patronage refunds shall be made available at the same rate to all patrons of the cooperative in proportion to their individual patronage: Provided, that:
 - In the case of a member patron with paid-up share capital contribution, his proportionate amount of patronage refund shall be paid to him unless he agrees to credit the amount to his account as additional share capital contribution;
 - In the case of a member patron with unpaid share capital contribution, his proportionate amount of patronage refund shall be credited to his account until his account until his share capital contribution has been fully paid;
 - In the case of a non-member patron, his proportionate amount of patronage refund shall be set aside in a general fund for such patrons and shall be allocated to individual non-member patrons only upon request and presentation of evidence of the amount of his patronage. The amount so allocated shall be credited to such patron toward payment of

the minimum capital contribution for membership. When a sum equal to this amount has accumulated at any time within a period specified in the by-laws, such patron has accumulated at any time within a period specified in the by-laws, such patron shall be deemed and become a member of the cooperative if he so agrees or requests and complies with the provisions of the by-laws for admission to membership; and

- If within any period of time specified in the by-laws, any subscriber who has not fully paid his subscribed capital or any non-member patron who has accumulated the sum necessary for membership but who does not request nor agree to become a member or fails to comply with the provisions of the by-laws for admission to membership, the amount so accumulated or credited to their account together with any part of the general fund for nonmember patrons shall be credited to the reserve fund or to the education and training fund of the cooperative, at the option of the cooperative.

Responsibilities of a Cooperative:

- **Address** – Every cooperative shall have an official postal address to which all notices and communications shall be sent. Such address and every change thereof shall be registered with the Cooperative Development Authority.
- **Cooperative Books**
 - Every cooperative shall have the following documents ready and accessible to its members and representatives of the Authority for inspection during reasonable office hours at its official address:
 - ✓ A copy of this Code and all other laws pertaining to cooperatives;
 - ✓ A copy of the regulations of the Authority;
 - ✓ A copy of the articles of cooperation and by-laws of the cooperative;
 - ✓ A register of members;
 - ✓ The books of the minutes of the meetings of the general assembly, board of directors and committee;
 - ✓ Share books, where applicable;
 - ✓ Financial statement; and
 - ✓ Such other documents as may be prescribed by laws or the by-laws.
 - The accountant or the bookkeeper of the cooperative shall be responsible for the maintenance of the cooperative in accordance with generally accepted accounting practices. He shall also be responsible for the production of the same at the time of audit inspection.
 - The audit committee shall be responsible for the continuous and periodic review of the books and records of account to ensure that these are in accordance with generally accepted accounting practices. He shall also be responsible for the production of the same at the time of audit inspection.
 - Each cooperative shall maintain records of accounts such that the true and correct condition and the results of the operation of the cooperative may be ascertained therefrom at any time. The financial statements, audited according to generally accepted during standards, principles and practices, shall be published annually and shall be kept posted in a conspicuous place in the principal office of the cooperative.
 - Subject to the pertinent provisions of the National Internal Revenue Code and other laws, a cooperative may dispose by way of burning or other method of complete destruction any document, record or book pertaining to its financial and nonfinancial operations which are already more than five (5) years old except those relating to transactions which are the subject of civil, criminal and administrative proceedings. An inventory of the audited documents, records and books to be disposed of shall be drawn up and certified to by the board secretary and the chairman of the audit committee and presented to the board directors which may thereupon approve the disposition of said records.
- **Reports of Cooperative**
 - Every cooperative shall draw up regular reports of its program of activities, including those in pursuance of their socio-civic undertakings, showing their progress and achievements at the end of every fiscal. The reports shall be made accessible to its members, and copies thereof shall be furnished to all its members or record. These reports shall be filed with the Cooperative Development Authority within one hundred twenty (120) days from the end of the calendar year. The form and contents of the reports shall be as prescribed by the rules of the Cooperative Development Authority. Failure to file the required reports shall subject the accountable officer/s to fines and penalties as may be prescribed by the Cooperative Development Authority, and shall be a ground for the revocation of authority of the cooperative to operate as such. The fiscal year of every cooperative shall be the calendar year except as may be otherwise provided in the by-laws.
 - If a cooperative fails to make, publish and file the reports required herein, or fails to include therein any matter required by the Cooperative Code, the Cooperative Development Authority shall, within fifteen (15) days from the expiration of the prescribed period, send such cooperative a written notice, stating its non-compliance and the commensurate fines and penalties that will be imposed until such time that the cooperative has complied with the requirements.
- **Register of Member as Prima Facie Evidence** – Any register or list of members shares kept by any registered cooperative shall be prima facie evidence of the following particulars entered therein:
 - The date on which the name of any person was entered in such register or list of member; and
 - The date which any such person ceased to be a member.
- **Probative Value of Certified Copies of Entries**
 - A copy of any entry in any book, register or list regularly kept in the course of business in the possession of a cooperative shall, if duly certified in accordance with the rules of evidence, be admissible as evidence of the existence of entry and prima facie evidence of the matters and transactions therein recorded.
 - No person or a cooperative in possession of the books of such cooperative shall, in any legal proceedings to which the cooperative is not a party, be compelled to produce any of the books of the cooperative, the contents of which can be proved and the matters, transactions and accounts therein recorded, unless by order of a competent court.
- **Bonding of Accountable Officers**
 - Every director, officer, and employee handling funds, securities or property on behalf of any cooperative shall be covered by a surety bond to be issued for a duly registered insurance or bonding company for the faithful performance of their respective duties and obligations. The board of directors shall determine the adequacy of such bonds.
 - Upon the filing of the application for registration of a cooperative, the bonds of the accountable officers shall be required by the Cooperative Development Authority. Such bonds shall be renewed manually, and the Cooperative Development Authority shall accordingly be informed of such renewal.



- o **Preference of Claims**
 - Notwithstanding the provisions of existing laws, rules and regulations to the contrary, but subject to the prior claim of the Cooperative Development Authority, any debt due to the cooperative from the member shall constitute a first lien upon any raw materials, production, inputs, and products produced; or any land, building, facilities, equipment, goods or services acquired and held, by such member through the proceeds of the loan or credit granted by the cooperative to him for as long as the same is not fully paid.
 - No property or interest on property which is subject to a lien under paragraph (1) shall be sold nor conveyed to third parties without the prior permission of the cooperative. The lien upon the property or interest shall continue to exist even after the sale or conveyance thereof until such lien has been duly extinguished.
 - Notwithstanding the provisions of any law to the contrary, any sale or conveyance made in contravention of paragraph (2) hereof shall be void.
- o **Instrument for Salary or Wage Deduction**
 - A member of a cooperative may, notwithstanding the provisions of existing laws to the contrary, execute an instrument in favor of the cooperative authorizing his employer to deduct from his/her salary or wages, commutation of leave credits and any other monetary benefits payable to him by the employer and remit such amount as maybe specified in satisfaction of a debt or other demand due from the member to the cooperative.
 - Upon the execution of such instrument and as may be required by the cooperative contained in a written request, the employer shall make the deduction in accordance with the agreement and deduction in accordance with the agreement and remit forthwith the amount so deducted within ten (10) days after the end of the payroll month to the cooperative. The employer shall make the deduction for as long as such debt or other demand remains unpaid by the employee.
 - The term “employer” as used in this article shall include all private firms and the national and local governments and government-owned or controlled corporations who have under their employer a member of a cooperative and have agreed to carry out the terms of the instrument mentioned in paragraphs (1) and (2) of this article.
 - The provisions of this article shall apply to all similar agreements referred to in paragraph (1) and were enforced prior to the approval of the Cooperative Code.
 - Notwithstanding the provisions of existing laws to the contrary, the responsibilities of the employer as stated in paragraphs (1) and (2) of this article shall be mandatory: Provided, that in the case of private employer, the actual and reasonable cost deducting and remitting may be collected.
- o **Primary Lien of a Cooperative** – Notwithstanding the provision of any law with the contrary, a cooperative shall have primary lien upon the capital, deposits or interest of a member for any debt due to the cooperative from such a member.

Insolvency of a Cooperative

- o **Proceedings Upon Insolvency of a Cooperative** – In case a cooperative is unable to fulfill its obligations to creditors due to insolvency, such cooperative may apply such remedies as it may deem fit under the provisions of Act. No. 1956, as amended, otherwise known as the Insolvency Law or under FRIA 2010. Nothing in this Article, however, precludes creditors from seeking protection from said insolvency law or FRIA 2010.
- o **Proceedings Upon Insolvency of a Cooperative:**

SUMMARY OF VOTING REQUIREMENTS IN A COOPERATIVE			
Cooperative Act	Voting by Board of Directors	Voting by Members (Regular Members – Members with Voting Rights)	Presence of Appraisal Right or Right to Withdraw
Merger or Consolidation of Cooperative	Not required	3/4 of all members with voting rights, present and constituting a quorum	Yes
Amendment of Articles of Cooperation	Not required	2/3 of all members with voting rights	Yes
Amendments of by-laws	Not required	2/3 of all members with voting rights	Yes
Division of Cooperatives into two or more Cooperatives	Not required	3/4 of all members with voting rights, present and constituting a quorum	No
Voluntary dissolution of cooperative where creditors are not affected	Majority of all members (Mere submission of board resolution together with ratification by General Assembly)	3/4 of all members with voting rights, present and constituting a quorum	No
Voluntary dissolution of cooperative where creditors are affected	Majority of all members (Filing of Formal Petition with notice and hearing)	3/4 of all members with voting rights, present and constituting	No
Filing up of vacancy in the board of directors if vacancy is due to expiration of term	Not Allowed	Majority of all members with voting rights, present and constituting a quorum	No
Filing up of vacancy in the board of directors if vacancy is not due to expiration of term (death, removal or resignation)	Majority of the Remaining Directors if they still constitute a quorum; or	Majority of all members with voting rights, present and constituting a quorum	No
Allocation of interest on share capital	Majority of all members present and constituting a quorum	Not required	No
Deferment of payment of interest on share capital	Upon recommendation by Majority of all members	Approval by Majority of all members with voting rights,	No

	present and constituting a quorum	present and constituting a quorum	
Removal of a member of cooperative for valid cause	Majority of all members	Not required	No
Delegation of power of board of directors to an executive committee	Majority of all members	Not required	No
Placing an elected cooperative officer under preventive suspension pending resolution by the investigating committee over his removal	Majority of all members	Not required	No
Filing up of vacancy in the executive committees	Majority of all members present and constituting a quorum	Not required	No
Recommending to the General Assembly the removal of elected officer of the cooperative	Majority of all members present and constituting a quorum	Not required (But approval of General Assembly is necessary for the decision regarding the removal)	No
Delegation of the delegable powers of General Assembly to the Board of Directors	Not Required	¾ of all members with voting rights, present and constituting a quorum	No
Ratification of contracts with self-dealing directors, officers or executive committee members of the cooperative	Not Required	¾ of all members with voting rights, present and constituting a quorum	No
Ratification of disloyalty of a director of a cooperative	Not Required	¾ of all members with voting rights, present and constituting a quorum	No
Removal of an elected officer upon recommendation of the Board of Directors	Not Required (But recommendation by the board is necessary prior to the voting for the removal)	¾ of all members with voting rights, present and constituting a quorum	No

-- END --

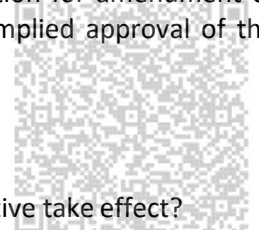


THEORY

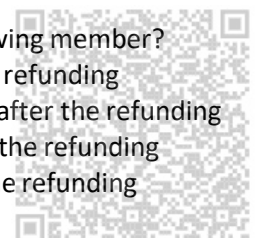
1. It is an autonomous and duly registered association of persons, with a common bond of interest, who have voluntarily joined together to achieve their social, economic, and cultural needs and aspirations by making equitable contributions to the capital required, patronizing their products and services and accepting a fair share of the risks and benefits of the undertaking in accordance with universally accepted cooperative principles
 - a. Corporation
 - b. Joint Venture
 - c. Association
 - d. Cooperative
2. Republic Act No. 9520 is otherwise known as:
 - a. Cooperative Code of the Philippines of 2004
 - b. Cooperative Law of the Philippines of 2006
 - c. Philippine Cooperative Code of 2008
 - d. Philippine Cooperative Law of 2010
3. It refers to the government agency created by Cooperative Code entrusted with the supervision and regulation of cooperatives in the Philippines
 - a. Securities and Exchange Commission (SEC)
 - b. Bangko Sentral ng Pilipinas (BSP)
 - c. Cooperative Development Authority (CDA)
 - d. Insurance Commission (IC)
4. Statement I: Democratic member control refers to the cooperative principle which means that cooperatives are voluntary organizations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political or religious discrimination
Statement II: Autonomy and independence refers to the cooperative principle which means that cooperatives are autonomous, self-help organizations controlled by their members. If they enter into agreements with other organizations, including government, or raise capital from external sources, they shall do so on terms that ensure democratic control of their members and maintain their cooperative autonomy
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
5. Statement I: Concern for community refers to the cooperative principle which means that cooperatives work for the sustainable development of their communities through policies approved by their members
Statement II: Education, training and information refers to the cooperative principle which means that cooperatives shall provide education and training for their members, elected and appointed representatives, managers, employees, so they can contribute effectively and efficiently to the development of their cooperatives.
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
6. Statement I: Voluntary and open membership refers to the cooperative principle which means that cooperatives are voluntary organizations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, cultural, political or religious discrimination
Statement II: Cooperation among cooperatives refers to the cooperative principle which means that cooperatives serve their members most effectively and strengthen the cooperative movement by working together through local, national, regional and international structures
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
7. Statement I: Member economic participation refers to the cooperative principle which means that members contribute equitably to, and democratically control, the capital of their cooperatives. At least part of that capital is the common property of the cooperative
Statement II: Members of a cooperative shall receive limited compensation or limited interest, if any, on capital subscribed and paid as a condition of membership. Members allocate surpluses for any or all of the following purposes: developing the cooperative by setting up reserves, part of which should at least be indivisible; benefitting members in proportion to their patronage of the cooperative's business; and, supporting other activities approved by the membership
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
8. The following are the purposes of a cooperative, except
 - a. To encourage thrift and savings mobilization among the members
 - b. To generate funds and extend credit to the members for productive and provident purposes



- c. To encourage among members systematic production and marketing
 - d. To promote monopoly and restraint of trade
9. Which of the following is not a purpose of a cooperative?
- a. To promote and advance the economic, social and educational status of the members
 - b. To encourage and promote self-help or self-employment as an engine for economic growth and poverty alleviation
 - c. To generate funds and extend credit to the members for productive and provident purposes
 - d. To create monopoly or business considered as restraint of trade
10. Which of the following is an objective of a cooperative?
- a. To teach members of inefficient ways of doing things in a cooperative manner
 - b. To allow the higher income and more privileged groups to increase their ownership in the wealth of the nation
 - c. To provide minimal social and economic benefits to its members
 - d. To provide goods and services to its members to enable them to attain increased income, savings, investments, productivity, and purchasing power, and promote among themselves equitable distribution of net surplus through maximum utilization of economies of scale, cost-sharing and risk-sharing
11. The following are the qualifications of organizers or cooperators of a prospective cooperative, except
- a. They are 15 or more natural persons
 - b. They are all Filipino citizens
 - c. They are all actually residing or working in the intended area of operation
 - d. They have a common bond of interest
 - e. All of the above are qualifications
12. The minimum number of natural persons required to organize a primary cooperative is:
- a. 15
 - b. 10
 - c. 5
 - d. 20
13. What is the maximum foreign investment or ownership in a cooperative?
- a. 100%
 - b. 50%
 - c. 20%
 - d. 0%
14. A single-purpose cooperative may transform into a multi-purpose cooperative and may create subsidiaries only after at least
- a. 2 years of operation
 - b. 2 years from registration
 - c. 2 years from cooperation
 - d. 5 years from registration
15. It refers to the document signed and acknowledged before a notary public by the organizers of a cooperative that will be filed to CDA in order for the prospective cooperative to be created
- a. Articles of Co-Partnership
 - b. Articles of Cooperation
 - c. Articles of Incorporation
 - d. Articles of Association
16. Each cooperative to be registered before CDA shall adopt by-laws not inconsistent with the provisions of Cooperative Code. When shall the cooperative by-laws be filed to the CDA?
- a. Within 30 days from the issuance of CDA of Certificate of Registration of the Cooperative
 - b. Within 20 days from the issuance of CDA of Certificate of Registration of the Cooperative
 - c. Within 10 days from the issuance of CDA of Certificate of Registration of the Cooperative
 - d. At the same time the Articles of Cooperation is submitted to the CDA
17. Statement I: The minimum prescriptive period to lapse from the filing of application for registration as a new cooperative for the inaction of CDA to be considered an implied approval of the registration is at least 60 days
Statement II: The minimum prescriptive period to lapse from the filing of application for amendment of articles of cooperation or by laws for the inaction of CDA to be considered an implied approval of the amendment is at least 60 days
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
18. When shall the amendments of Articles of Cooperation and By-Laws of the Cooperative take effect?
- a. Upon its approval by the CDA or



- b. Upon the lapse of 30 days from law of the date of filing amendment of articles or cooperation or by-laws if not acted upon by the CDA for a cause not attributable to the cooperative.
 - c. Either A or B
 - d. Neither A nor B
19. Statement I: The minimum subscribed shares before a prospective cooperative be registered with CDA is at least 25% of authorized share capital
Statement II: The minimum paid-up capital before a prospective cooperative be registered with CDA is at least 25% of the actual total subscription or P15,000, whichever is higher
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
20. When does a cooperative formed and organized under Cooperative Code acquire juridical personality?
 - a. From the date of execution of Articles of Cooperation by the members
 - b. From the date of submission of Articles of Cooperation to CDA
 - c. From the date of issuance by CDA of Certificate of Registration under its official seal
 - d. From the date of meeting of minds among the members
21. What is a conclusive evidence of juridical personality of a cooperative and its due registration with CDA unless it is proved that such registration has been cancelled?
 - a. Articles of Cooperation signed by the members
 - b. Cooperative By-laws signed by the members
 - c. Certificate of Registration issued by CDA under its official seal
 - d. Certificate of Registration issued by BIR under its official seal
22. Statement I: The nature of liability of Cooperative duly registered under CDA is unlimited liability
Statement II: The extent or nature of liability of a member of a cooperative for the latter's debts to third persons up to the extent of his contribution to the share capital of the cooperative
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
23. Statement I: A regular member is a type of a cooperative member who has complied with all the membership requirements and entitled to all the rights and privileges of membership
Statement II: An associate member is a type of a cooperative member who has no right to vote nor be voted upon and shall be entitled only to such rights and privileges as the bylaws may provide
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
24. The following are the requirements before an associate member shall be considered a regular member, except
 - a. He has met the minimum requirements of regular membership
 - b. He continues to patronize the cooperative for at least two years
 - c. He signifies his intention to remain a member
 - d. He has been elected a director of the cooperative
25. What is the minimum number of days of giving notice to the board of directors before a member may withdraw his membership from the cooperative for any valid reason?
 - a. 60 days notice
 - b. 30 days notice
 - c. 90 days notice
 - d. 120 days notice
26. What is the right of a withdrawing member of a cooperative?
 - a. He shall be entitled to a refund of his share capital all other interests in the cooperative
 - b. He shall be entitled to a refund of his share capital only
 - c. He shall be entitled to a refund of the fair market value of his share capital
 - d. He shall not be entitled to any refund
27. What is the capital structure of a cooperative before a refund be given to a withdrawing member?
 - a. The value of the assets of the cooperative must be equal its liabilities before the refunding
 - b. The value of the assets of the cooperative must be equal or exceed its liabilities after the refunding
 - c. The value of the assets of the cooperative must be less than its liabilities before the refunding
 - d. The value of the assets of the cooperative must be less than its liabilities after the refunding



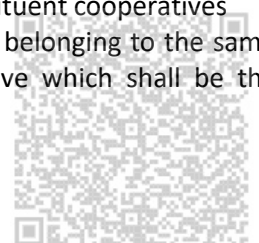
28. The following are grounds for termination of membership of a member in a cooperative, except
- When a member has not patronized any of the services of the cooperative for an unreasonable period of time as may be previously determined by the board of directors
 - When a member has continuously failed to comply with his obligations
 - When a member has acted in violation of the bylaws and the rules of the cooperative
 - For any act or omission injurious or prejudicial to the interest or the welfare of the cooperative
 - When a member of a cooperative engages in another employment or business
29. Statement I: The General Assembly shall be the highest policy-making body of the cooperative and shall exercise such powers as are stated in the Cooperative Code, in the articles of cooperation and in the bylaws of the cooperative
Statement II: The Board of Directors shall be the body in a cooperative responsible for the strategic planning, direction-setting and policy-formulation activities of the cooperatives
- Only Statement I is true
 - Only Statement II is true
 - Both statements are true
 - Both statements are false
30. What is the composition of General Assembly of the cooperative?
- The general assembly shall be composed of such members who are entitled to vote under the articles of cooperation and bylaws of the cooperative
 - The general assembly shall be composed of regular members and associate members
 - The general assembly shall be composed of associate members
 - The general assembly shall be composed all members whether with voting rights or without voting rights
31. What is the composition of board of directors of a cooperative?
- Not less than (5) nor more than (15) members
 - Not less than (2) nor more than (12) members
 - Not less than (4) nor more than (10) members
 - Not less than (10) nor more than (25) members
32. What is the term of office of directors of a cooperative?
- One year
 - Two years
 - Three years
 - Five years
33. The General Assembly may delegate some cooperative powers to the Board of Directors. However, the following are exclusive powers that cannot be delegated by General Assembly to the Board of Directors, except
- To determine and approve amendments to the articles of cooperation and bylaws
 - To elect or appoint the members of the board of directors, and to remove them for cause
 - To approve developmental plans of the cooperative
 - To determine the strategic planning, direction-setting and policy-formulation activities of the cooperatives
34. What is the number of vote that a regular member of a primary cooperative has?
- Only one vote
 - Based on the number of shares held
 - Number of shares held multiplied by sits in Board of Directors
 - None
35. Statement I: The regular meeting by the general assembly of a cooperative shall be held at least annually
Statement II: The regular meeting of the board of directors of a primary cooperative shall be held at least monthly
- Only Statement I is true
 - Only Statement II is true
 - Both statements are true
 - Both statements are false
36. In the absence of a date fixed in the cooperative by-laws, when shall the regular meeting by the general assembly of the cooperative be held?
- Any day of April
 - April 15
 - Any day of December
 - Any date within 90 days after the close of each fiscal year
37. What is the quorum in the meeting of the general assembly of an ordinary cooperative?
- At least majority of all the members entitled to vote
 - At least 25% of all the members entitled to vote
 - At least $\frac{1}{3}$ of all the members entitled to vote
 - At least 5% of all the members entitled to vote



38. What is the quorum necessary for validity of meeting of Board of Directors of ordinary cooperative?
 - a. At least majority of the members of the Board unless the bylaws provide otherwise
 - b. One-half plus one of all the members of the board of directors
 - c. At least 3/4 of the members of the Board unless the bylaws provide otherwise
 - d. At least 2/3 of the members of the Board unless the bylaws provide otherwise
39. The members of the board of directors of a cooperative shall not hold any other position directly involved in the day to day operation and management of the cooperative. Which of the following positions in a cooperative may be held concurrently of a director of a cooperative?
 - a. Chairman or Vice-chairman of the Board of Directors of the Cooperative
 - b. President of the Cooperative
 - c. Secretary of the Cooperative
 - d. Treasurer of the Cooperative
40. What reason of vacancy in the Board of Directors of a cooperative will disqualify the remaining directors despite constituting quorum to fill-up the vacancy, thus, requiring the general assembly to fill-up such vacancy?
 - a. Expiration of term of a director
 - b. Death of a director
 - c. Disqualification of a director
 - d. Resignation or abandonment of office by a director
41. Statement I: An executive committee in a cooperative be created by provision in the by-laws or by mere resolution of board of directors despite no authorization in the by-laws
Statement II: The powers of the executive committee in a cooperative be delegated to it by provision in the by-laws or by a majority vote of all the members of the board of directors
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
42. Statement I: In the absence of provision in the by-laws fixing their compensation, the extent of benefits directors of a cooperative are entitled to are reasonable per diems
Statement II: The compensation of officers of a cooperative as well as the members of the committees may be fixed in the by-laws
 - a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false
43. When are the directors of a cooperative not entitled to any reasonable per diems and compensation?
 - a. When the cooperative reported net loss in the preceding year
 - b. When the cooperative reported a dividend rate less than the inflation rate for the same year
 - c. Either A or B
 - d. Neither A nor B
44. As a general rule, what is the status of contract entered into by the cooperative with one or more of its directors, officers or committee members also known as contract with self-dealing directors or officers?
 - a. Voidable on the part of the cooperative
 - b. Unenforceable
 - c. Void
 - d. Rescissible
45. What is the liability or obligation of a director of a cooperative who by virtue of his office, acquires for himself an opportunity which should belong to the cooperative?
 - a. He shall be liable but only up to the extent of his capital contribution
 - b. He shall be liable but only up to the extent of his compensation and reasonable per diems
 - c. He shall be liable for damages and must account for double the profits that otherwise would have accrued to the cooperative by refunding the same
 - d. He shall be liable for damages and must account for the profits that otherwise would have accrued to the cooperative by refunding the same
46. Up to what civil degree of consanguinity or affinity shall two or more persons be disqualified from being appointed as officers of a cooperative?
 - a. Up to third civil degree of consanguinity or affinity
 - b. Up to second civil degree of consanguinity or affinity
 - c. Up to first civil degree of consanguinity or affinity
 - d. Up to fourth civil degree of consanguinity or affinity
47. What type of cooperative is absolutely exempted from all taxes and fees imposed by national internal revenue taxes and other tax laws even without qualification?



- a. Duly registered cooperative with CDA that does not transact business with non-members or the general public
 - b. Duly registered cooperative with CDA that transacts business with members, non-members and the general public
 - c. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of not more than P10,000,000
 - d. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of more than P10,000,000
48. What type of cooperative dealing with non-members shall enjoy the tax exemption from all national, city, provincial, municipal or barangay taxes of whatever name and nature and customs duties, advance sales or compensating taxes on their importation of machineries, equipment and spare parts used by them and which are not available locally a certified by the department of trade and industry?
- a. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of not more than P10,000,000
 - b. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of not more than P20,000,000
 - c. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of not more than P30,000,000
 - d. Duly registered cooperative with CDA with accumulated reserves and undivided net savings of more than P40,000,000
49. If the dissolution of a cooperative does not prejudice the rights of any creditor having a claim against it, what is the proper procedure for voluntary dissolution of a cooperative?
- a. By submitting a resolution duly adopted by Board of Directors and members to CDA
 - b. By filing a petition for dissolution with CDA
 - c. By filing a petition for dissolution with RTC
 - d. By filing a petition for dissolution with SEC
50. The following are valid grounds for involuntary dissolution of a cooperative by order of a competent court after due hearing, except
- a. Violation of any law or rules and regulations
 - b. Violation of the cooperative's by laws
 - c. Insolvency of the cooperative
 - d. Incurring net loss in the cooperative's operation
51. What are the modes of dissolution of a cooperative?
- a. By the expiration of its charter or certificate of registration for failure to renew its term on the deadline provided by law
 - b. By termination of its existence through voluntary dissolution
 - c. By termination of its existence through an appropriate judicial proceeding also known as involuntary dissolution
 - d. Any of the above
52. After the dissolution of a cooperative through any of the modes provided by Cooperative Code, what is the maximum period provided by Cooperative Code for the liquidation of the dissolved cooperative?
- a. For three years from the time it is dissolved
 - b. For two years from the time it is dissolved
 - c. For one year from the time it is dissolved
 - d. For four years from the time it is dissolved
53. In the winding up or liquidation of a cooperative, to whom shall any cooperative's asset distributable to any creditor, shareholder or member who is unknown or cannot be found be given?
- a. To the city or municipality where the asset is located
 - b. To the federation or union to which the cooperative is affiliated with
 - c. It will be escheated in favor of the Republic of the Philippines.
 - d. To the members of the cooperative
54. Statement I: Merger refers to a union of two or more existing cooperatives belonging to the same category whereby the surviving cooperative, retaining its identity, absorbs one or more constituent cooperatives
Statement II: Consolidation refers to a union of two or more existing cooperatives belonging to the same category whereby the constituent cooperatives shall become a single cooperative which shall be the consolidated cooperative
- a. Only Statement I is true
 - b. Only Statement II is true
 - c. Both statements are true
 - d. Both statements are false



55. Statement I: Common shares of a cooperative may be issued to regular members only
Statement II: Preferred shares of a cooperative may be issued both regular members or associate members
- Only Statement I is true
 - Only Statement II is true
 - Both statements are true
 - Both statements are false
56. Which of the following statements about common shares of a cooperative is correct?
- Its holders shall be entitled to vote and be voted under the principle of one-man, one vote principle
 - Its holders receive interest, the rate of which should not exceed the normal rate on investment
 - Both a and b
 - Neither a nor b
57. Statement I: The maximum limitation on share capital holdings of a member of a cooperative shall be no more than 10% of the share capital of the cooperative
Statement II: The maximum par value of a share of a cooperative shall be no more than P1,000
- Only Statement I is true
 - Only Statement II is true
 - Both statements are true
 - Both statements are false
58. An Independent CPA in good standing shall perform the annual financial statements audit of a cooperative registered under CDA. The following are the qualifications of financial statement auditor of cooperative, except
- He must be a member in good standing of PICPA
 - He must be accredited by PRC – BOA as CPA practitioner
 - He must be accredited by Cooperative Development Authority
 - He must be accredited by SEC
59. It refers to a type of audit wherein the cooperative assesses its social impact and ethical performance vis-à-vis its stated mission, vision, goals and code of social responsibility for cooperatives to be established by the CDA in consultation with the cooperative sector
- Social Audit
 - Performance Audit
 - Financial Statements Audit
 - Compliance Audit
60. A member shall have the right to examine the records required to be kept by the cooperative under Article 52 of the Cooperative Code during reasonable hours on business days and he may demand, in writing, for a copy of excerpts from said records without charge except the cost of production. What are the legal implications of refusal by the officer to allow a member to exercise this right?
- Such officer shall be liable to such member for civil damages
 - Such officer shall be guilty of offense or crime punishable by Cooperative Code
 - Both A and B
 - Neither A nor B
61. Which of the following is a valid ground for refusing to furnish the requested records by a member?
- The member has improperly used any information secured through any prior examination of the records of such cooperative
 - The member is not acting in good faith in making his demand
 - The member will not be using the records for legitimate purpose
 - Any of the above
62. Statement I: The reserve fund shall be used for the stability of the cooperative and to meet net losses in its operations but shall not be utilized for investment, other than those allowed in the Cooperative Code
Statement II: The minimum amount of reserve fund in the first five years of operation of a cooperative at least 50% of net surplus
- Only Statement I is true
 - Only Statement II is true
 - Both statements are true
 - Both statements are false
63. What is the right available to a member of a cooperative who dissents to cooperative acts provided by Cooperative Code?
- Pre-emptive right
 - Right of first refusal
 - Right to withdraw membership
 - Right to dissolve the cooperative



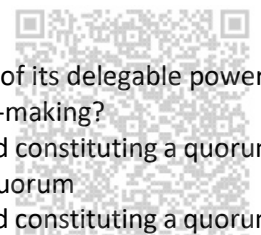
TYPES OF COOPERATIVES

Identify what type of cooperative is being referred to in the following items.

- _____ 1. A type of cooperative that promotes and undertakes savings and lending services among its members. It generates a common pool of funds in order to provide financial assistance to its members for productive and provident purposes
- _____ 2. A type of cooperative, the primary purpose of which is to procure and distribute commodities to members and non-members
- _____ 3. A type of cooperative undertaking activities which are related to its main line of business or purpose
- _____ 4. A type of cooperative that combines two (2) or more of the business activities of these different types of cooperatives
- _____ 5. A type of cooperative which provide any type of service to its members, including but not limited to, transport, information and communication, insurance, housing, electric, health services, education, banking, and savings and credit
- _____ 6. A type of cooperative that undertakes the joint production and processing of raw materials or goods produced by its members, whether agricultural or industrial, into finished or processed products for sale by the cooperative to its members and non-members
- _____ 7. A type of cooperative which engages in the supply of production inputs to members and markets their products
- _____ 8. A type of cooperative which is organized for the primary purpose of engaging in savings and credit services and other financial services
- _____ 9. A type of cooperative which is engaged in the business of insuring life and poverty of cooperatives and their members
- _____ 10. A type of cooperative which organized for the primary purpose of providing a wide range of financial services to cooperatives and their members

VOTING REQUIREMENTS

1. What is the required vote for amendment of the provisions of Articles of Cooperation of a Cooperative?
 - a. At least 2/3 of all members with voting rights
 - b. At least 2/3 of all regular members and associate members
 - c. At least majority of all members with voting rights
 - d. At least ¾ of all members with voting rights
2. What is the required vote for amendment of the provisions of By-Laws of a Cooperative?
 - a. At least 2/3 of all members with voting rights
 - b. At least 2/3 of all regular members and associate members
 - c. At least majority of all members with voting rights
 - d. At least ¾ of all members with voting rights
3. What is the required vote for the termination of a membership in a cooperative for any of the valid causes enumerated by Cooperative Code?
 - a. At least 2/3 of all the members of the cooperative with right to vote
 - b. At least ¾ of all the members of the cooperative with right to vote
 - c. At least ¾ of all the members of the board of directors of the cooperative
 - d. At least majority of all the members of the board of directors of the cooperative
4. What is the required vote for termination of membership of a member of a cooperative?
 - a. At least majority vote of all members of board of directors
 - b. At least majority vote of all members of board of directors and ratification by at least 2/3 of cooperative members with voting rights
 - c. At least majority vote of all members of board of directors and ratification by at least 3/4 of cooperative members with voting rights
 - d. At least ¾ vote of all cooperative members with voting rights
5. What is the required vote for the valid delegation by the General Assembly of some of its delegable powers to a smaller body of the cooperative for purposes of prompt and intelligent decision-making?
 - a. At least three-fourths (3/4) vote of all its members with voting rights, present and constituting a quorum
 - b. At least three-fourths (3/4) vote of all its members, present and constituting a quorum
 - c. At least three-fourths (2/3) vote of all its members with voting rights, present and constituting a quorum
 - d. At least three-fourths (2/3) vote of all its members, present and constituting a quorum



6. What is the required vote in order for directors of a cooperative to be exceptionally entitled to compensation other than reasonable per diems?
 - a. At least majority vote of the members with voting rights
 - b. At least 2/3 vote of the members with voting rights
 - c. At least 3/4 vote of the members with voting rights
 - d. Unanimous vote of the members with voting rights
7. What is the required vote for ratification of voidable contract entered by a cooperative with a self-dealing director?
 - a. At least 2/3 of members with voting rights, present and constituting a quorum
 - b. At least 3/4 of members with voting rights, present and constituting a quorum
 - c. At least majority of members with voting rights, present and constituting a quorum
 - d. At least 25% of members with voting rights, present and constituting a quorum
8. What is the required vote for removal of an officer or a director of a cooperative?
 - a. At least 2/3 of members with voting rights, present and constituting a quorum
 - b. At least 3/4 of members with voting rights, present and constituting a quorum
 - c. At least majority of members with voting rights, present and constituting a quorum
 - d. At least 25% of members with voting rights, present and constituting a quorum
9. What is the required vote for the voluntary dissolution of a cooperative?
 - a. By at least majority vote of the board of directors and by a resolution duly adopted by the affirmative vote of at least 2/3 of all members with voting rights, present and constituting a quorum
 - b. By at least majority vote of the board of directors and by a resolution duly adopted by the affirmative vote of at least 3/4 of all members with voting rights, present and constituting a quorum
 - c. By at least majority vote of the board of directors and by a resolution duly adopted by the affirmative vote of at least majority of all members with voting rights, present and constituting a quorum
 - d. By at least majority vote of the board of directors and by a resolution duly adopted by the affirmative vote of at least 25% of all members with voting rights, present and constituting a quorum
10. What is the required vote for the validity of merger of two or more cooperatives?
 - a. At least 2/3 of members with voting rights, present and constituting a quorum
 - b. At least 3/4 of members with voting rights, present and constituting a quorum
 - c. At least majority of members with voting rights, present and constituting a quorum
 - d. At least 25% of members with voting rights, present and constituting a quorum
11. What is the required vote for allocation of interest on share capital?
 - a. Majority of all members of the board of directors present and constituting a quorum
 - b. Majority of all members of general assembly present and constituting a quorum
 - c. ¾ of all members of general assembly present and constituting a quorum
 - d. Majority of all members of the board of directors present and constituting a quorum and ¾ of all members of general assembly present and constituting a quorum
12. What is the required vote for approval of deferment of distribution or payment of interest on share capital to cooperative members?
 - a. Majority of all members of the board of directors present and constituting a quorum
 - b. Majority of all members of general assembly present and constituting a quorum
 - c. ¾ of all members of general assembly present and constituting a quorum
 - d. Majority of all members of the board of directors present and constituting a quorum and ¾ of all members of general assembly present and constituting a quorum



THE CONSUMER ACT OF THE PHILIPPINES (REPUBLIC ACT No. 7394)

CONSUMER PRODUCT QUALITY AND SAFETY

Article 5. Declaration of Policy. – It shall be the duty of the State:

- a. to develop and provide safety and quality standards for consumer products, including performance or use-oriented standards, codes of practice and methods of tests;
- b. to assist the consumer in evaluating the quality, including safety, performance and comparative utility of consumer products;
- c. to protect the public against unreasonable risks of injury associated with consumer products;
- d. to undertake research on quality improvement of products and investigation into causes and prevention of product related deaths, illness and injuries;
- e. to assure the public of the consistency of standardized products.

Article 6. Implementing Agencies. – The provisions of this Article and its implementing rules and regulations shall be enforced by:

- a. the Department of Health with respect to food, drugs, cosmetics, devices and substances;
- b. the Department of Agriculture with respect to products related to agriculture, and;
- c. the Department of Trade and Industry with respect to other consumer products not specified above.

Article 11. Amendment and Revocation of Declaration of the Injurious, Unsafe or Dangerous Character of a Consumer Product. – Any interested person may petition the appropriate department to commence a proceeding for the issuance of an amendment or revocation of a consumer product safety rule or an order declaring a consumer product injurious, dangerous and unsafe.

In case the department, upon petition by an interested party or its own initiative and after due notice and hearing, determines a consumer product to be substandard or materially defective, it shall so notify the manufacturer, distributor or seller thereof of such finding and order such manufacturer, distributor or seller to:

- a. give notice to the public of the defect or failure to comply with the product safety standards; and
- b. give notice to each distributor or retailer of such product.

The department shall also direct the manufacturer, distributor or seller of such product to extend any or all of the following remedies to the injured person:

- a. to bring such product into conformity with the requirements of the applicable consumer product standards or to repair the defect in order to conform with the same;
- b. to replace the product with a like or equivalent product which complies with the applicable consumer product standards which does not contain the defect;

- c. to refund the purchase price of the product less a reasonable allowance for use; and
- d. to pay the consumer reasonable damages as may be determined by the department.

The manufacturer, distributor or seller shall not charge a consumer who avails himself of the remedy as provided above of any expense and cost that may be incurred.

Article 14. Certification of Conformity to Consumer Product Standards. – The concerned department shall aim at having consumer product standards established for every consumer product so that consumer products shall be distributed in commerce only after inspection and certification of its quality and safety standards by the department. The manufacturer shall avail of the Philippine Standard Certification Mark which the department shall grant after determining the product's compliance with the relevant standard in accordance with the implementing rules and regulations.

Article 15. Imported Products.

- a. Any consumer product offered for importation into the customs of the Philippine territory shall be refused admission if such product:
 - 1. fails to comply with an applicable consumer product quality and safety standard or rule;
 - 2. is or has been determined to be injurious, unsafe and dangerous;
 - 3. is substandard; or
 - 4. has material defect.

b. Samples of consumer products being imported into the Philippines in a quantity necessary for purposes of determining the existence of any of the above causes for non-admission may be obtained by the concerned department or agency without charge from the owner or consignee thereof. The owner or consignee of the imported consumer product under examination shall be afforded an opportunity to a hearing with respect to the importation of such products into the Philippines. If it appears from examination of such samples or otherwise that an imported consumer product does not conform to the consumer product safety rule or is injurious, unsafe and dangerous, is substandard or has a material defect, such product shall be refused admission unless the owner or the consignee thereof manifests under bond that none of the above ground for non-admission exists or that measures have been taken to cure them before they are sold, distributed or offered for sale to the general public.

Any consumer product, the sale or use of which has been banned or withdrawn in the country of manufacture, shall not be imported into the country.

- c. If it appears that any consumer product which may not be admitted pursuant to paragraph (a) of this Article can be so modified that it can already be accepted, the concerned department may defer final examination as to the admission of such product for a period not exceeding ten (10) days, and in accordance with such regulations as the department and the Commissioner of Customs shall jointly promulgate, such product may be released from customs custody under bond for the purpose of

- permitting the owner or consignee an opportunity to so modify such product.
- d. All modifications taken by an owner or consignee for the purpose of securing admission of an imported consumer product under paragraph (c) shall be subject to the supervision of the concerned department. If the product cannot be so modified, or if the owner or consignee is not proceeding to satisfactorily modify such product, it shall be refused admission and the department may direct redelivery of the product into customs custody, and to seize the product if not so redelivered.
 - e. Imported consumer products not admitted must be exported, except that upon application, the Commissioner of Customs may permit the destruction of the product if, within a reasonable time, the owner or consignee thereof fails to export the same.
 - f. All expenses in connection with the destruction provided for in this Article, and all expenses in connection with the storage, cartage or labor with respect to any consumer product refused admission under this Article, shall be paid by the owner or consignee and, in default of such payment, shall constitute a lien against any future importation made by such owner or consignee.

Article 16. Consumer Products for Export. – The preceding article on safety not apply to any consumer product if:

- a. it can be shown that such product is manufactured, sold or held for sale for export from the Philippines, or that such product was imported for export, unless such consumer product is in fact distributed in commerce for use in the Philippines; and
- b. such consumer product or the packaging thereof bears a stamp or label stating that such consumer product is intended for export and actually exported.

FOOD, DRUGS, COSMETICS AND DEVICES

Article 20. Declaration of Policy. – The State shall ensure safe and good quality of food, drugs, cosmetics and devices, and regulate their production, sale, distribution and advertisement to protect the health of the consumer.

Article 21. Implementing Agency. – In the implementation of the foregoing policy, the State, through the Department of Health, hereby referred as the Department, shall, in accordance with the provisions of this Act:

- a. establish standards and quality measures for food, drugs, devices and cosmetics;
- b. adopt measures to ensure pure and safe supply of foods and cosmetics, and safe, efficacious and good quality of drugs and devices in the Country;
- c. adopt measures to ensure the rational use of drugs and devices, such as, but not limited to, banning, recalling or withdrawing from the market drugs and devices which are unregistered, unsafe, inefficacious or of doubtful therapeutic value, the adoption of an official National Drug Formulary, and the use of generic names in the labeling of drugs;
- d. strengthen the Bureau of Food and Drugs.

Article 22. Rules and Regulations on Definitions and Standards. – Whenever in the judgment of the Department such action will promote honesty and fair dealing in the interest of consumers, it shall promulgate rules and regulations fixing and establishing a reasonable definition and standard of identity, a reasonable standard of quality and/or reasonable standard of fill of containers for food, drugs, cosmetics or devices.

DECEPTIVE, UNFAIR AND UNCONSCIONABLE SALES ACTS OR PRACTICES

Article 48. Declaration of Policy. – The State shall promote and encourage fair, honest and equitable relations among parties in consumer transactions and protect the consumer against deceptive, unfair and unconscionable sales acts or practices.

Article 49. Implementing Agency. – The Department of Trade and Industry, hereby referred to as the Department, shall enforce the provisions of this Chapter.

REGULATION OF SALES ACTS AND PRACTICES

Article 50. Prohibition Against Deceptive Sales Acts or Practices. – A deceptive act or practice by a seller or supplier in connection with a consumer transaction violates this Act whether it occurs before, during or after the transaction. An act or practice shall be deemed deceptive whenever the producer, manufacturer, supplier or seller, through concealment, false representation of fraudulent manipulation, induces a consumer to enter into a sales or lease transaction of any consumer product or service.

Without limiting the scope of the above paragraph, the act or practice of a seller or supplier is deceptive when it represents that:

- a. a consumer product or service has the sponsorship, approval, performance, characteristics, ingredients, accessories, uses, or benefits it does not have;
- b. a consumer product or service is of a particular standard, quality, grade, style, or model when in fact it is not;
- c. a consumer product is new, original or unused, when in fact, it is in a deteriorated, altered, reconditioned, reclaimed or second-hand state;
- d. a consumer product or service is available to the consumer for a reason that is different from the fact;
- e. a consumer product or service has been supplied in accordance with the previous representation when in fact it is not;
- f. a consumer product or service can be supplied in a quantity greater than the supplier intends;
- g. a service, or repair of a consumer product is needed when in fact it is not;
- h. a specific price advantage of a consumer product exists when in fact it does not;
- i. the sales act or practice involves or does not involve a warranty, a disclaimer of warranties, particular warranty terms or other rights, remedies or obligations if the indication is false; and
- j. the seller or supplier has a sponsorship, approval, or affiliation he does not have.

Article 51. Deceptive Sales Act or Practices By Regulation. – The Department shall, after due notice

and hearing, promulgate regulations declaring as deceptive any sales act, practice or technique which is a misrepresentation of facts other than these enumerated in Article 50.

Article 52. Unfair or Unconscionable Sales Act or Practice. – An unfair or unconscionable sales act or practice by a seller or supplier in connection with a consumer transaction violates this Chapter whether it occurs before, during or after the consumer transaction. An act or practice shall be deemed unfair or unconscionable whenever the producer, manufacturer, distributor, supplier or seller, by taking advantage of the consumer's physical or mental infirmity, ignorance, illiteracy, lack of time or the general conditions of the environment or surroundings, induces the consumer to enter into a sales or lease transaction grossly inimical to the interests of the consumer or grossly one-sided in favor of the producer, manufacturer, distributor, supplier or seller.

In determining whether an act or practice is unfair and unconscionable, the following circumstances shall be considered:

- a. that the producer, manufacturer, distributor, supplier or seller took advantage of the inability of the consumer to reasonably protect his interest because of his inability to understand the language of an agreement, or similar factors;
- b. that when the consumer transaction was entered into, the price grossly exceeded the price at which similar products or services were readily obtainable in similar transaction by like consumers;
- c. that when the consumer transaction was entered into, the consumer was unable to receive a substantial benefit from the subject of the transaction;
- d. that when the consumer was entered into, the seller or supplier was aware that there was no reasonable probability or payment of the obligation in full by the consumer; and
- e. that the transaction that the seller or supplier induced the consumer to enter into was excessively one-sided in favor of the seller or supplier.

CONSUMER PRODUCT AND SERVICE WARRANTIES

Article 66. Implementing Agency. – The Department of Trade and Industry, shall strictly enforce the provision of this Chapter and its implementing rules and regulations.

Article 67. Applicable Law on Warranties. – The provisions of the Civil Code on conditions and warranties shall govern all contracts of sale with conditions and warranties.

Article 68. Additional Provisions on Warranties. – In addition to the Civil Code provisions on sale with warranties, the following provisions shall govern the sale of consumer products with warranty:

- a. **Terms of express warranty.** – Any seller or manufacturer who gives an express warranty shall:
 - 1. set forth the terms of warranty in clear and readily understandable language and clearly identify himself as the warrantor;

- 2. identify the party to whom the warranty is extended;
- 3. state the products or parts covered;
- 4. state what the warrantor will do in the event of a defect, malfunction or failure to conform to the written warranty and at whose expense;
- 5. state what the consumer must do to avail of the rights which accrue to the warranty; and
- 6. stipulate the period within which, after notice of defect, malfunction or failure to conform to the warranty, the warrantor will perform any obligation under the warranty.

b. **Express warranty** – operative from moment of sale. – All written warranties or guarantees issued by a manufacturer, producer, or importer shall be operative from the moment of sale.

- 1. **Sales Report.** – All sales made by distributors of products covered by this Article shall be reported to the manufacturer, producer, or importer of the product sold within thirty (30) days from date of purchase, unless otherwise agreed upon. The report shall contain, among others, the date of purchase, model of the product bought, its serial number, name and address of the buyer. The report made in accordance with this provision shall be equivalent to a warranty registration with the manufacturer, producer, or importer. Such registration is sufficient to hold the manufacturer, producer, or importer liable, in appropriate cases, under its warranty.
- 2. **Failure to make or send report.** – Failure of the distributor to make the report or send them the form required by the manufacturer, producer, or importer shall relieve the latter of its liability under the warranty: Provided, however, That the distributor who failed to comply with its obligation to send the sales reports shall be personally liable under the warranty. For this purpose, the manufacturer shall be obligated to make good the warranty at the expense of the distributor.
- 3. **Retail.** – The retailer shall be subsidiarily liable under the warranty in case of failure of both the manufacturer and distributor to honor the warranty. In such case, the retailer shall shoulder the expenses and costs necessary to honor the warranty. Nothing therein shall prevent the retailer from proceeding against the distributor or manufacturer.
- 4. **Enforcement of warranty or guarantee.** – The warranty rights can be enforced by presentment of a claim. To this end, the purchaser needs only to present to the immediate seller either the warranty card of the official receipt along with the product to be serviced or returned to the immediate seller. No other documentary requirement shall be demanded from the purchaser. If the immediate seller is the manufacturer's factory or showroom, the warranty shall immediately be honored. If the product was purchased from a distributor, the distributor shall likewise immediately honor the warranty. In the case of a retailer other than the distributor, the former shall take responsibility

without cost to the buyer of presenting the warranty claim to the distributor in the consumer's behalf.

5. **Record of purchases.** – Distributors and retailers covered by this Article shall keep a record of all purchases covered by a warranty or guarantee for such period of time corresponding to the lifetime of the product's respective warranties or guarantees.
6. **Contrary stipulations** – null and void. – All covenants, stipulations or agreements contrary to the provisions of this Article shall be without legal effect.
- c. **Designation of warranties.** – A written warranty shall clearly and conspicuously designate such warranty as:
1. **"Full warranty"** if the written warranty meets the minimum requirements set forth in paragraph (d); or
 2. **"Limited warranty"** if the written warranty does not meet such minimum requirements.
- d. **Minimum standards for warranties.** – For the warrantor of a consumer product to meet the minimum standards for warranty, he shall:
1. remedy such consumer product within a reasonable time and without charge in case of a defect, malfunction or failure to conform to such written warranty;
 2. permit the consumer to elect whether to ask for a refund or replacement without charge of such product or part, as the case may be, where after reasonable number of attempts to remedy the defect or malfunction, the product continues to have the defect or to malfunction.
- The warrantor will not be required to perform the above duties if he can show that the defect, malfunction or failure to conform to a written warranty was caused by damage due to unreasonable use thereof.
- e. **Duration of warranty.** – The seller and the consumer may stipulate the period within which the express warranty shall be enforceable. If the implied warranty on merchantability accompanies an express warranty, both will be of equal duration. Any other implied warranty shall endure not less than sixty (60) days nor more than one (1) year following the sale of new consumer products.
- f. **Breach of warranties.**
1. In case of breach of express warranty, the consumer may elect to have the goods repaired or its purchase price refunded by the warrantor. In case the repair of the product in whole or in part is elected, the warranty work must be made to conform to the express warranty within thirty (30) days by either the warrantor or his representative. The thirty-day period, however, may be extended by conditions which are beyond the control of the warrantor or his representative. In case the refund of the purchase price is elected, the amount directly attributable to the use of the consumer prior to the discovery of the non-conformity shall be deducted.
 2. In case of breach of implied warranty, the consumer may retain in the goods and recover

damages, or reject the goods, cancel and contract and recover from the seller so much of the purchase price as has been paid, including damages.

Article 69. Warranties in Supply of Services. –

- a. In every contract for the supply of services to a consumer made by a seller in the course of a business, there is an implied warranty that the service will be rendered with due care and skill and that any material supplied in connection with such services will be reasonably fit for the purpose for which it is supplied.
- b. Where a seller supplies consumer services in the course of a business and the consumer, expressly or by implication, makes known to the seller the particular purpose for which the services are required, there is an implied warranty that the services supplied under the contract and any material supplied in connection therewith will be reasonably fit for that purpose or are of such a nature or quality that they might reasonably be expected to achieve that result, unless the circumstances show that the consumer does not rely or that it is unreasonable for him to rely, on the seller's skill or judgment.

Article 70. Professional Services. – The provision of this Act on warranty shall not apply to professional services of certified public accountants, architects, engineers, lawyers, veterinarians, optometrists, pharmacists, nurses, nutritionists, dietitians, physical therapists, salesmen, medical and dental practitioners and other professionals engaged in their respective professional endeavors.

LABELING AND FAIR PACKAGING

Article 74. Declaration of Policy. – The State shall enforce compulsory labeling, and fair packaging to enable the consumer to obtain accurate information as to the nature, quality and quantity of the contents of consumer products and to facilitate his comparison of the value of such products.

Article 75. Implementing Agency. – The Department of Trade and Industry shall enforce the provisions of this Chapter and its implementing rules and regulations: Provided, That with respect to food, drugs, cosmetics, devices and hazardous substances, it shall be enforced by the concerned department.

Article 76. Prohibited Acts on Labeling and Packaging. – It shall be unlawful for any person, either as principal or agent, engaged in the labeling or packaging of any consumer product, to display or distribute or to cause to be displayed or distributed in commerce any consumer product whose package or label does not conform to the provisions of this Chapter.

The prohibition in this Chapter shall not apply to persons engaged in the business of wholesale or retail distributors of consumer products except to the extent that such persons:

- a. are engaged in the packaging or labeling of such products;
- b. prescribe or specify by any means the manner in which such products are packaged or labeled; or

- c. having knowledge, refuse to disclose the source of the mislabeled or mispackaged products.

Article 77. Minimum Labeling Requirements for Consumer Products. – All consumer products domestically sold whether manufactured locally or imported shall indicate the following in their respective labels of packaging:

- a. its correct and registered trade name or brand name;
- b. its duly registered trademark;
- c. its duly registered business name;
- d. the address of the manufacturer, importer, repacker of the consumer product in the Philippines;
- e. its general make or active ingredients;
- f. the net quality of contents, in terms of weight, measure or numerical count rounded of to at least the nearest tenths in the metric system;
- g. country of manufacture, if imported; and
- h. if a consumer product is manufactured, refilled or repacked under license from a principal, the label shall so state the fact.

The following may be required by the concerned department in accordance with the rules and regulations they will promulgate under authority of this Act:

- a. whether it is flammable or inflammable;
- b. directions for use, if necessary;
- c. warning of toxicity;
- d. wattage, voltage or amperes; or
- e. process of manufacture used if necessary.

Any word, statement or other information required by or under authority of the preceding paragraph shall appear on the label or labeling with such conspicuousness as compared with other words, statements, designs or devices therein, and in such terms as to render it likely to be read and understood by the ordinary individual under customary conditions of purchase or use.

The above requirements shall form an integral part of the label without danger of being erased or detached under ordinary handling of the product.

Article 78. Philippine Product Standard Mark. – The label may contain the Philippine Product Standard Mark if it is certified to have passed the consumer product standard prescribed by the concerned department.

Article 79. Authority of the Concerned Department to Provide for Additional Labeling and Packaging Requirements. – Whenever the concerned department determines that regulations containing requirements other than those prescribed in Article 77 hereof are necessary to prevent the deception of the consumer or to facilitate value comparisons as to any consumer product, it may issue such rules and regulations to:

- a. establish and define standards for characterization of the size of a package enclosing any consumer product which may be used to supplement the label statement of net quality, of contents of packages containing such products but this clause shall not be construed as authorizing any limitation on the size, shape, weight, dimensions, or number of packages which may be used to enclose any product;

- b. regulate the placement upon any package containing any product or upon any label affixed to such product of any printed matter stating or representing by implication that such product is offered for retail at a price lower than the ordinary and customary retail price or that a price advantage is accorded to purchases thereof by reason of the size of the package or the quantity of its contents;
- c. prevent the nonfunctional slack-fill of packages containing consumer products.

For purposes of paragraph (c) of this Article, a package shall be deemed to be nonfunctionally slack-filled if it is filled to substantially less than its capacity for reasons other than (1) protection of the contents of such package, (2) the requirements of machines used for enclosing the contents in such package, or (3) inherent characteristics of package materials or construction being used.

Article 81. Price Tag Requirement. – It shall be unlawful to offer any consumer product for retail sale to the public without an appropriate price tag, label or marking publicly displayed to indicate the price of each article and said products shall not be sold at a price higher than that stated therein and without discrimination to all buyers: Provided, That lumber sold, displayed or offered for sale to the public shall be tagged or labeled by indicating thereon the price and the corresponding official name of the wood: Provided, further, That if consumer products for sale are too small or the nature of which makes it impractical to place a price tag thereon price list placed at the nearest point where the products are displayed indicating the retail price of the same may suffice.

Article 82. Manner of Placing Price Tags. – Price tags, labels or markings must be written clearly, indicating the price of the consumer product per unit in pesos and centavos.

Article 83. Regulations for Price Tag Placement. – The concerned department shall prescribe rules and regulations for the visible placement of price tags for specific consumer products and services. There shall be no erasures or alterations of any sort of price tags, labels or markings.

--End--



QUESTIONS

1. The Consumer Act of the Philippines is Republic Act No. _____.
a. 7393
b. 7394
c. 7395
d. 7396
2. The Consumer Act of the Philippines states that it is the policy of the State to protect the interests of the consumer, promote his general welfare and to establish standards of conduct for business and industry. Towards this end, the State shall implement measures to achieve the following objectives:
Statement I: Protection against hazards to health and safety, and deceptive, unfair and unconscionable sales acts and practices;
Statement II: Provision of information and education to facilitate sound choice and the proper exercise of rights by the consumers, and of adequate rights and means of redress, specifically recognized as constituting the doing of an insurance business within the meaning of this Code; and,
Statement III: Involvement of consumer representatives in the formulation of social and economic policies.
- Which of the following is/are false?
a. Only two of the statements
b. Only one of the statements
c. All three of the statements
d. None of the statements
3. In terms of Consumer Product Quality and Safety, the Consumer Act of the Philippines states the provisions of this Article and its implementing rules and regulations shall be enforced by:
Statement I: The Department of Health with respect to food, drugs, cosmetics, devices and substances;
Statement II: The Department of Agriculture with respect to products related to agriculture; and,
Statement III: The Department of Trade and Industry with respect to other consumer products not specified above.
- Which of the following is/are false?
a. Only two of the statements
b. Only one of the statements
c. All three of the statements
d. None of the statements
4. In terms of Deceptive, Unfair and Unconscionable Sales Acts or Practices, the Consumer Act of the Philippines defines a “Home solicitation sale” means consumer sales or leases which are personally solicited by any person or organization by telephone, person-to-person contact or by written or printed communication other than general advertising or consummated at the buyer’s residence or a place of business, at the seller’s transient quarters, or away from a seller’s regular place of business. No business entity shall conduct any home solicitation sale of any consumer product or service without first obtaining a permit from the Department. Furthermore, a home solicitation sale shall not represent that:
Statement I: The buyer has been specially selected;
Statement II: A survey, test or research is being conducted; or,
Statement III: The seller is making a special offer to a few persons only for a limited period of time.
- Which of the following is/are false?
a. Only two of the statements
b. Only one of the statements
c. All three of the statements
d. None of the statements
5. In terms of Consumer Product and Service Warranties, the Consumer Act of the Philippine provides that the provisions of the Civil Code on conditions and warranties shall govern all contracts of sale with conditions and warranties, and the former’s provisions are in addition to the latter. In case of sales of consumer products:
Statement I: In case of breach of express warranty, the consumer may elect to have the goods repaired in case the repair of the product in whole or in part is elected, the warranty work must be made to conform to the express warranty within thirty (30) days by either the warrantor or his representative. The thirty-day period, however, may be extended by conditions which are beyond the control of the warrantor or his representative;
Statement II: In case of breach of express warranty, the consumer may elect to have its purchase price refunded by the warrantor. In case the refund of the purchase price is elected, the amount directly attributable to the use of the consumer prior to the discovery of the non-conformity shall be deducted; or,
Statement III: In case of breach of implied warranty, the consumer may retain in the goods and recover damages, or reject the goods, cancel and contract and recover from the seller so much of the purchase price as has been paid, including damages.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

6. In terms of Consumer Product and Service Warranties, the Consumer Act of the Philippine provides that the provisions of the Civil Code on conditions and warranties shall govern all contracts of sale with conditions and warranties, and the former's provisions are in addition to the latter. Consider the following:

Statement I: In every contract for the supply of services to a consumer made by a seller in the course of a business, there is an implied warranty that the service will be rendered with due care and skill and that any material supplied in connection with such services will be reasonably fit for the purpose for which it is supplied;

Statement II: Where a seller supplies consumer services in the course of a business and the consumer, expressly or by implication, makes known to the seller the particular purpose for which the services are required, there is an implied warranty that the services supplied under the contract and any material supplied in connection therewith will be reasonably fit for that purpose or are of such a nature or quality that they might reasonably be expected to achieve that result, unless the circumstances show that the consumer does not rely or that it is unreasonable for him to rely, on the seller's skill or judgment.;

Statement III: Service firms shall guarantee workmanship and replacement of spare parts for a period not less than ninety (90) days which shall be indicated in the pertinent invoices.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

7. In terms of Labeling and Fair Packaging, the Consumer Act of the Philippine provides that the State shall enforce compulsory labeling, and fair packaging to enable the consumer to obtain accurate information as to the nature, quality and quantity of the contents of consumer products and to facilitate his comparison of the value of such products. It shall be unlawful for any person, either as principal or agent, engaged in the labeling or packaging of any consumer product, to display or distribute or to cause to be displayed or distributed in commerce any consumer product whose package or label does not conform to the provisions of this Chapter. However, the prohibition in this Chapter shall not apply to persons engaged in the business of wholesale or retail distributors of consumer products, except to the extent that such persons:

Statement I: Are engaged in the packaging or labeling of such products;

Statement II: Prescribe or specify by any means the manner in which such products are packaged or labeled; or,

Statement III: Having knowledge, refuse to disclose the source of the mislabeled or mispackaged products.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

8. In terms of Labeling and Fair Packaging, the Consumer Act of the Philippine provides for a price tag requirement:

Statement I: It shall be unlawful to offer any consumer product for retail sale to the public without an appropriate price tag, label or marking publicly displayed to indicate the price of each article and said products shall not be sold at a price higher than that stated therein and without discrimination to all buyers;

Statement II: Price tags, labels or markings must be written clearly, indicating the price of the consumer product per unit in pesos and centavos; and,

Statement III: However, if consumer products for sale are too small or the nature of which makes it impractical to place a price tag thereon price list placed at the nearest point where the products are displayed indicating the retail price of the same may suffice.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

9. What is the end goal of deceptive sales acts or practices?
- a. Induce a consumer to enter a sales or lease transaction of any consumer product or service
 - b. Control market prices to the advantage of sellers and to the disadvantage of consumers
 - c. Deliver quantities or amounts less than what was initially agreed upon
 - d. Employ impossible and false therapeutic claims on medicines
10. An unfair or unconscionable sales act or practice:
- a. Takes advantage of product scarcity, whether manmade or otherwise
 - b. Takes advantage of a consumer's ignorance or illiteracy
 - c. Takes advantage of a consumer's financial standing
 - d. Takes advantage of the unreadability of a product's packaging



PHILIPPINE LEMON LAW (REPUBLIC ACT NO. 10642)

AN ACT STRENGTHENING CONSUMER PROTECTION IN THE PURCHASE OF BRAND NEW MOTOR VEHICLES

Section 1. Short Title. – This Act shall be known as the "Philippine Lemon Law".

Section 2. Declaration of Policy. – It is hereby declared the policy of the State to promote full protection to the rights of consumers in the sale of motor vehicles against business and trade practices which are deceptive, unfair or otherwise inimical to consumers and the public interest. The State recognizes that a motor vehicle is a major consumer purchase or investment. Hence, the rights of consumers should be clearly defined, including the means for redress for violations thereof.

Section 3. Definition of Terms. – As used in this Act:

- (a) **Brand new motor vehicle** refers to a vehicle constructed entirely from new parts and covered by a manufacturer's express warranty at the time of purchase that it has never been sold or registered with the Department of Transportation and Communications (DOTC) or an appropriate agency or authority, and has never been operated on any highway of the Philippines, or in any foreign state or country;
- (b) **Collateral charges** refer to the fees paid' to the Land Transportation Office (LTO) for the registration of a brand new motor vehicle and other incidental expenses such as, but not limited to, the cost of insurance pertaining to the vehicle, chattel mortgage fees and interest expenses if applicable;
- (c) **Comparable motor vehicle** refers to a motor vehicle that is identical or reasonably equivalent to the motor vehicle to be replaced, in terms of specifications and values, subject to availability, as the motor vehicle existed at the time of purchase: *Provided*, That there shall be an offsetting from this value for reasonable allowance for its use;
- (d) **Consumer** refers to any person, natural or juridical, who purchases a brand new motor vehicle either by cash or credit from an authorized distributor, dealer or retailer in the Philippines;
- (e) **Dealer or retailer** refers to any person, natural or juridical, authorized by the manufacturer or distributor to sell brand new motor vehicles directly to the retail buyers and the public;
- (f) **Distributor** refers to any person, natural or juridical, authorized by the manufacturer to sell brand new motor vehicles to duly authorized dealers or retailers;
- (g) **Implementing agency** refers to the Department of Trade and Industry (DTI), reorganized under Title X, Book IV of Executive Order No. 292, series of 1987, otherwise known as the "Administrative Code of 1987";

(h) **Lemon Law rights period** refers to the period ending twelve (12) months after the date of the original delivery of a brand new motor vehicle to a consumer or the first twenty thousand (20,000) kilometers of operation after such delivery, whichever comes first. This shall be the period during which the consumer can report any nonconformity, as defined in paragraph (k) herein, to the standards and specifications of the manufacturer, authorized distributor, authorized dealer or retailer, and pursue any right as provided for under this Act;

(i) **Manufacturer** refers to any person, natural or juridical, engaged in the business of manufacturing or assembling motor vehicles;

(j) **Motor vehicle** refers to any self-propelled, four (4) wheeled road vehicle designed to carry passengers including, but not limited to, sedans, coupes, station wagons, convertibles, pick-ups, vans, sports utility vehicles (SUVs) and Asian Utility Vehicles (AUVs) but excluding motorcycles, delivery trucks, dump trucks, buses, road rollers, trolley cars, street sweepers, sprinklers, lawn mowers and heavy equipment such as, but not limited to, bulldozers, payloaders, graders, forklifts, amphibian trucks, cranes, and vehicles which run only on rails or tracks, and tractors, trailers and traction engines of all kinds used exclusively for agricultural purposes. Trailers having any number of wheels, when propelled or intended by attachment to a motor vehicle, shall be classified as separate motor vehicle with no power rating;

(k) **Nonconformity** refers to any defect or condition that substantially impairs the use, value or safety of a brand new motor vehicle which prevents it from conforming to the manufacturer's or distributor's standards or specifications, which cannot be repaired, but excluding conditions resulting from noncompliance by the consumer of his or her obligations under the warranty, modifications not authorized by the manufacturer or distributor, abuse or neglect, and damage due to accident or *force majeure*;

(l) **Purchase price** refers to the invoice price or the amount of money which the dealer or retailer actually received for the brand new motor vehicle, in consideration of the sale of such brand new motor vehicle;

(m) **Warranty** refers to the written assurance, so labeled, of the manufacturer of a brand new motor vehicle including any term or condition precedent to the enforcement of obligations under the warranty; and

(n) **Warranty rights period** refers to the period provided for under the contract of sale when the manufacturer would guarantee the materials used, the workmanship and the roadworthiness of a brand new motor vehicle for ordinary use or reasonable intended purposes.

Section 4. Coverage. – This Act shall cover brand new motor vehicles purchased in the Philippines reported by a consumer to be in nonconformity with the vehicle's manufacturer or distributor's standards or specifications within twelve (12) months from the date of original delivery to the consumer, or

up to twenty thousand (20,000) kilometers of operation after such delivery, whichever comes first. The following causes of nonconformity shall be excluded:

- (a) Noncompliance by the consumer of the obligations under the warranty;
- (b) Modifications not authorized by the manufacturer, distributor, authorized dealer or retailer;
- (c) Abuse or neglect of the brand new motor vehicle; and
- (d) Damage to the vehicle due to accident or *force majeure*.

Section 5. Repair Attempts. – At any time within the Lemon Law rights period, and after at least four (4) separate repair attempts by the same manufacturer, distributor, authorized dealer or retailer for the same complaint, and the nonconformity issue remains unresolved, the consumer may invoke his or her rights under this Act. The repair may include replacement of parts components, or assemblies.

Section 6. Notice of Availment of Lemon Law Rights. – Before availing of any remedy under this Act and subject to compliance with the provisions of Section 5 hereof, the consumer shall, in writing, notify the manufacturer, distributor, authorized dealer or retailer of the unresolved complaint, and the consumer’s intention to invoke his or her rights under this Act within the Lemon Law rights period.

The warranty booklet issued by the manufacturer, distributor, authorized dealer or retailer shall clearly state the manner and form of such notice to constitute a valid and legal notice to the manufacturer, distributor, authorized dealer or retailer. It shall also clearly state the responsibility of the consumer under this section.

Section 7. Availment of Lemon Law Rights. – Subsequent to filing the notice of availment referred to in the preceding section, the consumer shall bring the vehicle to the manufacturer, distributor, authorized dealer or retailer from where the vehicle was purchased for a final attempt to address the complaint of the consumer to his or her satisfaction.

It shall be the duty of the manufacturer, distributor, authorized dealer or retailer, upon receipt of the motor vehicle and the notice of nonconformity required under Section 6 hereof, to attend to the complaints of the consumer including, as may be necessary, making the repairs and undertaking such actions to make the vehicle conform to the standards or specifications of the manufacturer, distributor, authorized dealer or retailer for such vehicle.

In case the nonconformity issue remains unresolved despite the manufacturer, distributor, authorized dealer or retailer’s efforts to repair the vehicle, pursuant to the consumer’s availment of his or her Lemon Law rights, the consumer may file a complaint before the DTI as provided for under this Act: *Provided, however,* That if the vehicle is not returned for repair, based on the same complaint, within thirty (30) calendar days from the date of notice of release of the motor vehicle to the consumer following this repair attempt within the Lemon Law rights period, the repair is deemed successful: *Provided, finally,* That, in the event that the nonconformity issue still

exists or persists after the thirty (30)-day period but still within the Lemon Law rights period, the consumer may be allowed to avail of the same remedies under Sections 5 and 6 hereof.

To compensate for the non-usage of the vehicle while under repair and during the period of availment of the Lemon Law rights, the consumer shall be provided a reasonable daily transportation allowance, an amount which covers the transportation of the consumer from his or her residence to his or her regular workplace or destination and vice versa, equivalent to air-conditioned taxi fare, as evidenced by official receipt, or in such amount to be agreed upon by the parties, or a service vehicle at the option of the manufacturer, distributor, authorized dealer or retailer. Any disagreement on this matter shall be resolved by the DTI. Nothing herein shall be construed to limit or impair the rights and remedies of a consumer under any other law.

Section 8. Remedies for Dispute Resolution. – The DTI shall exercise exclusive and original jurisdiction over disputes arising from the provisions of this Act. All disputes arising from the provisions of this Act shall be settled by the DTI in accordance with the following dispute resolution mechanisms:

(a) Mediation

- (1) The principles of negotiation, conciliation and mediation towards amicable settlement between the manufacturer, distributor, authorized dealer or retailer and the consumer shall be strictly observed;
- (2) In the course of its dispute resolution efforts, the DTI shall endeavor to independently establish the validity of the consumer’s outstanding complaint. The DTI shall likewise retain the services of other government agencies or qualified independent private entities in the ascertainment of the validity of the consumer’s complaint. Any cost incurred in establishing the validity of the consumer’s complaint shall be borne jointly by the consumer and the manufacturer, distributor, authorized dealer or retailer;
- (3) The complaint shall be deemed valid if it is independently established that the motor vehicle does not conform to the standards or specifications set by the manufacturer, distributor, authorized dealer or retailer;
- (4) Upon failure of the negotiation or mediation between the manufacturer, distributor, authorized, dealer or retailer and the consumer, the parties shall execute a certificate attesting to such failure; and
- (5) At any time during the dispute resolution period, the manufacturer, distributor, authorized dealer or retailer and the consumer shall be encouraged to settle amicably. All disputes that have been submitted for mediation shall be settled not later than ten (10) working days from the date of filing of the complaint with the DTI.

(b) Arbitration

In the event there is a failure to settle the complaint during the mediation proceedings, both parties may voluntarily decide to undertake arbitration proceedings.

(c) Adjudication

- (1) In the event that both parties do not undertake arbitration proceedings, at least one of the parties may commence adjudication proceedings, administered by the DTI. The DTI shall rely on the qualified independent findings as to conformity to standards and specifications established herein. In no case shall adjudication proceedings exceed twenty (20) working days;
- (2) In case a finding of nonconformity is arrived at, the DTI shall rule in favor of the consumer and direct the manufacturer, distributor, authorized dealer or retailer to grant either of the following remedies to the consumer:
- (i) Replace the motor vehicle with a similar or comparable motor vehicle in terms of specifications and values, subject to availability; or
 - (ii) Accept the return of the motor vehicle and pay the consumer the purchase price plus the collateral charges.

In case the consumer decides to purchase another vehicle with a higher value and specifications from the same manufacturer, distributor, authorized dealer or retailer, the consumer shall pay the difference in cost.

In both cases of replacement and repurchase, the reasonable allowance for use, as defined in this Act, shall be deducted in determining the value of the nonconforming motor vehicle; and

- (3) In case a nonconformity of the motor vehicle is not found by the DTI, it shall rule in favor of the manufacturer, distributor, authorized dealer or retailer, and direct the consumer to reimburse the manufacturer, distributor, authorized dealer or retailer the costs incurred by the latter in validating the consumer's complaints.

An appeal may be taken from a final judgment or order of the Adjudication Officer which completely disposes of the case within fifteen (15) days from receipt thereof. The appeal shall be taken by filing a Memorandum of Appeal with the Secretary of the DTI, with Notice of Appeal to the Adjudication Officer, and with a copy duly furnished the adverse party or parties on any of the following grounds:

- (i) Grave abuse of discretion;
- (ii) The decision/order is in excess of jurisdiction or authority of the Adjudication Officer; and
- (iii) The decision/order is not supported by the evidence or there is serious error in the findings of facts.

The Secretary of the DTI shall decide on the appeal within thirty (30) days from receipt thereof. A party seeking further appeal from the decision of the Secretary of the DTI may file a case for *certiorari* to the Court of Appeals under Section 4, Rule 65 of the Revised Rules of Court.

Section 9. Determination of Reasonable Allowance for Use. – For purposes of this Act, "reasonable allowance for use" shall mean twenty percent (20%) *per annum* deduction from the

purchase price, or the product of the distance traveled in kilometers and the purchase price divided by one hundred thousand (100,000) kilometers, whichever is lower.

Section 10. Disclosure on Resale. – Should the returned motor vehicle be made available for resale, the manufacturer, distributor, authorized dealer or retailer shall, prior to sale or transfer, disclose in writing to the next purchaser of the same vehicle the following information:

- (a) The motor vehicle was returned to the manufacturer, distributor, authorized dealer or retailer;
- (b) The nature of the nonconformity which caused the return; and
- (c) The condition of the motor vehicle at the time of the transfer to the manufacturer, distributor, authorized dealer or retailer.

The responsibility of the manufacturer, distributor, authorized dealer or retailer under this section shall cease upon the sale of the affected motor vehicle to the first purchaser.

Section 11. Penalty. – The manufacturer, distributor, authorized dealer or retailer adjudged to have violated the provisions requiring disclosure as mentioned in the preceding section shall be liable to pay a minimum amount of One hundred thousand pesos (P100,000.00) as damages to the aggrieved party without prejudice to any civil or criminal liability they and/or the responsible officer may incur under existing laws.

Section 12. Assistance by Other Agencies. – The DOTC and other agencies, political subdivisions, local government units, including government-owned and/or controlled corporations, shall render such assistance as required by the DTI in order to effectively implement the provisions of this Act.

Section 13. Implementing Rules and Regulations. – The DTI shall promulgate the necessary implementing rules and regulations within, ninety (90) days from the effectivity of this Act.

Section 14. Separability Clause. – If, for any reason, any part or provision of this Act is declared invalid, such declaration shall not affect the other provisions of this Act.

Section 15. Repealing Clause. – All laws, decrees, executive orders, issuances, rules and regulations or parts thereof which are inconsistent with the provisions of this Act are hereby deemed repealed, amended or modified accordingly.

Section 16. Effectivity. – This Act shall take effect fifteen (15) days after its publication in the *Official Gazette* or in any newspaper of general circulation.

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PHILIPPINE LEMON LAW

1. Republic Act No. _____ states the policy of the State to promote full protection to the rights of consumers in the sale of motor vehicles against business and trade practices which are deceptive, unfair or otherwise inimical to consumers and the public interest.
 - a. 10641
 - b. 10642
 - c. 10643
 - d. 10644
2. The Philippine Lemon Law recognizes that a motor vehicle is a major consumer purchase or investment. Hence, the rights of consumers should be clearly defined, including the means for redress for violations thereof. Consider the following: I. It took effect on 07 August 2014 or fifteen days after its publication in a newspaper of general circulation (Manila Bulletin, 23 July 2014); II. The IRR of the Philippine Lemon Law must be issued within ninety (90) days from its effectivity which was officially done through DTI DAO 14-03; and, III. The Philippine Lemon Law can only be implemented after the issuance of the IRR for violations which occurred both before and after the effectivity of the law.
 - a. Only two are true.
 - b. Only two are false.
 - c. All are true.
 - d. All are false.
3. The Philippine Lemon Law covers brand new motor vehicles purchased in the Philippines that are reported by a consumer to be in nonconformity with the standards or specifications of the vehicle's manufacturer or distributor within twelve (12) months from the date of original delivery to the consumer, or up to twenty thousand (20,000) kilometers of operation after such delivery, whichever comes first. A motor vehicle is "brand new" if the vehicle: I. is constructed entirely from new parts and has never been operated on any highway of the Philippines, or in any foreign state or country; II. is covered by a manufacturer's express warranty at the time of purchase; and, III. has never been sold nor registered with the Trade and Industry (DTI) or any appropriate agency.
 - a. Only two are true.
 - b. Only two are false.
 - c. All are true.
 - d. All are false.
4. The Philippine Lemon Law covers brand new motor vehicles purchased in the Philippines that are reported by a consumer to be in nonconformity with the standards or specifications of the vehicle's manufacturer or distributor within twelve (12) months from the date of original delivery to the consumer, or up to twenty thousand (20,000) kilometers of operation after such delivery, whichever comes first. However, nonconformity due to damage to the vehicle due to accident or force majeure shall be excluded therefrom. In addition, the following causes of nonconformity shall exempt manufacturers, distributors, authorized dealers or retailers from being held responsible for defective motor vehicles: I. Noncompliance by the consumer of the obligations stipulated under the warranty; II. Modifications not authorized by the manufacturer, distributor, authorized dealer or retailer; and, III. Abuse or neglect of the brand new motor vehicle.
 - a. Only two are true.
 - b. Only two are false.
 - c. All are true.
 - d. All are false.
5. The Philippine Lemon Law recognizes that a motor vehicle is a major consumer purchase or investment. Hence, the rights of consumers should be clearly defined, including the means for redress for violations thereof. When nonconformity is found on a brand new motor vehicle within twelve (12) months from its date of original delivery, a consumer may bring it before the concerned manufacturer, distributor, authorized dealer or retailer for repair: I. During repair and the period of availment of the Lemon Law rights, the consumer, as agreed with the concerned manufacturer, distributor, authorized dealer or retailer, shall be provided with either a Daily Transport Allowance which covers the transportation expenses of the consumer to and from his/her house and regular workplace or destination or a Service Vehicle; II. If after at least four separate (4) repair attempts

the defect or nonconformity remains unresolved then, a consumer may issue a Notice of Availment of Lemon Law Rights to the concerned manufacturer, distributor, authorized dealer or retailer and the consumer shall bring the defective or nonconforming motor vehicle to the concerned manufacturer, distributor, authorized dealer or retailer for a final attempt to address the complaint according to his/her satisfaction; and, III. In case the final attempt to address the defect or nonconformity fails, the consumer may bring his/her complaint before the DTI.

- a. Only two are true.
 - b. Only two are false.
 - c. All are true.
 - d. All are false.
6. The Philippine Lemon Law recognizes that a motor vehicle is a major consumer purchase or investment. Hence, the rights of consumers should be clearly defined, including the means for redress for violations thereof. If the DTI found no defect or nonconformity on the motor vehicle, it shall rule in favor of the manufacturer, distributor, authorized dealer or retailer and direct the consumer to reimburse the costs incurred by the latter in validating the consumer's complaints. On the other hand, in case a finding of nonconformity is arrived at during adjudication proceedings, the DTI will direct the concerned manufacturer, distributor, authorized dealer or retailer to grant any of the following remedies to the consumer: I. Replace the motor vehicle with a similar or comparable motor vehicle in terms of specifications and value; II. Accept the return of the motor vehicle and refund the purchase price, and pay collateral charges; and, III. Replace the defective motor vehicle with another vehicle that is of higher value and specifications provided, the consumer will pay the difference in cost.
- a. Only two are true.
 - b. Only two are false.
 - c. All are true.
 - d. All are false.
7. The Lemon Law rights period is:
- I. The period during which rights under the Lemon Law may be exercised or pursued
 - II. The period during which the consumer can report any nonconformity to the standards and specifications of the manufacturer, authorized distributor, authorized dealer or retailer
- a. I only
 - b. II only
 - c. Both I and II
 - d. Neither I nor II
8. Statement 1: Damage due to accident is an example of non-conformity
Statement 2: Damage due to neglect of the owner is an example of non-conformity
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are false
9. Lemon Law rights may be invoked by:
- a. Purchasers of brand new motor vehicles, the purchase being made in the Philippines
 - b. Purchasers of brand new motor vehicles, the purchase being made anywhere, but the manufacturer is situated in the Philippines
 - c. Purchasers of brand new or secondhand motor vehicles, the purchase being made in the Philippines
 - d. Purchasers of brand new or secondhand motor vehicles, the purchase being made anywhere, but the manufacturer is situated in the Philippines



TRUTH IN LENDING ACT (REPUBLIC ACT No. 3765)

AN ACT TO REQUIRE THE DISCLOSURE OF FINANCE CHARGES IN CONNECTION WITH EXTENSIONS OF CREDIT.

Section 1. This Act shall be known as the "Truth in Lending Act."

Section 2. Declaration of Policy. It is hereby declared to be the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy.

Section 3. As used in this Act, the term

- (1) **"Board"** means the Monetary Board of the Central Bank of the Philippines.
- (2) **"Credit"** means any loan, mortgage, deed of trust, advance, or discount; any conditional sales contract; any contract to sell, or sale or contract of sale of property or services, either for present or future delivery, under which part or all of the price is payable subsequent to the making of such sale or contract; any rental-purchase contract; any contract or arrangement for the hire, bailment, or leasing of property; any option, demand, lien, pledge, or other claim against, or for the delivery of, property or money; any purchase, or other acquisition of, or any credit upon the security of, any obligation of claim arising out of any of the foregoing; and any transaction or series of transactions having a similar purpose or effect.
- (3) **"Finance charge"** includes interest, fees, service charges, discounts, and such other charges incident to the extension of credit as the Board may by regulation prescribe.
- (4) **"Creditor"** means any person engaged in the business of extending credit (including any person who as a regular business practice make loans or sells or rents property or services on a time, credit, or installment basis, either as principal or as agent) who requires as an incident to the extension of credit, the payment of a finance charge.
- (5) **"Person"** means any individual, corporation, partnership, association, or other organized group of persons, or the legal successor or representative of the foregoing, and includes the Philippine Government or any agency thereof, or any other government, or of any of its political subdivisions, or any agency of the foregoing.

Section 4. Any creditor shall furnish to each person to whom credit is extended, prior to the consummation of the transaction, a clear statement in writing setting forth, to the extent applicable and in accordance with rules and regulations prescribed by the Board, the following information:

- (1) the cash price or delivered price of the property or service to be acquired;
- (2) the amounts, if any, to be credited as down payment and/or trade-in;

- (3) the difference between the amounts set forth under clauses (1) and (2);
- (4) the charges, individually itemized, which are paid or to be paid by such person in connection with the transaction but which are not incident to the extension of credit;
- (5) the total amount to be financed;
- (6) the finance charge expressed in terms of pesos and centavos; and
- (7) the percentage that the finance bears to the total amount to be financed expressed as a simple annual rate on the outstanding unpaid balance of the obligation.

Section 5. The Board shall prescribe such rules and regulations as may be necessary or proper in carrying out the provisions of this Act. Any rule or regulation prescribed hereunder may contain such classifications and differentiations as in the judgment of the Board are necessary or proper to effectuate the purposes of this Act or to prevent circumvention or evasion, or to facilitate the enforcement of this Act, or any rule or regulation issued thereunder.

Section 6. (a) Any creditor who in connection with any credit transaction fails to disclose to any person any information in violation of this Act or any regulation issued thereunder shall be liable to such person in the amount of P100 or in an amount equal to twice the finance charged required by such creditor in connection with such transaction, whichever is the greater, except that such liability shall not exceed P2,000 on any credit transaction. Action to recover such penalty may be brought by such person within one year from the date of the occurrence of the violation, in any court of competent jurisdiction. In any action under this subsection in which any person is entitled to a recovery, the creditor shall be liable for reasonable attorney's fees and court costs as determined by the court.

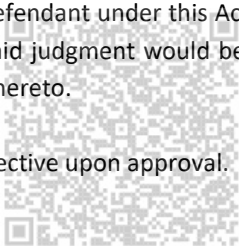
(b) Except as specified in subsection (a) of this section, nothing contained in this Act or any regulation contained in this Act or any regulation thereunder shall affect the validity or enforceability of any contract or transactions.

(c) Any person who willfully violates any provision of this Act or any regulation issued thereunder shall be fined by not less than P1,00 or more than P5,000 or imprisonment for not less than 6 months, nor more than one year or both.

(d) No punishment or penalty provided by this Act shall apply to the Philippine Government or any agency or any political subdivision thereof.

(e) A final judgment hereafter rendered in any criminal proceeding under this Act to the effect that a defendant has willfully violated this Act shall be prima facie evidence against such defendant in an action or proceeding brought by any other party against such defendant under this Act as to all matters respecting which said judgment would be an estoppel as between the parties thereto.

Section 7. This Act shall become effective upon approval.
Approved: June 22, 1963.



--End--

TRUTH IN LENDING ACT

1. Republic Act No. _____ states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy.
 - a. 3766
 - b. 3765
 - c. 3764
 - d. 3763
2. The Truth in Lending Act states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy. Thus the purposes of TILA are the following: I. Protect creditor from effects of misrepresentation or concealment; II. Permit creditor to fully appreciate and evaluate the true cost of credit; and, III. Avoid circumvention of usury. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
3. The Truth in Lending Act states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy. Consider the following: I. IRR is a discount rate that makes the net present value (NPV) of all cash flows equal to zero in a discounted cash flow analysis; II. EIR is the interest rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset or the amortised cost of a financial liability.; and, III. Net Present Value (NPV) is the quotient obtained by dividing the present value of future cash flows (discounted to the present) that will be generated by the project by the initial cost of the project. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
4. The Truth in Lending Act states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy. Thus TILA requires that any creditor shall furnish to each person to whom credit is extended, PRIOR TO THE CONSUMMATION of the transaction, a clear STATEMENT IN WRITING (Disclosure Statement) setting forth several pieces of information on the loan extended. If an item charged was omitted from the disclosure: I. all finance charges cannot be collected; II. the entire contract is rendered void; and, III. the total recoverable amount for all violations is Php2000. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
5. The Truth in Lending Act states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy. Thus TILA requires that all covered creditors shall post in conspicuous places in their principal place of business and all branches the Disclosure Statement in the prescribed format containing: I. all information required by TILA and regulations; II. notice that the Disclosure Statement is a required attachment to the loan contract; and, III. the customer as the right to demand a copy of such Disclosure Statement. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements

- c. All three of the statements
 - d. None of the statements
6. The Truth in Lending Act states that the policy of the State to protect its citizens from a lack of awareness of the true cost of credit to the user by assuring a full disclosure of such cost with a view of preventing the uninformed use of credit to the detriment of the national economy. In case of violations, the perpetrator/s may become subject to civil, criminal and, administrative. Consider the following: I. these liabilities may, but not necessarily, be availed of in the alternative; II these liabilities are not mutually exclusive; and, III. the choice of one will necessarily bar the options to choose the others. Which is/are true?
- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
7. The disclosures under the Truth in Lending Act are required by law to be made:
- a. Prior to the consummation of the transaction
 - b. Simultaneous to the consummation of the transaction
 - c. Consequent to the consummation of the transaction
 - d. At any time, depending on the stipulation of the parties
8. All registered CGEs shall charge interest based on:
- a. The amount of loan extended at the signing of the loan
 - b. The outstanding balance of a loan at the beginning of an interest period
 - c. The amount of loan extended at the signing of the loan, net of any downpayment or discounts
 - d. The outstanding balance of a loan at the end of an interest period
9. CGEs shall be issued an Acknowledge of Registration by the BSP, which shall be valid for:
- a. 1 year
 - b. 2 years
 - c. 3 years
 - d. 4 years



**FINANCIAL REHABILITATION AND INSOLVENCY ACT
(REPUBLIC ACT No. 10142)**

AN ACT PROVIDING FOR THE REHABILITATION OR LIQUIDATION OF FINANCIALLY DISTRESSED ENTERPRISES AND INDIVIDUALS

Section 2. Declaration of Policy. - It is the policy of the State to encourage debtors, both juridical and natural persons, and their creditors to collectively and realistically resolve and adjust competing claims and property rights. In furtherance thereof, the State shall ensure a timely, fair, transparent, effective and efficient rehabilitation or liquidation of debtors. The rehabilitation or liquidation shall be made with a view to ensure or maintain certainty and predictability in commercial affairs, preserve and maximize the value of the assets of these debtors, recognize creditor rights and respect priority of claims, and ensure equitable treatment of creditors who are similarly situated. When rehabilitation is not feasible, it is in the interest of the State to facilities a speedy and orderly liquidation of these debtor's assets and the settlement of their obligations.

Section 5. Exclusions. - The term debtor does not include banks, insurance companies, pre-need companies, and national and local government agencies or units.

For purposes of this section:

- a. Bank shall refer to any duly licensed bank or quasi-bank that is potentially or actually subject to conservatorship, receivership or liquidation proceedings under the New Central Bank Act (Republic Act No. 7653) or successor legislation;
- b. Insurance company shall refer to those companies that are potentially or actually subject to insolvency proceedings under the Insurance Code (Presidential Decree No. 1460) or successor legislation; and
- c. Pre-need company shall refer to any corporation authorized/licensed to sell or offer to sell pre-need plans.

Provided, That government financial institutions other than banks and government-owned or controlled corporations shall be covered by this Act, unless their specific charter provides otherwise.

COURT-SUPERVISED REHABILITATION

Section 12. Petition to Initiate Voluntary Proceedings by Debtor. -

When approved by the owner in case of a sole proprietorship, or by a majority of the partners in case of a partnership, or in case of a corporation, by a majority vote of the board of directors or trustees and authorized by the vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock, or in case of nonstock corporation, by the vote of at least two-thirds (2/3) of the members, in a stockholder's or member's meeting duly called for the purpose, an insolvent debtor may initiate voluntary proceedings under this Act by filing a petition for rehabilitation with the court and on the grounds hereinafter specifically provided. The petition shall be verified to establish the insolvency of the debtor and the viability of its rehabilitation, and include, whether as an attachment or as part of the body of the petition, as a minimum the following:

- a. Identification of the debtor, its principal activities and its addresses;
- b. Statement of the fact of and the cause of the debtor's insolvency or inability to pay its obligations as they become due;
- c. The specific relief sought pursuant to this Act;
- d. The grounds upon which the petition is based;
- e. Other information that may be required under this Act depending on the form of relief requested;
- f. Schedule of the debtor's debts and liabilities including a list of creditors with their addresses, amounts of claims and collaterals, or securities, if any;
- g. An inventory of all its assets including receivables and claims against third parties;
- h. A Rehabilitation Plan;
- i. The names of at least three (3) nominees to the position of rehabilitation receiver; and
- j. Other documents required to be filed with the petition pursuant to this Act and the rules of procedure as may be promulgated by the Supreme Court.

A group of debtors may jointly file a petition for rehabilitation under this Act when one or more of its members foresee the impossibility of meeting debts when they respectively fall due, and the financial distress would likely adversely affect the financial condition and/or

operations of the other members of the group and/or the participation of the other members of the group is essential under the terms and conditions of the proposed Rehabilitation Plan.

Involuntary Proceedings.

Section 13. Circumstances Necessary to Initiate Involuntary Proceedings. - Any creditor or group of creditors with a claim of, or the aggregate of whose claims is, at least One Million Pesos (Php1,000,000.00) or at least twenty-five percent (25%) of the subscribed capital stock or partners' contributions, whichever is higher, may initiate involuntary proceedings against the debtor by filing a petition for rehabilitation with the court if:

- a. there is no genuine issue of fact on law on the claim/s of the petitioner/s, and that the due and demandable payments thereon have not been made for at least sixty (60) days or that the debtor has failed generally to meet its liabilities as they fall due; or
- b. a creditor, other than the petitioner/s, has initiated foreclosure proceedings against the debtor that will prevent the debtor from paying its debts as they become due or will render it insolvent.

Section 16. Commencement of Proceedings and Issuance of a Commencement Order. - The rehabilitation proceedings shall commence upon the issuance of the Commencement Order, which shall:

- a. identify the debtor, its principal business or activity/ies and its principal place of business;
- b. summarize the ground/s for initiating the proceedings;
- c. state the relief sought under this Act and any requirement or procedure particular to the relief sought;
- d. state the legal effects of the Commencement Order, including those mentioned in Section 17 hereof;
- e. declare that the debtor is under rehabilitation;
- f. direct the publication of the Commencement Order in a newspaper of general circulation in the Philippines once a week for at least two (2) consecutive weeks, with the first publication to be made within seven (7) days from the time of its issuance;
- g. If the petitioner is the debtor direct the service by personal delivery of a copy of the petition on each creditor holding at least ten percent (10%) of the total liabilities of the debtor as determined from the schedule attached to the petition within five (5) days; if the petitioner/s is/are creditor/s, direct the service by personal delivery of a copy of the petition on the debtor within five (5) days;
- h. appoint a rehabilitation receiver who may or not be from among the nominees of the petitioner/s and who shall exercise such powers and duties defined in this Act as well as the procedural rules that the Supreme Court will promulgate;
- i. summarize the requirements and deadlines for creditors to establish their claims against the debtor and direct all creditors to their claims with the court at least five (5) days before the initial hearing;
- j. direct Bureau of internal Revenue (BIR) to file and serve on the debtor its comment on or opposition to the petition or its claim/s against the debtor under such procedures as the Supreme Court provide;
- k. prohibit the debtor's suppliers of goods or services from withholding the supply of goods and services in the ordinary course of business for as long as the debtor makes payments for the services or goods supplied after the issuance of the Commencement Order;
- l. authorize the payment of administrative expenses as they become due;
- m. set the case for initial hearing, which shall not be more than forty (40) days from the date of filing of the petition for the purpose of determining whether there is substantial likelihood for the debtor to be rehabilitated;
- n. make available copies of the petition and rehabilitation plan for examination and copying by any interested party;
- o. indicate the location or locations at which documents regarding the debtor and the proceedings under Act may be reviewed and copied;
- p. state that any creditor or debtor who is not the petitioner, may submit the name or nominate any other qualified person to the position of rehabilitation receiver at least five (5) days before the initial hearing;
- q. includes Stay or Suspension Order which shall:

1. suspend all actions or proceedings, in court or otherwise, for the enforcement of claims against the debtor;
2. suspend all actions to enforce any judgment, attachment or other provisional remedies against the debtor;
3. prohibit the debtor from selling, encumbering, transferring or disposing in any manner any of its properties except in the ordinary course of business; and
4. prohibit the debtor from making any payment of its liabilities outstanding as of the commencement date except as may be provided herein.

Section 17. Effects of the Commencement Order. - Unless otherwise provided for in this Act, the court's issuance of a Commencement Order shall, in addition to the effects of a Stay or Suspension Order described in Section 16 hereof:

- a. vest the rehabilitation with all the powers and functions provided for this Act, such as the right to review and obtain records to which the debtor's management and directors have access, including bank accounts or whatever nature of the debtor subject to the approval by the court of the performance bond filed by the rehabilitation receiver;
- b. prohibit or otherwise serve as the legal basis rendering null and void the results of any extrajudicial activity or process to seize property, sell encumbered property, or otherwise attempt to collection or enforce a claim against the debtor after commencement date unless otherwise allowed in this Act, subject to the provisions of Section 50 hereof;
- c. serve as the legal basis for rendering null and void any setoff after the commencement date of any debt owed to the debtor by any of the debtor's creditors;
- d. serve as the legal basis for rendering null and void the perfection of any lien against the debtor's property after the commencement date; and
- e. consolidate the resolution of all legal proceedings by and against the debtor to the court Provided. However, That the court may allow the continuation of cases on other courts where the debtor had initiated the suit.

Attempts to seek legal of other resource against the debtor outside these proceedings shall be sufficient to support a finding of indirect contempt of court.

Section 18. Exceptions to the Stay or Suspension Order. - The Stay or Suspension Order shall not apply:

- a. to cases already pending appeal in the Supreme Court as of commencement date *Provided*, that any final and executory judgment arising from such appeal shall be referred to the court for appropriate action;
- b. subject to the discretion of the court, to cases pending or filed at a specialized court or quasi-judicial agency which, upon determination by the court is capable of resolving the claim more quickly, fairly and efficiently than the court: *Provided*, That any final and executory judgment of such court or agency shall be referred to the court and shall be treated as a non-disputed claim;
- c. to the enforcement of claims against sureties and other persons solidarily liable with the debtor, and third party or accommodation mortgagors as well as issuers of letters of credit, unless the property subject of the third party or accommodation mortgage is necessary for the rehabilitation of the debtor as determined by the court upon recommendation by the rehabilitation receiver;
- d. to any form of action of customers or clients of a securities market participant to recover or otherwise claim moneys and securities entrusted to the latter in the ordinary course of the latter's business as well as any action of such securities market participant or the appropriate regulatory agency or self-regulatory organization to pay or settle such claims or liabilities;
- e. to the actions of a licensed broker or dealer to sell pledged securities of a debtor pursuant to a securities pledge or margin agreement for the settlement of securities transactions in accordance with the provisions of the Securities Regulation Code and its implementing rules and regulations;
- f. the clearing and settlement of financial transactions through the facilities of a clearing agency or similar entities duly authorized, registered and/or recognized by the appropriate regulatory agency like the Bangko Sentral ng Pilipinas (BSP) and the SEC as well as any form of actions of such agencies or entities to reimburse themselves for any transactions settled for the debtor; and

- g. any criminal action against individual debtor or owner, partner, director or officer of a debtor shall not be affected by any proceeding commend under this Act.

Section 24. Report of the Rehabilitation Receiver. - Within forty (40) days from the initial hearing and with or without the comments of the creditors or any of them, the rehabilitation receiver shall submit a report to the court stating his preliminary findings and recommendations on whether:

- a. the debtor is insolvent and if so, the causes thereof and any unlawful or irregular act or acts committed by the owner/s of a sole proprietorship partners of a partnership or directors or officers of a corporation in contemplation of the insolvency of the debtor or which may have contributed to the insolvency of the debtor;
- b. the underlying assumptions, the financial goals and the procedures to accomplish such goals as stated in the petitioner's Rehabilitation Plan are realistic, feasible and reasonable;
- c. there is a substantial likelihood for the debtor to be successfully rehabilitated;
- d. the petition should be dismissed; and
- e. the debtor should be dissolved and/or liquidated.

Section 36. Displacement of Existing Management by the Rehabilitation Receiver or Management Committee. - Upon motion of any interested party, the court may appoint and direct the rehabilitation receiver to assume the powers of management of the debtor, or appoint a management committee that will undertake the management of the debtor. upon clear and convincing evidence of any of the following circumstances:

- a. Actual or imminent danger of dissipation, loss, wastage or destruction of the debtor's assets or other properties;
- b. Paralyzation of the business operations of the debtor; or
- c. Gross mismanagement of the debtor. or fraud or other wrongful conduct on the part of, or gross or willful violation of this Act by. existing management of the debtor Or the owner, partner, director, officer or representative/s in management of the debtor.

In case the court appoints the rehabilitation receiver to assume the powers of management of the debtor. the court may:

1. require the rehabilitation receiver to post an additional bond;
2. authorize him to engage the services or to employ persona or entities to assist him in the discharge of his managerial functions; and
3. authorize a commensurate increase in his compensation.

Section 37. Role of the Management Committee. - When appointed pursuant to the foregoing section, the management committee shall take the place of the management and the governing body of the debtor and assume their rights and responsibilities.

The specific powers and duties of the management committee, whose members shall be considered as officers of the court, shall be prescribed by the procedural rules.

Section 44. Registry of Claims. - Within twenty (20) days from his assumption into office, the rehabilitation receiver shall establish a preliminary registry of claims. The rehabilitation receiver shall make the registry available for public inspection and provide publication notice to the debtor, creditors and stakeholders on where and when they may inspect it. All claims included in the registry of claims must be duly supported by sufficient evidence.

Section 47. Management. - Unless otherwise provided herein, the management of the juridical debtor shall remain with the existing management subject to the applicable law/s and agreement/s, if any, on the election or appointment of directors, managers or managing partner. However, all disbursements, payments or sale, disposal, assignment, transfer or encumbrance of property, or any other act affecting title or interest in property, shall be subject to the approval of the rehabilitation receiver and/or the court, as provided in the following subchapter.

Section 57. Treatment of Contracts. - Unless cancelled by virtue of a final judgment of a court of competent jurisdiction issued prior to the issuance of the Commencement Order, or at anytime thereafter by the court before which the rehabilitation proceedings are pending, all valid and subsisting contracts of the debtor with creditors and other

third parties as at the commencement date shall continue in force: *Provided*, That *within* ninety (90) days following the commencement of proceedings, the debtor, with the consent of the rehabilitation receiver, shall notify each contractual counter-party of whether it is confirming the particular contract. Contractual obligations of the debtor arising or performed during this period, and afterwards for confirmed contracts, shall be considered administrative expenses. Contracts not confirmed within the required deadline shall be considered terminated. Claims for actual damages, if any, arising as a result of the election to terminate a contract shall be considered a pre-commencement claim against the debtor. Nothing contained herein shall prevent the cancellation or termination of any contract of the debtor for any ground provided by law.

Administration of Proceedings.

Section 62. Contents of a Rehabilitation Plan. – The Rehabilitation Plan shall, as a minimum:

- a. specify the underlying assumptions, the financial goals and the procedures proposed to accomplish such goals;
- b. compare the amounts expected to be received by the creditors under the Rehabilitation Plan with those that they will receive if liquidation ensues within the next one hundred twenty (120) days;
- c. contain information sufficient to give the various classes of creditors a reasonable basis for determining whether supporting the Plan is in their financial interest when compared to the immediate liquidation of the debtor, including any reduction of principal interest and penalties payable to the creditors;
- d. establish classes of voting creditors;
- e. establish subclasses of voting creditors if prior approval has been granted by the court;
- f. indicate how the insolvent debtor will be rehabilitated including, but not limited to, debt forgiveness, debt rescheduling, reorganization or quasi-reorganization. *Dacion en pago*, debt-equity conversion and sale of the business (or parts of it) as a going concern, or setting-up of a new business entity or other similar arrangements as may be necessary to restore the financial well-being and visibility of the insolvent debtor;
- g. specify the treatment of each class or subclass described in subsections (d) and (e);
- h. provide for equal treatment of all claims within the same class or subclass, unless a particular creditor voluntarily agrees to less favorable treatment;
- i. ensure that the payments made under the plan follow the priority established under the provisions of the Civil Code on concurrence and preference of credits and other applicable laws;
- j. maintain the security interest of secured creditors and preserve the liquidation value of the security unless such has been waived or modified voluntarily;
- k. disclose all payments to creditors for pre-commencement debts made during the proceedings and the justifications thereof;
- l. describe the disputed claims and the provisioning of funds to account for appropriate payments should the claim be ruled valid or its amount adjusted;
- m. identify the debtor's role in the implementation of the Plan;
- n. state any rehabilitation covenants of the debtor, the breach of which shall be considered a material breach of the Plan;
- o. identify those responsible for the future management of the debtor and the supervision and implementation of the Plan, their affiliation with the debtor and their remuneration;
- p. address the treatment of claims arising after the confirmation of the Rehabilitation Plan;
- q. require the debtor and its counter-parties to adhere to the terms of all contracts that the debtor has chosen to confirm;
- r. arrange for the payment of all outstanding administrative expenses as a condition to the Plan's approval unless such condition has been waived in writing by the creditors concerned;
- s. arrange for the payment of all outstanding taxes and assessments, or an adjusted amount pursuant to a compromise settlement with the BIR Or other applicable tax authorities;
- t. include a certified copy of a certificate of tax clearance or evidence of a compromise settlement with the BIR;
- u. include a valid and binding resolution of a meeting of the debtor's stockholders to increase the shares by the required amount in cases where the Plan contemplates an additional issuance of shares by the debtor;

- u. state the compensation and status, if any, of the rehabilitation receiver after the approval of the Plan; and
- v. contain provisions for conciliation and/or mediation as a prerequisite to court assistance or intervention in the event of any disagreement in the interpretation or implementation of the Rehabilitation Plan.

Section 64. Creditor Approval of Rehabilitation Plan. – The rehabilitation receiver shall notify the creditors and stakeholders that the Plan is ready for their examination. Within twenty (20) days from the said notification, the rehabilitation receiver shall convene the creditors, either as a whole or per class, for purposes of voting on the approval of the Plan. The Plan shall be deemed rejected unless approved by all classes of creditors whose rights are adversely modified or affected by the Plan. For purposes of this section, the Plan is deemed to have been approved by a class of creditors if members of the said class holding more than fifty percent (50%) of the total claims of the said class vote in favor of the Plan. The votes of the creditors shall be based solely on the amount of their respective claims based on the registry of claims submitted by the rehabilitation receiver pursuant to Section 44 hereof.

Notwithstanding the rejection of the Rehabilitation Plan, the court may confirm the Rehabilitation Plan if all of the following circumstances are present:

- a. The Rehabilitation Plan complies with the requirements specified in this Act.
- b. The rehabilitation receiver recommends the confirmation of the Rehabilitation Plan;
- c. The shareholders, owners or partners of the juridical debtor lose at least their controlling interest as a result of the Rehabilitation Plan; and
- d. The Rehabilitation Plan would likely provide the objecting class of creditors with compensation which has a net present value greater than that which they would have received if the debtor were under liquidation.

Section 68. Confirmation of the Rehabilitation Plan. – If no objections are filed within the relevant period or, if objections are filed, the court finds them lacking in merit, or determines that the basis for the objection has been cured, or determines that the debtor has complied with an order to cure the objection, the court shall issue an order confirming the Rehabilitation Plan.

The court may confirm the Rehabilitation Plan notwithstanding unresolved disputes over claims if the Rehabilitation Plan has made adequate provisions for paying such claims.

For the avoidance of doubt, the provisions of other laws to the contrary notwithstanding, the court shall have the power to approve or implement the Rehabilitation Plan despite the lack of approval, or objection from the owners, partners or stockholders of the insolvent debtor: *Provided*, That the terms thereof are necessary to restore the financial well-being and viability of the insolvent debtor.

Section 69. Effect of Confirmation of the Rehabilitation Plan. – The confirmation of the Rehabilitation Plan by the court shall result in the following:

- a. The Rehabilitation Plan and its provisions shall be binding upon the debtor and all persons who may be affected by it, including the creditors, whether or not such persons have participated in the proceedings or opposed the Rehabilitation Plan or whether or not their claims have been scheduled;
- b. The debtor shall comply with the provisions of the Rehabilitation Plan and shall take all actions necessary to carry out the Plan;
- c. Payments shall be made to the creditors in accordance with the provisions of the Rehabilitation Plan;
- d. Contracts and other arrangements between the debtor and its creditors shall be interpreted as continuing to apply to the extent that they do not conflict with the provisions of the Rehabilitation Plan;
- e. Any compromises on amounts or rescheduling of timing of payments by the debtor shall be binding on creditors regardless of whether or not the Plan is successfully implemented; and
- f. Claims arising after approval of the Plan that are otherwise not treated by the Plan are not subject to any Suspension Order.

The Order confirming the Plan shall comply with Rules 36 of the Rules of Court: *Provided, however*, That the court may maintain jurisdiction over the case in order to resolve claims against the debtor that remain contested and allegations that the debtor has breached the Plan.

Section 74. Termination of Proceedings. - The rehabilitation proceedings under Chapter II shall, upon motion by any stakeholder or the rehabilitation receiver be terminated by order of the court either declaring a successful implementation of the Rehabilitation Plan or a failure of rehabilitation.

There is failure of rehabilitation in the following cases:

- a. Dismissal of the petition by the court;
- b. The debtor fails to submit a Rehabilitation Plan;
- c. Under the Rehabilitation Plan submitted by the debtor, there is no substantial likelihood that the debtor can be rehabilitated within a reasonable period;
- d. The Rehabilitation Plan or its amendment is approved by the court but in the implementation thereof, the debtor fails to perform its obligations thereunder or there is a failure to realize the objectives, targets or goals set forth therein, including the timelines and conditions for the settlement of the obligations due to the creditors and other claimants;
- e. The commission of fraud in securing the approval of the Rehabilitation Plan or its amendment; and
- f. Other analogous circumstances as may be defined by the rules of procedure.

Upon a breach of, or upon a failure of the Rehabilitation Plan the court, upon motion by an affected party may:

- a. Issue an order directing that the breach be cured within a specified period of time, failing which the proceedings may be converted to a liquidation;
- b. Issue an order converting the proceedings to a liquidation;
- c. Allow the debtor or rehabilitation receiver to submit amendments to the Rehabilitation Plan, the approval of which shall be governed by the same requirements for the approval of a Rehabilitation Plan under this subchapter;
- d. Issue any other order to remedy the breach consistent with the present regulation, other applicable law and the best interests of the creditors; or
- e. Enforce the applicable provisions of the Rehabilitation Plan through a writ of execution.

Section 75. Effects of Termination. - Termination of the proceedings shall result in the following:

- a. The discharge of the rehabilitation receiver subject to his submission of a final accounting; and
- b. The lifting of the Stay Order and any other court order holding in abeyance any action for the enforcement of a claim against the debtor.

Provided, however, that if the termination of proceedings is due to failure of rehabilitation or dismissal of the petition for reasons other than technical grounds, the proceedings shall be immediately converted to liquidation as provided in Section 92 of this Act.

PRE-NEGOTIATED REHABILITATION

Section 76. Petition by Debtor. - An insolvent debtor, by itself or jointly with any of its creditors, may file a verified petition with the court for the approval of a pre-negotiated Rehabilitation Plan which has been endorsed or approved by creditors holding at least two-thirds (2/3) of the total liabilities of the debtor, including secured creditors holding more than fifty percent (50%) of the total secured claims of the debtor and unsecured creditors holding more than fifty percent (50%) of the total unsecured claims of the debtor. The petition shall include as a minimum:

- a. a schedule of the debtor's debts and liabilities;
- b. an inventory of the debtor's assets;
- c. the pre-negotiated Rehabilitation Plan, including the names of at least three (3) qualified nominees for rehabilitation receiver; and
- d. a summary of disputed claims against the debtor and a report on the provisioning of funds to account for appropriate payments should any such claims be ruled valid or their amounts adjusted.

Section 77. Issuance of Order. - Within five (5) working days, and after determination that the petition is sufficient in form and substance, the court shall issue an Order which shall;

- a. identify the debtor, its principal business of activity/ies and its principal place of business;
- b. declare that the debtor is under rehabilitation;
- c. summarize the ground/s for the filing of the petition;
- d. direct the publication of the Order in a newspaper of general circulation in the Philippines once a week for at least two (2)

- consecutive weeks, with the first publication to be made within seven (7) days from the time of its issuance;
- e. direct the service by personal delivery of a copy of the petition on each creditor who is not a petitioner holding at least ten percent (10%) of the total liabilities of the debtor, as determined in the schedule attached to the petition, within three (3) days;
- f. state that copies of the petition and the Rehabilitation Plan are available for examination and copying by any interested party;
- g. state that creditors and other interested parties opposing the petition or Rehabilitation Plan may file their objections or comments thereto within a period of not later than twenty (20) days from the second publication of the Order;
- h. appoint a rehabilitation receiver, if provided for in the Plan; and
- i. include a Suspension or Stay Order as described in this Act.

Section 81. Period for Approval of Rehabilitation Plan. - The court shall have a maximum period of one hundred twenty (120) days from the date of the filing of the petition to approve the Rehabilitation Plan. If the court fails to act within the said period, the Rehabilitation Plan shall be deemed approved.

Section 82. Effect of Approval. - Approval of a Plan under this chapter shall have the same legal effect as confirmation of a Plan under Chapter II of this Act.

OUT-OF-COURT OR INFORMAL RESTRUCTURING AGREEMENTS OR REHABILITATION PLANS

Section 83. Out-of-Court or Informal Restructuring Agreements and Rehabilitation Plans. - An out-of-court or informal restructuring agreement or Rehabilitation Plan that meets the minimum requirements prescribed in this chapter is hereby recognized as consistent with the objectives of this Act.

Section 84. Minimum Requirements of Out-of-Court or Informal Restructuring Agreements and Rehabilitation Plans. - For an out-of-court or informal restructuring/workout agreement or Rehabilitation Plan to qualify under this chapter, it must meet the following minimum requirements:

- a. The debtor must agree to the out-of-court or informal restructuring/workout agreement or Rehabilitation Plan;
- b. It must be approved by creditors representing at least sixty-seven (67%) of the secured obligations of the debtor;
- c. It must be approved by creditors representing at least seventy-five percent (75%) of the unsecured obligations of the debtor; and
- d. It must be approved by creditors holding at least eighty-five percent (85%) of the total liabilities, secured and unsecured, of the debtor.

Section 85. Standstill Period. - A standstill period that may be agreed upon by the parties pending negotiation and finalization of the out-of-court or informal restructuring/workout agreement or Rehabilitation Plan contemplated herein shall be effective and enforceable not only against the contracting parties but also against the other creditors: *Provided,* That (a) such agreement is approved by creditors representing more than fifty percent (50%) of the total liabilities of the debtor; (b) notice thereof is publishing in a newspaper of general circulation in the Philippines once a week for two (2) consecutive weeks; and (c) the standstill period does not exceed one hundred twenty (120) days from the date of effectivity. The notice must invite creditors to participate in the negotiation for out-of-court rehabilitation or restructuring agreement and notify them that said agreement will be binding on all creditors if the required majority votes prescribed in Section 84 of this Act are met.

Section 86. Cram Down Effect. - A restructuring/workout agreement or Rehabilitation Plan that is approved pursuant to an informal workout framework referred to in this chapter shall have the same legal effect as confirmation of a Plan under Section 69 hereof. The notice of the Rehabilitation Plan or restructuring agreement or Plan shall be published once a week for at least three (3) consecutive weeks in a newspaper of general circulation in the Philippines. The Rehabilitation Plan or restructuring agreement shall take effect upon the lapse of fifteen (15) days from the date of the last publication of the notice thereof.

Section 89. Court Assistance. - The insolvent debtor and/or creditor may seek court assistance for the execution or implementation of a

Rehabilitation Plan under this Chapter, under such rules of procedure as may be promulgated by the Supreme Court.

INSOLVENCY OF INDIVIDUAL DEBTORS

Section 94. *Petition.* - An individual debtor who, possessing sufficient property to cover all his debts but foreseeing the impossibility of meeting them when they respectively fall due, may file a verified petition that he be declared in the state of suspension of payments by the court of the province or city in which he has resides for six (6) months prior to the filing of his petition. He shall attach to his petition, as a minimum: (a) a schedule of debts and liabilities; (b) an inventory of assess; and (c) a proposed agreement with his creditors.

Section 112. *Liquidation Order.* - The Liquidation Order shall:

- a. declare the debtor insolvent;
- b. order the liquidation of the debtor and, in the case of a juridical debtor, declare it as dissolved;
- c. order the sheriff to take possession and control of all the property of the debtor, except those that may be exempt from execution;
- d. order the publication of the petition or motion in a newspaper of general circulation once a week for two (2) consecutive weeks;
- e. direct payments of any claims and conveyance of any property due the debtor to the liquidator;
- f. prohibit payments by the debtor and the transfer of any property by the debtor;
- g. direct all creditors to file their claims with the liquidator within the period set by the rules of procedure;
- h. authorize the payment of administrative expenses as they become due;
- i. state that the debtor and creditors who are not petitioner/s may submit the names of other nominees to the position of liquidator; and
- j. set the case for hearing for the election and appointment of the liquidator, which date shall not be less than thirty (30) days nor more than forty-five (45) days from the date of the last publication.

Section 113. *Effects of the Liquidation Order.* - Upon the issuance of the Liquidation Order:

- a. the juridical debtor shall be deemed dissolved and its corporate or juridical existence terminated;
- b. legal title to and control of all the assets of the debtor, except those that may be exempt from execution, shall be deemed vested in the liquidator or, pending his election or appointment, with the court;
- c. all contracts of the debtor shall be deemed terminated and/or breached, unless the liquidator, within ninety (90) days from the date of his assumption of office, declares otherwise and the contracting party agrees;
- d. no separate action for the collection of an unsecured claim shall be allowed. Such actions already pending will be transferred to the Liquidator for him to accept and settle or contest. If the liquidator contests or disputes the claim, the court shall allow, hear and resolve such contest except when the case is already on appeal. In such a case, the suit may proceed to judgment, and any final and executor judgment therein for a claim against the debtor shall be filed and allowed in court; and
- e. no foreclosure proceeding shall be allowed for a period of one hundred eighty (180) days.

Section 115. *Election of Liquidator.* - Only creditors who have filed their claims within the period set by the court, and whose claims are not barred by the statute of limitations, will be allowed to vote in the election of the liquidator. A secured creditor will not be allowed to vote, unless: (a) he waives his security or lien; or (b) has the value of the property subject of his security or lien fixed by agreement with the liquidator, and is admitted for the balance of his claim.

The creditors entitled to vote will elect the liquidator in open court. The nominee receiving the highest number of votes cast in terms of amount of claims, ad who is qualified pursuant to Section 118 hereof, shall be appointed as the liquidator.

Section 116. *Court-Appointed Liquidator.* - The court may appoint the liquidator if:

- a. on the date set for the election of the liquidator, the creditors do not attend;
- b. the creditors who attend, fail or refuse to elect a liquidator;

- c. after being elected, the liquidator fails to qualify; or
- d. a vacancy occurs for any reason whatsoever, in any of the cases provided herein, the court may instead set another hearing of the election of the liquidator.

Provided further, that nothing in this section shall be construed to prevent a rehabilitation receiver, who was administering the debtor prior to the commencement of the liquidation, from being appointed as a liquidator.

Section 119. *Powers, Duties and Responsibilities of the Liquidator.* -

The liquidator shall be deemed an officer of the court with the principal duly of preserving and maximizing the value and recovering the assets of the debtor, with the end of liquidating them and discharging to the extent possible all the claims against the debtor. The powers, duties and responsibilities of the liquidator shall include, but not limited to:

- a. to sue and recover all the assets, debts and claims, belonging or due to the debtor;
- b. to take possession of all the property of the debtor except property exempt by law from execution;
- c. to sell, with the approval of the court, any property of the debtor which has come into his possession or control;
- d. to redeem all mortgages and pledges, and so satisfy any judgement which may be an encumbrance on any property sold by him;
- e. to settle all accounts between the debtor and his creditors, subject to the approval of the court;
- f. to recover any property or its value, fraudulently conveyed by the debtor;
- g. to recommend to the court the creation of a creditors' committee which will assist him in the discharge of the functions and which shall have powers as the court deems just, reasonable and necessary; and
- h. upon approval of the court, to engage such professional as may be necessary and reasonable to assist him in the discharge of his duties.

In addition to the rights and duties of a rehabilitation receiver, the liquidator, shall have the right and duty to take all reasonable steps to manage and dispose of the debtor's assets with a view towards maximizing the proceedings therefrom, to pay creditors and stockholders, and to terminate the debtor's legal existence. Other duties of the liquidator in accordance with this section may be established by procedural rules.

A liquidator shall be subject to removal pursuant to procedures for removing a rehabilitation receiver.

Section 122. *Discharge of Liquidator.* - In preparation for the final settlement of all the claims against the debtor, the liquidator will notify all the creditors, either by publication in a newspaper of general circulation or such other mode as the court may direct or allow, that will apply with the court for the settlement of his account and his discharge from liability as liquidator. The liquidator will file a final accounting with the court, with proof of notice to all creditors. The accounting will be set for hearing. If the court finds the same in order, the court will discharge the liquidator.

Section 123. *Registry of Claims.* - Within twenty (20) days from his assumption into office the liquidator shall prepare a preliminary registry of claims of secured and unsecured creditors. Secured creditors who have waived their security or lien, or have fixed the value of the property subject of their security or lien by agreement with the liquidator and is admitted as a creditor for the balance, shall be considered as unsecured creditors. The liquidator shall make the registry available for public inspection and provide publication notice to creditors, individual debtors owner/s of the sole proprietorship-debtor, the partners of the partnership-debtor and shareholders or members of the corporation-debtor, on where and when they may inspect it. All claims must be duly proven before being paid.

Section 129. *The Liquidation Plan.* - Within three (3) months from his assumption into office, the Liquidator shall submit a Liquidation Plan to the court. The Liquidation Plan shall, as a minimum enumerate all the assets of the debtor and a schedule of liquidation of the assets and payment of the claims.

--End--

QUESTIONS

1. The Financial Rehabilitation and Insolvency Act (FRIA) of 2010 or Republic Act No. _____, states it is the policy of the State to encourage debtors, both juridical and natural persons, and their creditors to collectively and realistically resolve and adjust competing claims and property rights. In furtherance thereof, the State shall ensure a timely, fair, transparent, effective and efficient rehabilitation or liquidation of debtors. The rehabilitation or liquidation shall be made with a view to ensure or maintain certainty and predictability in commercial affairs, preserve and maximize the value of the assets of these debtors, recognize creditor rights and respect priority of claims, and ensure equitable treatment of creditors who are similarly situated. When rehabilitation is not feasible, it is in the interest of the State to facilitate a speedy and orderly liquidation of these debtors' assets and the settlement of their obligations.
 - a. 10141
 - b. 10142
 - c. 10143
 - d. 10144

2. The Financial Rehabilitation and Insolvency Act (FRIA) of 2010 states that The proceedings under this Act shall be in rem. Jurisdiction over all persons affected by the proceedings shall be considered as acquired upon publication of the notice of the commencement of the proceedings in any newspaper of general circulation in the Philippines in the manner prescribed by the rules of procedure to be promulgated by the Supreme Court. The proceedings shall be conducted in a summary and non-adversarial manner consistent with the declared policies of this Act and in accordance with the rules of procedure that the Supreme Court may promulgate. The term debtor does not include banks, insurance companies, preneed companies, and national and local government agencies or units:

Statement I: Bank shall refer to any duly licensed bank or quasi-bank that is potentially or actually subject to conservatorship, receivership or liquidation proceedings under the New Central Bank Act (Republic Act No. 7653) or successor legislation;

Statement II: Insurance company shall refer to those companies that are potentially or actually subject to insolvency proceedings under the Insurance Code (Presidential Decree No. 1460) or successor legislation; and,

Statement III: Pre-need company shall refer to any corporation authorized/licensed to sell or offer to sell pre-need plans.

Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
3. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010:

Statement I: Rehabilitation shall refer to the restoration of the debtor to a condition of successful operation and solvency, if it is shown that its continuance of operation is economically feasible and its creditors can recover by way of the present value of payments projected in the plan, more if the debtor continues as a going concern than if it is immediately liquidated;

Statement II: Illiquid shall refer to the financial condition of a debtor that is generally unable to pay its or his liabilities as they fall due in the ordinary course of business; and,

Statement III: Insolvent shall refer to the financial condition of a debtor that has liabilities that are greater than its or his assets.

Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
4. The Financial Rehabilitation and Insolvency Act (FRIA) of 2010 defines rehabilitation as the restoration of the debtor to a condition of successful operation and solvency, if it is shown that its continuance of operation is economically feasible and its creditors can recover by way of the present value of payments projected in the plan, more if the debtor continues as a going concern than if it is immediately liquidated. This may be achieved by any of the following means:

Statement I: Court-supervised;

Statement II: Pre-negotiated; or,

Statement III: Out-of-court or informal restructuring agreements or rehabilitation plans.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements



d. None of the statements

5. The Financial Rehabilitation and Insolvency Act (FRIA) of 2010 defines rehabilitation as the restoration of the debtor to a condition of successful operation and solvency, if it is shown that its continuance of operation is economically feasible and its creditors can recover by way of the present value of payments projected in the plan, more if the debtor continues as a going concern than if it is immediately liquidated. This may be achieved through Court-supervised rehabilitation proceedings, which may be:
- Statement I: Voluntary – when initiated by the debtor;
 Statement II: Involuntary – when initiated by the creditors; or,
 Statement III: *In rem* – when initiated by a third person.

Which of the following is/are false?

- a. Only two of the statements
 b. Only one of the statements
 c. All three of the statements
 d. None of the statements
6. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, if the court finds the petition for rehabilitation to be sufficient in form and substance, it shall, within five (5) working days from the filing of the petition, issue a Commencement Order, which shall, in addition to the effects of a Stay or Suspension Order, serve as the legal basis for rendering null and void any set-off after the commencement date of any debt owed to the debtor by any of the debtor's creditors and the perfection of any lien against the debtor's property after the commencement date described. It will also:
- Statement I: Vest the rehabilitation receiver with all the powers and functions provided for in this Act, such as the right to review and obtain all records to which the debtor's management and directors have access, including bank accounts of whatever nature of the debtor, subject to the approval by the court of the performance bond filed by the rehabilitation receiver;
 Statement II: Prohibit, or otherwise serve as the legal basis for rendering null and void the results of any extrajudicial activity or process to seize property, sell encumbered property, or otherwise attempt to collect on or enforce a claim against the debtor after the commencement date unless otherwise allowed in this Act, subject to the provisions of Section 50 hereof; and,
 Statement III: Consolidate the resolution of all legal proceedings by and against the debtor to the court: Provided, however, That the court may allow the continuation of cases in other courts where the debtor had initiated the suit.

Which of the following is/are false?

- a. Only two of the statements
 b. Only one of the statements
 c. All three of the statements
 d. None of the statements
7. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, if the court finds the petition for rehabilitation to be sufficient in form and substance, it shall, within five (5) working days from the filing of the petition, issue a Commencement Order that includes a Stay or Suspension Order. The latter shall suspend all actions or proceedings, in court or otherwise, for the enforcement of claims against the debtor, as well as:
- Statement I: Suspend all actions to enforce any judgment, attachment or other provisional remedies against the debtor;
 Statement II: Prohibit the debtor from selling, encumbering, transferring or disposing in any manner any of its properties except in the ordinary course of business; and,
 Statement III: Prohibit the debtor from making any payment of its liabilities outstanding as of the commencement date except as may be provided herein. Which of the following is/are false?
- a. Only two of the statements
 b. Only one of the statements
 c. All three of the statements
 d. None of the statements

8. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, the rehabilitation receiver shall be deemed an officer of the court with the principal duty of preserving and maximizing the value of the assets of the debtor during the rehabilitation proceedings, determining the viability of the rehabilitation of the debtor, preparing and recommending a Rehabilitation Plan to the court, and implementing the approved Rehabilitation Plan. Unless appointed by the court, pursuant to Section 36, the rehabilitation receiver shall not take over the management and control of the debtor but may recommend the appointment of a management committee over the debtor in the cases provided by this Act. On the other hand, when appointed pursuant to the foregoing section, the management committee shall take the place of the management and the governing body of the debtor and assume their rights and responsibilities. Upon motion of any interested party, the court may appoint and direct the rehabilitation receiver to assume the powers of management of the debtor, or appoint a management committee that will undertake the management of the debtor, upon clear and convincing evidence of any of the following circumstances:
- Statement I: Actual or imminent danger of dissipation, loss, wastage or destruction of the debtor's assets

or other properties;

Statement II: Paralyzation of the business operations of the debtor; or,

Statement III: Gross mismanagement of the debtor, or fraud or other wrongful conduct on the part of, or gross or willful violation of this Act by, existing management of the debtor or the owner, partner, director, officer or representative/s in management of the debtor.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

9. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, a Rehabilitation Plan shall refer to a plan by which the financial well-being and viability of an insolvent debtor can be restored using various means including, but not limited to, debt forgiveness, debt rescheduling, reorganization or quasi-reorganization, dacion en pago, debt-equity conversion and sale of the business (or parts of it) as a going concern, or setting-up of new business entity as prescribed in Section 62 hereof, or other similar arrangements as may be approved by the court or creditors. As such, it must be:

Statement I: Included as an attachment to the petition of the debtor/creditor subject to review by the rehabilitation receiver;

Statement II: Presented by the rehabilitation receiver to the creditors for their approval; and,

Statement III: Submitted by the rehabilitation receiver to the court for confirmation.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

10. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, Upon the issuance of the Liquidation Order the juridical debtor shall be deemed dissolved and its corporate or juridical existence Terminated and legal title to and control of all the assets of the debtor, except those that may be exempt from execution, shall be deemed vested in the liquidator or, pending his election or appointment, with the court. Furthermore:

Statement I: All contracts of the debtor shall be deemed terminated and/or breached, unless the liquidator, within ninety (90) days from the date of his assumption of office, declares otherwise and the contracting party agrees;

Statement II: No separate action for the collection of an unsecured claim shall be allowed. Such actions already pending will be transferred to the Liquidator for him to accept and settle or contest. If the liquidator contests or disputes the claim, the court shall allow, hear and resolve such contest except when the case is already on appeal. In such a case, the suit may proceed to judgment, and any final and executory judgment therein for a claim against the debtor shall be filed and allowed in court; and,

Statement III: No foreclosure proceeding shall be allowed for a period of one hundred eighty (180) days.

Which is/are true?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements

11. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, the Liquidation Order shall not affect the right of a secured creditor to enforce his lien in accordance with the applicable contract or law. A secured creditor may either waive his rights under the security or lien, prove his claim in the liquidation proceedings and share in the distribution of the assets of the debtor, or maintain his rights under his security or lien. If the secured creditor maintains his rights under the security or lien:

Statement I: The value of the property may be fixed in a manner agreed upon by the creditor and the liquidator. When the value of the property is less than the claim it secures, the liquidator may convey the property to the secured creditor and the latter will be admitted in the liquidation proceedings as a creditor for the balance; if its value exceeds the claim secured, the liquidator may convey the property to the creditor and waive the debtor's right of redemption upon receiving the excess from the creditor;

Statement II: The liquidator may sell the property and satisfy the secured creditor's entire claim from the proceeds of the sale; or,

Statement III: The secured creditor may enforce the lien or foreclose on the property pursuant to applicable laws.

Which is/are true?

- a. Only two of the statements
- b. Only one of the statements



- c. All three of the statements
 - d. None of the statements
12. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, Election of Liquidator. — Only creditors who have filed their claims within the period set by the court, and whose claims are not barred by the statute of limitations, will be allowed to vote in the election of the liquidator. A secured creditor will not be allowed to vote, unless: (a) he waives his security or lien; or (b) has the value of the property subject of his security or lien fixed by agreement with the liquidator, and is admitted for the balance of his claim. The creditors entitled to vote will elect the liquidator in open court. The nominee receiving the highest number of votes cast in terms of amount of claims, and who is qualified pursuant to Section 118 hereof, shall be appointed as the liquidator. The court may appoint the liquidator if on the date set for the election of the liquidator, the creditors do not attend, or in the following instances:
- Statement I: The creditors who attend, fail or refuse to elect a liquidator;
- Statement II: After being elected, the liquidator fails to qualify; or,
- Statement III: A vacancy occurs for any reason whatsoever. In any of the cases provided herein, the court may instead set another hearing for the election of the liquidator.

Which is/are true?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
13. According to the Financial Rehabilitation and Insolvency Act (FRIA) of 2010, Within three (3) months from his assumption into office, the Liquidator shall submit a Liquidation Plan to the court. The Liquidation Plan shall, as a minimum, enumerate all the assets of the debtor, all the claims against the debtor and a schedule of liquidation of the assets and payment of the claims. Consider the following:
- Statement I: It shall be the duty of the court, upon petition and after hearing, to exempt and set apart, for the use and benefit of the said insolvent, such real and personal property as is by law exempt from execution, and also a homestead.;
- Statement II: The liquidator shall implement the Liquidation Plan as approved by the court. Payments shall be made to the creditors only in accordance with the provisions of the Plan.; or,
- Statement III: The Liquidation Plan and its implementation shall ensure that the concurrence and preference of credits as enumerated in the Civil Code of the Philippines and other relevant laws shall be observed, unless a preferred creditor voluntarily waives his preferred right.

Which is/are true?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
14. An insolvent person is one who is generally:
- Statement I: Unable to pay its or his liabilities as they fall due
- Statement II: Has liabilities greater than its or his assets
- a. I only.
 - b. II only.
 - c. Both I and II.
 - d. Neither I nor II.
15. This involves calling the creditors to a meeting to propose and agree on a schedule of payments and to prevent the debtor from making a payment outside the necessary or legitimate expenses of the business, and the issuance of a suspension order to prevent pending executions against the debtor.
- a. Amicable settlement
 - b. Suspension of payments
 - c. Pre-negotiated rehabilitation
 - d. Voluntary rehabilitation



THE INSURANCE CODE (REPUBLIC ACT NO. 10607)

AN ACT STRENGTHENING THE INSURANCE INDUSTRY, FURTHER AMENDING PRESIDENTIAL DECREE NO. 612, OTHERWISE KNOWN AS "THE INSURANCE CODE", AS AMENDED BY PRESIDENTIAL DECREE NOS. 1141, 1280, 1455, 1460, 1814 AND 1981, AND BATAS PAMBANSA BLG. 874, AND FOR OTHER PURPOSES

Section 1. Presidential Decree No. 612, as amended, is hereby further amended and shall be known as '**The Insurance Code**'.

Section 2. Whenever used in this Code, the following terms shall have the respective meanings hereinafter set forth or indicated, unless the context otherwise requires:

- a. A **contract of insurance** is an agreement whereby one undertakes for a consideration to indemnify another against loss, damage or liability arising from an unknown or contingent event.
A **contract of suretyship** shall be deemed to be an insurance contract, within the meaning of this Code, only if made by a surety who or which, as such, is doing an insurance business as hereinafter provided.
- b. The term **doing an insurance business or transacting an insurance business**, within the meaning of this Code, shall include:
 - 1. Making or proposing to make, as insurer, any insurance contract;
 - 2. Making or proposing to make, as surety, any contract of suretyship as a vocation and not as merely incidental to any other legitimate business or activity of the surety;
 - 3. Doing any kind of business, including a reinsurance business, specifically recognized as constituting the doing of an insurance business within the meaning of this Code;
 - 4. Doing or proposing to do any business in substance equivalent to any of the foregoing in a manner designed to evade the provisions of this Code.In the application of the provisions of this Code, the fact that no profit is derived from the making of insurance contracts, agreements or transactions or that no separate or direct consideration is received therefor, shall not be deemed conclusive to show that the making thereof does not constitute the doing or transacting of an insurance business.
- c. As used in this Code, the term **Commissioner** means the *Insurance Commissioner*.

WHAT MAY BE INSURED

Section 3. Any contingent or unknown event, whether past or future, which may damnify a person having an insurable interest, or create a liability against him, may be insured against, subject to the provisions of this chapter.

The consent of the spouse is not necessary for the validity of an insurance policy taken out by a married person on his or her life or that of his or her children.

All rights, title and interest in the policy of insurance taken out by an original owner on the life or health of the person insured shall automatically vest in the latter upon the death of the original owner, unless otherwise provided for in the policy.

INSURABLE INTEREST

Section 10. Every person has an insurable interest in the life and health:

- a. Of himself, of his spouse and of his children;
- b. Of any person on whom he depends wholly or in part for education or support, or in whom he has a pecuniary interest;
- c. Of any person under a legal obligation to him for the payment of money, or respecting property or services, of which death or illness might delay or prevent the performance; and
- d. Of any person upon whose life any estate or interest vested in him depends.

Section 11. The insured shall have the right to change the beneficiary he designated in the policy, unless he has expressly waived this right in said policy. Notwithstanding the foregoing, in the event the insured does not change the beneficiary during his lifetime, the designation shall be deemed irrevocable.

Section 12. The interest of a beneficiary in a life insurance policy shall be forfeited when the beneficiary is the principal, accomplice, or accessory in willfully bringing about the death of the insured. In such a case, the share forfeited shall pass on to the other beneficiaries, unless otherwise disqualified. In the absence of other beneficiaries, the proceeds shall be paid in accordance with the policy contract. If the policy contract is silent, the proceeds shall be paid to the estate of the insured.

Section 13. Every interest in property, whether real or personal, or any relation thereto, or liability in respect thereof, of such nature that a contemplated peril might directly damnify the insured, is an insurable interest.

Section 14. An insurable interest in property may consist in:

- a. An existing interest;
- b. An inchoate interest founded on an existing interest; or
- c. An expectancy, coupled with an existing interest in that out of which the expectancy arises.

Section 15. A carrier or depository of any kind has an insurable interest in a thing held by him as such, to the extent of his liability but not to exceed the value thereof.

Section 16. A mere contingent or expectant interest in any thing, not founded on an actual right to the thing, nor upon any valid contract for it, is not insurable.

Section 17. The measure of an insurable interest in property is the extent to which the insured might be damnified by loss or injury thereof.

Section 18. No contract or policy of insurance on property shall be enforceable except for the benefit of some person having an insurable interest in the property insured.

Section 19. An interest in property insured must exist when the insurance takes effect, and when the loss occurs, but need not exist in the meantime; and interest in the life or health of a person insured must exist when the insurance takes effect, but need not exist thereafter or when the loss occurs.

Section 20. Except in the cases specified in the next four sections, and in the cases of life, accident, and health insurance, a change of interest in any part of a thing insured unaccompanied by a corresponding change of interest in the insurance, suspends the insurance to an equivalent extent, until the interest in the thing and the interest in the insurance are vested in the same person.

Section 21. A change of interest in a thing insured, after the occurrence of an injury which results in a loss, does not affect the right of the insured to indemnity for the loss.

Section 22. A change of interest in one or more of several distinct things, separately insured by one policy, does not avoid the insurance as to the others.

Section 23. A change of interest, by will or succession, on the death of the insured, does not avoid an insurance; and his interest in the insurance passes to the person taking his interest in the thing insured.

Section 24. A transfer of interest by one of several partners, joint owners, or owners in common, who are jointly insured, to the others, does not avoid an insurance even though it has been agreed that the insurance shall cease upon an alienation of the thing insured.

Section 25. Every stipulation in a policy of insurance for the payment of loss whether the person insured has or has not any interest in the property insured, or that the policy shall be received as proof of such interest, and every policy executed by way of gaming or wagering, is void.

CONCEALMENT

Section 26. A neglect to communicate that which a party knows and ought to communicate, is called a concealment.

Section 27. A concealment whether intentional or unintentional entitles the injured party to rescind a contract of insurance.

Section 28. Each party to a contract of insurance must communicate to the other, in good faith, all facts within his knowledge which are material to the contract and as to which he makes no warranty, and which the other has not the means of ascertaining.

Section 29. An intentional and fraudulent omission, on the part of one insured, to communicate information of matters proving or tending to prove the falsity of a warranty, entitles the insurer to rescind.

Section 30. Neither party to a contract of insurance is bound to communicate information of the matters following, except in answer to the inquiries of the other:

- a. Those which the other knows;
- b. Those which, in the exercise of ordinary care, the other ought to know, and of which the former has no reason to suppose him ignorant;
- c. Those of which the other waives communication;
- d. Those which prove or tend to prove the existence of a risk excluded by a warranty, and which are not otherwise material; and
- e. Those which relate to a risk excepted from the policy and which are not otherwise material.

Section 31. Materiality is to be determined not by the event, but solely by the probable and reasonable influence of the facts upon the party to whom the communication is due, in forming his estimate of the disadvantages of the proposed contract, or in making his inquiries.

Section 32. Each party to a contract of insurance is bound to know all the general causes which are open to his inquiry, equally with that of the other, and which may affect the political or material perils contemplated; and all general usages of trade.

Section 33. The right to information of material facts may be waived, either by the terms of insurance or by neglect to make inquiry as to such facts, where they are distinctly implied in other facts of which information is communicated.

Section 34. Information of the nature or amount of the interest of one insured need not be communicated unless in answer to an inquiry, except as prescribed by Section 51.

Section 35. Neither party to a contract of insurance is bound to communicate, even upon inquiry, information of his own judgment upon the matters in question.

REPRESENTATION

Section 36. A representation may be oral or written.

Section 37. A representation may be made at the time of, or before, issuance of the policy.

Section 38. The language of a representation is to be interpreted by the same rules as the language of contracts in general.

Section 39. A representation as to the future is to be deemed a promise, unless it appears that it was merely a statement of belief or expectation.

Section 40. A representation cannot qualify an express provision in a contract of insurance, but it may qualify an implied warranty.

Section 41. A representation may be altered or withdrawn before the insurance is effected, but not afterwards.

Section 42. A representation must be presumed to refer to the date on which the contract goes into effect.

Section 43. When a person insured has no personal knowledge of a fact, he may nevertheless repeat information which he has upon the subject, and which he believes to be true, with the explanation that he does so on the information of others; or he may submit the information, in its whole extent, to the insurer; and in neither case is he responsible for its truth, unless it proceeds from an agent of the insured, whose duty it is to give the information.

Section 44. A representation is to be deemed false when the facts fail to correspond with its assertions or stipulations.

Section 45. If a representation is false in a material point, whether affirmative or promissory, the injured party is entitled to rescind the contract from the time when the representation becomes false.

Section 46. The materiality of a representation is determined by the same rules as the materiality of a concealment.

Section 47. The provisions of this chapter apply as well to a modification of a contract of insurance as to its original formation.

Section 48. Whenever a right to rescind a contract of insurance is given to the insurer by any provision of this chapter, such right must be exercised previous to the commencement of an action on the contract.

After a policy of life insurance made payable on the death of the insured shall have been in force during the lifetime of the insured for a period of two (2) years from the date of its issue or of its last reinstatement, the insurer cannot prove that the policy is void *ab initio* or is rescindable by reason of the fraudulent concealment or misrepresentation of the insured or his agent.

THE POLICY

Section 49. The written instrument in which a contract of insurance is set forth, is called a policy of insurance.

Section 50. The policy shall be in printed form which may contain blank spaces; and any word, phrase, clause, mark, sign, symbol, signature, number, or word necessary to complete the contract of insurance shall be written on the blank spaces provided therein.

Any rider, clause, warranty or endorsement purporting to be part of the contract of insurance and which is pasted or attached to said policy is not binding on the insured, unless the descriptive title or name of the rider, clause, warranty or endorsement is also mentioned and written on the blank spaces provided in the policy.

Unless applied for by the insured or owner, any rider, clause, warranty or endorsement issued after the original policy shall be countersigned by the insured or owner, which countersignature shall be taken as his agreement to the contents of such rider, clause, warranty or endorsement.

Notwithstanding the foregoing, the policy may be in electronic form subject to the pertinent provisions of Republic Act No. 8792, otherwise known as the 'Electronic Commerce Act' and to such rules and regulations as may be prescribed by the Commissioner.

Section 51. A policy of insurance must specify:

- a. The parties between whom the contract is made;
- b. The amount to be insured except in the cases of open or running policies;
- c. The premium, or if the insurance is of a character where the exact premium is only determinable upon the termination of the contract, a statement of the basis and rates upon which the final premium is to be determined;
- d. The property or life insured;
- e. The interest of the insured in property insured, if he is not the absolute owner thereof;
- f. The risks insured against; and
- g. The period during which the insurance is to continue.

Section 52. Cover notes may be issued to bind insurance temporarily pending the issuance of the policy. Within sixty (60) days after issue of a cover note, a policy shall be issued in lieu thereof, including within its terms the identical insurance bound under the cover note and the premium therefor.

Cover notes may be extended or renewed beyond such sixty (60) days with the written approval of the Commissioner if he determines that such extension is not contrary to and is not for the purpose of violating any provisions of this Code. The Commissioner may promulgate rules and regulations governing such extensions for the purpose of preventing such violations and may by such rules and regulations dispense with the requirement of written approval by him in the case of extension in compliance with such rules and regulations.

Section 53. The insurance proceeds shall be applied exclusively to the proper interest of the person in whose name or for whose benefit it is made unless otherwise specified in the policy.

Section 54. When an insurance contract is executed with an agent or trustee as the insured, the fact that his principal or beneficiary is the real party in interest may be indicated by describing the insured as agent or trustee, or by other general words in the policy.

Section 55. To render an insurance effected by one partner or part-owner, applicable to the interest of his co-partners or other part-owners, it is necessary that the terms of the policy should be such as are applicable to the joint or common interest.

Section 56. When the description of the insured in a policy is so general that it may comprehend any person or any class of persons, only he who can show that it was intended to include him, can claim the benefit of the policy.

Section 57. A policy may be so framed that it will inure to the benefit of whomsoever, during the continuance of the risk, may become the owner of the interest insured.

Section 58. The mere transfer of a thing insured does not transfer the policy, but suspends it until the same person becomes the owner of both the policy and the thing insured.

Section 59. A policy is either open, valued or running.

Section 60. An **open policy** is one in which the value of the thing insured is not agreed upon, and the amount of the insurance merely represents the insurer's maximum liability. The value of such thing insured shall be ascertained at the time of the loss.

Section 61. A **valued policy** is one which expresses on its face an agreement that the thing insured shall be valued at a specific sum.

Section 62. A **running policy** is one which contemplates successive insurances, and which provides that the object of the policy may be from time to time defined, especially as to the subjects of insurance, by additional statements or indorsements.

Section 63. A condition, stipulation, or agreement in any policy of insurance, limiting the time for commencing an action thereunder to a period of less than one (1) year from the time when the cause of action accrues, is void.

Section 64. No policy of insurance other than life shall be cancelled by the insurer except upon prior notice thereof to the insured, and no notice of cancellation shall be effective unless it is based on the occurrence, after the effective date of the policy, of one or more of the following:

- a. Nonpayment of premium;
- b. Conviction of a crime arising out of acts increasing the hazard insured against;
- c. Discovery of fraud or material misrepresentation;
- d. Discovery of willful or reckless acts or omissions increasing the hazard insured against;
- e. Physical changes in the property insured which result in the property becoming uninsurable;
- f. Discovery of other insurance coverage that makes the total insurance in excess of the value of the property insured; or
- g. A determination by the Commissioner that the continuation of the policy would violate or would place the insurer in violation of this Code.

Section 65. All notices of cancellation mentioned in the preceding section shall be in writing, mailed or delivered to the named insured at the address shown in the policy, or to his broker provided the broker is authorized in writing by the policy owner to receive the notice of cancellation on his behalf, and shall state:

- a. Which of the grounds set forth in Section 64 is relied upon; and
- b. That, upon written request of the named insured, the insurer will furnish the facts on which the cancellation is based.

Section 66. In case of insurance other than life, unless the insurer at least forty-five (45) days in advance of the end of the policy period mails or delivers to the named insured at the address shown in the policy notice of its intention not to renew the policy or to condition its renewal upon reduction of limits or elimination of coverages, the named insured shall be entitled to renew the policy upon payment of the premium due on the effective date of the renewal. Any policy written for a term of less than one (1) year shall be considered as if written for a term of one (1) year. Any policy written for a term longer than one (1) year or any policy with no fixed expiration date shall be considered as if written for successive policy periods or terms of one (1) year.

WARRANTIES

Section 67. A warranty is either expressed or implied.

Section 68. A warranty may relate to the past, the present, the future, or to any or all of these.

Section 69. No particular form of words is necessary to create a warranty.

Section 70. Without prejudice to Section 51, every express warranty, made at or before the execution of a policy, must be contained in the policy itself, or in another instrument signed by the insured and referred to in the policy as making a part of it.

Section 71. A statement in a policy, of a matter relating to the person or thing insured, or to the risk, as fact, is an express warranty thereof.

Section 72. A statement in a policy, which imparts that it is intended to do or not to do a thing which materially affects the risk, is a warranty that such act or omission shall take place.

Section 73. When, before the time arrives for the performance of a warranty relating to the future, a loss insured against happens, or performance becomes unlawful at the place of the contract, or impossible, the omission to fulfill the warranty does not avoid the policy.

Section 74. The violation of a material warranty, or other material provision of a policy, on the part of either party thereto, entitles the other to rescind.

Section 75. A policy may declare that a violation of specified provisions thereof shall avoid it, otherwise the breach of an immaterial provision does not avoid the policy.

Section 76. A breach of warranty without fraud merely exonerates an insurer from the time that it occurs, or where it is broken in its inception, prevents the policy from attaching to the risk.

PREMIUM

Section 77. An insurer is entitled to payment of the premium as soon as the thing insured is exposed to the peril insured against. Notwithstanding any agreement to the contrary, no policy or contract of insurance issued by an insurance company is valid and binding unless and until the premium thereof has been paid, except in the case of a life or an industrial life policy whenever the grace period provision applies, or whenever under the broker and agency agreements with duly licensed intermediaries, a ninety (90)-day credit extension is given. No credit extension to a duly licensed intermediary should exceed ninety (90) days from date of issuance of the policy.

Section 78. Employees of the Republic of the Philippines, including its political subdivisions and instrumentalities, and government-owned or -controlled corporations, may pay their insurance premiums and loan obligations through salary deduction: *Provided*, That the treasurer, cashier, paymaster or official of the entity employing the government employee is authorized, notwithstanding the provisions of any existing law, rules and regulations to the contrary, to make deductions from the salary, wage or income of the latter pursuant to the agreement between the insurer and the government employee and to remit such deductions to the insurer concerned, and collect such reasonable fee for its services.

Section 79. An acknowledgment in a policy or contract of insurance or the receipt of premium is conclusive evidence of its payment, so far as to make the policy binding, notwithstanding any stipulation therein that it shall not be binding until the premium is actually paid.

Section 80. A person insured is entitled to a return of premium, as follows:

- a. To the whole premium if no part of his interest in the thing insured be exposed to any of the perils insured against;
- b. Where the insurance is made for a definite period of time and the insured surrenders his policy, to such portion of the premium as corresponds with the unexpired time, at a pro rata rate, unless a short period rate has been agreed upon and appears on the face of the policy, after deducting from the whole premium any claim for loss or damage under the policy which has previously accrued: *Provided*, That no holder of a life insurance policy may avail himself of the privileges of this paragraph without sufficient cause as otherwise provided by law.

Section 81. If a peril insured against has existed, and the insurer has been liable for any period, however short, the insured is not entitled to return of premiums, so far as that particular risk is concerned.

Section 82. A person insured is entitled to a return of the premium when the contract is voidable, and subsequently annulled under the provisions of the Civil Code; or on account of the fraud or misrepresentation of the insurer, or of his agent, or on account of facts, or the existence of which the insured was ignorant of without his fault; or when by any default of the insured other than actual fraud, the insurer never incurred any liability under the policy.

A person insured is not entitled to a return of premium if the policy is annulled, rescinded or if a claim is denied by reason of fraud.

Section 83. In case of an over insurance by several insurers other than life, the insured is entitled to a ratable return of the premium, proportioned to the amount by which the aggregate sum insured in all the policies exceeds the insurable value of the thing at risk.

Section 84. An insurer may contract and accept payments, in addition to regular premium, for the purpose of paying future premiums on the policy or to increase the benefits thereof.

LOSS

Section 85. An agreement not to transfer the claim of the insured against the insurer after the loss has happened, is void if made before the loss except as otherwise provided in the case of life insurance.

Section 86. Unless otherwise provided by the policy, an insurer is liable for a loss of which a peril insured against was the proximate cause, although a peril not contemplated by the contract may have been a remote cause of the loss; but he is not liable for a loss of which the peril insured against was only a remote cause.

Section 87. An insurer is liable where the thing insured is rescued from a peril insured against that would otherwise have caused a loss, if, in the course of such rescue, the thing is exposed to a peril not

insured against, which permanently deprives the insured of its possession, in whole or in part; or where a loss is caused by efforts to rescue the thing insured from a peril insured against.

Section 88. Where a peril is especially excepted in a contract of insurance, a loss, which would not have occurred but for such peril, is thereby excepted although the immediate cause of the loss was a peril which was not excepted.

Section 89. An insurer is not liable for a loss caused by the willful act or through the connivance of the insured; but he is not exonerated by the negligence of the insured, or of the insurance agents or others.

NOTICE OF LOSS

Section 90. In case of loss upon an insurance against fire, an insurer is exonerated, if written notice thereof be not given to him by an insured, or some person entitled to the benefit of the insurance, without unnecessary delay. For other non-life insurance, the Commissioner may specify the period for the submission of the notice of loss.

Section 91. When a preliminary proof of loss is required by a policy, the insured is not bound to give such proof as would be necessary in a court of justice; but it is sufficient for him to give the best evidence which he has in his power at the time.

Section 92. All defects in a notice of loss, or in preliminary proof thereof, which the insured might remedy, and which the insurer omits to specify to him, without unnecessary delay, as grounds of objection, are waived.

Section 93. Delay in the presentation to an insurer of notice or proof of loss is waived if caused by any act of him, or if he omits to take objection promptly and specifically upon that ground.

Section 94. If the policy requires, by way of preliminary proof of loss, the certificate or testimony of a person other than the insured, it is sufficient for the insured to use reasonable diligence to procure it, and in case of the refusal of such person to give it, then to furnish reasonable evidence to the insurer that such refusal was not induced by any just grounds of disbelief in the facts necessary to be certified or testified.

DOUBLE INSURANCE

Section 95. A double insurance exists where the same person is insured by several insurers separately in respect to the same subject and interest.

Section 96. Where the insured in a policy other than life is over insured by double insurance:

- a. The insured, unless the policy otherwise provides, may claim payment from the insurers in such order as he may select, up to the amount for which the insurers are severally liable under their respective contracts;
- b. Where the policy under which the insured claims is a valued policy, any sum received by him under any other policy shall be deducted from the value of the policy without regard to the actual value of the subject matter insured;
- c. Where the policy under which the insured claims is an unvalued policy, any sum received by him under any policy shall be deducted against the full insurable value, for any sum received by him under any policy;
- d. Where the insured receives any sum in excess of the valuation in the case of valued policies, or of the insurable value in the case of unvalued policies, he must hold such sum in trust for the insurers, according to their right of contribution among themselves;
- e. Each insurer is bound, as between himself and the other insurers, to contribute ratably to the loss in proportion to the amount for which he is liable under his contract.

REINSURANCE

Section 97. A contract of reinsurance is one by which an insurer procures a third person to insure him against loss or liability by reason of such original insurance.

Section 98. Where an insurer obtains reinsurance, except under automatic reinsurance treaties, he must communicate all the representations of the original insured, and also all the knowledge and information he possesses, whether previously or subsequently acquired, which are material to the risk.

Section 99. A reinsurance is presumed to be a contract of indemnity against liability, and not merely against damage.

Section 100. The original insured has no interest in a contract of reinsurance.

MARINE INSURANCE

Section 101. Marine Insurance includes:

- a. Insurance against loss of or damage to:
 - 1. Vessels, craft, aircraft, vehicles, goods, freights, cargoes, merchandise, effects, disbursements, profits, moneys, securities, choses in action, instruments of debts, valuable papers, bottomry, and respondentia interests and all other kinds of property and interests therein, in respect to, appertaining to or in connection with any and all risks or perils of navigation, transit or transportation, or while being assembled, packed, crated, baled, compressed or similarly prepared for shipment or while awaiting shipment, or during any delays, storage, transshipment, or reshipment incident thereto, including war risks, marine builder's risks, and all personal property floater risks;
 - 2. Person or property in connection with or appertaining to a marine, inland marine, transit or transportation insurance, including liability for loss of or damage arising out of or in connection with the construction, repair, operation, maintenance or use of the subject matter of such insurance (but not including life insurance or surety bonds nor insurance against loss by reason of bodily injury to any person arising out of ownership, maintenance, or use of automobiles);
 - 3. Precious stones, jewels, jewelry, precious metals, whether in course of transportation or otherwise; and
 - 4. Bridges, tunnels and other instrumentalities of transportation and communication (excluding buildings, their furniture and furnishings, fixed contents and supplies held in storage); piers, wharves, docks and slips, and other aids to navigation and transportation, including dry docks and marine railways, dams and appurtenant facilities for the control of waterways.
- b. **Marine protection and indemnity insurance**, meaning insurance against, or against legal liability of the insured for loss, damage, or expense incident to ownership, operation, chartering, maintenance, use, repair, or construction of any vessel, craft or instrumentality in use of ocean or inland waterways, including liability of the insured for personal injury, illness or death or for loss of or damage to the property of another person.

FIRE INSURANCE

Section 169. As used in this Code, the term *fire insurance* shall include insurance against loss by fire, lightning, windstorm, tornado or earthquake and other allied risks, when such risks are covered by extension to fire insurance policies or under separate policies.

Section 170. An alteration in the use or condition of a thing insured from that to which it is limited by the policy made without the consent of the insurer, by means within the control of the insured, and increasing the risks, entitles an insurer to rescind a contract of fire insurance.

Section 171. An alteration in the use or condition of a thing insured from that to which it is limited by the policy, which does not increase the risk, does not affect a contract of fire insurance.

Section 172. A contract of fire insurance is not affected by any act of the insured subsequent to the execution of the policy, which does not violate its provisions, even though it increases the risk and is the cause of the loss.

Section 173. If there is no valuation in the policy, the measure of indemnity in an insurance against fire is the expense it would be to the insured at the time of the commencement of the fire to replace the thing lost or injured in the condition in which it was at the time of the injury; but if there is a valuation in a policy of fire insurance, the effect shall be the same as in a policy of marine insurance.

Section 174. Whenever the insured desires to have a valuation named in his policy, insuring any building or structure against fire, he may require such building or structure to be examined by an independent appraiser and the value of the insured's interest therein may then be fixed as between the insurer and the insured. The cost of such examination shall be paid for by the insured. A clause shall be inserted in such policy stating substantially that the value of the insured's interest in such building or structure has been thus fixed. In the absence of any change increasing the risk without the consent of the insurer or of fraud on the part of the insured, then in case of a total loss under such policy, the whole amount so insured upon the insured's interest in such building or structure, as stated in the policy upon which the insurers have received a premium, shall be paid, and

in case of a partial loss the full amount of the partial loss shall be so paid, and in case there are two (2) or more policies covering the insured's interest therein, each policy shall contribute *pro rata* to the payment of such whole or partial loss. But in no case shall the insurer be required to pay more than the amount thus stated in such policy. This section shall not prevent the parties from stipulating in such policies concerning the repairing, rebuilding or replacing of buildings or structures wholly or partially damaged or destroyed.

Section 175. No policy of fire insurance shall be pledged, hypothecated, or transferred to any person, firm or company who acts as agent for or otherwise represents the issuing company, and any such pledge, hypothecation, or transfer hereafter made shall be void and of no effect insofar as it may affect other creditors of the insured.

CASUALTY INSURANCE

Section 176. Casualty insurance is insurance covering loss or liability arising from accident or mishap, excluding certain types of loss which by law or custom are considered as falling exclusively within the scope of other types of insurance such as fire or marine. It includes, but is not limited to, employer's liability insurance, motor vehicle liability insurance, plate glass insurance, burglary and theft insurance, personal accident and health insurance as written by non-life insurance companies, and other substantially similar kinds of insurance.

SURETYSHIP

Section 177. A contract of suretyship is an agreement whereby a party called the surety guarantees the performance by another party called the principal or obligor of an obligation or undertaking in favor of a third party called the obligee. It includes official recognizances, stipulations, bonds or undertakings issued by any company by virtue of and under the provisions of Act No. 536, as amended by Act No. 2206.

Section 178. The liability of the surety or sureties shall be joint and several with the obligor and shall be limited to the amount of the bond. It is determined strictly by the terms of the contract of suretyship in relation to the principal contract between the obligor and the obligee.

Section 179. The surety is entitled to payment of the premium as soon as the contract of suretyship or bond is perfected and delivered to the obligor. No contract of suretyship or bonding shall be valid and binding unless and until the premium therefor has been paid, except where the obligee has accepted the bond, in which case the bond becomes valid and enforceable irrespective of whether or not the premium has been paid by the obligor to the surety: *Provided*, That if the contract of suretyship or bond is not accepted by, or filed with the obligee, the surety shall collect only a reasonable amount, not exceeding fifty percent (50%) of the premium due thereon as service fee plus the cost of stamps or other taxes imposed for the issuance of the contract or bond: *Provided, however*, That if the nonacceptance of the bond be due to the fault or negligence of the surety, no such service fee, stamps or taxes shall be collected.

In the case of a continuing bond, the obligor shall pay the subsequent annual premium as it falls due until the contract of suretyship is cancelled by the obligee or by the Commissioner or by a court of competent jurisdiction, as the case may be.

Section 180. Pertinent provisions of the Civil Code of the Philippines shall be applied in a suppletory character whenever necessary in interpreting the provisions of a contract of suretyship.

LIFE INSURANCE

Section 181. Life insurance is insurance on human lives and insurance appertaining thereto or connected therewith.

Every contract or undertaking for the payment of annuities including contracts for the payment of lump sums under a retirement program where a life insurance company manages or acts as a trustee for such retirement program shall be considered a life insurance contract for purposes of this Code.

Section 182. An insurance upon life may be made payable on the death of the person, or on his surviving a specified period, or otherwise contingently on the continuance or cessation of life. Every contract or pledge for the payment of endowments or annuities shall be considered a life insurance contract for purposes of this Code.

In the absence of a judicial guardian, the father, or in the latter's absence or incapacity, the mother, of any minor, who is an insured or a beneficiary under a contract of life, health, or accident insurance, may exercise, in behalf of said minor, any right under the policy, without necessity of court authority or the giving of a bond, where the interest of the minor in the particular act involved does not exceed Five hundred thousand pesos (P500,000.00) or in such reasonable amount as may be determined by the Commissioner. Such right may include, but shall not be limited to, obtaining a policy loan, surrendering the policy, receiving the proceeds of the Policy, and giving the minor's consent to any transaction on the policy.

In the absence or in case of the incapacity of the father or mother, the grandparent, the eldest brother or sister at least eighteen (18) years of age, or any relative who has actual custody of the minor insured or beneficiary, shall act as a guardian without need of a court order or judicial appointment as such guardian, as long as such person is not otherwise disqualified or incapacitated. Payment made by the insurer pursuant to this section shall relieve such insurer of any liability under the contract.

Section 183. The insurer in a life insurance contract shall be liable in case of suicide only when it is committed after the policy has been in force for a period of two (2) years from the date of its issue or of its last reinstatement, unless the policy provides a shorter period: *Provided, however*, That suicide committed in the state of insanity shall be compensable regardless of the date of commission.

Section 184. A policy of insurance upon life or health may pass by transfer, will or succession to any person, whether he has an insurable interest or not, and such person may recover upon it whatever the insured might have recovered.

Section 185. Notice to an insurer of a transfer or bequest thereof is not necessary to preserve the validity of a policy of insurance upon life or health, unless thereby expressly required.

Section 186. Unless the interest of a person insured is susceptible of exact pecuniary measurement, the measure of indemnity under a policy of insurance upon life or health is the sum fixed in the policy.

MICROINSURANCE

Section 187. Microinsurance is a financial product or service that meets the risk protection needs of the poor where:

- a. The amount of contributions, premiums, fees or charges, computed on a daily basis, does not exceed seven and a half percent (7.5%) of the current daily minimum wage rate for nonagricultural workers in Metro Manila; and
- b. The maximum sum of guaranteed benefits is not more than one thousand (1,000) times of the current daily minimum wage rate for nonagricultural workers in Metro Manila.

Section 188. No insurance company or mutual benefit association shall engage in the business of microinsurance unless it possesses all the requirements as may be prescribed by the Commissioner. The Commissioner shall issue such rules and regulations governing microinsurance.

CLAIMS SETTLEMENT

Section 247.

- a. No insurance company doing business in the Philippines shall refuse, without just cause, to pay or settle claims arising under coverages provided by its policies, nor shall any such company engage in unfair claim settlement practices. Any of the following acts by an insurance company, if committed without just cause and performed with such frequency as to indicate a general business practice, shall constitute unfair claim settlement practices:
 - 1. Knowingly misrepresenting to claimants pertinent facts or policy provisions relating to coverage at issue;
 - 2. Failing to acknowledge with reasonable promptness pertinent communications with respect to claims arising under its policies;
 - 3. Failing to adopt and implement reasonable standards for the prompt investigation of claims arising under its policies;
 - 4. Not attempting in good faith to effectuate prompt, fair and equitable settlement of claims submitted in which liability has become reasonably clear; or
 - 5. Compelling policyholders to institute suits to recover amounts due under its policies by offering without justifiable reason substantially less than the amounts ultimately recovered in suits brought by them.

- b. Evidence as to numbers and types of valid and justifiable complaints to the Commissioner against an insurance company, and the Commissioner's complaint experience with other insurance companies writing similar lines of insurance shall be admissible in evidence in an administrative or judicial proceeding brought under this section.
- c. If it is found, after notice and an opportunity to be heard, that an insurance company has violated this section, each instance of noncompliance with paragraph (a) may be treated as a separate violation of this section and shall be considered sufficient cause for the suspension or revocation of the company's certificate of authority.

Section 248. The proceeds of a *life insurance policy shall be paid immediately upon maturity of the policy*, unless such proceeds are made payable in installments or as an annuity, in which case the installments, or annuities shall be paid as they become due: *Provided, however,* That in the case of a policy maturing by the death of the insured, the proceeds thereof shall be paid within sixty (60) days after presentation of the claim and filing of the proof of death of the insured. Refusal or failure to pay the claim within the time prescribed herein will entitle the beneficiary to collect interest on the proceeds of the policy for the duration of the delay at the rate of twice the ceiling prescribed by the Monetary Board, unless such failure or refusal to pay is based on the ground that the claim is fraudulent. The proceeds of the policy maturing by the death of the insured payable to the beneficiary shall include the discounted value of all premiums paid in advance of their due dates, but are not due and payable at maturity.

Section 249. The amount of any loss or damage for which an insurer may be liable, under any policy other than life insurance policy, shall be paid within thirty (30) days after proof of loss is received by the insurer and ascertainment of the loss or damage is made either by agreement between the insured and the insurer or by arbitration; but if such ascertainment is not had or made within sixty (60) days after such receipt by the insurer of the proof of loss, then the loss or damage shall be paid within ninety (90) days after such receipt. Refusal or failure to pay the loss or damage within the time prescribed herein will entitle the assured to collect interest on the proceeds of the policy for the duration of the delay at the rate of twice the ceiling prescribed by the Monetary Board, unless such failure or refusal to pay is based on the ground that the claim is fraudulent.

Section 250. In case of any litigation for the enforcement of any policy or contract of insurance, it shall be the duty of the Commissioner or the Court, as the case may be, to make a finding as to whether the payment of the claim of the insured has been unreasonably denied or withheld; and in the affirmative case, the insurance company shall be adjudged to pay damages which shall consist of attorney's fees and other expenses incurred by the insured person by reason of such unreasonable denial or withholding of payment plus interest of twice the ceiling prescribed by the Monetary Board of the amount of the claim due the insured, from the date following the time prescribed in Section 248 or in Section 249, as the case may be, until the claim is fully satisfied: *Provided,* That failure to pay any such claim within the time prescribed in said sections shall be considered *prima facie* evidence of unreasonable delay in payment.

Section 251. It is unlawful to:

- a. Present or cause to be presented any fraudulent claim for the payment of a loss under a contract of insurance; and
- b. Fraudulently prepare, make or subscribe any writing with intent to present or use the same, or to allow it to be presented in support of any such claim. Any person who violates this section shall be punished by a fine not exceeding twice the amount claimed or imprisonment of two (2) years, or both, at the discretion of the court.

BANCASSURANCE

Section 375. The term *bancassurance* shall mean the presentation and sale to bank customers by an insurance company of its insurance products within the premises of the head office of such bank duly licensed by the Bangko Sentral ng Pilipinas or any of its branches under such rules and regulations which the Commissioner and the

Bangko Sentral ng Pilipinas may promulgate. To engage in bancassurance arrangement, a bank is not required to have equity ownership of the insurance company. No insurance company shall enter into a bancassurance arrangement unless it possesses all the requirements as may be prescribed by the Commissioner and the Bangko Sentral ng Pilipinas.

No insurance product under this section, whether life or non-life, shall be issued or delivered unless in the form previously approved by the Commissioner.

Section 376. Personnel tasked to present and sell insurance products within the bank premises shall be duly licensed by the Commissioner and shall be subject to the rules and regulations of this Act.

Section 377. The Commissioner and the Bangko Sentral ng Pilipinas shall promulgate rules and regulations to effectively supervise the business of bancassurance.

Section 439. The Commissioner shall have the power to adjudicate claims and complaints involving any loss, damage or liability for which an insurer may be answerable under any kind of policy or contract of insurance, or for which such insurer may be liable under a contract of suretyship, or for which a reinsurer may be sued under any contract of reinsurance it may have entered into; or for which a mutual benefit association may be held liable under the membership certificates it has issued to its members, where the amount of any such loss, damage or liability, excluding interest, cost and attorney's fees, being claimed or sued upon any kind of insurance, bond, reinsurance contract, or membership certificate does not exceed in any single claim Five million pesos (₱5,000,000.00).

The power of the Commissioner does not cover the relationship between the insurance company and its agents/brokers but is limited to adjudicating claims and complaints filed by the insured against the insurance company.

The Commissioner may authorize any officer or group of officers under him to conduct investigation, inquiry and/or hearing and decide claims and he may issue rules governing the conduct of adjudication and resolution of cases. The Rules of Court shall have supplementary application.

The party filing an action pursuant to the provisions of this section thereby submits his person to the jurisdiction of the Commissioner. The Commissioner shall acquire jurisdiction over the person of the impleaded party or parties in accordance with and pursuant to the provisions of the Rules of Court.

The authority to adjudicate granted to the Commissioner under this section shall be concurrent with that of the civil courts, but the filing of a complaint with the Commissioner shall preclude the civil courts from taking cognizance of a suit involving the same subject matter. Any decision, order or ruling rendered by the Commissioner after a hearing shall have the force and effect of a judgment. Any party may appeal from a final order, ruling or decision of the Commissioner by filing with the Commissioner within thirty (30) days from receipt of copy of such order, ruling or decision a notice of appeal to the Court of Appeals in the manner provided for in the Rules of Court for appeals from the Regional Trial Court to the Court of Appeals.

For the purpose of any proceeding under this section, the Commissioner, or any officer thereof designated by him is empowered to administer oaths and affirmation, subpoena witnesses, compel their attendance, take evidence, and require the production of any books, papers, documents, or contracts or other records which are relevant or material to the inquiry.

A full and complete record shall be kept of all proceedings had before the Commissioner, or the officers thereof designated by him, and all testimony shall be taken down and transcribed by a stenographer appointed by the Commissioner.

In order to promote party autonomy in the resolution of cases, the Commissioner shall establish a system for resolving cases through the use of alternative dispute resolution.

--End--

QUESTIONS

1. The Insurance Code of the Philippines is Presidential Decree No. _____ as amended by Republic Act No. _____.
- a. 611 : 10606
 - b. 612 : 10607
 - c. 613 : 10608
 - d. 614 : 10609

2. The Insurance Code defines *contract of insurance* as an agreement whereby one undertakes for a consideration to indemnify another against loss, damage or liability arising from an unknown or contingent event. Furthermore, it declares that a contract of suretyship shall be deemed to be an insurance contract, only if made by a surety who or which, as such, is doing *an insurance business*, which according to the Code includes making or proposing to make, as insurer, any insurance contract, as well as:

Statement I: Making or proposing to make, as surety, any contract of suretyship as a vocation and not as merely incidental to any other legitimate business or activity of the surety;

Statement II: Doing any kind of business, including a reinsurance business, specifically recognized as constituting the doing of an insurance business within the meaning of this Code; and,

Statement III: Doing or proposing to do any business in substance equivalent to any of the foregoing in a manner designed to evade the provisions of this Code.

Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
3. An insurance contract is one which requires, as elements, that the insured possesses insurable interest and is subject to a risk of loss upon the happening of a designated peril. Furthermore, it also requires:

Statement I: The insurer to assume the risk of loss;

Statement II: The assumption of risk is part of a general scheme to distribute actual losses a large group or substantial number of persons bearing a similar risk; and,

Statement III: The insured pays a premium which is his ratable contribution to the general insurance fund.

Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
4. An insurance contract is a risk-distributing device. It is a contract of adhesion, but is still voluntary, personal, and synallagmatic. At the same time, it is also:

Statement I: Uberrimae Fides – one of utmost good faith, not only for the insured but also for the insurer;

Statement II: Contract of Indemnity – the insured is only entitled to recover only the amount of total loss sustained and the burden is upon him to prove the amount of such loss; or,

Statement III: Aleatory – the obligation of the insurer to pay the proceeds of the insurance arises only upon the happening of an event which is uncertain, or which is to occur at an indeterminate time.

Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
5. There are several kinds of types of insurance. These are:

Statement I: Life insurance – individual, group, industrial;

Statement II: Non-life – marine, fire, casualty; and,

Statement III: Contracts of surety.

Which of the following is/are false?

- a. Only two of the statements
- b. Only one of the statements
- c. All three of the statements
- d. None of the statements



6. Insurance, like other contracts, may be rescinded. The requirements are:

Statement I: Presence of a valid ground for rescission (concealment, misrepresentation, breach of warranty);

Statement II: The rescission must be coupled with a check for the amount of premiums already paid; and,

Statement III: Before there is an action in court to enforce (non-life) or The right must be exercised during the first 2 years from the policy's date of issue or its last reinstatement (life).

Which of the following is/are false?

- Only two of the statements
 - Only one of the statements
 - All three of the statements
 - None of the statements
7. Subrogation in insurance is explained in Art. 2207 of the Civil Code: If the plaintiff's property has been insured, and he has received indemnity from the insurance company for the injury or loss arising out of the wrong or breach of contract complained of, the insurance company shall be subrogated to the rights of the insured against the wrongdoer or the person who has violated the contract. If the amount paid by the insurance company does not fully cover the injury or loss, the aggrieved party shall be entitled to recover the deficiency from the person causing the loss or injury. In other words, payment by the insurer to the assured operates as an equitable assignment of all remedies the assured may have against the third party who caused the damage. The insurer must settle a claim against the insurance:

Statement I: Property: The proceeds must be paid within 30 days after proof of loss is received and ascertainment of the loss or damage is made, and if no ascertainment is made within 60 days after receipt of the proof of loss, the proceeds shall be paid within 90 days from such receipt;

Statement II: Life: the proceeds must be paid immediately upon maturity of the policy, or within 60 days from filing of the claim and upon proof of the death of the insured;

Statement III: In case of delay in payment, in both life and property, interest shall be imposed on the proceeds at twice the rate of legal interest.

Which of the following is/are false?

- Only two of the statements
 - Only one of the statements
 - All three of the statements
 - None of the statements
8. A person is deemed to have insurance interest in the subject matter insured where he has a relation or connection with or concern in it that he will derive pecuniary benefit or advantage from its preservation and will suffer pecuniary loss or damage from its destruction, termination, or injury by the happening of the event insured against. Insurable interest in life is the interest which a person has in his life, or the interest which he may have in the lives and health of his spouse and children, or any person:

Statement I: On whom he depends wholly or in part for education or support, or in whom he has a pecuniary interest;

Statement II: Under a legal obligation to him to pay money, to deliver property or to render service; or,

Statement III: Upon whose life any estate or estate vested in him depends.

Which of the following is/are false?

- Only two of the statements
 - Only one of the statements
 - All three of the statements
 - None of the statements
9. Is a contract of suretyship an insurance contract?
- Generally, yes, unless the surety is not doing an insurance business.
 - Generally, yes, unless the obligation assumed by the surety does not involve tangible property.
 - Generally, no, unless the surety is doing an insurance business.
 - Generally, no, unless the obligation assumed by the surety involves tangible property.
10. Is consent of the person whose life is insured required for the perfection of a contract of insurance?
- Yes, without the consent of the person whose life is insured, the contract is void.
 - Yes, without the consent of the person whose life is insured, the contract is unenforceable.
 - No, even without the consent of the person whose life is insured, the contract is still valid, although voidable.
 - No, even without the consent of the person whose life is insured, the contract is still valid without defect.



GOVERNMENT PROCUREMENT REFORM ACT
REPUBLIC ACT No. 9184 - January 10, 2003

AN ACT PROVIDING FOR THE MODERNIZATION, STANDARIZATION
AND REGULATION OF THE PROCUREMENT ACTIVITIES OF THE
GOVERNMENT AND FOR OTHER PURPOSES

ARTICLE 1 - GENERAL PROVISIONS

Section 1. Short Title.- This act shall be known as the " Government Procurement reform Act."

Section 2. Declaration of Policy.- It is the declared policy of the State to promote the ideals of good governance in all its branches, departments, agencies, subdivisions, and instrumentalities, including government-owned and/or -controlled corporations and local government units.

Section 3. Governing Principles on Government Procurement.

All procurement of the national government, its departments, bureaus, offices and agencies, including state universities and colleges, government -owned and/or-controlled corporations, government financial institutions and local government units, shall, in all cases, be governed by these principles:

- (a) Transparency in the procurement process and in the implementation of procurement contracts.
- (b) Competitiveness by extending equal opportunity to enable private contracting parties who are eligible and qualified to participate in public bidding.
- (c) Streamlined procurement process that will uniformly apply to all government procurement. The procurement process shall simple and made adaptable to advances in modern technology in order to ensure an effective and efficient method.
- (d) System of accountability where both the public officials directly or indirectly involved in the procurement process as well as in the implementation of procurement contracts and the private parties that deal with government are, when warranted by circumstances, investigated and held liable for their actions relative thereto.
- (e) Public monitoring of the procurement process and the implementation of awarded contracts with the end in view of guaranteeing that these contracts are awarded pursuant to the provisions of this Act and its implementing rules and regulations, and that all these contracts are performed strictly according to specifications.

Section 4. Scope and Application.- This act shall apply to the Procurement of Infrastructure Projects, Goods and Consulting Services, regardless of source of funds, whether local or foreign, by all branches and instrumentalities of government, its departments, offices and agencies, including government-owned and/or-controlled corporations and local government units, subject to the provisions of Commonwealth Act No. 138. Any treaty or international or executive agreement affecting the subject matter of this Act to which the Philippine government is signatory shall be observed.

Section 5. Definition of Terms.- For purposes of this Act, the following terms or words and phrases shall mean or be understood as follows:

- (a) **Approved Budget for the Contract (ABC)** - refers to the budget for the contract duly approved by the Head of the Procuring Entity, as provided for in the General Appropriations Act and/or continuing appropriations, in the National Government Agencies; the Corporate Budget for the contract approved by the governing Boards, pursuant to E.O.No.518, series of 1979, in the case of Government Financial Institutions and State Universities and Colleges; and the Budget for the contract approved by the respective Sanggunian, in the case of Local Government Units.
- (b) **BAC** - refers to the Bids and Awards Committee established in accordance with Article V of this Act.

- (c) **Bidding Documents** - refer to documents issued by the Procuring Entity as the basis for Bids, furnishing all information necessary for a prospective bidder to prepare a bid for the Goods, Infrastructure Projects, and Consulting Services to be provided.
- (d) **Bid** - refers to signed offer or proposal submitted by a supplier, manufacturer, distributor, contractor or consultant in response to the Bidding Documents.
- (e) **Competitive Bidding** - refers to a method of procurement which is open to participation by any interested party and which consist of the following processes: advertisement, pre-bid conference, eligibility screening of bids, evaluations of bids, post - qualification, and award of contract, the specific requirements and mechanics of which shall be defined in the IRR to be promulgated under this Act.
- (f) **Consulting Services** - refer to services for Infrastructure Projects and other types of projects or activities of the Government requiring adequate external technical and professional experts that are beyond the capability and/or capacity of the government to undertake such as, but not limited to: (i) advisory and review services; (ii) pre investment or feasibility studies; (iii) design; (iv) construction supervision; (v) management and related services; and (vi) other technical services or special studies.
- (g) **G - EPS** - refers to the Government Electronic Procurement System as provided in Section 8 of this Act.
- (h) **Goods** - refer to all items, supplies, materials and general support services, except consulting services and infrastructure projects, which may be needed in the transaction of the public businesses or in the pursuit of any government undertaking, project or activity, whether in the nature of equipment, furniture, stationery, materials for construction, or personal property of any kind, including non - personal or contractual services such as the repair and maintenance of equipment and furniture, as well as trucking, hauling, janitorial, security, and related or analogous services, as well as procurement of materials and supplies provided by the procuring entity or such services.
- (i) **GPPB** - refers to the Government Procurement Policy Board established in accordance with Article X of this Act.
- (j) **Head of the Procuring Entity**- refers to: (i) the head of the agency or his duly authorized official, for national government agencies; (ii) the governing board or its duly authorized official, for government-owned and/or-controlled corporations; or (iii) the local chief executive, for local government units. Provided, That in a department, office or agency where the procurement is decentralized, the Head of each decentralized unit shall be considered as the Head of the Procuring Entity subject to the limitations and authority delegated by the head of the department, office or agency.
- (k) **Infrastructure Projects** - include the construction, improvement, rehabilitation, demolition, repair, restoration or maintenance of roads and bridges, railways, airports, seaports, communication facilities, civil works components of information technology projects, irrigation, flood control and drainage, water supply, sanitation, sewerage and solid waste management systems, shore protection, energy/power and electrification facilities, national buildings, school buildings and other related construction projects of the government.
- (l) **IRR** - refer to the implementing rules and regulations to be promulgated in accordance with Section 75 of this Act.
- (m) **Portal** - refers to a website that aggregates a wide variety of content for the purpose of attracting a large number of users.
- (n) **Procurement** - refers to the acquisition of Goods, Consulting Services, and the contracting for Infrastructure Projects by the Procuring Entity. Procurement shall also include the lease of goods and real estate. With respect to real property, its procurement shall be governed by the provisions of Republic Act No.8974, entitled "An Act to Facilitate the Acquisition of Right-of -Way Site or Location of National Government Infrastructure Projects and for Other Purposes" and other applicable laws, rules and regulations.

(o) **Procuring Entity** - refers to any branch, department, office, agency, or instrumentality of the government, including state universities and colleges, government-owned and/or - controlled corporations, government financial institutions, and local government units procuring Goods, Consulting Services and Infrastructure Projects.

Section 6. Standardization of Procurement Process and Forms.- To systematize the procurement process, avoid confusion and ensure transparency, the procurement process, including the forms to be used, shall be standardized insofar as practicable. For this purpose, the GPPB shall pursue the development of generic procurement manuals and standard bidding forms, the use of which once issued shall be mandatory upon all Procuring Entities.

ARTICLE II - PROCUREMENT PLANNING

Section 7. Procurement Planning and Budgeting Linkage.- All procurement should be within the approved budget of the Procuring Entity and should be meticulously and judiciously planned by the Procuring Entity concerned. Consistent with government fiscal discipline measures, only those considered crucial to the efficient discharge of governmental functions shall be included in the Annual Procurement Plan to be specified in the IRR.

No government Procurement shall be undertaken unless it is in accordance with the approved Annual Procurement Plan of the Procuring Entity. The Annual Procurement Plan shall be approved by the Head of the Procuring Entity and must be consistent with its duly approved yearly budget. The Annual Procurement Plan shall be formulated and revised only in accordance with the guidelines set forth in the IRR. In the case of Infrastructure Projects, the Plan shall include engineering design and acquisition of right-of-way.

ARTICLE III - PROCUREMENT BY ELECTRONIC MEANS

Section 8. Procurement By Electronic Means.- To promote transparency and efficiency, information and communications technology shall be utilized in the conduct of procurement procedures. Accordingly, there shall be single portal that shall serve as the primary source of information on all government procurement. The G-EPS shall serve as the primary and definitive source of information on government procurement. Further, the GPPB is authorized to approve changes in the procurement process to adapt to improvements in modern technology, provided that such modifications are consistent with provisions of Section 3 of this Act. To take advantage of the significant built-in-efficiencies of the G-EPS and the volume discounts inherent in bulk purchasing, all Procuring Entities shall utilize the G-EPS for the procurement of common supplies in accordance with the rules and procedures to be established by the GPPB. With regard to the procurement of non-common use items, infrastructure projects and consulting services, agencies may hire service providers to undertake their electronic procurement provided these service providers meet the minimum requirements set by the GPPB.

Section 9. Security, Integrity and Confidentiality.- The G-EPS shall ensure the security, integrity and confidentiality of documents submitted through the system. It shall include feature that provides for an audit trail for on-line transactions and allow the Commission on Audit to verify the security and integrity of the systems at any time.

ARTICLE IV - COMPETITIVE BIDDING

Section 10. Competitive Bidding.- All Procurement shall be done through Competitive Bidding, except as provided for in Article XVI of this Act.

ARTICLE V - BIDS AND AWARDS COMMITTEE

Section 11. The BAC and its Composition.- Each procuring entity shall establish a single BAC for its procurement. The BAC shall have at least five (5) members, but not more than seven (7) members. It shall be chaired by at least a third ranking permanent official of the procuring entity other than its head, and its composition shall be specified in the IRR. Alternatively, as may be deemed fit by the head of the procuring entity, there may be separate BACs where the number and complexity of the items to be procured shall so warrant. Similar BACs for decentralized and lower level offices may be formed when deemed necessary by the head of the procuring entity. The numbers of the BAC shall be designated by the Head of Procuring Entity. However, in no case shall the approving authority be a member of the BAC.

Unless sooner removed for cause, the members of the BAC shall have a fixed term of one (1) year reckoned from the date of appointment, renewable at the discretion of the Head of the Procuring Entity. In case of resignation, retirement, separation, transfer, re-assignment, removal, the replacement shall serve only for the unexpired term: Provided, That in case of leave or suspension, the replacement shall serve only for the duration of the leave or suspension. For justifiable causes, a member shall be suspended or removed by the Head of the Procuring Entity.

Section 12. Functions of the BAC.- shall have the following functions: advertise and/or post the invitation to bid, conduct pre-procurement and pre-bid conferences, determine the eligibility of prospective bidders, receive bids, conduct the evaluation of bids, undertake post-qualification proceedings, recommend award of contracts to the Head of the Procuring Entity of his duly authorized representative: Provided, That in the event the Head of the Procuring shall disapprove such recommendation, such disapproval shall be based only on valid, reasonable and justifiable grounds to be expressed in writing, copy furnished the BAC; recommend the imposition of sanctions in accordance with Article XXIII, and perform such other related functions as may necessary, including the creation of a Technical Working Group from a pool of technical, financial and/or legal experts to assist in the procurement process.

In proper cases, the BAC shall also recommend to the Head of the Procuring Entity the use of Alternative Methods of Procurement as provided for in Article XVI hereof. The BAC shall be responsible for ensuring that the Procuring Entity abides by the standards set forth by this Act and the IRR, and it shall prepare a procurement monitoring report that shall be approved and submitted by the Head of the Procuring Entity to the GPPB on a semestral basis. The contents and coverage of this report shall be provided in the IRR.

Section 13. Observers.- To enhance the transparency of the process, the BAC shall, in all stages of the procurement process, invite, in addition to the representative of the Commission on Audit, at least two(2) observers to sit in its proceedings, one(1) from a duly recognized private group in a sector or discipline relevant to the procurement at hand, and the other from a non-government organization: Provided, however, That they do not have any direct or indirect interest in the contract to be bid out. The observers should be duly registered with the Securities and Exchange Commission and should meet the criteria for observers as set forth in the IRR.

Section 14. BAC Secretariat.- To assist the BAC in the conduct of its functions, the Head of the Procuring Entity shall create a Secretariat that will serve as the main support unit of the BAC. The Head of the Procuring Entity may also designate an existing organic office within the agency to serve as the Secretariat.

Section 15. Honoraria of BAC Members.- The Procuring Entity may grant payment of honoraria to the BAC members in an amount not to exceed twenty five percent (25%) of their respective basic monthly

salary subject to availability of funds. For this purpose, the Department of Budget and Management (DBM) shall promulgate the necessary guidelines.

Section 16. Professionalization of BAC, BAC Secretariat and Technical Working Group Members.- The GPPB shall establish a sustained training program for developing the capacity of the BAC's, BAC Secretariats and technical Working Groups of Procuring Entities, and professionalize the same.

ARTICLE VI - PREPARATION OF BIDDING DOCUMENTS

Section 17. Form and Contents of Bidding Documents.- The Bidding Documents shall be prepared by the Procuring Entity following the standard forms and manuals prescribed by the GPPB. The Bidding Documents shall include the following:

- (a) Approved Budget for the Contract;
- (b) Instructions to Bidders, including criteria for eligibility, bid evaluation and post-qualification, as well as the date, time and place of the pre-bid Conference (where applicable), submission of bids and opening of bids;
- (c) Terms of Reference;
- (d) Eligibility Requirements;
- (e) Plans and Technical Specifications;
- (f) Form of Bid, Price Form, and List of Goods or Bill of Quantities;
- (g) Delivery Time or Completion Schedule;
- (h) Form and Amount of Bid Security;
- (i) Form and Amount of Performance Security and Warranty; and,
- (j) Form of Contract, and General and special Conditions of Contract.

The Procuring Entity may require additional document requirements or specifications necessary to complete the information required for the bidders to prepare and submit their respective bids.

Section 18. Reference to Brand Names.- Specifications for the Procurement of Goods shall be based on relevant characteristics and/or performance requirements. Reference to brand names shall not be allowed.

Section 19. Access to Information.- In all stages of the preparation of the Bidding Documents, the Procuring entity shall ensure equal access to information. Prior to their official release, no aspect of the Bidding Documents shall be divulged or released on any prospective bidder or having direct or indirect interest in the project to be procured.

ARTICLE VII - INVITATION TO BID

Section 20. Pre-Procurement Conference. - Prior to the issuance of the Invitation to Bid, the BAC is mandated to hold a pre-procurement conference on each and every procurement, except those contracts below a certain level or amount specified in the IRR, in which case, the holding of the same is optional.

The pre- procurement conference shall assess the readiness of the procurement in terms of confirming the certification of availability of funds, as well as reviewing all relevant documents and the draft Invitation to Bid, as well as consultants hired by the agency concerned and the representative of the end -user.

Section 21. Advertising and Contents of the Invitation to Bid. - In line with the principle of transparency and competitiveness, all Invitations to Bid contracts under competitive bidding shall be advertised by the Procuring Entity in such manner and for such length of time as may be necessary under the circumstances, in order to ensure the widest possible dissemination thereof, such as, but not limited to, posting in the Procuring Entity's premises, in newspapers of general circulation, the G-EPS and the website of the Procuring Entity, if available. The

details and mechanics of implementation shall be provided in the IRR to be promulgated under this Act.

The Invitation to Bid shall contain, among others:

- (a) A brief description of the subject matter of the Procurement;
- (b) A general statement on the criteria to be used by the Procuring entity for the eligibility check, the short listing of prospective bidders, in the case of the Procurement of Consulting Services the examination and evaluation of Bids, and post-qualification;
- (c) The date, time and place of the deadlines for the submission and receipt of the eligibility requirements, the pre-bid conference if any, the submission and receipt of bids, and the opening of bids;
- (d) The Approved Budget for the Contract to be bid;
- (e) The source of funds;
- (f) The period of availability of the Bidding Documents, and the place where these may be secured and;
- (g) The contract duration; and
- (h) Such other necessary information deemed relevant by the Procuring Entity.

Section 22. Pre-bid Conference. - At least one pre-bid conference shall be conducted for each procurement, unless otherwise provided in the IRR. Subject to the approval of the BAC, a pre-bid conference may also be conducted upon the written request of any prospective bidder. The Pre-bid conference(s) shall be held within a reasonable period before the deadline for receipt of the bids to allow prospective bidders to adequately prepare their bids, which shall be specified in the IRR.

ARTICLE VIII - RECEIPT AND OPENING OF BIDS

Section 23. Eligibility Requirements for the Procurement of Goods and Infrastructure Projects.- The BAC or, under special circumstances specified in IRR, its duly designated organic office shall determine the eligibility of prospective bidders for the procurement of Goods and Infrastructure Projects, based on the bidders' compliance with the eligibility requirements within the period set forth in the Invitation to Bid. The eligibility requirements shall provide for fair and equal access to all prospective bidders. The documents submitted in satisfaction of the eligibility requirements shall be made under oath by the prospective bidder or by his duly authorized representative certifying to the correctness of the statements made and the completeness and authenticity of the documents submitted.

A prospective bidder may be allowed to submit his eligibility requirements electronically. However, said bidder shall later on certify under oath as to correctness of the statements made and the completeness and authenticity of the documents submitted.

Section 24. Eligibility requirements and Short Listing for Consulting Services.- The Eligibility of prospective bidders for the Procurement of Consulting Services shall be determine by their compliance with the eligibility requirements prescribed for the competitive Bidding concerned, within the period stated in the Invitation to bid. The eligibility requirements shall provide for fair and equal access to all prospective bidders. The prospective bidder shall certify under oath as to the correctness of the statements made, and the completeness and authenticity of the documents submitted.

A prospective bidder may be allowed to submit his eligibility requirements electronically. However, said bidder shall later on certify under oath as to correctness of the statements made and the completeness and authenticity of the documents submitted.

The eligible prospective bidders shall then be evaluated using numerical ratings on the basis of the short listing requirements prescribed for the Competitive Bidding concerned, within the period stated in the Invitation to Bid to determine the short list of bidders who shall be allowed to submit their respective bids.

Section 25. Submission and Receipt of Bids. - A bid shall have two(2) components, namely the technical and financial components which should be in separate sealed envelopes, and which shall be submitted simultaneously. The bids shall be received by the BAC on such date, time and place specified in the invitation to bid. The deadline for the receipt of bids shall be fixed by the BAC, giving the prospective bidders sufficient time to study and prepare their bids. The deadline shall also consider the urgency of the procurement involved.

Bids submitted after the deadline shall not be accepted. Notwithstanding the provisions of this Section and Section 26 of this Act, the GPPB may prescribe innovative procedure for the submission, receipt and opening of bids through the G-EPS.

Section 26. Modification and Withdrawal of Bids. - A bidder may modify his bid, provided that this is done before the deadline for the receipt of bids. The modification shall be submitted in a sealed envelope duly identified as a modification of the original bid and stamped received by the BAC.

A bidder may, through a letter, withdraw his bid or express his intention not to participate in the bidding before the deadline for the receipt of bids. In such case, he shall no longer be allowed to submit another Bid or the same contract either directly or indirectly.

Section 27. Bid Security. - All Bids shall be accompanied by a Bid security, which shall serve as guarantee that, after receipt of the Notice of Award, the winning bidders shall enter into contract with the Procuring Entity within the stipulated time and furnish the required performance security. The specific amounts and allowable forms of the Bid security shall be prescribed in the IRR.

Section 28. Bid Validity. - Bids and Bid securities shall be valid for such reasonable period of time indicated in the Bidding Documents. The duration for each undertaking shall take into account the time involved in the process of Bid evaluation and award of contract.

Section 29. Bid Opening. - the BAC shall publicly open all bids at the time, date, and place specified in the bidding documents. The minutes of the bid opening shall be made available to the public upon written request and payment of a specified fee.

ARTICLE IX - BID EVALUATION

Section 30. Preliminary Examination of Bids. - Prior to Bid evaluation, the BAC shall examine first the technical components of the bids using "pass/fail" criteria to determine whether all required documents are present. Only bids that are determined to contain all the bid requirements of the technical component shall be considered for opening and evaluation of their financial component.

Section 31. Ceiling for Bid Prices. - The ABC shall be the upper limit or ceiling for the Bid prices. Bid prices that exceed this ceiling shall be disqualified outright from further participating in the bidding. There shall be no lower limit to the amount of the award.

Section 32. Bid for the Procurement of Goods and Infrastructure Projects. - For the procurement of Goods and Infrastructure Projects, the BAC shall evaluate the financial component of the bids. The bids that passed the preliminary examination shall be ranked from lowest to highest in terms of their corresponding calculated price shall be referred to as the "Lowest Calculated Bid".

Section 33. Bid Evaluation of Short Listed Bidders for Consulting Services. - For the Procurement of Consulting Services, the Bids of the short listed bidders shall be evaluated and ranked using numerical ratings in accordance with the evaluation criteria stated in the Bidding Documents, which shall include factors such as, but not limited to, experience, performance, quality or personnel, price and

methodology. The Bids shall be ranked from highest to lowest in terms of their corresponding calculated ratings. The Bid with the highest calculated rating shall be the "Highest Rated Bid." After approved by the Head of the Procuring Entity of the Highest Rated Bid, the BAC shall invite the bidder concerned for negotiation and/or clarification on the following item: financial proposal submitted by the bidder, terms of reference, scope of services, methodology and work program, personnel to be assigned to job, services/facilities/data to be provided by the Procuring Entity concerned, and provisions of the contract.

When negotiations with first-in-rank bidder fails, the financial proposal of the second rank bidder shall opened for negotiations: Provided, that the amount indicated in the financial envelope shall be made as the basis for negotiations and the total contract amount shall not exceed the amount indicated in the envelope and the ABC. Whenever necessary, the same process shall be repeated until the bid awarded to the winning bidder.

ARTICLE X - POST-QUALIFICATION

Section 34. Objective and Process of Post-qualification. - Post-qualification is the stage where the bidder with the Lowest Calculated Bid, in the case of Goods and Infrastructure Projects, or the Highest Rated Bid, in the case of Consulting Services, undergoes verification and validation whether he has passed all the requirements and conditions as specified in the Bidding Documents.

If the bidder with the Lowest Calculated Bid or Highest Rated Bid passes all the criteria for post-qualification, his Bid shall be considered the "Lowest Calculated Responsive Bid," in the case of Goods and Infrastructure or the "Highest Rated Responsive Bid," in the case of Consulting Services. However, if a bidder fails to meet any of the requirements or conditions, he shall be "post-disqualified" and the BAC shall conduct the post-qualification on the bidder with the second Lowest Calculate Bid or Highest Rated Bid. If the bidder with the second Lowest Calculated Bid or Highest Rated Bid is post-disqualified, the same procedure shall be repeated until the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid is finally determined. In all cases, the contract shall be awarded only to the bidder with the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid.

Section 35. Failure of Bidding. - there shall be a failure of bidding if:

- a. No bids are received;
- b. No bid qualifies as the Lowest Calculated Responsive Bid; or,
- c. Whenever the bidder with the highest rated/lowest calculated responsive bid refuses, without justifiable cause to accept the award of contract, as the case may be.

Under any of the above instances, the contract shall be re-advertised and re-bid. The BAC shall observe the same process and set the new periods according to the same rules followed during the first bidding. After the second failed bidding, however, the BAC may resort to negotiated procurement as provided for in Section 53 of this Act.

Section 36. Single Calculate/Rated and Responsive Bid Submission. - A single calculated/rated and responsive bid shall be considered for award if it falls under of the following circumstances:

- a. If after advertisement, only one prospective bidder submits a Letter of Intent and/or applies for eligibility check, and meets the eligibility requirements or criteria, after which it submits a bid, which is found to be responsive to the bidding requirements;
- b. If after the advertisement, more than one prospective bidder applies for eligibility check, but only one bidder meets the eligibility requirements or criteria, after which in submits a bid which is found to be responsive to the bidding requirements; or

c. If after the eligibility check, more than one bidder meets the eligibility requirements, but only one bidder submits a bid, and its bid is found to be responsive to the bidding requirements. In all instances, the Procuring Entity shall ensure that the ABC reflects the most advantageous prevailing price for the government.

ARTICLE XI - AWARD, IMPLEMENTATION AND TERMINATION OF THE CONTRACT

Section 37. Notice and Executive of Award. - Within a period not exceeding fifteen (15) calendar days from the determination and declaration by the BAC of the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid, and the recommendation of the award, the Head of the Procuring Entity or his duly authorized representative shall approve or disapprove the said recommendation. In case of approval, the Head of the Procuring Entity or his duly authorized representative shall immediately issue the Notice of Award to the bidder with the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid.

Within ten (10) calendar days from receipt of the Notice of Award, the Winning bidder shall formally enter into contract with the Procuring Entity. When further approval of higher authority is required, the approving authority for the contracts shall be given a maximum of twenty (20) calendar days to approve or disapprove it. In the case of government-owned and/or -controlled corporations, the concerned board shall take action on the said recommendation within thirty (30) calendar days from receipt thereof.

The Procuring Entity shall issue the Notice to Proceed to the winning bidder not later than seven (7) calendar days from the date of approval of the contract by the appropriate authority. All notices called for by the terms of the contract shall be effective only at the time of receipt thereof by the contractor.

Section 38. Period of Action on Procurement Activities. - The procurement process from the opening of bids up to the award of contract shall not exceed three (3) months, or a shorter period to be determined by the procuring entity concerned. Without prejudice to the provisions of the preceding section, the different procurement activities shall be completed within reasonable periods to be specified in the IRR.

If no action on the contract is taken by the head of the procuring entity or by his duly authorized representative, or by the concerned board, in the case of government-owned and/or -controlled corporations, within the periods specified in the preceding paragraph, the contract concerned shall be deemed approved.

Section 39. Performing Security. - Prior to the signing of the contract, the winning bidder shall, as a measure of guarantee for the faithful performance of an compliance with his obligations under the contract prepared in accordance with the Bidding Documents, be required to post a performance security in such form and amount as specified in the Bidding Documents.

Section 40. Failure to Enter into Contract and Post Performance Security. - If, for justifiable causes, the bidder with the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid fails, refuses or is otherwise unable to enter into contract with the Procuring Entity, or if the bidder fails to post the required performance security within the period stipulated in the Bidding Documents, the BAC shall disqualify the said bidder and shall undertake post-qualification for the next-ranked Lowest Calculated Bid or Highest Rated Bid. This procedure shall be repeated until an award is made. However, if no award is possible, the contract shall be subjected to a new bidding.

In the case of a failure to post the required performance security, the bid security shall be forfeited without prejudice to the imposition of sanctions prescribed under Article XXIII.

Section 41. Reservation Clause. - The Head of the Agency reserves the right to reject any and all Bids, declare a failure of bidding, or not award the contract in the following situations:

- a. If there is prima facie evidence of collusion between appropriate public officers or employees of the Procuring Entity, or between the BAC and any of the bidders, or if the collusion is between or among the bidders themselves, or between a bidder and a third party, including any act which restricts, suppresses or nullifies or tends to restrict, suppress or nullify competition;
- b. If the BAC is found to have failed in following the prescribed bidding procedures; or
- c. For any justifiable and reasonable ground where the award of the contract will not redound to the benefit of the government as defined in the IRR.

Section 42. Contract Implementation and Termination. - The rules and guidelines for the implementation and termination of contracts awarded pursuant to the provisions of this Act shall be prescribed in the IRR. The rules and guidelines shall include standard general and special conditions for contracts.

ARTICLE XII - DOMESTIC AND FOREIGN PROCUREMENT

Section 43. Procurement of Domestic and Foreign Goods. - Consistent with the country's obligations under international treaties or agreements, Goods may be obtained for domestic or foreign sources and the procurement thereof shall be open to all eligible suppliers, manufacturers and distributors. However, in the interest of availability, efficiency and timely delivery of Goods, the Procuring Entity may give preference to the purchase of domestically-produced and manufacturer goods, supplies and materials that meet the specified or desired quality.

ARTICLE XIII - BIDDING OF PROVINCIAL PROJECTS

Section 44. Bidding of Provincial Projects. - Priority programs and infrastructure projects funded out of the annual General Appropriations Act which are intended for implementation within the province shall be subject to the same public bidding and to the procurement processes prescribed under this Act. For purposes of this Article, Engineering District civil works projects, subject to consultation with the concerned Members of Congress, are included and subsumed in the term "provincial projects" and shall be governed by this Section and Section 45 hereof.

Section 45. Provincial Bidders. - Within five (5) years from the effectivity of this Act, contractor who participates in the bidding of provincial priority programs and infrastructure projects, whose principal office is within the same province, and who submits the lowest bid among the provincial bidders which is higher than the lowest bid made by a contractor with principal office outside the said province shall be granted the privilege to match the bid made by the latter: Provided, however, That the release of funds for said projects shall be published in a local newspaper with the widest circulation and the website of the DBM, the mechanisms of which shall be spelled-out in the IRR.

ARTICLE XIV - LEASE OF COMPUTERS, COMMUNICATIONS, INFORMATION AND OTHER EQUIPMENT

Section 46. Lease Contracts. - Lease of construction and office equipment, including computers, communication and information technology equipment are subject to the same public bidding and to the processes prescribed under this Act.

ARTICLE XV - DISCLOSURE OF RELATIONS

Section 47. Disclosure of Relations. - In addition to the proposed contents of the Invitation to Bid as mentioned under Section 21 of this Act, all bidding documents shall be accompanied by a sworn affidavit of the bidder that he or she or any officer of their corporation in not related to the Head of the Procuring Entity by consanguinity or affinity up to the third civil degree. Failure to comply with the aforementioned provision shall be a ground for the automatic disqualification of the bid in consonance with Section 30 of this Act.

ARTICLE XVI - ALTERNATIVE METHODS OF PROCUREMENT

Section 48. Alternative Methods. - Subject to the prior approval of the Head of the Procuring Entity or his duly authorized representative, and whenever justified by the conditions provided in this Act, the Procuring Entity may, in order to promote economy and efficiency, resort to any of the following alternative methods of Procurement:

- a. **Limited Source Bidding, otherwise known as Selective Bidding** - a method of Procurement that involves direct invitation to bid by the Procuring Entity from a set of pre-selected suppliers or consultants with known experience and proven capability relative to the requirements of a particular contract;
- b. **Direct Contracting, otherwise known as Single Source Procurement** - a method of Procurement that does not require elaborate Bidding Documents because the supplier is simply asked to submit a price quotation or a pro-forma invoice together with the conditions of sale, which offer may be accepted immediately or after some negotiations;
- c. **Repeat Order.** - a method of Procurement that involves a direct Procurement of Goods from the previous winning bidder, whenever there is a need to replenish Goods procured under a contract previously awarded through Competitive Bidding;
- d. **Shopping** - a method of Procurement whereby the Procuring Entity simply requests for the submission of price quotations for readily available off-the-shelf Goods or ordinary/regular equipment to be procured directly from suppliers of known qualification; or
- e. **Negotiated Procurement** - a method of Procurement that may be resorted to under the extraordinary circumstances provided for in Section 53 of this Act and other instances that shall be specified in the IRR, whereby the Procuring Entity directly negotiates a contract with a technically, legally and financially capable supplier, contractor or consultant.

In all instances, the Procuring Entity shall ensure that the most advantageous price for the government is obtained.

Section 49. Limited Source Bidding. - Limited Source Bidding may be resorted to only in any of the following conditions:

- a. Procurement of highly specialized types of Goods and Consulting Services which are known to be obtainable only from a limited number of sources; or
- b. Procurement of major plant components where it is deemed advantageous to limit the bidding to known eligible bidders in order to maintain an optimum and uniform level of quality and performance of the plant as a whole.

Section 50. Direct Contracting. - Direct Contracting may be resorted to only in any of the following conditions:

- a. Procurement of Goods of proprietary nature, which can be obtained only from the proprietary source, i.e. when patents, trade secrets and copyrights prohibit others from manufacturing the same items;
- b. When the Procurement of critical components from a specific manufacturer, supplier, or distributor is a condition precedent to hold a contractor to guarantee its project performance, in accordance with the provisions of his contract; or,

- c. Those sold by an exclusive dealer or manufacturer, which does not have sub-dealers selling at lower prices and for which no suitable substitute can be obtained at more advantageous terms to the government.

Section 51. Repeat Order. - When provided for in the Annual Procurement Plan, Repeat Order may be allowed wherein the Procuring Entity directly procures Goods from the previous winning bidder whenever there arises a need to replenish goods procured under a contract previously awarded through Competitive Bidding, subject to post-qualification process prescribed in the Bidding Documents and provided all the following conditions are present:

- a. The unit price must be equal to or lower than that provided in the original contract;
- b. The repeat order does not result in splitting of requisitions or purchase orders;
- c. Except in special circumstances defined in the IRR the repeat order shall be availed of only within six (6) months from the date of the Notice to Proceed arising from the original contract; and,
- d. The repeat order shall not exceed twenty-five percent (25%) of the quantity of each item of the original contract.

Section 52. Shopping. - shopping may be resorted to under any of the following instances:

- a. When there is an unforeseen contingency requiring immediate purchase: Provided, however, That the amount shall not exceed Fifty thousand pesos (P50,000); or
- b. Procurement of ordinary or regular office supplies and equipment not available in the Procurement Service involving an amount not exceeding Two hundred fifty thousand pesos (P250,000): Provided, however, That the Procurement does not result in Splitting of Contracts: Provided, further, That at least three (3) price quotations from bona fide suppliers shall be obtained.

The above amounts shall be subject to a period review by the GPPB. For this purpose, the GPPB shall be authorized to increase or decrease the said amount in order to reflect changes in economic conditions and for other justifiable reasons.

Section 53. Negotiated Procurement. - Negotiated Procurement shall be allowed only in the following instances:

- a. In case of two (2) failed bidding as provided in Section 35 hereof;
- b. In case of imminent danger to life or property during a state of calamity, or when time is of the essence arising from natural or man-made calamities or other causes where immediate action is necessary to prevent damage to or loss of life or property, or to restore vital public services, infrastructure facilities and other public utilities;
- c. Take-over of contracts, which have been rescinded or terminated for causes provided for in the contract and existing laws, where immediate action is necessary to prevent damage to or loss of life or property, or to restore vital public services, infrastructure facilities and other public utilities;
- d. Where the subject contract is adjacent or contiguous to an ongoing infrastructure project, as defined in the IRR: Provided, however, That the original contract is the result of a Competitive Bidding; the subject contract to be negotiated has similar or related scopes of work; it is within the contracting capacity of the contractor; the contractor uses the same prices or lower unit prices as in the original contract less mobilization cost; the amount involved does not exceed the amount of the ongoing project; and, the contractor has no negative slippage: Provided, further, That negotiations for the procurement are commenced before the expiry of the original contract. Wherever applicable, the principle shall also govern consultancy contract, where the consultants have unique experience and expertise to deliver the required service; or,

e. Subject to the guidelines specified in the IRR, purchases of Goods from another agency of the government, such as the Procurement Service of the DBM, which is tasked with a centralized procurement of commonly used Goods for the government in accordance with Letters of Instruction No. 755 and Executive Order No. 359, series of 1989.

Section 54. Terms and Conditions for the use of Alternative Methods. - The specific terms and conditions, including the limitations and restrictions, for the application of each of the alternative methods mentioned in this Article shall be specified in the IRR.

ARTICLE XVII - PROTEST MECHANISM

Section 55. Protests on Decisions of the BAC.- Decisions of the BAC in all stages of procurement may be protested to the head of the procuring entity and shall be in writing. Decisions of the BAC may be protested by filing a verified position paper and paying a non-refundable protest fee. The amount of the protest fee and the periods during which the protests may be filed and resolved shall be specified in the IRR.

Section 56. Resolution of Protests. - The protest shall be resolved strictly on the basis of records of the BAC. Up to a certain amount to be specified in the IRR, the decisions of the Head of the Procuring Entity shall be final.

Section 57. Non-interruption of the Bidding Process.- In no case shall any protest taken from any decision treated in this Article stay or delay the bidding process. Protests must first be resolved before any award is made.

Section 58. Report to Regular Courts; Certiorari.- Court action may be resorted to only after the protests contemplated in this Article shall have been completed. Cases that are filed in violation of the process specified in this Article shall be dismissed for lack of jurisdiction. The regional trial court shall have jurisdiction over final decision of the head of the procuring entity. Court actions shall be governed by Rule 65 of the 1997 Rules of Civil Procedure. This provision is without prejudice to any law conferring on the Supreme court the sole jurisdiction to issue temporary restraining orders and injunctions relating to Infrastructure Projects of Government.

ARTICLE XVIII - SETTLEMENT OF DISPUTES

Section 59. Arbitration. - Any and all disputes arising from the implementation of a contract covered by this Act shall be submitted to arbitration in the Philippines according to the provisions of Republic Act No. 876, otherwise known as the "Arbitration Law": Provided, however, That, disputes that are within the competence of the Construction Industry Arbitration Commission to resolve shall be referred thereto. The process of arbitration shall be incorporated as a provision in the contract that will be executed pursuant to the provisions of this Act: Provided, That by mutual agreement, the parties may agree in writing to resort to alternative modes of dispute resolution.

Section 60. Appeals. - The arbitral award and any decision rendered in accordance with the foregoing Section shall be appealable by way of a petition for review to the Court of Appeals. The petition shall raise pure questions of law and shall be governed by the Rule of Court.

ARTICLE XIX - CONTRACT PRICES AND WARRANTIES

Section 61. Contract Prices. - For the given scope of work in the contract as awarded, all bid prices shall be considered as fixed prices, and therefore not subject to price escalation during contract implementation, except under extraordinary circumstances and upon prior approval of the GPPB. For purposes of this Section,

"extraordinary circumstances" shall refer to events that may be determined by the National Economic and Development Authority in accordance with the Civil Code of the Philippines, and upon the recommendation of the procuring entity concerned.

Section 62. Warranty. - (a) For the procurement of Goods, in order to assure that manufacturing defects shall be corrected by the supplier, manufacturer, or distributor, as the case maybe, for a specific time after performance of the contract, a warranty shall be required from the contract awardee for such period of time as may be provided in the IRR, the obligation for which shall be covered by either retention money in the amount equivalent to a percentage of every progress payment, or a special bank guarantee equivalent to a percentage of the total contract price, to be provided in the IRR. The said amounts shall only be released after the lapse of the warranty period, provided that the Goods supplied are free from defects and all the conditions imposed under the contract have been fully met.

(b) For the procurement of infrastructure projects, the contractor shall assume full responsibility for the contract work from the time project construction commenced up to a reasonable period as defined in the IRR taking into consideration the scale and coverage of the project from its final acceptance by the government and shall be held responsible for any damage or construction or works except those occasioned by force majeure. The contractor shall be fully responsible for the safety, protection, security, and convenience of his personnel, third parties, and the public large, as well as the works, equipment, installation and the like to be affected by his construction work and shall be required to put up a warranty security in the form of cash, bank guarantee, letter of credit, Government Service Insurance System bond, or callable surety bond.

The contractor shall undertake the repair works, at his own expense, of any defect or damage to the infrastructure projects on account of the use of materials of inferior quality within ninety (90) days from the time the Head of the Procuring Entity has issued an order to undertake repair. In case of failure or refusal to comply with this mandate, the governments shall undertake such repair works and shall be entitle to full reimbursement of expenses incurred therein upon demand.

Any contractor who fails to comply with the preceding paragraphs shall suffer perpetual disqualification from participating in any public bidding and his property or properties shall be subject to attachment or garnishment proceedings to recover the costs. All payables of government in his favor shall be offset to recover the costs.

ARTICLE XX - THE GOVERNMENT PROCUREMENT POLICY BOARD

Section 63. Organization and Functions. - A Government Procurement Policy Board (GPPB) is hereby established to: (a.) protect national interest in all matters affecting public Procurement, having due regard to the country's regional and international obligations; (b.) formulate and amend, whenever necessary, the IRR and the corresponding standard forms for Procurement; (c) ensure that Procuring Entities regularly conduct Procurement training programs and prepare a Procurement operations manual for all offices and agencies of government; and (d) conduct an annual review of the effectiveness of this Act and recommend any amendments thereto, as may be necessary.

The GPPB shall convene within fifteen (15) days from the effectivity of this Act formulate the IRR and for other related purposes. The GPPB shall be supported by a technical support office.

In addition to the powers granted under this Act, the GPPB shall absorb all the powers, function and responsibilities of the Procurement Policy Board created under Executive Order No. 359, series of 1989. All affected functions of the Infrastructure Committee

of the National Economic and Development Authority Board are hereby transferred to the GPPB.

Section 64. Membership. - The GPPB shall be composed of the Secretary of the Department of Budget and Management, as Chairman, the Director-General of the National Economic and Development Authority, as Alternate Chairman, with the following as Members; the Secretaries of the Departments of Public Works and Highways, Finance, Trade and Industry, Health, National Defense, Education, Interior and Local Government, Science and Technology, Transportation and Communications, and Energy, or their duly authorized representatives and a representative from the private sector to be appointed by the President upon the recommendation of the GPPB. The GPPB may invite a representative from the Commission on Audit to serve as a resource person.

ARTICLE XXI - PENAL CLAUSE

Section 65. Offenses and Penalties. - (a) Without prejudice to the provisions of Republic Act No. 3019, otherwise known as the "Anti-Graft and Corrupt Practice Act" and other penal laws, public officers who commit any of the following acts shall suffer the penalty of imprisonment of not less than six (6) years and one (1) day, but not more than fifteen (15) years:

1. Open any sealed Bid including but not limited to Bids that may have been submitted through the electronic system and any and all documents required to be sealed or divulging their contents, prior to the appointed time for the public opening of Bids or other documents.
2. Delaying, without justifiable cause, the screening for eligibility, opening of bids, evaluation and post evaluation of bids, and awarding of contracts beyond the prescribed periods of Bids or other documents.
3. Unduly influencing or exerting undue pressure on any member of the BAC or any officer or employee of the procuring entity to take a particular bidder.
4. Splitting of contracts which exceed procedural purchase limits and competitive bidding.
5. When the head of the agency abuses the exercise of his power to reject any and all bids as mentioned under Section 41 of this Act with manifest preference to any bidder who is closely related to him in accordance with Section 47 of this Act.

When any of the foregoing acts is done in collusion with private individuals, the private individuals shall likewise be liable for the offense. In addition, the public officer involved shall also suffer the penalty of temporary disqualification from public office, while the private individual shall be permanently disqualified from transacting business with the government.

(b) Private individuals who commit any of the following acts, including any public officer, who conspires with them, shall suffer the penalty of imprisonment of not less than six (6) years and one (1) day but not more than fifteen (15) years:

1. When two or more bidders agree and submit different Bids as if they were bona fide, when they knew that one or more of them was so much higher than the other that it could not be honestly accepted and that the contract will surely be awarded to the pre-arranged lowest Bid.
2. When a bidder maliciously submits different Bids through two or more persons, corporations, partnerships or any other business entity in which he has interest of create the appearance of competition that does not in fact exist so as to be adjudged as the winning bidder.
3. When two or more bidders enter into an agreement which call upon one to refrain from bidding for Procurement contracts, or which call for withdrawal of bids already submitted, or which are

otherwise intended to secure as undue advantage to any one of them.

4. When a bidder, by himself or in connivance with others, employ schemes which tend to restrain the natural rivalry of the parties or operates to stifle or suppress competition and thus produce a result disadvantageous to the public.

In addition, the persons involved shall also suffer the penalty of temporary or perpetual disqualification from public office and be permanently disqualified from transacting business with the government.

(c) Private individuals who commit any of the following acts, and any public officer conspiring with them, shall suffer the penalty of imprisonment of not less than six (6) years and one (1) day but more than fifteen (15) years:

1. Submit eligibility requirements of whatever kind and nature that contain false information or falsified documents calculated to influence the outcome of the eligibility screening process or conceal such information in the eligibility requirements when the information will lead to a declaration of ineligibility from participating in public bidding.
2. Submit Bidding Documents of whatever kind and nature than contain false information or falsified documents or conceal such information in the Bidding Documents, in order to influence the outcome of the public bidding.
3. Participate in a public bidding using the name of another or allow another to use one's name for the purpose of participating in a public bidding.
4. Withdraw a Bid, after it shall have qualified as the Lowest Calculated Bid/Highest Rated Bid, or to accept and award, without just cause or for the purpose of forcing the Procuring Entity to award the contract to another bidder. This shall include the non-submission of requirements such as, but not limited to, performance security, preparatory to the final award of the contract.

(d) When the bidder is a juridical entity, criminal liability and the accessory penalties shall be imposed on its directors, officers or employees who actually commit any of the foregoing acts.

Section 66. Jurisdiction. - Jurisdiction over the offenses defined under this Article shall belong to the appropriate courts, according to laws existing at the time of the commission of the offenses.

ARTICLE XXII - CIVIL LIABILITY

Section 67. Civil Liability in Case of Conviction. - Without prejudice to administrative sanctions that may be imposed in proper cases, a conviction under this Act or Republic Act No. 3019 shall carry with it civil liability, which may either consist of restitution for the damage done or the forfeiture in favor of the government of any unwarranted benefit derived from the act or acts in question or both, at the discretion of the courts.

Section 68. Liquidated Damages. - All contracts executed in accordance with this Act shall contain a provision on liquidated damages which shall be payable in case of breach thereof. The amount thereof shall be specified in the IRR.

ARTICLE XXIII - ADMINISTRATIVE SANCTIONS

Section 69. Imposition of Administrative Penalties. - (a) In addition to the provisions of Articles XXI and XXII of this Act, the Head of the Procuring Entity, subject to the authority delegated to the BAC, if any, shall impose on bidders or prospective bidders, the administrative penalty of suspension for one (1) years for the first offense, and suspensions of two (2) years for the second offense from participating in the public bidding process, for the following violations:

- 1.Submission of eligibility requirements containing false information or falsified documents.
 2. Submission of bids that contain false information or falsified documents, or the concealment of such information in the Bids in order to influence the outcome of eligibility screening or any other stage of the public bidding.
 3. Allowing the use of one's name, or using the name of another for purposes of public bidding.
 4. Withdrawal of a Bid, or refusal to accept an award, or enter into contract with the government without justifiable cause, after he had been adjudged as having submitted the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid.
 5. Refusal or failure to post the require performance security within the prescribed time.
 6. Termination of the contract due to the default of the bidder.
- Refusal to clarify or validate in writing its Bid during post-qualification within a period of seven (7) calendar days from receipt of the request for clarification.
- Any documented unsolicited attempt by a bidder to unduly influence the outcome of the bidding in his favor.
- All other acts that t
end to defeat the purpose of the Competitive bidding.

- (b) In addition to the penalty of suspension, the Bid security of the performance security posted by the concerned bidder or prospective bidder shall also be forfeited.
- (c) the Head of the Procuring Entity may delegate to the BAC the authority to impose the aforementioned administrative penalties.

Section 70. Preventive Suspension. - The head of the procuring entity may preventively suspend any member of the Technical Working Group of the Secretariat, or the BAC if there are strong reasons or prima facie evidence showing that the officials or employees concerned are guilty or the charges filed against them under Articles XXI and XXII of this Act or for dishonesty as defined by the Civil Service Laws. In all cases, procedural and substantive due process as mandated by the Constitution and Civil Service Laws, rules and regulations, shall be strictly observed.

Section 71. Lifting of Suspension and Removal of Administrative Disabilities. - Lifting of preventive suspension pending administrative investigation, as well as removal of administrative investigation, as well as removal of administrative penalties and disabilities shall be in accordance with the provisions of Sections 52 and 53, Chapter 6 (Civil Service Commission), Book V of Executive Order No. 292, the Administrative Code of 1987.

ARTICLE XXIV - LEGAL ASSISTANCE AND INDEMNIFICATION OF BAC MEMBERS

Section 72. Private Legal Assistance. - All the members of the BAC are hereby authorized to engage the service of private lawyers or extend counsel immediately upon receipt of Court Notice that a civil or criminal action, suit or proceeding is filed against them. The lawyer's fee shall be part of the indemnification package for the BAC members, subject to the provisions of Section 73 hereof.

Section 73. Indemnification of BAC Members. -The GPPB shall establish an equitable indemnification package for public officials providing services in the BAC, which may be in the form of free legal assistance, liability insurance, and other forms of protection and indemnification for all cost and expenses reasonably incurred by such persons in connection with any civil or criminal actions, suit or proceeding to which they may be, or have been made, a party by reason of the performance of their functions or duties, unless they are finally adjudged in such action or proceeding to be liable for gross negligence or misconduct or grave abuse of discretion.

In the event of settlement or compromise, indemnification shall be confined only on matters covered by the settlement, as to which the Procuring Entity had been advised by countset that the public officials to be indemnified have not committed gross negligence or misconduct in the performance of their functions and duties. The members of the BAC and the BAC Secretariat shall also be entitled to medical assistance for injuries incurred in the performance of their functions.

ARTICLE XXV - FINAL PROVISIONS

Section 74. Oversight Committee. - There is hereby created a Joint Congressional Oversight Committee to oversee the implementation of this Act for a period not exceeding five (5) years from the effectivity of this Act. The Committee shall be composed of the Chairman of the Senate Committee on Constitutional Amendments and Revision of Laws and two (2) members thereof appointed by the Senate President, and the Chairman of the House Committee on Appropriations, and two(2) thereof to be appointed by the Speaker of the House of Representatives.

Section 75. Implementing Rules and Regulations and Standard Forms. - Within sixty (60) days from the promulgation of this Act, the necessary rules and regulations for the proper implementation of its provisions shall be formulated by the GPPB, jointly with the members of the Oversight Committee created under Section 74 hereof. The said rules and regulations shall be approved by the President of the Philippines. For a period not later than thirty (30) days upon the approval of the implementing rules and regulations the standard forms for Procurement shall be formulated and approved.

Section 76. Repealing Clause. - This law repeals Executive Order No. 40, series of 2001, entitled "Consolidating Procurement Rules and Procedures for all National Government Agencies, Government-Owned-or-Controlled Corporations and/or Government Financial Institutions, and requiring the Use of the Government Electronic Procurement System"; Executive Order No.262, series of 2000, entitled "Amending Executive Order No.302, series of 1996, entitled "Providing Policies, Guidelines, Rules and Regulations for the Procurement of Goods/Supplies by the National Government" and Section 3 of Executive Order No.201, series of 2000, entitled "Providing Additional Policies and Guidelines and the Procurement of Goods/Supplies by the National Government"; Executive Order No. 302, series of 1996, entitled "Providing Policies, Guidelines, Rules and Regulations for the Procurement of Goods/Supplies by the National Government" and Presidential Decree No. 1594 dated June 11,1978, entitled "Prescribing Policies, Guidelines, Rule and regulations for Government Infrastructure Contracts." This law amends Title Six, Book Two of Republic Act No. 7160, otherwise known as the "Local Government Code of 1991"; the relevant provisions of Executive Order No.164, series of 1987, entitled " An Act Providing Additional Guidelines in the processing and Approval of Contracts of the Government"; and the relevant provisions of Republic Act No. 7898 dated February 23, 1995, entitled "An Act Providing for the Modernization of the Armed Forces of the Philippines and other Purposes." Any other law, presidential decree or issuance, executive order, letter of instruction, administrative order, proclamation, charter, rule or regulation and/or parts thereof contrary to or inconsistent with the provisions of this Act, hereby repealed, modified or amended accordingly.

Section 77. Separability Clause. - If any provision of this Act is declared invalid or unconstitutional, the other provisions not affected thereby shall remain valid and subsisting.

Section 78. Effectivity Clause. - This Act shall take effect fifteen (150) days following its publication in the Officials Gazette or in two (2) newspapers of general circulation.

--End--

GOVERNMENT PROCUREMENT REFORM ACT

QUESTIONS

1. The Government Procurement Reform Act or Republic Act No. _____, states that it is the policy of the state to promote the ideals of good governance and all its branches, departments, agencies, subdivisions, and instrumentalities, including government-owned and/or controlled operations, and local government units
 - a. 9183
 - b. 9184
 - c. 9185
 - d. 9186

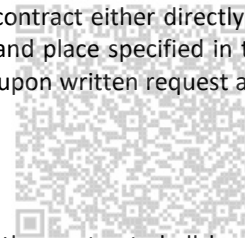
2. The Government Procurement Reform Act states that all procurement of the national government, its departments, bureaus, offices and agencies, including state universities and colleges, government-owned and/or controlled corporations, government financial institutions and local government units, shall, in all cases, be governed by the principles of Transparency in the procurement process and in the implementation of procurement contracts and competitiveness by extending equal opportunity to enable private contracting parties who are eligible and qualified to participate in public bidding. Furthermore, the other governing principles are: I. Streamline procurement process that will uniformly apply to all government procurement. The procurement process shall be simple and made adaptable to advances in modern technology in order to ensure an effective and efficient method; II. System of accountability where both the public officials directly or indirectly involved in the procurement process as well as in the implementation of procurement contracts and the private parties that deal with government are, when warranted by circumstances, investigated and held liable for their actions relative thereto; and, III. Public monitoring of the procurement process and the implementation of awarded contracts with the end in view of guaranteeing that these contracts are awarded pursuant to the provisions of this Act and its implementing rules and regulations, and that all these contracts are performed strictly according to specifications. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements

3. The Government Procurement Reform Act shall apply to the Procurement of Infrastructure Projects, Goods, and Consulting Services, regardless of source of funds, whether local or foreign, by all branches and instrumentalities of government, its departments, offices, agencies, including government-owned and/or controlled corporations and local government units, subject to the provisions of Commonwealth Act No. 138. Any treaty or international or executive agreement affecting the subject matter of this Act to which the Philippine government is a signatory shall be observed. However, by way of exception, the following shall not be covered by the law: I. Procurement of goods, infrastructure projects and consulting services funded from foreign grants covered by R.A. 8192, as amended by R.A. 8555, entitled "An Act Excluding Official Development Assistance (ODA) from the foreign debt limit in order to facilitate the absorption and optimize the utilization of ODA Resources, amending for the purpose paragraph 1, Section 2 of R.A. 4860, as amended, "unless the GoP and the foreign grantor/foreign or international financing institution agree otherwise; II. Acquisition of real property which shall be governed by R.A. 107523, entitled "An Act Facilitating the Acquisition of Right-Of-Way Site or Location for National Government Infrastructure Projects," and other applicable laws, rules and regulations; III. Public-Private sector infrastructure or development projects and other procurements covered by R. A 6957, as amended by R.A. 7718, entitled "An Act Authorizing the Financing, Construction, Operation and Maintenance of Infrastructure Projects by the Private Sector, and for Other Purposes," as amended: Provided, however, that for the portions financed by the GoP, in whole or in part, the provisions of the Act and this IRR shall apply. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements

4. The Government Procurement Reform Act requires that: I. The bidding documents shall be prepared by the procuring entity following the standard forms and manuals prescribed by the GPPB, but the procuring entity may require additional document requirements or specifications necessary to complete the information required for the bidders to prepare and submit their respective bids; II. Specifications for the procurement of goods shall be based on relevant characteristics and/or shall not be allowed; thus, reference to brand names shall not be allowed; and, III. In all stages of the preparation of the bidding documents, the procuring entity shall ensure equal access to information. Prior to their official release, no aspect of the bidding documents shall be divulged or released to any prospective bidder or person having direct or indirect interest in the project to be procured. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements

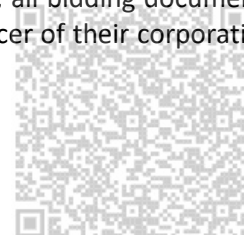
5. According to the Government Procurement Reform Act: I. Modification and withdrawal of bids. – A bidder may modify his bid, provided that this is done before the deadline for the receipt of bids. The modification shall be submitted in original bid and stamped received by the BAC; II. Modification and withdrawal of bids. – A bidder may, through a letter, withdraw his bid or express his intention not to participate in the bidding before the deadline for the receipt of bids. In such case, he shall no longer be allowed to submit another bid for the same contract either directly or indirectly; and, III. Bid Opening. – The BAC shall publicly open all bids at the time, date and place specified in the bidding documents. The minutes of the bid opening shall be made available to the public upon written request and payment of a specified fee. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements

6. According to the Government Procurement Reform Act, in cases of failure of bidding, the contract shall be re-advertised and re-bid. The BAC shall observe the same process and set the new periods according to the same rules



followed during the first bidding. After the second failed bidding, however, the BAC may report to negotiated procurement as provided for in Section 53 of this Act. There shall be a failure of bidding if: I. No bids are received; II. No bid qualifies as the lowest calculated responsive bid or highest rated responsive bid; or, III. Whenever the bidder with the highest rated/lowest calculated responsive bid refuses, without justifiable cause to accept the award of contract, as the case may be. Which is/are true?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
7. According to the Government Procurement Reform Act, a single calculated/rated responsive bid shall be considered for award if it falls under any of the following circumstances: I. If after advertisement, only one prospective bidder submits a Letter of Intent and/or applies for eligibility check, and meets the eligibility requirements or criteria, after which it submits a bid, which is found to be responsive to the bidding requirements; II. If after the advertisement, more than one prospective bidder applies for requirements or criteria, after which it submits a bid which is found to be responsive to the bidding requirements; or, III. If after the eligibility check, more than one bidder submits a bid, and its bid is found to be responsive to the bidding requirements. Which is/are true?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
8. According to the Government Procurement Reform Act, failure to enter in to contract and post performance security. – If, for justifiable cause, the bidder with the lowest calculated responsive bid or highest rated responsive bid fails, refuses or is otherwise unable to enter into contract with the procuring entity, or if the bidder fails to post the required performance security within the period stipulated in the bidding documents, the BAC shall disqualify the said bidder and shall: I. Undertake post-qualification for the next-ranked lowest calculated bid or highest rated bid; II. This procedure shall be repeated until an award is made; or, III. If no award is possible, the contract shall be subjected to a new bidding. Which is/are true?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
9. Who prescribes the standard forms and manuals pertaining to bidding documents?
 - a. Government Procurement Policy Board
 - b. Bids and Awards Committee
 - c. Procuring Entity
 - d. Secretary of Budget and Management
10. Who prepares the bidding documents?
 - a. Government Procurement Policy Board
 - b. Bids and Awards Committee
 - c. Procuring Entity
 - d. Secretary of Budget and Management
11. What are the two components of a bid?
 - a. Operational and fiscal components
 - b. Marketing and financial components
 - c. Operational and financial components
 - d. Technical and financial components
12. The Head of the Procuring Entity or his duly authorized representative shall approve or disapprove the recommendation of the award within how many days from the determination and declaration by the BAC of the Lowest Calculated Responsive Bid or Highest Rated Responsive Bid, and the recommendation of such award?
 - a. Five
 - b. Ten
 - c. Fifteen
 - d. Twenty
13. Within ten (10) calendar days from receipt of the Notice of Award, the winning bidder:
 - a. Shall submit the complete bidding documents to the procuring entity
 - b. Shall formally enter into contract with the procuring entity
 - c. Shall forward a formal price quotation to the procuring entity
 - d. Shall commence negotiations as to the specifications and technical descriptions of the project with the procuring entity
14. The procurement process from the opening of bids up to the award of contract shall not exceed:
 - a. 1 month
 - b. 3 months
 - c. 6 months
 - d. 1 year
15. In addition to the proposed contents of the Invitation to Bid as mentioned above, all bidding documents shall be accompanied by a sworn affidavit of the bidder that he or she or any officer of their corporation in not related to the Head of the Procuring Entity:
 - a. By consanguinity or affinity up to the third civil degree
 - b. By consanguinity or affinity up to the fourth civil degree
 - c. By consanguinity or affinity up to the fifth civil degree
 - d. By consanguinity or affinity up to the sixth civil degree



PHILIPPINE COMPETITION ACT (REPUBLIC ACT No. 10667)

AN ACT PROVIDING FOR A NATIONAL COMPETITION POLICY PROHIBITING ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANT POSITION AND ANTI-COMPETITIVE MERGERS AND ACQUISITIONS, ESTABLISHING THE PHILIPPINE COMPETITION COMMISSION AND APPROPRIATING FUNDS THEREFOR
CHAPTER I - GENERAL PROVISIONS

Section 1. Short Title. – This Act shall be known as the "Philippine Competition Act".

Section 2. Declaration of Policy. – The efficiency of market competition as a mechanism for allocating goods and services is a generally accepted precept. The State recognizes that past measures undertaken to liberalize key sectors in the economy need to be reinforced by measures that safeguard competitive conditions. The State also recognizes that the provision of equal opportunities to all promotes entrepreneurial spirit, encourages private investments, facilitates technology development and transfer and enhances resource productivity. Unencumbered market competition also serves the interest of consumers by allowing them to exercise their right of choice over goods and services offered in the market.

Pursuant to the constitutional goals for the national economy to attain a more equitable distribution of opportunities, income, and wealth; a sustained increase in the amount of goods and services produced by the nation for the benefit of the people; and an expanding productivity as the key to raising the quality of life for all, especially the underprivileged and the constitutional mandate that the State shall regulate or prohibit monopolies when the public interest so requires and that no combinations in restraint of trade or unfair competition shall be allowed, the State shall:

- (a) Enhance economic efficiency and promote free and fair competition in trade, industry and all commercial economic activities, as well as establish a National Competition Policy to be implemented by the Government of the Republic of the Philippines and all of its political agencies as a whole;
- (b) Prevent economic concentration which will control the production, distribution, trade, or industry that will unduly stifle competition, lessen, manipulate or constrict the discipline of free markets; and
- (c) Penalize all forms of anti-competitive agreements, abuse of dominant position and anti-competitive mergers and acquisitions, with the objective of protecting consumer welfare and advancing domestic and international trade and economic development.

Section 3. Scope and Application. – This Act shall be enforceable against any person or entity engaged in any trade, industry and commerce in the Republic of the Philippines. It shall likewise be applicable to international trade having direct, substantial, and reasonably foreseeable effects in trade, industry, or commerce in the Republic of the Philippines, including those that result from acts done outside the Republic of the Philippines.

This Act shall not apply to the combinations or activities of workers or employees nor to agreements or arrangements with their employers when such combinations, activities, agreements, or arrangements are designed solely to facilitate collective bargaining in respect of conditions of employment.

Section 4. Definition of Terms. – As used in this Act:

- (a) **Acquisition** refers to the purchase of securities or assets, through contract or other means, for the purpose of obtaining control by:
 - (1) One (1) entity of the whole or part of another;
 - (2) Two (2) or more entities over another; or
 - (3) One (1) or more entities over one (1) or more entities;
- (b) **Agreement** refers to any type or form of contract, arrangement, understanding, collective recommendation, or concerted action, whether formal or informal, explicit or tacit, written or oral;
- (c) **Conduct** refers to any type or form of undertaking, collective recommendation, independent or concerted action or practice, whether formal or informal;
- (d) **Commission** refers to the Philippine Competition Commission created under this Act;

- (e) **Confidential business information** refers to information which concerns or relates to the operations, production, sales, shipments, purchases, transfers, identification of customers, inventories, or amount or source of any income, profits, losses, expenditures;
- (f) **Control** refers to the ability to substantially influence or direct the actions or decisions of an entity, whether by contract, agency or otherwise;
- (g) **Dominant position** refers to a position of economic strength that an entity or entities hold which makes it capable of controlling the relevant market independently from any or a combination of the following: competitors, customers, suppliers, or consumers;
- (h) **Entity** refers to any person, natural or juridical, sole proprietorship, partnership, combination or association in any form, whether incorporated or not, domestic or foreign, including those owned or controlled by the government, engaged directly or indirectly in any economic activity;
- (i) **Market** refers to the group of goods or services that are sufficiently interchangeable or substitutable and the object of competition, and the geographic area where said goods or services are offered;
- (j) **Merger** refers to the joining of two (2) or more entities into an existing entity or to form a new entity;
- (k) **Relevant market** refers to the market in which a particular good or service is sold and which is a combination of the relevant product market and the relevant geographic market, defined as follows:

- (1) A relevant product market comprises all those goods and/or services which are regarded as interchangeable or substitutable by the consumer or the customer, by reason of the goods and/or services' characteristics, their prices and their intended use; and
- (2) The relevant geographic market comprises the area in which the entity concerned is involved in the supply and demand of goods and services, in which the conditions of competition are sufficiently homogenous and which can be distinguished from neighboring areas because the conditions of competition are different in those areas.

CHAPTER II - PHILIPPINE COMPETITION COMMISSION

Section 5. Philippine Competition Commission. – To implement the national competition policy and attain the objectives and purposes of this Act, an independent quasi-judicial body is hereby created, which shall be known as the Philippine Competition Commission (PCC), hereinafter referred to as the Commission, and which shall be organized within sixty (60) days after the effectivity of this Act. Upon establishment of the Commission, Executive Order No. 45 designating the Department of Justice as the Competition Authority is hereby amended. The Office for Competition (OFC) under the Office of the Secretary of Justice shall however be retained, with its powers and functions modified pursuant to Section 13 of this Chapter. The Commission shall be an attached agency to the Office of the President.

Section 6. Composition of the Commission. – The Commission shall be composed of a Chairperson and four (4) Commissioners. The Chairperson and the Commissioners shall be citizens and residents of the Philippines, of good moral character, of recognized probity and independence and must have distinguished themselves professionally in public, civic or academic service in any of the following fields: economics, law, finance, commerce or engineering. They must have been in the active practice of their professions for at least ten (10) years, and must not have been candidates for any elective national or local office in the immediately preceding elections, whether regular or special: *Provided*, That at least one (1) shall be a member of the Philippine Bar with at least ten (10) years of experience in the active practice of law, and at least one (1) shall be an economist. The Chairperson and the Commissioners who shall have the rank equivalent of cabinet secretary and undersecretary, respectively, shall be appointed by the President.

Section 7. Term of Office. – The term of office of the Chairperson and the Commissioners shall be seven (7) years without reappointment. Of the first set of appointees, the Chairperson shall hold office for seven (7) years and of the first four (4) Commissioners, two (2) shall hold office for a term of seven (7) years and two (2) for a term of five (5) years. In case a vacancy occurs before the expiration of the term of office, the appointment to such vacancy shall only be for the unexpired term of the predecessor.

The Chairperson and the Commissioners shall enjoy security of tenure and shall not be suspended or removed from office except for just cause as provided by law.

Section 8. Prohibitions and Disqualifications. – The Commissioners shall not, during their tenure, hold any other office or employment. They shall not, during their tenure, directly or indirectly practice any profession, except in a teaching capacity, participate in any business, or be financially interested in any contract with, or any franchise, or special privileges granted by the government or any subdivision, agency, or instrumentality thereof, including government-owned and -controlled corporations or their subsidiaries. They shall strictly avoid conflict of interest in the conduct of their office. They shall not be qualified to run for any office in the election immediately succeeding their cessation from office: *Provided*, That the election mentioned hereof is not a Barangay election or a Sangguniang Kabataan election. *Provided*, they shall not be allowed to personally appear or practice as counsel or agent on any matter pending before the Commission for two (2) years following their cessation from office.

No spouse or relative by consanguinity or affinity within the fourth civil degree of any of the Commissioners, the Chairperson and the Executive Director of the Commission may appear as counsel nor agent on any matter pending before the Commission or transact business directly or indirectly therein during incumbency and within two (2) years from cessation of office.

Section 9. Compensation and Other Emoluments for Members and Personnel of the Commission.— The compensation and other emoluments for the members and personnel of the Commission shall be exempted from the coverage of Republic Act No. 6758, otherwise known as the "Salary Standardization Act". For this purpose, the salaries and other emoluments of the Chairperson, the Commissioners, and personnel of the Commission shall be set based on an objective classification system, taking into consideration the importance and responsibilities attached to the respective positions, and shall be submitted to the President of the Philippines for his approval.

Section 10. Quorum. – Three (3) members of the Commission shall constitute a quorum and the affirmative vote of three (3) members shall be necessary for the adoption of any rule, ruling, order, resolution, decision or other acts of the Commission.

Section 11. Staff. – The Commission shall appoint, fix the compensation, and determine the status, qualifications, and duties of an adequate staff, which shall include an Executive Director of the Commission. The Executive Director shall be appointed by the Commission and shall have relevant experience in any of the fields of law, economics, commerce, management, finance or engineering for at least ten (10) years. The members of the technical staff, except those performing purely clerical functions, shall possess at least a Bachelor's Degree in any of the following lines of specialization: economics, law, finance, commerce, engineering, accounting, or management.

Section 12. Powers and Functions. — The Commission shall have original and primary jurisdiction over the enforcement and implementation of the provisions of this Act, and its implementing rules and regulations. The Commission shall exercise the following powers and functions:

- (a) Conduct inquiry, investigate, and hear and decide on cases involving any violation of this Act and other existing competition laws *motu proprio* or upon receipt of a verified complaint from an interested party or upon referral by the concerned regulatory agency, and institute the appropriate civil or criminal proceedings;
- (b) Review proposed mergers and acquisitions, determine thresholds for notification, determine the requirements and procedures for notification, and upon exercise of its powers to review, prohibit mergers and acquisitions that will substantially prevent, restrict, or lessen competition in the relevant market;
- (c) Monitor and undertake consultation with stakeholders and affected agencies for the purpose of understanding market behavior;
- (d) Upon finding, based on substantial evidence, that an entity has entered into an anti-competitive agreement or has abused its dominant position after due notice and hearing, stop or redress the same, by applying remedies, such as, but not limited to, issuance of injunctions, requirement of divestment, and disgorgement of

excess profits under such reasonable parameters that shall be prescribed by the rules and regulations implementing this Act;

- (e) Conduct administrative proceedings, impose sanctions, fines or penalties for any noncompliance with or breach of this Act and its implementing rules and regulations (IRR) and punish for contempt;
- (f) Issue subpoena *duces tecum* and subpoena *ad testificandum* to require the production of books, records, or other documents or data which relate to any matter relevant to the investigation and personal appearance before the Commission, summon witnesses, administer oaths, and issue interim orders such as show cause orders and cease and desist orders after due notice and hearing in accordance with the rules and regulations implementing this Act;
- (g) Upon order of the court, undertake inspections of business premises and other offices, land and vehicles, as used by the entity, where it reasonably suspects that relevant books, tax records, or other documents which relate to any matter relevant to the investigation are kept, in order to prevent the removal, concealment, tampering with, or destruction of the books, records, or other documents;
- (h) Issue adjustment or divestiture orders including orders for corporate reorganization or divestment in the manner and under such terms and conditions as may be prescribed in the rules and regulations implementing this Act. Adjustment or divestiture orders, which are structural remedies, should only be imposed:

- (1) Where there is no equally effective behavioral remedy; or
- (2) Where any equally effective behavioral remedy would be more burdensome for the enterprise concerned than the structural remedy. Changes to the structure of an enterprise as it existed before the infringement was committed would only be proportionate to the substantial risk of a lasting or repeated infringement that derives from the very structure of the enterprise;

- (i) Deputize any and all enforcement agencies of the government or enlist the aid and support of any private institution, corporation, entity or association, in the implementation of its powers and functions;
- (j) Monitor compliance by the person or entities concerned with the cease and desist order or consent judgment;
- (k) Issue advisory opinions and guidelines on competition matters for the effective enforcement of this Act and submit annual and special reports to Congress, including proposed legislation for the regulation of commerce, trade, or industry;
- (l) Monitor and analyze the practice of competition in markets that affect the Philippine economy; implement and oversee measures to promote transparency and accountability; and ensure that prohibitions and requirements of competition laws are adhered to;
- (m) Conduct, publish, and disseminate studies and reports on anti-competitive conduct and agreements to inform and guide the industry and consumers;
- (n) Intervene or participate in administrative and regulatory proceedings requiring consideration of the provisions of this Act that are initiated by government agencies such as the Securities and Exchange Commission, the Energy Regulatory Commission and the National Telecommunications Commission;
- (o) Assist the National Economic and Development Authority, in consultation with relevant agencies and sectors, in the preparation and formulation of a national competition policy;
- (p) Act as the official representative of the Philippine government in international competition matters;
- (q) Promote capacity building and the sharing of best practices with other competition-related bodies;
- (r) Advocate pro-competitive policies of the government by:

- (1) Reviewing economic and administrative regulations, *motu proprio* or upon request, as to whether or not they adversely affect relevant market competition, and advising the concerned agencies against such regulations; and
- (2) Advising the Executive Branch on the competitive implications of government actions, policies and programs; and
- (s) Charging reasonable fees to defray the administrative cost of the services rendered.

Section 13. Office for Competition (OFC), Powers and Functions. — The OFC under the Department of Justice (DOJ-OFC) shall only conduct preliminary investigation and undertake prosecution of all criminal offenses arising under this Act and other competition-related

laws in accordance with Section 31 of Chapter VI of this Act. The OFC shall be reorganized and allocated resources as may be required therefor to effectively pursue such mandate.

CHAPTER III - PROHIBITED ACTS

Section 14. *Anti-Competitive Agreements.* –

- (a) The following agreements, between or among competitors, are *per se* prohibited:
 - (1) Restricting competition as to price, or components thereof, or other terms of trade;
 - (2) Fixing price at an auction or in any form of bidding including cover bidding, bid suppression, bid rotation and market allocation and other analogous practices of bid manipulation;
- (b) The following agreements, between or among competitors which have the object or effect of substantially preventing, restricting or lessening competition shall be prohibited:
 - (1) Setting, Kiting, or controlling production, markets, technical development, or investment;
 - (2) Dividing or sharing the market, whether by volume of sales or purchases, territory, type of goods or services, buyers or sellers or any other means;
- (c) Agreements other than those specified in (a) and (b) of this section which have the object or effect of substantially preventing, restricting or lessening competition shall also be prohibited: *Provided*, Those which contribute to improving the production or distribution of goods and services or to promoting technical or economic progress, while allowing consumers a fair share of the resulting benefits, may not necessarily be deemed a violation of this Act.

An entity that controls, is controlled by, or is under common control with another entity or entities, have common economic interests, and are not otherwise able to decide or act independently of each other, shall not be considered competitors for purposes of this section.

Section 15. *Abuse of Dominant Position.* – It shall be prohibited for one or more entities to abuse their dominant position by engaging in conduct that would substantially prevent, restrict or lessen competition:

- (a) Selling goods or services below cost with the object of driving competition out of the relevant market: *Provided*, That in the Commission's evaluation of this fact, it shall consider whether the entity or entities have no such object and the price established was in good faith to meet or compete with the lower price of a competitor in the same market selling the same or comparable product or service of like quality;
- (b) Imposing barriers to entry or committing acts that prevent competitors from growing within the market in an anti-competitive manner except those that develop in the market as a result of or arising from a superior product or process, business acumen, or legal rights or laws;
- (c) Making a transaction subject to acceptance by the other parties of other obligations which, by their nature or according to commercial usage, have no connection with the transaction;
- (d) Setting prices or other terms or conditions that discriminate unreasonably between customers or sellers of the same goods or services, where such customers or sellers are contemporaneously trading on similar terms and conditions, where the effect may be to lessen competition substantially: *Provided*, That the following shall be considered permissible price differentials:
 - (1) Socialized pricing for the less fortunate sector of the economy;
 - (2) Price differential which reasonably or approximately reflect differences in the cost of manufacture, sale, or delivery resulting from differing methods, technical conditions, or quantities in which the goods or services are sold or delivered to the buyers or sellers;
 - (3) Price differential or terms of sale offered in response to the competitive price of payments, services or changes in the facilities furnished by a competitor; and
 - (4) Price changes in response to changing market conditions, marketability of goods or services, or volume;

(e) Imposing restrictions on the lease or contract for sale or trade of goods or services concerning where, to whom, or in what forms goods or services may be sold or traded, such as fixing prices, giving preferential discounts or rebate upon such price, or imposing conditions not to deal with competing entities, where the object or effect of the restrictions is to prevent, restrict or lessen competition substantially: *Provided*, That nothing contained in this Act shall prohibit or render unlawful:

- (1) Permissible franchising, licensing, exclusive merchandising or exclusive distributorship agreements such as those which give each party the right to unilaterally terminate the agreement; or
 - (2) Agreements protecting intellectual property rights, confidential information, or trade secrets;
- (f) Making supply of particular goods or services dependent upon the purchase of other goods or services from the supplier which have no direct connection with the main goods or services to be supplied;
- (g) Directly or indirectly imposing unfairly low purchase prices for the goods or services of, among others, marginalized agricultural producers, fisherfolk, micro-, small-, medium-scale enterprises, and other marginalized service providers and producers;
- (h) Directly or indirectly imposing unfair purchase or selling price on their competitors, customers, suppliers or consumers, provided that prices that develop in the market as a result of or due to a superior product or process, business acumen or legal rights or laws shall not be considered unfair prices; and
- (i) Limiting production, markets or technical development to the prejudice of consumers, provided that limitations that develop in the market as a result of or due to a superior product or process, business acumen or legal rights or laws shall not be a violation of this Act:

Provided, That nothing in this Act shall be construed or interpreted as a prohibition on having a dominant position in a relevant market or on acquiring, maintaining and increasing market share through legitimate means that do not substantially prevent, restrict or lessen competition:

Provided, further, That any conduct which contributes to improving production or distribution of goods or services within the relevant market, or promoting technical and economic progress while allowing consumers a fair share of the resulting benefit may not necessarily be considered an abuse of dominant position:

Provided, finally, That the foregoing shall not constrain the Commission or the relevant regulator from pursuing measures that would promote fair competition or more competition as provided in this Act.

CHAPTER IV - MERGERS AND ACQUISITIONS

Section 16. *Review of Mergers and Acquisitions.* – The Commission shall have the power to review mergers and acquisitions based on factors deemed relevant by the Commission.

Section 17. *Compulsory Notification.* – Parties to the merger or acquisition agreement referred to in the preceding section wherein the value of the transaction exceeds one billion pesos (P1,000,000,000.00) are prohibited from consummating their agreement until thirty (30) days after providing notification to the Commission in the form and containing the information specified in the regulations issued by the Commission: *Provided*, That the Commission shall promulgate other criteria, such as increased market share in the relevant market in excess of minimum thresholds, that may be applied specifically to a sector, or across some or all sectors, in determining whether parties to a merger or acquisition shall notify the Commission under this Chapter.

An agreement consummated in violation of this requirement to notify the Commission shall be considered void and subject the parties to an administrative fine of one percent (1%) to five percent (5%) of the value of the transaction.

Should the Commission deem it necessary, it may request further information that are reasonably necessary and directly relevant to the prohibition under Section 20 hereof from the parties to the

agreement before the expiration of the thirty (30)-day period referred. The issuance of such a request has the effect of extending the period within which the agreement may not be consummated for an additional sixty (60) days, beginning on the day after the request for information is received by the parties: *Provided*, That, in no case shall the total period for review by the Commission of the subject agreement exceed ninety (90) days from initial notification by the parties.

When the above periods have expired and no decision has been promulgated for whatever reason, the merger or acquisition shall be deemed approved and the parties may proceed to implement or consummate it. All notices, documents and information provided to or emanating from the Commission under this section shall be subject to confidentiality rule under Section 34 of this Act except when the release of information contained therein is with the consent of the notifying entity or is mandatorily required to be disclosed by law or by a valid order of a court of competent jurisdiction, or of a government or regulatory agency, including an exchange.

In the case of the merger or acquisition of banks, banking institutions, building and loan associations, trust companies, insurance companies, public utilities, educational institutions and other special corporations governed by special laws, a favorable or no-objection ruling by the Commission shall not be construed as dispensing of the requirement for a favorable recommendation by the appropriate government agency under Section 79 of the Corporation Code of the Philippines.

A favorable recommendation by a governmental agency with a competition mandate shall give rise to a disputable presumption that the proposed merger or acquisition is not violative of this Act.

Section 18. Effect of Notification. — If within the relevant periods stipulated in the preceding section, the Commission determines that such agreement is prohibited under Section 20 and does not qualify for exemption under Section 21 of this Chapter, the Commission may:

- (a) Prohibit the implementation of the agreement;
- (b) Prohibit the implementation of the agreement unless and until it is modified by changes specified by the Commission.
- (c) Prohibit the implementation of the agreement unless and until the pertinent party or parties enter into legally enforceable agreements specified by the Commission.

Section 19. Notification Threshold. — The Commission shall, from time to time, adopt and publish regulations stipulating:

- (a) The transaction value threshold and such other criteria subject to the notification requirement of Section 17 of this Act;
- (b) The information that must be supplied for notified merger or acquisition;
- (c) Exceptions or exemptions from the notification requirement; and
- (d) Other rules relating to the notification procedures.

Section 20. Prohibited. Mergers and Acquisitions. — Merger or acquisition agreements that substantially prevent, restrict or lessen competition in the relevant market or in the market for goods or services as may be determined by the Commission shall be prohibited.

Section 21. Exemptions from Prohibited. Mergers and Acquisitions. — Merger or acquisition agreement prohibited under Section 20 of this Chapter may, nonetheless, be exempt from prohibition by the Commission when the parties establish either of the following:

- (a) The concentration has brought about or is likely to bring about gains in efficiencies that are greater than the effects of any limitation on competition that result or likely to result from the merger or acquisition agreement; or
- (b) A party to the merger or acquisition agreement is faced with actual or imminent financial failure, and the agreement represents the least anti-competitive arrangement among the known alternative uses for the failing entity's assets:

Provided, That an entity shall not be prohibited from continuing to own and hold the stock or other share capital or assets of another corporation which it acquired prior to the approval of this Act or

acquiring or maintaining its market share in a relevant market through such means without violating the provisions of this Act: *Provided, further*, That the acquisition of the stock or other share capital of one or more corporations solely for investment and not used for voting or exercising control and not to otherwise bring about, or attempt to bring about the prevention, restriction, or lessening of competition in the relevant market shall not be prohibited.

Section 22. Burden of Proof. — The burden of proof under Section 21 lies with the parties seeking the exemption. A party seeking to rely on the exemption specified in Section 21(a) must demonstrate that if the agreement were not implemented, significant efficiency gains would not be realized.

Section 23. Finality of Ridings on Mergers and Acquisitions. — Merger or acquisition agreements that have received a favorable ruling from the Commission, except when such ruling was obtained on the basis of fraud or false material information, may not be challenged under this Act.

CHAPTER V - DISPOSITION OF CASES

Section 24. Relevant Market. — For purposes of determining the relevant market, the following factors, among others, affecting the substitutability among goods or services constituting such market and the geographic area delineating the boundaries of the market shall be considered:

- (a) The possibilities of substituting the goods or services in question, with others of domestic or foreign origin, considering the technological possibilities, extent to which substitutes are available to consumers and time required for such substitution;
- (b) The cost of distribution of the good or service, its raw materials, its supplements and substitutes from other areas and abroad, considering freight, insurance, import duties and non-tariff restrictions; the restrictions imposed by economic agents or by their associations; and the time required to supply the market from those areas;
- (c) The cost and probability of users or consumers seeking other markets; and
- (d) National, local or international restrictions which limit access by users or consumers to alternate sources of supply or the access of suppliers to alternate consumers.

Section 25. Control of an Entity. — In determining the control of an entity, the Commission may consider the following: Control is presumed to exist when the parent owns directly or indirectly, through subsidiaries, more than one half (1/2) of the voting power of an entity, unless in exceptional circumstances, it can clearly be demonstrated that such ownership does not constitute control. Control also exists even when an entity owns one half (1/2) or less of the voting power of another entity when:

- (a) There is power over more than one half (1/2) of the voting rights by virtue of an agreement with investors;
- (b) There is power to direct or govern the financial and operating policies of the entity under a statute or agreement;
- (c) There is power to appoint or remove the majority of the members of the board of directors or equivalent governing body;
- (d) There is power to cast the majority votes at meetings of the board of directors or equivalent governing body;
- (e) There exists ownership over or the right to use all or a significant part of the assets of the entity;
- (f) There exist rights or contracts which confer decisive influence on the decisions of the entity.

Section 26. Determination of Anti-Competitive Agreement or Conduct. — In determining whether anti-competitive agreement or conduct has been committed, the Commission shall:

- (a) Define the relevant market allegedly affected by the anti-competitive agreement or conduct, following the principles laid out in Section 24 of this Chapter;
- (b) Determine if there is actual or potential adverse impact on competition in the relevant market caused by the alleged agreement or conduct, and if such impact is substantial and outweighs the actual or potential efficiency gains that result from the agreement or conduct;
- (c) Adopt a broad and forward-looking perspective, recognizing future market developments, any overriding need to make the

goods or services available to consumers, the requirements of large investments in infrastructure, the requirements of law, and the need of our economy to respond to international competition, but also taking account of past behavior of the parties involved and prevailing market conditions;

(d) Balance the need to ensure that competition is not prevented or substantially restricted and the risk that competition efficiency, productivity, innovation, or development of priority areas or industries in the general interest of the country may be deterred by overzealous or undue intervention; and

(e) Assess the totality of evidence on whether it is more likely than not that the entity has engaged in anti-competitive agreement or conduct including whether the entity's conduct was done with a reasonable commercial purpose such as but not limited to phasing out of a product or closure of a business, or as a reasonable commercial response to the market entry or conduct of a competitor.

Section 27. Market Dominant Position. – In determining whether an entity has market dominant position for purposes of this Act, the Commission shall consider the following:

- (a) The share of the entity in the relevant market and whether it is able to fix prices unilaterally or to restrict supply in the relevant market;
- (b) The existence of barriers to entry and the elements which could foreseeably alter both said barriers and the supply from competitors;
- (c) The existence and power of its competitors;
- (d) The possibility of access by its competitors or other entities to its sources of inputs;
- (e) The power of its customers to switch to other goods or services;
- (f) Its recent conducts; and
- (g) Other criteria established by the regulations of this Act.

There shall be a rebuttable presumption of market dominant position if the market share of an entity in the relevant market is at least fifty percent (50%), unless a new market share threshold is determined by the Commission for that particular sector.

The Commission shall from time to time determine and publish the threshold for dominant position or minimum level of share in the relevant market that could give rise to a presumption of dominant position. In such determination, the Commission would consider the structure of the relevant market, degree of integration, access to end-users, technology and financial resources, and other factors affecting the control of a market, as provided in subsections (a) to (g) of this section.

The Commission shall not consider the acquiring, maintaining and increasing of market share through legitimate means not substantially preventing, restricting, or lessening competition in the market such as but not limited to having superior skills, rendering superior service, producing or distributing quality products, having business acumen, and the enjoyment and use of protected intellectual property rights as violative of this Act.

Section 28. Forbearance. – The Commission may forbear from applying the provisions of this Act, for a limited time, in whole or in part, in all or specific cases, on an entity or group of entities, if in its determination:

- (a) Enforcement is not necessary to the attainment of the policy objectives of this Act;
- (b) Forbearance will neither impede competition in the market where the entity or group of entities seeking exemption operates nor in related markets; and
- (c) Forbearance is consistent with public interest and the benefit and welfare of the consumers.

A public hearing shall be held to assist the Commission in making this determination.

The Commission's order exempting the relevant entity or group of entities under this section shall be made public. Conditions may be attached to the forbearance if the Commission deems it appropriate to ensure the long-term interest of consumers. In the event that the basis for the issuance of the exemption order ceases to be valid, the order may be withdrawn by the Commission.

CHAPTER VI - FINES AND PENALTIES

Section 29. Administrative Penalties. –

(a) **Administrative Fines.** – In any investigation under Chapter III, Sections 14 and 15, and Chapter IV, Sections 17 and 20 of this Act, after due notice and hearing, the Commission may impose the following schedule of administrative fines on any entity found to have violated the said sections:

First offense: Fine of up to one hundred million pesos (P100,000,000.00);

Second offense: Fine of not less than one hundred million pesos (P100,000,000.00) but not more than two hundred fifty million pesos (P250,000,000.00).

In fixing the amount of the fine, the Commission shall have regard to both the gravity and the duration of the violation.

(b) **Failure to Comply With an Order of the Commission.** – An entity which fails or refuses to comply with a ruling, order or decision issued by the Commission shall pay a penalty of not less than fifty thousand pesos (P50,000.00) up to two million pesos (P2,000,000.00) for each violation and a similar amount of penalty for each day thereafter until the said entity fully complies. Provided that these fines shall only accrue daily beginning forty-five (45) days from the time that the said decision, order or ruling was received.

(c) **Supply of Incorrect or Misleading Information.** – The Commission may likewise impose upon any entity fines of up to one million pesos (P1,000,000.00) where, intentionally or negligently, they supply incorrect or misleading information in any document, application or other paper filed with or submitted to the Commission or supply incorrect or misleading information in an application for a binding ruling, a proposal for a consent judgment, proceedings relating to a show cause order, or application for modification of the Commission's ruling, order or approval, as the case may be.

(d) **Any other violations** not specifically penalized under the relevant provisions of this Act shall be penalized by a fine of not less than fifty thousand pesos (P50,000.00) up to two million pesos (P2,000,000.00).

Provided that the schedule of fines indicated in this section shall be increased by the Commission every five (5) years to maintain their real value from the time it was set.

Section 30. Criminal Penalties. – An entity that enters into any anti-competitive agreement as covered by Chapter III, Section 14(a) and 14(b) under this Act shall, for each and every violation, be penalized by imprisonment from two (2) to seven (7) years, and a fine of not less than fifty million pesos (P50,000,000.00) but not more than two hundred fifty million pesos (P250,000,000.00). The penalty of imprisonment shall be imposed upon the responsible officers, and directors of the entity.

When the entities involved are juridical persons, the penalty of imprisonment shall be imposed on its officers, directors, or employees holding managerial positions, who are knowingly and willfully responsible for such violation.

CHAPTER VII – ENFORCEMENT

Section 31. Fact Finding; Preliminary Inquiry. – The Commission, *motu proprio*, or upon the filing of a verified complaint by an interested party or upon referral by a regulatory agency, shall have the sole and exclusive authority to initiate and conduct a fact-finding or preliminary inquiry for the enforcement of this Act based on reasonable grounds.

The Commission, after considering the statements made, or documents or articles produced in the course of the fact-finding or preliminary inquiry, shall terminate the same by:

- (a) Issuing a resolution ordering its closure if no violation or infringement of this Act is found; or
- (b) Issuing a resolution to proceed, on the basis of reasonable grounds, to the conduct of a full administrative investigation.

The Commission, after due notice and hearing, and on the basis of facts and evidence presented, may issue an order for the temporary cessation or desistance from the performance of certain acts by the respondent entity, the continued performance of which would result

in a material and adverse effect on consumers or competition in the relevant market.

If the evidence so warrants, the Commission may file before the DOJ criminal complaints for violations of this Act or relevant laws for preliminary investigation and prosecution before the proper court. The DOJ shall conduct such preliminary investigation in accordance with the Revised Rules of Criminal Procedure.

The preliminary inquiry shall, in all cases, be completed by the Commission within ninety (90) days from submission of the verified complaint, referral, or date of initiation by the Commission, *motu proprio*, of the same.

Except as provided in Section 12(i) of Chapter II of this Act, no law enforcement agency shall conduct any kind of fact-finding, inquiry or investigation into any competition-related matters.

Section 32. Relationship With Sector Regulators. – The Commission shall have original and primary jurisdiction in the enforcement and regulation of all competition-related issues.

The Commission shall still have jurisdiction if the issue involves both competition and noncompetition issues, but the concerned sector regulator shall be consulted and afforded reasonable opportunity to submit its own opinion and recommendation on the matter before the Commission makes a decision on any case.

Where appropriate, the Commission and the sector regulators shall work together to issue rules and regulations to promote competition, protect consumers, and prevent abuse of market power by dominant players within their respective sectors.

Section 33. Power to Investigate and Enforce Orders and Resolutions. – The Commission shall conduct inquiries by administering oaths, issuing subpoena *duces tecum* and summoning witnesses, and commissioning consultants or experts. It shall determine if any provision of this Act has been violated, enforce its orders and carry out its resolutions by making use of any available means, provisional or otherwise, under existing laws and procedures including the power to punish for contempt and to impose fines.

Section 34. Confidentiality of Information. – Confidential business information submitted by entities, relevant to any inquiry or investigation being conducted pursuant to this Act as well as any deliberation in relation thereto, shall not, in any manner, be directly or indirectly disclosed, published, transferred, copied, or disseminated. Likewise, the Commission shall, to the extent possible, subject such information to the confidentiality rule provided under this section when it issues notices, bulletins, rulings and other documents: *Provided*., That the confidentiality rule shall not apply if the notifying entity consents to the disclosure, or the document or information is mandatorily required to be disclosed by law or by a valid order of a court of competent jurisdiction or of a government or regulatory agency, including an exchange. The identity of the persons who provide information to the Commission under condition of anonymity, shall remain confidential, unless such confidentiality is expressly waived by these persons.

Any violation of this provision shall be imposed a fine of not less than one million pesos (P1,000,000.00) but not more than five million pesos (P5,000,000.00).

Section 35. Leniency Program. – The Commission shall develop a Leniency Program to be granted to any entity in the form of immunity from suit or reduction of any fine which would otherwise be imposed on a participant in an anti-competitive agreement as provided in Section 14(a) and 14(b) of this Act in exchange for the voluntary disclosure of information regarding such an agreement which satisfies specific criteria prior to or during the fact-finding or preliminary inquiry stage of the case.

Immunity from suit will be granted to an entity reporting illegal anti-competitive activity before a fact-finding or preliminary inquiry has begun if the following conditions are met:

- (a) At the time the entity comes forward, the Commission has not received information about the activity from any other source;
- (b) Upon the entity's discovery of illegal activity, it took prompt and effective action to terminate its participation therein;
- (c) The entity reports the wrongdoing with candor and completeness and provides full, continuing, and complete cooperation throughout the investigation; and

- (d) The entity did not coerce another party to participate in the activity and clearly was not the leader in, or the originator of, the activity.

Even after the Commission has received information about the illegal activity after a fact-finding or preliminary inquiry has commenced, the reporting entity will be granted leniency, provided preceding conditions (b) and (c) and the following additional requirements are complied with:

- (1) The entity is the first to come forward and qualify for leniency;
- (2) At the time the entity comes forward, the Commission does not have evidence against the entity that is likely to result in a sustainable conviction; and
- (3) The Commission determines that granting leniency would not be unfair to others.

Such program shall include the immunity from any suit or charge of affected parties and third parties, exemption, waiver, or gradation of fines and/or penalties giving precedence to the entity submitting such evidence. An entity cooperating or furnishing information, document or data to the Commission in connection to an investigation being conducted shall not be subjected to any form of reprisal or discrimination. Such reprisal or discrimination shall be considered a violation of this Act subject to the sanctions provided in this Act.

Nothing in this section shall preclude prosecution for entities that report to the Commission false, misleading, or malicious information, data or documents damaging to the business or integrity of the entities under inquiry as a violation of said section. An entity found to have reported false, misleading or malicious information, data, or document may be penalized by a fine not less than the penalty imposed in the section reported to have been violated by the entity complained of.

The DOJ-OFC may likewise grant leniency or immunity as provided in this section in the event that there is already a preliminary investigation pending before it.

Section 36. Nolo Contendere. – An entity charged in a criminal proceeding pursuant to Section 14(a) and 14(b) of this Act may enter a plea of *Nolo Contendere*, in which he does not accept nor deny responsibility for the charges but agrees to accept punishment as if he had pleaded guilty. The plea cannot be used against the defendant entity to prove liability in a civil suit arising from the criminal action nor in another cause of action: *Provided*, That a plea of *Nolo Contendere* may be entered only up to arraignment and subsequently, only with the permission of the court which shall accept it only after weighing its effect on the parties, the public and the administration of justice.

Section 37. Non-Adversarial Remedies. – As an implementing and enforcement policy, the Commission shall, under such rules and regulations it may prescribe, encourage voluntary compliance with this Act and other competition laws by making available to the parties concerned the following and other analogous non-adversarial administrative remedies, before the institution of administrative, civil or criminal action:

- (a) **Binding Ruling.** – Where no prior complaint or investigation has been initiated, any entity that is in doubt as to whether a contemplated act, course of conduct, agreement, or decision, is in compliance with, is exempt from, or is in violation of any of the provisions of this Act, other competition laws, or implementing rules and regulations thereof, may request the Commission, in writing, to render a binding ruling thereon: *Provided*, That the ruling is for a specified period, subject to extension as may be determined by the Commission, and based on substantial evidence. In the event of an adverse binding ruling on an act, course or conduct, agreement, or decision, the applicant shall be provided with a reasonable period, which in no case shall be more than ninety (90) days, to abide by the ruling of the Commission and shall not be subject to administrative, civil, or criminal action unless the applicant fails to comply with the provisions of this Act;
- (b) **Show Cause Order.** – Upon preliminary findings *motu proprio* or on written complaint under oath by an interested party that any entity is conducting its business, in whole or in part in a manner that may not be in accord with the provisions of this Act or other competition laws, and it finds that the issuance of a show

cause order would be in the interest of the public, the Commission shall issue and serve upon such entity or entities a written description of its business conduct complained of, a statement of the facts, data, and information together with a summary of the evidence thereof, with an order requiring the said entity or entities to show cause, within the period therein fixed, why no order shall issue requiring such person or persons to cease and desist from continuing with its identified business conduct, or pay the administrative fine therein specified, or readjust its business conduct or practices;

(c) **Consent Order.** – At any time prior to the conclusion by the Commission of its inquiry, any entity under inquiry may, without in any manner admitting a violation of this Act or any other competition laws, submit to the Commission a written proposal for the entry of a consent order, specifying therein the terms and conditions of the proposed consent order which shall include among others the following:

- (1) The payment of an amount within the range of fines provided for under this Act;
- (2) The required compliance report as well as an entity to submit regular compliance reports;
- (3) Payment of damages to any private party/parties who may have suffered injury; and
- (4) Other terms and conditions that the Commission deems appropriate and necessary for the effective enforcement of this Act or other Competition Laws:

Provided, That a consent order shall not bar any inquiry for the same or similar acts if continued or repeated;

(d) **Monitoring of Compliance.** – The Commission shall monitor the compliance by the entity or entities concerned, their officers, and employees, with the final and executory binding ruling, cease and desist order, or approval of a consent judgment. Upon motion of an interested party/parties, the Commission shall issue a certification or resolution to the effect that the entity or entities concerned have, or have not, as the case may be, complied with a final and executory ruling, order, or approval.

(e) **Inadmissibility of Evidence in Criminal Proceedings.** – The request for a binding ruling, the show cause order, or the proposal for consent order; the facts, data, and information therein contained or subsequently supplied by the entity or entities concerned; admissions, oral or written, made by them against their interest; all other documents filed by them, including their evidence presented in the proceedings before the Commission; and the judgment or order rendered thereon; shall not be admissible as evidence in any criminal proceedings arising from the same act subject of the binding ruling, show cause order or consent order against such entity or entities, their officers, employees, and agents.

Section 38. Contempt. – The Commission may summarily punish for contempt by imprisonment not exceeding thirty (30) days or by a fine not exceeding one hundred thousand pesos (P 100,000.00), or both, any entity guilty of such misconduct in the presence of the Commission in its vicinity as to seriously interrupt any hearing, session or any proceeding before it, including cases in which an entity willfully fails or refuses, without just cause, to comply with a summons, subpoena or subpoena *duces tecum* legally issued by the Commission being present at a hearing, proceeding, session or investigation, refused to be sworn as a witness or to answer questions or to furnish information when lawfully required to do so.

Section 39. Appeals of the Decisions of the Commission. – Decisions of the Commission shall be appealable to the Court of Appeals in accordance with the Rules of Court. The appeal shall not stay the order, ruling or decision sought to be reviewed, unless the Court of Appeals shall direct otherwise upon such terms and conditions it may deem just. In the appeal, the Commission shall be included as a party respondent to the case.

Section 40. Writ of Execution. – Upon the finality of its binding ruling, order, resolution, decision, judgment, or rule or regulation, collectively, the Commission may issue a writ of execution to enforce its decision and the payment of the administrative fines provided in the preceding sections.

Section 41. Basic Necessities and Prime Commodities. – If the violation involves the trade or movement of basic necessities and

prime commodities as defined by Republic Act No. 7581, as amended, the fine imposed by the Commission or the courts, as the case may be, shall be tripled.

Section 42. Immunity from Suit. – The Chairperson, the Commissioners, officers, employees and agents of the Commission shall not be subject to any action, claim or demand in connection with any act done or omitted by them in the performance of their duties and exercise of their powers except for those actions and omissions done in evident bad faith or gross negligence.

Section 43. Indemnity. – Unless the actions of the Commission or its Chairperson, any of its Commissioners, officers, employees and agents are found to be in willful violation of this Act, performed with evident bad faith or gross negligence, the Commission, its Chairperson, Commissioners, officers, employees and agents are held free and harmless to the fullest extent permitted by law from any liability, and they shall be indemnified for any and all liabilities, losses, claims, demands, damages, deficiencies, costs and expenses of whatsoever kind and nature that may arise in connection with the exercise of their powers and performance of their duties and functions.

The Commission shall underwrite or advance litigation costs and expenses, including legal fees and other expenses of external counsel, or provide legal assistance to its Chairperson, Commissioners, officers, employees, or agents in connection with any civil, criminal, administrative or any other action or proceeding, to which they are made a party by reason of, or in connection with, the exercise of authority or performance of duties and functions under this Act: *Provided,* That such legal protection shall not apply to any civil, criminal, administrative, or any action or proceeding that may be initiated by the Commission, against such Chairperson, Commissioners, officers, employees, or agents: *Provided, further,* That the Chairperson, Commissioners, officers, employees, or agents, who shall resign, retire, transfer to another agency or be separated from the service, shall continue to be provided with such legal protection in connection with any act done or omitted to be done by them in good faith during their tenure or employment with the Commission: *Provided, finally,* That in the event of a settlement or compromise, indemnification shall be provided only in connection with such matters covered by the settlement as to which the Commission is advised by counsel that the persons to be indemnified did not commit any negligence or misconduct.

The costs and expenses incurred in defending the aforementioned action, suit or proceeding may be paid by the Commission in advance of the final disposition of such action, suit or proceeding upon receipt of an undertaking by or on behalf of the Chairperson, Commissioner, officer, employee, or agent to repay the amount advanced should it ultimately be determined by the Commission that one is not entitled to be indemnified as provided in this section.

Section 44. Jurisdiction of the Regional Trial Court. – The Regional Trial Court of the city or province where the entity or any of the entities whose business act or conduct Constitutes the subject matter of a case, conducts its principal place of business, shall have original and exclusive jurisdiction, regardless of the penalties and fines herein imposed, of all criminal and civil cases involving violations of this Act and other competition-related laws. If the defendant or anyone is charged in the capacity of a director, officer, shareholder, employee, or agent of a corporation or other juridical entity who knowingly and willfully authorized the commission of the offense charged, the Regional Trial Court of the city or province where such corporation or juridical entity conducts its principal place of business, shall have jurisdiction.

Section 45. Private Action. – Any person who suffers direct injury by reason of any violation of this Act may institute a separate and independent civil action after the Commission has completed the preliminary inquiry provided under Section 31.

CHAPTER VIII - OTHER PROVISIONS

Section 46. Statute of Limitations. – Any action arising from a violation of any provision of this Act shall be forever barred unless commenced within five (5) years from:

- For criminal actions, the time the violation is discovered by the offended party, the authorities, or their agents; and
- For administrative and civil actions, the time the cause of action accrues.

Section 47. Prohibition on the Issuance of Temporary Restraining Orders, Preliminary Injunctions and Preliminary Mandatory Injunctions. — Except for the Court of Appeals and the Supreme Court, no other court shall issue any temporary restraining order, preliminary injunction or preliminary mandatory injunction against the Commission in the exercise of its duties or functions: *Provided*, That, this prohibition shall apply in all cases, disputes or controversies instituted by a private party, including, but not limited to, cases filed by entities or those claiming to have rights through such entities: *Provided, however*, That, this prohibition shall not apply when the matter is of extreme urgency involving a constitutional issue, such that the non-issuance of a temporary restraining order will result in grave injustice and irreparable injury to the public: *Provided, further*, That, the applicant shall file a bond, in an amount to be fixed by the Court, but in no case shall it exceed twenty percent (20%) of the imposable fines provided for under Chapter VI, Section 29 of this Act: *Provided, finally*, That in the event that the court finally decides that the applicant was not entitled to the relief applied for, the bond shall accrue in favor of the Commission.

Any temporary restraining order, preliminary injunction or preliminary mandatory injunction issued in violation of this section is void and of no force and effect. Any judge who violates this section shall be penalized by suspension of at least one (1) year without pay in addition to other criminal, civil or administrative penalties.

Section 48. Trade Associations. — Nothing contained in this Act shall be construed to prohibit the existence and operation of trade associations organized to promote quality standards and safety issues: *Provided*, That, these associations shall not in any way be used to justify any violation of this Act: *Provided, however*, That it shall not be illegal to use the association as a forum to discuss or promote quality standards, efficiency, safety, security, productivity, competitiveness and other matters of common interest involving the industry: *Provided, further*, That such is done without any anti-competitive intent or effect.

Section 49. Congressional Oversight Committee. — To oversee the implementation of this Act, there shall be created a Congressional Oversight Committee on Competition (COCC) to be composed of the Chairpersons of the Senate Committees on Trade and Commerce, Economic Affairs, and Finance, the Chairpersons of the House of Representatives Committees on Economic Affairs, Trade and Industry, and Appropriations and two (2) members each from the Senate and the House of Representatives who shall be designated by the Senate President and the Speaker of the House of Representatives: *Provided*, That one (1) of the two (2) Senators and one (1) of the two (2) House Members shall be nominated by the respective Minority Leaders of the Senate and the House of Representatives. The Congressional Oversight Committee shall be jointly chaired by the Chairpersons of the Senate Committee on Trade and Commerce and the House of Representatives Committee on Economic Affairs. The Vice Chairperson of the Congressional Oversight Committee shall be jointly held by the Chairpersons of the Senate Committee on Economic Affairs and the House of Representatives Committee on Trade and Industry. The Secretariat of the COCC shall be drawn from the existing personnel of the Senate and House of Representatives committees comprising the Congressional Oversight Committee.

CHAPTER IX - FINAL PROVISIONS

Section 50. Implementing Rules and Regulations. — Within one hundred eighty (180) days from the effectivity of this Act, the Commission, in consultation with the DOJ-OFC and concerned sector regulators shall promulgate the necessary implementing rules and regulations for the implementation of this Act: *Provided*, That, the Commission may revise such implementing rules and regulations as it deems necessary: *Provided, however*, That such revised implementing rules and regulations shall only take effect fifteen (15) days following its publication in two (2) newspapers of general circulation.

Section 51. Appropriations and Use of Fees, Charges and Penalties. — The initial budgetary requirements of the Commission of three hundred million pesos (P300,000,000.00) is hereby appropriated.  All fees, fines, penalties collected by the Commission shall not be retained by the Commission, but will be remitted to the National Treasury and shall accrue to the general funds. Such funds necessary for the continuous and effective operation of the Commission shall be included in the annual General Appropriations Act.

Section 52. Transparency Clause. — Final decisions, orders and rulings of the Commission shall be published on the official website subject to Section 34 of this Act. Records of public proceedings shall be made available to the public subject to Section 34 of this Act.*lawphi1*

Section 53. Transitional Clause. — In order to allow affected parties time to renegotiate agreements or restructure their business to comply with the provisions of this Act, an existing business structure, conduct, practice or any act that may be in violation of this Act shall be subject to the administrative, civil and criminal penalties prescribed herein only if it is not cured or is continuing upon the expiration of two (2) years after the effectivity of this Act: *Provided*, That this section shall not apply to administrative, civil and criminal proceedings against anticompetitive agreement or conduct, abuse of dominant position, and anti-competitive mergers and acquisitions, initiated prior to the entry into force of this Act: *Provided, further*, That during the said two (2)-year period, the government shall undertake an advocac program to inform the general public of the provisions of this Act.

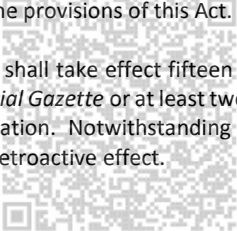
Section 54. Separability Clause. — If any clause, sentence, section or part of this Act shall be adjudged by a court of competent jurisdiction to be invalid, such judgment shall not affect, impair or invalidate the remainder of this Act, but shall be confined in its operation to the clause, sentence, paragraph, section, or part thereof directly involved in the controversy.

Section 55. Repealing Clause. — The following laws, and all other laws, decrees, executive orders and regulations, or part or parts thereof inconsistent with any provision of this Act, are hereby repealed, amended or otherwise modified accordingly:

- (a) Article 186 of Act No. 3815, otherwise known as the Revised Penal Code: *Provided*, That violations of Article 186 of the Revised Penal Code committed before the effectivity of this Act may continue to be prosecuted unless the same have been barred by prescription, and subject to the procedure under Section 31 of this Act;
- (b) Section 4 of Commonwealth Act No. 138;
- (c) Section 43(u) on Functions of the ERC of Republic Act No. 9136, entitled "An Act Ordaining Reforms in the Electric Power Industry, Amending for the Purpose Certain Laws and for Other Purposes", otherwise known as the "Electric Power Industry Reform Act of 2001", insofar as the provision thereof is inconsistent with this Act;
- (d) Section 24 on Illegal Acts of Price Manipulation and Section 25 on Penalty for Illegal Acts of Price Manipulation of Republic Act No. 9502, entitled "An Act Providing for Cheaper and Quality Medicines, Amending for the Purpose Republic Act No. 8293 or the Intellectual Property Code, Republic Act No. 6675 or the Generics Act of 1988, and Republic Act No. 5921 or the Pharmacy Law, and for Other Purposes", otherwise known as the "Universally Accessible Cheaper and Quabrty Medicines Act of 2008". insofar as the provisions thereof are inconsistent with this Act; and
- (e) Executive Order No. 45, Series of 2011, Designating the Department of Justice as the Competition Authority, Department of Justice Circular 005 Series of 2015, and other related issuances, insofar as they are inconsistent with the provisions of this Act.

Section 56. Effectivity Clause. — This Act shall take effect fifteen (15) days following its publication in the *Official Gazette* or at least two (2) national newspapers of general circulation. Notwithstanding any provision herein, this Act shall have no retroactive effect.

--End--



1. Product market and _____ market are the components of the relevant market.
 - a. Demographic
 - b. Geographic
 - c. Free
 - d. Class

2. There is a rebuttable presumption of market dominance if the market share of an entity in the relevant market is _____.
 - a. More than 50%
 - b. At least 66.67%
 - c. At least 50%
 - d. More than 66.667%

3. Which of the following is not a violation of the Philippine Competition Act?
 - a. A notified transaction is consummated before the expiration of the waiting periods
 - b. The transaction breached the thresholds and no notification was filed
 - c. None of the following
 - d. A notifiable transaction is notified beyond the prescribed period
 - e. The transaction did not breach the thresholds but may substantially lessen competition

4. Under the PCA, merger or acquisition agreements that _____ prevent, lessen or restrict competition in the relevant market shall be _____.
 - a. Somehow; encouraged
 - b. Negligibly; encouraged
 - c. Substantially; prohibited
 - d. Slightly; prohibited

5. Control confers the possibility of exercising _____ influence.
 - a. Relevant
 - b. Significant
 - c. Economic
 - d. Decisive

6. Certain agreements which, because of their pernicious effect on competition and lack of any redeeming virtues, are conclusively presumed to be unreasonable and therefore illegal are _____.
 - a. Anti-competitive but may be exempted when it is proven that the gains in efficiencies brought about by the conduct outweigh the harms to competition in the market
 - b. Per se anti-competitive
 - c. Malum per se
 - d. Anti-competitive agreement by object or effect

7. Restricting the output has the same effect as _____.
 - a. Increasing the input
 - b. Decreasing the price
 - c. Increasing the price
 - d. Restricting the price

8. One is not like the others
 - a. Bid suppression or limitation
 - b. On-site bidder
 - c. Complementary or cover bids
 - d. Bid allocation

9. I. Reasonableness of the prices charge is a defense to price fixing.
 II. A per se anti-competitive agreement must always directly affect price
 III. A per se anti-competitive conduct may only be committed by one who exercises market dominance.
 IV. Bid-rigging arises only in government procurement



- a. Only one is true
 - b. All are false
 - c. Only one is false
 - d. All are true
 - e. Only two are true
10. The two elements of an offense under section 15 of the PCA are possession of a dominant position and _____.
- a. Increasing the prices beyond what is fair
 - b. Entering into agreements with suppliers
 - c. Anti-competitive conduct
 - d. Acquisition of competitors
11. Dominance is the ability to _____ the _____ independently from competitors, customers, suppliers, or consumers
- a. Oversee; production
 - b. Overlook; production
 - c. Control; relevant market
 - d. Supervise; supply chain
12. The best regulator of the price is the _____.
- a. Congress
 - b. Bidder
 - c. Competition Authority
 - d. Market
13. Any action arising from a violation of any provision of the PCA shall forever be barred unless commenced within _____ years from a) for criminal actions, the time of the violation is discovered by the offended party, the authorities, or their agents; and, b) for administrative and civil actions, the time the cause of action accrues
- a. 10
 - b. 15
 - c. 5
 - d. 20
14. Statement 1: The Philippine Competition Act applies to the combinations or activities of workers or employees designed solely to facilitate collective bargaining
- Statement 2: Acts done outside the Philippines may likewise be covered by the Philippine Competition Act
- a. Only Statement 1 is true
 - b. Only Statement 2 is true
 - c. Both statements are true
 - d. Both statements are not true
15. It refers to a position of economic strength that an entity or entities hold which makes it capable of controlling the relevant market independently from any or a combination of the following: competitors, customers, suppliers or consumers
- a. Controlling position
 - b. Market leading position
 - c. Dominant position
 - d. Monopoly



LABOR STANDARDS
PRESIDENTIAL DECREE No. 442

A DECREE INSTITUTING A LABOR CODE, THEREBY REVISING AND CONSOLIDATING LABOR AND SOCIAL LAWS TO AFFORD PROTECTION TO LABOR, PROMOTE EMPLOYMENT AND HUMAN RESOURCES DEVELOPMENT AND ENSURE INDUSTRIAL PEACE BASED ON SOCIAL JUSTICE.

Book Three - CONDITIONS OF EMPLOYMENT
Title I - Working Conditions and Rest Periods

Chapter 1 - HOURS OF WORK

Article 82. Coverage. The provision of this Title shall apply to employees in all establishments and undertakings, whether for profit or not, but not to government employees, managerial employees, field personnel, members of the family of the employer who are dependent on him for support, domestic helpers, persons in the personal service of another and workers who are paid by results as determined by the Secretary of Labor and Employment in appropriate regulations.

As used herein, "managerial employees" refers to those whose primary duty consists of the management of the establishment in which they are employed or of a department or subdivision thereof, and to other officers or members of the managerial staff.

"Field personnel" refers to non-agricultural employees who regularly perform their duties away from the principal place of business or branch office of the employer and whose actual hours of work in the field cannot be determined with reasonable certainty.

Article 83. Normal hours of work. The normal hours of work of any employee shall not exceed eight in a day.

Article 84. Hours worked. Hours worked shall include (a) all time during which an employee is required to be on duty or to be at a prescribed workplace, and (b) all time during which an employee is suffered or permitted to work.
Rest periods of short duration during working hours shall be counted as hours worked.

Article 85. Meal periods. Subject to such regulations as the Secretary of Labor and Employment may prescribe, it shall be the duty of every employer to give his employees not less than sixty minutes time-off for their regular meals.

Article 86. Night shift differential. Every employee shall be paid a night shift differential of not less than ten percent of his regular wage for each hour of work performed between ten o'clock in the evening and six o'clock in the morning.

Article 87. Overtime work. Work may be performed beyond eight hours a day provided that the employee is paid for the overtime work an additional compensation equivalent to his regular wage plus at least twenty-five percent thereof. Work performed beyond eight hours on a holiday or rest day shall be paid an additional compensation equivalent to the rate for the first eight hours on a holiday or rest day plus at least 30 percent thereof.

Article 88. Undertime not offset be overtime. Undertime work on any particular day shall not be offset by overtime work on any other day. Permission given to the employee to go on leave on some other day of the week shall not exempt the employer from paying the additional compensation required in this Chapter.

Article 89. Emergency overtime work. Any employee may be required by the employer to perform overtime work in any of the following cases:

- (a) When the country is at war or when any other national or local emergency has been declared by Congress or the Chief Executive;
- (b) When it is necessary to prevent loss of life or property or in case of imminent danger to public safety due to an actual or impending emergency in the locality caused by serious accidents, fire, flood, typhoon, earthquake, epidemic or other disaster or calamity;

- (c) When there is urgent work to be performed on machines, installation or equipment, in order to avoid serious loss or damage to the employer or some other cause of similar nature;
- (d) When the work is necessary to prevent loss or damage to perishable goods;
- (e) Where the completion or continuation of the work started before the 8th hour is necessary to prevent serious obstruction or prejudice to the business or operations of the employer.

Any employee required to render overtime work under this Article shall be paid the additional compensation required in this Chapter.

Article 90. Computation of additional compensation. For purposes of computing overtime and other additional remuneration as required by this Chapter, the "regular wage" of an employee shall include the cash wage only, without deduction on account of facilities provided by the employer.

Chapter 2 - WEEKLY REST PERIODS

Article 91. Right to weekly rest day. (a) It shall be the duty of every employer, whether operating for profit or not, to provide each of his employees a rest period of not less than twenty-four consecutive hours after every six consecutive normal work days.

(b) The employer shall determine and schedule the weekly rest day of his employees, subject to collective agreement and to such rules and regulations as the Secretary of Labor and Employment may provide. However, the employer shall respect the preference of employees as to their weekly rest day when such preference is based on religious grounds.

Article 92. When employer may require work on a rest day. The employer may require his employees to work on any day:

- (a) In case of actual or impending emergencies caused by serious accidents, fire, flood, typhoon, earthquake, epidemic or other disaster or calamity to prevent loss of life and property or imminent danger to public safety;
- (b) In case of urgent work to be performed on the machinery, equipment or installation to avoid serious loss which the employer would otherwise suffer;
- (c) In the event of abnormal pressure of work due to special circumstances, where the employer cannot ordinarily be expected to resort to other measures;
- (d) To prevent loss or damage to perishable goods;
- (e) Where the nature of the work requires continuous operations and the stoppage of work may result in irreparable injury or loss to the employer; and
- (f) Under other circumstances analogous or similar to the foregoing as determined by the Secretary of Labor and Employment.

Article 93. Compensation for rest day, Sunday or holiday work. (a) Where an employee is made or permitted to work on his scheduled rest day, he shall be paid an additional compensation of at least 30 percent of his regular wage. An employee shall be entitled to such additional compensation for work performed on Sunday only when it is his established rest day.

(b) When the nature of the work of the employee is such that he has no regular workdays and no regular rest days can be scheduled, he shall be paid an additional compensation of at least 30 percent of his regular wage for work performed on Sundays and holidays.

(c) Work performed on any special holiday shall be paid an additional compensation of at least 30 percent of the regular wage of the employee. Where such holiday work falls on the employee's scheduled rest day, he shall be entitled to an additional compensation of at least 50 percent of his regular wage.

(d) Where the collective bargaining agreement or other applicable employment contract stipulates the payment of a higher premium pay than that prescribed under this Article, the employer shall pay such higher rate.

Chapter 3 - HOLIDAYS, SERVICE INCENTIVE LEAVES AND SERVICE CHARGES

Article 94. Right to holiday pay. (a) Every worker shall be paid his regular daily wage during regular holidays, except in retail and service establishment regularly employing less than ten workers;

(b) The employer may require an employee to work on any holiday but such employee shall be paid a compensation equivalent to twice his regular rate; and

(c) As used in this Article, "holiday" includes: New Year's Day, Maundy Thursday, Good Friday, the ninth of April, the first of May, the twelfth of June, last Sunday of August, first of November, the thirtieth of November, the twenty-fifth and the thirtieth of December, thirty-first of December, and the day designated by law for holding a general election.

Article 95. Right to service incentive leave. (a) Every employee who has rendered at least one year of service shall be entitled to a yearly service incentive leave of five days with pay.

(b) This provision shall not apply to those who are already enjoying the benefit herein provided, those enjoying vacation leave with pay at least five days and those employed in establishments regularly employing less than ten employees or in establishments exempted from granting this benefit by the Secretary of Labor after considering the viability or financial condition of such establishment.

(c) The grant of benefit in excess of that provided herein shall not be made a subject of arbitration or any court or administrative action.

Article 96. Service charges. All service charges collected by hotels, restaurants and similar establishments shall be distributed at the rate of 85 percent for all covered employees and 15 percent for management. The share of the employees shall be equally distributed among them. In case the service charge is abolished, the share of the covered employees shall be integrated into their wages.

Title II - Wages
Chapter 1 - PRELIMINARY MATTERS

Article 97. Definitions. As used in this Title: (a) "Person" means an individual, partnership, association, corporation, business trust, legal representative or any organized group of person.

(b) "Employer" includes any person acting directly or indirectly in the interest of an employer in relation to an employee and shall include the Government and all its branches, subdivisions and instrumentalities, all government-owned or controlled corporations and institutions, as well as non-profit private institutions or organizations.

(c) "Employee" includes any individual employed by an employer.

(d) "Agriculture" includes farming in all its branches and among other things includes the cultivation and tillage of soil, dairying, the production, cultivation, growing and harvesting of any agricultural and horticultural commodities, the raising of livestock or poultry, and any practices performed by a farmer or on a farm as an incident to or in conjunction with such farming operations, but does not include the manufacturing or processing of sugar, coconuts, abaca, tobacco, pineapples or other farm products.

(e) "Employ" means to suffer or permit to work.

(f) "Wage" paid to any employee shall mean the remuneration or earnings, however designated, capable of being expressed in terms of money, whether fixed or ascertained on a time, task, piece, or commission basis, or other method of calculating the same, which is payable by an employer to an employee under a written or unwritten contract of employment for work done or to be done or for services rendered or to be rendered and includes the fair and reasonable

value, as determined by the Secretary of Labor and Employment, of board, lodging or other facilities customarily furnished by the employer to the employee. "Fair and reasonable value" shall not include any profit to the employer or to any person affiliated with the employer.

Article 98. Application of Title. This Title shall not apply to farm tenancy or leasehold, domestic service and persons working in their respective homes in needlework or in any cottage industry duly registered in accordance with law.

Chapter 2 - MINIMUM WAGE RATES

Article 99. Regional Minimum Wages. The minimum wage rates for agricultural and non-agricultural employees and workers in each and every region of the country shall be determined by the Commission, which shall be attached to the Department of Labor and Employment (DOLE) for policy and program coordination.

Article 100. Prohibition against elimination or diminution of benefits. Nothing in this Book shall be construed to eliminate or in any way diminish supplements or other employee benefits being enjoyed at the time of the promulgation of this Code.

Article 101. Payment by results. The Secretary of Labor and Employment shall regulate the payment of wages by results, including pakyao, piecework and other non-time work, in order to ensure the payment of fair and reasonable wage rates, preferably through time and motion studies or in consultation with representatives of workers' and employers' organizations.

Title III - Working Conditions for Special Groups of Employees
Chapter 1 - EMPLOYMENT OF WOMEN

Article 130. Night work prohibition. No woman, regardless of age, shall be employed or permitted or suffered to work, with or without compensation:

(a) In any industrial undertaking or branch thereof between ten o'clock at night and six o'clock in the morning of the following day;

(b) In any commercial or non-industrial undertaking or branch thereof, other than agricultural, between midnight and six o'clock in the morning of the following day; or

(c) In any agricultural undertaking at night time unless she is given a period of rest of not less than nine consecutive hours.

Article 131. Exceptions. The prohibition prescribed by the preceding Article shall not apply in any of the following cases:

(a) In cases of actual or impending emergencies caused by serious accident, fire, flood, typhoon, earthquake, epidemic or other disasters or calamity, to prevent loss of life or property or in cases of force majeure or imminent danger to public safety;

(b) In case of urgent work to be performed on machineries, equipment or installation, to avoid serious loss which the employer would otherwise suffer;

(c) Where the work is necessary to prevent serious loss of perishable goods;

(d) Where the woman employee holds a responsible position of managerial or technical nature, or where the woman employee has been engaged to provide health and welfare services;

(e) Where the nature of the work requires the manual skill and dexterity of woman worker and the same cannot be performed with equal efficiency by male worker;

(f) Where the women employees are immediate members of the family operating the establishment or undertaking; and

(g) Under other analogous cases exempted by the Secretary of Labor and Employment in appropriate regulations.

Article 132. Facilities for women. The Secretary of Labor and Employment shall establish standards that will ensure the safety and health of women employees. In appropriate cases, he shall by regulations require any employer to:

- (a) Provide seats proper for women and permit them to use such seats when they are free from work and during working hours, provided they can perform their duties in this position without detriment to efficiency;
- (b) Establish separate toilet rooms and lavatories for men and women and provide at least a dressing room for women;
- (c) Establish a nursery in a workplace for the benefit of the woman employees therein; and
- (d) Determine appropriate minimum age and other standards for retirement or termination in special occupations such as those of flight attendants and the like.

Article 133. Maternity leave benefits. (a) Every employer shall grant to any pregnant woman employees who has rendered an aggregate service of at least six months for the last twelve months, maternity leave of at least two weeks prior to the expected date of delivery and another four weeks after normal delivery or abortion, with full pay based on her regular or average weekly wages. The employer may require from any woman employee applying for maternity leave the presentation of a medical certificate stating that delivery will probably take place within two weeks.

- (b) The maternity leave shall be extended without pay on account of illness medically certified to arise out of the pregnancy, delivery, abortion or miscarriage, which renders the woman unfit for work, unless she has earned unused leave credits from which such extended leave may be charged.
- (c) The maternity leave provided in this Article shall be paid by the employer only for the first four deliveries by a woman employee after the effectivity of this Code.

Article 134. Family planning services; incentives for family planning. (a) Establishments which are required by law to maintain a clinic or infirmary shall provide free family planning services to their employees which shall include, but not limited to, the application or use of contraceptive pills and intra-uterine devices.

- (b) In coordination with other agencies of the government engaged in the promotion of family planning, the Department of Labor and Employment shall develop and prescribe incentive bonus schemes to encourage family planning among female workers in any establishment or enterprise.

Article 135. Discrimination prohibited. It shall be unlawful for any employer to discriminate against any woman employee with respect to terms and conditions of employment solely on account of her sex.

The following are **acts of discrimination**:

- (a) Payment of a lesser compensation, including wage, salary or other form of remuneration and fringe benefits, to a female employee as against a male employee, for work of equal value; and
- (b) Favoring a male employee over a female employee with respect to promotion, training opportunities, study and scholarship grant solely on account of their sexes.

Criminal liability for the willful commission of any unlawful act as provided in this article or any violation of the rules and regulations issued pursuant to Section 2 hereof shall be penalized as provided in Articles 288 and 289 of this Code: Provided, That the institution of any criminal action under this provision shall not bar the aggrieved employee from filing an entirely separate and distinct action for money claims, which may include claims for damages and other affirmative reliefs. The actions hereby authorized shall proceed independently of each other.

Article 136. Stipulation against marriage. It shall be unlawful for an employer to require as a condition of employment or continuation of employment that a woman employee shall not get married, or to

stipulate expressly or tacitly that upon getting married a woman employee shall be deemed resigned or separated or to actually dismiss, discharge, discriminate or otherwise prejudice a woman employee merely by reason of her marriage.

Article 137. Prohibited acts. (a) It shall be unlawful for any employer:

- (1) To deny any woman employee the benefits provided for in this Chapter or to discharge any woman employed by him for the purpose of preventing her from enjoying any of the benefits provided under this Code;
- (2) To discharge such woman on account of her pregnancy, while on leave or in confinement due to her pregnancy; or
- (3) To discharge or refuse the admission of such woman upon returning to her work for fear that she may again be pregnant.

Article 138. Classification of certain women workers. Any woman who is permitted or suffered to work with or without compensation in any night club, cocktail lounge, massage clinic, bar or similar establishment, under the effective control or supervision of the employer for a substantial period of time as determined by the Secretary of Labor and Employment, shall be considered as an employee of such establishments for purposes of labor and social legislation.

Chapter 3 - EMPLOYMENT OF HOUSEHELPERS

Article 141. Coverage. The Chapter shall apply to all persons rendering services in households for compensation.

"Domestic or household services" shall mean service in the employer's home which is usually necessary or desirable for the maintenance and enjoyment thereof and includes ministering to the personal comfort and convenience of the members of the employer's household, including services of family drivers.

Article 142. Contract of domestic service. The original contract of domestic service shall not last for more than two years but it may be renewed for such periods as may be agreed upon by the parties.

Article 143. Minimum wage. (a) Househelpers shall be paid the following minimum wage rates:

- (1) Sixty pesos (P60.00) a month for housekeepers in Manila, Quezon, Pasay and Caloocan cities and the municipalities of Makati, San Juan, Mandaluyong, Muntinlupa, Navotas, Malabon, Parañaque, Las Piñas, Pasig and Marikina in Rizal province.
- (2) Forty-five pesos (P45.00) a month for those in other chartered cities and first class municipalities.
- (3) Thirty pesos (P30.00) a month for those in other municipalities.

Article 144. Minimum cash wage. The minimum wage rates prescribed under this Chapter shall be the basic cash wages which shall be paid to the househelper in addition to lodging, food and medical attendance.

Article 145. Assignment to non-household work. No househelper shall be assigned to work in a commercial, industrial or agricultural enterprise at a wage or salary rate lower than that provided for agricultural or non-agricultural worker as prescribed herein.

Article 146. Opportunity for education. If the househelper is under the age of eighteen years, the employer shall give him or her an opportunity for at least elementary education. The cost of such education shall be part of the househelper's compensation, unless there is a stipulation to the contrary.

Article 147. Treatment of househelpers. The employer shall treat the househelper in a just and humane manner. In no case shall physical violence be used upon the househelper.

Article 148. Board, lodging and medical attendance. The employer shall furnish the househelper free of charge suitable and sanitary living quarters as well as adequate food and medical attendance.

Article 149. Indemnity for unjust termination of services. If the period of household service is fixed, neither the employer nor the househelper may terminate the contract before the expiration of the term, except for a just cause. If the househelper is unjustly dismissed, he or she shall be paid the compensation already earned plus that of 15 days by way of indemnity.

If the househelper leaves without justifiable reason, he or she shall forfeit any unpaid salary due him or her not exceeding 15 days.

Article 150. Service of termination notice. If the duration of the household service is not determined either by stipulation or by the nature of the service, the employer or the househelper may give notice to put an end to the relationship five days before the intended termination of the service.

Article 151. Employment certification. Upon the severance of the household service relation, the employer shall give the househelper a written statement of the nature and duration of the service and his or her efficiency and conduct as househelper.

Article 152. Employment records. The employer may keep such records as he may deem necessary to reflect the actual terms and conditions of employment of his househelper which the latter shall authenticate by signature or thumbmark upon request of the employer.

REPUBLIC ACT No. 11210

An Act Increasing the Maternity Leave Period to One Hundred Five (105) Days for Female Workers With an Option to Extend for an Additional Thirty (30) Days Without Pay, and Granting an Additional Fifteen (15) Days for Solo Mothers, and for Other Purposes

Section 1. Short Title. - This Act shall be known and cited as the **"105-Day Expanded Maternity Leave Law"**.

Section 2. Declaration of Policy. — It is the declared policy of the State under Article XIII, Section 14 of the 1987 Constitution to protect and promote the rights and welfare of working women, taking into account them maternal functions, and to provide an enabling environment in which their full potential can be achieved.

Article II, State Policies, Section 12 of the 1987 Constitution provides that the State recognizes the sanctity of family life and shall protect and strengthen the family as the basic autonomous social institution and that it shall equally protect the life of the mother and the life of the unborn from conception. Moreover, Sections 17 and 22 of Republic Act No. 9710, otherwise known as "The Magna Carta of Women", provides for women's rights to health and decent work.

To achieve these, and in recognition of women's maternal function as a social responsibility, the State shall institutionalize a mechanism to expand the maternity leave period of women workers. This will provide them with ample transition time to regain health and overall wellness as well as to assume maternal roles before resuming paid work. This Act is consistent with local and international legal instruments that protect and promote the rights of women.

Section 3. Grant of Maternity Leave.— All covered female workers in government and the private sector, including those in the informal economy, regardless of civil status or the legitimacy of her child, shall be granted one hundred five (105) days maternity leave with full pay and an option to extend for an additional thirty (30) days without pay: *Provided*, That in case the worker qualifies as a solo parent under Republic Act No. 8972, or the "Solo Parents' Welfare Act", the worker shall be granted an additional fifteen (15) days maternity leave with full pay.

Enjoyment of maternity leave cannot be deferred but should be availed of either before or after the actual period of delivery in a continuous and uninterrupted manner, not exceeding one hundred five (105) days, as the case may be.

Maternity leave shall be granted to female workers in every instance of pregnancy, miscarriage or emergency termination of pregnancy, regardless of frequency: *Provided*, That for cases of miscarriage or

emergency termination of pregnancy, sixty (60) days maternity leave with full pay shall be granted.

Section 4. Maternity Leave for Female Workers in the Public Sector.— Any pregnant female worker in the government service, regardless of employment status, in National Government Agencies (NGAs), Local Government Units (LGUs), Government-Owned or - Controlled Corporations (GOCCs), or State Universities and Colleges (SUCs), shall be granted a maternity leave of one hundred five (105) days with full pay regardless if the delivery was normal or caesarian: *Provided*, That, in case the employee qualifies as a solo parent under Republic Act No. 8972, or the "Solo Parents' Welfare Act", the employee shall be paid an additional maternity benefit of fifteen (15) days. An additional maternity leave of thirty (30) days, without pay, can be availed of, at the option of the female worker: *Provided, further*, That, the head of the agency shall be given due notice, in writing, at least forty-five (45) days before the end of her maternity leave: *Provided, finally*, That no prior notice shall be necessary in the event of a medical emergency but subsequent notice shall be given to the head of the agency.

Maternity leave of sixty (60) days, with full pay, shall be granted for miscarriage or emergency termination of pregnancy.

Section 5. Maternity Leave for Female Workers in the Private Sector.— Any pregnant female worker in the private sector shall be granted a maternity leave of one hundred five (105) days with full pay, regardless of whether she gave birth via caesarian section or natural delivery, while maternity leave of sixty (60) days with full pay shall be granted for miscarriage or emergency termination of pregnancy.

(a) A female Social Security System (SSS) member who has paid at least three (3) monthly contributions in the twelve (12)-month period immediately preceding the semester of her childbirth, miscarriage, or emergency termination of pregnancy shall be paid her daily maternity benefit which shall be computed based on her average monthly salary credit for one hundred five (105) days, regardless of whether she gave birth via caesarian section or natural delivery, subject to the following conditions:

- (1) That the female worker shall have notified her employer of her pregnancy and the probable date of her childbirth, which notice shall be transmitted to the SSS in accordance with the rules and regulations it may provide;
- (2) That the full payment shall be advanced by the employer within thirty (30) days from the filing of the maternity leave application;
- (3) That payment of daily maternity benefits shall be a bar to the recovery of sickness benefits provided under Republic Act No. 1161, as amended, for the same period for which daily maternity benefits have been received;
- (4) That the SSS shall immediately reimburse the employer of one hundred percent (100%) of the amount of maternity benefits advanced to the female worker by the employer upon receipt of satisfactory and legal proof of such payment; and
- (5) That if a female worker should give birth or suffer a miscarriage or emergency termination of pregnancy without the required contributions having been remitted for her by her employer to the SSS, or without the latter having been previously notified by the employer of the time of the pregnancy, the employer shall pay to the SSS damages equivalent to the benefits which said female member would otherwise have been entitled to.

In case the employee qualifies as a solo parent under Republic Act No. 8972, or the "Solo Parents' Welfare Act", the employee shall be paid an additional maternity benefit of fifteen (15) days.

(b) An additional maternity leave of thirty (30) days, without pay, can be availed of, at the option of the female worker: *Provided*, That the employer shall be given due notice, in writing, at least forty-five (45) days before the end of her maternity leave: *Provided, further*, That no prior notice shall be necessary in

the event of a medical emergency but subsequent notice shall be given to the head of the agency.

(c) Workers availing of the maternity leave period and benefits must receive their full pay. Employers from the private sector shall be responsible for payment of the salary differential between the actual cash benefits received from the SSS by the covered female workers and their average weekly or regular wages, for the entire duration of the maternity leave, with the following exceptions, subject to the guidelines to be issued by the Department of Labor and Employment (DOLE):

- (1) Those operating distressed establishments;
- (2) Those retail/service establishments and other enterprises employing not more than ten (10) workers;
- (3) Those considered as micro-business enterprises and engaged in the production, processing, or manufacturing of products or commodities including agro-processing, trading, and services, whose total assets are not more than Three million pesos (₱3,000,000.00); and
- (4) Those who are already providing similar or more than the benefits herein provided.

Provided, That said exemptions shall be subject to an annual submission of a justification by the employer claiming exemption for the approval of the DOLE.

Section 6. Allocation of Maternity Leave Credits.— Any female worker entitled to maternity leave benefits as provided for herein may, at her option, allocate up to seven (7) days of said benefits to the child’s father, whether or not the same is married to the female worker: *Provided*, That in the death, absence, or incapacity of the former, the benefit may be allocated to an alternate caregiver who may be a relative within the fourth degree of consanguinity or the current partner of the female worker sharing the same household, upon the election of the mother taking into account the best interests of the child: *Provided, further*, That written notice thereof is provided to the employers of the female worker and alternate caregiver: *Provided*, furthermore, That this benefit is over and above that which is provided under Republic Act No. 8187, or the "Paternity Leave Act of 1996": *Provided, finally*, That in the event the beneficiary female worker dies or is permanently incapacitated, the balance of her maternity leave benefits shall accrue to the father of the child or to a qualified caregiver as provided above.

Section 7. Maternity Leave for Women Regardless of Civil Status.— All female workers in the government and female members of the SSS, regardless of their civil status, shall be granted maternity leave, with full pay, upon compliance with the preceding section.

Section 8. Maternity Leave With Pay in Case of Childbirth, Miscarriage, or Emergency Termination of Pregnancy After the Termination of an Employee’s Service.— Maternity leave with full pay shall be granted even if the childbirth, miscarriage, or emergency termination of pregnancy occurs not more than fifteen (15) calendar days after the termination of an employee’s service, as her right thereto has already accrued: *Provided*, That such period is not applicable when the employment of the pregnant woman worker has been terminated without just cause, in which case the employer will pay her the full amount equivalent to her salary for one hundred five (105) days for childbirth and sixty (60) days for miscarriage or emergency termination of pregnancy based on her full pay, in addition to the other applicable daily cash maternity benefits that she should have received had her employment not been illegally terminated.

Section 9. Maternity Leave Credits.— The maternity leave can be credited as combinations of prenatal and postnatal leave as long as it does not exceed one hundred five (105) days and provided that compulsory postnatal leave shall not be less than sixty (60) days.

Section 10. Maternity Leave Benefits for Women in the Informal Economy and Voluntary Contributors to the SSS.— Maternity benefits shall cover all married and unmarried women, including female workers in the informal economy.

Female workers in the informal economy are entitled to maternity leave benefits if they have remitted to the SSS at least three (3) monthly contributions in the twelve (12)-month period immediately preceding the semester of her childbirth, miscarriage, or emergency termination of pregnancy.

Section 11. Maternity Benefits for Female Workers Who are Non-Members of the SSS.— Female workers who are neither voluntary nor regular members of the SSS shall be governed by the Philippine Health Insurance Corporation (PhilHealth) Circular No. 022-2014 or the "Social Health Insurance Coverage and Benefits for Women About to Give Birth".

Section 12. Maternity Leave of a Female Worker With Pending Administrative Case.— The maternity leave benefits granted under this Act shall be enjoyed by a female worker in the government service and in the private sector even if she has a pending administrative case.

Section 13. Maternity Leave for Female National Athletes.— In the event a national athlete becomes pregnant, she will be referred to the team physician or an accredited physician of the Philippine Sports Commission (PSC) or an obstetrician-gynecologist to determine her fitness to continue training. She will be allowed to participate in all team-related activities, unless the physician advises that participation is not medically safe or should be limited. Upon medical advice, she shall go on maternity leave until cleared to return to training. She shall continue receiving her allowance and be entitled to the same benefits while on maternity leave prior to childbirth and up to six (6) months after, unless she can resume sooner as advised by her physician, in which case, she will be entitled to the allowance and benefits she had prior to pregnancy: *Provided*, That a female national athlete employed in the public sector shall not receive double compensation or benefits.

Section 14. Non-Diminution of Benefits. - Nothing in this Act shall be construed as to diminish existing maternity benefits currently enjoyed whether or not these are granted under collective bargaining agreements (CBA) or present laws, if the same are more beneficial to the female worker. Any other working arrangement which the female worker shall agree to, during the additional maternity leave period, shall be allowed: *Provided*, That this shall be consented to in writing by the female worker and shall primarily uphold her maternal functions and the requirements of postnatal care.

Section 15. Security of Tenure. - Those who avail of the benefits of this Act, whether in the government service or private sector, shall be assured of security of tenure. As such, the exercise of this option by them shall not be used as basis for demotion in employment or termination. The transfer to a parallel position or reassignment from one organizational unit to another in the same agency or private enterprise shall be allowed: *Provided*, That it shall not involve a reduction in rank, status, salary, or otherwise amount to constructive dismissal.

Section 16. Non-Discrimination. - No employer whether in the public or private sector shall discriminate against the employment of women in order to avoid the benefits provided for in this Act.

Section 17. Periodic Review. - The Civil Service Commission (CSC), the DOLE, the SSS, and the Gender Ombud of the Commission on Human Rights (CHR), in consultation with trade unions, labor organizations, and employers’ representatives shall within one (1) month after the effectivity of this Act conduct a review of the maternity leave benefits of female workers in the government service and the private sector, respectively. Thereafter, they shall include maternity leave benefits in their valuation report conducted every four (4) years for the SSS and the DOLE and every three (3) years for the CSC, or more frequently as may be necessary, with the end in view of meeting the needs of pregnant women and newly-born infants, and improving their welfare.

Section 18. Penalties. - Whoever fails or refuses to comply with the provisions of this Act shall be punished by a fine of not less than Twenty thousand pesos (₱20,000.00) nor more than Two hundred thousand pesos (₱200,000.00), and imprisonment of not less than six (6) years and one (1) day nor more than twelve (12) years or both. If

the act or omission penalized by this Act shall be committed by an association, partnership, corporation, or any other institution, its managing head, directors, or partners shall be liable to the penalties provided in this Act for the offense.

Failure on the part of any association, partnership, corporation, or private enterprise to comply with the provisions of this Act shall be a ground for non-renewal of business permits.

Section 19. Implementing Rules and Regulations. - The CSC, the DOLE, and the SSS shall issue the necessary rules and regulations for the effective implementation of this Act within sixty (60) days from the effectivity of the same.

Section 20. Separability Clause. - If any provision of this Act is declared unconstitutional or otherwise invalid, the validity of the other provisions shall not be affected thereby.

Section 21. Repealing Clause. - All laws, decrees, orders, rules and regulations or parts thereof inconsistent with this Act are hereby repealed or modified accordingly.

Section 22. Effectivity. - This Act shall take effect after fifteen (15) days from its publication in the Official Gazette or in a newspaper of general circulation.

[REPUBLIC ACT NO. 8187]

AN ACT GRANTING PATERNITY LEAVE OF SEVEN (7) DAYS WITH FULL PAY TO ALL MARRIED MALE EMPLOYEES IN THE PRIVATE AND PUBLIC SECTORS FOR THE FIRST FOUR (4) DELIVERIES OF THE LEGITIMATE SPOUSE WITH WHOM HE IS COHABITING AND FOR OTHER PURPOSES

SECTION 1. Short Title. – This Act shall be known as the “Paternity Leave Act of 1996”.

SEC. 2. Notwithstanding any law, rules and regulations to the contrary, every married male employee in the private and public sectors shall be entitled to a paternity leave of seven (7) days with full pay for the first four (4) deliveries of the legitimate spouse with whom he is cohabiting. The male employee applying for paternity leave shall notify his employer of the pregnancy of his legitimate spouse and the expected date of such delivery.
For purposes of this Act, delivery shall include childbirth or any miscarriage.

SEC. 3. Definition of Term. – For purposes of this Act, **Paternity Leave** refers to the benefits granted to a married male employee allowing him not to report for work for seven (7) days but continues to earn the compensation therefor, on the condition that his spouse has delivered a child or suffered a miscarriage for purposes of enabling him to effectively lend support to his wife in her period of recovery and/or in the nursing of the newly-born child.

SEC. 4. The Secretary of Labor and Employment, the Chairman of the Civil Service Commission and the Secretary of Health shall, within thirty (30) days from the effectivity of this Act, issue such rules and regulations necessary for the proper implementation of the provisions hereof.

SEC. 5. Any person, corporation, trust, firm, partnership, association or entity found violating this Act or the rules and regulations promulgated thereunder shall be punished by a fine not exceeding Twenty-five thousand pesos (P25,000) or imprisonment of not less than thirty (30)days nor more than six (6) months.

If the violation is committed by a corporation, trust or firm, partnership, association or any other entity, the penalty of imprisonment shall be imposed on the entity’s responsible officers, including, but not limited to, the president, vice-president, chief executive officer, general manager, managing director or partner directly responsible therefor.

SEC. 6. Nondiminution Clause. – Nothing in this Act shall be construed to reduce any existing benefits of any form granted under

existing laws, decrees, executive orders, or any contract agreement or policy between employer and employee.

SEC. 7. Repealing Clause. – All laws, ordinances, rules, regulations, issuances, or parts thereof which are inconsistent with this Act are hereby repealed or modified accordingly.

SEC. 8. Effectivity. – This Act shall take effect (15) days from its publication in the *Official Gazette* or in at least two (2) newspapers of national circulation.

REPUBLIC ACT NO. 8972

AN ACT PROVIDING FOR BENEFITS AND PRIVILEGES TO SOLO PARENTS AND THEIR CHILDREN, APPROPRIATING FUNDS THEREFOR AND FOR OTHER PURPOSES

Section 1. Title. - This Act shall be known as the "Solo Parents' Welfare Act of 2000."

Section 2. Declaration of Policy. - It is the policy of the State to promote the family as the foundation of the nation, strengthen its solidarity and ensure its total development. Towards this end, it shall develop a comprehensive program of services for solo parents and their children to be carried out by the Department of Social Welfare and Development (DSWD), the Department of Health (DOH), the Department of Education, Culture and Sports (DECS), the Department of the Interior and Local Government (DILG), the Commission on Higher Education (CHED), the Technical Education and Skills Development Authority (TESDA), the National Housing Authority (NHA), the Department of Labor and Employment (DOLE) and other related government and nongovernment agencies.

Section 3. Definition of Terms. - Whenever used in this Act, the following terms shall mean as follows:

- (a) "Solo parent" - any individual who falls under any of the following categories:
- (1) A woman who gives birth as a result of rape and other crimes against chastity even without a final conviction of the offender: *Provided*, That the mother keeps and raises the child;
 - (2) Parent left solo or alone with the responsibility of parenthood due to death of spouse;
 - (3) Parent left solo or alone with the responsibility of parenthood while the spouse is detained or is serving sentence for a criminal conviction for at least one (1) year;
 - (4) Parent left solo or alone with the responsibility of parenthood due to physical and/or mental incapacity of spouse as certified by a public medical practitioner;
 - (5) Parent left solo or alone with the responsibility of parenthood due to legal separation or *de facto* separation from spouse for at least one (1) year, as long as he/she is entrusted with the custody of the children;
 - (6) Parent left solo or alone with the responsibility of parenthood due to declaration of nullity or annulment of marriage as decreed by a court or by a church as long as he/she is entrusted with the custody of the children;
 - (7) Parent left solo or alone with the responsibility of parenthood due to abandonment of spouse for at least one (1) year;
 - (8) Unmarried mother/father who has preferred to keep and rear her/his child/children instead of having others care for them or give them up to a welfare institution;
 - (9) Any other person who solely provides parental care and support to a child or children;
 - (10) Any family member who assumes the responsibility of head of family as a result of the death, abandonment, disappearance or prolonged absence of the parents or solo parent.

A change in the status or circumstance of the parent claiming benefits under this Act, such that he/she is no longer left alone with the responsibility of parenthood, shall terminate his/her eligibility for these benefits.

(b) **"Children"** - refer to those living with and dependent upon the solo parent for support who are unmarried, unemployed and not more than eighteen (18) years of age, or even over eighteen (18) years but are incapable of self-support because of mental and/or physical defect/disability.

(c) **"Parental responsibility"** - with respect to their minor children shall refer to the rights and duties of the parents as defined in Article 220 of Executive Order No. 209, as amended, otherwise known as the "Family Code of the Philippines."

(d) **"Parental leave"** - shall mean leave benefits granted to a solo parent to enable him/her to perform parental duties and responsibilities where physical presence is required.

(e) **"Flexible work schedule"** - is the right granted to a solo parent employee to vary his/her arrival and departure time without affecting the core work hours as defined by the employer.

Section 4. Criteria for Support. - Any solo parent whose income in the place of domicile falls below the poverty threshold as set by the National Economic and Development Authority (NEDA) and subject to the assessment of the DSWD worker in the area shall be eligible for assistance: *Provided, however,* That any solo parent whose income is above the poverty threshold shall enjoy the benefits mentioned in Sections 6, 7 and 8 of this Act.

Section 5. Comprehensive Package of Social Development and Welfare Services. - A comprehensive package of social development and welfare services for solo parents and their families will be developed by the DSWD, DOH, DECS, CHED, TESDA, DOLE, NHA and DILG, in coordination with local government units and a nongovernmental organization with proven track record in providing services for solo parents.

The DSWD shall coordinate with concerned agencies the implementation of the comprehensive package of social development and welfare services for solo parents and their families. The package will initially include:

- (a) Livelihood development services which include trainings on livelihood skills, basic business management, value orientation and the provision of seed capital or job placement.
- (b) Counseling services which include individual, peer group or family counseling. This will focus on the resolution of personal relationship and role conflicts.
- (c) Parent effectiveness services which include the provision and expansion of knowledge and skills of the solo parent on early childhood development, behavior management, health care, rights and duties of parents and children.
- (d) Critical incidence stress debriefing which includes preventive stress management strategy designed to assist solo parents in coping with crisis situations and cases of abuse.
- (e) Special projects for individuals in need of protection which include temporary shelter, counseling, legal assistance, medical care, self-concept or ego-building, crisis management and spiritual enrichment.

Section 6. Flexible Work Schedule. - The employer shall provide for a flexible working schedule for solo parents: *Provided,* That the same shall not affect individual and company productivity: *Provided, further,* That any employer may request exemption from the above requirements from the DOLE on certain meritorious grounds.

Section 7. Work Discrimination. - No employer shall discriminate against any solo parent employee with respect to terms and conditions of employment on account of his/her status.

Section 8. Parental Leave. - In addition to leave privileges under existing laws, parental leave of not more than seven (7) working days every year shall be granted to any solo parent employee who has rendered service of at least one (1) year.

Section 9. Educational Benefits. - The DECS, CHED and TESDA shall provide the following benefits and privileges:

- (1) Scholarship programs for qualified solo parents and their children in institutions of basic, tertiary and technical/skills education; and
- (2) Nonformal education programs appropriate for solo parents and their children.

The DECS, CHED and TESDA shall promulgate rules and regulations for the proper implementation of this program.

Section 10. Housing Benefits. - Solo parents shall be given allocation in housing projects and shall be provided with liberal terms of payment on said government low-cost housing projects in accordance with housing law provisions prioritizing applicants below the poverty line as declared by the NEDA.

Section 11. Medical Assistance. - The DOH shall develop a comprehensive health care program for solo parents and their children. The program shall be implemented by the DOH through their retained hospitals and medical centers and the local government units (LGUs) through their provincial/district/city/municipal hospitals and rural health units (RHUs).

Section 12. Additional Powers and Functions of the DSWD. - The DSWD shall perform the following additional powers and functions relative to the welfare of solo parents and their families:

- (a) Conduct research necessary to: (1) develop a new body of knowledge on solo parents; (2) define executive and legislative measures needed to promote and protect the interest of solo parents and their children; and (3) assess the effectiveness of programs designed for disadvantaged solo parents and their children;
- (b) Coordinate the activities of various governmental and nongovernmental organizations engaged in promoting and protecting the interests of solo parents and their children; and
- (c) Monitor the implementation of the provisions of this Act and suggest mechanisms by which such provisions are effectively implemented.

Section 13. Implementing Rules and Regulations. - An interagency committee headed by the DSWD, in coordination with the DOH, DECS, CHED, TESDA, DOLE, NHA, and DILG is hereby established which shall formulate, within ninety (90) days upon the effectivity of this Act, the implementing rules and regulations in consultation with the local government units, nongovernment organizations and people's organizations.

Section 14. Appropriations. - The amount necessary to carry out the provisions of this Act shall be included in the budget of concerned government agencies in the General Appropriations Act of the year following its enactment into law and thereafter. *lawphil.net*

Section 15. Repealing Clause. - All laws, decrees, executive orders, administrative orders or parts thereof inconsistent with the provisions of this Act are hereby repealed, amended or modified accordingly.

Section 16. Separability Clause. - If any provision of this Act is held invalid or unconstitutional, other provisions not affected thereby shall continue to be in full force and effect.

Section 17. Effectivity Clause. - This Act shall take effect fifteen (15) days following its complete publication in the *Official Gazette* or in at least two (2) newspaper of general circulation.

--End--

LABOR STANDARDS

QUESTIONS

1. Presidential Decree No. _____, as amended instituted a Labor Code thereby revising and consolidating labor and social laws to afford protection to labor, promote employment, and human resources development and insure industrial peace states based on social justice or the Labor Code of the Philippines, states that the State shall afford protection to labor, promote full employment, ensure equal work opportunities regardless of sex, race or creed and regulate the relations between workers and employers. The State shall assure the rights of workers to self-organization, collective bargaining, security of tenure, and just and humane conditions of work.
- a. Presidential Decree No. 442

b. Republic Act No. 442

c. Commonwealth Act No. 442

d. Executive Order No. 442
2. The provisions of Title I, Book III of the Labor Code shall apply to employees in all establishments and undertakings whether for profit or not, but not to: I. government employees; II. Managerial employees; and, III. Domestic helpers. Which is/are false?
- a. Only two of the statements

b. Only one of the statements

c. All three of the statements

d. None of the statements
3. According to the provisions of Title I, Book III of the Labor Code, the normal hours of work of any employee shall not exceed eight (8) hours a day. Hours worked shall include (a) all time during which an employee is required to be on duty or to be at a prescribed workplace; and (b) all time during which an employee is suffered or permitted to work. Consider the following: I. it shall be the duty of every employer to give his employees not less than sixty (60) minutes time-off for their regular meals; II. Every employee shall be paid a night shift differential of not less than ten percent (10%) of his regular wage for each hour of work performed between ten o'clock in the evening and six o'clock in the morning; and, III. Work may be performed beyond eight (8) hours a day, provided that the employee is paid for the overtime work, an additional compensation equivalent to his regular wage plus at least twenty-five percent (25%) thereof. Work performed beyond eight hours on a holiday or rest day shall be paid an additional compensation equivalent to the rate of the first eight hours on a holiday or rest day plus at least thirty percent (30%) thereof. Which is/are true?
- a. Only two of the statements

b. Only one of the statements

c. All three of the statements

d. None of the statements
4. According to the provisions of Title I, Book III of the Labor Code, if the daily rate is Php537.00, the premium pay should be: I. For work performed on rest days or on special non-working days – Php698.10; II. For work performed on a rest day which is also a special non-working day – P805.50; and, III. For work performed on special working days – Php537.00. Which is/are true?
- a. Only two of the statements

b. Only one of the statements

c. All three of the statements

d. None of the statements
5. According to the provisions of Title I, Book III of the Labor Code, every worker shall be paid his regular daily wage during regular holidays. If the daily rate is PhpP537.00, the employee should be paid: I. For work performed on a regular holiday – Php1,074.00; II. For work performed on a regular holiday which is also the rest day – Php1,396.20; and, III. For work performed on a day on which two (2) regular holidays coincide – Php1,611.00. Which is/are true?
- a. Only two of the statements

b. Only one of the statements

c. All three of the statements

d. None of the statements
6. According to the provisions of Title I, Book III of the Labor Code, every worker shall be paid his regular daily wage during regular holidays. Consider the following: I. All covered employees shall be entitled to holiday pay when they are on leave of absence with pay on the workday immediately preceding the regular holiday; II. Employees who are on leave of absence without pay on the day immediately preceding a regular holiday may not be paid on the required holiday pay if they do not work on such regular holiday; and, III. Where there are two (2) successive regular holidays, like Maundy Thursday and Good Friday, an employee may not be paid for both holidays if he/she absents himself/herself from work on the day immediately preceding the first holiday, unless he/she works on the first holiday, in which case he/she is entitled to his/her holiday pay on the second holiday. Which is/are true?
- a. Only two of the statements

b. Only one of the statements

c. All three of the statements

d. None of the statements
7. Statement I: Maternity Leave – this benefit applies to all covered female employees, regardless of civil status, employment status, and the legitimacy of her child. The maternity leave benefit shall be for one hundred five (105) days with full pay, and additional fifteen (15) days with full pay in case the female employee qualifies as a solo parent under RA 8972, or the “solo Parents’ Welfare Act of 2000”. In case of miscarriage or emergency termination of pregnancy, the maternity leave shall be for sixty (60) days with full pay. In cases of live childbirth, an additional maternity leave of thirty (30) days without pay, can be availed of, at the option of the female employee, provided that the employer shall be given due notice.

Statement II: Paternity leave – Paternity Leave is granted to all married male employees in the private sector, regardless of their employment status. Paternity leave benefit shall apply to the first four (4) deliveries of the employee’s lawful wife with whom he is cohabiting. For this purpose, “cohabiting” means the obligation of the husband and wife to live together. If the spouses are not physically living together because of the workstation or occupation, the male employee is still entitled to the paternity leave benefit. The paternity leave shall be for seven (7) calendar days, with full pay, consisting of basic salary and mandatory allowances fixed by the Regional Wage Board, if any, provided that his pay shall not be less than the mandated minimum wage. Usage of the paternity leave shall be after the delivery, without prejudice to an employer’s policy of allowing the employee to avail of the benefit before or during the delivery, provided that the total number of days shall not be more than seven (7) calendar days for each covered delivery. These liabilities are not mutually exclusive; and,

Statement III: Solo Parent’s Leave – The parental leave, in addition to leave privileges under existing laws, shall be for seven (7) work days every year, with full pay, consisting of basic salary and mandatory allowances fixed by the Regional Wage Board, if any, provided that his/her pay shall not be less than the mandated minimum wage. Which is/are true?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
8. The additional compensation pertaining to night shift differential should be at least:
- a. 5% of an employee's regular wage
 - b. 10% of an employee's regular wage
 - c. 15% of an employee's regular wage
 - d. 20% of an employee's regular wage
9. Statement 1: Vacation leaves are mandated by law.
Statement 2: Sick leaves are mandated by law.
- a. Only Statement 1 is true.
 - b. Only Statement 2 is true.
 - c. Both statements are true.
 - d. Both statements are not true.
10. The 13th month pay is payable:
- a. Anytime of the year
 - b. Every December
 - c. Anytime not later than December 24
 - d. From November to December



SOCIAL SECURITY ACT OF 2018 (REPUBLIC ACT No. 11199)

An Act Rationalizing and Expanding the Powers and Duties of the Social Security Commission to Ensure the Long-Term Viability of the Social Security System, Repealing for the Purpose Republic Act No. 1161, as Amended by Republic Act No. 8282, Otherwise Known as the "Social Security Act of 1997"

Section 1. Short Title. - This Act shall be known as the "Social Security Act of 2018".

Section 2. Declaration of Policy. - It is the policy of the State to establish, develop, promote and perfect a sound and viable tax-exempt social security system suitable to the needs of the people throughout the Philippines which shall promote social justice through savings, and ensure meaningful social security protection to members and their beneficiaries against the hazards of disability, sickness, maternity, old age, death, and other contingencies resulting in loss of income or financial burden. Towards this end, the State shall endeavor to extend social security protection to Filipino workers, local or overseas, and their beneficiaries.

In the pursuit of this policy, a social security program shall be developed emphasizing the value of "work, save, invest and prosper". The maximum profitability of investible funds and resources of the program shall be ensured through a culture of excellence in management grounded upon sound and efficient policies employing internationally recognized best practices.

Section 3. Social Security System -

(a) To carry out the purposes of this Act, the Social Security System, hereinafter referred to as "SSS", a corporate body, with principal place of business in Metro Manila, Philippines, is hereby created. In the discharge of its mandated responsibilities under this Act, the SSS shall function and operate as an independent and accountable government-owned and -controlled corporation (GOCC) within the corporate governance standards and principles of Republic Act No. 10149 (GCG Law), except as otherwise provided herein.

The SSS shall be directed and controlled by a Social Security Commission, hereinafter referred to as "Commission", composed of the Secretary of Finance as ex officio Chairperson, the SSS President and Chief Executive Officer as Vice-Chairperson who shall automatically act as the Commission Chairperson in the absence of the Finance Secretary, the Secretary of Labor and Employment, as ex officio member, and six (6) appointive members, three (3) of whom shall represent the workers' group, at least one (1) of whom shall be a woman; three (3), the employers' group, at least one (1) of whom shall be a woman; all of whom shall be appointed by the President of the Philippines and shall be of known competence, probity, integrity and recognized expertise in any of the fields of social security, pension fund, insurance, investment, banking and finance, economics, management, law or actuarial science and with at least ten (10) years of managerial or leadership experience.

The six (6) members representing workers and employers groups shall be chosen from among the nominees of workers' and employers' organizations respectively, as endorsed by the Governance Commission for GOCCs following the fit and proper rule and standards on integrity, experience, education, training and competence. The term of office of the regular appointive members of the Commission shall be three (3) years, which can be extended for another term of three (3) years: *Provided*, That the terms of the first six (6) appointive members shall be one (1), two (2), and three (3) years for every two (2) members, respectively, notwithstanding Section 17 of the GCG Law: *Provided, further*, That they shall continue to hold Office until their successors shall have been appointed and duly qualified. All vacancies, prior to the expiration of the term, shall be filled for the unexpired term only.

The fiduciary duties of a member of the Commission include the following:

- (1) Act with utmost and undivided loyalty to the SSS;

- (2) Act with due care, extraordinary diligence and skill in the conduct of business and exercise utmost good faith in all transactions relating to his/her duties to the SSS and its properties, and in his/her dealings with and for the SSS he/she is held to the same strict rule of honesty and fair dealing between himself/herself and his/her principal as other agent;
- (3) Act for the benefit of the SSS and not for his/her own benefit;
- (4) Not to profit as individual by virtue of his/her position and ensure that profits received by him/her from the SSS properties or businesses revert to the SSS and to hold the same as trustee for the benefit of the SSS and its members;
- (5) Avoid conflicts of interest and not to acquire an interest adverse to or in conflict with that of the SSS, while acting for the SSS or when dealing individually with third persons and declare any interest he/she may have in any particular matter before the Commission; and
- (6) Apply sound business principles to ensure the financial soundness of the SSS.

The compensation, per diems allowances and incentives of the appointive members of the Commission shall be in accordance with and subject to GCG Law.

- (b) The general conduct of the operations and management functions of the SSS shall be vested in the SSS President who shall serve as the Chief Executive Officer immediately responsible for carrying out the program of the SSS and the policies of the Commission. The SSS President shall be appointed by the President of the Philippines and shall be a person of known competence, probity, integrity and recognized expertise in social security, pension fund, insurance, investment, banking and finance, economics, management, law or actuarial science.

The SSS President may be removed for a valid cause or any of the following reasons in accordance with the requirement of due process:

- (1) If he or she becomes physically or mentally incapacitated from discharging the duties and responsibilities of the office, and such incapacity has lasted for more than six (6) months;
- (2) If he or she is guilty of acts or omissions which are of fraudulent or illegal character or which are manifestly opposed to the aims and interests of the SSS;
- (3) If he or she no longer possess the qualifications specified in this Act;
- (4) If he or she does not meet the standards of performance based on the evaluation by the Governance Commission for GOCCs under the GCG Law.

- (c) An Office of the Actuary shall be created to conduct the necessary actuarial studies and present recommendations on premiums, investments and other related matters. The Commission, upon the recommendation of the SSS President, shall appoint the Chief Actuary and such other personnel as may be deemed necessary; prescribe their duties and establish such methods and procedures as may be necessary to ensure the efficient, honest and economical administration of the provisions and purposes of this Act: *Provided, however*, That the personnel of the SSS below the rank of Vice-President shall be appointed by the SSS President: *Provided, further*, That the personnel appointed by the SSS President, except those below the rank of assistant manager, shall be subject to the confirmation by the Commission: *Provided, further* That the personnel of the SSS shall be selected only from civil service eligibles and be subject to civil service rules and regulations: *Provided, finally*, That the SSS shall be exempt from the provisions of Republic Act No. 6758 and Republic Act No. 7430.

The Chief Actuary of the SSS can only be removed by just causes which include among others gross incompetence, gross inefficiency, disloyalty, conflict of interest, dishonesty and serious misconduct.

- (d) The Commission shall fix the reasonable compensation, allowances and other benefits of all positions in the SSS, including its President and Chief Executive Officer, based on a comprehensive job analysis and audit of actual duties and responsibilities. The compensation plan shall be comparable with

the prevailing compensation plan in the Government Service Insurance System (GSIS), the Bangko Sentral ng Pilipinas (BSP) and other government financial institutions and shall be subject to periodic review by the Commission no more than once every four (4) years without prejudice to merit reviews or increases based on productivity and efficiency.

Section 4. Powers and Duties of the Commission and SSS -

(a) **The Commission.** - For the attainment of its main objectives as set forth in Section 2 hereof, the Commission shall have the following powers and duties:

- (1) To formulate, adopt, amend and/or rescind such rules and regulations as may be necessary to carry out the provisions and purposes of this Act;
- (2) To establish a Provident Fund for the members which will consist of contributions of employers and employees, self-employed, OFW and voluntary members based on (i) the SSS contribution rate in excess of twelve percent (12%), or (ii) monthly salary credit in excess of Twenty thousand pesos (₱20,000.00) up to the prescribed maximum monthly salary credit and their earnings, for the payment of benefits to such members or their beneficiaries in addition to the benefits provided for under this Act: *Provided*, That a member may contribute voluntarily in excess of the prescribed SSS contribution rate and/or the maximum monthly salary credit, subject to such rules and regulations as the Commission may promulgate;
- (3) To maintain a Provident Fund which consists of contributions made by both the SSS and its officials and employees and their earnings, for the payment of benefits to such officials and employees or their heirs under such terms and conditions as it may prescribe;
- (4) To conduct continuing actuarial and statistical studies and valuations to determine the financial condition of the SSS and taking into consideration such studies and valuations and the limitations herein provided, to readjust the benefits, contributions, premium rates, interest rates or the allocation or reallocation of the funds to the contingencies covered;
- (5) To approve restructuring proposals for the payment of due but unremitted contributions and unpaid loan amortizations under such terms and conditions as it may prescribe;
- (6) To authorize cooperatives registered with the Cooperative Development Authority or associations registered with the appropriate government agency to act as collecting agents of the SSS with respect to their members: *Provided*, That the SSS shall accredit the cooperative or association: *Provided*, *further*, That the persons authorized to collect are bonded;
- (7) To compromise or release, in whole or in part, any interest, penalty or any civil liability to SSS in connection with the investments authorized under Section 26 hereof, under such terms and conditions as it may prescribe;
- (8) Any law to the contrary notwithstanding, to condone, enter into a compromise or release, in whole or in part, such penalties imposed upon delinquent social security contributions regardless of the amount involved under such valid terms and conditions it may prescribe through rules and regulations when the financial position of the employer demonstrates a clear inability to pay the assessed delinquency arising from economic crisis, serious business losses or financial reverses, or resulting from natural calamity or man-made disaster without fault on the part of the employer.

Provided, That the Social Security Commission shall, immediately after the passage of this Act. institute a condonation of penalties of delinquent employers under Republic Act No. 10361, subject to such rules and regulations as the Social Security Commission may provide.

The Commission shall submit to the Office of the President of the Philippines, the Senate and the House of Representatives an annual report on the exercise of the powers under this provision, stating therein the following facts and information, among others: names and addresses of employers whose penalty delinquencies have been subjected to compromise or condonation; amount involved; amount compromised or condoned and the underlying reasons and justifications thereon, to determine that said powers are reasonably exercised and that the SSS is not unduly prejudiced;

(9) To implement the rate of contributions as well as the minimum and maximum monthly salary credits in accordance with the following schedule effective January of the year of implementation as follows:

Year of Implementation	Contribution Rate	Share		Monthly Salary Credit	
		Employer	Employee	Minimum	Maximum
2019	12%	8%	4%	₱2,000.00	₱20,000.00
2020	12%	8%	4%	₱2,000.00	₱20,000.00
2021	13%	8.5%	4.5%	₱3,000.00	₱25,000.00
2022	13%	8.5%	4.5%	₱3,000.00	₱25,000.00
2023	14%	9.5%	4.5%	₱4,000.00	₱30,000.00
2024	14%	9.5%	4.5%	₱4,000.00	₱30,000.00
2025	15%	10%	5%	₱5,000.00	₱35,000.00

Provided, That the domestic workers or "kasambahays" as defined under Republic Act No. 10361 or the Batas Kasambahay who are receiving a monthly income lower than minimum monthly salary credit prescribed under this Act shall pay contributions based on their actual monthly salary: *Provided*, *further*, That members, who are subject to compulsory coverage and receiving a monthly income lower than the minimum monthly salary credit or more than the maximum monthly salary credit, and their employers, shall pay the SSS contributions based on the current minimum monthly salary credit or the maximum monthly salary credit, respectively, as provided in this Act.

The rate of penalty on unpaid loan amortizations shall be determined and fixed by the Commission from time to time through rules and regulations on the basis of applicable actuarial studies, rate of benefits, inflation, and other relevant socioeconomic data;

- (10) To develop and administer a special social security program for workers, with unique economic, social, and geographic situations, as determined by the Commission; *Provided*, That the program may have different contributions and benefits that are proportionately calculated which must be fair, equitable, actuarially sound and viable: *Provided*, *further* That the special program shall enjoy the same legal privileges as the regular social security program; and
- (11) To approve, confirm, pass upon or review any and all actions of the SSS in the proper and necessary exercise of its powers and duties hereinafter enumerated.

(b) **The Social Security System.**— Subject to the provision of Section 4, Subsection (a)(II) hereof, the SSS shall have the following powers and duties:

- (1) To submit annually not later than April 30, a public report to the President of the Philippines and to the Congress of the Philippines covering its activities in the administration and enforcement of this Act during the preceding year including information and recommendations on broad policies for the development and perfection of the program of the SSS;
- (2) To require the Chief Actuary to submit a valuation report on the SSS benefit program every three (3) years, or more frequently as may be necessary, to undertake the necessary actuarial studies and calculations concerning increases in benefits taking into account inflation and the financial stability of the SSS, the individual income gap and poverty threshold for the elderly, similar benefits provided by other social protection programs of the government: and to provide for feasible increases in benefits every four (4) years, including the addition of new ones, under such rules and regulations as the Commission may adopt: *Provided*, That the actuarial soundness of the reserve fund shall be guaranteed;
- (3) To establish offices of the SSS to cover as many provinces, cities and congressional districts, including foreign countries whenever and wherever it may be expedient, necessary and feasible, and to inspect or cause to be inspected periodically such offices;

- (4) To enter into agreements or contracts for such service and aid, as may be needed for the proper, efficient and stable administration of the SSS;
 - (5) To adopt or approve the annual and supplemental budget of receipts and expenditures including salaries and allowances of the SSS personnel, against all funds available to the SSS under this Act, and to authorize such capital and operating expenditures and disbursements of the SSS as may be necessary and proper for the effective management and operation of the SSS;
 - (6) To set up its accounting system and provide the necessary personnel therefor;
 - (7) To require reports, compilations and analyses of statistical and economic data and to make investigations as may be needed for the proper administration and development of the SSS;
 - (8) To acquire, develop and dispose of property, real or personal, on its own, or through a joint venture arrangement with the public and/or private sector, which may be necessary or expedient for the attainment of the purposes of this Act:
- No injunction or restraining order issued by any court, tribunal or office shall bar, impede or delay the sale, development or disposition by the SSS of its property except on questions of ownership and national or public interest;
- (9) To acquire, receive, or hold, by way of purchase, expropriation or otherwise, public or private property for the purpose of undertaking housing projects preferably for the benefit of low-income members and for the maintenance of hospitals and institutions for the sick, aged and disabled, as well as schools for the members and their immediate families;
 - (10) To enter into agreement with the GSIS or any other entity, enterprise, corporation or partnership for the benefit of members transferring from one system to another subject to the provision of Republic Act No. 7699, otherwise known as the Portability Law;
 - (11) To sue and be sued in court; and
 - (12) To perform such other corporate acts as it may deem appropriate for the proper enforcement of this Act.

Section 5. Settlement of Disputes -

- (a) **Any dispute arising under this Act** with respect to coverage, benefits, contributions and penalties thereon or any other matter related thereto, shall be cognizable by the Commission, and any case filed with respect thereto shall be heard by the Commission, or any of its members, or by hearing officers duly authorized by the Commission and decided within the mandatory period of twenty (20) days after the submission of the evidence. The filing, determination and settlement of disputes shall be governed by the rules and regulations promulgated by the Commission.
- (b) **Appeal to Courts.** - Any decision of the Commission, in the absence of an appeal therefrom as herein provided, shall become final and executory fifteen (15) days after the date of notification, and judicial review thereof shall be permitted only after any party claiming to be aggrieved thereby has exhausted his remedies before the Commission. The Commission shall be deemed to be a party to any judicial action involving any such decision, and may be represented by an attorney employed by the Commission, or when requested by the Commission, by the Solicitor General or any public prosecutor.
- (c) **Court Review.** - The decision of the Commission upon any disputed matter may be reviewed both upon the law and the facts by the Court of Appeals. For the purpose of such review, the procedure concerning appeals from the Regional Trial Court shall be followed as far as practicable and consistent with the purposes of this Act. Appeal from a decision of the Commission must be taken within fifteen (15) days from notification of such decision. If the decision of the Commission involves only questions of law, the same shall be reviewed by the Supreme Court. No appeal bond shall be required. The case shall be heard in a summary manner, and shall take precedence over all cases, except that in the Supreme Court, criminal cases wherein life imprisonment or death has been imposed by the trial court shall take precedence. No appeal shall act as a supersedeas or a stay of the order of the Commission unless the Commission itself, or the Court of Appeals or the Supreme Court, shall so order.

- (d) **Execution of Decisions.** - The Commission may, motu proprio or on motion of any interested party, issue a writ of execution to enforce any of its decisions or awards, after it has become final and executory, in the same manner as the decision of the Regional Trial Court by directing the city or provincial sheriff or the sheriff whom it may appoint to enforce such final decision or execute such writ; and any person who shall fail or refuse to comply with such decision, award or writ, after being required to do so shall, upon application by the Commission pursuant to Rule 71 of the Rules of Court, be punished for contempt.

Section 6. Auditor and Counsel. -

- (a) The Chairman of the Commission on Audit shall be the ex officio Auditor of the SSS. He or his representative shall check and audit all the accounts, funds and properties of the SSS in the same manner and as frequently as the accounts, funds and properties of the government are checked and audited under existing laws, and he shall have, as far as practicable, the same powers and duties as he has with respect to the checking and auditing of public accounts, funds and properties in general.
- (b) The Secretary of Justice shall be the ex officio counsel of the SSS. He or his representative shall act as legal adviser and counsel thereof.

Section 7. Oaths, Witnesses, and Production of Records. - When authorized by the Commission, an official or employee thereof shall have the power to administer oath and affirmation, take depositions, certify to official acts, and issue subpoena and subpoena duces tecum to compel the attendance of witnesses and the production of books, papers, correspondence and other records deemed necessary as evidence in connection with any question arising under this Act. Any case of contumacy shall be dealt with by the Commission in accordance with law.

Section 8. Terms Defined. - For purposes of this Act, the following terms shall, unless the context indicates otherwise, have the following meanings:

- (a) **SSS** – The Social Security System created by this Act.
- (b) **Commission** – The Social Security Commission as herein created.
- (c) **Employer** – Any person, natural or juridical, domestic or foreign, who carries on in the Philippines any trade, business, industry, undertaking, or activity of any kind and uses the services of another person who is under his orders as regards the employment, except the government and any of its political subdivisions, branches or instrumentalities, including corporations owned or controlled by the Government: *Provided*, That a self-employed person shall be both employee and employer at the same time.
- (d) **Employee** – Any person who performs services for an employer in which either or both mental or physical efforts are used and who receives compensation for such services, where there is an employer-employee relationship: *Provided*, That a self-employed person shall be both employee and employer at the same time.
- (e) **Dependents** – The dependents shall be the following:
 - (1) The legal spouse entitled by law to receive support from the member;
 - (2) The legitimate, legitimated or legally adopted, and illegitimate child who is unmarried, not gainfully employed, and has not reached twenty-one (21) years of age, or if over twenty-one (21) years of age, he is congenitally or while still a minor has been permanently incapacitated and incapable of self-support, physically or mentally; and
 - (3) The parent who is receiving regular support from the member.
- (f) **Compensation** – All actual remuneration for employment, including the mandated cost-of-living allowance, as well as the cash value of any remuneration paid in any medium other than cash except that part of the remuneration received during the month in excess of the maximum salary credit as provided in this Act.
- (g) **Monthly salary credit** – The compensation base for contributions and benefits as indicated in this Act: *Provided*, That in the computation of benefits, the maximum monthly salary credit to be considered shall be Twenty thousand pesos (₱20,000.00), until adjusted as provided in Section 4(a)(9).

- (h) **Monthly** – The period from one end of the last payroll period of the preceding month to the end of the last payroll period of the current month if compensation is on hourly, daily or weekly basis; if on any other basis, ‘monthly’ shall mean a period of one (1) month.
- (i) **Contribution** – The amount paid to the SSS by and on behalf of the members in accordance with the schedule provided in this Act.
- (j) **Employment** – Any service performed by an employee for his employer except:
 - (1) Services where there is no employer-employee relationship in accordance with existing labor laws, rules, regulations and jurisprudence;
 - (2) Service performed in the employ of the Philippine Government or instrumentality or agency thereof;
 - (3) Service performed in the employ of a foreign government or international organization, or their wholly-owned instrumentality: *Provided, however,* That this exemption notwithstanding, any foreign government, international organization or their wholly-owned instrumentality employing workers in the Philippines or employing Filipinos outside of the Philippines, may enter into an agreement with the Philippine Government for the inclusion of such employees in the SSS except those already covered by their respective civil service retirement systems: *Provided, further,* That the terms of such agreement shall conform with the provisions of this Act on coverage and amount of payment of contributions and benefits: *Provided, finally,* That the provisions of this Act shall be supplementary to any such agreement; and
 - (4) Such other services performed by temporary and other employees which may be excluded by regulation of the Commission. Employees of *bona fide* independent contractors shall not be deemed employees of the employer engaging the service of said contractors.
- (k) **Beneficiaries** – The dependent spouse until he or she remarries, the dependent legitimate, legitimated or legally adopted, and illegitimate children, who shall be the primary beneficiaries of the member: *Provided,* That the dependent illegitimate children shall be entitled to fifty percent (50%) of the share of the legitimate, legitimated or legally adopted children: *Provided, further,* That in the absence of the dependent legitimate, legitimated or legally adopted children of the member, his/her dependent illegitimate children shall be entitled to one hundred percent (100%) of the benefits. In their absence, the dependent parents who shall be the secondary beneficiaries of the member. In the absence of all the foregoing, any other person designated by the member as his/her secondary beneficiary.
- (l) **Contingency** – The retirement, death, disability, injury or sickness and maternity of the member.
- (m) **Average monthly salary credit** – The result obtained by dividing the sum of the last sixty (60) monthly salary credits immediately preceding the semester of contingency by sixty (60), or the result obtained by dividing the sum of all the monthly salary credits paid prior to the semester of contingency by the number of monthly contributions paid in the same period, whichever is greater: *Provided,* That the injury or sickness which caused the disability shall be deemed as the permanent disability for the purpose of computing the average monthly salary credit.
- (n) **Average daily salary credit** – The result obtained by dividing the sum of the six (6) highest monthly salary credits in the twelve-month period immediately preceding the semester of contingency by one hundred eighty (180).
- (o) **Semester** – A period of two (2) consecutive quarters ending in the quarter of contingency.
- (p) **Quarter** – A period of three (3) consecutive calendar months ending on the last day of March. June. September and December.
- (q) **Credited years of service** – For a member covered prior to January nineteen hundred and eighty-five (1985) minus the calendar year of coverage plus the number of calendar years in which six (6) or more contributions have been paid from January nineteen hundred and eighty-five (1985) up to the calendar year containing the semester prior to the contingency. For a member covered in or after January nineteen hundred and eighty-five (1985), the number of calendar years in which six (6) or more contributions have been paid from the year of coverage up to the calendar year containing the semester prior to the contingency: *Provided,* That the Commission may provide for a different number of

contributions in a calendar year for it to be considered as a credited year of service.

- (r) **Member** – The worker who is covered under Section 9, Section 9-A and Section 9-B of this Act.
- (s) **Self-employed** – Any person whose income is not derived from employment, as defined under this Act, as well as those workers enumerated in Section 9-A hereof.
- (t) **Net earnings** – Net income before income taxes plus non-cash charges such as depreciation and depletion appearing in the regular financial statement of the issuing or assuming institution.
- (u) **Fixed charges** – Recurring expense such as amortization of debt discount and rentals for leased properties, including interest on funded and unfunded debt.

Section 9. Coverage -

- (a) Coverage in the SSS shall be compulsory upon all employees including kasambahays or domestic workers not over sixty (60) years of age and their employers: *Provided,* That any benefit already earned by the employees under private benefit plans existing at the time of the approval of this Act shall not be discontinued, reduced or otherwise impaired: *Provided, further,* That private plans which are existing and in force at the time of compulsory coverage shall be integrated with the plan of the SSS in such a way where the employers contribution to his private plan is more than that required of him in this Act, he shall pay to the SSS only the contribution required of him and he shall continue his contribution to such private plan less his contribution to the SSS so that the employer’s total contribution to his benefit plan and to the SSS shall be the same as his contribution to his private benefit plan before the compulsory coverage:

Provided, further, That any changes, adjustments, modifications, eliminations or improvements in the benefits to be available under the remaining private plan, which may be necessary to adopt by reason of the reduced contributions thereto as a result of the integration, shall be subject to agreements between the employers and employees concerned: *Provided, further,* That the private benefit plan which the employer shall continue for his employees shall remain under the employer’s management and control unless there is an existing agreement to the contrary: *Provided, finally,* That nothing in this Act shall be construed as a limitation on the right of employers and employees to agree on and adopt benefits which are over and above those provided under this Act.

- (b) Spouses who devote full time to managing the household and family affairs, unless they are also engaged in other vocation or employment which is subject to mandatory coverage, may be covered by the SSS on a voluntary basis.

Section 9-A. Compulsory Coverage of the Self-Employed. – Coverage in the SSS shall also be compulsory upon such self-employed persons as may be determined by the Commission under such rules and regulations as it may prescribe, including, but not limited to the following:

- (a) All self-employed professionals;
- (b) Partners and single proprietors of businesses;
- (c) Actors and actresses, directors, scriptwriters and news correspondents who do not fall within the definition of the term "employee" in Section 8(d) of this Act;
- (d) Professional athletes, coaches, trainers and jockeys; and
- (e) Individual farmers and fishermen.

Unless otherwise specified herein, all provisions of this Act applicable to covered employees shall also be applicable to the covered self-employed persons.

Section 9-B. Compulsory Coverage of Overseas Filipino Workers (OFWs) -

- (a) Coverage in the SSS shall be compulsory upon all sea-based and land-based OFWs as defined under Republic Act No. 8042, otherwise known as the Migrant Workers and Overseas Filipinos Act of 1995. as amended by Republic Act No. 10022: *Provided,* That they are not over sixty (60) years of age.

All benefit provisions under this Act shall apply to all covered OFWs. The benefits include, among others, retirement, death, disability, funeral, sickness and maternity.

- (b) Manning agencies are agents of their principals and are considered as employers of sea-based OFWs.
For purposes of the implementation of this Act, any law to the contrary notwithstanding manning agencies are jointly and severally or solidarity liable with their principals with respect to the civil liabilities incurred for any violation of this Act.
The persons having direct control, management or direction of the manning agencies shall be held criminally liable for any act or omission penalized under this Act notwithstanding Section 28(f) hereof.
- (c) Land-based OFWs are compulsory members of the SSS and considered in the same manner as self-employed persons under such rules and regulations that the Commission shall prescribe.
- (d) The Department of Foreign Affairs (DFA), the Department of Labor and Employment (DOLE) and all its agencies involved in deploying OFWs for employment abroad are mandated to negotiate bilateral labor agreements with the OFWs' host countries to ensure that the employers of land-based OFWs, similar to the principals of sea-based OFWs, pay the required SSS contributions, in which case these land-based OFWs shall no longer be considered in the same manner as self-employed persons in this Act. Instead, they shall be considered as compulsorily covered employees with employer and employee shares in contributions that shall be provided for in the bilateral labor agreements and their implementing administrative agreements: *Provided*, That in countries which already extend social security coverage to OFWs, the DFA through the Philippine embassies and the DOLE shall negotiate further agreements to serve the best interests of the OFWs.
- (e) The DFA, the DOLE and, the SSS shall ensure compulsory coverage of OFWs through bilateral social security and labor agreements and other measures for enforcement.
- (f) Upon the termination of their employment overseas, OFWs may continue to pay contributions on a voluntary basis to maintain their rights to full benefits.
- (g) Filipino permanent migrants, including Filipino immigrants, permanent residents and naturalized citizens of their host countries may be covered by the SSS on a voluntary basis.

Section 10. Effective Date of Coverage. - Compulsory coverage of the employer shall take effect on the first day of his operation and that of the employee on the day of his employment: *Provided*, That the compulsory coverage of the self-employed person shall take effect upon his registration with the SSS.

Section 11. Effect of Separation from Employment. - When an employee under compulsory coverage is separated from employment, his employer's contribution on his account and his obligation to pay contributions arising from that employment shall cease at the end of the month of separation, but said employee shall be credited with all contributions paid on his behalf and entitled to benefits according to the provisions of this Act. He may, however, continue to pay the total contributions to maintain his right to full benefit.

Section 11-A. Effect of Interruption of Business or Professional Income. - If the self-employed member realizes no income in any given month, he shall not be required to pay contributions for that month. He may, however, be allowed to continue paying contributions under the same rules and regulations applicable to a separated employee member: *Provided*, That no retroactive payment of contributions shall be allowed other than as prescribed under Section 22-A hereof.

Section 12. Monthly Pension. — -

- (a) The monthly pension shall be the highest of the following amounts:

- (1) The sum of the following:

- (i) Three hundred pesos (₱300.00); plus
- (ii) Twenty percent (20%) of the average monthly salary credit; plus
- (iii) Two percent (2%) of the average monthly salary credit for each credited year of service in excess of ten (10) years; or
- (2) Forty percent (40%) of the average monthly salary credit; or
- (3) One thousand pesos (₱1,000.00): *Provided*, That the monthly pension shall in no case be paid for an aggregate amount of less than sixty (60) months.

- (b) Notwithstanding the preceding paragraph, the minimum pension shall be One thousand two hundred pesos (₱1,200.00) for members with at least ten (10) credited years of service and Two thousand four hundred pesos (₱2,400.00) for those with twenty (20) credited years of service: *Provided*, That the Commission, upon determination of actuarial soundness, may provide pension increase than the amounts specified herein.

- (c) Additional Benefit Allowance. - Pursuant to Memorandum from the Executive Secretary dated 22 February 2017, by authority of the President of the Republic of the Philippines, an additional monthly benefit allowance amounting to One thousand pesos (₱1,000.00) shall be given to all retirement, death, and disability pensioners receiving monthly pensions in or after January two thousand seventeen (2017). The Commission may determine the grant of additional benefit allowance: *Provided*, That the actuarial soundness of the reserve fund shall be guaranteed. All other additional allowances to monthly pension subsequent to the Memorandum of the Executive Secretary dated February 22, 2017 shall be subject to the requirement of fund viability and sustainability as determined by the Commission based on the recommendations of the Office of the Chief Actuary guaranteeing the actuarial soundness of the grant of such allowances.

Section 12-A. Dependents' Pension. - Where monthly pension is payable on account of death, permanent total disability or retirement, dependents' pension equivalent to ten percent (10%) of the monthly pension or Two hundred fifty pesos (₱250.00), whichever is higher, shall also be paid for each dependent child conceived on or before the date of the contingency but not exceeding five (5), beginning with the youngest and without substitution: *Provided*, That where there are legitimate and illegitimate children, the former shall be preferred.

Section 12-B. Retirement Benefits. -

- (a) A member who has paid at least one hundred twenty (120) monthly contributions prior to the semester of retirement and who: (1) has reached the age of sixty (60) years and is already separated from employment or has ceased to be self-employed; or (2) has reached the age of sixty-five (65) years, shall be entitled for as long as he lives to the monthly pension: *Provided*, That he shall have the option to receive his first eighteen (18) monthly pensions in lump sum discounted at a preferential rate of interest to be determined by the SSS.
- (b) A covered member who is sixty (60) years old at retirement and who does not qualify for pension benefits under paragraph (a) above, shall be entitled to a lump sum benefit equal to the total contributions paid by him and on his behalf: *Provided*, That he is separated from employment and is not continuing payment of contributions to the SSS on his own.
- (c) The monthly pension shall be suspended upon the reemployment or resumption of self-employment of a retired member who is less than sixty-five (65) years old. He shall again be subject to Section Eighteen and his employer to Section Nineteen of this Act.
- (d) Upon the death of the retired member, his primary beneficiaries as of the date of his retirement shall be entitled to receive the monthly pension: *Provided*, That if he has no primary beneficiaries and he dies within sixty (60) months from the start of his monthly pension, his secondary beneficiaries shall be entitled to a lump sum benefit equivalent to the total monthly pensions corresponding to the balance of the five-year guaranteed period, excluding the dependents' pension.
- (e) The monthly pension of a member who retires after reaching age sixty (60) shall be the higher of either: (1) the monthly pension

computed at the earliest time he could; have retired had he been separated from employment or ceased to be self-employed plus all adjustments thereto; or (2) the monthly pension computed at the time when he actually retires.

Section 13. Death Benefits. - Upon the death of a member who has paid at least thirty-six (36) monthly contributions prior to the semester of death, his primary beneficiaries shall be entitled to the monthly pension: *Provided*, That if he has no primary beneficiaries, his secondary beneficiaries shall be entitled to a lump sum benefit equivalent to thirty-six (36) times the monthly pension. If he has not paid the required thirty-six (36) monthly contributions, his primary or secondary beneficiaries shall be entitled to a lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS or twelve (12) times the monthly pension, whichever is higher.

Section 13-A. Permanent Disability Benefits. -

- (a) Upon the permanent total disability of a member who has paid at least thirty-six (36) monthly contributions prior to the semester of disability, he shall be entitled to the monthly pension: *Provided*, That if he has not paid the required thirty-six (36) monthly contributions, he shall be entitled to a lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS or twelve (12) times the monthly pension, whichever is higher. A member who (1) has received a lump sum benefit; and (2) is reemployed or has resumed self-employment not earlier than one (1) year from the date of his disability shall again be subject to compulsory coverage and shall be considered a new member.
- (b) The monthly pension and dependents’ pension shall be suspended upon the reemployment or resumption of self-employment or the recovery of the disabled member from his permanent total disability or his failure to present himself for examination at least once a year upon notice by the SSS.
- (c) Upon the death of the permanent total disability pensioner, his primary beneficiaries as of the date of disability shall be entitled to receive the monthly pension: *Provided*, That if he has no primary beneficiaries and he dies within sixty (60) months from the start of his monthly pension, his secondary beneficiaries shall be entitled to a lump sum benefit equivalent to the total monthly pensions corresponding to the balance of the five-year guaranteed period excluding the dependents’ pension.
- (d) The following disabilities shall be deemed permanent total:
- (1) Complete loss of sight of both eyes;
 - (2) Loss of two limbs at or above the ankle or wrists;
 - (3) Permanent complete paralysis of two limbs;
 - (4) Brain injury resulting to incurable imbecility or insanity; and
 - (5) Such cases as determined and approved by the SSS.
- (e) If the disability is permanent partial, and such disability occurs before thirty-six (36) monthly contributions have been paid prior to the semester of disability, the benefit shall be such percentage of the lump sum benefit described in the preceding paragraph with due regard to the degree of disability as the Commission may determine.
- (f) If the disability is permanent partial and such disability occurs after thirty-six (36) monthly contributions have been paid prior to the semester of disability, the benefit shall be the monthly pension for permanent total disability payable not longer than the period designated in the following schedule:

Complete and permanent loss of/use of	Number of Months
One thumb	10
One index finger	8
One middle finger	6
One ring finger	5
One little finger	3

One big toe	6
One hand	39
One arm	50
One foot	31
One leg	46
One ear	10
Both ears	20
Hearing of one ear	10
Hearing of both ears	50
Sight of one eye	25

- (g) The percentage degree of disability which is equivalent to the ratio that the designated number of months of compensability bears to seventy-five (75), rounded to the next higher integer, shall not be additive for distinct, separate and unrelated permanent partial disabilities, but shall be additive for deteriorating and related permanent partial disabilities, to a maximum of one hundred percent (100%), in which case, the member shall be deemed as permanently totally disabled.
- (h) In case of permanent partial disability, the monthly pension benefit shall be given in lump sum if it is payable for less than twelve (12) months.
- (i) For the purpose of adjudicating retirement, death and permanent total disability pension benefits, contributions shall be deemed paid for the months during which the member received partial disability pension: *Provided*, That such contributions shall be based on his last contribution prior to his disability.
- (j) Should a member who is on partial disability pension retire or die, his disability pension shall cease upon his retirement or death.

Section 13-B. Funeral Benefit. - A funeral grant equivalent to Twelve thousand pesos (₱12,000.00) shall be paid, in cash or in kind, to help defray the cost of funeral expenses upon the death of a member, including permanently totally disabled member or retiree.

Section 14. Sickness Benefit. - (a) A member who has paid at least three (3) monthly contributions in the twelve-month period immediately preceding the semester of sickness or injury and is confined therefor for more than three (3) days in a hospital or elsewhere with the approval of the SSS, shall, for each day of compensable confinement or a fraction thereof, be paid by his employer, or the SSS, if such person is unemployed or self-employed, a daily sickness benefit equivalent to ninety percent (90%) of his average daily salary credit, subject to the following conditions:

- (1) In no case shall the daily sickness benefit be paid longer than one hundred twenty (120) days in one (1) calendar year, nor shall any unused portion of the one hundred twenty (120) days of sickness benefit granted under this section be carried forward and added to the total number of compensable days allowable in the subsequent year;
- (2) The daily sickness benefit shall not be paid for more than two hundred forty (240) days on account of the same confinement; and
- (3) The employee member shall notify his employer of the fact of his sickness or injury within five (5) calendar days after the start of his confinement unless such confinement is in a hospital or the employee became sick or was injured while working or within the premises of the employer in which case, notification to the employer is not necessary: *Provided*, That if the member is unemployed or self-employed, he shall directly notify the SSS of his confinement within five (5) calendar days after the start thereof unless such confinement is in a hospital in which case notification is also not necessary: *Provided, further*, That in cases where notification is necessary, the confinement shall be deemed to have started not earlier than the fifth day immediately preceding the date of notification.

- (b) The compensable confinement shall begin on the first day of sickness, and the payment of such allowances shall be promptly

made by the employer every regular payday or on the fifteenth and last day of each month, and similarly in the case of direct payment by the SSS, for as long as such allowances are due and payable: *Provided*, That such allowance shall begin only after all sick leaves of absence with full pay to the credit of the employee member shall have been exhausted.

- (c) One hundred percent (100%) of the daily benefits provided in the preceding paragraph shall be reimbursed by the SSS to said employer upon receipt of satisfactory proof of such payment and legality thereof: *Provided*, That the employer has notified the SSS of the confinement within five (5) calendar days after receipt of the notification from the employee member: *Provided, further*, That if the notification to the SSS is made by the employer beyond five (5) calendar days after receipt of the notification from the employee member, said employer shall be reimbursed only for each day of confinement starting from the tenth calendar day immediately preceding the date of notification to the SSS: *Provided, finally*, That the SSS shall reimburse the employer or pay the unemployed member only for confinement within the one-year period immediately preceding the date the claim for benefit or reimbursement is received by the SSS, except confinement in a hospital in which case the claim for benefit or reimbursement must be filed within one (1) year from the last day of confinement.
- (d) Where the employee member has given the required notification but the employer fails to notify the SSS of the confinement or to file the claim for reimbursement within the period prescribed in this section resulting in the reduction of the benefit or denial of the claim, such employer shall have no right to recover the corresponding daily allowance he advanced to the employee member as required in this section.
- (e) The claim of reimbursement shall be adjudicated by the SSS within a period of two (2) months from receipt thereof: *Provided*, That should no payment be received by the employer within one (1) month after the period prescribed herein for adjudication, the reimbursement shall thereafter earn simple interest of one percent (1%) per month until paid.
- (f) The provisions regarding the notification required of the member and the employer as well as the period within which the claim for benefit or reimbursement may be filed shall apply to all claims filed with the SSS.

Section 14-A. Maternity Leave Benefit. - A female member who has paid at least three (3) monthly contributions in the twelve-month period immediately preceding the semester of her childbirth or miscarriage shall be paid a daily maternity benefit equivalent to one hundred percent (100%) of her average daily salary credit for sixty (60) days or seventy-eight (78) days in case of caesarian delivery, subject to the following conditions:

- (a) That the employee shall have notified her employer of her pregnancy and the probable date of her childbirth, which notice shall be transmitted to the SSS in accordance with the rules and regulations it may provide;
- (b) The full payment shall be advanced by the employer within thirty (30) days from the filing of the maternity leave application;
- (c) That payment of daily maternity benefits shall be a bar to the recovery of sickness benefits provided by this Act for the same period for which daily maternity benefits have been received;
- (d) That the maternity benefits provided under this section shall be paid only for the first four (4) deliveries or miscarriages;
- (e) That the SSS shall immediately reimburse the employer of one hundred percent (100%) of the amount of maternity benefits advanced to the employee by the employer upon receipt of satisfactory proof of such payment and legality thereof; and
- (f) That if an employee member should give birth or suffer miscarriage without the required contributions having been remitted for her by her employer to the SSS, or without the latter having been previously notified by the employer of the time of the pregnancy, the employer shall pay to the SSS damages equivalent to the benefits which said employee member would otherwise have been entitled to.

Section 14-B. Unemployment. Insurance or Involuntary Separation Benefits. - A member who is not over sixty (60) years of age who has paid at least thirty-six (36) months contributions twelve (12) months of which should be in the eighteen-month period immediately preceding the involuntary unemployment or separation shall be paid benefits in the form of monthly cash payments equivalent to fifty percent (50%) of the average monthly salary credit for a maximum of two (2) months: *Provided*, That an employee who is involuntarily unemployed can only claim unemployment benefits once every three (3) years: *Provided, further*, That in case of concurrence of two or more compensable contingencies, only the highest benefit shall be paid, subject to the rules and regulations that the Commission may prescribe.

Section 15. Non-Transferability of Benefits. - The SSS shall promptly pay the benefits provided in this Act to such persons as may be entitled thereto in accordance with the provisions of this Act: *Provided*, That the SSS shall pay the retirement benefits on the day of contingency to qualified members who have submitted the necessary documents at least six (6) months before: *Provided, further*, That the beneficiary who is a national of a foreign country which does not extend benefits to a Filipino beneficiary residing in the Philippines, or which is not recognized by the Philippines, shall not be entitled to receive any benefit under this Act: *Provided, further*, That notwithstanding the foregoing, where the best interest of the SSS will be served, the Commission may direct payments without regard to nationality or country of residence: *Provided, further*, That if the recipient is a minor or a person incapable of administering his own affairs, the Commission shall appoint a representative under such terms and conditions as it may deem proper: *Provided, further*, That such appointment shall not be necessary in case the recipient is under the custody of or living with the parents or spouse of the member in which case the benefits shall be paid to such parents or spouse, as representative payee of the recipient. Such benefits are not transferable and no power of attorney or other document executed by those entitled thereto in favor of any agent, attorney or any other person for the collection thereof on their behalf shall be recognized, except when they are physically unable to collect personally such benefits: *Provided, further* That in case of death benefits, if no beneficiary qualifies under this Act, said benefits shall be paid to the legal heirs in accordance with the law of succession.

Section 16. Exemption from Tax, Legal Process and Lien. - All laws to the contrary notwithstanding, the SSS and all its assets and properties, all contributions collected and all accruals thereto and income or investment earnings therefrom as well as all supplies, equipment, papers or documents shall be exempt from any tax, assessment, fee, charge, or customs or import duty; and all benefit payments made by the SSS shall likewise be exempt from all kinds of taxes, fees or charges, and shall not be liable to attachments, garnishments, levy or seizure by or under any legal or equitable process whatsoever, either before or after receipt by the person or persons entitled thereto, except to pay any debt of the member to the SSS. No tax measure of whatever nature enacted shall apply to the SSS, unless it expressly revokes the declared policy of the State in Section 2 hereof granting tax-exemption to the SSS. Any tax assessment imposed against the SSS shall be null and void.

Section 17. Fee of Agents, Attorneys, Etc. - No agent, attorney or other person in charge of the preparation, filing or pursuing any claim for benefit under this Act shall demand or charge for his services any fee, and any stipulation to the contrary shall be null and void. The retention or deduction of any amount from any benefit granted under this Act for the payment of fees for such services is prohibited: *Provided, however*, That any member of the Philippine Bar who appears as counsel in any case heard by the Commission shall be entitled to attorney's fees not exceeding ten percent (10%) of the benefits awarded by the Commission, which fees shall not be payable before the actual payment of the benefits, and any stipulation to the contrary shall be null and void.

Any violation of the provisions of this Section shall be punished by a fine of not less than Five hundred pesos (₱500.00) nor more than Five thousand pesos (₱5,000.00). or imprisonment for not less than six (6) months nor more than one (1) year, or both, at the discretion of the court.

Section 18. Employee's Contributions. - Beginning on the last day of the calendar month when an employee's compulsory coverage takes effect and every month thereafter during his employment, the employer shall deduct and withhold from such employee's monthly salary, wage, compensation or earnings, the employee's contribution in an amount corresponding to his salary, wage, compensation or earnings during the month in accordance with the monthly salary credits, the schedule and the rate of contributions as may be determined and fixed by the Commission, subject to the provisions of Section 4(a)(9) of this Act.

The monthly salary credits, the schedule and the rate of contributions shall also apply to self-employed, voluntary, and other members.

Section 19. Employer's Contributions. -

- (a) Beginning on the last day of the month when an employee's compulsory coverage takes effect and every month thereafter during his employment, his employer shall pay, with respect to such covered employee, the employer's contribution in accordance with the schedule provided in this Act. Notwithstanding any contract to the contrary, an employer shall not deduct, directly or indirectly, from the compensation of his employees covered by the SSS or otherwise recover from them the employer's contributions with respect to such employees.
- (b) The remittance of such contributions by the employer shall be supported by a quarterly collection list to be submitted to the SSS at the end of each calendar quarter indicating the correct ID number of the employer, the correct names and the SSS numbers of the employees and the total contributions paid for their account during the quarter.

Section 19-A. Contributions of the Self-Employed Member. - The contributions to the SSS of the self-employed member shall be determined in accordance with the schedule provided in this Act: *Provided*, That the monthly earnings declared by the self-employed member at the time of his registration with the SSS shall be considered as his monthly compensation and he shall pay both the employer and the employee contributions: *Provided, further*, That the contributions of self-employed persons earning One thousand pesos (₱1,000.00) monthly or below may be reduced by the Commission.

The monthly earnings declared by the self-employed member at the time of his registration shall remain the basis of his monthly salary credit, unless he makes another declaration of his monthly earnings, in which case such latest declaration becomes the new basis of his monthly salary credit.

Section 20. Government Contribution. - As the contribution of the Government to the operation of the SSS, Congress shall annually appropriate out of any funds in the National Treasury not otherwise appropriated, the necessary sum or sums to meet the estimated expenses of the SSS for each ensuing year. In addition to this contribution, Congress shall appropriate from time to time such sum or sums as may be needed to assure the maintenance of an adequate working balance of the funds of the SSS as disclosed by suitable periodic actuarial studies to be made of the operations of the SSS.

Section 21. Government Guarantee. - The benefits prescribed in this Act shall not be diminished and to guarantee said benefits the Government of the Republic of the Philippines accepts general responsibility for the solvency of the SSS.

Section 22. Remittance of Contributions -

- (a) The contribution imposed in the preceding section shall be remitted to the SSS within the first ten (10) days of each calendar month following the month for which they are applicable or within such time as the Commission may prescribe. Every employer required to deduct and to remit such contributions shall be liable for their payment and if any contribution is not paid to the SSS as herein prescribed, the delinquent employer shall pay besides the contribution a penalty thereon of two percent (2%) per month from the date the contribution falls due until paid. If deemed expedient and advisable by the Commission, the collection and remittance of contributions shall be made quarterly or semi-annually in advance, the contributions payable by the employees to be advanced by their respective

employers: *Provided*, That upon separation of an employee, any contribution so paid in advance but not due shall be credited or refunded to his employer.

- (b) The contributions payable under this Act in cases where an employer refuses or neglects to pay the same shall be collected by the SSS in the same manner as taxes are made collectible under the National Internal Revenue Code, as amended. Failure or refusal of the employer to pay or remit the contributions herein prescribed shall not prejudice the right of the covered employee to the benefits of the coverage. The right to institute the necessary action against the employer may be commenced within twenty (20) years from the time the delinquency is known or the assessment is made by the SSS, or from the time the benefit accrues, as the case may be.
- (c) Should any person, natural or juridical, default in any payment of contributions, the Commission may also collect the same in either of the following ways:
 - (1) By an action in court, which shall hear and dispose of the case in preference to any other civil action; or
 - (2) By issuing a warrant to the Sheriff of any province or city commanding him to levy upon and sell any real and personal property of the debtor. The Sheriff's sale by virtue of said warrant shall be governed by the same procedure prescribed for executions against property upon judgments by a court of record.
- (d) The last complete record of monthly contributions paid by the employer or the average of the monthly contributions paid during the past three (3) years as of the date of filing of the action for collection shall be presumed to be the monthly contributions payable by and due from the employer to the SSS for each of the unpaid month, unless contradicted and overcome by other evidence: *Provided*, That the SSS shall not be barred from determining and collecting the true and correct contributions due the SSS even after full payment pursuant to this paragraph, nor shall the employer be relieved of his liability under Section Twenty-eight of this Act.

Section 22-A. Remittance of Contributions of Self-Employed Member. - Self-employed members shall remit their monthly contributions quarterly on such dates and schedules as the Commission may specify through rules and regulations: *Provided*, That no retroactive payment of contributions shall be allowed, except as provided in this Section.

Section 23. Method of Collection and Payment. - The SSS shall require a complete and proper collection and payment of contributions and proper identification of the employer and the employee. Payment may be made in cash, checks, stamps, coupons, tickets, or other reasonable devices that the Commission may adopt.

Section 24. Employment Records and Reports. -

- (a) Each employer shall immediately report to the SSS the names, ages, civil status, occupations, salaries and dependents of all his employees who are subject to compulsory coverage: *Provided*, That if an employee subject to compulsory coverage should die or become sick or disabled or reach the age of sixty (60) without the SSS having previously received any report or written communication about him from his employer, the said employer shall pay to the SSS damages equivalent to the benefits to which said employee member would have been entitled had his name been reported on time by the employer to the SSS, except that in case of pension benefits, the employer shall be liable to pay the SSS damages equivalent to the accumulated pension due as of the date of settlement of the claim or to the five (5) years' pension, whichever is higher, including dependents' pension: *Provided, further*, That if the contingency occurs within thirty (30) days from the date of employment, the employer shall be relieved of his liability for damages: *Provided, further*, That any person or entity engaging the services of an independent contractor shall be subsidiarily liable with such contractor for any civil liability incurred by the latter under this Act: *Provided, finally*, That the same person or entity engaging the services of an independent contractor shall require such contractor to post a surety bond to guarantee the payment of the worker's benefits.

(b) Should the employer misrepresent the true date of employment of the employee member or remit to the SSS contributions which are less than those required in this Act or fail to remit any contribution due prior to the date of contingency, resulting in a reduction of benefits, such employer shall pay to the SSS damages equivalent to the difference between the amount of benefit to which the employee member or his beneficiary is entitled had the proper contributions been remitted to the SSS and the amount payable on the basis of contributions actually remitted: *Provided*, That if the employee member or his beneficiary is entitled to pension benefits, the damages shall be equivalent to the accumulated pension due as of the date of settlement of the claim or to the five (5) years' pension, whichever is higher, including dependents' pension. In addition to the liability mentioned in the preceding paragraphs (a) and (b) hereof, the employer shall also be liable for the payment of the corresponding unremitted contributions and penalties thereon.

(c) The records and reports duly accomplished and submitted to the SSS by the employer or the member, as the case may be, shall be kept confidential by the SSS except in compliance with a subpoena duces tecum issued by the courts, shall not be divulged without the consent of the SSS President or any official of the SSS duly authorized by him, shall be presumed correct as to the data and other matters stated therein, unless the necessary corrections to such records and reports have been properly made by the parties concerned before the right to the benefit being claimed accrues, and shall be made the basis for the adjudication of the claim. If as a result of such adjudication the SSS in good faith pays a monthly pension to a beneficiary who is inferior in right to another beneficiary or with whom another beneficiary is entitled to share, such payments shall discharge the SSS from liability unless and until such other beneficiary notifies the SSS of his claim prior to the payments.

(d) Every employer shall keep true and accurate work records for such period and containing such information as the Commission may prescribe, in addition to an "Annual Register of New and Separated Employees" which shall be secured from the SSS wherein the employer shall enter on the first day of employment or on the effective date of separation, the names of the persons employed or separated from employment, their SSS numbers, and such other data that the Commission may require and said annual register shall be submitted to the SSS in the month of January of each year. Such records shall be open for inspection by the SSS or its authorized representatives quarterly or as often as the SSS may require. The SSS may also require each employer to submit, with respect to the persons in his employ, reports needed for the effective administration of this Act.

(e) Each employer shall require, as a condition to employment, the presentation of a registration number secured by the prospective employee from the SSS in accordance with such procedure as the SSS may adopt: *Provided*, That in case of employees who have earlier been assigned registration numbers by virtue of a previous employment, such numbers originally assigned to them should be used for purposes of this Section: *Provided, further*, That/ the issuance of such registration numbers by the SSS shall not exempt the employer from complying with the provisions of paragraph (a) of this Section.

(f) Notwithstanding any law to the contrary, microfilm, or non-erasable optical disk and other similar archival media copies of original SSS records and reports, or copies of such records and reports duly certified by the official custodian thereof, shall have the same evidentiary value as the originals and be admissible as evidence in all legal proceedings.

(g) Notwithstanding any law to the contrary, local government units shall, prior to issuing any annual business license or permit, require submission of certificate of SSS coverage and compliance with the provisions of this Act: *Provided*, That the certification or clearance shall be issued by the SSS within five (5) working days from receipt of the request.

Section 24-A. Report and Registration of the Self-Employed Member. - Each covered self-employed member shall, within thirty (30) days from the first day he started the practice of his profession or business operations, register and report to the SSS his name, age, civil status, and occupation, average monthly net income and his dependents.

Section 25. Deposit and Disbursements. - All money paid to or collected by the SSS every year under this Act, and all accruals thereto, shall be deposited, administered and disbursed in the same manner and under the same conditions and requirements as provided by law for other public special funds: *Provided*, That not more than twelve percent (12%) of the total yearly contributions plus three percent (3%) of other revenues shall be disbursed for administrative and operational expenses such as salaries and wages, supplies and materials, depreciation, and the maintenance of offices of the SSS: *Provided, further*, That if the expenses in any year are less than the maximum amount permissible, the difference shall not be availed of as additional expenses in the following years.

Section 26. Investment of Reserve Funds. - All revenues of the SSS that are not needed to meet the current administrative and operational expenses incidental to the carrying out of this Act shall be accumulated in a fund to be known as the "Reserve Fund". Such portions of the Reserve Fund as are not needed to meet the current benefit obligations thereof shall be known as the "Investment Reserve Fund" which the Commission shall manage and invest with the skill, care, prudence and diligence necessary to earn an annual income not less than the average rates of treasury bills or any other acceptable market yield indicator in any or in all of the following undertaking, under such rules and regulations as may be prescribed by the Commission: *Provided*, That investments shall satisfy the requirements of liquidity, safety/ security and yield in order to ensure the actuarial solvency of the funds of the SSS: *Provided, further*, That the SSS shall submit an annual report on all investments made to both the Senate and House of Representatives:

(a) In bonds, securities, promissory notes or other evidence of indebtedness of the Government of the Philippines, or in bonds, securities, promissory notes or other evidence of indebtedness to which the full faith, credit and unconditional guarantee of the Government of the Philippines is pledged: *Provided*, That at least fifteen percent (15%) of the investment reserve fund shall be invested for these purposes:

(b) In bonds, securities, promissory notes or other evidence of indebtedness of the Government of the Philippines, or any of its agencies or instrumentalities to finance domestic infrastructure projects such as roads, bridges, ports, telecommunications, and other similar projects: *Provided*, That the instruments issued by an agency or instrumentality of the government shall be guaranteed by the Government of the Philippines or any government financial institution or acceptable multilateral agency: *Provided, further*, That the SSS shall have priority over the revenues of the projects: *Provided, finally*, That such investments shall not exceed thirty percent (30%) of the Investment Reserve Fund;

(c) In bonds, securities, promissory notes or other evidence of indebtedness of government financial institutions or government corporations with acceptable credit or guarantee: *Provided*, That such investments shall not exceed thirty percent (30%) of the Investment Reserve Fund;

(d) In bonds, securities, deposits, promissory notes or other evidence of indebtedness of any, bank doing business in the Philippines and in good standing with the BSP to finance loans to private corporations doing business in the Philippines, including schools, hospitals, small-and-medium scale industries, cooperatives and nongovernmental organizations, in which case the collaterals or securities shall be assigned to the SSS, under such terms and conditions as the Commission may prescribe: *Provided*, That in the case of bank deposits, they shall not exceed at any time the unimpaired capital and surplus or total private deposits of the depository bank, whichever is smaller: *Provided, further*, That said bank shall first have been designated as a depository for this purpose by the Monetary Board of the BSP: *Provided, finally*, That

such investments shall not exceed forty percent (40%) of the Investment Reserve Fund;

- (e) In bonds, securities, promissory notes or other evidence of indebtedness of shelter agencies of the National Government or financial intermediaries to finance housing loans of members; and in long-term direct individual or group housing loans giving priority to the low-income groups, up to a maximum of ninety percent (90%) of the appraised value of the properties to be mortgaged by the borrowers; and
In short and medium-term loans to members such as salary, educational, livelihood, calamity, and emergency loans: *Provided*, That not more than five percent (5%) of the Investment Reserve Fund at any time shall be invested for housing purposes: *Provided, further*, That not more than twenty five percent (25%) of the Investment Reserve Fund shall be invested in short-and medium-term loans;
- (f) In bonds, securities, promissory notes or other evidence of indebtedness of educational or medical institutions to finance the construction, improvement and maintenance of schools and hospitals and their equipment and facilities: *Provided*, That such investments shall not exceed ten percent (10%) of the Investment Reserve Fund;
- (g) In real estate property, including shares of stocks involving real estate property, and investments secured by first mortgages on real estate or other collaterals acceptable to the SSS: *Provided*, That such projects and investments shall, in the determination of the Commission, redound to the benefit of the SSS, its members, as well as the general public: *Provided, further*, That investment in real estate property and joint ventures including shares of stocks involving real estate property, shall not exceed ten percent (10%) of the Investment Reserve Fund: *Provided, finally*, That investments in other income earning projects and investment secured by first mortgages and or other collaterals shall not exceed twenty-five percent (25%) of the Investment Reserve Fund;
- (h) In bonds, debentures, securities, promissory notes or other evidence of indebtedness of any prime corporation or multilateral institutions to finance domestic projects: *Provided*, That the issuing or assuming entity or its predecessors shall not have defaulted in the payment of interest on any of its securities and that during each of any three (3) including the last two (2) of the five (5) fiscal years next preceding the date of acquisition by the SSS of such bonds, debentures or other evidence of indebtedness, the net earnings of the issuing or assuming institution available for its fixed charges, as defined in this Act, shall have been not less than one and one-quarter times the total of its fixed charges for such year: *Provided, further*, That such investments shall not exceed forty percent (40%) of the Investment Reserve Fund;
- (i) In preferred or common shares of stocks listed or to be listed in the stock exchange and other securities trading markets or options or warrants to such stock or, subject to prior approval of the BSP, such other risk management instruments of any prime or solvent corporation or financial institution created or existing under the laws of the Philippines with proven track record of profitability over the last three (3) years and payment of dividends at least once over the same period: *Provided*, That such investments shall not exceed forty percent (40%) of the Investment Reserve Fund;
- (j) In domestic or foreign mutual funds in existence for at least three (3) years: *Provided*, That such investments shall not exceed forty percent (40%) of the Investment Reserve Fund: *Provided, further*, That investments in foreign mutual funds shall not exceed one percent (1%) of the Investment Reserve Fund in the first year which shall be increased by one percent (1%) for each succeeding year, but in no case shall it exceed fifteen percent (15%) of the Investment Reserve Fund;
- (k) In foreign currency deposits or investment-grade rated foreign currency-denominated debts, prime and nonspeculative equities, and other BSP approved financial instruments or other assets issued in accordance with the existing laws of the countries where such financial instruments are issued: *Provided*, That these

instruments or assets are listed in bourses of the respective countries where these instruments or assets are issued: *Provided, further*, That the issuing company has proven track record of profitability over the last three (3) years and payment of dividends at least once over the same period: *Provided, finally*, That such investments shall not exceed one percent (1%) of the Investment Reserve Fund in the first year which shall be increased by one percent (1%) for each succeeding year, but in no case shall it exceed fifteen percent (15%) of the Investment Reserve Fund;

- (l) In loans secured by such collaterals like cash, pensions, government securities or guarantees of multilateral institutions including loans to pensioners: *Provided*, That such investments shall not exceed thirty percent (30%) of the Investment Reserve Fund; and
- (m) In other BSP approved investment instruments with the same intrinsic quality as those enumerated in paragraphs (a) to (l) hereof, subject to the policies and guidelines which the Commission may formulate.

No portion of the Investment Reserve Fund or income thereof shall accrue to the general fund of the National Government or to any of its agencies or instrumentalities, including government-owned or -controlled corporations, except as may be allowed under this Act: *Provided*, That no portion of the Investment Reserve Fund shall be invested for any purpose or any instrument, institution or industry over and above the prescribed cumulative ceilings as follows:

- 60% in private securities
- 5% in housing
- 30% in real estate related investments
- 25% in short and medium-term member loans
- 30% in government financial institutions and corporations
- 15% in any particular industry
- 7.5% in foreign-currency denominated investments
- 5% in private-sponsored infrastructure projects without guarantee
- 5% private and government sponsored infrastructure projects with guarantee
- 5% in private and government sponsored infrastructure projects.

Section 26-A. Fund Managers. - As part of its investment operations, the SSS may appoint local or, in the absence thereof, foreign fund managers to manage the Investment Reserve Fund, as it may deem appropriate.

Section 26-B. Mortgagor Insurance Account. -

- (a) As part of its investment operations, the SSS shall act as insurer of all or part of its interest on SSS properties mortgaged to the SSS, or lives of mortgagors whose properties are mortgaged to the SSS. For this purpose, the SSS shall establish a separate account to be known as the "Mortgagors' Insurance Account". All amounts received by the SSS in connection with the aforesaid insurance operations shall be placed in the Mortgagors' Insurance Account. The assets and liabilities of the Mortgagors' Insurance Account shall at all times be clearly identifiable and distinguishable from the assets and liabilities in all other accounts of the SSS. Notwithstanding any provision of law to the contrary, the assets held in the Mortgagors' Insurance Account shall not be chargeable with the liabilities arising out of any other business the SSS may conduct but shall be held and applied exclusively for the benefit of the owners or beneficiaries of the insurance contracts issued by the SSS under this paragraph.
- (b) The SSS may insure any of its interest or part thereof with any private company or reinsurer. ^{1awphi1} The Insurance Commission or its authorized representatives shall make an examination into the financial condition and methods of transacting business of the SSS at least once in two (2) years, but such examination shall be limited to the insurance operation of the SSS as authorized under this paragraph and shall not embrace the other operations of the SSS: and the report of said examination shall, be submitted to the Commission and a copy thereof shall be furnished the Office of the President of the Philippines within a reasonable time after the close of the examination: *Provided*, That for each examination, the SSS shall

pay to the Insurance Commission an amount equal to the actual expense of the Insurance Commission in the conduct of examination, including the salaries of the examiners and of the actuary of the Insurance Commission who have been assigned to make such examination for the actual time spent in said examination: *Provided, further*, That the general law on insurance and the rules and regulations promulgated thereunder shall have supplementary application insofar as it is not in conflict with this Act and its rules and regulations.

Section 27. Records and Reports. - The SSS President shall keep and cause to keep records of operations of the funds of the SSS and of disbursements thereof and all accounts of payments made out of said funds. During the month of January of each year, the SSS President shall prepare for submission to the President of the Philippines and to Congress of the Philippines a report of operations of the SSS during the preceding year, including statistical data on the number of persons covered and benefited, their occupations and employment status, the duration and amount of benefits paid, the finances of the SSS at the close of the said year, and recommendations. He shall also cause to be published in two (2) newspapers of general circulation in the Philippines a synopsis of the annual report, showing in particular the status of the finances of the SSS and the benefits administered.

Section 28. Penal Clause. -

- (a) Whoever, for the purpose of causing any payment to be made under this Act, or under an agreement thereunder, where none is authorized to be paid, shall make or cause to be made false statement or representation as to any compensation paid or received or whoever makes or causes to be made any false statement of a material fact in any claim for any benefit payable under this Act, or application for loan with the SSS, or whoever makes or causes to be made any false statement, representation, affidavit or document in connection with such claim or loan, shall suffer the penalties provided for in Article One hundred seventy-two of the Revised Penal Code.
- (b) Whoever shall obtain or receive any money or check under this Act or any agreement thereunder, without being entitled thereto with intent to defraud any member, employer or the SSS, shall be fined not less than Five thousand pesos (₱5,000.00) nor more than Twenty thousand pesos (₱20,000.00) and imprisoned for not less than six (6) years and one (1) day nor more than twelve (12) years.
- (c) Whoever buys, sells, offers for sale, uses, transfers or takes or gives in exchange, or pledges or gives in pledge, except as authorized in this Act or in regulations made pursuant thereto, any stamp, coupon, ticket, book or other device, prescribed pursuant to Section Twenty-three hereof by the Commission for the collection or payment of contributions required herein, shall be fined not less than Five thousand pesos (₱5,000.00) nor more than Twenty thousand pesos (₱20,000.00), or imprisoned for not less than six (6) years and one (1) day nor more than twelve (12) years, or both, at the discretion of the court.
- (d) Whoever, with intent to defraud, alters, forges, makes or counterfeits any stamp, coupon, ticket, book or other device prescribed by the Commission for the collection or payment of any contribution required herein, or uses, sells, lends, or has in his possession any such altered, forged or counterfeited materials, or makes, uses, sells or has in his possession any such altered, forged, material in imitation of the material used in the manufacture of such stamp, coupon, ticket, book or other device, shall be fined not less than Five thousand pesos (₱5,000.00) nor more than Twenty thousand pesos (₱20,000.00) or imprisoned for not less than six (6) years and one (1) day nor more than twelve (12) years, or both, at the discretion of the court.
- (e) Whoever fails or refuses to comply with the provisions of this Act or with the rules and regulations promulgated by the Commission, shall be punished by a fine of not less than Five thousand pesos (₱5,000.00) nor more than Twenty thousand pesos (₱20,000.00), or imprisonment for not less than six (6) years and one (1) day nor more than twelve (12) years, or both, at the discretion of the court: *Provided*, That where the violation consists in failure or refusal to register employees or himself, in case of the covered self-employed or to deduct contributions

from the employees' compensation and remit the same to the SSS, the penalty shall be a fine of not less than Five thousand pesos (₱5,000.00) nor more than Twenty thousand pesos (₱20,000.00) and imprisonment for not less than six (6) years and one (1) day nor more than twelve (12) years.

- (f) If the act or omission penalized by this Act be committed by an association, partnership, corporation or any other institution, its managing head, directors or partners shall be liable for the penalties provided in this Act for the offense.
- (g) Any employee of the SSS who receives or keeps funds or property belonging, payable or deliverable to the SSS and who shall appropriate the same, or shall take or misappropriate, or shall consent, or through abandonment or negligence, shall permit any other person to take such property or funds, wholly or partially, or shall otherwise be guilty of misappropriation of such funds or property, shall suffer the penalties provided in Article Two hundred seventeen of the Revised Penal Code.
- (h) Any employer who, after deducting the monthly contributions or loan amortizations from his employee's compensation, fails to remit the said deduction to the SSS within thirty (30) days from the date they became due, shall be presumed to have misappropriated such contributions or loan amortizations and shall suffer the penalties provided in Article Three hundred fifteen of the Revised Penal Code.
- (i) Criminal action arising from a violation of the provisions of this Act may be commenced by the SSS or the employee concerned either under this Act or in appropriate cases under the Revised Penal Code: *Provided*, That such criminal action may be filed by the SSS in the city or municipality where the SSS office is located, if the violation was committed within its territorial jurisdiction or in Metro Manila, at the option of the SSS.

Section 29. Government Aid. - The establishment of the SSS shall not disqualify the members and employers from receiving such government assistance, financial or otherwise, as may be provided.

Section 30. Implementing Rules and Regulations. - The Commission shall promulgate the necessary rules and regulations to implement this Act not later than ninety (90) days after its effectivity.

Section 31. Transitory Clause. - Any employer who is delinquent or has not remitted all contributions due and payable to the SSS may, within six (6) months from the effectivity of this Act, remit said contributions or submit a proposal to pay the same in installment within a period as approved by the Commission from the effectivity of this Act without incurring the prescribed penalty, subject to the implementing rules and regulations which the Commission may prescribe: *Provided*, That the employer submits the corresponding collection lists together with the remittance or proposal to pay in installments: *Provided, further*, That in case the employer fails to remit contributions within the six-month grace period or defaults in the payment of any amortization provided in the approved proposal, the prescribed penalty shall be imposed from the time the contributions first became due as provided in Section 22(a) hereof: *Provided, finally*, That upon approval and payment in full or in installments of contributions due and payable to the SSS, any pending case filed against the employer shall be withdrawn without prejudice to the (i) refiling of the case in the event the employer fails to remit in full the required delinquent contributions or defaults in the payment of any installment under the approved proposal and (ii) the reimposition of the prescribed penalty from the time the contributions first became due as provided in Section 22(a) hereof.

Section 32. Separability Clause. - If, for any reason, any part, section, or provision of this Act is held invalid or unconstitutional, the remaining provisions not affected thereby shall continue to be in full force and effect.

Section 33. Repealing Clause. - Republic Act No. 1161 and Republic Act No. 8282 and all other laws, proclamations, executive orders, rules and regulations or parts thereof inconsistent with this Act are hereby repealed, modified or amended accordingly: *Provided*, That no person shall be deemed to be vested with any property or other right by virtue of the enactment or operation of this Act.

--End--

SOCIAL SECURITY

QUESTIONS

1. Social Security Act of 2018 or Republic Act No. _____, which repealed Republic Act No. 1161 as amended by Republic Act No. 8282, states it is the policy of the State to establish, develop, promote and perfect a sound and viable tax-exempt social security system suitable to the needs of the people throughout the Philippines which shall promote social justice through savings, and ensure meaningful social security protection to members and their beneficiaries against the hazards of disability, sickness, maternity, old age, death, and other contingencies resulting in loss of income or financial burden. Towards this end, the State shall endeavor to extend social security protection to Filipino workers, local or overseas, and their beneficiaries. In the pursuit of this policy, a social security program shall be developed emphasizing the value of “work, save, invest and prosper”. The maximum profitability of investible funds and resources of the programs shall be ensured through a culture of excellence in management grounded upon sound and efficient policies employing internationally recognized best practices.
 - a. 11198
 - b. 11199
 - c. 11200
 - d. 11201
2. The Social Security Act of 2018 states that in the pursuit of this policy, a social security program shall be developed emphasizing the value of “work, save, invest and prosper”. The maximum profitability of investible funds and resources of the programs shall be ensured through a culture of excellence in management grounded upon sound and efficient policies employing internationally recognized best practices. Consider the following: I. The Social Security System is a corporate body created to carry out the mandate of the Social Security Act of 2018; II. The SSS is to be controlled and directed by the Social Security Commission which is chaired by the Secretary of Finance; and, III. The SSC is composed of nine (9) persons, including the Secretary of DOLE who shall serve in an ex officio capacity. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
3. According to the Social Security Act of 2018: I. An Employer is any person, natural or juridical, domestic or foreign, who carries on in the Philippines any trade, business, industry, undertaking or activity of any kind and uses the services of another person who is under his orders as regards the employment, except the Government and any of its political subdivisions, branches or instrumentalities, including corporations owned or controlled by the Government: Provided, that a self-employed person shall either be employee or employer, but not both at the same time; II. An Employee is any person who performs services for an employer in which either or both mental or physical efforts are used and who receives compensation for such services, where there is an employer-employee relationship: Provided, that a self-employed person shall either be employee or employer, but not both at the same time; III. Compensation means all actual remuneration for employment, including the mandated cost-of-living allowance, as well as the cash value of any remuneration paid in any medium other than cash including the part of the remuneration received during the month in excess of the maximum salary credit as provided in this Act. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
4. According to the Social Security Act of 2018, Beneficiaries are defined as the depended spouse until he or she remarries, the dependent legitimate, legitimated or legally adopted, and illegitimate children, who shall be primarily beneficiaries of the member. On the other hand, the dependents shall be the following: I. The legal spouse entitled by law to receive support from the member; II. The legitimate, legitimated or legally adopted, and illegitimate child who is unmarried, not gainfully employed, and has not reached twenty-one (21) years of age, or if over twenty-one (21) years of age, he is congenitally or while still a minor has been permanently incapacitated and incapable of self-support, physically or mentally; III. The parent who is receiving regular support from the member. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
5. According to the Social Security Act of 2018, Employment means any service performed by an employee for his employer except: I. Services where there is no employer-employee relationship in accordance with existing labor laws, rules, regulations and jurisprudence; II. Service performed in the employ of the Philippine Government or instrumentality or agency thereof; and, III. Service performed in the employ of a foreign government or international organization, or their wholly-owned instrumentality. Which of the following is/are false?
 - a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
6. According to the Social Security Act of 2018, a covered member may qualify to receive monetary benefits on account of: I. Sickness – (a) A member who has paid at least three (3) monthly contributions in the twelve-month period immediately preceding the semester of sickness or injury and is confined therefor for more than three (3) days in a hospital or elsewhere with the approval of the SSS, shall, for each day of compensable confinement or a fraction thereof, be paid by his employer, or the SSS, if such person is unemployed or self-



employed, a daily sickness benefit equivalent to ninety percent (90%) of his average daily salary credit;; II. Permanent Disability – (a) Upon the permanent total disability of a member who has paid at least thirty-six (36) monthly contributions prior to the semester disability, he shall be entitled to the monthly pension: Provided, that if he has not paid the required thirty-six (36) monthly contributions, he shall be entitled to a lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS or twelve (12) times the monthly pension, whichever is higher. A member who (1) has received a lump sum benefit; and (2) is re-employed or has resumed self-employment not earlier than (1) year from the date of his disability shall again be subject to compulsory coverage and shall be considered a new member.; and, III. Retirement – (a) A member who has paid at least one hundred twenty (120) monthly contributions prior to the semester or retirement and who: (1) has reached the age of sixty (60) years and is already separated from employment or has ceased to be self-employed; or (2) has reached the age of sixty-five (65) years, shall be entitled for as long as he lives to the monthly pension: Provided, that he shall have the option to receive his first eighteen (18) monthly pensions in lump sum discounted at a preferential rate of interest to be determined by the SSS. Which of the following is/are false?

- a. Only two of the statements
 - b. Only one of the statements
 - c. All three of the statements
 - d. None of the statements
7. For purposes of the Social Security Act, which of the following may be considered as a dependent?
- I. Legally adopted child
 - II. Illegitimate child
- a. I only.
 - b. II only.
 - c. Both I and II.
 - d. Neither I nor II.
8. Assuming that the child is not permanently incapacitated and incapable of self-support, what is the age limit within which a child may be considered as a dependent?
- a. Fifteen (15) years old
 - b. Sixteen (16) years old
 - c. Eighteen (18) years old
 - d. Twenty-one (21) years old
9. If a deceased member has not paid the required thirty-six (36) monthly contributions, his primary or secondary beneficiaries shall be entitled to the higher between twelve times the monthly pension or:
- a. discounted reimbursable amount to be paid to the deceased member in accordance with actuarial computation
 - b. lump sum benefit equivalent to the monthly pension times the number of monthly contributions paid to the SSS
 - c. actual amount of contributions paid to the SSS made during the lifetime of the deceased member
 - d. the monthly pension at the time the member dies.
10. Compensable confinement shall be for a minimum period of:
- a. At least three days
 - b. At least one week
 - c. More than three days
 - d. More than one week

